

Multi Comm. Exc. (MCX)

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Call: Aug 2022

MULTI COMMODITY EXCHANGE OF INDIA LTD.

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CIN: L51909MH2002PLC135594, info@mcxindia.com MCX/SEC/2101 August 30, 2022

The Dy. General Manager

Corporate Relations & Service Dept.

BSE Limited,

P.J. Towers, Dalal Street,

Mumbai - 400001

Scrip code: 534091, Scrip ID: MCX

Subject: Transcript of calls with Investor/Analysts

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 read with the SEBI (Listing Obligations and Disclosure Requirements) (Second Amendment) Regulations, 2021, please find enclosed herewith the following transcript of the call with investor/analysts:

Sr.

No Investor/Analysts Date Time Annexure

1. WF Asian Smaller Companies

Fund Limited (Ward Ferry

Management Limited) August 24, 2022 04:00 p.m. Annexure - A

The said transcript is also uploaded on the website of the Company at <https://www.mcxindia.com/investor-relations/ir-meetings>

Further, we hereby confirm that no unpublished price sensitive information was shared/discussed during the said meeting.

Kindly take the same on record and acknowledge receipt.

Thanking you,

Yours faithfully,

For Multi Commodity Exchange of India Limited

Ajay Puri

Company Secretary

Encl: As above

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Meeting with WF Asian Smaller Companies Fund Limited

August 24, 2022

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Annexure-A

Multi Commodity Exchange

August 24, 2022

Management: Mr. P.S. Reddy – Managing Director and Chief Executive Officer
Mr. Satyajeet Bolar – Chief Financial Officer
Mr. DG Praveen – Head Investor Relations

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P. S. Reddy: Welcome to MCX once again. Since you know the company you have been staying invested over the last two years or so. Please go ahead and fire the questions, I will answer.

Analyst: Thank you Mr. Reddy.

P. S. Reddy: You can also switch on the mic.

Analyst: Now it's on.

P. S. Reddy: You see the red color here, it's on.

Analyst: Yes, it's ok. Thank you, Mr. Reddy for the opportunity. I guess from my perspective, two questions are top of my mind, one is there are a number of variables that a senior management personnel you cannot control with respect to the exchange, right. Like how much volumes are being traded, which commodity is being traded, these are things that are natural outcomes of global macro and volatility. But what you can control is, introduction of new products, educating the investor base, and just trying to deepen the market from your perspective. So we love to understand over the next three to five years, what are the big changes or big themes that you see playing out as far as the commodities market is concerned in India.

P. S. Reddy: No, you're absolutely right, you know what we have been doing and what we'll continue to do is, to create a merchant ecosystem, such that when opportunities come, it will automatically translate into higher volumes. So, that is something which we have been keen on doing. So, one is - products we have, we can choose more and more products, which the market wants and second thing is to increase the distribution, the kind of distribution that currently we have. Of course, the third segment is the education part which you said, still there's a lot of ground to cover in this area. And I only expect the people to refrain from comparing with the markets, because in the case of equities, the trading lot is one share and then anybody can trade, but here each product is a unique one, its nuances have to be understood and even if one wants to get into it, there's something called a trading lot and the minimum is what comes out of the factories for buying. So, down that the margins are always very high. For
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example, Nickel contract, which is almost all seven, eight lakhs is the margin. So, because the trading unit itself is costing one trading unit cost is as good as one share is costing 40 lakhs, 35 to 40 lakhs depending on the price. So, I mean first, we need to understand the ground realities and this is one major aspect of it. The second aspect of it is, whom are we really targeting, that's another thing. While speculators are important for this market, as speculators do come, and there is a natural growth rate, we refer to speculators and whenever there is an opportunity, they will jump in. Now, it is the speculators who take the risk when the hedgers want to give it up. And hedging is nothing but giving up the risk. So, they are very, very important for us. So

our intention is to bring and build an open interest, as much open interest as we can build, I'm sure more and more speculators will stay in this in these markets. So, for that what we have been doing is, one is to identify the bottom of the procedures actually, no, I'm not looking to make a top now, because the top guys are anyway hedging it and that is what they have reached that maturity and who understands what is the purpose of hedging. So, given their size, they look for investing or hedging in international markets and there's no ban on it except for gold at this point in time. So they're all hedge in international markets. Who don't hedge, while those ones who do not have an international exposure, who do not understand the concept of hedging or who are too small a player who cannot go to an international exchange and hedge even if they understand, because the contract sizes in

those international markets are very big.

Analyst: Much bigger than what we have.

P. S. Reddy: Much much bigger than what we have it. So, when I position the MCX vis-à-vis the international exchanges, we always say this look, we are catering to our domestic players, and domestic players majorly are MSMEs. And if they come, and if they grow on this exchange automatically the other players will start looking at this market. Because it's an egg-chicken situation for me, if I ask big players to come, they will say where is liquidity, and I want formal contracts liquidity, et cetera, et cetera. So, for a smaller player, whatever liquidity we have is good enough. So, this for me every drop in the ocean
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counts. So if the smaller players keep coming, the liquidity pool will automatically increase. That's the way we have approached it. But at the same time, it's also a Herculean task, because the smaller players they will contribute only so much. So we need to reach out pan India through various means, be that education, be that one-to-one hand holding also or industry associations, or some of the banks who have lent money to those investors, those industries. For example, we have done a program with SIDBI where we have reached out to them, they are kind enough to optimize some of the MSMEs programs. Similarly, we will do it with many more regional centers of SIDBI so that they bring MSMEs to this fold.

Now, understanding the concept is one thing and then actually playing... I think that is where I'm coming to, we need to make this land or this particular ecosystem fertile enough for these people to germinate. That's where these ideas are planted, we do not know when they will actually start trading. Now we have seen also, again it's a multi-pronged approach. It's not just we just taught them, educated them and left. No, we also identified some brokers, and then said that look, he's a potential candidate, so that he can keep hand holding, anywhere we can't directly deal with them. They have to come through a member broker, so a quality member broker, they pursue them, and then one day, it will happen. And in fact, we tell them you may be investing in equities, okay. It's most likely that those equity members are members of our exchange also. So you don't need to bring a new relationship, build a new relationship. You just go back and ask them, I'm sure they will give you solutions.

This is the hedger part of it. Then it comes to the mutual funds, and with the mutual fund industry, the AMFI, we have anyways... and I think it's likely that they will institute a committee within the mutual fund industry, for them to actually meet and understand what are the issues that the industry is facing and represent to SEBI, we have been asking the industry and in fact, Mr. Bala, I have been engaging with him. So he agreed finally, so I think that will happen. Now, currently, about three, four of them are doing it. And some, for example silver ETF, when they wanted to launch, a lot of issues were there. So, we engaged with SEBI and then got some of the concessions made where the schemes are also, if they choose to participate they should be able to participate
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on the exchange platform. That's the way we wanted the regulatory framework to be structured. Now still some issues are left out, let us say, the standard silver

contract size is 30 kgs, now they say that you should take only 30 kgs , but then nowhere in the world that delivery comes in 30 kgs exactly. It could be a tolerance limit of 2.5% on 1 kg, it can be slightly here and there. So, that's how the way it is. So, we are telling them you please don't hardcode it at 30 kgs but you provide some export, some kind of leeway. As long as they take the

delivery from the exchange, they want to take delivery, that's fine. Whatever exchange gives, you see it is fine. Or if they just don't want to take even physical delivery because they need to keep it somewhere and there is cost of storage then , just simply buy a contract and then exposure say, take exposure, that's good enough for them. And they can benefit from the price differences they keep rolling over. So some are doing it already , some are still to do it, I think the new HDFC has launched recently , somebody said that , and there's a provision for hedging it on the exchange platform also. So, again, even if you see the mutual funds , almost 90% of them are focused on equities, very few are equity or debt funds, but nothing to do with commodities so much . Gold ETFs are there but that is again, they have to correct the scheme , if the new scheme comes then, they can always say that they can also take exposure in the commodities. This is one part of it, the industry problems I'm addressing them. So , in order to address all these problems and then get them on our own . We have requested the AMFI to constitute this committee , I think that is that's likely to happen in the coming weeks.

So, coming back to the other distribution part of it again, we are bank broking house , this is what we have been talking , again the growth is slow not that I'm happy about it, but I can only do so much because it involves cost for them to develop a back office software and then launch full-fledged commodities. So again there , they also asked me - that look, my clients are not asking for commodities so why do I do this ? I think, it's a fair point what they are saying . Now, again if the client is not asking , fine, but how much can I ask investors to go for it because there is GST issue. Any commodity if they take it, unlike in equities , they get into Demat account, they sell, it goes out , no, no problem . Here, you need to give that credit back to the one who is selling it .

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Analyst: Sir, how does that work, can you just explain with an example how much, if somebody is it's a future somebody is buying through a bank brokerage how does the GST work in that ?

P. S. Reddy: No, when they are buying it they take the delivery of the commodity.

Analyst: Correct.

P. S. Reddy: So, assuming it, so they have to pay the GST .

Analyst: Okay.

P. S. Reddy: Okay. When they sell it, they should get back that credit. Okay. So, but they won't get it unless they're registered.

Analyst: Okay.

P. S. Reddy: All these people whomsoever is trading in commodities must , if they focus on taking delivery of any product, they must register in all states where we have the warehouses , that is the business rule at this point , business rule or the impact story, okay.

DG Praveen : Somebody enters and exits intraday trading...

P. S. Reddy: That is a speculator .

DG Praveen : There is no issues, if at all it goes for any derivative, then with GST ...

Analyst: And the solution for that is, like , the regulation has to change?

P. S. Reddy : We have been breaking our head with the government. And we have been asking them to change this. We have made a lot of representations to the government and we have also set revenue to the proposition that we have given, simply convert them into I GST . So if it is I GST, then they need to register at least in one state. In the case of current regulations , where all the warehouses are located you should have registration in that state notwithstanding your ... with something else, okay. Now , this is this is one part of it the GST issue . So coming back to the banks, so they couldn't offer , and I don't advise also to

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offer , to all equity investors without fully understanding the nu

ances of the

business, if they are buying and selling and getting it out, I have no problem. But if anybody is stuck, it will be a very bad day and I don't want that to happen and then bad experiences should not be spread. I mean, I don't want anybody to have a bad experience... So that's why we are looking at it carefully, but what we have been telling them and then I do not know how much it is happening , as a bank , you have a lot of customer base who are corporates and they must be having some exposure to some of the commodities , why don't you bring them on board, they should fully understand, and if you tell them they will do it . You know, because you're a lender, maybe there's some relationship is there, okay . That is what we are telling , they nod their head with us. But then, at some point in time they say there's a Chinese wall or Indian wall, whatever it is, they build a line wall and all that kind of thing. And then they say that it's not happening as much as we expected it to be, is the response we get , I think that is something which we should be constantly at it.

While on this topic, while I will take one step back to the education, we have gone to the bank training colleges , you know some of these banks have got their staff colleges, two, three have come together. So even in that we wanted them to make it a part of curriculum, okay, so that they understand hedging, the bankers themselves, when they are extending loans, they can also tell them, this is the way you can mitigate the risk. And that is something which I don't know how many programs have done yet.

DG Praveen : We have a separate , apart from that banker's college , we in fact approach with the bank's branch's , they come together, all the relevant people, then we have given them education.

P. S. Reddy : Okay. So, trying to see, we don't know, which one will click and then that's the way we are looking at it, but so at various levels education is happening . So this is another part of it and so, the banks we have been telling , that the corporate should be addressed . And I think we will pursue it little aggressively as we go along with this one route, very important funding, probably will take the major bank ICICI...

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DG Praveen : We already done with HDFC and other banks. We made a request to them also, because every year you will be having new employees , who will keep coming. So if at all you are doing any induction program or something the beginning of any year, like you will be doing something so, we will be happy to come there and we can keep some sessions, so that all the new inducts will be knowing that and what is commodities and how it is covering up .

Analyst: Okay. Your larger shareholder is a top bank, I'm curious to hear like, and they also have representatives on the board.

P. S. Reddy: Yes, but Kotak Securities is one of them , also ICICI , these are the two major players on the exchange, they are supporting in that sense . But, again I don't peep into beyond the Kotak Securities. It doesn't ... me to get into that, I can only tell them 10 times or 100 times , please ask your parent to share with you the corporate accounts and then deal with them. So ...

Analyst: Sir, if I can, may suggest , you may have already thought about... when you go to CA Association, Chartered Accountant Associations, and you know some of these are auditors of these SMEs and MSMEs , would that be helpful...

P. S. Reddy: We have done.

Analyst: How is the response?

P. S. Reddy: The response is good, the response is good but the problem is, just maybe last week, in Kochi , we had a program and our head of energy went there. They all liked it , the program , and in meetings they tell (there are all CFOs and other s) - our management are resistant to showing the assistance , we understand this is what

needs to be done, but management's are not interested and we tell them, many people - hedging is not speculation , but not hedging is speculation that is very clear okay, because they got used to that kind of extra buck by not hedging and speculating on the market. But if, I mean if that is the way they have been brought up maybe for generations it will take time for , some more time to for them to change. This is one aspect of it.

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Now coming back to the products, yes. We are looking at Electricity futures this is one, we hope that it will be resolved at the earliest, this is what our ask has been, and it is delayed almost a year or so, more than a year I must say, and hopefully we'll get this resolved at the earliest. Now, this is one part of it, then you know aluminum alloys is another one and steel TMT rods, these are the contracts which we are looking at. And we are also looking at gold options. Gold options, for monthly option on a bi-monthly contract, currently we have a bi-monthly options contract. So, the tenure is long, so if it is monthly, the premium will come down, is what our ask is. Of course, we have a mini contract, gold mini options, doing well in comparison to what the turnover in the underlying futures is. So, that is the way it is, but we expect like this rally for the energy contracts, we expect this one also to do. So, in the product segment wise, we expect a much bigger growth in the options in the next six to seven years, than in the underlying futures, we just have to be vibrant, no doubt about it, because these options are getting converted into the futures, but all options don't get converted, mini gets closed. So, whatever it is remaining that will get converted into futures, at old prepositions. I hope I have addressed, anything more.

Analyst: Absolutely. Thank you so much Mr. Reddy. One follow-up question I had was, purely by regulations, corporates have to hedge gold exposure domestically right which must have benefited the exchange right, can you help us understand the extent of that benefit and also if you think similar favorable changes can be brought about for other commodities.

P. S. Reddy: The first question yes, we are immensely benefited because of that. You name it, any top guy, they are already there, on the exchange they are hedging it. So, whether we benefited yes, it is benefited, whether we can have a similar replication in other industries, it is doubtful because it is the RBI which has done it and two, three times we have written to them requesting that this particular banding must be done. And so that the domestic players will hedge in the domestic market.

Analyst: For other commodities?

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P. S. Reddy: For other products, okay it didn't work so far. So that's where our ...

Analyst: What is the resistance from the other commodities?

P. S. Reddy: The cost of trading in India is high, let's accept that, okay. And the regulations and rules are not conducive for one to get a line of credit, and not to deal with the day to day pay-in and pay out, et cetera. And that is something which we need to address. Currently, you have a CTT which you don't find elsewhere, and, like the creditor, currently there is no brokers, we use, to arrange in overseas markets, but that's not the case here.

Analyst: But you are not optimistic on that sort of changing over the next few years?

P. S. Reddy: Well, while, while we make an attempt to change that, but what I can't change, I will accept it to be as it is and then develop our strength to pursue in other areas where we can make an impact. So, that is where we are trying to reach out to, and one of the activities that we are doing, again to bring the industry as a center of our business, okay. We

are empaneling them to deliver on the exchange platform. So, gold, three or four of them have been empaneled to deliver, including Titan. And similarly for lead, two of them have been done and then other two have been approved and then they will also be eligible to put their parts on our platform. So that gives visibility, not only to industry, to the people who are getting admitted / empaneled, but also to our own platform, and the word will spread around. That's the way we are tackling this.

Analyst: Mr. Reddy, I have one question on the future growth projection, while you know, value of business is largely technology business where you don't need to invest proportionately to growth, how do you think about, your view of three, five years out, what do you need to plan from a growth perspective, what is the right view on growth for the exchange across either futures or options, hard to predict, but how do you plan the growth, how do you look at your

inputs, your internal capacity, people capacity to address the growth that you think is the right for the, because year -to-year nobody can predict but three, five years we may have some targets internally that you guys think about and basis that you plan the manpower, plan the technology, how do you think about that?

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P. S. Reddy: Look, the technology is basically, we are a what you call a technology driven company, okay, our backbone is technology. Now, be it planning vis-à-vis the volumes we accordingly plan it that is as per the technology concerned. So that's not an issue.

Analyst: Is it like substantially over planned let say for next three years, five years?

P. S. Reddy: No, no, I mean that, there are certain things I will not be able to disclose, honestly.

Analyst: Sure.

P. S. Reddy: Because that is we never do that. But, all that I can say is, there is a SEBI regulation which says you know, you should always ... it should be two times.

Two times the highest volume that you have had. So that is always there for me. So, having got the two times headroom, I don't need to worry if there is any intermediate search, that is one part it. The second part of it is, our protocol, it's not proportionately related, our expenses are not proportionately related to the growth on the top line, because especially the people and other things, whosoever are there, they are there. Just because volumes are going up, I may not recruit more people, okay. But if I venture into new areas of business, that's where we plan and then get into it, that is where the some of these spot exchanges makes the difference for us, looking forward.

Analyst: Got it. Could you remind us Mr. Reddy what are the spot exchanges, I think there is a gold spot exchange?

P. S. Reddy: Gold is one, but coal is another one, which we are actively working on it, not got the board's approvals, but then we are there, in the sense. We are very actively considering these spot exchanges.

Analyst: And do you have a sense of how large the addressable market is for the gold and coal spot exchange?

P. S. Reddy: Well, in the case of gold, being a spot exchange and currently there's a positive set in the physical market, probably those who want to take physical gold

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delivery, they will come to this platform and then take it, that's the way it is.

So, but it is equally important to understand how far, unlike ... it's in a Demat form, so that's one beauty of it, the gold EDRs are kept on, depository receipts are generated. So they keep accumulating, they don't need to worry, and on a day to day basis, they don't need to take physical delivery and then keep it in any vault or anything. But whenever they want to take delivery, we must facilitate that many centers for that kind of you

you know, we should facilitate so

much, having said this in the existing framework also, we have issued a circular to member, brokers and then clients, telling that we are vault managers, so many vaults are there, they have agreed to do a doorstep delivery of gold. So even if it is a futures contract, maybe one month down the line you want to take delivery, then you can buy a contract and then take delivery and you're guaranteed a pure quality there's no doubt about it. So this is a multi-pronged approach here also, in the sense if this instrument of this facilitation. #A, it is easy to attract retail investors into this because this is on to MCX, gold is the darling of the market and many households also, they get attracted. Number two, they will be hooked on to MCX for a longer time because they know what is needed and whenever they want or think of gold, they will come to MCX.

Third, member brokers who are currently not at all doing it, at least they will start to tell equity investors selling gold coins, gold you know this one, gold products. Now third, I mean fourth one, even the silver is another one which is attracting it also okay. In silver also we can deliver it in we're not just launched it the doorstep delivery thing, but silver also we have asked the vendors to have it given at multiple delivery centers, but this, this is seeing some traction, we

find that member brokers are interested , now whoever not earlier opening the terminals also MCX they have a license. Now, they say that yes, you spread this word to your customers to take delivery from MCX , I think that is something which brings in greater degree of trust among the investors , and it will be in Demat until they take delivery , whenever they choose to take delivery, they can simply do it.

Analyst: Do you have a sense of the, I know this is all crystal ball gazing at this stage, but do you have a sense of the revenue potential of gold spot exchange or a silver spot exchange?

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P. S. Reddy: No, gold spot exchange we have projections, no doubt about it . We have taken a very what you call, a conservative approach on this, we wanted to do it as a segment of the exchange , but we don 't have a technology platform at this point in time, we have given it to TCS. TCS says once they deliver the code , that code they pick up and then do the tweaking and then deliver this one . But again there is a GST issue out there, that is the reason why people have not launched this one. Otherwise, BSE was about to launch last year Akshaya Tritiya , so one more Akshaya Tritiya gone nothing has happened. So that is the way it is at this point in time.

Analyst: But can it be comparable to the size of your base business?

P. S. Reddy: It will not be so much . See, it's not speculative.

Analyst: Yes.

P. S. Reddy: It will not be so much. The only thing , the advantage for those people who trade the spot exchange with us then any other thing is , we have a futures and the margins can be given .

Analyst: Correct.

P. S. Reddy: And there is no interoperability at this point in time.

Analyst: Yes. Mr. Reddy when we look at the mix of clients, trading members that we have you know, you talked about , that arbitrage funds have become our 55%, 56% of the overall volume is being traded at our exchange . From a profitability perspective, is there a difference in profitability across these players and the way you look at from a long-term perspective. And secondly, when you look at, in futures and options more importantly, do you see there is a meaningful difference in profitability margin or it is very similar in your view, when you try to look at , it's stuck with a bit of fixed costs between futures and options, but in whichever way you look at the business is the difference in margins throughout these two products .

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P. S. Reddy: I see , for me it is just create a one , one line of, what you call , the product creation, I then leave it to the market to crack it. Now, if there is any incremental cost associated with both of them I can understand there will be somewhat is the profit margin .

Analyst: Yes.

P. S. Reddy: For me it doesn 't matter.

Analyst: There 's no extra sales efforts ?

P. S. Reddy: Absolutely nothing , nothing extra. I want to increase my business development team . There is no increasing the product management team, however our numbers remained flat over 350, 360 whatever is the HR ... nothing has gone up. It is just that the peak margin in crude oil , has driven away the people from the futures contract to the options contract , and then they found favor, and the many of them are playing in equities anyway , and now they got the lengthy rows , then they started.

DG Praveen : One thing what we have done is, the moment we found the opportunity in the options , when we started levying the transaction charges at the right time, second we have substantially scaled up the awareness programs in the options, that means we have participants so far they have been trading in futures. We want, intend to push that education among the customers. So that they can also start looking in the options also equally. That way we ...

P. S. Reddy: And we keep asking the brokers , in the morning calls to the customers , please

talk about commodities also and other equities . Please talk about options in addition to the futures, all these kinds of things does help . You listen 10 days and then 11th day you will start trading.

Analyst: True. Mr. Reddy, I saw one, we spoke about the fact that the technology platform from TCS has been delayed by maybe a month or two months. And , I saw that there was a press article that SEBI has asked you some questions or given you some advice. Just wanted to understand that a little bit better.

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P. S. Reddy: See, in fact everybody knows in 2020 that we have entered into a contract with TCS, and the 63 Moons contract is coming to an end in September 22. Okay, so as per the agreement, we could not have released the RFP earlier than October 20. So we released it and then signed up in January or February, with TCS. So , we are doing so much , window for development. So, we were to go live sometime in July as we thought we would , as initially planned, that's got delayed , now the deliveries are yet to come, some deliveries are yet to come in, they are coming but there 's a bugs that , we've launched mock also for some of the modules that are already running . And we wanted to start a full-fledged mock also. So we are expecting to be there in the next one or two months' time , the complete mock and all issues . So, thereafter, we will gauge the requirement of I mean when we can go live depending on the number of bugs that will come and how fast they will fix it , et cetera. But yes, there is a concern out here, but we have informed SEBI also, again we have approached 63 Moons also, for giving us some extension. So the discussions are on and we also plan B , plan C and in the call also , I have been mentioning it. So, alternative plans also we are having it, but I must say this, in the last three years ever since I joined I've never seen system going down even once , okay. There may be some problems, some broker is not able to upload some file and all that. And some maybe work around , maybe there to fix those problems. But I've never seen system going down and we have got a perpetual license, we have paid for it. So we can use it. The only question is , in the event of not being able to support, in the event of system is not supporting but if you go as solo, would you face any risk . So, we need

ed to take some risk mitigation measures , don't really make any religious dumps of fixes, patch up loads and other thing. And don't do any developments, further developments, all that kind of , obviously we can 't do that. So , run the system as is, varies bases. That 's the way it is , we have to do, maybe some vendor gives some support , we will go for that.

Analyst: One last question from my side, when this implementation or piece of bid is over, you know , do you expect the dividend payout ratio for to increase over time, because you know I think we had of course a lot of cash for this.

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P. S. Reddy: No, dividend payout ratio is flowing from the policy , earlier we had a 90% dividend payout ratio to be given and now it was reduced to 75, so policy has changed it to 90% then we will , whatever it earned then , we will pay out 90%. So it is more to do with the policy then then CAPEX.

Management: CAPEX.

Analyst: The policy is determined by the board ?

P. S. Reddy: By the board , yes. So, sometime last year or the year before last ...

Satyajeet Bolar : Year before last .

P. S. Reddy: Year before last year it was reduced to 75 .

Analyst: I'm assuming it was done with the intention of, you knew that , and the board knew that the 63 Moons contract will come up for renewal and its probably better use of capital to buy the technology , it also de-risk the business and so on right?

P. S. Reddy: We may not buy it, obviously we will not be able to do that okay, but we will need to seek some extension of their services.

Analyst: No, sir my point was that , it seems like the board reduced the payout ratio, because you anticipated a large technology purchase?

P. S. Reddy: You mean to say that time , at that point when the RFP was made .

Analyst: Yes. So, now that the, hopefully the technology .

P. S. Reddy: Already the piece is getting fixed. So we can look at it , we will re-look at it .

Analyst: I mean sir as investor one key thing we look for is capital efficiency and I was talking to Satyajeet about that as well. We understand why the exchange kept the amount of free cash on the balance sheet as you have in the past. Now that , or pretty soon the purchase will be behind us then , if you look at other exchanges globally, they pay out close to 90% of their retained earnings every Multi Commodity Exchange

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year. I think if the MC X were to consider that , I think it will be looked at favorably by shareholders. That 's just one request with me.

P. S. Reddy: No, we take your feedback , in fact you are valued customer or the value shareholder for me , I have been seeing your name for the last two years... and stay invested , we will definitely consider whatever suggestions were, definitely.

Analyst: Okay, sir. Thanks a lot.

P. S. Reddy: What else. All done?

Analyst: Yes.

Call: Aug 2022

MULTI COMMODITY EXCHANGE OF INDIA LTD.

EXCHANGE SQUARE, SUREN ROAD, ANDHERI (EAST), MUMBAI 400 093, INDIA. TEL: +91-22-6731 8888, FAX: +91-22-66494151, www.mcxindia.com

CIN: L51909MH2002PLC135594, info@mcxindia.com MCX/SEC/2098 August 26, 2022

The Dy. General Manager

Corporate Relations & Service Dept.

BSE Limited,

P.J. Towers, Dalal Street,

Mumbai - 400001

Scrip code: 534091, Scrip ID: MCX

Subject: Transcript of calls with Investor/Analysts

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 read with the SEBI (Listing Obligations and Disclosure Requirements) (Second Amendment) Regulations, 2021, please find enclosed herewith the following transcript of the call with investor/analysts:

Sr.

No Investor/Analysts Date Time Annexure

1. JP Morgan Asset Management August 19, 2022 12:00 Noon Annexure - A

The said transcript is also uploaded on the website of the Company at <https://www.mcxindia.com/investor-relations/ir-meetings>

Further, we hereby confirm that no unpublished price sensitive information was shared/discussed during the said meeting.

Kindly take the same on record and acknowledge receipt.

Thanking you,

Yours faithfully,

For Multi Commodity Exchange of India Limited

Ajay Puri

Company Secretary

Encl: As above

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Meeting with JP Morgan Asset Management

August 19, 2022

Disclaimer:

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This document may contain "forward-looking statements" – that is, statements related to future, not past, events. In this context, forward looking statements often address our expected future business and financial performance, often contain words such as "expects", "anticipates", "intends", "plans", "believes", "seeks", "should" or "will". Forward-looking statements by their nature address matters that are, to different degrees, uncertain. These uncertainties may cause our actual results to be materially different than those expressed in our forward-looking statements. We do not undertake to update our forward-looking statements.

Annexure - A

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MANAGEMENT: MR. P. S. REDDY - MANAGING DIRECTOR AND CHIEF
EXECUTIVE OFFICER
MR. SATYAJEET BOLAR - CHIEF FINANCIAL OFFICER

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P S Reddy: Good morning, Mr. Mark and Mr. Neil. I think first time you are facing the MCX. Is that correct?

Analyst: Yes, look forward to.

P S Reddy: I have visited your office in Hong Kong and I think I was heading CDSL, we were doing ICO, and at that time, I think a few Indian colleagues were there. I think one Parsi gentleman was also there.

Analyst: Yes. Ruksha When?

P S Reddy: In 2018. That's right. They were all there. Good experience I had. Of course subsequently also, Ms Ruksha came in one or two calls also. And since you're physically traveling, maybe you thought that we should meet, but you're welcome, I'm very happy that you have come down. Now, please go ahead and ask your questions.

Analyst: Yes, maybe I'll start with business update. Give me a sense of what kind of difference products are performing.

P S Reddy: As a matter o

f policy in our projecting numbers and... but what we are hopeful and which are the companies, which are the product lines that we would like to focus more on is something which we will share with you. Yes, at this point in time, as we are speaking, the crude oil contract or the energy contracts are going well, both NG and crude oil. And thanks to our options contract, thanks to the peak margin in crude oil futures. I think a lot of shift has come and a lot of vibrancy has come in options for that. And there is no peak margin especially when somebody pays premium, it's done, end of things and thing beyond that. So that helps, that's something which investors are looking forward to. That's why our volumes are really, really good. And in this

current financial year you see, we have even touched highest options turnover of Rs.62,000 crores two days before. Yes, whenever there is toward the expiry, will go up, after expiry, little it draw off for a particular peak, and again, it will start building the volumes. So, our crude oil contract expires tomorrow on 20th., Today is 19th., So, volumes go down. Again, in the fresh contract move, then again volumes will start building. But on an average, currently, we are about Rs.20,000 crores ADT of the options. But these figures are all there on the website on a day-to-day basis, you can see that. Something which we would like to replicate and we wish to have a similar options vibrancy in bullion contracts. Currently, our bullion is not showing so much of vibrancy. We have options contract for Rs.1,000 crores, Rs.1,200 crores ADT is what is clocking. And so what we proposed and we have got an approval also from SEBI for a monthly options contract and bi-monthly like, there are futures contract which is a bi-monthly contract. So options contract will be monthly, it will devolve into the underlying futures. And the futures would continue. Somebody closes, it's okay. And another monthly options contract will come. So tenor will be reduced and premium will be reduced, maybe we can expect more participation. In a gold contract, if you look at gold, almost all, 50 lakhs, 1 Kg. On 50 lakhs and bi-monthly contract means the premium will be very high, 70,000, 80,000. If you make it off, then we expect good amount of liquidity building to that. We plan to launch sometime in September. So, let's

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see how this pans out. The third thing that we are looking at is to launch new products especially, of course, options bullion is also a new one, but the electricity derivatives contract is something which we are looking forward to, and we are keen that SEBI gives its approval at the earliest. Currently, it is taking a lot of time. And pending our contract, we launch the derivatives contract. If spot exchange are allowed to launch, the forward contracts, monthly, quarterly, yearly, we have been permitted. So, we don't want to lose that potential client base to the forward contracts. We would like the futures to be ruling the roost in that space. So, that is something which we have been telling SEBI. And spot is fine, we are not interested, whatever DAM or TAM, they are doing it is fine, but we don't let this go out of our hand. Supreme Court order says that both CERC and SEBI should constitute a joint committee and then they in turn take a decision. And that decision is not forthcoming. That is the reason why we are concerned about it. And now SEBI is in the driver seat. Hopefully, they will steer it clear. This is one contract we are looking forward to. In terms of distribution, especially the bank broking again continue to be our focus. But generally, the tendency is to compare the commodity markets with equity markets. Now, obviously, people say that you should compare with somebody who is successful, not the one unsuccessful, so that you can keep the bar high. But the success of equities is too high a bar tha

t

we cannot compare it. Because structurally they are different, I mean, that's something is there to understand this. For me, you buy one share of Reliance for Rs.1,200 or something like that or some other share, you are allowed to buy one share, but here, one lot you have to take it, one lot is something which is a delivery unit. If it is a vehicle contract, it is almost Rs.40 lakhs, 1.5 MT, on which the margin is about 7, 8 lakhs. So, it's not the same thing as equities. So, the retail investors to that extent would like to see smaller denominated contract should be permitted in the space. This is something which we are looking forward to SEBI. So, we have introduced first products which are smaller denominations are affordable by the retail investors, then you can look at distribution side in the form of bank broking, the things, etc., bank broking companies which are used to come. Currently, it's about a very small percentage contributed. I think ICICI and Kotak are the ones major at this point in time, and I expect HDFC to start by the end of this year. Because they have to also build their infrastructure and there is a cost to it. Now, unless they see what you call some kind of a minimum guaranteed potential in this market, they would not like to make those investments. So, that is something which is happening and hopefully we will be able to crack that issue also.

Analyst: On the retail side, is there any reason where retail participation is trying to looking high, I would have thought that part, so, do we see the rationale in retail investors investing in one of these?

P S Reddy: I think Indian experience of retail investor participation is something unique. I think maybe even in equities, you have South Korea which is maximum retail investors directly participate, not via mutual funds, this is one, so is China, retail investors directly participate in equities. So, that is the reason why we are replicating it because they are attuned to that kind of system, they are attuned to participate directly. So, there is no risk for them. And again if they want to be a day-trader, they are welcome to do that. And I think that is where smaller contracts help the retail investors and DAM bigger contracts. So bigger contracts are primarily for the hedgers. Now, if

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we compare our market only for hedgers, then obviously, there won't be any liquid. Hedgers just don't do a day trading. And hedgers give away their risk and it is speculators who pick up that risk. So, you need all of them in the marketplace.

Analyst: I know you are not comparing the equities market, but in the last two days we saw volumes increasing in financial investors generally. Do you see the similar trends in commodity markets as well.

P S Reddy: No, I have not seen as much exuberance as it happened during the COVID. But yes, given the size that we have, that kind of multiplicity I have seen, for example, in 2019-20 or even 2018-19, we had about 3,31,000 unique investors who have traded. And I think in the last three years, now it has gone up to 4,70,000 investors something like that. So, something on that hand-roll numbers. So, that is something which happened in the recent past. But earlier, that was not the trend.

Analyst: Can you give us an idea how it's picking up in this, can you give us an idea of or there maybe what is hedging their positions and -?

P S Reddy: Of course, we do get.

Analyst: The new accounts in the last two years, where we have mentioned is participants coming, was that back off?

P S Reddy: Obviously, hedgers will not be in lakhs, especially the corporates and others. Now, the open interest that is kept, is maximum by the hedgers. Just to give an example, in cotton, one of our flagship agri commodities, in cotton, 60%, 70% is open interest is maintained by hedgers. But those hedgers are about 500 as against 5,000 to go up trading.

So, hedgers happen to be big ones, corporates, clients, there is high networth individuals and others, but they are small in numbers. And they are the ones who maintain the positions. But day trading and liquidity is provided by some of the traders and the retailers.

Analyst: I was just trying to ask the number of accounts increase. Is that another metric where your company is monitoring, you go and call big players accounts and they increase the volumes.

P S Reddy: Sorry, I didn't get this.

Analyst: I was asking about the number accounts signed up, do you track, something .

P S Reddy: We have the target and we track that. Now, I tell you, the last year what happened was, because of this peak margin requirements circular and also the very high margins in the crude oil, many retail investors were dejected. If I give you some numbers, they have gone away from those counters, actually number has come down. In the case of crude oil, in 2021, 1,75,000 unique clients were trading. In 2021-22, it has come down to 1,05,000. But, they shifted to options. If Multi Commodity Exchange
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you see the crude oil options, in '20-21, we had 37,000, in '21-22 1,59,000. So, that's a huge shift because the margins are less, you just pay the premium and then trade. Unique clients traded, sorry, in '18-19, I had 3,08,000 and now we have 4,70,000. That's kind of growth we have.

Analyst: That is across options and futures?

P S Reddy: Options and futures, that's right.

Analyst: Just to understand this, lot of the participation switch to options -

P S Reddy: In the case of crude oil.

Analyst: Not other?

P S Reddy: Not other one.

Analyst: That's because peak margin is specific to crude oil.

P S Reddy: No, not specific for crude oil. There is approval for other contracts also. But in the crude oil, the margin itself is very high, 35%. Internationally, it's about 7%, 8%. Because of the negative pricing that happened in March 2020, we had what is called as stress test requirement for keeping the SGF, which is Settlement Guaranteed Fund. When you are doing this stress test results, it takes into account a 15-year high-low of the prices every month on that thing. There was 100-odd or 200-odd scenarios with this. So, because of this negative pricing, if the question comes, if top two brokers were to defer and it is because of negative pricing, they go down, what will be the requirement of a settlement guarantee fund. Settlement guarantee fund is calculated after taking into account the margins. If margins are reduced, settlement guarantee fund has to be increased. Now, settlement guarantee fund is something where we are contributing. We don't get it back in the settlement guarantee fund. Currently, we have Rs.550 crores. Now, if I reduce margins in crude oil futures, then I have to increase it by another Rs.500 crores or something like that. So, that's why we are not reducing it. We are still continuing that same margin, and we have gone to SEBI, requesting them, either you consider removing this negative pricing, because the CME and others are not considering the one-off kind of thing or you allow us to withdraw contribution from SGF as and when the requirement comes. We will give it back whenever that's permitted.

Analyst: As people switch from futures to options, that had any impact on your revenue?

P S Reddy: As I have explained, definitely, it will impact, but it is compensated by growth in the volumes. In the case of futures, today, we are in the last financial year, we had about Rs.26,000 crores in ADT average in the turnover. Our fee is based on the average realization of Rs.207 per 1 crore. That's a transaction. fee. Now, we had last financial year clocked about 7,000 crores ADT of the options. Now, which means it has a revenue potential of almost a one-third of the futures
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turnover. So, options turnover

is equivalent to one-third of the futures turnover in terms of revenue potential. That is what we roll off some kind of thing, we have assessed it. Instantly, in the current quarter... current means the quarter which we closed as well as the current quarter, we are clocking almost 48%, one-third. Now, currently, we are having 20,000 crores of average daily turnover of options which is equivalent to 10,000 crores of futures turnover.

Analyst: That is a negative impact?

P S Reddy: It's not a negative impact. Currently, my ADT is Rs.25,000 crores in futures, then additional Rs.10,000 crores is added to the futures. So, if I convert into futures equivalent turnover in terms of revenue potential, currently, my ADT is talking in terms of futures is Rs.35,000 crores.

Analyst: That is added to it. It's not cannibalized.

P S Reddy: No, it is not cannibalized, and we are not saying the cannibalization. Post peak margin, ADT is settled at Rs.25,000, 26,000 crores. Having settled it, other verticals are growing in the form of options. That options is contributing if I convert into an equivalent to futures, at this point in time as we are speaking, it is Rs.10,000 crores additional.

Analyst: What's the potential for the options business in the other commodities apart from crude oil in precious metals and base metals

P S Reddy: In fact, our crude palm oil contract got suspended, but otherwise, we were to launch in the month of January, that crude palm oil options also. We got the approval, but contract got suspended, so we couldn't launch it. But in cotton, there is a potential. But we have not gone to SEBI as yet, because it is again coming under the clamoring for suspension of the contract. There is a worldwide cotton shortage, but our prices is only going up kind of thing is projected, which is not the case. On ICE also, there is a huge rise. So, we are not looking into it at this point in time, but cotton is another potential commodity. Coming back to the base metals, Nickel debacle in LME has completely eroded our liquidity in the contract. We have asked SEBI to reduce the contracts. As I said it's 1.5 MT which is almost 40 lakhs, the margins are about 20%, it's very high, but people can't afford to it, is reducing. So, that is being looked at by SEBI. We have also asked SEBI to allow mini-contracts in other commodities. Once those minis come, I think we will be again able to do better in the commodity space.

Analyst: So, do you say that the liquidity has moved to LME Nickel?

P S Reddy: LME also did not get any liquidity because of the problem in Nickel.

Analyst: Something has changed as the liquidity has gone somewhere else.

P S Reddy: No-no, people have deserted the counter, because they are not able to take that risk, because it is frozen, every 15-minutes when the circuit filter is hit and no trading is taking place and their

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mark-to-market margins are increasing and margin calls are issue. Brokers say, "I am sorry, how can I get margins from the client?" Almost 16 times in a day on that one day, I think 7th of March, the prices have gone up on LME. And LME could tear off those contracts. But we couldn't do that. We have settled it.

Analyst: Does LME offers smaller lot sizes. You were saying that you had talked to SEBI about bring smaller lot sizes. Does LME offer that?

P S Reddy: Yes, it does, but for them smaller is our bigger contract. Their contracts is 25 MT and 5 MT is smaller. Ours is other way. People ask me We can go on and hedge on LME, we can go hedge on ICE, wherever, because bigger liquidity is there, and currently except in gold, all Indians can go and then hedge, any of the corporates in any other market. So, what is the rationale for anybody to come to you? That's a fair question. So the way that we explain to them is a), our contracts are rupee-denominated. So foreign exchange volatility is already there in

it, in that

sense. The second important thing is so you don't need to hedge one for the commodity, other for the rupee-dollar for exchange. So, 2 legs you have to hedge sitting in India. The second is most of your exposure maybe domestic exposure. We have so many medium and small industries where exposure is within the country, not overseas. Further, international hedge doesn't make sense. Third, the contract size is smaller as against those international ones. So I am able to cater

to these local players. That's good enough for me. Then if all local players join, problem is my liquidity could also increase, then others will start looking at our platform for trading. And at this point in time, it's an exchange situation, you don't have liquidity, so I can't trade. But unless you come and trade, I can't have liquidity. This is the situation we are facing.
Analyst: Do you have any tie-ups or alliances with LME and CME for any products. How does that relationship work?

P S Reddy: CME we have for this worth of crude oil and all energy products except electricity of course. Electricity is going to be with IEX, our domestic contract will be settled on IEX DAM prices. But otherwise, both for crude oil and natural gas, we have with CME. Minimum threshold we have to pay. Over and above, it is a turnover linked. Then this is one. With LME, we used to have LME settle contacts prior to 2019, and SEBI said, "No, you must make it as delivery-based contracts." So, no longer use their prices. But still we have an agreement to use their brands to be delivered on the exchange front. So that is what we are doing. See, currently, what you say, all LME approved brands in the case of base metals are allowed to be delivered on the exchange. So, we don't do separate brand empanelment. So, what we started is in order to provide our platform, being used by our domestic players also, who are not LME registered, we have also started an empanel process for those ones who are not with LME. So, we have done with a Lead. There are four of them. We have done with gold, again, four of the big players including Titan Refineries, and that's an increase. So, our platform also, we wanted to bring into our fold the domestic refineries also.
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Analyst: On the costs side, you see increase in volumes and develop new products. How do you think rate of growth of costs on yearly basis?

P S Reddy: you must have seen also over the years. Our costs have remained around average CAGR of 5% and revenues are growing at 7%. But 7% because of these last two years have built on, but otherwise we don't see cost going up and up. And I keep telling also and I am a strong believer in it, whether it's in personal life or public life, you can't earn a rupee but then at least you can save a rupee in terms of reducing expenses. So, that is something which we strongly advocate. We don't spend unless. And make sure that every rupee has some impact which we get back in the form of revenue.

Analyst: What's your relationship with NSE and BSE Exchanges. How much do you collaborate or work with? How much is the competition or collaboration?

P S Reddy: First of all, I think when unified exchanges came in 2018 sometime back, regulations came and then everybody can trade in a good theme. And there was a fear in MCX, whether the giants like NSE and BSE take over. But if liquidity is such a sticky product, it doesn't go ahead. So, now that fear is, I would say, warded off. But we keep trying still and they have deep pockets, so liquidity enhancement schemes and other things they have given. They did it in cotton, artificially ramped up. we complained to SEBI. We have no problem about it. Then, showing volume is something which is doing it between four, five of them and then morning 10 o'clock to 11 o'clock trade, then no trade thereafter. That's not the way. You are falsifying the data, you are

falsifying the ecosystem. So, that is something which misleads the public to believe that there is something they convey. I think that stopped. So, the point I am making is behind us. Coming back to the energy contract, BSE, invested in Hindustan Power trading, that's in electricity, that is spot exchange and they throw their hat in everything and anything. And efficacy of it, I am sure you must have seen over the years what happened and what has not happened. Persistency, consistency, these are all not there with them.

Analyst: Is there any room for you to cooperate with exchanges may be on technology.

P S Reddy: Maybe on regulations we collaborate, because SEBI says that all of you have uniform circulars, uniform penalties, uniform processes. So, on the regulatory issues, yes, there is a collaboration. But otherwise, we don't do in fact much. That is international bullion exchange we have set up. So that is where we have come together because the IFSC has said that only one exchange will be permitted and all of you come together. So, to that extent, it is good for me, in that sense, it is not taking away my time also completely.

Analyst: what's the actual method used at exchange is it software people rely on or are there any collabs or changes in methods.

P S Reddy: See, there is so many methods in which they impact. One is that we have APIs given out. We have also trader work station which exchange gives. The trader work station cannot be

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multiplied. You want 10 trader work station you have to take them. But through API, they

develop a CTCL, what is called, computer-to-computer link something like that. But there front-end is provided by vendors. So they integrate it and multiply to any number of places, any number of terminals which they do. That is what it is. And all orders get integrated with the broker server and then they come to the exchange. We do directly. The third method is the mobile apps, every broker has developed mobile apps, which also they come. And the fourth one is internet. Now, brokers also have given like Zerodha and other kind of things. There are discount brokers houses. And somebody who wants to play algos and other things, they need to have this kind of CTCL and other things so that latency issues will not be there. But if it is on internet, you want to buy 100 shares of Reliance, and another 100 shares you want to sell, you sell. So that is through internet which also come.

Analyst: It is quite similar to equity exchanges

P S Reddy: Of course, of course.

Analyst: What portion of people goes to brokers to trade in exchange compared to trading directly themselves.

P S Reddy: I'm sorry, I didn't get it.

Analyst: Do people/companies trade directly in exchange or they have to go to broker.

P S Reddy: Everyone has to go through broker, be that equities, be that commodities. Anyway, broker is a must. It's a different matter, somebody may take a membership and then trade their own. Such people are also there, for example, Titan has become a member at industries which is into jewellery and other. So they trade for themselves.

Analyst: What's the foreign participation. Are there any foreign participation?

P S Reddy: There is no foreign participation as yet, but SEBI has permitted, rules are yet to be notified, so SEBI board has cleared that. So, FPI participation will come through.

Analyst: And you think your exchange will have advantage on this

P S Reddy: Whatever decision is taken for our commodity exchanges. For all these years, FPIs are not allowed to participate in commodities, only they are permitted in equities. Now, they are permitted in the commodities. So, there are two clear advantages at this point in time. There is cash-and-carry arbitrage opportunities generally exist. So, they earn an extra 12%, 20%, 30%, I don't know depending on the near month and far month contract expense. S

o they can invest,

take delivery and they can deliver back in the next one or two settlements later. So, that is something which will happen. It's a fund-based activity thing. The second thing is some of the people who want to do international arbitrage, Like Nickel and Lead they are not able to do Multi Commodity Exchange

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unless there is one book. So, now in the form of FII, they institute an FII, they can merge both the books, Indian book as well as the foreign book and then consolidate. Today, they are not able to do it from the tax law point.

Analyst: On your fees per contract. Say trading and clearing fees. How are they amended over time on general direction?

P S Reddy: So, we have only two slabs especially for transaction Fees for equities. It's like income tax law. Up to Rs.350 crores, it's about Rs.260 per crore and beyond that they have to pay Rs.175. So, only just two slabs. Now, we started charging for options from October onwards last year and there also we have two slabs. I think one is Rs.40 and Rs.50 depending on the premium value.

Analyst: what's the talking on the first slab?

P S Reddy: About equity for the futures?

Analyst: Yes.

P S Reddy: Rs.175 beyond Rs.350 crores turnover.

Analyst: How do you determine those fees is there any regulatory thing. Can you change them.

P S Reddy: We can change them, but we have to be very transparent and charge the same to everybody. So, the principles have to be notified to everybody. No, I can't say, that you are an algo player, I give you discount, but he is a retailer he will not get discount, that this issue will not be there.

Analyst: You are charging Rs.260 crores now, what will be that in five years?

P S Reddy: It will by and large remain the same. The other way, now with the increase in the business from algo players, in fact, currently, Tower Capital trades on, Jump trades substantially. And then Hutson ... has come. Isn't it? Another one is Citadel taken membership. As they are increasing They are saying that you must reduce the fee because algo players want lower fees so that one more tick they can go down. There is a lot of pressure. So that's why we are saying, okay. And would like to have it to be a volume-based business than tariff-based.

Analyst: is Algo contribution to volumes is about 40%?

P S Reddy: I think it is 65%. In equities it is much higher.

Analyst: (Inaudible)

P S Reddy: Yes, because jump has started only last year. It's not volatile. More the liquidity, more their participation.

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Analyst: Your market share number, they are basically 100%. But on agri commodities they are about 17%

P S Reddy: Agri?

Analyst: Yes, which other exchange

P S Reddy: NCDEX is about Rs. 2,000 crores ADT, that's all, nothing else. So, far less. That's how the overall market share of MCX is 93-94%.

Analyst: Inaudible...

P S Reddy: See, I think the capital that we have currently is mostly kept, keeping in view some of the future requirements that may come. One is that SEBI may likely to permit we don't know when co-location. So you need to provide a much bigger data centre space to host lot of servers of this thing. So, that will be a big expense. We are also planning to get into various spot market, spot trading's subject to SEBI's approval of course. So, that requires again a lot of capital, isn't it? And for a rainy day also we need to keep something because almost as per our dividend distribution policy, almost 75% of earnings are being distributed every year, in fact, last year before last year, almost 90% we distributed. So, we are not keeping anything more. Whatever we had in the past, that is the only thing which is being accumulated in terms of return on those investments. Whatever in the recent past we have earned, almost all distributed.

Analyst: So if you need Cash on Spot markets?

P S Reddy: Spot markets. Co

me again?

Analyst: Will you reduce dividend

P S Reddy: No-no, dividend, we will not, we will continue to pay whatever. But whatever cash lying in the account, that will give ... (inaudible)

Analyst: Thank you very much for your time. Appreciate it.

P S Reddy: You are welcome. You are our most valued investor. Stay invested. We will do our best to ensure that company is run well.

Call: Aug 2022

MULTI COMMODITY EXCHANGE OF INDIA LTD.

EXCHANGE SQUARE, SUREN ROAD, ANDHERI (EAST), MUMBAI 400 093, INDIA. TEL: +91-22-6731 8888, FAX: +91-22-66494151, www.mcxindia.com

CIN: L51909MH2002PLC135594, info@mcxindia.com MCX/SEC/2095 August 25, 2022

The Dy. General Manager

Corporate Relations & Service Dept.

BSE Limited,

P.J. Towers, Dalal Street,

Mumbai - 400001

Scrip code: 534091, Scrip ID: MCX

Subject: Transcript of calls with Investor/Analysts

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 read with the SEBI (Listing Obligations and Disclosure Requirements) (Second Amendment) Regulations, 2021, please find enclosed herewith the following transcript of the call with investor/analysts:

Sr.

No Investor/Analysts Date Time Annexure

1. Ocean Dial Asset Management August 18, 2022 02:30 p.m. Annexure - A

The said transcript is also uploaded on the website of the Company at <https://www.mcxindia.com/investor-relations/ir-meetings>

Further, we hereby confirm that no unpublished price sensitive information was shared/discussed during the said meeting.

Kindly take the same on record and acknowledge receipt.

Thanking you,

Yours faithfully,

For Multi Commodity Exchange of India Limited

Ajay Puri

Company Secretary

Encl: As above

Page 1 of 24 "Multi Commodity Exchange of India Limited"

Meeting with Ocean Dial Asset Management

August 18, 2022

Disclaimer:

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This document may contain "forward-looking statements" – that is, statements related to future, not past, events. In this context, forward looking statements often address our expected future business and financial performance, often contain words such as "expects", "anticipates", "intends", "plans", "believes", "seeks", "should" or "will". Forward-looking statements by their nature address matters that are, to different degrees, uncertain. These uncertainties may cause our actual results to be materially different than those expressed in our forward-looking statements. We do not undertake to update our forward-looking statements.

Annexure - A

MCX India Limited

August 18, 2022

MANAGEMENT : MR. P. S. REDDY - MD & CEO, MCX
MR. SATYAJEET BOLAR - CHIEF FINANCIAL OFFICER, MCX

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Analyst: So, I think you know about us. Do you know about Ocean Dial, right. I mean we don't need to introduce ourselves.

P. S. Reddy : That's why I told them that

Analyst: It's always nice to meet in person, you know some... nice to see that you've started meeting in person. We've also learned as far as possible we insist on, if possible if the management is agreeable to actually go and meet personally, you know so.

P. S. Reddy : It makes a lot of difference, it makes a lot of difference.

Analyst: So just a bit of background. We have two funds. I manage one, manages second, the group has long history of MCX. My son currently owns this historically, within his earlier job he's been a big MCX fan when he came in the first stock, he bought was MCX and I kind of followed him a bit. So really, we are just great meeting you. We like the business and our idea was really to give us this long-term perspective of where you see yourself. Just a number last 10 years you've kind of be inversely flat. Lots of reasons regulatory etc. but this is from behind.

Analyst: Yes. Exactly, if you look at the last 3 years, your turnover has been around 400 crores odd around that, run rate is about 100-110 crores or so. We understand reasons, agreed. Our whole interest is to understand from the next 3 to 5 year perspective what are the prospects for growth in terms of the size of the opportunity for you. Because we know that there are three pillars. One is the distribution part. A lot of things have happened, okay. The second is the number of participants, the nature of participants like recently FPIs have been provisionally allowed, I guess. And the third is the products. You've launched lot many new products and all. We would request you if you can take us through these three blocks as to how, what has happened, what has not, what you are not happy with and what are the possibilities in each of them and in future what are the other possibilities, of the distribution, the product part and the participant part I guess that could help us?

P. S. Reddy : Sure. Coming back to the products part of it which is something that we can do all the time and which is in our hand. And that is something which we have been looking at and electricity futures is something which we are looking at. We are major growth driver on the energy side because going forward energy is going to make a difference. And there's also a kind of a thought that you need to pay premium from renewable energy source, this one electricity generated to renewable sources. Then that is something which we may launch another contract also that is where we can say that and now carbon credit is another thing that is coming. I think these are all areas which will help in generating this particular business, especially the energy sector. That is one major thing that we are looking at. The second thing is, this again is a temporary but then it gave an opportunity to just keep into the Indian market, thanks to this Ukraine-Russia war and some of these companies in those areas are also looking at it whether I can use MCX platform including the Rossall, okay as well as the one Rosneft. There also we have an office in Delhi. They are

inquiring how we deal on MCX platform and other. These kind of things will help us bring them and then see what we can offer. I think I understand this is a kind of event maybe once in a blue
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moon happened this kind of war and other things when people will start looking at it how we realign our businesses vis-à-vis what is available I mean where we can be reached off. So, the participation wise if you ask me, then we would like to be not just a pan India platform but it should be catering to most of the Asian countries, Asia and Middle East country. Now it requires a much-much what should I say, much broader policy change. Okay

. It's not just in the form of

FPIs and other things and even those players who are in those respective domains, jurisdiction, they should also be able to participate and they all are FPI in that sense, you know. They will not be rejective as an FPI with Indian government or anything like that. Today probably to trade on LME you don't need to go and register in their local jurisdiction, the regulator and all. Just go to the broker and then give him all your KYC and do it. Something of that kind is what we look forward to. I think that if those things happen, there's nothing like that. And yeah, FPIs, I mean usually people ask me how does FPI help you, okay? Because FPIs have other markets also to hedge or participate. There are 2-3 areas or 2 areas specifically where they can only do here but not elsewhere, okay. Every market has cash and carry arbitrage okay. So, cash and carry between the two contracts, few contracts near month and far month kind of these. So, they have to actually come here, take that interest rate, interest difference I mean between the near month and then far month and then participate. The second one which we are looking at is that the international arbitrage earlier used to happen I would call rampantly, maybe unregulated and Indians only are doing there and here and then only one book they are maintaining and they faced income tax problems and other things. So, we're discontinuing that, through the FPI route. Now they can do a domestic as well as international arbitrage. That is something which can happen, okay. They still have one single book and they can off-set the profits and losses which are often between the, across the markets to put it that way. And then still participant benefit from this. So, this is 1-2 direct benefit that we get, still once our market grows, okay probably they can see other opportunities also. If they have any commodity exposure, they can definitely take exposure in the derivatives column. This is one area of participation. The another area of participation is the hedges themselves, the physical market players. That's a huge scope. But the problem is banks don't understand, the hedgers themselves don't understand, okay. And understand, not having understanding pardonable, not willing to understand is unpardonable. That is what the problem with us is. So, we are breaking our heads with many bankers, many of these people. And if they lose in the physical market or gain here 'okay profits hai ye satta bazar hai' and then they lose here and then they gain in the physical they don't look at it. Anyway I would have got the benefit actually I lost my money which otherwise I would have got, it is the way they were talking, they have to add up basically, they have to add up, that's how exchange is no loss no gain situation which the culture is not there as yet. They are not looking at the value addition which they get it as a profit. They are looking at it and the material itself, the raw material itself should be if it will fluctuate then they should make money out of it. I mean I don't think.

Analyst: So how much would be the physical market players and hedge business related...?

P. S. Reddy : Most of the open interest is held 50% to 60% is where adjust on. Open interest is generally held by them, so whatever open interest you are seeing is that...

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Analyst: So that algo and the speculative part of it....

P. S. Reddy : They don't, they close the both positions at the end of the day. If at all there is left out, little is left out but mostly.

Analyst: So how can this now just be changed? I'm sure the responsibility lies in terms of educating these people and training and all that.

P. S. Reddy : So, we are doing that only essentially and also, I mean various ways of education. That's the way it is. Once we organize the CFO's program and then giving them one day workshop free of cost of compan

ies' product, what you call material managers CFO's etc. and we ran it for 2-3 weeks and thereafter no interests have come. So that is something which we are not able to break it that conundrum. I think what we are at this point you know asking is the bank broking companies are there we have, we are asking them you tap your banking corporate client accounts and then go to them, explain and tell them that this is the way we can do it. We will join you, if need be,

okay and we will explain to them, so that connect will help. Second IPA we have written and then banks also individually we have written, telling them they should tell their clients who have exposure to commodities to hedge on the exchange. Even their loan is secured in that sense indirectly. Okay.

Analyst: the physical risk clients is still there.

Analyst: What sort of companies are you talking about, the clients? These are the small and medium enterprises or are you saying the large companies also have this problem.

P. S. Reddy : Yeah, large companies also are having problems. If you see the what you call the disclosures under the listing agreement in their annual report companies are making, only 10% or so. How much is the percentage? Very less who are hedging, who are actually acknowledging that we are hedging, many said that we don't

Analyst: They take directional bets.

P. S. Reddy : Yeah, yes.

Analyst: They take directional bets.

Analyst: Not taking is impact that itself is a speculation.

P. S. Reddy : Exactly.

P. S. Reddy : So, coming back to this, so we are at different levels we are asking them to pursue this, okay.

For example, we have gone to SIDBI, told SIDBI that your main focus is to protect these SMEs, MSMES, okay. You may be indirectly or indirectly extending the loans and that will go down

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the drain if they don't take proper risk management measures. So, we have conducted some webinars with their, to their clients also. So, it's a continuous process, put it that way.

Analyst: Right?

P. S. Reddy : And for example, there is currently so much clamor, so much clamor for suspending our cotton contract. Okay. Now, no, no cotton prices are going up. But then somebody we have recently organized a textile advisory committee members and our product advisory committee. One of the members have pointed out if thermometer is showing temperature you don't break the thermometer, you know, so you better treat the you know cause of it. Why there is a, why there is fever. So, you're doing like that asking us to suspend the contract. It doesn't help because there is a cotton production, there is a deficit in this current year. I mean season is ending in the month of August-September so prices are going up. And yesterday I was reading this one, even the US cotton crop I think Texas is the state which is submitting supplying a maximum contributing to the US. There is a deficit because I think in the last decade never did it happen that kind of deficit that they're facing it. The ICE prices also gone up by 6%. The point is it is reflecting what is happening on the ground. You should see that message, hedge it. Why are you not hedging? The question is that. You are asking an instrument which is meant for you to defend you and you are asking that to be suspended. No, no because your prices are going up we have to buy in the physical market at that price. So that's not my problem boss.

Analyst: Fair point. On the paining side, pre-COVID, you used to talk a lot about the number of sessions you did in the previous month.

P. S. Reddy : Yeah, still we talk.

Analyst: I don't hear as much.

P. S. Reddy : 2008, (+500) are organized. Okay but now a combination now, earlier only webinars. Now webinar cum physical awareness, physical awareness programs, 2500 we have done. That's what gave us.

Analyst: Significant budget allocated towards.

P. S. Reddy : By and budget is paid

out of the IPF. So, we have about 10 crores is the IPF which is used. We have an ISF of Universal Service Fund, from that also we pay for it. These advertisements and others come from the IPF, is that correct? And ISF is used for investor webinars and other things like booking a hall and all that kind of.

Analyst: In the case of the participant part of what we are discussing, the challenges to get more of these physical and the hedging...

P. S. Reddy : That's the only thing. They keep coming, speculators will anyway come. You don't need to make any attempt to bring speculators on to the platform

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Analyst: But beyond this FPI and all I think you don't need any further expansion on that.

P. S. Reddy : Not required. On the mutual fund side there are certain regulatory what you call clarifications needed that is not coming through, that is another way of submitting it. And mutual fund industry itself is happy where they are because they are earning a lot of money and out of equity, so they

are okay. They are not looking at commodities. Now that is...so what I have requested I think Mr. Bala. Balsubramaniam has agreed to contribute a commodities committee within AMFI so that some focus will be there, people will be discussing it, what's happening in commodity markets that will happen shortly that's what my hope is.

Analyst: So, on the products because we have discussed today, there is a mention of a product committee that you have. In anyways when we meet you....

P. S. Reddy : Product advisory committee.

Analyst: Product advisory committee.

P. S. Reddy : That is for each product.

Analyst: Okay, so that's not....

P. S. Reddy : You have one for cotton, one for... that is the SEBI's rule.

Analyst: Okay, so I was assuming that this is like the innovation bit like you should market it separately to come up with no.....

P. S. Reddy : No.

Analyst: So, this is like for every product.

P. S. Reddy : Whenever you, like for example aluminium alloy contract we are doing, so we constituted a committee with the value chain participants of that product. So you have OEMs who use the wheelbase's aluminum alloy, actually most of these automobile sector and there are some traders in the physical market and refinery processes are there, all those are the ones who form part of.

Analyst: So, on the product side sir what is the potential? I mean I know there are a few products waiting for approval including the electricity Futures and all that. What is the status on that and existing wise what is the scope? I know options have done very well. We'll come to that but maybe if you can on the future products what is the potential and how big and we have waited for long for the electricity to just to happen and what is the status out there?

P. S. Reddy : That's right. Patience is running out, not only for me but even for my investors. Just before I came here, I finalized another letter to SEBI asking them on the electricity derivatives contract approval, okay and we said also in that letter, we accused in a sense, very maybe very stealthily MCX India Limited

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that by delaying it you are helping the spot exchanges to launch futures contract, forward contract with one month, one year, three months and other things and take away the domain of the future exchanges. That's the way we are telling SEBI and they are also feeling that but every time CERC says, no, no I need to understand this product better, I need to understand this product better, organize some webinars or some meetings with some of the industry participants. But we have arranged a webinar with European Exchange (EEX) and we have arranged another meeting with Statkraft, okay. You must be knowing, you must have heard of them and RWE some, they're all leading players. So, we have organized them, they know it but still they're pretending ignorance at this point in time. So, if th

e SEBI just to wake up and then say no you're cheating on me.

Analyst: But where is the pain point, is it IEX which is not very keen to....

P. S. Reddy : No, no. It is the CERC which is delaying it.

Analyst: That's it.

P. S. Reddy : They are a part of the joint working group, the members of the joint electric board that's the way I look at it. But we are, we want this to be cleared at the earliest. And we submitted in lost October 20 or so, 2020 we submitted our reports. It's too long.

Analyst: I asked about IEX because IEX has been allowed for the forward contract now.

P. S. Reddy : But there are so many others.

Analyst: If they have a,

P. S. Reddy : No, it is not because of that. I'm not looking at because we have a relationship with them.

Analyst: Sure.

P. S. Reddy : Okay, we are going to settle our contact on IEX prices.

Analyst: On the DAM.

P. S. Reddy : That's right. That's right. So, but everybody there is Hindustan Power also has come. There is a Power Exchange, PXIL is there. Everybody who wants to launch. Hindustan Power was also inaugurated where BSE and others have....

Analyst: How confident are you on the approvals coming through very soon?

P. S. Reddy : It should. Enough of time is lost. It should get it in this quarter.

Analyst: This quarter itself?

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P. S. Reddy : This quarter itself or maybe maximum one more month if they have to work.

Analyst: How big would that be the opportunity theoretically speaking as of now?

P. S. Reddy : It will take some time for us to make sure this because the physical markets are the ones physical market players have to make the maximum play here.

Analyst: Yes.

P. S. Reddy : If CERC puts conditions on them participation, on their participation then we will have a problem. Okay. No, no you can't hedge your PPE contracts also on the exchange. Why shouldn't they, why shouldn't they take advantage of. Then we will continue to supply the power at whatever agreed price. But if they are able to make some benefit out of this market then why not do that? Okay. And there is sometimes, at times there is surplus also and they should be allowed to participate. But I think it will, there's a lot of excitement on this. There is lot of excitement. We have made (+50) meetings with each one of them one to one basis. ASCI, that is Administrator Staff College of India in Hyderabad, they conduct programs for this DISCOMS or GENCOs etc. for their internal staff and other. They invite us as one of the speakers. So that is the way that we are able to reach out to the ecosystem. So coming back to the product, yes, this is something which we, the big opportunities is what we are looking for in terms.

Analyst: In terms of let's say EDTV on electricity Futures what could be the potential size?

P. S. Reddy : I think the numbers.

Analyst: Would it be 10-20-30 what?

P. S. Reddy : I will not be able to give those numbers.

Analyst: It won't be small though.

P. S. Reddy : No, our ambition is to make it big. That's all I can tell you. Our ambition is to make it big.

Analyst: Sure. Sorry I interrupted you. I'm sorry.

P. S. Reddy : No, no. So, what I'm saying is this is one growth potential area. Metals is, base metals is another big area that I'm looking forward to. And I think some I mean again, these are all the cash settled contracts, so there's no problem of GST and other things. When it comes to these base metals and other things, GST is a big bail point for us. While we are trying to address it, we are also looking at is there any other way we can do the business? Okay, so one way which we are debating and discussing at this point is that free trade warehousing zones are permitted within the country also. Okay, so if we have north-east-west-south kind of thing free trade warehousing zones are there. If participants can take delivery there where there's no GST, no customs and other things and our p

rice we will reflect as ex-customs, I mean what you call a free on board or
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whatever you, FOB price kind of thing. Very clearly telling that anybody who is taking deliveries, they should pay the customs and then bring it. So that is something which we are working out and because this free trade warehousing zones all those are '19-20 are approved but actually in existence or in activity there are about 2-3 are there and so we have already tied up with one Arshiya at Panvel and that is something which is just started very recently about two months. Hopefully we'll get more. As I said we are looking at some of these European countries, east European countries if not and some of them may want to deliver then they can deliver here.

Analyst: Anything else on the product side, potential wise?

P. S. Reddy : Sorry.

Analyst: Product side or any other potential steel.

P. S. Reddy : See the index options is something which SEBI has recently has come out with, thanks to the Nickel contract which has caused a lot of dampness in the Nickel futures contract also. If once that product, is I mean we have approached SEBI to change the contract specifications. Currently it's 1.5 metric tons which is very high and the payment of margin on that is another 20% means about 7 lakhs, 8 lakhs ho raha hai. We have requested them a smaller size so that it is acceptable to the market participants. SEBI, if they say yes then again, we will revive the underlying futures contract. Then index futures will be active. Then we can look at this. Unless there is enough volume, we would not like to launch the options on index.

Analyst: Right. So same with the GOLDEX

P. S. Reddy : GOLDEX currently GOLDEX is to....

Analyst: So, are you surprised with the way options volumes have gone up? Is it faster than what you are...?

P. S. Reddy : It's a pleasant surprise no doubt about it. And we didn't expect so much when we budgeted for less of course. That's our usual way of working. But yes, in fact yesterday it clocked the highest turnover, 62,000, is it? Options highest day before yesterday, highest turnover clocked. But we would like this to be spread, you know.

Analyst: Yeah, it's largely energy.

P. S. Reddy : It's largely energy.

Analyst: Crude oil and natural gas.

P. S. Reddy : Crude oil and natural gas. And now we would like to introduce a monthly gold options contract

by-monthly gold futures.
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Analyst: One kg, right.

P. S. Reddy : One kg that's right. So that should also help us to see good amount of rating.

Analyst: What could be the potential, where do you think the options volume can settle down at? The reason I will explain what we are trying to understand out here, from a revenue perspective you know, we were looking at the equivalent of futures. So, what should it be, it should be 2.5-3 times of futures going to be neutral vis-à-vis future other options?

P. S. Reddy : As I explained we thought it is only 33%. Okay, options get me 33% revenue of futures. But it so happened that I got 48%.

Analyst: Yeah.

P. S. Reddy : You know in this quarter.

Analyst: So where do you think it will settle and what is the right thing to...?

P. S. Reddy : I would like it to keep it as 33% revenue. I know if anything that extra comes is bonus. You know that's the way it is and because currently whatever trading that is happening, it is happening in the money, close to money, at the money kind of thing. But...

Analyst: Premium is high.

P. S. Reddy : So, premium is high so we will get higher. What happens index futures and other thing elsewhere, what is happening, bank index? So, it is far away from the money. So that is pure speculation. But here that's not the case. That's where we are getting good.

Analyst: Because I think your aggregate volume if I were to add on futures ADTV the options converted to futures let's

say aggregate is higher.

P. S. Reddy : So, it is about 35,000.

Analyst: So it is actually much higher than pre options and all that.

P. S. Reddy : That's what I am saying.

Analyst: There is no cannibalization anymore now.

P. S. Reddy : Yeah

Analyst: But where can it settle? That's what we are trying to understand because see that some of our...

P. S. Reddy : Why do you want it to settle? Actually, you should keep growing.

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Analyst: Of course, we are coming out of phase of at the aggregate your top line has been flat for the last 3 years. So that is where we are trying to understand that have you reached an inflection point or is it something we are missing or what is it that is holding you back even now or something like that? you know just to understand that context sort of. Like for example when do you touch a run rate of 600 crores or 700 crores per year in that way?

Satyajeet Bolar: Don't forget after PTC '19-20 was the best year.

Analyst: Yes, yes, agreed, so I am not referring to pre...

Satyajeet Bolar: we had the COVID.

Analyst: Yes.

Satyajeet Bolar : We have to keep that in mind.

Analyst: In mind yeah.

Analyst: Or followed by peak margin ratios, all these things.

Analyst: Peak margin, no, so we understand the reasons. There were specific reasons. So our point is that now that we are out of it, are we sitting at a threshold of a sharper rise in your ability to transform all these things into business?

P. S. Reddy : My focus would be more and more on futures. Okay. That is the base because options are on Futures.

Analyst: Correct.

P. S. Reddy : So, we would like to continue to grow the futures and then launch options contract on it. So, then it will pick up on its own. That's the way which has happened. So we would like the options contract to I mean the futures contracts to grow. So that is where I would like to have more and more participation from these participants.

Analyst: Interesting.

P. S. Reddy : And that's the way I look at it. I'm not having a target as such for options. I don't know when options will stop and that is the way it is you know to stop doing as much as it did so far. But we would like SGF cover related issues to be addressed by SEBI which we are expecting sometime in the month of, in the end of this month or early next month is the RMRC meeting scheduled and in that meeting if this approval comes then we would like to contribute more, reduce margins, then automatically even futures will also.

Analyst: Interesting, so most of your issues are more regulatory related.
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P. S. Reddy : More regulatory related.

Analyst: That's what we had discussed last time.

P. S. Reddy : The mini contracts for example I mean there's no reason why they should step in and do all these kind of things. They will just simply stop mini contract. What is your problem? What is your problem? We have made a presentation, a Venn diagram, made it exclusive here this, exclusive mini contract has so many participants, common out this thing, okay who are participating in both the contracts. We've given all that presentation for each product wise. Okay. And anyway, there are some Utopians in what you call CD, what you call, what is that commodity advisory, there is a CDAC. Okay. And like what is the name, anyway members are there. No, these are all speculators, speculators. Arey without speculator nobody will survive, why don't you see that? Who is taking the risk. It is the speculator who is taking the risk and hedgers are actually giving up the risk. They don't appreciate that point.

Analyst: The speculators are required to bring liquidity and liquidity in the system.

P. S. Reddy : Yeah.

Analyst: For any market you require speculators.

Analyst: Yeah. That's a fair point.

P. S. Reddy : Yeah. We are candid about it. We are not ashamed of telling the s

peculators are needed and it

is, they are everywhere.

Analyst: In terms of this IIBX, you have been saying that it is actually beneficial to you and of course that's a spot exchange. We understand that. But is there a...do you think IIBX per se is a very strong contender for very large amount of volumes out there or it will take time?

P. S. Reddy : We expect almost all the imports to come via this IIBX only and the kind of regulatory framework is made is also conducive for that type of development. So, there are qualified institution, qualified jewelers or even today also some regulation has come for jewelers. Almost 70-80 of them have already become who are major players. They want to import via this. Okay, canalizing agencies are going to be an history. That is the way I look at it. Because they are not be able to compete with an exchange kind of like this. Then the only thing at this point in time we are yet to get confirmation is from bullion banks, some of them like JP Morgan and others, that they too should take membership and then say that I'm delivering. Currently they're participating to via-via kind of and we would like them also to directly participate, put their gold in the vaults in GIFT City and then say that now I will start functioning from here. So that is something which regulatory is also lobbying with the seniors in these bullion banks. So, people have to and in fact some of the and another thing has happened. Thanks to economic sanctions. LBMA said these refiners are not eligible. Okay. Now not because of anything else I mean just
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because of sanctions they said they are not eligible. But then they are, for all these years you have accepted them as having good processes and all that kind of things. So, they are looking at.

Analyst: Interesting.

P. S. Reddy : And one guy has come here directly and then said they had discussions with our this one Cloud we use it because we are a stakeholder, no there in IIBX.

Analyst: 20%.

P. S. Reddy : Can you help us, how you do this and all that. So, we have a handheld, so some of the refiners are willing to deliver there.

Analyst: Do you think the shifting to India and you know there's been a lot of noise about this in the papers and movies on there and inaugurating all this. Do you have a rub-off effect on the commodity exchange with participants being added but it's just two very different markets altogether?

P. S. Reddy : I didn't get the question right but is it that rub-off in negative side?

Analyst: On positive side.

P. S. Reddy : Positive side. All the MCX.

Analyst: Yeah.

P. S. Reddy : But

Analyst: Just in terms of more participants looking at commodities per se or it's just a very different people who just import.

P. S. Reddy : No, publicity helps no doubt about it and gold publicity helps more. Because when women also look at that and then try to take a bit of that and we have also started...The people whether they are importing via IIBX or whether they are importing to canalizing agencies, once they import

the hedge on the exchange, you know. Those who want to hedge they will do that. So going forward also they will continue to do it even if they do the business via IIBX in all in all. The only thing is publicity helped but we are also in a sense integrating or bringing in wherever possible the spot exchange characteristics or spot exchange what to call futures related to the delivery and other things into the futures market also. So, we have recently asked our vault, one of the vaults have given quotation doorstep delivery of gold. Since we have 1 gram gold, 10 gram gold, 8 grams and 50 grams, 100 grams which I think medium to other small can always buy it on the exchange and take delivery. Okay. Now brokers also, those brokers who are not actively looking at commodities I think with the gold the door will open for them to get into the MCX fold because

use their customers currently may be going to the banks to buy the gold coins or

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something like that. They charge Rs. 700-800 or Rs. 1000 or even more, I don't know for delivery of that coin. On the exchange platform if the broker has got 25 customers or something, 10 grams to 150 grams or something, it comes to Rs. 10 per gram. Okay so hardly any money in that sense what he pays or even much, even less, even less that is what we are charging minimum so much guarantee then I will give you fixed price that's all. So, it doesn't matter. So, they are doing it. I think we would like to spread that awareness through social media and others. So, coming back to IIBX, it's not just that but I think independently also we would like these products to create that awareness.

Analyst: So, nothing more on the product rate you will discuss everything....

P. S. Reddy : Yeah, I mean steel TMT bars and many others we wanted to introduce it. And one more thing also, we are not giving enough time for each of the products to mature also. Okay. It's like releasing something and ribbon cutting ho gaya to chalu ho gaya. No that's not the case. It takes time for the contract to mature. And brokers say that if you launch because for me at the end of the day, I go to those only 500 brokers who have, okay, that will not increase it. Because currently the only 500 are active members. It can happen even at 600 nothing beyond can happen. And in fact, consultation is also taking place. A lot of members are surrendering. And so, these very guys keep saying it how many contracts have to promote for you? That's the way it is coming. I think yeah, we need to give some time for them.

Analyst: Yeah. So, your existing products like the index futures then of course that will be followed by options in the index future and of course the options on the gold side because there is a lot of work out there.

P. S. Reddy : Yes. Usually, people tempted to compare with equity markets our base and other thing and that's where you are not grown and other thing. But I think we tell them give us time to you know grow. That's where it is I don't think you can compare us and again it's quite different customers in the case of equity, balance sheet is the same. In the sense the earnings per share, earning per share means the same definition and everything, revenue, okay whatever is that before sectors are before verticals that's not the case here. Each product individual investors have to understand it. If he is taking delivery then he has to get into the nuances of GST and all that. That's not the case with equity. And more important you just buy one share Rs. 200, Rs. 1000. That's not the case here. Our lot size itself is few lakhs.

Analyst: True.

P. S. Reddy : So, people ask me why you don't have annual equity investors here which is commodity market. It's a different ball game altogether.

Analyst: On the distribution side sir, you were talking about the bank brokers sometimes that has not grown much, right? Still a small portion of your business. What are the challenges out there and where do you think it can go? Because there was a lot of excitement earlier that this will be like a big thing in terms of reach and....

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P. S. Reddy : We are able to put everything in place as far as ICICI Bank is concerned, ICICI Securities. They are full-fledged now. They are marketing everything. HDFC is not online as such. When I say it's online. Online training platform is not offered to the retail investors. They are undergoing a change. They called it a Sky or something like that. By the end of this year, they are launching. Once that is launched again, we will be a part of that. Okay. These are all related to system changes. Then you have Axis Bank. See I mean there the focus is less but better than HDFC at this point in time. And SBI again

in they are changing their systems and theirs is also happening that way. Yeah.

Analyst: How much are they?

P. S. Reddy : Come again?

Analyst: How much are they, they are not very big, right, bank brokers?

P. S. Reddy : Axis is not very big; Kotak is the best.

Analyst: Sorry?

P. S. Reddy : Kotak Securities. But Kotak has got a lot of the I mean the HNIs and a lot of what you call corporate clients they have. That is where we are telling others also, you please tap your banking letter authority. Bring them here which they have to do that, they should be having the drive.

They say that unless I have a proper platform I can't go and then tap and then give a bad experience to the customer is what they are answering. SBI is a monolithic giant elephant rather, not able to move them. But they never said no to it. That is one thing which is being but otherwise yeah, Yes Securities is doing it, HDFC Securities as I told you it's less but then that will happen. Yeah, ICICI has exceeded the even Kotak also. That's where it is.

Analyst: So, it basically has....

P. S. Reddy : For the first time.

Analyst: So ICICI and Kotak are the main ones.

P. S. Reddy : Major.

Analyst: And how much would that be? The bank broking business as a percentage. How big is that as a percentage?

P. S. Reddy : No, banks it will be about 1000 crores out of 25% that's where it is.

Analyst: Still very small.

P. S. Reddy : Still very small.

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Analyst: But has the potential to actually grow quite well?

P. S. Reddy : Grow. That's right.

Analyst: And this is basically only from two banks largely?

P. S. Reddy : Largely two.

Analyst: Largely.

P. S. Reddy : Largely two. Axis is active so is Yes Securities and Kotak Securities, HDFC small still.

Analyst: Interesting. So, there's a lot of potential products yet to become more successful. Probably the bank brokers yet to do more in terms of the pipeline of what can happen. It's all about execution with the help of regulatory support in that sense.

P. S. Reddy : Yeah.

Analyst: Just one more question was in terms of, is our understanding right that with the TCS contract your variable cost essentially comes down drastically. Your P&L becomes more fixed cost heavy, so any improvement in your overall turnover business can have a substantial operating leverage impact. Is that fair to say or...?

P. S. Reddy : See at the current ADT of, not 35,000 crores, it's about 30,000-35,000 crores which was last year and now there won't be any improvement.

Analyst: That's right. That's you have been saying.

P. S. Reddy : I have been telling. But once it grows up, that impact, I mean part of that is not taken away by the technology. That's one part of it. Second, even instead of incurring a variable cost we were doing the rough, the depreciation is something which is taking away a lot of our work. So that happens for 5 years or 6 years thereafter even that will go away and there will be a completely one single what you call, fixed cost pro forma of a what you call AMC, that's all.

Analyst: So that's what I'm saying. Your P&L is moving, isn't it? Earlier there was a large variable component which was linked to the turnover which was the software expenses. You had salaries and other expenditures, salaries by definition, by or rather character they're largely fixed, not necessarily moving with the turnover. Now a large part of your costs is going to be completely fixed in a way in capital wise that's a big step change, isn't it? That understanding is perfect, right? So as sir said that you have a tick on your, on the turnover. The impact can be quite visible out there. But at this level of the turnover you are saying, there is no, it's better not to assume any impact only on an incremental basis you have to be because your depreciation cost will be higher, so your EBITDA margin will move up sharply, very sharply actually by

15 percentage

or something

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Satyajeet Bolar: Of the platform plus the hardware would be.

Analyst: Correct.

Analyst: In one of the conversations, I think I mentioned that probably there would be no outgo in TCS

for the next one year.

Satyajeet Bolar: Because it is under warranty. Once you go live, so that should be under warranty.

Analyst: So, there would not be even the AMC cost for the next month.

Satyajeet Bolar: Yeah.

Analyst: So actually there could be a year wherein there is no cost even from 63 Moons, the variable bit and the fixed bit of...?

Satyajeet Bolar: See there were other costs, there is a term application license. all those would be....

P. S. Reddy : Like Red Hat we have to pay .but more important is whatever contract we have structured with TCS, it is 1+5 years contract, all it is lumped into that, okay, including AMC, okay.

Analyst: Sure.

P. S. Reddy : Thereafter we have mentioned this much is the AMC, which is a single digit figure or something like that.

Analyst: Just a clarification sir, here single digit when you say like single digit in rupees covers and not as percentage is what you are saying.

P. S. Reddy : Percentage of?

Analyst: Percentage of the AMC.

P. S. Reddy : AMC that is what the license fee and implementation initial contract per quarter.

Analyst: And the amortization is 8 years.

Analyst: You're fairly confident by December it'll be then running live.

P. S. Reddy : It has to boss. That is what my determination is. I've been led down the path to believe that it will happen by august end and other thing and I'm not able to see that. And we have taken up the senior most associate, Chandrashekhar itself, TCS boss. They are moved up and they are able to fix some of the bugs. That's the whole problem because ACM platform is of the German platform. Banks they have different file structure per month, they have mapped it but still some bugs are coming. Something should flow from banks to TC1-TC 1 to banks and for trading. That
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integration issues are challenging so but they are addressing it now. We are in a comfortable but let us see by the end of August or sometime in the middle of September they said we will give it then we will need 2 months to do the.

Analyst: In the meanwhile, has 63 Moons replied to your request for extension?

P. S. Reddy : See, they're still evaluating the request. We have looking at also plans, stable platform. One is that 63 Moons will not shut down anytime in the last 3 years. Once in a while some problems will come related to some file upload, field and other so you once again upload the file then it will go through it. That is what the kind of database level issues once in a while may come and we are requesting others also whether they can support it without touching the code. Obviously, we don't have a code anyway okay, whether they can fix the problems as and when it happens. So, some have expressed the way including TCS. They have gained that confidence. We have been doing it, in the past also we have done with several projects where we have done the transitions and even now also the way that they explain is if something goes wrong in your systems or my system anywhere nobody touches the code because it takes time for them to understand it. The immediate fix that they give is a database fix, okay. So, work around so I can give you workaround. I will not give any changes. So, I am confident that I will be able to handle for you. That's the way they were telling.

Analyst: That was TCS you are saying, that's beginning hold your hands in that.

P. S. Reddy : That's right.

Analyst: What is the worst-case scenario out there? What can really-really go wrong out there? What are your fears I mean what can really go wrong?

P. S. Reddy : See, we have not, we have frozen the developments in the system, ok

ay. No more new developments.

Analyst: Right.

P. S. Reddy : We are running whatever it is and whenever there's a problem, in the last development was the client level margining system. That's what we have done. So, there once in a while I mean sometimes, they are filing, the files are filing and then we are re-uploading it. Speedy system is slow in accepting the files. These are the things we are not the stop price of it. So, we don't, we have decided not to implement any. Second, we have also done a what you call system back testing in the sense we have actually run with a future date. Whether beyond 30th it works or not is working, okay. So that's another thing. We have been doing it every day, one future date. So, it's working. We wouldn't like to continue to manage it for next maybe 2-3 months and that is where we are looking for the TCS to be under pressure to deliver this also so that's what. We have appraised the regulators also on this and of course they are also concerned, we are all concerned obviously. But most of the time the way that is explained is that never-never, the code changes are done whenever system goes down. That's the way it is. It's always a, what you call

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a database related issue. Its running, whatever was running yesterday it doesn't stop automatic unless you touch that something you do. So now no patches nothing. We have decided nothing will have.

Analyst: So just don't touch it basically don't.

P. S. Reddy : Don't touch the code at all. That's it.

Analyst: So as such you can run it. It may happen that in the next 3 months you may not require any help at all, any-any help at all. There is also a possibility?

P. S. Reddy : Yes.

Analyst: That way. So, there is no risk of let's say continuity in terms of the trading activity coming to a halt or something like that.

P. S. Reddy : That's what it.

Analyst: Because your whole business is....

P. S. Reddy : We never had it in the last 3 years.

Analyst: Yes exactly.

P. S. Reddy : Okay. We never had a last 3 years trading halt.

Analyst: Yes.

P. S. Reddy : For which reason went to 63 Moons.

Analyst: Correct-correct, got it.

P. S. Reddy : Although 63 Moons is there, we never went to for any trading halt we never.

Analyst: Yes.

P. S. Reddy : Why we think that in the next 3 months there will be a trading halt.

Analyst: Yes. Because our concern is that we same thing that your, ultimately your power is the network effect. Because people can get trades than at MCX everybody comes. If that network gets affected even for 15 days there is a big problem.

P. S. Reddy : No that's fair. You're right.

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Analyst: What happens when freak thing happens, like say what happened with oil prices going negative?

If some situation happens, can you know, would you have to

P. S. Reddy : Implemented a negative. We have already implemented know.

Analyst: No, I know but I'm saying something other different...

P. S. Reddy : Of that sort.

Analyst: Of that sort happens would you need to touch the code in such a scenario where the regulator says you have to put this in place?

P. S. Reddy : I mean I don't see that kind of the out so. I mean again Black Swan event unless I imagine that Black Swan event, I can't prepare myself for that Black Swan.

Analyst: That's true.

P. S. Reddy : Okay and especially IT thing, we can always do an operational one given our bylaws and the powers and rules that we have it. We can always settle contracts outside and do this, okay these contracts will be closed and all that kind of thing we can do it. But system-based things only, via system you have to do it then we can't do it.

Analyst: Aside worrying factors say what's in process have been implementing that income tax and GST. The issues have just kind of dragged on for you know after launching into months on end. So, I mean I'm sure that

's also worrying you that you implement and you know new stuff happens and?

P. S. Reddy : See my, I mean I the way that I look at it is we would like to go forward. If you keep fearing then you will never be able to take that forward step. Okay and next 2 months once the delivery comes about 2 months vigorous testing, we do it. We have asked every member, day in and day out please keep testing etc. If I am able to guarantee him the latency or whatever practice currently there not worse off. It can only better off. It will better off, no doubt about it and then that is fine for me. Coming back to the next item. If somebody says they don't launch even a new contract also I don't mind launching, not launching new contract and cause any problem in the system. I don't mind stocking that also. But I want TCS if once it is launched, they are all around to help you know if there is a problem including the port touch . We, this as a black box formula .

Analyst: That one.

P. S. Reddy : That is the way we look at it.

Analyst: Yes. Of the surplus cash, there is, you were talking about moving to state development loans. How much is it? What is the mix now?

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Satyajeet Bolar: We have as on 1,100 crores. So, we have taken.

P. S. Reddy : A little louder, come forward.

Satyajeet Bolar: We have internally, we have already moved a substantial amount to state development loans, also into perpetual bonds of Bank of Baroda as well as the Bank of India. More importantly the accounting under amortize. Yes. Even if the interest rate goes up further. We are stable.

Analyst: Yes. Because there's a lot of fluctuation with the other income which is not necessary because it's not your business that way. So, a large part will move towards this?

Satyajeet Bolar : That's already moved.

Analyst: No longer the short term and ultra-short term mutual funds?

Satyajeet Bolar : Yes, we have moved a substantial amount to STL as well as

Analyst: It is fair to expect a good amount of stability in your other income part which is a very nice thing to see actually and you probably are getting a better interest rate also?

Satyajeet Bolar : Definitely.

P. S. Reddy: That is the reason why we talked it in auto call ultra-short term another.

Analyst: Fair point and this is only mark-to-market so it's okay. Now you don't have the mark-to-market accountability

Analyst: Held to maturity, that's why.

Analyst: HTM yes therefore, interesting.

Analyst: Something on the TCS thing. Obviously, it helps you on the cost front as and when you do volumes like you said pick up substantially Indian Oil because they are also provider of the software services or the platform services globally. I think they also have done it. Is there anything that enhances for us now that they are building is for us apart from the cost element, is there anything that would be different or would help?

P. S. Reddy : Even I was told that some new features which we don't have in the system that can be built, okay. For example, that is a trade execution ratio on I mean they wanted some members what you call a kind of a circuit filter around the trade that has taken place. So that they don't exceed and then all the circuit filter limit is 10%-15%, and other thing. They don't want anybody of their dealers to put any trade at the lower end or bottom end. Sometimes they punching error can happen and then lift the I mean fill up the order book. They would like that to be reduced. You want it but he doesn't want it. That is why we are doing a customized rate execution ratio kind

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of thing. Like that many others are there. But yes, flexibility is there for us and we don't need to touch the code. That's another thing. If they are going to give us APIs. They have also agreed to do, develop additional APIs. You take the data from the system and then outside you bu

ild your

own IT teams, develop the system, generate reports, all that.

Analyst: And even in terms of capacity like you know given that the way the options volumes are moving. How is this system? I mean like is it like capable of it's just the support.

P. S. Reddy : Scalable.

Analyst: Scalable.

P. S. Reddy : Scalable. We have budgeted for I mean budgeted not the word.

Analyst: That was a good...

P. S. Reddy : Don't translate into your financial budget number. That is what it is. Few lakhs.

Analyst: Any pricing on the product pricing part, options or futures, any strategy going forward you don't want

P. S. Reddy : See all the options were introduced, maybe right time we caught it I would say that. September, we introduced it and actually we started building only from September-October around last year.

Now just introduced. We don't want to touch that, point number one. On futures the algo players demand smaller and smaller and they are the ones who are contributing bulk. If at all I have to do it, I have to down water vision it. Not from your expectation point of. So, I might leave it as it is. That is the way I look at it. It's a very sensitive subject.

Analyst: Fair point. And allow the volumes to come through and take you on the.

P. S. Reddy : That's right.

Analyst: And that should actually

P. S. Reddy : That's the way we would like to grow.

Analyst: Makes sense. So makes lot of sense to me.

Analyst: I think I have run out, out of my enough questions, unless you have something

P. S. Reddy : Nothing has been interacting with me.

Analyst: We must appreciate the fact that you are quite transparent and you know all the discussions are uploaded. Not many companies are doing it yet.

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P. S. Reddy : Okay.

Analyst: The people are recording it but they are not probably sharing it so publicly I guess which is actually a very nice initiative on your part you don't want to be on the regulatory curve which is good.

P. S. Reddy : That's a, it's important for us that if once trust is breached then it takes years to build it and we never, don't want to do that. That's why. I'm very clear.

Analyst: Thank you so much. We took lot of your time.

P. S. Reddy : No, welcome.

Analyst: We would love to be in touch, continuous touch with you

P. S. Reddy : Sure.

Analyst: Thank you very much for arranging it. Thank you.

Call: Aug 2022

MULTI COMMODITY EXCHANGE OF INDIA LTD.

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CIN: L51909MH2002PLC135594, info@mcxindia.com MCX/SEC/2093 August 24, 2022

The Dy. General Manager

Corporate Relations & Service Dept.

BSE Limited,

P.J. Towers, Dalal Street,

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Scrip code: 534091, Scrip ID: MCX

Subject: Transcript of calls with Investor/Analysts

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 read with the SEBI (Listing Obligations and Disclosure Requirements) (Second Amendment) Regulations, 2021, please find enclosed herewith the following transcripts of the call with investor/analysts:

Sr.

No Investor/Analysts Date Time Annexure

1. PPFAS Mutual Fund, Birla MF,

Baroda BNP MF, Navi MF,

Sundaram MF, SBI General

Insurance, Abakkus Asset

Manager LLP, Taurus MF August 17, 2022 03:30 p.m. Annexure - A

2. White Oak Capital Management August 17, 2022 04:30 p.m. Annexure - B

The said transcript is also uploaded on the website of the Company at

<https://www.mcxindia.com/investor-relations/ir-meetings>

Further, we hereby confirm that no unpublished price sensitive information was shared/discussed during the said meeting.

Kindly take the same on record and acknowledge receipt.

Thanking you,

Yours faithfully,

For Multi Commodity Exchange of India Limited

Ajay Puri

Company Secretary

Encl: As above

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Investor / Analyst meeting

August 17, 2022

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This document may contain "forward-looking statements" – that is, statements related to future, not past, events. In this context, forward looking statements often address our expected future business and financial performance, often contain words such as "expects", "anticipates", "intends", "plans", "believes", "seeks", "should" or "will". Forward-looking statements by their nature address matters that are, to different degrees, uncertain. These uncertainties may cause our actual results to be materially different than those expressed in our forward-looking statements. We do not undertake to update our forward-looking statements.

Annexure - A

Multi Commodity Exchange of India Limited

August 17, 2022

MANAGEMENT : MR. SATYAJEET BOLAR - CHIEF FINANCIAL OFFICER
MR. PRAVEEN DG -HEAD - INVESTOR RELATIONS

Multi Commodity Exchange of India Limited
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Rovina: Welcome to the call. This is Rovina from MCX and I have with me, Mr. Satyajeet Bolar, who's our CFO and we also have Mr. DG Praveen, who is our Head of Investor Relations. I'll request all of you to please introduce yourself and Sukhvinder, I'll hand this over to you.

Moderator: Yes, sure. So I'll be starting with introduction with our company. So, hi, good afternoon, everyone and very warm welcome to the call. We appreciate you taking out the time on this call. My name is Sukhvinder Sandhu from ULJK Financial Services, and would like to begin by introducing our company.

ULJK is 119-year-old organization, and we were established as an equity brokering platform. Our promoters, who are the co-founder of BSE, currently the business is in its fourth generation. We continue our equity broking business, providing research on its listed companies to MF, FIIs, banks and insurance companies. So I would like to take this ahead with the management of MCX to go ahead and if they can give a little bit more briefing about the company, that would be really be grateful.

Praveen DG: Okay. Thank you. So if you know about the company, directly we can go to the question and answer session at least to save on time or still you want a brief introduction, we can -- just can speak for five minutes, but directly you have some questions -- directly, I think, anyway the questions with respect to each of those questions, we can elaborate and I think that will be good introduction for them.

Moderator: No problem. I would request if you can just give us a little bit information, little bit brief about the company little bit. So that would be an introduction about the company. So that would be really grateful.

Praveen DG: Okay. So like already we, in the investor call, we have said like I will focus on some of the recent updates and major developments that happened at the exchange. So we happen to be the first listed company,

stock exchange, listed stock exchange, that happened in all the way back. And, that currently it is like with the peak margin reporting coming into the picture and our options started gaining really in a big way. We have seen a very good volumes getting witnessed in multiple contracts, both, especially in the crude oil, natural gas, and also we are having very decent options volume in gold contracts.

Besides options, we are also looking for some of the supplementary futures, we are getting added to our existing futures contract, like in case of our metal contracts, in case of lead, we have come out with empaneling of the brands, local brands. So under that one already two local refineries have been empaneled. So those brands also can get delivered on the MCX trading platform.

So prior to that kind of empanelment, we also have empaneled some of the gold refiners. So now besides LBMA approved brands, the local brands also can get delivered on the MCX in our gold mini contract.

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So by doing that one, the advantage that we would like to get is we wanted to make many domestic refiners who otherwise are not eligible directly to offload their goods, now can able to use that one.

That way, it is like we are adding more suppliers to the contract who can use our platform as a hedging, as well as a delivery based -- delivery platform also. That means in case if they're not able to offload anywhere their produce for any reason or marketing strategy is such that they would like to look for an efficient pricing, then definitely they can look at MCX and they can make use of the MCX trading platforms. So that is on the future side.

Apart from that one, we are also looking for some new products to be launched such as electricity, aluminum alloy, steel TMT. So several products are in the pipeline. That means some are

waiting for regulatory approval and some, we are also working on it. As and when we get the necessary approval, we will go and we will be launching that, those contracts.

So primarily now, lot of focus also we have started giving on options. Significantly, we started levying the transaction fee in the options contracts effective from October last year. So that way it is like whatever is getting translated, the volumes are getting translated into options that also is bringing the revenue to the company. So that is a very significant development. That means despite we started levying the transaction fee, there is no drop that we have witnessed in the options contract, rather we have seen continuous focus, continuous growth in options contract.

So with that one, I'll leave it, then I think we will answer more in -- during our question-and-answer session. Please open -- free to answer your questions.

Moderator: So whoever would like to have their questions, can please go ahead, Mr. Hardik Shah and Ms. Mudita. Do you like to have any questions from your side?

Ashvath: Hello sir, I had a few questions. Am I audible to you?

Moderator: You're not audible. Can you speak up a little louder please?

Ashvath: Yes. A little better?

Praveen DG: Yes. clear. Please.

Moderator: So I request if you could introduce yourself please?

Ashvath: Yes, I'm Ashvath from ULJK Financial Services.

Praveen DG: Okay. Please go ahead with question please.

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Ashvath: Yes. So, we have noticed the traction on ADT on option contracts, but the future contracts on similar terms, hasn't grown at that level comparatively. So, where we see this ADT, I mean, is it that many participants are transferring themselves into the option contract from futures or is it completely new participants who are entering the option segments? How is the -- if a rough breakup, we could get an idea about this entire scenario?

Praveen DG: Okay. See, what we could see is slightly there has been a drop in the participation in terms of traded clients in futures, but at the same time, there is a significant growth that happened in the trends who are participated in the options. Overall, if you look at it, there is an overall growth that has happened in terms of trade participants in both futures and options put together. So that way, the way we can put it is that there are new as well as the old clients who are now trading in the options contract. Similarly, there are some new and old is also trading in the futures, but overall, there has been a slide dip. I'll give you the number so that it'll give you a better picture.

Like take the Q1 of '22, '23. In futures, 1,61,000 clients have traded compared to 2,11,000 in the corresponding quarter last year. Okay. Coming to the options number, we have 1,19,000 against 32,600. So that is what we have witnessed in the, this quarter versus the corresponding quarter in case of option contract.

If you look at overall futures and options, then in this current -- like Q1 of this year, around 2,38,000 total clients have traded in options compared to 2,23,000 clients who have traded in the corresponding quarter last year. That means there has been a growth, overall growth that we have witnessed in the, overall in the market and especially the growth, whatever we have seen is significantly been contributed by options.

Ashvath: Okay. Sir, are some of our products still not monetized yet? If there are, if which products are those, if you could give a brief?

Praveen DG: So we are now start, we already charging almost every product. We are not giving any product free of cost. Even indices are getting charged now and options are also charged. That way, it is like, there is no product where we are giving a freebie.

Ashvath: Okay. And sir about the commodities, all commodities cooling off,

how do we see this trend impacting us in any way? Commodity prices coming back to normal levels, is there a correlation in any means there?

Praveen DG: See, generally what happens is it is a volatility that plays a bigger role compared to the price factor, because even if the prices are falling and if there is volatility, we still could able to witness lot of volumes. For example, there are times when there is a very sudden dip of prices happens. And during those days also you see a lot of volume because volatility is reaching at a high level and people come there to really

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want to -- because significant volume comes from algo trading. Okay. And besides that one, it is like -- so there are multiple category of participants are trading in this one, but for everyone, it is the volatility is the king. The volatility plays a bigger role that decides volumes on the exchange. There can be -- for a short duration, there can be some impact that can happen on the -- on account of price, but the main factor that we all have to look at is the volatility factor.

The volatility factor also decide which segment is more liquid, whether it is bullion segment or metals or energy. So wherever the volatility is, there is the volumes go there. That is the reason if you see the distribution -- volume distribution on the exchange, it'll be keep shifting. It won't be one basket like last year, it would be bullion, maybe the previous two -- previous year, it may be in metals. So depending upon the volatility that keep shifting. So basically, there are many people who are common to all the products.

And there are people who are specific to certain commodities because the physical market players, they are specific, they are more focused on a particular commodity basket, but there are people who are operating across the commodities. So those people are generally -- will be more interested in the volatility of the wherever -- whichever counter is more volatile, they look at it, but at the same time, the physical market participants who also require price risk protection. So those people also will start more aggressively during the times of volatility. So that is why the volatility plays a bigger role.

Ashvath: Okay. So even if sudden drop in prices -- commodity prices could aid us in getting volumes. Is that what I -- is that what you mean?

Praveen DG: Yes. If you level it out over a period of time, the influence of price drop will be lesser as compared to the volatility because the volatility plays, because even if the prices are low and if you have volatility, still you will get the volumes.

Ashvath: Okay. Okay. Understood. And sir, any update on monthly options for one kg gold bars and electricity contracts, which was there in the list?

Praveen DG: So gold, monthly options, we will be -- soon will be coming out with that one, just we are working on the launch plan and all those things. Soon, we'll be coming out with that one. So that can be, I think maybe this quarter, we should see that one, maybe the coming quarter. At any time, we would be coming out with that monthly contract. Monthly contract means only in the gold kg contract one, depending upon the acceptance and other thing. We will also look at monthly contracts and other bimonthly contracts also like silver. Today, all the silver contracts are bimonthly contracts. So once we can enable to people also understand about this monthly concept, short duration contracts, we definitely will look at introducing this one in other bimonthly contracts. And also, we are keen to come out with some option contracts in indices because metal index is -- may not be performing
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now because of -- nickel performed. Nickel, there has been a sudden debacle happened at LME, and that had an impact on nickel.

Because of that one, the metal index is not performing now, but now there is a rebalancing that will happen in the month of January next year. If nickel is not continue to -- not perform well, then definitely it'll get replaced. So we expect that once that kind of replacement -- and again, we can -- if we can able to bring the volume back in that metal index, we'll be coming out with some option contract in metal index.

But, having said that definitely we are very keen to go ahead and come out with option contracts in Bulldex, which is continue to do well. So that there, we will be doing that one.

So that is on the option side in business. To your next question on electricity, electricity still like we said, we already applied to the regulator. We are just waiting for the regulatory approval. As and when we get it, we are very keen to go ahead and launch the electricity contract futures. So that way – so it's more about here it is – we are awaiting the regulatory approval rather than our preparedness.

Ashvath: Okay. Sir and in the agro, agri commodity front, do we see -- do we have a target market share, which we could, see in FY '23, FY '24 onwards?

Praveen DG: See, from the beginning, our focus was more on non-agriculture commodities and the contribution that is being made by the agriculture commodities is very limited. It was less than -- always very less than 5%. I think today it is -- I think it is around 2%-3% maybe, but you know the challenges because agriculture commodities also are very sensitive commodities and you will always will be -- how to face multiple hurdles in the form of maybe the government policies and also this one because last year, we were doing very good in crude palm oil. Suddenly one day, it has happened that the CPO has to be suspended. So we had to suspend the crude palm oil contract, which otherwise was doing very good.

Similarly, in case of cotton, we had to come out with various circulars, maybe limiting in terms of daily price limit, reducing the open interest that means we have tightened the situation in case of cotton. So because these commodities are very price sensitive, it is always very difficult that we can -- very difficult to say that irrespective of whatever amount of focus you make it, if some major policy or something comes, which is -- which can go against these commodities. So several factors determine the performance of agriculture commodities, they're being very price sensitive.

Ashvath: Okay. Okay. Sir on gold options, I had a question where now similar gold options have been launched by BSE and NSE. So if this trend continues, how do we see ourselves competing and maintaining our market share on similar fronts? Will it be cost effectiveness in transactional charge, or how would be the strategy if similar...? Multi Commodity Exchange of India Limited
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Praveen DG: We are not worried about the competition, because you would be knowing that they have been -- their option contracts have been supported by liquidity enhancement scheme, okay, from the beginning. But we -- today, we don't have any liquidity enhancement scheme that is supporting our contracts. So we are doing and in fact, whatever we could able to garner liquidity in our contract – they are genuinely liquid and it is coming from the market participants that it is. So we are not -- the market share -- because we should not compare between one supported by liquidity enhancement scheme, other not supported by the liquidity enhancement scheme.

So those -- we are not really – we will not take it into consideration because ultimately whatever happens for hedgers that means for the people who are the option writers, they require an underlying -- that means they required a counter contract or a product to hedge themselves. So for that definitely again, they have to look at the futures. So it is the only

platform like if you look at our MCX, where both futures and options, both are liquid. So a genuine person, like

whoever wanted to trade or the -- especially the option writers, this is the perfect trading platform wherein they can be able to find out a platform both -- on both the legs, so that they can be able to hedge themselves perfectly and they can be able to offer writing the option contracts.

So that is one major advantage. So we are focused on our own. We are popularizing our options contract, especially like I said, reducing the duration and all those things. By doing that one, we can be able to reduce the cost of trading for the market participants. Otherwise, current transaction fees are well, good enough. They're -- with that kind of transaction fees, we are -- we don't see that, it'll have an impact on our trading volumes. So -- and it has been very -- recently been introduced, this transaction fee. So we are not going to look at it at the current juncture.

Ashvath: Okay. Okay. Thank you, sir. It answers a lot of my questions.

Praveen DG: Others can open up. Yes, please.

Moderator: No more questions. Mr. Hardik Shah, any questions from your side?

Hardik Shah: Sir, I just wanted an update sir, on the electricity side. Have we launched any contract in that or what is update over there sir?

Praveen DG: Like we said earlier, it is like we are awaiting the regulatory approval in case of electricity. As and when we get the approvals -- necessary approvals, we are ready to go and launch the product.

Hardik Shah: Okay sir. Thank you.

Moderator: Hello, am I audible?
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Praveen DG: Yes, you are audible. So others have any questions or anything?

Moderator: No, I think you're all set. So thank you to the management of MCX for giving us this opportunity and this call. And thank you on behalf of you ULJK Group. We conclude this conference and thank you all for joining.

Praveen DG: Thank you. Thank you very much. Thank you for your time.

Moderator: Thank you. Thank you so much sir.

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Annexure - B

MANAGEMENT : MR. P. S. REDDY – MD & CEO
MR. SATYAJEET BOLAR - CHIEF FINANCIAL
OFFICER
MR. Praveen DG – CHIEF RISK OFFICER

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P.S. Reddy: Good evening, Mr. Divyesh, and other participants from WhiteOak.

Devesh: Very good evening, sir. Sir, what I'll do, I'll quickly introduce everyone, and then I'll handover the call to Anand, who will talk about WhiteOak and briefly introduce the WhiteOak team. So to start the meeting, let me introduce the management. We have Mr. P.S. Reddy, who is the MD and CEO, Mr. Praveen DG, he is the Chief Risk Officer, and Satyajeet Bolar, who is the CFO of the company.

Now I'll hand over the call to Anand. Anand, request you to briefly talk about the team, and then take over the discussion. Thank you so much. And now I will disconnect.

Anand: Sure. Thank you. Thank you, Divyesh. Hello, MCX management. Sir, you would recollect we connected back in February, I guess, when we had an interview.

P.S. Reddy: Yes, I want to tell Mr. Divyesh, that you don't need to introduce our shareholders to me, you know, that is the way...

Anand: Yes.

P.S. Reddy: That's why I'm here. That's why, that's the way I tell.

Anand: Perfect. Well, nice to connect back. Thank you for taking your time. We weren't allowed to meet you when the conferences weren't happening in person, but due to conflict, we couldn't meet. And BFSI team of WhiteOak, Parag, Trupti, Darshan, Rithik and I are here. And we thought we'll try to

understand a bit more in granular detail how the things are happening. I remember when we last connected anywhere in the conference call, one of the key important variable is technology change that we are implementing. And I think September was the timeline that we were aiming at. So if you can just quickly give us a sense as to, are we on time as far as this technology switch goes?

P.S. Reddy: Sure. So thank you for, actually, showing so much interest in the company and you stay invested and we will do our best to make sure that the company grows from strength to strength. Having said this, on the technology platform, yes, we are lagging behind slightly, and we were to go live by 11th of July, I mean, 11th July was the actual, original date that TCS had given to us and we are working towards it and we deployed the substantial part of it, but there is lot of bugs are there and that's taking time to fix it. Unless we're damn sure that things work smoothly, we would not like to go live. And so we went back to 63 moons requesting them for about a maximum of 6 months extension and while that is being discussed, or that is being, what you call, under discussion and they are yet to respond to that.

I think, uh, we are also looking at alternatives, and I don't want much say on that, but yes, 63 moons flat, a very stable platform. We don't have any major problems in the last so many years. We have perpetual rights to use that software without support, but without support is a challenge. That's why, I
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mean, without touching the code, if some support can be given, I think TCS is also looking at it. And that's where we are at this point in time.

Now having said that, but I'm confident that 63 moons also will see merit and giving some service to us because they will also earn something for the next 6 months' time. Otherwise, currently they it's almost all 38% of their income, 63 moons' income MCX is contributing. So if a major client is leaving, they should be concerned. That's the way I look at it. It's a win-win for both of us if we are able to get some time to implement it. That's what at this point is.

Anand: Okay. Also in meantime, sir, are we paying them usual charges, which we were paying earlier, or is there a revised agreement?

P.S. Reddy: Yes, same terms and conditions, till September there won't be any change.

Anand: Sure. Okay. And beyond September, how do you look at things? Let's say if the TCS.

P.S.

Reddy: That's what I'm saying. We have asked them to give us some proposal for about 6 months' time extension.

Anand: Okay.

P.S. Reddy: So let us see what the proposal they will give it.

Anand: Okay.

P.S. Reddy: They may ask for some extra, I can understand that, but that's also our need, you know, so obviously we have to go for it, if that is not coming with too many strings and too hefty pound of flesh, if they are not demanding, it's fine.

Anand: No, but the thing is, see, now they know that TCS platform is not fully ready, right? So I mean, they can demand anything, right, because we can't shut the exchange?

P.S. Reddy: No, but they might demand anything, but then that's what I'm saying, we'll evaluate the alternates that we have with us also. So I'm not discussing too many things here, but, yes TCS is confident that they have handled similar

situations elsewhere in the past also.

Anand: Okay.

P.S. Reddy: And we'll be able to manage without touching the code, because the problems that have occurred mostly are database related kind of things, which they're confident about.

Anand: I understand.

P.S. Reddy: So there's a proposal also to us. So, in fact, they gave that confidence to our SCOT, that is Standing Committee on Technology, where some of the board members are there. So it's like that point in time.
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Anand: Noted, noted. Now, when it comes to technology, one big aspect, obviously for everyone is on the cost front, as and when things come through, it'll be cheaper. And we understand that we own the technology and there'll be some depreciation, and I think in the past we have spoken about maybe a single-digit growth figure for managing the software once it's kind of ready. So is that the right expectation even now that it'll be able to manage?

P.S. Reddy: What I said is if current levels of our ADT turnover, maybe because of the amortization, when we go migrate into the new platform, the depreciation, maybe by and large net, net it may remain the same, but currently with the 63 moons at this point in time, we are paying more on a transaction related charges. Going forward, that will not be there. Let us say today our ADT is INR 25,000 crores, INR 26,000 crores futures, maybe another INR 7,000 crores, INR 8,000 crores is our options and will be equivalent to futures, options transactions revenue. So with that, we will be able to -- we will not, if things go beyond, then we don't increase the cost of running that platform. That's the way it is.

Anand: In the new setup, it'll be zero percentage, right. It'll be...

P.S. Reddy: Zero percent, right.

Anand: And depreciation will be something similar. There might be AMC kind of cost to run the software. So that'll be in addition to...

P.S. Reddy: Yes, that is also included in whatever contract that we are signed for a period of 6 years, 1 year plus 5. And so it'll be showing up in the depreciation and maybe AMC costs every year you will book it.

Satyajeet Bolar: So there also be, just to put it in the right context. One would be the platform that TCS is building. And also there'll be a lot of hardware, servers and other official licenses, subscription licenses that we'd be acquiring.

P.S. Reddy: Like for example, Linux, Red Hat license, all that. Those are all recurring expenditures that anyway will be there. But all said and done it'll still be much cheaper. That's the way I look at it.

Anand: Got it. Now when we speak about the ADT percentage that MCX was charging, it was on a linear basis, right. There was a slab like system, so let's say, the slab...

P.S. Reddy: There were slabs. Slabs are there for ADT, INR 350 crores, it is INR 260 per crore, and if this is more than that, it'll be INR 175. So that is why average is working out to be INR 207 or something like that around. Okay.

Anand: INR 207 p
er INR 1 crore?

P.S. Reddy: Per slabs. And these slabs are also like income tax slabs.

Anand: Yes. So these slabs are per broker, right?
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P.S. Reddy: Sorry?

Anand: These slabs are per broker. Is it?

P.S. Reddy: That's right. Per member, trading member.

Anand: Okay. Understood. I thought it's per crores of transaction. So how does the number...

P.S. Reddy: It's per crore okay. What I'm saying up to INR 350 crores, we charge INR 260 we charge. And once somebody crosses, let's say INR 400 crores the incremental INR 50 crores will be charged at INR 175 per 1 INR crore.

Anand: Yes. Got it. Got it. And when it comes to the new timeline, is there a timeline that you decided for, do you think you'll be able to solve these bugs and get it operational? Is there a date on mind?

P.S. Reddy: That's why we said maximum 6 months, but, sometime in December-January, we should be able to launch it. That's the way it is.

Anand: Got it. Now, in addition to this new software, there's another new initiative on the revenue side, and this is early days, but IIBX, where we have 40% percent...

P.S. Reddy: 20%.

Anand: 20%, okay. Yes. So how are we seeing that venture? And if you can give us some colour on what are the most recent updates there?

P.S. Reddy: Sure, sure. See, India imports, I'll say we imported almost 800 to 900 metric tons of gold or consumed, okay, a lot of it is imported one. And in fact, we have taken average 5 years as 450 metric tons of gold as the one which is going to route it through, out of which only a part of it we have taken about projections, maybe one-third or something like that, first year one-third, next year maybe 50% etc. But the government, the way that they have mandate, everything will be routed through this particular route and channelizing agencies, because given their cost structure, they will not be able to compete with our IIBX, that's one, okay.

The second part of it is, there's qualified jewellers, who government has issued regulations, anybody who has got a INR 25 crores net worth, they're allowed to directly import gold from International Bullion Exchange that is they can buy it on the exchange. So almost 60, 70, people have registered with IFSCA to import gold at this route.

The third part of this, there's a free trade agreement with Dubai Government, I think almost 125 metric tons will be imported first year, 150 metric tons next year, 175 metric tons third year, like that there is a plan for 5 years. And if they trade through this IIBX, I think some percentages again concession is given. So obviously people will go through this route rather than paying through the Multi Commodity Exchange of India Limited
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channelizing agencies. So all these things will only help in making this a successful venture. And, in fact, many are waiting to asking for what you call stake in these, but it is the considered view of many of our players let it grow for about a year or so, and then we will give some shares to others at a premium,

obviously.

Anand: Okay. Now, since this is primarily for large importers, do you think from an economic perspective, it's a good project from national development perspective, but from economic perspective, do you think we'll be able to breakeven in, let's say, second or third year, or it'll like consume money for several years?

P.S. Reddy: That is breakeven in the first year itself. That is the way it is. So already given tariff of INR 6,000 per one gram, is it or 10 grams? No, no, no. There's per round some circular has been issued by the International Bullion Exchange. So, that tariff is far cheaper than the China as well as the route via the LBMA or the channelizing agencies. So it is much cheaper in that sense.

Anand: Okay. So from our reporting and balance sheet perspective, we won't be having any losses in first year. We might have some positive contribution from this?

P.S. Reddy: Yes. But then the project got delayed. We were to, what you call, launch it last year, sometime in last year, August or something, and so it got delayed. So then, and in fact, we were shown on our books also some losses, about INR 60 lakhs or something like that, around that, but nothing much.

Anand: Got it. Coming to spot exchange, which was in fact to be a very interesting kind of development. And I think it's a much bigger market than, let's say, what IIBX kind of promises. So what's the update there and how are we progressing on that?

P.S. Reddy: See, we have given the, what you call, the contract to TCS, what TCS said is, once the platform is delivered for, not complete, I mean, whatever that is required to be delivered now, they will complete that, then thereafter they will pick up that and then deliver that also. And we don't have a platform as of now to engage that. So that is one part of it. Now, while this is being discussed, there are issues which are yet to be addressed by the government, that is a GST issue, which is major, and that is not addressed as of now also. So unless that quantum is solved, nobody will ever come to this platform.

Anand: Yes. We discussed it. I understand the GST is a big thing. Is there any, like I understand with the government, priorities we never know, but has there been any discussions with the government over the last 6 months on the GST issue?

P.S. Reddy: The ball is in SEBI's court. So we are not also prodding anybody and not showing anxiety because we are buying time also in that sense for us. It's good to have some more time because our platform will be ready then. So see, maybe next financial year or early next financial year, we will start moving in this direction.

Anand: Got it. For IIBX, what is the platform, I presume there too we would...
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P.S. Reddy: Some IIBX, I think, BSE is offering there platform for doing it. And then, with a cap on the total amount to be shared or something like that, depending on the turnover there is some cap on.

Anand: Got it. Now, overall, when we discussed from participation perspective in the conference call, I think you gave a number of around 4,30,000 is the count of active.

P.S. Reddy: 4,70,000 the people who have traded in the last financial year, if I'm not mistaken. That's right. 4,70,993 as against 4,66,000, there is a 77 is the number that I have.

Anand: Yes. So it was very important and crucial figure to have, can you share with us

how has this number, this 4,70,000 number in last financial year, how has this number kind of grown in the last 4, 5 years? Like what this number used to be like 5 years ago or 7 years ago, for us to understand it.

P.S. Reddy: It was much smaller.

Anand: Yes. I understand, it would be smaller, but to understand how the growth in absolute.

P.S. Reddy: I remember in the year 2019-2020, it was 3,50,000 or something like that, one minute. Yes, it is readily available.

Anand: Great.

P.S. Reddy: See in the year 2015-16, 2.86 lakhs, 2016-17, 2.77 lakhs, 2017-18, 2.71 lakhs, 2018-19, 3.9 lakhs, 2019-20 it is 4 lakhs, 4.03 lakhs and 2020-21, 4.66 lakhs, and 2021-22, 4.7 lakhs.

Anand: Got it.

P.S. Reddy: So in the last 3 years, there is a big movement, of course.

Anand: Yes. But it has kind of then slowed down in 2022.

P.S. Reddy: Yes, because of this peak margin and structural changes that have taken place on that, that's where it is. But then there's a shifting to futures to the options also. That is where we have the clients who have gone away from futures, energy futures, so they have gone to the options.

Anand: But that wouldn't -- shifting wouldn't affect the number of active participants, right?

P.S. Reddy: No, that's why it di

dn't, because what I wanted to say is the way that I would say, they've discontinued trading in futures, and when it started picking up, because in the second half only it picked up last year, if you see, sometime in October only it started picking up, September, October onwards, the options. Then they came. So in the first half people have deserted the counters. So the Multi Commodity Exchange of India Limited
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number of participation was less, but once options started picking up, then they came back.

Anand: Got it. On options you had discussed when we last interacted that we have 2 months contract and we are considering having 1 month contract should the absolute premium is lower on it kind of makes it easier for people to participate. Any updates on that plan?

P.S. Reddy: No, we are likely to launch next month. That's what it is.

Anand: Okay. And I presume this will be in stages. So probably with one of the products we'll launch and see how it turns out. Is there any -- so we'll have 2 months contract and 1 month contract parallelly trading, is it or it'll be...

P.S. Reddy: Yes. For some time, then once the, what you call, people shift over to the monthly, then probably we may discontinue. I don't want to...

Praveen DG: No, so the way is like, the bimonthly contracts will continue to be there. Then you will have the monthly contract. So in a way you will have every month there will be an expiry will be there. So that way it is like...

P.S. Reddy: No, but then in a bimonthly contract there will be two expiries, 1 monthly expiry, as well as bimonthly expiry. That is what it is.

Praveen DG: Because in that month, again, you'll not have the 2 contracts as expiring. So all-time you'll be filling the gaps to ensure that one contract each month.

P.S. Reddy: Okay. So, no, but the way that I understand is, if you have launched the monthly contract, 1 in November, 1 in December, now in December, there is a bimonthly options call...

Praveen DG: But that will not be launched.

P.S. Reddy: That is what, we will not be launching.

Praveen DG: So that continuity will be there.

P.S. Reddy: So it's actually 1 contract.

Anand: That's right. Got it.

P.S. Reddy: So what the point you are saying is that bimonthly contract may be phased out in that sense, there will be only one expiry that will be a monthly expiry.

Anand: Got it. And we've seen in case of equity options, there's weekly options are also kind of taken fancy and there's lot of participation from weekly option perspective. So it's early days for us, but have you gotten any opportunity to study that aspect?

P.S. Reddy: See the way that we are looking at it, I don't know whether SEBI will be immediately permitting as weekly or not, but we are looking at serial contracts
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where a monthly contract is launched every week and after one month in the next, I mean, there will be four monthly contracts, which will expire each one in one, one week. So the weekly play will increase, but the contract is of a monthly contract. I hope I have clarified it.

Anand: Yes. I got it.

P.S. Reddy: Some you introduce one in the 1st of the month, another contract, which is a monthly contract of 7th of the month or 8th of the month, 3rd one maybe, which will expire after one month of on next month 15th, something like that. So you will have weekly contracts, once its expiry starts, in that sense, it's a weekly contract. It'll be serial contracts, we call them.

Anand: Got it.

Praveen DG: Index in our gold and silver, Bulldex contract, we are planning to come out with the weekly serial contracts, so that every week there will be an expiry in both in futures and options. We recently had a PAC Meeting where they're all positive on the development. Soon we'll be working out on that one, on the index front.

P.S.

Reddy: Index contract, here we will be planning to introduce.

Anand: Okay. So, I think our index contract, both futures and options will come together. Is that the plan?

Praveen DG: Yes, absolutely right.

Praveen DG: So you'll have weekly serial futures contract and weekly options also, both expiring on the same day.

Anand: Okay. Any particular timeline we are planning for this one?

Praveen DG: We will be approaching the regulators soon. So based on that one, we wanted

to come out, because again, the first time we are also experimenting in this one, so we wanted to – SEBI also we have to see that what kind of questions will come in that one. So accordingly we will -- then subsequently we'll take it up.

Anand: Got it. Sir, it relates to things like SGF requirement, which we when you last discussed, you mentioned there's only one direction it goes into the SGF fund. And then when the take was down, we can't take it back. So has there any discussion or updates further on the mechanism?

P.S. Reddy: Not as yet. In this month, toward the end early next month, we are expecting a RMRC SEBI meeting, Risk Management and what you call Review Committee, RM Review Committee. So there this matter will go, that's the way it is.

Anand: Got it. I presume equity exchanges would also be having similar review, right. That there has to be some definition. So are they also part of these entire discussions, or this is...

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P.S. Reddy: Again, we're a part of it. And a working group of exchange itself together submitted this request to SEBI. And the RMRC has asked SEBI to give its comments also. That's where it is delayed.

Anand: Okay. So in best case, maybe in 6, 8 months, we should have some outcome on it.

P.S. Reddy: Yes. 2, 3 months, we should have it. Yes. I mean, the moment it is decided, I think we will get a clear response from SEBI in about a week or 10 days' time. So immediately we'll be able to act on it. You know, we can reduce the margins by contributing more to the SGF.

Anand: Got it. So lastly now, in terms of index products, while we spoke about Bulldex. what all can you expect, let's say from a 6 to 12 months perspective, what all products including index products are we expecting to file and launch?

P.S. Reddy: The index options SEBI has come out with the regulatory framework all that, but unless the underlying contracts are vibrant and thriving, we would not like to rush and then launch on the top of it another contract. That's why we are trying to work out to generate the volumes in the underlying contracts. That's one part. Now this part, we would like to launch more new contracts. One is the electricity futures, which is, I've been telling every time, but then, unfortunately it's not happening. And that we have been strongly representing to SEBI also, if you see, some of our correspondence very clearly says that you are letting the CERC to promote its own regulatees to do whatever they want to do it, but you're not allowing us to do what is justified under the regulatory framework currently in place for derivatives. So this is one part of it, and aluminium alloys, another product we are looking at it. The third one is, of course, Steel TMT bars, that is another product, which you would like to. And again, market participants are also complaining, please don't launch too many products. And we need to develop algos, we need to study the product and it's physical market etc, etc. And each one is unique in that sense, so we need to give them time also to promote our products.

Anand: So aluminium alloy and Steel TMT have been kind of in planning for a while.

P.S. Reddy: Yes. the approvals are pending, so we will get approval, let us see. Aluminium alloy likely to receive early.

Anand: Okay. This is with SEBI, I presume.

P.S. Reddy: Yes, that's right. You're right.

Anand: Okay. Typically for like, this is particularly a product which is like a simple and straight forward steel TMT and aluminium, any particular reason it's taking longer for approvals?

P.S. Reddy: See, certain suggestions which come from SEBI, we are not able to accept, but at times we have accepted. For example, SEBI want us to be a pan-India platform. So pan-India delivery centres have to open. But the way that we tell Multi Commodity Exchange of India Limited
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is the more delivery centres, the more uncertainty to the buyers, because under our contract specifications, seller has an option to deliver wherever they want it. So, because they have option to deliver where they want it, up north they will deliver in north and up. So down south, they will deliver in south, but the buyer could be from anywhere. So they have no choice. And if they have to take the metal from those states then it'll be a difficulty.

Second again, GST registration is another major concern that we have. So we said, we'll do it gradually. But first with one centre, we would like to build the liquidity and then we'll do it. I mean, is in our interest, not SEBI's interest that we go across the town, across the country. So we have done it in the case of other metals, because we have gained that confidence. We will also do it in this, but then they say that no, from day one, you should do that. And certain centres they propose are not the ones which will be in direct conflict with some of the existing businesses, which we want to avoid, because we are not here for retail investors to buy steel, TMT bars from an exchange. It is for big construction companies, big, maybe the PSU, public sector organizations, etc. So obviously we don't want to set up a shop, maybe go with the mandi or something of that kind. So we don't want to disturb their ecosystem. They are enjoying, let them enjoy, but gradually anyway, the centrifugal force will find its -- will bring all of them to MCX platform. That's the way it is.

Anand: Got it. Another structural aspect that we have discussed in the past as an important topic is mandating certain amount of hedging to be done by all, whatever corporates within India, first. So there are two aspects to it, mandating the hedge, which is, I think a difficult proposition, but second is, if they're hedging, do it in India, any further interactions you have had with the regulators, with the ministry on these proposals and any fresh colour you can give us?

P.S. Reddy: Yes. So primarily the RBI, which has to do it because when the gold is banned, it is the RBI, which has done that, okay? But uh, if it has to be product by product, then so many ministries are involved in that. I don't think it'll come through just like that. So we only understand in the form of, what should I say, in the form of the banking regulations, okay? By saying that any bank which has got an exposure to commodities or any bank which is exposed to a producer who is in exposure to commodities, they must actually ensure that they go and hedge their risk in the exchanges. And this kind of mandate is what we are looking forward to. That's where we are working with, and I think we have also approached SIDBI, and around with them we have organized a lot of workshops to SMEs, so that they will also, wherever there's an exposure, they will sensitise them how they can mitigate their price risk by hedging on exchange platforms. So it's more and more, education that is needed, and that's what we have been doing it. And I don't think regulatory force will come through so easily.

Anand: Noted. On the number of active participants, we discussed 4,70,000 last year and last year had a lot of changes, regulatory changes for margins and everything. So how's the trend looking like this year, we are already first quarter we are done. Can we kind from here on expect this 4,70,000 number t

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maybe double digit, is that kind of expectation a fair expectation?
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P.S. Reddy: No. If I had to talk about those things, if I had to compare with Q1 of the last year to Q1 of this year, so there is definitely a growth is there, okay. I don't want to quantify that number, but in terms of percentage, it's a single digit only, no doubt about it, but it's not a very small number. And so in that sense, it is growing, and the active registered clients anyway it has gone up, but then that is for now for the member brokers to take the products to the clients and educate them, how they can benefit from this and, all that. But unlike in equities, the biggest challenge here is commodities. Most of our products are delivery-based products. So, it is GSTs coming in the way of any client coming, stepping in immediately to this. We don't want to get them stuck in GST problems.

Second is, we also wanted those novice clients are those who have not tasted the commodities, at least introduce them to gold and silver, okay? That is one product, which they will understand very well. And so in the case of gold, silver, we have also recently said that people can buy gold on MCX platform and take delivery, and delivery will be at their doorstep. So with the vault manager, I mean, we have requested the vault managers to give that kind of service, so they're giving it. So we expect the gradually this particular concept will increase. And I'm sure more and more will start looking at this commodity exchanges as a source to get their gold, silver requirement to begin with, as I said, it is to introduce them to the commodity markets, not beyond that. But thereafter I think it is, they will start looking at other products also. So yes, and second thing is a lot of investors got used to the options trading on the exchanges and the existing brokers also telling them as to how they can trade in these options and then benefit. And we have also given some data, I mean called out data and then see where there were cash-and-carry arbitrage opportunities. So all that is happening in terms of giving them leads, how they can trade.

Anand: We can take a 30-second break if you want to use.

P.S. Reddy: No, problem.

Anand: Let's take a 30-second break here. You've been speaking nonstop, and...

P.S. Reddy: No problem, please go ahead. I'll ask my colleagues to speak otherwise, no problem. Go ahead.

Anand: So, this gold doorstep delivery of bullion, gold, silver, what are the minimum delivery quantum and how many cities we are doing and how long has this been in place and what are the early trends?

P.S. Reddy: See, the broker, the minimum charges will be spread if the quantity increases substantially, it's only minimum charges that is what is get charged, and insurance cover that is needed for that. And I mean, we have seen, it works out to be INR 210 a gram or something like that. And INR 250 grams is the minimum. And if the broker has got 25 clients, 10 grams, 10 gram, also they buy, that is big enough. Today, you go to bank and then buy 10-gram coin, Multi Commodity Exchange of India Limited
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then they will charge you about INR 700, INR 800, I was told that extra, why they should. That's what kind of pitching that we are doing it.

Anand: Yes. That's a very interesting thing. I'll tell my family to kind of see if they, once in a while they buy 100 grams gold, I'll tell them to pool with among themselves and get to 250 grams and take a delivery from MCX.

P.S. Reddy: Yes.

Anand: So talking about sir, in case of GST, the problem between equity and the commodity, is that for speculated, GST is not a problem, right? That's only in

case of delivery, and speculators from like 99-point-some-percent of our volumes. So in that sense, GST is not technically a challenge from speculator
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olume perspective?

P.S. Reddy: But the way it is, some of the hedgers also want to take delivery when the prices are a burden, unless hedgers the ones who maintain the open interest in the system. Then once that open interest is there, then the speculators will be joining it. Because for them, they not like to be caught unaware of it. So the more the depth in the form of more open interest, etc. they're assured of getting out and getting in faster. Now having said this, the GST is not a problem for speculators, yes. But for hedgers, it's a problem, okay. And sometimes, they get stuck with metal and they wanted to be facilitated, arrange somebody to take delivery on their behalf and then some kind of agents there who will be facilitating that part of it, but then it's all outside the system, not within the MCX. But it is a pain-point, honestly, it's a pain-point, I personally requested, met the honorable minister, and made a request several times. They said – she said, yes, I will consider this. All that we are asking is make it IGST rather than CGST or GST, that's all we are asking, no loss of revenue, the revenue- neutral proposition. So that registration is not required at multiple places. That's what.

Anand: So if this friction goes away, we get IGST and then registration is not required. What's your base case expectation of volume impact over, let's say, 2 - 3 year period. It won't happen immediately, but it can over a 2 - 3 year period, all the benefits can come through?

P.S. Reddy: Yes, it'll be substantial. It will be substantial. In fact, some of the PMS, for example, okay. And they're not joining it because they have to take delivery PMS at the, I mean, portfolio investors, the management scheme investors, and if they take the delivery in their name, then you should have registration and they're not traders, that's a physical market, because when they deliver in the next month, then they should be able to get the, I mean, GST credit, but unless they're registered, they will not. So they're paying it when they're buying it, but then they will not be able to get the same credit when they're selling it. So participant size will increase substantially.

Anand: Noted. And when it comes to ETFs, we see there was a silver ETF launched recently, and there are gold ETF already. Are these ETFs are using our derivative contracts to kind of...

P.S. Reddy: Yes. Some of them are using our derivative contracts. Yes.
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Anand: Why not all, like, and just, do they have liberty to use international contracts as well, is it?

P.S. Reddy: That's right. They are. Some of them, in fact, they wanted to take delivery on the exchange also, some of them. The problem is in the case of silver, the SEBI specification says 30 kg bar only you should have it, okay. Our regulation, I mean, our this one say that a tolerance limit of 27 kg, 32 kg or 28 kg to 32 kg kind of bar range is there, because silver doesn't come exactly in 30 kgs. So we have represented to SEBI, do away with this kind of requirement and then give the tolerance limit as we have prescribed in the exchange. So that is one ask that is pending with SEBI. And in fact, the mutual fund industry also has made certain representations with regard to metals and others, I think they should be able to permit them to participate in other metals also. Currently, in other metals, there's a holding period of only 30 days. In 30 days, there's nothing, because our contract itself is 30-day contract. So if they take delivery at the end of the month and they have to necessarily dispose of it in the next month, end of the next month. And if there is a cash and carry arbitrary opportunities, why they should do that, they should hold it. So that is what the argument is. We said that whatever you are given dispensation for gold and silver, that is 6 months or 180 days

whatever, you should give the same here.

Anand: Got it. In case of gold, is 100% of these ETFs coming to our exchange?

P.S. Reddy: See, not 100% they're coming, new ones are coming, old ones they have to amend their scheme documents, something of that kind they were telling us, unless they amend it and for amendment they have to go to the unit holders. That's what they were saying it. We told them, you just take an exposure on the exchange, you don't need to physically buy the gold and keep it in vaults, it is additional expense, and you are blocking your investment also in the form of physical gold. And I think a part of it can be in the exposure to the exchange contract. And then the rest of the money you may invest in some of the instruments and then earn extra buck for this unit hold. They understand all this. But unless the scheme is amended, they are not permitted to do that. That's what I was told.

Anand: Got it, got it. Parag, Darshan, anything from your end?

Analyst: See one question, which I always had, sir, how do we look at OpEx, right. I mean, see broadly speaking, what should be the trend we assume, right? I mean, I understand that the exchanges are high operating leverage business, but let's say if you can bifurcate OpEx into certain parts, maybe variable, fixed, and give us some indication as to how do we see, think about those fixed and variables. So, can we assume inflation related increase for fixed and variable can probably increase at the rate of -- probably with the volume. So how do we broadly see OpEx?

P.S. Reddy: You must have seen our average compounded growth, how much, which is 4%, 5%, what is that?

Satyajit Bolar : 7%?
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P.S. Reddy: Is it, or something?

Satyajit Bolar : Yes

P.S. Reddy: And how much is it? Is it 7%, expenses?

Satyajit Bolar : 5%.

P.S. Reddy: 5%. So that's what it is in the last 3 or 5 years, whatever, 5 years. And I think the last 2 years is something which has by and large stagnant, that's the reason why this has remained like this, but in terms of expenses, I don't think we gallop out there, we ensure that our costs are controlled, whether we earn a INR 1 or bring home INR 1 or not, at least our cost should be under control is our philosophy always. So that is something which we strictly follow. Keeping that, I think this year with the CD project implementation, some HR costs have gone up, because the additional resources have been recruited, and I'm sure those resources may also quit if once the project is implemented, because they're all very interested in new novel projects etc. And so we will not go ahead and then report or replace those resources. But otherwise, it is more or less stable in that sense, except for what our annual increment we give or what performance linked bonus we give, and performance linked bonus anyway it is linked to the margin that we earn based on the budgetary projections. So that's the way it is. And if we, for example, this year, we have not earned as much as we budgeted, so there is a cut in the performance linked bonus also for all employees. So that's the way it is.

Anand: Okay. Yes. I mean, over to you or Darshan or Rithik, if you have any questions.

Darshan: Sir, just one thing I wanted to understand, so in equities, we see that there are a lot of discount brokers who are focusing on, let's say, retail investors,

education, maybe like for a few years they've been doing it. And maybe because of that as well as the availability of various contracts, we see a lot of participation in the options market from retailers, retail investors. So do you think that maybe let's say going ahead with these brokers focusing on commodities, also commodities options also with new options contract, we will see more participation from retail investors in commodities as well?

P.S. Reddy: Yes, t

hat's what our target is. But as I said, we will introduce these options as we, I mean, on a strong base of futures, that's very important. And in fact, we were to introduce options on crude palm oil when our ADT was almost a INR 300 crores, INR 400 crores in crude palm oil. And we have decided the date also January some 17th or something like that, but middle of December, the contract got suspended, crude palm oil contract. So as a result, we couldn't move further on that. But yes, you are right, more and more contracts will be introduced, and once options are introduced more and more, probably more and more retail investors will also participate. It's a trend here. It may not be internationally true.

Darshan: Understood. Okay. That's it from side, Anand.
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Rithik: Sir, one question that I have in terms of going forward, sir, what is the core target group that you are looking into? So basically as Darshan talked about retail investors, what is our core focus area and who are we focusing on in terms of bringing new players in? Is it the retailers, or is it your physical market players, the ones who will sort of take physical possessions and sort of buy the commodities and take physical deliveries? What are we focusing on incrementally and how are we actually planning to get those target group in?

P.S. Reddy: My target is to bring in or strengthen the foundation of the commodity markets. Now that will happen only if the physical markets are assimilated into the commodity futures markets. And that will happen only if the physical market players seriously take a view of the commodity exchanges and then take the lead or price cues from the futures market and accordingly they hedge or they decide on what they're doing it. And that is something which is a tough task or tall order, but that is something which will happen. Speculators will always come, you know, we don't need to tell them how to speculate on in the market. But if the base increases in the form of more and more hedgers, then the risk takers are none other than the speculators, and that's the way it is. So hedges are by and large neutral, they don't gain, then don't lose. But the risk takers are here speculators and they will come more and more. That's what my view is. So our focus is to product range we want to increase. Increase the participation of the people and especially the institutional participation. Third one is the physical market players we wanted to bring in. These are the three areas on which we are working simultaneously.

Anand: Great. Sir, one last question from my side, we are top of there, but if you have time I would like to ask one more question.

P.S. Reddy: Sure.

Anand: Yes. Sir, just wondering, so you mentioned a very important thing that cost-wise we try to be very focused because revenue is in a lot of cases out of our hand, we got to depend upon global factors and volatility in prices and so on. So from a cost perspective, this 5% figure that we talked about for 3 year CAGR increase, I presume there has to be first a step down because technology cost is the biggest cost. So first there will be step down and then again there will be an increase, right? So what kind of a step down are we looking at in terms of savings from the technology cost? Would it like fall by 10%, 15% over the next, once the new technology is implemented? And once it comes down, then the second question is, we assume a lower cost increase trajectory, is that the right explain, because the technology is now our own?

P.S. Reddy: Yes, in terms of technology, as I already explained, if, again, if our ADT and other things remain by and large the same, then technology benefit will not come immediately. If our ADT increases, technology costs will be proportionate and will not increase. So whatever the additional that comes, it goes in the

bottom line. But definitely after 5 years, you will see a big, big change in the technology cost of the company, assuming that the write-off is done or depreciation is already provided in the next 6 to 7 years' time, and that you will see a very big change out there. This is one part of it. And on the Multi Commodity Exchange of India Limited
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human resources front, as I explained, once the, what you call, CDPs fully implemented, then maybe there may be a slowdown in the recruitment, even if the numbers increase, they may increase on account of some other project, which we handle it and some other revenue stream we may be exploring it, and that's a different matter altogether, but otherwise, for running the existing operations, you will not have so many HR costs.

Anand: Okay. But sir, just wondering, given that the software is our own, even at current levels it'll cost the same as the previous vendor. So that is in that sense, well, it shouldn't have...

P.S. Reddy: It's not cost in terms of cost, it's in amortization.

Satyajeet Bolar: Amortization.

P.S. Reddy: Amortization.

Anand: Yes.

Satyajeet Bolar: Both software as well as hardware. It has to be amortization.

Anand: Got it. Great. Team, any final questions or shall we close the call at this hour? It seems like none. Sir, in case if we forgot touching upon any important topic that you think we should talk about?

P.S. Reddy: I'll call you and tell you.

Anand: Great. But always great talking to you. Thank you for taking your time. Thank you, Mr. Bolar. Thank you, Mr. Reddy. Thank you, Mr. Praveen. Okay. See you then.

P.S. Reddy: Thank you.

Praveen DG: Thank you.

Satyajeet Bolar: Thank you.

P.S. Reddy: Thank you, everyone.

Call: Aug 2022

MULTI COMMODITY EXCHANGE OF INDIA LTD.

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CIN: L51909MH2002PLC135594, info@mcxindia.com MCX/SEC/2088 August 19, 2022

The Dy. General Manager

Corporate Relations & Service Dept.

BSE Limited,

P.J. Towers, Dalal Street,

Mumbai - 400001

Scrip code: 534091, Scrip ID: MCX

Subject: Transcript of calls with Investor/Analysts

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 read with the SEBI (Listing Obligations and Disclosure Requirements) (Second Amendment) Regulations, 2021, please find enclosed herewith the following transcript of the call with investor/analysts:

Sr.

No Investor/Analysts Date Time Annexure

1. Franklin Templeton August 12, 2022 12:30 p.m. Annexure - A

The said transcript is also uploaded on the website of the Company at <https://www.mcxindia.com/investor-relations/ir-meetings>

Further, we hereby confirm that no unpublished price sensitive information was shared/discussed during the said meeting.

Kindly take the same on record and acknowledge receipt.

Thanking you,

Yours faithfully,

For Multi Commodity Exchange of India Limited

Ajay Puri

Company Secretary

Encl: As above

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Conference Call"

August 12, 2022

MANAGEMENT : MR. P.S. REDDY – MD & CEO, MCX

MR. SATYAJEET BOLAR – CFO, MCX

Annexure - A

MCX

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P.S. Reddy : Good afternoon . Sorry I was held up in another meeting, so shuffling between the meetings. I am sorry I am late.

Moderator : Good afternoon, everyone . I would like to introduce our MD and CEO, Mr. P.S. Reddy and Mr. Satyajeet Bolar, who is our CFO. Amit I will hand this over to you. If you would like to take the introduction of the team that's there.

P.S. Reddy: Amit I don't need introduction to my shareholders. They are anyways my shareholders.

Anand Radhakrishnan : I will take lead here . I am Anand, CIO of Franklin Templeton. We have in this call Ajay Argal, Senior Portfolio Manager, Janakiraman, Senior Portfolio Manager, Nikhil Walecha who tracks the company, Nikhil Kalode who tracks the financials from our side . I will request Janaki and Nikhil to make the call with the specific questions.

Nikhil Walecha: Thank you Mr. Anand .

Amit: Thanks for taking the time and the meeting . So, as it's a no broker call, so I will just leave and over to you gentlemen. Thank you.

P.S. Reddy: Go ahead Mr. Nikhil please five questions.

Interviewer : Starting with the contract with the 63 Moons , so I think there has been some glitches in the TCS

app for which you are renegotiating the terms . So, is the ecosystem prepared for the transition and the alternative solution which you have finalized? Do you think there will be a risk and any challenges due to the change in the technology? How are the things progressing on the technology shift? Will that enable us to launch more products or does the platform have some problem?

P.S. Reddy: Primarily the technology shift is happening because the contract with 63 Moon is coming to an end and that was the contract which 63 Moon centered maybe in 2003 -04 when it started . They were all group entities , so their model of dealing with this is different . So, it was a perpetual contract , perpetual services agreements etc. so that is why this particular contract has been renegotiated in 2014 when the control of the 63 Moons over MCX has been seeded because of the not fit and proper kind of thing has made order against the 63 Moons promoters etc., or MCX promoters were done . So, for that reason it was completely renegotiated . Having renegotiated and having realized at the pay

ment terms were more tilted in favor of the vendor , so they decided that we should put an end to it . So that's how this contract but then that contract says you cannot float or you cannot engage with a new vendor prior to September 2020. You have then left with only 2 years , strictly 2 years . You have to develop a new system and then get going . So, in fact we worked even prior to that in terms of preparing RFP and other things by 17th of October we have floated RFP , 17th October , 2020 . So background we have done that without losing any time and then by end of January in the 3 months' time RFP has been closed and contract was awarded to TCS . So, it is primarily the TCS which is bringing in the trading software of Deutsche Boerse MCX

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and the TCS banks which is the backend or clearing and settlement functionality will be looked after by the TCS banks . So, they are marrying the two and then delivering it. Even the T7 in Germany is maintained by them TCS itself. Maybe ownership belongs to the Deutsche Boerse but then they are the ones who are servicing that. So that is the arrangement. Now when they have evaluated on their technical terms, they found this is superior over the existing technology platform , in fact existing technology platform they don't disclose anything. That's the way it is. We don't know what is there inside , how it happens and all that kind of thing. We don't have any documentation. For us it's a black box until the contract ends. Whether the new thing will allow you to introduce more contract even existing one allows you to do the more contract. There's no restriction on it. But for every change you have to pay here and there is a volume transaction income related payment of fee apart from a fixed fee. That is something which is going to take away some share of our growth. In the case of TCS, there is no such contract, I mean such kind of revenue sharing. So that is the major difference. But otherwise the existing platform as well as the TCS platform does not come in the way of introducing more products or trading any number of products for that matter. Have I made myself clear? Now this is one part of it. The second part of it is , we were to go live. I mean the initial proposal was to live in July. Now as we went on fixing bugs and the delivery has not fully come. Now they are looking at by end of August they will give full delivery. Thereafter maybe we will do a clean run , mock UAT parallel etc . and expecting by November we should be able to , November end maybe we should be able to launch the new platform is the whole proposal at this point in time. But contract ends at the end of September. So, we have 2-3 alternative plans. Plan A is definitely to seek 63 Moon s to give us a support for 3 to 6 months maximum period which we have sought. They are yet to come back , maybe in the next one week or so they will respond to us . If there may be some more commercials involved be that so , but at least we will secure the position for the time being and when the TCS system is ready we will migrate it.

Interviewer: With this migration would some arrangements with the erstwhile thing will be more or less over , right? You will become a proper independent.

P.S. Reddy: Mr. Anand, I'm not able to hear you properly.

Interviewer: I thought with this transition your relationship with the erstwhile organic promoters will end formally , right?

P.S. Reddy: That's right.

Interviewer: And then you will become an independent entity both commercial.. .

P.S. Reddy: Even today we are independent except for technology. Going forward even technology also

Interviewer: Some commercial arrangements continue to exist that's what I mean to say.

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P.S. Reddy: That will come to an end. That's right.

Interviewer: But unlikely event that the 63 Moons decide

lines to offer technical support beyond September, are there any fallback plans?

P.S. Reddy: Yes, that's what we have a plan B, plan C all are there. But we are working parallelly on everything. My view is that they should be able to give us if we pay something more. I mean if that is the case then we will pay more. That's the way it is. We will negotiate. Apart from that there's no reason why they should say no. That's the way it is. If they say no assuming that this is the worst-case scenario, we have a fallback arrangement. In fact, I don't want to disclose that because we have shared with SEBI also. I mean discussions we had with SEBI also this is what we plan to do it and fortunately what we have done it also, I can tell you this. Because of this very what you call legacy contracts they are all perpetual contracts, so you have a license to run it. You may not get the support in terms of when there's a problem then they will not come and support. That's the way it is. Otherwise, you have a license to run it. That's point number one. Second, we are also not introducing any changes in the existing system, so that the stability of the system is protected. And then going beyond that some kind of support also we are looking at it and it will come. That's what my view is.

Interviewer: Will this new software have any influence in terms of attracting more algos and proprietary traders?

P.S. Reddy: I think it is agnostic and we are trying to give more speed in the new application. Maybe whatever BSE claims that they do have T7 platform, they say we are the fastest in the world. Whether they are or not but then at least we would like to couple with fastest with the world and biggest business also, largest business also would like to have it with that being fastest is not enough.

Interviewer: Coming to the options, currently only two contracts which is the crude and natural gas which are the two major contributors in the options volume. While the other contracts like gold and gold mini are not scaling up, so what is the roadblock over there? To just add the absence of the spot market is also some kind of deterrent. Is there any way to overcome?

P.S. Reddy: Yes, I will handle in the same sequence. Yes, the concentration is at this point in time only in these two. If you have seen the crude oil contract got activated because of very high margins and negative or peak margin circular that has come in the place which has taken away the leverage and in the case of options you just pay the premium and then keep working on it and there's a premium plays, lot of things that is happening and there are people who option writers are by and large proprietary, mostly. Anyway, they have bank guarantees given and they don't care much about what you call the margins etc. because they don't need to move in cash in and out kind of thing. The options play has picked up in crude then NG we have introduced just in the month of January, so it's about 8 months old in that sense, not even fully 8 months old and it has picked up well. We are also planning to reduce a monthly options contract in a bimonthly gold MCX

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contract. That means in one contract of underlying feature there will be two options. So, it will devolve in to the underlying futures and then if somebody wants to go to the next options contract, they will go to the next options contract also. What will happen is it will reduce the premium cost. Now coming back to the mini options yes, we thought that that will pick up but again in the kind of ratio that you see that is in the futures ratio to the underlying gold futures versus mini futures. If you see that ratio, the mini was never bigger than this one. Maybe it is 20%-25% only that's a mini contract or even less at times. The options are also on the same lines, pattern that's following it. The clients

also we have seen it they are different one, for 1 kilo they are different bar and then for 100 grams there is a different clientele base. It will take some time for us to bring in retail investors into this options contract. What we did was, you may be aware of it also and we have recently told that gold can be delivered to home delivery can be made. We are tied up with these vault managers. If somebody takes delivery via the option route, they can definitely get gold delivered at their doorstep deliveries happening. We wanted to bring in more or attract greater participation of retail investors into this contract. Hopefully we will be able to do that and the other contracts, we had especially NICKEL is something which has spoiled our METLDEX contract but otherwise it was doing well. METLDEX was doing well. All of a sudden because NICKEL has got a 25% weight age, all of a sudden, the contract got deactivated. I mean METLDEX has become almost nil. Otherwise, SEBI has already come out with the options on index futures. Probably that we would have launched unless the strong underlying futures is there I would not like to launch options contract because obviously it will devolve into the underlying futures and that is where our efforts are at this point in time. We want to rebuild those contracts and bring in the last fizz in those contracts. That's way it is we're working on. So, Nikhil does that answer?

Interviewer: Yes. Currently like you said on the index what is our view on the index option? Given the index future volume is currently struggling and despite it being....

P.S. Reddy: That's why we are not moving towards that. We have not done market survey as to when to

introduce and all that. Our focus is to build that base itself. The index futures itself wider than I would like to bring in the options.

Interviewer: What are the reasons why it is struggling despite it being cash settled?

P.S. Reddy: The only BULLDEX is doing well at this point in time. Well in the sense it's about 150 crores ADT at this point in time but otherwise as I told you NICKEL, METLDEX was doing very well and almost all 300 crores, it has clocked the turnover but thanks to the NICKEL debacle that happened in LME and the underlying futures contract has dried up and the main index futures contract also has resulted in to zero volume. First is to revive the NICKEL contract. We have gone back to SEBI, telling them the NICKEL contract size is almost all 1.5 tons contract, metric tons which almost all Rs. 35 to 40 lakhs, on which the margin works out to be 20%. It's about Rs. 7 to 8 lakhs of margin 20%. We said this is too heavy and people are desisting from getting into this contract. We would like it to be reduced to 500 kgs which we had once. So, SEBI is positively considering it and so much value of the contract is definitely not in the interest of the MCX

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market players. Once that is reduced probably, we will be able to rejig the indices based on that change in the underlying portfolio then we will reintroduce.

Interviewer: Got it. Also, can you clarify on the SGF part, especially with the regulator feedback on the SGF with regards to the crude oil futures, with the background like why it was being done and currently we are right now on the SGF discussion?

P.S. Reddy: See in the past 2-3 calls I have mentioned it, the crude oil contract currently have about 25% to 35% margin. Now whenever the open interest in crude oil increases, especially in both crude and N G and even in the options there is an open interest because the option writer keeps the open interest. Now as a result of which the SGF requirements are increasing it. If the SGF requirements are increasing it then we have to put additional margin such that SGF margin requirements go down. We have a SGF cover of about 410 -420 crores, something

like 410 or

420 crores. Now the penalties contribute another 110 crores or 120 crores. But for the purpose of SGF cover when we want to calculate under stress test results that 100 odd crores of penalties are not to be considered that's what the SEBI rule is. In a sense we have only 410 or 420 crores is the SGF of cover. Now the moment we impose margin because this SGF of cover is insufficient then the volumes go down. So, it's egg-chicken situation for me. What we told SEBI is, we will contribute to SGF provided you allow me also to withdrawal when the SGF requirement goes down which SEBI is currently, they have put it before the RMRC, Risk Management and Review Committee before them which is likely to meet in the month of August now. If not August, early September they will definitely meet and then give that dispensation. Today our treasury is earning about 4%-5% or 6% whatever it is. Instead of doing that I might as well put in SGF and not to impose additional margin then volumes will increase, I will get more transaction revenue. In the net-net, you will be benefited rather than putting it and earn some more treasury income. That is what the whole connect between SGF and the crude oil margin kind of thing. Even in gold we have imposed additional margin.

Interviewer: Sorry Mr. Reddy. How much additional fund is required in the SGF from the stress test perspective?

P.S. Reddy: No, the stress test is done every month. There's nothing fixed. Depending on the open interest of the previous month, the next month SGF contribution will be decided. Since it is volatile it keeps going up and down, this SGF requirements also go up and down. That is why we said it. You should give that freedom to contribute and then withdraw. We don't want to keep there only that's what because the interest income on the SGF also goes back to the SGF.

Interviewer: But ballpark it will be like a small amount, let's say 10 -20 crores or it will be...?

P.S. Reddy: No, it will not be 20 crores. At times it comes to 600 crores, 700 crores SGF requirement. Then what we will do is we impose 10% additional margin. On 25,000 crores open interest, currently we have about 18,000 crores in the futures about 6,000 to 7,000 crores in options. So together it's 24,000-25,000 crores. So, on that the requirement increases.

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Interviewer: Understood. Thanks. But is the cost benefit analysis very clear? Because you'll be like you said losing the...

P.S. Reddy: Yes, we are very clear on that. We are very clear.

Interviewer: Like in rest of the world the far month contracts that see a decent liquidity and I think MCX also tried with LES and have cut the price also by half but still that liquidity. So, can you discuss like also other thing is when the typical option contracts are squared off, so what happens at the time of expiry of the option contract?

P.S. Reddy: Option contract expires 5 days before , 6-7 days before the underlying contract futures contract expires. It devolves into if there's an open interest of the option let's say it is in the money or at the money and the participant would like to exercise their right then it gets converted into a futures contract , open interest. Then the next 5 days if they want to close it , they can close it. If they want to take delivery, they can take delivery. That's what the options and futures is all about. It's not an option on commodities where option on commodities means if you exercise that then directly commodity will come to you. But here it is option on futures. Now this is one part of it. Coming back to the other question that , why this , what you call the far month contracts are not active. Yes, that is where we are aggressively pursuing what you call with the hedgers, it is a hedger who takes a far month view and then they are the ones who keep the open interest.

Currently about 3 months contracts are the most active generally speaking. Now if you are comparing with US or LME or China and other things , maybe 6 months contracts are also active. In some cases, even 3 months contracts, 3-year contracts are also active. We have not reached that stage as yet and the participation is still dwindling. In fact, some of our players only go there and then trade or hedge on those markets. It's an egg-chicken situation for me. If you ask the big players to come and hedge , they say that you don't have liquidity. So, what we are focusing is let us build from the bottom up. Small players our liquidity is good enough , so bring them onto the platform , make them what you call hedge on the exchange platform. If once the liquidity pool increases , the open interest of the smaller players gets added up then bigger players , next level of players can be what you call enticed or are reasoned with. Look here is the open interest. Now you can also join the exchange ecosystem. That's the way we are proposing.

Interviewer: Yes. So that was the next question. Like why international players are not hedging on the domestic exchange. I think you answered it partially because

P.S. Reddy: International players are currently not permitted. They are not permitted. Only domestic players are permitted. Even the domestic players can go and then hedge in international markets. But international players are not allowed to come and hedge. Once the FPI rules are made which SEBI has already permitted and the regulations are being prepared or circulars are getting prepared. Once that is prepared then they will start , they are allowed to hedge in the domestic market also.

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Interviewer: Okay. Anything else that you can do to attract the institutional participants like any categories that you can launch where they are not yet present and anything ? What are the key drivers for the institutional participants in FPI to move from global exchanges to MCX?

P.S. Reddy: As I told you regulatory framework is not in place so FPIs cannot come. Only about 2-3 months ago SEBI has permitted. Permitted means they have only in principle approval has been given. The board has cleared it. The regulatory framework is yet to be put in place. Meanwhile we are working with the FPIs. One area where FPIs may immediately come or rather two areas I would say. There is international arbitrage that can take place , LME versus MCX , CME versus MCX etc. Currently they have to have two legal infrastructures, what you call legal entities , one to trade and then settle the books on LME , another to trade on the MCX and then settle it because this has come under Indian jurisdiction. If they permit the FPIs then one single FPI can trade both in , I mean they can consolidate the books , both India as well as the international books and then trade without any problems. That is something which many of the players , in the past some players may be doing it without much regulatory framework being in place. Once the tax authorities have come down heavily, I think they've discontinued it and now that will officially will happen. That's one view that is what I was told. Second thing is the cash and carry arbitrage opportunities will come , if it comes in our market and it may be there in other markets also but there are some cash and carry arbitrage opportunities . We have seen last year in silver there is a huge cash and carry arbitrage opportunities. A lot of silver was lying in our vaults and a lot of companies, I mean a lot of hedgers have made money on that also. Such kind of opportunities as and when they come, they can also participate. Does that answer?

Interviewer: Yes, and on the bank subsidies which are I think less than 10% of the volumes , is there a scope to further increase?

P.S. Reddy: Yes, they are ramping up.

All of a sudden for me this technology migration has come. Some of the big players are saying it , your technology migration gets it done then once it is done then I will work on the new platform rather than working on the old platform is another thing that they were saying but the existing players are ramping up their business no doubt about it.

Interviewer: Any specific products or anything , enablers that you would want to bring in to improve the volumes in the Algo-traders? I understand it's very high but still anything that can be further done to increase the volumes and also, I think the pricing is not different but can it be different

at the regulations?

P.S. Reddy: No, I think regulators are very clear. In fact, there's a circular also which says that you can't discriminate between A and B. But whatever it is the discrimination, not by class but by volume, turnover you can give it. Which we have currently that kind of thing up to 350 crores you have one tariff and then beyond 350 crores you have a different tariff. That is what the like income tax slab we have there are two slab only and currently the average comes to about Rs. 207 per crore is what we are earning currently. Otherwise, I can't distinguish between Algo and non - Algo and then give discounts.

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Interviewer: Anything that you can launch to increase the volumes further?

P.S. Reddy: Yes, obviously new products is another one as you keep asking me. You have a concentration in crude and then energy or energy basket so we want to go away from that and then try to disperse as much as we can. That is where we are trying to activate our metal contracts is one and the second one is we would like to introduce aluminum alloy; electricity futures and all steel TMT bars. I think approvals are still pending and it takes time for us to get this approval, some of them and especially the electricity futures have to be approved by two regulators CERC and SEBI. There's a joint working group and almost on 1.5 years ago we filed our contract with them and I think now that things are happening hopefully, we'll get it cleared this quarter.

Interviewer: Historically we have seen whenever we have launched the new, adopted any new initiative be it the product or in terms of the participants; following that announcement the process has been very slow due to the operational issues. Just wanted to understand whether what exactly the market participant needs to start adopting and trading in that product?

P.S. Reddy: Internationally also almost 3 years a contract takes to mature. Mature in the sense to attain a reasonable level of liquidity. Now while we conduct, we have a product advisory committees take the feedback of the product advisory committee in designing the contract and then we go on what you call creating that awareness etc. But still in India the understanding even among the corporates also is very poor in terms of hedging. Hedging means no loss no profit. But they don't understand like that and to understand no loss no profit both the books they have to put together and then say that yes one book the physical book is lost then the financial book will be profit or vice versa it will happen. But when it comes to loss on the exchange they forget about the physical book and then they made money; they say that anyway we would have made money. I mean you have lost money in the financial book. That is the way they are questioning the purchase managers and other things. So, a lot of education is needed. In fact, we have engaged also in the past with the CFO some of these companies and trying to conduct a one-day workshop as to how this works and industry wise we have done it. One is for Bullion industry. Whichever our companies that are into the dealing in Bullion their CFOs have been explained as to how they should be looking at hedging similarly the met

al etc. But then it takes time for them to

accept it and then get them accepted by their bosses also. Yes, it is a Herculean task but we don't leave it like that and we will make it happen.

Interviewer: Can you briefly tell us about the profile of the option investors and how many of these are the new customers? How many of the old customers? If there is any slowdown over there then do you think the new customers which have come recently, they may exit and who are the major participant retail, prob book PMS etc.?

P.S. Reddy: So, as I told you a lot of customers who were earlier trading in the crude oil post negative pricing, they have deserted the counters. Now subsequently when we introduce this options contract many have come back and in addition to that a lot of new clients have come with options. Now in the clients also as I told you the option buyers or option whether they buy a put option or a

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call option in that category they are all retail on the option writers. Whether they write a put option or a call option they are all the proprietary and concentrated among the big ones.

Obviously, they need a lot of money to write option contract because the benefit is only premium but then actually the downside is unlimited. Whereas in the case of option buyers be that put or call option it's limited to the option premium. So, keeping that in view this is how the distribution is. Yes, a lot of new investors are coming. Maybe Indian investors are used to option contracts in equity markets, so even they are also looking at it and some of our member brokers are also in their morning calls or research calls or whatever the market view calls, they are also marketing these products to their clients. Everyday morning, they have a client call and they are marketing even these products also. That is something which is renewing the interest of a lot of investors.

Interviewer: In terms of the new products like I think the monthly option bimonthly gold futures, electricity

futures and I think some time you mentioned steel also. Where do you think are the largest potential and do you think what would be the pricing mechanism in the electricity futures and at what volume will they become profitable?

P.S. Reddy: I would say this way. There's nothing called not being profitable because you just introduce it and whatever is the ADT you will keep earning the transaction charges. Now maybe some manpower may be hiding or if at all we are hiding there's no such thing that we have done it. For example, energy basket is there and the electricity goes under that and the same team is working on that. There's nothing extra that we have done it on that in terms of expenditure. The pricing also will not be different. We don't do pricing product by product and we shouldn't do it because SEBI is very clear you, should just have a tariff across all. So that's the way we do that. If at all you want to introduce a LES you can introduce liquidity enhancement scheme but not by way of a reducing the tariff. They don't want that. It's a non-transparent way of doing it so you please don't do that. That's the way it is. So, coming back to the others what will be the contracts? I think electricity is something which we are looking at it maybe in the next 3 to 5 years that should do well once we introduce it but yes that's the way it is.

Interviewer: And need some clarity on the OPEX side. So, there are three elements. One is the tech where you're already renegotiating with that, you have renegotiated data terms. How much would be the saving over there? Then secondly is the employee cost. Can you tell us like how much is that in fixed in nature and how much increase can we anticipate in the employee cost and the other OPEX which is a major constituent and how much increase can be there in the other OPEX? What are the key things? It more variable or fixed in

nature?

Satyajeet Bolar: Start with the employee cost. If you compare it with March as we mentioned in the call that we had made a provision for variable pay and it was a budgeted figure and then when we came to March, we realized the actual realization and then there was a reversal. There's a small component of around on an annual basis maybe around 10 crores for the variable. The rest is all fixed on the employee costs and I think this run rate would continue, the present till we come to March and hopefully we'll meet targets and we'll be paying what we are budgeted for. When you come to the IT there's a fixed component as well as a variable component that we pay to 63

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Moons and also the product cost also includes what we pay to CME. There's a minimum commitment charges that we pay to CME, going forward once we go live there would be only the AMC. I mean the first year with TCS is under warranty but there would be an AMC that would kick in from after 1 year and also there'll be various operating expenses operating softwares that we have procured and which will continue to pay because most of the vendors have moved into subscription-based model from perpetual model for licenses. Those licenses would kick in once we go live. Also, the amortization of an asset that is the software as well as the various servers that we have purchased for the new software that would kick in once we go live. Other expenses are mainly, we are maintaining we run the building so there would be electricity, maintenance and there are some traveling expenses which is I think in the normal run it would be there.

Interviewer: Also, can you give some clarity on the tax rate because the tax rate currently is around?

Satyajeet Bolar: Tax rate on standalone is around 25%. Till last year we had a MAT credit we have fully utilized the MAT credit. Earlier tax rate was 29%. After utilizing the MAT credit now, we have moved to the lower rate which surcharge and all it will come to around 25%.

Interviewer: For consol entity it would be 25% from now onwards. it will be around.

Satyajeet Bolar: It will be around 20% and this is standalone it will be around 25%.

Interviewer: What is the difference?

Satyajeet Bolar: Because when CCL when they have contributed to the SGS they've taken that as part of their spend, so brought forward loss for CCL.

Interviewer: And dividend payout, how much are we looking at?

Satyajeet Bolar: Up to 75% is what we, the cash that we earn during the year is what we disperse.

Interviewer: Mr. Reddy on this proposed approval for FP I to invest in participate in domestic commodity exchanges, you also mentioned that they can combine their books across different tax jurisdictions. Is that realistic to expect?

P.S. Reddy: Not different tax jurisdictions. What I am saying is an FP I can trade on CME as well as trade on MCX and they can do the arbitrage and then that arbitrage income they can show it. There's no problem.

Interviewer: That is like a normal trading in the sense whether it is a hedging or an arbitrage that is of little concern to you right? As far as you are concerned you will get a volume?

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P.S. Reddy: That's right. That's what I'm saying, we will get the volume. But currently what the brokers used to do is that's what I was told, that they had one book for the international may be from Dubai or something we are trading maybe. One here there are losses here or there are losses there and then profits here. They are not able to adjust between the two.

Interviewer: Right. I'm also seeing some slightly higher interest coming for this Gift City operations. Does that have any relevance for you?

P.S. Reddy: Well in the Gift City we have invested also in the Gold exchange the spot exchange and we have a 20% stakeholder along with other four others. So equally held,

three exchanges and two

depositories. We expect once the gold lands in India probably they have to hedge their risk also.

So that is dollar denominated here, once they come in, bring into India they have to hedge their risk in rupee terms also. I think that is a win-win for us anyway. Even today also whoever is bringing the material, where the channelizing agencies, they are also hedging on exchange because the RBI rules do not permit hedging and international exchanges as Gold is concerned. They are hedging on MCX there's no doubt about.

Interviewer: But beyond gold, you mentioned that even products like steel, especially in the last 1 year we have seen a lot of companies suffer significant margin volatility because of this commodity price volatility. Now there should be much higher willingness on their part to hedge their exposure, right. Why is still

P.S. Reddy: We don't have a contract as yet, no. We don't have a contract as yet. We are still waiting for SEBI to approve.

Interviewer: Is that taking too long? I'm also using the example of your electricity contract.

P.S. Reddy: Yes, it is taking too long. It's taking too long, yes.

Interviewer: Is it just because of the bureaucracy or some of the existing exchanges are also putting up some resistance for these approvals?

P.S. Reddy: For example, electricity, the CERC is obviously the spot market development and they would like some of those contracts. Forwards, they wanted to be introduced which they did, very recently IEX has introduced some forwards and we would like the futures to be introduced and that's why they are not giving it that's what but then SEBI is also pursuing it. These are regulatory issues primarily speaking. It's nothing to do with the exchange contract. That's the way it is.

Interviewer: Okay, can you clarify once again, our cost saving when you migrate to TCS like including, even taking into depreciation in new account. For example, if we are spending 100 today in the 63 Moons, so when we move to TCS how much overall cost saving will be there?

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P.S. Reddy: We have not disclosed the figures as yet. But the way that I'm explaining, in fact the other day also explained. Given the present volumes, the turnover etc., maybe there may not be any cost saving but once the volumes increase then that upside will not go a part of it into the IT expenditure, it will go into the bottom line. That's the way it is. With increase in volumes there won't be any additional cost on IT. Today we are showing one variable cost. If you see that there's one entry variable cost, so that will not be there.

Interviewer: But assuming if volumes remain flat then you're not expecting any improvement in the cost side in a technology side?

P.S. Reddy: Not immediately because of the depreciation.

Satyajeet Bolar: The substantial amount has amortization, isn't it? One is for the software as well as for all the new servers and hardware that you have procured for the plan.

Interviewer: Understood. This Gold Spot exchange, there are some issues with related to GST, right? What's the progress on that?

P.S. Reddy: That's right. See the domestic Gold Spot Exchange yes, we do want to be there. But one is that our technology platform has to be ready and we have awarded a contract to TCS even for Spot.

They said that once they deliver this CDP, derivatives platform then they will pick up that software and then tweak it for Spot also and then give it. That being the case, we are also not in a hurry in the sense the EDRs, electronic EGDR or Gold Deposit Receipts are securities. So, securities don't attract GST. Now the guy who is depositing first time the gold in the vault, he needs to get his GST back, whatever the credit. Now if he deposits and converts into EGR then EGR we don't know when it will be rematerialized and gold will

be taken out of the vault. Till

then the introducing member or introducing party does not get the credit that may be in few crores. That is something which is coming in the way at this point, GST issue.

Interviewer: So, there will be no kind of overlap or competition with what you are doing in the Gift City for the Gold exchange?

P.S. Reddy: That is purely only select brokers are permitted. Qualified jewelers are permitted. Not everybody

can go there and import .

Interviewer: Okay, thanks. Is it fair to say that the increase that we have seen in the UCC for MCX , I mean, it's largely due to the increase in the option trading volume ?

P.S. Reddy: That's right.

Interviewer: Okay.

P.S. Reddy: Mr. Akhi I, where are you? Are you there on the call?

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Interviewer: No, I think he's dropped out. So, Nik hil, are you done with the question?

Interviewer: Yes, we are done .

Interviewer: Thank you so much for your time, sir. I really appreciate .

P.S. Reddy: Welcome

Interviewer: All the best.

P.S. Reddy: Stay invested. Thank you for staying investing also and we will see to that. We'll call all our weight behind the company and see that we reach a greater height . Thank you. Thank you so much.

Interviewer: Thank you, sir.

Management : Thank you, gentlemen.

Call: Aug 2022

MULTI COMMODITY EXCHANGE OF INDIA LTD.

EXCHANGE SQUARE, SUREN ROAD, ANDHERI (EAST), MUMBAI 400 093, INDIA. TEL: +91-22-6731 8888, FAX: +91-22-66494151, www.mcxindia.com

CIN: L51909MH2002PLC135594, info@mcxindia.com MCX/SEC/2085 August 17, 2022

The Dy. General Manager

Corporate Relations & Service Dept.

BSE Limited,

P.J. Towers, Dalal Street,

Mumbai - 400001

Scrip code: 534091, Scrip ID: MCX

Subject: Transcript of calls with Investor/Analysts

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 read with the SEBI (Listing Obligations and Disclosure Requirements) (Second Amendment) Regulations, 2021, please find enclosed herewith the following transcript of the call with investor/analysts:

Sr.

No Investor/Analysts Date Time Annexure

1. Nippon Life AMC August 10, 2022 04:30 p.m. Annexure - A

2. Union Mutual Fund August 10, 2022 05:30 p.m. Annexure - B

The said transcript is also uploaded on the website of the Company at <https://www.mcxindia.com/investor-relations/ir-meetings>

Further, we hereby confirm that no unpublished price sensitive information was shared/discussed during the said meeting.

Kindly take the same on record and acknowledge receipt.

Thanking you,

Yours faithfully,

For Multi Commodity Exchange of India Limited

Ajay Puri

Company Secretary

Encl: As above

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Meeting with Nippon Life AMC

August 10, 2022

Disclaimer:

This transcript is provided without express or implied warranties of any kind, and should be read in conjunction with the accompanying materials published by the company. The information contained in the transcript is a textual representation of the company's event and while efforts are made to provide an accurate transcription, there may be material errors, omissions, or inaccuracies in the reporting of the substance of the event. The transcript has been edited wherever required for clarity, correctness of data or transcription error.

This document may contain "forward-looking statements" – that is, statements related to future, not past, events. In this context, forward looking statements often address our expected future business and financial performance, often contain words such as "expects", "anticipates", "intends", "plans", "believes", "seeks", "should" or "will". Forward-looking statements by their nature address matters that are, to different degrees, uncertain. These uncertainties may cause our actual results to be materially different than those expressed in our forward-looking statements. We do not undertake to update our forward-looking statements.

Annexure - A

Multi Commodity Exchange

August 10, 2022

MANAGEMENT : MR. P.S. REDDY – MANAGING DIRECTOR AND CHIEF
EXECUTIVE OFFICER
MR. SATYAJEET BOLAR – CHIEF FINANCIAL OFFICER

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Participant 1: Okay, Ri shit. Good afternoon. And just quickly introduce our Managing Director ...

P. S. Reddy: Good afternoon, Mr. Sailesh and other colleagues from Nippon India Mutual Fund.

Rishit Parekh : Hi, sir. Good afternoon, sir, I think Sailesh will be joining in the next 10 minutes from but we can start.

P. S. Reddy: Yeah, please go ahead.

Rishit Parekh : So thank you, first of all, for giving me time and doing this call.

P. S. Reddy: Can you switch on video, so that I will be able to connect better with your faces.

Rishit Parekh : One second, one second. Let me try and do that.

Rishit Parekh : Am I audible now?

P. S. Reddy: Yes Rishit. How are you?

Rishit Parekh : I'm good, sir. How are you?

P. S. Reddy: You're working from home.

Rishit Parekh : Sir, today, because I had I like multiple calls. So it is always easier from home. The day is very crazy.

P. S. Reddy: A lot of traffic jams along the western highway, I don't know, which side do you stay?

Rishit Parekh : And so I stay in Kandivali, and it took 3 -4 hours. So I took a wise decision that you know to turn out the other way.

P. S. Reddy: Sometimes it happens without going ourselves that we are taking a wise decision. And a fund manager, you must have observed it also.

Rishit Parekh : Obviously, you stick to plan, right? If you take a call, if it works, it works. It doesn't, it doesn't. And that's part of it. Anyway, sir. So again, thanks for doing this call I am Rishit from Nippon. I look at -- I've joined these guys about a year ago now. Prior to this, I was working on the sell side for Goldman and Nomura. I've joined these guys, and I cover a fair bit of space for them, including tech, part of healthcare, part of exchanges, aviation, etc. So that's what I do here. I think shortly I'll have Deputy CIO Mr. S hailesh Bhan, as well joining in. But -- so that's about us, we manage a fairly large fund, S hailesh Sir looks after the large cap fund and as well as the pharma fund. And I think we've been holders for MCX for a fairly long time now. So with that, I would want to, you know, start essentially on the two or three key questions, right,

essentially. So one, essentially, let's start with the tech and then I think, then we'll try and address more on the product side, right. Just wanted to understand on the tech side, what is the status with respect to TCS, are they on time to deliver the platform or there will be delay and if there is a delay, what do we essentially plan to do, will we end up doing one-year extension with 63 Moons, how does that sort of contract play out? Can they be opportunistic, etc. I mean, what's the fallback in case TCS ends up with a delay for the delivery?

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opportunistic, etc. I mean, what's the fallback in case TCS ends up with a delay for the delivery?

P. S. Reddy: Yes, there is a delay in the TCS in fact in the call also, I said that. Now they're saying that on August end that they will deliver and thereafter we need to give a mock runs and parallel runs, etc. At least I need a clear to two months of a clean run without any problems, then we will be able to go live. So sometime in November is what we are looking at, if the TCS as planned delivers it. Since our contract ends at the end of September, our Board in the last meeting as advised me to get into the negotiation discussion with 63 Moons for an extension for a maximum period of six months, so which I have initiated and I think, we are hopeful that we will get some response from them. And, I mean nothing they lose you know if they extend it, because currently the way that we are paying is also very attractive for them. Having said this, will they turn opportunistic, I do not know, I don't want to cast any accusations. It is not fair. And we expect them to be just as professionals as any one of us are. And I think we should be able to get that. That's the way

I

look at it. And, I mean, we are also having a plan A, plan B, plan C kind of thing. I'm not able to disclose any of those things, because I may be jeopardizing, all those plans. So that's why I'm not talking anything, but we are working on all the plans.

Rishit Parekh: And from the cost perspective, is there a delta, I think obviously we've discussed this in the past as well. But just wanted to still understand this a little more clearly, let's say whenever we switch to TCS, I think last time when we spoke, you talked about that look, the depreciation will eat into the cost savings, and essentially there will not be a lot flowing into and it will be only three, four years out is where we see the benefits from a PAT or from a, let's say, lower perspective, is that something that you would continue to sort of hint on or there's more color that you can provide them?

P. S. Reddy: See, it's not a more color. But more, you know, a colored scopic view here. What I said is true with the current volumes, okay. But if once we step into TCS platform, if the volumes increase, there won't be any corresponding increase in either the depreciation or any other costs of it. So whatever that goes beyond, will come into the bottom line only, that's the way I look at it. So we need to look at this contract, fixed versus variable contract kind of situation, if you look at it, then the increase in volume, there won't be an increase in costs. That's the way it is.

Rishit Parekh: So here I think there will be obviously your purchase the license, and then there will be just an AMC bit that will end up paying on a recurring basis.

P. S. Reddy: That's all included in the costing that we have done for about five years, for one plus five years already there in it. So it's not an issue, but then probably the AMC costing will be what to call debited to the P&L and the year in which it is being incurred. But currently, it's not much.

Rishit Parekh: Also other, we will have to – we have already procured hardware, the servers and there will be some operating sensors. So in addition to the TCS costs, these other expenses will also be there.

P. S. Reddy: And like – there will be Linux or Red Hat plus some of those licenses, that's the way it is.

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Rishit Parekh: And just if I look at the current quarter, essentially, some of those costs will already be there, which should -- which also results in sort of lower EBITDA,

or that's essentially not the case right now.

P. S. Reddy: It is not put to use, and the new platform has not yet been put to use. So it's all under a seat.

Rishit Parekh : But is there any other OpEx cost or any other costs, which sits in the p&l? Obviously, the way I understand obviously, new platform is not yet in use, right? But there might be some cost that you might start to incur let's say 2, 3, 4 or 5 months prior to just maybe test it.

P. S. Reddy: There are some manpower costs, but then that we are capitalizing it those manpower is put to build his platform and test it and all that kind of things. So those expenses are capitalized.

Rishit Parekh : Okay. So not a part of P&L as of now. Okay. Understood. Now, coming back to the product bid, right. I mean, there's a phenomenal rise, I think in terms of the option volume, right, bulk of it is obviously crude in natural gas, but still I think -- even I think this -- so are you super surprised by the way the options volumes have picked up. Because I think I remember when we spoke, I think last to last quarter, I think you'd internet volumes of this kind similar to futures somewhere in FY '24. Right? And we at the start of FY '23, we're already at that level right. So, just wanted to understand one, how sustainable is this, second, who are the participants essentially, which is led to this option rise and third I mean, today's crude

oil and natural gas, but is volatility a large part of this and as in when volatility dries up, is there a reason why this can sort of come off?

P. S. Reddy: Okay, for the first part of the question is did it surprise you? My answer is yes, it did. As you have said that, may we may reach about 60,000 kind of levels in 3 years' time is what I said. And yes, it did surprise us and we are almost at 20,000 over the months ADT, but yeah, it does surprise us. Having said this, we have seen, volatility is always that is whether it is in futures or in options, volatility is the driver, but we need to keep ourselves to prepare the ground for participants to step in and then play in the market or trade in the market. That's where our all of our effort go and that's where our systems improvements or margining system at it all that is directed towards that. Yes, volatility does play a major role, but at the same time the new players are coming in, again the retail investors who have deserted these counters and the crude oil went into negative most of them have come back in that sense, I can tell you and even the growth that we have seen in the number of UCCS, it is mostly coming from the participation in options. So, as you can see, I will tell you the in the year FY '21 - '22 in options, we had one 172,000 clients UCC, in '20 - '21 we had 42,500, okay, so, that is the kind of for growth we have seen. And if you see the futures, say FY 2021 457,000 and '21 - '22, 389,000 so, and this substantial reduction was in crude only, the crude and not so much in others, but, yes, that's the way it is.

Rishit Parekh : I think Shailesh Sir is joining as well. But just continue on this piece, right?

How sustained, so obviously, volatility is a part of it and in your experience, could you just help us understand? Let's say volatility was to dry up in one, would you see an absolute drop, we've not seen that in the past years because something else picks up is what the understanding has always been, but just in your view?

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P. S. Reddy: Volatility drops but it doesn't go to zero or anything like that, maybe there are intraday opportunities will operate. So to that extent intraday play will come down, but otherwise there are people, there are hedges, there are people who will look at not only intraday, but interday also, so today, tomorrow and the kind of thing, and they continue to be there in this.

Rishit Parekh : Okay, so you wouldn't anticipate this coming off materially in the next, let's say, six months?

P. S. Reddy: Yes, that's what my expectation is.

Rishit Parekh : And from a contract perspective, so we've looked at let's say gold, gold mini, which is also something that you launched right. But I think the scalability of those contracts have been slightly weakish, right any reason why that should have happened, I mean, gold Mini is like a contract which should have ideally sort of picked up a lot right. Any reason why the volume sticks to crude and

natural gas.

P. S. Reddy: Options I expected it to pick up especially the value is 1/10 and the tenure is also a monthly as administered by monthly, but somehow the players got used to the one kilo contract rather than the mini contract, even now also the -- even in futures also the volumes of mini, are maybe 15% - 20% then the main contractor, so keeping that in view, it didn't pick up as much as but it didn't disappoint also at the same time I must say this. So what -- now we are planning to launch monthly options on the bimonthly gold, one kilo contract futures contract, probably that may that may definitely help us to grow that's the way I look at it

Rishit Parekh : Sorry , which contract are you planning to launch ? The bi-monthly contract is it?

P. S. Reddy: No, monthly options contract on bi-monthly one kilo. Currently, gold futures is there, on tha

t we have a gold options bi-monthly options. But we will launch a monthly options contract so that tenor is reduced by half.

Rishit Parekh : Correct, obviously that I mean, for free you the couple of important things is one settlement, which today doesn't happen right in some of these contracts, which also is a hindrance, right, because large part of the volumes, let's say when I was to look at any other indexes, or other exchanges essentially happens on the expiry day, right. So something that's something as a volume that we tend to miss across some of our larger contracts, right, crude or gold, etc, right. I think this monthly should essentially help us sort of add to volumes, is there any anticipation on how much do you think this can happen, this can sort of expand into from a volume perspective for us?

P. S. Reddy: Yeah, no, I'm not able to give any number on it. But our roadmap is we plan to, again SEBI's permission introduced serial contracts, which will expire a monthly contract, but which will expire every week. So, the point you are making, the expiry play is not happening, that will happen if we have a such kind of weekly expiry contracts. Have I made myself clear? So monthly options, so one will be introduced in the first week of the month, which will expire at the last week, second week, it will be another one monthly contract, which will expire the second week of the month. So that every week some contract is expiring.

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Rishit Parekh : But then the problem of physical delivery, I think that's been a hindrance, why?

P. S. Reddy: Since it is a bi-monthly contract, we are not -- we are not expecting at the end of the contract, it will devolve into a futures contract.

Rishit Parekh : But I think that's where the problem has been right? Most people don't want to get there and hence they don't I mean, they close their positions way earlier.

P. S. Reddy: That's fine. They close the position since you have a monthly contract , I mean, weekly expiry play is there, they will move on to the next week, which is expiring. It is a serial contract, that's the way it is.

Rishit Parekh : Okay. And so, serial contract should help you sort of, take some of that expiry that you miss out, okay. So, you can keep staying into options, but you can keep playing it every week to the next week.

Sailesh Bhan: One question on this? Yeah. Hi, good afternoon, sorry for joining in late, see one is a s an exchange when we see it right in India, whatever scale of work which is happening today in terms of volumes being created and all that though, they have increased substantially and you have achieved two very fast progress in some categories. Generally , if you leave aside the near-term issues three, five year view on what size this whole opportunity can be, with so much of dominance you have in terms of the presence, how different will it be from say any other exchanges which are there and for commodity exchanges, like ours what is the potential size or delta shift can it be 15% - 18% compounding for many years to come in terms of growth in the business there are you think there are some structural hindrances like he talked about delivery in commodities and things like that, which will make it very difficult to execute or other challenges that most of our corporates hedge abroad or things like that, what will make it change in our five year view is what I just

wanted to have understanding and then maybe have specific questions.

P. S. Reddy: Yeah, see this particular segment, the commodities markets have not received adequate attention at various levels okay. And that is something which is required -- which requests for some reforms forms to take place. Now, I can tell you one of the major reasons at this point in time is the GST issue. And now GST issue is a major reason because all participants those

who want to play in the cash and carry kind of arbitrators or who want to take delivery. And I mean, or if there's any opportunity of what to call going short in the current month and the long next month, etc. They're not able to do it because every time you will need a GST registration. All players are not the ones who are physical marketplace in the sense to take delivery and use it for their purposes. In any case, it is a financial exchange, it is only meant for the hedge purposes. Delivery is your last resort, that's what we have been telling also. Delivery if needed, so that the prices will converge and it will behave in a manner that reflects the prices are more or less reflecting the spot, plus cost of carry, this is all theory that other some people say that, but be that, so, that intraday opportunities are between the spot and then futures if there is any opportunities, people should be able to play between the two markets, which they are not able to do everybody because of the GST issues and we have delivery centres at multiple states and multiple delivery registrations are needed. So, this is one major bottleneck that we are currently facing. We second again, people tend to compare with the China Multi Commodity Exchange
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etc. but there is a lot of state support is there and many of the contracts are -- and many of the government entities have been told to do the business via the exchanges, but we don't have any such kind of blessing or privilege. So, we are more like a private kind of thing and you have to survive on your own. Third important thing is, that currently many of our big players in the country, they are going to the international exchanges and they are hedging it. So keeping that in view, what we have been positioning is this exchange is meant for our domestic, medium and small players. Fine if the bigger players want a bigger depth I will not be able to generate it overnight, I can only build bottom up. So, the smaller players is what we are catching them, they may not have an international exposure, domestic exposure is there, ours is rupee denominated contract, so they can come and play on this exchange. Similarly, the prices that they face in the domestic market are the ones reflective of MCX prices. So, many people say that if you want to buy or sell whatever it is, MCX price plus or minus whatever that is, that is the way the physical market transactions are taking place.

So, we are catering to the -- in that sense, by and large to the domestic players. Second, which is equally important is, we are able to break the monopoly of our cartelization of some of the major players, especially in metals and other and other products. So they're building around that product, there's a brand, they are building, they're doing it, they're charging extra premium, our platform is giving an opportunity for the lesser, I mean, children of lesser God... put it that way, who can actually come and sell on the exchange platform. And we are what we call brand agnostic in that sense, as long as the quality parameters are met. And if the -- if the quality is good as per our specifications, then they can sell it any amount of quantity. And that is how we have been able to make a dent in this.

So coming back to your question, how big you can be, I think potentially is very big at this point in time, a lot of education is needed. And we -- it's also a struggle actually, you know, they are also, the domestic players, some of them don't understand the concept of hedging. Hedging means no profit, no loss and they are not able to digest that.

Sailesh Bhan: They want inventory gains.

P. S. Reddy: So, they have been telling them, you have to keep the financial book and a physical book together and then see that if one book is incurring loss, the other book is making money. So you're locking in price, you are locking in

your margin, that is precisely what this type of platform is meant for. But they are not able to at times to take it and some of their managements are also questioning the CFOs, Why did you do this? For incurring loss on the exchange, then the guys show there's a profit on the other side. Not that any way you would have got it, had you not also hedged it. That is the unfortunate thing, but it takes some time. And the other area is even the banks are not insisting, although they are lending a lot of money to some of these industries. They are not insisting that they should commodities risk, they should hedge on the exchanges. That is another thing. So it's a culmination of factors, which makes this industry grow. And unless those things happen, I mean, growth will be stunted. I mean we can only go this far, that's the way it is. But we are definitely moving in that direction. And when it comes to agricultural commodities, there is a lot of political pressure and if the prices are down, the farmers are committing suicide, if the prices go up, the spinners are seeing we are not able to meet the obligation. This kind of issues, keep Multi Commodity Exchange
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coming all the time with challenge, and I think we should be left to ourselves to do the business without any intervention of those are without succumbing to such pressures. That's the way it is. I don't know whether I directly addressed it, but then I did sum up what are the factors which are holding us back or which are going to help us if these are addressed. Sailesh Bhan: This is the -- like you rightly said this is the reality of the market today where you're operating in. So, thank you this is helpful. This one piece on this for example, like you rightly said banks are not asking medium or small SMEs to or medium sized SMEs to hedge right, and is there any concerted effective effort on you to reach out to Chairman of all these banks or any of these guys to or the risk committees of banks or such to be able to convert them, because I think, like you said it is more effort of education and support across corporates as well as banks. And like there we also face similar challenges when we meet corporates you know, so, in terms of how they handle their investment books and all that, but the reality is that, the need of this is certainly there right? The need of balancing your costs versus what you're projecting for the or you know, derisking in that context is there. So, are you investing in people to reach out to these directly - indirectly with some association or some this thing to be able to push through your point and solve a problem for these people.

P. S. Reddy: Yes, yes. Now, apart from writing letters to the governor of RBI and others, we have individually engaged with some banks, the banks -- I mean, the chairman of the bank himself like SBI and others, they in turn call some of their GMs or somebody and then say, you know, this is a concept we should pursue it. And then thereafter, we keep chasing them and then they are not paying attention -- adequate attention subsequently. We even gone to the bank or strenuous colleges, you know, some of these banks have got the training institutes, where we wanted to sensitize this subject. So, we have conducted courses also and made it a part of the curriculum at some of these colleges. And we have also fortunately, got access to the SIDBI Chairman, who happened to be former Executive Director in SEBI and through him, we have organized, reached out to them SIDBI and they have organized some seminars, workshops with their, with their MSME clients base. So to the extent that we are able to reach out we are doing in the industry associations in many states, we have organized a lot of programs and did that, but then it doesn't bear fruit as soon as we conclude the sessions, and also -- we introduce some of the brokers, look, these

are the potential candidates, you please go on and start pursuing them. So that's how -- in fact, many of the brokers -- many of these industrialists and industries, they themselves are used to the stock market trading, so they don't need to be introduced to any broker. In fact, they are they -- they already have relationship with somebody or the other. So that's what we realized it. So it's only a matter of making it a habit, what to call, price risk management as a part of their activity. So that is the way it is. Yes, education is the thing that currently we have to do that. Sailesh Bhan: And lastly sir, is there a big cost difference in doing a transaction on your

exchange price, I meant from point of view the effective price you're able to get for corporates to not prefer you because there is issues of delivery or whatever, but is there a price difference which is there like you said, price it plus or minus 2% of MCX in certain commodities and transactions? So, is that cost pretty large because the volumes are generally low or is it not a deterrent? It is it reasonable liquidity is there across.

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P. S. Reddy: No, here I must say this, some people compare with LME. LME contract is a dollar denominated ours is rupee denominated. So to the extent effects effect will be there. Second, there are also domestic supply demand management issues are also there. Even if somebody wants to, there is a price difference, somebody wants to dump the material on MCX, okay, it will take some time for them to get that import, maybe it may take 15 days to 1 month, and then by the time the price moves away from what it was. So, I think those challenges are there, so what we did was recently just to bridge this kind of gap there is a free trade warehousing zones are there in the country and Arsha is one in Panvel. So, we have made them as one of the free trade warehousing zone. So if some of the importers who can park their metal here and then see whether there's an opportunity to sell then they sell it and then bring the way the customs duty and then deliver it. Most of the LME warehouses are loosely speaking bonded warehouses, where customs are not paid. So that is the kind of concept we have, adopted now, we have opened recently, maybe 15 days or one month ago. So, probably that will also see some kind of material coming via that route, which will bring in the price disparity narrowed, okay, which brings down the price disparity. This is one aspect of it, of course, there is something called CTT, and all that kind of thing, we can't help it. And that's part of it, I can't do anything on that.

Sailesh Bhan: Yeah, but these are, the material from a customer point of view, is the points sir?

P. S. Reddy: See for the clients who are currently trading in the rupee denominated contracts and metals, I don't think there is material, that's what it is.

Sailesh Bhan: Okay, Sir, one example, which we just do, because this will clarify the point, per se, if I take a name of a company say, Titan, or a name of a company, which is into gold based jewellery, a lot of companies are there. Now, for them, one was, you know, it was supposed that all these guys would be a major part of your customers, I remember even five years back, seven years back, this used to be the opportunity where -- what is the kind of relationship you would have with them and you know, what is their activity levels, if at all, they're in the exchanges.

P. S. Reddy: All gold consumers, I would say the gold consumers, okay, I will call it who are traders, including Titan, they have to hedge only in Indian markets, because RBI banned them. So they are actually doing it 100% on MCX. So, there's absolutely no problem. That's why if you see, what to call open interest in gold. It's almost all 18 to 20 metric tons, sometimes even 25 metric tons. So

it's not a small number for that reason.

Sailesh Bhan: But similar thing can happen for other categories as well in some other categories.

P. S. Reddy: It can happen provided RBI bans people to go to and then hedge international markets. And the RBI is not banned, others are still permitted to hedge. So that's why we are competing in that sense, loosely speaking, with LME that kind of.

Sailesh Bhan: It is like that Singapore Stock Exchange for us, you know, in the sense, there's a nifty trading happening there, 24 hours, the volume gets shifted there, at least for that period of time.

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P. S. Reddy: That's right.

Sailesh Bhan: Thank you so much! Rishit, you would have a few questions.

Rishit Parekh : So just sort of extending on that point, right. What sort of, is there ever a discussion on let's say, some of the metal companies right, because that's essentially where we have some of the producers as well here in India itself. Is there ever a discussion which is started around, pushing them to sort of hedging MCX or India market itself or, I mean too early to sort of call out that and I mean, can't expect that to turn up in terms of volumes.

P. S. Reddy: Now let's go by metal by metal probably. So aluminium. One minute. Yeah, in the case of aluminium I mean, the honest feedback was that they're not happy with MCX spoiling their game, because how many players are there, maybe four or five of them are the primary producers. The only one who is not in the league is Nalco which is in the public sector. Okay for all these years, we had only the delivery center at Thane and thinking that imports will come and then they will -- they have to face our markets, if our prices move away from what is reflected on LME then probably some imports will come and price parity will be established. Now that was also not happening for one reason or the other maybe this it takes time for material to come from Dubai or Singapore and then arrive, it may take some time, maybe one week or 10 days. So what we did was we moved our delivery center to Raipur, now that's changed the entire game, Raipur is a central distribution center, because mostly metal comes from the eastern side and then everybody has got their plans that side only. And they are in Nalco for them it is agnostic, they as long as the material is sold, it is okay they are happy. So they are there they are dumping their material. So others are not able to do anything for that, they couldn't do anything, but to join the hands. So they also start delivering the metal on the exchange. So the point is, as I told you, they were building a brand around, branding around their material, and then charge you some premium. That's all gone. Today we are being able to maintain a platform which is agnostic to the brand. That is one major achievement of us. Of course, notwithstanding this, we keep meeting them, their seniors, I mean, recently I met also the MD of the top brand, and explained to them, they said no, no, we are open minded. We take -- if there is an opportunity, we sell it, that's it. We are perfectly alright. That's the way he explained and inspected also, genuinely inspected is other maybe business development players, you must seriously look at it not with a sense that they are offering any competition to us. You should take it as complementing our efforts to get best price. That's the way he has mentioned it. And that's what happened. Now this is in the case of aluminium, copper, mostly it's imported. Almost all. So is nickel, and zinc, a lot of players from what you call -- South Korea, Korea zinc is one major. And there is a free trade agreement or some kind of agreement is there where tariffs are lower. So is from Japan. So we get a lot of material from there and we are -- they are delivering and the only thing is maybe the case of lead. We

have empanelled a domestic lead refiner apart from Hindustan Zinc, who also delivers some Zinc and Lead etc. But that's the only thing, that's very small. But yes, the domestic lead producers whom we have recognized, we have empanelled them. They also started delivering on the exchange platform. Not only this, the Russia-Ukraine war has also opened up some more opportunities. Not that I am proud about those things because not under the duress they should be coming to us and then trading it. But thanks to economic sanctions and other things, some of them are looking at MCX as an alternative, as LME, or maybe CME kind of thing. So Multi Commodity Exchange

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these are all I mean, inquiries have started, we have also proactively written to those producers in those countries. And let us see what will happen as we go along.

Rishit Parekh : Okay, that's helpful. And just one last question. I know we're cognizant of time. And I'm sorry if we have to extend just a bit, but let's say in the next one year right, the two or three contracts that you discussed in the past, which could be more like a game changer, one of them could be an index options. The second one could be a gold mini? Within the gold context right, once you get it to a monthly the other one is the mini contract etc. which are the other opportunities that you would be looking at and how big those opportunities

can be for you, let's say in the next one-year period, if you were to look at it, and where are we in terms of launching that particular piece.

P. S. Reddy: See one is that, aluminum alloy is one we are looking at it and the steel TMT bars, I think that steel TMT bar, SEBI has sent queries asking for us to revise some of these things, which will be revising it and then sending it. I think in also on the electricity futures is something which I'm also very optimistic about. And let us see in these three new contracts we should be launching in the next one year and then see their growth of it will happen. But agri is disappointing because of there's too much of interference and then our entire bandwidth is spent in exchanging the feelings or pacifying one group or the other, I don't think we are here to do that.

Rishit Parekh : Okay, and will index options be -- okay in terms of the opportunity, do you foresee them, these three opportunities combined to be fairly sizable to your volume that you have today or they will be a smaller part?

P. S. Reddy: I mean, see in any exchange almost two to three years it takes for contracts to mature and then become grow robust, that's what I have been told when I joined internationally, this is what the experience is and quarter on quarter we are not expecting a galloping growth unless, for some reason or the other it increases.

Rishit Parekh : Over a two -three -year period do you see any of these contracts to do well?

P. S. Reddy: We will see these contracts to do well.

Rishit Parekh : And index options can that solve the delivery issue.

P. S. Reddy: Options, they are cash settled contracts, obviously, on indices, but then see this nickel contract has spoiled our metal index futures contract, metal index what to call because, because nickel accounts for about 25% weight so, that is the reason why this is become zero now, we are trying to revive the nickel contract in the form of bring us, we made an appeal to SEBI saying that thanks to the price rise now, today it is almost all 30 - 40 lakhs of contract, one lot that is too expensive and on which 15% to 20% margin and how many people can actually trade in it, I don't think this is something sustainable. So they are they are listening to us and they have this idea of making, it trading lot and delivery you lot size so once that happens, probably we'll be able to revive that also. Unless the underlying is vibrant. That is the index futures. Launching op

tions in a hurry doesn't work. That's what my view is. So we would like the futures to grow first.

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Rishit Parekh : Any participants which can sort of add to the volumes, I think FPI etc. We've talked about that in the past, but I mean is there a case for them to even come and participate here because that will bring a lot of liquidity?

P. S. Reddy: They should be able to, that's what I said in the call also. Although FPIs have other markets, but certain opportunities only offer only local markets, like cash and carry arbitrage opportunity or the arbitrage between the international markets and this market. Now they can do it under one legal unit. In the name of FPI, they can do the arbitrage between the LME or CME and or domestic market. So, that kind of opportunities are there.

Rishit Parekh : Have we seen anything as yet till date?

P. S. Reddy: But they are not permitted as yet.

Rishit Parekh : But it was in the discussion right, FPI?

P. S. Reddy: No, regulatory framework has to be... circular has to come from SEBI.

Rishit Parekh : And last year on banks. I think you talked about some of these banks starting to inch in terms of volumes for the customers, right? How's that? Which are the main banks that are leading the cost?

P. S. Reddy: Well, as I said, some banks are still to put their systems in place, maybe two of the major banks, one PSU on private banks, but there are two other private banks which have already put in place and they are doing well. That's what it is.

Rishit Parekh : Okay. Okay. I think Shailesh anymore last question, if you have.

Shailesh Bhan: No, thank, from my side there are no additional questions.

Rishit Parekh : Okay. Thank you for spending time. And then obviously, these interactions are useful for us to understand things better.

P. S. Reddy: Thank you, thank you so much, and stay invested. We are committed to

work better after -- year after year better and better. That's the way. I may not be able to give you assurance on quarter by quarter but then definitely, year after year, we will do better. Okay.

Rishit Parekh : Thank you so much. Thank you so much for your detailed explanation for itself. Thank you very much.

"Multi Commodity Exchange of India Limited"

Meeting with Investors / Analysts

August 10, 2022

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Annexure - B

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Management: Mr. P.S. Reddy – Managing Director and Chief Executive Officer

Mr. Satyajeet Bolar – Chief Financial Officer

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P. S. Reddy: Yes, good evening, gentlemen, Mr. Hardik, Gaurav and Mr. Sanjay.

Moderator: Good evening everyone. I have here with us, Mr. P. S. Reddy, he's our Managing Director and CEO, and also here with us as Mr. Satyajeet Bolar, he is our CFO. I'll hand it to you Hardik or Gaurav you can take it forward.

Hardik Bora : Great. Thank you. So, I'll just give a quick introduction of our firm as well.

So, I and Gaurav are from Union Mutual Fund. We are mutual fund sponsored by Union Bank of India, jointly with Dai-ichi Life Holding from Japan. So both of them are century old organizations and we have about INR 10,000 crore of assets under management of which INR 7,500 crore are equity and hybrid in nature. So we are holders in MCX, we like the story, we like the company and the way it has weathered difficult times. So that's a brief from us. I manage portfolios over here in the small and midcap category in more specifically, Gaurav is our specialists in the new edge businesses and IT, Chemical space. He also tracks this company. So this is just a brief from our side.

Moderator: Would you like to introduce yourself Sanja y? Would you like to say a few words ?

Sanjay Singh: Yes. Hi, my name is Sanja y Singh, I'm from PineBridge Investment. PineBridge is a US based financial institution we are a global firm. We have a PineBridge India equity fund, which is India focused fund for FI IS. It's been a fund which has been there for the last 17 years with a pretty impeccable track record and I we manage around , slightly more than a billion dollars in India directly, and of course from the emerging market funds more and I track MCX and among other stocks, technology, consumer, et cetera. And we hold MCX for some time now in the recent past we bought and we like the company of course. And we like to know more from you on what's going on. Thank you very much .

P. S. Reddy: Yes. Please go ahead. Please ask questions.

Hardik Bora: Sure. Let me start with it first. So thank you Mr. Reddy For giving us this time. So I think the first will be a broader question on where do you see the market currently and I'll tell you what is the context in which we are asking this? I think in the four years ago presentations that MCX used to give, there was this nice chart which showed what is the multiplier of the commodity market versus the GDP in our country, what it is in other developing countries , developed countries, and I think the ratio is less than half times. So the overall commodity volumes , commodity market volumes in our country on derivative side is less than half that of the GDP. Whereas I think in some developing countries also it's three times that much number and in developed world , of course it's even higher. So what has happened as we observe is over the last five years, half a decade, that ratio hasn't Multi Commodity Exchange
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changed. I mean, our growth has broadly been in terms of the industry volume in line with the nominal GDP. So just your thoughts on, what is hindering this growth to be faster. One would assume that the growth would be typically faster than the normal GDP for the exchange market. I understand there have been some regulatory changes, which has also affected this growth trajectory, but can you briefly tell us about what is the current situation? Where do you think the market is headed for the next five years? So slightly longer term call it possible ?

P. S. Reddy: Sure. The context is well set, but if you see the compilation of our GDP, the majority is coming from the services sector and that is something which we are not dealing with. These are all physical commodity that we are dealing with, second even the products that we have is a very small portion of it as

compared to what the other brick and mortar companies are dealing with it. So more and more applications are made from newer products to get come in and I think that is something that we are looking forward to and probably those your products will help us to grow beyond what we are seeing this number. Now, having said this let me also say this, that the regulatory changes at times may be good in the medium term to long run, but in the short term, it is definitely impacting the way that it is operating, the markets are operating. So peak margin is something which has come in and whether it is warranted or not, I'm not getting into the discussion, but it did impact in terms of leverage, it has taken away the leverage that otherwise members are giving it to the clients . Now, is there any default on the exchange? My answer is no , yet somewhere it happened in some down the line in other equity markets maybe, and it has its cascading impact on our markets also, especially when the commodity markets are brought under the SEBI's jurisdiction. Now that is something which is -- which required a separate treatment. We have been telling SEBI also they don't equate commodities versus equities. They have a checker career of well-regulated regime for almost all three decades, but when it comes to the commodities is not so great. So you need to nurture it, also, the markets are not grown so much. Having said this, we are also telling SEBI that some of the dispensations that are required, for the growth of this market are something which falls beyond the SEBI jurisdiction. For example, the GST is, is something which has come and where the members, every player who is dealing in physical markets are in the sense, even on the exchange platform, they don't take delivery , delivery in the sense physical delivery,

they don't take out of the warehouses yet the commodities will be lying in their name, so they should have paid GST. They paid GST, then when they sell that product back in the market -- on the exchange, then only they will be able to pass on that credit and all that kind of things will happen. But all payer, especially the financial players and other retail individual investors, they will not have GST registration, their players or speculators they may do cash and carry arbitrage opportunities, or they may do cash and

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carry from near month and far month, at the same time, they may, some of them also deal in the physical market and then deliver it. And we have also introduced multiple delivery centers, so across these states. So if somebody wants to take delivery, then he should be prepared to have registrations across all states where this kind of thing is there. So it's getting little complex. And for which region, we are not able to get as much players as we see in the markets. Another important thing is here. We have a delivery unit concept. Okay. And the trading unit now, in the case of equity it is, just one share is one trading unit. Here, one physical delivery that comes from the manufacturer sees one trading unit. Now in the case of Nickel is 1.5 tons. So it's, it is almost all 35 lacks of rupees on which the margin for 10%, 20% works out to be every INR 3.5 lacks to INR 7 lacks. And now, so it's not a retail place so much as you compare equity markets. That's why the growth in these markets is slower as compared to the equities. So we don't see so many players out here, but yes, our target is to bring in more and more fiscal market players to bring into this fold and bring in the, I mean, build the open interest. And that's what we are looking forward to. And with the open interest increasing, probably we see greater interest from other trading classrooms. Have I answered your question?

Hardik Bora: Unders tood.

In terms of what we can do. I think there are product launches that can be done. We've made a lot of efforts on this front. I think there was a launch of indices for some of our -- for some of our -- for some of the commodities. We also -- there was this development on bullion spot exchange, gold spot exchange coming through and at the same time, I think even on the power side, trading of relatively longer duration contracts and the derivatives thereof was probably an opportunity for us. So can you just talk about what are the new products that are there in the anvil that maybe five years down the line could be contributing something meaningful to us?

P. S. Reddy: That's right, so one is the electricity futures is something which we are looking forward to. And again on small action that has been taken by the government, in the form of imposing a cap of INR 12 per kilowatt hours is something which has disturbed some of the market participants. That happened in the case of IEX, the physical market trading now that is getting removed in the month of September, but we don't want such kind of interventions in the healthy development of this market. Now, that is something which we'll look forward to, maybe a dynamic or vibrant futures market may not necessitate such kind of imposition of caps because players should be hedging their risk on the exchange platform. And they will be able to -- still be able to supply, what you call the power to consuming industries, or consumers at reasonable rate. Maybe the guys who are taking the risk are maybe speculators as somebody else, but that's fine. As long as the consumer gets as long as the suppliers are able to make

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the supplier set a reasonable rate, consumers are able to hedge their positions on the exchange at a particular rate, I think that should be perfectly good. Currently, we don't have it, that's why they're left high and dry. So electricity is one which we are looking for to, and the steel TMT bar is another one which we are looking forward to, and aluminium alloy is the another contract and some of the products in the form of some more option contracts, we will be introducing it and options on index futures also, but currently index futures only Bulldex is doing well, whereas the

metaldex because of the nickel contract debacle that happened in London exchange, the nickel contract is carrying 25% of weightage in the index futures . That's now clocking zero volume. We look forward to revive that contract also in the form of reducing the nickel contract size and introducing a smaller lot, again that is in discussion with SEBI, if SEBI permits that probably we will be able to launch , revive the Nickel contract, and then bring in the nickel index futures , that metal index also back into trading. So these are the, some of the products that we are looking at it, and hopefully we will be better. I mean, yes. And SEBI is also seriously looking at the smaller contracts that is mini contracts also to re-introduce, because each one is getting to different segment of the customers and which SEBI has realized it, there are different segments who are participating and each contract caters to different, so we should permit them. That's what the issue is . Yes. Mr. Sanjay.

Sanjay Singh: Yes, sir. On the electricity derivatives what is the -- where is the issue stuck, I'm not able to understand. I thought the product was approved and at what stage is it stuck ? Any thoughts ?

P. S. Reddy: See, there is a joint working committee has been constituted between CERC and SEBI by Supreme Court and that they have to approve the product. So we have been pressuring SEBI also that it is high time that you introduce this contract .

Sanjay Singh: That is approved, right, sir, I thought

that was approved, right?

P. S. Reddy: It's not approved. It's still pending with them only .

Sanjay Singh: So pending with CERC and SEBI.

P. S. Reddy: It's a joint working group .

Sanjay Singh: We don't have timelines per se.

P. S. Reddy: Now that it is high time , they're also what they call restive, the SEBI is also.

And because while we are -- contract is pending, they have also permitted a forward contract on IEX, and reverse auction is taking place. I think one month, two months contract kind of thing, they have introduced. Of course it is a forward contract, not a futures contract. They couldn't have introduced futures contract . So we told them better permit, otherwise there's no point in waiting and allowing them to take the lead in those

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contracts. So SEBI is also now restive, they're going to give us, I suppose, in the next a month or so. That's what I think.

Sanjay Singh: And the settlement price will be the, IEX DAM price, the RTX price .

P. S. Reddy: IEX DAM price .

Sanjay Singh: Now that's the challenge, right? The DAM prices limited to INR 12. So unless until that limit is removed .

P. S. Reddy: That will be removed in the month of September. They have already made an announcement.

Sanjay Singh: I'm not too sure , they have said the removal or they sent a separate window of trading for INR 12 plus .

P. S. Reddy: No. There is an announcement has come. That will be removed in the month of September.

Sanjay Singh: So now if you look at the IEX volumes , IEX is currently around a 100 billion units a year, I mean is the derivative market logically should be bigger than the delivery market. Is it a fair assumption ?

P. S. Reddy: It should be.

Sanjay Singh: Okay. So, IEX if you take around INR 5 , a 100 billion units is INR 50,000 crore a year, so you think that there's a possibility of a multiple to that ?

P. S. Reddy: Yes. Even if it is at that, if it starts with so much also that is good enough for me in that sense. I mean , what is the production. The whole production can be put to the futures market. That is the way I look at it. Even if the entire thing doesn't come, even if 5% of it comes , because many may have been tied up under the power purchase agreements with the long term PPEs . So that the entire may not come. But what we are seeing is even there also they can trade , while the PPE price is fixed the players can still play on the exchange and get a better price, you know ?

Sanjay Singh: Yes. Second is little, slightly burning issue in terms of the tech part. Now I know you probably, it's difficult for you to say much, but I mean, what is the -- is there any possibility that we'll be able to go ahead with TCS from

1st of October or you think that delay is inevitable ?

P. S. Reddy: No, the delay is inevitable. No doubt about it , because TCS says that now they will be able to give it on August end, the product and then we need a stable run and parallel run et cetera. Meanwhile, we have written a letter to 63 Moons requesting them for a six months extension and you know, and we are yet to get it , 63 Moons we are hopeful, positively respond to our request. Maybe they may charge something extra. I don't know. I mean, currently itself, we are paying a pretty good amount of decent sum , Multi Commodity Exchange
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linked to our turnover . So let us see , for six months only maximum we have asked .

Sanjay Singh: Okay. And because of the delay, do we get any compensation from TCS or it is not possible .

P. S. Reddy: There are some clauses, are there , delay for going live? There are compensation clauses .

Sanjay Singh: Okay. But you think you have to pay maybe a six month

fee to 63 Moons ?

P. S. Reddy: Maybe, maybe, yes.

Sanjay Singh: Okay. But you don't see a situation where, you know, we are stuck with no technological vendor or no, I mean .

P. S. Reddy: We are working with the two, three options, that is a 63 Moons support is the best thing that can happen. Now, there are other options also because I don't want to disclose , all of them , because jeopardies and there are option two and option three are also there. We're looking at all those options, but yes, we will work out.

Sanjay Singh: Okay. Hardik you can continue with your questions .

Hardik Bora: Yes, I think we also wanted some clarification on the cost front and Gaurav you had this contract .

Gaurav: Yes. I mean -- I just wanted to get some sense around, see this quarterly numbers, when we look at . The software support charges, what we report during the quarter, you did explain it a bit on the call, but I just wanted to clarify that our top 10 growth sequentially was 2% percent. You did mention that it is a percentage of revenue. The software charges what it be paid to 63 Moons . But the growth was sequentially 7%. So just wanted to understand why would that happen in the current quarter. And secondly I know you have mentioned that on the call that it's difficult to sort of quantify at this point, but if you could tell us the differential amount, which we are going to incur about EBITDA and below EBITDA post -exchange with TCS.

P. S. Reddy: See the second one, I will answer in a very, I mean, may not be able to give any numbers. What I can say is given the existing, what we call the ADT kind of numbers, whatever the saving that comes through by discontinuing the 63 Moons platform may go in the form of higher depreciation , if TCS platform is implemented, if the volumes increase beyond this level, there won't be any incremental cost to the company. That will add to the bottom line.

Gaurav: So it is not linked to your revenues, basically.

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P. S. Reddy: It's not linked today. Today, it is with 63 Moons , it's linked to the revenue part. Portion of it goes through the 63 Moons about 10.3% of it goes, I think that's what the -- that's why every month, every year , if the volumes go up then that also increases. That kind of thing will not be there on the drain. And why there is an increase...

Satyajeet Bolar: I'll just explain, see there are two components when we talk of this , the one is what we pay to 63 Moons , there's a fixed component, as well as a variable, also what we pay to CME, so that is also included in under that nomenclature. It must be some slight difference, and this is again, net of what we recover from our clearing cooperation. So the actual outflow would be, you can see the consolidated much more . In our standalone, it'll be never what we recover from the clearing code.

P. S. Reddy: Yes.

Gaurav: Since we were actually on that cost point, we wanted to ask this question

first. We had actually some more questions on the growth front also. So we've seen the options volume surged pretty sharply. And I think we were trying to do some research globally, and we have found that options in a commodity market typically are a very small fraction of the futures volume. So just your opinion on how this whole options market is shaping up. And where do you see it going? And is there some cannibalization probably, which has happened from futures to options for us?

P. S. Reddy: Okay. It's other way, first I don't use the word cannibalization in fact, thanks to the negative pricing in crude oil. Some of them are deserted the counters, and these are green shoots in the sense of options have offered as green shoots to these people to come back and then pastor on this. So that's the way it is. And it is

helping in that sense in that sense, it is attracted back the investors to these counters. Otherwise there is a lull for some time, when this went negative crude oil and the options were also not picking up. So only when the peak margin thing has come and the option volumes went -- when the futures contracts, I mean what you call, margins on futures have gone up substantially high, then they have started looking at options seriously.

Gaurav: That helps to o, but just generally your opinion on how big can this be for us? What is it that you are seeing in terms of...

P. S. Reddy: It's not only here even in Indian equities also options are the biggest -- much bigger than anything else. And that's not the case in internationally also. So somehow the Indian investors have fired for options and the premium play is something which they greatly engage in, that's what it is happening in India. And they got used to it.

Sanjay Singh: Sir in terms of cost, you said that you hired some tech people for the implementation of the TCS software and all, so do we believe I mean, is this Multi Commodity Exchange
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current quarter employee cost and all you done with or it can increase more from here?

P. S. Reddy: No. The ones who are working on the TCS project that gets capitalized. Okay. Because only when that project go live, then it'll go into that in the form of depreciation and other thing.

Sanjay Singh: Okay. No so now what I was trying to understand is, I mean, I'm just getting my maths, you tell me how wrong I am, from my understanding TCS project is around INR 150 crore, INR 160 crore and which is the 8 year depreciation. So it's a INR 20 crore depreciation and your AMC plus your own internal costs around INR 20 crore. So it costs you around INR 40 crore, at current volumes your cost to 63 Moons is INR 60 crore, even plus fixed. So roughly still you get INR 20 crore saving at current volumes is a fair understanding roundabout rough figure.

P. S. Reddy: Hopefully you may be right by and large, maybe some difference can be there.

Sanjay Singh: Okay. No, it doesn't matter actually. I mean to be fair, I think, they the fact that what you said as the volume's increase, the cost will not increase. I think whether it's INR 15 crore or INR 20 crore nobody's bothered. These numbers, I mean, goes to a third party and they paid someone INR 125 crore, INR 130 crore few years back. So adjusting the inflation, I came to the INR 150 crore INR 160 crore number. So it's not rocket science per se. Anyways, I got that point, second points I mean you have made in the past that there is SGM you have around INR 1500 crore of cash currently, if I'm not wrong, I don't remember now, but roughly?

P. S. Reddy: We have about INR 520 crore SGF approx..

Sanjay Singh: And total total cash is around INR 1400 crore, right.

Satyajeet Bolar: INR 700 crore plus we have the margin money of around INR 570 crore. So our own corpus is around INR 1100 crore.

Sanjay Singh: Okay. Now there was some, I don't understand the think properly, that for crude, et cetera, you can increase the margin money and hence the premium them down and something of that sort, am I right on this? I mean, what was exactly the issue? I was not very updated on that.

P. S. Reddy: I'm sorry. Could you please repeat?

Sanjay Singh: No. In the sense you had mentioned once in the call that you can increase the margin which you have and hence the premiums can come down or the

margin money, which the investors input can come down. What exactly was that?

P. S. Reddy: What I said is, today when SGF is calculated, they take into consideration what are all the margins that are pulled together and there are some stress

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test results are considered where if there is an extreme loss, what will be the loss that will incur top two members, or 50% of the market members will go bust. Then how much is the money needed. So that is accordingly how this SGF is computed. Now here in the competition, we have brought in the deviations with the equity market and commodity markets, ours is stringent point number one, number two, what we told them is that assuming that remains as it is, today members don't contribute. That is the stock brokers don't contribute only the clearing corporation and the exchanges are contributing. You please make 25%, which is the SEBI rule also there, but they left it open, they didn't make it mandatory. So let 25% contribute, the members who are bringing the risk to the exchange. The third dimension is even if they don't contribute, worst case scenario, even if they don't contribute, MCX is willing to contribute, provided you, I mean, provided you allow us to I mean, what do you call, move in and move out the money and when the requirements come down. So if I reduce the margins, the trading volumes will increase. I will learn some extra money, but I will. This is also the -- it's also kind of deposit only a SGF. So I will put whatever the treasury that I'm currently earning, there's hardly any 5%, 6%, probably my return on the -- in terms of what transaction fees will be much higher. So that is better to earn there than log the money in the form of some FDs or some kind of investments.

Sanjay Singh: Okay. And on the SGF also you earn income, right?

P. S. Reddy: Yes. On the SGF also we have interest. Yes.

Satyajeet Bolar: But it goes back to SGF. It's not reflected.

P. S. Reddy: SGF is kind of trust kind of thing, although it's not constituted a trust, you can't depend at all.

Sanjay Singh: So the interest of SGF is not account in P&L.

P. S. Reddy: Interest is not accounted for. In the penalties, which we levy is not accounted for. That also goes into SGF. So actual contribution is about INR 420 crore or INR 415 crore or something like that. The remaining INR 100 crore is the penalties, which are imposed for the last, maybe some five, six years maybe.

Sanjay Singh: And cash you said is total is around 1100, right?

P. S. Reddy: SGF is managed by MCX's Clearing Corporation.

Sanjay Singh: Okay. No, I was trying to understand the total cash balance as of FY '22.

Satyajeet Bolar: We are on INR 1100 crore, margin money which is sitting in the CCL's books. Margins that members pay that is around INR 570 crore as on 30th June. And our own surplus is around INR 1100 crore.

Sanjay Singh: But SGF is separate. But you say that three components?

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Satyajeet Bolar: Yes. So, I mean, I'll just, re-clarify so there's no confusion. We have our own money of INR 1100 crore, CCL has margin in the books of INR 570 crore, and addition to that, you also have INR 550 crore of SGF.

Sanjay Singh: Okay. So that's what I'm trying to say. If I look at consolidated books, I see a cash of INR 2000 crore, so now it is matching roughly. So, one question, sir is, traditionally given very decent dividend payouts. It's a request from shareholders from us is, if you look at, I don't know whether you have ever tried to understand a buyback versus a dividend which works better for the company or for the shareholders for the matter just to give an example, IEX has done a buyback in the past. So for many of your shareholders maybe a buyback makes more sense for us, at least it makes more sense than a dividend. Maybe we can explain to you in more detail sometime, or if you can get back to us, if you want to you know, take this call, but you can just see what IEX has done

one in the past. They have done a buyback in the past or a mix of buyback and dividend to please all your shareholders probably is a

better way. Your stock is not very expensive also, it is reasonably priced. So at this valuation probably a buyback is not a very bad idea. But you can probably do a mix of both or consult your Board, it's a request from our side that, probably you can think about that. Because your overall payout is quite healthy, but you might want to mix that between a buyback and a dividend is what I think, have you ever thought about it or it never crossed the Board's mind?

P. S. Reddy: No, see all these ideas are always there, but at this point in time, we want to conserve cash because we need to look at entering into new businesses, especially new lines of business, some of this spot exchanges is something which we are looking at it and SEBI is also may going forward permit what you call interoperability. And co-location, these are the two things that they may look at. Then we need to have our own, what you call data center much bigger than what we have currently et cetera. So there are some investments that we need to make for this kind of infrastructures also. And again buyback is perfectly fine, but then what is the base, currently we have our money. I mean, INR 50 crore is the capital about INR 59 crore something like that. It's about 5.9 crore shares. So the floating stock also should not be reduced substantially in that sense in terms of number of shares, not a big base. Unlike for example, in the depositories, they have a INR 100 crore what you call is the networth to begin with. So INR 100 crore itself is the capital that they have issue. So that's a very big number as, as that number, ours is much smaller. But yes, we can look at it maybe little later, you're right we will look at it.

Sanjay Singh: We are not asking for more payouts. You currently pay around 30 % in dividend payout, that 70% can be broken into 50% buyback, 50% dividend payout.

P. S. Reddy: Understand...
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Sanjay Singh: It's not the intent to release cash. And we can present separately, but, you know buyback when the stock prices at a healthy price makes sense. Even if your networth based or equity basis is small. Anyway, we will not go more into that. Hardik you can go ahead with your questions if you have anything.

Hardik Bora: Yes. Hi. So just on the options contract coming to -- wanted to understand from the academic perspective, like what we read about globally options hasn't picked up, as much as futures on the commodities and the -- I think the main reason behind it is options is a derivatives so you tend to make less arbitrage or less money as a speculator or trader. So what is your sense on that? Whether this is right or whether over the long period people will start realizing, and even Indian markets will also sort of follow the same pattern. What globally has been.

P. S. Reddy: No, as I already said Indian investors have had for options. So my view is that we will continue to grow in this route. And there are -- there will also be, what do you call a serial options contract is something which the market is looking forward to. That means you introduce a monthly option, but four contracts will expire in a month kind of thing. So every week there will be an expiry. So there is something called an expiry play. That's what the market players call it. And then they would like to be more vibrant. So maybe it'll expire on the underlying futures only, but they prefer that kind of multiple expiries is what they're looking forward to. So let us look at it SEBI has to permit us. We are exploring that option also.

Hardik Bora: But since futures also tend to have, you know divergence from this spot price in the

intermittent price, derivative on a future, which is basically options will have further divergence does it not sort of hold back investors or speculators, I should say to participate is what my basic very basic questions is.

P. S. Reddy: See the option is on futures. There's no further deviation, it's essentially the premium which gets adjusted with the moment in the underlying future prices. Okay. So whether it is in the money and at the money, or out of the money is something which they will always look at it, accordingly, they will price the premium. And in fact, our premium is much more than what was expected because most of the transactions are taking place

near the money , at the money , or in the money. So whereas the premium will be much lower if the bidding takes place far away from the underlying futures price, then even the income also will be low. So you remember I said, our options potentially is one third of the futures in terms of revenue potential. In fact, it has improved substantially. It's almost on 48%, it was as I explained in the last call. So most of the transactions are taking place close to the futures contract. And that's a healthy sign. That's the way it is.

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Hardik Bora: No, I was more, I think I was trying to sort of connect the dots with the -- whether corporate if they want to hedge their sort of actual exposure it makes sense for them to go into futures or options from the perspective that options will have slightly more diversions with these spot market prices in the intermittent period is what I was basically trying to understand.

P. S. Reddy: Okay. See those who, I mean whichever way they take the exposure, it doesn't matter because in the case of first one, they pay the premium and then there's no kind of daily MPM losses or gains, et cetera. They don't need to worry about it and maybe its options will work. But then toward the end of the contract, options will expire even two days before the, what we call the delivery period starts. So we have a five-day delivery period, stack of delivery period, and two days before it starts. So if it's a monthly contract, almost all seven trading days have gone, out of maybe 22 trading days. So just 14 days are only left. So from that point of view, they may not prefer such a loss of operating days. But yes, I think it all depends on the trading strategies that the market participants have.

Gaurav: So basically wanted to understand more about this bullion spot exchange.

What is it, where is that at this stage? I mean, you did mention something on the call that this is gonna benefit MCX because a lot of gold gets imported and which is not being traded on the MCX and after that spot exchange does come in, just if you can expand it bit in terms of how exactly is going to help MCX and what is the increase in the actual physical amount of gold, which becomes uh, the potential market for MCX?

P. S. Reddy: See there are 2 bullion exchanges, spot exchanges, one is the international bullion exchange and other one is the domestic spot exchange. What all the three exchanges and depositories together put up an international bullion exchange in the gift city. That is primarily to channel, is a kind of competition to the channelizing agencies. They charge healthy premium for a very import, but here the participants can directly, especially the banks the gold, the banks can then bullion banks can come directly and sell it on the international bullion exchange and the domestic qualified jewellers can buy it. So once they buy it and then they bring it into India, then on that, they have to take an exposure, I mean, risk price they may be taking. So they will, anyway, hedge their risk on the MCX in rupee terms. As long as they keep it in the do

llar terms, they will keep it in the international bullion exchange only, they're the lockers that will be dollar denominator contract. Once they come into India, then it'll be rupee denominated. So it does help us in the sense that they will be taking an exposure on the exchange, if they are not taking it so far, if they're already taking it, even if they import it via channelizing agencies. And once they get into India, they may be taking it also, I do not know, but anyway, the domestic players, as I said, cannot take an international hedge because RBI doesn't permit, so they have to

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necessarily do it in the Indian exchanges. That's one part of it. Now, there is another exchange, is it domestic spot exchange, gold spot exchange, which comes under the SEBI jurisdiction. Now here again, the GST issues are holding it success back, because there are no GST on the transactions that are taking place because the electronic gold deposit receipt is treated as a security. On securities there's no GST, but the question is who will first deposit the gold and then convert into EDR, because the person who is depositing and then converting, he wants to get the GST credit back, how you will get it. So that is the issue at this point in time. And if once it is in

the form of E DR and he sells it, he or she, whoever it is, the company sells it, then it may not be taken out of the gold till maybe for one year or so. So till then he will not get the refund. So that is a challenge at this point. Have I made myself clear.

Gaurav: Yes.

P. S. Reddy: So there, we don't have a platform yet. Again, we have asked a TCS to develop it. Once the TCS platform is delivered in August, then it will pick up that code and then converting to a spot platform also. So we are not in a hurry in that sense for that domestic spot.

Gaurav: So just one question from my side again this, we used to talk about the composition of hedger, speculators, traders, specifically in our future sort of segment what has been the trend, because in the past we had talked about bringing in corporates like mining or metal companies, steel companies who will come to the exchange, will create open position, which will basically attract hedgers and speculators. I mean, is that happening? And if it's not happening, why is it not happening some colour on that? Because our future has kind of been languishing for quite some time, specifically, I think base metals which is after post mandatory physical delivery. I think that it never sort of picked up.

P. S. Reddy: Sorry. I just want you to repeat the question, if you don't mind.

Gaurav: Yes, sure. Wanted to sort of understand the trend in the hedgers speculators on your platform. Whether the proportion is increasing in favour of hedgers, we also -- you should talk about bringing in corporates who will start hedging their positions on the MCX platform, like steel companies or mining companies, has that happened or it has not happened. Why is that?

P. S. Reddy: Yes the hedger participation is increasing, there is absolute more data on this. But hedges will not be in terms of number cannot be as big as the retail investors say in lakhs, but few tons are at this point in place. Now we are you know, engaging with the various banks and maybe MSMEs via SIDBI to educate them as to how they can do the price risk management on the exchange platform. So it is an education which will take time for it to convert into the actual, they are participating on the exchange platform.

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But this number, I'm very happy to say that number is increasing no doubt about it, this participation number. Even their holding is

open interest is

also increasing. That is another point.

Sanjay Singh: Yes, just on the cost side, do we see the cost increasing, this quarter we saw an increase in costs per say a little bit? Do you see a significant increase in cost from here on also, or you think more or less increase in costs have been -- will be capped at the current rate.

Satyajeet Bolar: I mean, in this quarter, when you're comparing it with quarter, there was an increase, in we have explained in the call that in March, when we closed March, we make a provision every quarter for variable. We closed March. We had a -- the target was or the budget as well as the realization was known. So there was a plowback of a variable, a component of variable pay in the fourth quarter. So that's why there was a slight there's this increase in the employee costs for this quarter. Also in depreciation, we had taken a conscious call when we went through that we would be phasing out certain assets, but when we revisited this in our technology committee in March, and we said, no, probably we could use this asset further. So there's a plowback again of certain depreciation. So these are the two main reasons for the difference in the cost in this quarter. And I think going forward, it would more or less remain at these levels, unless there's some exceptional spike in which we will be able to explain, first we will have to incur the expense and then explain, but other than that it should be more or less in these levels.

Sanjay Singh: And sir on the, one of the thing on the indices was the indices don't require any you know, delivery per se. And hence it is a good tool for speculators, but now that with the nickel issue or whatever inventory is completely dead, so what can we do to revive it?

P. S. Reddy: So one is that we have approach SEBI to change the nickel contract size.

Okay. Currently it is almost at 30, 35 lacks on which 20% the -- what you

call, margin on nickel works out to be what 7 lacks or even more . So that is something which is holding back other investors. So we suggested we had earlier 500 K g nickel contract. So if it is brought down to 10 lakhs , then probably it is manageable. And which SEBI is actually seriously looking at it with the many of the contract prices have gone up and the margins are accordingly have gone up also, that is the reason why some kind of resistance to participate by the retail investors.

Sanjay Singh: But even the bullion index volumes are not too great, I would've thought that because of the -- this delivery issue, it would've have more volume is per se.

P. S. Reddy: Yes. So I'll tell you what the reason is. Again, there is what is called a -- what you call the cross margin benefit is given, but there is what is called a options and versus the index indices, if there are an exposure then SEBI has Multi Commodity Exchange
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said that no, we don't give the benefit. Maybe one is, I mean contra positions between the two that you have, they're not giving it. So that is something which we are now battling for. And hopefully we will get that also, let us see if there is a SEBI or risk management committee meeting?

Sanjay Singh: You are Trying to say in terms of premium, right?

P. S. Reddy: No, the margining on options, option have to pay full premium.

Sanjay Singh: You think if I have a contract position on gold .

P. S. Reddy: You should be given countervailing benefit of it.

Participant: Yes. Hi, sir. Thanks for another call . I have one question is on the active UCC. So we have seen substantial increase in the active UCC or the UCC that we report over the last three years, it has gone 4X, out of that, how many are active? And like you mentioned in the call that around, 1.5 lakhs are no retail investors who are trading act

ively in commodities. So is it fair

to assume that these retail guys are most trading into options? And is there any step that we are taking to increase that further, because still there is a lot of under penetration there. So know, can we see substantial increase in that active traders especially in the retail side, because you know, the retail participation across the board has increased substantially the last two years. So first is that, and second is on the , member concentration. So as per the angel that they have reported, they are saying that around 1 25 know they have, they have been doing a volume of around, like INR 12,500 crore on commodities. So that accounts to around 50% percent of our total volume, right. So is it fair to assume that Angel is 40 % - 50% of the total volume? I know it is actually segregated at the client level, but is it a risk to have such high concentration with single member?

P. S. Reddy: See, the problem is -- answering the second question first? They take both buy and sell positions. What are ADT we're publishing is only single sided. That's one important thing. But we charges the transaction fee on both buy and sell. So we so when I say that we have an ADT of let's say for the this year, 26,000 for the financial area of by '21 -- '22, 2 6,000 means 26,000 multiplied by two multiplied by whatever it is that is the average realization rate to INR 207 per 1 crore . That is the way it happens. So for them, they count both sides. And then they say that we are so big. That's not correct. That's one point. Second, we don't know whether they included futures and options. Now we can't take the notional value of options and then put it in the futures . That's not correct. We never do that. And that's why we always give the futures volume and options volume separately, notional. And what is the potential of it is what we give separately. So, as I said, revenue potentially is about 48% of the futures volume is what I clarified. Now, coming back to the the active UCC , as I said in the call also, member brokers, when they're uploading it because of the unified members they upload at same -- is going to trade in equities , derivatives and commodity Multi Commodity Exchange
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derivatives, gold, silver, et cetera. They tick it and then upload it and the client sign it, but then they're not active. I'm not saying that even if they, we have our own definition, if they are active means they should have traded the current year in the last 12 months, they should have traded.

That's the way we are looking at it. Now, in the financial year in '21 – '22 I'll tell you the futures 389,421 now traded in futures, as against last year, that is '20 – '21, 457,000 have traded, but come to the options, 42,575 traded in '20 – '21, as against 172,924 have traded in '21 – '22. So that's a big jump. The people have moved away from futures to options. Some of them, and some new ones have joined. Many new ones have joined also. So all in all as against last year, 466,577, there's a marginal increase of 471,000 is the number has increased.

Participant: So obviously options, as you said, is a retail product. So that's why a lot of retail investors are getting in options and that is a positive sign. And in terms of the stickiness, that options, 95% is still crude or natural gas. And that is because of the high volatility. So how do we see the options in terms of gold contract? Because we have launched a new contract, which is gold mini. So but it's been only two months, I think, two or three months. I know the size of the contract has been reduced and the contract duration also is like has been reduced, but still it's not picking up. So any reasons for that, and also in terms of the options contract getting devolved into futures, what's that?

He takes on that, can that be corrected in the near term or maybe the lack of spot market is the only reason why it is happening so structurally, can it be comparable to how we are seeing these inequities? Because if the options contract gets actually dissolved in futures, then you know, the last four to five days where the maximum volume happens in terms of expiry that we are missing out.

P. S. Reddy: That is where I have explained. I think you joined late in the call and some of these questions are already addressed. What I told is we are proposing to, I mean, the market participants have introduced serial contracts. So monthly contract, which expires every week, so weekly play will be very high in that case. So every week there is some expiry that is coming, which is a monthly contract kind of thing. So that we have to yet to get any approvals from SEBI, but then we are looking, working on it. We have not submitted any proposals yet. So this is one proposal that is there. And you know, coming back to whether the devolvement will spoil the play. I don't think that devolvement will spoil the space. If you have multiple contracts, they will roll over to the next contract. There's no problem in doing that, isn't it? So they will roll out to the next contract if they are so keen. And anyway, the bimonthly contract is there. So bimonthly options contract will be there, and we are introducing monthly options also. And in gold, one kg, so probably these two will help us together, will enhance the participation. Multi Commodity Exchange
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Hardik Bora: I just have one question, final question from my side. So I'm little less informed on this, so quantity or perspective. So what needs to happen for the peak margin to start reducing? I mean, what would do you think, would the regulator be looking for before taking a call.

P. S. Reddy: The regulator has given some concession what they said is, especially we have made a representation. If somebody is not ready at all, and they have an open interest, and then that position is priced against the moving target kind of thing, because if the prices are going up and again, they're calling for additional margin, I said, that is not correct. Okay. That means many of the hedgers they have paid complete margin, why they should be making them to pay more margin. When they have already entered at the time of contract entry they paid the margin. So now that SEBI said has said it, if at the beginning of the day margin is paid on that fully, then that is good enough. You don't need to collect anything additional. That's the way they've said that.

Hardik Bora: But in terms of the percentage margin it's that coming down, just trying to understand what will the regulatory be looking for?

P. S. Reddy: See it's not a percentage of margin will come down; the intraday play has gone. What used to be is, net obligation is what earlier we used to charge the margin. So you buy - sell, buy - sell kind of thing. So at any given point of time, peak margin means whatever is the net buy, at that point in time, you have to fully pay. Now, probably may not be regaining that position till the end of the day. You may be selling off a part of it, but still end up paying under these two dispensations. So the way that it has worked out is

that brokers used to pay for it. Actually brokers give us bank guarantees. We block the exposure from the bank guarantees, but peak margin rules says brokers also in turn have to collect it from the clients. And at the time of inspection, we verify it and then impose 100% penalty. That's the way it has scared away the players. So as far as exchange is concerned, we are completely secure. In that sense we are for every trade it gets debited from the brokers account.

Hardik Bora: I think we've asked

all our questions so Sanjay, if you have anything.

Sanjay Singh: Thank you very much. It was a pleasure hearing you, sir. Thank you for taking time late in the evening. Good interacting with you.

P. S. Reddy: Thank you. Pleasure too.

Sanjay Singh: Thank you, sir. Thank you.

Hardik Bora: Thank you, Thank you.

Call: Aug 2022

MULTI COMMODITY EXCHANGE OF INDIA LTD.

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CIN: L51909MH2002PLC135594, info@mcxindia.com MCX/SEC/2081 August 10, 2022

The Dy. General Manager

Corporate Relations & Service Dept.

BSE Limited,

P.J. Towers, Dalal Street,

Mumbai - 400001

Scrip code: 534091, Scrip ID: MCX

Subject: Transcript of calls with Investor/Analysts

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 read with the SEBI (Listing Obligations and Disclosure Requirements) (Second Amendment) Regulations, 2021, please find enclosed herewith the following transcript of the call with investor/analysts:

Sr.

No Investor/Analysts Date Time Annexure

1. Franklin MF, Abakkus Asset

Management, Envision Capital,

PPFAS Mutual Fund, Deep

Finance August 03, 2022 06:30 p.m. Annexure - A

The said transcript is also uploaded on the website of the Company at <https://www.mcxindia.com/investor-relations/ir-meetings>

Further, we hereby confirm that no unpublished price sensitive information was shared/discussed during the said meeting.

Kindly take the same on record and acknowledge receipt.

Thanking you,

Yours faithfully,

For Multi Commodity Exchange of India Limited

Ajay Puri

Company Secretary

Encl: As above

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Meeting with Investors / Analysts

August 03, 2022

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This document may contain "forward -looking statements" – that is, statements related to future, not past, events. In this context, forward looking statements often address our expected future business and financial performance, often contain words such as "expects", "anticipates", "intends", "plans", "believes", "seeks", "should" or "will". Forward -looking statements by their nature address matters that are, to different degrees, uncertain. These uncertainties may cause our actual results to be materially different than those expressed in our forward -looking statements. We do not undertake to update our forward -looking statements.

Annexure - A

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MANAGEMENT : MR. P.S. REDDY – MANAGING DIRECTOR AND CHIEF
EXECUTIVE OFFICER
MR. SATYAJEET BOLAR – CHIEF FINANCIAL OFFICER
MR. D.G. PRAVEEN – HEAD (INVESTOR RELATIONS)

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Moderator : Good evening everyone and thank you for joining in. I will just take a quick introduction. We have with us our MD and CEO – Mr. P. S. Reddy , we have Satyajeet Bolar sir who is our CFO and we have Mr. DG Praveen who is our Head of Investor Relations. You can take this forward.

Moderator : Thanks everyone and good evening everyone. Thank you sir for giving us this opportunity to host the call. And we can start with a few opening comments from your side on how do you see the outlook for MCX with regards to various parameters on the business front and then possibly we will open the floor for questions. Over to you, Sir.

P. S. Reddy: Welcome to this investor call arranged by Motilal Oswal and I think specific to a group of 5 analysts, 6 analysts. You please go ahead and ask questions I think none of you are new to the business industry. So, instead of taking time and explaining what is happening, I think I request all of them to fire questions if it is appropriate .

Moderator : So, participants we would request you to raise your hand and possibly in that order you can ask the questions. Before the queue starts asking the questions a couple of participants who could not join in had emailed few questions to me. I will throw in a few of them and before the others start pitching in . One of the questions that has come in as the expectations on the outlook for futures volumes, post the margin on they have been declining, so what are the regulatory changes that would be added or what do you think would be the next trigger for improvement in futures volumes that can be seen going ahead.

P. S. Reddy: The futures volume I think post increase in these margins , more or less remained at 25,000, 26,000 crores ADT and this is mostly confined to Crude oil, but otherwise in NG and other things there is no such effect of negative pricing. So, that is depending on the volatility in the market then that is also rising. Having said this, I think Crude oil futures is expected to be pushed forward once we get some relief on the SGF related actions , and we have said that SEBI should give us option to contribute and withdraw to the SGF fund whenever we wanted to , whenever there is a requirement of SGF cover.

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Today, SGF if we reduce the margins on Crude oil, being a large contributor our SGF requirement increases which we will do it, but once we contribute, today we are not allowed to withdraw if the Crude oil contributions comes down. So, that means it is a permanent loss, hit on our balance sheet. By the end of this month, we expect SEBI or RMRC to meet and then take a decision on it. So, once that decision is taken we will be able to increase our contribution to SGF and reduce the margins on Crude oil, then you will see some kind of upward traction in this. But all other products I think are doing well, but that is a permanent damage in the form of peak margin circular. So, that will stay, but I think the Crude oil is not doing as much as it is ought to have done. I think that will again pick up.

Moderator : Ritwik unmute yourself and ask questions.

Ritwik: Sir, thank you for arranging this and doing this for us. Sir, I have few questions, firstly sir starting with one fundamental question I have. So, comparing MCX with equity market, in equity market participants come to invest in immediate sectors, across commodities to FMCG and so on. So in commodity market, according to you what is the fundamental reason for a participant to enter the market, apart from speculation what is the fundamental reason to enter the commodity market - if you can throw some light on what are your thoughts, I would like to understand?

P. S. Reddy: See, if somebody does a fundamental research analysis, then each product is different

and their numbers will be different in terms of understanding, but if you pick up Reliance and ACC and everything converted into numbers, they are all financial numbers which makes one single sense, but that is how at least with the commodities. There are so many geopolitical factors, many production related issues and different industries which are consumers of these metals or these products, they may be experiencing different cycles. All those things have to be studied; each commodity is different in that sense; this is one important factor for people to understand this. Second important is that the GST is a major concern for anybody to keep a product - buy and keep it on hold and then sell it back, they cannot do it unless they have a GST registration and I doubt retail investors will ever have GST registrations.

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Ritwik: You are talking about the physical part of it right?

P. S. Reddy: Yes, physical part of it, almost all are delivery-based contract, but if somebody want to take delivery of the gold and then take it home then it is fine, but if he wants to deliver it back then they will have a problem again, GST is an issue, but that is not the case with equities you buy something and then maybe after 6 months down the line you can sell it off. These are the challenges at this point.

Ritwik: So, who would be the drivers in terms of new participants coming into the commodity market apart from the existing ones, over that medium to long term, in your opinion?

P. S. Reddy: There are two types I would say, of course speculators are speculators, they are everywhere and they take the price difference irrespective of the commodity. So, they understand. That is one part of it and that is happening. The second set is hedgers and the physical market players, they have these numbers and they are the ones who are actually being targeted by us. It is also equally important to understand our products; the trading unit is very high. It requires a big capital also in that sense, in margins, in the form of margins etcetera, because ever since SEBI made trading unit and the delivery unit the same, in the case of Nickel for example, it is almost for 40 lakhs even if you have to have a 10% margin of say 4 lakhs, just one lot. Trading is not so easy to do it in that sense. So, it is another challenge. So, our target is to have more and more physical market players.

Ritwik: Sir, few questions on Algo trading, you mentioned in the last call that we are looking to increase the turnover from this segment. So, I believe we are currently close to 50%, so what percentage of revenue would you like to reach and then we would say that this is a fair percentage of the total turnover for Algo trading?

P. S. Reddy: I did not understand what your question is.

Ritwik: We have about close to 50% of total turnover in Algo trading?

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P. S. Reddy : More than that.

DG Praveen : This quarter we are 56%.

Ritwik: You mentioned in the last call that you are looking to the increase percentage of Algo trading , so what will be an ideal percent ?

P. S. Reddy: I will clarify it what I mean . What I am saying is concentration is increasing , is the concern that was expressed. So, what I am saying it is bound to increase because more and more Algo players are coming. The HFT players are coming and so it is bound to be there like that , and it can increase to 70% also , but we are not worried about that , because they are more like what should I say, day traders, essentially they do not keep any open interest.

Ritwik: And what is the difference of pricing in Algo versus non -Algo customers?

P. S. Reddy: There is no difference pricing between Algo and non-Algo. We have only two slabs and based on the turnover they fall in

the first slab or second slab , so up

to 350 crores it is about Rs. 260 for 1 crore and on 350 , Rs.175 per crore they pay.

Ritwik: So, this is per day right, 350 crores per day?

DG Praveen : In a month we calculate the average daily turn over, then based on that one , we will see that ..., but again it is like incremental slab.

P. S. Reddy: It is like income tax slab ... So everybody will pay up to 350 crores whatever is the number, and beyond that...

DG Praveen: Similar slab is there for options, but is clean but not on the notional turnover.

Ritwik: What can be the new product that we can introduce on our platform?

P. S. Reddy: One is Electricity futures contract , that is one, we are looking at it and, Gold options , on one kg monthly options , on 1 kg futures contract. And we are also waiting for approval of Aluminum alloy , which is meant for essentially the

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automobile industry. The other one is the steel TMT bars and we were looking at options on Gold index futures also, but let us see , we will apply for it.

Ritwik: Sir, just one last question from my end Sir, what is the net cash as of June 2020?

Satyajeet Bolar: Around 1,100 crores.

Moderator : Thank you Ritwik . Ojasvi you can unmute yourself and ask your questions. Please go ahead Ojasvi.

Ojasvi : So, my first question is what is the management organization is basically doing to address the issue of liquidity in far month contracts, so if you can elaborate what steps are you taking, are you interacting , whom are you interacting, anything on that ?

P. S. Reddy: You see, I mean the board was dead against introducing any LES – 'Liquidity Enhancement Scheme ' and price we had introduced in the past I think , where it didn't yield expected results , but spent was done , whatever was to be spent, we spent it. The second thing is , for far-month contracts we have halved the transaction fees , then we have evaluated after three months whether it has yielded any results or not. We did not find that it has yielded any results. So, keeping that in view , I think as the number of players increase in the market , especially the hedgers and physical market players, I think the far-month contracts will start getting themselves liquid.

Ojasvi : Can you talk about any activity in those physical entities increasing, any traction of hedgers or as an organization are you interacting with any of them to engage in future?

P. S. Reddy: Of course, we have been on a one -to-one basis as well as along with the industry associations, we have been actively engaging and in fact we have conducted educational series for CFOs of some of the companies . We have engaged with SIDBI which is giving loans to the small and medium enterprises. They have organized meeting with their customer base , essentially to tell them that how they can hedge the price risk and because if they don't hedge it and

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they go under the belly then they will go default on the loan also. So, we have shown them the way forward. I think it is happening, but then these efforts really take time to fructify and I am sure as we go along, more such engagements will be done. It's a continuous process of course, and more will join.

Ojasvi : Would you like to offer any qualitative comment, I mean how has been the traction or any increase in last couple of years, in terms of hedgers or in quantities joining and participating in the Exchange?

P. S. Reddy: Almost 10% to 15% hedge rs participation has gone up in the Exchange, so that is the way it is.

Ojasvi : Secondly, like recently there have been few adverse regulatory changes, that led to discontinuation of mini contracts, base metals and compulsory delivery in base metals and peak margins and all, so there have been quite a few headwinds,

do you expect any reversal or any positive kind of a regulatory development impacting business?

P. S. Reddy: We expect some mini contracts, at least in some metals contracts to be, I mean SEBI is re-looking at it and especially when the value of contracts have gone up as I was explaining earlier, Nickel has become almost 30 lakh and 40 lakhs, Copper is around 30 lakhs or 25 to 30 lakhs and that is too expensive for any small players to participate. So, they also seized up this matter, I think we will bring back those many contracts, that is what our hope is.

Moderator : Thank you Ojasvi. Nikhil you can unmute yourself and ask the question. Please go ahead.

Nikhil : Sir I have a question on the employee expense, so going ahead how should I look at the employee expense, is it more variable in nature or is it fixed in nature?

P. S. Reddy: In this, our commodity derivatives platform, we have engaged lot of people for executing the project, monitoring the project and testing etcetera, maybe going forward, again not immediately, I must say that for the year 22-23 it may Multi Commodity Exchange

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remain the same, but maybe 23-24 some of these platforms are stable and all that, some may leave also, some people leave, then we may not recruit in their place. So, I think you can look forward for a tapering down of this expense.

Nikhil : Sir, I want to understand whether fixed in nature or how much is the variable part in the employee expense?

Satyajeet Bolar : Major component is fixed, so there is this variable component which we have a budget which is approved by the board, in which variable component is approved.

P. S. Reddy : So, variable component is about Rs. 7-8 crores and maybe next year it could be Rs. 10 crores that is the way it is?

DG Praveen : Again it is based on the performance.

Nikhil : Understood. And secondly, why steel not traded in the exchange currently, what are the challenges faced in that?

P. S. Reddy: Come again please.

Nikhil : Why steel contracts not traded on the exchanges, what are the key challenges why steel is not traded?

P. S. Reddy: When you say steel, I think you can be specific, but we have applied to SEBI steel ingots, not steel TMT bars, so SEBI is not approved as yet, that is the only thing.

Nikhil : So, I mean, as of now it is never traded on the exchange, so what is the reason for that, is this the contract size or the storage issue?

P. S. Reddy : It was introduced a long time ago and this was discontinued because there was no steel standard.

DG Praveen : No standard was there, BIS standards were not there, that means industry had not then adopted, but later they have adopted. So, our contracts was launched very long almost 10 years back or something, so that time we could not able to Multi Commodity Exchange

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get much traction from the market, but now with revised standards in place, we

are looking for the contracts like steel TMT bars , other contracts.

Nikhil : My next question Sir, technology -side, given that our current contract with 63 Moons is expiring on September , and you have said that because of some issues in the new platform , that you are evaluating, you may continue with 63 Moons .

I have a question whether they would be okay to continue for few more months or whether they would be looking for the longer duration contract ?

P. S. Reddy: You see we want it to be for maximum 3 months to 6 months' time , that is the way we have requested them to extend the contract and, TCS platform has been deployed for UAT and others, lot of bugs are coming. So, it may take some time to stabilize. So, we asked for 3 to 6 months and as an Exchange , we have a right to use the platform but being a market infrastructure institution without the support of the vendor , whether it is advisable to go

and then use it is the

question. So, we do not want to take that risk , that is why we have asked them , but our licenses are perpetual , most of them.

Nikhil : Is it possible that 63 Moons may ask for the longer duration of contracts and you may have no choice, but to go ahead with them , like if they ask ?

P. S. Reddy: Not necessary, we are looking at 2 -3 alternatives also, it is not just 63 Moons only.

Nikhil : And the other alternatives , are the cost benefit equally similar to TCS or it would be slightly expensive?

P. S. Reddy: No, there is no question of replacing the TCS thing, we are only looking at alternative s vis-à-vis the transition phase , how do we manage it . That is what the alternative plans are all about. So, I think we should not be foretelling anything about 63 Moons - will accept, does not accept ...

Nikhil : No, the reason I am asking because since the current contract is ending in September , we are already in August , we might have already started the testing of the other platform?

P. S. Reddy: Yes. We have already asked them; they are yet to come back with a response.

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Nikhil : And just one more question , so now the future volume I think , when you have introduced the option contract for Nickel , that time I think the requirement was that the minimum underlying futures should be more than Rs. 1,000 crore. Now, that is reduced to almost negligible, so will you still be able to continue with the option s contracts in Nickel, what is the regulation s say on that, can we cancel the contract?

P. S. Reddy: See, we can keep it for about three years. So, there is no bar on it, but then if the future itself is nil and these are options on futures. So, the futures contract is not liquid, option s contract will not be liquid anyway. We need to activate it and that is where we have asked SEBI to give us a smaller contracts, which they are looking at .

Moderator : Thanks Nikhil. Participants who wish to ask questions can take on the raise hand icon . Sir, just extending one of Nikhil's point on technology, and on the call you had mentioned that the savings together on the EBITDA front , while there will be some saving when depreciation will be higher, so is it that together both of them, saving s on the operational cost front and the increase in depreciation will not lead to any material saving overall , from a profitability perspective once the TCS platform is taken?

P. S. Reddy: There will be a break -even depending on the volume , because now the technology cost are fixed. Now , there is nothing called a variable cost. Now , whether the cost will be lower or not depends on how much more ADT we will clock. So, the higher the ADT being fixed one , the cost on now technology are fixed , probably we will be able to see a better PAT. That is what we were saying , but today , even if you do well in ADT , a part of it goes towards technology , that cost also increases.

Moderator : At current levels of volumes , do you see significant benefit if the TCS was implemented today?

P. S. Reddy: Yes of course it is.

Moderator : And one more question which I was given by one of the participant , who could not participate, was, the thoughts on option volume s – options volumes have

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actually gone through the roof and we have seen that on the equity side as well, globally what are the phenomena in terms of equity volumes or in terms of option volumes in other commodity exchanges, and do you see that the option volumes today are closing in the futures volumes, do you think that they can be like 2x or 3x futures volumes, say, in the next three to five years?

DG Praveen : Our markets are definitely not comparable with global market. In fact, options are quite popular in Indian markets. Even

if you can see in equity markets, most

of the turnover is coming from options only. Globally, just to give a perspective, it is roughly about 15% to 20% comparable to that of the futures turnover, that means, it is dominated by futures turnover. But Indian markets have been different and also supplemented by Commodity transactions tax and other things, definitely now with peak margin reporting definitely, it is favoring the option contracts.

Moderator : And, another question was, in terms of pricing, do you see the potential to increase pricing in both - futures and options, what are your thoughts there?

P. S. Reddy: As I had explained, in the case of options, just last year, first October we started. I think it is too early at this point to increase it or tinker with it. And, even the realization rate also is very good. We did not expect it to be so much, earlier we thought it will be only 33%. We realized now it is 48% as the top of futures. I think that is a good development. It also indicates that most of the options trading is taking place at the money or in the money or near the money kind of contract, that is why the premiums are high. I think we should allow that to not touch it. When it comes to the futures, many of the major players who are Algo players, they desire it to be further reduced. If we reduce it to the one set of players and do not do it for the others, then probably we will face maybe, regulatory scrutiny. I do not want that to be done and at this point in time we should retain as-is, where-is basis.

Moderator : We have a question from Rukun. Rukun, please go ahead.

Rukun : Can you talk a bit on the participants in the options market, are they largely the same participants that are there in the futures market, or is this a new set of Multi Commodity Exchange

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participants, and are you seeing the same set of participants shifting from futures to options, because of the margin rules and so on ...?

P. S. Reddy: We have seen such shift, you know that currently options are primarily the Crude and NG. And a part of the Crude crowd, which was earlier trading futures, they have deserted the market post negative pricing and they have come back substantially. So, they are participating in both NG as well as in Crude oil, and new participants are anyway joining that growth rate is also a good one, that is the way it is.

DG Praveen : I will give the numbers; you will get some good idea. Like this quarter, Q1, futures and options put together, around 2.38 lakh clients have traded compared to corresponding quarter of last year, it is about 2.23 lakh clients who have traded. So, that is the picture, but even if we look at maybe the drop that you would like to see in the future is lower compared to the gain that the Exchange has seen in terms of clients participated in the options. So, that way there is an overall growth rate, but there is a marginal drop that happened in the futures, but there is a significant growth witnessed in the options contract.

Rukun : Another question that had come across was on whenever these gold EGR or the power electricity future are launched, do you think that these have huge potential of revenue and profitability, what kind of potential you see on this?

P. S. Reddy: See electricity futures is something which I am betting very big, but of course gold EGR is essentially the spot market gold spot exchange and it is not going to be too big a market but it helps us to hedge on the exchange platform, for those who are trading the spot if somebody has taken a delivery and they can definitely hedge on the exchange platform, that is the way we look at it. So, it collaborates or complements each other. So, to that extent there will be some marginal impact, but electricity futures is completely new and the consumers

are

also a very big consumers going to be and be that consumers are the producers who are going to trade on the electricity futures, they are going to be

big ones. So, it makes a big difference.

Moderator : It is similar to something what IEX has or how would you compete against IEX?

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P. S. Reddy: IEX is a spot exchange.

Moderator : There is no competition?

P. S. Reddy: Yes.

Moderator : Participant s, if you have any further please click on the raise hand icon. I think

Sir we do not have any further questions from the participants , so we can end the call here. Thank you everyone for your time and thank you the entire team at MCX for giving us this opportunity to host the call, looking forward to more interactions with you guys. Thank you so much. Have a great evening, bye.

P. S. Reddy: Thanks to all, bye.

Call: Aug 2022

MULTI COMMODITY EXCHANGE OF INDIA LTD.

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CIN: L51909MH2002PLC135594, info@mcxindia.com MCX/SEC/2077 August 06, 2022

BSE Limited

Department of Corporate Services

PJ Towers, Dalal Street,

Mumbai - 400 001.

Ref: Scrip code: 534091 Scrip ID: MCX

Subject: Transcript of the "Earnings Conference Call" with investor(s)/analyst(s) on Q1 FY-2023 results.

Dear Sir,

Please find enclosed herewith transcript of the "Earnings Conference Call" with investor(s)/analyst(s) held on Monday, August 01, 2022 at 4.00 p.m. (IST) on Q1 FY-2023 results.

The said transcript is also uploaded on the website of the Company at

<https://www.mcxindia.com/investor-relations/ir-meetings>

Further, we hereby confirm that no unpublished price sensitive information was shared/discussed during the said earnings call.

Kindly take the same on record and acknowledge receipt.

Thanking you,

Yours faithfully,

For Multi Commodity Exchange of India Limited

Ajay Puri

Company Secretary

Encl.: As above

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"Multi Commodity Exchange of India Limited
Q1 FY23 Earnings Conference Call "

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Disclaimer:

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This document may contain "forward -looking statements" – that is, statements related to future, not past, events. In this context, forward looking statements often address our expected future business and financial performance, often contain words such as "expects", "anticipates", "intends", "plans", "believes", "seeks", "should" or "will". Forward -looking statements by their nature address matters that are, to different degrees, uncertain. These uncertainties may cause our actual results to be materially different than those expressed in our forward -looking statements. We do not undertake to update our forward -looking statements.

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MANAGEMENT : MR. P.S. REDDY – MANAGING DIRECTOR AND CHIEF
EXECUTIVE OFFICER
MR. MANOJ JAIN – CHIEF OPERATING OFFICER
MR. SATYAJEET BOLAR – CHIEF FINANCIAL OFFICER
MR. D.G. PRAVEEN – HEAD (INVESTOR RELATIONS)

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Moderator: Ladies and gentlemen, good day and welcome to the Multi Commodity Exchange of India Limited Q1 FY23 Earnings Conference Call. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * then 0 on your touchtone phone. Please note that this conference is being recorded. On the call, we have today, Mr. P. S. Reddy - Managing Director and Chief Executive Officer; Mr. Manoj Jain - Chief Operating Officer; Mr. Satyajeet Bolar - Chief Financial Officer; Mr. Praveen D. G. - Head, Investor Relations. I now hand the conference over to Mr. P. S. Reddy - Managing Director. Thank you and over to you, sir.

P. S. Reddy : Thank you. Good evening , everybody. Thank you for once again showing interest in the company and its growth story. As an Exchange , this quarter, we have done relatively better in the light of whatever that has happened in the previous quarters and options turnover has picked up substantially well and for this quarter, it was about Rs. 19, 500 crores and , in fact in the month of July, you will be surprised, it was almost Rs. 27,400 crores and I think we are on a good growth path and hopefully , we will be able to see sustained growth in these contracts. While with these contracts , we are trying to nurture and then bring in more participants, we would also be launching new contracts as and when we get the approvals from SEBI. I have nothing much to say because I do not want to take time in explaining this. Our results are out there. Many of the data points are already there, so I will keep it open for the participants to raise questions.

Moderator: Thank you, sir . Ladies and gentlemen, we will now begin the question -and- answer session. The first question is from the line of Prashant Shah from RG Investments . Kindly proceed.

Prashant Shah : Good afternoon Sir! Am I audible? Since BSE has recently got the approval for the EGRs, any update with respect to the same?

P. S. Reddy: EGR we can get an approval. That is not an issue. At this point in time, we are still in the development of the technology platform, but nobody has started any trading because some GST related issues are there. Unless that is resolved,

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interest will not be seen growing in this. So, let that GST should be resolved .

We are not , in that sense , delayed.

Moderator: Thank you. The next question is from the line of Giriraj Daga from KM Visaria Family Trust. Kindly proceed.

Giriraj Daga : Sir, I have two questions, first question on the pricing, so can you just remind us when was the last time when we had taken a price hike?

P. S. Reddy: It was in 2018 , and we have introduced pricing in Options only in October 2021.

Giriraj Daga: I am talking about the pricing in the Futures only, so when do you think next pricing revision is due and which authority approval they will be needing and just give some comparison like BSE and NSE charges about like above Rs. 300 per Rs. 1 crore and we are still at 210 -215, so any possibility will bridge in that gap or will be given some inflationary price hike given that 3 -4 years has gone past, so what is your thoughts there?

P. S. Reddy: We are still in a developmental stage of our platform and many new products are being brought in, we are looking forward to many Algo players to join. For Algo players, incrementally even 1 paisa increase also makes a difference, so going forward , you will see there is, as we go along , we will discuss the concentration is increasing in the form of Algo players and new Algo players have joined. That is the reason why we are very conscious

about it. Actually ,

they are looking forward for reduction in the charges. So, I think I do not want to stir the hornets' nest at this point, I would like to stay cool there and increase the volumes and also increase the number of products that are being traded on the exchange.

Giriraj Daga : And let us say academic part, you are free to increase paisa if you require today?

P. S. Reddy: Of course, we are free, but then we need to take all stakeholders into consideration.

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Giriraj Daga : My second question is on the TCS platform, so we are still confident of up and running from September onwards?

P. S. Reddy: Well, there will be a delay in that. That delivery has happened by and large, but then a lot of bugs are there , that fixation is going on, bug fixation , and we need to give a clean mock run. So that will take some time . So, we have different alternative plans, I don't want to disclose them, but all alternative plans are being worked upon. That's the way it is. What I am saying is that at alternative plans, it is not going to be substantially delayed. Maybe another 3 months' time , we should be able to close it. That is the way we are looking at it at this point in time.

Giriraj Daga: Just to make ourselves clear, so like last year we had about Rs. 64 crores software support charges and product license fees, so let us say in FY24 , as I am assuming 3 months delay and may be probably one month, 2 month, here or there, but in FY24 this cost should be drastically down like say may be Rs. 64 crores to may be Rs. 5 -10 crores?

P. S. Reddy: See, there are two aspects of it, one is the cost of it, so as a direct expense that will be lower, but as the depreciation will go up, one line item may come down, another line item may go up. That is the way I am seeing it.

Giriraj Daga: I agree with you, but am I on right track in terms of numbers?

P. S. Reddy: No, I will not go with any numbers, because we are not giving as yet any numbers, but I can tell you to substantially lower. That is all I can tell you that.

Giriraj Daga: No, I am not looking at TCS cost component, but whatever what we are paying to the FT, the erstwhile technology provider , that numbers will be zero, right?

P. S. Reddy: Yes, that will be zero obviously.

Moderator: Thank you. The next question is from the line of Devesh Agarwal from IIFL Securities. Kindly proceed.

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Devesh Agarwal: Good afternoon Sir! Firstly, Sir, you spoke about Algo concentration increasing in the future stream, so if that is the reason, despite our volumes are

declining on a Y-o-Y basis, the tariffs are kind of coming down?

P. S. Reddy: No, the average realization may be coming down, because we have two tariff slabs and people fall under Algos generally on the higher tariff stream. That is correct.

Devesh Agarwal: So, despite volume decline, the concentration is kind of going up?

P. S. Reddy: Higher means, what I mean is, when slab 1 is a higher tariff and the slab 2 is a lower tariff, so they are moving up the ladder, so that the way it is. So, that is up to Rs. 350 crores is Rs. 260 and over Rs. 350 crores is Rs. 1.75 paisa per lakh.

Devesh Agarwal: And sir, if you could share the concentration, say the top 10 traders, what would be their concentration in the overall volume?

P. S. Reddy: It was about 48%, now it has gone to 56%. Top 10 is 67%.

Devesh Agarwal: And how much this was for last year?

P. S. Reddy: For the entire year, it is 62%.

Devesh Agarwal: So, what has been the revenue from options in the quarter?

P. S. Reddy: Revenue is Rs. 27 crores.

Devesh Agarwal: And you spoke about Sir, technology migration there being one quarter delay, so now we are targeting somewhere in Jan, this migration to happen?

P. S. Red

dy: That will not be Jan, this quarter only I am looking at it. Next quarter only I am seeing it.

Devesh Agarwal: And in the meanwhile, we will continue with the FT platform?

P. S. Reddy: We are looking at various options including FT platform. We have 3-4 options we have looked at and we are working on all options simultaneously.

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Devesh Agarwal: And by when shall we get clarity on this?

P. S. Reddy: We should get it in about a month's time. That is not an issue. TCS said that they will deliver by the end of August, complete suite. This is what our bugs are there and all that, so that we will be able to give a clear mock to the market participant. We have already given mock in pieces, but some bugs were reported. Those ones are being addressed.

Devesh Agarwal: And couple of accounting questions, Sir, what has been M to M loss this year, in this quarter?

Satyajeet Bolar: May was a washout month because the RBI increased rates in May, but Q1 we recovered and what we have done is, we have moved from mutual funds, because basically our mark to mark was not substantial because we had parked it in ultra-short-term and short-term funds and overnight, so we have now started moving to state development loans which we will be accounting under the amortized system. That is of the plan forward, so we have already started this and during the month after the RBI policy we will get better clarity, but the accounting for these instruments in our books will be under the amortized system. So, we won't have any mark to mark on these instruments.

Devesh Agarwal: And sir, this time taxation like last year, you said that all the adjustments will be done in Q4, are we following the same practice or this year we will be doing the adjustment as we go along?

Satyajeet Bolar: No, we will do it the same way, but I am glad to tell you that we have taken a full MAT credit and so under the new regime, our effective tax is around 24% for the standalone and around 20% on a consolidated basis.

Devesh Agarwal: We have been able to completely utilize the MAT?

Satyajeet Bolar: Yes, that is it.

Moderator: Thank you. The next question is from the line of Savi Jain from 2Point2

Capital. Kindly proceed.

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Savi Jain: Sir, first question was just a follow-up on the expenses for the new software, so you said that while expense will go down, the depreciation will increase, but the sum total of both, will that be less than the total expense that we are incurring right now?

Satyajeet Bolar: Presently, there is a fixed charge as well as the variable charge which is linked to our transaction charges. There is nothing linked to our transaction charge.

P. S. Reddy: No, again it means what, higher the trading and higher the transaction revenue,

correspondingly you don't do anything , so obviously that will be less. There will be a tipping point or a balancing point up to what turnover, both will be equal and up to what , beyond which that one will remain the same, so that kind of thing it will happen.

Savi Jain: Sir, I understood that, but based on the current levels of ADT V, we assume the same levels, will that expenses be similar or will it be lower, the depreciation plus the fixed charge, will it be lower than the current fixed plus traded?

P. S. Reddy: May be somewhat lower.

Savi Jain: And is there any update on the FPI participation where we think we can have them trading on the?

P. S. Reddy: SEBI is drafting the regulations . Once they are done, then they will release it, the circulars rather. It is already announced by SEBI. That you are aware of it, by the way?

Savi Jain: Yes.

P. S. Reddy: SEBI has announced it, now they have to give the circular, operationalizing it.

Moderator: Thank you.

The next question is from the line of Amit Chandra from HDFC Securities. Kindly proceed.

Amit Chandra : Sir, my question is on the option volumes, so as you mentioned that the options volume has picked up significantly, but if I see the line of constituents , till 95% or 90% crude oil and natural gas in that and we have launched the Gold mini Multi Commodity Exchange of India Limited
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contracts, but that is also not picking up, so from here on, what we can expect on the Options side, whether it will be dominated by these two contracts or may be other contracts will also start picking up, so if you can throw some light on what we are doing to build like the other contracts, and also on the index options contract which has been allowed by SEBI, so maybe you can tell when the contract has been launched and like what kind of traction we are seeing in that?

P. S. Reddy: Currently, these two are the darlings of the market , crude oil and natural gas, so obviously those two options are doing well and in the case of Gold , although Gold Mini is launched, the volume substantially , because the ease in the main 1 kilo Gold and these contracts , these options will devolve into the underlying futures. So, that is the reflective, so the volume is also reflective of the underlying futures volume, Gold Mini , options volume is also reflective of the underlying futures volume. Recently, we got SEBI's approval for launching monthly options in 1 kilo Gold bar on the underlying bi-monthly futures. Currently, Gold 1 kilo is a bi-monthly futures contract, so as a result what will happen is the tenure is reduced, so the premium will almost be halted, so that is the new thing that we are looking at it. We will be launching that product soon.

Amit Chandra: Sir, in terms of participation details that you have given in the PPT, so the client participation has increased substantially , like Y-o-Y, and if I see in the options contract, so is it fair to assume that options volume is largely being contributed by the retail client and also in terms of the UCCs that we have seen it has increased significantly over the last 3 years almost 4x, now around like 1 crore active UCCs are there, so out of that how many would be trading in options and is it fair to assume that options is largely a retail participation that is there?

P. S. Reddy: In terms of options, last year we had 1,72,900 odd investors who have traded , and in this first quarter alone, we have 1,19,500 traded, so the trend is really interesting. But if you look at it again, the corresponding Q1 of the last year it is only 32,000. So, there is a huge difference, so we are really doing well. Here, you must see option writers are by and large , some proprietary account is Multi Commodity Exchange of India Limited
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happening, but option buyers , whether put option or call option, they happen to be the retail. That is what we have seen in that.

Amit Chandra: So, what your saying is that out of the Re. 1 crore active UCC, around like 1 - 1.5 lakh is only trading option, so there is still scope to increase the retail participation in option, if I am correct in this?

P. S. Reddy: Yes, there is scope.

Amit Chandra: And also sir, in terms of the options, earlier if I remember you mentioned that options realization is around like one third of future s, but if I see, based on my calculation, the option realization is coming at around 53% because your options premium to options notionally is around 2.6% which we are earlier assuming it to be around 1.5 -1.6%, so is it fair to assume that this is going to come down or is it going to remain at these level s only ?

P. S. Reddy: It all depends on whether options are traded near month or far away. If it i s far away, obviously the premium will be much smaller, out of the money or in the mone

y or at the money, these kind of things , and mostly it is happening near money or around that or in the money. As a result, you will see high premium is being paid and as a result also, the return is almost all I have seen the 48 to 50%, but what we have calculated at that point in time is based on what is happening in NSE, that is what the calculations were and fortunately we prove to be wrong, so we are getting more this one, but I am not too sure whether that kind of spread will continue to be there, but even 40% is also there , that is also a good number . That the way it is.

Amit Chandra: And sir, in terms of the technology shift that you mentioned that there can be some delays in that, so if I am not wrong, the current arrangement is ending in September and any extension there is not possible or in case we have to exten d, we have to do it for one year, so are we planning to extend for one year or extension of one or two month I think is not the case, so like are the alternative plans we have?

P. S. Reddy: No, that is what I am saying, I will not be able t o disclose all my, what are all doing it because nobody should play spoil sport to jeopardiz e all those things, Multi Commodity Exchange of India Limited

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but we have, one thing is for all the existing licenses of the existing platform we have perpetual licenses , that means it may be for 60 years, it may be for 40 years, it may be 30 years, etc., so the license fees are all done . The only thing is, when there is a problem, troubleshooting is needed that is where their services we will be required . This is one of t he contingencies that we are looking at it, approaching them to get their cont inuous support for 3 to 6 months . That is what our request is going to be and that is it. There are other plans also we have.

Moderator: Thank you. The next question is from the line of Prayesh Jain from Motilal Oswal. Kindly proceed.

Prayesh Jain: Just a few questions, firstly, when do you plan to launch options on indices?

P. S. Reddy: Currently, except for BULLDEX others are not doing well. We need to allow the underlying f utures contract, if you want to launch it then we must have a vibrant future on options contract. So, we need to revive that and METLDEX has gone almost all nil because of the nickel debacle that has happened. Now, we are asking for a different trading lot and then delivery lot for the case of nickel. Once that nickel is permitted, then the trading interest will come in, then we will revive this metal index future s contract. So, let us develop it , first the underlying f uture s, then we will apply for those o ptions.

Prayesh Jain: And also recently there was an allowance of FPIs being allowed to trade in commodities in India, how do you see this and how do you see the benefit of this over the medium term?

P. S. Reddy: It should help us to improve the liquidity in the market. That is the way I look at it. There are 2 -3 things which I keep telling the other people also. For FII s, somebody can say that look, they can also go to London or CME , why did they come to you? That is one question that people ask, but then the cash and carry arbitrageur opportunities are available in the respective markets only. Sitting there, they can't enjoy that benefit. So, there is an opportunity for participating in this market. Second, there are people who are currently maintaining or who may be trading one book in the international leg, another book in the domestic leg, etc. Now, they don't need to have maintained two dif ferent books and do

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anything of that kind. They can always trade in one single legal entity and the liquidity will increase in the exchange to that extent. That is what I am saying.

Prayesh Jain: Sir, other aspect was on electricity futures, when do you think

we will launch

that, any further developments?

P. S. Reddy: I shouldn't be losing my patience on this, but I think yes, we are tired of it.

There is no day that goes without discussing electricity futures contracts being allowed to be launched. We are waiting for the regulatory approvals, hopefully this quarter will happen.

Prayesh Jain: And sir, my last question is on the TCS software again, what is the capital cost of it and what is the kind of lifetime of that asset for the depreciation will be about 3 years, 4 years?

P. S. Reddy: See, our contract with TCS is 1 plus 5 years, as far as the software usefulness or what usage is concerned, it is a life time as long as we continue to pay them the AMC. So, you just pay the AMC, then keep using it. That is how it is.

Prayesh Jain: Sir, what is the capital cost of it?

P. S. Reddy: No, we are not disclosing it as yet. We will do that after maybe going live or something like that. I do not know when CFO would like it to be disclosed, but anyway it will come in the books.

Moderator: Thank you. The next question is from the line of Lavanya Tottala from UBS. Kindly proceed.

Lavanya Tottala: Most of my questions are answered, but I just wanted to check on software support charges, so is this like the software charges are linked to option volumes, but our revenue is linked to option premiums, I just wanted to check if...?

P. S. Reddy: I am sorry, what is the software related, I didn't understand.

Lavanya Tottala: Software support charges which is higher in this quarter, wanted to check the revenue behind that?

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P. S. Reddy: It doesn't distinguish between options or futures; every rupee earned a certain percentage has to go to the software vendor. That is the way it is.

Lavanya Tottala: It is on our fees, not just on the option ADVs, right?

P. S. Reddy: Nothing to do with options, nothing to do with any of those tariffs that we structure for each product. If you don't charge anything, then they will also get nothing, but if we charge something, you have to pay out of it, a certain percentage.

Lavanya Tottala: And on the staff cost, will it be the same run rate which we are having in the quarter 1, which is a bit higher?

P. S. Reddy: It is partially higher because lot of attrition is there in IT sector and others, some kind of corrections have to be done and some hiring also is taken place because this of the implementation and other things, but I think once the project goes live, maybe after 2-3 quarters later, it may start to taper off, you will see some kind of downward trend, but not so much, but there will be some stability in that number.

Lavanya Tottala: And on the new product launches, other than the electricity futures and other things, what are the new products or new commodities that we are looking to launch in the near term, sir?

P. S. Reddy: Approvals are pending, that is the whole issue, as I told you, approvals are pending and there is no point in repeating the same thing even quarter after quarter because I am waiting for those approvals. No response has been received, but this time we are determined to get them to give. Also we are waiting, if they want to reject it, let them say why they are rejecting and I have no problem about it. At least some other product we can try, but once we get the product approval, then we have to launch it within certain period. As I said that we will launch now Gold options on the 1 kg contract, on bi-monthly futures. So, that is something which we will take up in this quarter.

Moderator: Thank you. The next question is from the line of Nikhil Abhyankar from DAM Capital. Kindly proceed.

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Nikhil Abhyankar: I wanted to know what will be the effect of IIBX on our turnover, will

there be

any substantial effect to us?

P. S. Reddy: IIBX is promoted by all five of us, and we all have equal 20% share, so now that it is inaugurated and the tariffs are also announced and our estimate suggests that it is going to do well. So, it is like that.

Nikhil Abhyankar: So, you don't think it will directly impact our volumes?

P. S. Reddy: You mean to say, volumes, okay?

Nikhil Abhyankar: Yes.

P. S. Reddy: In terms of volumes, I would say it will, if at all there is an effect, it will be a positive effect because the guys who are importing the Gold may have to hedge that exposure also, so exchange is used for such kind of risk management.

Nikhil Abhyankar: And sir, you just spoke about spot exchanges earlier, so we are planning to launch Gold and Coal spot exchanges, so what do you think will be the percentage as compared to the India's total consumption that will be traded on our platforms, what is the global average and where do we see going, once we launch?

P. S. Reddy: It is more hypothetical question in that sense, our people may have made these assessments, but the way that we looked at it is, especially Coal for spot exchange is, the Government has leased out mines which are shut down and which are due to unavailability in terms of public sectors assessment. Now, the private sector has picked up on a PPE model they are going to produce Coal. Now, that is completely free from any kind of Government sectors. They can sell in the open markets. In fact, we have seen about 20 Coal mines were auctioned when we went one conference and there are about 120 or 100 plus if not 120, which are still to be auctioned, so all that coal will come. Now, while it is tightly controlled, currently there is about 5% or so it is, Coal traders are using it. Some captive mines are also there; they are also allowed to sell Coal in the open market. So, we are assessing all that. We don't need the entire Coal India production to come to us because they have commitments to various State Multi Commodity Exchange of India Limited

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Government entities, they have to give it. So, they may not come over there, but we are sure that this Coal spot exchange will do well once it is permitted to be launched. This is one part of it. Second part of it is, the Gold part of it. While Gold spot exchange is something that we all are waiting for, GST constraints have not yet made it a viable option. So, that is why everybody is holding back. Even BSE said that 2 years ago, when my announcement came by Dhanteras, we launched whatever it is they said and Akshaya Tritiya, nothing happened, because there are constraints. We understand that better than anybody else. Now, if the Gold spot exchange comes, maybe synergies between MCX futures Gold contracts and spot will be much higher than anybody else because it supports each other's ecosystem and the margins and other things can be moved easily and people can take exposure in one and then contraposition in the other, etc., so, I think we will not let that opportunity go, but it is too early for us to apply. That is the reason we are waiting.

Nikhil Abhyankar: And just one last question again, I just wanted to know what are the costs that we pay to CME for the licensing of the underlying and we have also, India has also got a spot Gas exchange now through IGX, so is there any thought to move towards it?

P. S. Reddy: No, the one which we are trading is the WTI and Gas, that is what the pricing is all about. Now we are paying CME about USD 2 million, that is the minimum and if the turnover, say approximately let us say it is 16,000 crores, then there is a breakeven, then beyond that we have to pay that incremental cost. So, this quarter we have paid extra to CME because the crude and NG has done well.

Nikhil Abhyankar: And there is no thought of moving to IGX, so

that we can, if there are any costs

....?

P. S. Reddy: No, this is not as yet highly liquid or anything like that. Some of them, currently reporting kind of thing is happening. It is too early for us to say that the NG has moved over to the domestic platform, because there are state, it is not under the GST purview, still VAT is ruling this NG market, so that is a challenge and transferring the gas or transporting gas from one consumer to the producer,

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etc., the entire pipeline is under the control of GAIL. No w, unless that is separated, there won't be any fair pricing of it.

Nikhil Abhyankar: Sir, what is the underlying for our Gold futures?

P. S. Reddy: Our Gold only, domestic prices only. We are not paying anything to anybody.

Moderator: Thank you. The next question is from the line of Sanketh Godha from Spark Capital. Kindly proceed.

Sanketh Godha: Sir, just wanted to understand this Nickel part little better, sir, you said that may be subsequent quarter, it might be re-launched, so where it is got stuck and if it comes back, whether it can potentially contribute the same amount of volume it used to contribute in the past month, so that is the first one? Then I have a second one with respect to depreciation and tax?

P. S. Reddy: Are you talking about the Nickel contract?

Sanketh Godha: Yes sir, Nickel contract.

P. S. Reddy: Nickel contract currently its values are almost Rs. 38 to Rs. 40 lakhs with the margin of 20%, it is too expensive for anybody to trade in this contract. So, we have informed the SEBI, this is what the issue is and the investors are deserting this counter. So, unless you do something about it, it will die a natural death, so unless you have a strong merit in being trading unit being different from the delivery unit. Now, there we don't see any merit in it. I think that is something which they are considering and let us see if it happens, there is nothing like it.

Sanketh Godha: Sir, you expect the margins to come down in this particular product, so that volumes will revive back, that is the way you are trying to?

P. S. Reddy: That is correct. The very trading unit itself will be one-third, is what we are looking at.

Sanketh Godha: Sir, you are looking for both the benefits, one is trading unit size to come off and the margin on that amount to be lower?

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P. S. Reddy: Will be much lower, yes obviously.

Sanketh Godha: Second question, more on just wanted to understand, the depreciation in the current quarter came relatively higher compared to what we reported in the fourth quarter FY22 which was Rs. 2.7 crores, now Rs. 5.8 crores. So, is it some change in our approach in calculating depreciation which we split to that increase, I just wanted to understand that part, sir?

Satyajeet Bolar: Not really, if you see our previous quarter, June as well as till December, it was at the same run rate, but when we reviewed it in March, we decided that certain assets which we could continue using, so that is why we reversed certain depreciation amounts in March. That is why for the year as well as for the quarter, particularly for the quarter the depreciation is a bit lower than the current quarter figure.

Sanketh Godha: Sir this Rs. 5.8 crore kind of a run rate continue to remain for subsequent quarters?

Satyajeet Bolar: Yes, that is right, it is.

Sanketh Godha: And finally on the tax rate sir, you said 20% is the tax rate on consolidated numbers?

Satyajeet Bolar: That is on the consolidated and for the standalone it is around 24%.

Sanketh Godha: So, on consolidated basis, it will remain at 20 only for subsequent quarters after utilizing everything with respect to VAT?

Satyajeet Bolar: Yes, at least still I don't foresee any major change

until March because whatever

adjustments we will do, we will do it in the March quarter.

Sanketh Godha: So, we can work with 20% tax rate, right, sir?

Satyajeet Bolar: On a consolidated basis.

Moderator: Thank you. The next question is from the line of Ravin Kurwa from ICICI Securities. Kindly proceed.

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Ravin Kurwa: Sir, I have two questions, one was on the cost side, so is it fair to assume the employee expenses and the other expenses to remain at the similar way for the remaining quarters of FY23?

Satyajeet Bolar: There are few senior level recruits that we have done in IT in this quarter, so I had expected to continue at this rate because I have also made provisions in our HR cost. So, the HR cost should continue and when we compare the other expenses, especially in March, we have done certain reversals because the variable pay is linked to the performance and all that, so when we came to March we knew the exact figure, what we would be realizing, so that is why there are certain reversals done in March. So, if you compare it with the previous quarters, it is in the same run rate.

P. S. Reddy: So, in the beginning of the year, the auditor s say that you should do provisioning for the variable pay, so we do it based on the budgeted thing and actually when, what is the performance of the company, what is the individual's performance we see that, then we will find that there is, this year, rather this year means 21 -22, we didn't perform as per the budgeted target, so we have lowered it, so accordingly that much is ploughed back into the accounts.

Ravin Kurwa: So, just in case sir, if our financial performance increases going forward, then we may see a higher run rate for Q4 ?

P. S. Reddy: No, whatever we have provided is considered to be 100% and if budgeted targets are received, this 100% will be paid out and if budgeted targets are received only by 80%, let us say that 20% will be put back in the account.

Ravin Kurwa: And sir, secondly, on the bi-monthly options side, sir what is the view on cannibalizing the future volumes or option volumes by launching that options contract?

P. S. Reddy: Which one you are talking about?

Ravin Kurwa: Gold 1 kg bi-monthly contract?

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P. S. Reddy: I don't think it will be cannibalizing it, I would say it will actually infuse further liquidity in that. It doesn't cannibalize. The months which are not there , will start coming into this system.

Ravin Kurwa: Sir, if you can help us with only the active client data base for the quarter, so we have been actively trading for last 1 year, if you can see us for the futures and options?

P. S. Reddy: Futures and options, last year, we had 4,70,000 and that is for the financial year 21-22, 4,71,000 you can take it , and this quarter, 2,38,000 have traded.

Ravin Kurwa: This based on our active ratio of in the range of like 3 to 3.5%, so I just wanted to get your views on, how we will be increasing the active ratio for the client and how has it been historically in the past?

P. S. Reddy: See, if you look at it, the corresponding quarter last year, just at the beginning of the year, about 2,23,000 people have traded, unique, so as against 2,23,000, 2,38, 000 have traded. That is almost how much, about 8%.

Ravin Kurwa: Yes, sir. That is an improvement.

Moderator: Thank you. The next question is from the line of Sujit Jain from ASK Investments. Kindly proceed.

Sujit Jain: Sir, bank brokerages as a percentage of total turnover, how much that would be currently?

P. S. Reddy: Yes, currently it is about Rs. 1,000 crores, maybe it is 5% of it , out of 25,000.

Sujit Jain: And similar number for options?

P. S. Reddy: Options, I don't think I have readily available, I think this has not been taken.

We should take that also. That probably we will post it on the website if it is available there. We will generate it. We have not generated that.

Sujit Jain: Sir, which means that there is a good amount of scope here in terms of business development activity, in terms of active participation , because I am sure that Multi Commodity Exchange of India Limited

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their participation on equity exchange is much higher, so there is scope here in terms of improvement, isn't it?

P. S. Reddy: Yes, our focus has always been on these bank brokerages , they are more stable in that front.

Sujit Jain : And all the issues related with bank brokerages being active on commodity bourses , I mean their clients, their customers being active, have they been

addressed, because I believe there were some issues related with the warehouse receipts, etc.?

P. S. Reddy: I am not too sure about it, but then the KYC what they are doing currently is, whoever they are admitting in the equities, they are uploading it on the commodities also, that is why our KYCs have crossed 1 crore now, okay, total KYCs, you have seen that probably in investor presentation. So, that is the way it is happening, but I will not be too happy with that kind of numbers, 1 crore is there, but even if 50 lakhs were paid, that is good for me. So, mere uploading is not enough, we wanted them to activate it. And commodities are also a peculiar thing because unlike in equities which of them are, most of them are delivery based ones. The investors are slightly, what you call, reluctant to take any positions there. Now, recently, in order to popularize these commodities, at least they will be interested in Gold, so what we did was we have asked some of the member brokers to take delivery across the country, Gold 1 gram, 8 grams, and 100 grams etc., from the exchange platform and doorstep delivery is something which the vault managers have guaranteed for some price, very nominal price. So, with that we are bringing these clients of equity markets into the ecosystem. We thought Gold is easy to reach out to them.

Sujit Jain: And as the margins in Energy futures come down, do you think that the options turnover could shift back to futures?

P. S. Reddy: It doesn't, once we got used to it, now in fact people prefer options than futures. That is what is happening, the ones who are actually looking at it, the new comers, those who are from equities, who are active traders, but there are traditional Multi Commodity Exchange of India Limited
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commodity brokers they still prefer futures than options, and the physical market players also prefer futures.

Sujit Jain: So, your effort with the Regulator, in terms of bringing down the margins in Energy contracts in futures, if that materializes, you are saying overall ADTV of the Exchange will go up, the combined?

P. S. Reddy: Yes, it should.

Moderator: Thank you. The next question is from the line of Sanjay Singh from Pine Bridge Investments. Kindly proceed.

Sanjay Singh: Sir, I don't know how to put it, but have you benchmarked your share if in terms of cost with other exchanges, whether in India or similar size exchanges elsewhere, the reason I am asking this question is, if you see your cost, if you add up, your employee cost, tech cost, other expenses, even depreciation, because some of the accounting may be different in different exchanges and today you have cost of roughly around 220 crores, 210 crores on a base of that... Rs. 100 crores revenue and for the lack of more information, if I compare to IEX which has a similar size of Rs. 400 crores revenue, they have a cost structure of Rs. 80 crores and they also had a similar tech arrangement earlier, and what the software and now they only charge depreciation and they have a total cost structure including

depreciation of Rs. 80 crores, of course, I

don't know your business very well, but if you had benchmarked yourself or do you think there is any opportunity to benchmark yourself with other exchanges and look at the cost structure with a fresh pair of eyes or, do you think there is any possibility to introduce the cost significantly from what it is currently today?

P. S. Reddy: In fact, every quarter we place it before the board and audit committee, the comparison of the NSE, BSE, IEX, NSDL, CDSL, NCD EX, etc., even NSE doesn't compete with IEX in terms of EBITDA margins. IEX is 87%, NSE is 75%, but BSE it was maybe one quarter behind maybe, you are doing March, March to March is giving it and our EBITDA margin is 53%, BSE is 42% and NSDL is 58%, CDSL 69%. So, NCD EX I am not comparing it, of course they are not doing well, so that leaves us only, if BSE is only behind us, others are Multi Commodity Exchange of India Limited
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doing relatively better, so because of our substantial technology costs, we are incurring some expenditure. Second, while our turnover is growing or turnover

related expenses have gone up because of the agreement with 63 Moons , other cost, employee cost also partly increased because of the development of the new platform . We had to recruit more people in the technology department , which we demonstrated earlier because we don't ... , but then it will also taper off gradually. People will not have this exciting work in the exchange once the platform is developed and it is going live , so probably some may leave also, we do not know, but we will not like to increase the headcount. So, once it is frozen, as they go , vacate, maybe a lower designation person may be recruited. So, coming back to this numbers, yes, we do the benchmarking with our domestic player.

Sanjay Singh: It is very heartening to know and maybe I think the margin percentage is probably what became wrong, but probably not the right way of looking at may be the absolute cost because even if your turnover grows , let us say , 2 years from here, the cost will not grow that such margin will increase, but the absolute cost of IX being one third, almost of what you are doing currently, may be if you can explain in detail some other time, but I am not able to understand if technology roughly would be not very different, your business development cost wouldn't be very different, your other expenses corporate overheads, these are some warehousing cost which they don't have, but still how can it be 3x and more, I am not too sure, maybe there is some more details to it if you can probably share some other time, but I think more detail is not the percentage margin, but the absolute cost which should be looked at if you can, may be at some point of time look at it and maybe?

P. S. Reddy : Understand, we have multiple products, we have the development teams for doing all this, they are in a sense monopoly, hardly anybody is there and everybody goes there and we have almost about 350 employees and that is not the case with them and system expenses is another one. So, that is why our total costs as a percentage of operating revenue is 58% and IEX is 19% and in the case of NSE it is 31%, BSE 74% . We need to compare not absolute figures, I don't think absolute figures is going to give us those differences, number of employees, etc.

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Sanjay Singh: And maybe I am then probably thinking wrong, just another thing is, I don't know much about it, but how is this newly launched, what will the IIBX do differently from what you are doing , is it more about spot Gold there, so if you can just explain me the difference of what exactly IIBX will do compared to what you are doing, I know you are doing futures and options for Gold , but is the IIBX doing spot, or I am not

too sure?

P. S. Reddy: Yes, it is nothing but a spot exchange , instead of going and then trading in London, maybe, LBMA platform or somewhere, they would like that business to move out to India and not just the domestic, but even other players also wanted other players to come to India and trade on IIBX . And it is purely a spot platform and it is a dollar denominated contract, there will be no CTT, STT, and no GST, etc., and it will be helpful in the Demat form, they can just, they don't worry about keeping the physical Gold also and whenever they want to bring in, they pay the customs duty and get it. That's it.

Sanjay Singh: And it is really heartening to see the volumes improve specially in options right in the overall volumes in July compared to what we have seen till now, all the best for the future.

Moderator: Thank you. Ladies and gentlemen, that would be the last question. I would now like to hand the conference over to Mr. P. S. Reddy for closing comments.

P. S. Reddy: Thank you so much for giving us a patient hearing and listening and we always set our aim high and markets should also collaborate, co-operate with us, then obviously we will still do better and we will do everything to have this company going good and doing well from quarter -on-quarter. Thank you. Thanks to all .

Moderator: Thank you. On behalf of Multi Commodity Exchange of India Limited, that concludes this conference.

Call: Aug 2022

MULTI COMMODITY EXCHANGE OF INDIA LTD.

EXCHANGE SQUARE, SUREN ROAD, ANDHERI (EAST), MUMBAI 400 093, INDIA. TEL: +91-22-6731 8888, FAX: +91-22-66494151, www.mcxindia.com

CIN: L51909MH2002PLC135594, info@mcxindia.com MCX/SEC/2078 August 06, 2022

The Dy. General Manager

Corporate Relations & Service Dept.

BSE Limited,

P.J. Towers, Dalal Street,

Mumbai - 400001

Scrip code: 534091, Scrip ID: MCX

Subject: Transcript of calls with Investor/Analysts

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)

Regulations, 2015 read with the SEBI (Listing Obligations and Disclosure Requirements)

(Second Amendment) Regulations, 2021, please find enclosed herewith the following transcript of the call with investor/analysts:

Sr.

No Investor/Analysts Date Time Annexure

1. Ward Ferry Management Limited August 02, 2022 2 p.m. Annexure - A

The said transcript is also uploaded on the website of the Company at

<https://www.mcxindia.com/investor-relations/ir-meetings>

Further, we hereby confirm that no unpublished price sensitive information was shared/discussed during the said meeting.

Kindly take the same on record and acknowledge receipt.

Thanking you,

Yours faithfully,

For Multi Commodity Exchange of India Limited

Ajay Puri

Company Secretary

Encl: As above

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Meeting with WF Asian Smaller Companies Fund Limited

(Ward Ferry Management Limited)

August 02, 2022

Disclaimer:

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This document may contain "forward -looking statements" – that is, statements related to future, not past, events. In this context, forward looking statements often address our expected future business and financial performance, often contain words such as "expects", "anticipates", "intends", "plans", "believes", "seeks", "should" or "will". Forward -looking statements by their nature address matters that are, to different degrees, uncertain. These uncertainties may cause our actual results to be materially different than those expressed in our forward -looking statements. We do not undertake to update our forward -looking statements.

Annexure - A

Multi Commodity Exchange of India Limited

August 2, 2022

MANAGEMENT : MR. P.S. REDDY – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER

MR. SATYAJEET BOLAR – CHIEF FINANCIAL OFFICER

MR. D.G. PRAVEEN – HEAD (INVESTOR RELATIONS)

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P. S. Reddy: How are you doing Aman and Abhinav?

Abhinav : Hi, Mr. Reddy, we are very well. How are you?

P. S. Reddy: Good.

Prayesh Jain: Hi sir, this is Prayesh Jain from Motilal Oswal. I understand this is a no -broker meeting. So, I will just leave the floor open to you guys to discuss and looking forward to more interactions with you guys.

Abhinav : Mr. Reddy, thank you for taking the time to speak with us. It is nice to reconnect after a few months. I hope you haven't forgotten us. It has been I think a few months since we spoke.

P. S. Reddy: No, I don't forget. Your faces are very familiar and you have been staying invested in this company and I appreciate that.

Abhinav : Thank you, sir, and we appreciate your leadership of the company. In fact, on that topic, I wanted to start off by congratulating you for completing 3 years now as MD & CEO of MCX. And our journey with the Exchange actually has also been for the last 2 -1/2 years. I remember first speaking to you when you had spent rough ly 6 months into the role and a lot of new exciting developments were anticipated. And I remember you spoke at length about your vision for the commodities market in India, new products, new participants, and some of that has come true. I think some of tha t is still in the works, but I remember our first conversation quite fondly.

P. S. Reddy: Yes, new products , getting them all approved and launching them, handholding them, and then one fine morning SEBI suspends some CPO kind of thing. I think this is a c hallenge for me. In fact, we got CPO options. It was doing so well – CPO futures – almost 300 -350 crores. So, we thought that our options will pick up. That's it. One fine morning, SEBI said that you have to discontinue that and the whole options contract has gone. First, you have to build now futures and thereafter you have to build the options on it.

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Abhinav : I think you are absolutely right. And not only for MCX, but I think for all Exchange s, the regulator plays a very important role. That is obviously something to be mindful of.

Sir, maybe just on that topic, firstly I wanted to understand from you, are you satisfied with the pace of the new product launches that have happened since you took over? There are many products which we were keenly anticipatin g. For example, the electricity futures and options on indices, etc., and it seems like there have been some delays. Just wanted to understand your thoughts on what the bottlenecks could be and can we anticip ate any good news on that, let's say over the ne xt 6 to 12 months?

P. S. Reddy: You are right that Electricity futures is one important contract which we have been struggling to get approvals. There is a joint working group, as I said, between CERC and SEBI, and unfortunately, even the regulator also –CERC – is slightly favoring the spot Exchange market. They did not give us

permission, but they have launched Term Ahead Contract – Forwards in electricity.

Abhinav : Yes, the long -duration contract.

P. S. Reddy: I am sorry, IEX has launched it. So, they wanted them to first that market to grow, then let us see if something is left out for the futures market together. That is the way they thought maybe. SEBI did not push much for our contract, but we have brought out these kind of anomalies. Obviously, you cannot hold us back and then make us run and compete. It is not correct to do this and I think SEBI has also realized it. They should be working on this faster than otherwise and clear our electricity futures. We have been asking for it for a long time. It should come in the next 2 months' time is my expectation. Then, other one is the steel TMT bars. For a long time, it is back and forth. Then, one fine morning,

we received a letter – you apply for it after 3 months. I don't know why we should apply for after 3 months after spending 1 year in a cold storage. And we have been giving so much of information on this steel TMT bar contract.

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Yes, some of our launches are very successful and some are not moving as fast as we expected. The other part of it is the index options you are saying. Unfortunately, again, index futures were doing well. We wanted good amount of liquidity in the underlying products. BULLDEX was doing well. All of a sudden, Nickel contract there was some problem in LME and even the futures in Nickel itself, volumes have gone to zero. The Nickel index futures has got 25% weightage in the base metal index – METLDEX what we call it. As a result, the volumes have already almost all disappeared. They are in a nascent stage. We wanted to bring up first futures and then come with the options on indices. Unless that traction is seen, I don't think we will be able to build options on it.

Abhinav : Thank you for that color. It is great that you expect the electricity futures to come through soon in a reasonable amount of time. The other big trend that we have obviously picked up on is that now options are increasingly becoming a large part of the overall volume. We track this data on a monthly basis. I think for July, the options have even surpassed futures, if I am not mistaken.

P. S. Reddy: That's right.

Abhinav : My understanding is that this is primarily driven by the margin profile and the margin that was implemented by SEBI when they took it up to 100%. So, just wanted to understand, is that the correct understanding? That is point number 1. Point number 2 is, if you believe that this trend continues, that the options keep gaining share and in some time end up cannibalizing the futures market, any thoughts on changing the pricing or the commissions that we charge or the brokerage we charge? Because, today at least we end up getting lower brokerage for the same ADTV on options compared to futures.

P. S. Reddy: First and foremost, thing is, when margins on Crude oil have been substantially increased, then the Crude has started picking up. That's how we have seen a lot of traction. People who had deserted the Crude oil futures counter have come back and then very vigorously trading in it. Having got used to trading in Crude options, then when we introduced sometime in January the NG options, that also has picked up. NG options picked up not because underlying futures there is a higher margin. Once the market got used to it, as to how it will work, etc.,
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how they maneuver the product trading patterns, then they realized okay this is the best way to go forward. So, what I am seeing is, while options are growing, no doubt about it – substantially growing – that is good for us, the underlying futures have not declined anything further. It is almost all 26,000 crores ADT, and by and large, it is remaining the same way even in the futures. Probably, if the margins come down in the futures, even that may also be activated. That is the way I look at it rather than cannibalizing one another. This is one part of it.

The second thing is whether the tariff can be increased or whatever transaction

fees that we are charging, whether we can increase it. We just introduced the options tariff only from 1st of October last year. We didn't expect so much of growth in less than 1 year and we got so much. Now, currently it is yielding about 48%. Earlier, I said it one-third, but now it is almost 48% revenue growth from options. That means, if futures contributes 1 rupee, then options contributes 48 paise. That is the way I am seeing it. We will continue to see this kind of volumes and I do not want to disturb

but this tariff structure at this

point in time, primarily for 2 reasons. Algorithms are also playing in this, and for them, it also matters a lot, what we are charging. Actually, they are demanding that on futures we must reduce our tariff. Even if we reduce by Rs. 5, that makes a great difference, the way that they are projecting it, but I am not too sure. A bird in hand is worth two in bush. Once you reduce it and then later on if you want to experiment to increase it, but then it will not happen. That's why we have retained as it is. We don't want to get into that controversy actually, I would say. And it may impact some other smaller players also. I may seem to be favoring only big players but not the smaller players who are paying the higher slab tariff. I think it is non-controversial to be at this point when we are going and then requesting for development of the market and asking them to contribute more and more. So, I would not like to touch this, at this point in time.

Abhinav : You raised a very important point which was going to be my next question.

This whole 100% margin that was implemented on Crude, nowhere in the world I think are you expected to give 100% margin. We understand why it happened – because of the negative Crude oil pricing. But we were hoping that Multi Commodity Exchange of India Limited

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this would be a temporary sort of increase and as the market settles down or normalizes, this would go back to what it used to be earlier. Any thoughts on that, sir? Any discussions you have had with the regulator with respect to that?

P. S. Reddy: Now, they have scheduled a meeting with RMRC (Risk Management Review Committee) sometime in August end. Before then, they are going all these matters including SGF-related contribution.

Abhinav : Because quite frankly, at 100% margin, it basically means there is no leverage. It is as good as buying in cash.

P. S. Reddy: Now, currently it is about 33% in Crude oil.

Abhinav : They have brought it down to 33?

P. S. Reddy: No, it was at one time. When it is going into the expiry mode, another 25% gets levied. That means it is 35 plus another 25. That is the way it is at this point in time. When the volatility was high, it went up to even 100 percent also. But when we restored trading, post negative pricing, and with the passage of time, the volatility margin impact on the initial margins also reduced gradually. That is the reason why it has currently stayed at 35 percentile.

Abhinav : Sir, I have one more question. Then, I will hand it over to my colleague, Aman, who has some more questions for you. We have been also speaking about the spot Exchange's now, the Coal Exchange and the Gold Exchange for some time; and I think for the Gold Exchange, you have a partnership with various other Exchange's including the NSE. Any timelines on both those spot Exchange's?

P. S. Reddy: I will tell you, for the domestic Gold Exchange, we do not have any tie-up with anybody. We have a tie-up with International Bullion Exchange which was inaugurated last Friday. There, five of us are there and now it is a matter of operations in that Exchange. That will do well. That's what our confidence level is. There is only one Exchange and all the Gold that is coming into the country may likely be routed through this because the transaction charges are substantially lower when you receive via channelizing agencies versus the Exchange route. The government also has considered that whatever MOUs that Multi Commodity Exchange of India Limited

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is signed with the Dubai government – the free trade for import of Gold; about 100 tonnes they can import 1st year, 125 next year, kind of thing. That all will be routed through this platform. So, it's a guaranteed kind of thing because there the tariff is lower, maybe 1% or something like that, and

that helps

transactions to kick in immediately. That is one part of it.

Coming back to the domestic spot Exchange, we don't have any such engagement with any Exchange and we are holding up this particular thing primarily for two reasons. One is that we need to have a trading platform which now we have given that assignment to TCS. Once TCS says this is done and the CDP becomes a stable platform, I will pick up a copy and then make necessary changes and then deploy it. We are also not under pressure to do this because the GST issue continues to hold it back. Other Exchanges where already they have a platform of their own, even they too have not launched it because it is a nonstarter without the GST issue being resolved. So, not to worry on that part is my way of looking at things.

Abhinav : Any update on Coal?

P. S. Reddy: Coal Spot Exchange ? In fact, last week only, the Ministry of Coal had called all stakeholders on designing the regulations and how it should be, etc. We have been pitching ourselves and Mjunction jointly for a Coal spot Exchange . They are planning to come out with regulations by the end of December, I suppose. Then, actually there will be a selection criterion for Exchanges – I mean who can be – and likely to be only one Exchange , not so much business for multiple Exchanges , and I think both Mjunction and we are well poised to be that one Exchange .

Aman: Sir, I want to check on the futures ADTV which has come down substantially in the last 8 to 12 quarters. In your view, is there a chance it will pick up? The trend you said is stable, but from a trend perspective, it has not gone up substantially. So, is there any trigger that we can foresee in the future which will make the futures ADTV start picking up again?

P. S. Reddy: In terms of ADTV, yes, the volumes have come down. The prices have gone up. That's why we are continuing to see that kind of transactional revenue. On Multi Commodity Exchange of India Limited
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the volume front, one is that the domestic hedge rs, is something that we are targeting about, and more and more players to come. That is one important thing for us to have them onboard. Multiple delivery centers, some of them are saying that is the reason for less participation. The way that they are saying is because there are multiple delivery centers and the buyer is not sure where he is going to get the delivery from and that adds an element of uncertainty. And it's an egg -chicken for me. In that sense, if I go out and speak in the market, people say that I need delivery at my doorstep. You give me delivery up north and then I am down south, then what do I do about it? So, you please have multiple delivery centers and people will get used to it. And it worked well. That is the way I have seen it. If you see the Aluminum , it has a substantial growth in ADTV. If you see the ADTV in Aluminum , in 2021, it was 11,000 metric tons, and in 2021 -22, it is 26,800 metric tons. Why did it happen? We moved our delivery center from Thane which is primarily to receive imports and then put to competition, we have moved our delivery center to Raipur. As I said in the past, Raipur is much closer to the manufacturing belt because the Eastern belt is the major source of Aluminum . More important is, NALCO is one which is freely delivering it. They just want to sell it, that's all. They are not worried about brand building, price around it, etc. And we have disturbed the play of some of the other guys who want to earn some premium over their brands, etc., and that has all gone. I went very recently, means last week, I was with the MD of a very big producer. He says that Mr. Reddy we are only taking your prices; we are pricing it based on your price. If LME price is higher, they will take that and if MCX price is higher, they will take MCX price. That is the way they are doing it; and then, they are

making money. But why don't you use

the platform to deliver the metal is what we have been asking but still there is some resistance, not at the MD level. MD said, he should take this platform as a God sent opportunity for us and whenever there is a price difference and we are not able to sell it to any private player, then we just simply dump it on the Exchange , and that is happening.

Then Copper. Yes, in copper, it was 44,000 in 20 -21 and 21 -22 was 34,000. There is a 10,000 metric tons decline. Lead 18,000 in 20 -21 and 12,000 in 21 -22. Other than the Aluminum , yes, rest of the metals, most of them are imported. We have written to the Japanese Zinc and Copper manufacturers.

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Why we have written to them is, especially for copper for example, it is 1.5 metric tons. They currently have about 1.8 or about 2 metric tons bundles they are making. And the LME standard specifies that you must have so much of that. So, they are afraid of making the delivery lot the way that it is required by us, thinking that that may be violating the LME standard because we are seeing LME approved metals are acceptable. We sought a clarification from LME. LME said that we have no problem if they cater to you in whichever bundle size you want but as long as quality is of the same thing what they have approved, that is fine, and if the metal comes from the same plant, that is fine. That is what they have given a clarification which we sent it across. Probably, we will see some participation from those producers. Apart from it, we have also seen another interesting trend emerging. Not that I want a war between Russia and Ukraine to continue, but that has thrown some surprises. The Russian manufacturer RUSAL and others, they are looking at it whether we can trade on the MCX. Probably they are facing sanctions in LME or maybe in CME. Even for Crude also, there is Rosneft. They have a Delhi office. They are engaging with us, so how they can actually look at this. The point I am making is, nothing has happened as yet, but new opportunities are thrown up. Aman: Sir, when you look at the fact that everything else went down in futures category except for Crude, despite the fact that prices went up for all commodities. Is there a specific reason for this trend? Only Crude is growing and everything else is not growing, at least on the Q1 numbers basis. If you can help us understand this, it will be very helpful.

P. S. Reddy: Honestly, I will not be able to say quarter on quarter which will drive what and all. That is something I am not good at.

Aman: Yes, but is there a reason for this trend?

P. S. Reddy: All that I can say is we should fire on all cylinders and see where we can all.... Whichever product there is a growth potential, we would like to work towards that. That's the way I see it.

Aman: Sir, from your perspective, within futures and options, you are fine either of them grows? Of course, both should grow, but if options grows substantially

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faster and futures for whatever reasons doesn't keep up with the pace, you are okay with that, right? It is not a preference?

P. S. Reddy: As long as the futures doesn't contract, that's fine. Instead of growing at 20% or 10%, it may grow at 5%. It's fine. But options are growing, that's also good for me.

Aman: Sir, quickly on the other income, the mark to market decline. Maybe if you can just throw some light on that, the reason for this – not decline – the lesser amount that we had in Q1 versus what we had in previous quarter. It looks like a quarterly Q-on-Q and Y-on-Y decline. Can you help me understand the reason for that?

Abhinav: I guess, before that if you could just shed some light on your entire treasury book. How much is the treasury book today? How much

of that is your free

cash versus let us say the margin cash from brokers and how you have invested that?

Satyajeet Bolar: We have around 1,100 crores of our own net worth money. In addition, we have around 600 crores lying with CCIL which is the margin money which they deploy. As per the SEBI regulations, they can deploy only in liquid schemes as well as overnight schemes as well as in fixed deposits. That's where they place them.

Our investments are mainly in mutual funds as well as perpetual bonds and we have some investments in ETFs – Bharat Bonds and Nippon. Excepting for the perpetual bonds, all of them are accounted under mark to market. That was the biggest hit. The reason for the hit is because it is accounted under mark to market. When the RBI increased rates in May, the entire debt mutual fund scheme, we took a big hit. Though we were in while we anticipated the increase, we had parked the funds in short-term as well as in ultra-short-term

funds. The market being what it is, we took a hit. Because we had moved to ultra-short term and short-term, the hit was not substantial, but obviously, there was a hit. We recovered in June and now we have started moving to, as I mentioned during the call, SDL. We have started investing in state development loan paper. We have made a beginning and we are also going to Multi Commodity Exchange of India Limited
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account it under the amortized scheme. Even if the interest rate further goes up, we won't have any mark to mark since we are going to account it under amortized scheme.

Abhinav : Mr. Bolar, is it fair to assume that on the 1,700 crores, roughly what kind of pre-tax yield will we be making today?

Satyajeet Bolar: For June, it was nothing to talk about.

Abhinav : But that's an anomaly. I am saying, on a normalized basis, assuming rates don't move, what kind of yields are we expecting?

Satyajeet Bolar: For example, now I have started investing in SDL and we have invested at 7.7. That yield is going to remain, obviously. The entire portfolio, I will not be able to get at 7.7, but the fresh ones that I am investing, the yield would be constant.

Abhinav : On a blended basis, is it fair to assume like between 6.5 to 7% something of that sort?

Satyajeet Bolar: Hopefully, if we move smartly in this month after the RBI policy and deploy the way we should, I think fresh investments should carry more than that.

Aman: Sir, also on the employee cost, I think looking at other cost element as well, employee cost I think you talked about on the call yesterday that the current number is more representative of, like the going ahead run rate. Is that a fair thing to say or is there a scope of increase or decrease from here on? Is it a normalized cost that is currently appearing in quarter 1 numbers on the employee side?

Satyajeet Bolar: As explained, yes because we have made provision for the variable pay as well as for the increments based on the budgetary figures. When we compare it with March, since the budget.... For June, September, and December, we had taken it as per the budget, and when we came to March, we realized the actual versus the budgeted figure and then we reversed certain excess amount that we had provided for. So, this figure should hold good.

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Aman: This won't be substantially lower than this I would assume except for the reversal in...

Satyajeet Bolar: There won't be any reversal of the variable pay because we are hopeful we will meet the target. If we meet, there shouldn't be any reversals in March.

Aman: Sir, one broader question on the mix between both the futures and options it is a lot more of Energy focus right now. Do you see any risk if the prices change substantially of the Crude or Natural Gas? Do you think the change has anything to do with our daily turnover

or volumes on the Crude and Natural Gas side?

P. S. Reddy: I don't think so because volatility is the game here. If the prices keep moving up & down and up & down, then more and more trading will take place. Even if it is a falling trend, still that is also a falling and there is volatility. So, that's not an issue at all.

Aman: Given Natural Gas has become such a large portion now; do you think that IGX can participate in the same segment or not? I think you talked about GAIL's pipeline being an issue yesterday. Can you just elaborate on that sir, please?

P. S. Reddy: What I am saying is, domestic gas is still fettered. Even IEX, as I understand this gas is being transported using some tankers, etc. There is no pipeline route. Unless the pipeline route is freed up and there is a separation from GAIL, like you have done for electricity distribution - you have the National Load Despatch Center. Like that, if you have an independent agency, then there will not be any vested interest in that sense. They will not be controlling the pipelines. Then, the consumer is sure of getting the Gas transported. This is one part of it.

Second thing is , GST is needed for this kind of thing because currently, VAT is something which is implemented. It is different for different states. When trading takes place, people are not aware of it. This kind of problem is there at the end of it. We will get from whom and under what kind of tax you will be paying , it is something which is very uncertain. In the case of IGX, for the time
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being, they are getting traded but unless the pipeline is separated from the consumer or others who are interested in managing that, I don't think there will be a fair way of doing it.

Aman: But if the pipeline gets separated from GAIL, will that be a positive for us or for IGX or for both?

P. S. Reddy: Then, we can look it moving into the domestic market also , if the pipeline is freed up – distribution.

Aman: On the Gas futures and options, the volumes are largely international, right?

P. S. Reddy: On CME prices.

Aman: On the software side, can you throw some light on the new timelines? You mentioned 2 -3 months of delay on the software , the CDP. What is happening on that front?

P. S. Reddy: There is a delay because they have delivered the system but a lot of bugs are there. That is where our time is spent substantially. TCS is confident we should be able to fix it by the end of August and middle of September. Core and non - core kind of distribution they have done it, and by the mid of September, non - core also will be delivered with all fixes. Then, we can go for a continuous mock run and all that. So, it's a matter of another two months more extra beyond September is needed. We have already approached 63 Moons seeking extension of their services and we have other plans also lined up and let us see how.... because it is not good to disclose all the other plans also.

Aman: Sir, from a cost per spectacle, the cost I think last year was about 64 crores in FY22 that we paid to 63 Moons?

P. S. Reddy: It is approximate , because it varies on the transaction fees. If we do well, then a part of it will go to them also. Currently, it is about 55 -56 crores .

Aman: Run rate basis currently?

P. S. Reddy: Including

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Aman: Can you talk about how much will that come down by to the extent you can discuss and disclose?

P. S. Reddy: All that I can say is that obviously it will come to zero – the cost we are paying to 63 Moons. Then, how much we will pay to TCS also, there will be no additional cost for 1 year because that is free of cost or warranty period.

Thereafter , AMC kicks in, and all put together, again it will go under depreciation over maybe the next 8 years we will

be doing that. And the license is also in a sense perpetual. As long as you keep paying AMC, then the license will survive. So, there is no problem in that also. I think you will start seeing it once we tell you that we are depreciating over 8 years, next year you will see 1/8th of it, then you can make it what is the total cost of it.

Aman: On the cost side, the CapEx that we are supposed to be incurred, is it already incurred completely or further there is some payout remaining to TCS?

P. S. Reddy: Hardware by and large, it is done. Software costs are still to be incurred.

Satyajeet Bolar: Hardware as well as all the operating software's we have purchased. So, that's done.

Aman: There will still be a meaningful part. TCS part will be a meaningful part that you will pay out when at least the suitability is displayed and the acceptance test is done?

P. S. Reddy: Yes, it is reasonably big in that sense.

Abhinav : Sir, maybe one last question from my end, which is, we have also heard about the FPI participation potentially being allowed in the commodities market. And I guess there are two schools of thought here. One is, if you look at the equities market and draw a parallel, where FPIs play a huge role. I think 25% of market cap is owned by FPIs and even larger proportion of daily trading, but the

difference there is that the FPIs are participating in equities because those equities are only traded in India like if they want to buy Reliance, it is only listed in India, as an example, which is not true in MCX case. The FPIs have the option of trading commodities overseas. So, just wanted to understand from Multi Commodity Exchange of India Limited
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you, how should we think about the long -term opportunity here and in your opinion, what is the likelihood that FPIs will actually place material trades on the Exchange ?

P. S. Reddy: You are absolutely right. In fact, this is what in the past also in the analyst calls I have answered asking them since other markets are already there – CME or LME or wherever they want to go – they would trade there. Why will they come to you?

The first and foremost thing is if somebody wants to take advantage of cash and carry arbitrage opportunities, they will have to come only here, because here also exists cash and carry arbitrage opportunities. So, in whichever market it is there, then they will go and we have also presented that kind of opportunities. To that extent, they can exploit that.

I think when the commodities were under the regulatory regime of FMC and earlier, there was a lot of international trade taking place by domestic brokers, etc. All that got stopped for whatever may be the reason. Maybe they have to maintain two books and that may not be officially they are doing it but then they are otherwise doing it. Now, they can do it officially via an FII route and they can do trading in LME and arbitrage opportunities in terms of trade there, trade here, and then bridge the price gap or whatever they are able to do that using that. And still they will have only one book, and for the purpose of income tax, etc., they will not face any problems. This is another big opportunity. In fact, when I visited a lot of brokers in the past, they say that no, we have shut down that business – international arbitrage thing – because we are not allowed to do it and how long can we carry this tension, and all that. Now, they can do it officially using one single entity.

The third opportunity is, the people who are exporting to India, they have an exposure to Indian prices. Those kind of contracts are also in place. So, they would like to hedge their exposure with Indian market without they are registering themselves in India, have a registered office in India, etc. In good old days, there was EFIE (eligible foreign entities), they should have an exposure in India, they should have an

office, etc. All that is not required. So, whosoever has an exposure to Indian markets, they can hedge in India.
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Aman: Sir, one last question I had just to add on. I think when you look at the growth in UCCs, we have had very encouraging growth in the last many quarters. It has continued. At the same time, the share of top 10 traders has also increased. On one hand, the market is dipping and on another hand, it is getting concentrated for MCX. Can you help us understand why is that happening?

P. S. Reddy: The top 10 brokers are majorly Algo players. New Algo players are joining and obviously the concentration will increase. That is true in other equity Exchanges also. But when it comes to the retail investors, don't go by the number of registered 1 crore plus because when brokers are admitting a new client in equities, they are also uploading the UCCs on the MCX and as and when the client wants to trade, then they will be able to offer him that. Actually, you need to see how many active UCCs which have traded. That is a very moderate growth, not spiraling growth.

Abhinav : I am just curious, what would that number be? How many of our UCCs are active on a quarterly basis?

DG Praveen : If you take the last quarter, Q1 FY22 -23, both futures and options put together, we were having something about 2,38,000. Correspondingly, if you look at, it is about 2,23,000. So, there has been a growth compared to the corresponding period. We can see that a significant growth has come from the options.

Abhinav : How many of these 2,38,000 are trading only futures today?

DG Praveen : Futures alone if you look at it, we have 1,61,000 this quarter. Compared to the

corresponding quarter, it was 2,11,000.

Abhinav : So, 1,60,000 of 2,38,000 are only doing futures. Is that what you are saying?

DG Praveen : Yes, 1,61,000 is , any way you can say because some people would have been trading in both futures and options, but you can say that it is not like options , means removal of number of futures. That means the people who have traded in futures will not result in options. In fact, there are people who are trading in both futures and options. Options alone I will give you the number so that you

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will get a better picture. Options alone last quarter we have done 1.19 lakh compared to corresponding quarter, it was around 32,500.

Aman: Sir, the numbers that you just highlighted, it seems like the number of active investors on the futures side has come down. Is that something also that we should think about? Is there a reason for that?

P. S. Reddy: That has come down only in the Energy. If you see in Energy, we had Q1 of last year 1,01,200 odd and now the corresponding Q1, there is 42,000 now. But if you see the same thing , in case of Crude oil, it has gone to 1,03,000 options, Natural Gas 49,000. So, there is a lot of shift in the investors' preference for trading in the options.

Aman: Thank you so much for the explanations and patient hearing.

Abhinav : Sir, I have one last request to make. Both Aman and I are visiting Mumbai in the end of August and as part of our research process, one of the things we love doing is just meeting management team in their offices in person. We have already sent a request. I think maybe you would have received it but we would love an opportunity to just visit you in the offices and just shake hands with you and maybe meet you.

P. S. Reddy: Sure, most welcome. Please come.

Abhinav : We look forward to it. Thank you to everyone.

P. S. Reddy: You sent the mail to whom?

Abhinav : I think we sent the request through I IFL.

P. S. Reddy: You please process it and block my time from most of all our seniors.

Abhinav : Thank you, sir. Take care.

P. S. Reddy: Bye.

Call: Sep 2022

MULTI COMMODITY EXCHANGE OF INDIA LTD.

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CIN: L51909MH2002PLC135594, info@mcxindia.com MCX/SEC/2102 September 01, 2022

The Dy. General Manager

Corporate Relations & Service Dept.

BSE Limited,

P.J. Towers, Dalal Street,

Mumbai - 400001

Scrip code: 534091, Scrip ID: MCX

Subject: Transcript of calls with Investor/Analysts

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 read with the SEBI (Listing Obligations and Disclosure Requirements) (Second Amendment) Regulations, 2021, please find enclosed herewith the following transcript of the call with investor/analysts:

Sr.

No Investor/Analysts Date Time Annexure

1. DAM Capital Advisors Ltd. August 25, 2022 04:00 p.m. Annexure - A

The said transcript is also uploaded on the website of the Company at <https://www.mcxindia.com/investor-relations/ir-meetings>

Further, we hereby confirm that no unpublished price sensitive information was shared/discussed during the said meeting.

Kindly take the same on record and acknowledge receipt.

Thanking you,

Yours faithfully,

For Multi Commodity Exchange of India Limited

Ajay Puri

Company Secretary

Encl: As above

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Meeting with DAM Capital Advisors Ltd.

August 25, 2022

Disclaimer: This transcript is provided without express or implied warranties of any kind, and should be read in conjunction with the accompanying materials published by the company. The information contained in the transcript is a textual representation of the company's event and while efforts are made to provide an accurate transcription, there may be material errors, omissions, or inaccuracies in the reporting of the substance of the event. The transcript has been edited wherever required for clarity, correctness of data or transcription error. This document may contain "forward-looking statements" – that is, statements related to future, not past, events. In this context, forward looking statements often address our expected future business and financial performance, often contain words such as "expects", "anticipates", "intends", "plans", "believes", "seeks", "should" or "will". Forward-looking statements by their nature address matters that are, to different degrees, uncertain. These uncertainties may cause our actual results to be materially different than those expressed in our forward-looking statements. We do not undertake to update our forward-looking statements.

Annexure-A

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Management: Mr. Satyajeet Bolar – Chief Financial Officer
Mr. DG Praveen – Head Investor Relations

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Analyst : Thank you for giving us the opportunity to come here and ask questions. The primary objective of this meeting is that we are starting a coverage and we wanted to have some questions answered, which are quite macro, some micro. We're trying to figure out for us. We have been tracking exchanges for last couple of years. And we have been present in every con-call. But pardon me, some my questions will be slightly typical. So I have the list of questions. I'll just start.

DG Praveen : Yes, please.

Analyst: The first question is on the growth. One of the key reasons between FY '18 to FY'20 or let's say FY '15 to FY '20, we had a huge volume in crude and natural gas, right? The volumes have declined and one of the reason is -- one of the key reason is the margins -- crude margins. So are the crude margins to come down in the next 2 years or do you think this is going to sustain and the volumes in crude and natural gas will be on the lower side compared to the industry?

DG Praveen : See, peak margin reporting, it is, in fact, SEBI has made it mandatory across, that is not only to the commodities market, it is applicable for all the asset classes. So basically, what it means is, sufficient margin has to be collected from the clients whenever they would like to take front margins. That means before it trades, that margins have to be collected by the member. So that will be looked at by the Clearing Corporation. If the margins are not being collected by them, automatically, penalty will be struck. So given that one, it is like earlier some numbers, they use to support their clients in between. That means, because they use it to get particular -- till the end of the day, they would have that opportunity to help their clients to provide that kind of margin support so that they can be able to meet the requirement. From the Clearing Corporation's point of view, always sufficient margins were there. That means whether it is on behalf of the client or on behalf of the member -- because from the Clearing Corporation point of view, you will look at the clearing member, not at the client.

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So when you look at -- okay, this is an amount of open interest is there, and against that one, whether you have sufficient margins from the member or not, that is what you look at.

So you use it to look at it. Even today, you are looking at it. But the only difference now what is being brought in is like client level. That means, they are supposed to report to the clearing corporation that whether they have collected some margins from their clients or not. So they have to do that report. That, too, how do they have to do it means, they will look at what was their peak position.

So at that time, whether that's sufficient amount related to that peak position, whether that margin was with the member or not. If any deficiency is there, it means that you have not collected sufficient margin from the client. So that made some of the members really difficult to fund any clients, at least intraday. At the end of the day, anyway that used to happen. Even prior to that one, it used to happen. Intraday, they used to support that one. But with the

implementation of this peak margin reporting, they no more could be able to provide this kind of facility to their clients.

So what happened now means many clients are not really comfortable to have sufficient margin throughout the day. For example, because commodities have traded round the clock. So the volatility can come, but maybe very late evening, in fact, for commodities, given they are global in nature, most of the activity will come in the second half rather than the first half.

This has put some clients in a fix. Because for them, I brought the money and everything

ing, I kept it. But suddenly, that became insufficient. So they need to

bring that one. So what they started doing is, even though I'm interested in commodities, rather than doing in futures, I want to trade it in options.

So it's not like every client is looking in that direction. It is certain category of clients who are really very averse to this kind of changing margin and other things. They are preferring options over futures. Why? In options, upfront premiums have had to be paid. Once premium amount is made, and after that

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I mean how to look into that? That means there is no more incremental margin that is going to come.

That means, he will not be bothered about any margin, so you can maintain it. So given that kind of scenario, what is happening is, now, there is slight drop, that is what we have witnessed in the futures. But there is a substantial exponential growth, that is what we witnessed in the options. So a slight drop in here.

If you look at overall clientele participation, both futures and options are put together. In fact, there is very -- amount what I call last quarter, if you put it, it is higher than the previous corresponding quarter, okay? That is how the number is.

Now, to your question, whether the margins will continue to impact means, those -- like crude oil, there was a drop in the futures turnover. But a substantial amount of turnover is now being witnessed in the crude oil options as well as, natural gas options.

Analyst: So my question is that has the margin for crude which get up to 20% -- or were to 100%, right, for some time...

DG Praveen : For some time, it was strong.

Analyst: Now it is at 15% to 20%. Is this going down in the future? Or do you think this is a level which is -- is covered by the formulae or is this something temporary, ad hoc?

DG Praveen : See, there are two elements that will come into that when you want to decide the margin. One is your volatility -based margins. Volatility -based means we use EWMA methodology. And based on that one, we will see that if at all, there is an incremental volatility happens, automatically, your margin numbers also will go for a change.

Second thing, it is SGF -related margins. So here what will happen, because in the stress test, you have to see that sufficient SGF should be there with the Clearing Corporation to ensure that you can be able to -- because the moment

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you have not collected sufficient margins from the client, then it means that you need to have a higher SGF.

But the problem here is, today, it is a one -way problem. Like the moment you can fund the SGF, but you cannot take it back. So given that kind of thing, even we are not ready to put that money in the SGF. Any incremental requirements, suppose if anything comes from SGF, we are not ready to keep that. I think we are rather waiting for SEBI to come out with a revised mechanism, wherein actually there is a committee called RMRC, it's there in SEBI, which looks after all these kind of risk-related matters. They are going to meet. And all the exchanges earlier they came together and they have recommended to SEBI also, saying that, you at least don't keep any one -way kind of restriction.

Let, as and when needed, exchanges clearing corporations, they will be ready to ensure that particular thing. But at the same time, allow them to take the funds also out.

The moment that is allowed -- but today it is not allowed, but we are expecting that they are going to meet sometime in the end of August or maybe early September. If they meet and they take a decision, which, in fact, all the exchanges and clearing corporations have endorsed that kind of mechanism, and report also has been given to the SEBI on that one.

So if it is accepted

ed, then it is like we can infuse and we can be able to take it.

If that is the case, then any margin other than volatility-based margin, can be able to bring down. Like whatever additional margins we are imposing today, just to accommodate that kind of SGF requirement to keep the SGF under control, that kind of margins can be immediately removed. So that it is like more participants can take benefit out of lower margins.

Analyst: So one of my question still is, whether this 20% will go down...

DG Praveen : If that is accepted, that kind of SGF, everything is accepted, there is some room is there for lowering the margins, bringing it down. Margins can come down.

Analyst : So, it means that the SGF component will go up or...

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Satyajeet Bolar : What Praveen says is that at first, there's a stress test. And in the stress test, if the figure had increased. There's a minimum required corpus, MRC, which is a subset of the SGF, so that goes up. Who has to give it presently - the exchange as well as a clearing corporation. So they'll fund it.

But next time, there is another stress test done maybe 3 months down, it's done monthly, it is another stress test done and the figure reduces, the MRC reduces, then we should get it back. That money should be refunded back, right? So it's a two-way. Presently, it's only one-way. I hope you get the context.

DG Praveen : What will happen means, if that is the case, if volatility comes down in crude oil, substantially we'll be in a position to bring down the margins if this is going to come in place. At the same time, stability also will come. For example, now for any reason, I will not be able to infuse the capital in the SGF and I need to end-up hiking the margins towards additional margin and other things. But those things will stop happening. As and when this is going to -- we are going to put this on increase.

Analyst: Sir, on the metals, we see lost nickel volumes. I think it was Rs. 21 billion in the month of January. A DT was Rs. 21 billion.

DG Praveen : ADT is around Rs. 21 billion you are saying. Yes, it is around Rs. 2,000 crores, I can say, Rs. 2,000 crores. Yes. We all know that it's all that debacle happened at LME. And unfortunately, it is like we had impacted the most because at that time the margins also has to be -- substantially has been increased during that particular time. And after those things have settled down in global market also, here, it took a lot of time to get stability to come into this market.

So what happened means, by the time the margins and everything has come down, by the time the volumes, whatever volumes were there, it got evaporated. Now the way we are looking at this contract is, we wanted to come out with some mini-sized versions of the contract rather than bigger versions. Because today, the nickel contract is about Rs. 30 lakhs to Rs. 40 lakhs, given the size, whatever it is, 1.5 metric ton contract. It is quite significant, and that will not attract any retail participants to come and trade in this contract.

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Earlier, we used to have both main contract and mini contract to use it on that.

But subsequent to the SEBI regulation, wherein the regulation was such that we cannot have 2 variants. We need to have only 1 variant. And given that one either, you go for bigger one or smaller one. Besides this one, there is another regulation that says that your trading unit also should be equal to your delivering unit.

But when nickel gets imported to Indian market, you get it only in, around that

1.5 metric ton. You cannot cut into bits. Because the moment I say that cut into pieces, then quality and another things -- it is like you are breaking that whatever is the seal kind of thing. So wherein then automatically, y

ou will not
be able to do it.

So we are looking for a mechanism which we used earlier, wherein we wanted to have a slightly different trading and delivery unit kind of thing and come out with a smaller version, the nickel contract. That is going to be the one which we wanted to push it a nd we have been mak ing the representation to SEBI. So that -- and they are also comfortable. I think as soon they may accept that kind of thing -- because it is not like any other equity market, where you can easily be able to cut down the trading loss. Because there it is m ore about the value. And it is nothing to do -- and in Demat , you can do it in 1 unit also. But here, it is not. There is actually physical market there. I mean, it is integration between derivative market and the physical market. So certain concessions are required in this case. And then globally also, many of the exchanges, like if you take the Shanghai and other thing, they also come out with this kind of different versions. And they also have a differential trading unit s, delivery unit s and all those things. It gives some amount of flexibility to the exchanges to design the contract. So that is what we are asking for and we wanted because at this big size , we cannot expect immediately that again, the contract will become so vibrant and back to its orig inal level. We want ed to make some tweaks in the contract, and we wait for the opportunity. Like, even if you look at the options, it was lull for almost from 3, 4 years. Now today, even after imposition of trading charges and other thi ngs, you are substan tially.. . So we cannot say what really you think. But from our side, we are pushing hard, saying that to accommodate these kind of changes in our contract certification,

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as and when it is there, we want ed it to refurbish and we want ed to launch it again.

Analyst: When can we expect to relaunch this nickel contracts?

DG Praveen : All in these cases, what will happen is, we are actually dependent on the regulatory thing.

Analyst: I mean, for you to get the regulatory approval of any new --

DG Praveen : If at all there is a normal -thing course, it won't take much time. If it is a very basic contract and other things, then it may take some 6 months or something roughly. But if at all they have any doubts about that particular contrac t and other thing, it may tak e longer -- for example, the electricity is one thing, which we have -- from our side, we have filed it. But Supreme Court also has said that the committee has to be formed, a joint committee between CERC and this one. There, actually things are getting de layed. But other contracts, the normal course what we have seen, and there we used to get in 6 to 12 months, whatever is there. But any changes which is a slight deviation to the normal one, which might take some time, which is very, very difficult to pred ict when it will happen .

Analyst: So why don't you continue with the normal till the time --

DG Praveen : Normal is continuing. It is there, but we are not able to get the liquidity in that one. Because see, once that cycle is broken, you need to do somethi ng to again back up and do it, so that, again, you start turning the wheel.

Analyst: So LME is stable, right, LME Nickel is stable now?

DG Praveen : That is what -- and the advantage that they have it is -- it is like they are back after that part icular incident and other things -- margins are back to normal and everything is there. But for us to come back because of all these challenges, it is taking time. But we are, anyway, pursuing the m atter vigorously, from our side with the regulator. And they are a lso now looking at it because all -- unfortunately, what happened is, all this kind of black swan events, all

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happened in a very short time, within the last 1 or 2 years. So that's what is destabilizing certain things.

Analyst: So, on the new categories of products, especially the metals, there's a wide area of products which are not there, which have not been traded on any of the exchanges. Do you think that some of them are very promising, especially the steel, which is a very large commodity? And if I am not wrong, I think one of the competitor had a very, very large volume in there. Steel, it has gone back up?

DG Praveen : No, NCDEX was having steel contract long time back.

Analyst: Reliance has? Reliance Commodity Derivatives?

DG Praveen : ICEX, I think that one, but that is not considered as actually a competitor. In fact, their membership also was limited to only --

Analyst: It was a large -- a very large steel volume.

DG Praveen : No, no. Actually, only for some limited period, were there and -- but if at all you wanted to take it, maybe NCDEX, but it was very long time back. Even we used to have it very -- from almost, I can say, some 10 years -- more than 10 years back like that. But that time, the challenge was related to the BIS standards, because the industry has not actually fully adopted the BIS standard. Wherein when you are specifying certain qualities and other things, they are not able to meet the particular thing. Today, the industry is fully prepared, that way it is. And we wanted to come out with steel TMT and other things. So there is a big market there for steel TMT. And we definitely wanted to look for that steel product.

Analyst: Is there any other market, international market for steel at this point of time --

DG Praveen : Yes it is...

Analyst: Is this something only European or --

DG Praveen : Yes. LME tried multiple times, but liquidity is not that much.

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Analyst: Because Steel is widely used --

DG Praveen : Widely used. Okay. Reasons you are looking for -- the reasons why it is not -- it is not that much standardized as well as metals. If you take it, metals, you are having cathodes, you have certain finer things. But here, you'll have multiple -- I think you have flat, you have long, you have -- then, again, within that one, hot, cold, all those things are there.

And besides that one, the quality also was a certain thing. And there is certain very popular brands there, which is enjoying certain premium. Wherein there are some local industries, the domestic industry, which is into that one. A lot of scrap also get into this thing.

So this is, I think, it is very diversified market. It was not that -- because generally, what will happen is, you have taken from a mine and a little bit process, then it is very easy for you to develop a product out of it. But once it is multiple, like in this case, steel, it is you have stainless, you have multiple variants, multiple grades are there. So when you are going to the process, which process unit you are looking at? Then you are limiting to only particular category of participants. So earlier even iron was tried. Like the iron was one thing, another product, can it be tried and other things. But there also, it is like mining restrictions and other things came and it could not be able to fly, okay? But steel, the only thing is given that kind of multiple product categories and other things, it is one thing which steel TMT, after deliberating multiple rounds of discussions, we thought that, okay, this is one product we have been using. Once, one is successful we can really can look for 1 or 2 products. I think globally, also if I'm not wrong, seriously that 1 or 2 products of steel only is getting traded on their exchanges.

Analyst: The question comes ... because steel is the one of most widely used commodities in the economy right now. The obvious question --

DG Praveen : But

I feel that there is a case reserved for really now, has come back to the earlier thing. Because earlier our contracts were all cash-settled, metal contracts especially. So at that time, really market participants were not

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prepared for any GST or this kind of taxation structure. And delivery also, not every investor is interested in that.

But today, metals all have been converted into delivery basis. Today, delivery means it no more is really a big matter. Everybody really knows that what a delivery means, how it happens, how they have to handle it. So now, the things are in place as compared to that one. And also, standards have been adopted in the industry.

Now one thing the regulator also -- he's asking us is -- they wanted to have multiple delivery locations at one time. What we are looking at is, we want to start with a single location and go for multiple location at a later stage. Steel is one thing which still is under discussion happening, because we thought that the moment you add multiple delivery in one time, again, all those issues will come.

Let one product get adjusted, market participants get adjusted to this particular thing, then we go on expanding that one. And slightly, the locations are also -- it may be near to our existing delivery locations, but it's precisely not that way. So we need to look at all these things before really identifying. So we wanted to start with one rather than with multiple delivery locations.

Analyst: So I think you started with TMTs and going to HRC --

Management: All those things we will, wherever possible and we wanted to start with one where lot of standardization is there, already which is in place.

Analyst: And given everything, the timeline which looks like at this point of time is 12 months for steel?

DG Praveen: We already have ... long time back. So it's not like --

Analyst: It's not the metal side, which we are missing, which is traded widely in the global markets.

DG Praveen: All the major ones have already been -- I can say that some chemicals maybe we have to look at and others -- there are many exotic products that are getting

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traded. But metals-wise, it is very limited because the base metals are very limited.

Analyst: Is there any chance that a lot of exotic products will come in near term or do you think they are very far away --

DG Praveen: See, one thing we see, all these markets have evolved over a period of time. It didn't happen in 1 day. You have the same number of market participants. So whoever are our active, suppose, 500 to 600 members, they will remain our... I cannot go on sell 1 day this product you trade, the other day I say that you trade on the other one. Even they have to take it to their customers, and all those things are there.

And it takes marathon effort to really make 1 product really successful. And even after the launch, continuous effort, continuous education, taking the stakeholders along, because in many cases, we don't even have the price history for the people.

So when they wanted to make trade somebody. Somebody will have to do a comparison between the spot and futures, but spot prices are rarely available in this case, and which quality. Exchange quality can be different. And whatever available spot prices can be different.

So these are all multiple things. The only thing is, it is a very long-drawn process, at least to identify. The one suggestion what is there is, don't come out with too many products in one go and try to sell it. First, make a sincere effort in that one and make it profitable wherever you feel that good business is going to come.

And trading cost is anyway higher in India. It's not like in case of like -- in their case, you can come out with any prod

uct and people are not interested, you can

drop it. Here, if you come out with a product and somebody makes a trading, then there is a cost for them, it is getting involved. But even they wanted to trade, if you accommodate trading, they will think twice before trading in a particular product because there is a cost -- trading cost and everything.

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So, our plan or what I can say is our strategy behind this one is, what can we try towards the integration of physical and futures market, wherein that is the reason what we have been doing is, on that count, we are empaneling all the brands, and all the metals, lead already we have started. I think soon we will be empaneling some more brands. And gold, we already have done it. And we'll be doing with more metals and other things, this kind of empanelment. So, don't expect that these hedgers will come and trade on a day-to-day basis. But it makes the market s-to-markets really closely integrated. That is what we are looking at. Everybody has a different objective. A hedger has a different objective. Either go for a price-switch or use the platform as a delivery, make a last resort, because if he's getting a better customer, for them, that is more easier, convenient way to dispose off any metal.

So why somebody will come for delivery means, it is a delivery of last resort. This is a universal phenomenon. Derivative markets are not meant for delivery. Because there could be many reasons. Delivery locations can be different, quality can be different and everything, but you can use it in case if at all you intend it for your own purpose.

Today, aluminum and other things we are seeing very good progress in this. A lot of deliveries are happening in that aluminum contract. So while we wanted to make a mechanism in place -- efficient delivery mechanism in place so that whenever somebody wanted to deliver, let it happen, easily and in a more convenient way.

So by keeping that one, we are empanelling all these things. More people means more domestically, our industry also will come into this one. So that is how we wanted to -- we are working towards that one.

Analyst: So on the options, you've introduced natural gas, you have introduced bullion. Do you think you ought to introduce more option products? And does it matter if you reduce the volume while you say, the grammage in the options, that can increase the volume substantially, maybe the options?

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DG Praveen : See, options-wise, we wanted to come out with options in multiple products.

There are certain regulations. Like if it is an option on futures, you would -- the product is supposed to meet -- the underlying futures is supposed to meet a particular amount of turnover, like Rs. 1,000 crores in case of non-agricultural commodity. That means essentially, you need to have liquid futures before coming out with any option contract.

So, now the immediate thought that what we can -- what we are really looking at is, while crude oil and natural gas has really picked up very well, even though the duration, one reason is both are -- futures are cash-settled contracts in a way. And whereas, the gold and other contracts, they are not delivery-based contract.

One more aspect is, gold and silver contracts are bi-monthly contracts. So longer the duration, tenure is there, premium -- extra premium, somebody will have to begin to make it. So even if you look at our gold premium turnover, one month, it will be very high; another month it will be low. This is happening because as you come closer to the expiry, premiums will come down. More people can look at it because it will be more convenient. Otherwise, the entire premium will go up.

So even if you look at the equity market, people are

more interested in shorter -

duration contract. Weekly are most popular as compared to this. So we are thinking like -- so one thing is, we are looking for definitely options in our indices, which we can look for weekly and -- everything you can look at it. But Metaldex that used to be very popular, unfortunately, the nickel impact also has felt on our metal thing, which used to do somewhere around 200 to 300 crore, which was considered very -- in fact, market was -- why can't we remove the nickel right now and do it.

But anyway, this is going to happen. Because there are certain criteria that are

embedded in this indices, that it has to meet any product to be a part of the index, it has to meet this much of turnover and other things. So every rebalancing automatically, that kind of change will automatically will take place. But while -- Bulldex continued to do well. But because of this

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Metaldex we are looking at only Bulldex currently to have some weekly options and weekly futures in this one.

And later, I think, once nickel is removed and we just again get back some amount of liquidity in our metal index also, then definitely, we will look there also for introduction of weekly options.

Analyst: So for clarification, the margins option writer in the crude volumes, are they similar to crude futures?

DG Praveen : See, generally, if you understand the PAT, it is like -- depends upon whether it is at-the-money or whether it is out-of-the-money. There are certain things there. Roughly, if you are at-the-money and in-the-money -- because in the money means your delta will be closer to your futures and it will be very much closer to your margins. But if you go out-of-the-money and other thing, provided that minimum margin, they call it S OMM, that means minimum margin will be -- some amount will be there. If that is the case, that is not triggered, it will be slightly different as compared to your deep-in-the-money contract...

Analyst: My question is that the option writer, does the nature of the underlying, not the commodity, the different commodities, which is the crude, once we had negative prices, the margins spike up. Does it have any impact on the options writer margins or this has no correlation?

DG Praveen : You will have. It will be margins if you are in the deep in the money and other thing, closer to delta. Whatever future is there; it will have the same implications on options. But what you have to look at is who are the participants who are trading, who are happy to trade as option writers. If you take in futures, you have both on the long and short, both parties are -- all participants are equally interested to trading these. But here, generally, specialized people who really can write it. Because generally, a lot of algos runs here. But then really, the margin is not a concern.

I take a position in futures. I take a position in options. It's a balanced equation. When I take a balanced equation, my overall margin also will come down

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because I'm having a spread position here. I enjoy that spread margin benefit and everything I will -- because, in fact, in span, both are going to be based on the delta. Automatically it calculates, automatically it negates your margin if you are having a spread position in futures as well as options, you'll enjoy the benefit.

Analyst: Do you think the electronic spot changes with the government is trying to create for various metal, does we have any role to play?

DG Praveen : One, I think you would be knowing, I think, in the GIFT City already, we have started our thing. I think it started already, operations. In domestic market, it is like they have started, it's only with gold. There, while SEBI has come out with regulations, still th

at GST -- there is a GST element is there which is putting certain challenges. While even we are not fully prepared from the technology point of view, because we are also waiting for our CDP project is going on, where we are awaiting for that thing. Once this gets stability, definitely, we can take this one from there. We can be able to develop that particular platform. Okay?

So, while GST is one thing which really is playing against that, and SEBI also definitely took up the matter with the government, and all those things are going on, it will take some time. We don't know how long it will take. But it is a blessing in disguise while we are anyway, working on the other side also.

Analyst: My question was slightly on the longer-term perspective. Do you think the

exchanges like MCX will have a larger role to play to create electronic spot exchange s --

DG Praveen : Yes, we are, like spot like coal, already, we are very eager, in fact, we wanted to do it for coal.

Analyst: Because we don't have these sp ot exchange for so many like copper, lead.

DG Praveen : There are -- the aspects that really we have to look at it here is, strangely in India, you have first developed derivative market, then I think you have to start up with spot market. But what we are d oing is, we also tried -- like one way of how we are doing is, the existing futures only, we have multiplied our delivery

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locations, and you already have a 5 -day tender period. In a way, it is during 5 - day, mimicking our spot market. But definitely here, I like when you want to look for more product -- because more variance can be traded in the spot market as compared to a derivative market. That is absolutely -- so we wanted to first select certain 2, 3 products like I said, coal is one thing that really we are looking at first. Then gold is another one. Another -- gold anyway, we have already started and doing it. One by one, we wanted to come out. And once we get the platform also ready and all these things, then we can freely -- we can really explore all t hese things.

Analyst: So where is the work on this coal right now? I think the Government of India...

DG Praveen : Government has not yet but they have -- already, they have commissioned some study, and that report has already has been submitted to the minist ry. So it is in the early stages of discussion, but we wanted things before that comes in. We wanted to be well established or we wanted to be well placed, so that we can able to do the things.

Analyst: This is one of the, I think, delivery or, let's say, one of the major delivery for the coal, particularly year is establishment of coal t rading platform. I don't know if that is bilateral. What they're speaking about?

DG Praveen : Yes, they are talking about the same platform. They are taking about the same thing, exchanges, they wanted to talk about.

Analyst: Because given the fact that they are for the comm ercial , coal mining is huge...

DG Praveen : That's not, they have to -- currently, production is majorly dominated by CII and also -- those things -- that's right. But whomever we have also tied up with , Metal Junction, M Junction, who are already facilitating these kind of auctions, coal auction, and they're having good hold i n the physical market and other thing . So we wanted to , like a joint venture we were looking --

Analyst: Are you looking -- would you be open to the idea of opening up any SPV or you'll be trying to get everything as of this particular platform?

Satyajeet Bolar : This platform will be used only for ...

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DG Praveen : See, one thing what you have to understand is, SEBI is not overseeing the spot market.

Satyajeet Bolar : This will be used only for SEBI regulators.

Analyst: So the gold will

become ...

Management : Gold can be there , but not the coal.

Analyst: Of course, there is no clarity this point in time. But SEBI, of course, are likely to play large on gold. Because the e lectronic spot exchanges you talk about, is this gold spot comes in SEBI, right?

DG Praveen : Because they are regulating even vault manag ers, and they are -- in fact, they are not calling it as a p hysical gold. They calling the EGRs security, converted into that.

Analyst: What do you think of starti ng the gas exchange? I think we we re interested and then--

DG Praveen : Currently, that is sti ll under -- even I think IGX already have made their inroads. But even that regulations are not placed and GAIL is having the complete control over the pipeline distribution channel, these are all some of the things that have to --

Analyst: The idea or you think it's closed --

DG Praveen : It's not like we have not closed it or open. It is -- keep monitoring what is happening in the things. If really opportunity arise s, why should we look back and --

Analyst: Just trying to figure out what is the cost of opening of a new company , is too high for you to invest or ...new platform.

DG Praveen : See, there is like -- for any new exchange, if at all anything, there will be some initial costs. You require technology. Apart from technology also require a lot of other investment.

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Satyajeet Bolar: Settlement guarantee fund , so that's why you have to fund also. And it will take time, there will be gestation period.

DG Praveen : But you will be like -- put the investment right away, and will you wait for that very long? We don't know how many days; how many years it will take really. This is one thing really you have to look at it.

Analyst: Are the opportunities available for exchanges or they are barred right now , hypothetically who want to buy another exchange. So let's say --

DG Praveen : See, currently, it's not that easy technically. It is like regulatory challenges are there. If you want to be in exchange, you want to take it as a stake, you want to take it, you cannot take more than 15%.

Analyst: This is the only country, I think, where the exchanges are not allowed to buy another exchanges. There take only upto 15%, right?

DG Praveen : 15%, otherwise, you have to -- totally it has to get merged with this entity. That is kind of --

Analyst: Look at the other markets ... the exchanges are allowed to hold upto 100%.

DG Praveen : Regulations have been there. After that Bimal Jalan Committee, I think there has been either ...

Analyst: Bimal Jalan Committee , the report has come out ... on the products and new categories, like spot exchanges, this takes us to a new category of investors and middlemen or say brokers, new category of investors, SEBI has allowed FPIs, foreign investors to --

DG Praveen : They have not allowed so far. In principle, their Board has agreed to that one. So they are yet to come out with the regulations -- final regulations that -- but there -- definitely that one thing really that is -- because for them, it's not like an equity market. One thing we have to look at is, in the equity market, the same company has not traded anywhere else, but same commodity is getting traded everywhere.

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So what are the opportunities that you see for Indian market is, one, there could be a lot of cost of carry ing arbitrage kind of things happens within the spot market. That means once they come in, they can really can look at price differential that is there between the spot and futures markets, and between the markets also. Globally, they are already operating in a global market. They can look there and here. And their point of view, their strategies, their thinking, definitely they can hear.

And they may price the products in a different view considering all their research and all those things. So there are certain elements like, inter-market arbitrage, then you can look at cash and carry arbitrage. Then if they wanted to have to trade in products which is nowhere available in other countries, there also, they can come in.

Analyst: What are the things you can do from our side to increase the FPI trading once the regulation is in place?

DG Praveen : We wanted to make our options. We are driving, in fact, a lot because options is one thing, we have seen good traction and people opted maybe because of various other support regulatory thing, options have picked up. Really, we wanted to pick up this one, so that even when they come up, they can look for a lot of combinations between the futures , options and all those things. Because they have seen all these products for quite a long time compared to the Indian

market. So I think once they come in, I think we'll see that this will get ready.

Analyst: Is there any idea about what kind proportion trading volume they have in other emerging markets, something like Malaysia, you know, in crude palm oil...

DG Praveen : Commodities are all together a different -- CPO is all together -- like Malaysian market is different. But in Indian market, definitely, they can look for some of our non -agricultural commodities , but what is the share is very difficult to say that. Whatever happens, we cannot expect that everything will happen in one go. Whatever it will be a progressive approach, gradually it will happen.

Because we cannot expect all the participants to come under trade immediately.

One after one, they'll come and trade.

Analyst: Sir, the mutual funds, are you're seeing some traction out there?

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DG Praveen : Currently, their share is very limited, current mutual funds and other things.

We, from our side, we are making efforts what we have recently recommended,

AMFI also come out with a separate committee for -- within AMFI for commodities, which is not there. Because , we want somebody from AMFI to pick up some issues related to the commodity markets. Like for example, the institutions can hold only for 30 days in case of metals.

Physical -- any physical commodity comes to them. They cannot hold, like in case of gold, they can keep it for 180 days, but not metals. They can keep it. So when you say 30 days only they can hold, virtually if they end up getting a delivery, they cannot even wait, so I think that is certain. There are certain aspects really , that is the bothering the mutual funds. Even the limits, like they cannot go beyond 10% in one single commodity. I think catches are there, which is really preventing them not to come in a very big way. But we have been asking the regulator to accommodate certain aspects , so that they can start coming in.

Analyst: The new brokerage -- the new broker site they can , in like banking , are they --

DG Praveen : In banking, they are doing -- that means we have seen good progress from ICICI and Kotak. They're all, they are doing it. But when you look at this as a percentage to the overall turnover, it may not be roughly around 1,000 crore compared to out of a total turnover of 25,000. So its percentage -wise, it is not a thing. But , it takes some time like , what we have seen is whomever they are getting registered as clients across, now they are becoming the client across the asset class. So that is making the investors open to any asset class, which they would like to trade. And again, this market is a derivatives market. It is not ready because somebody is interested in an IPO, that kind of business won't come here. So it is that --

Analyst: So do you think -- so you're saying only 2 names, ICICI and Kotak.

DG Praveen : Then another like SBI is there and HDFC. And

HDFC also is working on some

-- their app or something they are working on that one. And there are also some brokers are having some -- especially this bank brokering, they are having some issues related to back office software . So that I think some brokers are

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working on that. But all -- if you take all the bank broking firms, I think almost everyone is -- they've made an entry into this.

Analyst: Do you think there has been volume ... essential for these changes? And the related question is that does SEBI and RBI are taking some measures or to take some measures to improve in the domestic markets?

DG Praveen : RBI already has done for gold, I can say -- not both, but other things, but for various reasons, they have done for gold. Now it is like today, you would take any entity who is associated with gold, big entities are trading on MCX.

Whether same thing will happen in other metals and other things, I think we have earlier also made representations to RBI and also for -- we do not see immediately thing, but we are going and meeting the banks, encouraging there.

Because many clients or corporates are their clients, in that way it is like we are saying whenever you are lending and other things because even recent RBI,

they come out with a report. In that report also clearly, they have pointed out that commodity risk is a major element to the corporates.

While we can able to create awareness and another thing. And that kind of culture is still long way to happen. That means it can happen over the period of time because they have to look at the book -- both derivatives book as well as the physical books together -- put together and then they have to look at it. That kind of thing is still -- when they see a loss, they feel that it is a big loss, but they have to parallelly have to look at the physical market also. They would have been there. It is a balance between these 2 markets. That is what is hedging is all about.

Analyst: How about the cost side. You are right on the cost side, the order income is really volatile, it is absolutely on quarter -to-quarter.

Satyajeet Bolar: Actually, this quarter, but that is because we had invested a large amount of funds in the mutual fund and they accounted under mark -to-mark. What we have done is, we have started moving a substantial amount of investments into state development loans and other bonds, which we could account under amortized, basically the interest rate goes up further, it will entail that we don't have, and I'm sure you'll be tracking other exchanges also. I've seen other

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exchanges. And it is my job to. So I mean, it is -- I realize that I am not as bad as I thought I was. I mean all of sudden it is --

Analyst: Sir, how much is surplus cash?

Satyajeet Bolar: So we have around 1,100 of our own.

Analyst: So what do you intend to do with it. Do we need this so much surplus?

Satyajeet Bolar: One is we are using it for a technology platform. Second is, as you said, you also have, once SEBI comes with approval regulation for co-location, we need some money for providing the infrastructure for co-location. And we have to start investing in special vehicles for the coal project or for any other spot projects, obviously, we need some cash. And the dividend policy says that we pay out 75%. So presently, we pay out 75% of what we earn. And I'm sure if the year is good, it will be increased to beyond 75%.

Analyst: Even that ...large cash dividend cash payout can go up.

Satyajeet Bolar: Yes. We don't intend to hold on to cash.

Analyst: Exactly. So on the cost items, software fees and there is a... which is going to some kind of fixed fees, right?

Satyajeet Bolar: Yes. So the present arrangement with the existing vendor is

that we have fixed

component as well as a variable which is linked to our transactional charges.

Going forward, once we go live with the TCS platform, then the first year will be under warranty, both at first year, then we pay them a fixed AMC. But there'll also be certain other expenses that we did, for example, the software -- the other software that we -- operating software. So we'll have to. And as you know, that many of the software companies have moved from perpetual licensing plan to subscription based. So that will be an annual fee. Plus, there would be an amount of amortization that we'll have to pay. One is for the software itself, which has been delivered, as well as, for the hardware and servers and other hardware equipment, which would be depreciated over a period of time. So, those 2 components will also come.

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Analyst: On a yearly basis, you don't see --

Satyajeet Bolar: Immediately this turnover, I don't think there will be a major material risk. But if our turnover increases, then you don't get any fee ... that we'll have to give.

So there would be -- it will be EBITDA positive.

Analyst: This also brings us to fact that the -- I think TCS was supposed to be available from 1st of September, right? It has got delayed, right?

Satyajeet Bolar: Yes. The agreement with present vendor is till 30th September.

Analyst: Okay. So if this gets delayed, then what happens then?

Satyajeet Bolar: So we have plan A and plan -- I mean, there's various plans. So obviously, we

are also speaking to the present vendors , whether we can extend it.

DG Praveen: What we have to keep it in mind is -- see platform will be available for 30th September, whether they will be supporting it after September or not is one thing that we are speaking about to 63 Moon s. But actually, we look also equally look for support kind of thing and that support kind of thing we're looking for multiple alternatives whatever is there, before we get these TCS.

Analyst: Are the TCS already ... working on this for a long time, why there was a delay?

DG Praveen: See, this is big platform. It's not like -- so many things, all the platforms have developed over a period of time technically, right? Using massive technology.

Analyst: So the worst case , we don't expect the delay to be more than 6 months. By April 1, 20 23, we should have this new vendor ready with the complete platform, is that a right understanding?

DG Praveen: They have given already certain things and obviously we are getting that ... and other things. So it's very hard to fix a particular date to it , like really --

Satyajeet Bolar: Obviously, we want to do it before that. But I mean, we know that we have to get a clean release, and then we give it to the -- we do the testing ourselves and then, we give it to the market for the members to test. So that will take

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sometimes. But we should get a clean release. Then do our testing and then the market members will also do the test.

Analyst: So how will ... pay for loan , the underlying indices , that were very large or very small to LME ...

Satyajeet Bolar: No, we -- LME...

DG Praveen: We are not paying.

Analyst: Or CME?

DG Praveen: CME, we pay.

Analyst: Small amount or --?

Satyajeet Bolar: Not a small amount. So I mean if you see, it's a reasonable amount. So there's a threshold. If we cross the threshold, then there's an incremental that you pay.

So far in the past 2 years, for various reasons in energy, we have not crossed the threshold, we are within the threshold.

Analyst: On the electricity, what is the timeline you expect given everything happening. Has the committee started working as a committee?

Satyajeet Bolar: I think as mentioned earlier in the call that we are hopeful

that it will be sooner

because we were expecting it right now the committee, but it's not happened.

The earlier it happens, the better it is for even the regulator. And they would be trading on under their jurisdiction and not on CRE.

Analyst: So, just to summarize, initially, out of the total spot exchange coal, gold and TMT , we are not really expecting these come in the next 1 year and only we are expecting an electricity contracts, right? Am I right?

DG Praveen: TMT, we don't know , at any time depending upon the regulatory function it will come.

Analyst: It can come within next 6 months?

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DG Praveen: Depending on regulatory, but it's not --

Satyajeet Bolar: Even the gold spot exchange should start immediately after we go , and this platform is really -- started in maybe 6 months from then.

Analyst: So, we just look at certain global exchanges. And for them, the data feed income has been around 10% to 15% of the operating revenues. Currently, it is very less for us.

Satyajeet Bolar: If you see , from last year there has been a slight improvement and we hope that we'll be doing better.

Analyst: Okay. So entry of FIIs and more algo -traders, do you think that will contribute to--

Satyajeet Bolar: Yes. And also probably, we have become a bit smarter in terms of our negotiations...

Analyst: Similarly, for warehousing income, it had shot up to Rs. 12 crore s in FY '21

from -- it was around Rs. 2 crore s. So what was the exact reason for it? And do you think there is any --

Satyajeet Bolar: I see that the underlying plays an important role. Because it was very volatile -- yes, silver was very volatile. So it made sense to keep it in the vault. If we keep it in the vault, clients, the members then have to pay the charge, right? So it depends.

DG Praveen: Not only the volatility, they see the divergence between the spot and futures. Whenever they see that kind of difference, they feel there is an opportunity that is going to come, and they keep it.

Satyajeet Bolar: And they keep it rather than lift it. When they keep it --

Analyst: Understood. For the electricity platform on the exchanges, I think you can retain up to 75% on the IEX.

DG Praveen: May be there but --

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Satyajeet Bolar: But their regulator may be allowing that.

Analyst: Earlier they are allowed to keep a round 100%, which was changed to, which was under new regulation ... 2020, it's been brought down to 75%.

DG Praveen: So 25%, they can?

Analyst: They used to keep 100% for SGF, after they've brought down to 75%.

DG Praveen: So 75%, they have to keep it with SGF ...

Analyst: No, to themselves ...

DG Praveen: Earlier 100%, they can keep. Now it is like only 75%, they can keep it...

Analyst: So sir, going back to IIBX. So you mentioned earlier in the calls as well in the first year they'll be having 100 tons then 120 tons and 150 tons for second, third year.

DG Praveen: I don't think we would have given any projections.

Analyst: So what do you think is there? How much amount of gold will be imported?

DG Praveen: What I remember what MD was telling is, there are some agreements that happened between Dubai and India. Wherein if they route it through this exchange, they get a concession. So under that one, I'm telling -- you may be telling that, okay, they may prefer to trade under this one and all those things, so that there could be. So it's not limiting to any like Dubai and other thing. It is like certain opportunities are coming. Already some qualified jewelers have already registered themselves as a qualified jeweler. As and when they wanted to import, they may avoid using the channelized agents and they may start.

Analyst: And as a hedging purpose, you believe that they'll come to MCX, too?

DG Praveen: Yes, that means when they -- suppose they wanted to have a gap between when they wanted to bring it to the domestic side of it and they feel certain opportunities, then definitely, they can use MCX. So we see that these 2 platforms will complement each other rather than compete.

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Analyst: And so earlier you have also mentioned that you're not really focused on the agri turnover. But --

Satyajeet Bolar: But where we are, I think we're leading, isn't it?

DG Praveen: See the agri, the way it happens is wherever we are there, we are leading. Like I can say that because commodities like cotton ... which used to be very well, unfortunately, even though it is not of any reason, it was suspended. And that was one thing. So currently, like cotton, mentha oil and we have -- we can limit mainly to mentha oil.

Analyst: But do you believe any kind of farm reforms, which will help you focus on this business going forward?

DG Praveen: See, agriculture is always politically sensitive thing. So whatever is there, we cannot expect that it will happen in a big way.

Analyst: Sir, recently, that farm bill was taken back. Do you think there are certain provisions which would have helped us?

DG Praveen: Whatever it comes, it won't. Because this -- slowly it will impact.

Analyst: And sir, earlier, you also mentioned that option turnover for August and July -

- August as well, that it has surpassed the future s turnover and cumulatively for the month.

DG Praveen: Not all. Some days. Cumulatively, number I don't have. But at least I remember that there are days where -- in many days it has surpassed and we expect, going forward, it may happen also because trend i s, a lot of people are looking at options.

Satyajeet Bolar: And even the equity market --

Analyst: ... monthly? I think there is some development going on. Monthly will be standard.

DG Praveen: But daily if you're doing ...

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Analyst: Depending on the volatility a nd the things the option premium changes and so total turnover and --

DG Praveen: No, no. When you take daily premium turnover --

Analyst: It is not available, trading the statistic side -- I could take a snapshot at the end of the day. Take a snapshot of at the end of the day. Currently it is only the month end statistics --

DG Praveen: So that is called market statistics. In the ma rket statistics, you get it ... no, it is premium turnover, we give it. Daily market turnover. I will show you...

Analyst: They were t racking because --

DG Praveen: No, no. Market, we give it. Market turnover, I remember. I wi ll tell you. We are giving almost everything available , whatever is market statistics.

Analyst: Trade statistics, you'll get it. For the month, you won't have -- for the day. So if I go to the historical data and collect it for the last 10 days, you won't get it for which ...

DG Praveen: Because we are putting Bhav copy on a daily basis, I'm not sure , because -- I thought it is available, but maybe I need to look at it. Bhav copy anyway is made available. Historical Bhav copies are also available, right?

Analyst: Bhav copy is there.

DG Praveen: You can. Commodity wise also, you can look at what is the amount which has been --

Analyst: So on the transaction charges , of course, we haven't raised it for ...

DG Praveen: We don't want to tinker about at this hour (Inaudible) .

Analyst: But 2, 3 years down the line, how do you decide?

DG Praveen: Currently, the rates are very much comparable to the equity markets ...

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Analyst: The rates are almost similar for the option s.

DG Praveen: So you have to see the trend. Now it is too early to say whether -- because if you take equity market --

Analyst: But why did you lead t o the turnover compared to the other bourse s in the other developed market related to side of the ...

DG Praveen: International ly, they charge based on the lot s.

Satyajeet Bolar: The equity as we ll as the market ecosystem used too --

Analyst: Last one from my side. The cost of trading and auditing is a big cost of...

DG Praveen: We are significantly different. We are very expensive compared to global markets. Because there is commodity transaction tax, which itself is quite significant -- Rs.10 per ... on sell side. Then you have stamp duty, another R s. 2 on either side. Then GST, the exchange fee as well as again, your brokerage ...

Analyst: Anything you are l ooking forward to on the regulatory side, to im prove the volumes at the commodity exchange and in general, for the industry. So looking forward to it, which can happen, which may happen, which the government is working on, they are not happy about something, possibly.

DG Praveen: Some of the things we are looking at , certain relief on SGF they give , that is a big thing that really we can get it on the margin side, we can able to really help market participate .

DG Praveen: GST side is another thing.

Satyajeet Bolar: That will be a price setter. And then we should encourage our domestic players to take, so I mean, those pains that you don't need to have registration in each state because GST is destination -based standard. So those issues if this resolved looks very frankly ... its political, with different states, having their own rules. So it looks difficult, but that would help a lot.

Analyst: Sir, we are done with our questions.

Call: Nov 2022

MULTI COMMODITY EXCHANGE OF INDIA LTD.

EXCHANGE SQUARE, SUREN ROAD, ANDHERI (EAST), MUMBAI 400 093, INDIA. TEL: +91-22-6731 8888, FAX: +91-22-66494151, www.mcxindia.com

CIN: L51909MH2002PLC135594, info@mcxindia.com MCX/SEC/2166 November 30, 2022

The Dy. General Manager

Corporate Relations & Service Dept.

BSE Limited,

P.J. Towers, Dalal Street,

Mumbai - 400001

Scrip code: 534091, Scrip ID: MCX

Subject: Transcript of calls with Investor/Analysts

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 read with the SEBI (Listing Obligations and Disclosure Requirements) (Second Amendment) Regulations, 2021, please find enclosed herewith the following transcript of the call with investor/analysts:

Sr.

No Investor/Analysts Date Time Annexure

1. C Worldwide Asset Management November 25, 2022 02:30 p.m. Annexure - A

The said transcript is also uploaded on the website of the Company at <https://www.mcxindia.com/investor-relations/ir-meetings>

Further, we hereby confirm that no unpublished price sensitive information was shared/discussed during the said meeting.

Kindly take the same on record and acknowledge receipt.

Thanking you,

Yours faithfully,

For Multi Commodity Exchange of India Limited

Ajay Puri

Company Secretary

Encl: As above

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Meeting with C Worldwide Asset Management

November 25, 2022

Disclaimer:

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This document may contain "forward -looking statements" – that is, statements related to future, not past, events. In this context, forward looking statements often address our expected future business and financial performance, often contain words such as "expects", "anticipates", "intends", "plans", "believes", "seeks", "should" or "will". Forward -looking statements by their nature address matters that are, to different degrees, uncertain. These uncertainties may cause our actual results to be materially different than those expressed in our forward -looking statements. We do not undertake to update our forward -looking statements.

Annexure-A

Multi Commodity Exchange of India Limited

November 25, 2022

SATYAJEET BOLAR : MR. SATYAJEET BOLAR – CHIEF FINANCIAL OFFICER , MULTI COMMODITY EXCHANGE

MR. PRAVEEN DG – CHIEF RISK OFFICER , MULTI COMMODITY EXCHANGE

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Participant: Great. Well, thank you for making time to do this . We really appreciate that. Yes. I'm quite familiar with the business model or at least I think I am. So it's best if perhaps you can just start with a quick business update about where we are ? We've seen some sort of transition in the business for futures to options also , play itself out. Just a quick overview of where things are. That's really the purpose of my meeting .

Praveen DG: Could you get the opportunity to attend our call.

Participant: No. Unfortunately, no. I think when you had the call, I was traveling on those dates. So it's very difficult for me to attend all the calls because I also look at other markets, and so it's a very large spectrum.

Praveen DG: So it is, I can say, the progress has been very good in options compared to the last quarter. Even this quarter, the performance happened to be much better. We have done something about INR 31,000 crores in options compared to, maybe INR 23,000 or INR 24,000 crores in futures . So that way it is like , our options now is performing better than the futures . But you would be knowing that the realization that we get it out of options is comparatively less with the futures. But it is better than the way what we have expected .

We expected something around 33% that we can get out of options . But we could get close to around 40% of, which is , I think it's a good realization that we got it from options. So now our focus is more on options. But, we are very keen to go ahead with more products. So , we are mainly primarily now focusing on the tech migration , once that migration is complete , we will be rolling out some more options product, mainly the short -term duration option contracts in gold as well as silver. Both happened to be bi-monthly contracts , as of today. So we wanted to come out with monthly contracts. So that can reduce the value of the option premiums. So we can expect more participation in the options contract, in bullion also.

Participant: You're targeting retail participation there or ...

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Praveen DG: See, institution participation , if you take only the mutual funds or any foreign participation that is very limited. So what we get is mainly from the corporates and the individuals. And the class who are participating in our market is definitely not

comparable to that of equity markets . The contract sizes are different and it is pretty big as compared to what you would see in the equity market. Say , if you take our gold contract, the gold contract itself is about a 50 lakh contract . Long -term contract .

Of course we have the different variant, contract variants are available. But , the main contracts are the main drivers of the volume and they are , that way the size of their contract is much bigger compared to the equity markets. So , our idea is to come out with the shorter duration contract and maybe we wanted to come out with some more new products. But, the electricity is one thing that has been in the pipeline. But because of the regulatory approvals, it has been pending. So once we get that approval , we can go ahead with the contract . Besides electricity, you can see some metal contracts like aluminum, alloy, steel, steel -TMT, so some are in mind. But the primary focus now is mainly on options , because we wanted to tap the untapped potential of the options.

Participant: But when you say electricity, I am not aware of this. Are you trying to compete with an IEX or...?

Praveen DG: They are into day-ahead market. In fact, we will be taking their prices, day -ahead prices and those prices will be used for settlement purpose on our exchange. So, what we will be offering to the market is derivative contracts, options and futures.

So that

way it is like , we already have signed and licensing agreement with IEX.

Participant: Why wouldn't someone like an IEX want to do it themselves instead of ...

Satyajeet Bolar : Different regulatory.

Participant: Okay.

Praveen DG: They are now come under the CERC and if at all they wanted to offer the product they have to themselves set up an exchange, stock exchange. And they should come under that ambit of the SEBI .

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Participant: And, I think the last time when we discussed, one of the things that we spoke about was FII participation because of regulatory issues. So where are we with that? What is your view on that?

Praveen DG: Recently, there is one interesting development happened. SEBI allowed foreign institutional participation, portfolio investors. They are now allowed. But they are allowed in a limited way , what they have said, regulations as for the current regulations, FPIs are allowed in cash-settled products . And if FPIs are happen to be corporates and individuals and certain category of people, they are allowed only to take positions up to 20% of the current client limits of the product selection. That means for some people, they're allowed to rest fully 100% of the client limits. For some category of FPIs, they have allowed only up to 20%. So and they are allowed only in the cash -settled products. So today, we have two cash -settled contracts are the energy that is crude oil and natural gas. So rest of them are all compulsory delivery contracts on our market. At present we can see that, okay, those people can only participate in these products. And you all know that same products are traded in global market also. Because we ourselves we take the prices of CME and we settle it. But we still see an opportunity in the form of arbitrage that the market participants can find between the different markets.

And because many of these strategies they already have the tools to look for arbitrage strategies or arbitrage opportunity that is dwelling in different markets. So, same set of strategies and other thing, they can run in the Indian market also. Because for an arbitrageur, it doesn't matter whether they see same product or one product it is getting traded. It is more, they have to come out with some strategy around it. And then if he finds an opportunity , automatically, the system will be able to find, take the available opportunity.

So that kind of business we see that definitely people can start looking at it. And if somebody , today, it is like earlier, it is like they have to set up an entity here to trade here. And they will not be able to take a consolidated book of what happens here and in the global market. But now it is allowed, so they can be able to take and can look by taking, they can balance around in international market and the domestic market.

So that way, this can open up a lot of opportunities for the FPIs in particular. And once

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it's opened up beyond the cash-settled products, I think definitely there are some incremental opportunities that can exist, that the market participant can see, in the form of like cash-and-carry arbitrage. But they have to go through certain things here because they may be required GST registrations and all those things. But once allowed, I think they can explore those opportunities because the interest rates in India are certainly different from what you see in the global market. So that way it is like it can open up some opportunities to the market participants.

Participant: And on the gold exchange front, could you give some comments?

Praveen DG: So you are talking about Gift City, India International Bullion Exchange. And it is opened in the hands of our Honorable Prime Minister. Now

I think it's gaining

momentum. I think we have to see that how it will shape up over the period of time. Although business has been started and some agreements are getting signed between the government and UAE government. So certain things are opening up like if at all any gold has to be imported, if it is imported through this particular channel, certain concessions will be given to those importers. So that way it will provide the opportunities.

Government is definitely in favor of making that exchange a very robust exchange because they wanted to make it as a conduit for getting the import of gold, come through this particular channel. So we see a lot of potential in that market. But I think we have to see that how long it will take.

Participant: But what will give you the right to win in a business like that? I mean, as I said, one of the key aspects of an exchange is to be the right platform for price discovery. But if the price discovery is not happening, you are essentially an entity which is facilitating a trade, essentially a trader in a way?

Praveen DG: But when you see the market, our prices always happen to be slightly different from what you witness in the international market. Because when you actually import gold into the market. So those prices happen, that is where even we see the opportunity.

And somebody can be able to park it in that particular vaults within that Gift City and when they find the opportunity they can bring it into the country. So it is more

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convenient for them and India happens to be a major consumer and major importer of gold.

That way even if you say it looks like it is one country, but it itself consumes a big quantity of gold. That way we see very good market for this and not only import, import is one. And besides import it also gives trading opportunities in that location. Today in the local market you have the CTT, you have other taxation like stamp duty, all those things come into the picture. And it is also driven by, totally driven by your domestic supply and demand dynamics, but there if at all you find an opportunity, it is up to you can really be able to move the gold around and you can be able to tap the potential.

Participant: So have you seen some of the Indian jewellery companies?

Praveen DG: Yes, some already have. And many of them already registered themselves as they call by some name like a registered... qualified jewellers. So they have already registered with that regulatory authority, IFSCA. So under them, these people have registered. Now they can import directly, they need not have to go through these channelized agents. So directly, they can import the gold now.

Participant: So they don't need to even go through you to import?

Praveen DG: Not through us. It is like earlier there used to be empanelled people, so only gold if at all I wanted to import, I have to import only through the banks. I think banks, generally, the banks used to act as that kind of authority. Now as a jeweller, I can go on directly, I can import myself for my requirement. I need not have to go through these people. So what these people wanted to do, they have themselves registered with the exchange and the regulator. Now they are directly importing it, so that way now it is like they need not and they can save a lot of money out of it. And also conveniently they can do the trading part.

Satyajeet Bolar: It's cheaper.

Participant: Cheaper, and to what extent is it cheaper, roughly?

Praveen DG: Very difficult to quantify, but I think the \$2, \$3 maybe, but that itself is big...

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Participant: ..On the volume s.

Satyajeet Bolar: The may hold 20% stake. And the advantage is that it's one exchange. And we are not fighting amongst ourselves.

S .

Participant: Everybody has stake in it, skin in the game. Are there any other incremental opportunities that you're seeing apart from new products that you spoke about, commodity that you're seeing where you can create or you can play the role of an exchange, some white spaces for you?

Praveen DG: Spot , we are looking at it like a gold spot exchange . And also like EGRs is one thing because there are also, I think, once our migration happens, we look for that opportunity . SEBI has come out with the regulations for the electronic gold receipt that we are doing in the domestic market. Actually, this is the spot market for domestic market . So there, we definitely could see that opportunity. But more than that, we see a lot of opportunity in the existing physical market, like we wanted to better integrate ourselves with the physical market like we have done the empanelment last time already , we have four or five refiners are already now been empanelled by our team.

Satyajeet Bolar: Including Titan .

Praveen DG: Including Titan. Then metals, we already started in lead also that kind of environment. This is one step for greater integration with the physical market. Second, opportunity we see is if we can able to bring down the margins down, where we made a lot of presentation to the regulator to rationalize the contribution to the SGF . In the form of making SGF a two-way traffic rather than a one way so that as and when needed, we can be able to infuse the capital and we can take it out. So that will help us to bring down the margins in our crude oil contract and also in gold. So this, I think , because today, you saw some drop in futures contract. But that drop also can be minimized. We can be able to put some growth to the future s by bringing down the margins in future s.

Participant: And the drop in this , last quarter we saw a drop in your UCC s, is that a function of...

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Praveen DG: No. Absolutely , there is no drop in the UCC. If you compare both options and futures together , then in fact, we have done better than the previous corresponding period.

Like I'll give you the number , year -to-date we have done something around , we have traded UCCs is about 3.74 lakh compared to 3.13 lakh the previous year for the same period. So that much growth we have seen.

Participant: But on a sequential basis, because historically it has been the last few quarters sequentially it's been improving ?

Praveen DG: Even for a... In fact...

Participant: Maybe I can show it to you , what I have.

Praveen DG: For two immediate quarters, if you take immediate quarters like Q2, we have 1.79 lakh and just if you take only the futures also 1.79 against the previous quarter, April to June quarter, it was 1.61 lakh. And the corresponding quarter, it was 1.92 lakh. But if you look at the holistic level like , both futures and options, both , then the Q2 current quarter, the Q2 is 2.91 lakh compared to 2.19 lakhs to corresponding Q2. So that way it is, in fact, there has been increase. That is what we have seen. Maybe there is a marginal drop that happened in the future s, but not in options.

Participant: I think this is one of the broker reports that I have been referring to.

Praveen DG: In fact, what they are looking at is the registered UCC. So this registered UCC may not be a fair comparison . Always, what you have to look at is the traded UCCs. Because after the integration of this intermediaries in Indian market, now today, the same broker can be able to offer the commodities as well as he can offer the equity market . A client as and when they get registered , he makes them to register across all the asset classes. So then it depends upon the client where he would like to trade. And many of these clients, like for any IPO comes , or any other offer comes. They come and get r

egistered. But it's not necessary that they come and trade on the Exchange.

So it may not be a right comparison. So that number happened. But when you look at the traded UCCs, traded UCCs are in the range of 4.5 lakhs to 5 lakhs. So it is in that

range. So there if you do a comparison , in fact, we have grown better as compared to the previous quarter, especially the contribution has come from options side.

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Participant: And again, as we discussed the last time, what would it really take from a structural point of view for Indian corporates to start using our own exchange a lot more than relying on the foreign ones?

Praveen DG: Today, steps have been taken by our regulator also , and regulations have been amended to say that all the listed companies are today, they are supposed to make necessary disclosure with respect to the commodity price risk. Just we have made it , just to sensitize the corporates and the shareholders about the risk element that is there in lieu of the commodity prices. And even today, leave some private, but when you come into the public sector, their mind -set is still , they feel that, okay, a loss in futures , they look at independently and own they compare it with the top there in the physical market. Because you have to take both the books together, you cannot take one book and do a comparison. So , while a CFO and other people may be knowing that, but they find it very difficult to go and convince their Board about it like, okay, I want to go and trade , because the loss is treated as a big loss that what he has made to the company. So still I think , it would take some time to change those mind set . But what from our side, we have been consistently putting our efforts to make necessary education for the corporates as well.

Satyajeet Bolar: ...that should be a continuous effort .

Participant: So it's a chicken and egg problem.

Satyajeet Bolar: Yes, if the Bullion segment , I mean, RBI has taken and issue the regulatory mandate.

So I mean, it's happening to other segments , yes.

Praveen DG: So certain challenges we have, if you take energy products. Some energy companies, they prefer to go and trade in the overseas market because the trading cost is substantially low compared to the Indian market. And the broker may offer with a complete leverage. They need not have to put any money. But here, our regulations won't allow them to do that because now after this peak margin reporting, they have to bring even the upfront margins.

Satyajeet Bolar: Not very convenient operationally.

Praveen DG: Operationally, there are certain challenges .

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Participant: So, I mean, in a way what you're also telling me is that the regulatory environment doesn't allow them to get adequate benefits for them to switch?

Satyajeet Bolar: The bigger one s.

Praveen DG: So the problem is some people, they find that , rightly you said it is a chicken and egg problem, like some bigger companies, you don't have enough liquidity. But unless all market participants come here and markets become bigger, then you will not find that kind of liquidity in the Indian market compared to what you see in the international market. And the trading cost is substantially higher as compared to global markets. We have CTT, we have stamp duty, we have GST, many , and what we get is only a fraction .

Satyajeet Bolar: Government earns much more than us on CTT.

Participant: But there is also, I mean, maybe not applicable to all corporates , but it's also an element of, you've been able to sort of do the transaction in rupees yourself , so you don't have to then hedge for currency?

Satyajeet Bolar: I agree .

Participant: So if I see the global commodities exchange landscape, some exchanges have created

a niche for themselves in one or two specific commodities. I mean, they're probably just known for those commodities. Like I think, Bursa Malaysia for rubber and then for Amber I think there is St. Petersburg , also is there an opportunity for India to create something like that? I mean, for certain commodities, for example, like gold, we are a dominant market .

Praveen DG: See, we have created already for some products like if you take menthol, it is mint. So it is the only exchange where the mint is getting traded.

Participant: In the world?

Praveen DG: Yes. Similarly, earlier we used to have some market for cardamom, but for different reasons we had to discontinue cardamom. So we have created something, like even in gold, 1 gram gold is getting traded in India which is traded and also getting
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delivered, which is nowhere that kind of product you will find out. So India that way it is somewhere it is unique compared to the global market.

Satyajeet Bolar: So, what Praveen is saying is that we have also tied up with the vault players, for them to deliver to the client, ultimate client, 1 gram or whatever, secure, door delivery.

Praveen DG: So, they can locate, the buyer can be from any location, he can use the logistics and he can be able to take the delivery at his doorsteps. That kind of facility we have facilitated.

Participant: And all of the backend is your responsibility, the delivery, the logistics?

Praveen DG: See, it's a logistic, means till that vault, it will be the responsibility of the exchange, but beyond that one, it is like insurance and all those things, it is between the vault and the buyer. Because, delivery is being made in Ahmedabad, but you are in Hyderabad. Somebody will have to take from here to there and get it delivered. So, that is going to be provided, the service is going to be provided by the vault, who are regularly doing that particular service. It is not like in India. But what we have facilitated is, we made the charges standardized. We made that access very easy to every market participant. So given his logistic facilities already in place, he started through our exchange is providing that particular service. But ultimately it is the responsibility of the vault and the buyers to take it. Because our role ends here after delivery has been marked and delivery has been made.

Participant: In Europe and now I think incrementally even in India, ESG is becoming quite a dominant thing. How does that work for commodities? Now we, for example, in hydrogen now we already have a gray and a green hydrogen. A, are you seeing new categories for yourself potentially emerging as a business case? And B, for the existing set of commodities, is there a way to distinguish between the ones that are sustainably produced versus the ones that are not? Is there a way to go about doing that?

Praveen DG: Today, that way, carbon market, even now India is anyway signatory to that Paris treaty, but that market is yet to emerge in the Indian market, in that particular scale.

So, a trading platform similar to what you would have seen in the ETS market in
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Europe, I think that may take time, for really to come out with that kind of trading for say carbon or any other sulfur kind of thing. But we are in discussion with different global exchanges saying that how they are, like in US, you have a voluntary system is there, prevent compared to in Europe at least it is a mandatory feature, but in Europe, US it is a voluntary one. We are examining and we are seeing that if there is a feasibility and other thing, but immediately you cannot expect that that products may not be able to roll out.

Participant: Not immediately, but I'm just saying conceptually

in a few years' time, it also takes time to conceptualize it?

Praveen DG: Very Long time back only we could be able to come out and launch the product. Carbon trading, we have launched at least in 2005 or 2006 we launched. But that time a lot of restrictions were there, like foreign participation was not allowed in the Indian market. So while you could have buyers, that means sellers, but the buyers are not able to come and participate in the Indian market. And the registry also was not there, National registry was not there then. So that time because of that we could not be able to make much progress and eventually we had to discontinue those a decade back. But now I think again if things focus here then definitely we look for the opportunity there.

Participant: And for the existing commodities like, for example, base metals, for example, in equities, different companies have different sustainability score based on the brands that they follow?

Praveen DG: See, currently, I know where you are coming from, but currently what we are doing is we are more or less accepting only the LME registered brands in metals. And the few

entities empanelled, maybe you can look at lead and other cases, those we look into all the various parameters like whatever standards are applicable to Indian markets in Indian companies, we look in the audit and then we consider them that way. So strictly you cannot say that ESG, but whatever is the rules and regulations applicable to the Indian market those things we definitely look at.

Participant: And ESG for yourself?

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Praveen DG: ESG for ourselves, anyway, we are making the necessary disclosures to our shareholders. In fact, on a voluntary basis, we have come out with the BRSR report this year. Actually, from next year, it is going to become a mandatory feature. But we made one step ahead and we made that disclosure for the last previous financial year only. And we have several policies we have introduced towards that ESG. You can have a look if you want to look our BRSR report I think you will get it.

Participant: Are you signatory to the UN SDGs?

Praveen DG: No, we are not.

Participant: Any specific reason or it's a bandwidth issue at this point in time to delve into all these?

Praveen DG: We are looking; it is being taken one step after one step after step. So we have taken the BRSR report as first step, our first step. After this one we are seeing, we are also seeing all the CP, I think another one is, I think, so a team is working on it and we are looking at it how we can...

Participant: So you have a sustainability team?

Praveen DG: We have an enterprise risk management team is there, which also looks into ESG related matters.

Participant: And are you also looking on that side, on yourself using more renewables and...

Praveen DG: We look at it. We tap on ...

Participant: And you have targets on that?

Praveen DG: That's why I'm saying in that report we have clearly published.

Participant: So are you going at scope two already or at this point in time it is just scope one?

Satyajeet Bolar: We have started it. I mean, for example, all our lightings and all, they try to use the latest LED. So we are at the basic.

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Participant: And final question on ESG, is the senior management or anybody from senior management's compensation linked or is part of the KRA which is eventually, to which compensation is eventually linked to, with regard to ESG, apart from business and financial targets?

Praveen DG: That way directly it is not, maybe indirectly you can't say one way or the other, because so mebody is looking at ERM as a total portfolio. It is like you have to look at what is your score in terms of because many rating agen

cies are nowa days they are

doing for ESG and other things. But indirectly the consciousness is there and we are looking but I can't say that.

Participant: Not at this point of time. Definitely not at the CEO level, right? Could you talk a little bit about your balance sheet, cash position and treasury?

Satyajeet Bolar: Yes. Presently we have around INR 150 crores in cash. As per dividend policy we pay 75% as a payout, which we did last time. I think we paid around INR 17.40 paisa as dividend for March '22. So, yes so as and when our C DP project gets over and the Board will take an appropriate stand what to do with any excess cash at that point of time.

Participant: Any investment plans apart from these products that you are talking about, will it require a meaningful investment from your side?

Satyajeet Bolar: From the product side, I don't expect it.

Participant: On the technology side?

Satyajeet Bolar: On the technology, we have anyway invested, so we will have to capitalize it once the project goes live and then amortize it and also we would need some money for the gold exchange to capitalize, if and when we get regulatory approvals to set up a gold exchange. We need some net worth for that. So we'll have to capitalize that. Also if the regulator allows us to set up a collocation we need some capital for that. And we

need some excess cash that we'd have if we are to transfer money in and out at least to transfer money into the Settlement Guarantee Fund , you need some liquidity.
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Participant: Can the gold exchange follow a similar Gift city kind of model? Because again it's a global commodity we also import a lot of gold I mean I know you can't store it in Gift city but...

Satyajeet Bolar: I agree with you but at this point of time it is still at the initial stage. So we have to get regulatory approvals and all that so it's still at the initial stage.

Participant: I think I probably know the answer already for this but , the deposit that you receive from the terminals that is generally used for , parked in the banks?

Satyajeet Bolar: Which terminal? So basically that is for the margins you are saying? The margin that we get, so that is it is collected by a clearing corporation, a wholly owned subsidiary.

And then there is an investment policy as per SEBI, where you can deploy it. So basically, you can put it in government securities or in liquid or overnight schemes of mutual funds or in bank deposits. It's kept accordingly.

Participant: Yes, well, I'm done with questions from my end. Unless there is something that is important that we haven't discussed, I'd be happy to , I think it's...

Praveen DG: You've been tracking. I don't think much to say on this.

Participant: Yes. We would really hope that someday commodities trading in India really takes off. India is a large commodity producer and consumer both.

Call: Nov 2022

MULTI COMMODITY EXCHANGE OF INDIA LTD.

EXCHANGE SQUARE, SUREN ROAD, ANDHERI (EAST), MUMBAI 400 093, INDIA. TEL: +91-22-6731 8888, FAX: +91-22-66494151, www.mcxindia.com

CIN: L51909MH2002PLC135594, info@mcxindia.com MCX/SEC/2164 November 28, 2022

The Dy. General Manager

Corporate Relations & Service Dept.

BSE Limited,

P.J. Towers, Dalal Street,

Mumbai - 400001

Scrip code: 534091, Scrip ID: MCX

Subject: Transcript of calls with Investor/Analysts

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)

Regulations, 2015 read with the SEBI (Listing Obligations and Disclosure Requirements)

(Second Amendment) Regulations, 2021, please find enclosed herewith the following transcript

of the call with investor/analysts:

Sr.

No Investor/Analysts Date Time Annexure

1. Allard Partners November 21, 2022 03:30 p.m. Annexure - A

The said transcript is also uploaded on the website of the Company at

<https://www.mcxindia.com/investor-relations/ir-meetings>

Further, we hereby confirm that no unpublished price sensitive information was shared/discussed during the said meeting.

Kindly take the same on record and acknowledge receipt.

Thanking you,

Yours faithfully,

For Multi Commodity Exchange of India Limited

Ajay Puri

Company Secretary

Encl: As above

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Meeting with Allard Partners

November 21, 2022

Disclaimer:

This transcript is provided without express or implied warranties of any kind, and should be read in conjunction with the accompanying materials published by the company. The information contained in the transcript is a textual representation of the company's event and while efforts are made to provide an accurate transcription, there may be material errors, omissions, or inaccuracies in the reporting of the substance of the event. The transcript has been edited wherever required for clarity, correctness of data or transcription error.

This document may contain "forward -looking statements" – that is, statements related to future, not past, events. In this context, forward looking statements often address our expected future business and financial performance, often contain words such as "expects", "anticipates", "intends", "plans", "believes", "seeks", "should" or "will". Forward -looking statements by their nature address matters that are, to different degrees, uncertain. These uncertainties may cause our actual results to be materially different than those expressed in our forward -looking statements. We do not undertake to update our forward -looking statements.

Annexure - A

Multi Commodity Exchange of India Limited

November 21, 2022

MANAGEMENT : MR. SATYAJEET BOLAR – CHIEF FINANCIAL OFFICER , MULTI COMMODITY EXCHANGE
MR. DG. PRAVEEN – CHIEF RISK OFFICER , MULTI COMMODITY EXCHANGE

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Participant : My name is Wayne Peters from Allard Partners. We've been investing in India for around 20 years and very pleased to be back. It's my first visit since COVID so it's good to come and visit the team and find companies like yourself.

Participant : Hi, my name is Vishal Shah, I am part of Mosaic Advisors .

Speaker 3: My name is Angus Peters ...

Speaker 4: My name is Bhavesh Shah

Satyajeet Bolar : Satyajeet Bolar , the CFO of the company. Welcome to India, to Mumbai.

Praveen DG: Praveen, Chief Risk Officer MCX .

Participant: Gentlemen, thank you very much for taking the time. Before we ask any questions, we'd be very interested to get a very brief update from yourself. Any key points that you would like to make sure that we take away from the meeting , that would be very helpful.

Praveen DG: I will speak about the last quarter and this is the latest developments that happened.

This year we have seen very good performance in case of our option contract compared to the futures, ever since the peak margin reporting has been introduced in India. It is a regulatory mechanism which is being stipulated by the regulator. So, after the implementation of that one, we have seen good growth is being witnessed in our options and marginally there is a drop that you could see in our futures contract. But all our contracts today are option and futures contract. These essentially mean at the time of expiry, if at all, in the money contracts are going to get exercised, they devolve into the underlying futures. So, there won't be any cash settlement per se. They devolve into the underlying futures and then depending upon the contract, whether it is a physically delivered contract or a cash settled futures contract, then finally it will result according to that one it will get settled . That is how the contracts are all designed.

Besides that, one recent development happened to be is Foreign Portfolio Investors have been allowed in this market. The exchange is yet to come out with the Multi Commodity Exchange of India Limited
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regulations. I can say the guidelines of the circular in relation to that one. Otherwise, the framework has been already set by the regulator.

Participant: Which one?

Praveen DG: Foreign portfolio investors. Earlier they were allowed, but they were allowed in a limited way like they are supposed to show that they were having an exposure in the Indian commodities market, only those people who have that kind of exposure, they are allowed to trade in Indian market. But those all, whatever the limitations were there, they have been removed now, it is free to all . But they started with cash settled contracts.

So today we have two contracts are there which are cash settled contract, the crude oil and the natural gas. Both are settled based on CME contracts and we take their

reference price and that will become the basis for which we finally settle the contract. So, besides these two contracts we have some indices but that fall under a different category of products, but indices are ready to pick up.

And recently the episode that happened at the LME debacle, Nickel debacle that impacted our metal contract because Nickel happened to be one of the major component in metal contract. So that impacted it. Otherwise, the other index contract, which is BullDex ... so that's the overview of the products.

Participant: ...regulatory environment ...

Praveen DG: So, regulations have to be like in our market. It is more of a progressive in nature. They don't want to happen everything in one go. Whenever they want to relax the market, it will be done in a step-by-step manner. So that is what we have witnessed even in case of mutual funds and other institutions, they have allowed in a limited speed. We have already

made some representations to our regulator on that particular aspect.

So those challenges, if they get removed, we can see that greater participation is going to happen. So, participation wise, we see that they are allowing more and more participants. That is what we have seen with the recent permission with regard to the foreign investors. Product wise still I think they have certain regulations which says Multi Commodity Exchange of India Limited
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that, in case of metals, you cannot have multi-variant contracts in metals, like you cannot have multiple contracts. You can have only a five metric ton contract or one metric ton contract, depending upon what market needs. But you cannot have multiple variants.

Before 2020, we were having both main and mini contracts, metals, so both were doing good. We were having 5 metric ton contract, 1 metric ton contract and also we were having something called odd lot treatment. So, with that facility we could be able to have the trading unit different from delivery units, but now as per the current regulation, regulation says that you cannot have a different trading unit and delivery unit, that means both should be same and you cannot have multiple variants. So we had to modify our contracts.

Then in 2019, so those were converted into compulsory delivery contracts and also we had to modify that trading units. So certain challenges we had faced in 2019. That is the reason you could also see some drop during that time. That time even our options were not doing well. Options started doing well only recently, last year, ever since like I said, after the implementation of peak fee margin reporting.

So the way we look at the regulatory is like, they relax anything in a very progressive manner, or you can say that, a very stable manner. We cannot expect that everything will come in one go. We are prepared and we are adjusting to the way they are opening up.

Participant: ...some perspective...

Praveen DG: So we cannot expect them to come in a very big way initially, because even the regulator has allowed them only in cash settled products today, that means today we have only cash settled products, that is crude oil and natural gas, which definitely are also traded in international market. It is not new only to the Indian market.

Second part is their position limits are also being curtailed to existing client level position limits and in case of certain category of foreign participation, it is only 20% of the existing client limits. So that way, the way we look at it is like they are still to allow the participants in the full scale. It may happen in a very gradual manner. So maybe Multi Commodity Exchange of India Limited
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once they get the comfort, again which ... I think after that we can see that the market ...

Praveen DG: The fall that we have witnessed in the futures is very marginal compared to the growth that you witnessed. So, the growth is substantial. I'll give you the number, like I'll give you the last quarter number, which can be year-to-date, in futures this year we have done 24,500 roughly and compared to last year it was 26,800 crores daily average daily turnover compared to the options turnover, which is 25,500 this year and last year it was 3993. You can see the phenomenal growth that you see in the

options.

So overall if you look at the exchange level turnover, you could see that turnover is significantly higher. Like we have done something around 50,000 plus crores together, both futures and options compared to last year it was about 31,000. So, significant growth. But only thing what you have to look at it is realization in options is not comparable to that of futures contract.

The turnover fee, whatever we charge is based on the premium and not on the actual turnover. That is generally called as notional turnover.

So initially the rough numbers

what we use to give is about one-third of the turnover. Like suppose if you do 3,000 crores in options it is equivalent to something about 1,000 crore in the futures. That was the comparison. It was about 33% of the contribution, roughly. Even though the turnover happened to be same then the contribution could be somewhere above 33%. But the numbers happened to be good. It was something about we could see the realization could be around 40% of the futures.

Participant: So it's an exchange looking at your model and areas to start trading?

Praveen DG: Yeah. So definitely what, now, we have, you can say that definitely we have shifted much focus on options because they're doing well. And only last year onwards we started levying the fee on options. So, for many years it was not there, but given the trend, what we could see and the progress that was made by the options, we have levied that option.

So what we plan to do is currently most of the volumes are coming in the cash settled products, both crude oil and the natural gas. But we wanted to expand it, that means

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the spread or the share of this one, we wanted to bring down relatively lesser. So what we wanted to do is, currently in case of bullion contract, contracts are all of bi-monthly contracts. We have a bi-monthly in the sense, we have a February contract, April contract and June. So that means, we don't have a contract each month. Currently we have Bi-monthly gold contract. Gold means basically the main Kg contract. Besides gold, even in silver we have bi-monthly contracts. Again, we don't have monthly contracts.

The current contracts are doing well, that means, they have decent liquidity, but they are definitely not comparable with crude oil and natural gas. But what we wanted to do is, the value of the options currently depends on various aspects like any other market, it depends upon the size of the contract and also depends upon the duration of it.

So what we plan to do is, we wanted to introduce the monthly contract, monthly, which can reduce the value of the option. So with the lesser value, we can expect that greater participation can be there in these Bullion contracts. So, we wanted to push the Bullion contract; gold as well as the silver contract.

Again interestingly, the regulator have allowed multi-variants in the Bullion contract. So, we have even today, we have three variants of silver contract. Like one is of a 30 kg, 5 kg and 1 kg contract. And in case of gold, we have 4 contracts -- 4 variants, where we have gold 1 kg, 100 grams and 8-gram contract and also a 1-gram contract. All are delivery-based contract. All are having very good liquidity, even though the majority of the volume is driven by the kg contract.

Main contracts are the primary volume drivers, but you could see decent liquidity across the contract variants. We have approached even the regulator for coming out with multiple variants in metal contract, but that is yet to be approved upon by the regulator. But we are still making our representations to the regulator.

Participant: All the contracts are deliverable, as you just mentioned all or some early financial set?

Praveen DG: All are deliverable in gold, similarly in ... technically leaving apart the crude oil and natural gas and the indices, all other contracts are delivery-based contracts.

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Participant: You mentioned the energy space, are you looking at other areas in energy space, natural gas, electricity or...

PRAVEEN DG: Definitely we are looking at electricity. We tied up with Indian Energy Exchange. Again it is a licensing type of agreement with them so that we can be able to use their Day -

Ahead prices. They trade in Day -Ahead contracts and some term

contracts. So we

have signed an agreement with them. Now the electricity regulator CERC and our regulator, they are actually discussing upon the terms of the contract, like how the contract can be there. And recently the CERC have come out with some regulation in terms of they have put a cap on the prices of the electricity.

So now they are not immediately wishing to come out and with all the regulations for the electricity contract, they are looking at it. And I think once they come out with that kind of guidelines, how the contract can be designed and all those things, I think we can be able to get the approval from SEBI. From our side, we have already applied to our regulator for approving these contracts. But once we get the approval we will be going ahead and launching it.

Participant: And given the income sharing between two exchanges?

Praveen DG: Small fraction, I can say that fee. Whatever fee we get it, we'll give them a share, percentage, we'll give it to them.

Participant: In terms of pricing, generally how involved is the SEBI in pricing? How do you think about pricing ...?

Praveen DG: Our prices have been constant for a very long time. Currently it is like we have a two slab transaction fee structure wherein the first slab is up to INR 350 crores. It is INR 260 per crore. And anything over and above that INR 350 crores, it is INR 175 per crore. That is our two way slab system in case of futures. And we have a similar slab structure in options also which is between INR 50 and INR 40. That is like an incremental slab system. Like everybody will be charged at INR 260 as long as the turnover is INR 350 crores. Beyond that one, for the incremental turnover, they will be charged at INR 175 per crore turnover.

Participant: Is this based on the per contract basis?

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Praveen DG: No. It is, for a member, we look at the member -- and we look all the contracts together. We won't differentiate contract -to-contract, together in the futures contract, how much volume they have done and for all the contracts, technically, in that sense it is same. That means the fee structure remains the same.

Participant: And is the pricing a key determinant ... on the exchange, do you think or is that relatively inelastic as far as price are?

Praveen DG: Today, definitely it is not giving any benefit to the competitors because we've been charging while the competitors are not charging any fee. But still we have the 96% of market share is with us. So, in a way you can say that it is definitely not going to impact. That means given the transaction fee you have it whether it is options or futures, we are not seeing any volumes going away to any other exchange.

Secondly, whether what is the scope of increase or decrease in this one. And currently we are not looking for any change in our transaction fee. We are focused, more focused on improving our options turnover further because we wanted to capitalize on the growth. That what we have seen in the options turnover. We are more interested in participants to get added to the system and the products added to the system. That is what our primary key focus is.

Participant: ... And you mentioned the ... insight, I noticed that the number of active clients have gone from ... why has there been that sudden growth? Could you give us a line of sight participants, entire participants 9 million?

Praveen DG: Currently the number that we are giving UCC registration. So you may have a number of registered UCC across the exchange, but what you have to look at is the traded UCC rather than registered UCC, because many people could have registered. So I'll give you the reason for it. Because today, ever since we came under the regulator SEBI, because prior to that one, we were under Forward Market Commission. But now we are under the SEBI regulation

ns, under this one there is like integration has happened between the market intermediaries. That means today there is no need to have two or different entities need to be there for trading in the commodities and equities. One entity can serve the clients in multiple segments.

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So once we have migrated from that one to this kind of regulatory framework, we could see that as and when any client gets registered, and that means with any broker, they will ask him, like, what are the segments you are interested and they will reach him across all the segments but it depends upon the client -to-client whether he would like to trade in one segment or not. Some of them are asset neutral, that means wherever they feel, wherever they get the returns, they would like to trade in. Some are maybe the people who are more known to commodity markets, they will just focus on margins.

I'll give the number so that you will get the number. So when you're looking at the active or registered UCC, if you look at the traded UCC, year -to-date in our market is INR 3.74 lakh. Okay. Compared to last year it was INR 3.13 lakh. This is year -to-date number. If you want to have some number for the previous year FY '21, FY '22, it was INR 4.7 lakh. That is how the traded UCC what is mentioned looks like.

Participant: And those individual clients, are they registered in your right or they registered through a clearing broker, also trading their behalf?

Praveen DG: So anybody wanted to trade on the exchange, they have to get routed through the members.

Participant: Must be routed through members which is, how many members are they, sir?

Praveen DG: We have around 580 members out there. Out of them, we can say that 450-500 should be very active members.

Participant: Sir, there is 9 million clients, they must trade through the 580 members. How does that then through to settlement? Is it a member that's responsible for the settlement?

And if there's a trade default, a guaranteed system for the plan? Do you have a separate fund set aside, any contingency in that regard? Any asset on the exchange or so?

Praveen DG: ... I think the corpus would be around more than INR 560 crores. But that is only used for in case of any member defaults and that kind of emergency...

Participant: Is the member responsible for doing a KYC of client not exchange doesn't do that?

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Praveen DG: No. It is a member who is responsible.

Praveen DG: So, currently we are working on like mocks are happening for our new trading platform. We are also planning to soon start the parallel runs. Like both it happens on both the system, that kind of mechanism that also we want to get it and after that one there will be migration. So what we are planning to do is we wanted to get it migrated by end of December. That is our plan.

Participant: ...Is it a fixed fee?

Praveen DG: Yes, because it's like terms have already been agreed upon.

Participant: Was it the earlier contract?

Praveen DG: Earlier was there is a...

Participant: ... competitor

Praveen DG: Currently they don't have any market. We cannot expect that the members will immediately get shifted and they will be taking away the market. So that we do not see any competition threat immediately.

Participant: Given your dominance of 90% in the market, I suppose I'm asking myself why do these other exchanges exist? Some would seem to be very passive. How do you think about that environment going forward?

Praveen DG: Everybody has a strength. Like if you look at our competitors, they are into equity, currency, derivatives market. Some are into some other like mutual trading platform. So everybody specialized in their own area. And once you create a market and you have the liquidity,

liquidity will create liquidity, then you cannot expect that liquidity will split between two markets. Whenever you create the liquidity after that one, it is very difficult for somebody else to take away the market.

Participant: Let's come back to your collaboration with IEX on electricity ... options and futures, that can be both financially settled? Can it also be physically settled for electricity?

Praveen DG: Currently they have not come out with the guidelines, but they have created a joint committee. CERC and SEBI, they created a joint committee. They have to come out

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with some guidelines in related to the electricity derivatives. How they should be, how can they be settled? I think once they come out with all these regulations , then we can go and we can get it.

Participant: In terms of collaboration, have you liaised with overseas exchanges and how benchmark yourself in terms of expenses, fees, technology, how do you collaborate?

Praveen DG: We have several strategic alliances and besides that, some licensing agreements are there. Earlier we used it to have even licensing agreement with London Metal Exchange. Today, still we have a licensing agreement with Chicago Mercantile Exchange. Besides this licensing agreement, we also have what do you say, knowledge sharing agreements with several exchanges like Dalian , Zhengzhou then you have Thailand Futures Exchange, then London Metal Exchange. So we have several such agreements and we are also a member of IOSCO.

Praveen DG: ... We have signed a consultancy agreement with the Chittagong Stock Exchange wherein we will be providing the consultancy services to the BSE . So they wanted to set up a commodity derivative exchange in Bangladesh, still the project is going on. We are open to that one. We have to see that how many such opportunities do exist. But currently we are not providing any technology services to anyone . We are more interested in providing the consultancy services whatever knowledge we have gained over the years those things we wanted to share with other exchanges, we can happy to sign that kind of consultancy agreement.

Participant: ... overall market ...

Praveen DG: If you take the case of gold today, whether large or small they're not allowed to trade in overseas market. They have to necessarily have to trade in domestic market. Because RBI has come up with certain regulations. So today you find name any entity, you will find them on the MCX, they are completely hedging on MCX. In case of metals and other commodities. Our regulator has come out with some LODR regulations on all the listing. So any listed company, if they have any exposure in the commodity, they are supposed to make such a disclosure to the market. Saying what kind of commodity risk they have.

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Where are they hedging and obvious quantum of risk, certain things, all those things they are supposed to make in disclosure. But they don't have any mandatory clause that compel them to trade in only domestic exchanges. But even today if you look at it, open interest, our open interest - 20% to 30% are from hedgers . So that way, it is like our hedgers participation in domestic market is far better than the participation in global market.

Participant: ... They trade 24 hours a day?

Praveen DG: So, current regulations allow us to trade till 11:30, 11:55, depending upon the US day light saving. From 9:00 to 11:55, so roughly around 15 hours.

Praveen DG: So today most of the liquidity what we see is in the late evening. And we are present in the late evening, because after 5 o'clock, we see a lot of activity happening in the global exchanges, which coincides with our market hours. So this evening hours between 5 o'clock to 11:55, very much

coincides with the US markets. But, if you see the potential , definitely we will approach our regulator for any increase in the trading hours.

Praveen DG: Stable growth we can say, I don't see very big growth that can happen in this space because global market, they can sell any data. But here our regulations are very tight. We will not be able to sell that kind of...

Satyajeet Bolar : ...India is going to be a price setter ...

Participant: What are the other major

Satyajeet Bolar : Yes. so data is part of our operating income ...

Participant: Sorry?

Satyajeet Bolar : Collocation

Participant: Collocation.

Satyajeet Bolar : Then we have to invest in them. Now we have not want any clarity on that but we need some money for collocation. So we have been set up some subsidiary company within SEBI's ...

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Participant: So, what do you mean by collocation?

Satyajeet Bolar : Collocation is SEBI has announced that equity market, the members to setup the servers very closely, exchange server. So if you see the NSE model, we are not ... on collocation. And then they charge the members each for that providing the service to them ...

Speaker 4: Sir, on the technology side

Satyajeet Bolar : We can use the platform as long as ...one plus five years.

Speaker 4: And what happens after one plus five, I mean...

Satyajeet Bolar : Yes, obviously we like to use it ...

Speaker 4: I'm just trying to understand that the scenario, one plus five or whatever reason, I mean is there a risk of being in a situation where we are today compared to after one plus five years, do you foresee our contracts ... that should not be the worry?

Participant: I suppose the other way to say, why don't we own some, why we rely with ... outside party and developing software on our behalf why we are not earning?

Satyajeet Bolar :Its being worked out ...

Participant: So does that mean TCS is free to sell that software...

Satyajeet Bolar : That's our priority, after taking ...

Participant: Well, thank you, friends, is there anything else you would like to talk about? Can you just talk about staff a little bit, you have much turnover in seeing ...

Satyajeet Bolar: We've had not on the recent ...

Participant: Do we have an active staff training program? Do we send our staff overseas at all to other exchanges to learn?

Praveen DG: We do.

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Participant: And finally, could you confirm that we've not discussed any material non-public information today, please?

Praveen DG: We have not disclosed any.

Participant: Thank you, very much.

Call: Nov 2022

MULTI COMMODITY EXCHANGE OF INDIA LTD.

EXCHANGE SQUARE, SUREN ROAD, ANDHERI (EAST), MUMBAI 400 093, INDIA. TEL: +91-22-6731 8888, FAX: +91-22-66494151, www.mcxindia.com

CIN: L51909MH2002PLC135594, info@mcxindia.com MCX/SEC/2162 November 23, 2022

The Dy. General Manager

Corporate Relations & Service Dept.

BSE Limited,

P.J. Towers, Dalal Street,

Mumbai - 400001

Scrip code: 534091, Scrip ID: MCX

Subject: Transcript of calls with Investor/Analysts

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Regulations, 2015 read with the SEBI (Listing Obligations and Disclosure Requirements)

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Sr.

No Investor/Analysts Date Time Annexure

1. Schrodgers IM November 16, 2022 04:00 p.m. Annexure - A

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Thanking you,

Yours faithfully,

For Multi Commodity Exchange of India Limited

Ajay Puri

Company Secretary

Encl: As above

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Meeting with Schrodgers

November 16, 2022

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MANAGEMENT : MR. SATYAJEET BOLAR – CHIEF FINANCIAL OFFICER , MULTI COMMODITY EXCHANGE

MR. DG. PRAVEEN – CHIEF RISK OFFICER , MULTI COMMODITY EXCHANGE

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Participant: India outlook looks good structurally . I know we're still very early on the whole commodity exchange road front , I guess last couple of years you did have some regulatory headwinds in a sense, yes.

PRAVEEN DG: Peak margin and also in metals we have converted the contract into compulsory delivery contracts.

Participant: Compulsory delivery? That's okay, right? Delivery, yeah okay so that's sort of not killed off, it stabilized the future's volume. Is there any hope that this will because it's still kind of like trickling down or is there any hope that this will

start rising again?

PRAVEEN DG: See the current trend it is towards option, but if margins comes down even today in crude oil the margins are about 31% and when you go near to the expiry because of the introduction of the pre -expiry margin it can go to even 55% in total. Okay. Even energy, other energy contract natural gas. There are also the margins are very significant it is around more than 35% or something. So if that kind of margins comes down, that is one.

Second in gold also, there is a certain amount of margin is being levied just to take ourselves to bring down the SGF level. It is like a Settlement Guarantee Fund, okay. Because if you are not increasing the margin, then it is like the stress test numbers can give a higher number and you are supposed to infuse the capital as the Settlement Guarantee Fund and you cannot take it back. So whatever is being induced then you cannot take it. So while we have made the representation to the SEBI to reconsider it and not only we it is a group of all the exchanges and clearing corporations they made the representation to the SEBI.

SEBI would be taking it up to their risk management committee and the matter will be deliberated, if that kind of some concession is given by the regulator in types of way it has to be like as and when it is needed we are ready to infuse it, provided it allows us to take it out.

Participant: So what's being discussed at SEBI is, this SGF?

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PRAVEEN DG: SGF, Settlement Guarantee Fund.

Participant: Okay, so that is in discussion, not the fact that the margin itself can be adjusted.

PRAVEEN DG: So if I'm not increasing the margin, what happens means the stress numbers can show higher things, so I need to bring in.

Participant: Okay, so I understand. So what do you I mean, who knows what study will say? But I guess if they are serious about MCX for commodity exchanges, surely they should consider, right?

PRAVEEN DG: Yes, see they are fostered that way. It is like I think some amount of discussion already happened but we have to see that because till the final things comes out you don't know how the things will pan out to be. But the margins happen to be quite significant compared to the global market, if you take CME or you take any other market where the same product crude oil or natural gas won't attract this kind of high incidence of margins. So when this comes down, we feel that could be again, some people can start again looking at the future's contract.

Participant: Why is it that India has such high margins?

PRAVEEN DG: Because of see, in India especially, the regulatory structure is designed such that for Settlement Guarantee Fund, you have to look back for a period of 15 years history. Okay. So any unprecedented event can continue to be it won't be behind you, it will continue to be following you. Because – that's what, a negative, and that because of that like a crude oil went negative. Then recently, even the nickel, so there in the global markets, they were all back to normal. But here it is like because in the stress test you have to anyway have to look back for a period of 15 years and that will become part of it.

Participant

t: Is there any chance that that 15 years can be shortened to global like whatever, I don't know what the CME looks at history wise?

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PRAVEEN DG: They have -- CME omitted this particular incident considering, say, rarest event kind of thing and they completely taken it out. But SEBI is -- no, they are not considered, they don't have ... so they made some aspects like they said that at least some technically it is ... they say that score should be to some extent so that gives some leeway, but it is not totally giving us a complete freedom to eliminate that kind of events which are linked or associated to the black swan events.

Participant: So I guess futures, do you think that at least on the future side, we've reached the bottom or not?

PRAVEEN DG: So currently the way, because we currently don't foresee any major regulatory thing coming up. But even the peak margin reporting came as a

surprise to all of us. In fact, it impacted the entire market. So it's very difficult to confidently say that, but yes, given the current scenario, another thing, whatever is there, at least in the discussions, at least we are through with that kind of very tough times. But we are more focusing on options now because that is where we are seeing that there is immense growth opportunities.

Participant: And I guess globally as well, options are much bigger markets than futures.

PRAVEEN DG: Actually, if you see the global markets, commodity options contribute only 20% of the futures.

Participant: Really?

PRAVEEN DG: But in India, even in equity, the biggest product happened to be the index options, 75% to 80% is contributed by the index options. But the reason why the kind of anomaly between the international markets and Indian market, this could be because of the transaction tax that is there in Indian market where it is very significantly high in the futures compared to the option. Because in options it is based on the premium, not based on the turnover.

Participant: So CTT is based on based on?

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PRAVEEN DG: It is based on premium. It is same across you call it Commodity Transaction Tax in commodity derivatives market, in equity market it is called as Security Transaction Tax. But the rates are same. Okay. It's no difference between the two. It is like INR 10 per lakh, on sell side is the transaction tax.

Participant: So that actually I just noticed. So I thought that CTT was much higher than equity. So they were looking at...

PRAVEEN DG: No, it is same. But the commodity globally CTT is not being levied anywhere except I think in Taiwan or something. But even the percentage happened to be very minuscule. It's not significantly higher because commodity derivatives are considered to be meant for hedgers unlike in equity market. So the quantum of the tax even may be same but it could be act as a very heavy deterrent in case of commodity derivatives market compared to equity market. But there it can be one side story, it can keep going up and that kind of but these commodities have cyclical in nature. Sometimes you won't find that kind of volatility in the commodities also.

Participant: So I guess because to be a globally competitive exchange in the market space, this will be difficult. This will be a bit of a deterrence to identify?

PRAVEEN DG: Yes, definitely. Not only the transaction tax, we also have stamp duty, which is again a significant amount. Besides the stamp duty, we also have GST. Okay, so trading cost is quite high compared to the international markets.

Participant: Okay. From an Indian standpoint, I guess you're right. Options have done phenomenally well. The last few, like one and a half years at least we started charging for it in October 21. Okay, so it's looking great. So where do we go

from here on the option, right?

PRAVEEN DG: So options, so our objective is today most of the volumes are coming from energy products. Earlier it was only the crude oil, but now even the options are doing pretty well, in case of natural gas also, both are happened to be -- the underlying product happened to be a cash-settled product. But besides

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these two, we wanted to increase the trading interest in other, maybe later we wanted to push for even the metal options and other things.

So in bullion, the challenge happened to be that they are all bimonthly options, especially the gold. Kg happened to be a bimonthly contract and options are also bimonthly tenure. So because of that one the premiums are higher. Because in options the value of options depends on the tenure. So that is one actually. So we thought that if we can able to bring down that kind of premium amount, definitely it can attract more market participants. So now they are doing well. Gold is doing well; silver also is doing well. But we wanted to come out with the monthly options in both gold and silver. So underlying will be the same bimonthly futures. But you will have two contracts devolving into the same underlying contract.

Participant: Bimonthly means two months or...

PRAVEEN DG: Bimonthly in the sense it is like we have a February contract, then we have an April contract.

Participant: Oh! Every two months. Bimonthly it means.

PRAVEEN DG: You don't have in between. Every two months we have a contract. So we plan to launch a January contract. February, March, everything that means we want to fill the gaps with the options. Future, we don't want to make any change. But in options we wanted to bring in that new series, monthly series where it can fill the gaps and which can able to bring down the premiums down that can attract more market participants.

Participant: When you plan to do this?

PRAVEEN DG: So we actually got approval for our gold monthly option s. But since our technology transition is ongoing, we wanted to all take it up post our technology migration.

Participant: Okay. Tech migration. So 63 moons have extended the period until when?

PRAVEEN DG: Until December.

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Participant: Okay. And then hopefully is it TCS ... So that will be ready.

PRAVEEN DG: So our plan is to go live by end of December. We already started mock s, soon we would be starting the parallel runs also.

Participant: Parallel, okay. And then fingers cross, everything goes well, say bye to 63 moons. And then I keep forgetting. So what's the differential in cost than...

SATYAJEET BOLAR : You see it's more it's variable versus fixed run variable. Here, 63 moons, it is actually you have a fixed component as well as a variable component. But when it comes to the TCS, you have only the fixed component, the fixed AMC, annual maintenance charges.

Participant: Oh! Right, okay. Which is quite low. Is the fixed component lower than the fixed component, you pay the 63 moon or not really?

PRAVEEN DG: Yes, we are paying 63 Moons , fixed and variable fees.

SATYAJEET BOLAR: But I think we should also keep in mind that along with the TCS platform, the ecosystem is also being built up. Like the servers, the network, switches, application software, so there would be those costs you have to pay those AMC on the ecosystem of it. Not only the TCS platform AMC, the AMC for the ecosystem also will come.

Participant: Come down.

SATYAJEET BOLAR: Will come in.

Participant: Oh! Come in.

PRAVEEN DG: We are not seeing any major difference if volumes happen to be at the same level. And we also have to do that depreciation or what, amortization, whatever. Given all those things, unless your volumes go up significantly, there will not be any significant di

fference that it can able to bring in, but other elements also we have to look at. But in the long run, yes, in the long run...

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SATYAJEET BOLAR: More products that we launched, the more volumes and futures and options, definitely it would be beneficial.

Participant: Yes, if you have the variable. Okay, that makes sense. I think we touched a little bit about regulations as well. So on the options front, is there anything that could happen like what happened with futures can set me come in and say, hang on, no, this is too risky, I don't want any of this.

PRAVEEN DG: Our volumes are quite miniscule compared to the equity markets. It's a small fraction. I don't see that kind of because overall our market itself is very significant and structure wise it is more or less same products. The only difference happened to be like it is an option on futures compared to option on directly on maybe the spot or on the goods in the equity and currency .

Participant: Okay. Any other favorable regulatory changes apart from what you told me about the SGF?

PRAVEEN DG: SGF is one thing that really we are looking at. Besides that, if anything comes for GST related thing, we have multiple delivery centers, which we have been doing, but things have not come because it's not only a central government where is the state governments are also involved , framework and taxes. But if anything comes out in that nature, definitely I think that will be a big boon for the commodity market.

Participant: Yes, because you have multiple delivery centers, yes.

PRAVEEN DG: The buyers require registration in all the centers, so that is the license, compliance mandate...

Participant: Buyers register everywhere. Okay, so you're hoping for a kind of...

PRAVEEN DG: If they can be offer that Pan -India level....

SATYAJEET BOLAR: There's only one IGST, so that is at pan -India level. If t here is only one GST.

We don't have to then get registered at each state or province.

Participant: And is something in that towards...

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SATYAJEET BOLAR: We have represented to the central government, Ministry of Finance, but I mean, it will take time to...

PRAVEEN DG: Have been following up.

Participant: Okay, when did you actually suggest this?

SATYAJEET BOLAR: More than a year, but these are politically sensitive because.

Participant: Okay. So, on the new part, I mean, you mentioned the monthly.

PRAVEEN DG: Monthly we are looking for even index options; we are looking for monthly options.

Participant: Okay. M onthly, gold will probably come short after I guess next calendar year, after you implement TCS, then you're going to launch the monthly gold, index option, or if this over index options, do you have approval for that or do you need both? No?

PRAVEEN DG: Regulator has come out with the guidelines. It is we have to propose and we have to get approval.

Participant: Okay, so how long normally would you expect for approval process?

PRAVEEN DG: It depends on case -to-case. Unless if they have any particular concern of anything, they m ay take time, otherwise maybe 3 to 9 months to get the approval.

Participant: So about six months.

PRAVEEN DG: Like I said, it's very difficult to say. But some products we have, like electricity, you know, that we are after, but because of some other reasons, we could not able to get approval, so, we have applied it. But in some cases you can get the approvals ver y quickly i f there are no issues, concerns related to that, immediately you can get it. So we are hopeful that we can able to get it approved soon.

Participant: How long did it take you to get the monthly gold approval?

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PRAVEEN DG: I don't know the start da

te, but roughly I think maybe six months time o r something less than a year.

Participant: Less than a year. I'm just trying to for my own model.

PRAVEEN DG: See, once you get monthly contract now getting another monthly contract, I don't think already precedents have been set, so it won't take much time.

Participant: So this index option, you'll see a monthly as well?

PRAVEEN DG: We are looking for weekly and monthly, we are all looking for that.

Participant: Okay. Weekly and monthly.

PRAVEEN DG: But since it is new, maybe they may be thoroughly examine d it before giving any approvals.

Participant: Okay. And they gives, when you apply for this, do you apply for both weekly, monthly at the same time for index option or do you apply for monthly first and then wait, if you get that you apply for weekly?

PRAVEEN DG: When we apply, we apply for both. We already have monthly futures. It's all about like I ha ve to bring that synchronization between the futures and options. B oth should have the weekly and monthly kind of series.

Participant: I'm sorry, stupid questions, right now, I know, but I'm only an equity person.

Because you mentioned before, this all you had the bi weekly thing and then you had to apply for the bi monthly thing and you apply for the monthly ... I thought maybe it would be different and important to know Okay, so you can't gauge the future, obviously. But judging from the growth that you've seen in over the last six months to a year, do you think that kind of level of growth in options is that sustainable for the short term?

SATYAJEET BOLAR: I think we started with a low base, isn't it?

Participant: Yeah.

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SATYAJEET BOLAR: It will be interesting to see how it takes even when we close September premium of around 800 growth.

PRAVEEN DG: See, potentially is good, no doubt about it. We have good potential because given the equity market and other things and even we could see that participation adding it's not only the volume, we are also seeing the participants getting added into the futures options contracts. So given that one there is definitely great potential. Only we have to look for enhancing the pie so that more people can start looking at it. Indians are pretty familiar with that product because in equities also it is very popular. So it's not something a strange animal coming in here, it is a well-known product.

Participant: Okay, so you've mentioned new participants who are the prospect.

PRAVEEN DG: New participants now see new participants. One interesting development that happened is now foreign portfolio investors are allowed now they are yet to make an entry. But it is a new development and we are expecting that maybe once we also come out with necessary circulars, I think we can see their participation in the next year. Okay. The current participation is we see very good diversification between. There are ALGO players, then we have the retail, prop clients. So different category of participants are trading in options and especially the options throws like multiple strategies for any trader. So it should definitely require some people who continue to write. But on the other side, given kind of peak margin reporting and all those things, some set of market participants may only prefer to buy the options, some may prefer to only some can really be happy to write the options because you require to maintain that kind of margins to write the options. Unlike buyers, you only pay once a premium and then you are shut. You do not have to be active on that one. So the raise or fall in the margins will not impact you.

Participant: I see.

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PRAVEEN DG: But for writer it is there. That is where we see that when options grow it, being our products, being o

ption and futures both should complement each other. That is how we look at.

Participant: What about trusting mutual funds?

PRAVEEN DG: They are already there, but their participation is still not so high. It should be around 2% to 3%. See the currently it is like the regulations are still not given a complete what is it, rolled out completely. So it is like they want to do it in a phase manner. So even recently the Silver ETF also come. There are also certain conditions that the underlying should be exactly 30 kg bar and one more institution. Institutions cannot hold the metal for more than 30 days compared to the gold where which can be hold. You can hold it for a period of 180 days. So these are certain things which really may not be encouraging for those people to come in full-fledge and do it. So we are seeing some three or four participants active on this commodity side.

Participant: And then on the ... regulations will you be listed?

PRAVEEN DG: And even we are constantly engaging, with AMFI, which is association for Mutual Funds. And they're also planning to come out with a separate committee for commodities which can collate or which can deliberate or various issues related to the commodity and then they can pick it up with regulator.

SATYAJEET BOLAR: We have around four mutual fund which has started.

Participant: Okay, so I guess that will slowly roll out ... orders will slowly start participating next year and your check will be resolved soon. So I guess very short term for this particular quarter you will see double check fees. Sorry.

SATYAJEET BOLAR: Yeah, it would be for quarter ended in December. Yes, it would be high.

Participant: But I think everyone knows that already. Okay, so what are you most worried about right now, what should be...

PRAVEEN DG: Our focus is primarily tech migration.

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Participant: Right. Okay, so that's your execution.

PRAVEEN DG: Yes, that's key for us.

Participant: I guess it's a huge deal if you're changing vendors on everything you're for tech, which is the first time ever, I guess you guys are there any sort of contingency plans if something doesn't go right by end of December? Any way you can mitigate this risk?

PRAVEEN DG: It is too hypothetical to really look at this hour right now. We are positive. Let's see.

Participant: I am sure your risk Management committee is looking at it right now. Okay, what else? What else should we talk about?

PRAVEEN DG: I think broadly you have covered mostly key issues have been covered.

Participant: Is it in dividend policy today?

SATYAJEET BOLAR: Is it 75%? 75% of the year, which is probably.

Participant: One of the highest in the year. 75%. Wait, is it 75% of par value? No.

SATYAJEET BOLAR: 75% of what are we earn.

Participant: It's a net profit.

SATYAJEET BOLAR: Okay.

Participant: Yeah. It's probably a little high. And you still have cash? Are you net cash still?

After this texting, what a few plans?

SATYAJEET BOLAR: Few plans. One is a colocation if SEBI allows us to come in with colocation, while we're not sure of the amount that we need. That is one, and yet to set up other exchanges. So we need to capitalize those entities to meet the network requirements, so we need cash and over time. Then the board will take a call at an appropriate time what to do with any exit itself.

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Participant: Colocation is allowed for equity is not at all okay. So yes, if they do allow it, where's the next is it Gift City then.

SATYAJEET BOLAR: We have space in Gift City.

Participant: When there's no thing, how long have they been delivered on this colocation issue? Yeah.

PRAVEEN DG: A very long time. But when we were under the Forward Market Commission that time only it was not allowed co

location. So that has been continued and

SEBI also not considered it and given some issues, all those issues, equity market still that immediately would be looking for any colocation. But you have apart from colocation, like you said, we also look for some spot platforms like Coal, EGR is another thing which regulator has allowed recently Gold Spot Exchange. So that is another thing. And also you also would be knowing that Gift City, International Bullion Exchange started commercial operations.

Participant: Okay.

PRAVEEN DG: We are also share holders .

Participant: So you can hold minority stakes.

PRAVEEN DG: Equal stake across five entities .

Participant: Okay, so these are apart from collocation. That could be a cash. It could be a significant cash.

SATYAJEET BOLAR: Even if we have to ... even if you have to transfer money and stuff, so you need some liquidity.

Participant: I see that. Okay. And on the competition I guess no one talks about it anymore ...

SATYAJEET BOLAR: Not even worth considering now because liquidity drives liquidity.

Participant: Anything I feel that completely...

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PRAVEEN DG: We have no idea, what is, it is...

SATYAJEET BOLAR: We just read it in the public domain.

Participant: Okay, that is it. Anything else that I should know.

PRAVEEN DG: We met before also, I am not able to recollect.

Call: Nov 2022

MULTI COMMODITY EXCHANGE OF INDIA LTD.

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CIN: L51909MH2002PLC135594, info@mcxindia.com MCX/SEC/2161 November 22, 2022

The Dy. General Manager

Corporate Relations & Service Dept.

BSE Limited,

P.J. Towers, Dalal Street,

Mumbai - 400001

Scrip code: 534091, Scrip ID: MCX

Subject: Transcript of calls with Investor/Analysts

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 read with the SEBI (Listing Obligations and Disclosure Requirements) (Second Amendment) Regulations, 2021, please find enclosed herewith the following transcript of the call with investor/analysts:

Sr.

No Investor/Analysts Date Time Annexure

1. Mawer Investment Management November 15, 2022 10:30 a.m. Annexure - A

The said transcript is also uploaded on the website of the Company at <https://www.mcxindia.com/investor-relations/ir-meetings>

Further, we hereby confirm that no unpublished price sensitive information was shared/discussed during the said meeting.

Kindly take the same on record and acknowledge receipt.

Thanking you,

Yours faithfully,

For Multi Commodity Exchange of India Limited

Ajay Puri

Company Secretary

Encl: As above

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Meeting with Mawer Investment Management

November 15, 2022

Disclaimer:

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This document may contain "forward-looking statements" – that is, statements related to future, not past, events. In this context, forward looking statements often address our expected future business and financial performance, often contain words such as "expects", "anticipates", "intends", "plans", "believes", "seeks", "should" or "will". Forward-looking statements by their nature address matters that are, to different degrees, uncertain. These uncertainties may cause our actual results to be materially different than those expressed in our forward-looking statements. We do not undertake to update our forward-looking statements.

Annexure - A

Multi Commodity Exchange of India Limited

November 15, 2022

MANAGEMENT : MR. SATYAJEET BOLAR – CHIEF FINANCIAL OFFICER , MULTI COMMODITY EXCHANGE

MR. DG. PRAVEEN – CHIEF RISK OFFICER , MULTI COMMODITY EXCHANGE

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Praveen DG : So, I think you have been monitoring our company, right, quite a lot.

Participant : So I think Prakar, would unless Prakar would be – Prakar and Bhaskaran.

PRAVEEN DG: Okay, I met them. Okay, so now it is like gap maybe or after some time you are looking at it.

SATYAJEET BOLAR: So just to give you some backgrounds, we've got Ben, who's from our investments team , he's meeting a bunch of companies. And as part of that, it comes down to me.

PRAVEEN DG: So, is it like we have to start from beginning , since already you know it, why can't you just ...

SATYAJEET BOLAR: Yes, there is some background on MCX. He's familiar with and generally in terms of fund background as well, about 50 billion in AUM in emerging market and international strategies. And typically they invest from a 7, 10-year kind of time frame, that's a typical...

SATYAJIT BOLAR: You're saying the long -term investor, so then he clarified also that 7 to 10 years.

PRAVEEN DG: Definition of long -term. Very good, anyways.

PARTICIPANT: I think would be helpful if we just get into Q -and-A, maybe the first one on, just maybe discuss about the ownership transitions. I know you guys were distant in 2012, maybe the ownership transition since then, what changed?

Yes, just a bit for background.

PRAVEEN DG: So transition per se happened a very long time back. Now it is history basically.

Now it is totally independent. The board is totally independent and we have some PIDs . Some are shareholding directors, then we have MD & CEO and 50% is more is PIDs. That means Public Independent Directors basically. Okay.

It is like SEBI have to approve appointment of any public interest directors , while we can recommend some people, but ultimately it is a regulator who

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will decide whether they would like to appoint whatever - one has a director or not.

So, recently the chairman also has been approved by our regulator SEBI. While 15% still is with Kotak. Kotak is major leading shareholder, otherwise it is shareholding is widely distributed among institutions, banks, then you have other market participants.

PARTICIPANT: And how involved is Kotak in the business of MCX.

PRAVEEN DG: Other than that. But they had in the Board. So if at all, any decision has to be taken, like it is one among them.

PARTICIPANT: And just curious on the market, the industry as a whole, what percentage is exchange traded versus OTC or everything is just on the exchange?

PRAVEEN DG: Currently in India, on the exchanges, SEBI regulated exchanges, only exchange traded products are traded, not the OTC. So unlike if you take any global exchanges where you find OTC products also getting traded and it's cleared by the Clearing Corporation, but in India the products are traded on the exchange platform and getting cleared by their respective subsidiaries, Clearing Corporation subsidiaries. So there are no OTC products per se that are getting traded on the exchanges.

PARTICIPANT: And that's to say that there's no OTC products also on the market?

PRAVEEN DG: Yes, but if you limit yourself to commodities then I think very limited at least maybe one-to-one tailor made would be happening, but at least it is not getting traded on any particular platform, per se. That kind of platforms are not there, OTC traded platforms.

PARTICIPANT: Right. And just curious, how much are these one-to-one kind of direct OTC trades, if I were to classify that way, how much kind of annual values you ...

PRAVEEN DG: You are saying size of the... yes. So size is very difficult to say because it is not traded on any exchange. So we don't have the numbers. But some of the recent developments happened to be like the RBI, our central bank said that Multi C

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the gold, whoever wanted to hedge, they cannot go overseas and do it. They have to trade in the they can hedge only in the domestic exchanges in case of gold. In case of other products, SEBI has come out with some LODR regulations, they have amended it wherein listed companies are supposed to make certain disclosures with respect to the commodity price risk. Okay, so given the commodity, what kind of exposure they have it, are they hedging or how are they trying to protect themselves against the price movements in the commodities? So these are part of LODR. The listed companies are supposed to make disclosures to the market.

So it is just to create more awareness to the shareholders as well as to the company how sensitive they have to be there towards the commodity price risk. But unlike gold, there is no mandatory thing that says that you ought to necessarily have to hedge on domestic exchanges. So many of the Indian companies like metals and other people, they main players, bigger ones, they do hedge in international markets. But when it comes to small and medium players, marginal dealers, or if you see the rest of the value chain participants, they come and trade on the domestic exchanges because for them trading on an international platform is very difficult.

One, the size of the contracts are very big. If you take even the London Metal exchange, the size of a copper contract is 25 metric ton, aluminum again 25 metric ton. Where in Indian market it is the size is pretty low in aluminum we have about five metrics ton contract, then zinc again five metrics ton and copper we have 2.5 metrics ton contracts. So relatively they are smaller and somebody can, without necessarily getting into the exchange rate risk and all those things, they can easily they can able to hedge in domestic market.

PARTICIPANT: And what percentage of revenue would be contributions from these small medium sized payers versus large?

PRAVEEN DG: See, generally the trend this is going to be the general trend across the world it is the day traders and other people who trade on a wide scale basis compared to the real hedge rs because hedge rs take a position and carry on that position for a longer period of time. But when it comes to the algo players

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or some people who speculate us, the time they take or the horizon, period for which they want to speculate is going to be smaller. So they very often enter, exit and other things. So if you look at the volume pot, roughly around 40% to 50% is from the algo trading. So rest of them are ... but when it comes to the open interest, you can see that 20% to 30% nowadays, you can see that it is going to be contributed by the hedge rs. So there are in some commodity the hedge rs contribution is more than 30%.

PARTICIPANT: So you mentioned from foreign perspective, 40 -50% is over trading and your remaining is hedge rs.

PRAVEEN DG: No, it's not. See we don't have the complete pie who are the contributors.

Roughly, I'll give you the picture. Like the way we give the breakup is even if you look our investor presentation, we give how much the clientele participation, this is one category. Another is algo or non-algo, okay. And hedge rs like I said, their contribution won't be significant. It is like the trading volume wise their contribution won't be significant. But as a percentage to the open interest, their contribution is significant because of the nature of trading, because they want to take a position, hold it on for a longer period of time. That is how they want to hedge their position.

PARTICIPANT: And in terms of a customer profile, like SMEs, smaller companies or smaller participants, so they make up most of the revenues of the company. Is that kind of the

arger guys they would just go directly to?

PRAVEEN DG: Unless see, a speculator will not be able to go and trade in the overseas market because our regulations won't ..., as an individual, for example, I cannot go and trade in an international market because I can only permit to invest, but I will not be able to trade in derivative products. So that way for the Indian market participants, it is a domestic market, that is a venue where they can able to whatever kind of trades they would like to do, they can able to do that.

Only select people who have the access to the international markets. Then only they would like to go and trade in the international market. So I think Multi Commodity Exchange of India Limited

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even if in the metals, when I'm talking about the hedges who are trading in overseas market, there are very limited participants who are trading in overseas market because in all this market it is dominated by only four or five people, not many players, they so at most these players, they have access to the international market. Otherwise rest of them are all, they look at Indian markets to trade.

PARTICIPANT: Right, so say the top 50, top 100, companies in India...

PRAVEEN DG: We don't have that many, at least the bigger ones. Bigger ones happen to be only some five players, 10 players at least, in some other company, if you take some metals even you won't find as many producers, and this one, very limited players. The rest of them are part of the value chain and they generally put all the trade. They prefer to trade in the Indian market.

PARTICIPANT: Thank you. And just in terms of the revenue model, I saw on there about 70% comes from transaction fees and curious about 70%, but not exactly. So just curious, what is the other portion, the other 30%?

SATYAJEET BOLAR: So we have one is the membership fee that we collect from our member and there's also data fee, the trading data that we give to information like television channels or distributed connectivity charges that we recover from our members. We also have sitting on a net worth of INR 900 crores, so that is an invested in the debt market, accruals for that.

PARTICIPANT: Right. And just maybe could you run through how much does each component is as a percentage of revenue and maybe just want to see the model around there like is it a fixed fee or is it variable, let me just?

SATYAJEET BOLAR: So we charge on members INR 260 per INR 1 crore, up to INR 350 crores turnover, we charge INR 260.

PRAVEEN DG: So, it is like a two-slab system, wherein if you fall on a higher category, you will be paying less. But it is like incremental basis. So like income tax up to this level you pay a higher amount, but after that one you will be paying a lesser

amount. So it is up to INR 350 crores on a daily basis. If the member crosses
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INR 350 crores, then the transaction fee will come down to INR 175 per INR 1 crore that is on the futures. We have a similar transaction fee structure in case of options also. But options are on the premium, not on the turnover. So there it is like INR 40 to INR 50 per INR 1 lakh of premium traded on the exchange, single sided.

PARTICIPANT: Sorry, can you repeat the number again?

PRAVEEN DG: INR 40 to INR 50 per INR 1 lakh of premium turnover.

PARTICIPANT: Okay. And this is the transaction fee that you charge?

PRAVEEN DG: For options.

PARTICIPANT: How about the membership fee?

SATYAJEET BOLAR: Membership fees is there's an annual subscription fee of INR 25,000 per annum, and then if someone wants to come in as a new member, then he will pay INR 7.5 lakhs as admission fee.

PARTICIPANT: And how about the trading data fees?

SATYAJEET BOLAR: That varies from client to client. I don't have the figures with me right now.
PART

PARTICIPANT: Right. In terms of growth, are these areas especially data...

SATYAJEET BOLAR: Data feed is picking up.

PARTICIPANT: How fast does it grow?

SATYAJEET BOLAR: This year has been a good year for related as compared to past data.

PARTICIPANT: As a percentage of revenues. How much does it represent? I'm just wondering on the annual value traded by segment; I think you have forming classifications of that segments. How fast have they been growing over the past, say like five years? Just in terms of the average daily traded volume for these?

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PRAVEEN DG: See what happened means segment wise means it depends up on year to year. Depending upon where the volatility you would be able to see in commodity.

One year we could be able to see the good volumes witnessed in one segment, say metals, later on in Bullion than in the energy product.

So primarily it is the volatility which determines that which segment really will do good in a particular year. And we have a diversified basket, we have metals and Bullion, energy then agri. So typically what we have seen is whenever one market is cycle, because it depends upon the commodity cycles, whenever one commodity cycle is on the peak, other will be not. Like when Bullion commodities are doing good, you will not find the metals doing that great. Otherwise if it is energy is doing so typically it is like the volume spreads from one to other.

So there is no trend that really you can be able to make or that okay, this is the segment which is what is going. But what you could be able to see is the trend is now towards the options compared to the futures. Futures we could see that there has been a slight drop in the volumes subsequent to the imposition of a Peak Margin Reporting System. In India, a concept called Peak Margin Reporting System has been introduced. So Peak Margin Reporting. So essentially the regulator has introduced this one to ensure that sufficient upfront margins are collected by the members from their clients earlier. Some members used to give some leverage to their clients intraday. So in order to restrict the members to getting to that kind of providing leverage to their clients, this kind of system has been introduced.

So the members, if at all they are not able to show that, they will look at what is the peak margin during a particular time and during a particular day. And they will see that whether the margin of the client is sufficient to meet these particular peak margins or not. If there is a shortage, it means that sufficient margins are not collected by the member from their clients, then penalty clauses will be triggered.

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So after that one, what we could see that one is there has been a relative drop that happened in case of futures turnover. Okay. And the trend there is a substantial increase that we could see in case of options. So for a long time we could not see that kind of attraction. But for the past two years, options is phenomenally, doing well. And we started introducing this transaction fee only last year, last October. Given the trend what we could be able to see earlier, we were not charging any fee for options.

PARTICIPANT: And how big do you expect this segment to be and how material will it be to revenues over the longer period of time.

PARTICIPANT: Options.

PRAVEEN DG: So in India what we could see is options are playing a very bigger role compared to the future futures. If you looked in equity market also like 80% around 75% to 80% is from index options compared to futures. But our products can be relatively can be compared with single stock futures and stock options because index per se we do have some one or two indexes out there, but it is still not reached to the extent what someb

ody can see in the equity markets.

But options in Indian market always we see that market is now very much familiar with the options product Indian market. And unlike in the equity international market, in international market you see that roughly the options is about 20% of the futures market. But in India market it is altogether different. You could see today like I'll give you the yesterday number, it is like yesterday we have done some close to 71,000 crores in options compared to 28,000 in futures. So trend may not be like, but what I mean to say is even if we can grow a multifold of these on futures, that is very much possible in Indian market conditions because options have been well received product by the Indian market participants. But we have to see that how the growth will pan over the years ...

PARTICIPANT: Is it globally is 80/20 and India is like 30-70?

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PRAVEEN DG: Globally, it is 20% is options over futures, like futures is 100. So hearing it is altogether different. You can see that few options happen to be even higher than three times. But that is a particular day, but at an average also if you can see recent trend is like slightly options are higher than the futures turnover around 30 and 26. Like that I'm saying.

PARTICIPANT: And options are more profitable for you per se?

PRAVEEN DG: Currently I think last quarter we have done some we got the revenue up close to 60 from futures and 40 from options. That is how we got... But if you see that same amount of turnover happens in the options can I get the same amount of revenue from options compared to the futures? Definitely I get a lesser revenue in options if the turnover happens to be the same. So initially we were expecting like it could be roughly 33% of the option. That means if you do 3,000 crores of options turnover that can be comparable with that of 1,000 crores of futures turnover revenue realization wise, premium, not on that one. But what we could see is we are getting better than what we have expected. I think going by that rate roughly around the options and futures turnover happened to be around same thing we could realize 40-60 crores versus 40 crores in options. That's a pretty good realization rate because people tend to trade in more at the money and in the money it depends upon where the people would like to trade.

But people tend to trade towards that kind of contract. That has given us better realization. Right? But one advantage, what we could see in our case is the margins are pretty high in futures market currently, especially in crude oil. Roughly, I can say that it is about 30% happen to be the margins. Okay. And we also have a pre-expiry margin system wherein 5% incremental margin will be charged towards the expiry. So give it is like during the last five days that means the 1st day you will be charged 5% more, the next day 10% more, then

15%. Like that incrementally the additional margins will be, pre-expiry margins will be levied over the 5-day period . So that puts the margin quite high in crude oil, it close to sometime and goes to close to 55%, which is

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substantially high. So that is where they find the market, find the options as a very good product.

So one is higher margin, algo s won't find it a margins, higher margins a challenge, but retail and other people, they feel, they want stability in the margins rather than, what do you say, higher or lower. So in Indian market, since market operates till 11:30 p.m. there is a possibility that always the margins can drastically can get changed depending upon the volatile situations in the international market. So some of the retailers who prefer to have stable margins and other things, they prefer to trade in options b

ecause

they can buy the options and they pay only the one time premium, they did not have to get into the margins. Only the writer has to , supposed to park the margins according to the situation.

That means depending on the volatile situation in the market. So we've seen some of the buyers who otherwise earlier use it to trade in futures. Some people prefer to trade in options now so that way we could see new market entrants as well as the people who thought the margins happen to be on a higher side in futures , they prefer to operate in the options .

PARTICIPANT: Got it. On the figures to mention how much contribution, in the first half of this year? How much was the options contribution? The revenue contribution from option in the first half of this year.

PRAVEEN DG: We are seeing a trend actually , a full trend value . I will give you the numbers...

SATYAJEET BOLAR: Yes, first quarter INR 27 crores, the second quarter of INR 43 crores from options, comparative figures for futures was INR 66 crores in the first quarter and INR 64 crores in the second quarter.

PARTICIPANT: Sorry the second quarter was INR 64 crores. Okay, thanks. And just curious how internally, big you think this options opportunity will be, like?

PRAVEEN DG: See, we wanted to capitalize on this whatever growth that we could able to see in the options and we wanted to come out with more products on options segment. Currently, one challenge that we could see is in bullion product is

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these contracts are bimonthly contracts like gold. Our Kg contract, it is a bimonthly contract. Similarly, our silver contracts again, they are also bimonthly contracts. That means you don't have a contract every month, you have a contract the alternative months. So in options, higher the duration then it is like the premium will go up. So the trend that we could able to see is when options are coming closer to the expiry, we could see a greater volume compared to the periods when the expiry is further.

So we plan to come out with monthly contracts underlying maybe happen to be the same. Like we don't want to come out with the monthly futures contract. While we wanted to come out with a monthly contract, introduced monthly contract in between. So there could be two contracts on the same underlying futures contract. Because in India our contracts are all option on futures contract, it is not option on cash. So basically this option contract on expiry, they devolve into the underlying futures contract.

So, what we plan to do is we wanted to come out with monthly contracts , not only in gold, we also planned to come out in silver and silver also happened one by one. So we went to there also we wanted to come out. Besides that we also looking at introducing shorter duration contracts in index and other products. So basically we wanted to tap whatever is the potential that we could see in options growth.

PARTICIPANT: Right... How about in other products aside from commodities? Is there an opportunity there or ...?

PRAVEEN DG: See, currently what we want to means our focus is on our technology

platform. Because now we are having to migrate from existing technology platform which has been provided by 63 moons to TCS platform. So that transition is happening right now. So our primary focus is on that one. But once we migrate to the new trading platform, we wanted to explore all segments, all the electricity and that is pro commodities. Besides commodities, you are asking other asset classes another thing, maybe we can look at currency, another thing, but it is too early for us to say anything on that one.

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Because our focus primarily is on development of our commodities market. And maybe if at all any linkages we find in case of spot m

arkets, physical spot markets, then I think we wanted to get into those kind of markets also. Like we are looking at coal spot exchange then SEBI also has come out with electronic gold receipts market. But there are certain challenges. But I think just we are looking at all these opportunities.

PARTICIPANT: By when will this transition happen, to the TCS platform?

PRAVEEN DG: We already started mock s, shortly we'll be coming out with the parallel runs also after that. But our aim is by end of December we wanted to migrate.

PARTICIPANT: And just in terms of your goal, your long -term, very long -term goal, is it just to be a domestic specialist or compete in the global league set?

PRAVEEN DG: Currently we are not that keen to go over this because we see a lot of potential is untapped within domestic market. Recently, one of the recent development happened to be like foreign portfolio investors have been allowed into domestic commodities market. So currently SEBI allowed them in cash -settled commodity market. It's a very recent development. So once this transition happens, we will aggressively take it up that one also , because we see good potential there also.

PARTICIPANT: Okay, thanks , I'm think just curious, look at the end report , I see many partnerships and alliances globally . How important is that to running the business?

PRAVEEN DG: See, today some of them are just knowledge sharing agreements. It's more of MOUs kind of thing. But with the CME we have a licensing agreement where we take their prices for settlement of our contracts, which happen to be crude oil and natural gas. In both the cases, we take their prices for settlement purpose and we pay some licensing fee to them.

PARTICIPANT: Thanks. And just curious from the explicit trading cost would be the fees just how about implied trading cost? Just curious, how does that look like over time?

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PRAVEEN DG: Trading cost?

PARTICIPANT: Yes, I mean, for a customer, for example, if I trade, the explicit cost is the amount of fee I pay you ...

SATYAJEET BOLAR: There is some government taxes , CTT, Commodity Transaction Tax...

PRAVEEN DG: So you're telling for a client or?

PARTICIPANT: Because there's other factors like...

PRAVEEN DG: In India it is very, quite high compared to any other market, because we have something called Commodities Transaction Tax, which is INR 10 per lakh on the sell side. Then we have stamp duty. Stamp duty is around INR 2 per lakh on either side. And then we have GST, which is 18%. And what we collect is very marginal . So, whatever taxes that government receives is significantly higher.

SATYAJEET BOLAR: So you said INR 10 per lakh is.

PRAVEEN DG: CTT digit on the sell side, Commodities Transaction Tax and then INR 2 is stamp duty.

PARTICIPANT: Okay.

PRAVEEN DG: This is on either side and you also have GST.

PARTICIPANT: Right. And how in terms of the indirect cost coming from lower liquidity .

PRAVEEN DG: Impact cost, sometimes we have seen that we are lower comparatively even with the global exchanges. But because our tick size is very less, in case of gold, for example, our tick size is only INR 1 compared to the global market. It is some cents per ounce, but when you convert it, it is going to be lesser. So on occasion you will see in case of gold, less than it ranges between INR 5 to INR 10 per 10 grams for a price of around INR 50,000. It's pretty good. But if you look at market depth, how deep it is, that is a different thing. But because first five levels is very good.

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PARTICIPANT: So what do you mean by first five levels?

PRAVEEN DG: Price quotes. Because price depth, if you see it like how deep is the market is one thing that you can all

ways look at it. But what I'm saying is when you look at the screen, first five quotes, you will be able to see it. So, there I'm seeing these are very tight.

PARTICIPANT: And just looking historically, I mean, the business looks great, you have awesome market share. I'm just looking at the last five years in terms of revenue growth, it's not that much. So just curious what happened and what are the challenges to process.

PRAVEEN DG: So this five years, what I can say that not the five years. In fact, FY19-20, we have done very good volumes. It's during the COVID time is one thing that we had a setback and after that. So the one reason is it's not because of the COVID, but it's mainly because of the crude oil which went negative. So that led to substantial increase in the margins that happened in case of crude oil and also the peak margin reporting which have been introduced. So, initial period, I think before what we could see the transition that some people started trading in options. During this particular period, we had the witness to some drop in turnover, in futures turnover. So, one more aspect also what you can see is in 2019, the regulator told us, you cannot have multiple variants in metals and other contracts except bullion, you cannot have multiple variants. Earlier we used to have main and mini contracts in metals. Like for every contract, we used to have a main and mini. We used to have even crude oil main and mini. They were all very good liquidity drives and they could see a lot of liquidity.

You could see a lot of liquidity in all these contracts. But regulator has said that you cannot have multiple variants. You can decide on the trading lot, but you cannot have multiple variants because the regulator felt that multiple products can lead to liquidity diversification. So, because in order to have liquidity in one product, they wanted only one single product in the single commodity. Also what they said is your trading lot and delivery lot should be

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same. So earlier what we used to have in some of the products means we use it to have a higher delivery lot and lesser trading lot.

So people, whoever wanted to trade, they used to trade whenever they wanted to go out of the market, they could be able to square off and do it without getting into the delivery aspect. But now, because of that condition being laid, like trading unit and delivery unit, we had to increase the trading lot of some products like copper, which earlier we use it to have a one metric ton contract and a mini contract of 250 kg contract, that we have to increase it to 2.5 metric tons.

So there is a big jump that has happened in case of copper contract. Similarly, in case of nickel contracts, earlier we used to have 250 kg and 100 kg contracts nickel. Now we had to come out with a 1.5 metric ton contracts. It's a substantial increase in the size of the contract that has also impacted the performance of these contracts.

PARTICIPANT: Okay. And all these happened in 2019.

PRAVEEN DG: Yes, because 2019 in the sense, progressively we have shifted to cash-settled contracts to the compulsory delivery contracts, because earlier metal

contracts were all linked to the London Metal Exchange, similar to the type of agreement that we have with the CME. We had a similar to the type of agreement that we have with the CME, we had a similar contract with LME to take their prices and use them for settlement purpose. But because of all these regulations, because the regulator said that unless the delivery is not practically not possible, you cannot have a cash-settled contract so that necessitated ours to convert all metal contracts into delivery-based contracts. PARTICIPANT: And so for the peak margin reporting, when did that happen? PRAVEEN DG: They are introduced in a phase

d manner, you can say that towards 20 21, it is all in each quarter they have started increasing it. Initially they said that at least 25% of the peak margin, then 50%, then 75%. Like that 100%. So now it is completely, it is already 100% now. So I think for the last you can say last Multi Commodity Exchange of India Limited November 15, 2022

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year we can say that we have completely witnessed the impact of the peak margin report already.

PARTICIPANT: Okay, got it. And maybe just moving on to capital allocation, just wondering how would you, what are your thoughts on capital allocation?

SATYAJEET BOLAR: Yes, dividend policy, we have said that we will pay 75% of what we earn as dividends. And once we complete our transition of this technology platform, we need some money because SEBI has presently allowed co-locations in equity market. It's not yet come for community market. So you need some money for setting up the co-location. And if we have to set up a subsidiary company, then we'd also need to take care of the net worth of those company. So we need some cash with us.

PARTICIPANT: And how much cash will be needed for that co-location?

SATYAJEET BOLAR: So, SEBI is not come out with its guideline s, so that's why we won't be able to comment on it, hopefully that they'll come with some regulations for commodity market.

PARTICIPANT: Right, okay. What M&E is that on the cuts?

SATYAJEET BOLAR: Not really. Presently nothing, but nothing , unless you have some news.

PARTICIPANT: Okay. Is there room for people to acquire you, is, like, say almost 50 or... ?

SATYAJEET BOLAR: ...Have holding, see, in India we are the market leaders, so if anyone wants to acquire it, it would be for the commodity segment.

PARTICIPANT: Right.

SATYAJEET BOLAR: So, that is the value that we'll bring to them.

PARTICIPANT: Right, okay.

SATYAJEET BOLAR: And the ecosystem, it's not easy to set up a commodity exchange .

PARTICIPANT: Yes. But is that possibility for like the owners, decide to... give up the 15%?

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PRAVEEN DG: Regulatory wise it is not that easy to ... there are certain rules and regulations so that the share pattern and...

SATYAJEET BOLAR : The maximum cap is 15%.

PARTICIPANT: Right, okay. And just maybe could you just discuss about the key things that keep you up at night?

SATYAJEET BOLAR: Just mentioned ... the platform. The migration.

PRAVEEN DG: Other thing could be like this kind of unprecedented events, anything can happen. Platforms like, crude oil went negative, nickel margins went beyond 100%. So that can have a long-lasting impact because in our case, our settlement guarantee fund is dependent on stress test and that is based on 15 years historical prices. So even if some incident happens sometimes, still it can continue to haunt us.

PARTICIPANT: How about any regulatory risk you reflect on?

PRAVEEN DG: That's what I mean, these are all regulatory risks because there are certain peak margin reporting is something which have been introduced, anything of that sort, but I don't foresee right now anything because this itself has come as a surprise, peak margin reporting

PARTICIPANT : For the contract, value, etcetera, side, regulatory wise, it's largely done as

you're saying.

PRAVEEN DG: Yes, currently, whatever, we don't see any, but I'm telling if some flexibility is given, I think we can further look for more . Like mini contracts can come out in some of those.

SATYAJEET BOLAR: Also, you have to take, you have to get approval before you launch anything.

PARTICIPANT: In terms of competition, like...

PRAVEEN DG: We are not that worried about competition .

SATYAJEET BOLAR: Because they have been in, from 2018, it's been opened.

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PARTICIPANT: NSE got in 2018, right?

PRAVEEN DG: They've been doing the market making and they are not charging any transaction fee. So we are charging, continuing to charge our futures and options.

PARTICIPANT : It's like, BSE tries with NSE and it doesn't work. NSE is trying with.... unlikely.

SATYAJEET BOLAR: Once you get that liquid, it 's very difficult to exchange...

PARTICIPANT: ...it's naturally monopolized.

PARTICIPANT: I have it just curious. Anything you're excited about or you want to share?

PRAVEEN DG: Like I said, once we come out, once we migrate to the new trading platform, I think we can look for more products and product variant, innovation, and all those things can be quite possible.

PARTICIPANT: Right. Okay. And just currently, some of these products in equity space its start their own, NSE like options, futures and stuff?

PRAVEEN DG: No, I didn't get you.

PARTICIPANT: Like most of the current contracts or futures options contracts for the equity market, are they being traded at ...?

PRAVEEN DG: It is in the, NSE is dominated by equity, F&O segment, futures and options.

The cash market also is very good because in our case, cash market is a different segment, F&O is another segment then currency derivative segment.

PARTICIPANT: Who's the current leader in those segments?

PRAVEEN DG: NSE.

SATYAJEET BOLAR: In equity market, its NSE.

PARTICIPANT: So in order to go into a new segment, you have to compete and rebuild everything in equity.

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SATYAJEET BOLAR: In equity, I don't think it would make sense.

PRAVEEN DG: In equity, it won't work, but currency, in the long run, definitely we have to look at it because there is a great synergy between these two markets, commodities and the currency.

SATYAJEET BOLAR: Equity, then you have to, we're spending good money for a loss recover.

PARTICIPANT: Yes. Thank you. Thanks. It was a very good insightful. Thanks for sharing.

Call: Nov 2022

MULTI COMMODITY EXCHANGE OF INDIA LTD.

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CIN: L51909MH2002PLC135594, info@mcxindia.com MCX/SEC/2157 November 19, 2022

The Dy. General Manager

Corporate Relations & Service Dept.

BSE Limited,

P.J. Towers, Dalal Street,

Mumbai - 400001

Scrip code: 534091, Scrip ID: MCX

Subject: Transcript of calls with Investor/Analysts

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 read with the SEBI (Listing Obligations and Disclosure Requirements) (Second Amendment) Regulations, 2021, please find enclosed herewith the following transcript of the call with investor/analysts:

Sr.

No Investor/Analysts Date Time Annexure

1. Quantum AMC November 11, 2022 04:00 p.m. Annexure - A

The said transcript is also uploaded on the website of the Company at <https://www.mcxindia.com/investor-relations/ir-meetings>

Further, we hereby confirm that no unpublished price sensitive information was shared/discussed during the said meeting.

Kindly take the same on record and acknowledge receipt.

Thanking you,

Yours faithfully,

For Multi Commodity Exchange of India Limited

Ajay Puri

Company Secretary

Encl: As above

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Meeting with Quantum AMC

November 11, 2022

Disclaimer:

This transcript is provided without express or implied warranties of any kind, and should be read in conjunction with the accompanying materials published by the company. The information contained in the transcript is a textual representation of the company's event and while efforts are made to provide an accurate transcription, there may be material errors, omissions, or inaccuracies in the reporting of the substance of the event. The transcript has been edited wherever required for clarity, correctness of data or transcription error.

This document may contain "forward-looking statements" – that is, statements related to future, not past, events. In this context, forward looking statements often address our expected future business and financial performance, often contain words such as "expects", "anticipates", "intends", "plans", "believes", "seeks", "should" or "will".

Forward-looking statements by their nature address matters that are, to different degrees, uncertain. These uncertainties may cause our actual results to be materially different than those expressed in our forward-looking statements. We do not undertake to update our forward-looking statements. Annexure - A

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MANAGEMENT : MR. SATYAJEET BOLAR – CHIEF FINANCIAL OFFICER , MULTI COMMODITY EXCHANGE

MR. DG. PRAVEEN – CHIEF RISK OFFICER , MULTI COMMODITY EXCHANGE

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Page 3 of 27 Participant: We are a largely long -term, three years, four years' time frame. We do basically our own research and own everything.... so this was well covered by the previous analysts, long time back, he left... This was always on the radar but, somehow....

Participant: The questions will not be like what happened this quarter and what happened in the last quarter.

Participant: We want to understand the business... and how you see things... and so on...

Praveen DG: You have gone through our website, transcripts?

Participant: Yes, but if you could just give me a brief background as to how the exchange operates, who are the clients, how they come to the exchange, how the transaction happens, just to get a feel...

Praveen DG: Like any other Stock Exchange... You will have

a set of members who have to get registered with the Exchange, because any trade or any one wanted to trade, they have to come through these members only. So clients will get registered with the members and members through that, whatever is the connectivity through which they will connect to the Exchange system... So it is not that the Client can directly come and trade, it is through the registered trading members.

Participant: So are these registered trading members essentially bank broking subsidiaries?

Praveen DG: Not necessarily... it will be one part of it. You will have different category of members. It is like a proprietary... Or Zerodha kind of, retail brokerages, or food service brokerages, all types of brokers are there. The majority of the people who are already the members of NSE and BSE, they are also members of our exchange.

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Page 4 of 27 Participant: So now, if the client wants to place an order, if he wants to enter the futures contract, so basically, he will come, I mean, the client will go to the registered member to which he is dealing with and he will ask for the...?

Praveen DG: It can be in electronic mode or it can be the traditional way of calling and all, that is one way, now you have different ways to put orders... different member is giving the different connectivity, so through that you can be able to put out this orders.

Participant: So then how does that settlement work? What is it like, T+2, what...?

Praveen DG: So in commodity, it is like T+1, basically any mark -to-market happens and

the T+ 1 this is... and we do not have any spot platform, it is only derivatives which are getting traded. Derivatives means futures and options. Options are all whatever is today getting traded are option on futures. Here there is a difference from what you see in the equity market because there everything is connected to the cash market, but here it is like they devolve in to that, like if at all somebody exercise an option, it devolves into the futures... So then if at all they want to exit, they can exit it, like any other mechanism, like going on counter position in the futures contract or you may end up taking up delivery of that...

Participant: what percentage of client are hedging

Praveen DG: See if you look at open interest, there is a significant percentage is hedging, again depends on commodity to commodity, commodities like gold, metals... it ranges from anywhere between 20 to 35... So these data we publish on the website, so these are all readily available, we do it on a daily basis.

Participant: The remaining maybe arbitrageurs, speculators...

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Page 5 of 27 Praveen DG: You can say speculators, arbitrageurs, algo players, all kinds of...

Participant: And sir now on the presentation, liquid that is now 54% how does that work for your algo...

Praveen DG: Algos are even quite popular in Equity market... and these are all markets come in almost 14 hours 15 hours trading time you may not expect

somebody manually filled the orders... So you will have counter person ...

So that, if the retailer suppose he wanted to trade, there should be some order should have already been sitting there otherwise we will not have trade. .. and then give some more products so if whenever the US market if they open up you see a lot of activity have been getting into this. So in total last year that so 11.30 or 11.55 depending up on the US daylight saving time. Almost midnight.

Participant: Opening hours

Praveen DG: 9.

Participant: And in terms of fees, we charge differently for the algo traders or...

Praveen DG: We won't differentiate. It is a slab-wise structure. So, we look at the daily average, and based on that one we put that in an incremental slab. It is like a tax-structure... The slab we are charging is up to 350 crore it is Rs.

260 and lower it is Rs. 175 per crore, value of turnover.

Participant: About Rs 350 crore, it is Rs 175 per crore.

Praveen DG: Whatever we publish, single sided turnover and you have to multiply it.

Participant: Okay both the legs, and options I think recently you have started charging.

Praveen DG: Yes, we started last year only from October.

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Page 6 of 27 Participant: Yes, so your price that was fixed.

Praveen DG: All options contracts are charged.

Participant: And what is the fee structure be in case of options.

Praveen DG: There also it is a two slab structure. Upto 5 Crores if I am not wrong, it is Rs. 50.

Participant: So 5 Crores for each slab.

Praveen DG: And this is on the premium...

Participant: When it comes in the future, there it comes to 370 or 150... or what we might have to get ...

Praveen DG: No, it is all about when you get into a future position, then automatically whatever fees you have to pay, you pay it.

Participant: You said that the turnover of 350, 1 Crore per quarter and 125 more Crores, so he exercises the option... so does he have to pay another 175 or anything else ...

Praveen DG: No, it is only because it is like automatically going to get devolved, you will not be charged for the second time... so the same that I mean to say that because what I think the people are improving, the day today trend. It is not like every day the provisions are going now about trading, only the positions which are taken, they get devolved.

Participant: So the account of future production this is another increase they are having the kind, so how is this translate on switches to office switches and how to help us if you could throw some thoughts on that. Let us put it

that way there was stickiness we are trying to increase I know the volume
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Page 7 of 27 will have increased but it has taken a transit from make those clients or provisions we are in particularly, you could see the dip happened in the future but in all happened after the imposition of the peak margin we put and a lot produce, this like in that ... that not anything being in the equity market also where it give us

Participant: So you have to report the peak margin.

Praveen DG: The numbers is supposing if you report the exchanges that we have incurred raising that how much margins that was received I think you have given point out and beyond so the exchange will not cut what is the positions you are having at that time so we look at and we have seen it whether sufficient margins have been collected by the members. The objective of these particular regulation and which is still there number upfront our margins on earlier one in the day, is some of the numbers there you see the numbers dividend to do what we usually to take it they use it to fund the clients ... will be there they use it but with this condition you will be reporting system coming in place even that is not fall there this happened at least for several months I think they do it in the progressive manner the phases during quarter that makes all happened last year it happened. Now it is completing now if you like initially the thing that at least up to 25% then 50% down 25% so today it is like you have it on place that means they have taken a position and have sufficient margins... It really impacted contracts where the margins are higher and people tend to move towards options especially certain category of people who were earlier, maybe wanted to have some margin benefit will keep changing especially if you look at the commodities market it is generally doing now that ... bringing these particular framework you may start receiving higher margin drop and many things could come it is at the smaller rating and things find very difficult to address to that kind of

to those people they

find auctions with their ... instrument because I can just take framework
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Page 8 of 27 bringing ... I have to worry about what kind of margins has come. So we do see if that is come amount of people started trading in option and do it but the drop whatever we could see in the future it is not turn them compared to the options growth that we may get see then they are getting that pricing was I think another product were like this mid agency and stabilize their model 100%. I did not say that it is somehow to really complemented and debtor seeing hiccups but having these somehow we have a guidance product basket like in future as well as on options. Earlier I think we were restricted on the future but today you have a rider thing you have a call on through all and all you see a good pipeline you have the margins started to be on a higher side if you could see that good volumes happening with that options as such. Again we get better opportunity product.

Praveen DG: But I suppose to get a little bit into this future and then often future then all this we can add on that side

Participant: Today if you see all on the futures and options only what we can do is we can add new commodities, you can add new commodities and the index, more is serving the index, so you can work out on more commodities and anyway that is the products can be looked at and what you say corporate issues that is foreign sector options, all the commodity will flock in this.

Participant: No, I mean to say that times comes in the option you have all and put them, so if you look at whether you have options on all commodity clearly no we have majority of the contracts because they are all from transition today, also made by the regulator, that you cannot have option on futures and you have the future's commodities issue added to it. So on this petition on the commodity option we have three years back and how many are they retained but...

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Page 9 of 27 Praveen DG: We are being able to tell that and say that even though it was launched increase was not there because of more comfort of thing but now we are

going to be able to launch options on commodity events earlier then we started the option we came out with the only gold 1 kg option, but today I have more in the options on gold mini, similarly we have launched silver option, silver mini options so the number of contracts have increased.

Participant: I just wanted to ask this thing on option to do the margin at one check.

Praveen DG: Generally it depends upon your portfolio position.

Participant: So my question is, I was thinking, as you are seeing the options how do you create liquidity? So we went from 1 kg the 500 to 1/2 kg to 1 kg or whatever you go down and we just get the liquidity as we go... so how does it work... also this R&D expense, how do you get the liquidity in the market.

Praveen DG: See in India is at least a longer section of trading community now trade options. We do more than 1500 awareness programs. At least one or two daily across India. Still we are seeing it would take time, for options especially after we seeing some pickup in the options we started much more focus on options.

If you have growth in options and growth only in options, generally also it is very low. It is really options, at any point it can even down across the future the trend will go up, in equity market that is what we have that is the only reason... so here if you can really come by whole to seeing those stock options whether some orders getting more things like that.

Participant: See now on realizations which is better futures or options...

Praveen DG: Generally, realization in options will be lesser than future.

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of 27 Participant: Realizations seeing 1 Crore of trading happens there is a 1 Crore of ... see but reality is that there could be a possibility with the volume it is more of the volume driven more volumes ... even realization it could be lesser but it may come out with the greater volume in option ... the transaction cost which is applicable on options it is comparatively good ahead as comparatively

Praveen DG: And we will see more for future and we see that these products complement each other across.

Participant: So do you see company that going up and take the position or take calls and something like that.

Praveen DG: See earlier some of the oil companies used to trade. But today because the government sector companies will find it...

In hedging would they have to do both in spot market as well as futures markets, but today unfortunately the entire industry is not prepared to look at because... we look at as loss but literally it is not a loss it is like a balance, balanced between derivatives market and in the physical market. That is not how people should look at it. SEBI also come out with initiatives came that all the listed companies now they are supposed to make disclosures about what kind of commodity risk they have and their hedging policy.

Participant: But you have more refinery companies here or do you think early we will have producer community there.

Praveen DG: There are few in oil sector and we do not see any of these people. They find globally markets much cheaper. But if you take our gold industry, as per the RBI regulations, they cannot trade overseas. They have to hedge in Indian market. In India it is not mandatory for other commodities.

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Page 11 of 27 Participant: So in terms of revenue mix major part come through in that treasury most of them if we get it will be less than the trend. So the last five years' transaction fee as a percentage, you can tell that it will come down which is the realization, in future has come in. What is the reason for this in that and say, I mean they grow in volume, we have two different ... one is about 350 Crores and the other...

Participant: So they are moving on ...

Praveen DG: Really even if we go trials even ...

Participant: So going ahead we expect like right now they are at 3.55 per lakh?

Praveen DG: However, this is like increases to 2.07.

Participant: That is something that is just total value growth and that will work options in the future timeframe?

Praveen DG: No, option realization has been different...

Participant: That is what as annuals , how do I get...

Praveen DG: Options, anywhere between 40 to 50 roughly .

Participant: 40 to 50 lakh of premium turnover? And but in case of future is it like up to 350 Crores to 60 plus or a 12 lakh?

Praveen DG: ...in lakh also you can say it has two slabs.

Participant: Correct. So majorly because we are moving ahead...

Praveen DG: Though we have the difference...

Participant: Yes, I will give it separately.

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Page 12 of 27 Praveen DG: Otherwise the realization we want we have seen it last time also it was 2.07 only.

Participant: I think the 2.15 it is something in your presentation there and...

Praveen DG: Old very old one.

Participant: So assets come off because ...? So do we see this even more coming down? It is obviously now traders which is... one thing is right it is a good observation but we are looking at the turnover especially for future this is now I agreed it is good enough for us and if we look historically I mean see it has been a fall to 1.83, 1.85.

Participant: And consolidation in terms of...

Participant : Net... now it is more diversified . Ideally, we tell the top ten traders who contribute 10% and that has increased... so is there a risk , in a way.

Praveen DG: We do not see

it because that is in your futures turnover that also you have to consider options... what we all interested in because it is not about... there is now integration... there are not too many institutes which is like earlier there is going to retain and this is the commodity segment, any of the compliance keep go, so that means you have other compliance also on this numbers in general, not the media... now that they have used for person ... rather than we can trade ...

Participant: No, it is not, so it is more largely it is a responsibility of the trade in general , that is how we operate things, we have made it much more... it used to our trading , so it is like more or less?

Participant : When you compared to the top line , so we have while you said options on the futures , we can not receive one, that is captured ... now we have

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Page 13 of 27 number of trades have increased , that the number of commodities , also we are what we are , we cannot increase that...

Praveen DG: We can increase that is what we are looking for. Even we have come up with index option many other things which we can come at but do not expect that everything will be rolled, it would not happen because we also launch it and see that other products can be done.

Praveen DG: And I am going to see that what else can be done, so there are options which can come so we will be competing ... and all that. We have an agreement with IEX to come up with electricity derivatives based on that.

Participant : Okay got it. The electricity derivatives are expected to come in December that is what we have said.

Participant: NSE will come out with this ... spot market.

Praveen DG: They have not got approvals.

Praveen DG: Almost with the regulations.

Participant: So are still not out. Who do you see the fair level revenue will be...? I am not talking about the global, who do you think.

Participant: On the electricity. One can see that the overall trends that IEX you can say the generators, distributors and other people go like this. They have also been...

Praveen DG: And it is a bit of trend they will go to IEX for filing market or the spot market and they will come here also.

Participant: There is it not.... It is the requirement?

Praveen DG: Spot market.

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Page 14 of 27 Participant: It is basically that we ... 20%.

Praveen DG: It is only for... Once you want to hedge yourself for a year or whatever the period one month. The next month you want to hedge yourself which for

any unknown reasons can take the prices up or down so you want to protect against so our price risk management you have to comfort derivative but immediate coverage and other things you have to go for commodity markets.

Participant: Clearly for this it will be same.

Praveen DG: Whoever trade members like they think their numbers can also can look at taking in or somebody, their participants can credit through all the investing matters.

Participant: You can account for expenses, so what are the major expenses for you and what portion of the expense are fixed in nature. Do we have some kind of operating leverage working for the company?

Satyajeet Bolar: Like any others, some of the expense and employee cost and the other would be the administrative and the third will be the technology correct.

The thing now is our technology growth so presently on the technology cost present at least in September we with the existing vendor there was a fixed component and a variable component that is till September 2022.

Participant: So that was till September 2022 now a new CDP will get sort of implemented?

Praveen DG: It will be sometime in December so we have tied up with TCS so they develop the platform. Then this will have to ...

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Participant: If you are talking about more other core developments, TCS will come and do it. We are talking about what seems like what if I take that chunk out so what portion of cost will it take to fix that?

Praveen DG: It is around pre COVID and now it is around 315 which was may be around 310 to 315. Now it is around 315.

Participant: So he feels that 30 people and we are talking about increased...

Praveen DG: I understand because technology was not going up. The requirement...

Participant: Let us put this and ... understand at that turnover, can I still with 30 addition I can still manage that. It is not the mission but how far can I go with that 750 kV.

Praveen DG: Typically, I am saying on the exchange there are times that we have done even Rs.1 lakh Crores turnover in this, in bidding so you can do the same amount of thing also it does not matter.

Satyajeet Bolar: The manpower requirement would not be a big issue here. You have made some senior hires especially on the technology side.

Praveen DG: On the technology side because of the need ...

Satyajeet Bolar: So going ahead that manpower requirement as such would not be there.

Praveen DG: Once migration and other things you do not require that many.

Participant: Do you have any ESOP plan right now?

Praveen DG: There current regulation does not permit ESOPs for....

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Page 16 of 27 Participant: SEBI regulation does not permit ESOP for that okay, so there is no ESOP plan as such.

Praveen DG: For instance, we have two sides like we come under companies' act being a listed company and also SEBI regulations.

Participant: Alright so employee cost more or less should go around with how the inflation is going up so major is the Tech cost so I want to understand that also mean what is the kind of maintenance capex that you need to do to keep the platforms running and to keep them bug free so is that substantial chunk that lead to that. Every five years there is going to be some kind of...

Satyajeet Bolar: Now MCX is holding the mock on the TCS platform, so one of the platform and then on the operating systems for the platform and now you are aware that all IT companies and all from the perpetual models... it is the subscription based models so they will ... for that and then you will have to maintain the system right so those costs will be there.

Participant: Okay that is really substantial chunk like but can you sustain and launch new products you are saying. You will be going to electricity future in future so does that platform need to be upgraded every time you come in the new...

Praveen DG: Unless you go for a major structurally different product, like if I come out

and we have been launching contracts, you will not require a different system. If you feel totally a different type of product ... then this.

Participant: Then the options on future and...

Praveen DG: In the existing model immediately I do not foresee anything unless we do differently later.

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Page 17 of 27 Participant: On this side this change over to these things this is not... but do you see any like when you change over do you foresee a risk that the key issue that you might not for the one month?

Praveen DG: That is having the...

Participant: How long has it been...

Praveen DG: It has just started.

Participant: Do you have any backups or ...something like that by chance these you have excluded? I am not asking specifically?

Participant : Just on that impairment which you took in FY2022 of Rs.204 million that is some software or some platform which was to get committed but there was some leeway's and then you had taken what was that?

Satyajeet Bolar : ...decided to just going for a spot platform . The existing platform is the derivative that come for a spot ... so we had

entered into agreement with a London based company.

Participant : That did not work out. They did not deliver.

Satyajeet Bolar : Finally they delivered but obviously it is not up to our expectations. It went into litigation. Then we went to do it for the application so we got the source for whatever we had to get we got and as and when they have delivered it.

Participant : Okay but it is an impairment ...

Satyajeet Bolar : Our plan is that since we have the source code as and when we have to use it for any other spot product, so we can use it.

Participant : Trying to come out the gold spot exchange ?...

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Page 18 of 27 Satyajeet Bolar : We want to ... using it for gold... but may be for coal or whatever...

Participant : But it can be used.

Satyajeet Bolar : So if it can be used then you use it. Someone said you will have to bring it back.

Praveen DG: Okay so right now it is on the back burner but it can always be used. It is not like completely gone.

Satyajeet Bolar : No it is not written off. That is why I have said it is impaired.

Participant : Okay got it.

Participant: When you are ... the economics of the pieces is there. You can look at it.

Participant : So we have not given the commercial profit because we have a binding agreement with TCS so the commercial part of it is not ...

Participant: It is good. Is it more capable or it is just ...

Satyajeet Bolar : I think this level of turn over, as I was trying to explain till September we were paying a variable on our turnover and we expect turnovers to improve so we will not be paying any variable component on the low PCL right. There is nothing so whatever incremental we earn it will go to our bottom line.

Participant: So operating leverage you operate with this. You are trying to make a ... and the pieces will also ...

Satyajeet Bolar : We already have an arrangement with them that the AMC is fixed for 1+5 years.

Participant: Okay.

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Page 19 of 27 Satyajeet Bolar: So that cost will get amortized whatever the platform disbursement of the platform will get amortized. This is buying sell over that will get depreciated in our operating systems which we are now ... and then once it goes live in the first year we have a warranty ... feedback to the P&L.

From the first ... like five to 10 ...

Participant: The cost right now what most ... that cost right now for Q2 from the software now?

Satyajeet Bolar : So presently it will be a fixed component and then on the soft drawn ... is a vendor is 10.3 of our ...

Participant: ... of variable.

Satyajeet Bolar : Of variable ... of our transactions.

Participant: 10.3% of the transaction charges which pays us as variable component?

Satyajeet Bolar : You may not get the ... that figure because we in turn if we are looking at a stand alone look at the consolidated you will get a fair idea because if you look at the stand alone we recover some part of it from ...

Participant: Sure so if you look at it from the annual and you look the consolidated you will get a better idea.

Satyajeet Bolar : That transaction charges will be for both options and futures okay so that variable will go away straight away whatever incremental will flow in that and that is the operating leverage then that you get and the ... platform which will come which you are saying by December it should get into the ... how does that improve your functioning. Does that improve the speed or basically it is being launched to introduce new products which you are saying ...

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Page 20 of 27 Participant: So once it stabilizes then we will launch in ...

Participant : So that does not speed up anything. Does that translate into better efficiencies and better ... so suppose worse ...

Satyajeet Bolar : The first will

be basic then keep exploring with ...

Participant: And basically TCS will also give you environment ...

Participant: They are going to support it. You have an AMC nothing so any ... creeps up or anything that will booked into it so okay. I will looking at the operating margins when I try compare it with Indian energy ... they are having very good margins so what is the ...

Praveen DG: ... it is their market and it is an auction based.

Participant: Yes it is an auction based.

Praveen DG: For us it is a continuous market .

Participant: From 9 to 12.

Praveen DG: So ... is not coming to that one.

Participant: They do the options and ... In real time ... are getting included and ...

Praveen DG: Another thing is that we are regulated by SEBI. We have surveillance ... everything and everything we have.

Participant: If we launch more product your volume will increase your operation ... is a very good component so automatically it should go.

Participant: Okay now mutual funds are also allowed to participate in the commodities there so do you see some traction coming from there.

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Page 21 of 27 Praveen DG: As of now it is very limited because even regulator has not allowed full scale. There are certain things which really not make them to do in rapid manner ... AMFI are now planning to come out with a separate committee for the commodities who can represent to SEBI . I mean also counts the even the regulator stopped relaxing such thing ...

Participant : What about EGR.

Praveen DG: EGR is spot which BSE has started.

Participant: Okay so how is the traction over there?

Praveen DG: There is challenge in relation to GST.

Participant : In EGR?

Praveen DG: Because it is not clear like how the seller GST credit. So because of that it is not performing . So that kind of regulatory things you can settle down but we are not in hurry our focus is on CDP right now so once as things move on then we can look at that.

Participants : What are the supports do you see lacking in Indian company to the foreign business.

Praveen DG: Like as you know cost wise they are comparatively better compared to the Indian market.

Participant : Okay that is an advantage that they way that they can operate to the plan.

Praveen DG : Margins is also very quite less in global market.

Participant : Margins are less okay that is why that is before the demand.

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Page 22 of 27 Praveen DG: It is significant as compared to the previous margins. Margins in our case

maybe we have to a higher margins because there is some SGF related aspect of that sitting ... once you infuse any capital into the SGF you cannot be able to take it out.

Participant : Members also has to contribute to the margins.

Praveen DG : Presently members are not contributing. Presently SEBI has said that could take from members as no exchange is taking from members so obviously they are also not taking so scaling operation ...

Participant : So 50, 50 exactly.

Praveen DG: No 75, 25 and then ... such as that amount comes from funds and territory that we charge ...

Participant : Is that definite in the amount next year so this SGF you invest that in money market.

Satyajeet Bolar : It falls in the clearing corporation so they invest as per SEBI guidance .

Participant : So that keeps on adding. So it is a money market instrument and government security.

Satyajeet Bolar : FDs and mutual fund scheme .

Praveen DG: We have made our request to the SEBI, not only we but all the Exchanges. That means as and when you require higher SGF we are ready to increase it provided you are allowed to take it back.

Participant : Also SGF calculated besides what should be the SGF.

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Page 23 of 27 Praveen DG: There is a ...

there is some tradition like 50% ... based on historical level
15 years we see price movement so what will happen in future or what should be yours

Participant: This is reset every year or how.

Satyajeet Bolar: Every month. So you will need that minimum . There is a subset in the SGF known as minimum required corpus.

Praveen DG: So as you keep it there I think there is a possibility that you can able to bring down your margins down in future contract because some of the margins that we are charging in crude oil is on account of SGF. Let us say you do not want to infuse in SGF rather we are increasing our margins so that automatically the SGF requirement become lower.

Participant: Okay because you are not expecting any contribution of the members so margin appears but even in that context the turnover.

Praveen DG: Turnover, leverage is coming.

Participant: Okay , but if that two way is allowed then maybe there is a chance that you can lower the margins.

Praveen DG: I assume that SEBI take it up with their risk management committee and it will be looked at.

Participant : As per your dividend policy you would say that 75% would be paid ... and also there is a change in your investment policy previously it was like most of it invested in either the short term and ..

Participant: So the company is trying to retail that now obviously the stress and the ... so we have moved to take down in security and we have changed the policy in the sense that we have decided that we will account it under ...

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Page 24 of 27 Participant: So will that affect the return IT on ..

Satyajeet Bolar: I mean today the rates are down.

Participant: How will it cost to become member ... how much they will cost you.

Satyajeet Bolar: You give trading number, trading complaint number or where things are depends upon your networth criteria. You will have some of the obligation fee, processing fee, all details we have provided on our website.

Basically the result of processing will be .. fee and also you will have to keep base minimum capital, base capital.

Participant: That is how much it will be the cost ... so how much will it cost.

Satyajeet Bolar: No I understand so there will be an admission fee maybe ... would be around 10 lakhs and then you have your base minimum capital and you have to get registration from SEBI in addition to it.

Praveen DG : Liquid networth you need . Then base minimum capital. Some of it is refundable part to you but you would not be getting any exposure. You are supposed to clearing corporation of that exchange to become a trading member.

So what is moving so what ... the only thing with variations happening and we need to know if I have to enter what do I think like a normal guy who wants to do all this that is why I was asking.

Participant: So few questions ... so in terms of the attrition rate what is the attrition like. We have seen during the pandemic a lot of attritions happening in all IT sectors.

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Page 25 of 27 Satyajeet Bolar: Pandemic we did have 7%.

Participant: 7% is the attrition rate so there is no such issue as of now okay then during the pandemic it must have gone up.

Satyajeet Bolar : Because lot of people left ...

Participant: Now what is the mode which your company enjoys. With strength what would you call as your strengths.

Praveen DG: We have more than 95% of market share. Any positive developments happen in the commodity space and immediately can be enjoyed by us.

Participant: Yes it is something to do with that what was the traction over there.

Praveen DG: Currently we are not owning the ... so basically again whenever they wanted to they are very cautious but we have been thinking about very recently. We had to come with the regulations and other thing but o

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focus is still on CDP so we are just going slow on that.

Participant: And what according to you are the challenges as a company that you face going ahead.

Praveen DG: Now the main thing is our focus is on CDP that is one thing and other we do not see competition as a major threat or something now because we still have large market share and unless if some of the regulatory things come as a surprise.

Participant: So is something which you feel.

Praveen DG: ...like suddenly things like peak margin and other things but very indirectly it has pushed up our options turnover.

Participant: But some ... that happens.

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Page 26 of 27 Praveen DG: Yes definitely that can add to the advantage.

Participant: We have other things ... so that is what events like negative price .

Participant: But what is negative price line. I mean negative in the sense . Okay so when the prices go through the roof we actually.

Participant: Not only that we had to make changes in our software also to take care of negative price.

Praveen DG: See turnover will not impact on that particular price.

Participant: During the impact you will see more volatility and more ... later on impact will happen because of that kind of negative impact. Even today we are facing a problem what ... so these are key parking norms ... on the margins is around 30% then there is a previous spending margin and also we will impose so which can be ... and the margins will go to 55% so it can impact and is kind of unprecedented events can happen but once where it could have a longer duration impact.

Satyajeet Bolar : And till that event we were getting lot of traction from the energy sector so you see in June 2020 and the first quarter COVID and we were struggling to break in through be profitable.

Participant: It all coincided with the COVID also.

Praveen DG: That was by quarter four.

Participant: Benefiting means till I am telling you the margins happened to be like I said still we are suffering from that which otherwise in the normal circumstances we would have reached much more and because we had ... as a product lying in our basket ... so that helped us ... very volatile in nature .

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Page 27 of 27 Praveen DG: Mainly we have six months when we do the ...

Participant: It was very helpful.

Satyajeet Bolar: Thank you.

Participant: It was really to great see you.

Satyajeet Bolar: We are regulated by SEBI okay that is the reason but even if you compare it with NSE and all I think margins are a bit lower. If you are looking at the

... you divide everything by that turnover. NSE is NSE ...is it.

Participant: What you mean since your operating in such a long time and you will have to have a surveillance team in place that is basically all the tech cost are very high.

Satyajeet Bolar: The tech cost is also high.

Participant: .. segments you will diversify ..operational margins.

Satyajeet Bolar: To increase your turnover, your revenue and costs fall in line is it not.

Participant: We are all in... we are only in the commodity.

Satyajeet Bolar: The NSE is in to cash, futures and currency. They have their own listing fees and all the other fees they have we cannot and data fees that is why I am saying.

Call: Nov 2022

MULTI COMMODITY EXCHANGE OF INDIA LTD.

EXCHANGE SQUARE, SUREN ROAD, ANDHERI (EAST), MUMBAI 400 093, INDIA. TEL: +91-22-6731 8888, FAX: +91-22-66494151, www.mcxindia.com

CIN: L51909MH2002PLC135594, info@mcxindia.com MCX/SEC/2155 November 17, 2022

The Dy. General Manager

Corporate Relations & Service Dept.

BSE Limited,

P.J. Towers, Dalal Street,

Mumbai - 400001

Scrip code: 534091, Scrip ID: MCX

Subject: Transcript of calls with Investor/Analysts

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)

Regulations, 2015 read with the SEBI (Listing Obligations and Disclosure Requirements)

(Second Amendment) Regulations, 2021, please find enclosed herewith the following transcript

of the call with investor/analysts:

Sr.

No Investor/Analysts Date Time Annexure

1. Ashmore Group Plc, Balyasny

Asset Management, Capital

International Research Inc,

Kontiki Capital Management

(HK) Ltd, L&T Investment

Management Ltd, Schroder

Investment Management Ltd,

UTI Asset Management November 09, 2022 03:00 p.m. Annexure - A

2. Invesco AMC November 09, 2022 04:30 p.m. Annexure - B

The said transcript is also uploaded on the website of the Company at

<https://www.mcxindia.com/investor-relations/ir-meetings>

Further, we hereby confirm that no unpublished price sensitive information was shared/discussed during the said meeting.

Kindly take the same on record and acknowledge receipt.

Thanking you,

Yours faithfully,

For Multi Commodity Exchange of India Limited

Ajay Puri

Company Secretary

Encl: As above

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Meeting with Ashmore Group Plc, Balyasny Asset Management, Capital International Research Inc,

Kontiki Capital Management (HK) Ltd, L&T Investment Management Ltd, Schroder Investment

Management Ltd, UTI Asset Management

November 9, 2022

Disclaimer:

This transcript is provided without express or implied warranties of any kind, and should be read in conjunction with the accompanying materials published by the company. The information contained in the transcript is a textual representation of the company's event and while efforts are made to provide an accurate transcription, there may be material errors, omissions, or inaccuracies in the reporting of the substance of the event. The transcript has been edited wherever required for clarity, correctness of data or transcription error.

This document may contain "forward-looking statements" – that is, statements related to future, not past, events. In this context, forward looking statements often address our expected future business and financial performance, often contain words such as "expects", "anticipates", "intends", "plans", "believes", "seeks", "should" or "will". Forward-looking statements by their nature address matters that are, to different degrees, uncertain. These uncertainties may cause our actual results to be materially different than those expressed in our forward-looking statements. We do not undertake to update our forward-looking statements.

Annexure - A

Multi Commodity Exchange Limited

November 9, 2022

MANAGEMENT MR. P. S. REDDY -- MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER , MULTI
COMMODITY EXCHANGED LIMITED
MR. SATYAJEET BOLAR – CHIEF FINANCIAL OFFICER , MULTI COMMODITY EXCHANGE
LIMITED
MR. MANOJ JAIN – CHIEF OPERATING OFFICER , MULTI COMMODITY EXCHANGE
LIMITED
MR. D. G. PRAVEEN -- CHIEF RISK OFFICER ; MULTI COMMODITY EXCHANG LIMITED

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Moderator: Hi, Lavanya, good afternoon

Participant: Good afternoon. Should we start? Should we start Rovina? Could you hear me?

Moderator: Sure. I just want to know if you can hear me and the thing is clear. You just did sound clear.

Participant: Yes, everything is clear.

P. S. Reddy : Okay. Go ahead. Good evening, everybody.

Participant: Yes. Good evening, everybody, and thanks for joining . So we have MCX management with us.

P. S. Reddy : I request others to keep their mics on mute please.

Participant: So we have MCX management with us. And we have Mr. P. S. Reddy, MD, CEO; and Mr. Satyajeet Bolar, CFO; and Manoj Jain, COO; and Praveen D. G., Chief Risk Officer; and also Ms. Rovina from Investor Relations team. So I would request all the participants to keep it interactive and please raise hand in case if you have any questions, I can moderate on your behalf or please unmute yourself and go ahead with your question. So maybe sir, we can start with. So there was a notification with the mock trading on the new platform has been started. So can you just help us on how the progress on the new platform is going on? And as the deadline you have planned by end of December the transition. So how do you see that and how's the transition or the new platform coming up?

Moderator: Lavanya, sorry to interrupt. But before we proceed, I'll request there is a disturbance at your end, somewhere from your mic. I request, if you could just place that on mute that would be really great.

Participant: So I'll be on mute. Please go ahead.

Moderator: You can repeat your question, Lavanya, please.

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P. S. Reddy : I think she's asking about our technology platform progress, is that correct?

Participant: Yes, sir.

P. S. Reddy : Well, we have been doing the user acceptance tests, and the fixing of the bugs has been happening. Meanwhile, we have also decided that the stable parts of the platform must be released for the mock testing. So , we started on 7th

and the notice has been given for 2 days for the people to set up and login issues will be addressed. So it's already done. Today, I think first time we had testing of the users. I am yet to get the report. And we had from 11 to 2, if I'm not mistaken. And so that's the way it is at this point in time. As we go along. I think we'll get more and more what you call participation. Definitely, Saturday, we're looking forward to because many members will be free and that will be the period when the maximum participation comes. So, that's the way it is at this point in time and we want to go ahead. Once it is proved to be stable and in terms of latency, etc, all other issues are found to be in order, then we would like to go ahead with this platform before December end.

Participant: Got it, sir. So, maybe you can just help us understand how the transition happens, like when the transition happens with existing orders flow or any break or so do we need to do it during the holidays or during the transition? Will there be any disturbance in terms of how the trade happens?

P. S. Reddy : The transition will be lock, stock and barrel. There's nothing called off year or off the error, some modules of this one will be continued to be run, et cetera, anything of that kind will not happen. So, we will be doing parallel runs also as we are doing the mock and maybe sometime this month itself it will start. So whatever the orders and trades that are generated from the existing system, we will pump in into the current system, the TCS system and then see outputs are all accurate and as per the expectations. So once that is also stable, then obviously we will take these masters, that is the existing masters of the production. And currently, we have already deployed and incrementally, we will keep

deploying it, whatever the daily, whatever changes that are happening in the production will deploy there also. So at any
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point of time, the masters are all ready for the people to migrate. So that's the way we are working. And, obviously, we look forward to maybe a Friday evening or maybe Thursday evening or so something like that so that we will be able to have a seamless migration.

Participant: So I would request participants to use raise hand function if they have any questions. I can moderate on your behalf. So there's a question ... please go ahead.

Participant: Thanks for taking the call today. I just wanted to ask about the costs of a new system. I know you haven't disclosed this previously, but is this something you're going to talk about at the next set of results once the system is live? And any guidance you can provide on the cost savings would be helpful.

P. S. Reddy : You're saying cost of the new system?

Participant: Yes, exactly, the system.

P. S. Reddy : I think there is a confidentiality around it and that and that is what in the agreement is binding on us. Probably as we go along, numbers will start to reveal in terms of whatever amortization that takes place. And so, obviously, you will know those numbers as we go along. That would take place in the next maybe 4 to 5 years of time.

Participant: And in addition to the amortization, is there an annual cash cost to TCS?

P. S. Reddy : Maybe after the first year, once the warranty period ends, there is a very small percentage of the AMC that we have to pay. Beyond that, it's not. Of course, there will be some costs, in terms of licenses, be that licensing costs for let's say, Red Hat or some something of that kind, Linux, et cetera. Those are all there for any technology. That's the way I look at it.

Participant: And did you say the amortization would be over five years?

P. S. Reddy : Yes, that's right, approximately. It's 6 years.

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Participant: And then in terms of when you'll be able to start launching new products again? Will this be as soon as the new trading system is live or other issues you're waiting for in order to launch new and gold options and other products?

P. S. Reddy : We will be launching once the new platform is stable, which we are expecting after launch maybe in about 3 months' time, we should be able to launch

other products also, we will start doing that. It will be behind us, that's all. The technology no longer worries us then once it is up and running.

Participant: And in terms of the internal capacity, you've had to build to manage the system going forward. How many new employees have you had needed to add in order to run this in the future?

P. S. Reddy : Well, The TCS is supposed to be running it for the first 1 year and thereafter they will be giving the DMC so me whatever the L1 support. I think we have built enough of them even during this period of development. We have built good amount of technology maybe in 2030. But it's fine, that's okay because there will be lot of attrition also once the platform is up and running and maybe if some people leave, we may not go for replacements, some are more to do with the development. Testing needs will come down.

Participant: I request participants to raise hand if they have any questions, please. Sir, going with a question which we got here. So on the new products, other than this gold options which are almost ready with approval and all, what are your other new products that you're looking to launch maybe once we shift to the new platform, right, maybe in steel or coal? What are the other products and where are we largely?

P. S. Reddy : Subject to the SEBI, shorter tenure of the contract is what we are looking at it. We had 2 months futures contract. We've reduced s

ome of them to a lower

one or the futures contract also 2 months we have it, now we're looking at 1 month. Some are expecting it could be fortnightly contracts also option contracts. So that will increase the play of the market participants. But subject to approval of regulators, we have to look at various options, the alternatives Multi Commodity Exchange Limited

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that are available for the market participant. Apart from increasing the variety of the contract, we would like to increase the basket of the products also in the sense the underlying product, underlying material. So we are looking at more into metals and there are 91 products are there. And electricity derivatives is another one which we are looking forward to. So yes, I think if we launch in the next 1 or 2 years all these products, I think that's good development. Of course, we expect more and more institutional players to join the participant list subsequently.

Participant: Sir, a small clarification here so that the new gold short duration like 1-month option which we are planning, for that the underlying would be a new 1 month futures or the underlying would be the existing 2 -month, 5 -month contract?

P. S. Reddy : Five months will be gold contract.

Participant: And for all these shorter duration products of the existing commodities also, we need approvals... So do we have approvals existing for any of those products already from regulator?

P. S. Reddy : Some of them, we have it, but again we don't to launch all of it at one time. We will not be able to disclose too much to the market and whatever we have publicly put in place. That's what we can discuss. But yes, we would like to launch these contracts sequentially so that the members attention is at any point of time given and focused on the new contract that we are launching...

Participant: So I request participants to use raise hand function if you have any questions or please unmute yourself with your question.

P. S. Reddy : Madam, there is a lot of disturbance. We are not able to hear to please. Appreciate.

Participant : Thank you for taking the time. Sir, is there any way of quantifying the benefits of transition to this new platform? That's my first question. And my second question to you is that how are you seeing given the volatility in commodities Multi Commodity Exchange Limited

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and the margin reactions correspondingly on the exchange, are you seeing a structural shift to options trading, given the volume is ramping up? How do you see this options segment of ours moving? And is there a risk on the margin requirements and options as well?

P. S. Reddy : On the first question, whether the technology transition will give you some or

are there any yardstick to measure the benefits and other thing, all that I can see is given the volumes or given the costs being fixed in that sense, there is no volume link to the transactions, I mean, the revenues or what you call payments for technology linked to the volumes is not there. So, anything that comes over and above what we are currently having is all kind of, goes into the bottom line, that's the way I look at it. Number two, and also our costs are by and large, fixed, other costs also. So, you will only see upside but there is no downside from that point of view.

The second question is whether the futures players are moving to options, I think here you need to look at it what are the products that we're talking about. Definitely, in the case of crude oil, some did move, no doubt, the investors who were earlier paying higher margins in futures have moved. Especially when the peak margin requirements came into being, there's no intraday leverage, et cetera. But the option writers also need to hedge their positions, so options volume is going up, no doubt. But then simultaneously, there are option writers

who suppose hedging it, and they have to hedge their risk only in futures, there is no other product. And so that is one part of it is happening. Maybe in terms of number of participants in futures maybe decreasing, but otherwise, their focus should not be withdrawn from the futures, that's what my view is.

Now, coming back to the other way of looking at it, maybe other products, my view is the options, especially option, buyer, be that as put option or a call option, he just pays to the premium, that's all. Then there is no other margin requirements for them. It's only the option seller, again who is an option writer, we call them, needs to have to pay the existing margins, which are there in the underlying commodities. So I think in other products, there is no

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margin issue, because they are all by and large the same margins, our initial margins, what was described by SEBI. Still, there is a scope for those products to grow in terms of options. I think we are looking at it. Just a shift has started now, shift in the sense shift in terms of understanding these products better by the retail investors or by the other marketplace, hopefully that this particular trend will spread to other contracts also, but it doesn't cannibalize, that is the way I look at it.

Participant : Sir, just one more thing. Now, given the volume activity has gone up in options, do you think that there is a business case of increasing given the margin requirement on the buy side of options is much lower than buying a future naked? Do you think that there is a way for us to make money in the way like increase our per option brokerage or whatever money that we charge? Do you see that as an option? Or, as the scale goes up, we will go the other way by cutting our price on per option trade?

P. S. Reddy : Well, neither side I am at this point in time because option pricing was introduced just last year, September, I think we should not be too frequent and killing the golden goose. That is the way I look at it. And I think we should wait for some more time. Let it be stable, that's the way I look at it. One year is too early to decide whether it is stable, a stream of volumes or otherwise.

Participant : Sir, just one last question from my end. As you said that we are moving from a variable cost model to a fixed cost model from what I understand for us, will it be safe to say that the kind of volumes that we are creating today and the cost that we are incurring for that, what I'm trying to understand is what is the breakeven kind of level. The fixed cost level of the TCS model is right now more or less covers the volumes that we have, I mean, any incremental volume from the current levels will start generating money for us in terms of cost saving?

P. S. Reddy : That's what I have been saying in most of the meetings assuming that the cost that we're paying to the existing vendor is replaced by way of a higher amortization or higher other license fees, you could consider that. But there

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is no incremental costs of the increase in volumes, then I think, yes, it is more

or less a fixed in that sense for us. Yes.

Participant : So the current activity level will cover the cost of the fixed model.

P. S. Reddy : It should be.

Participant: There's a question from Harsh Shah from L&T. Please go ahead.

Harsh Shah : So sir, just a few questions. Firstly, now options revenue is almost 40% of your total revenue. Do you think the trend that is seen in options will continue and just intensify going forward or you think there will be a time when it will stabilize?

P. S. Reddy : What drives these markets is the volatility by and large, be very clear on that, okay. And we are expecting this kind of what should I say, this kind of behavior or this kind of pattern

to be created in other products also. So it's just picking up. Maybe in gold you will be seeing it. So once it is witnessed in other products, one product or the other will all the time under volatility anyway. So we're looking at as a more stable pattern rather than a one-time phenomenon.

Harsh Shah : Means are we are taking any active decisions in terms of increasing participation, because still it is quite skewed towards our top 10-15 players.

So, like, I guess one of the questions from earlier participant was, are we trying to reduce our premium or reduce our margin requirements so as to induce more participation? Is that something that we would be focusing on?

P. S. Reddy : I don't think, I mean there is any, what should I say, there is a direct elasticity in terms of reduction of tariff will definitely increase by more than that percentage in terms of business getting business, and there is bound to be concentration, let's accept it, because a lot of algo players who create this volume, I think they attract that kind of concentration. And it's not just 1 or 2, there are many other algo players, I think that is a fair way of looking at not just this market, in equity markets also, there are a lot of algo players who

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garner the maximum market share. So I think that sort of worry for me in that sense.

Harsh Shah : And in options, if you see like, for example, in futures, we are still quite diversified between bullion, energy, bit of base metal also, but in options it is driven, like more or less by energy only. Is it volatility again? What is driving that options shot up only coming from energy? Or is there a possibility that other segments will also start considering, like you said about billions?

P. S. Reddy : Yes, that's what we are expecting, even other products also to follow the same path, and it is happening. If you see average which we are displaying it on the website also, it's been increasing. You must have seen that.

Harsh Shah : Sorry, again, I'm coming back to that question. But at least for near term, we are not expecting any changes in tariffs, price, premiums materially in the options part of the business, right?

P. S. Reddy : We are not planning to make an increase nor reduce, yes.

Harsh Shah : And what's the outlook on futures because we have seen that quite an arbitrage playing after the peak margin rules where options volumes have shot up, but at the same time, slowly, slowly, your futures volume has started to degrow a little bit.

P. S. Reddy : As I've already explained, especially in terms of energy contracts, some participants did move towards the options because of the higher margins. But for every option contract, there is an option writer who needs to hedge their exposure. So they are hedging it in the underlying futures. So I think we should look at that also.

Participant: So I request participants to raise hand if there are any questions. So in the meanwhile sir, if I may ask, so on the institutional participation, so domestic Institutional participation didn't pick up much after it was allowed a few years back. But now, FIIs are allowed. So how do you see this and what's the

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opportunity in this and which kind of institutional players would be interested in looking at commodity trading? How do you look at that?

P. S. Reddy : Well, those FIIs who operate in both the markets while maintaining one single

book, they are the ones who are more interested and that's one part of it. Second, the arbitrage opportunities between near month and far month contract, I mean, it's not something which is available elsewhere also. And maybe that is something which they may like to, I mean that opportunity they would like to exploit. These are the 2 which I can immediately look at it. But no, I

am also, what you call, equally aware that GST issues are a concern for them to work on the second kind of model, where they're supposed to be taking delivery in one settlement, holding it till the next settlement when they sell that contract. I think that is something which they may prefer, may not prefer at this point in time. They register it which is fine. If they don't register under GST, they may not go for it. That's the way I look at it.

Participant: And going back to our futures and options, so if our margin for futures come down or like if I take for crude, if the margins come back to the normal levels, so how do you see this would impact future and option volumes on same margins from peak margin, which impacts the intraday this thing is not there.

But still, once it comes back, how would it impact option and future volumes?

P. S. Reddy : Peak margins continue to be there, that's not withdrawn. It's only that the 30%, 35% margin that is there in the crude oil contract, it may be reduced to 20% or 15%. But peak margin rule will continue and that is going to stay, that's the way it is. So my hunch is that anyway, we'll continue to be there and that may be the driving force for these people to stay continued in the options contract.

Participant: So it's the peak margin, which was striving more than just the initial margin. Is it the right way to look at option volumes?

P. S. Reddy : Yes. But I would say that those who have completely stayed away in participating in futures because of higher margins, they will come back once these margins are withdrawn. That's the way I look at it.

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Participant: So there's a question from Participant: again. Please go ahead.

Participant: I had a question about the participation by domestic institutions. What's prevented to kind of broader participation by them? And what can you do to encourage this in the future?

P. S. Reddy : Well, the domestic institutions basically, the mutual fund industry is what we are looking forward to. About, 3 -4 are participating at this point in time, but that's not adequate enough. There are certain limits also on how much they can take or participate... That is another concern. And those who would like to take the physical delivery, here again, they have a constraint because excepting gold, in all other commodities, the delivery has to be offloaded within 30 days, okay. Our contracts themselves are 30 -day contract. So maybe it's not feasible for them to do that. And if they can't participate beyond what you call it, if they buy it in this month and they take a delivery at the end of the month, they have to necessarily deliver it in the next month. If the far month contract is offering better arbitrage opportunities, they can't participate in that, while buying it in this contract maybe 2 months down the line, they can't sell it because they should not hold it for more than 30 days. That's the rule. So we have represented to SEBI all these issues. So that is one part of it. For example, in the case of silver, they said that you can participate, but then you to take exactly 30 kg kind of thing. And there is always a tolerance limit on the exchange platform which is about 2.5% or 5%. So one can give 30 kg or less or more within that band. Now SEBI says, not, nothing doing it. I think now an industry representation is going from the AMFI, which is the body representing mutual funds. And I think SEBI is progressively looking at those changes that are needed. Probably with that, some kind of depth will increase.

Participant: And sir, how long will that take? Is there anything else that you need to do your side to make it easier for mutual funds?

P. S. Reddy : I'm sorry. I mean there is nothing that we can do about it unless SEBI permits them to hold whatever the regulatory requirements are needed unless they

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bring in those changes, we will not be able to make them participate. That's the way I look at it.

Participant: And sir, you say 3 or 4 are participating at the moment. How many in theory could participate? How many commodities mutual funds are there?

P. S. Reddy : About 7 to 10 are there at this point in time. We have exposure to gold and other commodities like silver. Silver ETFs are also permitted recently by SEBI.

So that's the kind of number we're looking at. And that includes all top mutual funds.

Participant: And then in terms of the foreign institutional participation, I mean, are you in discussions with any of these kind of FPI players? And, again, how big is the opportunity set here?

P. S. Reddy : We are keen to participate. In fact, we are focusing at this point in on the migration technology platform. And once this is done then our focus will be, the first priority is FPI participation in commodity markets. So that's the way it is, but many members are bringing their FPI clients to come and trade. Whatever engagements we have to do it, whatever clarification they are asking, our team is giving it. But beyond that, we are not engaging. But we will do that.

Participant: And then you've seen some very strong growth in the number of unique client codes over the last 2, 3 years? How do you better increase the percentage of these who are actually active on the exchange? And what's the strategy for kind of increasing that?

P. S. Reddy : Well, one is that with the requirement of having a separate membership for commodity exchange is gone because the members have taken and all members are under SEBI and there's really only one unified member. Those members who had earlier only exclusive equity members or equity clients, they have also started uploading on the exchange for trading in commodities, of course with the consent of the clients. That's one part of it, that's how we are all increasing. But the active clients is about you know 4.7 lakh is what we

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have seen, 4.7 lakhs is the number and that is for the last financial year and the number we are expecting it to increase in the current financial year also.

Participant: And sir, how do you increase that? What's the strategy for better activating the kind of 10 million UCCs you have?

P. S. Reddy : One is that I don't expect all equity clients will directly participate into commodities. We must distinguish here why we can't expect. In the case of equities, you can buy 1 share, 1 share could be as low as Rs. 10 to Rs. 2,000, Rs. 10,000, et cetera, it varies. But when it comes to commodities, the number are less, such kind of divergent this one is less. And more important, you have what is called a trading lot. The trading lot itself costs you about Rs. 5 lakh to Rs. 10 lakh. Come to copper, it's about 1.5 metric ton is the contract size. It is almost Rs. 30 lakh. So, gold is Rs. 50 lakh because that's a one kilo bar. So, it's not just we expect all in retail investors that are there in equity will come dabbling in this market because to that extent margin requirements also will be very high. Even 10% on Rs. 50 lakh of gold contract is almost Rs. 5 lakh. So, I am not having that kind of ambition, how to make all of them become active on the exchange platform. But definitely there are many HNIs in the equity markets, they can definitely look at participating in our market. This is one important thing. So, even for the retail investor, although we call it retail investor, he has to be substantially rich for them to put enough margin to trade on the exchange platform. So, it is the contract size by definition will come in the way of anybody losing their shirt on the commodity exchanges. And that's the way I look at it. They must be reasonably good.

Participant: So

the UCC number isn't really that relevant, and it's not something we should track then. And it's better to focus on that active client number.

P. S. Reddy : Yes, we should be looking at active clients.

Participant: Yes. I think you should change that in your presentation perhaps because it maybe a little bit misleading, the big increase we see in UCC.

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Management: Currently, we are not giving that one. But we received some suggestions, we are looking into that. We will see that. But we are giving the numbers in all our investor calls.

Participant: Yes, I've heard on the on the calls. Okay.

P. S. Reddy : It's a good suggestion, Mr. Patrick. We will do that next time.

Participant: And then on the electricity derivatives and futures, what's the timeline for getting this in place? Are approvals already there? And what do we need to do to launch the product?

P. S. Reddy : Well, I think the hope has been moving from 1 quarter to another quarter. I mean it was to happen maybe 3 quarters ago, it didn't happen. We are still hoping to get it this quarter. That's all I can say. But any timeframe that I can fix may go wrong. That's the way I look at it. But we are all ready to launch that.

Participant: So all the approvals are in place, it's just waiting to actually launch the product?

P. S. Reddy : Yes. And what happened sometime in June -July is the government has put a cap of Rs. 12 per kilowatt hour on the spot exchanges. And so, I don't know whether that will come in the way of for traders or not, but then let us see how it will work. In the spot exchanges, that kind of rule is there.

Participant: And then, for the potential of a coal spot exchange, what's the timeframe on this and I think there's other exchanges which are looking to be involved here, including IEX. What's your kind of advantage in bidding for a coal spot exchange?

P. S. Reddy : See, there are 2 things. One is that international bullion exchange which is there in Gift City, that is meant for only making India a gold hub and price to be discovered in India and we are expecting money of the international players and sellers or bullion banks to come and set up shops in Gift City and then make this as a regional hub for gold trade. And India being one of the Multi Commodity Exchange Limited
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largest in the world consuming gold. So that's one part of it. And whatever, the government has entered into a free trade agreement with UAE, even that entire gold will be routed through the International Bullion Exchange. So, that is another concession that we have got. So that is meant for that particular participation and then Indian jewelers can directly import it from there. Now, those who import gold are not those who are in the possession of gold, they need to hedge the price risk, isn't it? So, having bought it one is to source their supplies via IIBX, another is to hedge, that is only a spot exchange, that's not a derivative exchange, that is International Bullion Exchange, is just a spot exchange. Now, they have to do the hedging. So, once the gold comes into India, they will hedge on MCX, this is one part of it.

Now, the second part of it is the domestic gold spot exchange. Now, that is where we thought we too should play a greater role in bringing greater degree of transparency in pricing. Today, each jeweler, some of them have their own rates, their own displays, and nobody says that this is the rate at the all India level, although MCX rate is used, but ours is a futures rate, ours is not a spot rate, okay. So, we would like to be there in that space as well. So that the smaller denomination contracts can be, I mean, those investors who are keen to buy and then store the gold for any other purpose from jewelry and other things, they will be able to immediately acquire it rather than

acquiring it from

a jeweler. This is one part of it. We also have launched another model or suggesting the member brokers that they can give out scheme in the sense they can offer them to keep buying the 1-gram gold or 5 grams, 10 gram, whatever, 8 gram gold, and then store it in the demat form and transfer it seamlessly to a jeweler as and when they take delivery of the jewelry, and then pay the difference such as the making charges. So that is another way that we have been propagating it. All these things will find a greater degree of what to call acceptance once we do that. But pending this, we have also launched, what you call countrywide delivery system where the people get a delivery in Ahmedabad, but then the sequel of the vendor that is the vault manager has agreed to transfer the metal to the doorstep delivery there to

any location that investors wanted with some logistic charges, including
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insurance, of course, I think that's a wonderful model that's finding some traction at this point in time. Let's see.

Participant: And that was on gold. What about for coal?

P. S. Reddy : Well, coal spot exchange, I think still the government is framing the policy guidelines. I think once that is done and we will take it up with SEBI for participation in that.

Participant: And is that something you do on your own? Or could you participate with someone like IEX, who also seem to be trying to build a product there?

P. S. Reddy : Sorry, I didn't get you.

Participant: I'm asking if you would do the coal spot exchange independently or if you participate with another exchange, I think for example, IEX who have said they want to do that and build a coal spot exchange?

P. S. Reddy : Coal spot exchange you're talking. But then we have signed in a joint venture or Memorandum of Understanding with mJunction to start a coal spot exchange. So we will not do that.

Participant: So I request participants to raise hands if there are any questions, we have 10 more minutes in this call. If you have any questions, please use the raise hand option or unmute yourself and go ahead with your question.

Participant: Lavanya, I wanted to ask a question.

Participant: Please go ahead.

Participant: Sir, so we feel like the kind of options largely driven by crude has led to quite a bit of a change as far as MCX overall profitability and top line growth momentum is concerned. When you add new products and new commodities to this business, what sort of opportunity are you kind of thinking you will eventually cater to? Because I'm finding it difficult to size the opportunity myself?

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P. S. Reddy : At this point in time, yes, the energy sector is hogging the limelight. It is, I mean taking a major share in terms of driving our revenues. But then, when we move out to the bullion, that's another big revenue, this one we can expect it because in the year '19-'20, it was the bullion which was contributing almost 40%, 45%, okay. Energy was about 35% or so. So it keeps changing. That doesn't mean that other products don't add much on this one. But it all depends on the volatility and the other demand-supply situations which makes the difference.

Participant: I'm trying to try to understand, like you're doing mostly energy right now, you get gold in over there, I don't know, I'm sure you'll get more products after that as well. Can this business be like 3x 4x from where you're right now trading, like the total volume of options that's trading on the exchange?

P. S. Reddy : Well, I would not be able to give any such forecasting and I think it will not be fair for me to talk about it.

Participant: I'm not asking you to forecast actually. What I'm asking you is the opportunity size, that's what I'm trying. Like, if someone is putting up a

cement plant, right,

he will say that, we assess that, in India, cement market can be XYZ, I'm just trying to ask you the potential size of this market.

P. S. Reddy : I think this is a great potential. Why I'm saying is look at the number of participants who are hedging on the exchange platform. And there's a huge, huge scope for industry, the entire industry to participate and hedge their price risk, and some of them are going to the international markets only because we don't have as much depth as they are expecting. So is there any great, what you call, great business opportunity as we go along? I think there is. The size is huge, no doubt about it because people are not hedging. You look at annual reports. LODR requirement says that people should disclose whether they are hedging on the exchange or not. And many say that we are not hedging at all. And if that is the kind of situation that they are in, I think hedging provides a great opportunity for these exchanges to grow.

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Participant: And the second thing, I know, I heard you at a conference call which you did at the results time, that assumption of 1/3 of the options, taking that as the sort of revenue this thing, what should be a better number? Is it 35% or is it 40%?

P. S. Reddy : We have said that currently it is 40%, we've said that.

Participant: So that's the base assumption that we can continue with, right?

P. S. Reddy : No, I would like to continue to be only 33%, I don't want to go to the 40%, just it is 40%. That is the positive side of it. We have only set 1/3.

Participant: So you think there is some kind of aberration in the current quarter which went by which is leading that number to be higher like, you had explained that, people are doing probably closer to the option expiry or whatever and which why the numbers are higher. Do you think that will normalize back to 33%.

P. S. Reddy : What I said was that the trading is taking place at -the-money, near -the-money or in -the-money. That's why option premiums are high. And if they do it far away, then they may not be able to pay so much premium, they will not play obviously. So currently, our regulatory framework also doesn't allow people to participate or activate in the illiquid trades, illiquid options contract. So obviously, people will continue to trade at -the-money, near -the-money, maybe 3, 4 strikes away from the touchline price. That's the way it is. I don't think they will move away from that at this point in time.

Participant: So I get the answer to my question. Sir, last question now is I don't know if you've already discussed this, at what stage is the TCS package testing now? Are you like kind of now regularly testing on a daily basis? What's going on?

P. S. Reddy : I think I've answered that some time ago. I don't know you may have joined late.

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Participant: I may have missed it. I joined late. Actually, you can leave it, sir, I'll get the update from Lavanya. Let me not waste time. Thanks. My questions have been answered.

Participant: Thank you... So maybe we can ask one more question if there are any questions from investors. So maybe I'll take his last question, sir. So our option premiums which we expected to be somewhere around 33% or were higher in Q2 and both Q1. So when the new product launches which are coming up which are like shorter duration for gold, so how do you see this impact the overall margins and thereby revenue from options?

P. S. Reddy : That doesn't impact. There is no correlation... I think if the regulatory framework is right and then people say that you've to trade at -the-money or near -the-money or something of that kind. And I think SEBI doesn't want anybody, why SEBI, I mean as regulators also, where the front-end regulators who

don't want people to trade in illiquid options contract as illiquid contracts are known to be or used to be siphoning off some trades which are not healthy for the market development. So... desist from trading such kind of contracts.

Participant: So, I just wanted to check if the duration of the contract would impact the premiums collected. Okay. Thank you, sir. Thanks, everyone for joining the meeting. Thank you so much.

P. S. Reddy : Thanks to all of you.

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Annexure - B

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MANAGEMENT : MR. SATYAJEET BOLAR – CHIEF FINANCIAL OFFICER , MULTI COMMODITY EXCHANGE

MR. MANOJ JAIN – CHIEF OPERATING OFFICER , MULTI COMMODITY EXCHANGE

MR. DG. PRAVEEN – CHIEF RISK OFFICER , MULTI COMMODITY EXCHANGE

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Praveen DG : I think , anyway, most of the questions are already answered.

Speaker: And I mean, they have been holding the stock for a while. So, obviously, his questions are always a lot more in -depth he is following the company for very long .

Speaker: We have certain questions which are not yet answered ... So we've been holding MCX since long....

Praveen DG : Yes, Yes.

Speaker: And somewhere in COVID and all, the meetings weren't happening that frequently. Obviously, a lot of us, and we have been holding stock ...But what we realized is that over the last few months, a lot has happened, and we are thinking that we still don't know very well and the developments that maybe happened ...

So obviously , the first thing is this options . When you look at this monthly data , the options has done really good. I think before it's largely for focused on.... if we look at this thing , and some of it is also matching the asset in last two, three months. And if I obviously, historically, the volume would be in those, in the underlying commodities which you have volumes, and energy or

crude has been behaving in that fashion. If you observe the last 3 months , crude has somewhere stabilize d, crude price. But despite that the volume has stayed elevated , and when I am saying volumes, we are combining futures plus option s. The volume has stayed elevated. So then perhaps it is because of natural gas, the new contract that we have lost. That is somewhere offsetting that. Or is it that now options obviously move to the extreme? Or is it that opti ons will behave differently as compared to futures ? And so there's a question arising on them . Could you give some more clarity to what is going with the options , what is the clientele customers are doing

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whether it is retail in nature, whether has it changed , or it's largely similar what you see in futur es, same thing you see in options? Those are the initial questions.

Praveen DG : I think natural gas we have launched in the month of January. So, subsequently , it is like it is one more product which is a capacity product , which is added in the option s, and peak margin reporting . Anyway, after that one, this all transition , whatever it happened , okay , there is a greater shift or greater performance . That is what we could experience in the options .

Number one. That is what was happened after this introduction ...

Secondly, in the case of energy contract , even today , crude oil attracts a very high margins . It is close to 30 to 35 % because you would be knowing that SGF related issue . So whenever it is like if you are not sufficient margins are not collected , then you need to have sufficient funds at least in the SGF whether you ought to charge a higher margin or you need to have sufficient quantum of money in the SGF.

Otherwise, what if you are charging a lower margin , then risk is going to be on a higher side . Based on a risk calculation , if you do a stress test analysis , automatically , your SGF requirement will go on. So either you have to increase the margins or you have to increase your SGF, but the problem with the SGF is today , as per the current regulations , once you infuse a capital into the SGF, it is only one way . You will not be able to take it back . So once induced , it is gone . That means it will remain in the SGF, but you will not be able to get it back. So exchanges , not only MC X, but other exchanges also made representation to the SEBI for considering that one that okay , as and when it is required , we will Infuse it . Subsequently, we will take it .

So after that one , may be I think the series of discussion happened and some working paper recommendation , everything was given to the SEBI. SEBI also was put up the matte

r before the , their risk management , and they are supposed to meet again , and they will be discussing that particular thing. But in a way , they are also considerate , and they are looking into that particular

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matter because we are open , and we are saying that okay , when our really requirement goes up , we are free to put that one as long as the money can be taken it back. Otherwise, it is, there is a bigger risk is there for us also . So given that one , I think , definitely , the higher margins in future s is attracting some market participants towards the option s. Whether the question is whether the margins happen t o be same or different means for the option writer, it is going to be the same . That means same it means it is not exactly the same . Depending upon various parameter Delta or some other thing it is like it looks up in a span mechanism based on portfolio , you will look at what could be the margin , but in roughly I am saying more or less it will be around the margins level of the futures . Okay.

But there are option buyers who definitely can take a benefit out , like they pay only once as a premium . After that one , they need not have to worry about that. So even in if you look at the m parallelly the peak margin reporting, there the requirement is that the members are supposed to take up front the margins from the clients. So when you have intraday margins ge tting changed because of the volatility and everything , a buyer some of the set of buyers feel comfort in buying the options where they can just deposit that amount

towards the premium , and they need not have to worry .

So some people definitely have seen some greater merit in options for it , and they started trading in that . So you can see that some of the people who earlier used to trading futures definitely has gone to the options , but always what we have to look at it here in commodities markets , whatever option products are getting traded today are all options on futures. It is not option on spot .

That means whenever somebody is trading and somebody writes are there, especially , writer , they look for protective measures , like they wanted to take the parallel positions in futures before writing any options because that is where they get the protection . So because I am giving an option . It is like it is only for a small premium amount . I am giving him the right , and I am taking

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the obligation , but I needed to protect myself from that. So those people , they trade in future because underlying happened to be the futures . Okay . So there could be a drop , but what we see is it will not be that steep as compared to the raise that we could see in the options contract . Okay. So the corresponding raise is significant in option . And earlier some of the people who are sitting on the fence , when we came out with options and everything , they were not very free to come because they look for liquidity across multiple strike , strikes . Okay, but in futures, you will have only one or two contracts , while here it is like in option , you will have multiple strikes . People have to trade . They require the liquidity at least that means you require market to be market books should be at least decent enough so that they can able to come and trade in those option contract also .

So thanks whatever in this peak margin reporting in a way has pushed some of the market participants to start looking at the options , and liquidity boomed and everything became decent enough , and we started seeing people participating in the options also . So it's a good thing . It is a win-win. In fact, it's a regulatory move , but it has come to our favour , and it has pushed liquidity into that

ne. So given the increased liquidity or performance the option , we wanted to now widen the basket , product basket in the options also. That is why we came out with the natural gas , which is also a cash settled product , which , I mean , the underlying product happened to be a cash settled product.

Speaker: Underlying --

Praveen DG : Underlying means natural gas , because the product happens to be option on futures. But underlying contract happened to be a cash settled contract. So the risk of delivery won't be there . Okay. But we are looking for other thing also, like, okay, why --

Speaker: Futures are all cash settled?

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Praveen DG: No.

Speaker: Okay.

Praveen DG: If you take, currently, I can say that only energy products are cash settled. Rest of them are all delivery-based contracts .

Speaker: So I am sorry . I didn't understand. How does it benefit whether it is cash settled?

Praveen DG: See, for a buyer , for example , if you hold on your position , it is like then you have to end up paying the entire amount . Suppose I am a call buyer . You have to pay the entire amount when delivery is marked . Then you have to pick up the delivery , and you have all the GST related matters . All will come into the picture. That means as a client I want to enjoy that kind of credit back into my GST account and other thing . Then I need to myself get registered for the GST and all those things , and all delivery related challenges will come into the picture when you get into the delivery .

Speaker: So I think you don't want to deal in cash settled because it's painful .

Praveen DG: So people prefer to , what they do is , it's a general trend that people tend to roll their position prior to the delivery . So derivatives are meant for actually

risk management , not for deliveries . Then what is the need of delivery means the need is there should be a threat of delivery . That ensures that spot and futures will converge at the time of expiry. Internationally, even if you look at it, it is less than 1% that really , less than 1% of the volume that result in the delivery .

Speaker: Is it required to make sure that the prices don't go ...

Praveen DG: People ...because of that threat is required or the benchmark which you link it whenever you are doing a cash settle should be very acceptable to the market . These are the general conditions that you have to look at it so that the prices cannot be manipulated .

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Speaker: On the same logic , so if we have this index options on the contract coming into picture , that can be a big opportunity .

Praveen DG: Yes. It is a big opportunity . You have a cash settled product .

Speaker: And index anyways is a much bigger category in other exchanges .

Praveen DG: See, unfortunately , what happened means in our case , the METLDEX was doing very good , but the nickel which was otherwise was drawing some close to 2,000 crores after the LME debacle that suddenly the nickel prices were shot up and everything , then liquidity has dried up in our nickel contract . But even today the METLDEX continue to have the nickel as the underlying constituent of that particular metal , METLDEX index . So during this January rollover , we are , it is going to get rolled over , and the nickel won't be part of the METLDEX after the January rollover . Rollover or you call it rebalancing , rebalancing of the index . So after that one , we wanted to , again , wanted to reintroduce the index METLDEX . And then we wanted to , again , wanted to push the product METLDEX index after nickel goes .

Speaker: Okay. The growth we are seeing in index ...

Speaker: Yes. The METLDEX earlier , it used to contribute close to 150 to 200 crores. In fact, prior to this nickel episode , it has even hit close to 400 crores turnover.

But after this one , because of that one , because if you don't have the underlying , you cannot expect that somebody will trade in the index futures . So that is not important but BULLDEX is still doing good . And I think after this technology migration , we wanted to go for some weekly contracts.

Speaker: Sir, also what you gave even gold and alternate bullion should also be cash settled, right?

Praveen DG: No, I think you need clarity what do we mean by cash settled and what do we mean? I will just explain that.

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Speaker: No, I think if you want a future, and if it's coming to an expiry, I have to pay and buy that. That's cash settled, right?

Praveen DG: No, no, you won't pay. It is like the differences will be settled . It will not be like entire amount will be paid .

Speaker: Price differences.

Praveen DG: So in case of compulsory delivery , it is like whatever is a contract value , you have to pay the entire amount . Then you have to buy that commodity . That is how the physically settled commodity like a compulsory delivery contract is.

Speaker: This is cash settled.

Speaker: Cash settled means only the difference will be get settled , like, okay , suppose every day M-to-M is, technically , in a way, end of the day also , you will have another M-to-M kind of thing based on that underlying price . Okay. And then it will, the contract will get settled. So there is no threat of delivery there .

Speaker: In cash settled,

Praveen DG: In cash settled products.

Speaker: Coming back for the delivery, five days prior to the expiry you have to inform that we are going to give the delivery.

Praveen DG: So five days before we call it as a tender period . The tender period margin what will happen means there is incremental tender period margin that becomes applicable , like, for example , take the case of metals or even now

they made in case of crude oil also , they made pre -expiry margin applicable .
So in this case what happens means five days before the expiry , one, first day
you will be imposed 5% pre-expiry margin . That means your margins are
there . Suppose 30% is your current margin. On that day it becomes 35 % . 30
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plus 5%. Then you have extreme loss margin is there . A very subsequent day,
another 5% will get added.

So that way it is like on the day of expiry, it will be 25% additional margins will
be there towards that pre-expiry margin plus you will have initial margin . So
somewhere this , these margins put your actual margin requirement close to
55% like that. This is, they made it applicable not only for delivery -based
contract , but the contracts where there is a possibility of prices going to
negative , there also they made it applicable . Okay. So crude and natural gas
as there could be a possibility that can see the negative prices , there also it is
being made applicable . So the point that we are making was for the energy
that was cash settled, the next all is physically settled. So that threat is there
in both cases threat is not the margins getting higher during the as we come
closer to the expiry, it is equally applicable in all the contracts .

Speaker: Cash settled or physical.

Speaker: Or physical given the current products . Okay. Then what do you say ? Like, but
delivery threat is not there in case of cash settled contracts.

Praveen DG: Correct. You may have to pay a higher margin , but you don't have the delivery
threat .

Speaker: So that is what is making energy --

Praveen DG: So energy means like when you are taking 55 % margin , which is a very
substantially , on a higher side . I prefer to go for an option buying , right , so
that I will have to pay only the premium amount .

Speaker

: You know, there also I have to pay high....

Praveen DG: No, you have to pay only the premium , see in case of option buyer --

Speaker: In gold where the margin requirement is less because it is physically settled.

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Praveen DG: No.

Speaker: Or the volatility .

Praveen DG: No. The reason is like that's what , you understand . The margin requirement
can go for, go up because of various reasons . One is based on the volatility .
We have higher the volatility . Every day, every , on a real time basis , we look
at how the , how volatile the commodity happened to be in Indian market and
overseas market. Depending upon that one , there is volatility -based margins
are going to become applicable . Beyond that one, there is something called
extreme loss margin . This is to cover the , the tail ends of the curve . So we
charge that. Something around 1.5 % , we charge towards that extreme loss
margin. Besides this one , like just now I explained , the tender period margin
is going to be applicable , but this is going to be applicable only during the last
five days of the contract .

Now coming to another aspect where we are, suppose we are charging the
margin beyond the volatility is SGF related margins wherein either I need to
increase my SGF, or I need to increase my margins . So in these cases , what we
have done means we have increased the margins of some of the commodities.
Like gold we have increased by 2%, something around 15 , 10 to 15 % we have
done in case of crude oil . Okay . So many factors will decide that one.

Crude versus gold , gold is around because it is volatility -based margin is
around 6% roughly . Okay. Then you have ELM 1.5 which is equivalent to
making it to 7.5 plus 2% towards SGF, I have opted to go for 2% higher margins
in the gold . So all putting together it is coming to 9.5%, around 9.5% compared
to crude which is around 30 % , which can go to 55 %.

Speaker: SGF related margins are also very high in crude oil .

Speaker: It's also linked to volatility.

Praveen DG: No, no. It is not related to volatility .

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Speaker: Besides SGF.

Praveen DG: SGF is historical 15 years we look at it , and we will see that the top two members failing . Okay. Two members , top two members are there is another condition . I think top some 50 % of the members , if they fail , what will happen ? What should be the ideal SGF that you as an exchange or a clearing corporation should have. That can also include extreme tail event, see, that depends more on the tail events , more than intraday volatility .

Current volatility, it won't hit the SGF much. It is the past which will haunt you. That's why people always have a higher margin because past 15 years' data is considered.

Speaker: That's what.

Speaker: Negativeness just happened to be the fact.

Speaker: Yes. That is the, that is the thing.

Speaker: Have you represented the regulator.

Praveen DG: Yes. We have made it already . That is what we have been looking for, matter will be taken up to that Risk Management Committee. If they consider it, I think , then we can start , we can reduce that one . But the good thing is by that time , the margins options also have picked up and doing well . Now there is a very good spread between options and futures. So I think we feel that continue to options should continue to contribute.

Speaker: So tell me one thing with futures, can you give a split ? I think earlier you used to give that , speculators , institutionally .

Praveen DG: We give it on a daily basis .

Speaker: Yes. So, how is that mixed in options versus futures only in energy ?

Praveen DG: Split ?

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Speaker: What I am trying to assess is that how

many people have shifted just because of this requirement ? And how many are new entrants ?

Praveen DG: Yes. I will give you the number of how many people have traded in options , but the number whatever it has fallen in futures is not significant as compared to the rise that you could see in the options . So that way you can say that some people could have shifted , but there is a big jump that we could be able to witness in the options contracts.

Speaker: You are saying there are many new entrants.

Praveen DG: Many new entrants.

Speaker: And that would be more, mainly retail side or not necessary?

Praveen DG: See, in commodities, the retail definition is altogether different . Because here the product size itself is very big , and I will not be constantly changing the trading lot also . It remains more or less fixed . The prices goes up and the size goes up . Like, for example , gold contract , today, it is a 50 lakh contract , which is substantially big compared to any NIFTY. NIFTY , what will happen ? They keep changing the trading lot depending upon the what is the value of the Nifty , and they wanted to see that the value of the overall contract can be anywhere near 5 lakh. But here it is not the case .

Speaker: Is it proved that the contracts remain same ?

Praveen DG: It remains , because our lot size remains 100 , 100 barrels . So depending upon the price and other thing , always it will be like whatever it is .

Speaker: For a retail who does a Nifty, and Nifty for him, and so it is like difficult , right , because the sizes are so large ?

Praveen DG: It is, but it is, but you also if you look at equity cash markets , I can buy even one share , two shares and everything . That is not possible in this case . This is a derivatives market platform .

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Speaker: Only derivatives.

Praveen DG: For derivatives no cash is there . So in a way , it is like those people who can able to accommodate or able to trade in this kind of contract , they only will

come and trade .

Speaker: But we are launching 100 gram gold .

Praveen DG: No, we have done already. Options 100 grams gold, we have done it, and that also is seeing good liquidity now . Just very recently we have --

Speaker: Another question could be, so what is your definition of retail ?

Praveen DG: Retail here means reasonably bigger . That means we can --

Speaker: HNI.

Speaker: HNI kind of thing who are having good money . That means who can able to take a decision based on that one.

Speaker: So speculators , in general , should be less in your ?

Praveen DG: Yes, see, for example , I will give you , in our case , the registered or active UCC s are 1 crore.

Speaker: Okay.

Praveen DG: But the traded UCC s, traded i f you see only around 4 lakh , 4.7 lakh .

Speaker: So only 4% of people , 4.7% people are trading , active trade.

Praveen DG: Because it is like active means after the integration of this intermediaries , whenever anybody is taking a client , getting any client to get registered in their brokering account . Based on the client 's request , they will make every asset class a tick mark so that they can , the client can able to trade in any of the asset classes . So some of them are technically like asset neutral .

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Speaker: So can you give some more color on this 4.7 lakh traded UCCs in trade? Can you give me some color who are those ? And how many of them are business , are business , are business owners ?

Praveen DG: See, okay . There is a, while we come out with one report , which we show it on a daily basis , like we will say that open positions, not the volume , because volume is not a right representation for commercials . We call it like commercials or you can to it.... who have

an exposure to the commodities in

a way t he hedges , who could be the possible hedgers . Depending upon the commodity to commodity , it varies , like whatever is like, roughly , you can say that it is anywhere between 20 to 35 % . In some of the commodities, it is even higher also .

Speaker: The hedges.

Praveen DG: Hedge rs.

Speaker: Which are mostly, correct.

Praveen DG: But they are not interested in trading . Rather than they will be more interested in holding on their position , because ultimately , I have to protect myself the risk of price movement . So like that it ranges anywhere between 20 to 30 . This data readily is available on our website . You can download and you can look at it.

Speaker: Take a look for open positions .

Praveen DG: It is open position based data , because we don't want to look at the volume . Because Algos preferably trade o n intra day, because they wanted to hold , and they wanted to exit depending upon the opportunity . But a hedger wanted to continue to hold his position for a long period .

Speaker: So we look for open position d ived by our total volumes .

Praveen DG: No, no.

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Speaker: That will be 25%.

Praveen DG: It is out of the total volume, total open interest , what is the share of this kind of the people or entities who are having exposure to the physical market.

Speaker: Physical market?

Praveen DG: Physical market.

Speaker: But you give data only open positions.

Praveen DG: No, no, no. We give volume data , we give it . There we give the , like, how many Algos, what is the percentage of Algos we give it .

Speaker: So what percentage Algo you give ?

Praveen DG: Algo we give it. We give it number . It is there in our presentation also , investor presentation we have given .

Speaker: Yes. I missed that.

Praveen DG: Okay. And we also give what is the client trading . We give proprietary , how much client .

Speaker: How much we give that one.

Praveen DG: How much is the mobile trading , that also we give it. Okay. Then we give hedges or you can say the entities who are having exposure to the physical market based on their disclosures , because I cannot say that what is their intentions . It depends upon their intention and other thing , but based on their disclosures , we make that . Out of the total open interest on the exchange , what is their share ? That we publish on a daily basis .

Speaker: You are saying 25 to 30% are hedge rs.

Praveen DG: Roughly.

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Praveen DG: Depending upon commodity it is. In some commodities, it is even higher also.

Speaker: And how much would be Algo?

Praveen DG: Algo, don't link these two things because one , I am speaking about the volume . Other one I am speaking about the open interest . So don't , don't say that it is still , these all will reach to 100%.

Speaker: In volume, hedges will be less.

Praveen DG: Lesser. It will be lesser.

Speaker: Because they trade less.

Praveen DG: They trade less, but they hold on their position for a longer .

Speaker: What could be volume mix ?

Praveen DG: Volume, you, we have given like see , Algo percentage in case of futures is about 55, 54%. Okay. Client trading is about 51%. Mobile trading is about 21 %.

Speaker: This is volume .

Speaker: Which is also not adding to 100.

Praveen DG: It won't add because , for example , a client can also be trading through your mobile trading.

Speaker: But again , so maybe --

Praveen DG: But nowhere we give that particular entire pie what you are looking for , because we don't have that data . We don't know that one. That's why.

Speaker: So whatever you have an idea, you are trying to give.

Speaker: Yes. We are giving that color.

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Speaker: So this Algo and client trading, who will as in will it be HNI is for sure, but is it corporate? Is it brokers?

Praveen DG: Algos, you find prop as well as some clients are also doing . Client as well as prop, both they do the Algo.

Speaker: But they look for mostly arbitrage opportunity.

Praveen DG: Yes. Algos are generally look for more of arbitrage or unless they feel that okay , maybe I want to trigger this particular thing based on a particular event or something , they can speculation also they do it.

Speaker: There are different types of --

Speaker: And client trading would be HNIs.

Speaker: Yes. Yes. All category. All category.

Praveen DG: All category.

Speaker: And this mobile would relatively be a HNI.

Praveen DG: It has come down after the COVID. Earlier it is during the COVID time it was gone higher , and subsequently , it later has come down . Maybe people that time preferred to use more of mobile .

Speaker: And whenever internal analysis just mix the options , it's same as futures or it's different ?

Praveen DG: We have given more or less it is the options , it is Algo is 52%.

Speaker: Same.

Praveen DG: And mobile trading it is 31 % , but again , it has to be compared with again your volume and other thing , but more or less looks like the trend is more or less the same .

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Speaker: So it's very , so there's nothing for us to suggest that the options is different .

Praveen DG: Yes.

Speaker: Maybe new entrants have definitely come , but the color is largely the same .

Out of this 4.7 lakhs, how many ...?

Praveen DG: We have given, it is about year -to-date if you look at , okay , that is of the last year . So I think that may not be a right picture . Year -to-date it is about 2.13 , okay , till September I am saying , it is like they have traded in options compared to 2.36 in futures . It's a balance d, you can see that very good balance .

Speaker: This new entrants who would have come in options , would they be lower , would they be retail in nature as a typical retail or no ?

Praveen DG: See, we, frankly, it's very difficult to say that we will come to know also , because what are the ir levels or income . We may not be knowing th is.

Speaker: No, but is it , is it a new set of customers coming in over and above what you had already ?

Speaker: That is new customers, but --

Speaker: Is the profile different?

Praveen DG: We don't have that particular data to just make out , right , profile why they are different . Very difficult to say , but India , in India , options happen to be very popular .

Speaker: But at the same time , options are popular because it's driven by retail. There are these discount brokers who have pushed it . There has been this medium .

So, are we in that direction or we are --

Praveen DG: See, many of these discount brokers are very much active on our platform also.

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Speaker: Is your product doesn't appeal to a retail who does --

Praveen DG: Very small retail definitely , if you look for that kind of category , very small retail definitely that these best products can be bigger or similar .

Speaker: Hopefully, a buyer may come... buyer --

Praveen DG: Writing is very difficult for him to --

Speaker: Sorry.

Praveen DG: Writing, option writing could be difficult for a small retailer .

Speaker: No, but he can be on the buyer side , you can have a smaller retailer .

Praveen DG: Buyer side he can take in, but again, depending upon the ticket lot, depending upon the ticket size and other things.

Speaker: Ticket premium.

Praveen DG: These contracts may be in the range of 10 -15. So that range is the range in which there has been n... That is not a very I would say like 2.5 lak

h , 1.5 lakh

margin.

Speaker: Correct. So this is what I was trying to understand that --

Praveen DG: Margin that you have to pay in futures. That is the --

Speaker: As your profile change because your ticket size is 50,000 kind of profiling will not...

Praveen DG: That's what. We don't have that .

Speaker: And he wouldn't even know which, how has the brokers had changed ...

Speaker: Angel will be what market share ? I think , they have --

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Praveen DG: That particular data we are not announcing , like we are not making any disclosure . But they all have been active .

Speaker: So is the mix of brokers different?

Praveen DG: Yes. It is, you can say that in the top 10, there is all mixture . You find Algos. You will find retailers . You will find prop . All categories are there in the top 10.

Speaker: In options .

Praveen DG: No.

Speaker: Yes, in general , I said .

Speaker: I am saying it's a different futures versus options.

Praveen DG: We don't have at present , I don't have that number.

Speaker: But have you done internal prices in terms of even giving the kind of brokers options and all that ?

Speaker: That is what. So how do you understand options? Is it same or is it how the brokers are different?

Speaker: That gives us some color back. This is while you can say that this is what you say, but then how do we kind of take comfort? I mean, how different it is from the futures have been volatile that we have seen over so many years . What makes us think that options can here to stay ?

Praveen DG: I don't have the numbers , but should be the more or less should be the same . And since you specifically ask, we can look at it .

Speaker: Yes. What we are trying to look out is maybe the contribution of Zerodha or has increased significantly, or now in last one year, and that --

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Speaker: Through them you wanted to analyze what could be the impact.

Praveen DG: That's changing because of options volume.

Speaker: Okay. That way you --

Speaker: How different is the options basically from more from the client side, you know, customers? So is it a shift you said there are new people coming in?

Who are those new people?

Praveen DG: Are the brokers not giving any such data? Angel is listed.

Speaker: Yes.

Speaker: Angel gives....

Speaker: And we use that in the They don't give that data. They don't give. They just give their commodity share.

Speaker: They give their commodity share.

Praveen DG: Commodity share.

Speaker: They just give volumes, market.

Praveen DG: But see, look at the Algos, for example, I am just going by whatever we have .

Algos happen to be at the same level . That means more or less the Algos maybe the broker specialized in option s could have been doing a better Algos and other thing , but rest of them all to be from the way you are looking for performance . They should have been from other category of brokers.

Speaker: So just shifting to the new topic , so this natural gas , you said you launched in January . Is the pricing has been significant last two , three months because of the volatility in natural gas ?

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Praveen DG: It will be as w e come out with the rol l the products and other things , slowly it will be in the traction .

Speaker: So over time it's a natural evolution of energy . So do you think this product can be really big ? Like can it be --

Praveen DG: You can immediately compare it with the future s, like the way it is doing in the future s. For example , crude oil , and crude oil has done , it is year -to-date it has done something around the 4 ,200. Compared to natural gas , it is around 6,200. One advantage in crude oil which could be supporting its options is very

high margins , very high margins compared to the natural gas . Natural gas option margins are not that significantly high as compared to the crude oil.

Speaker: Despite their options is doing fine in natural gas, because relatively the ticket size is less. So naturally also , you have to pay lower margin compared to futures.

Praveen DG: Lower margins. And it is..... And it is also more or less it is having more or less the same futures, which the crude oil is having like cas h settled contract and other thing. All are really fell... .

Speaker: Sorry. I forgot . So cash settled you said leads to higher , higher traction in options .

Praveen DG: Yes, one of the advantage for trading in options.

Speaker: Because that it leads to a higher .

Praveen DG: Because I don't have to get into the delivery aspects , right ? So that way it is like, like index , you take the index options or index which is compared to the stock futures. Now most of the stock futures are also made delivery -based contracts . So that way it is like people feel comfort in trading in a basket product where it is a cash settled product.

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Speaker: So which is that the underlying is cash settled, so I can be better off with doing options. So gold I will be uncomfortable relatively .

Praveen DG: Because once you get the m, your marked delivery , then it is like you have to pick up that anyway.

Speaker: By chance if we forget squaring off , then you have to pay that.

Praveen DG: So here what will happen means I'll tell you in case of option on futures , at the time of expiry , if he is in -the-money , automatically it will get exercise d and his positions will be converted into underlying futures.

Speaker: Derivatives, stock future , futures .

Praveen DG: Derivative f utures .

Speaker: Delivery side.

Praveen DG: Futures will either go for delivery , or it would go for cash sett led. Okay.

Speaker: Gold, it is compulsory .

Praveen DG: It is. So the movement if it is there , immediately you will be given a big margin once you enter into that one . Then ultimately , there is , and you are entering at the time of tender period . Tender period is why it is . That time even some days are there , at any time you can be marked the delivery . That means depending upon the seller s, you give the ...

Speaker: He gives further ...

Praveen DG: Yes. That means all the delivery -related aspects will come.

Speaker: Usually, trader is always better of f doing cash settled options .

Praveen DG: He has to prefer to , he prefer s, many of them prefer to square off before they get into the delivery.

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Praveen DG: So either you be alert and you do , you square off , or if you don't want to take that risk of remembering , do the other two cash settlement.

Speaker: Do the things means meaning --

Praveen DG: Which is what , which is what is happening .

Praveen DG: So that that is what is the trend even we s ee in the Futures . Like before they enter into the tender period , they square off their position , and they take the subsequent in the position in the subsequent one . Because ultimately , you are interested in whatever is the price mo vem ent, up or down . So your idea is you wanted to just trade that mo vement , price movement . So once it is coming to the expiry , you will take a position in the subsequent contract , and you continue to hold your position either long or sho rt.

Speaker: Sir, this is very clear . Energy, you are getting traction in options , because obviously , the margin is high , and you save , your investment is lower , and it's easy for you to do. Even gold can be done in that fashion , right ? Gold, while I understand the margin is not as high as crude, but gold options relat ive to gold f utu

res is definitely an economic advantage for a trader to do gold options . So why are we seeing while gold meaning is a new option that you are giving . So where 100 barrels a person can do, then why can't you do 1 Kg gold in options ?

Praveen DG: No. See, again , I said it is like the premium in options or gold options is very high. One, because of trading unit itself is very high . It is 50 lakh .

Speaker: 50 lakh.

Praveen DG: 50 lakh contract here . Second, it is a bi-monthly contract . It is not even a monthly contract . That means your expiry comes after two months , every two months . That means the time value of money for gold is very high , gold options , as compared to the crude oil, because th ere you have monthly contract . Here you have only bi-monthly contract.

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Speaker: And it is monthly doesn't matter.

Praveen DG: It is a bi-monthly. So that increases your premium cost.

Speaker: So here you said 50,000 per energy contract . How much will it be for gold?

Praveen DG: Roughly take if it is a 50 lakh , I am just giving the estimates .

Speaker: Okay. Yes. Rough estimate.

Praveen DG: 50 lakhs is the contract means generally , your value will be 1%, 1.5% will be your premium size . Okay.

Speaker: So it's 50,000 to 1 lakh.

Speaker: 50,000 to 1 lakh.

Praveen DG: Okay . Then if your time value is getting added , automatically , it will add up to another 0.5 to 1% of the --

Speaker: So why you couldn't do it monthly then?

Praveen DG: That is what we have , we also received the permission , but we wanted to wait till the migration happens . Then we wanted to roll out the products.

Speaker: Okay. And we have this thing, weekly contract in this . Can we have that?

Praveen DG: See, what we are looking at is currently , we wanted to start with the monthly contract rather than directly getting into the weekly contract.

Speaker: Weekly, you know, weekly can we have in crude and natural gas ? So is it allowed or ?

Praveen DG: Currently, see, for everything , we have to go to the regulator . We don't have permission per se to go and launch it. But we wanted to start with monthly contracts in gold, and if at all anything is there , we wanted to plot and look in index weekly or....

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Speaker: So how will we , so when you are talking of this physical settle , so once a spot exchange comes in , and does away with this , then you can be cash settled for gold and silver ?

Praveen DG: No, actually , no, because ...

Speaker: Separate segment.

Praveen DG: ...it is unless I launch a product linked to say , for example , EGR unit , unless I do that it is not fungible between these two model types , because the product that is the EGR, again , what are the products that are converted into EGRs gold , whether the same bars are accepted , or have different quality ? Or what is the unit ? So there are many parameters that will decide how your EGRs is being made . And my product is having altogether a different , what do you say, different underlying , because I have defined LBMA Gold , and I have specified that apart from LBMA GOLD in some of the gold contracts , it is like my empaneled gold refineries . So unless they are strictly equal in all the cases , I cannot say that it is --

Speaker: What do the spot exchange help you then ? It doesn't help you at all?

Praveen DG: It depends upon as a future exchange, liquid exchange is there . If I decided to come out with this one , I can come out with EGRs, which can be similar , or it can be made fungible to my futures market. That is one thing , but current --

Speaker: You can do that .

Praveen DG: That we can do it , but currently , it is apart from that one , there are certain GST related challenges are there in

case of spot .

Speaker: In spot, but have you seen stock futures is stock settlement ?

Praveen DG: It is now recently they have made it delivery -based contracts , stock futures .

Speaker: Stock options also.

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Praveen DG: Stock options and this one both are , but they are not option on futures. They are all both are option on spot .

Speaker: Both.

Speaker: So some are cash --

Praveen DG: Both are cash. That means they are linked to the cash market both.

Speaker: That is why even on NSE you see index options having a higher volume .

Praveen DG: Yes, because they are both are cash settled, but earlier if you look at , even if

you look sometime back , it was index option which was driving the market .

Speaker: Correct.

Praveen DG: Your stocks are generally , stock options are generally , they are in the ratio of 1:1. If you see the futures and options around 1:1, but it is the index option which was gone.

Speaker: 1:100.

Praveen DG: That's what . Multiple times higher than the --

Speaker: This cash settled is very , very important for options together .

Praveen DG: One of the best for the , see, for the people who don't want to trade in , don't want to get into the delivery , definitely for him we see it .

Speaker: But in exchange they want people who don't want to get into trade.

Speaker: See --

Speaker: Because they will only be, they will only add volumes.

Praveen DG: No, no, see, I will tell you . I require products of multiple category . I should be diversified.

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Speaker: I should be diversified.

Praveen DG: Unless if, for example , because not only this one . Volatility decide which product somebody want to trade . Suppose cash settled products you have it , but no volatility . Who will trade in that one ? So depending upon that one , I need to have a wider basket such that if something , some other factors are not bringing the volumes in this particular category , I can bring the volumes in that one.

Speaker: On the offering. NSE is a classic example because there you have index option is the 90% of its volumes of index which tells us that if you , your volume has to go back to the old higher was the old height , then is this the prime requirement ?

Speaker: Will this be a big enabler ?

Praveen DG: It is one , one of the biggest enabler . I can say it . Not necessarily be the only one.

Speaker: I mean, it looks like it's not a big thing for a person to remember that I need to square off.

Praveen DG: Yes. That's what . That is what I said . So it gives the comfort .

Speaker: It's the example, I --

Speaker: It gives the , it gives the comfort definitely .

Speaker: No, for a retail, they actually forget and square off.

Praveen DG: So for a hedger if you ask delivery -based like for him , it doesn't matter .

Speaker: That is there, but still --

Speaker: Yes. That's what it definitely.

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Speaker: Because gold belief, you know, losses will be also delivery settled I mean

Praveen DG: That means option will devolve into the futures, but futures will be the delivery -based contract .

Speaker: The challenge will be there in gold as of now.

Praveen DG: Yes. You, you have it .

Speaker: Can you change that? Is it in your hand or it's the reg?

Praveen DG: No. Regulator have said it clearly that all the products have necessarily have to be compulsory delivery contract unless delivery is not a viable solution in a commodity .

Speaker: Then only you have to do it.

Speaker: So if you have indices on gold , so then it can be cash settled.

Speaker: Yes.

Praveen DG: Sorry. What?

Speaker: Indices on gold .

Praveen DG: Indices on gold.

Speaker: Index option.

Speaker:

See, not index options . I said you have --

Praveen DG: Technically, currently, what they have said a single commodity index cannot be launched . Single commodity index cannot be launched , but we can have

like, for example , we have a BULLDEX, which is a combination of gold and silver . And metals , it is a combination of five metals .

Speaker: Yes.

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Praveen DG: That is how it is .

Speaker: So how , how far are we from launching this gold and silver index?

Praveen DG: BULLDEX is already doing good . It is already having the volume .

Speaker: Options we have not done .

Praveen DG: Options we have not done that one . We are again waiting for the things to happen . After that one , we wanted to --

Speaker: After technology comes by, proper technology should be there, because they now approval from the regulator has already come .

Praveen DG: Option is this one we have not even applied , but other like monthly contracts are already received for gold .

Speaker: The options, can it go up from here or you said that --

Praveen DG: See, potential is huge for options given the trend whatever we have seen or given the interest that is there in the Indian markets , especially for option .

Definitely, it has a very , very good potential , because today , it is almost , options are almost catching up with the volumes of the futures. But

potentially , if you see in the equity market, you see a big potential and other thing . So did we see very good potential in the options ? And there could be possibility that options can also lead the futures also. That also is there.

Speaker: Like because this has everything in it , it exercises 15,000, which is , which is a suitable amount . At the same time, it is cash settled. So, so, I mean everything is perfect for it is mixed.

Praveen DG: Yes, it is, that is , Yes, it is.

Speaker: But then I think --

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Praveen DG: On many occasions recently also , there are many days where we have options volumes higher than our futures volume .

Speaker: But, but still so far it 's just compensating the loss in futures . If I was just --

Praveen DG: That's what I said . The loss that whatever we made in the futures is small compared to the gain that we have made in the options .

Speaker: No, so what I did was that I just did options volume divided by 3 because it's the revenue had contributed one .

Praveen DG: Okay, that way , okay .

Speaker: One and plus futures volume, and I saw what is the number today .

Praveen DG: Actually, one-third --

Speaker: When I try to compare the peak , the past decade , so because, because ultimately , we have to cross that number for us to --

Praveen DG: Prior to CTT is something.

Speaker: But, no, but during that CTT, prior to CTT of gold was quite strong . Your energy was not as strong . So the energy became --

Praveen DG: The one advantage I can say that even CTT happened to be lower in options compared to the futures . Significantly, that is the reason even in equity market options are doing better than your underlying , this one, futures .

Speaker: Correct. So which is where what I saw was that there were few operations I think even in February '20 somewhere in COVID also, your volume shot up in two, three months , energy .

Praveen DG: It was prior to that. Maybe January , January of '20.

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Speaker: Correct. Correct. Correct. So that was the time , and today , it's largely the same time , that number if I do in this fashion.

Speaker: '20 - '21, sorry, when the COVID, first year of COVID, we was only Bullion which is --

Praveen DG: Generally, even the volume has been shifted from one segment to other segment depending upon the vo

latility ...

Speaker: Volatility, absolutely.

Praveen DG: ...wherever it comes , and depending upon economy , suppose it is booming , one set of commodities will roar. Otherwise, other commodities whenever during recession and other thing . Global, you have in global uncertainty , the gold – Bullion will do better.

Call: Nov 2022

MULTI COMMODITY EXCHANGE OF INDIA LTD.

EXCHANGE SQUARE, SUREN ROAD, ANDHERI (EAST), MUMBAI 400 093, INDIA. TEL: +91-22-6731 8888, FAX: +91-22-66494151, www.mcxindia.com

CIN: L51909MH2002PLC135594, info@mcxindia.com MCX/SEC/2152 November 15, 2022

The Dy. General Manager

Corporate Relations & Service Dept.

BSE Limited,

P.J. Towers, Dalal Street,

Mumbai - 400001

Scrip code: 534091, Scrip ID: MCX

Subject: Transcript of calls with Investor/Analysts

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 read with the SEBI (Listing Obligations and Disclosure Requirements) (Second Amendment) Regulations, 2021, please find enclosed herewith the following transcript of the call with investor/analysts:

Sr.

No Investor/Analysts Date Time Annexure

1. WF Asian Smaller Companies

Fund Limited (Ward Ferry

Management Limited) November 07, 2022 03:00 p.m. Annexure - A

The said transcript is also uploaded on the website of the Company at <https://www.mcxindia.com/investor-relations/ir-meetings>

Further, we hereby confirm that no unpublished price sensitive information was shared/discussed during the said meeting.

Kindly take the same on record and acknowledge receipt.

Thanking you,

Yours faithfully,

For Multi Commodity Exchange of India Limited

Ajay Puri

Company Secretary

Encl: As above

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Meeting with WF Asian Smaller Companies Fund Limited

(Ward Ferry Management Limited)

November 07, 2022

Disclaimer:

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This document may contain "forward-looking statements" – that is, statements related to future, not past, events. In this context, forward looking statements often address our expected future business and financial performance, often contain words such as "expects", "anticipates", "intends", "plans", "believes", "seeks", "should" or "will". Forward-looking statements by their nature address matters that are, to different degrees, uncertain. These uncertainties may cause our actual results to be materially different than those expressed in our forward-looking statements. We do not undertake to update our forward-looking statements.

Annexure - A

Multi Commodity Exchange

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MANAGEMENT : MR. P.S. REDDY – MANAGING DIRECTOR AND CHIEF
EXECUTIVE OFFICER
MR. SATYAJEET BOLAR – CHIEF FINANCIAL OFFICER
MR. D.G. PRAVEEN – CHIEF RISK OFFICER

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Participant: If you remember, we met in your offices.

P.S. Reddy: Of course.

Participant: A few weeks ago.

P.S. Reddy: Yes.

Participant: Yes. I've also got my colleague Nicholas, you know, who covers MCX, you know, along with me. Nicholas, I mean, you haven't met Nicholas, but he recently joined us. And Mr. Reddy would love to, you know, kind of he's going to be also, you know, covering the business alongside me.

P.S. Reddy: Welcome , Mr. Nicholas. We may not have met you, but you must be watching us for a long time maybe wherever you were. No?

Participant: He actually watches you every week, you know.. . So, Yes. Good. Mr. Reddy, thanks a lot for making time. You know, I would, you know, congratulate you on kind of great quarter that went by. Just, you know, discuss the results slightly more in detail to the extent you guys can, you know, discuss stuff. And that's, you know, the call would be a short call.

P.S. Reddy: Yes. Please go ahead. Go ahead and fire questions , what ever you have...

Participant: Sure. So I think, I just heard you guys had some announcement. I also saw a new chairman appointment on the BSE website.

P.S. Reddy: Just today it came. Yes. Just today it came. Dr. Bhanwala has been appointed . He was a former Chairman of NABARD . And he was also Chairman of the Committee of Social Stock Exchange of SEBI. And he has been our member for little over one year on our Board.

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Participant: On the board? Okay.

P.S. Reddy: Yes. He is already there.

Participant: And in terms of , was there a chairman earlier also? Or you handling the

responsibilities, sir?

P.S. Reddy: No. You see Mr. Saurabh Chandra retired on 2 nd July , and so the re after there is a gap. And then, but the Board meeting , when ever it is he ld, and one of the members is elected as a Board Chairman, and the meeting is done .

Participant: Got it, sir. No, super, sir. I just thought I'll check. Is there any other announcement also happening apart from this?

P.S. Reddy: Yes.

Participant: Or is this digital announcement?

P.S. Reddy: No, we are going to issue a press release , but nothing beyond . I mean, this anyway we have already in formed the exchange .

Participant: Yes. Exchange is already. I saw that.

P.S. Reddy: Yes. That's right.

Participant: Got it. So, sir, I think the first question that I had --

P.S. Reddy: And we have also issued a circular to the market . We have also issued circular to the market participant that , you know, the mo ck is starting from today , and in the morning that circular has been issued with regard to our technology platform . And first we are asking them first two days to login and then see their, you know, logins are happening or not, because that will be a major pressure on us if somebody is not happening and they call us, and all that kind of thing . And then reset the pass words and all that stuff . Then next two days they will know that and then thereafter from Wednesday on wards , I think they can do the full testing. Mock testing.

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Participant: Sir, this will be a testing phase, right? This is still --

P.S. Reddy: Mock testing. This is a part of mock. It's a mock.

Participant: Mock testing. Might be done by the market participants.

P.S. Reddy: Yes. Mock is by market participant s. We have already done UAT. The system is still continuing to be under UAT anyway , because what ever the mock, some observations are th ere, they will be fixed and then released in UAT. Then it will be migrated again to mock and then see whether participants are facing any problems or not.

Participant: Got it, sir. And sir, from a date perspective, you have mentioned that --

P.S. Reddy: We would like to go --

Participant: What

you are

P.S. Reddy: No, before the end of December we would like to launch . When exactly , and we have to figure out one or two holidays or something around that we would like to launch it so that , you know, we will have enough buffer in that sense , you know.

Participant: Sir, when we launch , is it supposed to be lock, stock, barrel in the new platform?

P.S. Reddy: That's right. That's right.

P.S. Reddy: Lock, Stock, Barrel.

Participant: Whenever it happens.

P.S. Reddy: That's right.

Participant: Yes.

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P.S. Reddy: That's right. We have already notified to the market participant the APIs. We are not changing substantially the AP Is. So their back office s and others will not be changing substantially in that sense. So some of the members will be testing that whether the reports they are getting it like a re correctly or not or whether th ere is some, some thing misprint or some kind of columns are in order , not on order , all th at kind of thing.

Participant: Got it, sir. Hello, Mr. DG Praveen. Hi.

Praveen DG: Hi.

Participant: Hi. Okay, sir, on the futures and options, you know, I think th is question has been asked a few times in the conference call as well. Futures ... options continue to do very well. And futures actually in line has stabilized. Now , from a volume... from a turnover perspective, the ADT-wise kind of more or less stabilized in the last two mon ths. It is not coming down . Is there something

to be read from this trend? Or is that totally dependent upon vertical can change tomorrow onwards in your view?

P.S. Reddy: My view is that it can change if the margins are brought down . If margins are brought down, then they will find more attractive as well . That is the way I look at it while options....

Participant: In the futures.

P.S. Reddy: Yes, yes, while because we have a 2% extra margin in gold , about almost all 15% in crude. And once that SGF, it's all linked to the SGF as I told you. If SGF dispensation comes through, probably we will be able to contribute more capital out there . And then the margins can be reduced . Then again , the volumes may go up.

Participant: Sir, do you mind, I think, given both of us started covering MC X for last only few quarters, can you help us understand how this margin... when did the margin increase in coal and crude? And what is the base that you think is the right number, was the number before this?

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P.S. Reddy: See, the crude oil margin , it went up as high as 80% post negative pricing has hit the market in March 2020 . Thereafter for almost one year or so, there was no trading in that. I mean, hardly any trading obviously . Then gradually , this peak mark , we have reduced it. Because as the time passes by , the, for the margin calculations, the past period gets less weightage and then current period gets more weightage. So as we went by, then the margins started reducing it. So it got reduced to about 20% or so if I'm not mistaken . Then it started picking up volumes, but then for the calculation of SGF, we have to take the , the worst case scenario as well . So the worst case scenario happened to be a negative pricing. So that's how we went to SEBI and then requested them for a different dispensation , SGF contribution . Now, while SEBI is looking at it , they did not allow us to remove this negative pricing as a one-off kind of thing. We have informed them, we have got a mail from CME . They are also not taking into consideration this negative pricing . It's a one-off kind of thing . Okay. And whereas they introduced what is called a pre-expiry margins . Now which SEBI said, you also introduce pre -expiry margins. Leave alone giving the dispensation , they said you introduce pre -expiry margins . So last 5 days, 3 days...

Praveen DG:

Last, it is last five days .

P.S. Reddy: Last 5 days.

Praveen DG: It is similar to the tender periods.

P.S. Reddy: We keep adding 5, 5, 5% kind of thing , and it was up to 25% in addition to what we have currently . So that's how --

Participant: So 20% plus 25%.

P.S. Reddy: That's right. Yes. No, I think 30% no?

Praveen DG: That's right. It is currently 30, around 30%.

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P.S. Reddy: Currently, it is 30% plus 25%. 55% it becomes on the last day. So it's as good as last five days, it becomes unviable in terms of trading. Okay. So, obviously , that's why the market participants are having reservations on this participation , and especially when the SEBI introduced the peak margin circular , then obviously the clients have to necessarily put in upfront margin when they want to trade it . Intraday leverage is gone. So all the more reason why they are hesitant . And in the case of gold , we had introduced it deliberately , because if we don't introduce, there, the SGF calculations substantially depends on open interests . Okay. Open interest is needed for more volume to be traded , you know, open interest essentially means there are no , what you call, a fly by night kind of operators . There are people who have interest in the stock and they want to take a position in it, view in this . Okay. So, if the open interest increases , then the SGF cover is required. SGF is obviously the overnight risk is what something which we are looking forward to. Okay.

Participant: Sure.

P.S. Reddy: Now this is , so, in fact , we have also sought another dispensation . Can we have during the daytime one type of margin and then VaR, and only on the open interest we will have a higher margin kind of thing . No, nothing doing . That's the way it was answer we got . So, so coming back to this open interest thing, it's not only in open interest in crude, but in the gold and silver also it is increasing. Okay. So when ever there is an open interest , obviously, it's good for us. No doubt about it. It's good for the market , good for the market participants , and the y will be able to , this, that that increases the depth in the market , and but then we need to contribute more to SGF. And we, if once we contribute, we can't take it out . That is the problem at th is point in time.
Participant: There is no settlement, let's say. So in SGF there is no settlement if let's say open interest goes down.
P.S. Reddy: Then, the requirement comes down , but what ever you have last contributed , it remain s there only . You can't take it out.
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Participant: You can't take it out. Okay.

P.S. Reddy: Okay.

Participant: Okay. Got it.

P.S. Reddy: Now, for example , our SGF coverage gone up to 4 30 crores or something like that. Although our SGF coverage is 100, 530 plus crores, 35 or 60, 40 crores, the rest is contributed , beyond 4 30 crores is contributed by penalties and other interest ... penalties, not interest income. Penalties. And SEBI says that penalties should not be used also for th is calculation . So our contribution as it stands today were about 430, 30 crores, 25, 30, how much? 400?

Satyajeet Bolar : Always total is 565 and MRC is 410.

P.S. Reddy: MRC nahi, I am not asking about MRC.

Satyajeet Bolar: 108.

P.S. Reddy: Not ours. Again, CCL including, including CCL...

Satyajeet Bolar: 420.

P.S. Reddy: 420, it is coming to 420, 25, and the MCX's contribution 25% and then MCCL contributes 75% . That is the rule . Okay. Obviously, CCL is a wholly -owned subsidiary. So it's as good as our own contribution going there.

Participant: Yes.

P.S. Reddy: Now when ever the, when ever this minimum corpus requirement, if it goes up, then 25% we have to cont ribute, 75% CCL has to contribute. So that is why, and we can 't withdraw

, once you contribute , let it remain the re only .

That is the rule.

Participant: Got it. Okay. So it's basically one way cash ...

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P.S. Reddy: Yes.

Participant: ...kind of, you know, if I may call it sink. It goes, and it doesn't come back.

P.S. Reddy: Yes. Doesn't come back.

Participant: And that margin extra i s applied to the trading members, fin ing.

P.S. Reddy: If in the event of their default, and in the event of margins are not available, in the event some of this collateral which we have collected , clients , everything is not available , then this is going to be used.

Participant: Yes. So in essence, gold and silver, you mentioned there is 2% extra margins is coming from this as well.

P.S. Reddy: Only in gold. We have put only in gold.

Participant: In gold. Okay.

P.S. Reddy: Yes.

Participant: And what is the margin before this in gold?

P.S. Reddy: I think if I'm not mistaken , the initial m argin is supposed to be , 7%, 6% has to be, and 1.25% is the ...

Praveen DG: ELM.

P.S. Reddy: ELM. That is extreme loss margin i t's called . So 7.25 is the margin . Now we put 2 more percent , so 9.25 is the margin.

Participant: It's actually a lot if you compare the base 2% over 9%.

P.S. Reddy: Yes.

Participant: It's, sorry, 7.25%, it's a lot of extra.
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P.S. Reddy: Yes. That is what the , that is what the members are complaining about. And you won't see gold so much volatility, you know.

Participant: Okay. Yes. So what's happening now in terms of reduction of these margins? Do you think there is any indication from the regulator on these margins to be reduced over time?

P.S. Reddy: No, as I say, these are not imposed by the regulator . We have imposed it because our SGF cover we have

Participant: For the gold.

P.S. Reddy: And gold as well as...

Participant: Yes.

P.S. Reddy: ...as well as on crude.

Participant: Okay.

P.S. Reddy: Crude, crude oil, the base 30% , initial margin is 30%. Actually, if you leave it to the calculations the initial margin, it may come to 12% or 15% , something around that. Okay. So that additional margin we have imposed it because so much margin is counted for the SGF cover. SGF cover is beyond what is not available as a margin.

Participant: Got it, sir. This is very helpful. Sir, in terms of new products, how are you looking at new products? I think last time we discussed, you know, things were in the pipeline, but, you know, at different points in the regulator's desk...

P.S. Reddy: Yes.

Participant: ...across different commodities. So any new development that you think will happen?

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P.S. Reddy: No, but we were to launch the gold monthly futures contract .

Participant: Yes.

P.S. Reddy: But we held back because that system development is on an d, and once the migration is over , whatever is pending in the pipeline, we will be into launching them . Of course, two more contracts are yet to be licenses to be, permission of SEBI is yet to be obtained , but pending that , whatever licenses that we have or approvals we have , that we will launch post go-live. That's how it is.

Participant: And just one is gold monthly futures contract . What else can we launch?

Praveen DG: In fact, we are getting a very strong demand for even for other monthly contracts, like silver. Silver again, we have only bimonthly contracts. Whether it is Silver micro or mini, both are bimonthly. So there also, there is a demand. And besides that , even for index products, we are looking for some shorter duration contracts.

Participant: Sir, is index a meaningful part of the business right now?

P.S. Reddy: Not as yet. We have to make it.

Participant: And, and who buys index futures typically? Is it, is it

local Indian brokerages,
individual quant investors? Or is it global investors?

P.S. Reddy: See, the difference between the index products versus the underlying products is underlying products are all , other than the energy products , they are all delivery contracts . Okay.

Participant: Okay.

P.S. Reddy: People who want to avoid delivery but then cash settled is what this is . Otherwise, the different , there is no different, there is no other difference , and it truly reflects only the same return. That's how it is.

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Praveen DG: Yes.

Participant: Okay. Got it.

Praveen DG: There is specific demand from those people who wanted to spread the risk

portfolio and they wanted to trade instead of putting all the money in one commodity, and like institution, some of the institution, whenever they all feel confident about a sector moving in one directional movement, then they are preferring the indexes, and that being also being cash settled product. That is one, one advantage.

Participant: Index. Okay. When you say cash settled product, Mr. Praveen, how is that an advantage?

Praveen DG: It is because all like, just now MD said, it is like underlying commodities are all delivery-based contracts.

Participant: Okay.

Participant: And this is just pure cash settlement.

Praveen DG: Yes. It is a pure cash settlement.

P.S. Reddy: They can play till the last day, but in the case of other products, they have to get out of it. They can remain till the last day. That's how it is. It's a cash settled contract.

Participant: And sir, have we seen growth in this segment? I know the base is small. Is it growing or is it more flattish right now?

P.S. Reddy: Come again, please.

Praveen DG: Growth, growth in...

Participant: This segment of index product, is it more flattish or is it growing fast?

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P.S. Reddy: I tell you, so the energy index did pickup at one time, but then subsequently it went on, it has been petered out, this one, whereas the, the metals, they were doing well, very well I would say. All of a sudden, nickel debacle took place. And nickel weight was about 25% in the total, total indices, metal indices. So nickel stopped trading on the exchange. So the underlying is not there obviously, there is no price available. So, obviously, the participants have deserted that also. So we are reconstituting that indices. I think come January, we have already done, issued a notice. And I think come January 16 if I'm not mistaken, as per the SEBI program for index revisions -- rebalancing it's called.

Praveen DG: It's a rebalance that happens on yearly basis. All our indexes, they rebalance on annual basis, and that annual rebalancing happens in the month of January. While we announced that in the month of October, but actual rebalancing happens in the month of January. So, already, the new weights have been announced to the market wherein in the metal index, the nickel is not having any place in that one right now, in the new weight, as per the new constitution. So post that one, again, we, in fact, going for certain changes in terms of the tenure and also parallel we are looking at options as well as futures. So all those things we are planning to bring in.

Participant: Got it. That's very helpful. Sir, when you look at these gold monthly futures contracts, silver monthly futures contracts, and these, I mean, these two primarily new products, whenever they are launched, of course, they will probably have some cannibalization of the existing, you know, let's say silver bimonthly contracts that we have. But do you think, in your estimate today, is this a large market for these two contracts that we are going to introduce or how do you look at the potential of these two spec

ific contracts?

P.S. Reddy: Okay. See, I'll tell you, here, they are not alternatives at times. You know, the way that cannibalization takes place, either this or that is something, it does happen. It all depends on the suitability of the product. Today, there are variety of interest of the trading members. Some want monthly. Some want

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bimonthly. Though some want monthly, this is not available, they are trading in bimonthly. But there is some who want monthly, they have chosen to stay away from participating. Okay. So whereas those who have chosen to trade in bimonthly just because it's not available, probably they move over to the monthly. So cannibalization is, in that sense, yes, but there will be an overall basket of these products, gold, or overall basket of products of silver, should increase the volume on the exchange. That is the way I look at it. Okay.

Praveen DG: See, generally, greater the duration, the premium automatically will be higher.

P.S. Reddy: For options.

Praveen DG: For options. So generally, they prefer to even if you look at general trend keeping all other factors constant, whenever the expiry is further, maybe the 2 months prior to the expiry, then volumes are going to be lesser. And in the month of expiry, you see greater traction in the options. So, when you come out with the monthly options, so then you can see that lot of demand can be because the premium automatically, the time value of the option automatically will come down. That will reduce the premium amounts, and that will make the products more attractive. And you having two contracts, it also gives opportunities, for kind of arbitrage opportunity between different calendar months.

Participant: Got it. Very helpful. This is super helpful to understand. Sir, when you look at, back to the question on futures versus options, from a revenue, you know, kind of per lakh perspective, do you think futures revenue per lakh, you know, the commission that we charge will come down over time? Or do you think it will remain stable to the extent you guys can talk about it both on futures and options side? It'll be helpful to know. I know options look more complicated, but whatever you can help us, it's going to be very helpful.

P.S. Reddy: See... I mean, how does the value premium get decided? Obviously, the premium gets decided depends on the strike price, whether it is at the money, Multi Commodity Exchange
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in the money, or near to the money, or close to the money or something like that. Okay. Now if it is far away contract, the premium will be very, very little.

Okay. Now it all depends on the view of the market participants whether there is going to be a volatility in the coming days, and then they will enter into such, what you call, far away options contract, I mean, strike prices.

Participant: Yes.

P.S. Reddy: Now, as the volumes increase for us, at this point in time, volumes are increasing. At this point in time, we are finding more people trading maybe closer to the money, near money, or at the money, or maybe few maybe in the money. But it is helping us at this point in time in getting the same revenue. But today, you have a volume of say 35,000 crores in options. Now the next batch of 35,000 crores of rupees, will it be near the, near the money or far away from the money? Now if you average it out, it may be lower for all you know. Okay.

Participant: Yes. Yes.

P.S. Reddy: So we cannot call it that it has been... the return is lower, because you are expecting volumes also to grow, but everything cannot be at the, at the money. That's the way I would like to address this. So we should access some kind of a lower realization if volumes increase to us, you know.

Participant: Yes.

P.S. Reddy:

How does it matter?

Participant: No, of course I think anyways we have fixed cost structure...

P.S. Reddy: Yes. Absolutely.

Participant: ...even if it means, you know, higher volumes will actually help us in as operations for us. Sir, when you look at from the futures side, is that reasonably stable, you know, on the futures pricing?

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P.S. Reddy: No, futures pricing is more or less stable. I would not like to disturb that at this stage. When you are introducing new products, we do not want to attract the members, you know, get into...

Praveen DG: Realization, realization rate which remain more or less same.

P.S. Reddy: Yes. That's okay. It is realization rate is 2.07 or 2.06. It keeps varying it.

Participant: Yes.

P.S. Reddy: So it remained the same by and large. So we are not planning to change any tariffs or anything like that.

Participant: Got it. Because...

P.S. Reddy: Somebody will be impacted. Somebody will be benefited .

Participant: Yes.

P.S. Reddy: And we can't go on answering that .

Participant: Yes, no, of course. But I think last time you had mentioned on the conference call that, you know, the 66% is, I think the concentration of I think top 10, you know, trading members from our AD T perspective. We are also not planning to change the pricing structure for a volume discount that we offer to them or is it going to be at least, if this concentration changes, do you think that our average pricing will come down over time?

P.S. Reddy: No, see already it is there at 1... see, if you are on a higher slab, you will pay about Rs. 175 per lakh if I'm not mistaken . Okay. So most of them may be already paying Rs. 175. Now if it is Rs. 175 per lakh, then this is what the rate is currently , 207, whatever we are getting.

Participant: Oh, this is the highest. They are already in highest slab.

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P.S. Reddy: They are on the higher slab. It's like income tax slab, up to 300. Above 350 crores , they pay a lower rate and then over and above is that.

Participant: Got it. This is helpful, sir. Lastly, on the energy derivatives, any update on that, sir?

P.S. Reddy: Energy derivatives, I think, still to get the regulators' approval, and we are only at this point in time appealing to the ir intellect to clear it fast, and with whomever we can engage with , we have been engaging . The purpose of it , how the volatility will be reduced if derivatives contracts are there... There are so many research articles , we have furnished to them ...

Participant: Yes.

P.S. Reddy: Okay. So they're worried about volatility being increased. It's other way. Volatility will be reduced. That is what we are saying it , and we've, probably, they may not be required to put a cap , what they did of Rs. 12 per kilowatt - hour ...

Participant: Correct.

P.S. Reddy: You know, so that 's what we are telling them . Let us see, you know.

Participant: Okay. And no specific data guidelines at least from the energy side.

P.S. Reddy: No, no. See, what is in our hand , we will control . But what is in, not in our hand, what you will do?

Participant: Yes. Got it, sir. Sir, one more you had mentioned on the conference call about FII participation, you know, Foreign Institutional Investors. Can you explain where do these people can participate as FIIs and like , why would they participate, let's say, in MCX versus let's say going to CME and LME when these guys are not planning to take delivery of contracts? Just wondering how does this work?

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P.S. Reddy: Sure. See, one, there we have cash settled contract and non -cash settled contracts. Now, so coming back to the cash settled contract, yes, those products are already there in CME , LME . Now why the y

do come to you?

Okay. But there were always arbitrage opportunities between the markets , and today, the member brokers or some of them are having two books, around , maybe one for international arbiters and another for, maybe they may not be our members also , we do not know how that structure works . With the permission of FIIs being allowed legally into the country , they can have one single book , and then hedge their losses and profits same as whatever is happening in both these markets or maybe several markets . Accordingly, they can , you know, they can trade in the country . That is number one . Number two, if the GST issues are also resolved , now they will have what you call, arbitrage opportunities , which may not be available in any other market or may be available , but then to be , I mean, it's not an alternative kind of thing, you know. So arbitrage opportunities between near month and far month maybe there here in this country. Now, many FIIs who are already there in equities, if they have any surplus cash on their books, they can always deploy in this arbitrage opportunities and then earn some extra

buck s.

Participant: Sir, these are typically equity investors like us, or these are different kind of institutions which typically prefer to do both equities and let's say commodities?

P.S. Reddy: Well, there are lot of interest is coming . That's what our member brokers are saying , and the re would , they could , be equity player s also, you know, they may have set aside a portion of it for a portfolio of commodities. Now for all these years that is not available . So they have not s et aside anything . Now that, you know, if the client says that okay, you trade in Indian commodity markets , fine for us.

Participant: Got it, sir. Super helpful. How much is the GST, sir, right now , on this segment?

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P.S. Reddy: No, it's not a question of GST percent age. The problem is one of registration and then keep filing report s on the GST registration. If somebody buys and then sells it, he will get the credit back. But then to get the credit back, he ha s to register there. All those hassles are there. Why should a financial player who does not lift the commodity , he may not see the commodity also , and he believes that it is the re in the warehouse , why should he take any GST registration? This has been our ask quite for some time.

Participant: This is not yet resolved, GST part.

P.S. Reddy: Not yet resolved. Yes. In fact, even for domestic players also it is coming in the way, leave alone FIIs. If it is resolved, even if FIIs are not the re, domestic players will play a much bigger role in these products .

Participant: Got it. Sir, I have two more questions, you know, on the business side . On our historical 63 Moons contract , just I want to clarify actually, was it based on percentage of revenue or was it a minimum guarantee plus percentage of revenue till the time it is applicable or it was applicable?

P.S. Reddy: Minimum guarantee plus fee pay , based on turnover. So that contract has ended in September . So what ever for one quarter we have paid the substantial sum , that is only a fixed one . There is nothing to do with the volumes.

Participant: Got it. Okay. And we are confident that we would not be required to use th eir services beyond this quarter, the current quarter.

P.S. Reddy: Now we launched the mock. I mean, that is what we want ed.

Participant: Yes.

P.S. Reddy: It's a kind of do or die kind of situation for the management . That is the way we have told all our team members also . So they're all working day in and day out to make sure that it is successful and go-live.

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Participant: Got it, sir. Very helpful. And sir, lastly, on treasury, you know, both the treasury that we have, y

ou know, net worth treasury as well as , the margin money, I remember a number of 1,100 crores and 600 crores pay of net worth cash and margin cash respectively , has that number gone down in end of this quarter?

Satyajeet Bolar : Yes. I'll take the question. So, the margin which is with the clearing corporation as on 30th September , we had 1,000 crore s, 1,090 crore s. And net worth as of today , it is around 900 crores.

Participant: Mr. Satyajeet, is it true it was 1,100 crores earlier net worth?

Satyajeet Bolar : Yes.

Participant: Okay. And so why has it consolidated?

Satyajeet Bolar : So just if you recollect, we have paid dividend s in October.

Participant: Oh, okay. How much? Sorry, I didn't check it.

Satyajeet Bolar : And we paid around 89 crores as dividend.

Participant: Sorry. How much?

Satyajeet Bolar : 17.4% aggregating to around 89 crores.

Participant: Okay. So that's the thing. Okay. And sir, what are we getting yield on th is money that we have?

Satyajeet Bolar : We have moved, as you know, we mentioned in the call, we have moved a substantial amount of our mutual fund investments to state development

loans, okay. So, and we have, more importantly, we have booked it under the amortized method, so, it basically came to maturity. So we won't be booking any notional gains or losses. And this has started from June till ... even up to yesterday also, we are looking out for good deals and the rates in India are

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pretty attractive at the moment. But you know... when we sign deals and we are looking at state development loans.

Participant: Got it. Sir, especially from a, from the e....

Satyajeet Bolar : So basically, it is in the approval. Yes. It would be in the approval.

Participant: How much, let's say, in terms of interest income if I may just make it simply for our understanding, what's the interest income percentage that we are able to create from this money that we have across these entities?

P.S. Reddy: I don't know whether we can really disclose that part of it upfront, okay.

Participant: Okay.

P.S. Reddy: Because it has started from June onwards. Please appreciate. Thank you.

Participant: Okay. Got it, sir. And this is super helpful, sir. I think I don't have any other follow-up questions. Nicholas, do you have anything to ask Mr. Reddy?

Nicholas: No, nothing further. Yes. That's all the questions I had.

Participant: Perfect. So this is super helpful. Thank you, Mr. Reddy. Thank you even Mr. Satyajeet. And thank you, Mr. Praveen. Really appreciate you guys taking out time. You guys are doing great, and you know, look forward to, you know, meeting you guys whenever we are in Bombay next.

Call: Nov 2022

MULTI COMMODITY EXCHANGE OF INDIA LTD.

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CIN: L51909MH2002PLC135594, info@mcxindia.com MCX/SEC/2146 November 11, 2022

The Dy. General Manager

Corporate Relations & Service Dept.

BSE Limited,

P.J. Towers, Dalal Street,

Mumbai - 400001

Scrip code: 534091, Scrip ID: MCX

Subject: Transcript of calls with Investor/Analysts

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 read with the SEBI (Listing Obligations and Disclosure Requirements) (Second Amendment) Regulations, 2021, please find enclosed herewith the following transcript of the call with investor/analysts:

Sr.

No Investor/Analysts Date Time Annexure

1. DSP Investments November 03, 2022 04:00 p.m. Annexure - A

The said transcript is also uploaded on the website of the Company at <https://www.mcxindia.com/investor-relations/ir-meetings>

Further, we hereby confirm that no unpublished price sensitive information was shared/discussed during the said meeting.

Kindly take the same on record and acknowledge receipt.

Thanking you,

Yours faithfully,

For Multi Commodity Exchange of India Limited

Ajay Puri

Company Secretary

Encl: As above

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Meeting with DSP Investments

November 03, 2022

Disclaimer:

This transcript is provided without express or implied warranties of any kind, and should be read in conjunction with the accompanying materials published by the company. The information contained in the transcript is a textual representation of the company's event and while efforts are made to provide an accurate transcription, there may be material errors, omissions, or inaccuracies in the reporting of the substance of the event. The transcript has been edited wherever required for clarity, correctness of data or transcription error.

This document may contain "forward-looking statements" – that is, statements related to future, not past, events. In this context, forward looking statements often address our expected future business and financial performance, often contain words such as "expects", "anticipates", "intends", "plans", "believes", "seeks", "should" or "will". Forward-looking statements by their nature address matters that are, to different degrees, uncertain. These uncertainties may cause our actual results to be materially different than those expressed in our forward-looking statements. We do not undertake to update our forward-looking statements.

Annexure - A

Multi Commodity Exchange

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MANAGEMENT : MR. SATYAJEET BOLAR – CHIEF FINANCIAL OFFICER , MULTI COMMODITY EXCHANGE

MR. MANOJ JAIN – CHIEF OPERATING OFFICER , MULTI COMMODITY EXCHANGE

MR. DG. PRAVEEN – CHIEF RISK OFFICER , MULTI COMMODITY EXCHANGE

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Moderator : Hi Charanjeet , good afternoon.

Participant: Hi Rovina good afternoon.

Moderator: Good afternoon. So, Charanjeet I hope you are aware that all our meetings are recorded. So, this is going to be recorded. It will be available our website subsequently. I will just take a quick moment to introduce our management here , Mr. Manoj Jain , he is our COO.

Manoj Jain: Hi, Charanjeet .

Charanjeet : Hi Manoj ji. Good afternoon.

Moderator: Mr. Satyajeet Bolar who is our CFO.

Satyajeet Bolar : Hi, good afternoon.

Charanjeet: Good afternoon Sir.

Moderator : And I have Mr. DG Praveen , who is our Chief Risk Officer.

DG Praveen : Good afternoon.

Charanjeet: Hi Praveen .

Moderator: So, you can begin.

Charanjeet: Thanks everyone for taking out time for this call and the main purpose was that while we have been tracking this company for a long time the growth on the future side was one thing which was not coming through and now we have seen some growth coming in the option side, so in terms of the business outlook perspective when we see growth in the options and different commodities how things are looking like on the first aspect you can touch upon that and then I will follow up for the questions.

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DG Praveen: So, if you look at futures may be you could see some marginal drop that has happened, but what we could see is a substantial increase in the performance of options contract. So, that way what happened for the exchange point of view in fact it is leading to greater diversification of products like of instead of volume distributed in one or two products now it is like you have a wider set of products and interestingly it is between now two instruments like futures as well as options. So, even if you take the equity market you know that the options is still playing a very great role as compared to the futures contract. So, here also given the trend and other thing it is like we see that this

performance robust performance what we could able to witness in the options this is good for the company with the greater diversification and in fact we could see that significant also is happening in terms of the participants. So, participants are also trading both in options as well as futures and there are some set of participants who are trading exclusively in the options so that way it is like we could see greater participation and the greater product diversification so that is what how we look at it this particular growth and prior to at the time of peak margining, peak margin introduction it was like focus was more on the crude oil, but now in fact apart from crude oil the options on natural gas also started doing pretty good and the contract that we have recently launched one more contract option and futures contract in case of gold mini that also started doing pretty good. So, that way it is like we could able to see the Bullion option products as well as the energy option product both are doing pretty good at this point of time.

Charanjeet: Sir, now this is another thing where these contract sizes were changed and I think that had also impacted the business, so if you can touch upon these contract sizes where all we had seen the bigger changes and some of the places where we have seen increase in the size also which made select the arbitrage for them the size increasing becoming a difficult scenario to participate in the market, so if you can touch upon from the Bullion perspective and also on the LNG side and the gas side, how you are seeing that market is already going forward?

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DG Praveen: See in terms of size of the contract there is no change it happened in case of Bullion contract because we still have the same set of variants like 1-gram

contract, 10-gram contract, 8 -gram contract and we also have 100 grams and 1 kg contract that is what the contract variants that we have it in case of gold contract and again in silver three variants mini and we have micro contract and the major main contract is there. So, that way when it comes to the Bullion contracts there are no contract variation that means because in commodities unlike in equity the lot size cannot be changed very often because it also has to be linked to that delivery. So, deliveries can happen in a particular quantity so that is a very reason you will not see that the contract changes will happen quite often in case of commodity contract, but what we have witnessed in case of metals happened to be different because that time the SEBI has come out I think it has happened in 2019 when SEBI has come out with a particular specified guideline saying that your trading unit and the delivery unit of the contract should come it should be the same. So, because of that one we had to change the trading unit of the copper as well as the Nickel. So, earlier we were having a copper of one metric ton contract was there and also we were having a mini contract also was there in case of Copper and in Nickel again there were two variants were there, but because of this particular specific regulatory guidelines we had to restrict that means we have to come out with only one contracts because the other regulations also says that you cannot have multiple variant you need to have only single variant in one commodity other than Bullion contracts. So, we had to restrict ourselves to only one variant in a particular metal contract and we had to discontinue many of the mini contracts which earlier used to be there, which used to supplement or compliment the main contract and also since we had to link it with the delivery base mechanism we had to increase the lot size of Nickel from 250 grams to about 1.5 metric ton and in case of copper it was about from 1 we had to increase it to 2.5 metric tons so that is how there has been increase in the trading unit of both copper and Nickel that is how it happened, but in case of other contracts there is no change absolutely there is no change it is more depending upon the contract value could have changed

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based on the price movement that has happened in the underlying commodity, but in terms of lot size in quantitative terms they remained constant.

Charanjeet: Sir, as you talk about the future volumes have seen the dip in the FY23 YTD if I see overall YoY there has been a 23% dip on the total futures volumes, so how do you see now this going forward is there a way to get and I think the major dip has come in the base metals futures where the dip has been almost more than 40% and a gri have seen a dip, but base metal it impacts significantly, so if you can touch upon from the overall futures perspective how we should look at the second half and going forward in the next financial year how these volumes can average daily kind of one can grow?

DG Praveen: See year-to-year I do not see the dip has been steep, that kind of steep dip that has happened, for example, if you take the FY22-23 year to date that means for the first two quarters the average daily turnover in future happened to be around 24,500 crores compared to YTD of the previous year FY21-22 of 26,800 around that much that means it is roughly about may be you can say that 8%. So, it is not substantial at the same time if you look at the growth that we have we could able to see in the options that is phenomenal. What we have to keep it in mind in commodities is options contracts are all option on future contracts that means you would be requiring a parallel supplementing future contract whenever you wanted to see growth in the option contract. So, whenever you see the growth in the option

definitely at one point of time it will definitely compliment the futures contracts because the drop in future is not substantial in fact we could see that it is more or less at the same level it is oscillating around the same level. So, at the same time we could able to take the merit of that increase volatility that we could witness in some of these synergy products.

Charanjeet: I think that is an important point which you highlighted there so if I have to look at combined volume growth for the company definitely from a lower base options are showing a very high growth rate futures have a high base so
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from there they are showing this kind of a number, so on a combined basis then what is the kind of volume growth we should look at for the company?
DG Praveen: I would not be able to project what is going to happen, but I can give you the picture year-to-date what we have witnessed during the first 6 months like the Quarter 1 and Quarter 2 we could see a combined average daily turnover of 50,000 crore vis-a-vis 30,000 crores the corresponding period they lost here. So, it is a substantial growth that we could see at the combined level futures and options level and going forward we will be happy because for an exchange point of view we will not be mindful of from where we are getting whether it is from the options or futures. As long as we could able to see that more participants are getting into the system and more products could able to deliver us the volume. So, we will be neutral and we will be happy to see that from wherever the volumes are coming from.

Charanjeet: Sir the other aspect which you have seen is that in terms of the energy basket contributing almost from 40% of the futures volumes and given the options also the concentration is very high on the energy, so in terms of this are there any steps how we want to mitigate this dependence on energy because this could impact our overall performance, so how do we see this getting you know more in terms of reducing the risk of this kind of issue in terms of higher concentration sir?

DG Praveen: Generally, if you take any exchange even globally also there are certain amount of concentration that happens across one or two products you take even the equity products you have most of the volumes are concentrated in bank nifty and other one or two index products. Index options happened to contribute a significant portion of the overall derivative on the turnover on the NSE also. So, that way it is like concentration is not an issue and interestingly on our exchange you have a diversified basket like you have Bullion, metals, energy and agri that way it is like compared to even a global exchanges where global exchanges are generally specialized in one segment or other like for example if you take the London Metal Exchange they are
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specialized mainly in metals, CME again the focus may be on the NYMEX is on crude oil and COMEX is on Bullion contract. So, there are certain amount of concentration is there, but in our exchange the products are very diversified that means you have different segments like I said Bullion , energy, metals and other things that means they all have different cycles t hat means commodity life cycles. So, because of that one if one is not performing well the other things like whenever you feel that inflation is very high then definitely the one people really wanted to go for hedging using the Bullion contracts and whenever economy is going at a bullish that economy is on a bull run that metals are going to drive and energy is going to drive that means different economic cycles will impact the commodity cycles of commodities. As a result of that one you having diversified product basket you always can have the volume in one or other like for exam

ple if you take last -to-last year were doing very fantastically well in Bullion prior to that one sometimes we were doing metals. So, the diversified basket is always putting us in a giving us a very good opportunity wherein we can able to capitalize the volatility or the lifecycle trends whatever is happening in any of these commodity segment. So, that way we are happy in having a very diversified product basket and we are not really concerned about volumes coming from one or two in this particular year or something because as volatility goes or go over to the other commodity definitely we can expect that volume are going to be upbeat in those particular commodities.

Charanjeet: From the yield perspective how we should see that number because definitely if I look at last two years ADT has got impacted, it has been degrowing in the future side, so from yield do we see it you know going down further or stabilizing at the current level of or how do you see the trajectory , per thousand turnover?

DG Praveen: You are talking as a realization rate.

Charanjeet: Yes sir.

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Satyajeet Bolar: Realization rate we remained at even this year we happened to be 2.07 compared to even the last quarter also we happened to be at the same level 2.07 per lakh of rupees transaction. So, it remains constant and option in fact whatever we have projected what we thought happened to be around one - third of futures realization, but in fact the realization that we could able to witness in options are far higher as compared to what we expected.

Charanjeet: So, what was our expectations in option, how do you see now that going forward you are saying that has surprise us positively so going forward do you see that the realization will remain at the similar level or improve further how we should look at that trajectory?

DG Praveen: There are various factors that can have an impact on the net realization what we get it like for example I will give the factors that can influence these things that where the contract, which contract is getting traded like whether at the money contract is getting traded or in the money or a dip out of that money contract or whether it is a new option contracts or if it is of a suppose we come out with a new commodity options , volumes are going to be driven by that commodity option that can also have a different impact on the realization. So, it is very difficult to say which factor will have an impact on this one, but what we could see the trend that we can say that most of the people are trading around ATM contract at the money contract and also the ITM contract the people are ready to pay the good premiums that is a way the market is currently have shown. So, it is fine so whatever is happening and whatever is the realization rate and interestingly if you look at the currency derivative market it is a different realization rate and again equity derivative market you will get a different realization rate as the market progress and the market trend changes. It is very difficult to say what kind of realization you will get it.

Charanjeet: But sir in terms of these we always thought that as the volatility increases it should help us in the volume and the MCX should be the best play to benefit from this huge volatility in energy or from the oil perspective, but we did not

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see that happening so much because there were lot of regulatory issues also which came in between I think all those issues is going on. So, if I have to look at from an investor perspective then how do you see, how do you help us understand from the growth perspective and does the volatility in the underlying commodity is actually only the largest factor which is going to be impact the volumes or are there any other factors which can help us get the volum

es and from the regulatory regime also perspective do you think any major changes because like the peak margin will come in that impacted you know overall business. So, those are the struggles which we go through while it is a fantastic platform, lot of solid business points in terms of cash flow generation and everything, but I think this is a concern which we are still not able to sort out in terms of how we can get a more sustainable growth from this platform.

DG Praveen: See apart from volatility you all know that it is independent and we do not have any influence over the volatility, but there are other factors really can play a greater roll for example we continuously put our efforts on integration with the digital marke t maybe like the recent development happened to be like we empaneled some of the refiners who can able to now you can able to come and deliver that brand of metal in case of Bullion and lead contract. So, this is one major so by doing that we want ourselve s to get integrated at a greater level that is one part that we are looking at it. Besides that, there could be many other regulatory enablement that can really can contribute to the growth of this market like take the GST issue which has been for a long p eriod which is being impacting us because when you have multiple delivery centers GST could pose certain challenges so that if at all any regulatory enablement happens there then I think definitely that can act very positively to this market that is on the GST part. Besides GST you can also see that we have made our request to the SEBI for keeping the SGF like as and when needed we can able to infuse the capital into the SGF and able to take it out of the SGF while if SEBI agrees to that particular thing de finitely I think we can able to cut down on the margins especially in case of the crude oil and other energy products that should really should help the company as well as the market in its growth
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that is one part and recent development, foreign portfolio investors is another recent development that is really big policy enablement from the regulatory side and we are expecting that soon I think these people also will start participating in Indian commodity derivatives market this should diversify and also wi ll make our further month contracts also more liquid. So, like that there are certain policy enablement are there and from our side we are working on products wherein we wanted to alway s look forward to come out with new product s like electricity and other products and also look for the participation. Our always aim is to add more and more participants maybe the physical market participant or from the financial market side to get themselves added to this particular market. So, by looking at the product, participant and the other aspect the regulatory aspects definitely we could see that the growth can come from all these areas for this market.

Charanjeet: Thanks a lot for that elaborate answer and these points only excite us about MCX quite a lot, but my issue has been you know my earlier interactions also I have been hearing about this GST issue getting resolved about you know FPI is coming on, but these h ave been a very dragging issue some of them, so is there timeline which we can understand in terms of okay does the timeline maybe or any kind of comfort in terms of when this GST issue can get resolved and when you are seeing FPIs, but FPIs are not findin g enough liquidity on the platform to go ahead and participate in the market. So, that is one thing which we have been you know also hearing and on this margin part. So, I think that is another exciting point which you have highlighted, but when we can see some of these things getting implemented?

DG Praveen: Coming to the foreign participation recently SEBI has allowed the foreign portfolio investors i

It is a very recent development. We also will be issuing relevant circulars and that will pave the way for the foreign participants to come and trade in this market. So, earlier maybe we had come out with only eligible foreign entities where they were supposed to show exposure to the Indian markets, in the Indian commodity market. So, now those all restrictions have gone off now SEBI has come out with a clear direction and they have Multi Commodity Exchange
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come out with guidelines. Now, all the cash settle contracts the foreign participants can able to trade so that way it is like a very clear and we expect that soon it we can expect some foreign participation to come and trade in this market and they will be interested in various aspects. They also look for arbitrage opportunities and when the market is also opened up for the other commodities other than the cash settling products then I think we can also look them for participating in contracts where they look for cash and carry arbitrage kind of strategy also that way we will see that we definitely can see some tractions soon to come from foreign participant side. Coming to the margin related aspect SGF and other thing we are still awaiting for that RMRC to happen at the SEBI and as and when the matter is taken up. We do not know because it is always very difficult to say that when it will happen or what kind of action will be taken up by the SEBI, but we are positive all the exchanges have recommended for this kind of dynamic SGF rather than one sided that means only one-way kind of approach. So, I think we are positive and we expect that soon that should come up that is what is our expectation is I think that all should contribute to this market.

Charanjeet: Sir the other aspect is you know like this negative supplies of peak margin who will come in any other regulatory side, any decisions which you think could have a negative bidding on our business if you can touch upon maybe in the talks could get implemented maybe in next one year or two years' timeframe?

DG Praveen: On the negative side you are saying?

Charanjeet: Yes sir, on the negative side?

DG Praveen: Even before prior to the peak margin reporting we never thought that kind of thing would come up. So, it was a surprise, but anyway we all have to be applied by that one, but in fact I can say that it has ended up in contributing to the growth of our options contract. So, in other way it has really helped us this particular regulatory thing. So, as of now we could not be able to foresee anything what kind of negative thing that can really come unless if something has come up as a surprise to us and what the positive development already Multi Commodity Exchange
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you know this some of the areas regulatory side and from the government side we are looking for certain policy enablement on the positive side.

Charanjeet: Sir and any other products and commodity derivatives which you would be the targeting which have the potential they can become big any specific products?

DG Praveen: While we are looking for electricity derivatives that is one thing that is one commodities that really we are very serious about and apart from that one we are also looking for aluminum alloy and variant of steel contract. So, generally exchanges will not come out with too many products in one go. They come out roll the products in a progressive manner so that they can be able to market it well and at the same time they can be able to make the product stable one a sustainable one that is what is more important for exchange. So, while in the last two years we have come out with many variants and also we had to change the contracts like from a cash -settle contract we had to change it into a compulsory delivery contract and we had to discontinue the mini contracts and we also have gone for a s

ingle variant contract, but I think we

are positive that another discussion that is happening is also introduction of mini contracts again. We are very keen I think some discussion is happening at regulator level also. I think if regulator allows we can be able to come out with some mini contracts and the metal contracts.

Charanjeet: But this , electricity derivatives , there was this issue with CRC which was going on although now issues have been resolved, so then there is a timeline by any

thought process when we should be able to launch?

DG Praveen: That they have come to a resolution, but more importantly SEBI CERC has come out with a cap on the pricing of electricity. So, that is one thing that is what they are looking because when there is a pricing how the derivatives can get traded in that kind of environment. So, that gap is still if I am not wrong maybe till January or next quarter it is there I think then I think the regulators may sit together and they can consider how they can be able to roll out this kind of electricity derivatives.

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Charanjeet: Like you are saying that capping could be a very temporary thing and it could get removed later on so then I think from next year we can expect some of this launch to happen in electricity derivatives.

DG Praveen: We are prepared ourselves we are just waiting from the regulatory side.

Charanjeet: Any thoughts like how big this electricity market could be where we look at on the current ways of turnover, how we should see this incremental business because this exchange market has been evolving from maybe IEX perspective what we have seen and government push also to have a short term market and have more of the exchanges participating, so from electricity derivatives market any thoughts how we should look at maybe two to three years perspective as the launch happens what could be the incremental volumes which you can see or maybe what you would have seen in the international markets, how that can be comparable?

DG Praveen: Well, I would not be able to give any numbers to its growth and other thing, but what you can do maybe you can look at generally the derivatives market happened to be a multiple of the spot market. So, there are developed markets where it is trading at different multiples maybe in the European market and other thing. In Indian market also you have to see that what is the size of the near month that short term market because even the short-term market whatever is currently in India is a very small percentage to the whole market share physical market size. So, there is a big potential there also is there. So, the overall picture itself can go increase it can increase in a big way. So, there are various parameters which can have an impact on which can decide what could be the size of this particular market is.

Charanjeet: In this you will see more of who could be the participants in this market it could be the discoms or how we should look at that?

DG Praveen: All the entire value chain like you said that discoms and even the generators all distributors and all those people definitely can be participating in this

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market and besides them the other financial market players they can also be party to this.

Charanjeet: And sir the other aspect is on BSE is also introduced this gold spot exchange are there any thoughts when we want to start that kind of a product?

DG Praveen: So, currently our focus like I think in the investor call also we have said our focus is mainly on CDP now and also there are like GST challenges are there in case of spot gold because how that GST will be recovered how the seller we can be able to get this GST back and all those challenges are there. So, once that clarity that means that clarity comes out, in case of EGRs we see that little

tle

progress that can happen in EGR market other than that our focus is now on CDP. I think at the same time we are monitoring the situation.

Charanjeet: Got it. Sir the other aspect is this entire transition you know to this new TCS trading platform if you can just give an update in terms of this delay in the transitions what are the kind of issues and by when do we see this entire transition getting completed and are we also process of implementing any kind of penalties on the company which is providing us these services?

Manoj Jain: So, as you know TCS is developing our new commodity development for commodity derivatives platform. So, as per the earlier published information we were planning to go live by September. So, definitely it has been delayed and that is what we have informed all our investors also and hopefully I mean everyone is committed TCS as well as our management to really go live with

it at the earliest. So, we are parallel more parallel runs I think yesterday itself or today there is a circular which has mentioned about the mock trading also. So, that is the plan and the penalty is those are commercial areas which the agreements would definitely take care of it, but yes beyond that I cannot tell you that how much penalty or what action being taken because first priority is obviously to go live with the project.

Charanjeet: Sir, in terms of that timeline so by December end this transition should get completed?

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Manoj Jain: So, it is a joint effort obviously TCS and we both are looking at if the system becomes stable it is as per the expected features which members would be testing and if everything goes fine yes there is no doubt about our intention to go live by that time.

Charanjeet: So, sir in terms of our contract with 63 Moons is there a clause in terms of if this new the transition takes time we can extend the services from their side and how much we will have to pay that tends to happen?

Manoj Jain: So, obviously again there are no such numbers being commercial arrangements. So, payments and costing and all would not be available like that, but that is an alternate option I mean the whole premise that we have extended the agreement post September so that is an alternate option which got exercise at that point in time and again we cannot really predict the outcome end of this quarter or subsequent quarter. So, those are options which management board all our stakeholders interest could be kept to really look at the next way forward, but just to repeat best option is CDP and we are hopeful of pursuing that option.

Charanjeet: And sir this cost which we are incurring on developing with TCS what is the overall cost and over what timeframe this will get depreciated, how we should factor that in our numbers?

Satyajeet Bolar: The cost it includes two, three factors one would be platform that would be developed by TCS other one is ecosystem this server and the networking switches and the other operating software so the entire amount would be capitalized and it would be amortized over the life of each of the assets. So, in the range of maybe 6 to 8 years. So, at the arrangement with TCS is that after we go live first year would be under warranty and after one year the AMC will start kicking in. So, the AMCs in single digit as we have mentioned in earlier investor call AMC are at reasonable amount and amortization would take place over the life of the intangible as well as the servers.

Charanjeet: So, sorry if you can just tell me the total cost?

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Satyajeet Bolar : I would not be able to mention the cost I think this has been discussed in various investor calls also. So, you will have to excuse me on that.

Charanjeet: And sir in terms of the cash on the books what is the level of cashiers right

now and in terms of the after we are excluding all the regulatory department what is the kind of cash?

Satyajeet Bolar: Present cash is around 900 crore and as for our dividend policy so we pay out 75% of what we earn every year and in the last call we had mentioned that where some cash would be still retained cash because there would be collocations. If SEBI allows us to go in for collocations or any other developments in the ecosystem we would need cash and if I have to set up a subsidiary company and minimum network requirements have to be taken care of. So, we would need cash.

Charanjeet: Okay this subsidiary company this is specifically for which purpose what you are trying to say?

Satyajeet Bolar : I am just saying yes we have hypothetically in future they have to up subsidiary companies and we will have to take care of network requirement. So, we need some cash that is what I meant.

Charanjeet: Okay got it sir and sir just overall in terms of one way our technology migration is complete, so our target for cash will not be that high, but cash gets accumulated it could be a special dividend kind of thing which we would

think about?

Satyajeet Bolar : At the moment we have not thought about it because see the other thing also we have to factor is we are saying that if this SGF kicks in and it is a two-way traffic to the clearing corporation and it can come back. So, I mean you would also need cash to transfer is not it when the members are not contributing margins so then the exchange will have to contribute, exchanges as well as the clearing you have to contribute towards the SGF where the SGF would also increase. So, you need cash for that I mean they would be various needs

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of cash of course special dividend or interim dividend is something that will cross a bridge when we come to it.

Charanjeet: Got it sir and sir lastly there was also a lot of push in terms of financial institutions increasing their participation even mutual fund for that matter which we were talking about launching new products which are maybe 10% commodity component and all that, you know, if you can touch upon that aspect you know bringing in these financial institutions in the market that has also not picked up in the way which we are earlier expecting, what has been the issues there?

DG Praveen : They have to like in case of silver ETF for example I will give you some examples they said that the delivery unit should be exactly like 30 Kg, but when you make a delivery on the exchange it can be in the range of 25 kg to 35 kg delivery. So, certain challenges are there which we brought it to the notice of the regulator and also it is like our regulator also wanted to go in a very gradual manner rather than allowing the markets to go it in a full force. So, that way it is like now they have allowed other foreign participants institutional participation. So, we are expecting all to happen in a very progressive manner and interestingly I think even the AMFI we are in touch with AMFI and are they are also coming out with a separate body for commodities market which exclusively look into the commodities market site. So, that will be created and I think they will be able to aggressively push the requisite regulatory enablement that can really can help the institutions to participate more actively so that should happen.

Charanjeet: Sir if I look at overall just to sum it up from the option perspective definitely I think MCX management is very positive from the growth perspective and some of these challenge which have been waiting for quite a long time there could be some resolution in the near term and we are also very positive from the FPI perspective in terms of when they can come in and increase the participation in the overall volume and there could not be any major negative

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regulatory surprises that is definitely behind us, is that correct understanding Sir?

DG Praveen : Yeah like I said regulatory as of now today as we stand we do not see any major regulatory negative thing, but you do not know what if something comes as a surprise other than that already we said like we are positive about the performance of the options and also this is because for writing options you require the futures. So, we feel both markets should complement each other and should I think the growth in option also should laterally should contribute to the growth of the futures also.

Charanjeet: Got it Sir. That's all from my side. Devesh, do you have any questions?

Devesh : Yes. Sir, just couple of clarifications on our technology part . So you did mention that there are three participants there is a platform development which is taken care by TCS , there is an ecosystem which will be developed which includes server and all and then there is a post-migration part which will be largely maintenance, so of this is the ecosystem cost , will be directly funding from ... are we directly spending that or that is also through TCS?

Satyajeet Bolar: That is directly. It is our cost. We have procured it .

Devesh: Okay, so the cost that we have seen over the last one and half year - 125 crore s, from the cash flow statements and the balance sheet , is it largely to do with that, the servers that you... ?

Satyajeet Bolar: That's right.

Devesh: So, the payment to TCS is still pending , more or less?

Satyajeet Bolar: What we have to pay to TCS we have paid , and there would be milestone s which we will pay when we cross this milestone.

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Devesh: And sir, this server cost will be ... broadly would this be like as big component as the payment to TCS or this is the smaller component of the overall technology expense?

Satyajeet Bolar: If you look at the ecosystem , the ecosystem also plays an important role along with the platform.

Devesh : More or less there should be a substantial cost both the item . And this maintenance Sir, when you say single digit , you mean as a percentage of what we pay to TCS?

Satyajeet Bolar: Absolute terms.

Devesh: In rupees crore?

Satyajeet Bolar: Crores.

Devesh: Perfect sir that is what I wanted to clarify. Thank you so much for your time.

Charanjeet I think that will be all from my side?

Charanjeet: So, I am also done sir . Thanks a lot for patiently answering our questions and it was very insightful to understand how the company is taking forward all these aspects. Thanks a lot again for everybody 's time.

Devesh: Thank you Praveen ji for your time, thank you Satyajeet sir, thank you Manoj sir.

Satyajeet Bolar: Bye-bye.

Call: Nov 2022

MULTI COMMODITY EXCHANGE OF INDIA LTD.

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CIN: L51909MH2002PLC135594, info@mcxindia.com MCX/SEC/2141 November 09, 2022

The Dy. General Manager

Corporate Relations & Service Dept.

BSE Limited,

P.J. Towers, Dalal Street,

Mumbai - 400001

Scrip code: 534091, Scrip ID: MCX

Subject: Transcript of calls with Investor/Analysts

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 read with the SEBI (Listing Obligations and Disclosure Requirements) (Second Amendment) Regulations, 2021, please find enclosed herewith the following transcript of the call with investor/analysts:

Sr.

No Investor/Analysts Date Time Annexure

1. PPFAS MF, Nippon India MF,
Franklin Templeton November 01,
2022 12:30 p.m. Annexure - A

The said transcript is also uploaded on the website of the Company at
<https://www.mcxindia.com/investor-relations/ir-meetings>

Further, we hereby confirm that no unpublished price sensitive information was shared/discussed during the said meeting.

Kindly take the same on record and acknowledge receipt.

Thanking you,

Yours faithfully,

For Multi Commodity Exchange of India Limited

Ajay Puri

Company Secretary

Encl: As above

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Meeting with PPFAS MF, Nippon India MF, Franklin Templeton

November 01, 2022

Disclaimer:

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This document may contain "forward-looking statements" – that is, statements related to future, not past, events. In this context, forward looking statements often address our expected future business and financial performance, often contain words such as "expects", "anticipates", "intends", "plans", "believes", "seeks", "should" or "will". Forward-looking statements by their nature address matters that are, to different degrees, uncertain. These uncertainties may cause our actual results to be materially different than those expressed in our forward-looking statements. We do not undertake to update our forward-looking statements.

Annexure - A

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MANAGEMENT : MR. P.S. REDDY – MANAGING DIRECTOR AND CHIEF
EXECUTIVE OFFICER
MR. SATYAJEET BOLAR – CHIEF FINANCIAL OFFICER
MR. D.G. PRAVEEN – CHIEF RISK OFFICER

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Moderator : I have a question on this, now this FII's is now allowed to trade in exchange, in MCX, so what is the status right now like how many of this FII's are active and will this FII'S need a separate registration for trading in MCX or the existing registration which they have the SEBI that will do?

P. S. Reddy: As I understand that no separate registration is needed, but we will be creating, when they are approached by a broker, they will create their UCC and all that kind of thing we will do that, and second thing is so far no FII is allowed to be traded so no trading is taking place. Currently also we are not pushing it because we want our migration to be completed, once the migration is complete then we will make it active. In fact, some of the members also who are international in terms of their reach, even they are waiting for our new software to be launched so that they can develop their systems based on the new application. So, our focus is fully on making it live, this new TCS platform. That is the reason we are not pursuing it, maybe it is a matter of two months, that is the way I look at it.

Participant : What do you think will incentivize will FII's to trade in MCX? I think there are big liquidity exchanges which are available globally, so what are the incentives for them to trade over in MCX?

P. S. Reddy: I mean this often people ask this why do they come because metals are available in other exchanges, crude is available elsewhere, etcetera, etcetera, so, but the arbitrage opportunities are not identical across markets. In our market the arbitrage opportunities at times look better that means from near months to far month contract between the two the spread is maybe 12%, 15%, etcetera, then obviously people would like to buy in this and then sell it in the next month or maybe a month later. So, that gives us good return on their investment this is one especially the delivery based contract, it is doing well. And the second which is equally important is, I think this helps them in terms of amalgamating the books of trading, that they do it in international markets and Indian markets. So, there will be at times they will

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incur some loss in other market and then profit in this market and some of them are , maybe, doing that kind of business, but then they have to show it to separately with this integration we will be able to show all of them together , you understand ? The consolidation will be permitted ; from the taxation point of view it makes sense to them.

Participant : You have also mentioned that there is some GST related issue which FII's could face, can you please elaborate , like what is the issue?

P. S. Reddy: For doing this arbitrage business for they have to take delivery in this current settlement and then sell it in the next settlement , or whatever the settlement they are selling it. So, when they are taking delivery , they need to have GST registration , otherwise they won't get that benefit when they sell it off. So, that is the issue that we are currently facing. Have I made myself clear?

Participant : Yes, sir. Is there any issue like , I mean , in getting our GST registered because ...?

P. S. Reddy: See, there is no registration issue as such, but since we have multiple delivery centers , they have to go on registering multiple states. So, that is going to be a pain . And then they have to file every month the reporting , whatever the requirements are there , and merely playing in commodity markets they have to engage , I mean they have to do so many things , whether that interests them or not is a challenge . That is what our issue is. We are looking at alternative ways of doing it , let us see.

Participant : And, secondly with this TCS platform , sir, what is the

status right now? Will

TCS manage both the backend as well as the frontend , or currently is 63 Moons managing both the backend and frontend, how is it working?

P. S. Reddy: I will tell you the current and then juxtapose with the TCS . 63 Moons does not give any L1 support . L1 support means actually day -to-day operations of the systems etcetera, that is our own team is doing it. If there is a problem, then it gets escalated , if our people are not able to resolve it . Then we escalate it and they give a work -around fix, whatever we call it they do that. So, going

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forward the TCS will also give L1 in addition to L2 and L3 and they give L1 support also , until our people get trained for a year , they do that. So, obviously once since it is a new platform their own developers and all that will be a part of this particular process and they will know what to do, how to fix , their understanding will better by the time our people also get trained in that.

Participant : But, is it managing both the backend as well as the frontend ? I mean , I believe there is some?

P. S. Reddy: Different teams will be handling it.

Participant : No, it is only backend , frontend is you have?

P. S. Reddy: Frontend, backend in the case of brokers it comes through , for us there is nothing called backend and frontend.

Participant : So, I mean since I think this is on the public domain so I just wanted to know about the extension of this 63 Moons contract and if in case it so happens that TCS is not able to deliver by the scheduled date , what is the impact on your profitability going to be and how much have you spent currently to extend the contract, so how are the numbers shaping up on that front?

P. S. Reddy: Well, I cannot give the numbers on it, but as I said , it is an exorbitant sum we paid for the quarter . So, we are all trying to make this TCS platform live before this end of this December and, what happens if it does not happen , and what is our plan , that's there, but then it is not good to discuss any of those things. The financial impact will be felt only in this quarter for whatever the agreement that we have signed , with agreement or whatever the arrangement that we have agreed with 63 Moons it will be held, it will be felt in this quarter. But we can't give any number or anything like that.

Participant : So, considering you have paid an exorbitant sum , say for instance , if they are not able to deliver beyond the scheduled date as well, would TCS be liable to pay any sort of penalty or this amount which you have paid to 63 Moons ,

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would it be kind of deducted from the amount which you will be paying to TCS?

P. S. Reddy: See, there are penalty clauses are there. When we have signed an agreement, we do not foresee a situation that 63 Moons extra we will pay, and then we will deduct it from them. So, based on the contract value, on contract side there are penalty clauses. So that anyway will be looked at the time of what ever final delivery or final go-live. So, we have not made payments to TCS, no substantial payments are done... there are milestones for payment. So, as and when those ones are kicking in, at that time we will examine it, but it is too early for me to say, whatever, we are paying to 63 Moons full amount can be deducted I don't know. I do not think that kind of clause is there anywhere.

Participant: So, basically what I wanted to know is, again, how are the payments going to happen to TCS or over what period would you be amortizing the cost, because obviously, these costs are going to be capitalized, so what period would you be capitalizing and how the payments so will there be an upfront and will they be a trail sort of fee in pay to TCS?

P. S. Reddy: As far as

TCS payments are concerned, one is the post-go live, up to one year we have the initial payments which have to be made, whatever that there has been agreed. Thereafter AMC kicks in. AMC is for every year. So, once the payments are done maybe it will be amortized over a period of five, six years

Participant: So, you are saying the period one year after you go live that entire amount will be amortized over a period of five, six years and post that, it will be AMC.

Satyajeet Bolar: No, what MD is saying is, that what we are going to spend for the project would be amortized and then, once we go live, there will be one-year warranty period. After the one-year warranty period, the AMC will start kicking in.

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Participant: Okay so basically till the time you go live whatever amount you have spent to acquire the entire contract, that amount will be amortized post that AMC.

P. S. Reddy: That is right.

Participant: Fair enough. So, again like now I mean the situation is such that the futures contract which brought in substantial amount of revenues, we have seen a kind of a slowdown, cannot say slowdown exactly, but there has been a shift towards options. So, how far do you think would this trend continue because if the margins in these futures contract they start reducing again, do you see a shift happening from options to futures again, and would you be okay with that kind of shift happening again towards futures.

P. S. Reddy: As I told you, I will break this issue into two parts. One is that - is there any migration or it's a kind of a cannibalization, futures versus options. Now, assuming that is happening - if that happens three times more than the futures, then our revenue is protected - that is a very conservative rule I am talking about because we have already said that the options quantum if it is three times the futures then we will get the same revenue. Realization is more than that, that is a different matter, but I am talking about conservative way. So, one is that, if it is happening it should happen this way then we will be protecting. Number two, whether really cannibalization happens then where will the option writers go because, they also need to hedge and our options are options on futures, anyway they will be devolving into the underlying futures. So, there should be a liquidity enough for them to devolve also. So, it is not that the futures will vanish and the pricing is also determined on this futures prices also. Options when somebody is looking at it what is the underlying futures price also is being looked at. So, they have to be very live then only the options will grow and the liquidity should be reasonably good. So, I do not think that futures will dry up, that is what my view is.

Participant: So, basically for an options market to thrive there has to be futures market which will have to exist, coexist basically.

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P. S. Reddy: That's right. Because the overseas options on futures , not on options on commodities.

Participant : Correct , got it , fair enough . And what about the gold spot exchange which you are trying to launch . I mean what is the status on that?

P. S. Reddy: See, as I told , that unless the GST issues are resolved , you are talking domestic gold spot exchange, I suppose . So, if GST issues are not resolved , I do not think it will really fly and in any case unless the TCS is out of this delivery , whatever that is , CDP project, they will not be taking it up. So, we expect maybe sometime in the month of January onwards they will start working aggressively on that project.

Participant : So, why has there been a delay from the government -end on these issues regarding the GST , because you have been talking about these since almost a

year . That is the reason why the gold market is not able to grow, so why is government not acting on it?

P. S. Reddy: I do not see government is not acting on it. It is not just a central government which has to decide, state government are also involved. So, it is bringing all of them on one consensus is a challenge because , if they say that all transactions on the exchange will be IGST not the CGST and SGST , some of the states may lose. So, they do not want that loss to be suffered by them. So, they will ask for some compensation, they will ask how big is going to be the volume all that. I do not think they would like to travel by that path.

Participant : Okay , got it . Just a last one so basically we have seen over say past 8 or 9 years the volumes have been growing , then again there is like a plateau period , it dips then again it grows. So, we have not seen the kind of growth happening in the Indian market in the commodity space, at least so for the future markets to grow what are the things which according to you should happen in India from a regulatory perspective . You know we would say the shorter term contract or some initiatives taken by the government, so what is it that in your opinion that it is lacking the Indian market which would enable the commodities space to grow?

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P. S. Reddy: See, currently our markets whatever the futures we are doing it without a very strong base of the spot exchanges or spot markets for this. Spots markets are highly unorganized at this point of time. So, we need to have the spot markets to be developed better. Second people started hedging on the exchange in the case of gold because RBI said that gold is not permitted to be hedged in overseas market. Now, something of that regulatory which comes to us then things will start happening that is the second one. So, we are looking forward maybe if the government says that the banks and if the banks are insisted either consumers or people who are borrowing must hedge their commodity exposure or banks themselves allowed to expose the commodity exposure okay and I think unless those things happen this will still struggle and then grow organically not otherwise then the third the dimension which I expect to happen is that GST kind of issues have to be resolved okay it is very crucial for our growth. Now, to the extent when we want to expand across the country for setting one India one price kind of thing I mean that is the ambition also then we will start opening multiple delivery centers. The moment you open multiple delivery centers then there will be lot of what you call the GST issues will crop up the only one center then only one registration is needed, but because the buyer does not know where he will get the delivery if he has to. So, that is the way it is happening. Now, we are looking at the derivative platform essentially as what you call as a financial hedge platform. If you had a thorough what you call a robust chain of spot exchanges probably people who want deliveries will go to the spot those who want to hedge their financial basically will come to this exchange. For today this is the only destination for everybody. If somebody is able to plan their delivery or when they want the metals and or other products which are getting delivered they can they are all coming to the exchange, buying it maybe two months before or one month before and then trying to take deliveries which is not meant for. Honestly the derivative exchanges are not meant for deliveries. It is deliveries only at threat then the prices do not behave in a manner that spot markets are directed to. So, these are the key things that are needed for the growth

of this.
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Participant : And anything specific from your end be it in terms of contracts needed or any

specific suggestions you have had?

P. S. Reddy: Well, the current dispensation provides I mean certain issues are pending with SEBI and once they are like for SGF I told you and the dynamic contribution and their withdrawal that also helps us in reduction in margins etcetera and we should reduce the cost of trading that is another important one you know like for example CTT or STT all these adds to the cost of trading and some of the big players they would like to have what you call line of credit for day -to-day pay in and pay out kind of things under those facilities are not available to trade on the exchange that is another major what you call major factor which is distracting the people from attending for participating.

Participant : So, how much of cash would be available on your books I mean keeping aside SGF and all the regulatory balances side? This is just available MCX to use like for any purpose?

P. S. Reddy: That is right.

Participant : Got it, got it. Thank you so much for further questions I will come back in the queue.

Participant : Just a couple of questions from my side just a follow up to the on the contract bit right, is there a case where we also plan to let us say if TCS takes another month or two it will deliver outside of December so let us say it goes into January or February right, is there a case where would plan to be without a tech vendor is that something that we would have discussed internally because I just tension that we did on last day right we were still looking at supporting all of that by ourselves .

P. S. Reddy: Your voice is breaking we could not hear towards the end.

Participant : Is this better now?

P. S. Reddy: Yes.

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Participant : So, the question is essentially that is there a case where we even plan to be without a tech vendor even let us say in January, February if TCS does not deliver by that time, is that even under consideration or not?

P. S. Reddy: See we were evaluating all those issues it is not again we did not approach the 63 Moons well in time, we went in August itself and so we got their quotation in August itself from 63 Moons , it is not the last minute we have done this, but what actually happened in the last minute, but then we have considered it, then placed before the SCT and all that and for whatever the discussion that happened we could not move forward much on that, but again in we tried alternatives also to ourselves to support ourselves and so all those plans we have put in place, plan B and other things and when something did not work towards the end of there was some problems that is where we faced the challenge that was the reason we had to rush, but that apart. So, will TCS be able to deliver or not my sense is that as we are speaking we are doing what you call UAT user acceptance test on TCS platform we are likely to go for mock in this month itself and so let us see how it will progress and it is too early for me to make any estimates on this or early, but obviously our board is very clear they will not wake up later nor management will wake up late. We will go well in time to the board with whatever the issues that we are facing.

Participant : Let me just phrase this is that even under consideration of not having a tech vendor is I get the point that we will obviously try sort of secure a vendor as soon as possible and TCS is pretty much under control, but I think these type of things that at times invested reveal up a very different view then what you have today, so is that even a thought or are we preparing for it for that worst case or you know by hook or crook we will still secure?

P. S. Reddy: You are talking of a very hypothetical question this is where I do not want to get into be any dragged into controversy and all that kind of thing. I would cross the bridge when we reach that is the way I do not wa

nt to.

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Participant : Okay fair one it is because the only reason why I am asking is I have worked with similar companies these contracts, these projects tend to be delayed by even 6 months to year or two years or there is little that I mean there is little that we can do that beyond that right so that is essentially when a question comes fair one the second thing I just wanted to understand is on the partnership bit right you have talked about on the conference call how obviously futures have some two and half lakh odd participants that you talked about and you got minimal overlap, but incrementally you get people let us say the customers or the traders that you are acquiring, is it incrementally largely happening on the options platforms or you see enough traction on the future bid as well as across contracts?

P. S. Reddy: Yes, it is largely happening on the options no doubt about it.

Participant : Fair enough so to that extent I think the sort of weaker future volume might just sustain for a fair bit amount of time, but options obviously will look like option will continue to sort of provide a good offset or growth drive essentially and that essentially what you would expect as well, is that a fair assumption?

P. S. Reddy: That is what I am saying it as I said even if futures are not doing well it is the options have taken over and then as long as three times the future then that is good enough for me that is what makes money is important .

Participant : Absolutely.

P. S. Reddy: And just across contract if you could just help us understand see the bigger cost when I talk to couple of traders and essentially the cost of trading is something that you alluded to the last participant right, also wanted to understand across contracts where do you think there potentially for cost to go lower either by launching a new contract either by margins going down there is a potential of margins going down or some other medium where cost can go lower which essentially should drive volumes up, if you could just help us understand I think that will be a useful piece to understand how volumes can shape up let us say over the next three years.

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P. S. Reddy: See most of our cost are by and large fixed cost, the employee cost etcetera. It is irrespective of the contract. Wherever there is a variable cost especially for the CME that we pay based on the volume after beyond a threshold with regard to what you call crude and NG there is nothing which is linked to the volume. So, any new contract that we launch it does not pull down or push up the cost that is the way it is that is just gets spanned out. So, if you look at the average cost will go down if the contract also does well because it is a fixed cost structure. It is not linked to any single contracts.

Participant : No, so what I was trying to understand is like for example in gold the day we launch a gold mini and a gold monthly contract that is clearly where we are lowering the cost of trading just in the gold and that is the last commodity for us as a country as an exchange as well, is there anything similar that can happen in the other contracts?

P. S. Reddy: Cost economically make me more meaningful to the participant is what we are talking about so it is correct. So, maybe some of the contract requires maybe a bimonthly contract. In the case of options this consideration will come, but when it comes to futures this consideration may not come because the bimonthly contract at times may facilitate what to call hedging for two months at a fixed cost is what we are looking at it. For example, currently we have a cotton contract which is monthly there is a glamour for making it a bimonthly contract because on ICE it is a bimonthly contracts and price comparison also to that extent becomes

easier also for the participants. So, it all depends on what contract you are talking about if it is options yes a monthly, weekly or fortnightly will keep on reducing the cost and that is the way it is.

Participant : And is that anything which is under consideration or you started slowing something where there could be demand?

P. S. Reddy: Not too many option contract we have. We are approaching this carefully and gradually because there is also kind of if weekly options are there in equities probably people think that is an investment, but then if it is a weekly options ...
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if they manage the perception and that is the way at this point of time. So, we are carefully treading this path, but yes we will reduce the participation cost to the....

Participant : And from an energy perspective I mean decent volume within the energy, is there a case where you can sort of reduce the marginal requirement or is there a case where margin requirements can go down essentially sort of result in higher volume or maybe people shift towards options just because of the higher margin requirements is there a possibility?

P. S. Reddy: In fact, margin requirement reduction there is a case for reduction as I said the SGF is linked to that is why we are waiting for the decision making , but if there is a reduction in margins obviously the futures will definitely pick up okay and not so much options it does not impact so much options, but option writers is anyway options or future business they pay the same margin.

Participant : But on , on the margin that on energy is there a timeline by which the margin requirements can come down and what....

P. S. Reddy: It is a regulatory requirement so I cannot put in a timeline for regulators when they should decide.

Participant : And just lastly in your view what would you think is the key driver of volume side one is volatility and that I think is talked about times again in the call, but is there any other participant which can come through, which can drive volumes up significantly for us or you think that volatility is one and then the other is that you are talking about the different contracts that you launch and that is pretty much a nothing can be done on the participation side?

P. S. Reddy: Products and then participation are two other dimensions. So, participation wise that we are looking at mutual fund industry also to launch some new products based on our commodities. So, some discussions are based , and let us see how they are actively engage SEBI what we can do products in the mutual funds so that the unit holders also get exposure to commodities and make some money out of it.

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Participant : Sir can you tell us like after this software transition is done , how much overall cost saving would be possible versus the current cost structure like I understand including the amortization that we are talking about how much could be the improvement in say EBITDA margin in like -to-like basis?

P. S. Reddy: Well, I cannot give you a figure around that, but then as I told you for first few years there will be some apart from amortization cost there will be a licensing cost also, some of them are there. So, net -net it may work for some time okay as if it is the same.

Satyajee t Bolar : Also , there would not be any variable cost as far as our present structure I mean till September we are paying a variable cost based on our transaction charges to 63 Moons so that will not be there, we will be just paying them in AMC, we will pay in TCS or AMC, but as MD said in addition to the AMC we would also be paying lot of license cost software license cost we will not say is another operating cost once the new system goes live.

Participant : So, basically if volume stays as it is as of today than we do not expect any

operating leverage improvement because of transition, but the volume goes up then possible then there would be some operating improvement that may come. Secondly if I look at the operating other operating revenue I understand you have specified in the call that you have change your investment book slightly, but other than that was there any other one off in the other operating income which is not going to repeat?

Satyajee t Bolar : As I mentioned , basically the other income consists of treasury income and also we have entered into an agreement with Chittagong Stock Exchange. So, there is some technical fees during this quarter and also some recoveries that we make from MCXCCL. So, these are all the routine , there is no one off

transaction.

P. S. Reddy: But do you mean Chittagong Stock Exchange it will end in about maybe in two quarters or something like that so you will not have any impact much thereafter, but more importantly yes the written down our investments will hence forward look better as against what we are currently getting it and it is Multi Commodity Exchange
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undergoing a metamorphosis in that sense and lot of portfolio will be in held -to-maturity kind of thing.

Participant : Okay.

Satyajee t Bolar : I think we keep in mind that June was a bad quarter for fixed income while September was better than June so that automatically give a boost to the portfolio and as MD said the shift a substantial portfolio of a mutual fund investments to SPL where it is in now held -to-maturity I mean to mark -to-mark does not impact us it is just on accrual basis.

Participant : Can you highlight some of the things which SEBI will look at during your technology transition like what are the because I think you are running too parallel software one is in the UAT which is the TCS otherwise the 63 Moons , so how does this SEBI looks at the technology transition like can you highlight some of the data points which it looks?

P. S. Reddy: I did not understand.

Participant : Sir there are two parallel software which are running one is TCS which is where you are saying it is UAT is already happening then there is 63 Moons where you already have. Now, when there is a transition from 63 Moons to TCS obviously I believe that SEBI will look at the transition like whether it is going smoothly, so what are the thing that SEBI looks at before it gives go ahead for the technology transaction?

P. S. Reddy: See SEBI does not give any go ahead for technology transition or anything like that. It is the responsibility of the exchange to ensure smooth transition takes place and members are all the whole ecosystem are migrated to the new platform. So, as a part of this apart from UAT we need to do the mock trading and parallel runs. So, in these two things we will have to do all that and the results of those things should be a consistent, reliable and working you know as much precision as the current system is working if not more and also we look at what you call a nonfunctional requirements in terms of latency numbers, in terms of volume and throughput what is coming and going out
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and what is the speed all those things are already under control In the sense they all have been tested and then we have examined all the things I mean it is nothing to do with the TCS versus 63 Moons ; 63 Moons is anyways it is running the usual show or the entire focus is on the TCS. Now, while UAT is a smaller version of it essentially the functionality is what is being tested we have a DC and DR a new servers and everything setup is ready and we will be hosting this application there and then asking the members to log in and then do the mock and on another system we will be doing the parallel runs. So, that we will pump in the data what is currently the trades or orders that

are

flowing through the 63 Moons pump in there maybe end of day whatever it is and then see whether outputs are all correctly coming, members and files and all that is all the matches are happening or not and then if the reports are correct then it is done that is the way it is and it is not one day exercise it has to be continuously we will be doing it for a long time in this two months.

Participant : Just one follow up I think just pardon me for my ignorance did you said that you will have this data center and data recovery center, so this belongs to MCX or there is some agreements with us 63 Moons ?

P. S. Reddy: They are our own. Our data center is in our building another one is in Gandhinagar all that kind of thing. This is nothing to do with that.

Participant : So, all the data belongs to MCX so at the time of transaction we just have to make sure that there is a consistency on that so I think transaction challenge would be taken care by the TCS and we will be monitoring whether it is consistent or not?

P. S. Reddy: And if we have already migrated I mean whatever the UAT that is happening is all using the line masters. We incorporate from the current member's master, user's masters, scripts masters, all those things are migrated to that and that actually in the live scenario whatever is there then that is the UAT that is happening of course only the trades are the fictitious one obviously the UAT users will be putting that. Once it is done then you will migrate it and then expose it to member brokers and members also used the dummy data
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obviously. They will enter as if they are doing a live trading and then output come then after one fine morning they clean it completely the TCS not the master but then every other thing then they will migrate the open interest and other things from this system to there.

Participant : So, actual trading we believe it is likely to happen in say Q4 of FY23 Quarter 4 of this financial year?

P. S. Reddy: We are planning to go live in this quarter towards the end we have not exactly specified when exactly the date is once we get each one is to be the decision has to be taken based on the previous test that we do it. So, when we go mock and then how it is doing in the mock we will see then accordingly the next thing will be decided.

Participant : Understood sir. Thanks sir that is it from my side.

P. S. Reddy: Anything else from anybody.

Participant : Sir just one or two things from my side although I will not dwell much into already we have spoken a lot just wanted to understand just one thing the payment to the TCS that you are doing you said it is milestone driven. So, the development has started almost it has been two years now, so would we have incurred bulk of those cost in last two years or post the transaction there will be a bulk that will be coming in for us?

P. S. Reddy: You have not incurred bulk of the cost in fact it is a small sum I would say maybe I mean we have incurred the expenditure on the servers and others because hardware has taken place so all that has been done.

Participant : Understood and post this completion and transaction of the software the remaining cash that will be there on the balance sheet, is there any thought process by the management to focus on the ROE and to probably think about a special dividend or onetime payment or that is too early to talk about it/

P. S. Reddy: Yes, it is too early to talk about. I think we will wait because we have already said that there are various other plans that exchange is pursuing it and we
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need to collocation and who knows SEBI will say that start collocation then you need to invest there also.

Participant : Understood sir. Thank you so much sir for your time today and I think it was pretty insightful and than

kyou everyone for joining in.

P. S. Reddy: Thank you so much.

Call: Nov 2022

MULTI COMMODITY EXCHANGE OF INDIA LTD.

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CIN: L51909MH2002PLC135594, info@mcxindia.com MCX/SEC/2132 November 01, 2022

BSE Limited

Department of Corporate Services

PJ Towers, Dalal Street,

Mumbai - 400 001.

Ref: Scrip code: 534091 Scrip ID: MCX

Subject: Transcript of the "Earnings Conference Call" with investor(s)/analyst(s) on Q2 FY-2023 results.

Dear Sir,

Please find enclosed herewith transcript of the "Earnings Conference Call" with investor(s)/analyst(s) held on Tuesday, October 25, 2022 at 16.00 p.m. (IST) on Q2 FY-2023 results.

The said transcript is also uploaded on the website of the Company at

<https://www.mcxindia.com/investor-relations/ir-meetings>

Further, we hereby confirm that no unpublished price sensitive information was shared/discussed during the said earnings call.

Kindly take the same on record and acknowledge receipt.

Thanking you,

Yours faithfully,

For Multi Commodity Exchange of India Limited

Ajay Puri

Company Secretary

Encl.: As above

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"Multi Commodity Exchange of India Limited
Q2 FY23 Earnings Conference Call "

October 25, 2022

Disclaimer:

This transcript is provided without express or implied warranties of any kind, and should be read in conjunction with the accompanying materials published by the company. The information contained in the transcript is a textual representation of the company's event and while efforts are made to provide an accurate transcription, there may be material errors, omissions, or inaccuracies in the reporting of the substance of the event. The transcript has been edited wherever required for clarity, correctness of data or transcription error.

This document may contain "forward -looking statements" – that is, statements related to future, not past, events. In this context, forward looking statements often address our expected future business and financial performance, often contain words such as "expects", "anticipates", "intends", "plans", "believes", "seeks", "should" or "will". Forward -looking statements by their nature address matters that are, to different degrees, uncertain. These uncertainties may cause our actual results to be materially different than those expressed in our forward -looking statements. We do not undertake to update our forward -looking statements.

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MANAGEMENT : MR. P.S. REDDY – MANAGING DIRECTOR AND CHIEF
EXECUTIVE OFFICER
MR. MANOJ JAIN – CHIEF OPERATING OFFICER
MR. SATYAJEET BOLAR – CHIEF FINANCIAL OFFICER
MR. D.G. PRAVEEN – CHIEF RISK OFFICER

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Moderator: Ladies and gentlemen, good day and welcome to the Multi Commodity Exchange of India Limited Q2 FY23 Earnings Conference Call. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * then 0 on your touchtone phone. Please note that this conference is being recorded. On the call, we have Mr. P. S. Reddy - MD & CEO; Mr. Manoj Jain - Chief Operating Officer; Mr. Satyajeet Bolar - Chief Financial Officer; Mr. Praveen D. G. - Chief Risk Officer. I now hand the conference over to Mr. P. S. Reddy. Thank you and over to you, sir.

P. S. Reddy : Thank you, Mr. Faizan. Are you able to hear me?

Moderator: Yes, sir, you are audible.

P. S. Reddy: Thank you for the introduction. I think this quarter, thanks to Options, we have done well, I must accept that and although there is a small dip in the volumes of the Futures, the Options have picked up substantially well and hope that we will be able to do better in the coming quarters and may be when we introduce more or more contracts also, that should help us to meet our expectations. I think I will leave the floor open for question and answers. Please ask the people to ask questions.

Moderator: Thank you very much. We will now begin the question -and-answer session.

Anyone who wishes to ask a question may press * and 1 on their touchtone telephone. If you wish to remove yourself from the question queue, you may press * and 2. Participants are requested to use handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. Reminder to the participants, anyone who wishes to ask a question may press * and 1 at this time. The first question is from the line of Mohit Kumar from DAM Capital. Please go ahead.

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Mohit Kumar : Good evening sir, congratulations on a very, very good quarter and excellent set of numbers. My first question is on the delivery from TCS.

Moderator: Sorry to interrupt you, Mr. Kumar, the audio is breaking from your line, sir.

Mohit Kumar: Is it better now, am I audible?

Moderator: Yes sir, please proceed.

Mohit Kumar: The question is on the delivery platform of TCS.

Moderator: Sorry to interrupt you, Mr. Kumar, the audio is still breaking from your line, request you to please be in a network area.

Mohit Kumar: I will get back in the queue, sorry.

Moderator: Thank you. We will take the next question from the line of Devesh Agarwal from IIFL. Please go ahead.

Devesh Agarwal: Good afternoon, sir and congratulations on good set of numbers. Two questions from my side, firstly, wanted to know the status on the transition to the new platform, so where are we on that?

P. S. Reddy: Yes, what is the next question?

Devesh Agarwal: And the second question is, sir, we know that you have extended the contract with 63 Moons for the quarter, so what were the commercials around this - for the extension of the contract with 63 Moons?

P. S. Reddy: Okay, as far as TCS platform is concerned, we have already started the UAT and we are planning to launch next month, the mock as well as the parallel runs and so hopefully, and it is what our plan is, it is what our desire is. By the end of this quarter, we should be able to go live is what our expectation is. As regards to the spend on 63 Moons, I don't think we will be able to reveal the commercials, but it is exorbitant. That is all I can say.

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Devesh Agarwal: Okay, sir and in terms of the new additions to the platform, be it your changes

in the monthly option Gold contracts that you are planning to do as well as our Gold spot exchange, all of this will be post transition to the new platform?

P. S. Reddy: Absolutely right, so all of these will be post go-live. That is correct. The impact of the extension will be felt in the next quarter, of course. That is obviously right.

Devesh Agarwal: Understood, okay sir, thank you so much.

P. S. Reddy: Thank you.

Moderator: Thank you. The next question is from the line of Avinash Singh from Emkay Global. Please go ahead.

Avinash Singh: Hi, good evening, two questions from my end, firstly, if you can give some breakup of the operating revenue in terms of transaction charges on futures and option and other fee and related income, so if some further breakup of this operating revenue, that is number one? Number two is, if we see closely, I mean, a large part of growth had been driven by a huge surge in options in energy and, in gas and crude, now, how do you see this, I mean, how much of that kind of structural in nature how much of it can be attributed to maybe increase volatility around energy in this geopolitical developments, so these are my two questions, thank you?

P. S. Reddy: Okay, I will answer the second question first, in fact volatility is dipping, which runs any contracts for that matter, now whether sometimes it is the energy product, sometime it is the Gold, Silver and still sometime may be metals, so I can't say that whether there will be any structural weakness or a strength in it. I mean it is the characteristics of the market, we must accept it. Maybe currently it is the energy which is substantially driving it, be that so, but it is the volatility which drives all commodity markets, so are we. So I will not be able to say that quarter to quarter is it structural change, no, it is not a structural change. That is the inherent characteristic of the market. As regards to the contribution of futures versus options, in futures we got about Rs. 62 crores in September quarter and options, we got about Rs. 43 crores. That is what it is.

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crores in September quarter and options, we got about Rs. 43 crores. That is what it is.

Avinash Singh: And the rest of Rs. 20 odd crores would be from membership fee and other things?

Management: Membership fee and if you are looking at consolidated, also it includes clearing corporation part. If you are looking at a standard loan, it includes membership and others, connectivity charges.

Avinash Singh: Thank you.

Moderator: Thank you. The next question is from the line of Nikhil Abhyankar from DAM Capital. Please go ahead. Nikhil Abhyankar, your line is in top mode. Please go ahead with your question.

Nikhil Abhyankar: Yes, can you hear me now?

Moderator: Yes, sir.

Nikhil Abhyankar: Thanks a lot for the opportunity, sir. I would like to go back to the 63 Moons contract, so assuming that we do the same volume as we did in this quarter, can you just give a rough estimate as to what will be the impact on our EBITDA for the next quarter and how confident are we?

P. S. Reddy: I will not be able to give those numbers, please. I mean that is as good as telling me what the commercials are.

Nikhil Abhyankar: Okay, and sir how confident are we of going live by end of quarter 3, with the new platform?

P. S. Reddy: The confidence level is high, God forbid if some unforeseen thing happens, we can't say, but then I think we are on that path to make it live, that is what we are fully determined to make it happen. That is what our teams are working towards.

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Nikhil Abhyankar: Okay. Sir, my next question is about the higher other income as compared to the last quarter, it is somewhere around Rs. 18 crores as compared to Rs. 9 crores last quarter, so do you think this level is sustainable going

forward and

also we have got a lower tax expense this quarter, so any specific reason for it and what will be the tax rate for the entire year?

P. S. Reddy: See, we are moving more towards our portfolio in the YTM - yield to maturity kind of thing range, so we are moving more to some of the perpetual bond, some of them into the state development loans of the category 1 kind of states - Gujarat, Maharashtra, so where the returns are very high as compared to what is the other money markets or other short-term funds are yielding. So, you will see that kind of impact, and if this interest rate started, yields have started going up in the last quarter, in this current quarter, from sometime in June, July onwards it started, so we are accordingly taking advantage of the market.

Satyajeet Bolar: And the tax rate would be like this, tax is as per the on the budget, so it should be on these levels and once we go live with the CDP project, then we will also get the benefit of the depreciation, which we have not yet factored?

Nikhil Abhyankar: So, should we estimate from it around 20-22% tax rate?

Management: Yes, may be around 23% would be right.

Nikhil Abhyankar: Sir, I have just one more question, I was just going through the annual report, so over the earlier you mentioned that we have got 20% stake in the new spot gold exchange in the gift city, but I think it has been reduced to around 14%, any specific reason for that?

P. S. Reddy: See, the investments are being made in tranches. Sometimes we have got delayed and we made it up, in the sense, it is that accounting entry. So, by 31st March couldn't make it, but then in April we have made it, so now currently it is 20%.

Nikhil Abhyankar: Okay sir, that is all from my side, I will get back in the queue. Thank you.
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P. S. Reddy: Thank you.

Moderator: Thank you. The next question is from the line of Prayesh Jain from Motilal Oswal Financial Services. Please go ahead.

Prayesh Jain: Yes, good evening everyone, first of all, wish everybody a very Happy Diwali and Happy New Year and secondly, congratulations on great set of numbers.

First question is on the crude oil part, where, in the previous quarter, you had mentioned that the regulatory is definitely considering something related to the SGF and margins aspect, so any further developments there?

P. S. Reddy: On the SGF, no further developments, because RMRC meeting in SEBI is yet to take place. Unless that is done, this issue will be kept pending. Let's wait.

Prayesh Jain: Secondly, on the EGR, BSE has received an approval, what's the status with

MCX ?

P. S. Reddy: See, as I told you, we are not comparing with anyone, I think we have gone ahead, let them go ahead and we have our own assessment of this market, our own assessment of it. As we said, the domestic spot exchanges, gold exchange will start doing better or well , only if there is a GST consideration for the first depositor. Now, just to launch and then make that we are the first, it is fine, I have no problem, we are the first or second is not important. Once you launch, you should do successfully, that is what it is . So we will do it once our TCS platform is stable and once we go live on CDP, then we will focus on the spot.

Prayesh Jain: Okay, sir, third question is on the TCS again, in case if we are not able to implement the TCS platform by December, does the current extension of 63 Moons allow you to further extend it by another quarter?

P. S. Reddy: We don't know because this is hypothetical at this point in time and you shouldn't be telling, I mean all alternatives are possible that is the way I see that. I am not ruling out anything.

Prayesh Jain: Okay, alright, thanks, that is all from my side.

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Moderator : Thank you. The next question is from the line of Amit Chandra from HDFC Securities. Please go ahead.

Amit Chandra: Hello, yes sir, thanks for the opportunity . Sir, my question is on the concentration that is there in the options trading, so 95% is from crude and natural gas, so don't you think that now, as you have mentioned in the previous question also, do you think there is a risk wherein other contracts are not taking up or is it structural by any chance or is it structured in that way that we are focusing more on these two contracts and in terms of pipelines which other contracts are in the pipeline , which we have to launch?

P. S. Reddy: Is it a risk, obviously concentration is a risk. That is true with other leading exchanges where they have only one single product , may be index options or something like that and may be energy exchange has got only electricity, but I mean , it comes with that structure itself, I mean investors have accepted that Yes, it is like this and as I told you volatility drives the market, you have seen last year in 21 -22 also, the gold and silver markets, those products have done exceedingly well and this time it is energy, sometimes it could be metals also. So I think we are not worried on that. There is no competition. The point is, within India there is no competition, but if somebody wants to trade in these products , they come to the exchange only. I can understand this concentration may be a risk if there is competition.

Amit Chandra: And sir, in terms of the participants who are trading, so have we seen substantial increase in the retail participation especially on options or is it the structure is similar to that as in futures or is it substantially different from what it is - the futures?

P. S. Reddy: We have seen a good great number of investors participating in terms of trading UCCs. Till this end of this quarter, in this current financial year , we have 3,74,000 UCCs have participated. As against corresponding period last year 3,13,000 UCCs , 3,14,000 and little less than 3,14,000 UCC s last year and that is the big number and if you see Q2 to Q2 comparison, last year July -

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September, it was 2,19,000 total of futures and options and this year in Q2, it is 2,91,000 . So, that is the way it is.

Amit Chandra: And sir, my last question is on the technology part, sir you mentioned that next month , we are going to start a mock trading on the new platform, so it is mostly end of November, so you have only one month which is December to transition from old to new, so don't you think that like one month is very less time to do all the testing because , as you mentioned that we only have three months of extension, so beyond that may be, we have not thought of that or like that there is no clarity on that at this point, so your thoughts on that and also how is the attention in the internal IT team has been over the last say , like 6 months, has it gone up like significantly in the last 6 months?

P. S. Reddy: Coming back to the, I said next month doesn't mean next month end, okay, so I mean you are presuming that it is next month and that kind of thing and then one month is available, it could be well in the beginning of the first week of the next month also. So that is the way. We are conscious of your time limit. That is why we are trying to make it live as early as possible and make mock runs also as early as possible and this is the top most priority of the management and nothing else, let me tell you and on the second question, attrition, I think it has tapered off now in the current quarter I would say, but yes in the previous quarters, it was on the higher side, but now it is tapered off.

Amit Chandra: Okay sir, thank you and all the best.

P. S. Reddy: Thank you.

Moderator: Thank you. The next questi

on is from the line of Sumeet Rohra from Smartsun Capital. Please go ahead.

Sumeet Rohra: Yes, hi sir, thank you very much for giving me the opportunity, sir, if you can just help me understand few things, what is the cash today we have on books, firstly? Secondly, sir, you know just check my ignorance, but I am pretty new to your company, so I will just ask you a few things. So sir, basically if you Multi Commodity Exchange of India Limited
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could help me understand that you said the operating revenue is about Rs. 60 crores for future and about Rs. 40 for options and Rs. 20 was the other s, sir can you please help me understand that since the options is the new part, so how do you basically see this evolving, because normally options are very well traded all over the world in terms of volumes, so how do you basically see this Rs. 40 crores -kind of options shaping up? And sir, thirdly, you know I read somewhere that SEBI may soon allow FIIs to start trading commodities, so has that already been allowed or that has not been allowed yet, sir?

P. S. Reddy: Okay, I will take the second question and third question, how does the options will shape up, options revenue, because currently it is 60 versus 40 kind of thing you are saying it. What I understand is that options are the future for that matter for all products may be. We are gradually introducing more and more products and which one will pick up fast and then which one will pick up trading as it is currently happening in the crude and NG, and I think it all depends on the volatility and the margining system, and the margins are under the underlying futures, the margins are very high whereas options, it is very less. That is the reason why it is darling of the market and I think as we go along we will see some kind of traction in other products and options will also start picking up and in the realization rate is also good in the case of options. It is better than what we are keep assuming it that, you know or keep saying that one third of options give one third revenue as equivalent to the future. That is what I say, but that is realization is better than what we have been presuming it, and the third thing is the

DG Praveen : FII participation.

P. S. Reddy: FII participation, the regulations are out, but you know, still this is our understanding of it, if they want to participate without any delivery being taken or any kind of such thing, they should be able to participate well in time now itself, but if they want to participate in terms of cash -and-carry arbitrage opportunity, if they want to take advantage of, probably, they need a GST registration, etc., which again is a challenging thing for them and then probably they need to have custodian also in place if they want to trade in Multi Commodity Exchange of India Limited
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such kind of strategies. Maybe, we have to wait and see, but again, as I said, our focus this quarter is not acquisition of more clients, if they come it is fine, but our focus is on technology and if you want to make it live, come what may at any cost, may be the CDP, commodity derivatives platform line. That is what our ambition is and regards to the cash first one.

Satyajeet Bolar : Yes, own cash in our books is around Rs. 900 crores, this excludes over the margin money and other money that the clearing corporation gets down, net worth is Rs. 900, which is represented in cash.

Sumeet Rohra: Okay, perfect, okay and sir just one more thing if I may ask you, may I sir?

P. S. Reddy: Please ...

Sumeet Rohra: Okay sir, basically if you can help please understand that today how many products are we offering and off the revenue can you give the top 10 products I mean if by revenue we offer, and how many more products or commodities are we going to reduce going ahead?

P. S. R

eddy: No, 2 energy stocks and then 2 of the bullion, that is 4 and then 5 base metals, these are the ones which accounts for the maximum. That is the way it is.

Sumeet Rohra: Thank you so much sir and are introducing more products or commodities, whatever?

P. S. Reddy: Yes, we are on, they are in the pipeline, we will do that. Electricity is one such product.

Sumeet Reddy: Okay, thank you, sir.

Moderator: Thank you. The next question is from the line of Subramanian Iyer from Morgan Stanley. Please go ahead.

Subramanian Iyer: Hi, everyone, thanks for the opportunity and congrats on a good quarter, so I had three questions. The first one is that it is more related to the operating revenue breakup, so you mentioned about other revenues being about Rs. 20 Multi Commodity Exchange of India Limited
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crores, so if you could give some more color here on what is changing here because in the first 3 quarters of the last year we had this number around Rs. 13 crores odd, the last 2 quarters this had been around Rs. 16 crores and there has been a good jump to Rs. 20 crores, so if you can provide some more color on this, on what is the composition and what is moving here? That is the first question, the second question is about product dynamics, so we are seeing a good pickup in options with respect to crude oil, but we have not seen pickup in options with respect to gold and silver which are more dominant in future as well as basically crude is not doing that well in future, so if you can explain some product dynamics here on why this differentiation and if at all there can be something that can shift from futures to options in the future, from futures to options why would that happen? And the last question is more about the investment books, so you mentioned that you are moving to YTM investments, do you have an option of essentially not marking-to-market instruments that are designated to be held to maturity, so thereby eliminating the volatility in your P&L, so that is the third that I wanted to understand?

P. S. Reddy: See, the second question I will answer first. You are right that crude oil, thanks to the high margins that have been imposed, then investors found an alternative way of taking advantage of the volatility in the product, so they moved over to the options, and in a similar way even the NG has also picked up, but that is not true with gold, okay, as in - gold and silver, so the futures only are doing it. My hunch is that it was the high margin costs which have led to this kind of shift, but having got used to that kind of shift, whether they will move back to the futures, if the margins are reduced, I am not too sure about it. I will not be able to predict that and if there is any other reason that could make them to take a decision, make them to move out to the futures, I think we have to wait and see on that part of it. Now, the other products obviously as we introduced in the gold also, we are planning to introduce monthly options contract. Probably, that will reduce the tenure of the contract also. You need to look at that part as well. If the tenure is also high and then the contract value itself is also very high, obviously that will keep the participants out and hopefully if we make it monthly contract, that will be brought down Multi Commodity Exchange of India Limited
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by us, premium will be brought down, so that make it attractive. So essentially, it is the cost of trading whether be that premium, be that margins which will drive make the people to choose the product. Then, the first one of course regarding the breakup of it, the other income breakup, he will tell you. The last question again related to whether HTM, I think that is we have changed the policy of our investment policy. There, we mentioned that all these instruments can be k

held to maturity. Anyway, you speak.

Satyajeet Bolar : As we explained in the July call that we are moving into held -to-maturity category of investments of bonds, so we are amortizing this over the length of the instrument and we have invested a substantial amount in state development loans as well as in perpetual bonds in primary as well as in the secondary market during this quarter. All of these instruments are held -to-maturity. So we will not be capturing any impact of the mark to mark and your second question with regard to other income, so the other income include mainly treasury as well as during the quarter we have informed the market that we have an arrangement with Chittagong Stock Exchange in which we have been providing technical services, so we have been able to book, we have provided services and we have booked certain income on the services that they have provided to Chittagong Stock exchange.

Subramanian Iyer: Understood, thanks a lot and best wishes for future quarters.

P. S. Reddy: Thank you.

Moderator: Thank you. The next question is from the line of Lavanya Tottala from UBS.

Please go ahead.

Lavanya Tottala: Hi, thanks for the opportunity sir and congratulations on good set of numbers and I just want to understand in continuation to earlier question that in options, is there any difference in participants who trade gold and silver as compared to crude and natural gas because there the members are already comfortable with options, but gold is not yet, so is there any difference in the set of participants who trade in different products and also within crude, do Multi Commodity Exchange of India Limited

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you see higher preference for short duration like one month contracts over two months because the premium would be lower there?

P. S. Reddy: Yes, in crude anyway it is a monthly contract, so as such the premium will be lower, but the contract is also not very big as compared to the gold. Today, you have about 50 lakhs of rupees, 1 kg, so that is very high and so yes, is there any difference in the participation, there are many coming on, no doubt about it, but as I told you, for those ones who are day traders are some of them who want to take advantage of volatility, they look at deploying, let us say, 1 lakh rupees in gold and how much money they can make, versus deploying the same 1 lakh rupees in crude oil, how much more money or how much more contract they can take and then benefit. So, that is the comparison they do. Obviously, the fund requirement will increase when it comes to the gold and whereas when it comes to the crude oil and natural gas it is less. So, it is pure economics of it, nothing beyond.

Lavanya Tottala: Okay, got it, and just a clarification sir, crude we have only monthly contract, there is no two -month contract?

P. S. Reddy: Yes, there is no bi-monthly contract.

Lavanya Tottala: Okay, got it and can you help me with this revenue split for the last quarter in terms of options, futures and the membership fees sir?

Satyajeet Bolar : During this quarter, the September quarter, we earned Rs. 64 crores from futures, Rs. 43 crores from options.

Lavanya Tottala: I mean Q1?

Satyajeet Bolar : Q1, it is Rs. 66 crores in futures, Rs. 27 crores in options and then Rs. 2 crores would be for the membership, and another Rs. 2 crores of connectivity.

Lavanya Tottala: Got it, and last thing, after launching, I mean after we shift to the new platform TCS, what would be the timeline that you would be looking at launching the new product like the monthly gold options which you are Multi Commodity Exchange of India Limited

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looking at, what would be the timeline after shifting to the TCS that you will be launching the new product?

P. S. Reddy: As far as possible, we would like to launch in the first quarter on

ly. That is

within 3 months of the launch.

Lavanya Tottala: Okay, got it, thank you so much for the opportunity.

Moderator: Thank you. The next question is from the line of Ansuman Deb from ICICI Securities. Please go ahead.

Ansuman Deb: Yes, good evening and thanks for the opportunity. I have two questions, one

is on the portion of your UCCs who are using options, you kind of indicated that number if you can share the penetration of options within your universe as of now? That is one and second is, sir, I just wanted to understand that in your contract with TCS, is there any punitive clause of delay or any accountability in terms of, from the TCS side, in terms of being delayed or something?

P. S. Reddy: I think it is already there, the penalty clause is there, but every clause has got its own limitations, if you can't take out the entire contract value, isn't it, in any contract, so there is a penalty clause, no doubt about it, okay. Now, this is one part of it. In terms of UCCs, you are asking, in futures you have a total of 2,36,000 are getting traded, 2,36,900 are trading and in options above 2,13,000 are trading. Now, the unique between the two are 3,74,000, is that clear?

Ansumen Deb: Yes, as I like, just to be clear that the, so basically the entire universe who is trading futures is also trading more or less options as of now?

P. S. Reddy: Not necessary. That is what I am saying, we can't draw that number comparison and then deduct it and then you can't that could be a separate set, this could be a separate set, that is why I am saying 3,74,000 is the unique.

Ansumen Deb: Unique, okay sir, I will sort it out and try to figure it out, no problem. Thank you.

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Moderator: Thank you. The next question is from the line of Bharat Aggarwal, an Individual Investor. Please go ahead.

Bharat Aggarwal: Hi, thank you for the opportunity and wishing everyone Happy Diwali. Sir, I just have question on revenue breakup there is income from margin money, just wanted a brief detail about the same line item?

P. S. Reddy: No, income from margin money is essentially the cash deposited by them, we earn some interest, that is all and it will be in a money market.

Satyajee t Bolar : It is consolidated, which is managed by MCX CCL and the investments are made as per the SEBI guidelines, which is only in liquid overnight and fixed deposits.

Bharat Aggarwal: And what would be the amount right now, the margin amount?

Satyajee t Bolar : On 30th September, we had around Rs. 1,000 crores in cash.

Bharat Aggarwal: Rs. 1,000 crores and what is the payment that has been made to 63 Moons since H1 FY23 so far?

P. S. Reddy: H1 will be, it is obviously, as per the previous contract agreement, that was how much total?

Satyajee t Bolar : Around Rs. 28 crores.

Bharat Aggarwal: Rs. 28 crores has been paid, okay and what is the top 10 concentration right now?

P. S. Reddy: Sorry.

Bharat Aggarwal: The top 10 concentration by traders? Volume?

P. S. Reddy: One minute, yes, I think the top 10 accounts for the same like last quarter, is 66%.

Bharat Aggarwal: Okay, Thank you. That is all from my side.

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Moderator: Thank you. The next question is from the line of Rajesh Mehta, an Individual Investor. Please go ahead.

Rajesh Mehta: Yes, thank you, sir. Sir, my questions are on the technology platform and two questions. Sir, the first one is on the, there is a lot of market speculation under the quantum of amount that you paid to 63 Moons is, may be multiple times of what our quarterly payout are and if that is the case, do you think that next quarter profit would be materially impacted or things equal? That is the first one and the second is on the TCS delivery, sir, as per the last con

ference call

if I am right they were supposed to deliver the entire product suite by end of September and then only mock testing would have been pending, but they have not yet delivered the entire product suite, so what is the confidence sir that they will be able to deliver it by November and then the testing can go ahead and then we will be able to launch on 1st January, before 1st January?

Thank you.

P. S. Reddy: The first question, first, whether as I said, the charges were exorbitant, whether it will impact the next quarter, I think if other things being equal, obviously it will impact. Now, the other part of it is what is the confidence level as I said, we are already doing the UAT and it is progressing and we are keeping track of it and day by day we are able to see some good results out of it and let us see as I said, all options are kept open and we must make it live and it is kind of management's commitment, a do or die kind of situation, we would like to make it go live. That is the commitment from our side. That is the way it is, at this point.

Rajesh Mehta: Sir, just one followup, sir, in the light of things, would it have been better to have a slightly longer extension that just 3 months, I mean given that TCS has been added for 2 years and hasn't yet delivered the product suite for MCX, just wanted to know your perspective on it?

P. S. Reddy: I think all dimensions were discussed, I think accordingly this was the best possible extension we could have under these circumstances.

Rajesh Mehta: Thank you. Thank you so much.

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Moderator: Thank you. The next question is from the line of Harish Iyer, an Individual Investor. Please go ahead.

Harish Iyer: Good afternoon sir and Happy Diwali to you and your team, sir. Sir, my question is again pertaining to TCS contract and sir, what we have seen even internationally when someone replaces the vendor they run the systems parallelly for good amount of time, so that exchange avoids any failure in the future, I completely get your intention, sir, that you want to move to new platform, but doesn't that risk MCX for any future failure, since we will have a very short amount of time to move to a new platform and we don't have run parallel so far, even for the quarter?

P. S. Reddy: Well, we need to make an assessment, risk versus the expense that we have to incur also. Of course, we will take a careful assessment of the situation as we go along and how stable it is and obviously TCS will be giving L1, L2, L3, all supports they are giving in and we will be doing a proper assessment and we will be running the parallel runs also and depending on the quality of the parallel run, quality of the mock run, we will take this call.

Harish Iyer: Sir, thanks and sir, one more question, I understand and what you have said obviously you cannot appreciate the confidentiality terms and you cannot quote it, but sir and also considering that as you said you have to measure it risk versus everything and if we have to extend this contract, would that mean that the FY23 profitability would materially get impacted, everything remain same, sir?

P. S. Reddy: We don't know at what price they will extend or I mean this is not like particular question, isn't it, I do not know what offer they will give and so how am I to say whether it will impact or does not impact.

Harish Iyer: Okay, thank you sir.

Moderator: Thank you. The next question is from the line of Nikhil Abhyankar from DAM Capital. Please go ahead.

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Nikhil Abhyankar: Thanks a lot for the opportunity again, sir. Sir, you mentioned that there is a penal clause associated with the TCS contract, so can you just mention the quantum of that contract, quantum of the penalty?

P. S. Reddy:

No, I will not be able to. That is what I am saying, these are all confidential terms, how can we disclose it, it is not.

Nikhil Abhyankar: Okay sir and if at all, if you any accrued revenue through it, so when will we start booking it?

Satyajeev Bolar: Come again, I didn't get it. We didn't get your question?

Nikhil Abhyankar: These penalties, when will we start booking these penalties if there are any?

P. S. Reddy: No, probably instead of paying them, because the payments are not made to TCS as yet. They are all in tranches and depending on the milestones, so as and when my milestone is achieved, before releasing that payment probably

we will be directing it. I mean, I don't know, that is we have to look into the terms of the contract and then accordingly do it.

Nikhil Abhyankar: Okay, sir, that is all from my side. Thank you.

Moderator: Thank you. The next question is from the line of Sanketh Godha from Spark Capital. Please go ahead.

Sanketh Godha: Thank you for the opportunity, sir. Sir, can you just give us the margin difference in options market in absolute percentage terms in options market versus the futures market, crude, gold and within futures, how the margins are different between crude and the other products, just to understand how this huge differential is leading to crude volumes to do so well? That is my first question sir?

P. S. Reddy: Hello, yes, see, in crude oil, for example futures of the underlying margin is currently about 30-35% and when the last 5 days' delivery comes, everyday 5-5 percentage points it will increase, so 30-35, 40-45, 50-55, it can go up to 55%. Now, in Gold, currently I think 12% or so again on the last 5 days it will, Multi Commodity Exchange of India Limited
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delivery period, it will increase by another 25%. Now, these are all the futures activities. When it comes to options, the option writer will have a different, obviously the same margins will be applicable for option writer because each seeking exposure to deliver the underlying commodities, but whereas option buyer, either put option or call option, he has only option, so we will pay the premium. Now, how much premium he will pay and it all depends on whether it is in the money, out of the money or at the money kind of options. That is the way it is and it varies from product to product, got it?

Sanketh Godha: Got it, and second question just wanted to understand sir, if I look at historical data, the premium to turnover ratio if I want to calculate in options market, it used to hover in the range of 1-1.5% till 21 and this number suddenly has gone up to 2.3% in FY22, now it is in the range of 2.5-2.6%. Sir, just trying to understand the risk that this number if it goes back to 1.4-1.5 kind of a number, what likely impact it would be or what is leading to the number to be so high, around 2.5-2.6 compared to historical past around 1.4-1.5, sir?

P. S. Reddy: See, if the options are traded far away from out of the moneys, obviously the premium will be less. If it is closer to the money or in the money or around that then obviously premium has to be paid more, so since our transaction charges are based on premium, the premium it is high, then obviously our transaction charges will be high. Now, that is where we said earlier, some time ago, that we have estimated it to be getting as the revenue of the futures transaction. It is precisely based on that kind of conservative estimate 1-1.5%, but we are able to see a better premium, so obviously our transaction options are more trading at the money, in the money or near the money kind of thing, but not far away from the money. That is the reason.

Sanketh Godha: Sir, you have clearly seen a structural shift among the participants previously when options were not charging that people used to trade far from the month contract and no

they are trading closer to the month contract and that is like a structural shift and therefore this number will remain around 2-2.5 forever, going ahead?

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P. S. Reddy: I think it is too hasty for me to make that comment that we have made any structural shift, we have to wait and see and did it just one-year-old in that sense the option charging started last year September or October and it is too early for me to say anything on that.

Sanketh Godha: Got it sir, and like future yield which is 2.07%, so the option yield will be closer to Rs. 420-Rs. 430, sir?

P. S. Reddy: I didn't understand. Options we are charging about, average Rs. 45 for 1 lakh of premium. That is the fee....

Sanketh Godha: Got it sir, and last one, the investment book breakup if you can give how much is the SDL or held to maturity securities, you said the cash on investments of the book is around Rs. 900 crores and can you give the breakup of Rs. 900 crores into YTM kind of bonds versus last year and whether there is further

more scope to increase it to YTM bonds?

Satyajeet Bolar : So, as I mentioned total corporates is around Rs. 900 crores, we have around 45% in perpetual bond and state development bonds and we also have around 5% in ETFs which are maturing in April 23, Bharat Bond . So the balance is short term which we are reviewing on a regular basis and as and when we get opportunities we are moving it to H TM.

Sanketh Godha: Sir, any cap you have set that is 45 can go up to 60 or 70 of the entire cash you hold?

Satyajeet Bolar : Depends on our liquidity.

Sanketh Godha: Okay, fine and last one sir, see given the mutual funds have started this ETFs, gold and silver ETFs, have you seen any traction on the exchange because of these ETFs getting launched?

P. S. Reddy: Not as yet.

Sanketh Godha: And what could yield to any increase in the traction sir, means any reason why it is not picking up?

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P. S. Reddy: Well, we are engaging actively with them. There are some structural issues which we have written to the AMFI also to address those issues. They are taking up with SEBI and probably once they address those issues, probably they will be able to participate greater.

Sanketh Godha: Got it, sir. That is it from my side, thank you.

Moderator: Thank you. The next question is from the line of Chirag Maroo from Keynote Capital. Please go ahead.

Chirag Maroo: Yes, thank you for the opportunity. Most of my questions are answered. I just have two questions for now. The first one is, could you please tell me what is the ballpark figure that we are spending on the software of TCS and how much of that we have already spent? And my second question is like we have particular slabs for future contracts like up to Rs. 350 crores of contract we charge about 175 and beyond Rs. 350 crores we charge 75% and up to 350 crores we charge up to 260, so is there any kind of slabs in options contract too?

P. S. Reddy: Yes, coming back to the second question first, yes, there is a slab as I told you it is about Rs. 40 and Rs. 50 and subject to how much is the premium, we have that. We have two slabs in that, one minute I will get you ... and then the first question is on the pricing, how much is the what you call contract value and other things, I mean we have been advised strictly not to disclose any of those numbers, but it will be substantially lower than what we have been incurring so far. That is the way it is. Up to Rs. 5 crores it is 50, up to Rs. 5 crores of premium it is Rs. 50 per lakh and beyond Rs. 5 crores of premium it is Rs. 40. These are the two slabs.

Chirag Maroo: Thank you, sir.

Moderator: Thank you. The next question is from the line of Prayesh Jain from Motilal Oswal Financial Services. Please go ahead.

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Prayesh Jain: Yes, hi, firstly, you all had mentioned about launching steel contract, what is the status? Do we have the approvals and we are waiting for the TCS or where is this stuck right now?

P. S. Reddy: Yes, the approval is not in phase as yet, that is where we are waiting for. I think we should be able to get that. Let us see.

Prayesh Jain: Okay and just explained in the previous question with regard to the spend on the TCS, so if I look at the balance sheet and your intangible assets under development is Rs. 75 crores, is that pertaining to TCS and how much or what portion of it would have been ... Rs. 75 crores is a number that we have it till September?

Satyajeet Bolar: See, that is the aggregate amount of what we are spending on intangible or the development and as ...

P. S. Reddy: That includes the hardware also ...

Satyajeet Bolar: No, only intangible, but it won't be fair, I mean asking questions less right

Prayesh Jain: In different ways.

Management: In different ways , I don't think its appropriate to mention it .

Prayesh Jain: Okay, thank you so much.

Moderator: Thank you. We will take one last question from the line of Harish Iyer, an Individual Investor. Please go ahead.

Harish Iyer: Sir, just want to understand what would be we should take as an annualized figure for the other income considering now we have changed our policy , because otherwise every quarter it moves up and down, so is it possible for you to guide that what would bring changing policy and shift to our portfolio, what would be our annualized other income, sir?

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Satyajeet Bolar: Only appropriate for me to give you a guidance, but you know as we have mentioned in the call, we are moving towards, wherever we can mostly , we will be moving to held to maturity, but remember in held to maturity only get s accrual, so that is the downside, right. If the interest rate s start falling in the fourth quarter, then there is nothing that we will be able to record , to do only the accrual. That is something that we have to keep in mind.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. P. S. Reddy for closing comments.

P. S. Reddy: Thanks to all of you and I think we have done well in terms of numbers, but my top most priority at this point, the entire team at MCX is , to make the commodity derivatives platform live and that is what our single most important target for this quarter is, and hopefully we will be able to make it. Let us see. Thank you. Thanks to all of you.

Moderator: Thank you. Ladies and gentlemen, on behalf of Multi Commodity Exchange of India Limited, that concludes this conference call. Thank you for joining us and you may now disconnect your lines.

Call: Dec 2022

MULTI COMMODITY EXCHANGE OF INDIA LTD.

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The Dy. General Manager

Corporate Relations & Service Dept.

BSE Limited, P.J. Towers, Dalal Street,

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Scrip code: 534091, Scrip ID: MCX

Subject: Transcript of calls with Investor/Analysts

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)

Regulations, 2015 read with the SEBI (Listing Obligations and Disclosure Requirements)

(Second Amendment) Regulations, 2021, please find enclosed herewith the following transcript

of the call with investor/analysts:

Sr.

No Investor/Analysts Date Time Annexure

1. Nordea Asset Management November 29, 2022 04:00 PM Annexure - A

The

said transcript is also uploaded on the website of the Company at

<https://www.mcxindia.com/investor-relations/ir-meetings>

Further, we

hereby confirm that no unpublished price sensitive information was shared/discussed

during the said meeting.

Kindly take the same on record and acknowledge receipt.

Thanking you,

Yours faithfully,

For Multi Commodity Exchange of India Limited

P S Reddy

MD & CEO

O

Encl: As above

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Meeting with Nordea Asset Management

November 29, 2022

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This document may contain "forward -looking statements" – that is, statements related to future, not past, events. In this context, forward looking statements often address our expected future business and financial performance, often contain words such as "expects", "anticipates", "intends", "plans", "believes", "seeks", "should" or "will". Forward -looking statements by their nature address matters that are, to different degrees, uncertain. These uncertainties may cause our actual results to be materially different than those expressed in our forward -looking statements. We do not undertake to update our forward -looking statements.

Annexure-A

Multi Commodity Exchange of India Limited

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MANAGEMENT: MR. PRAVEEN DG – CHIEF RISK OFFICER , MULTI COMMODITY EXCHANGE

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Participant : Are starting off with really on the big picture side, I mean, there's been so many regulations that have come supportive of driving volumes, not on a commodity exchange. We don't see that sort

of volume in the numbers yet, right? So if you sort of tell us the two, three things are there reasons why -- what is needed really to have the volumes sort of come on because regulation seems to be in favor, but something that seems to be missing if you cast run us through the...

Praveen DG : So recent development or related developments, whatever happened. In fact, most of them are in favor of options compared to the like sometime in 2020, peak margin reporting has come. I think it is equally been introduced in the equity market. That has impacted our volumes, particularly the futures volume because leverage what the brokers earlier used to give to their clients, Some brokers not everyone. They use it to use some leverage to their clients for intraday operations.

With the introduction of the peak margin reporting that has completely gone. That means now every broker has to ensure complete collection of the margin upfront before any trade. So no leverage. So it is like a compulsion of bringing in the adequate margins. Second, the commodities market we all know that it operates still very late evening. So given that for any retail individual or a retail client, it is very difficult to bring the margins in between because depending upon the international price movements, always, there could be a possibility that there could be new request for the additional margins because we have different types of margins. One is related to the volatility based margins. Evening markets are very active. So whenever any spurt in volatility and anything happens, automatically, the margins will also go for a change accordingly. That is one reason the clients retail, they prefer buying the options because you have to just put the premium, that means as a buyer, we just pay the premium and take it and you will not have to get involved into the day-to-day margining actually. -- unlike in writing an option. So some set of market participants, they preferred futures over option -- sorry, options over futures.

And that is the reason you could see there is a tremendous progress that has been witnessed in the options contract compared to the futures. So there has been a marginal drop. Can the question is if you ask, is it cannibalizing into the future? Definitely not, at least only marginal turnover has come down in futures compared to the growth that we have and we have with that options. So that way, it is like a good performance, excellent performance in option compared to a marginal drop that was best in the futures count. So it's not only in terms of turnover, you can even look at the participation, participation of is.

Also, if you look overall exchange level, there has been a growth. And particularly in options, you can see very good growth that has happened in the last two, three quarters. So one reason like I said, it is because of the peak margin reporting. Second, we have a regulation which says that historically, you have to do the stress test analysis. And based on the stress test numbers, you have to look at the adequacy of your settlement guarantee fund. Okay. If at all, any need is there, you have to infuse the capital, and it is only one-way traffic. So once you infuse any capital into that one, you will not be able to take it back. Okay.

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So that is one reason why the exchanges all hesitant to put any capital into the settlement guarantee plant. And we all have made a representation to the SEBI also for considering a 2-way movement. That means whenever there is a need, we can ready to put the money into the S

ettlement guarantee and not required, you can take it down. But still, that is not yet happened. And given the current regulations, if you are not increasing the margins, automatically, your stress numbers will go back and you are supposed to bring in the capital and you need to put the capital into the S GF.

So one way what we are managing the things is we are increasing the margins, particularly in case of crude oil and gold, where about the open interest wherever you have a good open interest is there? Because your stress test numbers depends not on the volume, but the open interest. So there, like you can see the margin currently crude oil is more than 30% is there. And when you go near to the expiry 30% margin, more than 30% margin in crude oil. And even natural gas, it is more than 30% and when you go near to the expiry, there is something called pre-expiry margin, that also will be introduced, which is on an incremental basis, it will be introduced like first day 5%, second day, 10% 15%.

That means by the fifth day, it will be another 25% in addition to your 30-plus margin whatever is there. That means your margins will go anywhere between 55% roughly. So which is substantially brings down your leverage, whatever the market otherwise would be enjoying Participant : Okay?

Praveen DG : So this is one thing really impacting the futures turnover. And some people, because in order to avoid that kind of increase in increased margins and other things, they are preferring to go for options on the buy side, particularly the retail. But AI go and other people, they are comfortable in writing the options and equally participating in the futures because for an Algo to write an

option also you required to balance his position in some other asset class. And interestingly, all our products are option on futures.

So ultimately, even devolvement happens at the time of expiry anyone in the money option holder exercises options, you will end up getting any futures contract okay? It is not a cash settled contract. So that way, there is a high amount of inter linkages there between the options and futures. So we see that if more and more growth happens in the ...

Participant : Even the option is there a future exposit on.

Praveen DG : That's what I'm telling. The numbers will speak itself more than anything. I'll just give you the numbers. You can see that how the numbers are translating to the. Year -to-date, we have done something around INR 24,000 crores -- okay, INR 24,500 crores in futures compared to INR 26,500 crores in options. And varies like if you see the turnover and lowering options is now more dominating compared to the future. Same thing if you take the corresponding period, the numbers are like INR 27,000 crores in futures and INR 4,600 crores in options.

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So from INR 4,600 crores has gone up to INR 26,000 crore and futures , it is a marginal around INR 1,000 crores drop in the turnover . But what we see is on ce options grow much higher, automatically , it is going to complement the futures contract because option writer, they definitely have to take your position in the future s. But definitely, the fall will not be significant impact that also should just start see growth that is for this -- the way, that is how we are looking at it.

Participant : And what percentage of all over is retail versus corporate or hedge order?

Praveen DG : So currently, hedges while we don't give that kind of -- particularly, we don't view that kind of statistic. But some numbers can give you some light on it, which we are also giving in our investor presentation. Algos happened to be around 50%. Algos, okay. And client trading is about 51%.

Participant : Okay.

Praveen DG : Client trading.

Participant : Algos 50 or 1 point?

Praveen DG : 50.

Participant : 50, okay.

Praveen DG : Mo

re than. So don't -- plus less than and it is not going to reach 100. Independently, you have to look at it. So what I'm saying is a clients can also be using the Algo. So Algo percentage also may include the client trading also into that. So independently, if you look at the holistic picture for the exchange level, prop and client . This is one or two segregations we make it. So out of that one client happen to be around 50%.

And so the rest of the business is coming from a prop trading . So that is how the prop versus client. Similarly, Algo and non -Algo again, it can be an equal balance between 50 to 50. Okay, now coming to your question on hedges, we started this exercise, something called similar to commercials court report, what do you see in the global market? But this is purely on a voluntary basis. What a client assumes to be, whether he's considered himself as a commercial or a non -commercial, depending upon that one, we collect the data and we populate it.

But it's not linked to the volume, but it is linked to the open interest because hedges are not interested in volumes. If you look at as a percentage to the volumes, definitely their percentage will not be significant. Their contribution will be more into the open interest. So open interest, what we could able to see is anywhere between 20% to 35% will be the average hedges interest in the overall open interest. But again, depending upon the commodity to commodity, that varies a lot.

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Participant : My understanding in terms of profit -- a very clear what we explained in last two or three years how the volumes have played out. So if you look at a little longer period, right, what are the total size of sort of multi exchange rate Indian corporates and retail do? Maybe they do it in LM E etc. What is the sort of opportunity that we have not tapped into yet, or what are the sort of size that opportunity?

Praveen DG : One way you, the way you can look at it is multiplier is what has been globally being used. But again, the multipliers will be depending upon market to market like physical market to the futures market. That is one comparison, you can look at it. In India, the access for corporates to access the global market is very limited, not everybody will go and really overseas market.

Especially, we have many MSMEs are there who definitely find the global markets very big like if you take the trading lot of LME, it is about 25 metric tons, whether you take aluminum or copper or any other thing compared to you have a 5 metric ton contract in the Indian market. And there are other costs also for them to go and trade in there. For MSMEs, the liquidity is adequate in Indian market. That is where we are happy to do that well. And maybe the 1 or 2 large corporates basically give who have the set up there also in the global market, they do. But when it comes to the Bullion, the RBI has come out with the regulation saying that the Indian corporates cannot go and hedge on at the overseas market. So because of that one, all the Bullion industry today, it is you completely find them in the domestic market that is because we being the market leader. So that way it is there.

But in other markets, there is no mandatory kind of provision that is being imposed by the RBI. It's more of a voluntary disclosure subject that is being stipulated by the SEBI wherein have being a listed company, they are supposed to make certain disclosures saying that what kind of risk commodity risk they have? And how am I managing my commodity price risk.

So these kind of disclosures, they have to make in their annual reports as part of LODR regulations. But it's not necessary that they have to trade only in Indian market.

Participant : So when did that happen as a regulator move to the gold contracts. Do you give 4 years -- do you expect it to -- which

new products or so on?

Praveen DG : No, we don't see it because gold has been taken in a different point of view because we link sometimes current account deficit, and is linked to the gold imports into the country. But it is not the case in case of other metals. We don't see that kind of thing will come up soon.

Participant : But it's hedged or outside, how would it change the current?

Praveen DG : I'm saying they don't want anyone to go and take the money work it out and use it for some other things. As an individual, anyway, I will not be able to go on trade in derivatives globally. But the corporates can go and do it. But gold being heavily getting imported into the country, they wanted to keep certain restrictions into the...

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Participant : When we meet companies make cables, etcetera, there are being a lot of copper if metals going every sort of hopefully would need to add something on the other Adhesives have oil a bottler has some other oil, everyone has some requirement -- that's not to get at are these guys hedging it outside? Is this all happening on LME and we don't have that volume. What is the reason why we are a fraction of what we should do?

Praveen DG : The trading costs are very high compared to the global markets. Okay. For example...

Participant : Margin requirements?

Praveen DG : Yes. Trading cost, we have some government taxes like you have a commodity transaction tax, which is equivalent to INR 10 per lakh. So roughly, it is 0.01, 1% which is very high, which is on the sell side. And apart from that one, you have stamp-duty then we have GST.

So what we charge is very less. We charge something around 0.002%. So that way it is comparative lesser. So the regulatory cost is very high. And those kind transaction taxes are not levied anywhere in the world except in Taiwan. There also it is very small portion, is like the percentage is very insignificant. So that way, like trading costs are very high in...

Participant : Effectively, cooperative has the option to either pay here or there, it makes sense to these [inaudible 0:19:39]?

Praveen DG : See, corporate will look at only two aspects. For him, the trading cost is not a big challenge.

Because he's not very concern. He's not a daytrader who is going to trade a day in and out. Okay.

Once he takes a position, you will hold on the position for a longer period. Second, liquidity. If the only problem that a hedger can face is if suppose I'm not -- I want to take a big bulk. I want to hedge myself in a very big way. Then I may not find the market very liquid enough so that you may have to go overseas and do it.

But especially when you look at the MSME kind of players or it is normally a small player -- they don't see that kind of liquidity challenges on the domestic exchange, because they find a good decent amount of liquidity. The only thing that an Indian exchange may not be able to provide is a very long-dated contract compared to the LME, which can able to offer you some 10 years other contract because here, the contracts may be there, but it may not be liquid to that extent -- but the SMEs and the medium kind of players, they won't mind taking a position and rolling over their position rather than going in the overseas market, playing with the dollar and all those.

So that won't give them any comfort. Big players who are already an importer or exporting the material and other thing. They may start like kind of people are a big companies, they may look for trading the international market, but not a normal type in the value chain.

Participant : It's a bit of a chicken and egg problem, right? We want the first person not comment because

Praveen DG : That is about liquidity, but liquid can on

ly matter only for a bigger one, I suppose I want to pick up only directly a 25 metric ton contract, where your order book opposites not deep enough, ultimately, there will be a higher impact cost will be there. But if you come to the Indian market, okay, the trading lot is only 5 metric tons. I wanted to pick up a 25 metric ton. I need to pick up 5 contracts. So when I want to go and pick up the 5 contracts, it will impact, because my net impact, our net cost of acquiring could be higher than your -- what you could see in the top line. So that way, it is like slightly costlier but for the -- like I said, other value participants medium to small, they won't find it a big issue, This is not a discouragement to them -- they feel comfortable in trading in smaller lots.

Participant : Are your contracts all in India would be? Or do you have some...

Praveen DG : Yes all are in Rupee denominated.

Participant : Do you see that like a hurdle for -- companies want to hedge this cost, but for example, importing raw materials paying dollars to the supplier and they will want to hedge it in dollar.

Praveen DG : See, nowadays they -- anyway how the currency forward market is very active and also currency derivatives are outside. If somebody wanted to do it, they can do it. I don't see that one at. Only challenge bigger companies who have a huge production is like long -dated contracts are not liquid enough and you won't find what do you say, depth, market depth, what they are looking...

Participant : Can hedge quite easily you're growing exchange market, but like it's easier if you can hedge directly your commodity exposure in the other instruments you don't have to go to contracts like in the commodity you would be in one instrument, you would be in another.

Praveen DG : That is not an issue, and many of them for many years, they have been trading in the global markets, some of the bigger players. So they have their offices located there in international markets. They can easily connect with. But smaller players will not be able to do that. And up to the mark, there are not too many that kind of big players are there in the market. It is only a few said, it is oligopoly kind of market prevalent in Indian market. So you don't see too many players.

Participant : Specific regulation where you allowed mutual funds -- launch an index where commodity and - this hasn't been a catalyst for anything. So why are these commodity funds not getting on?

Praveen DG : Currently, 4 to 5 mutual funds are active in the commodity derivatives market. And still, there are certain regulatory hurdles are there. Like I'll give some examples. In the case of gold, the mutual fund can be able to hold the physical material for a period of 180 days.

But in the metals, they cannot hold for more than 30 days, like suppose I have taken a position in the derivative market and I may end up getting a delivery of the or I have to roll over. But if I find that the subsequent contract may not be at the attractive price right now. right now. If that

is the case, my limitation is within 30 days, I'm supposed to dispose of the material that I have received.

So if anybody really wanted to do, it may prefer to square off rather than taking a delivery. So cash and carry kind of arbitrary may not be possible in this...

Participant : You can't square off right?

Praveen DG : Very much you can square off, but I'm saying there is -- because these are all compulsory delivery contracts. So the threat always hangs around that you may end up getting the delivery of that one. But if you get the delivery, you cannot hold it for more than 30 days. And the duration of -- minimum duration of the contract is one month. So immediately has to roll over. So you will not be able to get an opportunity to hold on for a longer period of time and then

do a cash

and carry, which can give him a better profit, profitability okay?

Similarly, there are some other restrictions out there like in one commodity, they cannot have more than 10%. So there are certain regulations out there, which is not making very attractive these markets. But yes, three four players, they are active. The AMFI is planning to come out with a separate committee, internal committee for commodities because today, they don't have any specific groups, which discusses on various aspects of the commodity derivatives market. So now AMFI wanted to come with that committee. AMFI is basically an association of mutual funds, okay? They want to set up that. And specifically, they wanted to deliberate on the issues,

which are -- which can be acting as the bottleneck for the mutual funds to act -- there are other things because this is cyclical in nature and because somebody will have to take buy and sell depending upon the situation.

But here, mutual funds are allowed only to take on one side, not on the other side, they cannot sell without holding it. Okay. So there are certain restrictions in there. So I can say that the market is been opened up, but one -- the regulator wanted it to go in a very progressive manner rather than going in a big bang kind of measures.

Participant : You only need one big like we sold what ever investors are. That's a deep participant to come into the...

Praveen DG : Yes, that is anyway, but they want in a gradual manner to happen rather than anything to happen in the. We don't want ever because Mutual funds are basically the retail money is going to come into that one. So they are very particular about that fund coming into this one. So they want to open up, but they want to open up in a very progressive way . In very recent development, a lot of the foreign portfolio investors they are allowed in commodity derivatives.

But they allowed them only in the cash settled product to begin with so that way, it is like, okay, now the two cash settled products that are available in the market i.e. crude oil and natural gas.

So rest of them are all compulsory delivery contracts. And compulsory delivery contracts, you
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have certain GST -related issues out there because you one have to have a registration in each state because multiple delivery centers are there. So those challenges will come into the picture.

Participant : And it may deliver mandatory, we keep the real market and the physical market in the...

Praveen DG : They wanted the markets to be very closely integrate with the physical market...

Participant : Physical and financial market...

Praveen DG : See, generally, proxy hedging happens. Even if you are linking your contracts with, say, London Metal Exchange or some other contracts. prior to the 2019, all our contracts are linked to London Metal Exchange, metal contracts, basically, they were linked to the London Metal Exchange, but subsequently, because of the SEBI regulation, we have to convert them into the physically delivered contracts. So gradually, we have converted from cash to compulsory delivery contracts.

But with compulsory delivery contract, the main challenge is GST -- because when you have multiple delivery centers, GST registration I have to be there in multiple places to handle that particular commodity.

Participant : So are these things on an ongoing basis being addressed...

Praveen DG : GST may take a longer period of time, while we have been -- we made several representations to the government. But here, GST will be taken up both at the state as well as the central government, because certain aspect, how the sharing of GST will happen. So there is certain involvement of state governments are also there in the GST -related.

Participant : And in terms of new metals, are we covered on most parts? Are there any so

rt of metals is not

created MCX...

Praveen DG : So while we are trading, we have applied for aluminum alloy, then steel TMT .

Participant : We apply who?

Praveen DG : We're also looking for electricity, which, again, it is in the pipe line.

Participant : There will be an IEX sort of ...

Praveen DG : We have a tie -up with IEX, but CERC, there are joint committee has been created for electricity derivatives. CERC electricity regulator and they come together. They are deliberating on how to roll the contract electricity. But currently, for some reason, they have to come more with the caps in the electricity on the spot price. So given these kind of challenges in the spot market, immediately they don't want to allow the derivative. So that is what is keeping the things delayed.

Participant : So aluminum or electricity and other, which is the pipe line?

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Praveen DG : Currently, the focus mainly is on options because we have seen significant growth. So we wanted to roll out more products and options. So we are planning to come out with monthly gold options, which is bimonthly today to reduce the cost of premium in the buyer so that we can expect more volumes to come.

Similarly, all our silver contracts are bimonthly contracts. So we want to there also we wanted to come out with monthly. So futures will remain bimonthly, but options will be monthly contracts. So two contracts will be evolving into one single underlying future contract. That is

how the contracts are being designed.

Participant : One thing you mentioned versus LME or other global exchange versus the margin requirements, you said a more conservative -- this is an idea of is at crude is 30% margin you are...

Praveen DG : There, it will be around 10% -- and here, you can see that it goes to 55%. So imagine...

Participant : Transaction costs, how different it is?

Praveen DG : See, while our transaction costs can be equal and more or less slightly maybe higher compared to the global markets. All the regulatory things are in excess to what has been charged in the global market regulatory charges. Regulatory charges, like I said, it is INR 10 per lakh on sell side, that is CTT, Commodity Transaction Tax. Stamp duty is around INR 2 per lakh on the buy side, then GST is around 18%. Okay? These are all regulatory parts which is not there in an...

Participant : We talk pretty much a monopoly in this space. But are there any other exchanges trying to create a segment or a...

Praveen DG : So we all know that now it is -- market has been opened up . Any equity exchange can come and offer the products in the commodity market segment .

Participant : Sir give them an edge that we have registered sort of...

Praveen DG : Currently, the liquidity drives the liquidity, okay? So we -- now it is almost 3, 4 years since NSE, BSE have made their venture into the commodity derivatives market. But our market share is far higher, 96%. So we don't see them as a threat. And they are continuing with the liquidity market enhancement scheme and that NSE continue to waive off the transaction fees. We are levying and recently, recently means, a year back, we have started levying on options prior to that, we were not charging.

But from October 2021, we started levying charges for even options -- so we are independently taking. We are not concerned about any competitive forces .

Participant : And for brokers to register with the exchange, is it difficult to do -- is that a hurdle...

Praveen DG : It is very easy now. It's not complicated that way because broker anyway, you can register through an exchange, but finally, registration also will happen under SEBI level. So once a member is registered with the SEBI easily can become the member of any other exchange, Multi Commodity Exchange of India Limited

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because it is like common database one can really can take that. So that is not an issue. The only thing is the compliances , which have become very Herculean, but the way it is. So the number of trading members always there is -- consolidation is happening because of that kind . Managing these kind of compliances is a challenge for a small broker.

Participant : Do you ensure like compliance or like the trading member like every deal or every contract need and there is no money laundering ?

Praveen DG : Cash is not allowed in Indian market. The situation is far tighter as compared to the global market here. Nothing, because the regulations are very tight.

Participant : We move to the cost structure side of it, right? I believe you have your IT systems currently on a variable outsourcing you're paying someone few things and you want to eventually move to your own platform where you're variable cost becomes a fixed cost. Can you just talk about that transition? Do you see in impacts of that when you're having this transaction on volumes and the cost save improvement?

Praveen DG : Cost savings like we already have told in our earlier meetings -- with the TCS, the arrangement is more we have an AMC, which will begin after a year of operation, because initially, there will be some warranty period will be there after that one the AMCs will be there. But it is not linked to the volumes. It is more like a fixed compared to what we had with 63 moons where you have a variable as well as fixed, okay? If we can be able to migrate smoothly which our intent is to go move on to the new platform on or before end of December, that is our planning. We will be avoiding all this kind of variable component.

So that will be a big advantage to us. If our volumes increases -- because otherwise, you have to factor in other aspects also because not only the platform, you also have to buy licenses for various other associated software like White Hat, all those it had sort had another thing. So given that kind of thing, there will be a certain amount of additional costs will be there towards that one. And also your other infrastructure costs. This all there will be like -- you will be having first 5, 6 years, you will be having that amortization and all those things will be there even after you migrating to the new platform. So we see that a big difference can only arise if your volumes goes up.

Participant : On this round-off math you have around currently your software and fixed charges is about INR 95 crores a quarter. Is that sound right? Or you have INR 95 crores a year software charges?

Praveen DG : Software is not that much. It should be around 50 to 60 a year .

Participant : And if this moves to this new contract, how much in the current volume, how much should we save?

Praveen DG : So that number, we are not disclosing it to the market so far . That way it is like it, it will be in the single -digit number.

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Participant : Even at current volume, you would still be better off paying fixed than the ?

Praveen DG : In the current volumes even though we may save on this cost but you have other costs are all there like amortization and you have like I said you have to buy other software related associated licenses . So, look in total, you will not, it will not be a big savior for you, but at the current volume, but if you able to graduate yourself to a next level and other thing, you can able to better cut down the cost and you will be able to see it. But in the longer run, if you don't have any variable, I think it is beneficial .

Participant : In due to -- I mean this is a big transition, I mean exchange the IT platform is pretty important, right? I mean, are you sort of anticipating some feeding issues? I mean we don't want to, but is it natural to have some feeding issues where someday the exchange

is not functioning well or

things like that? How do we expect this transition to take place operationally?

Praveen DG : So, well, like I said earlier, it is like our objective is to go live with the new platform by end of December. That is our goal. Now, mocks have already been started. We have been doing mocks.

So, once parallel runs also will be running. So, after that one will be going Live.

Participant : Does this business require any form of fixed assets? Is working capital negative more or less? No. Is there any invested capital in this business?

Praveen DG : See, if like if you want to come out with the new ventures like today we had to invest in India international bullion exchange in gift city . All the exchanges and clearing corporations not clearing depositories they have come together and they have set up that entity. So that is in the gift city. So that kind of requirement may arise. So similarly, we are also looking at coming out with a spot exchange for coal. Of course, the regulations are not there, but that could be a requirement that may come up. And the colocation is not allowed in Indian market, Indian commodities market. In equity it is allowed.

Participant : No, no, but you said something before that.

Praveen DG : Colocation.

Participant : No, no, but you said something before that?

Praveen DG : Coal, coal.

Participant : What about it? What is the point there ? I missed it.

Praveen DG : So coal , the ministry has to come out with the regulations. Otherwise, we have joined hands with coal junction, metal junction . They are also active in coal auctioning and other activities. So, if regulator and I think they are planning to come out with some set of regulations for developing a coal spot market in India, similar to electricity. So once it is there, we are also very keen to enter into that particular market.

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And EGRs is, it is going to be more of a segment, electronic gold receipts. SEBI has come out with the regulations. So if that opens up, I think once after this migration, I think definitely we will look at that particular product also. And then maybe, but platform have to be different, not the same platform cannot be used.

Participant : I have one last question that I can give it to them if I have any questions, but when we look at it from a distance, I mean, you're not just close to understanding the data regulation, etc. If you are to say that if these one or two things happen regulatory, then our business is it's a tremendous tailwind. So what are those one, two big changes that you think would be structural?

Praveen DG : So, one, I think if we can get some dispensation with regard to the SGF settlement guarantee fund, I guess that if it is made two way, then I think definitely we can able to bring down the margins down in our crude oil contract as well as in gold. I think that can really boost up our futures volume. GST is a matter of concern, but we are not expecting anything to come immediately, but if it happens, I think that is again a definitely help in developing the market and it can make the market a pan -Indian one. That is the second regulatory thing. Third is maybe I think even once these FPIs are allowed to participate across the commodities rather than only one.

Participant : So the whole idea of this compulsory delivery, that is not a big deal. If that gets, then mutual funds also have it easier to. ?

Praveen DG : Yes, but regulator has taken a stand on it. But what is more concerning is they are not allowing us to come out with multiple variants. Earlier, we used to have a main contract and a mini

contract. So both used it to complement each other and both were doing good. But now the rules say that you can have whatever may be the size. You need to have only one contract. You cannot have multiple contracts other than in bull

lion segment.

So that is what is compelling us to have only one contract. And also it made the contract size very big. Earlier, if you take the case of nickel, we were having something around 250 kg contract and 100 kg contract, which has been increased to 1.5 metric ton contract. So there has been a substantial jump has been taken place in terms of trading unit because of that regulation. But anyway, we've been making a representation to our regulator, allowing, they can allow us to come out with multiple variants, we definitely will take the opportunity. So there has been demand for some metal contracts.

Participant : Last question from your investment income. How much of your revenues are investment income and what kind of projects you invest in?

Praveen DG : Investment income currently, you know that we have strictly governed by some regulations like short-term duration funds only. We will put it and also we are now investing in some state government bonds. That is what we are doing currently which gives slightly a higher interest but that way it is we are very conservative

Participant : This is on your own approval so this is some sort of margin money that you can deploy?

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Praveen DG : You are telling any broker --

Participant : Is this some float that you have from client margin effect? Or is this not profit getting the invested -- what are the source the asset side source of...?

Praveen DG : We will multiple, it is like because our -- it is our own funds itself is there.

Participant : Your own cash balance.

Praveen DG : Cash balance is there. Apart from that one, I think the broker funds. But whatever money they are putting in cash because the margins can be made in multiple ways, if not only in cash, you have fixed deposit, you have other ways to do that. So that component cash component is very smaller quantity.

Participant : So you can make a yield on broker deposits also?

Praveen DG : Yes. But I don't have the thing, I thought CFO is there, maybe he can give you a better picture .

Participant : It is very helpful. Thank you so much again. Thank you.

Call: Feb 2023

MULTI COMMODITY EXCHANGE OF INDIA LTD.

EXCHANGE SQUARE, SUREN ROAD, ANDHERI (EAST), MUMBAI 400 093, INDIA. TEL: +91-22-6731 8888, FAX: +91-22-66494151, www.mcxindia.com

CIN: L51909MH2002PLC135594, info@mcxindia.com MCX/SEC/2195 February 28, 2023

The Dy. General Manager

Corporate Relations & Service Dept.

BSE Limited,

P.J. Towers, Dalal Street,

Mumbai - 400001

Scrip code: 534091, Scrip ID: MCX

Subject: Transcript of calls with Investor/Analysts

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 read with the SEBI (Listing Obligations and Disclosure Requirements) (Second Amendment) Regulations, 2021, please find enclosed herewith the following transcript of the call with investor/analysts:

Sr.

No Investor/Analysts Date Time Annexure

1. Ward Ferry (WF Asian Smaller

Companies Fund Limited) February 22, 2023 03:00 PM Annexure - A

The said transcript is also uploaded on the website of the Company at <https://www.mcxindia.com/investor-relations/ir-meetings>

Further, we hereby confirm that no unpublished price sensitive information was shared/discussed during the said meeting.

Kindly take the same on record and acknowledge receipt.

Thanking you,
Yours faithfully,

For Multi Commodity Exchange of India Limited

Manisha Thakur
Company Secretary

Encl: As above

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Meeting with

Ward Ferry (WF Asian Smaller Companies Fund Limited)

February 22, 2023

Disclaimer: This transcript is provided without express or implied warranties of any kind and should be read in conjunction with the accompanying materials published by the company. The information contained in the transcript is a textual representation of the company's event and while efforts are made to provide an accurate transcription, there may be material errors, omissions, or inaccuracies in the reporting of the substance of the event. The transcript has been edited wherever required for clarity, correctness of data or transcription error. This document may contain "forward-looking statements" – that is, statements related to future, not past, events. In this context, forward looking statements often address our expected future business and financial performance, often contain words such as "expects", "anticipates", "intends", "plans", "believes", "seeks", "should" or "will". Forward-looking statements by their nature address matters that are, to different degrees, uncertain. These uncertainties may cause our actual results to be materially different than those expressed in our forward-looking statements. We do not undertake to update our forward-looking statements.

Annexure - A

Multi Commodity Exchange of India Limited

February 22, 2023

MANAGEMENT : MR. D. G. PRAVEEN – HEAD, INVESTOR RELATIONS ,
MCX
MR. SATYAJEET BOLAR – CHIEF OPERATING
OFFICER , MCX

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Aman : Thanks a lot for making time. Really appreciate you guys taking out time from your busy schedule. Let's talk about the quarterly results that we just discussed - in the quarterly results call with the analysts. Maybe first, let's talk first about the business. I think the options have been showing good progress so far, especially if you look at the February numbers on a day -to-day and month -on-month basis. What is driving this growth in options? What has been, in your view, doing well and what do you think can keep happening, let's say, in the course of next few months that will change the options either positively or negatively from a trajectory perspective?

D. G. Praveen: Before coming to the options, I feel that we have to speak about the mini contracts which we have come out with, launched very recently. We have come out with 3 products and all the three have received very good responses.

Aman: Three is.... zinc and what else?

D. G. Praveen: Zinc, aluminum, and lead. Participation -wise good and we feel that it should complement the main product, and besides that, we are all again looking for more mini products, maybe in crude oil and other energy products. That is a major development that happened within this period . And other aspect that we are looking at is, we also keep asking our regulator for maybe the odd lot kind of contracts which can be done in case of nickel and copper , because the contracts happen to be larger now. There, there is a challenge to maintain that trading and delivery unit at the same level. There we have been requesting the regulator to allow us to come out with some odd lot kind of treatment so that we are able to introduce some mini versions of those contracts also because internationally if you look at it, that kind of contracts are quite prevalent , like even if you look at Shanghai, they have a nickel contract where the trading unit is different from the delivery because its maintaining sometimes is very difficult. The practices could be different and the nature of the participants who are trading are also different. If you are able to bring down the contract size of those contracts, then I think that really

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should add to the development of this particular market. That part we have taken up with our regulator.

Options anyway when we are speaking, it's been doing pretty well and what I can say is like the one thing you are aware that once this system migration also happens, we can come out with shorter duration contracts. That is our plan actually so that once things settle down, especially in bullion where we have today bimonthly contracts are there, in all the silver contracts and even the main gold contract, if we are able to come out with the shorter duration contract, we feel that we can get greater response for these contracts because overall the premium value will come down and more participants will get attracted to that kind of market. That is what we are looking for. Today I can say that more focus is on energy products. If shorter duration comes, I think options also could be well diversified going forward. That is what we are aiming for.

Aman: On mini contracts, one clarification. Mini contracts used to be there in our product mix, at least when we look at a few years ago and they were a meaningful portion of our ADV. When did it exactly stop in terms of year and what was the reason of pausing that product at that time?

D. G. Praveen: If you look at our market, it was launched very long time back. It is having a very long history, our product, even mini. Not only in bullion, in metals also, we have launched it quite long back. But in 2019, the regulator came out with a regulation saying that you cannot have multiple variants. You should have

only 1 variant. The 1 variant can be of anything. It can be a smaller one or it can be a bigger one. So, for some period, we discontinued all types of contracts and we continued with mini contracts only, not the main contracts, for a little period. Maybe like 2-3 months, we tried that one, but when we have done that experiment, we didn't get very positive response for it. The trend is that you may find more participants in mini contracts, but volume-wise, it is not comparable to that of main contracts. In the main contracts, otherwise, you will have lesser participants. To balance, whether you have to

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look for volume or whether you have to look for the number of participants. What we did is subsequently because initially we wanted to maintain that volume levels with some number of market participants. Then, we had discontinued that kind of smaller contracts and migrated to the main contracts and then we have continued. And while we are continuing with the main contract, we have been making that representation to the regulator asking for allowing the mini contracts because when they were there, they have significantly contributed to our volumes. Maybe you can say that depending upon the contract to contract, it has contributed to something around 20% to 30% depending upon the contract.

Aman: 20% to 30% when both were there? When all durations were there before 2019?

D. G. Praveen: Yes, before that time.

Aman: So, 20% to 30% of volumes were coming from mini contracts.

D. G. Praveen: Yes. The only thing is the period when all have been converted into physically delivered contracts, that all happened during the year 2019 only. But prior to that, we were having both mini and main, but they were settled based on LME contracts and those were cash settled contracts. So, I can say that we had a very brief history of compulsory delivery contracts in both main and mini contracts. And which got a gap and again we have relaunched them.

Aman: When you say main contract, now is it bimonthly in nature?

D. G. Praveen: In the case of metals, all are monthly contracts.

Aman: Bullion?

D. G. Praveen: Gold mini is a monthly contract, but gold main as well as all the versions of silver contracts are bimonthly contracts.

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Aman: Energy, right now?

D. G. Praveen: Energy are all monthly contracts.

Aman: When we say these mini contracts we will launch, in which one.... I think zinc was launched on 17th, right? Or all these three have been launched already -

zinc, aluminum, and lead?

D. G. Praveen: What we have done is we have given a gap of 2-2 days each. I think first one was on 19th and then 21st, like that we have launched it with some gap, and I think all the three were launched.

Aman: In your view, Mr. Praveen, which one do you think has the most promise generally going by historical activity between these three - zinc, aluminum, and lead? Which do you think has the most from mini contracts?

D. G. Praveen: The one way we can look at that is wherever the volumes are more in main contract, you can say that that is where you can get even more volumes even it is a mini version. Going by that logic, the numbers I will just read out and I think you will also get an idea. In year-to-date, April to December if you take aluminum, we have done an average daily turnover of Rs. 723 crores. And in zinc, we have done Rs. 868 crores. Lead is very less. It was about Rs. 125 crores. Going by that one, the zinc could do better than aluminum and lead.

Aman: Mr. Praveen, in terms of deepening of the market, we have got approvals for many of the new Apart from mini contracts, are there any other products that we think that we have got approvals for which will be significant like mini contracts for us? Some of

these products may be new and hence you may not know but some products you may know because the demand that was given to you already by traders and so on, which products are you guys most excited by either their impact on futures or their impact on options from a deepening of market perspective?

D. G. Praveen: Leaving the mini contracts or even?

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Aman: Leaving the mini contracts, yes. Assuming that mini contracts of course would be very good and additive in nature, beyond that, what is there in the approval pipeline already approved? Because, we saw a long list of approvals have been given when we go through your website. Which one do you think are more significant in improving the turnover, not right now, but, in your view, over time?

D. G. Praveen: Currently, the ones that we have applied in case of metals like steel and aluminum alloy, and besides that, our focus has been shifted much on options where like I said earlier, it is like we are going for monthly contracts. We have already got approval for gold monthly contract, but because of these migrations, we were not able to go forward and do it and we are also focusing on other aspects like because SEBI allowed foreign participation, FPIs. There also, we are working on so that we can enable their participation soon.

Aman: But that is only for cash settled commodities for FPIs, right?

D. G. Praveen: Yes, you are right. It is for cash settled contract but still if the market participants are looking for intermarket arbitrages or looking for some algo kind of opportunity, still they can come and they can trade in this market. The strategies would remain the same, and if they are running certain kind of algo strategies elsewhere, definitely they are able to deploy and they are also able to tap that kind of opportunity if they are present in the Indian market. But going forward, those participants can also explore opportunities like cash and carry arbitrage in other metals like gold because now they are all being made physically delivered contracts. So, they can look for that kind of opportunities.

Nicholas: Mr. Praveen, continuing on the new product part, are many of these new products going to be additive in nature or would you see some cannibalization?

D. G. Praveen: These are all going to be new products. We cannot see any cannibalization here because whenever a new product is launched, whether it is a main
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contract or a mini contract also, still what we could see is even the mini contracts are bringing in new participation. If you look at our earlier numbers for some period when mini contracts were discontinued, there was a sharp fall in the traded UCC. Of course, later we were able to bring it back to our options contract, but there was some dip that happened because of the discontinuation of mini contracts. So, whether it is a version of it, a variant of

the same commodity or a new commodity, generally you find new participants coming into the system. There would be some common participants, but besides the common participants, there would be automatically some new participants who are going to come into this market. And common participants will be generally like algos and the speculators who are neutral to any commodity because the volatility will keep shifting from one commodity to other depending upon the fundamental nature or geopolitical factors. As and when that happens, the volatility gets shifted and activity will immediately move from one commodity to other. That is when your market should be ready, then participants try to find an opportunity there and that is how the market gets created and adds to the liquidity.

Aman: I think in one of our last calls, you had mentioned that because of the Russia - Ukraine conflict, a ce

tain kind of volumes we have been able to get for Russian commodities. Traders who, because of regulatory changes across the globe, were not able to access the global commodity markets. Is that volume still continuing or is that volume, otherwise, a small portion now?

D. G. Praveen: Their volumes always have been limited; I am saying because these people are physical market participants. They will never add to the volumes. If at all they do it, they will add to the delivery or they will add to the open interest. What we are saying is it is like we have been getting different inquiries from different market participants, say it is Russia or some other people. But I don't know how far how many people really have come and traded in this market because of that barrier because so far FPIs were not allowed in this market. So, a regulation has to come. After that one, they can come and they can

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trade. That way, they have not participated per se, but what I am saying is we could see the material coming from different parts of the world, and as and when we allow this foreign participation, I think we could see some of these players coming into this market and do the trading. But what I can say is because of that one, we cannot see a substantial increase in volume because they are not direct contributors of volumes. But you will be expanding your physical market network. That means your value chain will get deeper and integration with your physical market will become much deeper. That is how you will become a more representative market to the physical market.

Aman: We will come back to the business side in a bit again, but I had a few questions on the cash balance and what we are yielding in, in cash. Mr. Bolar, if you can talk about how much cash we have which is net worth cash, how much is margin cash today and what are we yielding on that?

Satyajeet Bolar: As on 31st of December, we had around Rs. 919 crores of our own net worth and then around Rs. 930 crores of margin money. The margin money is deployed as per SEBI regulations in short term parked in overnight or liquid or in FD. In our net worth, we have moved around 50% to 60% to long term and that is in state development loan guaranteed sovereign. We have also got some exposure in perpetual bonds of State Bank of India as well as in Bank of Baroda. On these, our yield is close to 7% and we also have some money in ultra short term and money markets. Overall, the yield is around 6.5%.

Aman: For the net worth cash?

Satyajeet Bolar: But we have moved a substantial amount to the long term and we have accounted it under the amortization method. So, if the interest rate goes up further, we won't be providing for any mark-to-market long term

Aman: Mr. Bolar, the Other Income that we have so far in the business in 9 months is about I think Rs. 47.5 crores. I know that in the quarter, there were some

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mark-to-market losses. The income was lower because of mark-to-market in nature.

Satyajeet Bolar: Of course, that was in the 1st quarter. RBI came out with this policy hike sometime in May. So, the 1st quarter was a bad quarter. I think we must have gained around Rs. 6 crores to Rs. 7 crores. After that, we have regained.

Aman: You gained Rs. 9 crores in the first and then you have gained Rs. 18 crores and

Rs. 20 crores after that in each quarter. The Rs. 18 crores and Rs. 20 crores that we were making in quarter 2 and quarter 3, this is only on net worth cash or does it include margin money?

Satyajeet Bol ar: No, margin money we are accounting it because it is part of the operations, that forms part of the Income from Operations. So, in the quarter ended December, our clearing operations were around I think Rs. 17 crores on....

Aman: So, Rs. 17 cro

res, let's say, goes into Income from Operations and then what we see as Other Income is actually purely income from net -worth cash?

Satyajeet Bolar: Mainly income from net -worth cash. Also, we have some consultancy with Chittagong Stock Exchange. That is a crore or two. Mainly, it is the treasury income.

Aman: That's very helpful. T hen, second thing, I think in some of the recent conversations with investors and sell side , you have mentioned about the long -term viewpoint or the cost structure of the TCS contract. I j ust have a clarification. I'll iterate what I know. PBT levels you have talked about; it will be neutral. You have also talked about single digit.

Satyajeet Bolar: Yes, we'll just clarify that.

Aman: I don't know what single digit means, so thought I will clarify.

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Satyajeet Bolar: On the CDP platform, there will be 3 components to it. One would be the platform which is going to be developed by TCS. Then, there would be hardware and servers, i.e., our infrastructure. Then, there would be other intangibles , like we will be buying operating lice nses and presently some of our staff also are working on it , their expenses will be capitalized in this. Assuming that it goes live sometime in Q1 of financial year 2023 -24; that is when we expect it to go live; what would happen is that the first year wou ld be under warranty. The platform would be under 1 -year warranty. So, we won't pay anything, but from next year onwards, i.e., 2024 -25 period, we will be paying an AMC to TCS and that AMC would be single digit in crore.

Aman: This is on annual basis or qu arterly basis, Mr. Bolar?

Satyajeet Bolar: Annual basis, it is for internal as a single digit in crore. So, it would be less than 15 crore per annum and then you would also have the AMC part for the infrastructure and you would also pay the subscription ch arges for the operating software. All that will come in. That is an addition to what we pay to TCS as AMC.

Aman: When you look at this AMC for infrastructure and subscription cost that you will pay for software, I was not sure how to understand how much wi ll that cost be? Because these are all cash cost in nature. So, in your view, total quantum of cash cost which will go above EBITDA.... We have a broad sense. Let's assume single digit will be this AMC cost from 2nd year onwards to TCS. This AMC infrastru ctu re and subscription software, what do you think broad ranges will be?

Satyajeet Bolar: Let me put it, it will be in double digits, but it won't be.... What should I say? It will be less than Rs. 20 crores.

Aman: So, all these 3 items will be less than Rs. 20 crores and these are all cash costs in nature, right?

Satyajeet Bolar: Yes.

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Aman: And when you look at the depreciation & amortization expense, that I think you have anyways guided that including that we will be having a similar cost as....

Satyajeet Bolar: Aman, the servers, they would be depreciated over its useful life, the platform over its useful life, modular.... They would be at a different.... Some of them would have a 6 -year useful life, some of them would have 8 years' useful life. That would be a bigger amount, I would say.

Aman: Is it still safe to assume on PBT level that you've guided that this cash cost and the non -cash cost put together should be what we would have given to 63 Moons if this was an as -going contract?

Satyajeet Bolar : As per the older contract, I think it would be more or less mota -mota

Aman: Basis quarter 3 FY23 volumes?

Satyajeet Bolar: If we were to pay the fixed and the variable on quarter 3 volume, yes, I think it would be that. I am not saying door-to-door but more or less, it will be in that range.

Aman: Any other expenses Mr. Bolar that you think have seen or expected to see an

increase or decrease which are meaningful in nature?

Satyajeet Bolar: We have anyway mentioned it in most of the accounts that for this quarter, we have a tie-up with 63 Moons and for the next quarter.

Aman: Yes, I'll come to that, but apart from 63 Moons and this software cost that we have discussed, any other expenses either on people cost or on the cost of....

There is a line item called Other Expenses in the P&L. Anywhere do you see a significant variation over the next few quarters?

Satyajeet Bolar: People cost is always a challenge, to retain good people. While we have been recruiting, but the challenge would be once the system goes live and things

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stabilize, many of them may no longer find it a challenge. Some of them ignore and look out for more challenging assignments. Those challenges would be there. Being a technology-driven company, having good technical people is very important.

Aman: One last thing. You mentioned this cash cost Rs. 20 crores, whatever people that we have recruited so far for technology function internally, their cost is already accounted for in our run rate people cost?

Satyajeet Bolar: Yes, part of that who are directly involved in the CDP project, we allocate that to the CDP project.

Aman: When you say allocate, that means what?

Satyajeet Bolar: We take it to the capital work in progress and we will amortize it, we will capitalize it once the project goes live.

Aman: But again, will the people cost increase meaningfully? Because, after the project goes live, you will not be able to capitalize that cost.

Satyajeet Bolar: I won't say meaningfully, but it would go up partially because it's not a large amount because it is based on the number of hours they put in. We have a proper mechanism. They log in and it is then weighted by the respective team heads that they have put in so many hours for the project.

Aman: On the CapEx, both on software and hardware, is there any guidance that you have been open to giving, like what's the estimate that you are getting?

Satyajeet Bolar: We are in the process of finalizing our corporate budget. It is still going on activity.

Aman: But I would assume that when you finalized the TCS contract, some broad sense you have that this is the software cost that I have incurred or development expenses, this is the hardware that I have to buy additionally....

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Satyajeet Bolar: That they have already gotten and that's why I said we have already got it but....

Aman: Is that reflected in the balance sheet as CWIP?

Satyajeet Bolar: CWIP.

Aman: And is there a meaningful portion that is supposed to come more outside of CWIP?

Satyajeet Bolar: As I said that we are still doing the exercise of our corporate budget. So, I will get an idea of fee maybe in another 15 days for 2023-24 but I think there would be some incremental expense and also that this.... We should keep in mind that there would be a tech refresh after 5 to 6 years for the internal structure that we have bought for the CDP project. The hardware, there would be a tech refresh after 6 years. That is something that we have to factor in.

Aman: Nicholas, do you have any other questions? Otherwise, I want to spend a few minutes on 63 Moons also, the contract renewal. Do you have something else that you want to discuss first?

Nicholas: I think we will go to 63, I have a couple of questions there.

Aman: Mr. Praveen and Mr. Bolar, I think this has been discussed multiple times for

you by investors. We have a few questions on this. First one is around, you've talked about that mocks are going on and most of the key customers have done their mocks already. 90% to 95% of volume comes from a certain number of customers. They have done th

ese mocks. What is our comfort of

getting this done on time which now is it 31st March, is it 30th June, is it somewhere in between, or can it go beyond that? And the reason I ask this is because in early November when we last had a chat, the mocks were going on at that time as well, and this of course has slipped unfortunately. But I

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think even it has been a fairly public slip on the part of TCS as well. Where are we in terms of comfort on implementation now before 30th of June?

D. G. Praveen: Like, I think, we told in the investor calls also, we will be doing some mocks.

Again, it is going to be a very comprehensive mock which will include the T7 as well as the BaNCS. Both will be getting tested and that we are planning to do it this month only, that mock.

Aman: February?

D. G. Praveen: Yes, February. That is what the plan is all about. We will get a very good....

Number-wise, even if you look at the previous mock, I think most of the members have participated in our mock. Fairly, their contribution to our volumes is about 90% to 95%. That way, that is not a challenge per se. And at that time, some brokers were asking for a bit of more time so that they can also themselves get integrated to this one. And longtime back only we have released the APIs. That way, more wanted to integrate with our systems, they can do it. This mock will give a fair amount of idea like how the performance of the system is all about. And while we continue to do our parallel runs as an internal mechanism, we can come to know how it is performing; how your current system is performing vis-a-vis your new system. But it is not going to be put for the outside. It is more for our internal evaluation how the systems and how to do it. Once we roll it, we are.... Presently, our idea is to do it much earlier than June 30th. That is what we have been looking for. And this mock definitely will give us some good amount of visibility or idea where we stand.

Aman: Mr. Praveen, is there a possibility in your view and whatever assessment TCS has done so far that it can get delayed beyond June 30th or you think so far everything is tracking as per before June 30th implementation?

D. G. Praveen: It is a question similar to the one whether we were able to go live before 31st December or not.

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Aman: Yes, of course. I understand Mr. Praveen. The only reason I asked this again is, that was the first time you were doing the mocks. Now, if you take that continuum from November to February, it has been 4 months with whichever issues probably came by and it's also about we were supposed to get it done by July earlier last year. TCS was supposed to, I think, implement it by July and then we had the contract till September which is.... Each incremental month, in my assumption, gives you a meaningfully higher confidence level hope fully on the implementation. But that should also be in some sense represented to people like us by saying thumping the table that now I believe we had an unfortunate slip because it is finally technology; sometimes may not happen on time. But now we are comfortable basis what we have seen that it will happen again. There is, I think, pretty short of saying 100% we are saying that we have X percentage confidence that it will happen. This is what, I think, investors are requesting you to talk about. That's what I am thinking. We are saying that I know it's hard to commit but is the visibility there? Also because business side you had mentioned in the investor call that business side was done in November. It is more of reporting and back end and the margin requirements, in my understanding, are kind of getting configured. Reports more importantly getting configured right now. But of course, you guys know it best, is this

that part or something else. Just wondering.... The other way to ask this is if it doesn't happen by June 30th, who bears the cost then? Is there somebody who has raised his or her hand saying that "Okay, enough is enough. Beyond June 30th if it doesn't happen, somebody has to take responsibility of that." ?

Satyajeet Bolar: This matter, responsibility side, as we have mentioned earlier also, has been taken right up to the Board of Tata Sons, their holding company including and also the TCS and the Chief Operating Officer is also a part of the review mechanism at TCS. It is being reviewed at the highest level. And we will keep coming out with updates as and when the mocks happen in the later part of the month. I think it will start from Monday probably. This is not something we are comfortable with.

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D. G. Praveen: Like we all know that other than technology, we don't have any other priority right now.

Aman: I think it's a tough situation to be in from your side also.

Satyajeet Bolar: Concession that we can get from TCS would be limited.

Aman: There is no way you can get the entire amount you have paid because the contract cost itself is not that much.

D. G. Praveen: Absolutely, right.

Aman: And nobody will pay you the entire contract cost even if they delay. It's not that they will do this for free.

Satyajeet Bolar: And I think the idea of the AMC charges, you could map it to the contract cost. So, you know, we have negotiated well, but finally it has to be delivered, isn't it?

Aman: The mock-ups so far that you have done and we have done some channel checks historically at least the response was lukewarm in our view on the mock-ups. Is that a one-off feedback that we have got or you have got a similar feedback on the historical mocks? Not the recent ones, but the historical ones, we had heard, but of course, it was development time at that time, things happened. How are you guys feeling the response right now?

D. G. Praveen: It's more about the integration challenges our people were facing. That was the main thing because in this mock, that is why we wanted to do a more comprehensive one where we would test both the T7 as well as BaNCS. That was the thing that led to the integration part between these two because independently both are doing well, T7 and BaNCS, because both have been deployed in one place or the other. So, there is a certain amount of customization and the integration between these 2 things. That is what is more important. That is where we had a problem earlier.

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Aman: The additional compensation or the new compensation that we had to pay to 63 Moons in quarter 3 and now in quarter 4 and 1st quarter, that Rs. 60 crores and Rs. 81 crores approximately number that we had to agree for, is that based on any formula or was this just a number which was asked by them and they were not ready to negotiate on, given historically, we have been on a formula with them?

Satyajeet Bolar: Yes, you got it right. Either take it or leave it.

Aman: How did the Board and the regulator react to it because the Board was involved and the regulator was involved? Is there anything that the Board asked of you guys or asked through regulators of those guys that this is not fair for a public company? Is there something that they reacted to on this number being so high or....?

D. G. Praveen: Even the perspective of the regulator.... Regulators are more worried about the continuity. But then, what matters is you should have a smooth run. Operation should be smooth. That is what is more important for them because as a regulator anybody will look at it first. They are not into the commercial side of it.

Aman: And what was the Board's reaction? This number was tabled at the Board level also

o because of the quantum of the number? How did they think about it? What was their perspective on this egregious number to say the least?

Satyajeet Bolar: They are also aware of the circumstances under which the negotiation took place. This is not something that we are all comfortable with.

D. G. Praveen: We had limited choice on the negotiation. We know that because now since we are with 1 software there is an alternative that we have. We are in the midst of transition.

Satyajeet Bolar: These are all legally and these are commercial calls. It will be very difficult for anyone to intervene.

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Aman: The reason I ask this question was at some point of time I remember in the end of September last year, there was a press release that 63 Moons will stop providing services to MCX because the contract was expiring. And I remember the broad thought process at that time seemed like we weren't able to launch new things but we can run with what we have because of inherent knowledge that we have as a team of the software. So, we can do the basics required to run it till the time we do the new software but we will not be able to make any major changes, and seemingly at that time, the regulator was aware of it, and of course, that has not.... We have decided to renew it and I am sure that there is some thought process which went behind that decision and now this decision. That's the reason I am trying to understand that part.

D. G. Praveen: Considering it's like operating yourself, there is always an amount of risk. So, you always have to factor that in totality. More than anything what we are more interested in is continuity. That is paramount of anything. That if you have a vendor support, that is always better rather than you running on your own.

Satyajeet Bolar: You also commit to the market participants, isn't it? The system will be up and running, and if there is any technical glitch, it will be taken care of by the software vendor.

Aman: Nicholas, anything on this side, on 63 Moons or the software?

Nicholas: I have many questions. Now we can't change it, but why did we go with this new software at all be it on the costs and ownership?

Aman: I know there is a cost advantage in the long run, but the question is that beyond cost, now that we will be in the new software end of June by the latest, what are other advantages that we see beyond cost? Beyond what we incur in terms of P&L expenses, what are the advantages that this software will give us? The technological advantage to participants.

D. G. Praveen: Software is the other parts, but technically I think Bolar also will second to what I am saying, we wanted to go with bare minimum in the first initial stage.

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We are not looking for some advanced system right from day 1 because given the challenges that we are facing because time is very important today for us. We have to migrate to the new system. So, our objective is to migrate at least with minimum requirement, but subsequently it will be improved on because definitely T7 is a very advanced matching engine compared to any other thing and it has been tested also and BSE and other people are also using this one.

Aman: T7 you call it, Mr. Praveen?

D. G. Praveen: Yes, T7.

Aman: Is it a proprietary system?

D. G. Praveen: Yes, it is a proprietary system.

Satyajeet Bolar: Owned by Deutsche Borse which is licensed to us.

D. G. Praveen: And BaNCs is by the TCS which has developed it. The one that we will be getting is T7 and the BaNCs okay two. So, while we are doing it, we are not looking for so many features from day 1. Minimum features we wanted to go live. That is our objective. By whatever is there, if we are able to migrate before that time, then I feel that immediately the

clients won't find a system

which is much superior or something. That won't happen in the initial stages, but over a period of time, definitely we expect that system to perform better.

Nicholas: So, at launch, we shouldn't expect to see all the new products in the works like the monthly contracts? Will those take time after launching it?

D. G. Praveen: Yes, that once we test it. The important element that we have to look at it is

the continuity. I cannot launch a product and then see that I want to stop it and we will relaunch it after a point of time because the open interest could have been built up in that one. Once open interest is built up, then it is very difficult for me if my new system is not able to provide that one. So, once I am

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guaranteed of continuity in the new system, that means it should be tested. That is why testing is going on. Once it gets tested, then it is like we are able to launch because in the current system, we are able to launch also. That means monthly contracts also. But what today we are looking at is whether it is possible even in the new system or not. Once it is there, automatically it is like we will be launching right now.

Aman: Mr. Praveen, a clarification. You are saying that on day 1, you want to go live with whatever is minimal possible so that people can start using the system. It is a great thought. Just for a layman like me, on 30th of June, do we need to have 2 systems running in parallel or would we be able to transition in the current plan to the new system completely? So, do you think that some products will be on new and some will be on old or customers will be new or....?

D. G. Praveen: It is very difficult to maintain 2 systems. While parallel run can happen that is meant for internal use, but I cannot ask my clients to have 2 systems and banks to have 2 systems. It is very difficult. It is always advisable to go with only 1, either new one or the old one but not both. There was a thought process which we were looking at it whether can we first shift the agriculture commodity and then later we can migrate to all.... But even in that case also, the time gap that is between these two cannot be for a very long period because we cannot give that much of time. People have to get adjusted. It is very difficult for them to punch the trades in 2 systems or that kind of thing. It will become very inconvenient for the market participants.

Aman: Again, just for my summary, when we say that we will transition to the new system, that means overall transition. It does not mean only the simple launch?

D. G. Praveen: That is what we are looking currently.

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Aman: Nicholas, anything else that you want to check on either revenue cost or software side?

Nicholas: A very very basic question from my side. What's the customer experience difference between this new software and the previous one? Is there going to be any difference or is it going to be familiar?

D. G. Praveen: What I can say is today many of them are using CTCL terminals. For them, the trading terminals are going to remain the same because what we have given is the APIs. Based on the APIs, they can develop their own software which is already they are having. Just they have to integrate their current system with this particular one. That is what is current objective is and I don't see in that perspective it is going to be substantially different from your old system or the new one. And secondly like latency and all those things, I am telling it is too early to make a comment between the new system and the old one because the new system like I said, initially I wanted to go with whatever is the minimum features that I wanted to go live. That is what I am looking at currently because subsequently

I can look for speed, I can look for various other elements. So, at this hour, it may not be fair to do a comparison between the current and the new system.

Aman: Thank you so much for making time Mr. Bolar and Mr. Praveen. Thank you Rovina for organizing the call. Really appreciate you guys taking out time as always and we wish you best of luck for the implementation. Hopefully, next quarter when we meet, all this is behind us; you would have hopefully been able to overcome the initial challenges and this will be a great outcome for the company in the long run.

D. G. Praveen: Thank you.

Call: Feb 2023

MULTI COMMODITY EXCHANGE OF INDIA LTD.

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CIN: L51909MH2002PLC135594, info@mcxindia.com MCX/SEC/2193 February 21, 2023

The Dy. General Manager

Corporate Relations & Service Dept.

BSE Limited,

P.J. Towers, Dalal Street,

Mumbai - 400001

Scrip code: 534091, Scrip ID: MCX

Subject: Transcript of calls with Investor/Analysts

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 read with the SEBI (Listing Obligations and Disclosure Requirements) (Second Amendment) Regulations, 2021, please find enclosed herewith the following transcript of the call with investor/analysts:

Sr.

No Investor/Analysts Date Time Annexure

1. Spark Capital Annual Financial

Sector- Focused Investor

Conference February 14, 2023 02:00 PM Annexure - A

&

Annexure - B

The said transcript is also uploaded on the website of the Company at <https://www.mcxindia.com/investor-relations/ir-meetings>

Further, we hereby confirm that no unpublished price sensitive information was shared/discussed during the said meeting.

Kindly take the same on record and acknowledge receipt.

Thanking you,

Yours faithfully,

For Multi Commodity Exchange of India Limited

Manisha Thakur

Company Secretary

Encl: As above

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Meeting with Spark Capital Advisors - 1

February 14, 2023

Disclaimer: This transcript is provided without express or implied warranties of any kind and should be read in conjunction with the accompanying materials published by the company. The information contained in the transcript is a textual representation of the company's event and while efforts are made to provide an accurate transcription, there may be material errors, omissions, or inaccuracies in the reporting of the substance of the event. The transcript has been edited wherever required for clarity, correctness of data or transcription error.

This document may contain "forward -looking statements" – that is, statements related to future, not past, events. In this context, forward looking statements often address our expected future business and financial performance, often contain words such as "expects", "anticipates", "intends", "plans", "believes", "seeks", "should" or "will". Forward -looking statements by their nature address matters that are, to different degrees, uncertain. These uncertainties may cause our actual results to be materially different than those expressed in our forward -looking statements. We do not undertake to update our forward -looking statements.

Annexure-A

Multi Commodity Exchange of India Limited

February 14, 2023

MANAGEMENT : MR. D. G. PRAVEEN – HEAD, INVESTOR RELATIONS ,
MCX
MR. SATYAJEET BOLAR – CHIEF FINANCIAL OFFICER ,
MCX

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D. G. Praveen: Good afternoon everyone. Myself Praveen from MCX. I head the Investor Relationship at MCX.

Satyajeet Bolar: This is Bolar. I am the Chief Financial Officer in MCX. I have been with the MCX for the past 8 years.

D. G. Praveen: How do you want it? Do you want us to give a brief or you want us to directly ... you have the questions and we can go directly to the question & answers?

Fine, then we can leave it to you. You can ask us, wherein we can deliberate whenever we are answering. I think we can, from there on, pick up and again elaborate on that particular item. You can go ahead with your questions.

Participant: Can you just give an overview of how the technology transition will happen over the next 6 months and what will be the milestones that we require to achieve that transition within that June '23 period?

D. G. Praveen: Last time, already a mock trading has been done, where it was primarily on the T7 platform. Again we will be starting another mock this month, where it will be for the entire setup like, both front-end as well as for the back-end support. It will be done on T7 as well as for the banks, because that is going to happen now this month. Along with it, there will be a parallel run. That is not meant for the members. It is more for the exchange at the back end to see how the current system is performing as well as the new system, how it is going to be. That means, the data will be pushed into that and we will see whether the new system is performing as per the expectations and all those things. Depending upon that one, what kind of feedback.... Because, initial feedback, already we got some feedback during our first mock and now it is an improved version, more of an integrated version now. We will see how things are going to come up. Accordingly, next steps will be taken. That means, once it is there, it is more about the time to decide that when to go live.

Participant: What are the likelihoods that it will happen before June quarter end?

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D. G. Praveen: Our expectation is always there is a way that we want to do it well before June 30th because our idea is not to go to the last date. We want to do it well in advance. But the arrangement that we have made with the 63 Moons is such

that it is like till that point, we will be getting their support.

Participant: But given how things stand today and we are asking this question even 20 days before December and quarter revenue calls were happening, even then, there were talks about this going live before December quarter. Now that 60 days of.... What is the confidence level now that this will 100% happen before the June quarter? There is a chance that this could trickle over to the next quarter or beyond that?

D. G. Praveen: It always turns out to be a hypothetical question of what if not working. That really nobody can say what will happen if something happens. But here, our priority today is technology, nothing else. Because, once this happens, the rest of them are all behind. So, the complete focus is on that one, and for that very reason only, now again this time on a full scale we will be running it and we will be seeing that. We are pretty confident, but we have to see what kind of response we are going to get from the brokers. Last time also when we had done the mock, more than 380 members had participated in the mock and that constitutes more than 90% to 95% of our turnover. That way, they are also forthcoming. They also required some time. At that time, the brokers also wanted some time. But today, now with this set arrangement, I think sufficient time has been given to them. Now it is more about what kind of feedback we get during this month. So, we have time.

Participant: But tell me, the core of

your business is the tech line, right?

D. G. Praveen: Yes.

Participant: And you actually believe that even if you get it right for 2 months everything runs normally, is it advisable to even run it with 2 months of functioning data?

And I am just asking you hypothetically, what is the thinking of the Board?

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This is the core of your business. I mean if you look at the investors for the last 1.5 years, look at every conference call. Everyone is just talking about tech, tech, tech. And you have been saying no, it's not in order, it's not in order. If you read the situation, you are actually getting blackmailed by your suppliers. And even today, if you ask me, it's the whole platform which I don't know whether you can even risk it that you have 2 months say the whole thing runs well in March itself. Is 3 months sufficient time of a parallel run to say that it's all in order? That's what I am really asking you. What is the thinking of the Board on this? Because, frankly, I am an investor and am just frustrated. The frustration is because for a year and a half, everyone has been questioning you on this and you are just brushing it aside that yes, it's happening, it's happening. And it's a very unfortunate situation that you said Rs. 220 crores. You look at the turnover of FT, it is Rs. 160 crores. That's that situation you are in. I am actually wondering whether even if it runs today, is 6 months sufficient? What is the thinking?

D. G. Praveen: It is not always like the system is ready, whether you are running this, you are using this system for 2 months and then you are going live or not. It's more about like you can run the data like you have the historical data with you already. So, at the back end, always you can do the testing much more than what on live you are running. That means, historical data you have taken for 1 year or 2 years whatever is there, depending upon that until you get that confidence to go live, you can back run all that data in the system and you can see how the results are coming out. Based on that one, you can take a decision because it will not be taken as today, it has gone up well today and I have done a parallel run and I am doing it. It is not like immediately once I am confident for a day or two I am going live. Generally, it will be tested. Once we get the full confidence on that one that the system is going to perform as per expectations, then only we will go live.

Satyajeet Bolar: I'll just add to what Praveen is saying. One is, what he has said. And one is the mock where the members will participate in this month onwards. Otherwise,

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a parallel. Parallel is basically the data. If you will run.... Because as we've all mentioned, we have the T7 as well as the bancs which have been developed

by TCS. T7 is, we have licenses from Deutsche Borse which I believe is being used daily by BSE, that platform, that's a trading.... Other one is the bancs which is a clearing and settlement funds . Basically, we were having integration issues between the two systems, which hopefully is being resolved. And when we are going for the mock, the members will be able to test it at their ends, and in addition to that, we will be testing it parallelly with the dated data. And also, we will go ahead with that. Of course, as you said, it is in our interest to ensure that it works well, isn't it? That's why this got deferred by another 2 quarters, but it is in our interest to ensure that it goes live and functions. Otherwise, it is our own credibility, isn't it?

Participant: What kind of data right now or what kind of updation SEBI is demanding from you?

Satyajeet Bolar: SEBI says that the system should be up and running.

Participant: Are they taking a daily report from you or weekly report from you on the data?

Satyajeet Bolar: They take regular updates.

Participant: And is it only from you or also they are taking it from TCS whether the ir software ...

Satyajeet Bolar: Because we are an MII , we report directly to SEBI, obviously it will be ... But this has been escalated, as MD had mentioned in the call, at the highest level in TCS also. It's not that we have been assessing and escalated at the highest level so they are also aware of the challenges that we are facing and they themselves have.... At the highest level, that has been discussed and their Chief Operating Officer had come, visited the exchange, and has taken stock of it. So, I am sure he must be taking periodical reviews of the performance. Multi Commodity Exchange of India Limited

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Participant: I am sorry if you have repeated this earlier on the call, but if there is a contract, there will be a clause also that....

Satyajeet Bolar: Yes, there is as any other contract would have it.

D. G. Praveen: It is, do you want to trigger it or you want to

Satyajeet Bolar: We need the platform which is working

D. G. Praveen: Our priority is to have the platform running.

Participant: And you don't want to start now.

D. G. Praveen: Then, after that one, it will like whatever they go to at least ...

Participant: But versus the issues that you faced in the first mock , what are the problems that you still have?

D. G. Praveen: Mainly the issues are related to the integration of the front end of the T7 and the bancs, which is a clearing and settlement kind of platform. This is where we face the problem, integration of these two. But today, whatever mock we are doing like this month, we had to do, that is for the integrated system only.

Participant: That issue has been resolved, you are saying, as of now?

D. G. Praveen: As of now, we are watching but we have to see what kind of results we are getting.

Participant: So, next month, you are saying mock will happen?

D. G. Praveen: This month only it will be done.

Participant: This month mock will happen. And the parallel run that you said?

D. G. Praveen: Parallel run is for, like I said, it is for the exchange. Parallel run means it is like I will be running the same amount of same data whatever it is getting from

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and put to the current system . I will take a copy of it and then that data will be pushed into the new system and we will see how it is performing in respect of each and every aspect. That way, it is meant only for internal consumption to see how things are. It's like before taking a decision like I want to go live in the new system. I want to look at it whether it is meeting my requirements or not.

Participant: But in how much time will that happen?

D. G. Praveen: Parallelly, it is going to happen. It has no time to it. Like mocks which are not like running this one during this particular time, parallel runs will continue to do that one. In the past also, we have done.

Participant: How long does it take - mock and parallel?

D. G. Praveen: Mock is like there is a certain amount of subjectivity like while we will be doing that one, depending upon suppose certain particular issue comes up, then it may take some time more to take it resolve and then again do a particular . But no issues are coming up, then I think immediately we are able to do it. There is no fixed time actually specified to it. It is more about what kind of response we are getting and what kind of feedback we are getting.
Participant: And parallel running will be done for how long?

D. G. Praveen: Parallel run ideally we will be doing till we go live. Because, we continue to do that one how the new system is performing.

Participant: Sir, but minimum how much parallelly we need to do to be sure that it is working fine?

e?

D. G. Praveen: That is what I am saying. There is nothing like you have to do only for 2 months or 1 month. That is what I am saying. Earlier also I told the same thing. The historical data also you can take it and you can run it. Suppose you want it for Multi Commodity Exchange of India Limited

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1 year, you can run on it and you can see how the system is performing. You need not have to wait for another 1 year to really....

Participant: That is fair, but would you want 1 month's data, earlier data, 2 years' data, you would still have a defined number, right? At least you would need the data should go to and should give the exact same result as the current system is giving. And only when the results are exactly matching with no errors, is when we can say that the system is bug proof. That is what is the design capabilities, that was the question.

D. G. Praveen: I am not a technology person. But I am saying that it should be a sufficient amount of data. I can say that till our technology team gets satisfied as well as the committee which has been set up, they also look into this one before taking a decision.

Participant: Exactly, which is the biggest in the system 12 parties that are talking to the system or that you cannot verify with, which only a mock will help you. For example, the bank connect, current one to have.

D. G. Praveen: To me, it maybe running well, but I am saying even for those brokers and other people who are having their back offices, we need to see that at their end whether it is working fine or not. That is the reason the mock is getting done.

Participant: Once this mock is done, and if there are any issues, how much timeline that is really taking to sort it or....?

D. G. Praveen: It depends upon what kind of issue you are having, like it can be a minor or it is a major. But, we will not roll a mock unless we are not confident about it. So, we are going ahead with that one. But unless something comes out, because it is very difficult to say what kind of issue will come up, we are pretty confident. That is why we wanted to push it and we wanted to see how it is going to perform.

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Participant: What has been the difference between the last mock and this mock? Like how much time we just took to....

D. G. Praveen: Last mock was not a complete mock per se, we worked more on T7. This is going to be integrated. That means it is a complete system mock which is both T7 and we have banks. Banks is meant for clearing and settlement and T7 is more of a matching engine. T7 is actually taken like it is a licensed product from Deutsche Borse. That is T7, which I think others are also using. I think T6 or something others are also using like T7. But the banks, they are also used in some other markets like even in physical market. I think some banks are using and other things. The integration of these 2 things is the major challenge that we have faced initially. Now today, we are doing it but then a complete system.

Participant: Till the time mock will get better?

D. G. Praveen: That will continue to happen because these two are 2 independent things; they have got nothing to do with the mock. I will continue to see to me how is it performing.

Participant: So, it is the API that is causing these problems?

D. G. Praveen: APIs have been already given to the

Participant: So that each bank will refer with some of the API which will need to be....

Interbank also, one is a buyer, one is a seller. You will need to be settle everything . Is that causing the problem? Because T7 is already a proven platform.

D. G. Praveen: It is a proven platform. Bancs in its own area, it is a proven platform that way. But only thing is how are they talking to each other. These were the structure and other things....

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Participant: Sir, you have closed mini contract approvals. Once we get it, we intend to run it on 63 Moons or we will wait for TCS to come?

D. G. Praveen: In this case, we wanted to launch any contract provided we are sure or tested that we can run in the new platform. SEBI now has allowed multiple contracts. That means same commodity you can have multiple contracts. So, our intent is first we wanted to go for mini contracts. In the mini, especially we are looking at first the metal contracts. Metal if you take, we have copper, we have aluminum, lead, and zinc. These are the contracts where we can immediately launch even a smaller version also, which has been earlier also tested prior to the discontinuation of these contracts. That means, it already has performed. It is having some history. Whether do we require any testing for it, because there is no structure and the product is not different, it is exactly the same and it has run in the past also. So, there won't be any issue in running this contract in the old as well as the new platform. So, we can go. We have already applied to the regulator. As and when we get the approval, we will be going ahead and we will be rolling it.

Certain issues like for example, we earlier planned to come out with monthly gold options contract which is a shorter duration contract. But here, you have bimonthly futures but you have monthly options. So, it is slightly structurally different from your regular contracts where options and your futures have more or less the same expiry. Here, options has a different expiry, futures has a different expiry. This is what we are testing it. Until we are confident about it, we don't want to do it. Because, once open interest is built up in any contract, we cannot then roll back the contract. That is the intent. But meanwhile, as and when we get the approval, we will go ahead and we will launch the contracts. And so that is no problem.

Participant: This will be more like an add-on because your options anyways does not have significant interim exposure to contracts.

D. G. Praveen: So, immediately we will be going for it.

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Participant: So on this last week, we must have done a mock or we must have done parallel thing and all, but after a certain point, we got to know that, okay , the system is not immediately ready . And maybe you are having the same thing right now. So, the point is that we have seen in the last 2 quarters or so that at a very time or moment we are running and saying that the contract is getting extended. So, the question is now you are running both the things , but whether it would be finalized or not, when you will get to know? Or rather by the end of March, you will be very sure that okay we are extending this contract. That kind of confidence we will have ...

D. G. Praveen: Like I said, without confidence level, we would not really go for these kind of mocks which is a complete mock. We are going for it and we wanted to see how it is going to perform in this model. While in the past, like I said, it was partial like only we have done it for T7. But now with the integrated thing, I think we are expecting that whatever the way it is going to perform, we will get a very good idea about it. So, I think internally it has been already

Participant: What are the changes which we have made on the last mock or this mock so that we can be very confident about it?

D. G. Praveen: Mock-wise, it is a complete mock, I can say that, compared to the last mock. So, you will get a complete picture about how your system is performing in

this model.

Participant: But I don't recall you mentioning the last time that it was a partial system you were running. You mentioned that you are running the mock. Are you saying we have

not even run the whole system, we are only running one part of the system? This is huge communication

Participant: I think a simple question is, by the end of March, is it on or it is likely to be extended? What is the realistic assessment, so that picture is clear rather than running around this....?

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Participant: And why we don't run on a parallel basis for 3 to 6 months? I can't understand that.

D. G. Praveen: Parallel runs are happening.

Participant: Both on the old system and the new system and then we are very much fine that the new system is....

D. G. Praveen: I didn't get you. You are telling that you run both. It cannot be possible. Broker cannot have 2 systems running at his end because he can put only orders.

Participant: But the problem is the integration from the T7 to this thing, right? The problem is not the brokers software, correct? If I get you correctly.

D. G. Praveen: Yes.

Participant: Problem is integration. Integration is a back-end job. That can be run on the parallel side if I am correct.

D. G. Praveen: Integration means it is like first one trade happens; you need to get whatever trade has performed, it has gone through the clearing and settlement process when you need to get certain reports. That reports also will be going back to the mock base that has to be tested, okay? This is the complete cycle. So, first trading match, you will get particular reports going to the members. Then, subsequently, the clearing and settlement happens wherein your margins will be tested or your right amount of collaterals are getting to stay or not. As and when your margins are getting changed, whether it is getting reflected in this one. First, it has to happen in your exchange system. Then, it should also get reflected in the broker's end also because they also will have to take This complete cycle will be different. Like you are saying, can't I run both the things together. Practically, it is not possible because either you have to run on one place and you have to see it because if you ask a member you install this as well as another trading with a workstation to punch in some trade, it is practically not possible. He will be preferring to put only 1 trade in the system.
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So, current system he will be using specifically. But once earlier we had a thought process. What means, can we do 1 or 2 products on the new platform and leave some of the major products on the existing platform only. Once we feel confident, we can also migrate. There also the time gap cannot be long even if you do in that manner also like partially we do it here and there. That is much more complicated because we need to ask our members who maintain 2 separate files – one for this and one for the other one. And within a week, because we cannot continue this for a very long period. We have to close it. That has anyway we have not gone ahead and we have done anything related to that one. But today, our thought process is to do it in one go rather than any partial way, i.e., search engine process I think what we have a t.....

Participant: Is it on or it is likely to be deferred? Can we get a simple answer to that question?

Satyajeet Bolar: I think when we come towards April, we will be able to. Because the intention is not to go.... There are arrangements with TCS and with 63 Moons till 30th June. Obviously, we are not going to wait till 30th June. We intend to go live if everything goes well in April or May. Sometime in that time in April is when we will inform the market that, when we are going live sometime in May end. I think sometime in April, we will inform everyone, because that is our plan as of date. In April-May is when we intend to go live with the new system. So, your ques

tion is taken care of in that.

Participant: Because when another extension will come, more than Rs. 100 crores cost this time?

Satyajeet Bolar: Yes, I think so. Isn't it? The way it is, this would be I think a multiple of 9. So, maybe Rs. 81 crores or may be Rs. 108 crores or something like that .

Participant: On an ordinary course of business, that was almost Rs. 15 crores per quarter cost.

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Satyajeet Bolar: That's what I said. It is not in our interest to delay. But at the same time, when we come to March end or April is when we will inform.

Participant: I think everyone is asking the same thing. You have not even started your first integrated run. You are actually now saying that maybe in April we will launch it...

Satyajeet Bolar: The intent is not to wait till 30th June and to go live on 30th June. That is not the intent; obviously, we would like to go before that. And we will have to inform everyone before that. And the results will be known once the members get their comfort from mock , we will have the comfort they would also come back with their queries with whatever issues, how soon TCS has been able to resolve it and plug it. Isn't it? Although we should be taking care of....

D. G. Praveen: Yes, I understand there are issues but we went with the best team.

Participant: What is the case filed in Madras High Court? The traders had come together and filed a case ?

D. G. Praveen: I think an association they have ...

Participant: And it went up to SEBI to step in?

D. G. Praveen: They wanted just like once you are sure about your system, then only you might trade. These kind of questions they are asking, like abruptly don't do it and these kind of questions they are asking. But anyway, we are also of the same intent. We wanted to do it; once we were fully confident about we are able to do it, then only we wanted to migrate. Because we are MII, we have to be responsible to the investors as well as we are responsible for regulator also. So, once we are confident, then only we will move on to that platform.

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Participant: I think you've rightly taken what Deutsche Borse has and what TCS runs and modifying it to Indian conditions. It has nothing to do with that you've taken the old FT system and replicated it.

Satyajeet Bolar: No, this has been done by TCS. TCS has a back -to-back done with Deutsche Borse . That was their proposal that they are offering us a trading engine of Deutsche Borse.

Participant: Whatever your experience with TCS, they use the Indian entities as their trial run platforms to build and have a.... Because volumes in India are among the highest, right? Whether they have implemented the SGI platform or.... So, there what we have used is, it is effectively the client is paying for you to develop your technology, and then once you got a running platform, then you start running it everywhere ... They have done it with SBI, there were a lot of challenges they had, and after they did that, they are getting business all over China and stuff like that. So, don't you feel we have actually been used as a trial run for TCS to get their own act together? Where is accountability coming in?

Participant: Parallel runs one can do, right?

Participant: TCS practically, you got all between TCS on its own agenda and FT on its own agenda, so where is the accountability? Because, the Management does seem to be, it's like yes, next month we will know, next month we will know. But what you are effectively saying is my concern is obviously I have to run the whole system parallelly for a year to ensure that there is no mess up. You have seen what happened with the GST in the implementation process. There is a natural level thing and it's such a hotch -podge of it , right?

ht? So, why you feel

that 1 month or 2 months of parallelly running willmy first question was that. What is the thinking that.... There must be some.... You are speaking with the best of technology people. Someone would be telling you that look, you'll

have to.... It's a 6 months or a 1 year run of the whole system before you get that comfort to do it. Any layman would say just 2 months of running it is not sufficient because finally you are a tech company, right? You can't afford a real-time system that no one can log on, right? And in your case, you have 1 or 2 months of problems, then you have lost...

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D. G. Praveen: That's what. Like you rightly said, it is... That is the reason. Two months is one thing – 2 months or 3 months – but we wanted to do enough testing well before we migrate because we wanted to ensure that continuity of trading is very important for us. We wanted to ensure that.

Participant: Talking about the overall options growth that has happened, I think that this growth is much higher than even probably you would have imagined, say, a year or 2 years back. Do you have any sense of what's fueling this growth in options? And it's happening even in NSE also and equities also. Particularly maybe for MCX, what's driving this growth and how do you see that over the next 1 to 2 years? Do you have any view on options growth?

D. G. Praveen: It all started like if you look at it, options were launched much earlier. At that time, we came out with only gold options. But it all picked up when the peak margin reporting has come. As and when the implementation phases were there, people started looking at it. But we all know that liquidity drives liquidity. Earlier, the problem was no liquidity in the options. That is why people were not able to start, but today, you have liquidity in at least most of the contracts that we have launched except the base metal. If you have a gold mini which was recently launched, that also has picked up. Initially we tried 1 attempt for option in goods but it didn't work well. And other exchanges were having that kind of option in goods with liquidity enhancements, but our product was not having. But now today with the migration of that product into option on futures, even that started doing well, and silver also started picking up. We are seeing sufficient liquidity that is pouring into the options contract. And I feel that because once you have the liquidity which is well diversified, people have a wider basket. When they have a wider basket, volatility may not stick to only 1 product. What all exchanges can do means, it is like you are able to provide the best product and other things, but the

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important key element is always having volatility which plays an important role. So, we asked certain regulatory changes also like we recommended to the regulator and the regulator also accepted certain things like close to the money which earlier was there. That concept is called close to the money apart from ITM and ATM and other things which were not there in equity. But we recommended for its removal and automatic conversion of that in-the-money into without any explicit instruction by the buyers, so these all made things very convenient for the market participants to trade into the options now. So, we are doing, why? I will not be able to give any growth figure to it, but definitely we can say that today it is like there have been which you also would have seen it. There is a big jump that we have seen not only in the ADT, that means your average daily turnover, but also in the number of participants. That means, it's the diversity that the participation has been well diversified as compared to earlier. But now a certain thing still we are looking

for some dispensations from the related in the form of like earlier also we said some of the margins are now associated with settlement guarantee fund, which is because once I pump in, I will not be able to take it out where we asked the regulator to look into that particular thing. While the matter is under consideration, as and when we can get it, that could sufficiently act as a further booster to the both underlying as well as the options because today what is helping options means the buyer need not have to be worried about the incremental margins. It can be intraday or daily or something. But once these actual margins also comes down, then your writer also will be more conveniently positioned as well as your futures also will get a new kick. Because, today the options we are getting liquidity for is mainly for crude oil

as well as natural gas. These are the commodities which also are faced by very high amount of margins. The margins are sometimes even reaching 40% to 50%. Even today, it's about more than 30%. Imagine the way it is.... In the international market, it is 10%, but in our market, it is about.... So, once I think some rationalization happens in the margining part, we can see that it can add to that. We are working towards shorter duration contracts because in this technology migration, we had to encounter this one. Otherwise, we can

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roll out the monthly contracts of gold, but more than that, I think a shorter - duration contract can be more beneficial for contracts like indices which is similar to your Nifty because in the current contract, you have a devolvement which devolves into underlying futures and then it finally settles in the cash even if you take a crude oil contract. So, devolvement again requires some additional margins from the buyer side also because it requires margin from seller as well as from the buyer, both sides. These are a certain amount of complications that are there. I think once we are able to float that kind of shorter duration index contract or something else, I think it will add to the advantage to the market.

Participant: And in terms of the view of the regulations that allow FPIs to participate, on that front, now has there been any new progress?

D. G. Praveen: Today we have not come out with any particular regulations or guidelines with respect to the FPI participation. SEBI already has come out with direct indication. It is more from the exchange point of view that they have to roll out the guidelines. It is also pending because of the same technology migration. The reason is, if you look at the FPI, there is a clause there. If you fall under a particular category of FPI, then the position limit should be around 20% of your client level position. So, there is a system level change required to do it. If I want to do it right now, then I need to get it changed in the 63 Moons rather it is easier for me to implement in the new system.

Participant: So, we are also losing business. I think ...

D. G. Praveen: Certain areas, yes, like in the products, shorter duration we were not able to launch and like FPI now we have to wait for a little bit longer period of time.

These are all really, we are also sensitized about, we know it, but because of....

Participant: Once we go live... before it would further ...

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D. G. Praveen: I will not be able to give a number to it but there are many things which really can help as we can move on to the new system. I think many things can be, really, we will be able to take it up.

Participant: Within June, we will not be able to do any of this?

D. G. Praveen: If we are able to migrate prior to June as and when it happens, then I think it is easier for you to do that one. Till that time.... That is the very

reason I said

our complete focus is on technology. That is the only thing that is standing as a bottleneck for us. That we have to get it cleared.

Participant: One thing which you mentioned earlier, a few quarters back was that at an overall level, there will be some savings on the migration to this software. But of lately, the commentary has been that it will be completely new unit. Earlier, you used to say that there will be some savings, there will be some savings, but now....

Satyajeet Bolar: There are 2-3 things here. One will be the EBITDA it will be neutral. I will just give you a small background, so you will appreciate the context is that presently for 63 Moons, we pay them a fixed and a variable component based on our turnover till September. And now, as you are aware, it's a lump sum of Rs. 60 crores for December and Rs. 81 crores for this March quarter. And in addition to that, we are taking care of our own IT expenses for the hardware, a few pieces of software and all; that is an addition. Going forward, once the new system goes live, we will have our own infrastructure. So, we are spending money on the CAPEX. Also, once it goes live, we will have to maintain that. Because we maintain that. They have also procured operating system for the platform. Again, as you are aware, many of the IT companies

have moved from perpetual license to subscription business. Those expenses which net out P&L operating once we go live. Third major component would be the amortization and depreciation once we go live. Generally, because it would be component-based accounting, there will be some bit of hardware, some of the operating, some of the intangible. So, there will be different rates

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of depreciation and amortization. That will be another impact. Once we look at it, the impact on depreciation and amortization if you take 6 to 8 years, that would be quite expensive per year. But if you look at the other expenses, it would be almost flat to what we were earlier paying to 63 Moons. Also, the AMC part with TCS is that the first year once we go live is under warranty. Then from the year 2, the AMC will start.

Participant: And you earlier mentioned that AMC would be in single digit. Even with single-digit annual, but you have these other costs. There are operating system costs and all that. That is as much as the AMC cost or maybe even slightly more than that. That number would still be less than Rs. 20 crores to Rs. 25 crores. And if you are depreciating the software costs over 6-7 years, that still may be Rs. 30 crores of depreciation annually, not more than that.

Satyajeet Bolar: Yes, mota-moti, you have the figures with you.

Participant: You now mentioned that EBITDA will be neutral.

Satyajeet Bolar: Yes, because these expenses – I guess where you are coming from. The depreciation and amortization will come after that, isn't it?

Participant: Yes, the EBITDA should be significantly positive.

Satyajeet Bolar: Yes, you could say that but also what I am trying to say is that many of the companies when they are coming up with these licenses which were earlier perpetuals, have now become operating. So, basically, you are going in for subscription base and these....

Participant: Again, let me ask. Is it going to be EBITDA neutral or is it going to be PBT neutral? PBT includes the depreciation and amortization costs and the operating costs, the AMC EBITDA does not include depreciation....

Satyajeet Bolar: Doesn't include depreciation and amortization, yes.

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Participant: So, if it's going to be EBITDA neutral, that means it is going to be significantly negative on PBT basis.

Satyajeet Bolar: No, maybe I didn't articulate it well. I think it would be PBT neutral.

D.

G. Praveen: More than that, you also have to factor in the turnover growth. Because this is assuming constant kind of turnover and other things. Also, the turnover factor is significant because going forward, it will not be linked to any turnover. It is going to be a fixed kind of....

Participant: So, the only reason you guys shifted is because currently it does not make any difference between what you are saying because when we had actually....

D. G. Praveen: As it goes, suppose if you are making a big jump in your turnover and other things, then I am telling you it is like definitely will have a material impact.

Participant: Because, 1.5 years back when you tied up with TCS, at that time, option -1 was zero. Option -1 is now 40% of revenues. Despite that, you are saying that this is at PBT neutral. If these options had not come in, then we would have been completely off....

Participant: But depreciation and amortization are only for 7-8 year period..

Participant: Yes, but that is what you have not been clarifying that after 7 years even the technology costs come down significantly after it has been completely....

Satyajeet Bolar: There are 2 ways to look at this. The software, after 6 years also, as long as we pay the AMC to TCS, we can continue to use it. But the hardware and all, there would be a refresh.

Participant: When will be the refresh?

Satyajeet Bolar: Generally after 6 to 7 years, the hardware would get refreshed.

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Participant: So, the cost would still be the same? How much of the project cost has to do with software development and with the hardware cost?

Satyajeet Bolar: Roughly, you could say 60% for the hardware and 40% for the software.

Participant: So, even after 7 years, the cost will still be....

Satyajeet Bolar: Because we will have to have a refresh of the hardware. The software, you are not going to incur any additional expenses.

Participant: If our volumes continue at the current level or it will increase by inflationary level, then there is no benefit of shifting to this system.

Satyajeet Bolar: What I am trying to say is that after 6 years, you will continue to get the support of TCS for the maintenance and that has been linked to CPI. So, there won't be any material increase in the AMC charge. But the other expenses for your operating, AMC for the hardware, for the CISCO systems, all that will continue to stay. And you will have to refresh it. That is something that we should keep in mind.

Participant: Are we planning to do any internal technology team so that once we have our....

D. G. Praveen: It is too early to say what will happen.

Satyajeet Bolar: Yes, I agree with you.

Participant: We call ourselves a technology company, but the technology is outsourced. Is there a thought process and... or is the company working towards that?

Satyajeet Bolar: That is a long-term plan, but the immediate plan at the cost of reputation is this. But that is definitely in the mind of the Management and the Board that eventually we should have our own technology team.

Participant: When we should start seeing work towards that?

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Satyajeet Bolar: I think once things stabilize on this front, maybe in a year, then probably it would be in our bandwidth to look into that.

Participant: What was your tech cost really in FY22? Was it somewhere around Rs. 55 odd crores?

Satyajeet Bolar: If you include everything, it will be more than that. If you include what we pay to TCS also, it would be more than that is around Rs. 80 crores.

Participant: And when you are saying it is neutral, you are talking about Rs. 80 crores to Rs. 90 crores or... excluding the TCS?

Satyajeet Bolar: That's what I am saying. According to me, while we paid around Rs. 80 crores to

Rs. 90 crores in 2021-22 including what we pay to 63 Moons, I think it will not be in that range. It will be less than that.

Participant: Because our AMC will not be that much?

Satyajeet Bolar: Not that our AMC is not there, where we have been hit badly is because we have procured a lot of operating licenses which are pretty expensive. And they were earlier under the perpetual model. We would capitalize and the AMC part was less. But most of them have now changed to subscription base. So, you basically have to pay a substantial amount every year.

Participant: But that is not linked to turnover, right?

Satyajeet Bolar: No, this is all for the hardware. For that, we need some operating licenses.

Participant: That's why you need to put in front of investors... because credibility of the Management is diffusing very rapidly... speak with anyone on anything else, we would see that the first thought comes to like the quality of Board and Management is in question and you got to do something on the credibility side of why and what is happening because this constant setting of goal....

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Participant: And this is all back to back. First, the London contract. Now these extensions. This all...

Participant: You may actually end up with a lot if... if the activism may happen, because at some point people will say that this Board doesn't know what they are doing.

And this may happen if you push it back once more and give very vague reasons for the same. It may backfire because people are actually getting frustrated because when you said December, we thought....

Satyajeet Bolar: I understand where you are coming from. I totally appreciate it that you have been frank, but it is something that we do not want. It is not in our interest to

continue in this setting. At the same time, we have to ensure that the system works.

Participant: What is in your control is clarity in communication. We understand that these things will have....

Participant: 15-20 days before December and on some of the investors' call which we had and you put the recordings on some line on your website, on that, earlier CMD had said that....

Participant : We are now confident, yes.

Participant: That is scary because that is just 15 days before the quarter and then suddenly not 1 quarter but 2 quarter extension.

Participant: Here I just mentioned that the mock run that was being done was only a partial, not completely integrated system, and not having done.... Started with the integrated system mock and communicating we are confident of going live by December. That did not happen. If that's the kind of communication that will be coming in, that will not be great...

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Participant: 63 Moons also outmaneuvered you. They put out a statement in the stock exchange saying that they are continuing the arrangement. I think only after that, you guys woke up. This is not very healthy....

Satyajeet Bolar: Probably, this is not the right forum to tell, but it's not like we woke up at the last moment. But I do understand and I appreciate what you are telling is very frankly. I do appreciate that and we will definitely convey your....

Participant: Thank you.

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Meeting with Spark Capital Advisors - 2

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Annexure - B

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MANAGEMENT : MR. SATYAJEET BOLAR – CHIEF FINANCIAL OFFICER , MULTI
COMMODITY EXCHANGE OF INDIA LIMITED
MR. PRAVEEN D G – CHIEF RISK OFFICER , MULTI COMMODITY
EXCHANGE OF INDIA LIMITED

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D G Praveen: Good evening, everyone. So I don't think any brief is required. I think we can directly go to the question and answer or you want some brief. Or you can just add perception. I think while answering you will get all of it.

Moderator : Sir, would you want us to have a quick introduction and then you want to begin?

D G Praveen: Okay. So, just to give some intro so that I think you can break the ice and we can get into the thing. So, we have done very good in the options part. There has been a quarter-on-quarter we were able to witness very good volumes, both in terms of turnover as well as in the participation. That means we could be able to not only see growth in the turnover, but also in the participation. So, it is now well diversified and now more products are there in the bouquet like we have liquid gold contract, gold option, silver options and energy we have again 2 options. So that way it is like now more diversified. And we also wanted to come out with a shorter duration contract. We are also waiting for the tech migration. I think there's some questions anyway will come on and we may expect, but definitely we are looking for that one. Once migration happens, definitely, we can roll out more shorter duration contracts. And also, we can facilitate the foreign participation. SEBI, in a recent development, has allowed multiple contracts, the same underlying, that is another positive development that is for the company, wherein we can look for some mini contracts, which earlier were there where we were having the products in aluminium, lead, zinc, which were doing better, but we unfortunately had to discontinue. But with this regulation, we again can start looking at this new products and there we already have applied to the SEBI. So as and when we get the approval, we definitely can roll up because this is a very conventional kind of product. Structurally, the product is more or
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less the same like any other main contract. So don't require any changes in the technology or something. So we are going ahead and we'll be launching as soon as we get the approval. That is another development.

In case of margins, we are still awaiting the regulatory guidance with regard to the settlement guarantee fund. As and when we get some dispensation, like, if they allow 2-way movement in the settlement guarantee fund, we can be able to bring down certain margins in some of our main products like the crude oil and the gold. So that is one thing that we are looking for. So, some meeting has happened, but we are yet to get the minutes and we are yet to see the final print of it, what the committee has decided on that particular thing. If that comes out, I think some development will happen on that side.

So with that rationalization of some margins, I think we can also see some good attraction to the futures contract because today now, the volume in options started doing better than your futures contract, but once that also gets rationalized, we can be able to see some push even from the future side also. So there I'll leave it.

Participant : How much you think margin can come according to this?

D G Praveen: See, for example, in some contracts like crude oil, we have called pre-expiry margin, which means during the last 5 days, incrementally, we have to charge some 5%, which will go up to 25%. Besides that, you will

have volatility -based margin. So together , sometimes it will go to 40% - 50% kind of margins. But today, even without the pre -expiry margin, it is about 30% That means roughly you can say that your actually volatility -based margins could have been somewhere around 10% rough numbers I am giving yo u. Now, around 15% of thing is coming out because of your SGF-related kind of a margin. Ag

ain, in gold, it is

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about 2% we are living on the gold contracts. So, all these things we can get some relief, if this kind of 2 -way movement is allowed.

Participant : Sir, you told some run up on and how can it benefit us in the future? ...

Satyajeet Bolar : So as we had mentioned earlier that till September 2002, we were paying to 63 Moons fee base, which was fixed as well as variable.

Variable was linked to our turno ver. In addition to that, there are other software expenses that we incurred, sand we will continue incurring because for the backend we would be incurring certain software. Going forward, once we go live with TCS, so for the first year, we won't be paying them any AMC, it will be under warranty. But we'd be incurring AMCs for the hardware that we'll have procured, and also for the operating software that we'll have procured. Some of them are under subscription -based model where we keep paying annuall y. So all of that will come under like the operating expenses under software. In addition, when from second year onwards, we'll be paying an AMC to TCS, which is a single digit, it's again, already negotiated paying to the CCS, right? The expenses that we' re going to incur going forward would be purely as per the contractual agreements with the vendor, either from where we procure the hardware or from TCS the software and operating system. So if our volumes increase, we don't have to pay anything additional to the software vendor, right? so the expenses would be whether our volume is X amount or X x 3, the expenses remain

So initially, we don't expect any material benefit, but only in addition, the amortization because once we put it to use, then there wou ld be an amortization cost for it.

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Participant : Sir, what's the upgrade for that higher volumes that came and you had to kind of expand your capacity to move a platform to handle that kind of volume? Or is it get new products. What is the reason here?

Satyajeet Bolar : See, the agreement with 63 Moons because it was mainly, I mean the technology was a bit dated. Also, the AMC or the fee was linked to the turnover, say we grew then we had to pay more.

Participant : How much will be the savings at current volum es?

Satyajeet Bolar : Current, if you say December, December was an exceptional quarter, right? But if you take last year's volume, then I think we wouldn't be saving so much on operating expenses. For if you take only December quarter and we're expecting it to continue for the entire year next year and there would be some savings in it because in December, volumes are good.

Participant : And now the new deadline is when for TCS?

Satyajeet Bolar : See, when we re-negotiated with 63 Moons, they gave us an offer for 6 months or 1 year or 2 years also, right? The minimum period was 6 months, so we took that offer. And we expect that sometime in March end or April, we will inform the market when we will be doing that, most likely.

Participant : Do we have any delayed kind of penalty on TCS products also?

Satyajeet Bolar : Yes, there is a timeline. We've anyway delayed it. So there is a penalty clause, but that will kick in probably once we get the product and it worked to our satisfaction.

Participant : So they haven't delivered it yet? Because they do some testing, right?

Satyajeet Bolar : Yes. We are doing the mock in February.

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D G Praveen: And a call has to be taken whether you wanted to again, already, we are having some issue. Another vendor also, at the system has to put in place. I think then appropriate decision will be taken. Right now, triggering the penalty may not be a right idea. So we'll have to wait once and let the migration be co

mpleted. And then depending upon the situation, the Board will take an appropriate action on that.

Participant: If it doesn't happen on 1st April, does it automatically then go back by another 6 months.

Satyajeet Bolar : No. So our arrangement is till 30th June. The first arrangement was till 31st of December, subsequent arrangement is till 30th of June. So they gave us 3 options. Either we extend it for 6 months?

Participant : You have till September '22.

Participant: I think September?

Satyajeet Bolar : September was when it lapsed, right? So we were to go live in September.

D G Praveen: See, at that time, we went with RFP, we floated RFP, all those things happened.

Satyajeet Bolar: In '20.

D G Praveen: At that time, yes, '20, we have floated RFP. But finally, 63 Moons have not participated in that RFP process. We wanted to do it in a very transparent way and they have not participated. So, we were having only 2 vendors. I think out of them we had to select TCS, who otherwise there also we deployed the platform in other locations, including Deutsche.

Participant : I know they have but then why are this –

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D G Praveen: That's unfortunate thing that even we had to fail that one but I think once September happened, now it is like it was extended for 3 months. Now again, 63 Moons wanted to have some 6 months period. So be fore that also, while you have a 6 -month, at any time before 6 months, if you are ready, you can migrate to that new system.

Participant : You spoke about amortization. Is there any upfront payment to TCS?

Satyajeet Bolar: TCS, we have paid some marginal amount, the large amount of it is not even paid.

Participant : So for 1 year, you're not paying anything for AMC, right?

Satyajeet Bolar : That is AMC. So that would kick in once we go live. If we go live assuming in sometime in May, and so 1 year we won't have to pay anything.

Participant : So after 1 year, you'll actually save money, right?

Satyajeet Bolar : But that was anyway built in with this. It was part of the agreement itself.

Participant : Still not getting clear, if there is any PBT impact, after amortization and everything?

Satyajeet Bolar : I think it would be neutral for some time and once the volume start increasing, then we will gain.

Participant : And you said penalty...

Satyajeet Bolar : That will be prudent from our side, isn't it? That we should get the product, it should be working.

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D G Praveen: Still the penalty, don't think that penalty will be to that extent we can be able to make away, that is not possible because what do you say, the AMC considering the product cost itself, it's not that big for that. So we cannot expect that kind of penalty, but whether really still do we have to go and penalize someone is one thing that really we can be able to take that kind of decision only when we migrate to the new platform.

Once we are ready and migrate to the new system, that should be the right time to take a decision on that.

Participant : Sir... software for last year ...

Satyajeet Bolar : Yes. But that is only what we pay to 63 Moons. In addition to that, we also have other expenses.

Participant : So what is that quantitatively the way --

Satyajeet Bolar : That will be around Rs. 25 crores.

Participant : So will be plus 25. And this one is 60 + 80 + 80, right, 3 quarters.

Satyajeet Bolar : So that 55 what we paid for the whole year will now be replaced by 60 plus 81.

Participant : This is much higher.

Satyajeet Bolar : Yes, obviously.

Participant : So why, sirthey will not have a very good number.

Satyajeet Bolar : Because that is how they negotiated. We had to go with them only. We didn't have an alternate.

D G Praveen: We don't have an alternate.

Satyajeet Bolar : So they

took advantage of that.

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Participant : Sir, broadly on the futures and options volumes, could you talk about why the futures volume in the last 5-6 years has not grown and options has taken off?

D G Praveen: See, in '19, '20, I think there is a substantial increase in the futures volume, okay? Subsequently, the peak margin reporting has come. So, after that one, like a lot of changes because the leverage earlier what some of the brokers used it to claim that has been completely gone. And you have your margins on a higher side in the future. So, given that kind of scenario, people, some of them, especially the people, they find it comfortable in trading on the buy side of the options and while some brokers still can continue to just they can park some collateral and they can be able to write it, but some people prefer not to get into kind of volatile margin kind of thing, they prefer to opt as option buyer wherein you have to pay upfront margin and then I think if you are done with because you will be paying the premium for it. They were done. So that has resulted in definitely people started looking at options as a very convenient product, and those people earlier who were looking for leverage and kind of things, they started looking for the option. And as and when the liquidity started building up that means in the options, liquidity will drive the liquidity. So, once they find it attractive, they find enough liquidity in these contracts, more and more people started coming into these contracts. That is the reason if you look at, at the exchange level, overall participation has gone up.

Participant : So the new users that you are attracting are more like retail?

D G Praveen: Just wondering what we would like to say is in comparison with equity, it may not be appropriate because there suppose one IPO comes, I think many people they come and they open a Demat account and they start trading with that one. But here, our products are pretty high on
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the higher side and these are all derivatives compared to cash market.

So you have derivatives, leveraged products. So given that one, we cannot expect that those 1 crore people or whoever were there as active clients will end up trading in this contract, while that number can show bigger like it is close to 1 crore, which shows that okay, you have this many active clients. But the numbers that really you have to look at is the number of traders you see because that is more important.

Today, the brokers are integrated, that means intermediary integration happened after the SEBI has rolled that kind of regulations. After that one happened, when a client is getting registered, an application will be there with him, he can tick up in the segments where he would like to trade. So, he would have ticked off all the things, so he naturally

would become an active client. But whether he would trade or not is a different thing because a very small marginal retail person, you cannot expect them to come and trade in commodities market.

Participant : Yet you will be capturing the data on active clients somewhere in your system?

D G Praveen: Yes, we are publishing, active is close to 1 crore, right? That is what we have given. It's very high, pretty high, that number. But for the convenience, we have also started giving the traded UCC numbers also which has been given in the presentation, which is clearly evident like how the has grown up, that how the markets have grown up.

Participant: Coming to your point, when you compare with equity market participation, so there, we have clear growth trends that people want to participate in the India growth story or there is financialization of savings. So, similarly, what is that, underlying growth driver for say a derivative

products in commodities, since a large part of it is speculative, right? So, not from a near term, but from a 5 - to 10 year
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point of view, how do you kind of define that growth driver and what could be the growth rates for -

D G Praveen: So technically, if you look at it, for commodities market, again, the participants are more or less the same, the people who are trading in the equity market. But besides those people, like you have speculators, you have arbitrators, arbitrageurs, they do the cash and carry arbitrage kind of thing, they take their delivery of it and they again offload it or if they find an opportunity between the 2 contracts, that also they're doing. The third category is the hedgers . Hedgers , they won't contribute to the volume, that means in a big way they won't contribute. Then what is that role they play in this market is they are the one actually they actively participate in a price discovery process is one thing. And overall the market is meant for them to do the price risk management for them. While speculators will come and they provide the necessary liquidity, that means they take the opposite position when a hedger really wanted to transfer his price risk to somebody else.

Participant : How much is the hedgers participation on the exchange.

D G Praveen: So, when hedgers we are looking at like, not only we, nowhere in the globe, they really will look at what is the percentage of hedgers to the total volume, rather they look at what is their percentage to the overall open interest. Because, like a speculator, you will not trade on a daily basis. Most of your trading comes like for example, Algo for example, is more than 50% on the exchange, it is very normal. And if you take lean market, liquid market also, it is more than 50 %. So algos and other thing, they generally tend to trade intraday and those kind of thing and they will take it. So these people, primarily only hedgers , they take a position and they try to hold on their position for a longer period of time, that is how your open interest keeps building up.

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Participant: We have only that percentage.

D G Praveen: Yes, percentage. That it ranges from 20% to 30%, 40%, depending upon the contract to contract. That also we are publishing on the website what is the quantum. But from whether they will contribute to the volume or directly to your revenue, that percentage is going to be naturally it will be lower, but definitely their contribution is in a different way. Like for example, we recently have come out with Atmanirbhar Bharat initiative. Under that one, we have empanelled some of the gold refineries. So, we have seen significant gold delivery coming from those people and to the platform, okay. So, in the lead, we have done it. So here, I think in gold more than 4.5 ton of delivery has happened in this market. So, that way, the hedgers not only looking at this platform as a price risk management platform, but they also

started looking at it from a delivery, that means alternative delivery place wherein they can if at all they are not able to meet their requirements, sales target they could not be able to meet that kind of thing, they started looking this platform for offloading. So, it is not only acting as a delivery of last resort, it is also facilitating as an alternative platform to deliver.

Participant : But for a hedger, won't an international exchange be more beneficial given there would be better price discovery as well as they won't have a foreign currency risk because a lot of these gold companies or metal mining companies would have contracts denominated in dollars.

D G Praveen: In fact, the currency risk is there when you're going to go outside and trade, okay, because not only you have to

trade, when you're bringing it to the country and other thing, you also have to hedge yourself against the currency also. So in fact, they have the currency as well as this one. To your question whether everybody will go and trade in the Multi Commodity Exchange India Limited
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overseas market, the question is no. Why? Look at the contract size, our contract size is about 5 metric ton contract if you take the aluminum contract. But LME is about 25 metric ton contract. Similarly, if you take zinc, that again, it is 25 metric ton contract. That contract size is pretty big. And equally, we are not also looking at those people who are trading in the overseas market where numbers, it can be handpicked, and it is very few in numbers. We are more interested in the people like SMEs and other people whose requirement is relatively less, who are not intent to go overseas and trade, who are going to be in the domestic market. Earlier, they were not having any mechanism to hedge themselves, those people only we are targeting. Once liquidity built up, even other people also can come and trade as well.

Participant : All these, I mean the mini contracts, all will come into play once the migration is over.

D G Praveen: Mini has nothing to do with the migration, because like I said, when we are launching a different product, then you require to look at even the technology aspect. Otherwise, if it is the same structure, like mini, structurally the product is similar, it is not different. And in fact, it was launched earlier also. Only we had to discontinue because of regulatory reason. So as and when we get the approval, we are going to go and roll out the products. Only certain products, like I said monthly gold options, which is to some extent dependent on technology thing, there also testing is going on. Once we are confident that once it is launched in the current system, we can do it, but I'll also be sure that it is going to be launched in the new platform. Once that testing is done, I'm confident that I can be able to do it, such product also will be rolled out. Because I cannot launch a product, built up open interest, then I cannot go back on it. That is the process.

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Participant : And if you can also talk about like you said mock trading, all those are on. So what are the milestones that you're tracking internally?

D G Praveen: So mock, again a complete mock we'll be doing this month with all the back offices and all the thing, integrated system where you'll be doing the mock and that will be starting this month, that mock while parallel runs will be going on, continue to take place because that is more for the consumption internally to see that to build the confidence on how the system is performing. So once we do it, we will get a fair idea. As and when we get a fair idea, we'll take a decision on when to migrate depending upon what kind of –

Participant : Results you get from there. So you'll start with a daily kind of contract first and then we'll add --

D G Praveen: That is one thought that earlier also we were having, like whether do we have to run 2 platforms at the same time or do we have to run the

same thing. But the feedback that we got from the market is it is painful for a broker to operate on 2 systems because you need to have 2 types of settlements. See, even for the banks, it is a bit complicated. So suggestion that we got it is if you want to do it, go ahead and do it in one rather than splitting it ...

Participant : Will the frontend customer interface also change?

D G Praveen: It depends upon, if somebody is a CTCL user, then there won't be any change because it's more about he getting integrated with our systems.

So currently, whatever they are using, there won't be any change in that kind of thing. Technically, T7 is a prod

uct I think already BSE, they

are using it, it is not something which is totally a new product to the market, that way it is a front end especially working over the frontend.

So, for those people, it is not really a big change or something. Suppose Multi Commodity Exchange India Limited

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I am giving a terminal, but percentage of volume that comes from this kind of thing is hardly anything because people are all having their own systems who are developing their platform. Internationally, if you look at, that is where exchanges almost stopped giving this kind of frontend s to the market participants because they have their own system capability, development capability, wherein they can do, they integrate themselves to the exchange systems.

Participant : In terms of brokers, which are the major brokers?

D G Praveen : Or you can name whoever is most of them, who are very active on the equity markets, they are also --

Participant : Is the same.

Management : More or less.

Participant : And sir, globally, if you see the volumes are much higher on the commodity segment. So in India, is it because of lower institutional participation that --?

D G Praveen : See, there are many reasons like earnings, CT T or tax, the trading cost is substantially higher compared to the international market. That is one thing that really you have to look at it. Rest I think, this is pretty new compared to your equity market as they are coming out and again, sometimes even though agree, but some negative sentiments will go on when you are suspending a particular product even though it will not have any bearing on the non-agriculture commodity. Sentiment wise, it will have people little bit think before trading.

Participant : Sir, in the past, any non-agri product have also been suspended?

D G Praveen: No.

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Participant : So only agri product.

D G Praveen : It is politically sensitive.

Participant : Sir, what are main things to increase institutional participation in commodity, I mean would that be only in --

D G Praveen: ... So we have already made for mutual funds, which we have taken up with regulator also. Those are under consideration but we are seeing that like silver ETFs have come up. But still there are certain regulations which will not encourage them to come and trade on the exchange. So, we asked for it, like they said exactly it should be 30 kgs, but what's was delivered on an exchange will not be 30 kgs exactly, that it will be in certain range. Similarly, we asked the holding period should be for 180 days, like, if somebody gets a delivery of it, he should be able to hold the physical delivery because opportunity immediately you will not find in the next contract. You will have to wait for the right opportunity to offload it. So, for any reason if it gets sold off, you will have to take care of. So, there we asked for the metals, 180 days in metals, they are positive, but we have to look at it. But in case of gold and silver already, they have made it to 180 days, but metals still it has continued to be 30 days, which is very, very short.

Other GST -related things continue to bother us on that one because you have multiple locations. When you have multiple locations and here they are supposed to get themselves registered in all those locations. That is one challenge they continue to face GST. So that we have made our request to the GST Council, but we have to see that when really can things will come.

Participant : Sir, how do we handle the warehouse. Sir, to trade in a commodity market, we need to have underlying deliverable one. So, the ...

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D G Praveen: We have designated warehouses in 4-5 locations for metals.

Participant : And will you be increasing that?

D G P

Praveen: The more you increase, you have a greater challenge, okay, because of the GST. Our idea is we don't want to have too many delivery locations. We wanted to ourselves restricted to some locations so that it can cater to the people across the country because it is like if I'm not increasing the location, then the market will become narrow for me. Like, suppose earlier, we used to have only Thane as the delivery center. With that, rest of the country participant used to say that it is catering to West, we are not able to participate in that one because of that, you increase that one. But if I go on increasing it, then the problem is that more GST -related challenges will come into the picture. So, what we thought is we wanted to restrict ourselves to these 4 or 5 locations only. That will remain constant across the base metal. Today, if you look at it, all the delivery centers are more or less same, and it is located at 4 corners of the country. Henceforth, we are not interested really to go ahead and add more and more delivery centres. Rather we are interested in promoting these locations.

Participant : Sir, what value of your open interest or like notional ...

D G Praveen: Always it is assumed that general rule is less than 1% will translate into delivery, rest of them are all going to be intraday trading and overnight positions. Only a marginal portion or very residual portion will result in a delivery.

Participant : Sir, in options, we make about 2.5% premium on notional. So on that 750, 7 is the premium you made between April to December on a notional or some higher, that translates to 2.5%. ..

D G Praveen: So you are telling premium as percentage to the --

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Participant : To the notional EDC.

D G Praveen: See, that keeps changing and also depends upon market to market. Like I said, if you take equity market or if you take a currency market or equity also, within equity, index options and stock options, in all these cases, the ratio between premium to notional volume keep changing.

Participant : Sir, I just wanted to understand globally.

D G Praveen: It's a tricky situation, I also understand, but maybe you can try to guess like who are the type of market participants who are trading. Generally, today, I can say that the more premium you're getting means, essentially people are looking at in-the-money contracts rather than out-of-the money contracts, especially in the index options and your weekly options. In those cases, they look at out-of-the money in the equity market because it is weekly, your expiry is not very far. It is very near. So, I can comfortably can take an out of the money and I can expect that something happens, it is like a thing in the lottery, I can be able to get something here. But here our contracts are all monthly contracts today, and if you take gold, it is a bimonthly contract. So we are working on that, that is the thing. I think once this migration happens, we can be able to come out with that kind of shorter duration contract. Then we need to see that either any premium to let's say, is there any change? But it is too early to say anything to that one. Today, given the type of contract, people look like they're comfortable in doing

this kind of ratio at 2.5, and realization till we started charging it is around that range only.

Participant :but how much is the premium --

D G Praveen: 40%, globally you are saying?

Participant : If we compare ourselves to global commodity exchanges?

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D G Praveen: See, technically, we have not done much comparison because today options, we are much ahead of many other exchanges because globally options are not that widespread as compared to the Indian markets, whether it is say equity market or you take this one. So, t

here, it is

roughly around 10% to 20% of the volume of futures.

Participant : Sir, is this notional?

D G Praveen: Notional only I am saying. So that too it is we never thought in that direction. So we really haven't looked at because Indian markets tend to act differently from the global market.

Participant : It is difficult to forecast, sir, how --

D G Praveen: So, currently, most of the things are happening. What you can do or we is just you can look at your commodity level premiums rather than looking at the overall level. It can give you some answers to you. Like for example, if you take gold premium to the notional turnover, crude oil premium to turnover, then you can be able to see the behavioral pattern of some cash-settled products to a delivery-based contract. Again, I'm saying see, it is pretty new even just we started only a year to 1.5 years back we started charging this. Now we have to see that how the things are going to translate. But you can be able to build up some maybe using some tools you can be able to decide what could be there.

Participant : Sir, what are our transaction charges in futures and options? Like, how often are you revising them?

D G Praveen: See, currently, we don't want to get into that one at this hour. We are completely focused on our technology aspect. So today it is about, average realization rate is 207 per crore, right, in futures.

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Satyajeet Bolar: 207.

D G Praveen: In options, it ranges between 42 to 43 per lakh of premium.

Participant : That translates into a much higher notional value, right, versus the futures?

D G Praveen: Roughly when we had estimated, it is like thumb rule method, it is roughly 40% of it, your net realization if it is 100 in options, technically, that is comparable with 40% of futures turnover. And given the current realization I mean to say that. We were expecting it to be 1/3 realization, but it is fairly good around 40% is realization.

Participant : Are you seeing any shift like people switching from futures to options and so your futures volumes getting impacted now and going forward maybe? Because in options people are getting same exposure at a much lower premium versus say a higher margin.

D G Praveen: Some benefit definitely is there. Definitely, you can see the numbers only, but the drop that we have seen in futures is marginal compared to the growth that we have seen in the options contract. Like the numbers last quarter also you can see, a marginal drop has happened in terms of futures turnover, so substantial jump in option. But once your margins get rationalized another thing, we can also see that some trigger points you can get it even for the futures also.

Participant : So I'm just clarifying that 207 is per 1 crore of F&O turnover?

D G Praveen: Yes, futures.

Participant : And 40 to 43 is per lakh.

D G Praveen: Per lakh premium, on the premium turnover you have to look at it. So roughly it is Rs. 4,200 to Rs. 4,300 per crore.

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Participant : Sir, broadly, as our volumes keep increasing more on the option side, this is beneficial for our margin generation?

D G Praveen: Technically, we are happy with wherever the volumes are coming from whether it is futures or options. As long as we are getting volumes, we are happy. And futures in a way are options to futures.

Participant : Understand. Sir, broadly for the company on its EBITDA margins, it will be beneficial, but our cost we will not have at the same level.

Satyajeet Bolar: Cost has nothing to do with that one. So there is no incremental cost.

D G Praveen: It is beneficial and definitely both should complement each other.

Earlier, we were dependent only futures. Now, it is like at least we have 2-3 products, basket has been really good now to

really people can start looking at different products .

Satyajeet Bolar: Two years back we were asked why they are not charging. Now it's gathered its own momentum.

Participant : The price, when we have last revised it, sir, for futures and options? Once the tech migration happens, you will probably look for this.

D G Praveen: Too early for us to really think of it because first is our focus is on technology.

Participant : Sir, once this tech migration is completed, so which are the 1 or 2 products on --

D G Praveen: Shorter duration contracts immediately we can look at.

Participant : But that will be existing, but outside of that, any new products that are on the anvil that are on your mind? I am saying could it be like electricity?

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D G Praveen: Yes, that thing is independent. I don't think electricity require any system changes, it is very conventional.

Participant : So are you ready with all the modalities around that product?

D G Praveen: Electricity you are saying?

Participant : Yes.

D G Praveen: Electricity is ok , we mean the contract design is similar to what your existing products are there. Here, shorter duration, like I said, you have bimonthly futures and you have monthly options. This is where there is a slightly different product as compared to your regular product. That is the reason we wanted to be doubly sure to really increase.

Participant : Sir, when does that start electricity contract?

D G Praveen: Approval, we have been waiting for it and they have not come out. They have formed a committee, CERC and SEBI.

Participant : Sir, what all products are waiting for the approval?

D G Praveen: Mini, we have applied to the SEBI.

Participant : Mini is one. Then electricity you said is another one.

D G Praveen: Yes.

Participant : And outside of that?

D G Praveen: And other products like aluminium alloy and the steel we are also waiting for steel.

Participant : What is the reason these approvals are getting delayed from which end? Is it from CERC or --

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D G Praveen: You are telling electricity?

Participant : Electricity.

D G Praveen: Electricity, first they have to allow trading in electricity derivatives first. So that committee has to really have to come and say that now you can apply. From our side, we have applied already to our regulator. We are awaiting . Otherwise from ourselves we are prepared.

Participant : Which regulator ...

D G Praveen: See, it is being arranged. Arrangement are such that it is like SEBI will

look into the derivative side and CER C will look into spot side. That way it is now looking the bar that --

Participant : Is there a competition with derivative aggregator?

D G Praveen: If you take, currency is there. Currency, RBI also is reaching into that. SEBI is the one which is managing the currency derivatives. But once things roll out, I think that decision will have to be taken. Once I think it comes out, we can clear.

Participant: These new products will all have the same kind of realizations?

D G Praveen: Very difficult to say. You're telling if it is futures, then it totally depends upon your thing. But options, a rule is there like unless you're underlying is more than Rs. 1,000 crores, you will not be able to launch any options contract. So if the question, if somebody asked like, mini options and mini futures have come out, can't you launch an option on mini. So immediately I may not be able to launch it because the regulation is there, my underlying should have Rs. 1,000 crore daily turnover for at least a year's time. So till I meet that requirement, I will

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not be able to launch any options. But wherever it reaches already it is Rs. 1000 cr

ore, I really can look at it, mini versions or anything.

Participant : Do you give any guidance on the revenue and margin front?

D G Praveen: No, we don't give guidance.

Participant : On the volumes flow?

D G Praveen: No. I think like I can give you the factors which can drive it but I will not be able to give you the precise number.

Satyajeet Bolar: This is on our website, daily volumes..

Participant : Sir, anything on the

D G Praveen: We are looking at the currency derivatives only. See, definitely it is in our radar, but only thing is first we are through it, we definitely can look all.

Participant : But where is it such?

D G Praveen: No, first we focus on this and once we do it, our mind can get shifted on to some other things because primarily this is the first step we have to cross.

Participant : Sir, currency derivatives are what active on NSE?

D G Praveen: In fact, currencies are highly interlinked with the commodity market. So it definitely can complement it better. So we have it in mind. Definitely, we will think of it.

Participant : Thanks, sir.

D G Praveen: Thank you.

Call: Feb 2023

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EXCHANGE SQUARE, SUREN ROAD, ANDHERI (EAST), MUMBAI 400 093, INDIA. TEL: +91-22-6731 8888, FAX: +91-22-66494151, www.mcxindia.com

CIN: L51909MH2002PLC135594, info@mcxindia.com MCX/SEC/2192 February 20, 2023

The Dy. General Manager

Corporate Relations & Service Dept.

BSE Limited,

P.J. Towers, Dalal Street,

Mumbai - 400001

Scrip code: 534091, Scrip ID: MCX

Subject: Transcript of calls with Investor/Analysts

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)

Regulations, 2015 read with the SEBI (Listing Obligations and Disclosure Requirements)

(Second Amendment) Regulations, 2021, please find enclosed herewith the following transcript

of the call with investor/analysts:

Sr.

No Investor/Analysts Date Time Annexure

1. SBI Mutual Fund February 13, 2023 04:00 PM Annexure - A

The said transcript is also uploaded on the website of the Company at

<https://www.mcxindia.com/investor-relations/ir-meetings>

Further, we hereby confirm that no unpublished price sensitive information was shared/discussed during the said meeting.

Kindly take the same on record and acknowledge receipt.

Thanking you,

Yours faithfully,

For Multi Commodity Exchange of India Limited

Manisha Thakur

Company Secretary

Encl: As above

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Meeting with SBI MF

February 13, 2023

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Annexure - A

Multi Commodity Exchange of India Limited

February 13, 2023

P. S. REDDY : MR. P. S. REDDY – MD & CEO, MULTI COMMODITY EXCHANGE OF INDIA LIMITED

MR. SATYAJEET BOLAR – CHIEF FINANCIAL OFFICER , MULTI COMMODITY EXCHANGE OF INDIA LIMITED

MR. PRAVEEN D G – CHIEF RISK OFFICER , MULTI COMMODITY EXCHANGE OF INDIA LIMITED

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Analyst 1: Yes. So, options volumes, just to start on the growth side, options volumes have been up quite well and it's a new and growing product. So, there are obviously some constraints where shorter duration products are not there yet. And also, some of the mini contracts are in the process of getting launched. And a lot of those -- we need approvals. So, if we could just outline where do we see the growth opportunity over the near-term?

P.S. Reddy : Well, you are rightly pointed out options contract is the one where we are looking at and mini is the second. And the third one is the new products. So, these are the two, three categories that we are looking at.

So on the mini's, yes, approvals are yet to come. We have already submitted, for all the products which are earlier there. And with regard to the options, we have got a monthly option over a bimonthly futures contract. But we are testing in the new system, whether that is working or not. Once that is confirmed, then we will introduce in the existing system so that once the migration comes, the open interest that is created in the whole system will be easily transferable to the new system.

But it should work there. That's what it is. And yes, the smaller tender options contracts are increased, but it will take some time for us to actually study which are the ones which we have to make application to.

But currently, what we have is, what we were looking at is a rolling options contracts essentially every week, one will expire, but it's a monthly option contract. These are all rolling options.

Analyst 1: Okay. So monthly expiry that can be rolled-over?

P. S. Reddy: No. Monthly expiry, 15th August, let's say 15th -to-15th, 21st -to-next-21st, another option. And so there will be an overlap of contracts, but it is, each contract is expiring with a gap of one week, that's the way it is.

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Analyst 1: So, to just understand a little bit in detail, when you look at the mini's or the options or the short tenure, we would need a regulatory approval for all of these?

P. S. Reddy: Yes, everything.

Analyst 1: Are there some products where we can launch them?

P. S. Reddy: No contract can be launched without the express approval of regulator. Even the existing contracts, they give a calendar, one year, two years, whatever it is, before the calendar expires, we apply to them for extension of that.

Analyst 1: But in the discussions you would be having with the regulators, I mean, obviously, the shorter tenure contract or the mini contracts are better even for the players in the market. So, what sense do you get? I mean, should we expect a positive outcome over the medium term, in terms of some of these contracts, because some of them used to be there and they were sort of, rolled back?

P. S. Reddy: No, that is what you're talking about, the mini's? Mini's is behind us now, in the sense, the decision has been taken, and we are applying it and then we will get, if not today, maybe next week, or of maybe next month, kind of thing.

Analyst 1: So mini, you are comfortable.

P. S. Reddy: Mini, no issues.

Analyst 1: And which commodities or which products to be sort of expect to launch in the mini contract side?

P. S. Reddy: We have applied for Aluminium, Zinc and Lead, where the trading unit and

delivery unit matches , in the metal segment. And in the energy segment, we have applied for crude oil.

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Analyst 1: And on the shorter ten ure options, so just want to understand from you, how good are we to get something -- approval, or what is the regulators review in terms of allowing some of the shorter ten ure contract?

P. S. Reddy: I think th

ey should be open because it is there in equity markets , that short tenure. So they will be open. I don't think, I mean, they're not prejudiced about anything. They are very open. Once we submit, probably we will come to know of it, outcome of it. If they have any doubts, they will ask, they will clarify.

But we need to see tra ction in other option contracts also. So that's where we have to work on. We are working on it, focus. So, your metals, you have some option contracts, they are not so vibrant, they are not showing well. Those are the contracts we are focusing on.

Analyst : So, that was o ne of my questions , so as an exchange , what is there in our hands on what can we do to improve activity levels in a certain contact? Because the margin requirements are what they are -- so like, how much of it is in our hands to ensure that volumes pick -up for some of these options?

P. S. Reddy: You see, in the case of options, the option writer has to pay those high margins, but the option buyer, be that is put -option or call -option, they just pay the premium, that's a way it is. So there's no margin s problem out there.

Market -making, I don't know, how far it is helpful, because we did it earlier in gold options, but options on goods, it didn't work, so we discontinued early on. Essentially, the players have to increase in all these products lines. So, if there is an adequate or requisite or a sustained volatility in any product, probably players will step in, take the risk, create that liquidity, once the liquidity comes in, it thrives on itself. So that is what we need to see, that's what we are looking for. You want to anything you add, you, please add.

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D. G. Praveen: But there are in many future contracts, we can do a lot like, we have come out with the Atmanirbhar, under that one...

P. S. Reddy: No. he is asking, what th e Exchange can do to increase liquidity in options is what he is asking.

D. G. Praveen: So one is, anyway, we spoken about that mini -series and other thing. And it's like margins, if it can little bit, if it can able to come down, futuristically, maybe that time it is like, the re is a possibility that even the writers also will be more convenient, that they find it more convenient to look at it.

Then I feel that it is kind of market participants who will enter into this market. And we do the awareness programs and other things, lot of awareness programs. We do it especially as the market has gone bigger for options, our focus started putting lot of emphasis on options, wherein they will know that -- because education of options are very important, compared to the f utures , where it is very easier for anyone to trad e. Our options are slightly different from what is been getting traded in the equity market, ours is option s on futures. So there lot of education is needed, that means that is what we have been doing no w.

And under them , by doing that one, once we get, if you can see even the participation growth that we have witnessed, not only ADT, which has gone up, it is along with the ADT, you also can see that the traded UCC also has gone up significantly. So that is where you can say, that there is the participation from across , as people have started participating into this contract.

P. S. Reddy: So options is something that we are zeroing in on, or we are focusing on. But while if you see the options in equity markets, you have Nifty 50. I mean, that is Index options and the Bank. These are the two, although there are many other segments, but they're not so active.

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Number two, in those contracts, you pay a small premium, you can buy few. That's not the case with commodities, because you are buying a lot, lot means it runs into few lakhs of rupees, minimum

. So, to that extent, again, the premium will be high or a margin will be high, whichever side you are, depending on it.

So I think to that extent, I'm not strictly comparing the equity markets with our market, the commodity market. You want to buy just one lot of gold, means, 100 grams also you buy, it is costing you INR 5.5 lakhs kind of thing. So that's very big money. That's a challenge. So the lot size has to come down and we can't bring it down. Just can't bring it down. One share can be even INR 100 also, but that's no such investment here.

Analyst 1: And you mentioned about the number of participants, the UCCs, they have obviously grown very...

P. S. Reddy: A lot of participation is coming from crude options, NG options. That's the way it is.

Analyst 1: But if, we sort of go a step further and look at the trading levels or activity levels per UCC, then that would have tapered off because, in essence we would not have seen a lot of growth in turnover adjusting for the UCC growth. So, the client numbers have grown quite well.

P. S. Reddy: No. I'm talking about actual trading members numbers have gone up. What you're talking, maybe UCC registered is some 1 crore or 75 lakhs or something.

We don't look at that number at all. That is an aspirational number. But what actually on the ground is happening, last year, about 4.5 lakhs UCCs have traded unique. I think this year 4.9 lakhs or something like that. How many...

P. S. Reddy: Total, how much is that?

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D. G. Praveen: Total, it is last year, it was 3.84 lakh, April to December, compared to that, this year it is 4.99 lakh.

Analyst 1: And how do you define these active clients? Somebody who traded like once a month?

P. S. Reddy: In the in this year, he must have traded.

Analyst 1: In the year?

D. G. Praveen: You should have traded...

P. S. Reddy: In this year. And in fact, last year, full year 4.7 lakhs UCCs have traded. Even in these nine months, 4.99 lakhs have traded. So still, you are left with January, February, March to add to this list.

Analyst 2: Have you done some sort of study to understand what is the overlap between our customer base and let's say, customers that we have who are active and also trading in the equity markets?

P. S. Reddy: We don't have the database of equity markets.

Analyst 1: Have you done any survey or a dipstick survey to understand the client activity levels?

P. S. Reddy: There may be there, but members are common. The very fact that members are uploading about 10 lakhs, 20 lakhs in a year kind of UCCs, they're all coming from equity. In equity they give only one application form, they put a tick mark which is you want in equity, commodities, currency, interest rate, everywhere they take it and they upload everywhere. That's how it's happening.

So obviously they must, those clients will be there in that. But corporates may not be there. Maybe they are corporates, but then not because they are

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trading, in equity market they have come here. They have a genuine need to hedge their exposure to commodities that is why coming here, most of them.

Analyst 1: And how much of our business volumes will be from the true hedgers.

P. S. Reddy: Okay, now we don't, we never see corporates will contribute to the volume.

Volume is on a day-to-day basis trading. They contribute to the OI. That is where their contribution is coming from. Open Interest.

D. G. Praveen: Hedger's main goal is into the price discovery process. That is the reason. So it is the people, whenever a hedger wanted to transfer his risk, you immediately have to find an alternative one. That means who is ready to take that particular

risk, that is why, the speculators or arbitrageurs, they come and they play a significant

role.

So if you look at the which we keep publishing, those numbers like that, where the hedger's percentage to the overall of open interest, that varies from, there are cases where we have more than even 30% in certain commodities. So that way, it's very good participation in terms of their contribution to the open interest. But now here, I'm telling, in the international market also, they take hedger's role in the volumes. It's very -- in fact, they won't play a very significant role.

P. S. Reddy: The other day, in some SEBI meeting, when we looked up the ICE cotton contract, the number of hedge rs is in cotton contract is much less than what we display on our website. So that is the kind of vibrancy we have in terms of number. Yes, they're very big. And in terms of huge exposure, each one client takes it. So that that doesn't mean that, we don't have a number in that sense. We have a number. We are catering to the groups who can afford to -- I mean, those were going there, they are the ones who can afford ICE contract. There
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are smaller players, small -or-medium, they can afford MCX. And they come over here.

Analyst: Just want to also understand from the operating expense side, you did mention that, from Q2 onwards, on a like -for-like base, given the volumes are steady, the new contract will not add, may not be detriment.

P. S. Reddy: That's correct.

Analyst 1: So just want to understand, so let's say the TCS contract with TCS, let say, goes live in the month of June, so there will be an amortization charge over the next five years?

Satyajeet Bolar: So six to seven years, because you have the server, switches, you have...

P. S. Reddy: Depends on product. Some hardware we have at one rate, and then software will be at another rate.

Analyst 1: So what will be the ongoing capex to sort of keep the hardware replacement also in place?

Satyajeet Bolar: So far, we're not -- because the project has not gone live, so we're not capitalized it. So still everything in CWIP. So, once we go live, we'll capitalize it. And then as per the normal terms, I mean, how many years they would take to replace server? That would kick in the general between five to six years, isn't it?

Analyst 1: So let's say, we are in June '23. So from June '23 to, let's say June '24, what should be the total opex -plus capex to keep -- the cash charge, which is...

Satyajeet Bolar: Opex will be the same. There would be a large -- there'd be a surcharge amount will come in as depreciation or amortization.

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Analyst 1: And the associated capex in the next year is what I am really trying to understand?

Satyajeet Bolar: I mean, once we have already invested in capex, obviously, you're not going to replace it immediately...

Analyst 1: So there is a life till which it is available and then subsequently, maybe 3-4 years out we will have to...

And in terms of the regulatory requirements, the onsite employees from TCS, the integration between the TCS product and the various clearing member or the trading members interfaces, how comfortably are we placed there?

Because we have to do a test and where the different members use different products through different vendors.

So in terms of the, let's say, certain number of members would be contributing to a large proportion of the volumes for us. So in terms of the trial runs in that cohort, how are we placed?

P. S. Reddy: The mock run that we are seeing, it is with members only.

Analyst 1: Correct. So, in that how comfortably are we placed in terms of having the comfort around the transition along with members who contribute to a large proportion of the volumes for us, is what I want to understand.

P. S. Reddy: See, as I told in the call also, about 370 or 380

members are participated when we launch this mock in November -December, that itself is a 90% -plus of the total OI, total volume that we are getting ... 90% -plus. So I think it is like that. It will be like that.

Analyst 1: And what proportion of the trial runs would have been successful in your assessment or without any hitches...

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P. S. Reddy: No, see, we have released T7 only to them, last time. So the back office files will be giving it now. But now this will be a complete one, like including their back office files. So they should consume it and then put it, and generate a pay - in file or pay -out file, or whatever that they should get it for bank f ile, upload it, and then we will get the response. So all that will be done.

Analyst 1: But do we see some challenge s from the member side to migrate, or... to enable the integration.

P. S. Reddy: We have not seen. I don't think, anybody has come back. And al l that they said is give us lead time of a month or two.

Analyst 1: And how much of expense would this until on there into sort of to migrate? Is that something that we discuss internally, or something like that?

P. S. Reddy: I don't think there will be any extra , that is what my view. Because no broker has come back and then told that that this is what it is costing, I have to dump my old system. No, nothing like that, because we try to use the same, old APIs, whatever that is, maybe minor tweaking is neede d. And they've tested it using that to API only. So already it is in that sense, integrated. And another thing is, most of them are also members of BSE. So they have also used the T7. So they are familiar with the T7 APIs.

Analyst 2: So just one question on, nickel was banned three -four quarters back, so incrementally so is that, when could that be expected to come back? You understand, there is some issues with global supply, but should some resolution, we see some resolution happening in the horizon. Fro m an exchange perspective, when could that come back?

P. S. Reddy: Look, it is more to do with the business of nickel than the business of nickel on exchange. And, as you rightly pointed out, Trafigura has been cheated. You read it know, in the what is...

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Analyst 2: There is no nickel in the...

P. S. Reddy: Nickel in the warehouse. And one Pratik Gupta, somebody has done that, all that. So while we are here hearing this kind of news, they are scaring away the people, I know, traders. In fact, traders have incurr ed a huge loss here also. The reason being is , for every 15 minutes, you are opening the circuit filter, it is getting stuck at the next, up, up level. And there's no end to it. I mean, nine, 10 times it was circuit got reopen. But still, they couldn't close their positions. And they couldn't close their positions means, at each time the M2M is calculated at that price that they have to sell margins they have took. That is what the problem of liquidity is , liquidity rather. And so people say, no , we don't want, w e have burnt our fingers, while it they allow, okay, 15 is okay, but not to the extent that Nickel has done it. That's what it is.

Analyst 2: What if say, supply stabilizers, say 1.5 year, one year down the line...

P. S. Reddy: Of course, t hat contract is still there with us, not that it is exhausted. We are trying also, asking the member brokers, they say that no, our clients don't want to trade in that. Again, the episode, whatever is that. And yes, it's like that.

Analyst 1: And sir, in terms of the migration, June is the actual sunset date. So can the migration also happen?

P. S. Reddy: It should happen earlier than that, much earlier than that. We don't want to wait till 30th of June to migrate.

Analyst 1: And sir, in terms of the SGF contribution,

how are we placed there?

P. S. Reddy: Yes, currently, that SGF thing, I think it was, it was discussed in our meeting and we are awaiting minutes. And let us see what is the final decision they will

take?

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Analyst 1: And just one question. So, also ask during the call, I wanted to understand this better. So, this white paper on margin money getting blocked, you said that it does not affect our...

P. S. Reddy: That is our understanding because we have not seen the detailing of it, how it functions and other things. And again, most of the margins are in bank guarantees and FDs for us, only when there is a volatility, suddenly people have to contribute money. That's how they give this cash.

And once the volatility goes down, the cash are out, because they are able to operate with the existing markets, which are NIFTY and Bank Guarantee.

Analyst: So this will be required to maintain margin, it is not as if, you know, it will automatically get blocked in their bank account. That it is, in case of, say, you are subscribing to an IPO, it gets locked in...

P. S. Reddy: I know as my account you talking about. What I wanted to say is the retail clients don't directly keep it with us. If SEBI wants it that way to happen, it maybe it may take some time, but it is a broker, usually the client would like to keep it with the broker or a clearing member. And maybe some of the big institutions, some big clients want to keep directly at the exchange. That's the way it is. But the -- as I said, this one is applicable work for cash, hard cash. But hard cash is much lesser amount here, except during the period of volatility, otherwise FDs, and FDs going to earn interest on it. And then they are pledged, in essence, with the exchange, so we don't get anything, so are the bank guarantees.

Analyst: On the equity markets. I'm sure you saw the discussion paper that was sort of released by SEBI, in terms of the number of participants and a proportion that made money and losses and all of that...

P. S. Reddy: Nine out of ten are lost.

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Analyst: Nine out of ten lost -- in the quantum was quite massive.

D. G. Praveen: So quite massive. One guy has made that massive money. It's you lose, I gain, or I lose and he gains. That's the way it is.

Analyst: So what I just did that Saturday or Sunday, so we just multiplied the average losses by the number of clients who lost money. So the aggregate quantum of losses was, I think, 3 or 4x, because there will be other participants as well. Because that was just for the retail participants.

P. S. Reddy: But where is that money gone? Somebody has gained.

Analyst: Institutions ...

P. S. Reddy: Anybody.

Analyst: But retailers net-net aggregate lost a fair bit of...

P. S. Reddy: But that's not the right way of doing it, only ... nine out of ten -- that's not correct -- they are concerned, yeah somebody, there is an estimate -- information estimate. Somebody has got some better range -- they maybe making money. Like what is that, Adani report -- Hindenburg. What do they do? They do a good research, take a short position, disclose the details, that's it.

Analyst: But any thoughts there in terms of how we could see because there has been a fair bit of growth in this product, you know, on the equity side, the options and all over the last couple of years. Obviously, you know, derivative, the commodities are nowhere close to where we are on the equity side.

P. S. Reddy: As I said, we will not be close to equities. The number may be more, but it is the corporates which have to come and trade. They have to hedge. And that will take time. They don't mind disclosing in the -- under the LODR, in the

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annual report, we don't hedge, because that is a bad for their -- maybe. But the day should come and investors are questioning those Companies -- 'why you

are not hedging your commodities risk ?' Then they will start thinking.

Analyst: But what can prompt us, or what can prompt the corporates because , the larger ones would obviously be going to the LME ...

P. S. Reddy: They are doing it in International market.

Analyst: But what can prompt volumes from h edgers to increase materially and sustainably for us as an instance...

P. S. Reddy: No, that is where the financial, what we call discipline or financial prudence that should be kept in the companies. There should be a risk management policy in the companies. How do they hedge their risk? How many of them have this kind of policies? Many don't have. Risk management policy should be there, specifically with regard to their exposure to commodities.

Analyst: But the larg er ones would have this...

P. S. Reddy: They must be having it.

Analyst: But it's more about the small ones?

P. S. Reddy: Yeah, medium and small and the larger ones are anyway going to international market s, they are doing it. How many are such larger there. Not too many. And some of the PSUs they say that, no they are not permitted to do this, hedging in the Indian exchanges. Some exchanges don't do it in India because the regulatory framework or the operat ions are not convenient to them.

Operational difficulties, like every day you to do M to M. Okay, so it will , their cash flows will be impact ed. One day money they run one, one final market goes up or down. What if there's a loss in whatever balance they k ept it? They should give it. So they are looking for a third party kind of thing. The bank, or Multi Commodity Exchange of India Limited

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line of credit is provided , they will manage the M to M losses and profit, and they will give some bank guarantee. What are guarantees that they want? They are w illing to, but somebody else manage it. I will hedge.

Analyst: This is how it would be. Even, even for...

P. S. Reddy: Yes, internationally, that is the way it is. But in India, Government, I mean, SEBI said that, yes, no, the broker should not be involved in that arrangement. But and there should not be a tri-partite agreement if I'm not mistaken , but without a tri-partite agreement, no bank will come forward.

Analyst: So the bank's interest in the current scheme of things are not protected.

P. S. Reddy: I mea n, earlier there was a financing, maybe broker arms or NBFC are financing, but then there should be no, I mean, they should be, there should be no talking between the broker and the financier. That may not happen practically speaking, because at times if I default on the loan that is taken, if the financier checks the broker, you don't know this, you square it up. You should square it or not, because I know I have, I have asked you to keep it the financier saying to square it up, because he is forcing a proble m from me. Okay.

Those things may not work. They work elsewhere.

Analyst: So the system has to be revise d.

P. S. Reddy: This kind of regulatory enablement 's are required.

Analyst: Understood, done.

P. S. Reddy: Thank you. Good. Thank you.

Call: Feb 2023

MULTI COMMODITY EXCHANGE OF INDIA LTD.

EXCHANGE SQUARE, SUREN ROAD, ANDHERI (EAST), MUMBAI 400 093, INDIA. TEL: +91-22-6731 8888, FAX:

+91-22-66494151, www.mcxindia.com

CIN: L51909MH2002PLC135594, info@mcxindia.com MCX/SEC/2190 February 16, 2023

The Dy. General Manager

Corporate Relations & Service Dept.

BSE Limited,

P.J. Towers, Dalal Street,

Mumbai - 400001

Scrip code: 534091, Scrip ID: MCX

Subject: Transcript of calls with Investor/Analysts

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No Investor/Analysts Date Time Annexure

1. Nippon Life AMC and Aditya

Birla Sun Life AMC February 08, 2023 05:00 PM Annexure - A

The said transcript is also uploaded on the website of the Company at

<https://www.mcxindia.com/investor-relations/ir-meetings>

Further, we hereby confirm that no unpublished price sensitive information was shared/discussed during the said meeting.

Kindly take the same on record and acknowledge receipt.

Thanking you,

Yours faithfully,

For Multi Commodity Exchange of India Limited

Manisha Thakur

Company Secretary

Encl: As above

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Meeting with Nippon Life AMC, Aditya Birla AMC

February 08, 2023

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Annexure - A

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MANAGEMENT : MR. P. S. REDDY – MD & CEO, MULTI COMMODITY EXCHANGE OF INDIA LIMITED

MR. SATYAJEET BOLAR – CHIEF FINANCIAL OFFICER , MULTI COMMODITY EXCHANGE OF INDIA LIMITED

MR. PRAVEEN D G – CHIEF RISK OFFICER , MULTI COMMODITY EXCHANGE OF INDIA LIMITED

Management: Go ahead...

Analyst: So I think largely, there are two or three key areas that at least we want to focus, right? One is technology. Second is there have been three newer regulatory updates, which will come through, SEBI allowed to launch multiple contracts in the same. So let's start with technology and then let's -- we'll try and focus that is the best bulk of the business, on the business side. But starting with technology, where are we -- what is the timeline? Does it look like it's a comfortable time to shift post June? From a cost perspective, it looks insanely higher, but obviously, you had your reasons, just can you give us some...

Management: I mean the extension was a necessity for which reason it was extended. But again, as I said in the call also, we are bound by the regulatory -- discharging our regulatory responsibilities that has become our weakness also in that sense. So, somebody else has exploited. But otherwise, if you see this quarter, it is exceedingly well in terms of topline. In the recent past, we have not seen this kind of -- at least in the last three, four years, we have not seen -- and it is one of the best quarters.

Then, on the technology, that has let us down in terms of going live by September end. But again, we thought there was only one more quarter that is needed, so that's how we took only for one quarter, although we asked at that time also for two quarters, that was refused.

And then when we went for the second time, they said either minimum two quarters, all or none. Of course, they have given another plan of one year, we spend up. But anyway, we want minimum. The minimum we've got, is the only two quarters. There's hardly any room for any negotiation, that's the most unfortunate situation, and that's how we have extended it.

And I think TCS at the senior level, they're all involved. They are all keen to make this platform go live and hopefully, we should be able to do this -- in these two quarters' time that we got maybe that extra quarter, we will use it for a more rigorous mock or other test runs that we have to do it, longer than what I anticipated. But we should go live in this segment.

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Management: We already had a mock in the month of November/December. So that is a trading member facing. And that is -- went on pretty well, but it's essentially only region-related. We are not giving the back-office reports and other things for numbers. This time, when we are doing mock that we are giving the report also, so that whatever trade that they have done, even the outputs also they can verify in terms of margins, in terms of obligations, etcetera, etcetera. That is the second phase of it, which we are doing mock in that sense. But otherwise, the first phase is a ready, I think by and large, good that went on the --business side is good.

Analyst: Second process is, we will try -- is there any steps left or it is...

Management: No. While this mock is happening, we are also going to do the performance fine-tuning and what you call parallel runs, we will be doing it essentially pumping the data of orders and then get the output and the trades and then get the margins, etcetera, calculations, right or no -- all that is going to happen.

It's happening in UAT has been there quite for some time. So that will also happen. We can have longer UAT, longer mocks during this period. And again, we have to conduct also parallelly after the code is frozen, once these pieces are fixed, maybe end of February, March, we should freeze the code and then conduct the system audits and other. Then with this audit reports there are only few security or other issues that will be fixed, but then that's a lot. We're good to go ahead.

Analyst: Once you would have tested the system, is

there a case where you would go live with both the systems for a quarter?

Management: There's no way that we can do it.

Analyst: It was earlier, I think that is also one of the plans that you were talking about...

Management: What we were seeing first, we will do Agri and then second we will do the remaining products. But that also we planned for a week or 10 days, not a long gap. So, what it entails is the members have to maintain in two systems at the same time. So that's where we expect their reservations. So now that we have got more time, then we will complete...

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Analyst: So there will never be a case where we'll have two systems...

Management: No. no.

Analyst: Most of the members that are -- I would look at it during two APIs to the customer, the back-end is just feasibly not possible for any API, so there could be a possibility that if you were to do this in both systems, you could see a drop in that every volume for that piece because most of them will not be at the parallel system ...?

Management: That's right. It may happen. But then that's not really thought of right now. But what we may do, again subject to regulator's approval, maybe on a Saturday we were on live for one hour, two hours, something like that, with all products, then the next Monday onwards the full-fledged trade. So, these are all strategies that we do adopt in migration.

Analyst: So, will there be -- is there a timeline in terms of when do you start the live for all of these products again by March, is there a time period?

Management: See, we have given internally some timeline for the development ... But once we go, the mock and the people will say that now mock is doing well, then we can announce a date to the members saying that, that is one month or 1.5 months advanced notice we'll give it. We are going live on such a -- so we are planning to go mock in this month.

Analyst: Where members can start to use this system -- on a Saturday, like you said?

Management: Yes. It will be full-fledged, every day, we will keep it...

Analyst: So this month we'll switch to that system. So essentially, you're now doing extra performance?

Management: No. See, mock will be on. Mock runs this month...

Analyst: So, the fact that you mentioned that you would have been happy with a one quarter contract, given a choice. Would that imply that you can do the transition well within this week, including...

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Management:Would have planned accordingly.

Analyst: So, okay. So this part is clear. Now from a TCS perspective, right, for most of these asset are things are covered, so to that extent there's always an SLA agreement in place. And I would have assumed some of that benefit should have started to kick in now. Is there a reason why you wouldn't go back to saying that look, it's an important contract you had 1.5 years sort of developing the private system already nine months?

Management: In that agreement, what is the date for go-live is already there, okay? So that is breached. So things will kick in, whatever the...

Analyst: I think they should have kicked in now only?

Management: It will kick in, but they will not be very substantial, okay? It cannot be the entire contract value. So it will be a part of that. And it is not that we have paid huge monies to freeze the site. So it's work in progress. Post go-live, also, there are payments with us. So we will see, we'll take a call at that.

Analyst: But you're not taking anything right now. So, you want the contract -- first, the platform to get deployed and then that top we see it up. I think that's the better way to sort of do...

Management: Its obvious. Anybody does....

Analyst: I think that's a fair way because you don't want to hire them right away in the middle of...

Management

: Everybody is in the midst of working...

Analyst: But from a recoup perspective...

Management: No way to recoup...

Analyst: No, no, not the entire piece, but can be a 20%, 40%...

Management: I don't think ... that's a very -- contract is not so big, that's what I'm saying.

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Analyst: Because the way I look at it, you're paying somewhere around INR 140 -odd crores, I think additional...

Management: That's what we're saying. It's a five-year contract. Partly, it is AMC partly it is a license and partly it is implementation and customization, that's the three components. So only on implementation and customization, we can take some not on the license, not on the...

Analyst: AMC you can't obviously, because that's...

Management: Its not kicked in as of yet.

Analyst: So broadly, whatever loss is not a material piece, is it a way to understand?

Management: Come again?

Analyst: Whatever we paid additional, let's assume fund what ever what you can sort of recover back from TCS or...

Management: Arguably – it's as good as no return.

Analyst: So that's fair enough, I think that's a business call at the end of the day.

Management: No, no. But nobody agrees also for a penalty clause of 50% of the value of the contract or that kind...

Analyst: Correct. So, and now so coming back to the business. So there are two or three things again within the business that at least -- so we obviously had the last call, and we understand the broader aspect, but there are two or three areas, which is, one, there is a regulation from SEBI right, which allows you to sort of launch on contracts on the same security.

So if you could just help us understand from a volume perspective, how big those can be, that is one. What do you think of the opportunity from that perspective? And can you still launch those contracts with in the existing tech platform? Or would you still
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wait for TCS to go live and then launch it because there's a better way to do it in that system?

Management: So we had earlier five base metal contracts, which are new contracts, we had in Crude and Natural Gas. We cannot have all of them because in the case of Copper and Nickel, the trading unit and delivery unit is different. So that is ruled out. Where our trading unit is delivery unit is identical, it can be done. So we have already applied to SEBI for three of the metal contracts, were Zinc, Aluminium and Lead, and I think we are in the process of applying for Crude and NG.

Analyst: So from a size perspective, is...

Management: It is... earlier used to contribute about 25% around...

Analyst: You're talking about the metals.

Management: Metals as well as Crude. Mini used to contribute 25% of...

Analyst: The overall volumes, right? Earlier today...

Management: Of that segment.

Analyst: It's largely in mini? So that's essentially how we can look at the market as the way in some of these contracts as well, a lot of the futures and this year -- I'm assuming you're talking about the futures, right? Margin. But a lot of the auction volume also depends on how futures volumes sort of pan out right. Is there even a market where you would expect that you can start to launch mini options and that can also start to do...

Management: Our turnover in the underlying is contract...

Management: Anyway, for one year, we can't talk about anything on that. Well that it takes into consideration previous one year.

Analyst: Okay. So the entire one -year ADT should be on an average of -- but some of these metals can actually INR 800 -- INR 1,000 crore like, for example, aluminium...

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Management: But I'm telling that is the main part, but if you see the meaning also it has to reach to that level.

el.

Analyst: But, so when you look at futures right, is there a very easier way to understand that we've got a larger contract. But the way we saw a shift in options, let's say incremental volume of futures went options. It's mostly the way I understand people the way they trade is, with one smaller outlay, minimum upfront outlay, right? So if you are ...

Management: Generally, there will be apart from what we are -- there will be like always you have arbitrage happens, between them -- so it can contribute to both main as well as mini.

So holistically, I think there would be a lot of permutation combination what at least what we have seen in the past is, both complemented each ...

Analyst: That essentially gives you a pathway to options for, let's say, a year...

Management: Once we reach out -- preferred is we can look for a shorter duration contracts rather than -- because you require at least a year gap, at least to reach to that level, only when then we can be able to consider that, okay. Not every contract, like if you take one or two -- not every contract which is more than -- if any regulatory change that is a different thing, but...

Analyst: So largely futures is where you will see bulk of the opportunity in the next 1 year.

Management: But margin has been in some of the commodities, margins have been -- when you come out to say, smaller versions -- but that really can help out...

Analyst: The volatility of -- from a -- so when you look at the -- launching these contracts, how

soon can you do it, will you wait for TCS or would you want to do it?

Management: We can do it now because there is a plain vanilla contract. Even in TCS also it works.

There's no problem. Because the contracts which are not there today but which require changes in the present system and the future system is something which is – or something for us like one monthly options on bi-monthly which is called gold. We had approval. We are not issuing it unless that is tested in the TCS system. When it is tested, and when it is go-live, it is able to seamlessly transfer the positions from the Multi Commodity Exchange of India Limited

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existing system to new system. So that is not we are introducing, but these are contracts which are vanilla -- plain vanilla.

Analyst: Suppose your approval from SEBI, there is a good probability that we'll just go ahead with new contract.

Management: Yes. New contract will be launched as soon as we go.

Management: This is only licensed, but it's a perpetual license, provided you pay the license fee every year. This is of P7. Trading is of P7. Banks is of P6. P7 is German so.

Analyst: So we cannot expect such kind of a large quantum of buying this entire software for the next two years or one year or whatever. My question is only AMC is we have to pay or is there?

Management: Only AMC.

Analyst: Only AMC?

Management: If there is any customization, we have to pay the customization. but not linked to the turnover or anything of that,

Analyst: Just to understand, sir, if there is a new product launch after TCS platform if some customization required you think we have to pay additional amount for that?

Management: Only for customization. Product launch is we don't and after five years once TCS contract is over thereafter also you keep paying the AMC that's good.

Management: With AMC they will be servicing.

Management: The AMC servicing for bug fixing essentially the system halts, but if there is any customization, let's say some regulator says that you change this, okay, then which is requires fixing the code, they will do it. But if we have to download some information, because it's also API driven in that sense for us. So you can keep on build the APIs in the system and then take the data and then run it in some other system and then develop it, no problem. But if you want to fix within the system itself, like

for example, client

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level margining and all that has to be monitored by the system that is a code to the engine. So that kind of things require, fixed customization.

Analyst: What I'm trying to understand is what happened with 63 Moons, after the expiry of the contract. We were not able to run it by ourselves because...

Management: They will give that -- we pay AMC they have to support it. They will support.

Analyst: When they increased the charges of the AMC because ... I think what you have done...

Management: It did not provide for it. It did not provide for increase there is an increase already I think escalation is very small CPI - consumer pricing that's all. Okay that's a perpetuity.

Analyst: But TCS also, we have to pay AMC some percentage of..

Management: No, it is included in that.

Analyst: What are you asking? 60% of the ...

Management: No, fixed fee.

Analyst: AMC annual, it is linked to the...

Management: That's what MD said, the first year is under warranty, once we go live, then the next five year, we have already fixed it. The amount is fixed. After that it will be under CPI.

Analyst: And typically, AMC would be what, 10% of the contract or as...

Management: Single thing.

Analyst: And sir, when we first talked about this TCS platform migration, we said that the impact immediately will be limited in terms of margin expansion of actual contribution to the profit. At that point in time, the cost that we were paying to 63 Moons was around INR 50 -odd crores. Like FY '22 for the full year. FY '23 will be paying somewhere around INR 65 crores assuming the same formula for the entire year. When you say the impact will be not there on the PAT, it is based on the last year number or this year number?

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Management: Actually, when we were discussing that up to September, we were discussing. Right. Then this figure came up what we paid to. Basically, talking about the earlier. September '22. And there's one more thing. What we are going to pay to TCS after the warranty. Also, we have purchased servers, hardware, switches. That AMC would also pick it.

Management: So because net-net, there is no benefit at this volumes with the incremental volumes we will see the operating levels in the next five years so...

Management: Even if you grow volumes by 10 -20% every year all of it should fall down in the market that's right, the FY '24 is where you don't see the margin update. FY '25 -'26 onwards

I think you will see growth.

Management: Should see.

Analyst: So within the overall, I think there are two or three contracts that you were more sort of bullish about over the say longer term, right? Gold mini was one of them.

Management: It's doing well.

Analyst: Yes. Sorry. It's doing well. Gold mini. Gold mini. Yes. So I'm talking about when you have the fortnightly, when you have the smaller contracts that you will launch, post that you say options, options as well. Right. So typically from a longer term, what are the three contracts? One is Gold mini that you would, come incrementally...

Management: I will not be able to give any exact...

Analyst: Not an exact just these are three contracts where we would think that volumes can be...

Management: No, no, see, it's not just gold. I have the way that I look at is, what I am looking at is, the energy products and the metals and the bullion, these are the segments which we expect to do well. Agri will be there, but it will take some time, but it's not something substantial. These are the three segments which we expect. New contract is Multi Commodity Exchange of India Limited

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something which we are looking forward to and at least this calendar year we should get whatever we have applied.

Analyst: So my question is

around these three. Because I would think that these three are the larger part of the market. There will be 95% even FII was out as well. I don't think the other ones electricity is still, I mean, you still see how you see all of these guys integrated, right? Because once there is a future market is where, there is a spot market is there.

Management: Already, the spot market is there. IEX.

Analyst: IEX is already there. So I'm saying the futures market will it fall under the NSE I would assume it will still fall under NSE. Yes, yes. If you are a part of SEBI...

Management: Yes. It is.

Analyst: So from these three segments itself, one was gold is where you were more optimistic about within the options. Is there any other piece that you can launch which can give you a good kicker? Let's say over the next years?

Management: The NG options is also doing well. Currently about 6,000 crores, that is also doing well and all the minis.

Management: We started duration contract...

Analyst: But within shorter duration, I mean, you have a gold you already have, right?

Management: No. Other than that Gold products, Bullion products.

Management: Fortnightly our – see, today we have only Bi-monthly, but if you can reduce it ...

Management: And FIIs also are very keen, many are enquiring about it. So we held back that, but then I think that is something which FPI's, that they are permitted. So that is something which we are working on. Their participation also should see some good amount of action.

Analyst: But what is the incentive for them to go ahead and participate?

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Management: One is that the arbitrage opportunities, although LME also has, the MCX has same metals, but then arbitrage opportunities differ from theirs to you. So cash and carry.

So there are situations where the gold silver, I think last year or the year before last year, the huge arbitrage opportunity in silver and we got very good amount of so the revenue in warehouse or what you call vault charges good amount of. So I mean, what I wanted to say is that there are arbitrage opportunities. That's one.

And second thing is the, some of them want to trade in commodities, and they are not able to do it. Some of them, what they are doing is currently they have an international outfit which trades via Dubai, maybe in London or the book here is

different. Okay. But they can adjust the profits and losses across all markets via FPI rule.

Analyst: But they still have enough liquidity. I mean, again, I think most players, a lot of them are domestic guys, right? They also don't trade in our exchange. For example, metals, right? The reason why they would want.

Management: There are two things. One is the traders other one is the hedgers. The one which you are talking about the hedgers.

Management: The inter-market arbitrage, there will be lots of possibilities. But all, see the strategy algorithms, strategies are used across markets. And whatever they are running, the engines they are running, what's we think for the arbitrageurs. The moment you get a new market, they can also deploy that one and also try to use that, because strategy can remain but you have a different one.

Management: The tax issues are coming in the way.

Analyst: Local taxation is where you don't so you have to have ... your book here is your...

Management: And then maybe internationally if you trade and you have another form there then it has got its own this one.

Analyst: But you seen any interest I think FPI ...

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Management: We are getting.

Analyst: I think SEBI allowed for a while.

Management: No, no, not for a while. Just in the last six, three months, it was allowed.

Analyst: So, but have you started to see any of that because a lot of these banks you have ..

Management: We have not permitted so far because of the technology treatment is required. There are two conditions are there. So, I mean, our people told me that without that also, instead of going for individuals or ... certain category of ...

Management: FPIs for that is like it is the position limits are only 20% of the client's level. For the normal FPI, it is going to be as good as equivalent to the other level. But certain category is going to be one to customize that kind of because you cannot partially allow.

Analyst: If you could introduce as a one shift, why are they restricted in terms of the quantity? For a particular contract you mean?

Management: I think the regulation.

Analyst: So for a particular contract, they can't be more than one fifth of the volumes.

Management: One fifth of the client level position. The client level position is let us say 100 barrels.

And for those clients, it can be only 20, 25 whatever it is. That is a second type of ...

But if I permit only the other ones where there's 100% can be taken, the system is ready. But if some other type wants to register, we will not be able to ...

Analyst: But typically when you look at it, volumes essentially come from the hedgers. They provide you —

Management: Hedge rs, volumes don't come from hedge rs. OI comes, so, open interest only ..

Analyst: Not liquidity, so they will provide you enough. Let's say, liquidity across -- contracts across prices. Your price discovery is better at the beginning.

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Management: Rightly -- It contributes to the prices - And even if you want a further contract, in the hedge rs can really come close price, what would be the -- but they are not the liquidity ...

Analyst: But essentially, those guys drive a lot of the liquidity...

Management: You require all types of...

Analyst: Correct.

Management: See the usual question that I get from some other analysts like you, is that -- look, what is the difference that MCX is making when the same contracts are available on LME, for example?. The answer is, we are not -- our contracts, as you see, LME contracts, as you see, it's 1/10 of it, or even less. So the kind of firms that we have, Hindalcos and the..., they may go there. But there are many others who are medium and then small. They can't do that. So at least we will be able to provide the platform. So that is what we are starting. The smaller players, aggregators, if we are going to service it, it's more than enough. And as we grow, the liquidity will come. And then maybe others also will start looking at this platform. So bottom-up approach is the one which is driving this.

Analyst: And in somehow, let's say acquisition, customer, education, acquisition. I think you've been doing a lot of those initiatives. I mean, how do we drive to get a lot of these?

Because I think when you look at the unique number versus the total number that you have from a participant perspective, I think it's fairly significant, right? How do you sort of get from 3 lakh to, let's say, getting it to maybe a 10 lakh, 20 lakh customer base and what stops you ...?

Analyst : That's the main difference between commodity and equity.

Management: That's what I say.

Analyst : College people also, boys also, you know, they just started in trading on their own.

Management: You see in the equity ...

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Analysts : Barring the technical, you know, few brokers, you know, send the technical charts and supports, etcetera , and based on that people do speculations and all. So here, enough data is not there to, you know, guide or educate the people to cater the mass population.

Management: Whereas the data is -- what is getting traded here is not There it is like, anybody can... Even if we didn't like the price, we can continue to h

old it. What you see typically

is when our IPO, you have lot of things to happen, which is holding. Some great activity will happen ...

Management: It creates that buzz around the investors, so and so IPO is coming. Every time that excitement is created in commodities, it doesn't help. Second, you want to trade in any single commodity, you need to have at least INR 15000 -INR 20,000 investment as a margin. Because one lot is costing about INR 3 lakhs to INR 5 lakhs. Unlike in equities, you take even for INR 1,000 also, you can buy few shares and other things. So, when numbers are admitting their clients UCC s, they are doing it for everybody all markets, all segments. So obviously we can't expect everybody who is registered here to be trading on the exchange...

Management But that should change once this...

Analyst: Shorter duration contracts...

Management: Shorter duration, that is one thing because automatically the premium amount will come. Second with the option definitely we have there is a good increase, the participation because some set of market participants don't want to get into kind of a volatile margining kind of thing. They prefer to go for ..., where you just have to get a premium and will be a one -time fee.

Analyst: Correct. So , with this shorter duration, it could be what, 1/4th of the current premium you typically most of the...

Management: It depend upon the, see the time period is the only element that you will be able to win...

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Analyst: I was talking about gold specifically because gold from a volume perspective is huge.

And I think that is one are a where at least India to the minutest of the category would understand that product, right? So , they would still want to do it and that is where --

I mean there is a gold ETF is done pretty well. Why not use this as a n... so that's where what will be the pre mium which will come down once you launch those options?

Management: Only the time factor that is going to be. Rest of the things will be...

Analyst: No, on the option side, you?

Management: From Bi -monthly, I f you are going...

Analyst: I will go monthly...

Management: Option pricing depends on several parameters. Time is one element. A part from time, have several other factors. So, given that one roughly you can one

Analyst: Your lowest contract will be the one, three, four thousand, with the th ree four thousand premium, someone can go ahead and trade on a gold..

Management: If somebody wanted so. It is like you are reducing the time but at the same time further contracts also will be available for trading. When we are saying suppose a weekly con tract or a monthly contract, it is not essentially that the duration of the contract is one week. It is like duration will be definitely greater than one month or little more like three month, four months but people prefer to trade as the contract expiry c omes closer.

Management: They typically tend to close, right. No one would want to...

Management: If it is a cash settled contract, many people prefer. If it is a delivery -based then to that extent it will be...

Management: Every week, there is a delivery then there...

Analyst: No one would want to go into. I think that's what you also lose out right? There is no

delivery. At the end of the day you can't take delivery.

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Management: Our contracts are different, ours is option only, as compared to the equity market.

Management: So even when you wanted to reduce the duration, we have to typically consider all the parameters.

Analyst: But on futures, you can also now launch a shorter duration.

Management: I launched, but I have, like for example, as and when it converges into a, devolves into the underlying futures contract.

Analyst: You'll have to take delivery?

M

Management: So again, margins, I have to take it from the buyers, buyers as well as the sellers.

Management: So whatever are the options, what premium only you pay, and toward the last five days when it goes, it devolves into futures, then full premium, full margin, of the futures have to be paid. Let's say if it is crude oil, 30% has to be paid. So that's where they exit.

Analyst: On margins, is there a way because, I think margins, earlier even in crude used to be ...

Management: 100% less.

Analyst: I mean that was a level during COVID, right? But more stable, say, has been, what, 20%, 25%.

Management: See, go by the international ...

Analyst: Today, it's still higher than where we were expecting.

Management: We were expecting, only 10% to 15% is what we...

Analyst: So is there a path on where that discussion happens to the regulators on a regular basis? Or how would you sort of get to that number?

Management: Let us see, that we have asked some concessions with respect to the SG F contribution. I think that comes through, then again, we can reduce the margins.

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Analyst: So now, which is another question, right, which is around SG F. I think we've already seen what they're trying to do for an ASBA mechanism for a secondary market. And we also have an SG F have, what, 545 or 550...

Management: 580 crores. So margins would not be there float will not be there...

Analyst: So again, I'm not coming back. So now the float will not be with us, right? So one, it's optional. So just wanted to understand what -- because it is also an inconvenience, right? If I was a trader, if I were to do an UPI mandate to every time to trade, right, if I were to better do a bulk trade, it's a painful process to keep dropping in limits and ... I think a lot of people might just still prefer to transfer the money, right? Is there something that you would have looked at, that what percentage of the float will still be available even if this was to be implemented?

Management: So we are still discussing the process how it happens. It's only a consultation part -- so it will take time. The clearing is going to afford. But at this point in time, only when there is a volatility, we get more of margin, more of cash margins. Otherwise, the bank guarantees and the F D...margins. I think yes, it's about INR 1,000 crores. That's INR 900-1000 crores is the margin we have, in terms of cash margins. Only that. But otherwise 90%...

Analyst: So the INR 540 crores, you're saying 90%...

Management: The margins that clients and members have with us, what you're talking about is ... part of...

Analyst: Then just a clarification, you said INR 17 crores is what we earned in this quarter. That's if we analyse, it's like a 7% yield on INR 1,000 crore. I thought we invest that money in liquid funds and all.

Management: But it's over a period of time. INR 1,000 crores...

Management: Using the 1000 crore number, average number will be much higher ... And if we, let's say, lose up on the floor, is there another way where we can sort of recoup that money

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or there is a good probability that we see that impact coming through whenever this gets moved from a regulator perspective.

Analyst: Clearing corporation must be looking at alternative ...making it more ...

Management: What is the incentive for them to...

Management: This is our wholly-owned subsidiary. This goes into their balance sheet ...

Analyst: Correct. I mean what consolidation rate comes to us

Management: But I'm saying as a matter of what we call, they have their own KR As to look into – they are looking at it. ..

Analyst: So to your point, just to get a sense, do you think that impact will be lower, even if this were to go ahead and materialize?

Management: I think

it is -- it is too premature, for me to say that. That's not correct. Let us see how the mechanism operates .

Analyst: Just directionally, if we talk about like last time in the mini contract, you told us that the contribution was 25% of the segment. But given the increase in the retail participation, you think this can be much bigger this time? Because you said one of the hindrances is the size that margin money required is at least INR 15,000, INR 20,000. With Mini I think that number will come down.

Management: It should come down.

Analyst: So then the contribution this time can be much more than what it was last time, logically?

Management: I can't say that because we have also increased the number of deliveries. So that gives some degree of consistency to the investors. On the one hand, positive side is what you have pointed out , the negative side is , the number of delivery centres that are introduced. But it's a single digit , I know that it's Mumbai, Thane whatever. But if it is Multi Commodity Exchange of India Limited

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now we have a Noida, we have East and we have down South , all these delivery centres with us. Seller has the choice to trade anywhere.

And Buyer has to figure out where he has to -- Buyers have a problem of GST, okay?

So that issue always is just a hanging sort for these investors. By any chance, if they get it in Noida, then they don't have a registration, then they have to catch hold of some agency to take the delivery and maybe ask to sell it off once again to somebody , and then they take delivery somewhere down south, if the client happens to be from -- it's a challenge , is there. We are trying to find a solution for that. That's a very important for us to crack this metals ...the metal ... volumes. That is something which we have been talking with the Government – we have to make a...

Analyst: With metals, do you think that opening those delivery centres was not the right way to go about it because again, people will – let say someone wants a tier and it's available in another market, like in Noida. There's no way that we will be able to take a delivery very easily, right? Would it be in a more micro -market type of strategy that look maybe Ahmedabad will have its own market ...

Management: See, for a decade plus, we had only the thing that kind of thing -- but then the producer side or some of the consumer side, we see that now it's far away from me . Battery manufacturers, for example, lead, and they are right in north, right in South. And earlier, we had only one, Thane. And it is not catering to everybody. And those guys say that, no, I can't take delivery from your -- this one. I can participate on your platform for this reason. Although, it is to hedge their risk, they used to give this kind of, understand ...

But again, sometimes it helps. We had aluminium only at this , Thane. We shifted to Raipur. When it was in Thane, obviously, Nalco will not come and deliver here. But there are others who are closed by -- they are not delivering. They chose not to deliver because that's a private -players, other major area. But Nalco doesn't care, whether it is MCX are giving it to -- they are interested in meeting their targets and then -- huge delivery is coming in Raipur .

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Now that has increased liquidity and then other players who were the big players, now they are feeling threatened that market control is lost, okay. The consumers are going there and then taking it. For them, otherwise also, they have to take imports from East most of these industries – out there. So I might as well go to Raipur and then take it, they're doing it.

Analyst: So consumers are starting to take the from markets where they are not present?

Management: And the MCX prices become a benchmark price. Will you give me premium or discount

ount

to MCX price that is the way negotiations are happening. There's a monopoly. The brand building their brand name, they are building around their products, charging premiums. For me, it's a material, whether it is – as long as I meet the contract specifications. So medium players are also able to benefit from this platform.

Otherwise, the bigger players are not allowing them to survive.

Analyst: But then what will help you drive the volumes in metals, right? I mean...

Management: GST is one, it's the only piece to be fixed. Once this is fixed.

Analyst: Single GST across?

Management: Not we are asking single GST, IGST is what we are asking. It's of CGST, SGST, give us the IGST. If people are from different states. So you don't need to register in all states, correct. That's all. There's no loss of revenue to anybody.

Analyst: But then the -- for the revenue department, they will not -- for them, the incentive is too small to look after what MCX is trying to do versus the entire system that they would have set up, to have two different ...

Management: No, no. The issue is that states have to approve it. Some states may be losing some sales may be gaining in the ways that they were talking about. But it's what we call the cancel out each other in that sense. Why I'm saying, consumers are spread across. Okay? When they are raising IGST also, they are doing the same thing. If somebody takes delivery by registering it, -- he takes credit, that is also happening. There is no I mean it should...

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Analyst: But a lot of these states will not come, there is a good probability that will not happen for a fairly long time?

Management: This we suggested or alternate also -- there's a designated entity concept we are doing. That's one part of it. We are also now looking at, still a third alternative, where FTW Zs are there where IGST only is applicable in FTW Z.

Analyst: In that particular area as well, in zones?

Management: Why not establish there, we are trying to look at all those alternates. Let us see ...

Analyst: Which would mean that additional investment...

Management: No, we have no investment, already their warehouses are there. We're just hiring and then the broker whosoever is depositing, they will pay. And we don't have incurred any expenses ...

Analyst: Just one last question. I know we're out of time. But just from a more fundamental, let's say, the way we look at equity is where 95% of the volumes is options. Do you think which will also start to look that business, the mix would also start to look similar, let's say, 3, 5 years out, when you've got the entire bouquet of options, and you've got everything within that category.

Do you think that is essentially how our market would also look like or because you've got larger players, which you don't have an equity, right, you're not ever -- you have institutions, but there is a large bouquet, let's say, HNI's, retail, there's participation across, which might not be the case -- I think hedges will have really a large book for sort of. Do you think that can -- that will be the case or will not essentially be good...

Management: Well, probably, we don't say that options is going to be as is. And the futures are needed, especially for these hedgers, they do look at prices and they do take deliveries, but a lot of education is needed in this space. GST, as I said, it's not only coming in the way of other hedgers, even for financial players, HNIs, they have no interest to take delivery or anything. But they do have to register wherever they get delivery in event of this basis or PMS. Even in PMS schemes, each of the individual

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investors ke naam se bhi, they have to take GST registration when they take the delivery.

Analyst: But why would

Id they take deliveries will close the contract...

Management: So they are to take -- no, no, but if it is a cash and carry arbitrage, they have to take delivery immediately; they sell it in the next month. So they hold it in their name.

Analyst: They're just not a delivery...

Management: They all physically pass out this one, but still they have to have a registration. This is what the piece coming in and...

Analyst: Essentially, if you're trying to buy 20% of GST ...

Management: No, they have to -- if they are otherwise traders, they have to claim. But then there's no other business, except they are financial players. Anything else?

Analyst: Is there any other regulatory measure which can drive volume like in equity, you're seeing co-location is a big contributor of volume. I think commodities, we don't have that facility.

Management: Not there...

Analyst: So is that -- is there anything and probably which can drive volumes of HFPs something

like that?

Management: It can drive. But I don't think we see anything is happening in the ... again, whatever has happened in NSE and all that.. .

Analyst: And the other thing is like probably can regulator agree to a cash -settled contracts. I think that is called many more problems of GST. If ultimately, the contracts are again made cash -settled. Like initially, they withd rew mini contracts. But now I think they would have understood and...

Management: I don't think they will. Because -- they expect the futures and spot markets to move in tandem . Otherwise, they will go somewhere else.

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Analyst: Okay sir. That's all from our side.

Management: Thank you so much.

Analyst: Thank you

Call: Feb 2023

MULTI COMMODITY EXCHANGE OF INDIA LTD.

EXCHANGE SQUARE, SUREN ROAD, ANDHERI (EAST), MUMBAI 400 093, INDIA. TEL: +91-22-6731 8888, FAX: +91-22-66494151, www.mcxindia.com

CIN: L51909MH2002PLC135594, info@mcxindia.com MCX/SEC/2188 February 14, 2023

The Dy. General Manager

Corporate Relations & Service Dept.

BSE Limited,

P.J. Towers, Dalal Street,

Mumbai - 400001

Scrip code: 534091, Scrip ID: MCX

Subject: Transcript of calls with Investor/Analysts

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 read with the SEBI (Listing Obligations and Disclosure Requirements) (Second Amendment) Regulations, 2021, please find enclosed herewith the following transcript of the call with investor/analysts:

Sr.

No Investor/Analysts Date Time Annexure

1. Ashmore Investment Management

Ltd February 07, 2023 02:30 PM Annexure - A

The said transcript is also uploaded on the website of the Company at

<https://www.mcxindia.com/investor-relations/ir-meetings>

Further, we hereby confirm that no unpublished price sensitive information was shared/discussed during the said meeting.

Kindly take the same on record and acknowledge receipt.

Thanking you,

Yours faithfully,

For Multi Commodity Exchange of India Limited

Manisha Thakur

Company Secretary

Encl: As above

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Meeting with Ashmore Investment Management Ltd.

February 07, 2023

Disclaimer: This transcript is provided without express or implied warranties of any kind and should be read in conjunction with the accompanying materials published by the company. The information contained in the transcript is a textual representation of the company's event and while efforts are made to provide an accurate transcription, there may be material errors, omissions, or inaccuracies in the reporting of the substance of the event. The transcript has been edited wherever required for clarity, correctness of data or transcription error. This document may contain "forward-looking statements" – that is, statements related to future, not past, events. In this context, forward looking statements often address our expected future business and financial performance, often contain words such as "expects", "anticipates", "intends", "plans", "believes", "seeks", "should" or "will". Forward-looking statements by their nature address matters that are, to different degrees, uncertain. These uncertainties may cause our actual results to be materially different than those expressed in our forward-looking statements. We do not undertake to update our forward-looking statements.

Annexure - A

Multi Commodity Exchange of India Limited

February 06, 2023

MANAGEMENT : MR. P. S. REDDY – MD & CEO, MULTI COMMODITY EXCHANGE
OF INDIA LIMITED
MR. SATYAJEET BOLAR – CHIEF FINANCIAL OFFICER , MULTI
COMMODITY EXCHANGE OF INDIA LIMITED
MR. PRAVEEN D G – CHIEF RISK OFFICER , MULTI COMMODITY
EXCHANGE OF INDIA LIMITED

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Management: Welcome Madam, please go ahead. Fire your questions .

Speaker: Thank you so much. So sir, from the operating expenses part going forward,
once things normalize and we do more have the extra expense that we are
incurring for the next couple of quarters. Where should operating or the
expenses settle down ?

Management: So, as I said, the technology point of view, you know that what is the expense
that we are going to pay in the next 2 quarters ...

Speaker: Correct. So going forward where should that settle at the ... maybe...

Management: Maybe that should settle down at the pre , what we call , termination of the
contract with 63 Moons . That is at this turnover level , ADT levels. If ADT goes
up, maybe that will not go up , because earlier the contract was linked to the
ADT , that will not be there.

Speaker: This is a fixed ?

Management: That's right.

Speaker: So it is irrespective of whether you introduce new contracts?

Management: In respect of anything.

Speaker: So, irrespective of option contracts. You are saying more single commodity
contracts or the tenure changing?

Management: Yes, it all boils down to ADT, Average Daily Turnover. So whether it is driven
by one product or 10 products, 20 products, it doesn't matter. So that's the way
it is...

Speaker: So, it's more like a fixed cost for 5 years, that would be...

Management: Fixed cost -- yes, you're right.

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Speaker: And this contract, obviously, I'm guessing all the previous issues of not
happening ... the codes and all of that happened...

Management: Yes. See, it is a perpetual license provided , you pay AMC .

Speaker: Okay. So AMC starts after 1 year...

Management: It's a very single -digit figure, very small amount.

Speaker: So what is the 5 years that you were making in the call?

Management: 5 years, they will support and that we have also .. see there's L1 support is there
for the first year, if I'm not mistaken, which is a warranty period. Thereafter for
5 years, we pay AMC where they will provide a service of L2 and L3 services
in that AMC. And it will continue thereafter.

Speaker: And generally, let's say, as time evolves -- there are new regulations or new
things that may be required for ...

Management: If anything related to the regulatory changes come there, which are required to

be monitored online, then you need their help to fix it online. But if it is something which is offline can be monitored and then fixed, then we don't need it because APIs are there and you generate the reports and then you do the needful.

Speaker : Look, or in general, in like supporting if you want to modify some bit of -- so that would be over and above...

Management: That is what you call customer -- what is you call -- enhancement.

Speaker: So that will be on cost...

Management: On a man-month basis. It is what at the change we want. They will give you the manpower man-month estimates and then they will implement.

Speaker: So the software and hardware is owned by us ...

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Management: Software is not owned by them. We got a license, hardware is owned by us.

Speaker: So on the business track the better part of -- your revenues have been surprising.

Even for people like us to look at volumes on a daily basis, which is given out publicly right Obviously, we all have started charging for option...

Management: Well in time.

Speaker: Well in time. The calculation that we did for the value that it could bring somewhere we are underestimating it because we are getting surprised positively each type. What is happening? Is it because as we're taking certain averages, but obviously, there's a mix of options that are o

ut of money -- in the

money, in the money, obviously, the percentage is higher and that makes that is giving a surprises?

Management: Now one is the volume of options itself has increased, that's your...

Speaker: That you get on daily basis, we get that.

Management: No, you get that, I'm saying, where you may be missing it. Obviously, the premium depends on whether it is in the money or of the revenue. I think the average realization is about 40%. Is that correct? I've been 40% means, earlier, we thought it's only options will yield 1/3 of the futures, but we were getting about 40%, 45% of that. So it's so much is the kind of...

Speaker: Is that stabilized? I mean I don't understand what is the

Management: Remain there on that.

Speaker: No. So again, because first, we were charging it all. So we as outsider didn't have an idea of that mix. So it is always been about that level?

Management: Yes, yes. But what are we told is conservative in that sense. 1/3, yes.

Speaker: So given stores, what we have seen is that the activity in the F&O market in India, in particular, has been far higher than what is observed in the other

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markets, other global exchanges has been. And part of it is with the fact that there is a lot of speculation, which happens in the...

Management 1: Speculation is one thing, but you also have CTT, which is relatively lesser in options compared to futures. In international market, you don't have any taxation. Transaction taxes are not there..

Speaker: So on options, again, we only have data for a couple of quarters of pricing on all have for longer -- have you all found that the mix of the at-the-money option out of the money options or in the money options changes with the volatility in the market or it's fairly consistent irrespective?

Management 1: It changes. But what we have to see is as the market started peaking like options that is when we have introduced the pricing. Prior to that one, it was like we were only doing good in gold. Gold was launched sometime in 2016 - 17. From there, actually, it was giving a very decent amount of option volume, but it is not significant. Only when the client margin reporting has come into the place, people started looking at the options.

So as the implementation of that phases has started coming in, the volumes of options has picked up. That completely has changed. So, if you take a period prior to that margin reporting, then it cannot give you the right perspective of that like how, what people are looking at it. But definitely, the realization is because we can say that most of the people are trading in -the-money options.

Speaker: The money options and therefore...

Management 1: That is the reason, you are getting better...

Speaker: I agree, which is my point to you that do you see any connection of does that change if the market is very boring and say -- there's no volatility, you start to see less activity in the money and more activity out-of-the money?

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Management 1: In each segment, for example, if you take the equity, the trend is different. Even similarly, currency options, again, when we look at, all segments are different....

Speaker: Different segments in averages somewhere or the other -- so 40% is a reasonable number?

Management 1: We thought at least to that starting, 1/3 could be the reasonable one -- so we got something better than that. But we have to see now it is only two years' time.

There's still a thin...

Management: But what I understand is madam -- the more the volatility, the greater the chances of options being away from the -- what we call -- from the money -- obviously, that's what the betting there to...

Speaker: That be logical I understand it, which is I'm a

sking it was then because out of the money, your premium will be lower.

Management : That's right.

Management 1: It could be one, even the type of participants who are participating, like for example in equity, you will find very small, small retailers who are trading into that kind of contract. But here, it is like at least the contract size itself is a decent size. So only those people can able to come and the duration of the contract in our case is higher as compared to the equity market because in equity, the options which are doing better is a weekly not the one we are doing.

So in our case, what will happen means out-of-the money, people can prefer because the expiry is a week ahead so even by taking out-of-the money, there is a possibility, high possibility that it can become in-the money. But in our case, it is a bi-monthly contract. So the period also matters, right? That's why I'm telling.

Speaker: In which is where the question was whether that thought process there, you want to, let's say, introduce the weekly and which commodities or which underlying

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where weekly would wear it would make a lot more sense because the pricing would be far more transparent as compared to, let's say, agri where you may not have a lot of takers for the...

Management: So initially, we thought to come out with the gold option monthly contracts, wherein it is like the futures can continue to be bi-monthly contract, but the options will be a monthly one so that people can, but that means both will devolve into the same underlying -- but by reducing the duration, people can look for it and start looking at it. But what we thought now is it is like the new platform, that means whenever we wanted to launch that particular product, it has to be traded in the future.

That means the new platform also as well as in the old one. We can -- right now, we can launch it, but we also should be 100% sure that it is also we can continue to trade in the new setup also. So once we get that clarity, we are working on it, we can start rolling out those products. So...

Speaker: Correct me if I understood you right -- what you're saying is that if you want to introduce weekly options, you need to have weekly future...

Management: No, not required -- but it is like in equity market, if you look at it, there are monthly contracts futures are there and weekly options are there.

Speaker: We are looking at both the possibilities like if I look at equities, the weekly Nifty and bank Nifty and futures are both these as well as the individual stocks...

Management: But domination is more than 90%, is coming from weekly options.

Speaker: So then what is it that is stopping us from launching the weekly options?

Management: So like I said, it is like the new platform also should facilitate that kind of weekly options. I suppose when if I'm introducing that particular thing right now.

Management: Essentially saying if we get SEBI approval, we don't know whether regulators will give approval or not for weekly. Once we propose to introduce in the

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existing platform that, then I should prepare the new platform also to migrate all the contracts.

Speaker: In the TCS..

Management: Yes. Yes. So yes, that's what it is. So...

Speaker: To that economies made and let this TCS being rolled out and then to the weekly...

Management: Once we get the confidence, we can go -- In fact, the monthly gold contract that you talked about on the bimonthly underlying futures, we have got the permission in the existing system, we can do it. But we are just waiting for TCS to test that and then say that okay it is ready. So as and when you migrate it, I will be able to seamlessly transpose all.

Management: No, you can't

it afford. Open interest will be there. You have to have that. We have to add all the contracts...

Speaker: And then you want to ... for weekly option side, so Bullion or Crude? Or is there anything underlying where you believe that there will be...

Management: Cash, it is the best one to fly. So obviously, crude and energy is the 2, Index is the one. But Ends again, gold is there engine when energy investors Ends have petered out. It's -- I think we will relaunch it. But at this point, as Madam has asked us to focus only on the on the technology platform technology -- that is the only 1 mantra. We are not a -- nothing else, nothing -- You were at midnight, give me a ring Mr. Reddy what are you thinking -- then you say that Madam -- Technology ...

Speaker: No. I mean like I said, I think you have that sorted out.

Management: Yes, it's all behind us. I'm telling once that is sorted out now, I mean we are happy to go anywhere.

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Speaker: The margin money that you get on the options side. you be investing short-term Government bonds ...

Management: Margin money is handled by the clearing corporation. It's a wholly owned subsidiary. We don't get it. So they all, SEBI has decided where you can invest, where you not invest. So they can put it in fixed deposit or ... governed by them.

Speaker: But it's done either.

Management: It's all by them.

Management: It is reflected in the...

Speaker: Consolidating -- that's why the -- while the interest rates are going up for the short term, you will have higher.

Management: That's -- CCL presentation is there --Do you have.

Management 1: Is only. So we are planning to introduce mini contracts. So that is something which will happen shortly once SEBI gives us approval. We expect to launch this month...

Speaker: That's actually to some -- so earlier...

Management 1: Earlier, it was about 20% to 25% of volume was brought by mini contracts. We expect the same reason, but it may take a lead time of 3 months to reach that.

But yes, it will happen. It should have -- that will happen in metals to begin with. And we have also applied for what to call energy also this mini contract crude, and we will be applying platform.

Speaker: So the other interesting bit pick from the call was the number of customers which have increased the unique customers that come in. Is there any profiling that you would have done as to what is the new customer base that is coming in. What if I slice on maybe lead for the SME loan market participants. So what is the kind of profile of customers that are coming into right now?

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Management 1: You have done any profiling? I do not know, but -- We will have the data -- we are not...

Management: Is another thing that way we won't be having that one. But what we publish the numbers, I think which already we have given presentation.

How much is your ... for retail, how much is the share? And -- but it's very algo-like always one aspect which is dominating. That is about around 50% is algo trading, what is happening...

Management: But that's true with every leading exchange, Algo dominates -- and let's understand Algo players themselves are not contributing. All Algo players are there because there's a lot of non-Algo players up there. They're not -- they eat that the spread between, I mean, what is being shared by the non-algos. So the more the -- not algos, the more will be the algos, put it that way. It's not that who drives who Algos don't try on algos. It's non-algos who drive algos.

Management 1: Which is where the price is. Yes. That's right. That's right.

Management: That's right. in terms of the volume, what would be a customer volume. ..

Management: Are you saying customers or members -- members is

about 60%.

Management: Top 10 accounts for 66% ... but it's not too much of a concentration, I would say.

Management 1: Use from the regulators, I think that the regulator said about...

Management: Regulators, they're peeping over our shoulder every night, every day. There's no time left. How many have participated, how many have not participated. Why only -- I mean they take a daily one and then say that while only 100 participated. So it's not 100, you should see who have participated cumulate over a period. That's because once they participate, they know how the system works, every way they may not do it.

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And we tell them, look, 90% is covered ... unique members have participated and the effort for 90% of business, what more you wanted because we are not changing much of these APIs and others, which interface with the brokers. So there -- in that sense, we have least disrupt in terms of this migration. Okay. So not much change. And all back-office vendors, they are comfortable. They all are participating in, okay? Even if one -- I mean, there are 67 CTCL vendors. If they all participate the universe is covered. -- for me. So they're all participating it. what more you wanted. But genuinely, they are also concerned, I must say that regulators because it's a reputational risk, MCX is a leading international exchange in that sense. And the reputational risk if something goes wrong. And they are also keen that we transitioned very carefully and -- but decisively. That's the way it is. So they're supporting us. I mean, I must say that they are supporting us...

Management 1: Because it's impossible to move on. And we have seen that in equity that where the volumes are, the liquidity is patients will come to that exchange that perspective of whatever incentive. The other was to provide the volumes don't -- the liquidity doesn't move -- in terms like asset side in the situation...

Speaker: I don't know what you could have done...

Speaker: Which is where I said just something you take on the chin and move on and like you put it out there...

Management: I'm very happy that we have one in Ashmore, a very understanding...

Speaker: Very understanding. That's what...

Management: Absolutely, definitely absolutely. As somebody on the investor call said you should have bought over the 63 months, you would have paid INR 1,000 crores.

That's what some investors call it, I'm sure you must have heard of it.

Speaker: You have gone with the best in the country.

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Management: TCS is the...

Management: Yes, yes, that's right.

Speaker: Unfortunately, this is at this point of time. Yes, that's right.

Management: Move on. That's all -- it's behind us. And we are determined to make it happen this time, at least, is.

Speaker: How long have you been engaging with TCS now?

Management: From '21, February, we have issued a letter of intent.

Management 1: It's been on to say 2 years, 1.5 years of development ... Thank you, Madam...

Management: Thank you so much all.

Call: Feb 2023

MULTI COMMODITY EXCHANGE OF INDIA LTD.

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CIN: L51909MH2002PLC135594, info@mcxindia.com

MCX/SEC/2186 February 13, 2023

BSE Limited

Department of Corporate Services

PJ Towers, Dalal Street,

Mumbai - 400 001.

Ref: Scrip code: 534091 Scrip ID: MCX

Subject: Transcript of the "Earnings Conference Call" with investor(s)/analyst(s) on Q3 FY-2023 results.

Dear Sir,

Please find enclosed herewith transcript of the "Earnings Conference Call" with investor(s)/analyst(s) held on Monday, February 06, 2023 at 16.00 p.m. (IST) on Q3 FY-2023 results.

The said transcript is also uploaded on the website of the Company at <https://www.mcxindia.com/investor-relations/ir-meetings>

Further, we hereby confirm that no unpublished price sensitive information was shared/discussed during the said earnings call.

Kindly take the same on record and acknowledge receipt.

Thanking you,

Yours faithfully,

For Multi Commodity Exchange of India Limited

Manisha Thakur

Company Secretary

Encl.: As above

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"Multi Commodity Exchange of India Limited
Q3 FY23 Earnings Conference Call "

February 06, 2023

Disclaimer: This transcript is provided without express or implied warranties of any kind and should be read in conjunction with the accompanying materials published by the company. The information contained in the transcript is a textual representation of the company's event and while efforts are made to provide an accurate transcription, there may be material errors, omissions, or inaccuracies in the reporting of the substance of the event. The transcript has been edited wherever required for clarity, correctness of data or transcription error. This document may contain "forward -looking statements" – that is, state ments related to future, not past, events. In this context, forward looking statements often address our expected

future business and financial performance, often contain words such as “expects”, “anticipates”, “intends”, “plans”, “believes”, “seeks”, “should” or “will”. Forward -looking statements by their nature address matters that are, to different degrees, uncertain. These uncertainties may cause our actual results to be materially different than those expressed in our forward -looking statements. We do not undertake to update our forward -looking statements.

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MANAGEMENT : MR. P. S. REDDY – MD & CEO, MULTI COMMODITY EXCHANGE OF INDIA LIMITED
MR. MANOJ JAIN – CHIEF OPERATING OFFICER , MULTI COMMODITY EXCHANGE OF INDIA LIMITED
MR. SATYAJEET BOLAR – CHIEF FINANCIAL OFFICER , MULTI COMMODITY EXCHANGE OF INDIA LIMITED
MR. PRAVEEN D G – CHIEF RISK OFFICER , MULTI COMMODITY EXCHANGE OF INDIA LIMITED

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Moderator : Ladies and Gentlemen , Good day and welcome to MCX Q3 FY23 Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing ‘*’ and then ‘0’ on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. P. S. Reddy – MD and CEO, MCX. Thank you and over to you , Sir.

P. S. Reddy : Thank you. Good afternoon everybody . Welcome to this analyst call. Along with me our Chief Operating Officer – Manoj Jain and CFO – Mr. Satyajeet Bolar and Praveen D G, he is the Head of Investor Services , is there and I would start with my comments on the results.

Yes, this quarter in terms of revenue from operations has been exceedingly well, thanks to the options contracts that have done really great and helped us to tie over the situation, but you all know that technology platform has let us down. We could not migrate it whatever maybe the reasons and now that we have negotiated once again and then there is a non offer kind of thing I mean there is nothing called a one quarter offer or anything but let us say two quarters minimum and that is the way we went ahead and then taken additional two quarters.

For each quarter we will be paying 81 crores that is again it is going to dampen our future results, but I think our focus at this point in time is something inevitable, it is inevitable and we as an exchange which have been charged with the responsibility of making the platform up and running 24 x7 we have no choice. It is a responsibility that

we have to discharge vis -a-vis with SEC Regulations otherwise and I think that is the in one sense we are feeling proud that we are being trusted and we have been given this responsibility of running the platform.

On the other hand we are feeling that it is a what should I say it is a point of weakness for which region we had to pay without much negotiation whatever has been asked for that is the way it happened, but anyway our focus should be to make sure that our Multi Commodity Exchange of India Limited
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revenues increase going forward by introducing more commodities as well as deepening the existing lines of products and other than these expenses whatever we have supposed to be incurring in the next two quarters that is the current quarter and then quarter in first quarter in the next year all other expenses we will make every effort to keep them under control I think that is what the focus has been at this point in time. I mean everybody is very supportive of this particular approach and we are hopeful we will be able to make the platform live within this extended time that we have got. With these words, I will leave it open to all of you for questions if any on our results. Thank you.

Moderator : Thank you. We will now begin the question -and-answer session. The first question comes from the line of Mohit Kumar from DAM Capital. Please go ahead.

Mohit Kumar : My first question is sir what is the timeline we are looking for the implementation of new software and do we have anything which we can get from TCS because of this huge delay?

P. S. Reddy : As far as the timeline is concerned I think as I said these two quarters are available, but we will not fully consuming that is not our intent. I think as early as possible we should go ahead and that is what the plan of action will be. We propose to launch mock as we did earlier. Again , we will release a full force mock to the member, brokers in this month and members also will be given a very clear roadmap within this period when we will exactly go live, but we will be com

municating it, but I cannot specify the date, but this is the roadmap. Now as far as TCS is concerned of course it is also driven by the agreement and agreement does provide for penalties we service the delay in implementation or delay in go live .

Mohit Kumar : So, when will we get the entire clarity on the timelines?

P. S. Reddy : In the next one month to one and half months.

Mohit Kumar : My second question is sir of course the software implementation happening as of now, but do I have any plan to launch the new contract especially given that the SEBI has allowed, the stock exchange has launched multiple contract at the commodity, are we working on some long-term measures?

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P. S. Reddy : The mini contract is what SEBI has permitted and I think we have already applied to SEBI. We are expecting any moment approval from SEBI for launch and as soon as we get it maybe we will be able to launch it .

Mohit Kumar : Are you looking at multiple contract across multiple commodities or it is only restricted to some particular?

P. S. Reddy : No, we have deployed three of them at this point in time base metal contracts. We have also applied in energy products also I mean we will be applying because the regulatory process within the internal within MCX is on. So, once that is done we will sent it to SEBI for their approval the energy contracts.

Mohit Kumar : You said metals is it , energy sir , you said there are three products which you are looking to launch right?

P. S. Reddy : No, I am saying in energy , you have two.

Moderator : Thank you. The next question comes from the line of Avinash Singh from Emkay Global. Please go ahead.

Avinash Singh : On that software contract so my question is like due to this ad -hoc role over of this contract over three quarters perhaps you will end up being almost like a 180 crore or so extra, you had expected a cost saving by shifting from one vendor to the other, now what kind of payback period if we were to sort of keep in mind this 180 crore cost, what kind of payback period or will they allow to save you this much of cost you can just provide some colour to understand the difference between these two contracts?

P. S. Reddy : No, I think in the case of the TCS contract we said that it will write off over a period of 6 months and there may not be much difference because of the depreciation being

also high I mean after 6 years also it will see that results. Whatever we have incurred now it is not a capital expenditure it is a revenue expenditure. So, obviously it is kind of done and gone out of our this one. I do not think we can amortize any of this and then say that the payback is changed I am not comparing it that way.

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Avinash Singh : For these three intermittent quarters so assuming that the second quarter of FY24 you are on to a TCS contract, will the software expenditure run rate be similar to where it was till Q2 of this year?

P. S. Reddy : Should be that is what I am saying it should be that way. EBITDA will be better, but the depreciation will be added little more that is what it is.

Moderator : Thank you. The next question comes from the line of Sujit Jain from ASK Investment Managers. Please go ahead.

Sujit Jain : Sir if you can give the transaction fee for options for this quarter?

Satyajeet Bolar : 53 crores.

Sujit Jain : And for the other operating income then comes at 26 crores for the quarter right?

Satyajeet Bolar : You said option it is 53 crores was from

Sujit Jain : From 143 minus 53 minus 64 crores from future balance the 26 crores other operating income. So, higher compared to base quarter as well as QoQ what leads to this higher number?

Satyajeet Bolar : See one is we have been able to through our vault charges because this is a consolidated

figure which it also includes by comparing the consolidated which also includes the revenue that we have got from vault charges.

Sujit Jain : So, that would be there in the base as well?

Satyajeet Bolar : Yes that is right. So, mainly it is a transaction charges on options and also as a clearing corporation gets lot of some margins in cash which is then deployed and which is forming part of our operational income.

Sujit Jain : And this charge that you mentioned which gets paid to 63 months for other quarters 61 crores, so the way to look at this is basically you pay roughly 4.5 crores for quarter plus 10% of transaction fees and then that works out to something 16 crores, 17 odd crores, amount over and above that is actually the additional charge that is to be paid in this quarter that is the way to look at it right?

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Satyajeet Bolar : You see usually we pay 15 crores per quarter under the old agreement or little less depending on the volumes obviously these are turnover based fees and instead of paying 15 crores we paid 15 plus 45 crores in the quarter ended December and in the next two quarters is going to be 81 which means about 65 will be extra.

Sujit Jain : And the other thing is that if you can just give the split so, for example, there will be some portion of quotation fees that are being paid to CME which will be a part of a 67 crores software support and produce license expense for the quarter, how much that number would be?

Satyajeet Bolar : That is the balance 67 minus 60.

Sujit Jain : And in terms of the mini contracts just to understand this just correct me if I am wrong anywhere is that you already have mini contracts in bullion both silver and gold, it is in base metal and in energy you will be launching them right?

P. S. Reddy : Subject to approvals yes.

Sujit Jain : So, that will probably lead to higher ADTV eventually in options and apart from that in gold you have bi monthly contract, do you have a monthly contract in gold?

P. S. Reddy : Gold monthly is there.

Sujit Jain : Which is a monthly contract?

P. S. Reddy : That is right.

Sujit Jain : Is there a further case of reducing the size of this going for a lesser maturity and therefore expecting higher volume even from there in any of the commodities from where we are currently in terms of the maturity of a contract?

P. S. Reddy : No, these are all the combinations that we keep discussing and then working with the regulator and we did look at the monthly fortnightly contract, etc., in options. I think as we go along I think we will try to move and make an attempt to launch such contract subject to regulatory approval.

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Sujit Jain : Which of the commodities where you have fortnightly contracts and which are the ones that eventually you will be launching?

P. S. Reddy : We do not have any so far .

Sujit Jain : But eventually in future there is a possibility?

P. S. Reddy : That is right.

Sujit Jain : And one last question is how much of your commodities which are to be compulsorily converted into physical delivery end of the contract period gets actually into delivery, so you give some data from the inception till date you also give every quarter how much got converted into in terms of tonnage, but in terms of percentages of the notional value how much actually gets converted into physical deliveries?

P. S. Reddy : See as I said we are a last resort for delivery and the commodity I mean these derivative markets are not meant for delivery as such. Delivery is only a threat to the people to make sure that prices move in tandem with the spot prices. So, going by that the percentage will be 1%, 2% of the total ADTV or even less. So, it depends on that kind of situation that is the way it is.

Sujit Jain : So, you are sa

ying at exchange level across all commodities put together it will be somewhere between 2% to 3%?

P. S. Reddy : Commodity also comes to that only each commodity also comes to that only.

Moderator : Thank you. Next question come from the line of Prayesh Jain from Motilal Oswal.

Please go ahead.

Prayesh Jain : Firstly let me just clarify this you like for the past three quarters from the time this TCS contract has been getting delayed three, four quarters we have been saying that the impact on cost which includes the software cost and adding depreciation or amortization whatever it is together will not be any difference from what we were paying pre the extension, but post that our volumes have really searched, do you still think that there will be no implications even at the current volume, at what volumes really that will make us start making a difference?

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P. S. Reddy : See the question that has been asked all along is the contract with 63 moons that is prior to September versus the TCS contract, would that yield any higher which is leave more margins on the table is what usually being asked, it is not vis-a-vis our ADTV or the volumes. So, it is in that context we have been saying it, it does not make much difference because in one case the fee itself is high and the other case it in the form of amortization etcetera. At the end it will be high so at the end of the day the net profits will be more or less will have the same contract under both that contract but having said this you have seen our fixed cost are by and large our fixed cost are under control. The only difference marginally it would have been made is because of the increase in volumes we would have also ended up paying more to 63 moons our vendor had it been a revenue linked contract vis-a-vis the TCS contract, but that would not have been so much of a difference that is the way I look at it. You are right to that extent of variable payment to be paid to the vendor vis-a-vis TCS platform.

Prayesh Jain : Sir at current volumes whatever we have today in Q3 of options and futures and let us assume that this was not at 60 crores in this quarter let us assume it was 15 crores, but still it would not have been more profitable in case we were on TCS software that is the right assumption to make?

P. S. Reddy : That is right and in fact had we had the same trend continued with whatever the pre-September probably our net profit would have been about 92 Cr something of that kind.

Prayesh Jain : Our second part of the question is on the product launches so earlier you had mentioned about monthly options on gold contract would be on the new software, do you still stick by that or would you launch on monthly contract on gold, monthly options on gold futures on 63 moons software as well?

P. S. Reddy : See we do not have a problem in launching the current platform, but if I launch it when I migrate it I must ensure that all existing products are seamlessly migrated to a new platform. So, we need to see that first tested in the new platform. Once that is there then I can launch even the current platform also so that we know it will seamlessly migrate that is the issue.

Prayesh Jain : And sir could you just give me step by step approach to this in the sense that what are the milestones that you would be looking at now you are doing the mock again

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complete full mock again then whether you will have parallel runs across commodities, so what will be the milestones of this transition?

P. S. Reddy : One is that parallel mocks will be done mock is with the member brokers , etc., and that will be for a long period and parallel runs are also done simultaneously which is internal to us. We will take the data from the existing system and pump in the data in

to the new

one and see the output whether they are coming properly or not. So, that is a parallel run. So, you can do it in a day two, three parallel runs also, two, three days data you pump in each day and then you look at the results so that is another part of it which simultaneously we will be looking at it. The third dimension is performance optimization. So, while we have targets achieved in the NFR to the current production requirements in the nonfunctional requirement NFR means. So, that is already achieved, but when you put all the security apart from the system and then see how it behaves. So, cyber security related aspects are also already implemented. So, the audits also we have to do it after performance valuation is done, performance testing is done post implementation of cyber security and other various security measures then we will have to get it audited both system auditor, VAPT all the cyber security audits then thereafter we will go live that is the process.

Prayesh Jain : And sir one more question on the TCS contract so in case you are ready to move to TCS software say earlier by 31st itself you are ready to shift by all these steps that you have mentioned are all done by 31st March, do you still have to pay for Q1?

P. S. Reddy : It is take it or leave it for two quarters kind of contract that is the way it is that is why we have to.

Prayesh Jain : In a way 53 will there for two quarters or whether we have to pay for it either ways?

P. S. Reddy : That is right.

Moderator : Thank you. Next question comes from the line of Parth Agarwal an Individual Investor. Please go ahead.

Parth Agarwal : I just wanted to know the cash balance on the books?

P. S. Reddy : 918 crores as on 31st December.

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Parth Agarwal : And just a second question so the platform that you are trying to develop versus the existing platform of that we source from 63 moons , is there any stock difference between the same or are we just trying to replicate the existing platform?

P. S. Reddy : See functionality there will be some superior features will be there, but at this point in time ever since we sense that delay we have given what you call a core functionalities which are needed as usual as basis kind of thing. So, we are going ahead with all these functionalities which are needed for us to run the market as we have today that is the way I say and the other forward -looking features will be coming up in Phase -2 post-go-live.

Moderator : Thank you. Next question comes from the line of Nikhil Abhyankar from DAM Capital. Please go ahead.

Nikhil Abhyankar : Sir did you mention the quantum of liability clause for the TCS due to the delay in the contract?

P. S. Reddy : I think these are specific to the contract it is not good to disclose.

Nikhil Abhyankar : And sir also about the product launches so when are we looking to launch the electricity contract?

P. S. Reddy : The long pending wish of us it is now almost 2 years I mean I think only when it comes I can say yes it has come, but till then I do not want to make any promise, but then our efforts are there constantly, we are at it requesting the regulators to approve it.

Nikhil Abhyankar : And just a final question sir if we get the approval for the three contracts on SEBI for the mini contracts before say June 31st and we are still using the old current system, so will we still launch these products on the old system?

P. S. Reddy : Yes there is no problem on these, these are simple variants that is all there is no problem.

Moderator: Thank you. Next question comes from the line of Umakant Sharma from Safe Enterprises. Please go ahead.

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Umakant Sharma : I have a few quick questions firstly when do you intend to start the mock trading with

the new tech

nology partner and how long would you needed to run it parallelly to make sure that both the new platform runs effectively because I am asking this question in light of the fact that BSE when they had to run it parallelly for nearly two years, so could you throw some colour around that?

P. S. Reddy : See it is all depends on how intensely we will be undertaking this activity maybe BSE we have done it for two years somebody else may have done it for 6 months and it all depends on again what is the preparedness of the exchange on this, as you know on 7th November we launch mock trading for a long term for a month and of two months it has continued then after picking up all the observations , etc., we have again refined the system and we will be launching in this month. So, since we have the time we will be able to do little longer mocks, but it is important for us to ensure that all the members participate. So, that is where we have been handholding them and in fact I would say 90 plus percentage of the business is covered by the members who have participated in this almost 380, 390 members have participated unique members in that sense. Everybody may not participate every day that is the different matter, but everyone has tested the systems and in the second run what we are planning I am sure the maximum number of participation will come through. So , coming back to your question there is no standard reply for that or standard that is established. As long as we get the zero in the defects and as long as the number is keep tampering off I think that is we have done kind of things and as I am speaking internally everyday testing is taking place, every day I mean it is almost about 30 people testers are doing it. So, it is not necessarily member themselves do it, in the name of members in the sense some members IDs are created and our own people are testing it as if they are the members. So, I am sure that also goes a long way in refining the system.

Umakant Sharma : Sir a few quick other questions sir we are paid nearly 60 crores to 63 moons for a September, December quarter and committed about another 162 crore till June, so would it be more prudent enough for us to buy of the entire IP asset from 63 moons technologies at a mutually agreeable price even let us say if it is a 1,000 we can write it off and we can capitalize and write it off over the next three years, would not be a much better prudent thing to do?

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P. S. Reddy : See we have to keep the interest of all stakeholders in mind when we take in addition that is how the board has approached it and we are also a public institution. So, whenever we get into any negotiations , etc., it has to be a very transparent approach. So, that is why we have floated an RFP . Probably had 63 moons chosen to participate at that time we would have definitely evaluated and maybe they would have scored a few brownie points and few points also to their credit having been an existing vendor, but they chose not to participate. So, that has caused some kind of this one, but yes , it is behind us , I do not think we will be able to revisit this issue at this point in time.

Umakant Sharma : And just one final quick question so there has been too much of back and forth in terms of this whole migration from technology standpoint and we investors we see the numbers getting hit on the profitability side for our company, so is there a possibility that you could evaluate that the board could evaluate rather in terms of terminating the relationship with TCS and retain 63 moons and we continue the operations in status quo?

P. S. Reddy : We will take your suggestion before the board.

Moderator : Thank you. The next question comes from the line of Harish Iyer an Individual Investor. Please go ahead.

Harish Iyer : Sir again my question is more fundamental

sir in our meeting with various investors and specifically on 16 November, we have said that the overall cost and which even today you mentioned it will be at the same level which we are paying to 63 moons , so in a nutshell we are paying the same cost and we do not own IP and eventually we again few years at the mercy of TCS because again we have to buy out IP from that, sir again this question is more fundamental technology is the heart of the business and even sir the market feedbacks are not encouraging regarding the new technology while we are putting these entire system at risk and there is a clear cut existential risk for the MCX stock exchange because sir time and again the deadlines have been extended and even today we are not sure when this will go online, so these are really serious concerns and obviously you and board is working in the interest of shareholders, but right now it is completely going on against us because even at the current volume if we take this

cost next two quarters we are going to make the loss. We have already spent 15% of the net worth for this cost alone. So, there is no rationale as such for us to go with the Multi Commodity Exchange of India Limited
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change in technology, you yourself has mentioned there is no difference between the two technology. So, I am really baffled understanding what is the reason for all these changes I mean we are just incurring heavy cost here and which is ultimately hitting not the net worth and bottom line, but really shareholder value and these are really critical questions that management and board have to rethink?

P. S. Reddy : I think I have never said that there is no difference between the two systems you see there are technologies issues, there may be differences, there are differences when it comes to the financial impact of these 63 moons platform versus the TCS platform from that point of view you said it does not make in the next 6 years any great difference. I did not say that technologically whether there are different or not different I do not think that comment I have ever made. Having said that I mean as I said that this is the decision which we cannot take at this point in time and I am sure even you all are aware that we have seized up this matter with a great reluctance that this contract had to be extended as in the beginning I said we are responsible to make sure that the markets run and it is that regulatory obligation which drove us to discharge our responsibility and maybe that is also our weakness in that sense that somebody or anybody can misuse.

Moderator : Thank you. The next question comes from the line of Lavanya Tottala from UBS Investment Banking. Please go ahead.

Lavanya Tottala : So, here on the new product launch I just wanted to get clarity that once our gold monthly contract options are ready we are fine launching it even on the existing platform, is the understanding right?

P. S. Reddy : What we want is that once it is tested in the new trading platform and then we will be launching in the existing that is the way I said. So, when actually we migrate it all the existing contracts will be seamlessly migrated to new trading platforms.

Lavanya Tottala : So, this has to be ready in the new one first then?

P. S. Reddy : New one first that is right.

Lavanya Tottala : But this is in the case for the mini contract?

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P. S. Reddy : Mini is not, Mini is a plain vanilla futures contract.

Lavanya Tottala : Other one is on like timelines or the deadlines which we have for TCS so this is the second mock trading session which we are doing, so is my understanding right that parallel run will start from the second mock trading which we do or this parallel line is happening simultaneously?

P. S. Reddy : Parallel run is simultaneous in the parallel

run members will not participate it is just that you take the data all orders you take it, pump into the system, get the outputs, match it with the whether the 63 moons output as well as the TCS output is the same or not these are the parallel runs which are backend it happens. Mock is actually members brokers participate which runs whatever is the timeline and different orders are placed all that kind of thing. So, the mock is critical parallel run is important anyway we have to ensure data integrity the outputs are the same no doubt about it.

Lavanya Tottala : Now the parallel run is happening currently or is it yet to start?

P. S. Reddy : Yes it is happening parallel runs are happening.

Lavanya Tottala : Sir can you just help us understand what are the key issues that you are facing with TCS platforms like any broad top key issues that you want to highlight?

P. S. Reddy : The key issues that we have faced up the TCS systems team have faced the integration challenge and I think now they have overcome and the seamless flow of data and between the T7 and the banks and then again back and forth it happens while going through was the challenge that was the major challenge as I said. So, that has been addressed I think we should be able to now fix other functionalities.

Lavanya Tottala : And on the TCS one which you have highlighted are software charges and amortization so the benefit of this on EPS would not be there for 6 years also you are highlighting, so we need to assume that at the current volumes it is the same, but as the volumes increase we should be seeing incremental thing?

P. S. Reddy : You are right madam.

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Lavanya Tottala : So, for the current volume it is same, but as the volume increase we should be seeing even at the EPS level because if it were our older contract debatable cost would have increased along with the volume, but here incremental there would not be any impact?

P. S. Reddy : That is what I said so that impact has come now also, but unfortunately because of this lumpy payment of 60 plus 80 kind of thing 81 kind of thing that is completely they are lost, but otherwise you would have seen that kind of thing.

Lavanya Tottala : Sir one last question if I may ask so this higher other income which we are seeing this quarter and the previous quarter so this is largely driven by what I just missed in the earlier question?

P. S. Reddy : The transaction charges that we have earned on options largely by options.

Lavanya Tottala : No actually other operating income is also high in this two quarters?

Satyajeet Bolar : That is basically on the margin money that we have received from our members as part of our clearing and settlement operations which is then deployed into short term instruments.

Lavanya Tottala : So, is it because we have higher margin requirements now that this increased?

Satyajeet Bolar : Not margin requirements volumes have gone up means more margins will come. So, more margins means again if it is a cash margin then definitely you earn more.

Moderator : Thank you. We will go ahead with the next question that comes from the line of Pratik Dharamshi from Safe Enterprise. Please go ahead.

Pratik Dharamshi : Just a couple of questions from my end so in terms of payments to TCS, so can you quantify how much money we have already paid to TCS for software as well as hardware so far?

P. S. Reddy : You are asking how much has been paid.

Pratik Dharamshi : How much have we paid to TCS ? Can you quantify in terms of software charges, hardware charges so far?

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P. S. Reddy : See as we have been saying that the contract is confidential if I disclose it now every quarter how much we are paying incrementally then you will know that full price of the contract. I think it

is not advisable to disclose it in this manner, but overall, whatever is IT expenditure it contains in that, that is the way it is.

Pratik Dharamshi : It is all part of a CWIP?

P. S. Reddy : Capital work in progress that is right.

Pratik Dharamshi : In the second one you mentioned by June you should be through with the transaction to TCS am I understood?

P. S. Reddy : That is right.

Pratik Dharamshi : Within the two quarters from now you should transition to TCS that is the timeline you are setting?

P. S. Reddy : Yes.

P. S. Reddy : Understood thanks a lot.

Moderator : Thank you. Next question comes from the line of Jainam Ghelani from Stallion Asset. Please go ahead.

Jainam Ghelani : So, I just have one question . The rest of my other questions have been answered how do we plan to diversify the product resistant option because as of now I guess mainly we are quite dependent on energy contracts?

P. S. Reddy : Yes.

Jainam Ghelani : How do we plan to diversify this like are we planning to get a product or commodity....

P. S. Reddy : If you see that some traction is seen in the gold options as well you may have seen it, but it is a bimonthly contract and the volume this is very big and that is where the premium will be higher. We propose launching the monthly contract. I think once the system updates are done then we would like to launch that also. We have received the permission as we have last time also told, but then that its holding its back.

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Moderator: Thank you. Next question comes from the line of Amit Chandra from HDFC Securities. Please go ahead.

Amit Chandra : Just to understand how confident are we in terms of the transition that has to happen in the next quarters and also in terms of total around 500 numbers that we have, how many

of them have started the mock trading and is there any issues in shifting the smaller brokers to the platform or mostly some of the larger ones the large numbers have already shifted to that platform?

P. S. Reddy : See as I have said that almost 380 plus have already participated who accounts for 90% of our business. So, that is not an issue in that sense and we need to say a clear roadmap to that telling them that by such and such date we will be moving and all of you prepare yourself is something which we need to declare. So, that we will do it after the steps that I have already enumerated earlier are done and that is what we are working now and maybe the performance fine tuning and other issues will be addressed then thereafter we will be able to release the plan of action for roll out for going live , but it has to happen before the 30th of June no doubt about it. I think we paid through nose and I do not think any one of us can justify anything going beyond this.

Amit Chandra : As per the regulatory requirement is it required that all members to shift to the new platform then only you can start with the new shift or we can shift with some of the people being on the old platform or within calculated membership or something of that sort, so as per the regulatory body through regulation in terms of the shift?

P. S. Reddy : I mean irrespective of regulation I do not think there is any specific regulation you need to give adequate time to the participants. So, from last year May, June onwards we have been telling them what will be the file formats and etcetera. So, adequate notice has been given and some of the members if they are left out they are left out we cannot help it, but this is what the solution is maybe those ones who are thinking that the commodities business is marginally adding whereas the shifting to a new platform will add to their additional costs then they may choose not to join, but then it is up to them we cannot assess for them in that sense or we can delay for them.

Amit Chandra : And sir on the options

o you have mentioned the active participations around like 3 lakh people trading on options and that number has almost like tripled YoY and there
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is a similar number for futures around 3 lakh on a YTD for options and futures, so what is the overlap between these options and future, so is it like billing option traders or there is overlap between option and future?

P. S. Reddy : There will be some overlap no doubt about it, but we do not have immediately those overlap numbers, but there will be overlap no doubt about it.

Amit Chandra : And this still is like around 3% of the total UCCs that we have is there a chance that this can go up because if I see the total volumes the active trade per active participation comes around roughly 2 lakh which is small as compared to what is there in the exchanges, so can this increase or we can see there is increase in the acquisition almost doubling from here on also?

P. S. Reddy : I think one is that cross market comparison is like comparing apples and oranges. The reason being that ours here is one lot contract buying one contract means one lot means it is few lakhs unlike in equities you can buy one share and two shares and 10 lakh, 50 lakh. So, there any number of participants can come that cannot come here. The margins they have to pay for each lot I mean if it is a 10% margin on 3 lakh or 5 lakh minimum in this range and it is Rs. 30,000 to 50,000 get stuck in just one contract. So, let us not draw that comparison for the sake of proper analysis of what we are talking about. The second thing is as explained in some of the previous calls also the total number of UCC is uploaded is not the right benchmark against which we should be doing it because member brokers now are unified member brokers. So, when they are taking the client consent they are taking the client consent for across all products and then uploading in all the data basis. So, who knows tomorrow the client may choose to trade in commodities so need not call for additional set of data on the information or papers. So, that is the reason why the members are doing that. So, my suggestion would be that we need to see what is the growth we are making, how much incrementally we can increase the growth is what we are all focusing then setting our eyes on the total UCC base that is the way I approach this.

Moderator : Thank you. The next question comes from the line of Amrisha Kakar an Individual Investor. Please go ahead.

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Amrisha Kakar : So, just one relating to SGF it is any visibility you can provide us for the later status on RMRC decision on fungibility of the SGF?

P. S. Reddy : SGF is about 575 crores or something like that ...

Amrishi Kakar : Not the amount the decision on whether we can take money out of SG F from the market?

P. S. Reddy : I think something of that kind was discussed that is what our clearing corporation people who attended the meeting of RMRC, but unless the minutes come and final addition come in the form of a surplus we do not know what exactly the outcome is going to be.

Amrishi Kakar : So, we should expect maybe in some time in year also?

P. S. Reddy : Hope so.

Moderator : Thank you. Next question comes from the line of Sanket Godha from Avendus Spark. Please go ahead.

Sanket Godha: Sir, on this mini contract just wanted to understand that when you have acquired for this SEBI approval it is only for the futures or you will launch them in the options too especially in the base metal which is not there today?

P. S. Reddy : Well at this point in time we ask for the futures because for launching options you need to have underlying future act too and there should be a minimum turnover of so much then only you can ask for this one options.

Sanket Godha: Second thing

, I think this question has been asked this 26 crores other operating revenue can you tell me how much of the 26 crore is money made on margin money, float on margin money interesting command on margin money?

Satyajeet Bolar : Around 17 crores.

Sanket Godha: And finally, sir just wanted to understand we have floated a white paper on block of margin money, so which is like an ASBA for the secondary market, so if it gets implemented thoroughly then do you see any sort of exchanges also the float income Multi Commodity Exchange of India Limited

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almost disappears though it is optional assume everything goes ASBA way, in the secondary market too then risk to the margin money with 17 crore in the current quarter is there?

P. S. Reddy : See the ASBA model is not the margins I understand, margins have to be deployed with the exchange anyway I think this may be related to the pay-in and payout related model, but it has been worked out, it is being still discussed and yes if you really say in that sense let each investor maintain an escrow account kind of thing, the banks and then put all the money there and then only exchange or clearing corporation will access it as and when there is a default otherwise it will remain there only. Yes you are right it may happen, but we need to look at the operationalization of it how they were going to operationalize let us wait and see maybe it is too early for us to understand the model.

Sanket Godha: And finally sir this again on 63 moons see we are paying almost 65, 65 plus 45 which is like 180 crores extra so to 63 moons over three quarters and I believe TCS cost might be best case 1.6 x or 1.7x of the extra amount what we are paying to the 63 moons, so means in the hindsight if you see then what potential saving which we would have done seems to have not played off because of the delay in 63 moons so I know this question has been asked in different ways to you, but honestly we have not achieved ultimately the end objective which we wanted to have a fixed kind of a cost model rather than depending to the turnover cost?

P. S. Reddy : Well we embark on a good intention to implement it on time and then bring in savings to all stakeholders, but somehow we missed the target here and but then it should be behind us is my firm belief and that should not pull us down and as I said I repeat also our focus is not we are now paying to 63 moons it is gone for me and what our focus should be to increase our top line and keep all other cost under control if these two are done I think we are done of course as technology platform we will implement that is how it is.

Sanket Godha: If 63 moons was a normal contract in third quarter as it was in Q2 then probably we would have made a 84 crores, 85 crores of profit, but I think in one of the questions you have answered that if we would have been at TCS contract the profit the profit what we would have made would be 92 crores, so should I make an assumption that if

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we would have been on TCS contract today, in third quarter the extra profit we would have made would be closer to 7 crores, 8 crores?

Satyajeet Bolar : This is subject to EBITDA to depreciation. So, MD said is before EBITDA. The

amortization factor would also come in for the new projects I think just keep that in mind because depreciation factor also has to come in.

Sanket Godha: Thank you. Next question comes from the line of Sanjay Kumar from iThought PMS. Please go ahead.

Sanjay Kumar : First is on the income from the margin I mean if you could help us model these numbers going forward.

P. S. Reddy : Sorry.

Sanjay Kumar : The 17-crore income from margin I mean it has been going up for the last two quarters is there a way to ...

Satyajeet Bolal : Earlier quarter it was around 12 crores so this quarter

it is around 17 crores so the

margin money is in the range of 1,000 crores in cash so that as per the SEBI guidelines then deployed in liquid overnight funds or fixed deposits that is the way it is deployed.

Sanjay Kumar : So, this will track the options growth is it?

P. S. Reddy : It is essentially to fund the additional activity that is taking place which is struggled by volatility not necessarily for options it is just money is available for trading in any products futures or options.

Sanjay Kumar : Second IEX is talking about policy to create a framework for any of coal exchange, so if you could help us understand what does it mean for us since we are also talking about coal exchanges key growth drivers going forward?

P. S. Reddy : The directions of the ministry of coal are still awaited. They are also working they have appointed a consultant and who will be giving the framework I mean in one of the conferences it was mentioned by the coal ministry official that the framework will be Multi Commodity Exchange of India Limited

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ready by the March then thereafter they can look at it. Meanwhile we have requested SEBI to give us in principle approval so that is the status at this point in time.

Sanjay Kumar : But will both IEX and MCX they allowed to operate?

P. S. Reddy : That we do not know you see whether coal ministry wants one exchange to run or anybody can compete maybe anybody can compete, but MCX has what you call MoU with Mjunctions so that is the way at this point in time the relationship is defined.

Sanjay Kumar : Next there were news article about MCX requesting support from NSE for using their platform and allegations or possibilities of reverse mergers, so any comments on that we shareholder should know about any of these?

P. S. Reddy : Tying up a technology I mean alternatives we were all exposing, but then that is all behind us. There is no point in dwelling on these issues now.

Sanjay Kumar : Any transaction fee hike post new platform from the current 2.1 lakhs for futures or 1 lakhs for options?

P. S. Reddy : We are not looking at it I think it is too early for us to give any kind of guidance on this.

Sanjay Kumar : So, if we get the electricity derivatives approval before June 2022 will we launch it in the current platform or that will be deferred?

P. S. Reddy : I think we should be able to launch because in both the platforms it has been provided .

Sanjay Kumar : Final question on currency so any plans of getting into currency derivatives since it kind of compliments commodities?

P. S. Reddy : We are yet to get hold of one trading platform first then we can look at other platforms other products later, but yes your thought is good in that direction and that is the way one should think through.

Moderator : Thank you. The next question comes from the line of Ansuman Deb from ICICI Securities. Please go ahead.

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Ansuman Deb : My question is regarding I remember we were discussing at the software cost which comes above EBITDA would be materially low compared to what was there earlier, so the depreciation would be that high to make the overall cost equal to what was there till September 22 that is my first question in a way I am trying to understand that this was all the way our guidance that the PAT level there will be no change for the next 10 years if we shift a technology?

P. S. Reddy : Not for 10 years as I said for 5 to 6 years that is what the agreement is for and thereafter it is only we pay a very AMC which a very single digit AMC if you pay then you can use it on your own that is it and there is nothing else, but why this is so going to be high is completely entire hardware is getting replaced because the hardware what we are

having and one needed for the TCS platform is totally different. So, that is the rea

son

why it is going to undergo change.

Satyajeet Bolar : This will also be a mortized I mean the hardware is generally amortized over a period of 5 to 6 years while the software maybe it is again for 6 years to 7 years so that is why amortization, depreciation cost would be high.

Ansuman Deb : I just wanted to verify that there has been no time during the last 6 months, 7 months that there has been any change in the TCS terms and conditions?

P. S. Reddy : No change in the terms and conditions.

Moderator: Thank you. The last question comes from the line of Subramanian Iyer from Morgan Stanley. Please go ahead.

Subramanian Iyer : Sir actually just wanted a clarification on the question the previous participant asked basically why do you say that for the next 5, 6 years we will be at the same level because the depreciation will be a fixed number I mean once the CAPEX is known and the duration is known and also the fee amount will also be fixed, so that part I did not follow?

P. S. Reddy : The way that I am looking at is the cost component, cost related to technology will be one is the varia ble and here the variable will not be there, but then in the form of huge depreciation it will come and some maintenance charges will be there which will be again fixed item. So, these are the two items which will come and irrespective of your Multi Commodity Exchange of India Limited
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top line thi s one is going to be top line in terms of revenue from operations will be fixed, but the only element as earlier also we discussed is the variable component will not be there to that extent the current charges whatever we are paying to the 63 moons is what we are comparing with the TCS contract, but if the present volumes increase double today you are having a 30,000, 31,000 crores of option if it goes to 60,000, had the previous platform continued and we would have paid more of that one that element will n ot be there. I am talking about at this given volumes they will be balancing out.

Subramanian Iyer : So, basically the 6 years you are saying is because you plan to amortize the CAPEX over a 5-year, 6-year period so after that is that right?

P. S. Reddy : In 5 years, 6 years we will be having a huge growth. So, obviously you would not have heard that maybe a quarter would have gone to the payment of fees to the vendor had it been linked to the volumes that is right.

Subramanian Iyer : And sir given that in t wo quarters from now you would anyway be on the TCS platform what prevents you from giving a broad basically estimate of what is the ultimate CAPEX going to be and the ultimate terms and conditions it would just prevent so much confusion?

P. S. Reddy : I think we will do maybe sometime in the first quarter of next year we will do that definitely.

Subramanian Iyer : And one last clarific ation that I would like to take so given that you have a liability clause with TCS as well, so if TCS delivers the platform o n say in July do they still have some liability or is it only if they delay beyond July that the liability comes into play?

P. S. Reddy : No already liability has kicked up because we were to be delivered by July last year. So, September also they could not deliver in. So, that has kicked in, but we will see when to invoke that is how it is.

Subramanian Iyer : And would that be I would say reduced from the 160 crores that you are going to incur in the next two quarters or basically you might just tak e it in the CAPEX I mean you will adjust it against the CAPEX?

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P. S. Reddy : You see how we recover, where to adjust and other thing is not a material point, but we need to maintain we cannot burn a bridges with the existing new vendor also and we need to m aintain good relations to ensure that this platform continues, do we get that good service from

the new vendor and we will see how to approach it.

Moderator : Thank you. Ladies and gentlemen that was the last question for today we have reached the end of q uestion -and-answer session. I would now like to hand the conference over to Mr. P. S. Reddy for closing comments.

P. S. Reddy : Again, I thank all of you for patiently following the analyst call and stay invested and

we would like to do our best whatever t hat we can do to ensure that the company does better quarter after quarter. Thanks to all of you. Thank you very much.

Moderator : Thank you. On behalf of MCX that concludes this conference. Thank you for joining us, you ma y now disconnect your lines.

Call: May 2023

MULTI COMMODITY EXCHANGE OF INDIA LTD.

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CIN: L51909MH2002PLC135594, info@mcxindia.com MCX/SEC/2223 May 30, 2023

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BSE Limited,

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Scrip code: 534091, Scrip ID: MCX

Subject: Transcript of calls with Investor/Analysts

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 read with the SEBI (Listing Obligations and Disclosure Requirements) (Second Amendment) Regulations, 2021, please find enclosed herewith the following transcript of the call with investor/analysts:

Sr.

No Investor/Analysts Date Time Annexure

1. WF Asian Smaller Companies

Fund Limited May 23, 2023 12:00 PM Annexure - A

The said transcript is also uploaded on the website of the Company at <https://www.mcxindia.com/investor-relations/ir-meetings>

Further, we hereby confirm that no unpublished price sensitive information was shared/discussed during the said meeting.

Kindly take the same on record and acknowledge receipt.

Thanking you,

Yours faithfully,

For Multi Commodity Exchange of India Limited

Manisha Thakur

Company Secretary

Encl: As above

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Meeting with

Ward Ferry (WF Asian Smaller Companies Fund Limited)

May 23, 2023

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Annexure - A

Multi Commodity Exchange

May 23, 2023

MANAGEMENT : MR. P.S. REDDY – MD & CEO
MR. SATYAJEET BOLAR – CFO
MR. DG PRAVEEN – CRIO

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P. S. Reddy: Good morning or good afternoon, Mr. Aman and Mr. Nicholas, welcome to this Investor Call. And please go ahead and fire all the questions that you have and as well as I will share with you.

Aman: Thank you, Mr. Reddy, thank you, Mr. Bolar, thank you Mr. Pra veen for giving us the time. I'm very glad I'm ready. We could speak to you this time last time. I think we missed the window of opportunity to speak to you in the time frame post the analyst calls, but I think enough has been discussed about the software in the list call yesterday. I want to first talk about the business and then maybe spend some time on this software per se. On the business side, how do you think about a few clarifications that I had, the UCCs has started becoming more flattish. The you k now, I think in the last 3 to 4 quarters. And I know that we had at some time discussed that not all UCCs are active UCCs. So, essentially this number really doesn't matter. Active UCCs are what is really driving the actual volumes, but if you look at last 4 to 5 quarters, the number is kind of more or less constant. I'm just wondering, should we read into this as active/non -active UCCs and hence there is no real change or is that the fact that the larger guys are becoming larger and larger from a concentra tion perspective and hence number of UCCs doesn't matter.

P. S. Reddy: Okay. I think the way that we have been tracking the UCCs numbers are the ones who are actually trading on the exchange that matters to us, and that is what we are tracking, while is sc intillating at sometimes and maybe very stimulating. But once the equity markets, even the growth is also less. Here also will be less the ones which are getting uploaded simply that one single application and unified members, they are ticking all the boxe s and say that we are uploading in on MCX also so that doesn't give us actually so much of revenues. But if you see actual number of UCCs that have traded, as I said, as against last year 4 lakh the number is there in the press release.

Satyajeet Bolar: 6.21.

P. S. Reddy: Yes, we had UCCs about 6.21 lakhs traded at against last year's 4.71 lakhs. Okay Yes. So, that's a good number growth of 32% that's what we have seen. And we would like this number to grow. But again, unlike in equities, as I have
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already discussed it also equity markets are primarily investment markets and this market partly investment, but more than that, it is a hedging market for I

mean for hedging tool opportunities is what it provides for and this market. Also, unlike again equities, you can have SIP kind of situation but we don't have here. I agree you can buy one lot. That's the way it is. There's no in between for us. So, one lot means almost a few lakhs of rupees. That's the way. So, coming back to that, to that extent it limits the participation of the investors as wide as the retail that is happening in, in equity markets.

Aman: Got it, got it. Mr. Reddy when you look at the top clients that we had, top 10 clients, concentration, they used to be about, you know close to 60%, is it still a similar number I think I didn't see that number in the presentation.

P. S. Reddy: Yes, I think yesterday's call also we said they account for 63% top 10 clients' accounts. And FY21-22 is also 62.6%. Now it is just 63%.

Aman: Got it and is this number very similar in options versus futures or is it a lot more dominance comes in the side of options.

P. S. Reddy: We don't have that kind of breakup price right now, but then I think we will get. But then same I can tell you.

Aman: Got it. Okay. Do you think Mr. Reddy from if you do a bit of blue sky thinking from here to let's say 5 years out? Currently, our revenue mix, as Mr. Bolar pointed out yesterday in options which has become close to 50:50 i

n revenue

terms. If you say that say take this 5 years out and I think you briefly mentioned on the call yesterday, you know evolution of equity markets and in that you know equities versus futures and options of equities. How do you think about the evolution of commodity markets? Do you think bases the work that you do on the ground with participants and your own assessment of the market, will India see a lot more of options, I mean, heavy suit towards options or will India be a both market and the reason I say that is if you look at even NSE, I think options are a very large portion. Is that right, my understanding is right, options is the large portion of the equity market also? So, how do you in your 5 years out, how do you think about basis the response that you're getting on the Multi Commodity Exchange

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ground, where do you think this will settle like from a mix perspective between futures and options, either in ADT terms or in terms of revenue.

P. S. Reddy: Okay, let me first come to the participation side. A lot of retail investors and member brokers also prefer, I mean those who are entertaining retail participants prefer options to futures because in the case of options, when it comes to, if it is an option buyer, I mean either a put or call option, just the premium and then there's no more headache in terms of margins etc., etc. But if it is futures and I think you have to mark-to-market and then margin has to be collected every time, I mean 5 times in a day even if the open interest is kept, I think many are dissuaded in that sense to move away from futures to options. That's for point number one. But at the same time, the option writers who are the option writers we found most of them, are the physical market players that whoever stock with them kind of thing, so who have an exposure or I mean if I have a gold worth maybe 1 tonne or so, even if it is a jewelry etc, I can still be an option writer and then get premium. That's the way I look at it and they earn a lot of premium in that sense. So, they're not worried about that part of it. So, we see that kind of concentration happening so more towards this, the number of writers are less, but they are willing to take this particular responsibility of option writing. And on the retail side is the most of the buyers, I mean, Yes, so this is one part of it. So, going by that, our options turnover will definitely increase. That's what my expectation given this kind of trend that is happening. While this trend is on, I also see options are going to contribute increasingly more to the exchange revenue, while the, while the while more and more trading may take place little away from the... from the... from the what you call the money at the money obviously your premium will be higher and then you will get a higher income. But it may move away from that so to that extent our option revenue, the realization may slightly come down, but definitely after going to.. to drive our business more than the futures is why my view. But at the same time, a new product introduction is also is happening. I think they can contribute for futures to be gin with, while the option volumes so may increase on the products which have deepened in terms of futures.

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Aman: Mr. Reddy if you look at again, I know it's hard to predict, but do you think from here on? Is there any way to predict, I mean when you look at global markets, other countries and the depth of commodity markets there, is there any way to benchmark how deep, let's say or how large the futures ADV should be in India or options ADV should be in India. It says any kind of benchmarking you guys have done basis let's say GDP or basis any other metric you think?

Praveen DG : Generally, there are some metrics which are generally used, but it based on the futures to physical mark

et multi plier.

Aman: Okay.

Praveen DG : But again, the numbers are different for different commodities depending upon volatility nature of commodity. It is like for example, in case of silver which is more volatile as compared to the gold. So, the multiplier is higher than the gold that physical market to so alternatively you can look at GDP, but it is.

Aman: Okay.

Satyajeet Bolar: Difficult to say that how we can directly correlate, but as a pie it is increasing market as a pie to the GDP rate is definitely increasing with the options started doing more and more. I think definitely as the percentage ...

Aman: Or, you know, I think. From a realization perspective study, you talked about option realization may reduce slightly as we look at out of money options. I think the results talk about 2.10. You know rupees per lakh as t he realization from the future side. Can you just remind me what is the turnover, I mean effective realization from options if you just...

Satyajeet Bolar: For the quarter, for the year, it was 41.63 as compared to 42.84 last year, 41.63.

Aman: This is so. S o, you're saying Rs. 41.63 per lakh is rupees on the premium?

P. S. Reddy: Lakh rupees per lakh premium. Yes see we have 2 slabs. One is Rs. 50 per lakh and then Rs. 40 that is what. So, if it is coming much closer to this also, it also

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indicates that ther e is also a concentration major players are trading. That's why they are able to get this Rs. 40 I am mean ADV.

Aman: Sorry if you just how does this work? We are saying that let's see if the EDV today is 675 crores, let's say or 675 crores. I mean, I know there are multiplier of 40% to 50% that we typically use. To calculate the effective ADV. Because the premium. We make money on, on the premium, right?

P. S. Reddy: We have 2 slabs up to what about 100 crores or....how many...one minute...what are those 2 slabs ? Okay, up to Rs. 5 crores is Rs. 50 above Rs. 5 crores if a broker contributes more than Rs. 5 crores of premium and he gets 50 rupees and if it is more than Rs. 5 crores then he will get a Rs. 40. It's like income tax of slab. Okay, so many of them are f alling under the Rs. 40 slab.

Aman: Okay, got it. Got it. Okay. Okay. Nicholas, do you have any question on this specific area?

Nicholas: Maybe something to do with the participation? Yes. If you look at participation year-on-year, generally we're seeing h igher contribution from Algo trading and possibly mobile trading especially in options. So, just wondering if there's any like should we read into this further, is there any implications from the higher portion of trading comes from those areas.

P. S. Redd y: Sorry, I'm sorry I didn't get that, sorry. Please , could you please repeat?

Nicholas: So, I think year -on-year we're seeing higher participation from Algo and mobile trading as a percentage of volumes. Firstly, looking at options right so I'm just wonde ring if there any implications of this that we have to look into any further down the line or.....

P. S. Reddy: Mobile trading accounts for about 22% of the total trading. That's what it is , client accounts for about 53% and proprietary is 46% and client is 53 or 46.7 and 53.3 and algo non algo 50 -50 kind of.

Nicholas: Right.

P. S. Reddy: Have I made myself clear?

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Nicholas: Hello. Yes. So, I'm just wondering if there's any is it, is it different economically to us if we have a higher portion of Algo traders or mobile traders?

Praveen DG : These numbers, I think we have given in our investor presentation also wherein if you look at the Quarter 4 22 -23 like in future algo contributed about 50% and in options it is about 54% Okay, Yes and compared to corresponding period, it was about 53% in futures and 48% in options. Definitely there has been an increase in the algo trading both in,

especially in options.

P. S. Reddy: In fact, as I think in one of the calls I've mentioned, maybe one of the calls, one of we are getting a lot of interest from some of the top algo players who have yet to join. And I think they are all waiting for our platform to be ready new platform and then to be launched. Some have already come through, some of the member brokers and some are in the waiting. So, obviously algo trading will increase as we go along, no doubt about it. Now, the FII participation permitted by SEBI and I mean I would say to our pleasant surprise, FIIs have taken to the market to the commodities market as fish takes to the water unlike other institutional trades like mutual funds and others who took a lot of time. To come into the market and participate. That's a that's a good development for me. In that sense.

Aman: Sorry, Mr. Reddy can you talk a bit more about the deepening of the market, you know in terms of the Mini contract that you guys launched, you know, how is that progressing? And I know that you had mentioned that when the new software is ready, you will also launch options on shorter duration, which will probably deepen the options market also further. This FII participation that you spoke can you use some more color of you know how is that progressing? You know, what are we doing to deepen the market so that, you know, the growth can continue for the next 3 -5 years?

P. S. Reddy: The lot of interest, as I said earlier, maybe wins thanks to the...the war situation and divide in the international community, I think. Some countries or some institutions which are based out of those countries, are keen to participate in Indian markets. So, we have that kind of liquidity, of course it's progressing Multi Commodity Exchange

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gradually, but they should be happy to have this participation in this market. So, that interest has come and we are seeing their enquiries. Coming closer and they will fructify is our hope. Having said this, FII participation or FPI participation, has picked up and it's a good number that we have got so far and it's increasing. I've seen, I've seen almost...almost all about you know about 1000 crores plus maybe coming by the FII participation. Then many registrations are happening. We are also planning to introduce category 2 and 3 gradually I think depending on the system, fine tuning our changes are needed because for some category of investors. There is a limit as exists the full limit that is available for FDI, so that means once that those limits are put in place, we will permit more of them. One is this part of it, but then I am more keen... keen and keener rather on bringing more and more domestic players into this fold. I think our...our metal contracts, if you have noticed it while volumes are low, but the open interest has been increasing and that is that is a sign of you know degree of participation from the from the...from the hedges? Now, once that increases and as we are seeing it, I'm sure liquidity will also further increase. We've also introduced the mini contracts that also has seen some of the clients who earlier were participating. They have now come back. So, that is another good development that has happened. And we have approached SEBI also permitted us to introduce mini contracts in copper and nickel, and if that also happens, probably we will be able to bring in more participants into this, but yes. It's a long way to go in terms of bringing a lot of interim lot of institutional participants and a lot of corporates to come into this fold and we will be able to. Achieve our objective, as you said, in the long run, maybe 5 years down line, we should..... we should be able to transform this market. It is our responsibility to increase the pie and increase the market deep in the market because we have only one case obviously.

Aman: Got it from one last question on the bu

business side, there are competition, I think you alluded yesterday also around the fact that NSE has launched, has tied up with CME for the same data. And it is launching futures on the crude site or if they already launched I not check their volumes, but do you think from a competition perspective anything that has changed in the last 2-3 quarters as you think is worth noticing for now?

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P. S. Reddy: Okay. One is that WT I has been launched contract on NSE both in NG Natural Gas as well as WT I contracts were launched 15th of May and we are watching and obviously the first day, some euphoria and then that gradually petered out. So, the average may be about 50-100 crores that's the way we have seen the volumes. But having said that I mean, I think we are too old to understand what's happening in this market. When about 3-4 years ago, when it was introduced that, you know, the equity exchanges also can compete with the.... with the.... with the exchanges, with the commodity exchanges, there is a huge what you call concern or Okay. You may take away the liquidity. Again, the same existing contracts, gold, silver, all that nothing happened after. There are lots of options, optional goods. Nothing happened thereafter and despite having deep pockets despite having introduced what we call liquidity enhancement schemes, etc., etc. So, this being a liquidity, what we call a cash contract, of course we are watching it. But at this point in time, they are not successful in taking away our liquidity and we hope to continue to, I mean to remain alert. And then see whether anybody is participating and what is that we are not able to offer that other exchange is offering is what always we question and we. Want I mean there is on our part at least we will only try to give our best so that the customer is attracted on a professional basis rather than any kind of any other methods of getting the clients to our platform.

Aman: But Mr. Reddy if let's say I know liquidity in this market and if they start off fleeing you know no transaction fee which I think we have done in the past. These futures are based on, you know, an index which is global. Do you think they can get liquidity or that that is the harder part? Transaction fee is less material than actually getting liquidity like how does liquidity get generated in this market for you when you start a new contract, how does it come to you as liquidity?

P. S. Reddy: I think a variety of issues influence one is the I would call it, as networking barriers are there and the people who have already developed their ecosystem attuned to MCX, they do not have that on going and then encourage additional compliance costs additional what we call making the systems... what.... for what is that that we are missing opportunity in MCX, Yes, that is the a new exchange that is something obviously based on everybody's mind probably

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they may apprise you one day, 2-day, 3 day but not you know for ever that's one important. Second thing is obviously these transaction costs do matter, but they do matter only when there is liquidity, you know, and it's not a comprehensive thing. Even if liquidity is less, but still since you are offering a less of transaction fee, I should run. No, that will not happen because without them they may get stuck in with positions that may cause huge, you know, risk when there is volatility in these contracts, there's a lot of volatility. So, it's not easy to get out of it unless there is liquidity. This is second, you know primary this one and LES liquidity enhancement scheme is not permitted in liquidity contracts if it is traded on any other exchange, that's what the SEBI rule is at this point in time so they can't introduce officially any liquidity enhancement scheme in these contracts and....and Yes, these are

the important things to be born in mind and as I'm speaking, they are...they don't charge any transactional fee even in this contract.

Aman: Got it. Very helpful. Actually, moving on to just a few clarifications on the financial numbers, sorry, first on the business, one more clarification. Our commodity index futures have actually we're doing okay till few quarters ago and they have come down and flatlined at that level. Is there any way to again rejuvenize them? Is there any specific issue with our index futures?

P. S. Reddy: I think currently we have one liquid contract which is the B ulldex , okay. It's getting traded about 80 crore to 90 crore or 100 crores. So, it's like that but we wanted to activate it thanks to the nickel contract debacle. So, the index metal contract has which was otherwise trading very good and was for 200 -250 crores that got, you know, collapsed. So, we had to reorganize the indices, remove the nickel from that, and then recalculated that index. Now we will...we will start, you know, launch the revised contract maybe with some help from the market participants so that is one. Crude and Ng not being, you know, actively traded. I think that is anothe r area which we should work on it. We will do that also. We have been approaching the market participants but one. I would say suggestion or sincere guidance from the market participants. Don't actually increase too many contracts and we also find struggle to promote each one of them. It takes time for the contracts to mature it takes time for the participants to understand and so ask of the members.

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Praveen DG : Shorter duration contract in index is.... also is another want from the market.

Even i n the equity market, the we ekly contracts which are doing better, as compared to the monthly contracts and other things. So, as we come out with this CDP project and say, after the post implementation of this, definitely we can look at shorter duration contracts in In dex products.

Aman: Got it, Okay. Okay. So, on nickel, I think this has been discussed a few times.

The last few calls. Can the nickel what really happened on the nickel front end...can it come back in terms of you know trading. What's the issue on the Nicke l? I think this has been mentioned a few times in the calls last ...

P. S. Reddy: Okay, what happened was when the nickel contract was trading and there are some open interests. And then people got stuck and every 15 minutes the circuit filter is going up and up and up and got stuck but no tra ding is taking place, so there are lot of margin calls have come and investors because it's a market to market and at each and every point in time we have to call for additional margins. So, that the bad experience tha t people have faced. And it's all because of the LME. Whatever has happened in LME and so the contract subsequently people have come out of it, but then the open interest. I mean completely dried up because nobody want to take... keep position in that while that was the case we have approached. We know because at that time it was also one and half metric ton contract because of the trading and delivery unit test to be identical. So, the value of itself was about 3 9-40 lakhs of rupees. Okay, that has one of substantially high. So, you can imagine what kind of margin calls would have gone to the investors on that. Now we are saying please give us a smaller code denomination contract maybe 250 kgs which was existing earlier. So, then we will be able to, you know, launch something which market can take it. So, that's where we are. I think once SEBI permits we will be able to do something on that.

Aman: And how much? Was this as a portion of ADV before it was discontinued?

P. S. Reddy: About the 3000 crores it used to contribute to the metals.

Aman: 3000 crores.

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Praveen DG : In FY 20 -21 it was about 2254 crores at an average.

Aman: For the year.

Satyajeet Bolar: For the year 20 -21 average AD T.

Aman: 20-21 how much?

Praveen DG : 2254 crore.

Aman: Any specific other laun ches ready that we will get on the business side in the new product that you think can meaningfully change ...

P. S. Reddy: You've got it. We got approval for the steel rebar contract of almost only a year or so. And as I said, the electricity contract is a j inx contract that is, we are still waiting and this particular thing we will launch sometime in July, this particular steel rebar. That's what our expectation is and after the platform goes live.

Aman: Got it. Couple of clarifying questions financial and then we'll just discuss

software for a minute. Mr. Bolar, on the cash, how much is the net worth cash?

How much is the margin money right now?

Satyajeet Bolar: Our own cash is around 900 crores and the margin that CC L had as on 31st March is around 600 crores.

Aman: And just lower than what we had, both... or actually, so cash network cash is similar on 30th, 31st December and marginally is lower margin was actually I think 900 crores. At that time.

Satyajeet Bolar: 900 crores which is because the Members have got an option of giving other collaterals like bank guarantees and fixed deposits. So, some of them would have....

Aman: Okay. So, but if our money....money goes down this. The.. the... income that we have, the interest income that basically is part of our operating income also goes down, right.

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Satyajeet Bolar: See for example, in December we had 9500 crores total margin out of which 934 was in cash, while when we came to March it was 9800 crores out of which 600 was in ...balance was in other collateral.

Aman: Got it. And Mr. Bolar, how much are we making in terms of yield in terms of... on our network cash and margin money approximately?

Satyajeet Bolar: We earned last year at around 5.93.

Aman: Okay. And last quarter?

Satyajeet Bolar: Last quarter 7% +.

Aman: Got it. One clarifying question on the expenses, if I take the total expenses in the P&L and delete or sorry take -out software cost and take out the people cost.

Let's call the remaining figure as other expenses as this other expenses. I was just doing some calculation and it seems those other expenses in quarter 2 are close to about 240 million which has become between 280 to 275 million in the last 2 quarters, quarter 3 and quarter 4. I'm just wondering, is this the right way to look at this...is there....is there anything specific happen?

Satyajeet Bolar: We collected in last in the last quarter we had, you know we had marketing events because we you know because of the COVID we didn't have any...we didn't do anything substantial in 2021. Yes, so with a lot of engagements with Members that we carried out, which in Q3, largely in Q3.

P. S. Reddy: Engaging with members.

Satyajeet Bolar: Another expenses also have gone up. Travelling has gone up, while earlier you know there's a lot online travelling has gone up as well as the administrative cost of maintaining the building as compared to March 21, because of the pandemic, you know it was work from home while now it is work from office so corresponds, other expenses have also increased.

Aman: So, Mr. Bolar if we look at employee costs and let's say other expenses, I'm taking so the only item that I'm not considering is software expenses, are we at the number where it is actually the run rate expense or do you think there

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will be big variations in these 2 categories employee and non -software expenses like non -software, non -employee expenses?

Satyajeet Bolar: There wouldn't be major variation. Again, it depends on what we intend to, you know how do we intend to engage memb

ers once the new platform goes live.

Aman: Got it. Super, very helpful. Super.

P. S. Reddy: One more dimension to it is of course, other than software, there's also a CME expense we pay, you know, it's based on the turnover and so for crude oil contracts and NG contract do well then obviously that also will go up. I think that you need to account for that has gone up for essentially.

Aman: Got it. I'll do that. I think Mr. Reddy if you can give some update on the software, I think which is the hottest discussion on the business and I think we honest, any clarification in light of you have mentioned 2 or 3 different kind of work streams which are going on in parallel and in series in the call yesterday.

If you can help me understand if all goes to plan and everything is working perfectly. Are we...is it a 4 -week requirement from here or is it 3 weeks so I you know because there's so many technical terms in the call yesterday I maybe

I missed out. It's like a 3-week thing 4-week thing if all goes to plan and again, I'm not saying where are you on the plan, but what happens from here onwards?

P. S. Reddy: Yes, I think, if all goes well as planned, it should be like a 4-week, this one, because we want to give enough opportunity to the members in terms of participating in a mock. Okay, then members are able to participate.... maximum number of on a Saturday mock or on other holidays because, their lease lines are mostly connected to the DC that some of them have here and on all other days we are doing this one on DR and they do participate, members, but maximum comes on Saturday because without any changes connectivity they straight away participate and in the normal course also it is 99 times that DC they work so obviously the latency, speed or whatever you call it, all that is examined on the on the DC connectivity rather than the DR. So, that's what it is, and otherwise we have given a long number of mocks on Saturdays and many have participated, and major members have, no doubt, have participated, there's no problem about that. And as is, as somebody has

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asked in the call also there are 600 Members and you said about 178 participated. Then what I said is 600 is the registered number, but some have surrendered their application. They are all pending with SEBI, so unless SEBI approves it, we can't knock off from our what should I say list, so to that extent, some have admitted, but then they have not started operations. On any given day about 350 to 400 are active, in-between people, members participate so that is what our target has always been.

Aman: And Mr. Reddy, again in this 4-week plan so far, there is no seemingly thing which is a deal breaker, at least so far in the visibility. It is just a process that we have to follow or are there any big red flags that are still being addressed?

P. S. Reddy: I am not foreseeing anything, I mean, God willing, I'm sure we should be able to make it is what my desire is. We are taking care of every this one. There are a few slippages on certain activities, but I think we can make it.

Aman: And Mr. Reddy think last thing, even if we are not 100% there, I think as you mentioned the call yesterday, can we be 98% there and still implement still move on the new -new software I mean because there are things always in software implementation which keep happening over time. So, do you think that is also a possibility?

P. S. Reddy: No. Whatever all I you know, must have, go-live kind of things, they're all getting in place and that's what demonstrate to the regulators or otherwise all out to our board and our own, you know, we have to satisfy ourselves, yes, we are good to go kind of thing. So, like various audits are underway and that parallel runs and are enough of test all of them are happening simultaneously, so we should be able to

complete it. As I said, that is what our desire is. That is what our endeavor is to make throw all our weight behind time and effort everything is only going into this, no thing else.

Aman: Yes, I think 2 clarifications just on this. The regulatory time is included whatever you have to seek approval from SEBI or intimation required is always in this 4-week time frame.

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P. S. Reddy: Yes, we, I mean, SEBI is watching very closely the development in exchange, yes.

Aman: Got it, got it. Last question is again, let's say 4 weeks down the line, say 21st of April, you guys are ready you know, is there a requirement to run both systems parallelly for all participants for some time or that is on something we're doing right?

P. S. Reddy: No, no, there's no such and it is not feasible also. Members can't have two backends and you know maintain what report they get. The whole mock... purpose of mock runs is to give them all the reports and then understand whether what trading they have done, whether they got obligations right. All that kind of things.

Aman: And lastly, there is no training requirement to the end members. I would assume they will not notice a change in their software, or would they?

P. S. Reddy: They will not notice it. See there are 2 -3 dimensions to it. One is that CTCL, you know players so they have already vendors are there, we give API and vendors customize it them. So, we are not changing the API structure and all that kind of thing. So, they will continue to see the same thing. What is happening there, okay. Now is only the trade TWS (Trader Workstation) which we are developing separately for them but then the business that comes from the Trader Workstation is hardly anything. So, there we may have some functionality, may not have given some functionality. But that is for the, you know, members can always go to a CTCL vendor and then take their software to run this that's not an issue at all.

Aman: Got it, got it. It is super helpful. It's ready. Thank you so much for making the time all. The best to you and your team for successful implementation software. You know, in the timelines that you think are right. Kudos to the entire team for keeping up the good work.

P. S. Reddy: Thank you. Thank you, Mr. Aman. Thank you, Mr. Nicholas. Anything from you, Nicholas ...

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Nicholas: Thank you. I think Aman uncovered all my questions actually. Thank you so much as always.

P. S. Reddy: Thank you. All the best. Good day.

Aman: Good to yourself. Take care. Bye.

Call: May 2023

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MCX/SEC/2219 May 26, 2023

BSE Limited

Department of Corporate Services

PJ Towers, Dalal Street,

Mumbai - 400 001.

Ref: Scrip code: 534091 Scrip ID: MCX

Subject: Transcript of the "Earnings Conference Call" with investor(s)/analyst(s) on Q4 FY-2023 results.

Dear Sir,

Please find enclosed herewith transcript of the "Earnings Conference Call" with investor(s)/analyst(s) held on Monday, May 22, 2023 at 16.00 p.m. (IST) on Q4 FY-2023 results.

The said transcript is also uploaded on the website of the Company at

<https://www.mcxindia.com/investor-relations/ir-meetings>

Further, we hereby confirm that no unpublished price sensitive information was shared/discussed during the said earnings call.

Kindly take the same on record and acknowledge receipt.

Thanking you,

Yours faithfully,

For Multi Commodity Exchange of India Limited

Manisha Thakur

Company Secretary

Encl.: As above

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Q4 FY '23 Earnings Conference Call

May 22, 2023

Disclaimer: This transcript is provided without express or implied warranties of any kind and should be read in conjunction with the accompanying materials published by the company. The information contained in the transcript is a textual representation of the company's event and while efforts are made to provide an accurate

transcription, there may be material errors, omissions, or inaccuracies in the reporting of the substance of the event. The transcript has been edited wherever required for clarity, correctness of data or transcription error. This document may contain "forward-looking statements" – that is, statements related to future, not past, events. In this context, forward looking statements often address our expected future business and financial performance, often contain words such as "expects", "anticipates", "intends", "plans", "believes", "seeks", "should" or "will". Forward-looking statements by their nature address matters that are, to different degrees, uncertain. These uncertainties may cause our actual results to be materially different than those expressed in our forward-looking statements. We do not undertake to update our forward-looking statements.

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MANAGEMENT : MR. P.S. REDDY – MANAGING DIRECTOR AND CHIEF
EXECUTIVE OFFICER
MR. MANOJ JAIN – CHIEF OPERATING OFFICER
MR. SATYAJEET BOLAR – CHIEF FINANCIAL OFFICER
MR. PRAVEEN D G – CHIEF RISK OFFICER

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Moderator : Ladies and gentlemen, good day, and welcome to the MCX Q4 FY '23 Earnings Conference Call. We have with us today on the call, from the management, Mr. P.S. Reddy, MD and CEO, Mr. Manoj Jain, Chief Operating Officer, Mr. Satyajeet Bolar, Chief Financial Officer, and Mr. Praveen DG, Chief Risk Officer.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note, this conference is being recorded.

I now hand the conference over to Mr. P.S. Reddy, MD and CEO, MCX. Thank you, and over to you, sir.

P.S. Reddy: Thank you. Welcome to all of you for this Q4 call and as well as annual accounts call. And we will go ahead and explain what has brought down the bottom line, okay?

You are aware that we have got very good results in the form of top line. And maybe after 2012-2013, it is the highest ever that we have achieved. And I'm sure all of you would be very happy to know that. But the technology solution not being implemented in time has proved to be a drag. And I'm sure those numbers, you all knew when we announced in January our results, there, we have already upfront spelt out how many crores of expense will be incurred for the Q4 as well as, for the current quarter as well, we have mentioned it. And

we hope that we will put an end to this, and we are all working towards making this platform live before 30th of June. That's what has been, day in and day out, we are working to make it happen.

I think, considering that the number that we have, the profit number, and I think the Board has considered the maximum dividend pay-out is 25%, accordingly they have paid out, I think, has been kept as far as the policy is concerned. I think, I will keep the session open for question and answer other than taking more time on this. Thank you.

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Moderator: Thank you very much, sir. We'll take our first question from the line of Devansh Nigotia from SIMPL. Please go ahead.

Devansh Nigotia: Thanks for the opportunity. I just wanted to understand, we mentioned earlier the problem between integration of the clearing system in the exchange transaction. So, what is the progress over there? Because that's to be highlighted as a key constraint for the implementation of the change in vendor. So, if you can update us on that?

P.S. Reddy: Yes. I think, as I said last time also, the T7 and the Bancs integration is one which faced the problems. I think we almost all of them are being ironed out. And many mocks, we have run. And what we, in terms of test cases also, it is maybe more than 90%, 96%, 97% has been already clear, all of them. So that's the way we have worked, so maybe some extreme test cases are there, but we will be handling any way. But otherwise, we have done a good amount of testing. And we already started, I mean we have started today, the regulation testing as well. So hopefully, we should be able to go live before 30th of June.

Devansh Nigotia: Okay. And then you mentioned this 96% to 97% is clear. So, what is the -- I mean is it based on the coverage of vendors, or is it 96%, 97% based on -- I mean...

P.S. Reddy: Test cases are the...

Devansh Nigotia: So, test cases is the check list in terms of the software is running properly or regarding the coverage of the members?

P.S. Reddy: That's right. I mean now for each scenario, we have made various test cases. It runs into a few thousands, okay? So those are the ones which have already been out clear. That's what it is.

Devansh Nigotia: And which is still not clear? Is it still the integrat

ion problem...

P.S. Reddy: Not that. Not those is issues. The extreme cases, some maybe, what should I say, a contract having multiple expiries in the same month, okay? So there are some of the hypothetical scenarios, okay? So those are the ones kind of.

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Devansh Nigotia: Okay. And sir, in the middle of the transition, the exit of the Chief Technology Officer, so -- which is also slightly discomfoting. So if you can help us understand why that exit happened, that would be really helpful.

P.S. Reddy: Sure, sir. See, I mean he wanted to pursue his personal -- I mean, whatever the better prospects. But he did express in the past also his desire to leave, but we have persuaded him to stay on. And maybe the stress levels are very high. That may be one reason. That's what my personal understanding of it. And that may be the reason why he has left.

Devansh Nigotia: And sir, if in the case beyond June, let's say, if the software is not yet implemented in a hypothetical situation, how do you see the software expenses planning out when they be at a such higher run rate or even higher than that because I think -- I wanted to...

P.S. Reddy: Honestly, I have no clue about it. But we are committed, having seen also what kind of damage it is causing to the financials of the company. We are in no mood to what we call both for a kind of -- I mean, miss the deadline. That is the way it is. We are all making our efforts day in and day out. We are working on to it. So I think, I do not want to answer any hypothetical questions on that part.

Moderator: Thank you. We take the next question from the line of Devesh Agarwal from IIFL Securities. Please go ahead.

Devesh Agarwal: Sir, carrying on with the same questions on technology. Basically, one wanted

to understand in these 15 mocks that you have done, so how has been the traders experience? And what are the challenges that are being faced by them? And also in terms of participation, how many members have participated? And in terms of volume, what would that number be? Particularly, what percentage of volumes this number represent?

P.S. Reddy: See, we have been -- I don't know, whether 15 mocks is maybe the recent count you may have picked up maybe in the last one month or two months. But otherwise, it is much, much more if you actually see from the last October onwards. But having said that, in the latest recent round of mocks that we had, about 170 members or 180 members have participated and unique members.
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But the closer we move, the larger number of the members will participate. Of course, we also ensure that all our big numbers were contributing major -- this one, are all participating. We ensure that, okay? And that's happening as much I can say to that.

Devesh Agarwal: Okay, sir. And sir, in terms of time lines, if you can share, last time you had told us that once the mocks are done, you also have to do an audit of the system, and thereafter, the transition can happen. So in terms of any milestone time lines that you can share?

P.S. Reddy: While mocks are on, we have already started conducting the cyber audits, okay? Some patch upgrades, whatever observations VAPT related, they're all undertaken, okay? So in that sense, it's already started, including the system, or it also has started. So these are all parallel activities. We don't need to wait for the mocks to start.

Devesh Agarwal: Okay. And sir, finally on technology. So this 96%, 97% of test cases, so would our transition depend upon achieving this number 100%, or these are numbers probably one can do the transition and then also can work around with some of these extremities that you are talking about?

P.S. Reddy: Yes. As we go along, we will -- and we still have the time, we are doing it. But it's no

t all -- not dependent, obviously. That's the way we take a reasonable call on that, not to -- I mean these are all -- for us, they are all -- incidents may not take any at all.

Devesh Agarwal: Okay. And a couple of business questions, sir. One, this NSE has recently commenced trading on the CME-backed crude oil and natural gas contracts, same as MCX. So how do you see this -- do you see this as a risk for the business, or how do you see this development?

P.S. Reddy: Okay. As far as MCX is concerned, I think we should not take anything at a low risk. We will keep our words up and then constantly see what is happening on the ground. But what are the forward base of ADT or the kind of open interest that has built the participation that is happening? I think it is for everybody to judge what is happening on the ground. But as far as we are concerned, we are constantly on watch. We would like to protect out of any...

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Devesh Agarwal: And sir, lastly, this premium to notional turnover in options segment and that has come out from 2.6% to 2.2%. And I think this has further slid to 1.9% in April. So, is there any change which is leading to such sharper fall in this ratio?

P.S. Reddy: See, it all depends on, as I said, whether the contracts are trading when you closed -- I mean near the money or in the money or out of the money, that's the way it is. And if the contracts traded are away from that, obviously, the premium will come down. But if it's something closer to it, then it will start paying more premium. That's the way it is. As far as the tariff slab is concerned, it remains the same. There's no change in it.

Moderator: Thank you. We'll take our next question from the line of Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain: Just further a bit on the software thing. Do we need any regulatory approval for kind of transitioning this?

P.S. Reddy: There's no formal approval that is needed, but we need to follow the process. That's the way I look at it. As I said, the cybersecurity audit, system audit, etcetera, all this to be completed. So all that is in place. And of course, we are

constantly in touch with SEBI and keeping them informed of the progress of the project.

Prayesh Jain : Okay. And with respect to the procedure further -- for further steps, after the mocks and the audits, do we have to run a pilot again , or how does that go?

P.S. Reddy: No. There's no pilot, as such. There's no pilot.

Prayesh Jain : So, from here on, only -- the only intent is mocks being successful, and you getting clearance on all the audits.

P.S. Reddy: That's right. And then -- so this is -- we keep what we call doing the mocks every day, going maybe from this coming Saturday onwards . Every day, we will be running the mocks. Even tomorrow, on day after tomorrow kind of thing, we also will be running. And the only constraint to some of the numbers is that , DC currently the , that is that the Data Current location, obviously, their lease lines are occupied with the regular business, 9 :00 to 11:30.

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So, they can do the test. They can test their DC connectivity only on Saturdays or on other holidays. That's where the maximum participation we see. But on regular days, weekdays , it happens via DR, but the participation is less. That's the way it is.

Prayesh Jain : Okay. And by when do you think you will have to start thinking about extending or negotiating further with 63 Moons, say, like what are the things that you will look at before going to -- or taking a call that now, we'll have to go back to 63 Moons for an extension ?

P.S. Reddy: See, these are all -- as I said, the management is fully committed to get it done. That's what our desire is. Our Board is also seized of the matter. Yesterday, a day

-- I mean, day before yesterday when we had a meeting, they are fully aware of it. And the Board will also meet maybe before we go live or maybe sometime next month early or so. And they will also take a view on this.

Definitely, everybody is seized of this matter. That's all I can say.

Prayesh Jain : To further business opportunities, how do you see the -- what has been the UCC count? And how has that been trending?

P.S. Reddy: So I think this year, I think we have got a good number , UCC, 6 lakhs, 21 -- 6.21 lakh UCC is about 32% year -on-year. We brought them.

Moderator: Thank you. We take our next question from the line of Deepan Shankar from Trustline PMS. Please go ahead.

Deepan Shankar : So firstly, so what was the contribution of options and futures in the total revenues for Q4 FY '23?

Satyajeet Bolar : Please give me minute. Option, futures and 49% from options.

Deepan Shankar : Okay. Got it. And what are the steps we are taking to scale up the contribution of bullion and base metal parity in the option segment?

P.S. Reddy: See, I think in the case of bullion, it is increasing. Again, it is the volatility, which is going to bring all these people back to the counters. The more important is the -- I mean, in the recent past, what we had seen in the silver has substantially done one. We have seen a lot of inflows into our vault . In fact, in

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the clearing corporation, the vault income has also done better. It happened in 2021. Also, silver was having a boom there. So similar things we have seen it also.

So while we are doing our awareness programs, et cetera, I think the trigger will come only when there is a volatility, but when the volatility comes, then obviously, everybody will remember how to secure themselves from such volatile exposures.

Deepan Shankar : So even base metals, sir, are we planning to launch more such contracts in option?

P.S. Reddy: See, base metals, we had what we call the contract in zinc as well as in the copper. And of course, nickel is not doing well to whatever has happened in LME. We have requested SEBI for a, what we call mini contracts in those our two products as well. Probably that can give a fillip to those contracts. Options will take some time to come of age in this particular segment. But what -- if you noticed it, the open interest has been increasing in these contracts as you're

going to see the previous few years. I mean it's a marginal increase, but then it does -- it did increase.

Moderator: Thank you. We take the next question from the line of Swechha Jain from ANS Wealth. Please go ahead.

Swechha Jain: Sir, I wanted to understand regarding the software charges. So the new software that we are developing from TCS, what is the total cost of it? And once they go live, how much cost will it be capitalized? And how much will be taken into the P&L? And quarterly, what would be the AMC that would be charged to the profit and loss making, sir?

P.S. Reddy: Madam, I think we have never disclosed the total cost of this one, because of the confidentiality in the agreement. But whatever you will experience and should the -- working progress is there, that you can obviously find out. Then maybe something more will come into that capital work in progress, or it will be stopped capitalizing if we go live in the month of June. It will happen in the June quarter, and so we will start seeing that.

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But having said that, having AMC is a single digit in the first one year.

Anyway, there's no AMC in terms of warranty. And thereafter, AMC will kick in. And as long as we keep on paying AMC, then the perpetual license kind of thing for us. So there's nothing a big number that's coming to the P&L.

Swechha Jain : Okay. So basically, the entire cost will be capita

lized, right?

P.S. Reddy : That's right. Substantially. But then you must also look at the AMCs on the software licenses, not license of the PCM or the bank. I'm talking about the application like maybe DB2 or license, the database licenses, Linux licenses. These are annual. So they will also come in. That's ... but they cannot be capitalized. That's the way it is.

Swechha Jain : So sir, can you repeat on that, AMC on what cannot be capitalized? It could not get it ...

P.S. Reddy: These are all operating licenses. That is the databases, and maybe Linux is one, and maybe some Microsoft licenses may be there in some other segments.

Swechha Jain : So which will come in the P&L, but the major cost of the software is going to be capitalized, right?

P.S. Reddy: That's right.

Swechha Jain : And we'll start capitalizing when we go live, right? Once we go live from that quarter...

P.S. Reddy: That's right.

Swechha Jain : Okay. And is that for AMC single digit, right? It's not a major cost.

P.S. Reddy: That's TCS. Software...

Satyajeet Bolar : After one-year warranty.

Moderator: Thank you. We'll take the next question from the line of Lavanya Tottala from UBS Investment Banking. Please go ahead.

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Lavanya Tottala : I just wanted to check on technology again. So how much time usually the audits that we have currently started, how much time that usually that takes?

And we were planning parallel run after the mock. So how is -- I mean did we do parallel run, or is it yet to happen?

P.S. Reddy: See, let me explain what you mean by parallel run, okay? Parallel means essentially, you take the trade data and their orders and then see, pump into the trading platform and whether the output, which comes in the form of trades, so pump in orders, you get the trades, of the faster data and whether it is coming out correctly. And if there is any deviation whether there are valid reasons which explain such a deviation, that's one.

Then you pump in the 63 Moons data of trades and then again, see whether all calculations are coming out correct or not in terms of margins, obligations, etcetera. So that is a parallel activity. We don't need to wait. We can do it on the whole -- I mean it's a whole data. Whenever the trades have taken place in the past, that data, you pick up and do it. And that's what we have been doing it. So that is already there in place.

Lavanya Tottala : Okay. The success rate of our current platform based on the historic, what is

that, just like how you have given for 96%, 97% on test cases. So, if you look at that way on historic data, so what is the success rate of current platform?

P.S. Reddy: I didn't get you. I'm sorry.

Lavanya Tottala : No, I'm asking like if we have put in the test cases into our -- the software, the success is 96%, 97% now, right? So, if I put -- just like how you have explained now, if you are taking my historic data and trying to see your calculation...

P.S. Reddy: Yes, it is explainable in -- I mean the deviation in terms of trades is maybe decimals, okay? And the reasons, we know it. And when it comes to the margins and other things, they have to be to the 'T'. There cannot be any deviations, okay, obligation and other things.

Lavanya Tottala : Yes. So, the current platform, the deviation is minimal for most of the...

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P.S. Reddy: I didn't understand. Current platform means what? I mean you -- what the current platform generates everyday obligations, members pay, and everything happens pay in and payout.

Lavanya Tottala : If I compare my current platform to the one which we are testing now, the deviation is minimal in terms of marginal expression.

P.S. Reddy: That's right. That's it.

Lavanya Tottala : That means that is it -- high probability that we'

ll be able to shift because the historical...

P.S. Reddy: And it's not minimal. As I told you, it is exactly the same should happen as far as the parallel run is concerned. It cannot be a deviation, okay? So when it comes to trade, there can be a deviation because orders and trades, there will be certain functionalities which we have it in T7. Some kind of functionalities, they are not there, et cetera. For which reason, there may be deviation. That deviation happened to be in a few decimals. That's what I'm saying.

Lavanya Tottala : Got it. Okay. So is it right to assume that there's high probability that we'll be shifting to the new platform within the time line?

P.S. Reddy: Otherwise, also, we have to shift it, and we are -- that's what we are making all of these efforts.

Lavanya Tottala : Okay. So, for the audits, how much timeline that we are looking at to finish the audit that started now?

P.S. Reddy: Audit supposed to take -- I mean it's already started, I mean, so it cannot be more than maybe two weeks, maximum three, that's it.

Lavanya Tottala : Okay. Got it. Just on the tax part. So, we had higher tax in this quarter. So, anything specific reason?

Satyajeet Bolar : Ma'am, see, as for the accounting standards, when we prepare the company's budget, so the budget is prepared at the beginning of the year, right? So, when we had prepared the budget, there are certain expectations, and so when we come to the last quarter, it is prepared as per the actuals. So obviously, there is

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a difference because we had anticipated when we prepared the budget that we would go live, so the depreciation charge would be high. And the budget will not revise, and therefore, until December, we have to go by the budget and not by the actual. When you come to the last quarter, we have to go by the actuals. That's why there's a difference. But if you look at the budget and the income tax rate for the whole year, it is at around 23%, which is in line with what we had said at the beginning of the year earlier.

Lavanya Tottala : So, that will be the same for the upcoming year also?

Satyajeet Bolar : And see, this year also -- yes, more or less, yes.

Moderator: Thank you. We'll take the next question from the line of Vivek Sethia from HDFC Securities. Please go ahead.

Vivek Sethia : So the two questions I have are relating to the expense side on the financials.

One is pertaining to the software service expense. So just a technicality on that, like you just explained about live trading, right, sir? I want to rephrase it and ask it to you again. So say, for example, in the current live environment, have you tested the TCS software along with the 63 Moons software on a live basis in a live environment? Is that testing still going on? And if not, when do you expect to start doing that?

P.S. Reddy: No, it doesn't happen anywhere like that anywhere in the world, okay? What they do is actually, they take the data of the existing system are pumped in there and then see whether the trades are coming out properly or not. And so is the margins, et cetera. That's what the parallel run is all about.

Vivek Sethia : But does that happen on that immediate basis when the orders come in, or does that happen at a later time?

Moderator: Thank you for patiently holding. Ladies and gentlemen, we have the management line back in the call. Please repeat your question, Mr. Sethia.

P.S. Reddy: No, I understand. Yes, you tell -- I said that's how parallel run is done. That's what I said to Mr. Sethia.

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Vivek Sethia : So, I want to ask, that is does, say, for example, if the trade happen now, is the testing happening like now on that platform , or is happening here after some time?

P.S. Reddy: No. It's not done that way. So , what's

essentially asking is every order going

into 63 Moons, is it parallelly going into the T7 is what you're put, understand.

No, no, it doesn't happen like that. It is not happening like that. We have taking old data . Yes, it won't happen. We are taking the old data, old trades, old orders, okay? We're trying and pumping the identical orders in the same sequence in each orders have been generated and then see the output of it.

Vivek Sethia : Okay. And for Q1 because this extension goes into Q1, what expense should we estimate for Q1? Will it be the same as Q4 or high or low?

Satyajeet Bolar : We have already given the figures in December.

P.S. Reddy: January. And INR81 crores is what we have signed up for in the current quarter is what we have explained.

Vivek Sethia : Yes. So , we can see the expense to be INR87 crores. So , what is this incremental INR6 crores about? And will that be there in Q1 again?

Satyajeet Bolar : No, I didn't get you. We did INR87 crores. On a consolidated basis, it's INR81 crores, plus the GST and all that. So , I mean INR87 crores is I didn't get the INR87 crores part.

Vivek Sethia : 874 million ?

Satyajeet Bolar : I beg your pardon?

Vivek Sethia : Is it INR 81 crores plus GST, that's the total software expense, right?

P.S. Reddy: I mean they are asking where is this INR 87 crores ?... Where did you see that...

Vivek Sethia : It's in the financials, right?

P.S. Reddy: INR 87.94 crores , that is Q3.

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Vivek Sethia : No. If you look at Page 2 of your results PDF within expenses, the second part, software support charges and product license fees, INR8,738 lakhs.

Satyajeet Bolar : I'm sorry, that includes product license fees. That includes the fees that we pay to CME.

Vivek Sethia : Okay. So INR81 crores, it's for 63 Moons and balance is to CME other license.

Okay. And just one more question on the other expense side, like I have been seeing for the past three years or the fourth quarter, the other expense is always on the higher side if you look at it sequentially. So , is there any specific type of expense that happened in Q4? Like why is the expense higher in Q4, the other operating expense? And based on that, like how should we estimate the other operating expenses for each quarter, if you could give us a rough idea?

Satyajeet Bolar : See, if you look at the other expenses, I'm looking at it from the stand-alone, it's INR11.63 crores. And for December, it was INR10.63 crores .

Vivek Sethia : On a consolidated basis, it's INR14 crores and INR12.8 crores?

Satyajeet Bolar : Just give me a minute. So consolidated basis, what the clearing corporation does is there any expenses towards CSR, which they take at the last quarter.

So, there are CSR expenses in the last quarter.

Vivek Sethia: Okay. Fair enough. So , this is just the CSR expenses because of which the other operating expenses are higher in Q4, right?

Satyajeet Bolar : Yes. That's one item. That's a maybe item. I got it INR14.33 crores as against INR12.84 crores, that's right? In figures. Yes, it's basically because of -- the one major chunk is the CSR expense.

Vivek Sethia : Sure. Okay. And if you could just repeat the breakup of options and futures revenue for Q4 and FY '23.

Satyajeet Bolar : The Q4 is 51% for futures. And obviously, the balance is options. And if you come for the full year. Full year, it's -- yes, full year is the same. 59% and 41%. Futures is 59%. 41% is option.

Vivek Sethia : Future is 59%, and option is 41% for FY '23.

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Satyajeet Bolar : For the quarter, it is 51% for futures and 49% for options.

Vivek Sethia : Understood. And just one more thing on -- okay, yes, you've answered that.

Moderator: Thank you. We take the next question from the line of Karthik V from Invest

ec.

Please go ahead.

Karthik V: So when I look at our options volume in crude, is the fact that there's a cash settled a primary driver for higher options activity in the crude segment? That is question one.

P.S. Reddy: Yes, go ahead. Question one .

Karthik V: The second one is we see some huge seasonality in terms of how the futures have been behaving. And when we take a step back and look at the overall evolution of our options, it looks like a lot of our futures volumes is now getting cannibalized by options. We've not seen any revival there despite reasonable volatility in underlying commodity. So , is it right to say that the futures are now getting cannibalized by options and futures and hence may continue to decline as a proportion? That is one.

Is there an upward feeling with respect to the options -to-futures ratio that we usually see because even in NFC, there is a, let's say, 15x or 20x of an upper limit to where options trade versus the underlying. Those are the three questions on the product segment. I have one more on the tech transition, which will come 1Q and to these times.

P.S. Reddy: Okay. First of all, there is no such limit. The last question first. That's point number one. The second issue is that whether futures is getting cannibalized. My answer is , without futures, there will be no option because these are options on futures. And it may be a temporary phenomenon as the options has picked up very recently in the last 1.5 years. I think it is yet to settle down in terms of realization from the members that futures is , as much important as the options is.

And whether it is a cash-settled product that is going up, no doubt, cash -settled products are the darling of the market. And there's no doubt about that part of it. That's all I can say.

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Karthik V: And sir, globally, do you see any other markets where commodity options are a large component of trading activities?

P.S. Reddy: Usually, options are 20% of the futures, but it is on the reverse side. That's the way it is in India. And that is true in the equity markets also. You must have seen that.

Karthik V: Okay. And I want a few clarifications on the tech transition. It looks like you are essentially embarking on changing the entire matching algorithm. Is that the right way to categorize the transition that you're currently doing?

And secondly, if in future, if there is any issue with respect to matching and effectively price discovery, would the exchange be liable for it?

P.S. Reddy: First of all, it is wrong to presume that we are changing the matching algorithm. The reason being is , that this T7 platform is already built in the other exchange, and they are running all that. So , price, time, priority remains the same, and that is the cardinal, our holy grail of the matching medium. It is just that certain types of orders are not permitted. So , the match -- that orders don't get matched here. And obviously, upfront, we don't permit such orders. So that is the only difference. Otherwise, there is no change in that. So, what we have here is T7 is there in the -- in BSE. They are running it, the same matching logic.

Karthik V: I see. So , what we are trying to grapple with, and excuse me if my understanding is poor here, is if you're using the same matching algorithm and, in fact, if you own the rights for the underlying technology from 63 Moons,

except that their support is not there for you to really take advantage of. What is the role of TCS here in terms of the entire overhaul that is happening? If you could maybe explain it in that regard.

And lastly, from a regulatory approval perspective, when do you approach SEBI to approve for this transition? Those are the last questions. Thank you.

P.S. Reddy: Yes. And see that -- as we have a license from 63 Moons, we have also license from T7

-- not from T7, TCS to use the application. Not that we have any other kind of source code or access to the source code. So obviously, the -- only they can fix it, or they can only enhance it. So, in that sense, it remained the same.
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And in terms of TCS services, yes, they will continue to -- at least for 6 years, it is already there. And going forward also, as we keep paying the AMC, we have a perpetual license to use it. That's the way it is.

Moderator: We take the next question from the line of Subramanian Iyer: from Morgan Stanley. Please go ahead.

Subramanian Iyer: I just wanted to confirm a few numbers. So on the tax rate, for the next year, should we be assuming something like 21% or 22%?

Satyajeet Bolar: Yes, I won't be able to tell you upfront what, but I'd just like to tell you 2 things.

One is that we are now from a -- once we go live, depreciation would kick in, right? So the depreciation part would be a major part of that. So that will obviously impact our tax working.

Second thing is that we do not -- earlier last year, we had investments in tax-free bonds, which we do not have. And we do not have now presently any long-term capital loss, which we have fully adjusted. So going forward, it would be at the same range at which we are presently at -- had for financial year March '23.

Subramanian Iyer: Got it. And you gave the breakup of futures and options in terms of percentages given that we don't have that transaction fee number, I'm just confirming what I get by doing some calculations based on your numbers. So futures is INR55 crores. Options is INR53 crores, and the operating revenue is INR25 crores. Does that make sense?

Satyajeet Bolar: I've got future at INR55 crores, and options is INR52 crores.

Subramanian Iyer: INR52 crores, okay. That helps. And lastly, the loss from associates' number was slightly higher this quarter. I mean what's that number exactly?

Satyajeet Bolar: That is because we hold -- see, last year, while we had invested in IIBX, IIBX was not an associate. Our investments as on 31st of March was below 20%. But this year, our investments in IIBX, the international exchange in Gift City, it's an associate. So since they just started operations, they've undergone -- they're making some losses. And our share of the loss has been reflected in our consolidated financials.

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Moderator: Thank you. We take next question from the line of Sanjay Kumar from Ithought PMS. Please go ahead.

Sanjay Kumar: Just a clarification on a previous question. So breakup of the revenue of INR133 crores, futures is INR55 crores, options is INR52 crores, right? And transaction income was -- other income was?

Satyajeet Bolar: The other income is a balance of 133 minus 108.

Sanjay Kumar: Okay INR25 crores. Okay. So my question was on the many contracts that we had applied for. So have we launched anything in pipeline? And lastly, we said that we need certain minimum volumes in futures before launching the options for the same mini contracts. So any timeline for that?

P.S. Reddy: Yes, we have already launched 3 mini contracts, the moment we got this 1 in metals. And we also launched in crude oil as well as NG minimum -- the mini contract. Just we have asked them for nickel and copper, and that's one. And we have also got approval of the steel TMT bus, and once we go live in the new platform, we will be launching that also.

Sanjay Kumar: But these are all the futures, right? And we are launching options also for these mini contracts.

P.S. Reddy: No. Then you have to have a minimum volume of INR1,000 crores to launch...

Sanjay Kumar: INR1,000 crores, is it?

P.S. Reddy: That's right. Average.

Sanjay Kumar: And any update on the coal ministry on the coal exchange, sir? Is it that

or the

electricity derivatives?

P.S. Reddy: I think they have put up a statement. The coal minister has put up a statement of plan or whatever it is in the current financial year, what they're going to do it. One such important and relevant for us is the permitting the coal trading and spot exchange. And they said, we will put it in place by the end of this year.

During this current year, that's what they said. It's there on their website.

Sanjay Kumar: And the electricity derivatives?

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P.S. Reddy: Well, that is a jinxed contract, I would say, because we have not got anything so far, although we have been pursuing. And hopefully, we will get something out of -- let's see. We are pursuing it.

Sanjay Kumar: So final one, if you look at the broker concentration, it seems to be very high, like Angel alone has 55% market share in commodities. So what is driving this? Are we putting in efforts to make it broad-based? Are you comfortable with the kind of concentration that we see?

P.S. Reddy: I think that is wrong. That's not correct. It is not that -- we are seeing top 10 accounts for so much, so much, so much. Top 5 accounts for so much. I don't think we have taken out any name from anybody.

Sanjay Kumar: Okay. This is the data from what Angel gives. They claimed that they have 55% market share in commodities.

P.S. Reddy: No, maybe a specific commodity, that probably -- that's where they may give.

But top 10 members account for Q4, 63% is the concentration, top 10 members.

Moderator: We take the next question from the line of Anand Ladha from HDFC Mutual Fund. Please go ahead.

Anand Ladha: Sir, my question might be repetitive, but if you can answer it, that would be helpful. So, if I had to look at our balance sheet, the capital work in progress and intangible and progress taken together is INR170-odd crores. This is the amount which we are spending for the -- on the technology side? And also, if we were to amortize or depreciate this amount, it will be depreciated over what period of time?

Satyajeet Bolar: Yes. So, this would be over a period of 6 to 8 years, and the figure doesn't include what we will additionally spend. What we have made, either we have paid up or we have made provision for capital expenditures in 31st March. So, there will be some amounts which will still come in one thing before we go live. This is a substantial amount, and this will be spread over 6 to 8 years.

Anand Ladha: Okay. For the tech sector, we would only have AMC fees in our P&L going forward.

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Satyajeet Bolar: That is for the new system. So, we have -- one is for the first year, we won't be paying anything to TCS because it is under warranty. The second year onwards, AMC will start. But for the operating licenses and application licenses, we'll have to pay the license fee. So that would come -- that would be there. And in addition, they would be at the back end. So, the back-office view, I mean, for nontrading, we would need -- we'll have our own IT system, isn't it? So, you have to maintain that also.

Moderator: We'll take your next question from the line of D Anand from White Oak Capital. Please go ahead.

Moderator: I'm sorry to interrupt. So, we are still not able to hear you. You may come in a little close to our network area and then ask your question again.

D Anand: Well, speaking of that, I'll come back in the queue.

Moderator: We'll take a next question from the line of Devansh Nigotia from SiMPL. Please go ahead.

Devansh Nigotia: Just wanted to understand the test cases are 96% to 97%, but why is the coverage of members participating in the mock trials is 180 out of 600? That is one. And another is that can you -- I mean are we seeing any reluctant from smaller members who partici

pated in mocks? Can they show -- can you not participate actively? Is that a possibility? And can that also delay our timeline?
P.S. Reddy: Okay. See, actually, on any given day, about 380 members to 400 members only participate. That's point number one.

Second, on the exchange. All those 600 numbers are there, they are all many - some have surrendered, some have, what we call, remaining active, etcetera, etcetera. So going by the registered numbers, maybe that's misleading, that number. So -- but the active is about 360, 380, sometimes 400, maximum, like that. So that's one part of it. And now we are actively engaging them. And whose ever is contributing maybe, I would say, 95% of the business, they are all there, kind of things.

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So, we are very focused on it, no doubt. But we tell them to come over. We handhold smaller players actually. We want all of them to be on the platform. And I think as we come closer, they will come. That's one point. Second thing, we have not changed anything, but the APIs remain the same. As a result of which, they are confident that it will happen. That is the way it is. The APIs remain the same for many.

Devansh Nigotia: Okay. And sir, just a re-clarification on the capex amount that you mentioned, so it has been increased up by INR50 crores in intangible and INR10 crores in savings, and directionally -- indirectly look like the INR300 crores, INR350 crores capex that you are expecting to do with in TCS. So, can you help us understand that this INR60 crores, which is already capitalized... for additional expenses to TCS, will be over and above this or it includes these already?

P.S. Reddy: As far as TCS expense still balance is there. But we can't tell you, quantify it, and then this much will be there. But yes, whatever we have shown is so much we can disclose.

Satyajeet Bolar: The substantial amount of the... That's what is substantial amount of the entire project cost.

Devansh Nigotia: And the maintenance capex, how will it -- going forward, how much will be the maintenance capex? And also then you mentioned that there is a system refresh, which happens within 5, 6 years. And you also highlighted that the quantum of capex is significant. So, can you directionally help us understand what is generally the quantum? Let's say, we have been with 63 Moons for such a long period of time. If I consider a similar situation, how much this refresh of capex that happens after any -- what kind of quantum look like?

Satyajeet Bolar: The capex, it would be a continuous process, isn't it, of -- there's a continuous process of refreshing the technology, hardware and software -- hardware that would be continued. So, we won't wait for 3 to -- I mean at the end of 5 years or 6 years. So that will keep happening. And the TCS part, again, after we have presently 6 years, 1 is under warranty and then another 5 years. So, then we'll -- and understand, for the 5 years, it's still single digits in crores but all single

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digits. Now obviously, it is linked to the consumer price index. So, it would be accordingly factored.

Devansh Nigotia: So historically, that maintenance capex has been around INR20 crores. Going forward, how do we see that number shaping up?

Satyajeet Bolar: It would be difficult for me to give you a point of view and figure at this point of time.

Moderator: We take the next question from the line of Mitali Shingla from Jagani Investments. Please go ahead.

Mitali Shingla: So, my question is apart from performing an audit, what are the other factors that can prevent you from launching the new system?

P.S. Reddy: We -- I mean, at this point in time, all processes are in place, and all the works are happening. And at least, I, myself, don't see shows

topper. That's the way it is at this point in time.

Mitali Shingla: Okay. So, like after this audit, it's kind of like you can go live, right?

P.S. Reddy: That's right.

Moderator: We take next question from the line of Meet Jagade from Jagade Investments. Please go ahead.

Meet Jagade: Yes. So , my first question, if the TCS model, the software, which we have given the TCS, is the same order, which order of FT, right, financial capability. Like, the source code will remain with the TCS, and we will be paying this license fee. Then why we have -- why there was a need for changing the vendor? What was the reason in taking on this risk?

P.S. Reddy: See, we have floated a tender. Obviously, we are a public institution. I think in the past also, we have said , and it is open , even 63 Moons also would have been evaluated, and they would have also been scored a few higher points. I can tell you that. But then they chose not to participate. And tomorrow, maybe in the analyst call, somebody would have asked why I have not gone through Multi Commodity Exchange India Limited

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RFP route. I think we are a public institution where it is important that we go through the RFP route, and they didn't participate in RFP.

Meet Jagade: So, what I understand is the capex , which we will incur will be over and above the license fee, which we would have paid, right ? I mean that would have been avoided if you -- we continued to this FT platform. Just want to get an idea.

P.S. Reddy: I'm sorry I didn't get you.

Meet Jagade: The capex , which we will be paying to this TCS, which we have already shown as capital work in progress and which will be capitalized once we go live, will have been totally avoided if we continued with financial technologies. Is that true?

P.S. Reddy: Well, there will be another different terms of conditions. We do not foresee what would have been those terms and conditions now.

Moderator: We take next question from the line of Rajesh Mehta, an investor. Please go ahead.

Rajesh Mehta: Sir, just a very simple question. We've been doing the software transition for at least overdue for 3 quarters now. And I understand that you don't foresee any showstopper. So , is it fair for investors to assume that come July 1, you will have the TCS live and running and that, therefore, we should not expect any -- or there is no thought, no process, no system right now to go back to 63 Moons for any contract extension?

P.S. Reddy: Look, all our endeavour is to make it happen, okay? That's what the interim management, the team and TCS , every one of us are committed. Day in and day out, we have been working to make it happen. Now I can't foresee any black swan events or some kind of nasty surprises coming. At this point in time, my -- with my understanding of the work that is going on, I don't foresee any showstoppers. But we wanted to make it happen. I understand the time is a constraint, and we are racing ahead of time -- I mean, in this time. And we should do what is the best possible under these circumstances. And we are doing it. We are not waiting for any kind of push or anything like that. We are just doing it. We want to go ahead. That's the way it is.

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Rajesh Mehta: I appreciate that. Just a couple of things on this. From an investor perspective, when will we get the clarity? Would it be the last week of June when we will know whether there is an extension or whether we are sure to go live? Because it's cutting the edge too close at least as far as investor is concerned. So , I was wondering when will we, as investors, know exactly what the situation is?

P.S. Reddy: So, we will be issuing the market, what we call a circular, when things are done kind of thing. And we are constantly engaging also. So almost all whenever we hold, I mean, we

kly price are 4 times in a week. We are conducting mock sessions. So , we're issuing it. And we are engaging with active member brokers, and we'll communicate.

Rajesh Mehta: Sir, on the last one on the TCS contract, sir, now that the contract rollout has been delayed by 3 quarters. On a hypothetical basis, every quarter of delay, does it add to your overall cost of the project and, therefore, the P&L debits keep on increasing whenever it goes live?

P.S. Reddy: I see there is nothing to do with -- it is impacting in our, what we call P&L because of the payment that we have to make to the current vendor, but nothing beyond.

Rajesh Mehta: Sir, the last question is purely to understand the logic of the transition. From a P&L debit perspective, we don't get any additional benefit to visibility, earlier 63 Moons contract. I am trying to understand whether on a functionality and features basis, the new software will provide any additional benefit to either the exchange or to the members.

P.S. Reddy: Look, the -- I mean the assessment when they made our technology, obviously, it is scalable and etcetera, etcetera. And obviously, T7 platform is proven platform. And Bancs independently has also a proven technology platform.

And that's what the whole effort is to get a better platform for a good experience of the members, investors, etcetera. And then once this platform implementation is behind us, I think there's no looking back.

Moderator: Ladies and gentlemen, we have reached the end of the question -and-answer session. And I'd now like to hand the conference back over to Mr. Reddy for closing comments. Over to you, sir.

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P.S. Reddy: Thank you very much, and I understand that the technology platform is the one which is causing a lot of anxiety among the investors. And as management, as the management team, with all it might, we will throw behind it and make sure -- we are making all efforts, all our endeavour to make it happen and make it live before 30th of June. And we need all your support and that's what we are looking for all our stakeholders also to understand. Thank you so much.

Moderator: Thank you, sir. Ladies and gentlemen, on behalf of MCX, that concludes this conference. Thank you for joining with us. You may now disconnect your lines.

Call: Jun 2023

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Scrip code: 534091, Scrip ID: MCX

Subject: Transcript of calls with Investor/Analysts

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 read with the SEBI (Listing Obligations and Disclosure Requirements) (Second Amendment) Regulations, 2021, please find enclosed herewith the following transcript of the call with investor/analysts:

Sr.

No Investor/Analysts Date Time Annexure

1. Group Investor Call hosted by

UBS Securities India June 05, 2023 04:00 PM Annexure - A

The said transcript is also uploaded on the website of the Company at <https://www.mcxindia.com/investor-relations/ir-meetings>

Further, we hereby confirm that no unpublished price sensitive information was shared/discussed during the said meeting.

Kindly take the same on record and acknowledge receipt.

Thanking you,

Yours faithfully,

For Multi Commodity Exchange of India Limited

Manisha Thakur

Company Secretary

Encl: As above

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Meeting with

Group Investor call hosted by UBS Securities India

June 05, 2023

Disclaimer: This transcript is provided without express or implied warranties of any kind and should be read in conjunction with the accompanying materials published by the company. The information contained in the transcript is a textual representation of the company's event and while efforts are made to provide an accurate transcription, there may be material errors, omissions, or inaccuracies in the reporting of the substance of the event. The transcript has been edited wherever required for clarity, correctness of data or transcription error. This document may contain "forward-looking statements" – that is, statements related to future, not past, events. In this context, forward looking statements often address our expected future business and financial performance, often contain words such as "expects", "anticipates", "intends", "plans", "believes", "seeks", "should" or "will". Forward-looking statements by their nature address matters that are, to different degrees, uncertain. These uncertainties may cause our actual results to be materially different than those expressed in our forward-looking statements. We do not undertake to update our forward-looking statements.

Annexure - A

Multi Commodity Exchange of India Limited

June 05, 2023

MANAGEMENT : MR. P.S. REDDY – MD & CEO
MR. SATYAJEET BOLAR – CFO
MR. DG PRAVEEN – CRIO

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Lavanya Tottala: I have got the ... yes, so the recording for the meeting has started. So, I would request this is a small group meeting . I would request participants to keep it as interactive as possible. So, you could raise your hands if you have any questions so that I can moderate or you can just unmute yourself and go ahead with the question. So, maybe sir to start with I would ask on the question on how do you see on the software shift and what's the what's the timeline and the progress as of now, any comments there would be really helpful?

P.S. Reddy: Sure. On the technology shift or the migration, we are all working towards that.

I think we have taken time , in fact the shareholders were very patient , and I think we were to go live in the month of September I think we got a 6-month extension from Jan to June, but this time we are determined to go with all the functionalities which are needed for going live. Having said this, I also said in the meeting that we had a very good success rate in terms of number of test cases which we have passed through , and all that has happened. We have also already alerted the member brokers that we are going to go live this month , exact date maybe, you know, it could be only on a weekend , we can , or the week beginning of the week. So, obviously weekend we will be transferring all the online trading data and then the transactions data, then we will go live. So, say mocks are available and many members are participating in these mocks that are happening especially on Saturdays they are happening , because that is from the DC. On other days it takes place from DR and full data is being transferred. Of course, the OLTP data will be late, late in the sense a little older , maybe 15 days to one month data, but otherwise we are we are gave we are exposing full data set to the member brokers, and we are very keen to go live that's what all our endeavor is , unless some last-minute glitches come, and which holds us back from going forward.

Lavanya Tottala: Got it sir , so this is really helpful. So, maybe just taking , add with the last part which you have mentioned like if we have or if we face any glitches, so what is the like this next option or how are we planning to handle it , maybe I would put it that way like if there are any glitches how much grace period do we have to handle those glitches at this point of time?

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P.S. Reddy: You see that is the reason why we are we are currently doing the mocks throughout this month , I mean up to maybe last week or before the last week

we will be doing it and maybe we will be, we will be planning , or we may be releasing circular in the middle of the month when we will be going live. So, that by that time we will get a complete hands -on in the sense of the term that we will, we would have run glitch free systems and we will say now we are going ahead on such and such date this month only , that's the way it is. What is plan B ? I think Plan B will be nothing but going back to the 63 MMoons that's the way the Plan B is. There is no other way that we can manage it, which again is been eroding the shareholders' wealth or whatever the reserves that we have. So, that is what we are least interested in doing it, but God forbid if that is the only way to happen , there is no other way. We are making all our effort s; we are leaving no stone unturned to make this go live this month.

Lavanya Tottala: Got it. So, if we are going to 63 Moons we don't have any price or negotiation yet, like would it be continuing with the current rate which you are paying now?

P.S. Reddy: I will not be able to disclose anything on that...

Lavanya Tottala: Okay got it . Thank you and I would request participants to please go ahead if you hav

e any questions or you can raise your hand in case of any questions .

Shalin please go ahead.

Shaleen: Hi sir, can you hear me?

Lavanya Tottala: We can hear you.

Shaleen: So, sir what may determine that we are ready.

P.S. Reddy: Please introduce yourself.

Shaleen: Sir, Shaleen this side from UBS . I work with Lavanya . Sir the question is that what could be the recommended factors here that we can go ahead, or we have to go back to 63 Moons , it's just a n audit report we are waiting for or is there some test results right, so what is the detrimental factor like because we are in Multi Commodity Exchange of India Limited

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the June, right? So, maybe in next one, two weeks we are thinking of going, so is there any decision maker , board , who will deter mine this , if it's going to be our decision?

P.S. Reddy: Well, definitely we will take into confidence the board and the SCT into account and see what will be the determining obviously when we are running these, these mock runs and members participate and they should get whatever transaction they do their output right and the members have to actively participate in and confirm to us yes we are all there. So, that is what we are looking forward to and we did give the files to the members and they have to verify and confirm that yes this is all happening correct , that's what the issue is and we are we are, we are working on it and these are all parallel that's happening including the mock runs , the audits etcetera , etc., they are all parallelly happening.

Shaleen: So, the mock runs are happening parallel and audits are happening, but you do you need to go back to the board for that again , and then get updated or is it?

P.S. Reddy: We will take them into confidence , if there are any risks we will clarify. We will definitely place before the board.

Shaleen: And sir , is there any, there is no regulatory hurdle here right , that in terms of the qualification of the software or the error etcetera that we need to witness that?

P.S. Reddy: Our regulator expects us to run the systems glitch free and make sure that investors are not inconvenienced etcetera , etc., and that's what their ask would be.

Shaleen: Yes obviously , that's obvious, but in terms of pre there's no pre -requirement right that that's just led there's certain parameters that is that are required , that is nothing like?

P.S. Reddy: I have not seen any pre -requireme nt or anything like that yes, that's right to my knowledge.

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Shaleen: Sure, sure, sure that's it from my ...

Lavanya Tottala: Yes, thank you Shal een. So, we have a question from Bhavesh, Bhavesh please go ahead just introduce yourself before going ahead.

Bhaves sh: Sure, thank you. Sir, this is Bhavesh from Mosaic. Mr. Reddy thank you very much for doing this meeting. So, once we transition, you know to the new platform of course the software cost that we are paying to 63 Moons right now will go away. And what will come is a component of amortization costs as well as some annual maintenance costs that we'll be paying to TCS. Now again, you know, from all the comments etcetera that I have attended your calls in the past, the number that I am getting and again even looking at the CAPEX that you have done which is visible in your annual account and getting an approximate number of 6% to 7% of your topline as AMC plus amortization costs. Now, I am aware that AMC will not be applicable on year 2, but from year 2 when AMC cost kicks in and assuming amortization cost of whatever you amortize over 6-7 years and getting a number of approximately 7% of topline. So, my first question is that, is this understanding, correct?

P.S. Reddy: Well, you see the topline keeps changing and if we are doing better than that, that will come down also. So, these are more or less kind of a fixed cost in that

sense for me year-on-year recurring, but then they are all fixed, it will not vary. So, it all depends on how better we perform, that is why incrementally there won't be any additional costs if we do better, but maybe you are right, whatever the numbers you got, but I am not done that, back of the envelope calculations, maybe CFO may clarify.

Satyajeet Bolar: So, I mean just remember that there also be some operating cost that we will be incurring for our application software okay, so that would be an additional, not considered.

Bhaves sh: Okay, okay, but in general there will be a kind of claiming that clearly if you look at, I mean FY23 was clearly a very exceptional year where we are paying excess payments to 63 Moons, but if we see a little more, you know, in the history what we get is approximately 13% to 14% to 15% kind of topline spends on technology costs this should directionally come down as we
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successfully transition to new platform. So, this understanding is broadly correct.

P.S. Reddy: Yes, this should directionally come down. Yes, that is understanding is correct.

Bhaves sh: Okay, okay sir, secondly on the mini contracts, you know which SEBI, you know, had banned in FY19-20, they have now allowed back in Jan, Feb, so what is the status now and to start with, how big of, you know, this mini contracts work for us in terms of overall trading volume then and how do you expect, you know, traders and participants to come back and what is the initial feedback, if you can share some thoughts?

P.S. Reddy: On the mini contracts we have introduced Crude and NG as well as aluminum, lead and zinc, and at one time they were contributing, depending on the kind of product that we had, in the range of 20% to 27%, 30% kind of thing, and although we have introduced them, they are slow to pick-up and as of now you know it's not as much as we expected because we're just, it's about 7-8 months old, all these contracts have been introduced still there are two other big contracts which we have not introduced that is the copper and nickel because it's not only the mini contract, even the trading and delivery units will be different if we have to go for these two contracts. In fact, the volumes in those two contracts were also very large in the past. So, we could not, you know, do that, because of the regulatory requirements. We have made an application, hopefully we should be able to get that, but if once the whole set of players who were there earlier, the mini participants come back again, we should see about 20% to 25% contribution by these mini contracts to the respective total contract, total product contract, product size.

Bhaves sh: And so, what was the reason of regulator banning these contracts in the past, first I mean what's the reason for that and why they have allowed again today?

P.S. Reddy: There was a perception that liquidity was getting fragmented because mini contracts were introduced, but then our view was no, it was not getting fragmented. The smaller players stayed in these mini contracts because unlike in equities where you buy one lot means one share kind of thing. Here one lot means it is as good as one ton of aluminum or whatever that is, and that itself
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is a big one. Now in the main contract one lot means 5 tons, 5 tons is very big maybe 5,00,000 of rupees on which Rs. 50,000 even if you take 10% margin it is a Rs. 50,000 margin. So, it's expensive for them to participate that was the reason why they have quit, but the kind of suspicion that they had was unfounded. So, we went back to the CDAC and made a presentation, what is what, then I think it is restored now.

Bhavesh : So, so the earlier perception was

that these mini contracts are fragmenting the liquidity or it is not, it is basically, it is not helping the liquidity and hence it was being banned?

P.S. Reddy: That is right.

Bhavesh : So, my third question is around FII participation. Now, I am aware that SEBI has allowed the FII participation, but I'm just really curious to know that why would a typical FII would like to hedge through MCX when they already have options and they already pretty well registered in most of the global exchanges, so why would you know an FII would be interested to take an exposure through you know, through MCX or just or any other new exchange, to put it in that context?

P.S. Reddy: See, the spread benefits are unique or to the to the exchange where they are getting traded, okay the interest gap between the near month and then for month will not be the same in every exchange, is identical, isn't it? So, if they want to play in that in that particular region then they will play there, so that means they buy the near month and then sell the for month and then if that benefit is about 12%, 13% or even 15% they take advantage of it that is one, you know, one major this one and that's happening by the way. So, that is one part of it. The second part of it is maybe some of them have got an international exposure and then at the same time they will take the opposite leg, maybe position in this market and that's another reason why they maybe, they want to participate in this. So, it's not necessarily they are all speculators and then, there is one, vibrant markets are there elsewhere for speculation, so why should they come to India and speculate, okay, that could, that may hold good if they are all speculators, but that's not the case.

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Bhavesh : Sir, and on the domestic mutual fund and AIF, what is the kind of response you are seeing, are they coming. I believe there were some issues around the GST registration etcetera which was, which you, which something had to be, and also where are we in that journey?

P.S. Reddy: Yes, I think by and large they are all there, in mostly they are active in the gold contract and maybe some of them have participated in some agree contract especially the cotton, but yes, there are issues centered around the GST and there is a there is a big challenge out there, but if they don't want to take delivery then definitely they will be able to trade and that's not an issue, not necessarily they should take delivery by the way, that is the way it is, but if they want to go for a spread margin benefit, then they have to necessarily take delivery in the near -month and then sell it in the far-month, so for which they have to take delivery.

Bhavesh : Okay, but do you expect all these operational hurdles to smoothen out as the volume picks up, maybe your you know engagement with the regulator, so where does it require, I mean, how do we smoothen out these operational hurdles that the participants are facing?

P.S. Reddy: Yes, on the GST front, I think we have engaged quite long enough with the Government. I think in this present structure of GST, where there is a GST, CGST, there are IGST, there are three separate laws, maybe the challenge to make it, if it happens there is nothing like it, but pending that we have also given an alternative proposal where the warehouses for some of these products could be kept in a free trade warehousing zones where certain laws are not applicable, certain things are not applicable unless you move the material into a domestic tariff area and I think that is under active examination of the Government and other regulatory authorities. If that happens, also again, our problems to a great extent are mitigated.

Bhavesh : Okay sir, sir my last question from my side, you know, some of the other new

business segments that,

you know historically we have spoken about you know, so I had have gone through some of the past, you know, recordings as well as all the transcripts, I have seen currency exchange being talked about or Multi Commodity Exchange of India Limited
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coal spot exchange talked about, even electricity derivatives is something which you have...in the last concall, but in general what are the more avenues that MCX can explore over say in medium -to-long term which can add more growth drivers to the business?

P.S. Reddy: I think, to put things in perspective what we said currency when somebody asked me what is the next logical progression for exchange then I said, that after our trading platform stabilizes maybe step in that direction is not any equities or anything, but then the step in right direction is toward the currency because we are trading in international commodities probably the people who are currently doing two leg hedging one on currency, one on the metal price, I think they don't need to go to two different exchanges probably they can do it on the same exchange that's the logical progression is what I have hinted if I am not mistaken, I think that is the way it holds good. So, let us know let us migrate to a new platform then we will think of all those things. On the electricity derivatives contract, yes, it's still pending with the government regulators, we have been as I said it is a jinxed contract and we have been waiting for their approval for a long time. We have not got as yet. On the issue of coal spot exchange. Coal spot exchange, Government has put up the Coal Ministry has put up what is their roadmap for the next the current financial year for 23 -24. One of the things is, to put in place the regulatory framework for launching coal spot exchange so that's the way it is. So, we are also very keen to pursue that matter with metal junction, MJunction, which we have, you know, an agreement or MOU with them. Then another product which we have got already in April, is Steel TMT Bars and I think, a month or two ago we got the approval, and we propose to launch, once our platform is inaugurated, that's the way it is.

Bhavesh: Okay sir and sir what are we doing in the coal spot? I believe we have some international we have a JV in Gujarat GIFT City, so I mean if you can just share some thoughts there's something which we are doing in gold spot where through GIFT City, Gujarat GIFT City?

P.S. Reddy: Yes, you see, there is a spot exchange setup. International Bullion Exchange in the GIFT City where five of the, I mean three leading exchanges, mean MCX Multi Commodity Exchange of India Limited
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and NCX, NSE, BSE, NSE and MCX and CDSL NSDL have taken equal stakes and then set up that exchange and that exchange is yet to start full-fledged operations. While the regulatory framework is falling in place, maybe slower than we expected it to and some of the, what you call, expectations are met slowly, but that is something there is no competition out there and the management of those respective exchanges are the Exchange, and depositories are working to make it profitable. So, hopefully we should be able to see some light in the next financial year. They just they started in the month of July last year and I think we should give them some time to, you know, come out with flying colors.

Bhavesh: Okay and MCX has 20% share.

P.S. Reddy: That is right, all are, everybody has got 20% equal share.

Bhavesh: Thank you. Thank you sir, thank you very much.

Lavanya Tottala: Thank you. Thank you so much. We have a question from Sanjay Singh from Pine Bridge. Please go ahead.

Sanjay Singh: Hi sir, thank you for taking my question. Just one understanding regarding the testing for the new software, have we reached out to all brokers or it's only a select set of la

rrer brokers which ... which is doing this testing, mock testing?

P.S. Reddy: Well, there is no select to reach out, we issued a circular and everybody's data is uploaded, so anybody can participate, but obviously those who are active

and then who have their skin-in-the-game , they always want to be testing their software , working. So, that's how it. So, it is open to everybody.

Sanjay Singh : But do you have anything , how many percentage of the active members are spreading with you in mock testing?

P.S. Reddy: More than 90% have already , you know those who have , who are trading they all have tested it . I mean who have already traded in mock , participated in mock.

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Sanjay Singh : And any kind of hardware etcetera whatever needs to be installed has already been done with all the active members?

P.S. Reddy: Everything , it is a full -fledged system in place , full-fledged system.

Sanjay Singh : And on the, if I look at your Q4 number , annual number you know there is a CWIP now , intangibles for around 117 crores , which is I assume will be largely because of the new software . Now is it a large portion or 80%, 90% of the cost is there in CWIP or there is a much more needs to come in the CWIP once the software gets installed?

P.S. Reddy: Well, I think any number of percentage will reveal what the full amount is, so it is not fair to tell anything about that part of it, but it's a good amount of hardware component has already been put in place.

Sanjay Singh : Okay fine. Thank you , thank you sir this is all from my side, I appreciate your time.

Lavanya Tottala: Thank you. I request participants to raise hands in case if you have any questions. So, in the meanwhile sir , I just wanted to go back on the question earlier and try to understand if , did you get any feedback from your consumers or the ones who have used , traders , in terms of the new platform versus the earlier one any feedback how they're the ease of use or the UI or any sense there?

P.S. Reddy: Well, you see we have already informed the member brokers we are not changing the APIs, file formats etcetera. So, those members who are using their own front -end software which are serviced by the various vendors or who have their own thing , for them there is no problem for them the experience is going to be as usual in that sense , okay. Now, incidentally, you know, that this is already there in BSE , this T7 platform which is the front end. So, there is no problem about at all. So, all that is , only that who members who are using TWS - Trader Workstations , which is a very minuscule part of our volume, and they may be having some differences they will see so that's fine, but you know, there are some exchanges who have completely done away with the Trader Workstation concept. They say that we will give you only APIs and you please

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customize your own front end, so that's fine. We can , we have to, we have to go with what we can offer at this point in time given the time constraints.

Lavanya Tottala: Got it. So, in terms of even the latency or the speed at which the thing happens in the mock test, is it in terms of the , their feedback , is it similar to the existing platform any?

P.S. Reddy: Latency there is no problem .

Lavanya Tottala: Okay , got it. So, we have a question from Manish Gupta. Please go ahead.

Manish Gupta : Hi sir , this is Manish from PAG . Sir my question was regarding the mock test that you are running , what is the rate of bugs or incidence that you are experiencing there, you know, what kind of failures and so on , if you could give any color on that?

P.S. Reddy: See, when the members, you know, most of them in fact 90% related to initial login okay, So, many have now we have a two-factor authenti

cation etcetera ,

etc., so they find it difficult to log in into the system and some of them are using the , although we have clarified substantially what they should do and we have sent to them what kind of their login is, what is the password first time etcetera, but still find it difficult. Similarly, some members get locked out or go into the square -off mode because we have uploaded the data related to the members collaterals who have a , sometime in the month of May middle of May or earlier than that. Now some of those instruments may have expired so if they

have expired then collateral will automatically brought down. So, the exposure that they have and the collateral that they have, system will put them in a square-off mode. So, these are the issues. Maybe current collateral if I take it, they may not have been out of the system, but because I can't expose the latest data at this point in time, that's why we are working with the old data, and these are the issues that are faced. And some members who are participating using their DR connection, which is a one MB connection. So, they will say that my what you call broadcast is slow, but somebody who is using lease line, they say your broadcast is very good, you know, when we go live, that the trading takes place from the DC that is the data center, primary data center where everybody has got a lease line, that is why Saturdays we are conducting to give a good Multi Commodity Exchange of India Limited
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experience - primary data center. So, there I don't think anybody says that my broadcast is slow that is slow all that kind of. Thank you.

Manish Gupta : Sir, do you think that by the time we go live on the new system these issues will be resolved and maybe say 95 or some, some percentage around that kind of, traders will be on board and ready to trade?

P.S. Reddy: We should be we should be otherwise what is the purpose of migrating it I think we should be able to that's why all our efforts are that's why our BD team is only doing this approaching member brokers, asking them to test the system join and giving them, hand holding them all that is happening.

Manish Gupta : Okay and is there any quantifiable metrics that you're tracking that you know if we achieve that number in the mock test, we are good to go?

P.S. Reddy: There is there is no number, you know, we are using the trade generator also to give an experience of high volume for the member brokers there, algos to run, depending on the speed at which orders are getting pumped. So, I think, all that is happening, you know we are in touch with the main, I mean the member brokers the BD team is in touch with the ... all their representatives and getting them the feedback. The day mock is over then immediately on the end of the day we take a review of what these observations are, whether specific to members are generic in nature. Accordingly, we keep addressing them.

Manish Gupta : Got it sir, and during migration from the old system to the new one, do you expect everything to go smooth?

P.S. Reddy: We have already migrated the legacy data, I think it is more than 20 years data or 10 years data. Definitely more than 10 years data we already migrated, and it is only that OLTP data is to be migrated which we will be doing it, that is online transaction processing data which can only happen on the last day.

Manish Gupta : Okay.

P.S. Reddy: Which is a small set of data.

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Manish Gupta : Okay got it, thank you sir.

P.S. Reddy: Thank you.

Lavanya Tottala: Thank you. Bhavesh, you have a question?

Bhavesh : Yes sure, thank you Sir, this is Bhavesh again from Mosaic. Sir, on settlement Guarantee Fund, I believe management was under discussion with the regulator to allow withdrawal of excess SGF or maybe you know, ma

ybe

fungibility of SGF so that you can help to, you can reduce a portion of your margin and have you know excess filters, and you can take out the excess filter and it is not only required, so where are we in this discussion, was this discussion move forward, was it allowed or where we are in this journey?

P.S. Reddy: See, the ask was, once that we should be able to contribute additional and we should be able to withdraw whenever we don't need it, is the customers kind of thing and that has not been decided as yet, it is still with the risk management committee of JV of the SEBI and I think that's one ask that we have. All Exchanges put together also submitted a proposal and that is being examined.

So, once that comes through then only, we will be able to comment on it.

Bhavesh : But just the current understanding, perspective, if the regulator permits you to withdraw excess SGF, you will be in a position to reduce the margin that you

are charging to the participants right now in various contracts and that will in a way even create the volumes and then of course when you need to, you know, I mean you don't, I mean don't take back SGF, you can take it back and then accordingly increase the margin. So, this will help you to you know get more trading volumes, is this understanding correct?

P.S. Reddy: That is right.

Bhavesh : And sir as we transition from old to new software there are very clear tangible benefits that MCX will get. During your engagement with the regulators at any point of time, have you got any sense that what should be the ROEs or the margin thresholds that you know regulator would be comfortable that MCX should be getting or is it something that you know you would like to pass on Multi Commodity Exchange of India Limited
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some of the pricing, some of the margin benefits that you will get in terms of lower you know, rates exceeded any charged with the participants, so any thoughts around this, that do you think that there could be a relook at the pricing that we charge to participants?

P.S. Reddy: See the regulators don't get into the commercials of the Exchanges, and as far as possible they will stay away from that. They want a robust trading system. They want a system to run 24 by 7 and resilient and then meet the expectations of the stakeholders. Now, whether it will save some money or increase puts more money whatever it is, cost you more, it's up to us. Now whatever the benefit that we get, it is not immediate. I think we have to wait for some time and recover the cost that we have incurred in the development of this project. It's only thereafter we can look at what is the tangible benefit that comes to us. Of course, pending at this point in time, we have in fact, in 2-3 calls also I have made, at this point of the time, it is a kind of a no gain, no loss kind of thing. Volumes increase, obviously there is no incremental expense out here and you will only gain, that's what I said.

Bhavesh : And sir when we look at your revenue breakup components, you know from, I mean, research services is very small, I believe even co-location. I couldn't really see a very large component, so do you think these other forms of, you know, revenue streams will start kicking in over a period of time or this is something you would expect to remain very small?

P.S. Reddy: Sorry I didn't get your question; sorry I didn't hear.

Bhavesh : Sure. When we look at your revenue breakup, bulk of the revenue is driven by transaction, transaction revenue, you know, other components like research services or you know like maybe co-location services all these components are very small for MCX today, so do you expect these revenue streams to grow faster as we move ahead, or you expect these to remain small?

P.S. Reddy: Okay, currently there is no co-location facility. So, there is no question of

collocation revenue coming into it because the regulators don't permit anything of that kind. As regards to the research, there's hardly any research, but there Multi Commodity Exchange of India Limited
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is a data services. We give what you call, shared data with the vendors. So that income is about 8 crores, 7 crores, something like that.

Satyajeet Bolar : It has increased substantially over the years and also during this year, we also have provided consultancy to ... it is a onetime ...

Bhavesh : Okay so just to clarify SEBI doesn't allow co-location for MCX, but I believe they do allow for equity exchanges like NSE, BSE right? So, this is maybe it's just a matter of time that they will allow MCX as well?

P.S. Reddy: In commodity markets it's not permitted. In equity markets, yes, it is permitted.

Bhavesh : Okay ...okay and are you in discussion with the regulator to permit this at some point of time or you don't expect this to come?

P.S. Reddy: No, I mean that discussion will take place, but let me first cross this bridge of migration of platform.

Lavanya Tottala: Thank you. We have a question from Sanjay Singh again. Please go ahead.

Sanjay Singh : Hi sir just wanted to understand, you know, on the index options index trading the product, you know I understand the base metals didn't do well because of the nickel issue, but even the energy and the, you know, bullion stuff the

volumes are very minuscule. I think energy is almost topped and bullion is mainly bullion. So, I mean why is it so an equity and because here there is a major issue because I think in your other products the expiry technically happens two days before the actual expiry because of logical reasons, but in index it can be carried till last date if I am not wrong, so why are the index here, the product is not working despite, you know, almost 95%, 90% of volumes of NIFTY is just Bank NIFTY and NIFTY ?

Praveen DG : See, currently if you look at equity markets , index options are the most popular ones and like options are most popular, but out of options again if you look at it, it is the index options. And index options are also mostly the ones which are more liquid is the shorter duration contracts , like a weekly options. Coming to the commodities market , the time when we have launched it , that time it was Multi Commodity Exchange of India Limited
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almost like that time coincided with the peak margin reporting. So, that time it is for the futures, but subsequently the volumes all have shifted to the options. Today, we don't have the index options because there also we are looking at once this technology migration happens post that we wanted to introduce some of the shorter duration index options because there has been consistently a demand for shorter duration index products. So, that is the reason we've been waiting. Once we get so that means we make this tech migration definitely we will be in a position to introduce some of the contracts in the index also.

Sanjay Singh : No, but currently it's a one-month option, right?

Praveen DG : It is currently a one -month option.

Sanjay Singh : But even in the one month there is hardly any volumes?

Praveen DG : Sorry options are not allowed , what we have is only monthly futures right now . So, we are waiting for first to introduce the options, subsequently we can look for some shorter duration contracts also , so that it will increase the market interest.

Sanjay Singh : Okay got it. Thank you very best and all the best.

Lavanya Tottala: Thank you. I request participants to raise their hand if there are any questions. Maybe sir, just going ahead with the earlier question, as you were mentioning that you plan to introduce index options, do we have that kind of enough volumes to introduce options because we have the criteria to , the underlying fu

tures to have certain amount of volume before we launch options, right?

Praveen DG : Yes, currently there is no criteria for index options , that kind of criteria is only applicable to commodity options , that too , if it is commodity options on futures , not on options in goods. So, there is no criteria .

Lavanya Tottala: So, there is no criteria, but the underlying will still be the index futures, right, which is not liquid?

P.S. Reddy: No, no it won't be. It won't be option on futures. It will get settled directly .

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Lavanya Tottala: Okay got it. And just going back to on the mini contracts part, so earlier we have , I mean as compared to whatever products we had earlier in 2019 and now, the key products are not yet launched because of operational issues. So, what is the contribution of those two to one or two mini contracts yet to be launched and what are the main operational concerns that we are seeing to launch those products?

Praveen DG : See currently we have introduced the mini contracts in all the commodities except all , in the sense , where we were having earlier, we were having the mini contracts. The exception is copper and nickel contracts because in both the cases we had to increase the trading unit itself to match with the delivery units. So, earlier they were having smaller trading units but subsequently we had to increase it in case of copper . We have increased from 1 metric ton to 2.5 metric ton and there was also some 250 kg mini version was also there at that time, but we had to discontinue, and we had to come out with only one single contract. So, we had to introduce the 2.5 metric ton contract . In case of nickel also we were having two contracts that time one was of 250 kg the other was 100 kg nickel contract was there, but now we have introduced 1.5 metric ton nickel contract because of that kind of constraint . But now we have requested

SEBI to consider differential trading unit and the delivery unit considering the kind of deliveries that happens in the domestic physical market . Nickel is completely imported from global markets. So, if that is the case the lot size and everything is different, but if you want to trade in that kind of big lot size , like even if today you consider our 1.5 metric ton contract , it comes very high. It is close to 30 lakh to 40 lakh worth of contracts which is not that much enticing, interesting for the market participant. So, there has been a demand for reducing the trading size, but for that one I think some amount of concession has to be given by the regulator , like differential trading unit .

Lavanya Tot tala: So, now our delivery as a percentage of overall trading volume is lower, but even for that part of delivery, we will need that differential thing so to introduce the mini contract?

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Praveen DG: Whether it is mini or main deliveries always happen to be a fraction of total traded volume in any markets , internationally also . Because these platforms are meant for price discovery and you can say that it is hedging purpose.

Lavanya Tottala: Got it, got it. So, we have a question from Bhavesh again , Bhavesh go ahead we have last 10 minutes you can go ahead.

Bhavesh : Sure. Thank you ma'am. Sir this is Bhavesh again from Mosaic , sir any thoughts on resignation of CTO who is handling that role now within the organization or if you have had somebody then or are we looking for somebody for any thoughts around that?

P.S. Reddy: I think the previous CTO resigned for personal reasons and we are looking out for a new one although we have one more as a Chief Digital Officer who has been given an additional charge. And yes , if he himself, you know, is good to have , then we will designate him, but we have to go by a competitive search process that's why we are doing this.

Bhavesh : Okay so currently we have somebody internally who is who has taken up the role?

P.S. Reddy: We have already issued that communication to BSE . Mr. R. Rajendran , he has been given additional charge of CTO , who was former CTO of NPCI.

Bhavesh : Okay, okay got it sir thank you very much sir . And in future how do we manage such critical risk because I was just going through the LinkedIn profile of the earlier CTO and I did see, you know, he had jumped quite a few jobs before getting into MCX. So, I mean two years, three years, what we typically see.

So, frankly, looking at his history in the past and then having an exit within two years was not very surprising. So, how do we fix this thing and how do we retain the right talent, how do we identify the right talents, if you can share some thoughts around that , it's a very critical point that the CTO has quit , so do know what exactly happened.

P.S. Reddy: That is right , especially when the project was on I think , we had three CTOs , that put it that way . And, but then because the markets , especially the

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technology markets are volatile and irrespective of the age of the technician whether he is a fresh graduate or a seasoned one I think even they are preferring to or moving to greener pastures. So, how do we retain , I think it's a challenge for us and I do not have a definite answer on this, but I think as the time goes by, I think they will also see that what is MCX kind -of platforms , more stable platforms , and maybe it is better to stick around , that is the way I think some sense some sense will prevail , that is the only thing I can say, but then how much ever salary we offer that doesn't, you know, that doesn't meet the , doesn't satisfy the people.

Bhavesh : Okay sir , and do we plan I mean is there anything in discussion phase also that we might think of having an ESOP plan at some point of time or is this something which is not on the cards at all right now?

P.S. Reddy: I think KMP 's and you know CEOs and others , I mean all KMPs are excluded from getting any ESOPs. Maybe at all if we have to introduce, we have to introduce for other people, that is the way it is.

Bhavesh : Ok. And is there any regulation around this , or this is something which ...

P.S. Reddy: That's right. It is a regulation.

Lavanya Tottala: Thank you. So , we have the last 5 minutes , so any of the participants, if you have any other questions. Maybe we can take the last one or two questions. Ok.

Maybe I will take this. Sir, I just wanted to understand , on our internal tech capabilities. So, post this transition, do we have or already built up our internal tech capabilities in terms of handling the whole tech transition and even after...TCS will be the one to support, but how have we built our tech capabilities , I would like to understand.

P.S. Reddy: Well, the TCS platform being a new platform and then we have entered into a new contract including a 5-year AMC and 1 year warranty period, so I think there is enough time for us to replace the TCS services with our own services. But in the transition period also we have built a good amount of in-house talent . I think they should be able to manage the operations and as we go along also, Multi Commodity Exchange of India Limited
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we will be taking on additional people to meet the requirement. It's not one fine morning I can say - yes, it's there.

Lavanya Tottala: Got it. So , is the understanding right that over the next 5 years as TCS gave us support, we will also be building our internal tech capabilities to support everything by ourselves , right?

P.S. Reddy: Yes, that's right.

Lavanya Tottala: Got it. Thank you so much Sir. So, if we don't have any questions from the participants

maybe, I think we can take it as the last question. Thank you so much sir for your time.

P.S. Reddy: Thank you madam. All the best.

Call: Jun 2023

MULTI COMMODITY EXCHANGE OF INDIA LTD.

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CIN: L51909MH2002PLC135594, info@mcxindia.com MCX/SEC/2232 June 09, 2023

The Dy. General Manager

Corporate Relations & Service Dept.

BSE Limited,

P.J. Towers, Dalal Street,

Mumbai - 400001

Scrip code: 534091, Scrip ID: MCX

Subject: Transcript of calls with Investor/Analysts

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 read with the SEBI (Listing Obligations and Disclosure Requirements) (Second Amendment) Regulations, 2021, please find enclosed herewith the following transcript of the call with investor/analysts:

Sr.

No Investor/Analysts Date Time Annexure

1. ICICI Prudential MF June 02, 2023 12:00 PM Annexure - A

The said transcript is also uploaded on the website of the Company at <https://www.mcxindia.com/investor-relations/ir-meetings>

Further, we hereby confirm that no unpublished price sensitive information was shared/discussed during the said meeting.

Kindly take the same on record and acknowledge receipt.

Thanking you,

Yours faithfully,

For Multi Commodity Exchange of India Limited

Manisha Thakur

Company Secretary

Encl: As above

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Meeting with

ICICI Prudential Mutual Fund

June 02, 2023

Disclaimer: This transcript is provided without express or implied warranties of any kind and should be read in conjunction with the accompanying materials published by the company. The information contained in the transcript is a textual representation of the company's event and while efforts are made to provide an accurate transcription, there may be material errors, omissions, or inaccuracies in the reporting of the substance of the event. The transcript has been edited wherever required for clarity, correctness of data or transcription error. This document may contain "forward-looking statements" – that is, statements related to future, not past, events. In this context, forward looking statements often address our expected future business and financial performance, often contain words such as "expects", "anticipates", "intends", "plans", "believes", "seeks", "should" or "will". Forward-looking statements by their nature address matters that are, to different degrees, uncertain. These uncertainties may cause our actual results to be materially different than those expressed in our forward-looking statements. We do not undertake to update our forward-looking statements.

Annexure - A

Multi Commodity Exchange of India Limited

June 02, 2023

MANAGEMENT :
MR. SATYAJEET BOLAR – CFO
MR. DG PRAVEEN – CRIO

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Sanket Gaidhani : We are starting the meeting, right? Hope we are audible now. Just to get the elephant out of the room first, we will discuss the business part, but on the repeatedly asked question on the tech transition. I remember when we met last year around August, we were in the phase of completing it for September last year. There have been delays, there have been some procedural issues. Where are we in that phase today? Would it be fair to assume we are in the last leg of completion? And maybe June deadline which we have, which is the last deadline. Are there some of the trials and tests and procedures and audits pending? What should be the right estimate in terms of timelines, incremental to look at?

Praveen DG: We have said in the call also, I think you would have been a part of the call – the exchange is very much determined to go live, mock s have started, there have been many more such activity and most of our actively trading members already have taken part in this. And for others, their CTCL provider, they have participated. Then it is like, they will also get the complete training because most of them use the CTCL. That way, it is like I can say, our desire, endeavor, and we are determined to go live... It is always, you know that, fine, you can all say that an element of black swan risk isn't always Given that one, we are otherwise wanted to go ahead. When we will be informing the market while we will be doing the migration because they also have to prepare themselves.

Sanket Gaidhani : I understand this piece better. You mentioned that CTCL members, some of the members have already started the mock trading. What percentage would have already gone through the mock? Because, we have a large base of customers in terms of.... What percentage would have already tested the mock? And what percentage is completely new to the mock?

Praveen DG: Recently probably more than 200 members have participated in the mock. That means most of them are, you can say that they are amongst our top members.

That way it is like, some of the people against our ...but these people are covered, and it is like majority of the key members have been covered, if you look at even the concentration-wise and other things, top ten itself is about 63%. Even

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though we have members of about 600. The active happen to be around 400. They are going to be active. I think in that case, if you look at it, a decent number has already participated.

Satyajeet Bolar: There is a mock even on Sunday. Not only tomorrow, even they have ...

Sanket Gaidhani : Coming to that part, we have mocks on Sunday. Have we tested the mocks during active market hours for all the participants or is it....?

Praveen DG: We are doing on a daily basis as well as Saturday and Sunday. Some we do it from DR, some we do it from primary site. But primary site it is like we do it on Saturdays and Sundays when trading is not there because both the things

you can't do at the same time. So, other days we do it from DR.

Sanket Gaidhani : Have you tested it similar to the existing platform, full-fledged , completely available?

Praveen DG: The mock in the sense it is like all the data is going to get feeded into that one and you will have some simulators also so they can get the real feel about what kind of products are trade d, automatically it will get matched in some other order. But like an active trading platform, you cannot expect that all the people will come and trade on this one. Those are similar to parallel runs where whatever trade happens, you run it on the new platform, and you will see whether the results are coming very much closer to the old one or not. That is how you look at it. But mock is like more of like who are the clients and everything.

This will get uploaded in the mock and then it will be looked at like, okay, whenever you want to trade, it is like exactly a replica of what trading system is all about but because not everybody will be participating.... We cannot expect a member to participate throughout the day like in case of actual trading. That is not there.

Sanket Gaidhani : Assuming that the transition happens from 1st July, would there be parallel runs of the existing software as well or transition would mean the existing will cease to exist and we will completely move to the new software.

Satyajeet Bolar: The second part.

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Praveen DG: Migration happened means we are done with the old one and we have moved to the new one. Once we have moved to the new one, there is no looking back . That is not possible.

Sanket Gaidhani : The status we are today in, in terms of transition, do you think one month is the appropriate time for shifting to the new platform or should....?

Praveen DG: It is not one month, right? It is happening for many months. Many mock s have happened. The last month and.... is happening. That way it is not something which is just in May. It has happened. Like I said earlier also, we a re very much determined to go ahead with migration unless some last moment anything problem happens.

Gaurav Jain: What was the addition in this mock as compared to what was being done?

Praveen DG: There won't be any major additions in this one. There have been a few elements if at all anybody , any member has given any feedback, those things would have been added to that one , if some any feedback if there is anything. You cannot change the entire system if somebody has given something. It is like more or less the same. I f at all any tweaks, minor tweaks are required then that would have been taken up ...

Gaurav Jain: And in terms of going through the circulars ...whereas the earlier one used to have some 21 points ... back-end testing. This has some 32 points. Were there some real changes that we were....?

Praveen DG: Earlier one means which one you are talking about?

Gaurav Jain: The mocks conducted before this mock.

Praveen DG: You are talking about September or November?

Gaurav Jain: No,...day, but it was not much difference ...

Praveen DG: I don't know exactly. Maybe the numbers you are talking about , the pages. I didn't really go into that much of detail. But I don't think in one day a lot of

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change can happen between the older one and the new one. That is not possible.

Minor tweaks can be done, that's all.

Sanket Gaidhani : With this pilot, with this mock which we have done so far, what has been the experience? Is it more on the settlement side? There have been....

Praveen DG: Mostly it is on the settlement one which we have been focusing also ...

Gaurav Jain: On the interface, in terms of execution, there have been no challenges? It has been seamless?

Praveen DG: Seamless means, like I said, trading -wise, there are not major issues coming.

Mainly it has come on customization kind of issues where there is some generation of some reports and certain things which may not be getting in the right way.

Satyajeet Bolar: In the call also, MD had mentioned that there are one or two levels of bugs. Now we are getting low-end bugs, which could be handled.

Sanket Gaidhani : Before this transition, suppose we are ready for the transition from 1st July. Are there any particular approvals that we need to have from SEBI? Or is there an audit procedure internally who in fact will give a go-ahead? Would it take subsequent time?

Praveen DG: SEBI has given a testing framework.

Sanket Gaidhani : Adherence to that framework would be parallel with the mocks and testing phase or would it start once we are ready with the software?

Praveen DG:

Parallel.

Sanket Gaidhani : So, other than the completion of the software, we should not expect any other delay? That the audit is pending or anything else is still pending which would take 3-4 more months? We should not expect that sort of delay?

Praveen DG: As of now, we are not seeing anything major. Like I said, anything comes, it's very difficult to say ... Other things we are closely looking into the various

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aspects, but we will have to meet all the compliance requirements when we go live.

Gaurav Jain: The number of people who are participating, is 200 who have participated in our this thing out of the 400 active members? From 1st July...use the software. Is it fair to expect that some percentage of people will drop out ...

Praveen DG: Not necessary. I don't see that that is major ... because most of your top brokers are participating.

Gaurav Jain: And the 60% to 70% ...

Praveen DG: Top ten only I am saying it is about 63% like that. If you are taking top 40 or top 50 means significant portion. I am saying more than 200 people have participated means majority of the people have already participated. That means volume-wise if you look at, but it's an insignificant portion of the people who have not participated. We don't see that one as a major, you can say, impact can come because of...

Sanket Gaidhani : We were expecting some cost saving post this integration post moving to TCS platform annually because it has been a separate platform. There will be some cost savings. Now, already we have seen a significant delay. Are there any clauses, part of this transition we would be able to recover whatever excess software cost we have paid during the last financial year.?

Satyajeet Bolar: There is a penalty clause. But obviously when we bargain and gave the contract to TCS, there was hard bargaining. We won't be able to recover these additional expenses that are there, but there are penalty clauses.

Sanket Gaidhani : But there would be some hard penalty clauses, I think, if there is....

Satyajeet Bolar: But it would be linked to your contract value. Can't be more than the contract value.

Sanket Gaidhani : So, up to contract value we would be able to.

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Satyajeet Bolar: No, it is obviously not up to the contract value. There is a percentage that we can kick in, but it won't be substantial to recover the additional amount that we have paid.

Sanket Gaidhani : If there has been a delay and we have paid excess which would be at the shareholders' cost because there has been a great impact on the profitability of the company in FY23, in completion of FY24 as well. Is there no clause that we would be able to recover this?

Satyajeet Bolar: Entire amount?

Sanket Gaidhani : Entire amount or whatever excess we have paid in the last year. It should be considered as...cost or one-off expense in the last financial year or maybe ...

Satyajeet Bolar: We have shown it as ...

Sanket Gaidhani : Does the regulator intervene into such issues as in delays because of implementation of the software? Because, at the end of the day, there are one set of stakeholders, i.e., shareholders; at the other end, there are stakeholders like the customers that will trade. Would the regulator intervene in such delays at a point of time when it's anyway happened like one year delay, now let us

intervene into this?

Praveen DG: Ultimately, it is the primary responsibility of Exchange to ensure business continuity . SEBI has been informed of the developments whatever is happening. SEBI, first they will not get into because they will have to understand what kind of challenges are there while we keep informing them.

Sanket Gaidhani : There have been instances in the past whenever we have moved to some other software or we

have done some addition to the software, what has been the experience during those transition phases as well?

Praveen DG: Yes, additions happened. It was 63 Moons only that time. So, the current vendor happened to be the... Even these developments and the incremental developments done will have to be only....

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Sanket Gaidhani : They only did it. But there would be some transition phases during that period as well.

Praveen DG: You cannot compare this one with any other phase. It is completely different...

Satyajeet Bolar: ... a platform itself. I don't think this has happened anywhere in India.

Sanket Gaidhani : Could this issue have been avoided if we had done it ourselves instead of appointing a third -party for....?

Praveen DG: We don't have that kind of development team . That kind of team should have been... Even the contract also asked the permission to....

Satyajeet Bolar: I think we should also remember that there is one TCS. We have not gone with anyone else. We have gone with a marquee Indian tech company. Isn't it?

Sanket Gaidhani : Correct. It could be getting too much into detail, but going by the experience we had for the last one year, what were the real challenges which led to this delay? Was it on the service provider's part? Was it all the changes which we made to that initial software led to such delay?

Praveen DG: T7 have been deployed in many countries also. As well, BSE also uses the T7.

You require an integrated platform, both trading as well as you will be requiring the clearing and settlements also. This kind of marriage not happened anywhere. It's more like happening here. That is one challenge, the integration has happened ... Other part is customization. While global markets, the requirement happens to be different. Indian markets, there are many things which were automated . It is not just a platform. You also require various people if you are all automated. Now, it is like all which have been done over the period of many years. Even when we have started using, we have not reached that stage . It all happened over a period of time. That means it took you can say that 15 to 16 years of time , which took all these years of development. .. But now you have a limited time within which you have to develop. You can say that indicated one product that really... Second part is customization, which is another part of it.

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Sanket Gaidhani : It was largely dealing with customization and a unique nature of this contract which has led to the delay?

Praveen DG: Yes, because we could not start much earlier. That is another thing. Otherwise, because of the contract, we could not able to....

Satyajeet Bolar: Contract with the existing vendor says that we cannot even float an RFP 2 years before the maturity of the contract. So, your window was only 2 years. We floated RFP sometime in October -November 2020. Then we went through the RFP process and appointed TCS. TCS was awarded the contract in February. We did our part of it, but the window was only that much.

Sanket Gaidhani : Just one last question from my side on the tech platform. In the worst scenario, if there is a delay and if we need to renew this contract with the existing vendor for 3 more months, that would be a possibility, right? The way we have extended the contract for 3 and 6 months , would we be able to extend it for 3 months or maybe 6 months? That liberty we have? Or would it be 3-year, 1-year contract?

Praveen DG: At this hour at least, I can say it is more of a hypothetical question because it's too early to really look at it. Because, while we are focused on doing that kind of thing ...

Sanket Gaidhani : Are we in a position to negotiate with the existing vendor for shorter period, or no?

Praveen DG: There c

cannot be a give or take kind of thing right now.

Satyajeet Bolar: Earlier also they have said.... Last time when we went, they said minimum 2 quarters. That's why we entered in for 2 quarters. They are not in a position....

You are aware of it, isn't it?

Gaurav Jain: Where are we exactly in terms of timelines that... at least from today? Do you have an internal... provide you with a... How is... because this is the progress path that is necessarily is a 28-day affair, very critical thing that we have to grow... but you have an internal audit... How is that...?

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Praveen DG: Currently it is like target is around the third or fourth week of the June. But we will inform to the market. A circular will be issued to the market. We have to inform the members so that they will also be prepared...

Satyajeet Bolar: I think by around 15th or so, we will inform the market.

Praveen DG: That means if at all really migrating, we will issue a circular informing the market.

Sanket Gaidhani : But that much time we will have to give to the participants also to hear of that okay, this has finally something which has progressed...

Satyajeet Bolar: In the second or third week, we will inform the market.

Gaurav Jain: In the event of any contingency arising out of... software for the initial... do we have any kind of insurance or any kind of payment place which will protect us from any kind of legal downside which can arise from our...

Satyajeet Bolar: We will have insurance. The main thing is that our partner should be able to set it up, up and running. Isn't it?

Gaurav Jain: That is obviously the ideal aspiration that we all are going for, but we can't rule out 1% or 2%... That is what is our protection we wanted from...

Satyajeet Bolar: We have the right to take whatever protection we can. But the main effort is when we decide to go live, these are all the factors that we will consider. In the next 10 days, these would be the factors that we would consider. Because, obviously, we would not want to go live and then flutter and have some issues.

Sanket Gaidhani : Sir, moving to the business side, if I look at the options, the options volumes have been doing phenomenally good. Even if I look at the current month of volumes, month on month, there has been good jump and it is largely coming from one commodity. What has been the....

Satyajeet Bolar: Last month it was also from Bullion.

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Sanket Gaidhani : Bullion, it was there. But crude it has been consistent. Consistently crude has been supporting the overall options volumes. What has been our experience in terms of the current options volumes which we see on the crude side and on the other commodities?

Praveen DG: Even if you look at equity markets, this is dominated by basically one or two index products. You should not be really bothered about concentration because these are cash-settled products. Obviously, natural choice for many of them will be the cash-settled products. Beyond that one, what we have been doing is we are diversifying that particular asset... Once I think migration happens, I think we can also look for shorter duration products. That can really add more value to the participants. Today, one of the major challenges are bullion options, especially Gold 1kg options. That is a bimonthly one that we wanted to go, but because we are in this transition, we could not able to move ahead and that is definitely our desire. Apart from that one, all the silver options are all bimonthly options. That also we wanted to make it monthly or shorter duration contracts. Then you have the index. The index is actually cash-settled product. Now the transition is after the peak margin, everybody is now looking at options. I think weekly options, fortnightly options, a

and other things

definitely will see interest.

Sanket Gaidhani : On the options, currently we have option on futures. Would it be fair to assume

that there could be extension to this options portfolio as well? Because, unless and until we have some futures on any particular commodity, we could not have options on those. So, could there be an extension of these options?

Praveen DG: Index we can do it. There is no challenge there. Without even having an underlying futures, you can able to do. That means there is no threshold which has been stipulated by the regulator. In case of other products, a minimum of thousand crores should be there. If you have it, then you can come out with an option on futures. But in case of index, we don't have that.

Sanket Gaidhani : Even on a smaller....

Praveen DG: It is not going to be an option on futures. Directly, it can be settled based on the index like in the case of equity indices.

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Sanket Gaidhani : Just one thing on crude options. We earlier had very high margins on the futures contracts. During FY20 and FY21, the margins were very high and subsequently it reduced. And that time, the volume had also come down on the crude side, on the futures. Now if you look at the crude volume, it is phenomenally well ahead of what we used to do on the futures as well. What percentage would be a shift from futures to options, purely? The traders who used to trade on futures have moved to options. What would be the new customers which we are now able to recruit because of the low margin on the options?

Praveen DG: That you would have seen. I think the numbers also we have given in our investor presentation. The number definitely there has been a drop in the case of number of UCCs who have traded in the futures contract compared to the options contract. But given the drop and given the increase that if you compare both of them, there is a substantial increase happening in the case of options products. That means net on net, there is an increase in the overall UCC traded on the derivative products, but definitely there is some amount of drop that has happened in futures. It's not like totally you can say that all have migrated to the options. These are all options on futures. That means you definitely would be requiring that kind of liquid futures contracts. So, Algo traders, whoever is writing options one side, provides liquidity to futures contract because they will not be able to give in isolation. It is not possible. They have to trade that, especially the writers, because they have to protect themselves from that kind of risk that can arise by just selling, by writing that kind of options. So, they miss that. I'm saying while retail and other people, some of the people, especially those who are not interested to part of their money margins getting into this kind of margins, they are preferring the options because after the peak margin reporting introduction, in case of options, you have to just pay the premium once. After that one, you will not have to repeatedly look at what is the margin and all. That is going to give some comfort to some of the market participants. They are preferring this kind of options, but naturally algo and some of the hedge funds are looking at futures continuously.

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Sanket Gaidhani : What would be the composition of institutional clients in the options side – proportion between institutional and retail from the overall ADT? A ballpark figure.

Praveen DG: While algos can give you some indicative numbers because algos in options it is 54% to 55% and futures it is 50%. And client trading, again it is about 50% in options; futures it is 53%.

Sanket Gaidhani : What was the peak number in futures in terms of algo trades during the history

of

of the company? Was algo at....?

Praveen DG: It has been increasing. I can say that recent numbers could have been higher than the earlier ones because algos of late have been increased. Not only in the commodity but it is also across products. But that way, we don't see it as any threat because of that one because we see that that also will provide liquidity.

In fact, if somebody wanted to take, you require a counterpart, and commodities are traded too late in the night. So, you require kind of algo presence. There is a decent algo compared to what is happening in the equity

markets.

Sanket Gaidhani : I was just trying to understand how has been the participation of the algo traders and institutional clients on the options side and should we consider that sustainably this number would continue to move up? Would it provide additional ADT or...

Praveen DG: Percentage -wise if you look at it, it may go up also, but overall pie may itself grow.

Sanket Gaidhani : That has been the case so far – the pie has been increasing?

Praveen DG: I think it has been increasing definitely because 66 is something which at least it all happened within a very short duration of time. We were somewhere around only 25 to 30 . Now , we have moved to 60...

Satyajeet Bolar: And in cases futures is between 21,000 and 23,000, not that it has dropped, but it has been in that range.

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Sanket Gaidhani : Do you think that futures volume would go up from here or it would be range bound in...

Praveen DG: Always I look at both should complement each other, but definitely given the taxation structure and other things, definitely various aspects will favor options compared to the futures. But when overall options is growing, definitely it will complement futures or like if you compare even in the equity market, options have grown. You compare NSE , both options as well as futures contracts have grown . That is how we can simplify. That's grown along with the cash market also, where they can complement each other.

Sanket Gaidhani : This could be just a data point, but this is to have a flavor of how the option market is growing. If you look at the new customers which have come to the platform and dealing in options, has that been largely on the tier 2, tier 3, and beyond markets because MCX has been very strong in tier 2 and tier 3 earlier as well. In terms of traders on the futures side, what has been the trade? Is it largely at the client level? We are just curious. Where are these traders coming from? Is it largely from the tier 2, tier 3 beyond, or is there a new....?

Praveen DG: I feel that that can be one story, but I look at those people who are comfortable in options trading. They are the first ones who could be... I don't think the one who is totally unaware will really will... Then you have a delivery, you have... kind of which is a little bit complicated compared to the... And you know that in India we have many option traders ... It's not like.... In fact, compared to the global market, our markets are totally different because globally it is only around 20% of futures is options, but here it is already where it is completely....

Sanket Gaidhani : Same is the case with the equity market.

Praveen DG: Plus that, you have the slab -wise transaction based on the...

Sanket Gaidhani : During this transition phase of software, we did see some of the launches like mini we have done ...

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Praveen DG: I think this February and March, we have launched 4 contracts... And at least a decent amount of liquidity they already have gained.

Sanket Gaidhani : We have addressed some of the issues on the mini part or some of the commodities we launched last year. Any low -hanging fruit over this transition?

Praveen DG: One is imm

ediately we wanted to come out with the steel , TMT rebar, that which we got the approval, but we are waiting for tech migration ...

Sanket Gaidhani : It would have mini as well or it would be similar to....

Praveen DG: In only one and also maybe in what I can say is we have regular follow -up with the regulator for giving permissions for mini copper and nickel contracts because we lost liquidity in nickel. We wanted to revive that contract. One way is to if we can able to make it a smaller one. Then I think we can able to revive that contract. That contract has substantially been increased. Earlier, it was a 250 kg contract which has gone up to 1.5 metric ton contract. So, the trading value has substantially increased ...

Sanket Gaidhani : TMT approval we got, I guess, 1 to 1 -1/2s years back.

Praveen DG: No, recently we got it.

Sanket Gaidhani : We applied a year back?

Praveen DG: Applied long time back, but we got the approval now...

Sanket Gaidhani : But this is typically the time frame we should consider whenever we have....

Praveen DG: It's not like that. Depending upon case to case. Like mini, we got it very

quickly. The reason is it is a decision that is taken by the regulator that okay, let's go, now you can allow minis also to be traded. The moment that decision is being taken, we have applied, and we got the approval. But in this case, sometimes if they have any doubts, they write us. When we respond to that one, if it is a new contract which is totally different. It is not regular in nature.

In that case, even the regulator wanted to understand it before giving the approval. So, depending upon the product to product, the timelines will change.

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Sanket Gaidhani : Any other products that you think could be a right addition to our portfolio in the near term?

Praveen DG: Electricity has been in our mind, but because of the regulatory challenges, we couldn't get the approval. Otherwise, we would have launched. Second is, just launching too many products also will not serve any purpose. Maybe you will have to launch in a progressive way....

Sanket Gaidhani : Comparing to the globally available commodities available for trading on the options and futures platform, there would be some use cases in India as well, like the customers are currently doing on some other exchange, which could easily move to MCX. It could be very small in the overall scheme of things, but any such commodities which you think could be an easy addition to our portfolio?

Praveen DG: Linked products are very limited as of now because most of the major products like crude oil and natural gas which can be linked are listed. We wanted to make our people also look for products there and then they can take that reference price from there and they can be able to put quotes. That kind of products are today you can say that it is very limited. We don't have any user base and also the regulator is looking for compulsory delivery-based contracts. Considering this one, I think indigenous products have to be developed. But potential could be there for many products. But our focus is now on technology. Because that is the critical element for all of them. Once this happens, our focus can all be shifted to the business.

ICICI Participant: Would it be fair to assume that entire top management bandwidth is currently suffering. Entire top including MD, you?

Praveen DG: Especially you can see MD, technology, ... Everybody's mind is towards that one. Whenever we wanted to some of the product ...all once we get ... Once this happens, I think then we can be able to shift our energy on business.

Sanket Gaidhani : On the bullion side, we currently only have that index kind of options.

Praveen DG: Index options. ?

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Sanket Gaidhani : Silver

was, I guess, only available via index. There was something which we used to do only via index or able to get it. Maybe I will check that out. But on the bullion side, there were some limitations in terms of trading. We had to trade via index only in the futures side.

Praveen DG: Apart from bullion, the gold and silver, we also have Bulldex. It is a combination of gold and silver prices based index.

Sanket Gaidhani : Separate index we were trying to do. Only Bulldex which is a combination of both silver and gold, we were trying to launch something like gold index and a silver index, I guess.

Praveen DG: Single commodity index currently is not permitted by the regulator. That is why, whatever we launch these are all sectorial indices. Composite can be launched, but we currently do not foresee any great merit in launching that kind of composite index with a combination of energy, metals, bullion ... But sectorial still there is a great demand for Metldex. Because of the nickel which played the spoilsport, it has taken away the liquidity from the Metldex.

Otherwise, we get a lot of requests for renewal of Metldex. And anyway, today from the Metldex, nickel has been removed. So, index-wise, now it has only 4

commodities . But yes, maybe we will have to look for ways and means again to revive. Focus would have been shifted to some other product. But now, almost everything has been shifted to options. When index products were launched, we are on index but now the focus has been shifted to options. Now, to revive the Metldex, I feel that the index options can be looked at.

Sanket Gaidhani : Internally, are there separate teams who take care of the futures in terms of....?

Praveen DG: No, it is like.... We have bullion like.... We call them as product management teams. We have different teams for different commodities. We have a separate bullion segment , then we have energy segment, meta l and agri segments.

Sanket Gaidhani : But it would be bifurcated on the basis of the commodities so that the entire focused bandwidth is involved into options. Because that is giving you....

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Praveen DG: For a broker or I say algo trader or you take any general investor, for them it doesn't matter whether you are trading in bullion or you are trading in ... The moment you see the liquidity, you can use your strategy for gold or silver, anything . But our priority why we have constituted this is to focus on hedge rs. Because, while other set of participants will come, you require the focus to bring the hedge rs onto the pl atform. ..

Sanket Gaidhani : Just one last question from my side. On the FPI participation, recently that has been allowed.

Praveen DG: Because the response has been very good and I think around 25 people have registered . Turnover -wise, it is not a great number but responses have been , I can see that it is encouraging. As of now, we are allowing them only in the cash-settled contracts.

Sanket Gaidhani : Which commodities they are largely into?

Praveen DG: Now natural gas and crude oil. They are allowed only in two.

Sanket Gaidhani : But it is largely coming from crude?

Praveen DG: Mostly it should have been from crude oil only.

Sanket Gaidhani : And this could be a big volume driver for us incrementally the FPI participation? Where do you see in terms of the percentage of overall turnover contribution from the FPI?

Praveen DG: It is very difficult to compare. Like in the equity market, we cannot compare here because here the product is also there in global markets. Reliance is not traded anywhere in the world but in India only. But crude is traded everywhere in the world. So, what is that that makes them to look at it is, one is if they are not able to participate in that market. Some people for some reason may not be able to participate. Those people will

I come. The second kind of people who can able to look at it is you can say that some algo kind of people who are maybe trading because for them it is a market -neutral kind of thing because

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they can able to deploy their strategies. Second, if they wanted to balance their act in different markets for inter-market arbitrages, they can also look at it.

Satyajeet Bolar: We should be an enabler, isn't it? That we are providing . Like how 2 years back getting mutual funds in was a big thing. Only around four or five have actually started seeing for commodity . Their contribution has not been so good. But at least the facility is there. Maybe once GST aspect is also taken care of, that GST pain -point , then I think some ...

Sanket Gaidhani : Where are we in terms of GST?

Satyajeet Bolar: It's been escalated at the highest level, but those pain points are still there.

Sanket Gaidhani : That would be the only pain point for more mutual funds to come in? That is the core reason they are staying away from this platform, right? Couldn't we fast... do something on that?

Praveen DG: You know that GST is not completely in central Governments hand

Satyajeet Bolar: It is a sensitive subject, isn't it? But we have to provide the enablers.

Sanket Gaidhani : When the mutual fund started participating and the hedgers , and algo traders , there was a participation build up? We are very hopeful that this could be a big piece, and this would overall increase the liquidity. Similar thing can happen from FPIs as well, right?

Praveen DG: FPIs, for them anyway, as of now that is not an issue because they are allowed

only cash -settled products. Options should be attractive to the FPI s...

Gaurav Jain: Just one query , premium as a percentage turnover ...understand one reason was this more people trading near the high price option. What would be the other reason why we understand that you are not going to reduce the hike of 20%. Are there other s ofware which are leading to say more trading ...lesser premium or something of that sort?

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Praveen DG: There could be a possibility when more people are trading, the liquidity will spread not only from at-the-money, it will also spread to out-of-the-money. In fact, you can say that it will contribute to further growth h...

Gaurav Jain: Even in the premium to turnover ... but because more....

Praveen DG: If it is more out of the money is there because some of the people prefer to trade only in the out-of-the-money because they have to pay lesser. It is like a one-time kind of thing they want to look at to take given about positioning and other thing, they wanted to go for out of the money. So, we have to take it as a positive sign, because it is like as the volumes are growing, your liquidity is spreading beyond your near -the-money and other things to out of the money . As long as the overall pie is increasing, it is good .

Gaurav Jain: As a trend, should we see more of this?

Praveen DG: Only I can say is you can look at the equity market, but I don't know how really that will get reflected in the Indian market, but we have a history there how the things have shaped up in the equity market, but again equity index could be maybe giving you a different picture. You also look at the current cy and also you look at the single stock options. This all can give you a fair idea how t he market can perform. But every product is different in nature that way because given the volatility, given the fundamentals and other things, you cannot strictly compare these, but you can get some trends whatever is there.

Sanket Gaidhani : One last question - is there a case that we can increase tariffs on the options?

Praveen DG: Case is always there. It is like you want to do it, you can do anything,

but it is

like at this hour, like I said, the primary focus is not on any of these things. Our focus is primarily on technology because once it is done, we are through with this one, then we can think of more of all these things.

Satyajeet Bolar: You shouldn't forget that we started charging only in October '21.

Sanket Gaidhani : One and a half year now. We launched it 6 months prior but I think six months we gave it for....

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Satyajeet Bolar: You noticed that because we were not charging. We started charging only from October 21.

Sanket Gaidhani : Now with the response....

Praveen DG: In the meantime, anyway, markets are growing. Let it grow. As long as your pie is growing....

Satyajeet Bolar: Because we had it in place, we were able to manage the margin issues in the futures market, isn't it? If we didn't have options, then....

Praveen DG: We didn't change for many years. Then, we had taken a call a t the right time and w e could able to take the right opportunity...

Satyajeet Bolar: So, let it stabilize, grow a bit. With confidence, we will get comfortable with the product. Then we can take a call. And now we have only 2 slabs. Maybe then the number of slabs also may increase. We could tweak it that way.

Sanket Gaidhani : That's all from our side. Thank you.

Call: Jun 2023

MULTI COMMODITY EXCHANGE OF INDIA LTD.

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CIN: L51909MH2002PLC135594, info@mcxindia.com MCX/SEC/2231 June 08, 2023

The Dy. General Manager

Corporate Relations & Service Dept.

BSE Limited,

P.J. Towers, Dalal Street,

Mumbai - 400001

Scrip code: 534091, Scrip ID: MCX

Subject: Transcript of calls with Investor/Analysts

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 read with the SEBI (Listing Obligations and Disclosure Requirements) (Second Amendment) Regulations, 2021, please find enclosed herewith the following transcript of the call with investor/analysts:

Sr.

No Investor/Analysts Date Time Annexure

1. Franklin India Mutual Fund June 01, 2023 12:00 PM Annexure - A

The said transcript is also uploaded on the website of the Company at <https://www.mcxindia.com/investor-relations/ir-meetings>

Further, we hereby confirm that no unpublished price sensitive information was shared/discussed during the said meeting.

Kindly take the same on record and acknowledge receipt.

Thanking you,

Yours faithfully,

For Multi Commodity Exchange of India Limited

Manisha Thakur

Company Secretary

Encl: As above

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with

Franklin India Mutual Fund

June 1, 2023

Disclaimer: This transcript is provided without express or implied warranties of any kind and should be read in conjunction with the accompanying materials published by the company. The information contained in the transcript is a textual representation of the company's event and while efforts are made to provide an accurate transcription, there may be material errors, omissions, or inaccuracies in the reporting of the substance of the event. The transcript has been edited wherever required for clarity, correctness of data or transcription error. This document may contain "forward-looking statements" – that is, statements related to future, not past, events. In this context, forward looking statements often address our expected future business and financial performance, often contain words such as "expects", "anticipates", "intends", "plans", "believes", "seeks", "should" or "will". Forward-looking statements by their nature address matters that are, to different degrees, uncertain. These uncertainties may cause our actual results to be materially different than those expressed in our forward-looking statements. We do not undertake to update our forward-looking statements.

Annexure - A

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MANAGEMENT : MR. P.S. REDDY – MD & CEO
MR. SATYAJEET BOLAR – CFO
MR. DG PRAVEEN – CRIO

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R Janakiraman: To kick start the conversation, let us straight away take on the main topic of Interest. I think we last spoke to you about six months back and at that point of time, the tentative timeline was about November '22 for implementing the new software, and I think you've had some challenges in meeting that timeline.

Generally , we would like to get your view on that, not only the expected timeline, but also what are the key challenges that are holding you back? Just if you ask me this execution on the software has been quite unlike you , so far.

P. S. Reddy: Yes. I think the only thing that we are all engaged at this point in time or for the last maybe one year , is about making the TCS platform work for us, and it didn't happen , so, we had an extension last time in December . And of course, in September, we had one. And in December when we had a take-it-or-leave - it kind of offer of two quarters, so that is coming to an end in the month of June. So, I think now we are determined to make it happen before the end of June. So, we have also spread around, I mean, spreading to the member brokers to actually test the system. If there are severity of bugs , it's okay. We can live with it, but there should not be any severity 1, severity 2 kind of situation. And so let us see. Members are participating. The interest has increased. Although, in the phase two of this kind of mock, it has happened for the last many, many months, maybe the last three months it has been happening, and hopefully this month that intensity will increase among the members, and we should be able to go live is what my desire is. And that's how we are planning to go live.

But the challenges that we face are primarily related to the functionality being developed by the team , because the kind of complexity that we have in our trading engine, you won't find anywhere in the world. Okay? Because I mean the Regulators or the investors or anybody, they expect the trading engine , and being an IT Tech Valley country or we have so many people who can handle everything in the systems, so many, many complexities are built into the system. Many validations, many, what not? I mean, you check online. How many times , once during the day , hit the high, what you call, position has accumulated? They may not be breaching, but still , we need to find out and collect the margin depending on the highest position that a client has.

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And similarly, the margining we do maybe 10 times or 8, 7 times a day. So, that's how we are securing the systems also in terms of risk management, but there's so much complexity in the systems. That's why it took a lot of time. I think now we are there to go live. I think we should be able to go live. That's

what our desire and our endeavor is. I mean, that's what we are working towards this month end.

R Janakiraman : So, you mentioned last time, sir, that the trading software is from Deutsche and the backend, the settlement software is from TCS. So, from what you are saying, the real problem is in developing the functionalities on the TCS side, is it?

P. S. Reddy: Customization, yes, that's right. That's right. Custom ization.

R Janakiraman: Right.

P. S. Reddy: But then it's not plug and play, you know, not that just you bring the T7 platform and take the bancs and then just put them together , and then talk to each other. No, they don't , because this kind of thing TCS has not tried. There is a standalone T 7, working in many countries, standalone banks is working, but this marriage is not working anywhere as of now. It's the first time that w e have, I mean, the TCS is delivering.

R Janakiraman: Okay. Is TCS also involved with the trading software NSE especially on the commodities side?

P. S. Reddy: Not to my knowledge. They have some

role. I don't know what is that role they

are p laying at NSE, but then I'm not too sure. But they had a T7 deployed in BSE and T7 alone is deployed, not the other one, not the clearing settlement part.

R Janakiraman: Right. And in the case of delays in developing that functionalities, to what extent is TCS also responsible, in the sense, are there any performance commitment from them? Like if you are unable to meet those commitments, then what happens?

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P. S. Reddy: Yes. I mean, there are penalty clauses. They will kick in obviously, but then, again, every penalty has a cap, you know. Obviously, they will not let go the complete development fee. It is that way. There are penalties, of course, not doubt .

Nikhil Walecha: Sir, in terms of migration to the new software, especially if I look at the basic needs of the trading software which is the order matching, report generation , including the margin calculation, open interest calculation, member limit calculation, how are we on the basic need s? Is there any bugs in these four, five applications or they are running perfectly?

P. S. Reddy: So, that's what we have perfected s o far. It's not just merely a plain vanilla , the way that you have explained. There are a variety of clients are there. You have , hedge rs are there. Hedge rs get a different limit and the traders will get a different limit. And similarly, the margin calculations for somebody who traded today, but he is different from who had an open interest yesterday, and only open interest is there, but they're not traded, and they have to be margined differently. And well, no, a variety of complexities there in the system, and that is where now we have been able to get a complete handle on it.

And similarly, the options are there, and again, options get exercised. And when it is exercised, it goes, devolves into the underlying f uture s. And again, you know, various types of exercises also happen, and accordingly the margin calculations will also undergo change. If it is exercised, what it is? If it is not exercised, what i t is? Option writer will have a different margining. And option buyer will have a different margining system.

Nikhil Walecha So, in terms of the key requirement, are we ready to...

P. S. Reddy: That's what I am saying. We are ready. That's what we are telling the member brokers to please download the reports. I mean, we are downloading it. Let them participate, test the entire spectrum of functionality, and then we are giving the reports also.

Nikhil Walecha : And in terms of the audit and the other approvals, I think you mentioned in the call that they are going parallel.

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P. S. Reddy: Yes.

Nikhil Walecha : But are there any guidelines or do we need any regulatory go ahead before going to the new platform?

P. S. Reddy: I mean as long as these reports are okay, then I don't think there will be any problem, but then reports are also, we got reports. I mean, obviously, their remediation measures are taking place, and then, again, they will do once again check post re mediations, and then especially VAPT most important is... And so that's being done. That's being addressed.

R Janakiraman: And when you say, you ask the members to download the software and trade, so is it on a real -time basis? I mean, or is it just mock trading that you right now want to experiment with?

P. S. Reddy: Yes. But mock trading is nothing but the live trading , because they have got full data, full client lists. They have full, what you call, what's a hierarchy of responsibility that they have given, who should do what in their offices. With all its, I mean as if it is a live system whatever they have the assignments, roles and responsibilities assignments, with all its, you know, maker checkers and all that kind of thin

g we have deployed it. So, that's how we are asking them to verify it.

Nikhil Walecha : And will the mock still continue? And when are we expected to get the audit and other approvals?

P. S. Reddy: No, see mock is different and then audit thing is different. These two are parallel as I said, and mocks are happening. Mocks will continue before we go live maybe a week before or so. And the mock system that we have currently is going to be the live system. It is just that data will be erased, cleaned up, and all the latest data will be populated. I mean, whatever the live system data will be migrated. That's the only thing .

Nikhil Walecha : So, sir, what is the re luctance or the concerns of the trading members for not downloading this new software?

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P. S. Reddy: No, no. There's no download needed. They are all participating in it. As I said, you know, just day before yesterday we had a mock trading. Usually, there were 30, 40 used to do it or maybe 40, 45, and day before yesterday we had 90 plus. And so far, 210 members, unit members have traded. And we assess our members back to our about 400 only, and so that's the way it is going on, and our top 100 are already tested.

R Janakiraman: So, how do we decide that we will shift as Nikhil was asking, i s there any regulatory approval required?

P. S. Reddy: No, not required. There is nothing on the court and no stipulation that we have to go to them and ask them, but there are due diligence aspects that SEBI issued for testing etc. We a re complying with that.

Nikhil Walecha : So, one day you will just inform all the brokers like we are...

P. S. Reddy: Not one day. We will give it; we will make it by the middle of this June we will communicate.

Nikhil Walecha : Okay. Sir, in case there is still any glitches after we go live to the TCS platform, do you think there will be need to go back to 63 Moons and ask for a renewal?

P. S. Reddy: No. You see, th ere is, Nikhil, there is no going back we have to make it work. That's the way it is. There's no going back.

Nikhil Walecha : No sir. I understand the optimism, but I am just saying that it's a technology and there could be glitches that can happen.

P. S. Reddy: No, members can't go back. The reason being is , if once it is downloaded and the reports are all there, you work for one week or 10 days, and again, if there is a glitch, then the TCS has to fix it and then move forward, because they can't keep again reverse engineering and then trying to retrofit to the 63 Moons system.

Nikhil Walecha : Sir, what I am asking is if there are any glitches for any chance, if someone say lose money on the trading platform and because there could be some short - term disruption because of this. In that case, is there any Plan B? Because I

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understand we'll go to TCS and ask them to get the new, but there could be a possibility that there would be a short -term disruption if there is a delay. What are our Plan B in that situation?

P. S. Reddy: As I said, there will be no Plan B, once you launch, go live, these systems

cannot be, what to call, retrace.

Nikhil Walecha : And do we expect, I understand you have said 300, 400 members out of 600 have migrated, would be migrated to the new platform. So, do you think there could be the remaining members which will not be migrating, there could be some revenue loss because of that?

P. S. Reddy: There's absolutely zero revenue loss because all those 600 are there, they are called registered members, and some of them have even surrendered also, but they are not canceled because they are pending with SEBI for cancellation or various other reasons for which they are pending, but otherwise, they are not active members. Registration is different. Active members is different. Active, I said, about 400 are the

active members.

R Janakiraman: On the basis of the mock trades that you have done so far, you mentioned that glitches you classify on severity 1, 2 and 3. So, what has been the experience, are you confident based on the mock trades data?

P. S. Reddy: Yes. There are hardly any severity 1 and 2, hardly any, this one. There could be some data migration related issues. And that data migration sometimes, you know, a client is, let us say we are, what should I say, we have active, we have uploaded the data, in sometime middle of May or early or end of April, kind of thing, and some contracts may have expired, because the contract master has got a certain, contact they may have expired. So, they try to trade. It may not go through it because we don't, you know, give latest masters on a daily basis obviously, and so that kind of issues are there. So, it's more to do with the data migration, but otherwise, no, we have not found any major severity 1 and severity 2 issues.

R Janakiraman: And while you mentioned that about 90 brokers participated in the last mock trading, how does the mock trading volume compare with your actual volume?

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P. S. Reddy: Mock trading, in terms of volume, because it is, I mean, members don't put too many trades in the regular days because they have other work to do in the week.

So, on Saturdays they participate maximum. So, we find Saturdays maximum trades coming, but at the same time, on other days also, as well as Saturday, we use a trade generator. So, some dummy numbers or clients are created in the numbers and then using the trade generator, we create the depth in the market so that the Algo players will have enough to react to this, because Algos are automated systems. So, we will get enough of, you know, depth or enough of trading happening. So, that's the way it is.

Nikhil Walecha: Sir, is it fair to say post the migration, the new software, the new trading platform will run on the full functionalities that it was prior to migration or there would be some functionalities which would come over the period of time? I think you had mentioned on the call that there are some issues in the multiple contracts or multiple expiry etc. So, that kind of functionalities will not be there in the initial phase.

P. S. Reddy: Even now also it is not there, okay, that kind of functionality. But some functionalities which are there will be released post go-live. So, for example, negative pricing. What happened in March? Crude oil went negative sometime in, you know, in March 2020 and that functionality is not being released, you know, as of now, and post go live, we will do it.

We will be informing the members also very clearly, these 5, 6 functionalities of 10 functionalities are not available, and many of them are related to while the negative pricing is a part of the trading and related, not even trading clearing and settlement related issue, but the functionalities which we are not releasing are mostly related to TWS (Trader Workstation), and those Trader Workstation, our revenue contribution is less than 1% that is coming from, but then it has been there historically and traditionally. That is why we are giving it. If you see NSE, NSE has stopped giving a trader workstation. Earlier they had what we call, NEAT or whatever is a system. They stopped it, and they say that you take it from vendors. Their front office vendors are there. Please take it from them. That's the way it is.

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Nikhil Walecha: I think on the business side...

R Janakiraman: One minute.

Nikhil Walecha: Yes, sir.

R Janakiraman: Sir, so once we shift to this new software and in the first one month because of the operational glitches in this transition, because of these glitches, is there any scope for any liability falling on the exchange

ge from the trading member side?

P. S. Reddy: Yes. See, the way that liability, yes, it can be, but at the same time, the liability part of it also, as legally, in terms of bylaws and other things, we are protected.

And if there are any technical glitches, which is a, what you call, under force majeure, and we are not, you know, so much liable legally speaking. But at the same time, we do not want to give any such kind of take easy shelter. So, that's why we have done so much work in this area and we want to make experience from members, I mean, it should be glitch free. But if you, God forbid, if some reason, if the system is down, probably we will, what should I say, we have to make it up -and-running, which happens in many exchanges. You know, if the system is down, then it's down, and the RCA will be there. The Circular is already there in place. Some penalties are there on the exchanges if you are not able to make it run. All that will, there are more penal penalty structures are there. So, yes, there is a framework which we will be subjected to.

R Janakiraman: Right. And the exchanges migrating to the new software, it is a relatively rare phenomenon in India, but I'm sure it must be happening elsewhere in the world on a regular basis. When you look at the track record of these migrations, how smooth are they? In the sense, how long does it require the exchange to actually reach the business -as-usual condition after the migration?

P. S. Reddy: Yes. You know, unfortunately, the kind of situation we were in or the kind of agreement we have with the vendor had led us to this kind of situation where we were under pressure to do deliver. Okay. But otherwise, when migration takes place, maybe they take place maybe first trade engine, next may be clearing and settlement, or a part of it, you know. So, it will happen, what you call, a module wise or as a few modules are shifted each time and then see that.

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But that's not what is happening in this case. Okay. It's a big -bang approach is what we have, and again, because of the kind of agreement that we had. One sided agreement we had.

Nikhil Walecha: Sir, just one more question on this. What do you think has led to such a delay? Is it because we were not having source code of the platform? Or I mean, there was an integration issue, or it was an adaptability or maybe the change in the CTO also happened at the same time? So, what are the main reasons why this delay had happened?

P. S. Reddy: Delay for the...

Nikhil Walecha: Transition.

P. S. Reddy: The current development? Development itself took time for TCS to give us. There is nothing to do with the code. Code is their own code banks. A T7 code is again, T7 is also managed by them in those countries wherever it is being run because the T7 is also managed by TCS. Okay. And so, they got it immediately. That's not an issue. Customization took time.

R Janakiraman: But I appreciate your approach, sir. Now that you are fully committed, anyway, there is no comfort in a fallback option. So, you have to go ahead.

P. S. Reddy: Yes. You have to go back, you know, I think. Only yesterday I learnt, of course, I am not so good in Hindi. I learnt what is there beyond, darr kea age kya hai? It is jeet. Somebody said that. So, it is that way.

R Janakiraman: I just have a question from TCS perspective. What is their view on this?

P. S. Reddy: I mean, they want it to go live.

R Janakiraman: I know.

P. S. Reddy: Yes.

R Janakiraman: What is their commitment? Are they keen to make it go live?

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P. S. Reddy: Yes. That's right. See, I mean at the highest level, highest level in TCS and Tata Sons, it has been engaged, I mean, this issue, and they are constantly

monitoring, and that's the way it is happening, highest level.

R Janak

iraman: And give us an idea from TCS how many people will be engaged in this project?

P. S. Reddy: See, there is about 200 people at one time maybe. Okay. And maybe 150 maybe there currently. So, a lot of development has already happened, everything, and it's only testing and few bug fixations. That's what it is.

Nikhil Walecha: And this time source code will belong to us or?

P. S. Reddy: No. Nobody gives their ... nobody is willing to give a source code. Okay. It's you keep paying AMC and you get a perpetual license. That is the way it is.

Nikhil Walecha: Sir, moving to business side, from this Q4 result perspective, the key observation was the optional premium to notional turnover ratio is used to be around 2.6%. There was a sharp drop in this particular quarter, I think. So, can you highlight what led to the change in behavior of the trader which is leading to such a change and whether that can be worse?

P. S. Reddy: See, when the volatility is more, then people on options also they tend to trade far away from in-the-money or at-the-money. So, the premiums will be lower. Okay. Hoping that whatever contract that they are trading which are far away at that point in time may become, you know, thanks to volatility, it may come in-the-money, and then they may make good money. But then it is our income is dependent on the premium that is getting collected. So, we currently have only two slabs, 40 rupees and 50 rupees. So, the entire trading almost, is now at 40 rupees. It cannot go down. That's the way it is. 40 rupees per lakh. It will not go down.

Nikhil Walecha: So, basically, what you are saying and a 40 rupees realization optional premium to notional turnover which was at 2%, that was at the bottom.

P. S. Reddy: That's it.

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Nikhil Walecha: It should not go up.

P. S. Reddy: It should not go down.

Nikhil Walecha: So, at what stage does the realization, average realization, what was the maximum average trader's realization in the options?

P. S. Reddy: That will be 50 rupees maybe initially when it was...

Nikhil Walecha: No, again, see, lender realization that you are seeing.

P. S. Reddy: See, as the volumes grow now, I don't think, you know, the 50 rupees you will get realized because this 50, 40 is based on the volume, each member does it. So, if members are already getting this kind of benefit of Rs. 40, then it only depends on the amount of premium that is getting collected or traded other than our tariff. Our tariff remains at 40 only.

Nikhil Walecha: Any plans to change that?

P. S. Reddy: No, not in the immediate future.

Nikhil Walecha: And the other observation for me is, if I look at the number of members, the number of terminals, number of UCC, they all are on the declining trend. So, why is this happening? I understand you highlight that we should look at active UCC, but even other things, other variables also like the number of cities reduced from 1200 to 700, number of members reduced from 600 to 550. So, what is happening? So, can you highlight?

P. S. Reddy: As I told you, the members, most of them are inactive members. So, on the list will look 600, but then actually they are only 400 are active. So, once the SEBI gives the permission for closure, they all get closed. Recently SEBI has taken a decision on this NSEL matter, some brokers who are not in the National Spot Exchange issues. So, they kept it on hold. Now they are cleaning all those files. So, as a result we are getting permission to shut them down. So, we have closed many of them. That's why the number has come down, but it will have no impact as I told you. It has no impact.

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So, in terms of UCC's, actually the active UCC count has increased, not come down. I do not know where you have got that figure as against last year, and I

think the UCC traded is something big. Now, again, I don't want anybody to be let down by what you call, rosy path of number of UCCs being registered. Members have a tendency, especially when the members have become unified members, they tend to admit equity, and they also put a tick mark for commodity and maybe currency, what not. So, they will upload it because it's one time exercise for them. They don't want to repeat that. That itself does not mean that we get so much. They are potential, but they may not trade, so many investors. So, that's why I don't harp on that number at all in any of my calls and I only say how many are actively trading and that matters to me.

Nikhil Walecha: And on the competition, I think it's been a while since NSE has tied up with CMI and they have also launched Crude options. So, just wanted to know, for a trader is there any operational concern that you cannot switch from one exchange to the other? Because I think margin money is fungible in the same exchange. Just wanted to know because in the equities they have been allowed, but in the commodities, margin money, fungibility is still not allowed, but operationally, is there any challenge for the trader to move from one exchange to another?

P. S. Reddy: Operationally there is no challenge except that, you know, he should have adequate margin with us. Okay. And what is important for a trader is the liquidity. Unless there is liquidity, they will not trade and you have, it is 15th May they launched, now 31st, May 15 days or 16 days. Now the average turnover of WTI in NSE was 60 crores and on natural gas it is 19 crores average turnover. The open interest is 80 lots and 87 lots in the case of natural gas. So, this is the statistics, and they can't introduce a liquidity enhancement scheme or anything of that kind because already a liquid contract is there in some other exchange. So, these are all the constraints. And we have seen it also. I mean, this is, this all the time, maybe since 2017 or this constantly is on the, or '18, when equity exchanges were permitted, there is a fear that they may take away the commodity exchange liquidity. That didn't happen. They started gold or options on gold etc., or options on commodities. So, they tried all the, Multi Commodity Exchange
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you know, methods of getting the business. Nothing happened. Liquidity is not easy. It's sticky in nature.

Nikhil Walecha: And is the regulator looking to allow interoperability of the Trading Corporation in the commodity?

P. S. Reddy: I'm not too sure I get. I don't think they will so soon they will permit. I mean, that discussion is not there at least at this point in time. And as I said, it is not just the liquid -- it is the collateral or money which is there. That is, that alone doesn't help. Liquidity is the first requirement. Then only any amount of margin money can help.

R Janakiraman: Looking beyond this software implementation, assuming that this challenge you successfully manage, what next? Do you have a pipeline of new products that are quite ready to be launched given the flexibility that you'll have with the new software?

P. S. Reddy: No. Well, it is not so much of the software as to the products that we have applied, and they are not getting approved by the regulator. That is the important thing. And another important dimension is the GST, which is an issue, which is restraining or participation of major players in this ecosystem. So, I think we are trying to address this GST issue as a different one and we have actively engaged with SEBI and the Ministries concerned. And let us see. If we are able to overcome the GST issue, then I am sure the participation would substantially increase.

Nikhil Walecha: Can you elaborate on this GST issue? What is the issue?

P. S. Reddy: See, you know, when the deliveries are taken, the people should,

I mean, we

have delivery centers across the country, and the people who have taken delivery are not sure where they will get the delivery. So, they end up registering in all the states where it is not required. And even if there is no delivery, they have to actually file returns, all that kind of thing. That is for the ones who are actually hedgers. Let us say somebody is in right up North and then somebody in down South delivers and then he gets an allotment in North.

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He will not be able to take delivery of it, and it makes no commercial sense. This is for hedge rs, one part of it.

The other part of it is somebody, kind of financial players. There is arbitrage opportunities between near month contract and far month contract. So, what do they do? They buy it in this near month, and they immediately sell it, and the material comes, it resides in the warehouse, but this is a constructive delivery, is taken in the name of the person who took the delivery whosoever has done that contract. So, they too have to have a registration and, you know, GST registration. And so, it is dissuading a lot of mutual funds, a lot of AIFs and others. This is causing a major concern for them. And we told them, of course, currently, FPIs are allowed only in the cash-settled contracts. Going forward, if they are allowed in this, then they may not come. So, this has to be addressed at one place, at one go.

R Janakiraman: And other solution ensuring that delivery happens at a more predictable location.

P. S. Reddy: No, currently also we have a, what you call, a preference. Okay. The seller has a choice where he wants to deliver. That is what the contract specification says. So, to the extent the buyer gives his preference, and if the seller also is available, then allotment takes place, but once that is ruled out, then the rest is that wherever the seller wants, they will deliver them. The buyer has no choice but to take the delivery. So, we can't always match that part of it. That's the whole issue.

R Janakiraman: Is this what holding back, like you mentioned, institutions like MFs or AIFs or even the FPIs to participate more actively in?

P. S. Reddy: Yes. FPIs just joined recently, you know, maybe a month ago we have started and almost all 25 registrations have come, and a good number of people are already participating. FPIs have started participation, but they are permitted only in cash-settled contracts. So, they are active in maybe the crude and energy contracts but not other contracts, but they will be interested in other contracts as well. But AIFs, PMS etc., they are not able to do that because of this reason. And not only that. Even the high-net-worth individuals, HNIs

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okay, even why should they take delivery and then go through the GST registration et cetera, et cetera? I don't think they will get any benefit out of it, but that's the law at this point in time. So, we're trying to overcome it. Let us see.

R Janakiraman: Is this a fiscal '24 issue Sir, which can be solved by the end of this year?

P. S. Reddy: Well, it is some regulations have to be, Government has to amend certain regulations under ease of doing business and some kind of revenue department etc., etc. We are actually targeting for the Free Trade Warehousing Zones which are located in SEZs to be the delivery center so that, I mean, some economy we are trying to work out, whether they can be made, facilities can be made available with the necessary regulatory framework in place so that this kind of GST conundrums are addressed.

R Janakiraman: Is the FPI volume, is it meaningful as a percentage of the overall volumes?

P. S. Reddy: Is it meaningful? No. But it is increasing. That's all I can say. It's going on.

Nikhil Walecha: Sir, just wanted to know your vi

ews on the mini contracts? At one point of time, it used to be one-fifth of the growth used to come from the mini contracts. And now incrementally how are we seeing the growth in the mini contracts which we have introduced like zinc, crude et cetera? And who are the participants? Is it the Algos or the small-time traders?

P. S. Reddy: See, the huge retail client phase we had earlier, not all of them have come back, okay. Still to come. And in fact, it took almost three years for this contract to revive. So, obviously, all of them have gone away. So, at this point in time, it is a small percentage. I think we are looking at having it back to the 20% kind of contribution. And yes, there may be arbitrage opportunities between small contracts and bigger contracts. Wherever there is an opportunity, obviously, Algo players and others will definitely participate.

I have not seen that, I mean, I have not probed into it as yet, and just recently we have launched these contracts about two, three months ago, but it is not

come, it is not firing at all cylinders at this point in time. We also want to
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introduce again mini, I mean, trading unit, delivery unit differently for the case of copper and the nickel. I think we have requested SEBI to look at that also. In fact, their contribution was more earlier in the total overall volume also. So, those contracts also come, probably we will be able to do better.

Nikhil Walecha: Sir, can you refresh on which product do we have a mini contract and where we don't have a mini contract?

P. S. Reddy: We have in zinc, lead, aluminum, WT I, and N G. These are the ones, and we had earlier nickel and copper also. Those two have gone because the smaller lot, trading unit and delivery unit cannot be made identical there, whereas in the case of other three metal contracts, 1 ton is available. That's why we made it. So, those contracts are 1 ton and 5 ton. Mini is 1 ton and major contract is 5 ton. In this case it is...

Praveen DG: Yes. In all other cases, it is the 5 and 1 metric ton, but in case of nickel, it's, but of course since the main contract itself has been now changed to 1.5 metric ton.

Now we have to look for a mini which is smaller, maybe one fourth and one sixth like that, but earlier the main contract of nickel itself was 250 Kg was the contract then, and the mini was 100 Kg.

Nikhil Walecha: So, we don't have for gold, silver group, natural gas?

Praveen DG: We have. Gold they are permitted because SEBI permitted.

P. S. Reddy: They are there from day one. They are not called as mini or anything like that. We have gold 100 grams, 1 Kg, 100 grams. We have 8 grams (Ginni), 1 gram gold (Petal). So, all of them, they are there. From day one they were permitted.

Nikhil Walecha: Sir, in terms of the future volumes which are being sluggish for the last two years, especially after the launch of options, I understand the options is a much, much better proposition for the customer, but what are the other reasons which has impacted the futures volumes? Is it the peak margin norms which are also after 5 PM or just ... I wanted to know your views what has impacted futures volumes?

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P. S. Reddy: See, the tendency of the investors is to move towards the, what you call, the option contracts because options somehow define what is happening elsewhere in the world, and that's how the people have got fad for it.

Secondly, the margin requirement, after the peak margin circular has come, people have moved towards this because the margins requirements are much smaller as compared to the futures contract. That is the reason why it is attracting.

Praveen DG: The advantage is, in case of option the buyer only pays margins as one time, like he pays a premium. After that one, there is no question of margin. The

at

comes into the picture in options, but in case of futures, it is like depending upon the volatility and other thing, your margins will keep changing. So, the buyers will have to keep track. So, that is what making them to look at the options which is more convenient for them.

Nikhil Walecha: And just wanted to clarify this peak margin rule, is it applicable across the time period or even after 5 PM?

Praveen DG: Yes. It is applicable across time.

Nikhil Walecha: Okay. And how do you see the revenue mix? So, now it's equally divided between the futures and option. How do you see it going ahead?

Praveen DG: Bolar Sir, I think you can give the numbers.

Going forward, see, it is like, currently, the way it is happening, definitely we see very great participation is being witnessed in the options contract. Also, you can look at our equity markets where I think again maybe you have, in fact, options that are more popular in equity market, especially in weekly index products. And again, maybe you can also look at even the stock options. They are also I think quite popular, but still, I think there is a long way to go for us compared to the equity markets that way.

Nikhil Walecha: Sir, how are we trying to address the concentration risk in the options, both from the product side as well as the participation side? Because on the product

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side, clearly crude and natural gas are dominating, and in the participation side also, Algos I think probably contribute around 50%, 55% to the options. So, how are we trying to address the concentration risk?

P. S. Reddy: See, we cannot call it Algo as a one-person kind of thing. Algo is a classification that is under one bucket, but how many Algos are there, whether there are 10 members or 20 members or one member, that disclosure is not there. So, it's not this Algo means it is necessarily one or two. No. So, there also we have a good number of players there. Point number one.

And point number two, that on the concentration of crude, I think we are promoting others also. Now off late you may have seen the gold is doing better.

And in fact, yesterday, I mean, two days ago, 10,000 crore s...

Praveen DG: 20,000 crores.

P. S. Reddy: 20,000, options. So, it is picking up. So, as it picks up, obviously, we will get, the distribution gets wider. Yes.

Nikhil Walecha: And on the regulatory side, is there any discussion to, I mean, they have looked at the option trading, and there was one report also on the same that most of the retail participants are making losses, especially, but is there something that regulator is contemplating to bring the norms to even the options trading and any other regulation that they are discussing with you?

P. S. Reddy: We have no knowledge on that whether there is any such, you know, idea on the part of regulator, but yes, investors must be aware of the risks involved in trading in these products. These are not meant for one and all, and they should be aware of, you know, the pitfalls of the risks involved in this, and they may lose the entire money that they have put in this. That's the way it is. So, at the client onboarding itself, a lot of education is planned.

Nikhil Walecha: And in terms of the new launches that we are planning in the option and future, I think gold monthly, coal, steel bars, electricity derivative gold exchange etc.

So, how do you think going to the future s, so which of these do you think can

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be a meaningful contribution to the revenue line and any timelines for the launch and also a reason for the delay in this?

P. S. Reddy: See, the steel contract we got the approval from SEBI only the last month or in the month of April, towards the end of April or early May we got it. So, we will be launching, now that we have to prepare the gr

ound for it and sensitize

the member brokers as to ... and share with them the data how these, you know, the prices have moved in the last two years, three years and some R&D is happening. So, anyway we will be launching sometime, you know, in July, August, the steel.

The second part of it is electricity. We have not received any approval. So, that is being awaited. And the options, the gold what we got it, I think that will take some time. At times now we introduce too many products also. The members don't pay proper attention to promote them. I think we need to give little time for them to, you know, look at and study how the product behaves. Again, I mean, there is, I have been telling from time to time to various other investors also, it's not like just equity markets, you just put 500 rupees, buy some few shares. It's not an investment market. It is investment-cum-hedging, and we are looking at more important is hedging. And if you buy one lot means, it could be a few lakhs of rupees and to that extent, margin is also so much, and there is nothing called one share of Reliance buying or one share of Infosys buying kind-of-thing. So, investors cannot try in this market as frequently or with as much risk-taking ability as they can do in equities. Okay. That's a big challenge.

Nikhil Walecha: Is there a way to bring down the lot size possibly, I think you are evaluating, the option contract as well? Anything on that front?

P. S. Reddy: No, I don't think we can bring down the lot size because SEBI is also keen that the derivatives contracts are reasonably high. I mean the contract lots are such that not everybody and anybody will come in and then, you know, complain about loss of money. That's what it is. We don't want to hurt retail small

investors. It should not be...

Nikhil Walecha: Any plan to introduce fortnightly option contracts for any other products?

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Praveen DG: Shorter duration contracts we are looking at post to go live because our priority is again on the CDP go-live, and if you look at even the new introductions, I think this February and March only we have introduced all the mini contracts.

So, that way it is like, the six products have been released into the market. So, we have to, again, it is like take a breath and then we have to come out with the new product, especially, we definitely we are looking at shorter duration contract. It is in our mind. We will introduce it at the right time. That is how we are looking at it.

And coming to the contract size, here it is not like equity where one share can get traded. It is like always it should be like a deliverable. Like when I am coming out with any commodity contract, I also have to look from the point of view of delivery, whether that particular unit can be deliverable or not. So, suddenly I cannot have a contract as gold 800 Kg or 800, what do say, grams or 750 grams. Similarly, copper. So, I need to also look at what are the physical market practices, how the deliveries are happening in the physical market. Considering that one, I need to go for an appropriate trading unit. So, I need to look at delivery units as well as trading unit. Then I need to, depending upon the market, I can be able to do all the products.

Nikhil Walecha: Is there any way that we can increase retail participation? I think one of them is the smaller contracts. Other than that, how can we increase retail participation?

Praveen DG: See, currently options itself is playing a big role, right now. In fact, shorter duration contracts can also help in a big way because the premium quantity will come down, because the moment you are reducing the time to maturity, automatically the premiums will come down. That can help the market participants.

Nikhil Walecha: Sir, can you tell us the transaction fees in the domestic market, if you compare

it with the international Market, how that differs? I understand, I think the other fees component is very high in India, but overall, as a percentage, is the domestic market fees higher than international market?

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Praveen DG: Yes. It is, slightly, definitely it is on a higher side, but not significantly I can say, but more importantly, the trading, other trading costs that are in many folds it is the higher. That is what increases the trading cost for the market participants.

P. S. Reddy: Like CTT.

Praveen DG: CTT. We have multiple things. Stamp duty, GST. All put together, the trading cost is substantially getting increased.

Nikhil Walecha: And in the domestic, I think RBI had not allowed hedging in the gold outside India, and the similar thing happened?

P. S. Reddy: Oh, that is all hypothetical questions. I don't think we should be looking at it. And we have been asking for it, but I don't think RBI will do anything like that, and they say that that in domestic exchange is also complete. Maybe gold didn't do it because of maybe the currency or whatever that they have in their mind, but yes, they will not.

Nikhil Walecha: And sir, just can you breakdown your other income into the investment income that has come from the income from the float and the income from the shareholder investment? Can you just give a broader break-up because it's very volatile? So, how should I look it going forward?

Satyajeet Bolar: The money, the income that we earn from our margin money, that is part of our revenue from operation, right? So, because that is collected by our wholly owned subsidiary MCX CCL because the revenue that we earn on that is part of our income from operations, but we have around 900 crores in our, that is a shareholders investments, cash. So, that is invested in these, in government bonds and all. So, we earn around 7%, 7.5% on that. It is mostly locked in long term in SDL and such instruments. I hope I have clarified it.

Nikhil Walecha: No, no, I just wanted to understand the breakup of the other income?

Satyajeet Bolar: Other income would mainly constitute of the treasury income and a small part would be consultancy fees and rental income and all that.

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Nikhil Walecha: So, this 900 crore investment shareholders money, that's the largest component.

Satyajeet Bolar: Yes.

Nikhil Walecha: So, why this is volatile then?

Satyajeet Bolar: For the quarter or for the whole year?

Nikhil Walecha: Yes. Quarterly, yes.

Satyajeet Bolar: No, quarter is almost seen. Isn't it? If you see for the quarter on a consolidated basis, it's almost flat because we had a problem in June quarter because that's when the rates, RBI had increased rates in May, and we hardly earned anything in the June quarter, but after that, we have been, as in we moved our investments from mutual funds to debt to SGF. The June quarter we had; it was volatile.

R Janakiraman: Lastly, just one question on this plan to invest some money in the SGF and try to increase the volumes through that route. Has there been any development?

P. S. Reddy: There was a minor development, but that is not substantial for us. So, still the SEBI's RMRC has to decide on this. This is a minor development which they say that the interest income arising out of, can be taken out if you want to take out or you can keep it and then give that, but then that itself is not going to give a substantial leeway for us to reduce the margins. If 1% is reduced on an active contract, it will be few hundred crores of, you know, contribution has to come.

So, unless that clarity comes, we can't contribute to SGF.

R Janakiraman: Okay. Nikhil, anything else?

Nikhil Walecha: I think I'm broadly done.

P. S. Reddy: Okay.

Nikhil Walecha: Just, sorry, one thing. On the other

expense type, can you also give the breakup of that?

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Satyajeet Bolar: The other expense for the quarter, it has gone up a bit because our subsidiary company, they account for CSR expenses only at the end of the quarter. So, that's why the entire jump came in the quarter. Other than that, it's just a normal expense.

Nikhil Walecha: No, going ahead also, it will continue in same manner?

Satyajeet Bolar: Yes. Because that is the practice they follow, the CSR contribution while we account it every quarter, they account it at the end of the year.

Nikhil Walecha: No, other than CSR, what are the major components in the other expense?

Satyajeet Bolar: I mean, the expenses that we need to maintain the building, the administrative cost, the other cost related to the building.

P. S. Reddy: Licenses.

Satyajeet Bolar: And licenses, legal expenses. All those expenses. Okay. Fine.

Nikhil Walecha: Thanks, sir.

P. S. Reddy: Thank you so much. Thank you. All the best.

R Janakiraman: Thank you.

P. S. Reddy: Bye.

R Janakiraman: Best wishes for the next month.

P. S. Reddy: Thank you so much. Very kind of you.

Call: Jun 2023

MULTI COMMODITY EXCHANGE OF INDIA LTD.

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CIN: L51909MH2002PLC135594, info@mcxindia.com MCX/SEC/2229 June 05, 2023

The Dy. General Manager

Corporate Relations & Service Dept.

BSE Limited,

P.J. Towers, Dalal Street,

Mumbai - 400001

Scrip code: 534091, Scrip ID: MCX

Subject: Transcript of calls with Investor/Analysts

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 read with the SEBI (Listing Obligations and Disclosure Requirements) (Second Amendment) Regulations, 2021, please find enclosed herewith the following transcript of the call with investor/analysts:

Sr.

No Investor/Analysts Date Time Annexure

1. Ashmore Investment Management May 29, 2023 12:00 PM Annexure - A

The said transcript is also uploaded on the website of the Company at <https://www.mcxindia.com/investor-relations/ir-meetings>

Further, we hereby confirm that no unpublished price sensitive information was shared/discussed during the said meeting.

Kindly take the same on record and acknowledge receipt.

Thanking you,

Yours faithfully,

For Multi Commodity Exchange of India Limited

Manisha Thakur

Company Secretary

Encl: As above

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Multi Commodity Exchange of India Limited

Meeting with

Ashmore Investment Management Limited

May 29, 2023

Disclaimer: This transcript is provided without express or implied warranties of any kind and should be read in conjunction with the accompanying materials published by the company. The information contained in the transcript is a textual representation of the company's event and while efforts are made to provide an accurate transcription, there may be material errors, omissions, or inaccuracies in the reporting of the substance of the event. The transcript has been edited wherever required for clarity, correctness of data or transcription error. This document may contain "forward-looking statements" – that is, statements related to future, not past, events. In this context, forward looking statements often address our expected future business and financial performance, often contain words such as "expects", "anticipates", "intends", "plans", "believes", "seeks", "should" or "will". Forward-looking statements by their nature address matters that are, to different degrees, uncertain. These uncertainties may cause our actual results to be materially different than those expressed in our forward-looking statements. We do not undertake to update our forward-looking statements. Annexure - A
Multi Commodity Exchange
May 29, 2023

MANAGEMENT : MR. P.S. REDDY – MD & CEO
MR. SATYAJEET BOLAR – CFO
MR. DG PRAVEEN – CRIO

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P. S. Reddy: Yes, welcome to Ashmore. Welcome Mr. Govind. And go ahead, please ask your questions. Switch on the mic. Yes, it's on. It's on now.

Arpit Kapoor: Yes. So, we just wanted to get in terms of just the software part of it as to where the, what is the roadmap going forward and what is, how should we interpret things in the next four to six weeks?

P. S. Reddy: Yes, you know, as I said in the call also, we are keen that we launch, you know, in the month of June, maybe whether it will be third week or fourth

week, of course, we will be cutting too fine. But, you know, as many mock chances we can give to the member brokers, we will be giving it. And that is what our desire is. And hopefully, the feedback we get from members is also good. Then accordingly, we will take a call on this part of it. I mean, early June, we will take a call.

Arpit Kapoor: Okay, sure.

Chandra Govindaraju: On the business side, we could see some mini contracts launched. If you could give your view on how the volumes are improving and what are we hearing from the broker?

P. S. Reddy: See, on the mini contracts, when they were discontinued, we lost a lot of client base. But then many of them have come back. Still a lot has to come. Not that all of them have come back. But it is happening, you know, because for almost two years, we have missed out these contracts, mini contracts. And probably, all those investors, although we have reached out, members are reaching out, all have not come back.

Secondly, these mini contracts have been launched only in three of them, base metals, where delivery unit and trading unit can be identical. We have also represented to SEBI to permit us to launch differential delivery and trading unit contracts in nickel and zinc, I am sorry, nickel and copper. Because copper comes at 2.5 tons, nickel comes 1.5 tons, and they almost all cost INR35 lakhs to INR40 lakhs. That is too expensive for individual

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investors to trade. One lot means it is so much of money. And you can imagine the margin amount that has to be put in. So, we are requesting them to reconsider this. I think they are looking at it. And hopefully, we should be able to get a positive response on this after, maybe approval from CDAC.

Chandra Govindaraju: What could be the volume now in terms of the mini contracts?

P. S. Reddy: In the mini contracts, Yes.

Praveen DG: See, mini, like, apart from base metals, we also have the mini contracts in crude oil and natural gas. So, in the month of March, in crude oil, we have done something around INR191 crores in crude oil mini. Natural gas, around INR37 crores. And aluminum mini, INR44 crores. Zinc mini, a gain, INR122 crores.

P. S. Reddy: Well, those numbers are no numbers for us, honestly, because when it was at its peak of its growth, we had 20% to 25% coming from mini contracts. So, you can see these numbers are no numbers, if you look at from the composition point of view. And so, there's a lot of scope for growing.

Arpit Kapoor: But generally, between futures and options, we are seeing again, as we saw in equity segment, the options continue to become a bigger part. Is there a way to understand how much is for the hedging point of view, and how much is, that is just pure speculation that people want to get out. And that eventually is a function of the volatility, which is there, which we are seeing globally. But because it's pretty similar to what we are seeing in equity market, that the Indian equity market is also behaving in a very different way as compared to the global equity markets. And we are seeing a similar trend in the commodity market as well. So, any thoughts there as to how do you see this evolving? I'm not talking of the next one or two quarters or one or two years, but let's say over a medium term, three to five years, where do you see, how do you see the industry evolving?

P. S. Reddy: See, I think from the traders perspective, if they are very comfortable in options contract, they know how to, you know, strategize when they're trading. Now, obviously they will jump onto it. You know, they, you know,

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they look at this because they are not delivery based anymore, in all these option contracts. And again, they devolve into the underlying futures. Now, when they devolve it, again, there is a delivery threat is there. So, they will square it up before, you know, they get into the delivery mode, the staggered delivery period. So obviously, they are keen to work in this options contract. Now, if you ask me how many hedge rs are there, my view is, on the writer's side, many of them are the people who are in the industry who have a backing of the metals, because option writer will be exposed, it's an unlimited risk they have. And so obviously those who are in the industry, who have got stocks or exposure in the physical market only can write. I think that is also encouraging them because they are getting the premiums, a good amount of premium they are getting it. So, they see that part of it. So that's the way it is. While the buyer side may not be so much of hedging participation, but definitely the writer's side is there.

Arpit Kapoor: And how do you see that evolving in the next? So, what do you see?

P. S. Reddy: I think it will grow. It will. Option markets will only grow. That is what, that is what happened in equities.

Arpit Kapoor: Equities?

P. S. Reddy: That is right. But we also expect the underlying futures to grow, not that they may grow at a rate at which this is growing, because they also need to hedge their risk if somebody is... a writer has to hedge their risk also. So, they will be doing it, must be doing, in the underlying futures.

Arpit Kapoor: Okay. And then in that sense, how do we look at the volume to premium ratio? So that ratio, which probably has moderated compared to what it was at the high premium to notional ratio, option premium to notional ratio.

P. S. Reddy: Yes. So, the options, you see, earlier they used to be traded more closer to the

money, in-the-money or at-the-money kind of thing. But now they are moving away from it. So, the premiums have come down, the total. So obviously our income also to that extent has come down.

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Arpit Kapoor: But then that will be compensated by the increase in the overall option volume.

P. S. Reddy: Not necessary. Okay. But yes, the moment you move away from at-the-money kind of contracts, there's a suspicion that people, illiquid contracts, people are trading, that is the kind of threat is there. So maybe they would like to stay within the five to five strikes up or at the money or down. That's the way.

Praveen DG: But generally what happens as the market is growing in general, the liquidity will be much spread over the period of time, like, you're out of the money and so will start becoming more and more liquid. So, it is actually a healthy sign. Like, you grow up and it is going to spread across that one. But there could be a marginal drop that is going to happen in terms of the premium to notional amount, if you look at it.

P. S. Reddy: But another thing also, the volatility also helps to trade in out-of-the-money contracts. The reason is because the people are expecting the volatility to shift to the other side. Then those contracts may become in the money or at the money kind of. So, to that extent, volatility helps in trading, I mean, spread that distribution of trading.

Arpit Kapoor: Is there a floor that we can imagine, that it will not go below a certain level or?

P. S. Reddy: We can

not. Well, you can imagine that it cannot be more less than INR40 per lakh, because that is we have only two slabs, INR40 and INR50. That is it.

Arpit Kapoor: Right. Right. And in terms of, so yes, are we pausing to let's say, whenever the transition happens, would the re be -- would you be in a better capacity to launch a lot more products or because of the delay is there -- is that holding you back from launching products or that's not something which you are, which is impacting your ability? Because again, you would not want to increase the complexity in the system before you migrate.

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P. S. Reddy: Yes, I think we, as I said that there are some gold options, contract are in a monthly option. We are looking for a -- not monthly, monthly futures contract, a bimonthly option, some other thing. So, to that extent that technology platform is to be enabled. So, those one we are not building. And so similarly, with some of the new contracts which we will be introducing, they will be primarily the futures contract and option contract. If it is an option contract, there has to be the same month, monthly contracts or bimonthly contract, not anything, not any other way. Yes, to that extent, as I said, our primary goal, post goal is to work on releasing other what you call, functionality related to the negative pricing or kind of things which are critical for us.

Arpit Kapoor: And once you migrate to the new software, it would, so you then have the flexibility to launch whatever.

P. S. Reddy: Yes, that one we will have.

Arpit Kapoor: You will have.

P. S. Reddy: I mean, if it is not there, we will be able to build a new software.

Arpit Kapoor: Understood.

Chandra Govindaraju: This quarter, other expenses when you look at, it was at 14.3 ...

Satyajeet Bolar: Beg your pardon?

Chandra Govindaraju: The other expenses, that line item, this quarter was 14.3 crores, so slightly higher than what our run-rate is. Was there any one-off?

Satyajeet Bolar: No, one-off and as I mentioned in the call also that, see our subsidiary, they account for CSR expenses at the end of the year. Correct. So, some INR60 lakh, INR70 lakhs came at the end of the year. That is only from the MCX

CCLs perspective.

Chandra Govindaraju: Correct. But still it looks slightly higher than what our run -rate of ...

Satyajeet Bolar: As you know, nothing exceptional .

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Chandra Govindaraju: And with this new software launch and rollout and with the new product and all, do you need to add more employees to the system or the current employees?

Satyajeet Bolar: Not really. I think once the system stabilizes, then the management will take a call on the IT strength and the team, in the technology team. Then it will have stabilized. We will be having TCS to support it. So it would be, and for many IT professionals, it will be then in the maintenance mode. It will not be in the development. Many of them would consider whether to remain or move on. Because it would be in a maintenance mode, not in the development mode. I think maybe the skill sets would be a bit different.

Chandra Govindaraju: So barring the software expenses, which is volatile, the other expenses should be growing at a very nominal rate.

Praveen DG: It won't be proportional, definitely not proportional. Because unless the product is altogether new and you require a different kind of skill-sets, then I think it is a d

ifferent story. Otherwise, given the same type of products and other things, I don't think you would be requiring, or increase in manpower is required to help this. It is definitely not proportionate.

Arpit Kapoor: And as we have seen in the equity segment, the competitive exchanges, even if whoever has launched commodities, their market share would remain ... because liquidity and the volumes continue to be dominated by MCX.

Because you don't have the depth or people moving there, the price recovery remains, it remains illiquid and for that reason, the dominant exchange continues to enjoy.

Praveen DG: We are not supporting our products by any liquidity enhancements. That's what I'm saying. So, we are okay with it and looking at what other people are doing.

P. S. Reddy: I mean, the NSE has launched WTI and these are futures they have launched.

And we are watching, of course, we are also engaged with our member brokers. So we are of the view that as long as you continue to give your

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service, put service, technology score, then there's no reason why anybody will look at anywhere else.

Arpit Kapoor: Is there an angle of having some impact within the GIFT City? Would that help you get some foreign volumes or is there a gain there or you think that that's not something that you want? I understand right now you may not be targeting, but even, let's say, in the next one and a half, two years, is there a sizable chunk that you can get by having? So again, I'm taking a cue from the equity like, SGX Nifty, it is now going to get traded from GIFT, just because there was so much leakage of volumes, which was not happening, not getting captured in India, getting captured outside. Do you see any contract, commodity or gold where there is this white space, which is there, which if you start trading in GIFT City, you may capture some of the international volumes.

P. S. Reddy: Now, one is that, if you see our major contract, with crude, NG, which is based on CME prices, out there in Dubai, we've traded, Moscow, maybe in Singapore. By starting in GIFT City, you have to get somewhere here only. Obviously, our domestic players will not come there and because they're all dollar denominated contracts and there are a lot of other issues associated. And so, they may not be able to trade in that sense.

The number two is that the gold and other contracts, already there is a spot exchange. They themselves are struggling in terms of getting the international bullion traders to come over there and then participate. And I think if that ecosystem once built, then probably we can look at some trading out there,

but it's too premature or early for me to say anything on that , at this point.

Arpit Kapoor: Last two questions from my side. So , one, in terms of going live with the new, do we need any exchange approval or any authority approval?

P. S. Reddy: To my knowledge, it is not required, but then we know what we have to do. I think we will be doing all that in terms of auditors, certification and all that.

We are doing that.

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Arpit Kapoor: We are doing that. And two, in terms of the question that Chandra alluded to, so in terms of employee support, base support, so do we have a support tech staff within the company? And let's say, when the migration happens because it's a new product, new platform, how would, so whether those employees would get upski

lled with the new software or how does that migration

happen , of the tech pool of employees that you have in the company?

P. S. Reddy: Yes. And see, we have recruited a lot of seniors over the last two years. So , it's not that we started without that base to be there. And in many cases, the vendors themselves , we have support along with the product that is developed , three years, five years kind of support - we have it. And so, we have the different skill sets that are needed. And it's not technology is too different in that sense. Maybe in Oracle, you have a DB2 or.... So, we have recruited all those people who are for that kind of function , we have. And in any way, first one year, TCS itself will support them with the warranty.

Arpit Kapoor: Thank you.

P. S. Reddy: Thank you. Thank you so much. All the best. Stay invested.

Call: Aug 2023

MULTI COMMODITY EXCHANGE OF INDIA LTD.

EXCHANGE SQUARE, SUREN ROAD, ANDHERI (EAST), MUMBAI 400 093, INDIA. TEL: +91-22-6731 8888, FAX: +91-22-66494151, www.mcxindia.com

CIN: L51909MH2002PLC135594, info@mcxindia.com MCX/SEC/2268 August 18, 2023

The Dy. General Manager

Corporate Relations & Service Dept.

BSE Limited,

P.J. Towers, Dalal Street,

Mumbai - 400001

Scrip code: 534091, Scrip ID: MCX

Subject: Transcript of calls with Investor/Analysts

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 read with the SEBI (Listing Obligations and Disclosure Requirements) (Second Amendment) Regulations, 2021, please find enclosed herewith the following transcript of the call with investor/analysts:

Sr.

No Investor/Analysts Date Time Annexure

1. Ward Ferry (WF Asian Smaller

Companies Fund Ltd.) August 11, 2023 12:00 PM Annexure - A

The said transcript is also uploaded on the website of the Company at <https://www.mcxindia.com/investor-relations/ir-meetings>

Further, we hereby confirm that no unpublished price sensitive information was shared/discussed during the said meeting.

Kindly take the same on record and acknowledge receipt.

Thanking you,
Yours faithfully,

For Multi Commodity Exchange of India Limited

Manisha Thakur
Company Secretary

Encl: As above

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Meeting with

Ward Ferry (WF Asian Smaller Companies Fund Ltd.)

August 11, 2023

Disclaimer: This transcript is provided without express or implied warranties of any kind and should be read in conjunction with the accompanying materials published by the company. The information contained in the transcript is a textual representation of the company's event and while efforts are made to provide an accurate transcription, there may be material errors, omissions, or inaccuracies in the reporting of the substance of the event. The transcript has been edited wherever required for clarity, correctness of data or transcription error. This document may contain "forward-looking statements" – that is, statements related to future, not past, events. In this context, forward looking statements often address our expected future business and financial performance, often contain words such as "expects", "anticipates", "intends", "plans", "believes", "seeks", "should" or "will". Forward-looking statements by their nature address matters that are, to different degrees, uncertain. These uncertainties may cause our actual results to be materially different than those expressed in our forward-looking statements. We do not undertake to update our forward-looking statements.

Annexure - A

Multi Commodity Exchange of India

August 11, 2023

MANAGEMENT : MR. P.S. REDDY – MD & CEO
MR. SATYAJEET BOLAR – CFO
MR. DG PRAVEEN – CRIO

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P. S. Reddy : Welcome Mr. Aman and Mr. Nicholas , for this Investor Call. Since you have been familiar with the topography of the business, so please go ahead and start firing the questions.

Aman : Thank you so much, Mr. Reddy, Mr. Praveen, Mr. Bolar , for taking time to speak with us. We have been , as you guys know long -term shareholders of the business , and we hope to be long -term shareholders. We had a few questions on operational front, on financial front and a bit on software , which will run through. I think even software has generally been discussed in the historical calls a lot. We will keep that in the end, but maybe, we can just talk a bit about the effects of software implementation on business. I think, the first that I want to may be ask is , are there series of futures or options that we are not able to offer to our customers , post January options , that basically could , because of the software implementation t hat is part one of the question. And if that is the case, will it start reflecting in revenues of our business in let us say , quarter two or quarter three ? Or does it reflect only in that quarter, which is quarter four in January when the opti ons series kind of becomes live. Maybe that will be very helpful for us to understand.

P. S. Reddy : Ok. Look , I mean , we have so far wherever there are approvals are req uired, we have issued contracts till December . You are aware that only the first two months contracts are active and then third one maybe some way inactive . And anyway fourth month onwards , they are all inactive contracts in that sense. So , once we finish our implementation, maybe by September end, we sh ould be able to launch other contracts as well. But then there were also contracts launched as per the requirement , maybe for one year or so also. So, there are some contracts till July, till April. I think it is falling under that contract specification r equirement. In some contracts , we said we will launch for only three contr acts, some contracts we launch six contracts like that. So, they are all in place at this point in time. So, there is no additional contracts we can launch unless the one contract expi res. So, in the month of August, some contracts will expire. Then we have to launch the new contracts. These are all
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illiquid contracts anyway. Even the existing contracts are illiquid. If you see some of that, so, they are all illiquid, so it does not impact the revenue anyway.

Aman : So, Mr. Reddy just for my clarification, at what point of time, in let us say, August till December, and for the sake of assumption, I am making an assumption, the software gets implemented in December. That is the assumption, just for the conversation. When does that start showing up in revenue or a DTO of futures or options? Are you saying that three months in advance? So let us say, if we do not have new software till September, then October volumes may have an impact or that is not the right understanding.

P. S. Reddy : No. See the active contracts will continue to be active. New contracts are what we are talking about. New contracts are of January, February. They will, anyway, will remain illiquid anyway. That is what the point I am making it. So, October will not be illiquid, they will be active.

Aman : Sir, one last clarification. Even if on 31st December, if just switch the software to the TCS software, in January 1st you can start having the same ADTO that the market required. There is no ramp up required because those contracts were not being offered a month in advance. I am just sorry, I do not understand this very well and also trying to understand that if it goes to the far end, then what happens to revenue kind of thought

process?

P. S. Reddy : See, in my personal view that we have to offer contracts at least two months before, the third month contract we have to offer at least two months before. So, January contract has to be offered necessarily maybe by end of October, so that we will be able to create liquidity. Because in the month of November itself in some contract, the third month contract, that is January contract liquidity comes. In the month of December anyway, January contract has to be there for them to roll over. So, the question does not arise in that kind, we can afford to so delay. And again, it is the SEBI, who is regulator, we will be applying, anyway well in time to get their approvals to continue offering the contracts.

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Aman : Got it, very helpful. Mr. Reddy, second question is around growth. You guys have been doing an amazing job in underlying volumes both in terms of option volumes and that is compensating more than sufficiently for future volumes. Anything else from a new contract type and we had started certain contracts last year and early this year. Anything more that we are doing to deepen the market for both futures and options or any new contract type that we are looking at which can help these things, and which can be seen in this year or next year from a financial year perspective?

P. S. Reddy : See, once we launch our new platform only, we would like to launch all the new contracts. So, one such thing is the steel TMT bar is one and also the shorter duration contracts we would like to launch. We had a Gold options contract of a monthly. Again, we have not launched it and of course this kind of tech transition delay also has delayed that kind of new launches. In that sense, it is impacting, but we would like to overcome that. That is why we are keen to move over to the new platform at the earliest. So, once we launch it, we will be able to apply also for new type of contracts after successful transition.

Aman : Any of these that you feel could be large in terms of potential, like potential, no one knows how will they finally turn up, but when you see today, basis the history of similar commodity either in MCX history or in the history of other Exchanges or versus the demand that you have got, which one are most high potential?

P. S. Reddy : See, the liquid contracts will continue to be liquid even if the variant is issued. So, if a short period contract is issued in Gold and in what you call, Crude, NG, obviously it will be successful, I mean, the trajectory will be on the success side. So that is the way I look at it.

Aman : I think we also spoke about competition last time, at that point of time, I think NSE was about to re-launch crude at that time. Anything that you have seen change in competition, in the last 3-4-5 months or any steps that you have seen that will change, anything in the future?

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P. S. Reddy : My colleague will give . You please mention month wise, ADT, OI and what else you have , I do not know , you please mention.

DG Praveen : Currently , the statistics that we have is in the month of July . For example, in case of WTI Crude oil, around Rs. 37 crores have been traded and there are about 138 lots are for open interest is there .

Aman : This is for NSE , you are saying?

DG Praveen : Yes, talking about NSE . Then , Natural Gas, it is about Rs. 7 crores for the month of July and open interest is around 127 lots. This is what we could able to find on their website.

Aman : That is pretty low , as compared to what you guys do daily. That is very interesting , good. I think on business , we do not have any specific other questions given we have been generally well-entrenched in the workings of the business so far with you. I think, we

had certain finance ...maybe Nicholas can

start with the first option that he has for Mr. Bolar , and then maybe, we can come back towards the end on the software side.

Nicholas: Sure, I mean then we can start with options. I think you have touched on a similar question before, but on options premium, we know that it is hard to say or how hard to determine how much options premium to notional value we can expect , but maybe looking at a long term , in long term basis when options market has reached relative stage of maturity for us? I mean , is there perhaps a certain way of gauging , what our options premium to notional turnover would look like? Is there a certain band or range we can see we settle towards?

DG Praveen : So generally, what happens means, the options premium to notional turnover depends upon several factors like volatility and the growth of the market and how the markets are deepening, okay. The way we can look at it is , as the market is growing faster and going bigger, we can say that liquidity is building up in the out-of-the-money contracts also. So that is a very healthy sign, and we can say that as they are getting deepening, the liquidity is building up , people are even able to trade in the out-of-the-money contracts. So, because of Multi Commodity Exchange of India

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that one overall the option premium to turnover ratio may come down. But as long as the growth is happening in the premium turnover that is a very healthy sign. That is how we can look at it. Even if you take other markets, that is how they have grown over the period of time, but each market has a different phenomenon . Like you cannot fix any particular ratio or a particular percentage that it can be for a , that means it is going to be there for option to notional turnover , depends on several factors and we have a different ratio. We were somewhere around 3% earlier. Now it is around 1.9%. It is very tricky to say right now what could be the percentage , but as long as like I said, it is premium turnover is going up, it is good , healthy sign for the market.

P. S. Reddy : See, we expect the ramp up in our futures , subject to two conditions or the pre-conditions to be met. One is that margins in the futures contract have to be substantially reduced. Because of our SGF constraints, we are imposing the additional margin. And the healthy sign of these contracts, open interest is growing. So that means people are staying put in these contracts. They are not just day traders and fly-by-night operators' kind of. As a result, the SGF cover is increasing because SGF cover is based on primarily the overnight risk and then risk to liquidator position over a period of three days, four days kind of thing. And so that is the reason why this is not growing, the underlying futures . The second is, even for options to grow is, there is something called a short option minimum margin, where if somebody is taking a position in options and as well as futures , a contra-position especially in the short , in options it is just short and then in futures it is long , obviously , they need to cover their hedge , then the margin requirement has to be substantially lower. But that is not the case. Whosoever are taking exposure in futures to cover their risk in the options, they are being charged fully , whatever that is required. And I think that is the ask which we have represented to the regulators and the brokers associations also represented . There is CPA I, and if we able to get a favorable dispensation, probably the whole scenario is expected to change . How much it will change, I cannot say but then there is a ask chorus, I would say among broker

community please have this one resolved , is what they are asking. Thank you.
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Am

an : And Mr. Reddy, is there a timeline on which the regulator has to decide on these two request s that, or representation that you have made?

P. S. Reddy : No timeline , they have again they go through a kind of a standing committee on the risk management systems, they have a committee on that. They have to take their consent and then only it will come. I do not know when it will meet , that committee , and that committee includes representa tives from the market participants as well. I think this is something which they are asking for, thank you.

Aman: But from a stage perspective , would you say it is in the early stages of discussion or in the more advanced stages?

P. S. Reddy : While we keep representing after time and again sending reminder - kindly help us to get this resolved , and it is a plain Ask, there is nothing much to be discussed or debated , they know that. Because it is there in equity markets and so that is what we are asking for. Maybe, these are commodity markets, they are less receptive to major changes in this and because put it in equity markets is much higher than what it is here . But then definitely it is not an agricultural commodity where it is locally determined and , Crude and thin gs are International products, G old, etc.

Nicholas : Maybe just to close off the options part . In terms of the slabs we charge, I am just curious , from my understanding , how those , like Rs. 40 and Rs. 50 were determined and is there any possibility for these to change overtime?

P. S. Reddy : Well, there is a po ssibility of change over time. But is it in the near future ? My answer is no , because it was just introduced a year ago, if I am not mistaken.

So, I think it is too early an d at least for three years we should see that we do not change it . Otherwise, somebody will go and complain to the regulators and here and there and then, you are changing freque ntly. Or somebody can accuse us misusing the ... position . So, we need to benchmark it, maybe against the inflation that is happ ening , or something of that kind we should do it. Cannot we just increase it to 40 to 50 or 50 to 60, something like that.

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Aman : Go ahead , Nicholas. You had more questions there on financials, right?

Nicholas: Sure. Okay, so maybe just on, some financials if you can touch on the product license fee line. Would you be able to tell us what that number was for Q1?

Aman : What also is this, Mr . Bolar , what exactly does this product license fee go to?

Satyajeet Bolar: We pay to CME.

Aman: To CME? Ok.

Nicholas: Only CME ? It is a percent of transaction, right?

Satyajeet Bolar: It is in the transaction. In energy, in our energy.

Aman : It is in the energy side, a pe rcentage of transaction , revenue?

Satyajeet Bolar: That is right.

Aman: And how much was it in quarter one? Could you disclose ? Is it possible?

Satyajeet Bolar: One we have mentioned it, I mean , you are talking of the June quarter?

Aman: Yes.

Satyajeet Bolar: Yes, around 7 crores. In our presentation , it has been merged . It is around 7.77 to be precise.

Aman: 7.77. Ok, got it. Thank you.

Nicholas: And just quickly on that, is it the same fee is charged for options and futures , that license fee to CME , is charged both on options and futures . Ok. And in terms of computer technology expenses, I just have two questions on this line.

One is , it has been relatively flat for the past couple of years leading up to 2023.

So, and then I think in 2023 , it increased to almost 40% , what's the reason for that jump and also secondly, on this expense, will it be impacted by the new software change or is there any link to 63 Moons ?

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Satyajeet Bolar : I think we are looking at line software and the product license which

include

the payment that we made to 63 Moons . So, the increase is mainly on account of the payments that we are making to 63 Moons .

Nicholas: Got it . Right, ok.

Satyajeet Bolar : I have been able to explain because the payments in June '22, we did not have any extraordinary payments to 63 Moons . We were paying as per the earlier term, even in September '22. But from October onwards , we have been paying that extra amount which is reflected in that account. Our normal technology expenses, other one for a back end and all, it is about 2% to 3% increase. So, there is no major increase in our normal technology expense, the major increases on account of what we paid, we have been paying to 63 Moons in the past few quarters and in this particular quarter as compared even in March quarter, we have been paying Rs. 81 crores on a consolidated basis . In December , we paid Rs. 60 crores on consolidated basis to 63 Moons . And going forward, as we mentioned in the previous calls , earlier call , that for the first year once we go live, we will not be paying any AMC to TCS, it will be under warranty . The first year is under warranty and from second year onwards we will be paying them AMC. But we will be incurring some expenses like we will be renewing certain operating and licenses which presently is under CWIP, but once we go live , those would be , we will have to charge it to our P&L. So, it will become revenue expenses .

Aman : Mr. Bolar , have you ever disclosed how much will be the quantum ? You talked about single digit number in terms of AMC cost and single digit number in terms of other expenses which includes , even the infrastructure that you guys are hiring. Is there a more firmer view that you guys are presenting or not yet , on the cost?

Satyajeet Bolar : We have not disclosed it so far.

Aman: Ok, got it. Not even the CAPEX part? Because I think , in the last quarter call there is a request, I am assuming that you are not disclosed it so far.

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Satyajeet Bolar : I mean, September we will give those figures.

Aman: Ok, got it. If I may, so, Nicholas , do you have any other question on financials?

Otherwise, I have a slightly conceptual question on SGF that I want to ask Mr.

Reddy . Mr. Reddy , how does the SGF work ? And how does it grow with the business growth. So, when we look at the way we project the business, how should we think about SGF as a n item in the balance sheet?

P. S. Reddy : See SGF contribution goes to Clearing Corporation and Clearing Corporation keeps it as a separate fund, and it is only a one-way street . You can contribute and then you cannot claim any benefit out of it. And it grows based even interest income that it gets. Otherwise , there is no requirement of permanent contribution from the Exchanges. But all penalties that are being levied by the Clearing Corporation go to the SG F. So that is to put together , about our contribution is about Rs. 460 crores is our own contribution. That is our means 75% is from CCL and Exchange is 25% and the balance that is about Rs. 140 crores is the penalties , maybe since inception , and all that . That is the way it is.

Aman : So, is it related to volumes or not at all? You are saying that from now on, if the exchange grows at X percent, does this SGF need to grow? Or unless there is no penalty / interest of course accrues to this account. But if your volumes go up 20% does this grow in any way?

P. S. Reddy : If the volumes go up and then say volumes, it is the open interest. I would like to insist specifically open interest but not the turnover, okay . If the open interest keeps going up, average open interest, then the contribution has to be made by the exchanges on a month-on-month basis, okay . And so, you take the average of the open interest of this month and

then arrive at whatever that is, and then

next month you calculate it and a month after from the first of the subsequent month, you have to make sure that so much is available whatever has been arrived at as per the month of July. So, month of July will be reflected from 1st of September , put it that way.

Aman: So, this is linked to volumes. Is it linked to futures or options or both?

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P. S. Reddy : It is, open interest is of everything , across options and futures .

Aman : And this interest that comes here, Mr. Reddy, it does not come to us in our P&L account , right? It is simply gets accrued and compounded in that same account.

P. S. Reddy : That is right .

Aman : So, Nicholas, do you have any other questions on the financials, or should we move to software implementation?

Nicholas: Nothing on financials .

Aman : Mr. Reddy, I think , you talked about software implementation in the quarterly analyst call. If you could just give us a sense of where the comfort is right now and I think the mocks which have been happening, any color that you can provide since the quarterly call , will be very helpful for our understanding and building our thoughts ?

P. S. Reddy : I mean , while we were very enthusias tic to go live in the end , quarter ending June, we could not make it for a variety of reasons including the EOD -BOD is taking long time and some stakeholders have some reservations on that kind of situation. So, we said let us fix all of them and I think no w they are falling in place. EOD -BOD is coming under control and the code freeze has already happened. Regression testing is started and now we will be able to open up for members mock sometime, I mean , this month itself. And anyway, we have been given a target to complete it and go live before end of September. I think we are pursuing that target assiduously and we should be able to make it. That is what our commitment is.

Aman : And Mr. Reddy , the new , for the two quarters fee that we are paying to 63 Moons , is it purely a negotiation between them and you, is there an arrival process on why this number should be , the number that will now reflects into P&L?

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P. S. Reddy : Unfortunately, the negotiation is something you give and take and there is nothin g called give. There is only one thing, take whateve r I have given it that is what it is, that is it. It is an options choice that is on situation we were in and that is how it happened.

Aman : In terms of regulator, what i s their stance? Because I think they have dual responsibility. They oversee you, but they also have to ensure the exchange keeps running . So, is their insistence on to make sure that there is always 100% perfection on your TCS software and then only you can move out or how are they kind of thinking about this ?

P. S. Reddy : See, the larger concern that the regulator has, and we too have on the board has is that you are a dominant ma rket infrastructure institution . Several investors, stakeholders have their stakes in your sustainabili ty and system going just as usual kind of thing . So, you are also a nationally important project in that sense. And so, they are very closely monitoring and helping us whenever we ask for any help, and they have been very supportive, and I do not think they could have done anything more to make. I think that is something . Having said that, yes, they have to ensure that non e of the stakeholders are impacted due to the system going down and other thing s. So, if at all there is a hi gh degree of precision , if they are looking for, they are looking only in the interest of the markets and stakeholders and not otherwise. So , that is the way it is at this point in time.

Aman : I am assuming Mr. Reddy , I thin k the

re is no, this entire process of delays

which have happened , there is no regulatory penalty that can come on to you guys because of this. I am assuming this is purely a third-party implementation process and there is no voice of regulator y on that part that there is penalty required because you guys delayed it. I am just wondering; I hope there is no new charge coming from the regulatory side on this ?

P. S. Reddy : Well, regulator is definitely concerned whether they will, whether there is a charge on the exchange or not , but individually obviously we are all accountable for the good and bad project implementation.

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Aman : Last thing , TCS. How have they been , supportive, given they have been involved very deeply on this and this is getting a bit pushed out. Have they been generally supportive to you guys?

P. S. Reddy : At the highest level, yes, it is being monitored , this project . Again, for them is also it is a high reputational risk. They too want to make it a success and neither we would like to take no for an answer, nor they would like to take no for an answer in this case. We want to make it a success. That is it, nothing else.

Aman : This is heartening to hear. Mr. Reddy, I think both Nicholas and I wish you all our very best for the implementation of this software. And we hope to see you guys soon and hopefully by the time we see the software will be implemented so that will be a reason to celebrate. So, I really , best wishes to all of you.

P. S. Reddy : Thank you, thank you so much. Thank you, Mr. Aman . As ever , you have been a well-wisher and supportive, so is Mr. Nicholas and stay invested and we will do our best to enhance the stakeholder value in this company. Thank you so much.

Call: Aug 2023

MULTI COMMODITY EXCHANGE OF INDIA LTD.

EXCHANGE SQUARE, SUREN ROAD, ANDHERI (EAST), MUMBAI 400 093, INDIA. TEL: +91-22-6731 8888, FAX: +91-22-66494151, www.mcxindia.com

CIN: L51909MH2002PLC135594, info@mcxindia.com MCX/SEC/2266 August 17, 2023

The Dy. General Manager

Corporate Relations & Service Dept.

BSE Limited,

P.J. Towers, Dalal Street,

Mumbai - 400001

Scrip code: 534091, Scrip ID: MCX

Subject: Transcript of calls with Investor/Analysts

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 read with the SEBI (Listing Obligations and Disclosure Requirements) (Second Amendment) Regulations, 2021, please find enclosed herewith the following transcript of the call with investor/analysts:

Sr.

No Investor/Analysts Date Time Annexure

1. Ashmore Investment Management August 10, 2023 2:30 PM Annexure - A

The said transcript is also uploaded on the website of the Company at <https://www.mcxindia.com/investor-relations/ir-meetings>

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Kindly take the same on record and acknowledge receipt.

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Yours faithfully,

For Multi Commodity Exchange of India Limited

Manisha Thakur
Company Secretary

Encl: As above

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Multi Commodity Exchange of India Limited

Meeting with

Ashmore Investment Management

August 10, 2023

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MANAGEMENT : MR. P.S. REDDY – MD & CEO
MR. SATYAJEET BOLAR – CFO
MR. DG PRAVEEN – CRO
Multi Commodity Exchange of India
August 10, 2023

Page 3 of 7 P.S. Reddy : Thank you Madam. Welcome for this meeting on the Q1 results. Please go ahead and file the queries, whatever you would like to have.

Rashi Talwar : Thank you so much for the meeting, Sir. Sir just wanted to get an idea, what are you all seeing with volume growth, where is the... with volatility in various commodities that we are seeing globally, are you seeing some correlation between where volatility is higher and volume growth tends to be higher, it has clearly been a good quarter for volumes and we are just trying to analyze it, because of higher volatility, is it because of just general higher participation, what do you attribute the underlying improvement in demand to?

P.S. Reddy : In this market definitely, volatility is the key to drive the volumes, no doubt about it, and incidentally this quarter happened to be one

of the highest quarters

in which we made revenue since 2013-2014. Of course, unfortunately for various reasons, the operations expenses on IT have taken away a lot of cream of it, but otherwise, one of the best quarters that we have ever had in this company and that is in the past. Now having said that, yes, volatility drives the volumes and while volatility drives, we are seeing it in Crude, NG and even in the Gold it has picked up, and Silver also the options volumes... Because of additional margins that are imposed in the futures, the underlying futures are not as vibrant as the options contract. I think we need to have as much, what you call, vibrancy in the futures contract as we are seeing it in options. This is coming in the way of it, these additional margins. The additional margins are required to be addressed sooner than later and we have imposed these additional margins only because we have a SGF cover of only so much, and if you do not impose additional margins the SGF requirements go up and then we have to take out of our own fund and then put it in this SGF, and since it is only a one way street you cannot take it back when the requirements go down. We are temporarily managing it with these higher margins. But otherwise also the margins are generally high as compared to what is there in International Commodities, and as far as options are concerned, I think India is one of the topmost in option contracts and we as Commodity Exchange, we are the number one in Crude Oil option contracts, number two in Gold and Silver. We are seeing number one in the world, that is what we are seeing and... I think we are there, kind of, but as Multi Commodity Exchange of India
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Page 4 of 7 options as a whole may not be number one , but yes, we are , for these individual products, we are .

Arpit Kapoor : So, just carrying on , let us say when before is the customer base the same , so people who are let us say, initially trading in futures because of the cost have now moved onto options and that is probably the trend we have seen in the equity market as well , so is that is one part and , or also seeing new users coming in so the overall user -base is increasing which is also leading to the increase in volume activity ?

P.S. Reddy : Yes, some people do drop out , no doubt about it, but some do shift and new are joining. So , that is how we have 625000 unique customer base, we have got it. And these are the ones who have traded in the last one year or one -and-a-half years. We do not consider anybody who has traded only even in one quarter will consider them the unique traded, otherwise we do not trade. If somebody has traded in the last financial year and not traded this financial year , we drop out and with the mini contracts are also slowly bringing in those ones who have dropped out in 2019 -2020 , they are again coming back , but it is slow, and we bring them back into the market. One thing as I said I keep repeating, we may not be able to get as big as the equity markets are , because here a contract size, a single lot itself runs into a few lakhs and the margin on it will be few thousand rupees , so obviously , it is not an equity share , you buy share or two share kind of , and so that is why you won't see droves of people coming to this market and trading in. But what is important again we are seeing it , the open interest is increasing in some of the contracts and the volatility may be low or the, what you call , in terms of participation may be low , but the open interest is increasing , means the hedgers are coming and then staying in the market . And we have seen a lot of increase in the number of hedgers on the Exchange platform. We keep disclosing on the Exchange website, but that is something which is heartening and helping us to look forward to , because it is

a stable

platform . It is able to help you to hedge your risk, provide adequate liquidity to meet your hedging requirements, so that is where it is .

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Page 5 of 7 Arpit Kapoor : Sir, in terms of new contracts is there , post the technology migration that we are undergoing , there is no limitation right now for us in introducing new contracts, right ?

P.S. Reddy : Yes, there should not be any limit. Once we get the platform going and I think we will introduce , wherever new contract approvals we have received , we should be able to introduce.

Arpit Kapoor : That will continue because we introduced a couple of mini contracts as well?

P.S. Reddy : In the month of March, we introduced three mini contracts. Two of them we are yet to get approvals , that is related to Copper and Nickel. There we could not get it because the trading unit and then delivery unit has to be same, that is the one rule at this point in time is currently in place , and in the case of Nickel it is 1.5 tonnes and then Copper it is 2.5 metric tonnes. You would not get any smaller delivery lot in the market , so that is why we have to have the same thing. Otherwise , we propose to go to 250kg Nickel and 500 kg Copper contract , so that smaller investors, smaller players can be attracted to this market .

C Govindaraju : Suppose if you launch a contract of let us say, next year January expiry date , in 63 Moons software , so how easy is it to shift to the new software ? Is it happens whenever you launch?

P.S. Reddy : There are contracts already till 2024, June or May 2024 contract, but they are all inactive. Inactive means there is hardly any liquidity, hardly any open interest. Whatever contract that are active of the near month that is, current month , and next month , may be at best one more month , not beyond that.

Rashi Talwar : That transition should not be..?

P. S. Reddy : Should not be a problem. That is part of the data migration anyway .

C Govindaraju : You do not need to launch again a new product or a contract to the same ?

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Page 6 of 7 P. S. Reddy: It is like transferring from existing is to porting the data , that is all. It is a more porting of data than anything else .

Arpit Kapoor : Post you port it, and once you stabilize the system , do you expect to launch a

lot more products which probably, because of the fact that the last six to nine months we have been again with the transition, or some of the new product launches would have been on the backburner?

P. S. Reddy : Well, as we have announced, we got a Steel contract, Steel log, rods, and that is kept on the backburner because of the transition. Once we are there, then we will launch.

Arpit Kapoor : So, then you have better flexibility and more management bandwidth also. Once you are able to stabilize, once you are able to migrate ... Just last bit on the software expenses, post the transition there would be, I guess if I remember right there was one year service contract?

P. S. Reddy : Warrantly one year, thereafter AMC will kick in.

Arpit Kapoor : For the first year you will not have any delta incremental cost, it could just be the amortization of the software that you will start doing?

Satyajeet Bolar : Some operating software ...

P.S. Reddy : So what you are saying is TCS no AMC for first year, but there are kind of like DB2 database, SQL and these are all licenses on which you have to pay the AMC.

Arpit Kapoor : Anyways you would be paying ...

Satyajeet Bolar : It is now under TWL. When we go live it is under TWL. Once we go live, that part will come.

Arpit Kapoor : Okay so part of it will come in the AMC, but then most of the others would come let us say after one month, the TCS-related expenses would come?

Satyajeet Bolar

: TCS part will come after one year.

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Page 7 of 7 Arpit Kapoor : What would be the duration for you, that you would take to amortize the software cost?

Satyajeet Bolar : Within six to eight years.

Arpit Kapoor : Is there any benchmarking that you guys have done vis-à-vis let us say what other Global exchanges use?

Satyajeet Bolar : It is around eight years is, most of them ...

Arpit Kapoor : Most of them use ...

P.S. Reddy : Right. Ok. Thank you. Thank you, madam.

Rashi Talwar: Thank you so much Sir. Thank you for taking the meeting.

Call: Aug 2023

MULTI COMMODITY EXCHANGE OF INDIA LTD.

EXCHANGE SQUARE, SUREN ROAD, ANDHERI (EAST), MUMBAI 400 093, INDIA. TEL: +91-22-6731 8888, FAX: +91-22-66494151, www.mcxindia.com

CIN: L51909MH2002PLC135594, info@mcxindia.com MCX/SEC/2267 August 17, 2023

The Dy. General Manager

Corporate Relations & Service Dept.

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No Investor/Analysts Date Time Annexure

1. Canara Robeco MF August 10, 2023 04:00 PM Annexure - A

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For Multi Commodity Exchange of India Limited

Manisha Thakur
Company Secretary

Encl: As above

Page 1 of 13

Multi Commodity Exchange of India Limited

Meeting with

Canara Robeco MF

August 10, 2023

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Multi Commodity Exchange of India

August 10, 2023

MANAGEMENT : MR. P.S. REDDY – MD & CEO
MR. SATYAJEET BOLAR – CFO
MR. DG PRAVEEN – CRO
Multi Commodity Exchange of India
August 10, 20 23

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P.S. Reddy : Good evening Mr. Ajay and Ms. Jain. Welcome to this investor call. Go ahead.

Ajay Khandelwal: Good evening Sir and team. Thanks for meeting us. So Sir, we will start with the recent challenges that we have faced in terms of implementation. So we understand that these are difficult things and some of these processes are taking more time than what we anticipated, so maybe if you can give more insights where are we in that journey and how confident are we to resolve these kind of issues?

P.S. Reddy : As we explained in the last investor call, we have mobilized the whole ecosystem and good amount of members have participated and those who matter and then in terms of participation and day in and day out we have gone ahead and handled them, conducted an awareness programme ... technology familiarization and almost all 30 plus mocks were conducted in the

at two

months time, but unfortunately because of some EoD BoD taking more time since system crashes that have happened, we could not restore the next day trading by 9 o'clock because in the normal course you supposed to start trading by 9 and your trading ends by 11:30 to 12:00 and unfortunately we do not have as much luxury of equity markets as we have in commodities because they are closed by 3:30, the whole day is there for them to start next day trading and so being, that window being very small, we have to ensure that the transition is very smooth and we should be damn sure about starting the next day by 9 o'clock. To have the trading by 9 o'clock we need to get the system by 6 o'clock, 6:30 in the morning, and that did not happen. On some occasions it happened, and, on some occasions, it did not happen and we had to cancel some mock sessions also. So, it did not go well with some of the stakeholders obviously, so that is how we had to defer in the last minute and while having deferred this now we have been able to get control of the situation, and now the EoD BoD timings have come down. Maybe there are some blips, but even blips should not be there. In the last two weeks, if we take it, we are reasonable in control and so we need to now conduct the regression testing and the regression testing is processed. Probably once that is also over some of its activities have to be parallelly done some of them sequentially done, so then we

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Page 4 of 13 will throw it open to the market members for mock once again. Maybe this time mock may not be for months on end and we are determined to go live before the end of September and keeping that in view we would like to complete all the processes before back itself, that includes even audits also and those audits have to be sequentially done and so now that once we start the mocks and then also feedback of the mocks. Anyway, even as I was speaking, also systems on mock is done, but it is not just exposed to the external world, usually that is being done. We are also using, as I said trade generator to pump in as much live data, live kind-of load as we are currently experiencing so that is the way we are handling at this point in time.

Ajay Khandelwal: Volume is not a challenge; the number of trades, because options volumes have increased so much, that is not somewhere impacted the systems?

P.S. Reddy: They are not challenges and once in a while maybe the databases crash, DB2, and then it is supposed to be in a failover mode, so the other system did not pick up because in a sleep mode or whatever the configurations and the configuration IDMU, certain configuration maybe, there are a lot of configurations setup. Some issues of this kind, I am just giving an example and, but they are all done kind of.

Silky Jain: In this particular month we have not done any mocks, like in the month of July?

P.S. Reddy: External mock we have not done but otherwise we have been running the system.

Silky Jain: So there we have seen that progress versus what it was like few months back whatever issues were there?

P.S. Reddy: That is right. They are all getting addressed. Now only we need to get is control of the EoD BoD timelines, that is important.

Silky Jain: Sir what exactly are we doing in terms of managing the EoD BoD timelines, like what changes?

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Page 5 of 13 P.S. Reddy: What happens in EoD BoD, let us say we had to ensure that all our numbers come right, obligations and everything. There are some pre-validation checks. Now how does the system work, in T7 trading engine when trades happen, they are pushed to RMS - risk management system. Risk management System margins, so from available collateral

all some of the margins are blocked then the trade goes into the banks where the obligations are being done. Now, at the end of the day in between some activities also take place in the form of let us say, give-up data, that is, I have done a trade, I transferred to the custodian and so the margin will be imposed on the custodian but not on mine, it will not be blocking the number. So that is a give-up take-up it is called, so I communicate the intention, then the moment the opposite side accepts the margin gets reduced here and it is billed there, so all these accounting steps happen, it will happen while online happens, at the end of the day it accounts for all these things... for back office. So, there are pre-validation checks, before you go ahead and generate the brokers' obligations you need to see whether all give-up take up instructions are properly accounted for. All the trades have gone or anything is stuck in some error pocket or something they call it, some of the system issues then you need to move it, why it is stuck in an error for any reason or some configurations, some mapping is the reason, so all these kind of things are taken into consideration and once the pre-EoD checks are all clear then you take the next step of EoD BoD, that is where you will generate obligations and all. Then thereafter BoD, that is beginning of the day or start of the day... Then some processes can be parallel there, by generations, some processes have to be necessarily sequential. One is that, if there is a BoD check that has failed halt there, check why it has failed, correct that, read on that process then get the process passed, so it takes time for diagnosing that why it has failed and correct it and then put it, so these are the ones which, this EoD BoD process is taking time. As I said, now it is coming under control essentially and on many occasions, we brought the system between 06:30 to 07:00... Backups also take time... Now sometimes it takes more time.

Similarly, there is active... is there, and we need to shift in the event of a disaster, you need to shift to the DR side. On the DR side SEBI imposes a restriction that we must do it within 45 minutes, less than that that is fine and we have been achieving it, but in this new system it was taking some time and

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Page 6 of 13 it was not within 45 minutes , a little more. That we have to again , the quality scripts have to be written to automate this process , so that end-to-end time is 45 minutes, so once the script is done , that will be further reduced. We do not need to build those manual instructions or sequences, so they make a schedule , and they keep running , job one done , that kind of.. So, this is another thing we need to bring it under control.

Ajay Khandelwal: So once these things are up and running , we will not have any challenge in terms of coming up with new products , that also is well calibrated and some of the products which are not seeing any traction or less traction , any ramp up , so in terms of product we will not have any challenge whether increasing the volumes or introducing it ?

P.S. Reddy: Well, there is no attempt to restrict the volume growth or anything like that . At this point in time our focus has always been on the CDP going live . Once the tech migration is done, we do not need to look back into this and we can keep on introducing new products. We already got an approval for the Steel bars and maybe the Gold contract also options, monthly options. We will keep on introducing one by one like that , we will do that.

Silky Jain: You had mentioned that we are planning to go live by September right , our contracts are still there by December 31, 2023 as of now , so how will it work , meanwhile when we shift to our own this thing software, so what happens like

we will still have that backup in the form of 63 Moons software or how does it work ?

Ajay Khandelwal: Sir, parallel systems will be run?

P.S. Reddy: Here you cannot run a parallel system , the problem is that , because the brokers have to work on both systems . I do not think they will work on it. Let us say you are doing trading okay , one can always say that the orders can be routed through this and there is something called a parallel run which we are doing using the 63 Moons , whatever the data is there we are pumping in and trying to see, but the timing will not synchronize . When you start pumping in then it will just pump it maybe seven to eight hours , whether you are taking morning till Multi Commodity Exchange of India

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Page 7 of 13 night, and it should come in that time span itself to see the real -life situation.

Let us say, you are exhausting the margin, but the day you will update all the collaterals , so, there is no question of you going into a risk reduction mode or of that kind of in the parallel run the way we are doing it . Running parallel run of that kind is a challenge , that means you have to pump in orders as if that many members are trading on the Exchange, updating the collaterals of all the people at that relevant point in time, then only you will be able to ... because it is a real time system . If it is a banking kind of system , it is a different matter.

Ajay Khandelwal: Sir, moving on to next set of questions , because of this increase in margins for certain products the future volumes are going down and considering our math of almost 40% options price we get vis-à-vis one future , so do you think this margin equation somewhere is restricting the investors to be more efficient in terms of trading?

P.S. Reddy: Yes, as I just said , one is the system driven margins , because of volatility , what you call volatility margins increasing , I have no problem , but we ourselves have to increase the margins because our SGF cover is about Rs.460 Crores and we are not having fortunately a trading which is not substantial with open interest , nowadays open interest is including , we have almost Rs.30000 Crores of open interest , that shows the strength of the market. People are not just day traders. Now the moment you open interest increases , your SGF requirement increases. Now SGF is primarily based on what is the overnight risk that you are taking. The overnight risk you are taking on the open interest only and not the day trading . So, with the increase in open interest, we need to provide more of SGF cover and because we have to contribute from our corpus to the SGF, we thought let the members contribute in the form of higher margins or ... that is where it is hitting us below the belt. We had asked the dispensation from SEBI , I think in the past also we have requested. We have informed that we may be given a choice to contribute and whenever the SGF requirement goes down , allow us to withdraw. If that kind of dispensation is given , maybe it is worthwhile to invest in SGF rather than invest in any of these treasury , because

the return net-net will be better in the volume space, and it will go on, definitely.

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Page 8 of 13 Ajay Khandelwal: So this increase in open interest is do you think is a structural phenomena because somewhere the out-of-the-money options their volumes have also increased our premiums have dropped so putting these two things together do you think that this is something structural or because markets are trending that is why I think this is happening ?

P.S. Reddy : When there is volatility and then there is a directional movement , obviously it will tend to go out -of-the-money also because one day it will become in-the-money, so for which reason , these co

ntracts start holding some position then

building that , but it is not just that the open interest in Crude, although options are maximum in Crude, the open interest is in Gold, almost Rs.10000 Crores, Rs.10000 - Rs.11000 Crores of open interest we have in Gold and maybe in NG about 7000 , 6000 .

Ajay Khandelwal: Margin requirements is higher in Crude, that is why 10% higher margin requirement , is that the reason ?

P.S. Reddy: Not 10% higher. I think 10% is external margin being imposed , as such it is about 30% to 40% margins currently .

Ajay Khandelwal: That additional is lesser in Gold, only 2% odd?

P.S. Reddy: Only 2% that is all, 12%, but that is not the only reason. The gold could never be at 30% of margin ... we do not experience anywhere, but then , internationally Gold prices are going down in that sense , and I think the dynamics suggest that people want to hedge in gold that is why more and more hedging is taking place . Open interest is more majorly from the hedgers.

Ajay Khandelwal: So, in summation Sir, do you think that future volumes will continue to trend down, and options volumes will continue to grow ?

P.S. Reddy: Option volumes going up , I would say I can expect that kind of trend , which is going down is something which is not that I expect , that is what my own assessment . I think once we get the margins right, I think futures will also increase , in my view , because if the option writers have to hedge the only way that they can hedge is in cash-settled markets , only the underlying in futures . In

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Page 9 of 13 the case of others, they may have physical assets. In the case of Gold, they do not need to take position in the underlying futures, but then they still have Gold, they may still do without hedging , not cash-settled .

Silky Jain: Are you also expecting some traction in the mini future volumes?

P.S. Reddy: Yes, we are seeing that, but then it will take time. We just introduced in the month of March, if I am not mistaken . It will take some more time.

Silky Jain: But what could be the reason why there is not that kind of pickup , even though we were quite excited about this product ?

P.S. Reddy: Madam, when minis were trading , it took time to gather momentum.

DG Praveen : One more point what we have to look at is, then they were all cash-settled contracts , now today, they are all delivery-based contracts, as per the new ... trading unit as well as the delivery unit both should be the same.

P.S. Reddy: That is why we could introduce only three mini contracts in the metals , whereas in the case of Copper and Nickel , we could not introduce because the delivery unit is very big , almost Rs. 30 lakhs.

Silky Jain: So, like meanwhile , do we feel that because of this focus on technology obviously we have lost out on certain focus in terms of marketing or something which would have resulted in more volumes in our other category , has this been also a reason why like index derivatives or these mini contracts – all these things have not picked up ?

P.S. Reddy: Well, we have a separate team which is concentrating on, focusing on the business development. They continue to do what they suppose to do.

Personally, I am not able to spend time in business development , no doubt about it.

Silky Jain : But you do not feel that is a reason why , we could have done little better ?

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Page 10 of 13 P.S. Reddy: Maybe we could have done a little better . Whatever little incremental built up we can add , but otherwise sitting here and at times I will pick up the phone and then speak to the clients.

Ajay Khandelwal: Coming back to the premium part of it , if this thing continues , again I am just trying to understand because this option premium goes down and then

our take

rate also comes down , normally is there something like for example ... for illiquid stocks , they increase the ir commission , or some of these stocks which are thinly traded , so when your premium is lower can it come down to , because it, I think it is 1.89 now can it further go down or you think that there is a floor at least?

P.S. Reddy: The way the idea goes is that we must not increase more piece in the liquid contract. You should encourage them to get activated. The issue is one of whether it is near -the-money or in-the-money or far away from the money is what we are talking about. If the people trade in far away from the money then obviously surveillance actions will also follow, so people do not trade in those option contracts otherwise also , because there is a fear of misusing such illiquid contracts. Generally , it happens and then people do , conscious of that so, we cannot say that we will charge more for these illiquid contracts or some of them at the far away from the money contracts we will charge higher premium, I do not think that is correct .

Ajay Khandelwal: Sir, just trying to understand then there could be any floor for this premium because it increased also to 2.5% plus?

P.S. Reddy: No, but we have currently , how much it is 1.5% or so ?

DG Pra veen : 1.9%.

P.S. Reddy: So that is not a small one, in fact in cash markets that is the way it is happening , okay. Delivery-based stocks, the options on goods , that is where the stocks are getting , I have seen that the other day . Whereas index option , it is just how much it is 0.20% . The stock options are high. Index options and it is just that the volume is more so come to the point , to address your concern if this is less

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Page 11 of 13 at least the volume should increase so that we get compensated , that is a good point , I understand that.

Ajay Khandelwal: Sir, as you said some of these funds are blocked so there is possibility of lower other operating income also , so are there any other changes that we need to pay attention to , because these funds by regulation , our requirements have gone high and some of the float money also that you were getting those regulations again because of certain changes that float is going down , because in terms of our other income also has started coming down , so can you just give some perspective what is happening there?

P.S. Reddy: Obviously that float money is basically taken , or coming in the books of the Clearing Corporation. While float money is important but many of the members and the clients are also becoming prudent and they want to reduce cost, and they give more and more bank guarantees , rather than cash. The cash will come in only if that volatility is of a shorter duration and they want to trade and pending up in the new bank guarantee they give the cash, so nobody would like to deposit permanently the cash . Nowadays the rates have gone up so they would like to earn more interest on that , why they would give away.. .

Ajay Khandelwal: So, this is kind of becoming a more efficient structure ?

P.S. Reddy: That is right .

Ajay Khandelwal: How about Sir, on boarding new members , I think this quarter we have added 556, the number of members ?

P.S. Reddy: Please do not go by that number. My suggestion is you see how many are active . That way we have almost 550 to 580 members lined up, but actually almost 400 are active. Now some of them may be having multiple memberships for a variety of other reasons, but whosoever actively trading is what is important for us .

Ajay Khandelwal: So that activation rate is increasing, improving or remains the same only ?

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Page 12 of 13 P.S. Reddy: The way that I look at is, while number of members is important , n

umber of

members are also closing down , because u nified membership applications have come down , so we do not need to have one in MCX Commodities and other financ ial services which is a member, so they are mergi ng it and then making it one single unit . So, the numbers will come down , it is a consolidation process that is happen ing but otherwise they are all trading , that is the way it is . It is not worrying us .

Ajay Khandelwal: Also, the authorized person there i s decline again there so that also are we pruning some of these?

P.S. Reddy: Well , while the number of authorized person s has come down because we introduced a fee, about two years ago , every authorized person Rs.1000 you have to give annually, so there were so many people lying authorized and they all have shutdown , clean up , that is good for me anyway it does not matter but at least whosoever is active , I am getting Rs.1000 more and that is adding a few may be not big, but a few crores to our bottomline.

Ajay Khandelwal: Sir, recently one brokerage had an i ssue with KYCs, and they are asked not to onboard new d istributors , these kinds of exercises also help us to have better checks and balances with our members?

P.S. Reddy : Well , I knew that order what SEBI had passed it , but I do not know the antecedents of it, where all it has happen ed, but the KRAs have come into prominence ever since they are the ones who are doing it , we do not find any breach in it . There could be some data entry mistakes, etc., like instead of operating from Mumbai you have said that maybe some other Mangaluru or something like that these kinds of things will happen . Linking of Aadhaar has become mandatory now and all the records are Aadhaar number ceded.

Ajay Khandelwal : Right, Sir, there is dip in the trading volumes in July , so anythi ng concerning, or it is a short -term phenomenon ?

P.S. Reddy : The problem is your benchmark ing us on our own success , which is fairly nothing wrong with what you are doing it , but on a month -on-month bas is if you look at it , yes there may be some months which are bad and some months

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Page 13 of 13 which are good and yes , I would not be able to say why in a particular month it was less, understand that.

Ajay Khandelwal : In terms of electricity contract s?

P.S. Reddy: No f urther development. We are continuing our engagement with the regulators, with stakeholders, and all that is happening.

Ajay Khandelwal : Also, just one last thing this Clearing Corporation is a separate entity, so we need to prepare that it is not part of the responsibilities given to TCS?

P.S. Reddy: I did not understand.

Ajay Khandelwal : Clearing Corporation , Sir...

P.S. Reddy: The trading platform that is being developed is both – clearing and trading .

Ajay Khandelwal : So, risk management and clearing?

P.S. Reddy: They are all part of the trading region . Probably it is flowing from your questio n that they floated an RFP for some risk management solution, so that may be the reason why this is coming. Look , currently a c ertain kind of latency number is... If a trade is executed how fast it is going to the risk management system and coming back margin. So that is a few microseconds , milliseconds and maybe they benchmarked w ith some of the other exchanges , we should have still lower. Well , my personal view is g ood to have it, but how much incrementally we want to improve that it all depends on the competition between machines and all that ... If some fine tuning can improve that, it is fine, but if not improve also , it is not risk , milliseconds t hat itself is a gre at achievement and we are doing online. I do not think in most of the exchanges is not online , it is a batch mode , risk management .

Ajay Khandelwal : Sir, you have answered all our questions. Thanks for you r time.

P.S. Reddy: Thank you so much.

Call: Aug 2023

MULTI COMMODITY EXCHANGE OF INDIA LTD.

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CIN: L51909MH2002PLC135594, info@mcxindia.com MCX/SEC/2265 August 14, 2023

The Dy. General Manager

Corporate Relations & Service Dept.

BSE Limited,

P.J. Towers, Dalal Street,

Mumbai - 400001

Scrip code: 534091, Scrip ID: MCX

Subject: Transcript of calls with Investor/Analysts

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 read with the SEBI (Listing Obligations and Disclosure Requirements) (Second Amendment) Regulations, 2021, please find enclosed herewith the following transcript of the call with investor/analysts:

Sr.

No Investor/Analysts Date Time Annexure

1. Nippon India Mutual Fund August 07, 2023 04:00 PM Annexure - A

The said transcript is also uploaded on the website of the Company at <https://www.mcxindia.com/investor-relations/ir-meetings>

Further, we hereby confirm that no unpublished price sensitive information was shared/discussed during the said meeting.

Kindly take the same on record and acknowledge receipt.

Thanking you,

Yours faithfully,

For Multi Commodity Exchange of India Limited

Manisha Thakur

Company Secretary

Encl: As above

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Meeting with

Nippon India Mutual Fund

August 7, 2023

Disclaimer: This transcript is provided without express or implied warranties of any kind and should be read in conjunction with the accompanying materials published by the company. The information contained in the transcript is a textual representation of the company's event and while efforts are made to provide an accurate transcription, there may be material errors, omissions, or inaccuracies in the reporting of the substance of the event. The transcript has been edited wherever required for clarity, correctness of data or transcription error. This document may contain "forward-looking statements" – that is, statements related to future, not past, events. In this context, forward looking statements often address our expected future business and financial performance, often contain words such as "expects", "anticipates", "intends", "plans", "believes", "seeks", "should" or "will". Forward-looking statements by their nature address matters that are, to different degrees, uncertain. These uncertainties may cause our actual results to be materially different than those expressed in our forward-looking statements. We do not undertake to update our forward-looking statements.

Annexure - A

Multi Commodity Exchange of India Limited

August 7, 2023

MANAGEMENT : M R. P.S. REDDY – MD & CEO
MR. SATYAJEET BOLAR – CFO
MR. DG PRAVEEN – CRIO

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Vrishit: Hi, good evening. First of all, thanks for taking your time. We have the entire team; Sailesh sir is on call. Sir.

PS Reddy: Good evening, Mr. Sailesh.

Sailesh: Hi, good evening. Thank you so much for your time and you know, obviously all of us have been through a fairly challenging journey, i am sure for you as well in the last few quarters and large events like you know, transitions like this are definitely not easy and challenging. We wanted to really get a sense on the comfort of your team and your processes, which are built around enabling this transition and what according to you, like you have mentioned on the call and all that by October you should be around to comfortable around that. But could you give us some granular understanding as to what are the things which are in your control which you are executing and we are very confident about by getting it done and are there some elements which are not totally in your control which you know which has been creating the problem in the last couple of times when you have attempted this. So, we just wanted to understand the technology piece behind this and get a sense from you. I thought I would start off with the most important question and I think this must be the thing which will be taking most of your time as well. So, happy to hear your response.

PS Reddy: Thank you, Mr. Sailesh. More than anybody else, I am the most disappointed for not being able to do the transition because I had been what you call, I have been positive about this transition happening and the last time I was there almost for 99.99% kind of thing. Yes, there were challenges, I know that, not that we are not aware of those challenges, but then we wanted to manage those challenges while trading is on but then certain things have not gone well with some of the stakeholders of the system like cancellation of some mocks on account of some technology issues, especially some databases crash for which it took time for us to restore. So, well we have the vendor support yet it took some time. So, that is that is one reason kind of thing. Secondly, we had to fine tune the EOD BOD processes, the window that is available for us is unlike equity market its just 6 hours. Yes, because our markets are open till 11:30-12 midnight and then again morning by 6:00 if you give it then obviously you will be there at 9:00 to start the trading. So, we couldn't do that number of days because the some of the batches were failing and they were fixing and then running it and then you know at the end it was going through, but then that is where the time is being consumed, so we could not obviously thought the trading by nine, but probably you could have started trading late if that was the choice that we were to make. So, these are the issues that had disturbed us, of course, some more functional issues were there. We were also saying that, Yes, we will see whether there is any work around and we can work with that. We are not in a mood to go for an extension. As I said again, such compliance was also in terms of audits etc. could not have been completed with a clean report in that sense. So, unless we get a clean report, obviously we will not be able to go forward. Yes, the kind of business tick sense is different from some few technology taking an approach to this kind of project. So, we couldn't move forward. So, now that we have more than a month into it, yes, many issues we have got control of it and that those are all got fixed now the EOD, BOD
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reasonably good in the sense we have almost all able to do on most of the days by 6:30, 7, 7:30 maximum. So, the point I am making is that is this 7:30 is also good enough, no, we are still refining it. Some of the processes and some of the batch processing Wherever some are failin

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some of the checks are failing, they need to be found a permanent solution, TCS team is working on that. So, that the time lost in the EOD BOD will be reduced substantially, so that refinement is going on, although we have not declared mock to the members for participation but on a daily basis we are running the trading with full capacity. When I say full capacity, whatever is the

current volumes that we have. We use a trade generator and then generate that much of trading volume so that you know system is withstanding the kind of load that is expected to. That includes variety of contracts and variety of instruments that we have. So, and again, even the mock system where we are running, it's nothing but the live trading system going to be till we go live we call it as mock trading system, but then once we go live then that itself it is the system so that the members need not find the data being inconsistent or the last minute we migrate data then they will find my UCC's are not there are some users are not there. So, in fact we have already done on maybe 4 or 5 occasions in the past also when we ran the mock session almost 30 plus but some of them sessions were with a almost all live data. Because we had Friday trading is done, then we copied that data OLTP they call it online trade processing data. That data we have migrated into the mock system because when we go live, actually that is what is going to happen the Friday evening or Thursday evening whatever is the time that the live position you have to transfer it to this new system and then start trading. So, we have given that members in the past. On Sundays we have started trading also and members were trading on Sunday so that they will also be able to verify whether all the online data has been properly transferred or not, whether all what you call the rights and whatever the privileges that are given to various users are properly populated or not and open interest is properly transferred to the respective client accounts etc. So, we will continue to do that. So, far we have done almost all 6-7 data migrations. We have created golden copies of that and we will continue to do that before we go live. We plan to do as many times as we can. While Saturday data may be while Friday data we may not be able to do it, may not be able to do it every time, at least somewhere in the middle of the week we can take that data and then this is as close as to the live data. We will give it to members for verification. So, we are working towards this one objective to go live at the earliest not withstanding the time that we have it, but we don't want to look at that time frame and it is important we store the confidence of all our stakeholders having what we call having not been able to achieve twice I would say.

Sailesh: If feels all the controllables are now working in the sense if you had some challenges like you know selectively some vendor support problems like you mentioned or cancellation of mock, that is all behind us, those kinds of things are behind us. And there is good support and cooperation of all the vendors you require to make this happen.

PS Reddy: There is no problem on that part of it. There is no problem. But obviously the most important vendor or a partner in this technology is TCS and they have to fix it when there are any problems online in a jiffy and that's the way at this point.

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Rishit: Sir just one thing, right. When in terms of tech transitioning, is there a blessing or is there anything to do with 63Moons, so they could get involved and unless and until we get a go ahead, or unless and until you know some credible pieces they were to provide that is required in this transition or this is something that we can manage independently with TCS without 63Moons being entirely in the picture.

PS Reddy: Yes, it is an independent exercise. So, in

that sense, data migration has been done for almost all

15-20 years of the old data into the data warehousing system and all that, without any involvement. We engaged an audit firm also to verify whether the data migrated is all in place or not and KPMG we engaged and they are verifying it so that we have done it successfully. So, it is between the MCX, TCS and the systems team. That's the way it is..

Rishit: Okay. Incrementally you talked about EOD BOD, is that sort of largely behind us now or that's still happening with some improved efficiency now? I mean so from here so as we speak right now, what are the issues that are still pending before you start pushing mocks to the member brokers?

PS Reddy: See the EOD-BOD as I said the batch failure happened, or some kind of what you call some updates not take place maybe so they have to be corrected and then move forward and yes, they are getting fixed. That is why we have put a tight scheduler and the scheduler runs it and we fix in sections, if something fails don't bypass that and then move forward. Make sure that is an important process that we have to run through, or it can be bypassed because it may not happen every day in situation certain activities happen only on certain days, so that kind of thing has to happen. That is the way that sections are, and similarly, certain processes need not be done sequentially and like some files generation can happen much, what are to be given to the members can be given much earlier than what they may have planned currently. So, they are being removed from the scheduler and then put as a separate process. I mean when I say loosely speaking scheduler what I mean is that can be run independent of the other EOD-BOD processes. So, that Members will have the files by 3:00 AM in the morning. So, some obligations have to come only after it has to be done sequentially, but trade and order files can go well soon after the closure of the market hours. So, like that, they have identified those things that are being

done now and I think those that will further give some more time for us to you know, reduce the timeline. We would like to have complete these things as early as possible. So that, God forbid, if there is for any reason, one day we miss it, then we will have more time for us to fix it and then move forward. That's the way it is.

Rishit: So, essentially because these were the issues that were even at the end of the last month, right at the end of June, right now, we spent about a month already. I think it does not look like most of these issues were also there in the last month's itself as well, right. I mean, what has changed in this one month because all I am trying to understand is progress. Is there visible progress that we can see which gives us some guiding part towards September, October where we managed to get the transition or we still struggling in some form of shape.

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PS Reddy: As I said today, as we are speaking, we are able to get the system by 6:30, 7:00 kind of thing. So, that was not the step here. We had about 9:00, 9:30. Sometimes to tell the members system is available from 11:00 onwards where we used to declare mock itself at 11:00, so that is not there.

Rishit: OK. So, that's one of the progress that we would have done in the past month.

PS Reddy: It is very important, very important for us, because for us to start the market at 9 o'clock that's very important.

Rishit: Okay, now incrementally from here on like you, I think you mentioned on the call that September, October could be one of the deadlines. Again, it is I think it is a non-committed deadline, but I am just trying to understand is there a view that this thing were to run the way they are that looks realistic or that still looks like a little bit of a fetch, believe you have not started mocks with member brokers as yet?

PS Reddy: No,

I mean we are planning definitely this month only, the mocks for the member broker. We have not announced the date. But we will be announcing.

Rishit: And on September, October deadline, does that sort of sound realistic now or do you think?

PS Reddy: We should, as I said that last time itself we plan to go live then why not this time? That's the way it is.

Rishit: Let me just check if my colleague has a question on this one.

Amar: Good afternoon, Sir. Thank you. Thank you for this interaction. Am I audible?

PS Reddy: Hey, good afternoon, Mr Amar. You're audible.

Amar: Thank you, Sir. Thank you for some of these points that you have shared with us. Sir I have just one question and please pardon us for sort of asking this, but this was sort of a key point. Rishit and Sailesh briefly touched this, but I still wanted to get some clarity. For the transition to complete or successfully conclude do you need cooperation of 63Moons in any way for any part of it?

PS Reddy: The answer is No.

Amar: Thank you sir. Got it, Sir. Thank you.

Rishit: The other thing is on the transition right. For that, I think sir we have seen in the past two, at least one or two instances you had to you know your CTO's had to sort of leave because some of the other reasons, right. Is the new hire you talked about obviously that the new hire is done

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and you are waiting is there a timeline and that is from a process perspective, is that timeline new CTO and when would the new CRO be sort of inducted into the organization? Is there a clarity on the timeline? Because I think that will be the key events from the transition perspective for us to monitor as well.

PS Reddy: Okay on the CTO. I must say that the board way back in maybe 2021 itself taken when we were hiring or 2022 maybe I don't remember but when we were hiring new one they said that you please hire two. So, that one will remain as a backup to the other. That is how the current interim CTO, who is acting as CTO, Mr. Rajendran, was hired also at that point in. So, the project should not suffer that is the whole spirit behind it. Similarly for the current session also all the interviews and short listing all that been done. We will soon close that also which is already done kind of. Technology Committee has also finalized. On the CRO, I think once the CRO joins then only we can announce to the market. Obviously, he/ she is currently working somewhere. So, we can't harm that's the way it is.

Rishit: Sir is there a timeline because the way I understand or the way we understand this is that look CTO would be critical from the tech perspective or CRO would be critical from an audit perspective, right in terms of checks and balances with respect to what SEBI requirements are, etc, right. So, for us those two important events which helps us track their induction into the

organization and they will obviously take their own time to get things sorted out, right? So, is their timeline where they will get sort of inducted or if you are not looking to disclose the name, I am just trying to understand the timelines on when they will be with us.

PS Reddy: I think both of them will be requiring about a three months' time to give a notice and all that kind of thing. So, that is the way it is. I am sure we should be able to on board the CRO by then by October, not by October, by November should be able to and also say this current CRO is also there. It is not that they themselves were heads of departments for a long time in this organization. So, they are very much aware of compliance requirements etc, not that they are not aware of. So, Yes, I think that is the requirement which we have to fulfill. That is why we are fulfilling it.

Rishit: Because is there a risk there coming by November, you could just also end up I mean December is coming to close so is there a risk or you guys can

manage it and this is not a concern?

PS Reddy: Managing it and. I don't see any risk out there for me. It is not a risk.

Rishit: Okay then maybe would it not be best to just elevate the existing guys to become CTOs and CROs when I mean they can take care of the transition themselves.

PS Reddy: well I know that attempt was made, but there are certain issues, so I cannot speak up now and that is why we couldn't do that.

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Rishit: Okay. I think that is all I had on the tech. I will just check if anyone has anything on tech transition. Otherwise, we just have a couple of very basic questions from a business perspective and I think that is pretty much it. So, I will go in terms of the business now in terms of from a business perspective, right? I think there have been 2-3 orders where SEBI has said that look post Jan 2024 some contracts would not been allowed just if you could help us elaborate on what, what did they sort of indicate and is there any risk that you would see because of this?

PS Reddy: See the contracts that are required for, whatever contracts that are needed and which are active in the market, they have already been launched and they are already there and we should be able to implement it anyway much earlier and we should be able to launch other contracts also as we move forward, even if we launch them, they are all illiquid only you have seen that only first two contracts are active. So, there is no impending danger for me at this point in time.

Rishit: Okay the other thing on gold options, right, because that's I think one of the contracts that we were expected to launch after the tech transition, right, is that correct gold Mini. So, just on that from a view and this is just primarily your view on how you think about it? When I look at futures, obviously gold is like a 50-60% of the volume, right. How optimistic would you be on that particular contract from a growth volume perspective? Would you be equally optimistic as the way you see in crude options are picking up or is there a different angle to it that we should know from a business product perspective that you can highlight us.

PS Reddy: See in the case of crude, the options are much more actively traded than the underlying because the margins on the underlying are very high and almost all of 40% of the margins. So, that's a very, that is not a small sum. Although the contract size is not very big, in the case of crude, okay. Now when it comes to the gold, that's why in crude the options are very, very actively getting traded when it comes to the gold. At this point in time monthly options are not available. Options are on bimonthly, the underlying contract futures itself is also a bimonthly although the margins are about 12%, the contract value is almost 55 lakhs, one lot is 1 kg of gold so 55 lakhs or 60 lakhs whatever it is depending on the value. So, that is a pretty big and bi-monthly options means the premium will be to that extent tenure being longer, longer it will be expensive. So, my view is although the margins are not high because the contract value itself is very high, the options may pick up is my understanding monthly options may pick up.

Rishit: So, you know that make sense. So, then to that extent, I think this will be one of the kickers once the tech transition starts, I think there is a fair way to think of it. The other thing that I wanted to understand is of the index derivatives, right Index options possibility. Index derivatives from a future perspective have not picked up. Because that was one of the more promising contracts for us as well, right? Is there a reason why from a product perspective that has not picked up anything else that you can highlight what can change, or options is the key piece there and which ones you launch is where things can pick up from that perspective.

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PS Reddy: Yes, currently we have only index Futures and we launched all the three and then they were doing well, thanks to the nickel contract debacle. So, the entire metal index has gone, almost 200

crores to 300 crores ADT we were clocking in that METLDEX and collectively, what you call BULLDEX is, what is doing again, about 40 to 50 crores maybe sometimes 70-80 crores of ADT seeing it. Yes, it is a disappointment for us also at this point we have not focused much on it. I think whenever there is a what you call a dampener that came in the form of nickel and other thing people have withdrawn from almost all those contracts. I think we will -relaunch these things once we, index is reconstructed. We have already done that METLDEX we were to remove nickel. We have done that has already been removed.

Praveen DG: Nickel has been already been removed and but more than that it is like we are awaiting for this transition to take place.

PS Reddy: Transition to take place then thereafter we will relaunch the contract.

Praveen DG: Index options also can be considered.

PS Reddy: But we need 1000 crores turnover. So, turnover that's not the requirement, Okay for index it is not. Okay. We can look at that at that time but let me migrate safely to a new technology platform then all these things will come to our mind and at this point in time, our focus is only this technology, technology, technology, nothing else.

Rishit: Yes I think that has been the case I think for a fairly long time. I know you have been struggling through that, I think, but hopefully we will get there sooner. Just couple of last questions.

Premium to notional turnover in general, right that come down in the last I think two or three odd quarters, right? Can you just help us understand this? I mean, what sort of impacts this ratio because it obviously helps us swing revenues in a fair bit of pace, right? Can you just help us understand what typically impacts and I mean what is the key factor to sort of remember here?

PS Reddy: Yes, please go ahead.

Praveen DG: So, generally multiple factors impact this premium to turnover ratio. Okay. You can look at like if market is growing larger and larger, then you can expect that, liquidity also will spread over multiple strikes and even into the deeper into the deeper out of the money kind of contracts. So, you can see that as the markets go bigger and other thing somewhere it can stabilize. OK, initially because the contract stated could have been only limited to in the money and deep in the money some kind of contract. So, during that time, naturally you will be getting a better premium to turnover ratio. But as the markets progress, you can see that there could be but again it is too premature to come out or arrive at any given number as because the market just it started emerging the options just last 2-3 years, I think we have to wait and we have to see it.

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PS Reddy: Currently I think it is about around 1.5% - 1.9% is the premium to the turnover. That's right and 1.9 it may keep going down also, but then as far as our market, our turnover is concerned, it cannot go down below Rs 40 per 1 lakh that's the way our tariff is. So, when we are not intended to create any more.

Rishit: Sir ideally 1.9 then in that case 1.96 should have been in the bottom know or you think?

PS Reddy: As he said, it all depends on where the volume is coming from. If it is out of the money option contracts then it will still go down. If it is in the money, it will be more. It's like that.

Rishit: Okay. The other thing is from just one last question from a product perspective, is it a thought on weekly options because that is something in equity and there is volumes for equities. Is there a thought on or something that you will have to wait after the tech transition and

then you want

to launch something in that category or you can't really do it for the product categories that we work with.

PS Reddy: Wait for the tech transition to happen thereafter only all these things will happen and our job is to protect the existing products and make sure that they grow and I think we will look at new ones as we go along, once this is behind us, but weekly options are a possibility, no doubt about it.

Rishit: Just one last question from a participation perspective typically, let's say what portion of the volume will be from the top 10 out of 20 members. Is there a number because what I am trying to understand is that how increasing participation is coming from retail because that's one of the sort of opportunities that we can play with, right, because for us, the participation is really small. UCC, like you mentioned, is really small. All right and let them grow multifold over the next 3 to 5 years, right? From a participation perspective, any data that you can share will be useful for us to ensure depth.

PS Reddy: Well, in terms of revenues, I do not think I will be able to contribute because when you look at the top 10 members, how much they are contributing to the turnover, I can say out of which some will be of retail brokers also, not all of them are algo players. So, top 10 accounts for about 60% of how much it is, 54-56.

Praveen DG: I don't have the right number right now, but that is what we have been telling earlier.

PS Reddy: How much?

Praveen DG: Around 60.

PS Reddy: It is there in the public domain, also. So, top ten accounts for 63%.

Rishit: OK, 63% of the volume is it.

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PS Reddy: And this is obviously some of them include your members who are catering to the retail investors.

Rishit: Perfect and in general, from a UCC perspective, at least the numbers seen a decent amount of uptick in the last year and year and half right it is essentially because retail participation has increased well and you think this is broadly as a trend that can continue and just your views on what are we doing incrementally so, right.

PS Reddy: So my expectation in this retail participation should continue and will continue. I think smaller contracts is key for their greater degree of participation after they introduce some of these mini contracts, some of them did come back but then it will take time for us to bring back all of them and there are, like your nickel and copper still there are no smaller contracts introduced. In fact Copper was doing well at that point in time so was the nickel and our request for smaller contracts in this is also pending with the regulator for their consideration.

Rishit: Okay, perfect. I think let me just check if any of my team members have a question, otherwise I am good. Perfect. Thank you so much for your time. I think that is all we had but absolutely, we hope. We hope this transition gets behind us and at least we get to focus on the business because I know there are couple of good things that you can do around the contracts that you have mentioned about, but all of the energy is sort of getting wasted in doing where we are spending right now. So, let us hope we get there soon, Yes. Thank you.

PS Reddy: Thank you.

Call: Aug 2023

MULTI COMMODITY EXCHANGE OF INDIA LTD.

EXCHANGE SQUARE, SUREN ROAD, ANDHERI (EAST), MUMBAI 400 093, INDIA. TEL: +91-22-6731 8888, FAX: +91-22-66494151, www.mcxindia.com

CIN: L51909MH2002PLC135594, info@mcxindia.com MCX/SEC/2263 August 11, 2023

The Dy. General Manager

Corporate Relations & Service Dept.

BSE Limited,

P.J. Towers, Dalal Street,

Mumbai - 400001

Scrip code: 534091, Scrip ID: MCX

Subject: Transcript of calls with Investor/Analysts

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 read with the SEBI (Listing Obligations and Disclosure Requirements) (Second Amendment) Regulations, 2021, please find enclosed herewith the following transcript of the call with investor/analysts:

Sr.

No Investor/Analysts Date Time Annexure

1. Tata AIA Life August 04, 2023 12:00 PM Annexure - A

The said transcript is also uploaded on the website of the Company at <https://www.mcxindia.com/investor-relations/ir-meetings>

Further, we hereby confirm that no unpublished price sensitive information was shared/discussed during the said meeting.

Kindly take the same on record and acknowledge receipt.

Thanking you,

Yours faithfully,

For Multi Commodity Exchange of India Limited

Manisha Thakur

Company Secretary

Encl: As above

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Meeting with

Tata AIA Life

August 04, 2023

Disclaimer: This transcript is provided without express or implied warranties of any kind and should be read in conjunction with the accompanying materials published by the company. The information contained in the transcript is a textual representation of the company's event and while efforts are made to provide an accurate transcription, there may be material errors, omissions, or inaccuracies in the reporting of the substance of the event. The transcript has been edited wherever required for clarity, correctness of data or transcription error. This document may contain "forward-looking statements" – that is, statements related to future, not past, events. In this context, forward looking statements often address our expected future business and financial performance, often contain words such as "expects", "anticipates", "intends", "plans", "believes", "seeks", "should" or "will". Forward-looking statements by their nature address matters that are, to different degrees, uncertain. These uncertainties may cause our actual results to be materially different than those expressed in our forward-looking statements. We do not undertake to update our forward-looking statements.

Annexure - A

Multi Commodity Exchange of India Limited

August 04, 2023

MANAGEMENT : M R. P.S. REDDY – MD & CEO
MR. SATYAJEET BOLAR – CFO
MR. DG PRAVEEN – CRIO

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P. S. Reddy: As I have explained in the earnings call also, as well as yesterday we have another call, I don't know whether that is in public domain or not?

Participant: Not yet, but recording got uploaded.

P. S. Reddy: So, it's a big disappointment for me that we couldn't do the migration as I have been emphatically telling and you know the whole eco system has been poised to do that and certain things acted as show stopper for us. So the one is the EOD and BOD not within the control time. Unlike equity is shut at 3.30 whole day is available for them to fix anything. For us market runs till 12 midnight and window available is may be for another 6 hours by 6 am have the system ready so that we will be able to start trading by 9 am. While it was happening on some days but on many days it didn't happen again because of certain processes getting delayed taking lot of time EOD and BOD processes. May be certain pre EOD processes build in the system and some of the checks were failing so obviously they fail and they step in and then fix them and then move forward, and so those things took lot of time. And other one is of course on few days may be 3-4 days, we had cancelled mock sessions or started very late in the evening 5'o clock or something like that. so that also dampened confidence level of some of the stake holders and obviously the auditor certification to that extent will not be forthcoming if they don't get that kind of resilience of the system. So these are the thing which had taken us aback and so obviously the board is also not comfortable going with this. And that is the reason we had to extend the contract. We again, I don't want to get into the specifications of that because it is not in the public domain, it's not proper. And so we had only a minimum two quarters given, take it or leave it again. so that is the reason why we have to do it. Now our desire is to, wind up as early as possible and we will inform the market participants when we will be starting a mock, should be definitely in this month only and then we will be going live. Since we have already done good number of mocks in the last so many months, like 30-35 and almost 380 - 390 members who all on a day-to-day basis, they have all participated tested the systems. So may be, we will give mocks this month, may be early September and then we should plan to roll out the systems subject to other compliances being in place. So that's the way we are looking at it.

Participant: So, Sir the problem of EOD and BOD, now since one month has passed in that exercise so how do we see it now?

P. S. Reddy: It is coming under control, EOD and BOD, we are getting the system, although we are not doing mock for the external world, internally every day the systems are up and running and we are starting by 6:30-7:00 we are getting systems.

Participant: So, isn't it dependent on when we have to run a mock and then the data that we get and then we run the EOD-BOD or we can do it on the live which is going on just parallel system to what we run?

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P. S. Reddy: Mock is a separate system altogether; the mock system is nothing but the infrastructure the full-scale infrastructure that will be just converted into a trading system. So there we are using what is called as trade generator and we are pumping as many trades as currently we are having volumes, so there is no question of whether the system can take volumes and other things, so that is also being practiced at and parallelly done. So that is the way it is. We are pumping all that and those trades will be EOD-BOD done processed.

Participant: And do you require any enhancement from TCS or something internal?

P. S. Reddy: It is the job of the TCS, all those fine tunings those processes and why certain job steps are failing and fix those

se job steps.

Participant: Okay, can you quantify in the past one month, what is the improvement in the processing time we have seen in the EOD-BOD process?

P. S. Reddy: Like I said, nowadays we are getting the system by doing 6 to 7 most of the time, in most of the cases.

Participant: And the current 63 Moons system, by what time does the process get completed?

P. S. Reddy: Maybe by 5 O'clock or so we get it. By 6 is also good enough because trading starts at 9 O'clock. So it is not an issue for me. But the lesser the time, the system is ready in lesser the time, the more what is called free time available for us in the event of any problem that you encounter you can fix that.

Participant: So how much more optimizations would be envisaged before starting the mock sessions again?

P. S. Reddy: For the mock session there is no problem, we are testing internally some of the functionalities and some of the areas which are some of the regulatory compliances related also and once those are in place we will do that. As I said in the month of August itself we will be starting the mocks.

Participant: Sir, what are the related compliances that we are talking about that is not tested before?

P. S. Reddy: No, no, It is not that, it is not tested before, some of the reports and DWH reports and some of the penalties imposed for violations and other things, those are the ones which were earlier tested also. And see, the code, if you keep touching and tinkering with the code, then obviously it misbehaves, that's the problem. That's what the issue is.

Participant: How much time would be required to complete the regulatory audit process and data clearance from the SEBI?

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P. S. Reddy: No, see, we need to carry out certain activities what you call sequentially that is another important thing. So once our internal regression is completed, regression testing is completed, then we will give it to the external mock, then we can simultaneously start our audits also.

Participant: But audits are subject to we starting mock?

P. S. Reddy: Not necessary because they can always do the background what you call, background preparations in terms of verifying, what are all the due diligence we have done and what are the processes we have done. In what is called the software lifecycle development of something that is there. So what are these one-two-three-four kind of things, whether you followed it or not, how many test cases you have done, where is the test results. All that they can verify it. So not necessary that they will not, means it will start only later. They can do this work, which we have already completed.

Participant: Is this done by the regulator, sir?

P. S. Reddy: No, we have to appoint an external auditor, who is CERT-IN certified and all that.

Participant: Where does the role of regulator comes in this whole tech transition, when does the auditor or regulator sort of monitors that?

P. S. Reddy: We have to submit the reports to the regulator after our board or SCT approval are taken. Look here is the report.

Participant: And given that there are delays in things, is there anything coming from regulator at the moment?

P. S. Reddy: So, as far as delay is concerned, regulator is very upset obviously on these things and the board is upset and so we have escalated these matters with the vendor at the highest level, all that is happening and yes we have to work together to make it happen that's the way it is at this point.

Regulator is also very supportive of us to go live at the earliest.

Participant: Okay, for getting the regulatory clearance, we need to fill the positions of CTO and CRO beforehand or that was thing.

P. S. Reddy: There is anyways CTO interviews are going on, already done and then shortlisting is done, all that is the process. But the point is even when we have taken an earlier sometime when

we have

taken the CTO and simultaneously taken a CDO also, so that it is a fallback for the CTO, both are technology guys only and so we have taken them as fallback to each other, we don't want to leave a wide hope there. So we are conscious of it that's how it has happen.

Participant: Is it a regulatory requirement that the positions needs to be filled before the transition happens?

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P. S. Reddy: That is not a regulatory requirement but even if somebody is there, we have designated the current one as the interim CTO designate.

Participant: Moving to business, so currently, futures volumes have been declining and what we understand is that the current options contract are on futures. So the earlier understanding was that if the options value go up and since the options contracts gets devolved into futures that should also lead to improvement in futures volumes, so why is the mismatch currently. So we just want to understand.

P. S. Reddy: If you see that is the way the business framework should work and I am of that view only, continue to hold that view, but the margins happen to be very high in the underlying futures. And what is that majorly accounts for, it's the energy contracts and the gold, and gold we have 10%, we have a 2% initial margin. So 12% is the margin. So is in silver also, is that correct?

Praveen DG: Number precisely I may not confirm, but yes approx.

P. S. Reddy: But in the case of NG we have imposed, not NG, what Crude Oil we have imposed 10% initial margin almost 40% overall approx. margin. So these are all taking positions into underlying future contract expense. Probably if we reduce those margins, we should be able to build that also equally well, is my understanding.

Participant: Deciding the margin is in our hand or ...?

P. S. Reddy: It is in our hand. What the regulator decides is the minimum margin.

Participant: What could be the regulatory defined margins?

P. S. Reddy: There is something called as minimum margin, the second level is the VAR based margin. This two where minimum is minimum and then VAR based margin is day based on the price volatility that kicks in, it is system determined. The third one is additional margin. We impose additional margin because the SGF cover will increase if we don't have additional margin. So this is the problem that we have at this point in time facing, like I said. It is important for us to balance between this SGF v/s margin. If you have more SGF cover, probably less margin we can levy. We don't need to impose, less margin means, definitely not less than what the initial margin and the VAR margin that anyway, so you don't need to impose margin. And at this point in time, if we don't impose this 10% margin because the volumes are increasing in this NG products, so is in gold the open interest is basically important, we end up contributing from our balance sheet to SGF and we can't take that from SGF, that is the rule. So we have asked for a dynamic contribution point of view, which I earlier also mentioned on various calls, whenever there is a reduction in the requirement I should be able to take it back, whenever there is increase I should be able to contribute, because what I earn interest is x%, but if I earn in the form of transaction fees more, probably that makes sense to us.

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Participant: you requested the regulator to?

P. S. Reddy: Obviously, everybody has to, there is regulatory committee is there, within SEBI risk management committee they have to decide.

Participant: Do you see MCX contribution going up, in annual basis going forward because of options volume?

P. S. Reddy: If it has to go, it will go, that is the way it is. We have contributed some, we are yet to, this July month was very good, you must have seen our volumes and the open inter

est. So if it is required

for us, then 25% we have to contribute. 75% MCX-CCL contributes, to meet the minimum required corpus and we already how much, 460-470 crores other than the penalties which is another 120-130 crores.

Participant: So coming back to the tech transition, the current code or the current software that TCS is building for us, is the understand correct that the code is not owned by us and it would be owned by TCS.

P. S. Reddy: That's right ! because T7 belongs to the Deutsche Bourse and Bancs belongs to TCS. But we will have a continuous perpetual license. So you keep paying the AMCs and then you go ahead and AMC charges is also upfront fixed. So you don't have any problem.

Participant: So this current agreement is for say 5 or 10 years, how does it work?

P. S. Reddy: The agreement signed is for 6 years. Then thereafter every two years you renew it, pay them, fees which are decided now. AMC fees that are decided now.

Participant: That AMC fees are not contingent to our vision that time. Say after six month.

P. S. Reddy: No, it is already embedded now.

Participant: But there is an option, hypothetical, that if TCS cannot continue after six years. Its just a hypothetical question.

P. S. Reddy: The way that it is what it is, that we keep paying it, then you can continue to use it. You may not take their services, only for patching a code, you need to take the services, otherwise not required. You can take the feed out using the APIs which they have given several APIs and then you build your, whatever enhancement that you want to do it. But for me it is an institution in that sense, it is not a problem for me, the way we are facing.

Participant: Do other Exchanges own the source code or they have separate agreement with the vendor?

P. S. Reddy: Other exchange's means?

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Participant: NSE.

P. S. Reddy: NSE, its own software. IEX bought at that time itself. At that time, our Board entered a 10-year contract and that's the whole problem.

Participant: So what is the advantage of current system versus owning the source code? Why do we go for the second option?

P. S. Reddy: Of course, we have asked for it. TCS, NASDAQ, whosoever bided at that time, Everybody said, I am sorry, I will not give you source code.

Participant: The licensed agreement is for 6 years and ...?

P. S. Reddy: No, Not licensed.

Participant: It's AMC, so Licensed validity is for?

P. S. Reddy: Keep paying the AMC fees, whatever that has been fixed, then it will keep on going.

Participant: And what is the license component?

P. S. Reddy: That we can't disclose it because total cost itself is not disclosed it.

Participant: Is it dependent on volume or something?

P. S. Reddy: It is not dependent on transaction or anything, it is just fixed, that is it.

Participant: Sometime back NSE has done analysis on Equity derivatives market and they quoted that 10% of the investors lose money, in commodity segment have we done any analysis of such kind?

P. S. Reddy: We must keep in mind what are the barriers to entry into the commodity derivatives markets, First and foremost thing is the entry barrier is the value of the contract itself as against Rs. 1000-2000 whatever it is, the small contract value that are there in equity market. In this market, if you take gold option, how much, 50 lakh for 1 kg contract value.

P. S. Reddy: On that you pay the margin, some of this one, so the guy who is buying it they will pay the premium, premium happen to be 2%, 1.5% or something, that itself is not a small amount. Okay, and if they pay premium then it is gone kind of thing. But many would like to write the option, writer of the option has to pay full margin amount. That is 12%. Take crude oil, again writer has to pay 40%. So the entry barriers are high, so not everybody will come, that point no.1. That is what 6.5 lakhs, 2 lakhs

is what is unique traded against few crores, that is point no.1. Point no.2, the penetration is not as much as it is there in the other one. And our honest desire is, you should bring in more and more hedgers to come to the platform whether it is MSME or Processors of Multi Commodity Exchange of India Limited

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the value chain participants, is more we are looking at it. One dimension you must look at for the growth of the market, security of the market is open interest. If you see the option interest is increasing consistently that means they are staying put. Who will take open interest, either they are financial hedgers or financial players or somebody actually who have a stake in the physical market. So these are the players, so it has been increasing consistently. So that is something which makes us feel that we are on a firm footing, and without open interest you may have a huge turnover, but then they are fly by night kind of investors and I don't see that kind of activity.

Participant: Currently FII volumes have strong surge in the last few months, so just wanted to understand, what is the motive of an FII doing a commodity derivatives transaction? Is there an arbitrage between NYMEX and MCX?

P. S. Reddy: Well, there are two aspects of it. One is that, near month and far month there will be arbitrage opportunity, so they can put the money, take the benefit of it. So that is one reason why they can come. The second thing is, if at all they are doing any arbitrage, that they can do it, and the books can be made fungible. And they are not allowed in delivery based contracts as yet. But if they are allowed in delivery based contracts also probably those contracts will also, will deepen in terms of the participation. And those contracts, in delivery based contracts, where the price determination happens in India because they are delivery based contracts, it's not elsewhere. Whereas in the case of energy contracts, it is based on the CME, WTI prices, but not in the case of gold, gold is the domestic demand-supply and import/export whatever that is happening is determining it. So they have an interest in it.

Participant: And is the participation getting widened, with the FIIs volume, because it is disclosed that

participation is less than 10, over the past few months.

P. S. Reddy: Registrations are increasing, and one ask that they have and which we have not at addressed as yet, is the DMA, the Direct Market Access. I think we will take some time, let us handle tech transition. Once it is done, everything is behind us, as there is no looking back, we will do all this.

Participant: You also mentioned that, target entry is the large value trade, so there is no option that we can reduce the value of trade as and when we can, post tech transition.

P. S. Reddy: No, see, usually, again it is also the desire, I don't know whether there is any written rule or anything, but the desire of the regulator is also and so are we. We don't want a small players to come and then lose money. So there must be somebody who is in the range of Rs. 3 to 5 lakh of contract is what we are. So some of the mini contracts that we have introduced are in this range.

And the second reason why some of the contracts are very big is, the trading lot and delivery unit should be identical, that's another business rule. So for example, cotton, we have earlier used to be at 25 units bales as trading unit and 100 bales as the delivery unit. So 100 bales for a truck is ok for those who wants to take the delivery, but for a trading purposes it is a smaller

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unit. But because of these the contract size has become 100 bales and it is almost of Rs. 30 lakhs, 10% margin on it.

Participant: As a market deepens further, do we intend to launch weekly contracts as well.

P. S. Reddy: In fact to deepen the market, we w

ould like to launch it and so that's the way it is. So it will take some time as I said that, let the tech transition be over, that is the foremost on my mind.

Participant: Is there any regulatory requirement to launch the weekly contract based on certain volume?

P. S. Reddy: For the new contracts you don't need to, but you must, even weekly option have to be on underlying futures only. So maybe you will have concurrently 4 options contracts, monthly option. We issue one month before, but then each week one-one contract will devolve into the underlying futures contract.

Participant: Why is that the options contract structured in this way, that they are written on futures contract or could be directly on spot price?

P. S. Reddy: Options on goods is also available but that was not successful. On expiry of options if there is an open interest that should result in delivery of the goods. So BSE, NSE tried that in gold and it didn't happen much. But we have been consistently following this, that's why it is.

Participant: And within the options segment, crude oil contract has done well, what is the reason for it?

P. S. Reddy: For any contract to be vibrant, volatility is the key driver and you see energy contracts are more volatile than any other contracts. If volatility comes, they used to be in 2021-2022, silver was volatile. You found lot of silver trades happening.

Participant: Within energy as well, natural gas has been very volatile, but we haven't seen that much pick up of volumes as compared to crude oil.

P. S. Reddy: I can't map one to one like that because crude oil has been there for a long time and maybe the understanding of the crude oil contract is much deeper.

Praveen DG: Globally crude oil is much popular as compared to natural gas., there is no comparison. That is why India also is very much looked into the crude oil price.

P. S. Reddy: But again if you see the natural gas pricing, there is a huge divergence in terms of domestic natural gas v/s international, whatever we are trading. Whereas if you look at crude oil, although it is WTI, somebody brent, somebody Dubai crude all that, they generally follow some trend, which is if things are going up, everything is also going up, it is going down. But it doesn't happen in the case of natural gas.

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Participant: So this Rs. 40 & 50 pricing is in our hand, if we can reduce the price to increase the volume in the market or you think?

P. S. Reddy: We have not seen that kind of price elasticity? If you keep experimenting, once you reduce it will be challenge to increase it. So we have to do very careful about that and I am wary of that kind of experiment. We have seen what others are charging in equity market. That's how we have arrived at Rs. 50 and Rs. 40. We have not kept too many slabs also and that is it.

Participant: You don't have to go to regulator for asking to reduce or increase the price?

P. S. Reddy: It is not required, board has to approve.

Participant: Currently, we see there is a surge in option volume post evening hours. Just wanted to understand is it arbitrage that people are playing between NYMEX and MCX?

P. S. Reddy: obviously, those markets are open in the evening. That's why the people have a greater visibility as to what is happening in those market.

Praveen DG: Generally also, evening hours are more active as it is aligned with global market. That is a very reason or essence of having the evening hours for trading in commodity.

Participant: Do you have any estimate on how much our earnings will be from arbitrage fees?

P. S. Reddy: We will not know.

Participant: Coming to Revenue side,, what are the total members that have participated ?

P. S. Reddy: Registered are about 500 odd members, but there is no, many of them are inactive. So usually on the day-to-day basis 360 – 370 are participating.

Participa

nt: And all of them have participated in the mock conducted.

P. S. Reddy: Yes, that we have ensured and we will see to it that they participate in the coming mocks too.

Participant: Was there any constructive feedback we received from participating members, that wanted to incorporate in the current system?

P. S. Reddy: See, there are, the problem is, sometimes, I am used to a particular way of working, watching particular screen, they would like to have the same screen, nothing more. But this is slightly different and some of them have given a positive feedback also that certain things have come in this, which is good, it is very fast and some people want, TWS, and the TWS (Trader Work Station) should have as many features as others have it but NSE has discontinued Trader Work Station. I am sorry, there are vendors who take TWS whichever way you want to customize it

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and take it and using the API's. So we are giving the API's also. So many vendors are there who are using that, many brokers are using, connecting themselves through using API's. But trader work station is what should say when the initial markets were to be developed and the eco system require to be developed, so exchange itself started offering TWS. And as the vendors have come into this field and other things then exchanges have to move out and ask competition to grow and give variety to the user. Exchange cannot keep on servicing that. So anyway because it is a legacy system some people are using this particular TWS also, we have given it and we will see going forward what we should do.

Participant: So, Members of MCX will also be members of NSE?

P. S. Reddy: There are many.

Participant: Overlap would be many?

P. S. Reddy: I mean many big brokers have got either in the same name or commodity brokerage name, they are.

Participant: Now, NSE is also started commodity segment, so how do we?

Management They have started and they have an identical energy contract also. Identical because they signed up with CME and their volumes are also in the public domain and so they are only of course what you call, they don't have an option, they only futures because for option you need a minimum average turnover of 1000 crores over a period of one year, so that has not happened as yet, it will take time. But yes, it is.

Participant: So, for a mock test, user testing agency is TCS or we have empaneled independent software testing agency?

P. S. Reddy: They also have a testing team and then they deploy it. And we have our own testing team. Other than the internal and we have taken vendors, testers and we are testing it under our supervision.

Participant: Regulatory requires us to have, only independent auditor, not a testing agency.

P. S. Reddy: Not for testing agency, but they have issued a circular on testing framework, what all test and that kind of things. There is a testing framework circular that has to be complied with.

Participant: You mentioned in the con call that this time you probably you will transition before December, so first step is to start the mock and ...

P. S. Reddy: That is what I said, we should.

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Participant: And then again one month is the minimum timeline for mock we conducted. During June also we conducted every day mock?

P. S. Reddy: We will conduct everyday but not necessarily one month. As I said we have already, there is no change for them as far as numbers are concerned. Their API structure have been given long time before, file format remain the same. You just have to download it and then test it in your back office. That is the only thing and which they have been doing it over the last many months. So we have not got any problems or information on that, I mean from Member brokers.

Participant: Anything other than EOD-BOD issues that y

ou faced, that is prolonging.

P. S. Reddy: As I said there are certain pre validation checks, okay, that some of them were failing. Those

one's have to be physically corrected and then move forward. And data migration is one of course major issue and data migration also we have practiced so many times. Live data we take it and put it and then we put it in the new system, it should go into the respective pocket and then do the sanity check, verify whether you have 1000 clients and all 1000 clients are gone into the respective or not. All that kind of thing.

Participant: Are we comfortable that data migration passes other validation checks.

P. S. Reddy: I think we have reasonable comfort on that part of it, we have seen so many times, and done that. So many mocks we have done it by taking a Friday live data, migrated in Saturday and then we have done mock test on Sunday just to make sure that everybody got their own this.

Participant: So finally can we say that there will be no requirement for another extension.

P. S. Reddy: Should not be. As I said that I myself was what you call disappointed for not going live but can't afford to delay any further on that.

Participant: Thank you, sir.

Management Thank you so much. All the best.

Call: Aug 2023

MULTI COMMODITY EXCHANGE OF INDIA LTD.

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CIN: L51909MH2002PLC135594, info@mcxindia.com MCX/SEC/2260 August 09, 2023

The Dy. General Manager

Corporate Relations & Service Dept.

BSE Limited,

P.J. Towers, Dalal Street,

Mumbai - 400001

Scrip code: 534091, Scrip ID: MCX

Subject: Transcript of calls with Investor/Analysts

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 read with the SEBI (Listing Obligations and Disclosure Requirements) (Second Amendment) Regulations, 2021, please find enclosed herewith the following transcript of the call with investor/analysts:

Sr.

No Investor/Analysts Date Time Annexure

1. Group Investor Call hosted by

IIFL Group August 03, 2023 04:00 PM Annexure - A

The said transcript is also uploaded on the website of the Company at <https://www.mcxindia.com/investor-relations/ir-meetings>

Further, we hereby confirm that no unpublished price sensitive information was shared/discussed during the said meeting.

Kindly take the same on record and acknowledge receipt.

Thanking you,

Yours faithfully,

For Multi Commodity Exchange of India Limited

Manisha Thakur

Company Secretary

Encl: As above

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Meeting with

Group Investor Call hosted by IIFL Securities

August 03, 2023

Disclaimer: This transcript is provided without express or implied warranties of any kind and should be read in conjunction with the accompanying materials published by the company. The information contained in the transcript is a textual representation of the company's event and while efforts are made to provide an accurate transcription, there may be material errors, omissions, or inaccuracies in the reporting of the substance of the event. The transcript has been edited wherever required for clarity, correctness of data or transcription error. This document may contain "forward-looking statements" – that is, statements related to future, not past, events. In this context, forward looking statements often address our expected future business and financial performance, often contain words such as "expects", "anticipates", "intends", "plans", "believes", "seeks", "should" or "will". Forward-looking statements by their nature address matters that are, to different degrees, uncertain. These uncertainties may cause our actual results to be materially different than those expressed in our forward-looking statements. We do not undertake to update our forward-looking statements.

Annexure - A

Multi Commodity Exchange of India Limited

August 03, 2023

MANAGEMENT : M R. P.S. REDDY – MD & CEO
MR. SATYAJEET BOLAR – CFO
MR. DG PRAVEEN – CRIO

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PS Reddy: Welcome to the Call with the Investors. I think we have ASK Investments, Ocean Dial and White Oak, is that correct? And yes, go ahead and raise the questions and but let me -- as I mentioned in the analyst call, I'm personally very disappointed for not being able to migrate to a new platform.

A large disappointment for me because we have galvanized the entire industry and then whatever stakeholders to go. Every day, in out, day and night we spent here in the office to make sure that things work. But still, there were certain issues which we couldn't address. Obviously, for which reason, we couldn't go.

And I think we should be able to galvanize the same bring in as much force as we have brought in and then fix whatever the issues that were there and then propose to go live this time around. Let's see.

Bhavesh Kanani: Wonderful. Thank you for the time and we wish you the best in...

PS Reddy: I think we should record the names. Your good name, please?

Bhavesh Kanani: Yes. Bhavesh Kanani from ASK Investments.

PS Reddy: ASK Investments. Yes. Please introduce.

Darshak Lodhiya: Darshak Lodhiya from White Oak Capital.

PS Reddy: Yes.

Sadeev Singh: Sadeev Singh White Oak Capital.

PS Reddy: Sadeev?

Sadeev Singh: Yes.

PS Reddy: Okay. Yes, madam.

Ritika Dua: Ritika Dua from Ocean Dial Asset Management.

PS Reddy: Thank you. Yes.

Bhavesh Kanani: So thank you for your time, sir. Now, we'll actually we'll take up from what you were mentioning about the transition itself. In the last call, you gave a little bit of additional clarity as to the activity where the transition seems to be facing challenges which has to do with the end of day activity. Is that the right understanding that the transaction matching and order management system that is in place, that is functioning well, it's only the transaction posting part which happens at end of every day and has to be done before next day's trading starts. That is the only portion where we are facing challenges or that is an incomplete understanding?

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PS Reddy: No, you see, we have two modules. One is T7, which talks about the trading, which is the Deutsche Bourse engine, which is customized for us. The other one is the Bancs, which is the clearing and settlement. The Bancs has also a component called risk management system. These are the broadly speaking.

So, the T7 part, I think it is by and large stable and it is the Banks again it is processing it but sometimes the maybe the component DB2, database may be crashing or you know it requires some fixing or sometimes EOD, BOD is taking more time because certain processes are delayed, slow in processing, files are getting late, okay, or some kind of corrections were required to be made to the files etcetera. So that's why they by the time you complete all of them and make sure that the next day system is available that's why it was taking time. And so obviously you have to be up and running by 9 o'clock and usually what happens is by 3 o'clock or so in the morning, we give the files to the member brokers for their backup system to consume. By 6 o'clock or so, the system is ready and released to the members and they will start logging in,

whoever wants to log in, maybe 7 o'clock, 8 o'clock, whatever it is.

So obviously, we have to be there at that and at times, it didn't happen. So that has weakened our confidence of going live. Also on three, four occasions we had cancelled the mock sessions. Sometimes some data migration has taken place wrongly or sometimes maybe the system has crashed and then to bring it up it took time, this kind of things we did face that's why it is.

Bhavesh Kanani: And sir, has it to do anything with like, let's say in case of equity, the market closes at 3.30. Typically we as individual investors get messages

of the effect of those transactions from

exchanges at 9, 10 in the evening. But in our case, the trading itself ends at 11.30 and we have a smaller window to do the EOD activities. Is that one of the challenges, in terms of time?

PS Reddy: So, understanding by what you are saying, that if you had a bigger window for next day to start the session, or from the last trading session till the next day morning opening, probably we could have had luxury of time to fix some of them in the overnight and then give the system but that luxury is not there that's -- yes, that's one important...

Bhavesh Kanani: And compared to earlier time or let's say, when we are using 63 moons that has both these modules in one system, is it right?

PS Reddy: That's a monolithic system.

Bhavesh Kanani: Monolithic system. And now that we have a separate module for clearing and settlement naturally that bit of module is interacting with external entities, custodian, banks and all. Is the delay caused even partly by delays from external entities who have to be part of this exercise or it is mostly at our end?

PS Reddy: I'm sorry, I didn't get your question.

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Bhavesh Kanani: So like, for clearing and settlement, we need to post whatever transactions have happened in members account, whatever quantities they have bought, amount to be taken. So that settlement bit involves...

PS Reddy: Like this, the T7 does the trading and passes it on directly to the bancs. And the bancs process it and then uploads the files to the members, put it in an SFTP folder, members download it and whenever whatever member wanted to submit there is another window to submit it. All that happens.

Bhavesh Kanani: Okay.

PS Reddy: So it's not that there is a member intervention for which reason it is got delayed, nothing of that.

Bhavesh Kanani: No, I was meaning the entities, not necessarily the members. Entities, let's say, banks or custodian, whoever are involved, external entities other than MCX. Are there delays from their end?

PS Reddy: No, they just participate in the mock session and it is for us to give them the back to the files and then for them to test it and all that. Whether they have tested it or not, we keep asking randomly some members to please give the your inputs but not all of them were testing. Some were testing definitely. You have got something to ask?

Darshak Lodhiya: So on the similar lines, is this delay more because of the new vendor that we have? Is it delay from their end or...

PS Reddy: Their end means?

Darshak Lodhiya: Like, in terms of developing this new platform, are they, if the delay is coming from the new vendor that is developing this platform, or maybe the existing vendor is not able to like, the system integration is not happening with the existing system or is it like, where is this delay coming from? There are three parties in here right, one is the existing vendor that we have...

PS Reddy: But existing vendor has nothing to do with this system. Okay, existing vendor that is a separate system, existing system and they are supporting and ensure that the things are have to happen as per the agreed terms whatever it is. And whatever is happening in the existing system, there is no impact on the new system.

Darshak Lodhiya: Like when, let's say, TCS is developing this new system, are there some integrations that needs to be taken?

PS Reddy: There are integration between the bancs and T7. That is where the challenges they did face. That is no doubt one of the important reasons for more time taken. Because the banks is of the TCS system, T7 is the Deutsche Bourse. These two put together have not been deployed anywhere. That's what we have said in some previous calls also. So that integration they have done now.

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Darshak Lodhiya: Okay. And the contract th

at we have with TCS, are there some clauses, let us say if the delay is beyond certain level, there will be some penalty or something like that?

PS Reddy: Yes, I did clarify that in my one of the calls also. There are clauses, all such penalty clauses and other things. I mean, they are all such penalty clauses and other things. I mean, they are all definitely standard clauses. And yes, there are clauses.

Darshak Lodhiya: So we will be invoking those clauses?

PS Reddy: Yes, I mean, it is too premature for me to say today, because our focus is to make this system go live. And then the board will take a call on it. Provisions are there. That is all I can confirm to you.

Darshak Lodhiya: Also like the renewal that we have done, in the press release it mentioned that this minimum for two quarters was asked by the vendor. Is there a chance that before this two quarter ends, we are able to transition to the new platform?

PS Reddy: That's what we should? We should. That's why I just said I feel disappointed because last time itself I had said that I mean, we do not want any more extension, we wanted to go live with this and since that didn't happen I was very much disappointed. There is no reason why we shouldn't go live this time. That's the way I look at it.

Darshak Lodhiya: What kind of extension did you ask for? Like, two quarters they said it is minimum that we will have to go for.

PS Reddy: So as we said, we asked for one quarter. So we asked for one quarter and then if you want to give me any more quarters, that's up to you. But we ask for one quarter.

Darshak Lodhiya: Okay.

Bhavesh Kanani: They forced two quarters minimum in this situation. You know, given that there was ambiguity on the transition bid, there were a lot of different talks of speculation. One of it was that any IT vendor serving any client, first they clear-cut requirements of the software has to come from client and only then the tech service provider will work on it and build the software. There are just rumors, I just want to check.

The final requirement submission from our end and itself got significantly delayed and hence, so far we have not seen TCS getting penalized for the delay. It was probably, I mean this is a speculation so I just wanted to put it the way.

PS Reddy: As you rightly worded it is a speculation, and I will endorse to be a speculation.

Bhavesh Kanani: Okay.

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PS Reddy : And we have worked out ever since we have given the contract from day 1. The teams have been working hard with jointly with the TCS team making presentations, starts with preparing a functional specifications requirements and the specific exactly the flow, how it happens and all that.

So -- there are several of those documents, several, not one or two or 10, 20, no, there are many.

Okay? And for Phase 1, this is what it is Phase 2, Phase 3, it was prepared.

Bhavesh Kanani : Okay.

PS Reddy : Why? With an intention that while Phase 2, Phase 3 is happening for is, they can start work based on the documentation that is given. So that's how we had structured, and it happened. Yes, there are delays, no doubt about it. But not that requirements have not given. No, that's not the case.

Ritika Dua: Sir, if I may request you, where you just ended to what Bhavesh had asked you earlier. On the question that you know earlier. So you were saying that T7 is operating fine there are some integration issues with the other software. And then you made a comment that now that the integration has resolved or the integration has happened. So firstly, did I get that correct? And what is the flow after this? Do you have to conduct more-and-more mocks to get some understanding that this is happening, or so what is the way forward from here?

PS Reddy : Well, see, more-and-more -- I mean, mocks have to be conducted, no doubt about it. And fine-tuning is also happening. A

s we said that EOD, BOD is taking more time that has been brought under control, but still some more fixes are being given. So that we are sure that every day by 3 o'clock, the brokers get the files at 4 o'clock at best. And by 6 o'clock, we will get the system up and running for the next day trading. So that's what is happening at this point in time.

And in the mocks, basically, we get, obviously, there are any issues from the member brokers, they will raise it. And then if there are any specific team member, obviously, there will be addressed specific to the member. And members will also test the files that we have generated.

As we said, it's not the first time we are giving the mocks. We have already done about 30, 30-plus mocks in the last three months, four months, we have done that. And we did get a lot of feedback, so many issues got ironed out. And at this time also, we should have a smooth run, that's the way it is.

Ritika Dua: Sorry, I'm -- just one last on this. So sir, by the way you put it, and obviously, just my apologies for lack of the technical expertise here, it seems that you are actually very confident because this

is from where you started in the first quarter call, the concerns were to now what you're explaining to us? And then somewhere in the call when you know somebody said that, would we be ready by October, you said we could be ready by September as well. And we are already there in August. So then, sir, why aren't we saying it is September? I mean, what is so crucial in these two months is what I just want to understand to maybe I know we can't track these things

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because these are internal to you, but whatever best we can understand from you is where I just want to maybe end this question.

PS Reddy : See, as I said, we want to make sure that all systems are in place and we would like to run internally maybe for some days mock. We are running even now as I'm speaking also, mock is being run. It's just not exposed to the member focus. We are also using a trade generators so that the volumes are as much as in the daily life of the exchange. So we are testing with full volumes and, but it's only exposed to only to the internal -- testing teams are doing that.

So once that is completed, and then we get the EOD, BOD clean runs, okay? Then we will expose it to the member brokers. That's we will start the -- we will issue a circular to the market saying that from certain such date the mock run will start.

Bhavesh Kanani: So in this simulated environment where orders are generated by machine, there EOD, BOD are not an issue.

PS Reddy : No, no, no. They are also issue. That's what I'm taking. That is the reason why we are fixing it.

Bhavesh Kanani: Okay. It has not been rolled out.

PS Reddy : If it is address here, then it will be added for everybody else anyway.

Bhavesh Kanani: Okay. And this EOD activity running slow. And again, just like with Ritika, we are not technical people. So I just want to check whether it is about server capacity which is not able to process so many transactions or the system itself is not able to handle those volumes and its crashing?

PS Reddy : No, no. I think EOD processes not just one job step. There are several jobs steps that have to be done. Those job steps also have to happen in sequential manner. So there is a scheduler for it.

So you run this file first and then you are have certain numbers, you run this number, this file, then obligations will be arrived. Then you do this, then market statistic data will be updated. So there are various job steps. These step past see whether all results are coming correct or not, and then move to the next step. So that's how the EOD, BOD processes will start.

Similarly, a new member, a new UCCs are uploaded during the trading day, which are activated next day morning. So in the start of the day processors are, beginnin

g of the day processes, we

need to make sure that all the ones which you have uploaded, which have been PAN verified another thing should be available for trading next day morning. So there is something and files will be there, which says in the records of the exchange for the day, we are the UCCs, which are eligible for trading.

So if the incremental 1,000 are uploaded out of 1,000 only 700 are qualified. Because PAN verification, they failed or whatever it is from the sites then all 700 should be there. So this is what the consistency verifications that process is taking. We have put a lot of pre-EOD checks in the system. So that the systems don't go wrong. So for all this, as we go along once we attain a greater degree of confidence, obviously, the first time system is being implemented. So it is

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important that we implement so many steps. Then the EOD, BOD period will come down as we go along.

Bhavesh Kanani: Okay well, we wish the best, but let's say, we are in October or let's say, we are in November, and we have still not rolled out this system. January contracts, SEBI has not allowed us to come up with Jan contracts. I as a trader, when I want to, let's say, go for next month's contract, I want to buy or sell. If the system is not ready, if the contract is not available, how do you see that scenario panning out? Do you see people moving to other exchanges with the volume since Jan contract is not available?

PS Reddy : I think, you're essentially asking that whether we will allow such a situation to crop up. Okay.

Bhavesh Kanani: No, sir, unfortunately, if that is the case?

PS Reddy : No, no. That's what I'm saying it. I think that is the worst-case scenario that you are looking at - - but I don't -- for me, it is a hypothetical question, and I would not like to -- I mean, we are all committed to make it happen. That's why you said that somebody asked the question that whether it will happen October, I said we should do it prior to end of September. So that is what our target is. So we are -- that's where we are. That's what it is.

Ritika Dua: Sir, just one last and my apologies to again press on that question. So what I understand that sir, obviously, because it's a -- you're running such a big exchange, so you obviously need to be very

confident when you really roll it out. So -- and when I hear you out on the last bit on that you're trying to increase more-and-more volumes, trying to do more-and-more processes, and then you mentioned one example where 1,000 files are updated 700. And so it's coming out to be that you want a particular accuracy level. So am I getting it right and where are we today? Is that kind of a question is right to ask you. And so -- and when and -- getting back to the previous discussion, whether you were saying that T7 is running fine, but the issue was in the bancs bid, whether MCX fall in this, what is the role of MCX here, when it comes to your sending member files, etcetera. What is our back-end role in this whole integration process?

PS Reddy : Well, as far as MCX is concerned, we have been monitoring the systems, okay, that the systems should not go down. The infrastructure uptime is our responsibility, application uptime is the -- is the TCS, which is looking into it. But monitoring is what we are doing it.

And in terms of the accuracy and other thing is what we are verifying it even INR 1 cannot go wrong is obviously that there's a financial integrated part of it, we can't afford any kind of such kind of deviations. Similarly, any kind, no loss of transactions also in transit, okay.

At times, the data packets may be lost. So we have to ensure that nothing is lost. And whatever the members pump in, it reaches the T7, it reaches the bancs and it reaches the data warehouse. It reaches the surveillance system, okay, every data packets has to reach trades and orders with

all its characteristics, whatever the type of order, the other things. So yes, it is a -- jointly we are working on this, madam. And as I said, the application ensuring the uptime and making sure that, all these computations come right is the responsibility of the TCS.

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We verify it, we ensure that adequate testing has to be done and monitor all the services are running.

Darshak Lodhiya: Sir, recently there was an RFQ floated regarding the Span calculation application. So like is it a separate application which is TCS cannot do or is it the part of the main tele system that we have?

PS Reddy : Well, when we had given the request for them, then obviously the risk management system is part of it. And it continues to be part of it. And we are going ahead with the TCS module only. It's not that we are doing that. But as the latency numbers, okay, the latency numbers are very important for us. The lower the latency, the better it is from the risk management point of view.

It is somewhere, in some microseconds out there, but some other exchanges are having even still lower microseconds kind of response. So no not micro, I'm sorry, milliseconds. And so they wanted to, as a developmental activity, they have done this. So maybe six months down the line, they may implement it. Okay.

The primary purpose of it is, once the trade is done, it will go to RM, risk management system, it margins it and then sends the trade back to bancs. That's it. Nothing else. And then informs the member out of your INR 10 crores, INR 1 crore, whatever is the collateral, so much is directed, and then this is what the outstanding collateral is your margin.

So how fast you do that margining is what the risk management is all about. So that's where they wanted to improve that response time, to more a development like activity.

Bhavesh Kanani: Compared to other exchanges, I don't know, how you'll express this, but how many times is our latency worse off, compared to let's say, what other exchanges are reporting?

PS Reddy : See, we don't have the number directly from them, but some vendors whom we spoke to, they have said so and so has got, because they work with them, so and so has got that number, kind of thing. So, we wanted to achieve that. I mean, it's not, okay, today, even today, we have the margins, okay. You will not do anything if it is, there is what you call an alert mechanism, 60%, 70%, 80%, 90% and after 90%, they go into the risk reduction mode and then after 100%, they will go into the square off mode. So all those mechanisms are there. It is just that, whether that risk reduction mode or a square off mode will trigger at 1 o'clock or at 12:55 is what the difference, it will make, nothing this one.

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For me incrementally, it's good to have but maybe internationally, I don't think, so much of risk management online is being done elsewhere. To the best of my knowledge. Good to have. Maybe they will do it batch mode, but not online. Every transaction you send it, to get back.

Bhavesh Kanani: Taking a step back from the technical bit, one question has been bugging me and since

you have background of other exchanges as well. Lot of data proves that, very few option traders tends to make money, very small fraction of total base. Whether it is equity, commodities, but still people are glued to this. If you look at the volumes, we are generating, what keeps them going? I'm baffled, honestly.

So, if you can help us understand this bit. From where I'm looking at it, if less than 1% of them are able to make positive returns practically for 99 of them, it is like coming, doing loss, everyday, in and out, monthly basis they lost consistently. At some point, one would assume, it's not making, leave it. This has not happened in equity till now.

PS Reddy : No

. The results are substantially about the equity markets, what I mean is that the research is blowing from that. So I think, these macro perspectives come from research only. Probably individually we keep thinking that, everybody is making money, that's why they are still blowing to the screens. But obviously, it's a zero sum game. If one is gaining, the other one loses. That's the way it is. Not that, that everybody can make money.

And so, why they are still doing it? Some of them, the difference between the equity exchanges and then commodities is there is some bit of hedging that is taking place on the exchange platform. In the risk management, they are doing it. So they are not interested, they neither make money nor they lose it.

Because the contraposition is what they take it, if they take the physical book as well as the financial book, for them it is a nil situation and that is the reason, why they continue to participate. Maybe some speculators are needed definitely in every market, who provide liquidity for these hedges. If you only say only hedges should come to the market then there will not be any match of preferences all the time.

Today you want to hedge it but there may be no opposite side to hedge it. So your requirements are not met. So these are the ones, who are filling that gap. And I'm sure, there must be some way to make money for which reason they are sticking onto it. Maybe there is also a churning that people keep thinking that they will be make money, whosoever has done it, he may be moving out, the new guy is coming thinking that it is an El Dorado. So, I know that's the way it is.

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Bhavesh Kanani : Okay.

Darshak Lodhiya: One reason why equity options are like, the volumes are the way they are currently, it may be because the retail traders know about this company, they know what let's say, Reliance or like, all the companies do. So there is quite a bit of education that they currently have. So why don't we go all out on this retail traders educating them about this options contract that we also have.

Maybe introduce various new contracts on weekly or all those expiries, smaller contracts and there are these platforms like, all the brokers do educate the customers about options trading and all. Why don't we push them to educate the customers about commodity options as well, just like they do for equity.

That will create a lot of volume. And once the volumes come into options market, of course, there'll be some institutional desks, which will be hedging it in the futures market as well on the opposite side. That will increase the volume on futures as well.

So, is there any thought process behind that?

PS Reddy : Well, investor education has been continuously taking place. There is no doubt about it. Almost all, maybe 1,000-plus or 1,500 are investor education programs we have conducted across the country with various stakeholders. It's not just put up a shop and then say that, come on, here is investor education. No. The specified education institutions we go, and we also go with the industry associations, so industry bodies. Some of the like, lead association or aluminum. So those stakeholders also will get educated as to what happened. Or MSME Associations were having the programs. Now, while this is all fine, but there is an inherent, I would say, barrier, entry barrier into the commodities vis-a-vis the equities. That is, the contract size itself is bigger for people to get in as easily as into equities, okay. Now for example, you want to trade in cotton, now, the cotton is 100 bales. Now, 100 bales is almost all, how much, INR30 lakhs on which you pay 10 % of margin, which is about INR3 lakhs, okay.

Now, is the INR3 lakhs of investment is there on the other side, no. That is precisely the reason why our number of investors, UCCs is all near to 6 lakh UCC that have tr

aded during the entire year as against UCC how much is the file -- futures and options is 6,21,000 UCCs.

Bhavesh Kanani : Correct.
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PS Reddy : Just 6,21,000 UCCs, that's all, in the entire year. So, as against few crores, which trade in equities. So, because there is a barrier to enter in the form of higher contract size, greater margin requirements, etcetera.

Bhavesh Kanani : But sir, then all this smaller value contracts, they are still failing to attract volume, if that was indeed the impediment?

PS Reddy : No, the smaller contract size still not as small as the equities.

Bhavesh Kanani : Let us say, in bullion and energy, what is the minimum one would have to come with, in terms of value?

PS Reddy : 100 gram is the mini contract gold mini, okay, 100 grams is INR5 lakhs or INR6 lakhs contract size. And INR6 lakhs is about almost, how much, 12% or 10% is the margin.

Darshak Lodhiya: Can we go lower than that as well? Less than a milligram?

PS Reddy : Yes, ma'am.

Ritika Dua: No, no, sir, I was saying gold petal is there, I was saying, yes.

PS Reddy : Options are not there in that.

Bhavesh Kanani: What stops us from launching that?

PS Reddy : Let these contracts deepen because it gets fragmented also. The more you keep the slicing the same product into so many things the liquidity will get fragmented that's another thing. We should also have some kind of a bandwidth we can wish how we should be playing it. Yes, ma'am, you are saying something?

Ritika Dua: One question on the premium to notional turnovers, if we are done with this one.

PS Reddy : Yes.

Ritika Dua: So, sir, obviously you always shared with us that how it is depending on how the options are, whether they are like obviously, in the money, out of the money, closer, and then, that's one of the factors. But if I just historically see, I mean as per the history we have available, the premium to notional turnover for bullion has always been Sub 1, whereas obviously the one the same for energy has been varying from maybe a high of 2.9 to now a 2.1.

Sir, what that explains the differential? Is it largely volatility? Is it the size or so that's what the question I have. And is there a way we can -- because what has happened for this particular quarter, the share of your bullion improves from, I think, 5% to some 11% on a quarter-on-quarter basis in terms of the share. And that probably is also a reason that your premium to Multi Commodity Exchange of India Limited

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notional turnover came off. So I just want to understand that then is it a good thing to actually have an increasing share of bullion in the options or and also is there a way to even maybe increase the premium to notional turnover and earn more out of bullions?

PS Reddy : See, we have been explaining all along that revenue from options will not go below the INR40 that we are charging because we have only two slabs. But what is important is, it is the premium to the turnover usually the premiums happen to be 2% of the turnover, option premium, if it goes down, yes. It will be -- it may be about 1.5 is what we have seen it, can't be more less than that is what we have noticed, is that correct?

Bhavesh Kanani: Yes, when you begin it was 1.5 then 2.2 and then closer to 2 now.

PS Reddy : It remained in that.

Praveen DG: Several factors in...

Ritika Dua What I meant was more not the blended numbers, but the breakup which you give in your PPT of you the notional and the premium number for the various segments. So, when I try to calculate exactly what is the premium to notional turnover for bullion it comes less than 1. So, maybe I can check that. Blended I am sure, I know it's available 1.5 to 2 and everything but maybe I saw maybe bullion was less than 1. So I check my number if that's wrong.

Bhavesh Kanani: Yes but this relation has go

t more to do with volatility and in the money and out of the money
then which commodity is the underlying?

Praveen DG: Like, what I'm saying is several factors impact this premium to notional turnover. One could be volatility, other is like what participants are looking, whether they are looking for in the money or out of the money kind of contracts.

Third is even if the markets are growing bigger-and-bigger like, that means certain amount of maturity is coming in, automatically people find even out of the money also more liquid. That means they find the force coming there. Start participating there also. As the market go bigger-and-bigger, certain kind deeper and other thing, you can find certain amount of like, people like -- now today it is like you are looking at only near the money.

Secondly it is like suppose even a far month started building up the liquidity, automatically the premium to notional turnover again can go for a change. It's all depends upon several factors, but I feel that as the premium turnover itself is growing, you can look at it in a positive manner because it is how you can look at it. That means even the deep out of the money is getting relatively liquid enough that an amount of liquidity is building up in these contract. That is how you have to look at it.

Bhavesh Kanani: So is it safe to go with a middle number of something like 1.9 or something?
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Praveen DG : There is nothing called safe or something it is like, it's all about like for example, if you take currency derivatives, the number is different. If you take equity market, again it is different. Index derivatives, equity again it is different. Each market has a different number to it. So, we cannot attach with any fixed number to it. But like I said, there are factors, different factors that can have a bearing on this percentage.

Darshak Lodhiya: Sir if we increase the number of out of the money contracts that can...

Praveen DG : So, other things keeping constant, if you look at the only out of the money contracts are building the liquidity and other thing, naturally, the percentage should come down. Because the premium amount that you get from the out of the money contracts is going to be lesser compared to the in the money contract.

Darshak Lodhiya: The differential number of contract is there one at the money maybe 10 in money and...

PS Reddy : Strikes are issued -- strike prices are based on that only.

Praveen DG: Strikes are issued, but it all depends upon what people are looking at it, whether I would like to trade in the money contract, generally, as the contract is coming to a nearer to their expiry. Automatically people equally trade in the money and because out of the chances of out of the money coming into the money is relatively difficult. That is how, so there are various factors that is how we have to look at it. And I think our markets are still maturing. I can say that just two years, three years, that is when actually our markets and our market options started picking up. I think we should wait and watch.

Bhavesh Kanani: In terms of strikes, let's say, the commodity is at 100. How many strikes on each side would you start the month with?

Praveen DG : We have depending upon like crude, I think we have maybe a little bit more, 15 number may not be right, but we are giving for different commodity, different one depending upon the market interest.

PS Reddy: Volatility also we look at it. In a day, how much can you go up, accordingly you provide for greater number of strikes.

Bhavesh Kanani: So we haven't had a situation where we had to, I mean if let's say, you have a band of 120 and 80 in terms of strike price for a commodity trading at 100. And let's say, price moves to 120.

Praveen DG : That's what I'm saying. See, irrespective of the price movement, you have a contract to trade in. Tha

t means even if it is deep in the money or at the money also, people can continue to trade that one. But the only thing is you cannot be able to introduce a contract in the middle of the day.

Bhavesh Kanani: Mid-way, correct. That's what I was inquiring.

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Praveen DG : You won't be able to do. At the same time, if I come out with too many strikes, then automatically liquidity also will get diluted.

Bhavesh Kanani: True, true.

PS Reddy: And there is also risk. At times, illiquid option contracts are used for some transactions which are not strictly for the purpose of trading on the exchange. So, that becomes a surveillance headache for us also. So, we have to be careful about where they trade, what they trade.

Bhavesh Kanani: Sir, on oil imports, which are now happening in INR terms, does it have any spin-off benefits for us? Let's say, corporates who were earlier would probably be hedging their oil exposure, energy exposure, externally out of India and other exchanges. But now since those transactions are happening in INR, is there a possibility of us getting more volumes because of that particular development?

PS Reddy: Well, from the consumer point of view, we have been getting good amount of -- we are seeing traction of hedges participating, consumer side. But in terms of supplier side, refineries, they don't come on to the exchange. So yes, definitely consumers are participating. But more important is that I must say is that ours is a WTI, it all depends on how much is the WTI imported into the country and how much is the price that the government determines within the domestic market based on the component of the WTI at what price they got it etcetera, etcetera.

So, in that in that sense is not a free market, it's a regulated market. And I think, these prices are definitely a benchmark and these prices are definitely a representative price for somebody to look at how the other products are moving in the market and then hedge it, some ratio of it, they will always. In terms of correlation, yes, high correlation is there, but in terms of our oil pricing, I do not think the domestic oils are liberally priced in that sense.

There is all the controlled pricing is in place and we cannot compare a free market price with the controlled price, whether they are moving together or in tandem or there's a high correlation or not. There will be definitely correlation will be there because nobody can subsidize forever. If the prices are moving up or going down, you need to adjust those prices as well.

Bhavesh Kanani: And you made a statement such that consumers are using the derivatives to hedge.

PS Reddy : Some of them, yes.

Bhavesh Kanani: So how do we -- at aggregate level, do we get a sense that out of total participation with confidence that these volumes you do a disclose the table, but what is the logic behind that because...

PS Reddy : But disclosures are based on the declarations made by the investors at the time of trading whatever that is, whether they call -- they would like to call themselves as a hedger or there is some value chain participants on that, how they would like to be defined, accordingly we will aggregate it and then verify it.

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Now, so there are certain, what should I say, some the market related issues are there in terms for their participation and I think we need to address it. And, for example, we had approached in the past one private sector refiner. They said that, look, I do not want to participate and then take daily mark-to-market, loss, profit and all that. I don't want to deal with it or you go ask, call me, give me margin, all that.

I don't mind giving you a bank guarantee. It means to the maybe exchange or to the member broker, arrange the credit lines and let them deal with it. And at

the end of the month, I know

that I have this any lakhs of barrels inventory on a daily basis, I will hedge it, maybe a part of it I will hedge it, but you please iron out these participation related issues. But we couldn't solve them that there are much bigger issues in the regulatory jurisdiction. So it's a challenge for us.

Bhavesh Kanani: Anyways, there could be more member brokers kind of prerogative to take care of this kind of needs of a customers?

PS Reddy : No. But members also can't fund no, as per the regulatory -- the members can't fund.

Bhavesh Kanani: Peak margin and all...

PS Reddy : No, they don't mind giving you bank guarantee, but arrange for the funds on a day-to-day basis, there's a M2M loss, let the bank give it, my -- whatever guarantees that I give it. So it is a third party will come in. And the bank will say that I need a tri-party agreement with the broker. If there's a default, then I need to seize the account and then adjust and all that. But tri-party agreement relationships may not be permitted.

Ritika Dua: Sir, on the opex, if I may check one -- two things, actually. So when we first heard from you on the TCS contract, after, so there was a maintenance, which was to maybe happen once you transition. Could you just reiterate where does that stand today? And we were to, I think, disclose the more about like, the cost of the software and everything. Maybe I think we have said that we would do it maybe -- if I'm wrong, not wrong, maybe April or May, so when are we looking to maybe share more details around that?

And just related to it, I understand, I heard the call and why the depreciation was lower this quarter because of, you know, it was higher last quarter for some aggressive depreciation that you did accelerated, sorry. But how does depreciation maybe look like going maybe -- from here, maybe. That's the three-part question. One is, what is the maintenance bit on TCS is the same, which you have first mentioned? Second, when are we looking to disclose the cost on the software and thirdly, on the depreciation.

PS Reddy : First two, I will answer, yes, it remains the same. There is no change in that. The second part of it is the cost of software and other things. I don't think we can disclose it because it's a commercial transaction. Imagine, if I disclose it and then they want to sell the software elsewhere, then it becomes a benchmark for them and then it's not proper.

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But in our accounts, we will keep depreciating it whatever is the hardware. Once we go live, obviously, everything will move from capital work-in-progress to the book in the depreciation assets and everything -- I mean, you may not get exact number, but then definitely, you will have the aggregate number. And on the...

Satyajeet Bolar: On the depreciation, ma'am, once we go live, so I mean it would be as per the useful life of the asset, so the hardware part would have a useful life as well as intangibles. That is the platform would also have a useful life. And according -- as per the Indian -- Ind-AS will depreciate as per the useful life, which would range from six years to eight years.

Ritika Dua: So far, sir, if I see this FY '23 cash flow statement, I think some -- the number that we have disclosed in terms of like, purchase. So that would be the hardware bit is what you're referring to. So that's a good way to understand?

Satyajeet Bolar: Yes. Mainly, I mean, most of the hardware has been acquired -- has been purchased and its stay in the books and a small part of the TCS.

Bhavesh Kanani: From a long-term perspective, sir, how would you size the opportunity of a commodity exchange, in the sense that user base is one angle, relevance for corporate clients is another, speculators is another, UCC, you mentioned barely a little about 6 lakhs, whereas the total base is far higher for us, active traders are

less. So if you were to look at a five-year kind of scenario, how would you pin the scenario in terms of the volumes, revenues?

PS Reddy: Well, I would not like to what you call, give any projections or any kind of estimates or how it looks like? But there is a huge scope for the growth of this market, no doubt about, okay. Now one is that -- I mean, we just -- just suppose, with the international markets, be that China, be that LME for metals and ICE and CME, some of the products, they are far ahead of us, no doubt about it, okay?

Now we have an ambition to grow. But there are certain constraints that have to be overcome. And we are working on it. As we said, the important thing is one, GST is one issue. And because the members are -- the whosoever is trading on the exchange, they end up taking deliveries, they have to have multiple registration across all states where we have warehouses, etcetera, that will be a challenge, okay.

Now today, FPIs are permitted. They have just started trading, and it's a very small percentage, but they have to grow, and they should be allowed to -- they are allowed to trade in other commodities. Then again, GST challenges will come. So we need to address this major, what you call, a road block and we are not seeking any concessions. No, we don't want any concession in terms of reaction of GST rate. Facilitate in terms of clean-up of a process, in this process of navigating through this is what we are looking for. And so this is one major thing that we want. The second part of it is, will it be as big as equities? My answer maybe no, in terms of number of participants, okay? As I said, the contract size is going to be -- continue to be high. And -- but Multi Commodity Exchange of India Limited

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has the Indian industry has fully hedged? My answer is, miniscule is hedged and mini -- a lot have not hedged.

Still, they have preferred to speculate in the commodity markets, in a sense, not in the organized market, but otherwise on commodity prices, they are speculating, and they are not focusing on the core business or core competency. So that is something which we have to be mindful of it. If they also start hedging, there's nothing like it.

And yes, we are focusing more on MSMEs because our liquidity provides support definitely for their participation because all the time, it's an egg chicken situation for me, when we go and approach big large corporate, they say, your volumes are not enough to support my requirement and other things.

Of course, we plead with them at least 1%, 2%, 10% of your business can be diverted and they may be done on the exchange platform. They say, yes, but there is nothing happened. But MSMEs are showing interest. I'm sure we should be able to -- with a greater penetration and then handholding, we should be able to bring in. So that's a road way forward for us. And introduction of a lot of more number of commodities is another what you call, another way that we need to progress and more-and-more products, which are required for the catering to various industries out of the industry. This is...

Bhavesh Kanani: Pardon my ignorance, but if you can help me understand the GST impediment, how is that coming in a way?

PS Reddy: Look, let's just see, that kind of participant that we have on the exchange platform, are one some of them, as I said, hedges, there are some of them are financial players. What is the financial player does it? They takes delivery in this month, next month, he delivers, he is not interested in metal. He will keep it in the same warehouse. But that financial player has taken a delivery construct to deliver. So he has to register with the government and pay GST and get that GST back when he sells that metal.

Now, you happen to be a Bombay, you are a financial player, wholly registered in Bombay, but my warehouse is in Delhi. And you may get delivery in Delhi. So you have to neces

sarily register

in Delhi also because you may get likely to get delivery in Delhi also. So these kind of issues are the ones which are bothering us.

And our PMS, for example, now PMS, if the rule says that every investor should be having holding that asset in -- but investors don't have GST registrations to hold those assets. And they are not interested, obviously. They are interested in the return of near month and spread benefit only, they are interested, not in taking delivery of the contract. But then that's the way it is.

Bhavesh Kanani: So this matter is already on table with...

PS Reddy: You can flag up with the regulators and the government, they are looking into particularly. And I don't think, but it's taking time, obviously, these are required a long discussions and deliberations and concerns of various stakeholders.

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Bhavesh Kanani: Just last one. You said that the large corporates always complain about lack of volumes. So they are hedging, but they are doing it in international exchanges?

PS Reddy: Some of them definitely doing in international exchanges, or OTC platforms. But yes, they do cite as exchange trading. I mean, it's not sufficient. The liquidity is not sufficiency is what they are complaining. Yes, ma'am, anything? Otherwise, we are done.

Ritika Dua: No, sir. I'm good. Thank you so much.

PS Reddy : What about you?

Bhavesh Kanani: Satisfied.

PS Reddy: Good.

Call: Aug 2023

MULTI COMMODITY EXCHANGE OF INDIA LTD.

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MCX/SEC/2258 August 04, 2023

BSE Limited

Department of Corporate Services

PJ Towers, Dalal Street,

Mumbai - 400 001.

Ref: Scrip code: 534091 Scrip ID: MCX

Subject: Transcript of the "Earnings Conference Call" with investor(s)/analyst(s) on Q1 FY-2024 results.

Dear Sir,

Please find enclosed herewith transcript of the "Earnings Conference Call" with investor(s)/analyst(s) held on Monday, July 31, 2023 at 18.00 p.m. (IST) on Q1 FY-2024 results.

The said transcript is also uploaded on the website of the Company at <https://www.mcxindia.com/investor-relations/ir-meetings>

Further, we hereby confirm that no unpublished price sensitive information was shared/discussed during the said earnings call.

Kindly take the same on record and acknowledge receipt.

Thanking you,

Yours faithfully,

For Multi Commodity Exchange of India Limited

Manisha Thakur

Company Secretary

Encl.: As above

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"Multi Commodity Exchange of India Q1 FY 24
Earnings Conference Call"

July 31, 2023

Disclaimer: This transcript is provided without express or implied warranties of any kind and should be read in conjunction with the accompanying materials published by the company. The information contained in the transcript is a textual representation of the company's event and while efforts are made to provide an accurate transcription, there may be material errors, omissions, or inaccuracies in the reporting of the substance of the event. The transcript has been edited wherever required for clarity, correctness of data or transcription error. This document may contain "forward-looking statements" – that is, statements related to future, not past, events. In this context, forward looking statements often address our expected future business and financial performance, often contain words such as "expects", "anticipates", "intends", "plans", "believes", "seeks", "should" or "will". Forward-looking statements by their nature address matters that are, to different

degrees, uncertain. These uncertainties may cause our actual results to be materially different than those expressed in our forward-looking statements. We do not undertake to update our forward-looking statements.

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MANAGEMENT : MR. P.S. REDDY – MANAGING DIRECTOR & CHIEF
EXECUTIVE OFFICER , MULTI COMMODITY EXCHANGE OF
INDIA
MR. MANOJ JAIN – CHIEF OPERATING OFFICER , MULTI
COMMODITY EXCHANGE OF INDIA
MR. SATYAJEET BOLAR – CHIEF FINANCIAL OFFICER ,
MULTI COMMODITY EXCHANGE OF INDIA
MR. PRAVEEN D. G. – CHIEF RISK OFFICER , MULTI
COMMODITY EXCHANGE OF INDIA

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Moderator : Ladies and gentlemen , good day and welcome to the Multi Commodity Exchange of India Q1 FY 24 Earnings Conference Call .

Joining us on the call are Mr. P.S. Reddy – Managing Director and Chief Executive Officer, MCX; Mr. Manoj Jain – Chief Operating Officer, MCX; Mr. Satyajee t Bolar – Chief Financial Officer, MCX and Mr. Praveen D.G. – Chief Risk Officer, MCX.

As a reminder , all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I would request all participants to keep all devices on silent. Thank you.

I now hand the conference over to Mr. P.S. Reddy, MD & CEO, MCX. Thank you and over to you , sir.

P.S. Reddy : Good evening, everybody . Thank you once again for assembling for this Investor Call this evening . On Saturday we had presented our Results . As you have seen , the top line , the operating income has increased substantially high. In fact, the kind of growth we have seen is one of the highest since the CTT was imposed in 2013 around that time. So, the topline has been doing very well , as a company. Our turnovers are increasing, option volumes have been increasing and the business is doing well. But unfortunately , it could not be trickled down to the bottomline due to hefty cost on technology. Again , I must say that I am disappointed that we couldn't make the CDP project go live as we have been eagerly waiting for. Of course, there are a variety of reasons. One is that the necessary compliances could not be completed , including audits in a manner that is expected as per whatever extent guidelines and some stakeholders have desired some more time and unfortunately , while we are doing mock towards the end, some mock sessions were cancelled due to long time taken by the EOD -BOD processes. So, the trading could not be started the next day, the mock sessions , by 9 o'clock as it happens when we go live . So, some of these things have dampened the process of going

live and nevertheless we are working on it. So, we should be able to make it live this time. Again, I am optimistic about going live. That is the reason I am making this statement. As I said, I am myself is disappointed for not being able to go live in the last quarter.

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Having said this, the results if you have seen, the ADT has increased in options by 26% to Rs. 83,341 crores compared to the turnover in Q4. The traded clients in F&O side growth of 12%, almost all 3.9 lakhs during Q1 versus 3.52 lakh clients. So, these are all unique clients. When I say the clients, then they are all unique. So, that is something the EBITDA margins on consolidated also, 19% for Q1 as against 14% for the Q4 of the last year. But as I said, our technology costs have brought down, are nullified I would say, the efforts that we have made to the company to grow, and I think with these words, I will keep it open for question answers to the members, to the investors. Thank you so much.

Moderator : Thank you very much. We will now begin the question -answer session. Our first question is from the line of Devesh Agarwal from IIFL Securities. Please go ahead with your question, sir.

Devesh Agarwal : Good evening, Sir, thank you for the opportunity. The first question is around CDP, if you could share more details, a bit upon broader things, but what exactly happened because we were doing a lot of mocks and we were pretty confident about the migration? So, is it something that came up in the mocks that has derailed the transition last time and over the last one month

, we haven't done any more mocks. So, what was the status of the mocks and when are we going to restart the mocks, and the likely timelines to migrate to the new platform - would it wait till December, or our endeavor is to do it early?

P.S. Reddy : See, our endeavor is to do it early. So, definitely early, there is no doubt about it. What has happened in the last, why it has been, what you call a derailed or whatever the reason that we couldn't go live and what we are doing it is, yes, we did find in the mocks some observations and that is why the EOD -BODs were taking more time and we need to start the trading obviously the next day by 9 o'clock in the live production and we have to continue till 11:30 or 12 in the night. So, the window available is, we have to get ready system by 6 o'clock in the morning. So, that we have not noticed consistently happening. So, that is very important for us that we see a good amount of stability out on that. If there is any problem in the EOD -BOD, obviously we have the systems to verify what is going wrong and then fix it. But that fixing is taking some time that is why this kind of things have taken some time. But what we have been doing for the last one month is while those are fixed, we are doing our internal mock, not that

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it is not being done. We are not exposed to the member brokers, and I think in the month of August, we will plan out the mocks for the member brokers. This is one part of it. The second part of it is certain audits have to be commenced only after certain tests are done. It is not a parallel activity. Earlier we planned it as a parallel activity, but now we are doing it sequentially. So, that sequential thing is also being done. So, that is another reason why we have not exposed the systems to the member brokers. Then as I said, we are not waiting for December to come. I think we should target to go early live. Thank you.

Devesh Agarwal: But just to understand sir, any timelines that you can share, given that SEBI has been very explicit that no contracts now would be allowed or approved post December, so they I think they did not allow the Jan series and incrementally nothing would be allowed, that is what my understanding is. So, would that put, basically are we targeting the customer or somewhere to migrate to the new platform?

P.S. Reddy : The way that I put it is, anyway, we are getting approvals and as and when we are getting approvals, we are issuing the new contract. That is one part of it. The second part of it is that we are not looking at December as I said. We would like to go early, early it could be even September, it could be even October, but I mean that is not our target at all. We want to do it as early as possible. As I said, we were almost all there at the end of last month. So, we shouldn't take much time for us to get a control of the situation. Thank you.

Devesh Agarwal : And sir, we saw that MCX Clearing Corporation had come with an RFP for some real -

time spend margin calculation software. So, could you share some details around that and why is this not part of TCS platform and why are we raising a separate RF P for this?

P.S. Reddy : See, TCS has been working much of the same way current system is based on the span of a CME software and that is the integral part of the system anyway. But some of the exchanges are doing a faster risk management by reducing what you call, the turnaround time for the risk competition from whatever the milliseconds that they are having or microseconds, whatever that they are having it. So, some of the, what you call custom-made systems were there in India, I think they are going to maybe develop such kind of system where we can further reduce the latencies. And if you see, the span
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was used

maybe in good old days online, but even CME itself doesn't use it is what I was told. It may be batch processing what it does, but not the online real time. So, it is tailor made for that kind of, designed for that kind of batch processing. But what we wanted to do is to, more online as our volumes increase, obviously risk has to be mitigated much faster than what it is today. So, there is no immediate requirement, it is a kind of a, what you call, developmental issue, that is what it is, thank you.

Devesh Agarwal: And last one from my side, what was the option segment revenue s for the quarter?

Satyajeet Bolar : For the quarter, around 53% of our transaction charges were accrued from option s, as compared to 49% in March quarter.

Devesh Agarwal: And sir, what are the total transaction charges in the quarter?

Satyajeet Bolar : Total transaction charges were Rs. 121 crores.

Moderator: Thank you. Our next question is from the line of Mr. Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain: Just continuing on the question on the software transition. So, you mentioned that earlier you were thinking of doing the audits parallelly. Now it is going to be sequential. So, is this a change in the sense that now that we have more time, we want to do it or is it a statutory requirement that we have changed this and so, what is the exact reason for changing the methodology of doing this?

P.S. Reddy : Well, it is not a change in the methodology. Earlier given the time available, we wanted to do many activities simultaneously and I think even now we are almost all there, that is why we wanted to do it sequentially, so that we are able to expose the stable system to the auditor. That is the way it is.

Prayesh Jain: Could you outline some timeline s in the sense that what should be the watching from MCX with regards to this transition, in the sense, what would be the stage, the first stage is mocks getting successful, 100% successful, what stage the audits would start. So, could you give some timelines for that so that we can be aware of these things and that gives us more confidence that the transition is on schedule?

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P.S. Reddy : See, I don't think we will be able to give out the plan that we have of course presented to the board as well as to the others, regulators also we have given, but then I don't think this is proper for me to disclose it, when we have not disclosed to anybody. Thank you.

Prayesh Jain: Sir, coming to the volumes now. So, do you think that the FPIs which were allowed now to trade, earlier we were saying that the software transition would be a key to onboarding FPIs, does that kind of derail this further and FPIs will wait another 6 months to onboard or there is an increased traction of FPIs onboarding right now?

P.S. Reddy : FPIs have already started trading on the exchange platform and volumes month after month are increasing. That is what our observation is.

Prayesh Jain: Could you share some statistics as to what are the number of FPIs and what is the volumes coming in from them?

P.S. Reddy : Well, in comparison to whatever the number of options traded or futures, it maybe not so much significant. But I think we will hit that kind of number, whatever one is looking forward to. But I will not disclose it. We are not disclosing it publically. That is what it is.

Prayesh Jain: No problem. And last question from my side. Now, in spite of the launch of many contracts, we have not seen any major jump in our, major volumes coming on the futures side. How should we kind of see the futures volume panning out from there?

P.S. Reddy : See, almost all maybe in all these mini contracts on the whole, maybe there were 2 lakh

investors are there, in various context of course that number varies from one mini contract to another mini contract. They all have

ve to again get onboarded . That is one important thing. So, it is happening. There is a growth in the numbers, but all of them have not come back as yet. That is for sure , and that is where our efforts are growing in at this point in time and to make this mini contracts vibrant , maybe it should again come back to contributing about 20% -25% of the total volume of that particular product.

Prayesh Jain: Let me squeeze in one more, last one. What are the number of UCCs that we had in the quarter and at the end of the quarter in terms of retail investors?

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P.S. Reddy : We had 3.93 lakhs during Q1, this quarter ending now, as against 3.52 of the last quarter, traded.

Moderator: Thank you. Our next question is from the line of Samit Shah from Dinero Capserve. Please go ahead, sir.

Samit Shah : So, my first question is regarding options turnover. So, what are your expectations for options turnover in FY24? What number do you think we will end the year at?

P.S. Reddy : I think it is forward looking statement kind of thing. I don't think it is appropriate for me to make any such , this one. All that I can say is that the trend is increasing. That is the way anybody can make an analysis of and once our migration is completed , probably we look forward to introducing other option contracts as well. So, we would like that portfolio to grow, and we expect doing a reasonable growth in that. Thank you.

Samit Shah : Sir, second question. For how long can we continue to see the cannibalization of futures turnover, as we have seen that options turnover have grown significantly but some of the futures turnover has gotten cannibalized. So, how long can we see this trend continuing?

P.S. Reddy : You call it as cannibalization, but I have not been accepting this. The simple reason that the futures hedgers also require , or the option guy whosoever are option writers need also futures contract to protect their exposure. But having said that, I must also say that if we introduce more and more futures contract also in other products, the turnovers will increase. Secondly , a lot of retail investors are interested in the options because the margins are less. In futures for example , crude oil futures , it will be almost all 30% -40%. Now it is not a small number and that is why they are deserting maybe these counters. That doesn't mean that the genuine one is not there.

Samit Shah : Sir, then what would be the reason for turnover degrowth in the last 3 years in the futures side?

P.S. Reddy : I think we are , I would say heterogeneous time periods we are comparing while you said that continuous three years, different regulatory changes have caused different ways of this one. Peak margin is one reason why the last, maybe a year '19 or '20-21

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had impacted badly. Subsequently, our options contract picked up , of course, that is maybe offshoot of peak margin regulatory regime . So, options are compensating us.

From the revenue point of view, I think we are not worse -off. As long as the option contracts grow much faster than the loss in futures in terms of contribution to the revenue, I think that should be welcomed. Of course, I am not saying for a moment we should lose our futures, but yes that is the way trend is happening at this point in time.

Samit Shah : And one last question if I can put in, so I just wanted to understand how revenues come in from options premium, so if you can just explain in a little bit detail, how revenue slowing from option premiums, so does it change for at -the-money, out -of-the money strikes or how exactly does it work here?

P.S. Reddy: We have what you call only 2 slabs options. Up to 5 crores premium, it is Rs. 50 and more than 5 crores premium, it is Rs. 40, only 2 slabs. Now the premium itself is

a

market determined variable and whether it is at -the-money or in -the-money, maybe in-the-money premium will be more and if it is at -the-money, maybe relatively less and if it is out -of-the-money, it will be still less. So, it all depends on where it is getting traded. But my sense is that many of the contracts are either getting traded at -the-money or maybe in -the-money. That is the way it is. And the options turnover is , as I said is ,

please explain.

Satyajeet Bolar: Options turnover for the quarter was 61,433 which is a 35% increase over the previous quarter. The premium is Rs. 1,213 crores as against Rs. 989 crores in the March quarter.

Samit Shah : Sir, just wanted to understand that revenue as a percent of premium like, how does that move with respect to, if the number of contracts of out-of-the-money increased. So, how has that changed? How does that percentage change?

P.S. Reddy: Well, if more contracts are traded out-of-the-money, the premium will be less, accordingly the revenue will be less.

Samit Shah : The revenue would also be less, right?

P.S. Reddy : Yes.

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Moderator: Thank you. Our next question is from the line of Chintan Sheth from Girik Capital.

Please go ahead with your question.

Chintan Sheth: Two questions. First on the tech transfer again. How much CAPEX we have spent so far till January and following up on that, given the delays, are there any cost overrun versus what we have planned earlier. You have not disclosed the total cost you are going to spend on this migration, but are there incrementally any cost overrun because of these delays, if you can say, payout to TCS?

P.S. Reddy: Payout to TCS will be as per the contract, whatever, so there is no increase or anything. And because of the delays, the cost that will go up is the licensing cost of the third-party licenses, maybe that is the application, some of them, we use it. So, that we have to renew it, isn't it, because we are running mocks and other things. So, that may be the external cost that will be incurring.

Chintan Sheth: Are we capitalizing those licensing costs currently, right?

Satyajeet Bolar : Currently, till we go live, it would be capitalized. Once we go live, it will be taken to the revenue.

Chintan Sheth: And how much we have spent so far between March to June?

P.S. Reddy : I think that is not a public number I suppose, that is not appropriate.

Chintan Sheth: Sir, given that the shareholders have been waiting for this transition for quite some time now and there has been recurring delays, it should be very prudent and transparent from the management front that, you know, to provide some clarity on the cost company would like to incur, because on the OpEx side, we already will start bleeding out from next quarter, from 80 to 125 odd crores quarterly, transparency should be there at least, given the patience we as shareholders are keeping.

P.S. Reddy : I understand, I appreciate that point. What we can do is, maybe next quarter we can add it in our disclosures, that is better.

Chintan Sheth: And second question I had was on the, any optionality we still have on buying out 63 Moons software as a plan B if this doesn't work out, the way we are planning currently.

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P.S. Reddy : See, I do not want to delve on things which are not in my control, and we have to make it happen, that is the way it is. That is what the determination is. Unfortunately, again I myself is dissatisfied for why we couldn't go live. But I don't think we are looking at any other option other than going live. That is where it is.

Chintan Sheth: Just a couple of bookkeeping. .. The depreciation rate was sequentially lower and if I do that math on the other operating income as a percentage of transaction revenue, that

also sequentially declined from 25% to 20%. So, anything to call out for?

Satyajeet Bolar : See, on the depreciation, I would like to clarify that in the last quarter we had bought certain equipment which as per the existing policy is less than 1 lakh. So, what we did is we capitalized it and we fully depreciated it, so that if we don't depreciate it, then it will be charged directly to the P&L, then it gets disallowed in the tax audit. To get a benefit of that, so we capitalized it and then fully depreciated. That is why there is a variance from March to this June.

Chintan Sheth: And on the other operating income, as a proportion of transaction revenue seems to decline from 25% to 20%?

Satyajeet Bolar: That is because your base has increased. Operating income transaction charges has increased while the others are more or less constant.

Chintan Sheth : But nothing anything to call out for, it is just a normal base increasing impact. Ok.

Thank you.

Moderator: Thank you. Our next question is from the line of Lavanya Tottala from UBS. Please go

ahead with your question.

Lavanya Tottala: So, just wanted to check on the RFP which was released by Clearing Corporation. So, wouldn't we have an option to add any additional requirements such as based with the TCS project which is going on?

P.S. Reddy : See, at this point in time, our focus is only to work with the existing functionality requirements that are required for go -live. We don't want to give them additional work and then try to manage another component as well. So, that is one part of it. The second, the CCL being a separate entity and they would have to manage ... independently, and Multi Commodity Exchange of India

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this comes under their, what you call risk management module and they would like to have this separate module and then interest is with the TCS system , so that the risk is computed, the margins are computed much faster than what it is provided for and then secure the markets accordingly.

Lavanya Tottala: So, going ahead, for any additional feature that we or Clearing Corporation would want, so would we be as king TCS to add or we will be floating an RFP for each of the new feature or any addition that we want to do the existing feature, how would that go?

P.S. Reddy : If it is a core engine or core system, then obviously we have to go to them. But if it is a module which can be separately developed then that can be done separately. But the way that we have designed it , that using APIs we can extract the data and then manage the requirements as we needed. So, probably if unless it is touching their core engine , core engine means not just matching , but then core components of the TCS system, we would like to develop it ourselves.

Lavanya Tottala: You mean in -house or ...?

P.S. Reddy: Yes, in-house or may be hiring the resources and then develop it, that is the way it was thought of at that time.

Lavanya Tottala: And on the option contracts, sir, I think we have launched few new options on bullion related to the mini contracts also which was helping bullion volume for options. So, this is the one which has reduced the premium for bullion products on options, so this is the same scenario that we wanted to address through bi monthly contracts on bullion, right? So, do we expect more traction in these options once those new products are launched or how do you see that?

P.S. Reddy : Well, options are not available on all bullion contracts, although there are futures in a smaller denomination, but options are not available on every contract. But as you have seen in the equity markets, weekly options is popular and maybe fortnightly we can look at it. That is the way we are looking them. One is the value of the contract itself will go down. Second, the tenure of the contract is also reduced. So, both ways it will be reducing the cost to the investor

s. That is how it is.

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Lavanya Tottala: One last question from my side. So, on the software thing, last month when we tried the audit process, you mentioned that audit will take somewhere around 2 -3 weeks. So, now we are planning to do it sequentially but the audit process most likely should take the same amount of time, right?

P.S. Reddy: Yes, it should take about 3 weeks.

Lavanya Tottala: So, why was it we were not sure about the audit procedure earlier and how was it different now?

P.S. Reddy : It was not sure about it. I mean, we didn't expect so many problems to crop up especially EOD -BOD issues and obviously auditor would like to audit a system which is free of all those issues. So, that is the issue.

Lavanya Tottala: So, any specific EOD -BOD issues like in creating the, making it ready or can you help us understand what were the specific EOD -BOD issues?

P.S. Reddy: EOD -BOD calculate several files, I mean calculate several obligations, margins, maybe some file processing and then gives to the members what their obligations are. Next day morning, it will prepare the system. So, there are so many batch processes which some are parallel, which are sequential. Now there are pre -EOD checks that we have kept. So, unless those pre-EOD checks are all satisfied, the system doesn't move. So, if there is a problem in the pre-EOD check if didn't match, then they have to step in and verify and then fix that and then move on. So, these are the, not just one activity, there is a huge scheduler which does all these kind of activities. So, that is taking some time. That time is being processing time, file generation time, they are all getting

reduced now. And we want the system to be available for the member brokers to next day morning by 6 -6.30, then we are sure of going live, going starting the trading by 9. So, that is where the time taken for processing is the worry.

Lavanya Tottala: Okay, in last one month could we reduce the time with our internal testing and all because mock testing was not happening but the internal testing , does that come down?

P.S. Reddy: Yes, it has, it did rather. It did.

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Moderator: Thank you. Our next question is from the line of Sanketh Godha from Avendus Spark.

Please go ahead.

Sanketh Godha: Just a few data keeping questions. One is on what was the margin money income earned in the quarter? And second is , how much is cash on the books and if you can give the split of that into where it has been invested and likely yield basically?

Satyajeet Bolar : These margins are collected by Clearing Corporation are invested as per SEBI guidelines . They can only invest in overnight liquid schemes or ...

Sanketh Godha: Sir, I was referring to first of all the interest income on the merging money for the quarter and second, your own cash, treasury cash which is sitting on the books, how it has been split and what is the yields we are earning there?

Satyajeet Bolar : So, the margin money as on 31st March was 1000 crore and the Clearing Corporation has earned Rs. 14.67 crores on it at a yield of 6.81 %. And our corpus for the quarter was around Rs. 900 crores and the yield was 7.82% and around Rs. 700 crores of it is parked in long -term instruments which is amortized or even if the interest rate goes up or goes down, we will keep earning 7.72 %. And for the quarter, the yield was around 7.82%. Yes, that is it.

Sanketh Godha: And the next question is basically to understand on the future optionalities, one is the electricity derivative and the second is that till we do not go live on TCS, all the incremental approvals that is our plan to launch the bimonthly , the gold contracts , will get delayed. Sir, is that a right understanding and just wanted to understand on how it is happening with res

pect to electricity derivative , when it can go live?

P.S. Reddy: Well, there is no movement on that electricity derivatives contract as yet from the approvals point of view and that is something which we have been asking for, that is one part of it. The second part of it is we would like to launch new contracts only in the new system, that is what we are very clear on that and so that migration will be easier for us and that is the way it is. Yes, you are right because of this delay, some of this launch of new contracts has got delayed and that is something which is not anticipated by us, yes.

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Sanketh Godha: Got it sir. And last one, on base metals. I think you had alluded to that point, but just wanted to understand that at some point in time, the mini contracts were meaningfully around 7% -8% of the total future volumes and even the Nickel contract was at one point of time 7% -8% of the total future volumes. Honestly, these two have not picked up, Nickel is almost zero today and the mini contracts have not contributed to the extent what many people have anticipated before the ban was introduced. Sir, just wanted to understand how we can revive both the things, mini and Nickel and so the futures could see traction ?

P.S. Reddy : The Nickel contract that it got lost in terms of liquidity because of what has happened on L ME and some of the players may have deserted this counter and so that is why I think we lost liquidity. Second, the way to revive as we understand is to introduce a mini contract rather than a bigger contract and currently it is 1500 Kg contract it was, so we would like it to be a smaller contract, maybe smaller itself is good enough rather than going for a main contract, that is one part of it. But the only issue is that trading lot and delivery lot has to be identical , is the requirement of the regulation and that is something which we are waiting for some decision on that. So is the case of Copper, that was also doing well, the mini contract of Copper was doing well. So, we have not introduced mini contract in Copper as of now because the trading unit and delivery unit has to be identical is the requirement. So, having said this, these two are also contributing at that time good amount of volumes. Now coming back to the other, the Zinc mini or the Lead mini or the Aluminum , I think if I am not mistaken Aluminum is doing well and the Zinc was also doing , definitely not as much as we wanted it to be as it was contributing in the past , almost 20% -25%, and that day we have not seen as I

have clarified also some time ago that all the investors who had traded in this contract have not come back as yet, while our effort is to reach out to them , I mean through the member brokers and tell them that here is the mini contract and this will help in hedging in smaller players , and we are also reaching out to the MSMEs , that is very important segment and we are engaging with them to show that they can hedge their risk using these mini contracts. That is the way it is at this point in time. Thank you.
Moderator: Thank you. Our next question is from the line of Amit Chandra from HDFC Securities. Please go ahead, sir.

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Amit Chandra: My question is, in terms of the tech transition, so in terms of the mock trading s that we have done, so for how many hours we have tested this software in the full ready state , maybe in the month of June and is there any kind of a benchmark where you can guide us that how many hours of testing is required for the software to go live , whenever you are planning to do it , and now what actually gives the confidence that they will be live before the timelines and if we go live before the timeline, so it will be a parallel run or we will go completely live irrespective of the software of

63 Moons being there?

P.S. Reddy : Well, see in the past also we explained this question, when we wanted to go live, you go live that is it. There is nothing called a two -systems running simultaneously because that doesn't happen. So, the question is how do you do the parallel runs that you take the dump from the existing system for a particular past trading date, it could be even yesterday or it could be as well as , maybe one month ago. Create the same circumstances, what was the collateral in the system at that time, what was what you call members various clients, UCCs, all of them you configure and then club the data and then see that you get the correct results. That is the way that parallel runs are going on. That is the way we have done. So, coming back to the other question as to how many tests were done, I think I do not know exactly in the month of June how many done, but we have done in the last time , sometime about 30 -35 we have done. I don't exactly remember 30 -35 in the last maybe June and April -May-June that is the way I will put it , parallel runs were done and we have also done more important is , we used to migrate the data of Friday , that is the latest data when you want to go live, obviously you would take the Friday sent data and then migrate it and then give it to the members for the Monday trading. So, like that we have done migration of real -time data and then members have to test on a Sunday we had given and then in real life scenario we will erase that mock trading data of the Sunday and leave it open for the system for Monday onwards real -time trading. So, those tests also we have done, not that we didn't do that. And so the point I am making is, all those things were carried out as I said some of these observations that came and the EOD -BOD taking more time and system not being available ready with certainty by 6 o'clock is one major dampener , is what I would like to say.

Amit Chandra: And is there any kind of a statutory requirement in terms of the number of hours that you need to test or in terms of the checks...

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P.S. Reddy: To my knowledge, there is nothing that is prescribed.

Amit Chandra: And in terms of the issues that we were seeing, like was it widespread across members or is it from smaller like member brokers or from large amount of brokers, so if you can highlight from where exactly the problem was coming?

P.S. Reddy : It is not a question of smaller members or bigger members, some may be localized, whosoever participated, some may have been localized, but the EOD -BOD is nothing to do with any specific member or anything like that, it is a kind of time taken for processing various files etc., that is the way it is.

Amit Chandra: In terms of the appointment of the CTO and the CRO, so how critical are these two positions in rolling out the new software?

P.S. Reddy: See, when we had appointed in the past CTO, we had also taken one more gentleman as a CDO, Chief Digital Officer on designation, but we are fully aware that technology is a very critical component, and we need backup also for that. That is how the Board has decided that we should have two senior executives in this profile. So, as regards to the CTO to replace the one who left, I think process is on, almost all completed. I think once it is necessary approvals are obtained and they will join, that is the way it is. Of course, they will take time to join . as you know all that.

Amit Chandra: From that angle, is it mandatory, in terms of the joining of the CTO or the CRO, so the CRO role is more critical and obviously CTO is there, but CRO also from the regulatory angle because there is lot of regulatory angle also involved in terms of rolling out of the software, so how that is being taken care of as of now?

P.S. Reddy: We have internally another senior officer is discharged in

that functionality who was

earlier inspection and surveillance looking after. So, he has been designated as a CRO, while the CRO appointment is getting closed. When I say that it is getting closed, all processes are completed, it is just that appointments have to be done and acceptance has to be received and obviously they will join thereafter.

Amit Chandra: And for the CTO?

P.S. Reddy: CTO is also same thing. We just have to get their acceptance, that is all, offer.

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Moderator: Thank you. Our next question is from the line of Chirag Mahdik from Kinoss Capital.

Please go ahead with your question sir.

Chirag Mahdik: Sir, I have two questions, both are related to tech. I understand the point that you are unwilling let us know what is the investment amount that you are spending on the tech, but could it be possible for you to share us that compared the investment that you are doing on tech, how much cost or quotation that 63 Moons JV for the current software that you are using?

P.S. Reddy: Are you saying the 63 Moons what offer they gave for buyout, is that what you are saying?

Chirag Mahdik: Yes, compared to the investment we are doing.

P.S. Reddy: I think it is not appropriate to disclose those commercial matters. But it is substantially high, so much I can say.

Chirag Mahdik: Can we say that it was 3 to 5 times?

P.S. Reddy: No, I do not want to say that, please because it is not proper for me to comment. Thank you.

Chirag Mahdik: No worry sir. Sir, my second question is, as the delay of the software getting start for the run is impacting our P&L statement, by the way we are seeing a little higher than earlier times, and now we are going to pay Rs. 125 crores amount, I just want to know in a similar way is there any sub-clause in the contract with TCS which states that if there is any delay in getting the software ready, they would be penalized to somewhere, and...?

P.S. Reddy: As I clarified in the last call also, there are penalty clauses which were usually whatever the vendors we have it, there is a penalty clause, of course.

Moderator: Thank you. Our next question is from the line of Sanjay Kumar from iThought PMS. Please go ahead.

Sanjay Kumar: So, Rs. 12 crores growth in transaction income has translated to 9 crores increase in EBITDA. That is the kind of operating leverage you are sitting on, rather I would say

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you are wasting the leverage potential. My first question, when we spoke to a broker, they said commodity options are growing because now a trader can use the equity F&O margin for commodity F&O as well. So, how many member brokers have this cross-margin functionality approved by the regulator, any idea?

P.S. Reddy: See, there is no interoperability of the Clearing Corporation unless otherwise that kind of cross margin will not happen. If a member has in NSE, let us say Rs. 5 crores, Rs. 10 crores, or Rs. 100 crores is lying, unless they deposit physically that particular money in the Clearing Corporation of MCX, that kind of benefit cannot be given, that is the current position, and the regulatory position. So, there are members who do transfer their cash balance, they do shift to CCL, again next day morning, again take it back to the NSE. But this operational inconvenience at times lead to lot of pressure on the member brokers as well as the Clearing Corporation, because it has to happen in a jiffy kind of thing. Yes, some do operate in that manner. But we had given certain suggestions to regulators, helping us to provide maybe a semi-interoperability kind of situation and they are examining I suppose and let us see.

Sanjay Kumar: And second on futures, in July at least till today's data or yesterday's data, the future s ADTO has gone below Rs

. 20,000 crores, I guess for the first time in a long time, can you confirm it and are you doing anything to boost this futures turnover or are you comfortable with this decline-growth?

P.S. Reddy : Well, there are two ways of looking at it. I mean, we are mostly concerned about ADT because we get revenue out of it. Now it could be as flimsy as just a day trading and then people just vanish overnight also. But there is another way of looking at it, what is the open interest that is maintained on the exchange, that gives us immense confidence that they are staying put in the exchange. We had almost all Rs. 20,000 crores open interest in the futures and another in what you call, in the options another Rs. 10,000 crores. So, what is important is how stable is the participation on the exchange, is more important. Yes, the trading depends on the margins also. The margins are high in the case of major commodities, in Crude, NG and Gold. And in Gold, we have an additional margin of 2%. So, assets is 10%, additional margin is 2%. In the case of Crude oil, I think an additional margin of 10% is imposed, so is on Natural Gas. So, this is somewhat causing more damage I would say to the futures turnover. So, maybe diverting them to the options to some extent of course. It is important that Multi Commodity Exchange of India
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we reduce the cost of trading to the investors and if we don't do that, there is a downside for the exchanges, we have to contribute more money to the SGF, now unless you contribute more to the SGF, you cannot have more open interest. This is what you call a dilemma, or this is the kind of situation we are stuck.

Sanjay Kumar: And options, from the number you gave it looks like options fee is Rs. 80 per crore of turnover which was Rs. 105 in Q2 and Q3 of last year. You know when you launched you said options is 33% of futures, one-third. Then it went to 51% during your two quarters, now it is down to 39%. How to look at it on a normalized basis, what would be the ratio? I know you answered to another participant but if you could explain from this angle, what decides the share of out-of-premium or out-of-money or at-the-money because last quarter it was 43%, now it is 39%, the variation is, even Q-o-Q is very significant.

P.S. Reddy : We have only two slabs, one is Rs. 50, the other one is Rs. 40. Now, with this kind of growth in options, everybody is falling in the Rs. 40 bracket. So, it can go down below that Rs. 40. Now, if you compare with futures, when I said earlier it is 33%, it is just ballpark figure and it is a conservative figure. But our realization was better at that point in time, that is why we made, I mean we just had 45% or 50% and then it has come down and as we go maybe more and more, it will taper off at Rs. 40 per one lakh, that is the way it is, it cannot go down.

Moderator: Thank you. Due to time constraint, that was the last question of our question-and-answer session. I would now like to hand the conference over to Mr. P.S. Reddy, MD & CEO, MCX, for his closing comments.

P.S. Reddy : Thanks to all of you for patiently listening to the conversation we had, and so many questions have come. As I said, I myself was disappointed for not being able to do the technology transition. This is something which we have taken it as a challenge and we are committed to make it happen is what our statement is to the investors. This is something which we are driving passionately. Thanks to all of you.

Moderator: Thank you. On behalf of Multi Commodity Exchange of India, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2023

MULTI COMMODITY EXCHANGE OF INDIA LTD.

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CIN: L51909MH2002PLC135594, info@mcxindia.com MCX/SEC /2319 November 30, 2023

The Dy. General Manager

Corporate Relations & Service Dept.

BSE Limited,

P.J. Towers, Dalal Street,

Mumbai - 400001

Scrip code: 534091, Scrip ID: MCX

Subject: Transcript of calls with Investor/Analysts

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)

Regulations, 2015, please find enclosed the following transcript of the call with investor /analysts:

Sr.

No Investor /Analysts Date Time Annexure

1. IIFL Securities November 22 , 2023 3:00 PM Annexure - A

The said transcript is also uploaded on the website of the Company at

<https://www.mcxindia.com/investor-relations/ir-meetings>

Further, we hereby confirm that no unpublished price sensitive information was shared/discussed during the said meeting .

Kindly take the same on record and acknowledge receipt.

Thanking you,

Yours faithfully,

For Multi Commodity Exchange of India Limited

Manisha Thakur

Company Secretary

Encl: As above

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Meeting with IIFL Securities "

November 22, 2023

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Annexure - A

Multi Commodity Exchange of India Limited

November 22, 2023

MANAGEMENT : MR. P.S. REDDY – MANAGING DIRECTOR AND CHIEF
EXECUTIVE OFFICER – MULTI COMMODITY EXCHANGE OF
INDIA LIMITED
MR. PRAVEEN D G – CHIEF RISK OFFICER – MULTI COMMODITY
EXCHANGE OF INDIA LIMITED

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Analyst: Thank you, sir, firstly for your time, giving me your time and many congratulations on successfully completing the migration. Thank you. I think this will be the one-of-a-kind migration where the entire platform or tech has been globally also ...

P.S. Reddy: That's right. That's what my understanding is. And we are fighting our back to the wall, that's the reason why we have to do this kind of thing. But otherwise, if a choice is given, if the atmosphere is conducive with the vendor, probably we could have done transition in phases, but then any additional time would come with an erosion of net worth, not as operations, support kind of cost, as of supporting operation.

Analyst: It had to be done in one go.

P.S. Reddy: Yes, that's right. So that's why we tell some of the people, it's a dare devil act, but you don't attempt it if you have an option to do it, that's the way it is.

Analyst: At least a precedent has been set now.

P.S. Reddy: Yes, that's right. So , nothing is impossible. That's the way it is.

Analyst: But any, sir, we had heard some teething issues initially, but now are things in place, everything?

P.S. Reddy: I think every day we are getting stability. On the first day and second day, we had good number of teething issues, but they all have fallen in place now. That is, even the latency numbers have improved, we are displaying on the website also our latency number, is far better than what it was earlier in the old system, and we expect it to be further improving it after completing some more changes, which we plan to do, in the next one or two months.

Analyst: And in terms of the backend, initially we were having some problem in terms of generating all these end -of-the-day reports at a particular timeline, so are those all in place now?

P.S. Reddy: Well, see, while those reports are all getting done, all the members are getting it, the only thing is, time is still an important element out here. Whatever is required for trading is happening, some of them are related to the CMR, Client Margin Reporting , where some penalties are levied, so that's not nothing impacting the members trading
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part of it. So there, at times, for a member it gets delayed, or for one or two instances it may be delayed.

That is also getting streamlined, we are working on that also, reports. But back -office files and other things, by five, six o'clock, everything is given. They get generated at various stages of EOD, BOD processes, so whatever is due at that point in time, it is happening, and members are logging in by seven o'clock, so we see the members log in at seven, and trading starts by nine.

Analyst: That is the arrangement you can say? Initial hiccup is not there?

P.S. Reddy: No, there is no. I mean, by the grace of God, so far we never had any instance of not having the trading. Maybe on that day t wo, we had, maybe about half an hour or so, there was some issue because of some memory leakage. I think that's also behind us.

Analyst: And so this gold price , we again heard in between, there was some up -move in gold price . Was that a glitch?

P.S. Reddy: No, there's no glitch on that. It was a trade. No, this was a trade. Okay, no doubt about it. Maybe the client or a member must have placed a market order. That's how the entire book, or maybe to the extent that his order is placed, the order book got swept. And subsequently also, when it came up also, it traded at a substantially higher price, maybe INR61,600 and odd rupees. It traded. Good number of lots were traded. So I think INR61,980 plus is the trade that has taken place. Again, there's a good number of lots, not one or two lots. So we have submitted our reports to the authorities.

Analyst: And so in terms

of overall participation, what we used to see, pre -migration?

P.S. Reddy: Everything is the same. In fact, I mean, I'm wondering whether we have increased, number of users are increasing slightly. Number of users have more.

Analyst: Active users have gone up. Are you saying that?

P.S. Reddy: No, not users. Users are essentially th at ones who are using the CTCL terminals or TWS terminals. These are registered as users. So that number is good, increasing. Even if it is marginal, it is increasing. So that shows that everybody is there in place.

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Analyst: Right. In terms of the numbers, if you could share in terms of members who are u sing it, are all like you said?

P.S. Reddy: All of them are there.

Analyst: 330, I think is the numb er that you shared on the call?

P.S. Reddy: All of them are ... today also , all of them are there.

Analyst: In terms of UCC also, there is no gap?

P.S. Reddy: No, no, no, no gap.

Analyst: Basically, we have the full participation. What we used to have?

P.S. Reddy: Yes, yes, no doubt.

Analyst: And sir coming to the operational part of the software, would there be any change the way things were done before when we had a contract with 63 Moons and now with TCS? Would we be more in control or is it exactly the same? Just the vendor has changed?

P.S. Reddy: No, I think in terms of control, I think the kind of clauses that they were there earlier, those clauses are not there with the TCS. Even if you want to develop a new platform parallely , even now you can do it. There are no such restrictions. And the contract is one year, what you call, one year is in warranty and the next five years is again AMC has been fixed. Thereafter also, AMC has been fixed. In the sense, every year 4%, some percentage of the increment, you have to pay them.

So that's how the AMC, on the price which we paid at the last year, kind of. I think there is nothing kind of a ransom being asked after the sixth year or something like that. There is a cap on the...

Analyst: Basically, a long -term trajectory has been already plann ed and done?

P.S. Reddy: That's right.

Analyst: If the plan is, because we have this six -year contract , my understanding is you run the day-to-day operation and TCS will come only if there is a bigger problem with the

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application or if there is a development work. Is there any thought process in this six years we try to develop a team so that we can take up even those kind of work?

P.S. Reddy: I think it is too early for us to say that because the source code is not, we do not have, we have only right to use the source code, I mean right to use the software. So IPR is still with them only. So , the license is, we are having it. So, I think it is too early for us to undertake another exercise at this point in time. Maybe as we go along, we can think of all those things.

Analyst: But till the time we are with this same platform, it has to be TCS who can do the development work because they have access to the source code?

P.S. Reddy: That's right.

Analyst: And I think that is more or less on the technology part. Now again, you also said on the call that focus will now be on the business. After two years of this tech problem that we had. Just to, first to start with broad understanding, generally investors do kind of equate the volumes in the commodity market to the equity market.

We understand the participant base is much bigger on the equity side. Even the products are more, you have equity products which are exclusive to India, which is not the case in commodities. But what could be basically, if I were to say, do you think one, in terms of parallel, can we assume that even in commodities, volumes could be driven to options rather than futu

re s as we have seen in the equities?

And secondly, do you think the growth in the commodities market, if not the absolute

number, can be as big as what we have seen in the equities market?

P.S. Reddy: I think in the call also I have clarified people to, or rather I caution not to compare with equities. The reason being is equity markets are investment markets. These are for risk management. Okay.

Now being a risk management product and the contract sizes are also very huge. In equity you can buy one share of Reliance or one share of Infosys or anything it is here, but not here. One lot means, it is a few lakhs of rupees. Okay. So keeping that in view, the margin requirements will be high. So, by nature, it does not allow all and sundry to come and then trade in the exchange. That is one important thing that we have to keep

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in mind. Okay. So minimum margin in crude oil on a INR7 lakh, I mean that is a contract size of INR6 lakhs to INR7 lakhs of rupees, the main contract, and how much it comes to, almost all INR2.8 lakhs, INR2.5 lakhs of margin. And it is not a small sum. Okay. And similarly, even in NG, you have 30 % margin.

That is also big. So I do not think so much of a retail investors coming in drones to this market is ruled out. Having said this, either roadmap is more towards options but not futures, and at this point in time, the drivers which led to options is the higher margins in futures.

Now, we have not tested as yet, having got used to the options, who knows, even if you reduce the futures volume, still people may go in that way only, that is in the options way only. Okay. And then, you know, the tendency of retail investors is to, you know, participate in options. That is what also, we have seen it. And that is where, you know, that is where they think that, especially in the week of option expiry period, they will see huge volumes. And these are all cash settled. That is another important reason why they are active. So maybe the way that things are happening internationally, maybe options are not the big ones. And, but we happen to be the largest in crude oil, you know, options in the world, isn't it? Largest in the world.

Praveen DG : Yes, it is because we have the mini contracts.

P.S. Reddy: I am asking you, we are the number one in the crude oil contract. So, in the silver, I think, number two. Maybe in the options as a whole, it is the fifth largest in the world, and in futures, it is the sixth largest in the world. But then, ranking apart, I think we have scratched only on the surface of this market. There is a lot of growth potential. And with the enablement of regulatory regime, I am sure we should be able to do a far better and a deeper market. When I say deeper market, a market which, where people will resonate with the market, what is happening in the MCX platform. And that will happen only when greater degree of participation comes from the hedge rs and the value chain participants. We see value chain participants, a good number in silver, gold, and to some extent, maybe metals, but then it is not deep enough. And that is what our effort is going to be, more and more.

Analyst: Sir, can we say that, when you say hedging, basically it is, what we are targeting is increasing the open interest, possibly, right? In a way, not exactly all open interest

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would be hedging, but I am just saying. So, can we say that there is a ratio between trading volumes and open interest, and as the open interest goes, the trading volumes will keep increasing in a multiplier?

Are there some numbers that we have seen, like the numbers that you shared in terms of open interest? It implies that on futures, we have a 1:1 ratio, while on options, we have 4x, 5x times the trading vo

lume compared to open interest. So, are there any comparisons internationally, what are these ratios? And based on that, can we do some sizing of the market?

P.S. Reddy: Well, I do not have that ratios. I do not know whether that is the -- right, whether that is an approximation or that will work as a tool for assessing the market size. I am not too sure about it. I think we must definitely look at the physical market size and how much of the physical market is hedging on the exchange. Whether they are hedging in India or abroad is secondary. But as such, they are not hedging. That is the major worry. You have seen the balance sheets of many of these companies which are listed. Some say maybe doing it or not doing it. They are very vague, and they are not hedging at

all. That is for sure, many of them. And I think that is the worrisome part of it. I think we should start our education or cultural change from there. Unfortunately, which again I said on many calls also, if they lose money here, whenever hedge rs, they look at only this book, not their other book, physical market book. And financial book and then that book, both they look at it. One side if there is a loss, the other side there will be a profit. So hedging means no loss, no gain kind of thing. But many of the CFOs or the financial controllers in these companies, or maybe even promoter driven, they don't realize that.

They think that we should have made profit here also and then still, physical market anyway will gain it if the prices go up. What is the big deal about it? That is the mentality, and I think that is where we need to really look at it. Coming back to your main question, yes, I don't have those numbers as such, internationally. I think you need to work on that.

Praveen DG : No, generally you cannot. Globally, it is not a right comparison because it also depends upon the volatility. So, volatility is there. The open interest remains the same, but the volumes significantly can go up. So, there are other factors which really can influence.

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So comparison between open interest and other things cannot be a right, of course. That is how I look at it.

Analyst: And another factor of liquidity, hedging you said one thing, volatilities are mentioned. But even the size of the contract, I think, is something that drives volume. So basically, miniaturization of the contract. We have already launched mini contracts. We are talking about launching weekly option contracts. The whole idea is to improve the liquidity by doing all of this.

But given what has happened in the equity market and we have been hearing SEBI, they have been very worried about the kind of options that is happening, option trading that is happening in the equities market. Do you think there would be concern, regulatory concern, in terms of allowing us either the mini contracts or the shorter duration contract that could have some challenges from the regulator, especially in the commodities where they feel that it is more for hedging than speculative activity?

P.S. Reddy: Well, see, again, we are very clear. You need speculators. Without speculators, no market, whether it is LME or CME or ICE or any, will survive. Speculators are needed to provide continuous liquidity. So it is needed. Now the hedgers come as and when there is a need for them to hedge, and at that time there is no liquidity, then they will not look at this market at all.

And both legs of the hedgers will not be coming at the same time. So, then it could have been purely hedgers market also. That doesn't happen. And that is the reason why these speculators are needed. Now how much speculation is good and how much speculation is bad, I am not the one to comment on that. I think we need to take adequate risk management measures.

We need to educate the investors as to what ar

e the pitfalls of the kind of trading that

they may be doing it. And they should be able to take that risk. The event things go wrong, they should be able to take the risk. So, SEBI has put up on the report, you know, research report, 90% of the investors are losing their money. Yes, may be true. But still trading is not stopped. Cigarette smoking is injurious to health. Correct. Okay. But those who got used to it and who have seen maybe gains at different points in time, may continue to get lured.

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But I think it is for the member brokers also to equally educate at the time of entry, at the time of what you call -- client coming for trading, that look, this is what the risk is all involved. I think they should not be tempted by the investor coming to give them business. I think they should educate well at the time of entry itself. That's very important.

Analyst: I completely am with you on that, sir. The thing is that when SEBI gave approvals to NSE for weekly options, they never imagined the volumes will go to this extent. And even after what they're doing everything, introducing peak margin regulation, gross margins, everything, still the volumes are only going up. Do you think now they have

become more, what do you say, they want to stall any product which can increase the speculative volume rather than hedging volume, although speculative volume is important. But have they grown any kind of this thing that they don't want to do this now?

P.S. Reddy: You see, again, I will not be able to comment about the equity markets, what restrictions they will put up, they will not put up, what works, what does not work.

Analyst: From a commodity perspective.

P.S. Reddy: From a commodity perspective, I think we have not reached anywhere closer to that.

There's a lot of room for us to grow. And instead of stopping at this stage itself, probably we will be, what do you call, we will be doing injustice for the growth of this market, I would say. I think we should allow innovation.

Of course, safety first, no doubt about it. Then everything else will come. With that safety keeping in mind, we should allow the innovation. And new products should be allowed to be launched. That's all I can say that.

Analyst: In your experience, has that been the case with the regulator that they don't see everything with one eye and they do understand this is an Asian market and it needs some help to grow. So probably the rules, not exactly the rules, but the approach could be different for different segments.

P.S. Reddy: Yes, but it is for us, the onus is on us to convince them, that this works, and this does not work. So if they are convinced, probably we have failed, not they have said no.

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Because they have a greater responsibility than allowing us to just launch a new product. That's the way it is.

Analyst: And secondly, we saw that NSE kind of launched this option contracts without having this INR1,000 crores liquidity in the futures. So is it like that rule has been done away with or it was an exception made for NSE?

P.S. Reddy: Well, I would not be able to comment on that, what happened...

Analyst: But the rule is still in place.

P.S. Reddy: At least there is no new circular issued as of now. There is no new circular as of now. That rule is in place is our understanding. We have not seen any new circular.

Analyst: So we will not apply for any product wherein we don't have INR1,000 crores of underlying liquidity?

P.S. Reddy: Not necessary, you know, whether INR1,000 crores or no INR1,000 crores. If we give a justification, probably they will encourage us to launch it. Relaxation of rule is their discretion. We can ask them. Asking is our right. We can always ask them. Discretion is their right to give

or not to give. So I think we can try all that.

Analyst: Have we applied for any of the products which doesn't meet this criteria?

P.S. Reddy: No, no. We will make an attempt to, especially options on some of the mini contracts, we will ask for.

Analyst: And so for options to succeed, how important is the liquidity in the underlying futures contract? Is it very important or without even liquidity also option volumes can come through?

P.S. Reddy: My personal view is liquidity is important. Otherwise, we are seeing a big, what we call, exposure, risk exposure to the option writers. Because option writer, when he is selling an option contract, then he must be from a physical market player. Or he must be, if it is a cash settled contract, he must have deep pockets. Otherwise, if he hedges in the underlying futures, then there is no problem. So, to that extent, what we call, the depth in the futures contracts will increase. So that is what we are expecting. But that is not happening. And we are also equally concerned as to why the option writers are

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not taking exposure in the underlying futures. Some of them, not all of them. And I think it should be taken. That is the reason. Then only it will protect them also. Anyway, the option buyer is protected. He doesn't have any, except for the premium that he or she pays, then there is no other risk. Only option writers are exposed.

Analyst: You think sellers who are ideally supposed to take some hedging against their open exposure, that is not happening.

P.S. Reddy: Some of them are not doing it. Maybe the higher margins again, the cost of trading in options and futures is high.

Analyst: Right. But they are incentivized in terms of cross -margining. If they took an offsetting position, then the margin requirements will come down. Can they do it through options only?

Praveen DG : Ours is a span -based mechanism. That is how the margins are elevated. So one, if they take futures, on the other side, if they take an option, automatically the span will come to the portfolio level kind of margining. So, automatically it will be considered ...

P.S. Reddy: But to some extent only, not fully. 100% they don't get it ...

Praveen DG : Because there will be always, you will have certain things like minimum short margins and other things still will be there. But that benefit of portfolio margining will be, that testing will be benefited.

Analyst: Okay. And that is between futures and options only? With two option contracts of different cycles? That also.

Praveen DG : Yes.

Analyst: But there is a possibility that people may be taking far off, out of the money as a hedging tool. Is that a possibility, sir? Instead of futures market, they are kind of hedging themselves in the option s market itself?

Praveen DG : Somebody can even, able to develop a synthetic future s, right, using an option. So, they have different ways or strategies to which somebody can able to replicate a futures

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contract also. But at the same time, ultimately these are all option on futures. So, if you have an underlying futures contract, it is meritorious to take a position in futures also.

Analyst: Okay. Understood. And in terms of newer products, you did mention about Steel TMT rebar side, in the futures side. Are there any more products that we are targeting in the futures? As of now, it is only Steel TMT rebar?

P.S. Reddy: We have applied for this aluminum alloy, in the past also I said that. Again, the approval is another thing is pending. So, are the some of the mini contracts also. And some of them are again related to electricity futures is another one. So, we are waiting for these things to come.

Analyst: And mini is copper and nickel?

P.S. Reddy: Copper and nickel ...

Anal

yst: Only those two are left. Rest everything we have mini contracts?

P.S. Reddy: Yes.

Analyst: And in terms of this gold futures, the main contract, which is a bi -monthly contract, is there any plan to make that monthly or it is the other contracts which are already monthly? We don't intend to make that as a monthly contract.

P.S. Reddy: We don't want to change the gold, bi -monthly contract into a monthly contract. And I think the market got used to it. If we have to introduce, we may introduce another product. But it should not cannibalize the volume here. We will look at that. But option s on the gold, monthly options on bi -monthly futures is what we are looking at it.

Analyst: At least in the future s, I think we will keep the specification here.

P.S. Reddy: Yes. We don't want to change.

Analyst: And any time you have gold mini, which are monthly?

P.S. Reddy: Gold mini is monthly. Gold 10 grams, I mean, applied 10 grams is one. And we already have a gold mini, 8 grams and 1 gram is also there ...

Analyst: On silver, the main contract and the mini contract are both bi -monthly contracts?

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Praveen DG : All are bi -monthly contracts.

Analyst: Silver. Why is that so? Isn't it wise to introduce a monthly contract in silver also on futures?

Praveen DG : No. See, when we started that time, it was like initially, that means prior to this kind of delivery -based contract, the mini and micro contracts are also linked to the main contract. So, they happen to be a bi -monthly contract. But in case of gold, from the beginning, it was like a separate contract. Because silver, there is an issue with regard to the delivery then, that time. Because you may not be easily able to get that kind of 5 kilo bar or something.

P.S. Reddy: Micro is 1 kg.

Praveen DG : People use it to import mainly in the 30 kgs. Even that also, you won't get it exactly in 30 kgs, but you get it in a range. So, because of that scenario, then it was decided to come out with a contract, which are linked to the main contract. But subsequently, SEBI has come out with rule. And we also have gone to the market and we have, after extensive discussion with the market, we could able to come out with the delivery - based contract, even in mini. So, all are separate.

But since the precedence was set that time, it was like we had, but definitely like Sir said, we can look at options whenever we wanted to come out with the options.

Definitely there, we can look at shorter duration contracts.

Analyst: At least for futures, we will not tinker around...

Praveen DG : There is no merit in doing that one. Because sometimes it is like some market participants prefer to have a longer duration contract because you will be able to cover a greater duration. That means, like suppose if you have three contracts, that itself will be covering some six months.

Analyst: Basically, the shorter tenure will be done through options. The one that you mentioned, weekly options on the monthly future contracts?

P.S. Reddy: Weekly, when I say weekly, it should not be understood that the contract itself is weekly. Because under SEC C regulations, at least the derivatives should be more than Multi Commodity Exchange of India Limited

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11 days completely. We will issue monthly contracts, but every week, one -one monthly contracts will expire.

Analyst: It is a weekly expiration. Weekly...

P.S. Reddy: No. You see, 7th of the month. Previous month 7th we issue one contract. And this...month 7th, we expire. Previous month 15th, we issue contract on 15th. So, in a month, there will be four expiries of different contracts.

Analyst: Of different contracts?

Praveen DG : Technically, you will have one expiry each week. That's it. But the contract.

P.S. Reddy: Serial contract.

Analyst: But they are

different contracts?

P.S. Reddy: They are different contracts.

Analyst: Sir, I thought you mentioned that on crude itself, you will have four different weekly expiries?

P.S. Reddy: Weekly means, these four monthly contracts are starting with different dates. So, there will be four weekly expiries.

Praveen DG : Even today, if you look...

P.S. Reddy: Underlying is the same. Underlying option contract is the same WTI. Same 100 barrels or 1,200 barrels.

Praveen DG : No. In case of crude, it is 100 barrels. But even if you look at it today, while we are calling it as a monthly contract, it is not technically a monthly contract. It is like, I launch a contract which is of a duration of four months. Okay. But you have, every month you have an expiry. So, similar to that one, whenever you are saying a weekly or it is a fortnightly, it means that every week you will have an expiry. But that contract, expiry contract, that would have been launched from one month back or two months back.

Analyst: But unlike equities, where the contracts are launched on...

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Praveen DG : No.

Analyst: Even an equity. These are launched on Monday, right? Or for Friday expiry, like a Sensex contract?

Praveen DG : No. May be, I may not be knowing that.

Analyst: That is what I am saying.

P.S. Reddy: That is the equity, I mean, I don't think there also, it is like that. They are also monthly contracts or fortnightly, at least a longer duration, but then it is expiring every week.

Analyst: My understanding is that this was weekly contract and now I think they are seeing volume only on the expiry day. It is becoming even more shorter. And every day there is one expiry that is happening on the equity market. So, between NSE and BSE. So,

these are effectively becoming your zero date options. And volumes are happening only on Monday.

For BSE, if you see, volumes happen only on Friday, expiry day. So, I thought we are planning in options something similar which when we call it weekly, we are saying this will effectively have different, every week there will be one expiry. It is not the one contract of say, December ending contract will have 7, December, 14, December, 21, December, 28, December as an expiry date?

P.S. Reddy: ...No, it is not like that

Analyst: Because I thought the series, I think serial contract is what you mentioned. So, that was done, I think the genesis was because you have this two month contract. There was a month in between which never used to have a contract...

P.S. Reddy: Because 11 days is the minimum required , ...a tenure , for derivatives contract.

Analyst: Minimum 11 days?

P.S. Reddy: At least. Anything less than 11 days is spot. That is what the legal definition is.

Analyst: Then, even the equities has to be more than...

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P.S. Reddy: So, equities also, somebody has told -- explain to me, it is monthly only. Expiring every week.

Analyst: Expiring. We are doing something similar?

P.S. Reddy: Yes. Expiring every week. We are yet to try that.

Analyst: You have already gone to the regulator?

P.S. Reddy: We have, what to call, ideated. Nothing else.

Analyst: I want to understand this little better. I think this is very important. If this comes true, I think this will add to the volumes.

P.S. Reddy: We are hopeful of it.

Analyst: At least based on the experience what we saw on the equity side, probably this will add to our liquidity here as well. But just to be more clear, on a crude oil contract, monthly contract, there are option expiry which will happen. When you say different, different weeks ...

P.S. Reddy: Let us say, you have a crude oil month of December. On a December contract, today you have only one option contract. We will have four option contracts. On the Decembe

r one only. That is what the way it was. These four option contracts are monthly contrac ts. So, each one will be expiring. Instead of expiring just two days before or three days before the underlying future s expiry, it will expire every week.

Analyst: In effect, they are becoming weekly. If somebody wants to trade in near month contract, they will trade in the contract which will expire in that week?

P.S. Reddy: Whatever expires on that day and if there is anything to be devolved, it will devolve on futures. And then next week if something is there, then it will devolve on futures.

Analyst: Understood. And this can be done for both cash settle d as well as physical delivery contracts only for cash settle d?

P.S. Reddy: It can be done for both.

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Analyst: Understood. Perfect. And sir, one of the thing is that index when we launched it, index product, we thought it will drive volumes. Metal index, we understand because of nickel debacle, that did not see volume. But energy, in fact, I think the margin requi rement are not as high as what you saw on the individual commodities like crude you said 40%, natural gas you said 30%. Energy index, as of now I don't see any trading happening but should not have that much margin requirement. Still we don't see any volume in those contracts?

P.S. Reddy: If I am not mistaken, there also the pre -expiry margin has kicked in.. .

Praveen DG : Pre-expiry margin is one major challenge because irrespective of whether underlying margins are there or not, it is like , as and when it comes closer to the expiry, then you have a, it is a cash settle d contract, right.

Analyst: Yes.

Praveen DG : So, because it is a cash settle d contract, then you have an energy, it is linked to the energy where pre -expiry margin is applicable. So, here also it is applicable. So, you have one pre -expiry margin for...

P.S. Reddy : How much is the pre -expiry? 5%. ..

Praveen DG : 5% incremental basis.

P.S. Reddy: So, it will come to...

Analyst: Day by day 5%?

Praveen DG : So, 25% by the day of expiry.

Analyst: Okay.

Praveen DG : And immediately followed by your underlying having the pre -expiry margin. That is your double whammy , right? It is like you have a pre -expiry margin here, then again you have. So, that is what has created the problem for the...

Analyst: When a new contract is launched, what would be the margin requirements sir for an energy index?

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Praveen DG : It depends upon purely based on that volatility. I don't know that's what -- No, currently we don't have it. We have discontinued it.

Analyst: Discontinued it. Okay. Any plans to reintroduce that or no?

Praveen DG : See, currently we wanted to first focus should be on index options have been allowed by SEBI. Okay. So, we have to explore the products in index options.

Analyst: But again you need the underlying for index options.

Praveen DG : No, we have...

P.S. Reddy: We have BULLDEX.

Analyst: Okay, only BULLDEX you have.

P.S. Reddy: Only BULLDEX and METLDEX also probably we will try to relaunch it after the -- I mean we removed the nickel.

Analyst: Correct.

P.S. Reddy: And then reconstituted the METLDEX. With four of them, we will try to relaunch.

Analyst: So, the timelines for both these options on index and those weekly, is there any timelines that you have thought to?

P.S. Reddy: It's only regulatory approvals. These are all...

Analyst: No, no, but at least we have approached?

P.S. Reddy: No, no. No, no. As I said, we have not approached it. So, we will approach.

Analyst: At least weekly is still an ideation. It will take some time.

P.S. Reddy: Yes, it will take some time.

Analyst: And this option on index, because again underlying doesn't have the volumes?

P.S. Reddy: That's w

hat I am saying. I mean although it does not have the volume, if they choose to give it, they will give it. But at least...

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Praveen DG : No, but there won't be any threshold as such is applicable.

Analyst: Okay.

Praveen DG : It is because it is going to be independent to the future s. It is going to be settled on the -- almost on the same day of the futures. So, that way it is , both are independent to each other.

Analyst: Okay.

Praveen DG : So, it is an index option compared to any other option what you are looking at like crude oil, which are all option on futures. But here it is different.

Analyst: I understand. And sir, in participation, you did mention that there are some algo traders who are not comfortable coming on to the old platform. Now that we have migrated to the new platform, they should come in. Any indication that you can give how many numbers are we talking about here? What are the number of algo traders which are currently trading and are we talking about 10%, 20% addition to those numbers?

P.S. Reddy: Yes, there will be. Because, I mean, you look at our, what you call, website, maybe you have the members who are admitted. Okay. There are some members who have not as yet, some of them are inequities who are there, they have not taken membership. They are al ready participating, but then they are testing the waters kind of. And some members have already become like citadel. They have taken membership of the exchange, but they have not started as yet.

Analyst: Okay.

P.S. Reddy: So, all those people should be able to do that.

Analyst: So, you think over the next two, three months you will start seeing higher participation from them?

P.S. Reddy: Well, I mean, I will not be able to give any plan of what they are ...

Analyst: Based on your engagement with them?

P.S. Reddy: Based on my engagement, I think they should be able to at the earliest. That's the way ...

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Analyst: Okay. At least that's a tailwind for us?

P.S. Reddy: Yes...

Analyst: in terms of volume at least And on FPI again, sir, you mentioned that one of their requirements is this DMA facility?

P.S. Reddy: Yes, with that we will start.

Analyst: Can that be a significant volume driver or it's again, don't...

P.S. Reddy: It's like, I mean, whether it will drive or it will not drive, the feedback that I receive from my team is ground foot soldiers is that, no, no, today I met so and so FPI or so and so member. He said, boss, you bring DMA, then they will start participating. And somebody says that Category II FPIs, they all want to participate. So, you should activate it. So, this is the feedback that I get from them. So, since that is already available in our new system, we should be launching it at the earliest, releasing it for use.

How much volume it will bring, how much it will not, I will not be able to comment on it. That's not correct. But, whosoever is suggesting, look, this is the hurdle for which reason I am not able to participate, I will work on that to, I will work on that to clear it.

That's the way it is.

Analyst: Overall, sir, your understanding, how big can institutions become or it will take some more time before they become big?

P.S. Reddy: No, you see, before they become big, will they be, will they take time? My assessment is, if commodity prices are going to remain volatile in the next two years, as the reports indicate, be that World Bank, IMF or even RBI, etcetera., and I think they do come earlier than anticipated, is my view.

Analyst: Okay. But any number that you want to put? Probably 10% of the market at all? Some, some work that you would have done?

P.S. Reddy: No, no. I have no numbers.

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Analyst: Okay. And, sir, a couple of questions on the regulation part. On the interoperability we have seen on the equity market that is being implemented, do we have something similar for commodities as well, between exchanges?

P.S. Reddy: I, when I say interoperability, it is essentially a full-fledged interoperability, something which may not happen. Okay. There are other challenges out there. It's not just cash settlement or share settlement via depositories. There are physical market commodities out there. So interoperability is not easy.

But at least to the extent that members deposit collaterals or other margins, etcetera., whether we can ask, the margins can be interoperable in the sense, you keep the margin, a physical cash or, FD, BG and all that, you keep it. But at the end of the trading, 3 o'clock, equity market on 3.30 is shut and there is excess capital line for efficient use of it if member decides that it should be given to MCX. Currently, it is not feasible.

Unless it is, he withdraws from that and then again deposits here. We are looking at a fungibility where, there he will say that he transfers INR50 crores to MCX. They will mark a lien on that as a name of MCX. And then we will give, once the confirmation comes from the other exchange, then we will release that to member. And it is for him to distribute as per the regulations and other things. If there it is lying in your name, then he will give you here also in your name, some amount, whatever that is.

Analyst: You will have that margin money here to trade?

P.S. Reddy: Yes, margin money here to trade, although it is not physically available.

Analyst: And you think there is a good overlap between people who are trading in equities and commodities?

P.S. Reddy: There are, no doubt. There are. Especially these proprietary and algo or even some of

the clients also. There are. Yes.

Analyst: In that context, we keep hearing that NSE wants to extend the time for equity derivatives in the second shift. Now, half of our volume or slightly more than half comes in the second session, after five ...

P.S. Reddy: But it is nothing to do with the margin coming from NSE to MCX.

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Analyst: No, no. But people's capital will again get deployed in equities because they will have opportunity on the equity. Will that have an impact on the volumes?

P.S. Reddy: No. It is other way. As of today also, the capital which is lying idle after 3.30, is lying idle only.

Analyst: Right.

P.S. Reddy: Okay? We are thinking that that will come. But if they increase their equity timings, then to that extent it will not come to us. It is okay. So it will not be worse off.

Analyst: Okay. It will not negatively impact.

P.S. Reddy: It will not be worse off. It can only be positive.

Analyst: Understood. Thank you. Okay. SGF contribution. We have seen that in the month of September you made some contribution. This will be the last one. And in October, you again had to make some contribution. So now can we say that we have already exhausted our SGF fund because last contribution then came in some three, four years back that we made. Now for the last few months or years, we have not been making any contribution. But last few months we have been. So is it fair to say that incrementally as volume goes up, you will be making regular contribution to SGF?

P.S. Reddy: If the open interest keeps on increasing, obviously we have to make contribution. But the contribution is determined based on some calculations, etcetera. And if that is getting revised, then the contribution may come down. Okay. So, it is both regulatory issues, some issues are there. And, but, factors for others. This will increase if the open interest increases.

Analyst: Understood. Okay. Perfect, sir. Thank you so much. Those were my questions. Thank you

so much for your time.

P.S. Reddy: Welcome. Thank you.

Call: Nov 2023

MULTI COMMODITY EXCHANGE OF INDIA LTD.

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CIN: L51909MH2002PLC135594, info@mcxindia.com MCX/SEC /2320 November 30, 2023

The Dy. General Manager

Corporate Relations & Service Dept.

BSE Limited,

P.J. Towers, Dalal Street,

Mumbai - 400001

Scrip code: 534091, Scrip ID: MCX

Subject: Transcript of calls with Investor/Analysts

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)

Regulations, 2015, please find enclosed the following transcript of the call with investor /analysts:

Sr.

No Investor /Analysts Date Time Annexure

1. Unifi Capital November 22 , 2023 04:00 PM Annexure - A

The said transcript is also uploaded on the website of the Company at

<https://www.mcxindia.com/investor-relations/ir-meetings>

Further, we hereby confirm that no unpublished price sensitive information was shared/discussed during the said meeting .

Kindly take the same on record and acknowledge receipt.

Thanking you,

Yours faithfully,

For Multi Commodity Exchange of India Limited

Manisha Thakur

Company Secretary

Encl: As above

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Meeting with

Unifi Capital facilitated by Share India Securities Ltd.

November 22, 2023

Disclaimer: This transcript is provided without express or implied warranties of any kind and should be read in conjunction with the accompanying materials published by the company. The information contained in the transcript is a textual representation of the company's event and while efforts are made to provide an accurate transcription, there may be material errors, omissions, or inaccuracies in the reporting of the substance of the event. The transcript has been edited wherever required for clarity, correctness of data or transcription error. This document may contain "forward-looking statements" – that is, statements related to future, not past, events. In this context, forward looking statements often address our expected future business and financial performance, often contain words such as "expects", "anticipates", "intends", "plans", "believes", "seeks", "should" or "will". Forward-looking statements by their nature address matters that are, to different degrees, uncertain. These uncertainties may cause our actual results to be materially different than those expressed in our forward-looking statements. We do not undertake to update our forward-looking statements.

Annexure - A

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INDIA LIMITED
MR. PRAVEEN D G – CHIEF RISK OFFICER – MULTI COMMODITY
EXCHANGE OF INDIA LIMITED

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Nagendra : ...And we have their Founder, Mr. Sharath Reddy and his team, and I will let Sharath's team talk more on what they do, but if I have to put it in simple terms, they are one of the largest PMS entities in India. As we speak, I think, you know, their AUM is close to INR21,000 or INR22,000 crores.

So, we have just started working with Mr. Sharath's team, and I personally know Mr. Sharath from 1995. So, we thought it would be a great opportunity if we try to have a discussion with you and understand what is the story behind MCX at this point of time and, you know, how these things will span out in the next couple of years. I think, you know, this is the context, but I will let Mr. Sharath and his team to take this discussion forward.

Thanks, Mr. Reddy, once again, for your time, really appreciate it. Yes, Mr. Sharath, all yours .

Sharath Reddy : Thank you, Nagendra. Good to meet you, Mr. Reddy. As Nagendra said, we are a portfolio manager, we have been in business since 2001. We manage mostly domestic capital. We have a small offer activity as well, and we have just received permission to work on mutual fund, I mean, principal option.

We invest in basically looking for growth businesses and today the highest growth seems to be happening in capital markets, the optimism in India has never been so high and we wanted to understand after having gone through the changes in your own journey over the last couple of years, MCX seems well positioned, and so we wanted to understand from you, how does the prospects for growth look organically, as well as from introduction of new products or segments, which can attract the large trading community that seems to be gaining scale in India ?

P.S. Reddy : Okay, should I start, or you have anything else to ask...

Sharath Reddy: Could you kindly start, we may have one or two questions after.

P.S. Reddy : Sure... No, as you understand, the Indian commodity markets, in fact, do not have organized spot exchanges, maybe for electricity you have for some time, but otherwise we don't see organized spot exchanges, and without having that spot exchanges, which

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is supposed to be the bedrock of these futures , we have built the derivatives markets, organized derivative markets.

Now, having done that, I think we find maybe a lot of spot markets are opaque, a lot of spot markets are, what you call, influenced, or controlled by few, be that consumer side or be that producer side, and maybe it's a natural monopoly, only few producers are there, although only few consumers are there, etc etc . So, I think, in this space, we have not as yet grown big, we have not as yet scratched the surface of the commodity markets in India.

That's what our perception is, and that's the reason why we are making a multi -product attempt to penetrate into this market and bring some kind of a sense of transparency into this market. When I say that a sense of transparency , because there are still lobbies which do not want the success of commodity markets, because they lose the opacity, and which they are thriving on.

Having said this, this market, at this point in time, we have the derivatives contracts, maybe about 11 -12 products that we are dealing in.

The NCDEX has gotten most of the Agri-commodities, and we are not there, except for the cotton and mentha oil. And, but our primary market, our primary drivers, growth drivers are the crude, natural gas, bullion, that gold and silver, and the metal contracts, the five base metal contracts. And thanks to the problems that happened in the nickel contract, the nickel contract is almost all died. There is no trading, but we are trying to revive it, subject to some regulatory approvals.

And the second set of participation we are expect

ting, or rather the second ground rule that we want these markets to drive, is the participation of hedgers. Now, why I am saying hedgers, because we have not seen, many are treating the commodity markets not as the risk management tools. Unlike in equities, which is an investment market, commodity markets are primarily the risk management places, where hedgers will come in, and maybe speculators are needed to provide liquidity, but otherwise it is substantially for the hedgers to manage the risk. And thanks to the RBI, which does not permit hedging of gold in international markets, and for other products, it is a by-choice, they have to come, if they want to come, and then trade. But otherwise, in the case of gold, it is happening in India, and a good amount of, maybe almost 75% of our open interest is hedged by the industry. And you name it, all, most of the top players are in it.

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In other products also happening, but as I said, it is by choice. This is another dimension to this market. And one more thing I want to tell is, when I said it is a hedgers market, but not for any retail investors will come in, because the lot size, unlike in equities, you buy one share of reliance, one share of Infosys, but then if here you buy one lot, the one lot happens to be INR7 lakhs, INR10 lakhs, or in the case of copper, it may be as high as INR30 lakhs. And the margins, even if it is at least 10%, that is that many lakhs or thousand, it comes. Maybe in the case of copper, it is INR3 lakhs, and less. In the case of crude oil, it is 2.5 lakhs, although the contract size is around INR6 to INR7 lakhs of rupees. And why margins are high? This is a different reason; different historical movement of the prices and various stress-test scenarios are taken into consideration when we provide for the margins and SGF covers.

The third dimension which is equally important is that the regulatory enablement for some of the success of some of these contracts is equally needed. And what is that regulatory enablement means? For example, the GST is coming in the way of rapid growth of our market. When I said GST is coming in the way, it is not the percentage or anything. In fact, we have no problem about whether it is 10%, 15%, 18%, or 28%. We are not asking for that. But because we are spread pan India, our delivery centres are across India, and the buyers do not know where they get delivery. If somebody wants to participate on the exchange platform, they have to register at all the locations or in all the states where the GST is, where the delivery centres are located. So, this is causing a big concern for the participants, and that is where some of the people who want to take delivery, they shun the market. They say, I'm sorry, although I'm interested to take delivery on your market, but I'm not able to take it because I'm not too sure where I will get the delivery. And that is because it is a seller's choice market, where seller has an option to deliver wherever they want to deliver. So, if we make it buyer, then seller will not have an option. So, no metal will come, or no material will come. This is another dimension to this.

In the case of our only the NG and crude oil, we have a tie-up with WTI, that is CME. And the closing prices of WTI are used for settlement of these contracts. So, in that sense, there's no room for any kind of cash-settled contract being manipulated or any kind of room for doubting the genuineness of that. But in the case of other contracts, SEBI, thoughtfully and rightly so, has pegged it to the spot prices, so that when the contract is coming to closure or expiry, the spot prices as well as the future prices will converge. And accordingly, the markets remain pegged to the ground. So as a result, some of these, the lack of what you call transparency in the spot mar-

kets at times causes

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ket concerns for us also. And maybe getting the spot prices from, spot polling prices from different physical market players is a challenge. And we are trying to overcome that by empanelling as the new spot polling players as we can to get maximum reach before we arrive at the spot prices.

I think I'll stop here. Probably you can ask me some more clarificatory questions or anything more that you want to know about it.

Sharath Reddy: For example, on the equity markets, the derivatives segment has settlements which are shorter. And that seems to be helping them grow, as we have seen in the BSE also recently. Is that possible in the derivative on commodities?

P.S. Reddy : Well, the people often cite that weekly settlements is one option to do that. I think in the case of weekly settlements, the contract cannot be weekly because the SECC regulations or act itself says that anything which is more than 11 days only can be a derivative contract, but anything less than that is a spot contract. So it can be that multiple monthly contracts expiring every week can lead to a weekly option expiry contract.

That means you launch from 7th of last month to 7th of next month or this month to next month, and 15th of this month to again expiring in the 15th of next month.

Overlapping contracts are called serial contracts. You introduce them and that will lead to a weekly expiry, but the underlying remains the same. The underlying happens to be only one futures contract. So, which may expire at the end of the month. So that is how these weekly expiries -- but we have not approached SEBI as yet, but then this is under discussion and if something happens there, maybe we can try that. It may work for the good of the market.

Nagendra: Sir, this innovation and expiry, are you discussing across all commodities or is it only on cash settle commodities, sir?

P.S. Reddy : Well, this can only happen in cash settled contracts, but then even other, so we can try, but then to begin with, it is better to have a cash settled contract.

Nagendra: Cash settle contract. Perfect, sir. Thank you.

Sharath Reddy: That would mean only crude and natural gas, right?

P.S. Reddy : Crude and natural gas.

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Sharath Reddy: Okay. Crude and natural gas. And, Mr. Reddy, the growth that we have seen in NSE and BSE, the community of new traders seems to be expanding quite significantly. Do you see the age and the maturity of, maybe, since I am an old man, I believe that youngsters are less mature, may or may not be the case. But one can't help but wonder if the rapid growth in the number of young traders poses a risk to themselves and to some extent to the system, given just the ratio of trades outstanding and positions outstanding to the underlying. And there doesn't seem to be anything to stop this from expanding even further. Do you see any challenges to this growth?

P.S. Reddy : There are two things or rather three things. One is that, well, we consider that youngsters are maybe more immature and as we grow older, we become mature.

Maybe.... that may be true. But nowadays youngsters are more tech savvy. So, to that extent that becomes a strength for them. And maybe that may give them a lead over our hair, which is turning grey. So, that may not be the case all the time.

And being that as it may be, the other part of it is the risk management system across the exchanges has been strengthened substantially. Now, yes, as far as the industry is concerned, as far as the trader is concerned, he may go bust, he or she. No doubt about it. That is not in our control. But as an exchange, are they bringing risk to the system? Probably we have much better secured than what it was, maybe a few years ago. That is something which

h I think I can acknowledge that. The third element is, even SEBI has put up a research paper saying that 90% of the investors are losing money in the derivatives, and but still, cigarette smoking is injurious, but still 90% still smoke or maybe 10% may drop out. So, it's like that. Although they are losing money, they still keep trying. Maybe sometimes they made money. That's the reason, why they keep retaining that hope of making money. But yes, you're right. It may not sustain in the long run.

Sharath Reddy: And in terms of other than crude, natural gas and bullion, do you see any other category or commodity emerging as a significant number three?

P.S. Reddy : We have the silver is another one which is trading very actively. And so is NG, Natural Gas. And I think those two products are also doing very well. They are picking up, rather galloping.

Sharath Reddy: In terms of any infrastructure requirements that are required for efficient settlement on the back-end, is there anything that you see as requirements which are under

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development which will come and support this system efficiency? Or is the system

already adequately provided for?

P.S. Reddy : Well, if you ask me, in the name of efficiency, many activities which brokers does it, they are all pushed on to the exchange platform. So, now we are doubling up ourselves as the back-office members. Even if one client, even if the brokers trading system fails, then still investors can go to some other place and then square off. There is one IRR they have inaugurated yesterday or day before yesterday where investors can square off their position. And we have what we call a real time, what is , the margin that a client has deposited. So, many times allocation, deallocation is taking place. So, a lot of activity is taking place. Maybe it is overkill as far as the systems are concerned. But that is the way it is , at this point in time.

I don't think any more changes to the exchange systems are needed at this point in time.

I think we should, even brokers also have to change. Every time when exchanges change the system, brokers also invest. And that is also causing a lot of concern. So, I think it should stabilize now.

Sharath Reddy: Is there any statistics that MCX releases that establishes the share of business between hedgers and traders on the MCX?

P.S. Reddy : I think it is there, what are the value chain participants are. We disclose it on the website.

Praveen DG: Yes, we disclose it on a daily basis. What is the open interest, against the open interest, what kind of participants have taken the positions. So, that category-wise we publish it on a daily basis. But not on the volume side. It will be against the open interest.

Sharath Reddy: Okay. In this context, is there any logical case for foreign hedgers to come and hedge in India? Or it will be only foreign HFT traders who come and trade in India?

P.S. Reddy : The FPIs are allowed and there are some international brokerage houses who have taken membership on the exchange also. So, they have local offices like they are already members on NSE, BSE. And I am sure they have taken membership of us. And they were waiting to start --tech migration to complete. Now it is done. So, we expect them to trade on the exchange platform.

Nagendra: Mr. Reddy, Nagendra here, just one question. So, first I think we should congratulate you and your team for the successful upgrade. I think it is a fabulous job and everything went seamless. At least everything is well if it ends well. And I think it has actually

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ended well. Sir, my question is, will exchange at any point of time consider coming up with its own co-location infrastructure? Or is it anything linked with the regulatory framework?

P.S.

Reddy : See, it is the regulatory framework which has to be enabled. And of course, we need lead time to enable it. And that has been the ask and then regulators considered. As and when they decide to permit co-location in commodities, they will give a lead time. So, then we will provide for where that co-location will be.

Nagendra: And sir, another point is with respect to on-boarding of FPIs, you rightly said that your team was waiting for the upgrade of systems to happen , which is now complete. And our understanding, I think, we will also stand corrected. So, both the categories of FPIs will be on-boarded, right? Because earlier it was only Category I FPIs that MCX was allowing and not Category II vis-a-vis the other exchanges where both categories of FPIs were on-boarded. Any thoughts on this, sir or, is that the stand?

P.S. Reddy : FPI II will be launched. And also, DMA facility also we will be giving them. It will be there in place.

Nagendra: Perfect. Thank you, sir.

Sharath Reddy: Nagendra, we have got a good understanding. Thank you very much, Mr. Reddy. Thank you very much.

P.S. Reddy : Thank you. Thank you, Mr. Sharath ji. And your colleague, what is his name?

Aejas: Sir, my name is Aejas. Thank you so much for your time. We look forward to future interactions. Thank you.

P.S. Reddy : Welcome, Mr. Aejas. Okay, Mr. Nagendra. Thank you so much.

Nagendra: Thank you so much. Kind of you, sir. Thank you, Mr. Praveen. Thank you all.

Call: Nov 2023

MULTI COMMODITY EXCHANGE OF INDIA LTD.

EXCHANGE SQUARE, SUREN ROAD, ANDHERI (EAST), MUMBAI 400 093, INDIA. TEL: +91 -22-6731 8888, FAX: +91 -22-66494151, www.mcxindia.com

CIN: L51909MH2002PLC135594, info@mcxindia.com MCX/SEC /2318 November 28, 2023

The Dy. General Manager

Corporate Relations & Service Dept.

BSE Limited,

P.J. Towers, Dalal Street,

Mumbai - 400001

Scrip code: 534091, Scrip ID: MCX

Subject: Transcript of calls with Investor/Analysts

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)

Regulations, 2015, please find enclosed the following transcript of the call with investor /analysts:

Sr.

No Investor /Analysts Date Time Annexure

1. Ward Ferry (WF Asian Smaller

Companies Fund Ltd.) August 20, 2023 04:00 PM Annexure - A

The said transcript is also uploaded on the website of the Company at

<https://www.mcxindia.com/investor-relations/ir-meetings>

Further, we hereby confirm that no unpublished price sensitive information was shared/discussed during the said meeting.

Kindly take the same on record and acknowledge receipt.

Thanking you,

Yours faithfully,

For Multi Commodity Exchange of India Limited

Manisha Thakur

Company Secretary

Encl: As above

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Meeting with

Ward Ferry (WF Asian Smaller Companies Fund Ltd.)

November 20, 2023

Disclaimer: This transcript is provided without express or implied warranties of any kind and should be read in

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event. The transcript has been edited wherever required for clarity, correctness of data or transcription error.

This document may contain "forward-looking statements" – that is, statements related to future, not past, events.

In this context, forward looking statements often address our expected future business and financial

performance, often contain words such as "expects", "anticipates", "intends", "plans", "believes", "seeks",

"should" or "will". Forward-looking statements by their nature address matters that are, to different degrees,

uncertain. These uncertainties may cause our actual results to be materially different than those expressed in our

forward-looking statements. We do not undertake to update our forward-looking statements.

Annexure - A

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MANAGEMENT : MR. P.S. REDDY – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – MULTI COMMODITY EXCHANGE OF INDIA LIMITED
MR. SATYAJEET BOLAR – CHIEF FINANCIAL OFFICER – MULTI COMMODITY EXCHANGE OF INDIA LIMITED
MR. PRAVEEN D G – CHIEF RISK OFFICER – MULTI COMMODITY EXCHANGE OF INDIA LIMITED

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P.S. Reddy: Good evening Mr. Aman and Nicholas. Welcome to this call on the post Q2 FY24 results. You have been an investor with us for a long time and thanks to you, compliments to you both. Compliments because you made money also on the stock that you have steadily invested and thanks because as a Management, I am sitting in a Management seat and obviously I look forward to the support of the shareholders all the time who fairly appreciate the ups and downs of the business and instead of getting vacillated about on a quarter -to-quarter on the results and I think if you have been as you said, cheerleader of the Management and that has helped us to stay focused on our goal because if too many expectations are satisfied across and keep pulling, then obviously Management will wonder whether they are going on the right track or not and that did not happen and I think that is very important and I am really grateful to Ward Ferry for supporting us all along.

Now over to you, you can fire all the questions, whatever you would like.

Aman: Of course, thank you Mr. Reddy, thank you Mr. Bolar and thank you Mr. Praveen for giving us the opportunity. Firstly, I will say that congratulations to all of you. I think what you have accomplished is truly something that we are proud of, if I may say, because we continue to believe in the dominant position of MCX. But the transition has its own hiccups because of external reasons, but I think we have done an amazing job, and we really are very happy with what has happened in terms of an outcome and kudos to all of you. I cannot express this enough how happy and how proud we are in this entire outcome.

So, I leave it at that. You guys -- as you rightly said, compliments well taken on the fact that we have been happy shareholders from an outcome perspective or from a share price appreciation and we continue to believe there is much more long-term opportunity with the exchange and the team that we are backing.

I think I will, I want to spend some time with this performance if you guys can help us understand a bit more about both the current and whatever you could talk about the future in terms of thinking.

On software side first, is the transition done completely lock, stock, barrel or does 63 Moons still have something lingering in the system right now? I am just wondering is Multi Commodity Exchange of India

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that completely cut off from an outcome perspective for 63 Moons, till they just get what they deserve till quarter 3 and then they are out completely, nothing more?

P.S. Reddy: Absolutely right and I think on quarter 3 another lump-sum payment has to be made. We have already paid in the 1st of October or 30th of September for this quarter and that will be reflected in the Q3 results.

Aman: And in terms of now, that is what?

P.S. Reddy: There is nothing now and all is done, there is no more. And -- but systems are on. On in the sense, systems are not disconnected because they are supposed to service, if need be, till the end of December. So probably we will take a call when to -- what you call

power off the systems and cannibalize and then use other ... that we can use it, the existing ones .

Aman: Very helpful. And is there any part of the module which only exists in the old trading software? Is it everything that you -- modules you want to have, everything is moved completely to the new CDP platform?

P.S. Reddy: Everything is moved including the data for about 20 years. So, all that has...

Aman: Very helpful. Mr. Reddy, when you look at the current technology now that we have CDP, from a support perspective is it more internal support that we are giving or is it also, TCS you talked about the fact that there is one year warranty, but do we have an internal team also to support

at least part of the upkeep, etcetera, or is it completely outsourced right now?

P.S. Reddy: It's like this, we have TCS support of L1, L2, L3, but they step only if there is any problem, but the day-to-day operations are run by our own team. So that's the way this model is. And this service is there for one plus five years. So, the CD is already there for five years to be paid.

Aman: Got it. Okay. And so even last year on software, the entire -- there is a sub judice matter in between, which we put up at least a kind of partial delay on the information software .

Is that something which is decided or still sub judice ?

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P.S. Reddy: It's been closed. The court has disposed of the applications, whatever the application that was filed. So , the order is already in the public website rather, the public domain.

And we can share also being a public order.

Aman: So, there is nothing more on that front at least to our knowledge that has needs to be done. And that was a Chennai high court, right?

P.S. Reddy: That's right.

Aman: Got it. Now that it's all behind us, how do you think about new products on the new platform? Do you guys, have you got any permissions to start? A, what were we all waiting for? Because you had told at least the entire investor community in the previous call that, you know, we want to launch certain products only on the new software. So, which all were pending? And have you started getting some of them online? If you could talk through, you know, some of your efforts on that front, it will be very helpful ?

P.S. Reddy: Sure. One is this steel rebar contract. Permission is already in place, but due to this delay in the CDP, the regulator has instructed us that you wait for, until we say go ahead. Now that we have written to them, now that we have gone ahead with the CDP and one cycle of what the option expiries, future expiries and deliveries all have happened in the month of October. Now the second one is all started. And options crude has expired . I think today is the expiry -- and option has expired, Futures will expire today. Crude, 20th, you know, crude futures. And in the next 10 days again, all the contracts will expire. And monthly contracts, of course.

So, it is the second month running. So , we have already requested them, SEBI to permit us to go ahead and launch all the contracts. I think we will soon expect a response from the regulator to release consent from them then we will do that.

Aman: Got it. So that's the steel rebar contract ?

P.S. Reddy: Yes, steel rebar contract. The other one is the monthly options on bimonthly, you know, gold. So that we will, again, they are all a part of that particular process. And we have applied for some more contracts also. And I think we will start doing it one by one.

Like, for example, DMA facilities, FI Is, FPIs, were asking. That is something which we don't need to go to regulator. We already have it in the platform. We have not

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released it. We will be releasing it, you know, maybe in a week or so. Similarly, Category 2, FPIs, is also available within the existing system. And again, that also we will be releasing it. So , these are all, yes.

And for a new product launch, of course, it takes time in the sense of a launch. Before we launch, we need to bring the stakeholders, appraise them of the contract specifications, etcetera, etcetera. So that work is already started. And we have already

tied up, so what you call warehouses and other things for the steel rebar.

Aman: Got it. Got it. Okay. When you look at, Mr. Reddy, on the options side, how do we expand the options pool now, given that we have, a bit more of a way to look at new products, because the CDP is launched? Option basket is a lot more of an ene

rgy basket

right now. Is this, in your view, can be changed over time if people accept certain kind of products? Or is it options inherently lend themselves much better to energy? And that's the reason why we have a lot more energy contracts on the options side ?

P.S. Reddy: I don't say that it is primarily the -- you know, energy only should lead it. I think Gold Mini is one which we are looking at it where it's a monthly contract , as well as the -- because the underlying is a monthly. At the same time, tenure is also monthly, because the premium is dependent on the underlying one, underlying asset value as well as tenure . And the other main Gold one is a bimonthly contract, and it's one kilo, whereas Gold Mini is 100 gra ms, so one -tenth of that value, t hat's tenure is of one month. So, coupled together, we'll give a boost to it. And I think in the month of October, we had almost all INR800 crores ADT in Gold Mini. So that is, you know, which we are looking at. And let's see. And even in other contracts also, Gold -- other contracts also, we have seen some amount of -- what to call, liquidity. And Silver is another one which is again picking up. Silver is doing also well. These are all the products which we are looking at activating them.

But one thing which made both NG and Crude options darling of the market is because the underlying has got a high, what to call, margins. And now Crude has got 30% and NG has got 30%, as against, you know, the Gold and Silver. So that could be one reason why they are still holding onto it. But that doesn't mean that we should increase the margins in Gold and Silver , that's not our intent anyway.

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Aman: No, of course. And when you look at the NG and Crude volumes, they have been holding up very well on the option side. Is there any kind of event or potential risk that you see on those volumes? Like the option volumes on energy basket, from an underlying driver perspecti ve, you know, is it being driven by volatility or is there anything more that we should learn about as we, in our own estimates, try to forecast the future volumes?

P.S. Reddy: Yes, definitely volatility you should pick up as one of the dominant factors when you are projecting it. No doubt about it. And the cash settle nature of the contract is also equally important.

Aman: Sorry, what nature , Mr. Reddy ?

P.S. Reddy: Cash. Cash settle d. Okay. So that is another thing that drives them. Maybe the third element could be that they are internationally referenced. Okay , because they are linked to CME prices. So, there could be some arbitrage opportunities maybe there that is another thing which drives.

Aman: Got it. So , there is no risk that you guys foresee on these volumes that we have an option, at least to the extent that we can predict and forecast. In your view, the numbers that we have been doing are very good. There is no risk that you guys foresee; I would assume?

P.S. Reddy: No, I am not foreseeing any risk. And now that competition is also open now and identical product, identical expiry date, etc etera , etcetera, b ut still there is no risk. We have not seen any traction. But then we should not be too cool about it. I think we should be on guard , which we are doing ...

And thankfully our technology platform probably, maybe competition is expecting our technology platform to create some kind of disturbance in the trading. But by the grace of God, that didn't happen. So , we are very stable at this point. If you see the volumes in the past two months, they are all in the same range. So , we have not lost any volume.

Aman: Okay, very good. And is the pricing very different, Mr. Reddy, in terms of what you charge for the same, let's say, crude or natural gas options, same expiry versus what, Multi Commodity Exchange of India

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let's say, some of the competitors charge? Like the people who launched it recently, the options contracts?

P.S. Reddy: See, probably it didn't make any difference, even if it was different. But I have not seen that. I mean, I have not examined that part of it. I'm not too sure what are the charges.

Aman: Now, Mr. Reddy, you can confirm to him if you are sure about it.

Praveen DG: See, they are not leaving, as of now, they are not leaving any charges. NSE in case of NSE? Yes. See, there are some symbolic charges are charged.

Aman: Got it. And still there are no volumes that are moving towards that side because there is probably no liquidity.

Praveen DG: That's right.

Aman: Got it. Got it. Very helpful .

P.S. Reddy: Do you have those statistics also? If you have it, you can speak of what are the ones which you are monitoring?

Praveen DG: So, currently, just hold on -- so, NSE at NSE, I think on 17th November, if it is, turnover is about INR33 crores in crude oil options and natural gas ... no volumes were there .

P.S. Reddy: And what is the premium, INR1 crore?

Praveen DG: Not even INR1 crore less than INR1 crore.

Aman: Okay. Very good. Any other category, Mr. Praveen, where you think we, you know, NSE, if given a permission, could launch option contract that we are currently, we have, because we have the turnover on future side to launch those option contracts , NSE may not. But do you think if they could get exception, are there other categories they could launch, which are still missing in their basket?

Praveen DG: Currently, despite, like, if you go by strictly by that regulation, it is like there is a threshold which is being stipulated, that is INR1,000 crores for the case of future s. But NSE could be able to launch it. They got the approval, and they went ahead. So that way, whatever contracts are there on MCX currently, it is there also got listed on NSE.

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Aman: Only for crude and natural gas, right? Or is it something else also?

P.S. Reddy: All metals.

Aman: I thought it is only for the energy basket. For it, okay. That is very good validation that, you know, none of the commodity's options, even despite big noise, we have lost in the volume. So that is very good.

Next part on the option side, options -- the premium to turnover ratio, you know, I think that kind of keeps moving around. Is it because of near to expiry options and how should we think about as we become larger and larger today versus one, two, three years out, is it certain direction that th is number moves? Or is it very much driven by that day and that month's volatility metrics and so on? So, are you seeing a pattern this now, Mr. Reddy?

P.S. Reddy: See, as far as the tariff is concerned, INR40 is minimum you get it. INR40 rupees per 1 lakh of premium , so that we are not going to revise it. Of course, there was some call that, why don't you revise the options charges also? But maybe it is for me to look at that. Let us settle down with whatever the problems that we have.

Having said that, the volumes, I think, the ratio will not fall below the -- how much it is? Yes, it is 1.84 okay, and premium on options. And maybe June quarter 1.97, because it is like an income tax slab, as I told you. It is up to INR5 crores. So , if more and more people are falling in the second quarter, then the INR50 impact will be, will become more trivial in that sense, and it is really small. So INR40 remains, and at INR40, if you calculate all the premium, then whatever is the percentage, it will remain like that. That is the way it is.

Aman: So, it will, that is the, and that number will not be very different than, I would assume, 1.84% that we have ?

P.S. Reddy: If you take 1.8, that is the way it can happen. All right.

Aman: All right. Very helpful. I think, Nicholas,

anything on the options that you want to check ...?

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Nicholas: Yes, maybe just on that point, as we see the introduction of new commodity types or contracts or options, in your -- I guess in your view or in your experience, do you see certain commodities and certain, depending on their nature of the contracts or like the speculators behind it, do they have different options, premiums, or, as well as open interest? Is there any difference between the commodities?

P.S. Reddy: Yes, I think even in the case of -- even in the case of -- rather options together account for about INR21,000 crores of open interest, on an average, generally speaking. And then futures accounts for another INR20,000, INR22,000, INR23,000 crores of open interest. So together we have on the exchange an open interest of INR40,000 to INR45,000 crores. It keeps varying it. And maybe a year ago, it was only INR30,000 crores -- INR29,000, INR30,000 crores. So one is that, that interest in options has added more and more, you know, open interest.

Then within that, the gold adds maximum open interest as against the crude. Maybe the, again, these open interest figures are already there on the website. It's in the public domain anyway. So, as it varies, I think, in terms of volatility, it brings more, more ADT to crude and NG, because, again, because of the cash settlement of the contract. But when it comes to the gold, it adds more of, what you call, open interest. It also depends on the number of hedgers who are participating in these commodities. So, if the more number of hedgers are participating in the underlying commodity, probably the, with volatility, they will add more open interest.

Praveen DG: Even if you look at international exchanges, the trend is different for different commodities, because various factors will influence that ratio, so gold -- like again, it is like gold is also a bimonthly contract. That is another part that you have to look at. So, like volatility, then the duration, then the strike intervals. So, several factors, it is like a permutation combination of multiple factors that will lead to that ratio that will determine the ratios.

Aman: You know, on futures side, Mr. Reddy, I thought I would check two parts. I think bullion seems to be something that -- sorry, I think my understanding is bullion is not very high. Sorry, bullion is high as a portion of futures, and it has become even higher in first half of this year. Is that again because of any specific directional reason or is it because of the delivery requirements that come in base metals? That is first question.

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And I think, again, futures side you know, on the mini contracts, on nickel, etc etc, is that something that you think will happen on the base metal or nickel contracts because that is something that doesn't seem to have changed a lot of future ATOs. Just what have been your observations on that front, on the futures side?

P.S. Reddy: I will take the second question first, of course. The open interest in these -- what we call the metal contracts, it is reasonably good, in fact, it's been increasing. Maybe barring one or two commodities, it has been increasing. And so that shows that more and more -- and we have seen correspondingly, the hedger participation is also increasing. Maybe little less, but still the participation is increasing. That's one important observation.

Second, the mini contracts we have introduced for wherever the delivery and trading unit can be the same. So, we have introduced for aluminium and lead and zinc. We have made an application to the regulator for copper, as well as and we are awaiting their approvals. So, if we get those approvals, probably we will be able to launch that. An

d coming to the first question, in the case of bullion, whether the first half is high and whether the second half could be low? I think my view is, it's not with reference to any first half or second half kind of thing. The way that is working is that one is the volatility, which is contributing it, especially the silver has been having a high volatility for which reason the turnovers are also very high in silver. You must have seen that, for INR 8000 -- INR7000 crores, INR8000 crores as against gold which is INR3000 crores to INR5000 crores in the last 3 to 4 months.

And so, we are also applying to SEBI or rather we are also seeking approval for some of these minis in the case of options on some of these mini contracts also. So, we will seek once the necessary approvals are obtained from the regulators. So, minis are really going to add, but we have not got that the fission out of these mini contracts as yet. In fact, when we had lost them in 2019, almost 35% of the turnover was coming from the minis, that's still not we have not reached as yet stage. So, I think there's still a lot of room for us to get there ...

Aman: Nicholas, anything on the future side that you want to check ...?

Nicholas: Nothing on the future side specifically.

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Aman: Mr. Reddy, when you look at the, you talked about the FII's, the rest of the call, both in the context of FII's as well as generally other participants, how are you seeing the participation given this transition is done? I'm talking more from the players who contribute volume, which is, I don't think retail is that bigger segment for us, both in terms of options. So, people who contribute volumes, A, are you seeing them increase participation over time?

Institutions, arbitrage players, mutual funds, how is the interest of FII's now given this transition is done and what is this, you know, the thing you talked about in the call as well, the DMA facility, what does it mean? Does it mean some incremental effort from their side or is it something that you guys have to create from your side?

P.S. Reddy: Direct Market Access is something which they have a trading terminal with themselves if they want to trade. That's the way it is. And I think while it goes through the system seamlessly, without much of interaction with the member broker is what the DMA facility is all about. But there are certain checks and balances as a mandate by SEBI. So that is one thing that they are asking. And that facility is what they are looking out for.

And in terms of FPI ADT, it is increasing day by day and we have about registrations, almost all about 30 plus registrations have come so far in the FPI. So, I think we will that we are expecting it to grow and as we go along. Almost for about INR500 crores ADT they are contributing at this point in time. But that is too leaky. But that is one part of it.

But then there is also a lot of algo players, international algo players are taking our membership. Some of them have taken also, they have not started because they are waiting for our new platform to be ready and once the platform is there then they thought of playing. I think now that is behind us. And they will also join in terms of algos. Currently algos are contributing almost 45%, 50% of the turnover. 50-0. Yes, that's right. It's almost all there.

Aman: It's mostly domestic algos, right, the 50%.

P.S. Reddy: Domestic as well as the -- well, you call it domestic, but they are also international players who happen to be registered.

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Aman: And Mr. Reddy, an international player uses MCX, is it primarily for -- these guys are all financial arbitrage players, they are not trying to hedge any commodities risk. They are simply doing this to make returns. So why

are they generally choosing MCX especially for an FPI where they could choose an LME or CME for doing a similar kind of trading? What kind of is an advantage for a sophisticated player to use an MCX as a platform?

P.S. Reddy: One important reason is that they are only allowed in cash settled contracts, not in the delivery-based contracts. So, the second part of it is that the arbitrage opportunities here may be different in the international market or there could be between the two markets also, wherever they are playing it.

And with this permission of FPI participating across markets, they are able to adjust, you know, even if there is a loss in one book and there is a profit in another book, I think they are allowed to adjust now. Earlier it was not the case. They will be able to actively participate in that part of it. And again, calendar spread arbitrage opportunities may also be there, which may not be there everywhere, that's another reason why. And again, our contracts are what you call Rupee-denominated. Again, there could be another arbitrage opportunity.

Nicholas: Just quickly on the DMA facility. Do we have any basic questions? Do we get any additional income from that?

P.S. Reddy: No, no. It's not. It's just a facility. That's all. There is no income. At least it's not profiling to charge. I'm not too sure whether those are charging or not.

Aman: Mr. Reddy , you will launch this next week, right , within a week or 10 days for credit to FPIs, the DMA facility?

P.S. Reddy: We will announce.

Aman: Okay. I think I have nothing else on the revenue side. On index futures, I think we had this product. Is this something that we still think we can focus on or is that something you think is not getting that much traction, Mr. Reddy ?

P.S. Reddy: See, I think B ulldex is something which we are doing at this point in time about INR80 crores, INR 90 crores of ADT , but something which we have to ramp up. But more

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important is the Met Idex, which again was doing almost INR300 crores ADT , that's gone because of the nickel debacle. Now we have reconstructed the index, and we removed the nickel from that. And we are going to re-launch, and we will do that.

Aman: This is very helpful. I think just broadly on cost front, do you think in the coming -- I'm assuming that we have not talked about costs as yet, at least the new cost structure. Is this something that we should expect over the course of next one, two quarters to be discussed with us as an investor group, that what kind of incremental cost that we will incur as we maintain the contract beyond t he first year of maintenance free period?

And is there any kind of capex that we should be thinking about incurring on the basis as we have certain infrastructures and capexes we had done to buy beyond the software, the hardware, etcetera , so is there any color that you can provide right now? Or do you think you'll be able to provide that over the next couple of quarters' calls?

P.S. Reddy: I think maybe after the Q4 and then we should be able to help you out. And by that time many of the numbers will be there. And I think in this quarter he has already booked many of the CDP. Since CDP went live, he's moved from capital work in progress to 'put to use '. So, in this quarter you will find that impact. Maybe next quarter, again you will see some more items. And then I think by the end of the Q4 you will see the end.

Aman: Nicholas, a nything on the cost that you want to check. Other cost items beyond this software cost?

Nicholas: Yes, I guess just generally now that the transition is over with the tech, are we looking at any other areas to -- I guess , become more efficient in terms of costs going forward?

Satyajeet Bolar: I think in the first year we would be , generally we would pay around INR50 crores to

INR60 crores to 63 Moons. I think our IT expense would be in that range. But we'll have a larger bump -up in the amortization cost. Then there will be some operating and application licenses that will be, you know, will have to come under the opex cost going forward.

Aman: And on people cost, Mr. Bolar , do you think people cost that we have right now, is it fairly sufficient in quarter 2 number? Do you think it could increase given, you know,

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the scope has increased for us as a team in terms of maintenance of this software, part internally, part externally?

P.S. Reddy : I don't think it will increase. This, you know, maybe 5% more or less kind of thing. It will not increase. That's it.

Aman: Great. I think one last thing from our side is you know, when you look at regulation, any kind of risk or upsides that you're, you know, either worried about, if it is a risk or if it is an upside, you're excited for, that you think, people don't discuss t hat much with you. But that is one thing that you guys are really, either ways, kind of watching for, positively or negatively, that you can talk about, if that is something that can be discussed, you know, with investors.

P.S. Reddy: Sorry, I didn't get you fully.

Aman: Yes, I'll rephrase it. On regulation front, do you think there's any upside that is not currently, you know, meaningful upside that you think can change the way the volumes are currently, either an option or future s side, even that you think, ...the works, can be discussed with people like us, as investors, may take some time to determine the exact form or shape, but should be a meaningful addition to the volume numbers.

And on the same side, do you see any similar risks that something may change on this

specific regulation that could be a meaningful risk? Anything that you guys are aware of and can talk about?

P.S. Reddy: I think, maybe in all calls, I have been saying that with regard to contribution to SGF, we have been we have been requesting SEBI to consider how do we calculate the stress test losses. Now, almost all about 190 plus scenarios were considered before we arrived at the stress test losses. And various other parameters are also there. So, we have been testing them and, I mean, it's like a, we can't say that we will consider positively or negatively or anything of that kind, or any decision will come. But that's our ask, that's the way it is.

And similarly, the mini contracts in copper and nickel, where we wanted exemption from being delivery unit and trading unit being identical. So, again, if they permit us, then that's good. If they don't permit us, because that's a regulatory dispensation.

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Whether they permit or not, I do not know. But that's, these are all asks that are on table.

Aman: This is super helpful. Nicholas, anything else that you have ...? Nicholas?

Nicholas: Maybe the opposite of that, anything you're excited for in the next few years, in terms of the exchange?

P.S. Reddy: Thank you.

Call: Nov 2023

MULTI COMMODITY EXCHANGE OF INDIA LTD.

EXCHANGE SQUARE, SUREN ROAD, ANDHERI (EAST), MUMBAI 400 093, INDIA. TEL: +91-22-6731 8888, FAX: +91-22-66494151, www.mcxindia.com

CIN: L51909MH2002PLC135594, info@mcxindia.com MCX/SEC/2316 November 24, 2023

The Dy. General Manager

Corporate Relations & Service Dept.

BSE Limited,

P.J. Towers, Dalal Street,

Mumbai - 400001

Scrip code: 534091, Scrip ID: MCX

Subject: Transcript of calls with Investor/Analysts

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 read with the SEBI (Listing Obligations and Disclosure Requirements) (Second Amendment) Regulations, 2021, please find enclosed herewith the following transcript of the call with investor/analysts:

Sr.

No Investor/Analysts Date Time Annexure

1. Group investor call hosted by

Kotak Securities with the

participants including Sundaram

MF, Invesco MF, Motilal Oswal

AMC, 360 One (IIFL AMC) August 17, 2023 12:00 PM Annexure - A

The said transcript is also uploaded on the website of the Company at

<https://www.mcxindia.com/investor-relations/ir-meetings>

Further, we hereby confirm that no unpublished price sensitive information was shared/discussed during the said meeting.

Kindly take the same on record and acknowledge receipt.

Thanking you,

Yours faithfully,

For Multi Commodity Exchange of India Limited

Manisha Thakur

Company Secretary

Encl: As above

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Investor Group meeting facilitated by Kotak Securities

November 17, 2023

Disclaimer: This transcript is provided without express or implied warranties of any kind and should be read in conjunction with the accompanying materials published by the company. The information contained in the transcript is a textual representation of the company's event and while efforts are made to provide an accurate transcription, there may be material errors, omissions, or inaccuracies in the reporting of the substance of the event. The transcript has been edited wherever required for clarity, correctness of data or transcription error. This document may contain "forward-looking statements" – that is, statements related to future, not past, events. In this context, forward looking statements often address our expected future business and financial performance, often contain words such as "expects", "anticipates", "intends", "plans", "believes", "seeks", "should" or "will". Forward-looking statements by their nature address matters that are, to different degrees, uncertain. These uncertainties may cause our actual results to be materially different than those expressed in our forward-looking statements. We do not undertake to update our forward-looking statements.

Annexure A

Multi Commodity Exchange of India Limited

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P.S. REDDY: M R. P.S. REDDY – MANAGING DIRECTOR AND CHIEF
EXECUTIVE OFFICER – MULTI COMMODITY EXCHANGE OF
INDIA LIMITED
M R. SATYAJEET BOLAR – CHIEF FINANCIAL OFFICER –
MULTI COMMODITY EXCHANGE OF INDIA LIMITED

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Moderator: Okay. Let me welcome you all from Sundaram Mutual Fund, Invesco Mutual Fund, Motilal Oswal Asset Management and 360 ONE Asset and Max Life Insurance. Anybody else? Yes, that's done. Kotak Equities, of course, who has organized this meeting. Thank you. Thanks to all of you for reposing faith in the company. I think now it's behind us. We need to focus more on the growth of the company and its new products, new set of investors or, I mean, new types of contracts, okay, is something that we are looking at.

I'll open the discussion, I mean you can raise any question, that I will answer, please go ahead. Anyone of you, start from there.

Participant: So on the new products, like you said, if you can give some layerings where we are in each products. How long will it take for us to launch the product? What is the market size of [inaudible 0:01:36]?

P.S. Reddy: Okay. See -- one is that there's a new set of products, the products which are existing and then deepening those products. These are two types we are looking at it. The new set of products, yes, steel re-bars, we already got an approval and because of this transition, we kept it on hold.

So probably the permission may be about to expire or whatever it is, but it gets renewed. That is only a matter of time. And so, we have also written to the regulators, expressing them that we will now go ahead and launch it. This steel re-bars is why we have chosen. There is a steel ingots also earlier you had, maybe it is in the other exchanges. And there are -- if you look at the steel industry, there are so many value chain products, okay? But we have chosen only steel re-bars because there is a wider participation. The more you go up the value chain there may be very few and few participants, maybe liquidity is difficult to build that kind of products. And as you go downstream, probably more and more participants will be there. That's one approach that we have had for this. So, keeping that in view, the steel re-bars is what we've chosen. And again, steel re-bars what is that we are choosing is the one, which is being used for the construction industry, be that infrastructure or other buildings, a big builder, they will choose it. This

is one part of it.

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Second, there are also many small- and medium-scale industries are there. So, from the supply side also, there will be a good number of players just not SAIL or maybe the SAIL Group of Companies or some Jindal Steel, not only those companies, there are many other medium and small-scale industries who produce this, subject to the compliance with the ISO standard. The re-bar is supposed to be compliant with the ISO standard, which is -- I mean, I don't exactly know the number, but then ISO standard. Why we chose this, because when we want to admit them, we should be sure of the quality that they are manufacturing and the kind of material, because we are giving a platform, we are assuring the buyer that this is the quality it gets generated. So, we propose to go with what you call the military engineering or railways. They have an empaneled list of producers from whom they buy it.

So to that extent, our credibility of the platform will increase. Gradually, we will start the empanelment process as we did in the case of lead, okay. So, we want to support these small-scale industries as small and medium, but at the same time, we need to have a phased approach. That is the reason why we have chosen this, and this is how we will be penetrating into the market.

Second most important or rather third most important, the spot markets are very -- I mean, I would say opaque, and they are not organized. Maybe I would say they are organizing a different sense of the term that they don't permit any new entrants to

come

in and maybe break that monopoly or lobbying that is happening, etcetera, etcetera. I remember when some other exchange launched this steel re-bar, not re-bar -- the steel, what you call -- yes, I'm sorry, ingots contract, okay? And there is a resistance and some of these local associations written to the regulator and the other thing complaining that there's no price discovery, whatnot, all kinds of allegations.

For me, as an exchange, probably we may be playing a spoilsport, where we are destroying monopolies or we are restabilizing, what we call, people who control the prices. Why I'm saying this is it happened in other metals where people want to charge brand premium, because they are so and so. Why brand premium has become important, because everybody don't trust whoever is manufacturing.

Because of this brand, because of that name, reputation, they're buying. By doing it on the empanelment on the exchange platform, if -- even if he is a small vendor, if he is able to deliver the quality of the product that we are guaranteeing it, then he should

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command the same price as anybody bigger ones of commanding it, okay? That is the purpose with which this entire exercise we are doing it.

So, my personal view is it's a great growth potential for the steel rebar contract. In addition to that, we're looking at again elective future contract, although it is tantalizing in the sense we get every day, okay, we should get this quarter, we should get this in this year, but it's not happening. And hopefully, this time we expect it to happen. Let us see, because as the climate -- I mean, climate change is very uncertain, and it's happening rapidly. I'm sure demand for more and more electricity will come, okay.

Participant: But we already have an IEX...

P.S. Reddy: IEX is for a spot, not for futures, okay. So, you can't lock your price on IEX. And that is day ahead market mostly. month ahead, 15 days or something, nothing more.

Participant: So, you will be doing 1 month, 2 months, 3 contract?

P.S. Reddy: That's right. That's right.

Participant: Why was it getting delayed because of your tech transition or something else?

P.S. Reddy: No. There are other exchanges also may have applied it, but as such decision has to be taken jointly by SEBI and CERC and that has not come as yet and nothing else. So, this is another area of new products that we are looking at it.

Participant: Sorry to interrupt, but on the steel bar side, can we be as large as copper or...

P.S. Reddy: See, I can't give any numbers and other things. But the point is we are making an effort. Our intention, our effort will be to sensitize the ecosystem, build the ecosystem so that

they will take an opportunity to trade on the exchange platform. Volatility has to come in the prices, then only the things will start moving -- picking up, okay? And even if I keep everything ready, but if there is no volatility or if there are some, what you call, long-term contracts kind of things, so things may not go, okay? Like in electricity, some of them are PPE. Purchase agreement, long term agreements, sir. But how much is the long-term agreement? Can they also notwithstanding the long-term agreement still they can hedge their costs, because that long-term agreements are also pegged to some pricing, okay? So that is not hedged, that pricing. They can still hedge on the exchange platform and then secure -- their -- this one, interest. So this is...

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Participant: But on electricity, typically, if you see a 3 month, 6 months that market is bilateral for you, if you see today. We have PTC India, who have a lot of those bilateral contracts for the DISCOM. And essentially, the demand is very short-term oriented. And your vagaries of the climate also make the ma

rket short-term, which is why IEX is very, very active in today, tomorrow, and 11-day contracts.

Are you -- so the visibility on how much business that you can get in 1 month, 2 month, 3 months is something it is very uncertain there. So, while you may launch the contract, but I'm not sure how much business momentum we will be able to get over there. That practically difficulties of operating as a market simple...

P.S. Reddy: We are not -- it's not going to be a delivery-based contract. It's a cash-settled contract.

Now -- if you look at the -- how the prices have moved over the months, then somebody who has -- even if he -- they have a, what to call, an agreement with somebody, but that agreement is also linked to the spot prices or maybe 6 months spot prices or something of the kind.

And we have seen that some of them are linked with the coal prices. Some of them are linked with the, what you call, I'm not able to recall that term, okay.

Now what I want to tell you is there are many private parties, who want to sell their coal -- I mean, the power also on the exchange, okay? They are also not able to sell it. So, keeping these things in view, my personal view is it should work. It should work.

Participant: Sir, on your call you talked about the existing products which you have. There are issues in terms of margin being more than for the -- or you take offsetting contracts, then also the margin is full. When you have smaller basically duration contracts, which are not there.

You talked about in your call that we will talk about that also. You basically would try to talk with the regulator about that also in terms of after the transition. What is the status over therein, sir? Because that's -- suppose you take off-setting contract 80% margin is there.

So, is there a levy over there or something of that sort on the existing contracts, I'm talking about crude oil or gold or natural gas whatever?

P.S. Reddy: Okay. Currently, in crude oil, about 40-plus percentage is the margin. You have it on natural gas about 30% plus. Internationally, it's much less, okay, less than 10% or 10%

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or so. Now the problem is, if we reduce the margin, okay, to increase this one -- stress test results will show that minimum required capital, which is called SGF, goes up. So that deficit in that SGF has to be funded by me, CCL and MCX. Now that means we have to dip into our reserves and put that money.

Participant: I'm not talking about that actually. I'm talking about suppose...

P.S. Reddy: SOM, you are talking about. That is a Short Option...

Participant: I take two opposite side contracts on the same side -- then also the margin is full.

P.S. Reddy: So that is with regard to the SOM. That is in the options contract, it is happening. They are asking for that part of it. So we have already represented to SEBI. In equities, given, I think, 25% is the margin they charge whereas in the case of here, 75% is charged. That is the...

Participant: Here we are charging full, I suppose.

P.S. Reddy: 75% is what I understand, not full. How much? We want to bring it on par with the

equities. Appreciate one point. The approach that SEBI is taking here, you don't pick up on and choose what is less, what you call -- I mean, less premium in equities and then same you implement here. There is our margin. There is another measure, which is about six -- as against three here, okay.

What was that? The Z score or some other score, I don't exactly remember that. It is more there and less here. Then let us make that equal also. Then is that okay with you, then our people say, no, it's not. But we represented to them.

If you go by the risk that is brought by the members to the exchange, or the product is bringing it to the exchange. These -- you're talking about the SOM, but other than that, we have many other suggestions which you have g

iven.

For example, for calculating the stress test results, you take a 10-year window in equities, whereas in commodities, we take 15 years, okay? That means, I mean, the high and low prices are also impacting that. So that we wanted it to be less. And the other part of it is members don't contribute anything here.

The SEBI regulation says, you may collect 25% more also from members, who are bringing risk to the exchange. Currently, we are not doing it because SEBI said, you may. That means there will be a regulatory arbitrage, we take it and others don't take

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it, we will have a problem. If they make it mandatory, every member has to contribute, I know 25% of the SGF requirement. So whoever has got a higher open interest on the exchange, they will bring it more and they will take it back also when it is reduced. So that is not dispensation which we are asking, definitely not happening. So that is another one. So -- but this SOM alone is not the reason for doing it. My view is if you have a short tenure options contract, okay, or serial contract, then it will also address - I mean volume will...

Participant: Is that short option also is -- short tenure also is in regulatory purview, right?

P.S. Reddy: It is the regulators have to approve it. When I say weekly or fortnightly, it is not a contract itself is for a week. It will be for a month. It will be serial. That is 5th of the previous month to 5th of this month and 15th of previous month to -- like that. But if you have four contracts overlapping each other, then every contract will expire once in a week, then you will have a lot of sense.

Participant: It's basically more number of contracts actually that also is not approved, right?

P.S. Reddy: No, no. But now we have to -- now we will approve -- we'll approach them.

Participant: But this is slightly innovative, what you're trying to do, having more number of expiry days by not having weekly, but monthly.

P.S. Reddy: Serial contracts are there in other markets.

Participant: No, in India.

P.S. Reddy: In India, we don't have that. Yes.

Participant: So sir, have you consulted the regulator like -- and do you think it is possible.

P.S. Reddy: No, we have already discussed internally and with the product advisory companies also. This is something which they have been recommending, we must do this, I'm sure it will help us.

Participant: One of question was on this gold. So now crude, we have a playbook, where the options have done well and perhaps the reason has been that the margin went up in the future, which has been a placing in disguise. It help your options and options is where the large

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part of the liquidity is there. And the other advantage that you have is cash settle in crude.

When it comes to gold, do you think can you replicate this playbook there? Is there a possibility for you to increase margin in futures or it's a set rule an increased margin. So I'm just trying to understand the playbook is...

P.S. Reddy: You were saying to push the people to go to the options because it is more. I don't think it will happen that way. The play -- we can't play the same conversion ruling here. The reason being is the contract of gold, 1 kg contract is costing you about INR60 lakhs, okay? On INR60 lakhs, the bimonthly contract, the premium on options will be wide.

Participant: You also have mini or launching petals also...

P.S. Reddy: No. We have it. But then on that for us to launch the option contract, you need underlying futures turnover to be certain limit, I mean, certain level, then all you can launch options, okay? So we will be launching -- we will be applying for this. That's what I said, deepening in the existing product line also.

Participant: You don't have options on Gold Mini.

P.S. Reddy:

We don't have, no. We have options to...

Participant: Options on Gold Mini.

P.S. Reddy: Mini is 100 grams.

Participant: Yes. So there also -- and now we are launching petal also.

P.S. Reddy: No, no, that is 10 grams is what we propose. So that will be further lower. So the market size can be kind of reduced.

Participant: Option on Gold Mini, I'm not aware, is it there?

P.S. Reddy: I'm not sure what -- I have -- by the way, you can download our app is their MCX, a mobile app where you will get...

Participant: This is a Gold Mini product, sir.

P.S. Reddy: Futures is there, but he's is asking about options.

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Participant: Sir, what you are saying is that the Gold Mini futures volume is less, and that's why you're not...

P.S. Reddy: You need INR500 crores or INR1,000 crores, something of that kind in the rule, then you can introduce only this -- just recently, I mean, recently means last year. But not fully. Yes, it is increasing. Gold Mini, the turnover for -- in the month of options is INR800 crores. So INR400 crores is the -- INR4,000 crores is in the main one in October.

Participant: In October, what was the total volume in the Gold Mini, sir, options?

P.S. Reddy: INR808 crores, average.

Participant: Average INR800 crores?

P.S. Reddy: INR808 crores. Daily. ADT. This is ADT. So last month, it is INR412 crores, okay? And in fact, it is INR419 crores in August. September, it is INR412 crores, but October, it is doubled.

Participant: That is fine, the number it may be improving or whatever it exists. So the bigger point is that your ticket size gets...

P.S. Reddy: Ticket size as well as tenure.

Participant: So it's a bimonthly as of now.

P.S. Reddy: No, no. Mini is monthly. That's what.

Participant: So sir, then, can you have that playbook in terms of making futures less attractive, making options more attractive...

P.S. Reddy: No. Our turnover fee -- our -- I mean, margins cannot be -- it's for a product -- it's for the underlying product, not for contract-by-contract.

Participant: Underlying gold itself...

P.S. Reddy: Underlying is gold, but then in Gold Mini, you can't impose also. If you impose Gold Mini, just to have that kind of crude oil effect on this gold, but in Gold Mini will -- gold main contract will also die.

Participant: No, but that itself is not moving much. So for that -- crude impact is not doing well.

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P.S. Reddy: No, no, no, gold -- futures will die. We'll have a problem.

Participant: But even your crude futures is not doing great. It's only your crude options, which is the largest part of -- largest driver...

P.S. Reddy: What I'm saying, in gold main, you're saying futures is not doing or options are not doing. But I'm seeing futures is doing better. In fact, most of the OI comes from the gold and the internationally, I mean, our Indian domestic jewellers are not allowed to hedge in international market. As a result, the substantial part of our hedging is from the industry, okay, substantial, more than 75% or something like that. Now, to start increasing the margin, then complaints will go, because we're supposed to link it to

something.

Participant: So the point is that a set formula in...

P.S. Reddy: It's not a formula, but rational should be there.

Participant: Sir, so that's what -- so while it is doing whatever it is doing, but I'm sure the potential is very big. And while in world and India is different, here the options is the main driver. That is not the case. Even if you let go some of your futures. It can be technically a...

P.S. Reddy: It's like bird in hand is worth two in the bush. I will try that and then I lose here and then I lose there, then I will have a problem, because there is a competition also out waiting.

Participant: With this logic, you would

Id not have got crude options?

P.S. Reddy: No, crude options the way we -- because it's not the others were not there anyway when the crude options came in. Others were not there...

Participant: Different margin for options and the future, because suppose I'm selling an option contract.

P.S. Reddy: Option on futures is okay. But I'm saying Gold Mini will have a different price and Gold Main will have a different futures contract, because you cannot do that. That will not, because if going by the thought that is propagated, then Gold Main will have only 10%. Gold Mini can have a 20% margin so that the people will move, but that cannot.

Participant: Sir, hedgers are mostly in the futures market anyway?

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P.S. Reddy: Hedgers are mostly in futures. That's right.

Participant: So introducing an option, does that really cannibalize the hedgers? I mean that part of the industry.

P.S. Reddy: It will impact if I raise the margins in the futures.

Participant: So you're saying that demand will shift to options even from the hedgers?

P.S. Reddy: No, no. I don't think that -- I don't say that, but it's not correct. I don't think we have to balance everybody's interest. But to balance everybody's interest.

Participant: And the second thing, what the possibility of cash settlement contracts in gold?

P.S. Reddy: That may not come, that may not come. Wherever it is feasible, the regulator would like to have contracts in this what we call, delivery based.

Participant: What are you mean as per your own opinion, this means after this, you have said in the call that you're going to focus on business more from after this transition. So, whatever your existing contracts are, which is the product you are most bullish on, means most positive on that this will do well, you want to tinker most or want to introduce movements, which are the things on the existing ones. I'm not talking about the new ones because nobody...

P.S. Reddy: I know, see, copper, we have applied copper for Mini -- and that is something which we are looking at it, Copper Mini. And nickel also is completely died down. We were doing about INR4,000 crores ADT. And now we have asked them Nickel Mini, okay, almost INR40 lakhs is the contract size.

Participant: What is the current pool size of copper?

P.S. Reddy: 2.5 tons. One lot. That is the way it comes delivery. So it can't be lower than that.

Participant: That you're applying for Mini. Mini will be what size, sir?

P.S. Reddy: Mini will be earlier with 500 grams -- no, 500 kgs, 0.5 ton.

Participant: So that you are -- basically, you are saying that will do well?

P.S. Reddy: That is one and then nickel is another one. Nickel also smaller one, not -- we had every 250 kgs.

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Participant: And no amount of innovation in say, gold is possible apart from the serial contracts?

P.S. Reddy: We are also planning to introduce our -- I mean, we have applied also to 10 grams also. We have a Gold Guinea 8 grams. 10 grams...

Participant: Petal?

P.S. Reddy: Petal is 1 gram. Gold Guinea 8 grams.

Participant: Petal also you're launching, right?

P.S. Reddy: Petal is already there. Petal, we have...

Participant: But I think on the call you said Petal also. Some new launches ready to Petal...

P.S. Reddy: No, no. Petal is already there. 10 grams is what -- Gold 10 grams.

Participant: That you call Guinea.

P.S. Reddy: Gold Guinea is 8 grams.

Participant: 10 grams is Mini, that is also there.

P.S. Reddy: No, no. Mini is 100 grams. Gold Mini is 100 grams.

Participant: So there will be again suppose volumes take off in that 10-gram option, then there will be option contract on that also because you will require...

P.S. Reddy: If underlying futures increase, then we will launch. We'll launch our everywhere. Wherever there is

a feasibility, wherever we are meeting a regulatory compliance requirement, we will launch.

Participant: And sir, where are the journey of spot exchange and index products?

P.S. Reddy: Spot exchange for gold? You are talking about what for?

Participant: Yes. Gold.

P.S. Reddy: Gold spot exchange that is again stuck in the GST, okay, those issues until they are sorted out, it will not take up because the first guy who is depositing gold, he needs credit back. And he will not get it until -- once it is converted into EDR, and EDRs are

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not subject to GST. So nobody will pay. The last guy who is converting the EDR will only pay.

Participant: So 3% will become the cost for the person, first person?

P.S. Reddy: For the first person, but if it is paid back, then there is no problem.

Participant: It would never be paid back because...

P.S. Reddy: No, no. Only at the end, when it is taken out, it will be paid. But he cannot wait till then. It may take two years, one year, how will it be? So we have to address it.

Participant: Possibility of some relaxation there?

P.S. Reddy: Some discussions have taken place. Nothing happened. That's why both exchanges have launched the big brothers, but then nothing happened.

Participant: We have launched...

P.S. Reddy: Spot exchange.

Participant: Spot exchange is launched because GST is a problem.

P.S. Reddy: Because of GST is a problem, nothing happened.

Participant: But if all of them try to kind of lobby for this requirement should not be that MCX is...

P.S. Reddy: No, no. They are trying, but then we have tried for a different model also. We do have a problem. It's not just there. But we have a different problem, GST issues. So we have been approaching the government and requesting them to reconsider the way that it is charged. We are not asking for any concession, not even a single rupee concession. The way it is administered is important.

Participant: And sir, in terms of an index, any index that you're thinking of?

P.S. Reddy: Index products has become a big challenge for us. The reason is, again, the disruption has caused this nickel. Earlier, we were talking about INR300 crores ADT in the metal contracts almost all metal indices or METLDEX. And thanks to nickel, then everything went haywire, and we had to reconstitute the nickel index and -- no, metal index, METLDEX rather. And we removed the nickel from that and then only four metals are now there. And that is to be relaunched. So that is not done as yet. We will do that.

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And basically, in the unlike your equity markets, this index is just return index, because already price embedded in the -- this one when derivatives -- I mean, traded price is embedded, what you get is the return from near month to next month and third month, that is the only thing that is reflecting, okay?

Nothing else. So that is the challenge we are facing at this point in time. That is why index products is difficult to get them unless there is an arbitrage opportunity between the index and the underlying contracts.

Participant: We are also looking at having a DMA option, right? We are working on that, right?

P.S. Reddy: DMA, we should be able to do that. That is one thing we are planning to launch. And in fact, it is there in the existing system. We tested and everything is there in place, we will announce to the market.

Participant: But how does it help in deepening the market, because there are some FIIs who are looking at it?

P.S. Reddy: FIIs want to come through via DMA. So that is why we launch them, they will join.

Participant: But any idea how -- what would be the impact of DMA in terms of volume, etcetera? You would have done that study, right?

P.S. Reddy: No. You see DMA is one of the tools that are needed for them to

participate. So, we

have built it from day one, because they're in equity markets. Okay. So, we have not done any cost benefit analysis, what is that extra will cost me if I provide the service and then learning of it.

Participant: But FIIs got better commodity exchanges outside India. So, we should not expect much out of it, right?

P.S. Reddy: I don't see that view to be holding good all the time, okay? The reason being is that prices all the time need not move the way that internationally it is moving. There is always an arbitrage opportunity, so point number one, okay? Number two, that your prices are rupee-denominated whereas the international is dollar denominated.

Participant: It would be like dollar-denominated...

P.S. Reddy: No. But then those who are trading in India, they can take advantage of that, okay? Third, there is a calendar spread contracts -- there will be a calendar spread also.

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Although, I mean, some of the contracts may be listed in other markets, but the calendar spread may be different here. And they can take advantage of it.

Participant: So, sir, then why AIF CAT III funds that was also allowed a few years back, it did not take off? This all benefits even they would have got it, right? What do you think in your assessment, why that segment did not take off?

P.S. Reddy: No, you're absolutely right. We have been approaching them. There are so many limits on that, okay? Much like mutual fund. Now mutual funds cannot hold other than gold. Even gold also earlier, they had only 30 days, they can hold it, that will be relaxed to 180 days, if I am not mistaken. Now what about other metals, metals is 30 days, your contract itself will take more than 30 days for that metal to go out of your books.

And if somebody is holding a calendar spread contract, you will buy it this month, you will sell it only in the far month then he has to hold necessarily for two months, three months, four months whatever it is. So, will that work for them? So, the design of the regulation itself is prohibiting them to participate. That's true for the others also.

Participant: Sir, and just over the serial contract that you're talking about, what is the timeline that you're expecting that can go live?

P.S. Reddy: It will take time, okay? Because one is that, he has to first approve it, regulators have to approve it. And then thereafter, we will work on it. But we have to build that in the system also, we have to make some changes, okay? Actually, we will keep it ready in the next six months' time in the system.

Participant: Take at least one year till...

P.S. Reddy: We can predict, but then I don't want to...

Participant: You already had some kind of experience in the past?

P.S. Reddy: That is the reason.

Participant: Steel re-bar means what will be the -- there also will be some timeline?

P.S. Reddy: Steel re-bars, no. We -- see the day we get a permission, we will take about three months to actually activate that contract, because you need to tie up with the warehouses, you need to do -- make you more...

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Participant: There you will require certification also, that will be a footwork you'll be certifying the vendors, right?

P.S. Reddy: No, we will not be doing that. As I said, that's why those, who are empanelled by so and so will be first, they will be permitted. And thereafter, we will start this

empanelment process. To begin with, we'll go by that.

Participant: To begin with, which we will go with the approved vendors of railways and all...

P.S. Reddy: Our railways and MES, Military Engineering Service, and national building construction. They all have some panels.

Participant: Sir, in your assessment, what has led to this increase in crude options volume as your hindsight, what do you think has work

ed?

P.S. Reddy: See, what I'm thinking is, definitely, the margins in that underlying has pushed them to go for this, no doubt about it. The second important thing is that the volatility in the last -- this whatever, one year or two years, it's been higher than what it was in the past, okay? It was in the past. That is the reason why it is...

Participant: Even cash settlement helps?

P.S. Reddy: Of course, it does. For that matter, for any product, cash settlement is an incentive, no doubt about it. Look at this GST, whether I mean, you end up getting a registration means, then you may get delivery in Delhi, delivery in Kolkata, then you need to have registrations at all four places, why at all as a financial player, why at all, you would take all these registrations and then end up filing returns and all that, if you are not interested.

Participant: This rapid rise in these digital brokers, discount brokers that has also made the ecosystem favourable for you. Do you think, that is also helping?

P.S. Reddy: Well, it did help, no doubt about it. But the point is the number of active investors, who are participating not represented by the number that they upload on the exchange, okay?

So, when you register with the ABC member, he will say that is for equities, currency, commodity, whatnot, and you may be signing it like them.

And maybe our number may be 1.5 crores or something like that. But then the number is about 6.25 lakhs or something of the time, that is what it is. The number of unique investors, who are trading it. And Mini's will definitely help us more.

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Participant: Sorry, what Mini's are you talking about?

P.S. Reddy: Mini contracts will help to bring in more and more investors.

Participant: They're already there?

P.S. Reddy: Only in some, not...

Participant: I thought gold is biggest?

P.S. Reddy: Metals also, we are looking at...

Participant: Historically, the potential that gold has like no other metal can match.

P.S. Reddy: But that is -- I know that. But corresponding with this. I know, that's what it is.

Participant: So, the point is that historically, the potential that gold has, what we saw in '12, '13, no other metal can match with that kind of potential. So, the point is that if gold has not moving up meaningfully, then we expect other metals to contribute, wouldn't that be a little far-fetched?

P.S. Reddy: In fact, I mean, gold for retail participation is fine. But basic distinction that we have to make equity versus this market, this is a hedging, this is primarily for hedging that is for investment, okay? There are so many investors and why are not here. I will have no answer because it's not for us to define or convert this market into a smaller place, and that's smaller lots and then say that everybody should come and trade. No, that's not at all in the interest.

But in the case of metals and other things, I'm looking forward to have more and more SMEs to play a greater role in this. That is what our focus is going to be. If you see in metals, our open interest has increased. I don't know whether you noticed it or not.

Open interest is very critical for other players to provide liquidity, okay?

We have been engaging with some of the organizations, which are working with SMEs, so that they need a structure where they can participate without fully knowing the nuances of the hedging. Many may not be knowing it. During the COVID period, many units have been shut down only because of the price for it, okay? That's what the interactions with other industry associations and other things because of this.

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So, we are also trying to figure out how do we help them to come through some kind of a structure, which will help them to hedge simultaneously, they in turn hedge on the exchange platform on their behalf and not to worry about on a daily margin and all that kind of things.

And when we interacted with one big hedger, in fact they said, I'm not interested in a daily basis, take payout, pay-in deal. I will give you INR100 crores, INR50 crores, whatever it is bank guarantee, the broker manage all my issues, but then that doesn't work here.

So there is a representation also we have made to the government I mean SEBI on this point of view where the investors will be able to big players will be able to give a kind of a margin in the form of bank guarantee and other thing. And then they should be able to not to worry about on a day-to-day basis, payment of what you call M2M and etcetera. Maybe broker can arrange with the help of some financier or with the bank where that bridge loan or whatever you call it. They will give it and then accommodate them.

Participant: Sir, internally have you done any classification between what percentage are hedgers, speculators or corporates retail any internet?

P.S. Reddy: If it is not in the public domain, I will not be but then we have already done it. We know that. But it varies from product to product. Varies from product-to-product. How many? But this is in the public domain only.

Participant: Yes.

P.S. Reddy: This is different. This is on the website we have to displaying it how many hedgers are participating whether we supposed to be displaying that. But only that information we have it. But then percentage wise we are not bifurcating.

Participant: Sir, what is the single profitability assuming that the margins if you can....

P.S. Reddy: See currently brokers have to physically take out that margin from that exchange and then deposit here. Then only we will give a credit. But there is a, what you call a discussion where the members association, brokers association is asking that they should be able to without be shifting physically the margin from whichever action that it is deposited. If the other exchange requirements are met they should be able to trade on the MCX also or any other exchange for them or vice versa. If the other exchange

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confirms yes, I am blocking so much money for this exchange and then they can trade on the other exchange and confirmation.

Participant: How practical is that?

P.S. Reddy: It is practical. But it has to be implemented because after 3:30 (pm) equity markets are closed, and brokers would like to use that surplus that they have in the other exchange.

And I think that is something, that idea should work.

Participant: Is regulator receptive about that? Because we are talking about that for a long-time, isn't it?

P.S. Reddy: Industry association is taking up actively with that. It should work.

Participant: Have they been receptive, the regulators?

P.S. Reddy: Of course, they are. They are looking at pros and cons of it. Yes....

Participant: Sir, just continuing on that you mentioned about that INR500 to INR1000 crore kind of a number, when the turnover reaches where you can -- you typically regulators. So, how does that work if you can just elaborate?

P.S. Reddy: Come again.

Participant: When the futures turnover crosses a particular monthly threshold of INR500, INR1000 crore in terms of liquid volumes, right. That's when you launch options, right. So, just wanted to understand that?

P.S. Reddy: INR1000 crores is the requirement for non-agri commodities and add needed the average daily turnover over a year has to be INR1000 crores. It's not a particular day, okay. For agri commodities it is INR100 crores. INR200 agri commodities.

Participant: Okay. Sir, second like you know continuing the question on that crude oil options -- the rise in crude oil options. So, if you are coinciding with a lot of algo trading happening and like bulk participation comes from there. How sustainable do you think

this would be in your opinion?

P.S. Reddy: It is sustainable but some more players are waiting to join because they didn't join

because our technology platform is in transition. Some of the big players have taken membership. Okay. And they are trading through some member or something like that.

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And then full-fledged they have not started. They will be starting. It is... interest is growing, not decreasing.

Participant: Ultimately it depends on the volatility, right? I mean volatility...

P.S. Reddy: Of course. That is true for Sensex or Nifty and everything.

Participant: But there is a volatility history in Sensex and Nifty for a long time. When crude it started like two, three years back this kind of volatility. This kind of volatility was not there in crude. So, means ultimately it depends on that?

P.S. Reddy: That's why I said that I acknowledge that volatility is important.

Participant: Just on the cost side that you are cutting down. So, what can be this... you said we'll going to our earlier operating cost?

P.S. Reddy: See there is no link. It is not linked to the turnover.

Participant: Right.

P.S. Reddy: So, as far as the technology cost are concerned that's what the point we have made. And because of this depreciation and other, okay, there will be for the next two, three years, three, four years it will be of the existing order. That's what we've mentioned also. Thereafter it should taper off.

Participant: For the sales, 63 Moons you'll be paying till this quarter right sir?

P.S. Reddy: Come again?

Participant: For 63 Moons you'll be paying till this quarter, right? That is the contractual, right.

P.S. Reddy: Yes.

Participant: March quarter is the first quarter when you will be, on the financially you will be on the new software right?

Satyajeet Bolar: Yes. This quarter also partially, there will be some charge in this quarter because we have gone live from 16th... So, there is some opex should come.

Participant: Opex or means depreciation charges?

Satyajeet Bolar: Opex plus depreciation charges.

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Participant: You have actually, in this quarter also, for that one-line-item computer or something there you have taken some expense right.

P.S. Reddy: That is about the laptops and other things.

Participant: Yes.

P.S. Reddy: That is the one time. Anything INR1 lakh and below we write it off the same quarter.

Satyajeet Bolar: Onetime.

Participant: That is the onetime thing, right?

Satyajeet Bolar: For onetime.

Participant: So, in a steady state basis whatever number you have capitalized for the TCS software. So, depreciation on that will be the expense item from FY'25 onwards?

Satyajeet Bolar: From this quarter onwards.

Participant: From this quarter itself, right? because you have now...?

Satyajeet Bolar: Gone live from 16th....

Participant: Okay. So, that will – so in this quarter you will have the depreciation amount on that plus whatever you are going to pay for 63 Moons, both these things will be there?

Satyajeet Bolar: Plus, the operating expenses for the new collection.

Participant: For the new collection? So, in a steady...

Satyajeet Bolar: Next year, October '24 then the AMC to TCS and... one year warranty.

Participant: We are just -- I am just trying to understand in the steady state FY'25 what are the expense items which will be there for the new software. One is depreciation other is the opex for that software, right? In the middle of the year.

Satyajeet Bolar: From October 24...

P.S. Reddy: Second Half.

Satyajeet Bolar: The AMC.

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Participant: So, the AMC.... AMC there will be three-line items for the software right which will be -- which will be the cost for MCX. Wh

at is the -- what will be the largest cost option
-- cost portion means the opex or the depreciation?

Satyajeet Bolar: Depreciation

Participant: Pardon me.

Satyajeet Bolar: Depreciation will be the largest.

Participant: Depreciation will be the largest. Okay.

P.S. Reddy: Anything else?

Participant: I have one.

P.S. Reddy: Yes.

Participant: What are the operational challenges with like the gold hedging being maximized because I understand it is supposed to happen, but the numbers do not reflect that the hedging is at I mean there is too many entities for that number to not be a higher number. So, what are those hiding, I mean, gold hedging has to be on our exchanges right. So, that number does not reflect the gold tonnage in India. So, like why is that open interest so low for gold?

P.S. Reddy: Okay. Look in a year if you consume 800 metric tons of gold, 800 metric tons will not be reflected. What is in trade is what I mean if it is consumer then it moves out of their books.

Participant: But do you think the number is like genuinely...

P.S. Reddy: So, about 15 metric tons is there and at times we see 30 metric tons on the exchange platform. When everybody does hedging or not, that is a challenge. That is what I am saying 15.97 metric tons, it is as of now that is there on the website also. So, it's 16 metric tons is hedged, and all big players hedge and we have impressed upon the RBI and many others also wrote that the banks should insist whenever they are extending loans on commodities etcetera there, they should insist and that they should hedge their commodity risk otherwise it will backfire on them also when things go wrong. I mean that is something which is very important. We have been engaging with IBA and banks

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to enforce this. Because they had given advisory in the case of agricultural commodities, but not for this.

Participant: But sir it's also true that all those 800 metric tons of gold is imported?

P.S. Reddy: No.

Participant: So, do you guys would be basically hedging it on global exchanges?

P.S. Reddy: No, they are not allowed. They are not allowed. What I am saying if it is once it is consumed, as a consumer I buy it out then it will not be there.

Participant: No, that is true. That is true. But anyway, that gold does not trade anywhere?

P.S. Reddy: No, no.

Participant: I am a consumer; I consume 800 tons of gold?

P.S. Reddy: I will tell you.... Let us say there is 10 metric tons from Titan, okay. What is there in the inventory in the shops? Now, the moment it is taken out then 10 metric tons will be a constantly. Some of these are coming in something. So, they have to hedge only 10 metric tons. But in a year, they must be selling 100 metric tons. That is the point I am making.

Participant: No, no. I agree... But with 10 metric tons they would not be hedging it on global exchanges?

P.S. Reddy: No, no. None of them are allowed to hedge. All are-- none of them are allowed to hedge. They are doing it. Let me tell you. Repeat major, major players in the country are hedging on MCX. There is no doubt about it.

P.S. Reddy: Done?

Participant: Yes, please.

P.S. Reddy: Okay. Thank you. Thanks to all of you.

Participant: Thank you so much.

Call: Nov 2023

MULTI COMMODITY EXCHANGE OF INDIA LTD.

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CIN: L51909MH2002PLC135594, info@mcxindia.com MCX/SEC/2315 November 23, 2023

The Dy. General Manager

Corporate Relations & Service Dept.

BSE Limited,

P.J. Towers, Dalal Street,

Mumbai - 400001

Scrip code: 534091, Scrip ID: MCX

Subject: Transcript of calls with Investor/Analysts

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 read with the SEBI (Listing Obligations and Disclosure Requirements) (Second Amendment) Regulations, 2021, please find enclosed herewith the following transcript of the call with investor/analysts:

Sr.

No Investor/Analysts Date Time Annexure

1. Nippon Mutual Fund August 16, 2023 04:00 PM Annexure - A

The said transcript is also uploaded on the website of the Company at <https://www.mcxindia.com/investor-relations/ir-meetings>

Further, we hereby confirm that no unpublished price sensitive information was shared/discussed during the said meeting.

Kindly take the same on record and acknowledge receipt.

Thanking you,
Yours faithfully,

For Multi Commodity Exchange of India Limited

Manisha Thakur
Company Secretary

Encl: As above

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Meeting with

Nippon India Mutual Fund

November 16, 2023

Disclaimer: This transcript is provided without express or implied warranties of any kind and should be read in conjunction with the accompanying materials published by the company. The information contained in the transcript is a textual representation of the company's event and while efforts are made to provide an accurate transcription, there may be material errors, omissions, or inaccuracies in the reporting of the substance of the event. The transcript has been edited wherever required for clarity, correctness of data or transcription error. This document may contain "forward-looking statements" – that is, statements related to future, not past, events. In this context, forward looking statements often address our expected future business and financial performance, often contain words such as "expects", "anticipates", "intends", "plans", "believes", "seeks", "should" or "will". Forward-looking statements by their nature address matters that are, to different degrees, uncertain. These uncertainties may cause our actual results to be materially different than those expressed in our forward-looking statements. We do not undertake to update our forward-looking statements.

Annexure A

Multi Commodity Exchange of India Limited

November 16, 2023

MANAGEMENT : MR. P.S. REDDY – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – MULTI COMMODITY EXCHANGE OF INDIA LIMITED
MR. SATYAJEET BOLAR – CHIEF FINANCIAL OFFICER – MULTI COMMODITY EXCHANGE OF INDIA LIMITED

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Participant: The last couple of years have been challenging for us a little bit due to tech transition and some other regulatory stuff, so now all those things behind, how do you see the outlook? What are the things which you are doing to increase the volume, increase the participation?

P. S. Reddy: I think, as I said in the call also, now that we are focusing more on business growth and some of these contracts which were to be issued earlier, we could not issue for whatever reasons. Now that we will be proposing to launch them, subject to regulatory approvals and we will also look at the penetration into more diverse types of participants, like for example, for FDI category 1, we are permitted, but ... 2 is not permitted. We are not done as yet, I think that is one thing, and they are also asking for a DMA facility, which we will be looking at that, and like that, we will be working on it. So, some of the new contracts, what to call, shorter tenure d options on the underlying futures, and similarly steel re-bar contract for futures of course, and on the gold contracts, some 10-gram gold, so these are the kind, we can look it. These are new contracts.

Participant: Which is, I think, this steel bars is something which is very exciting, in China it is very big?

P. S. Reddy: You see, the volume is, with our markets is, most of the spot markets are opaque and the success of the derivatives market or organizing market may not be in their interest. So, there will be challenges, but then we need to overcome those challenges and it will take time to grow, but it will grow. That is what it is.

Participant: Yes, like users find value for hedging purposes and...

P. S. Reddy: Absolutely.

Participant: Sir, if you look at overall options volume ... in the futures and like other exchanges, in NSE for example, like the number of times, so in commodities, still options volume seems to be having a lot of room to go up. So, how do you see it?

P. S. Reddy: So, first of all, I don't compare the equity markets and the commodity markets. That is an investment, and this is for hedging. Secondly, the contract sizes are very big in this as compared to the equity markets and so obviously there is a limitation to the ...and the number of people who can participate, etc., but the volatility in the commodities will continue to remain in the years to come. That is what the report of IMF also says
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that. So, keeping that in view, I think there will be a lot of opportunities for the traders as well as for the hedgers to mitigate their risk and traders to actually speculate and provide liquidity in the market. So, I see that way. Will it be as much as equity markets? May not be...

Participant: Yes, actually you are comparing Apple and Orange s?

P. S. Reddy: Yes, that is right.

Participant: You are a little mindful of that.

P. S. Reddy: That is right.

Participant: But still, from the current level, there is room for it to ...

P. S. Reddy: There is room for it , more than a single product, there should be multiple products which we are looking at. So, keeping that in view, I think there is a lot of room. In equities, you have so many distinct entities . Even if you take top 100 or top 500, that many companies are there for trading. That is not the case with ...

Participant: You need to.

P. S. Reddy: That is right.

Participant: You have multiple duration contracts ?

P. S. Reddy: Multiple duration contracts in options , yes, that is one proposal that we have. That is right.

Participant: Just going back to the options part, when you say quarter duration, they wouldn't be only on the energy side, I think 95 % of your volumes are energy , would you introduce multiple shorter duration contracts

or it would be not just energy, but it will be bullion also?

P. S. Reddy: If you see, subject to regulatory approvals, we propose to introduce the shorter option contract in other products also, not necessarily energy and it will be serial contracts in the sense, one contract because as far as the SEC C regulation can't be less than 11 days, okay . So, you will issue multiple contracts expiring in every week. So, you will
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introduce 25th December to 25th January, maybe 15th December to 15th January. So, in terms of tenure this contract is one month, but the expiry is weekly expiry you will get it, a serial contract is called now, a serial expiry. So, that will give a larger room for play.

Participant: I don't know, whatever I understood that when you say you have weekly expiry , that is what you are talking about, is it allowed on futures? On futures you will have to launch futures contracts also for ...?

P. S. Reddy: No, now the same underlying futures you can launch by multiple options.

Participant: You have two months...I don't know....

P. S. Reddy: You have monthly futures contract , currently you have. Crude expires on 20th or 19th of every month. So, there are four weeks from the time it is launched and from the time it becomes near month, one month is there. So, every week one -one expiry can happen.

Participant: On the options?

P. S. Reddy: Option expiry in the underlying futures.

Participant: Why do you need a regulator approval for this?

P. S. Reddy: That is what the rules are like .

Participant: So, for any new contract because ultimately energy is ...

P. S. Reddy: Not only new contract , even existing contracts where we do not have a permanent and continuous approval this one , you need to submit a calendar of one year or whatever it is, approval , to get one thing we prove that . Then you keep on issuing it depending on the minimum number of contracts that should be there at any given point in time.

Participant: The other thing I had is, if you just double click on this site and energy , look into the option, is there a hedging element over here or most of it is in trading ?

P. S. Reddy: There are a few hedgers, because if it is only speculators , there will not be open interest. There are open interests also there, even in contracts. Then the open interest is

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somebody who thinks that they have some position in the physical market, then only they will keep the open interests.

Participant: But the time horizon for speculator might be 20 days, 30 days, so that would also happen.

P. S. Reddy: Day speculators , they square it off ...

Participant: I understand that, but I am saying ...

P. S. Reddy: If they happen to be speculators , notwithstanding they have a hedge position, be that so. They may not call themselves hedgers.

Participant: So, the question was , is there a risk to the nature of trading , in the sense if there is a short on oil , does it mean that we will see drastic business in this volume, whatever we see, sustainable or not, that is my ultimate question to you. I am not getting into speculation and all , the question is, is this sustainable or not?

P. S. Reddy: Yes, that is where the sustainability comes, where there is an open interest, sustainability will come , because those people who have an open interest, they have to square it off. Anywhere somebody sells his position , so, somebody has got a buy-

position , that means he also has got a sel l-position open interest , isn't it? And so, they need , I mean, the open interest is the one which makes the people to short in and then short out. Now , if you want to exit and there is no liquidity you will have a problem and because there is an open interest , people tend to give you both.

Participant: Just continuing on this, if you increase in short duration contract s, would it be only on energy platform or...

P. S. Reddy: As I said, depending on the regulator y approval we have ...

Participant: Your intention is to launch multiple commodities ?

P. S. Reddy: Subject to the approval of th e..., yes , that is right , but we need to see traction in one option contract, then we can introduce many .

Participant: So, multiple durations or multiple ...?

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P. S. Reddy: Multiple durations.

Participant: So, first maybe you will introduce some one-month contract , then see the traction and then go for weekly , that's the... ?

P. S. Reddy: Weekly or fortnightly ...

Participant: When you get into this weekly contracts, so does it like... lot of ... so how the GST thing actually ... is it the... ?

P. S. Reddy: GST will come in the way only when it is a delivery -based contract . Cash -settled contract there is no problem. And in the case of weekly options contract, option will become on the expiry become f uture, provided they don't close it up. Then the f utures will continue till the end and then only end may , the deliveries will come.

Participant: So, with this way of introducing multiple options like, will it encourage a lot of people who are not participating because one, it makes the duration ...?

P. S. Reddy: Because the CT T is smaller and the margin in the future s contracts, margins are high whereas ..., of course ..., to the existing cost of trading is less .

Participant: So, do you consciously analyze the nature of participa tion and we try to improve the overall quality of participants ? For example, in gold, still lot I think , is happ ening outside India?

P. S. Reddy: In gold, it is not permitted. RBI banned. It is the other way. Maximum pitching happens in the industry.

Participant: The corporates are fully using, there are some other ways where they ...?

P. S. Reddy: At least, I mean, whosoever is complaint with the law, they are all doing it here. We are all doing it here. We have a few metric tons of gold open interest on the exchange .

Participant: Looking at the depth of the gold market, you feel like we are attracting ...?

P. S. Reddy: Yes, how much is the hedging? You published, no?

MCX support team : Sir, we have given that in the press release.

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P. S. Reddy: Not in the press release. Daily, do you put up on the open interest o n the website ?

MCX support team: Yes, we have that .

P. S. Reddy: What is that number? You have it, no? Harmesh Mal ade sends it...

MCX support team: Today's email, sir?

P. S. Reddy: Today's email is yesterday s. Anyway, go ahead.

Participant: How do we increase the participants of foreign portfolio investors , sir?

P. S. Reddy: I just said , they are looking for DMA facility and I think with that they should be able to come. Let us see.

Participant: How soon er that will happen, the F PI participation ?

P. S. Reddy: We are looking at ... no FPI is in line. That is already there in our system, we have to activate that.

Participant: Category II and category III of FPI is also ?

P. S. Reddy: Category II is also already available; we just have to activate it.

Participant: But w hat is stopping us from activating, we are just waiting for the new platform to get settled.

P. S. Reddy: That is what we think , that is what .

Participant: Sir, these three -four measures you mentioned about the ...

P. S. Reddy: One minute...8 tons, no? What is it, 8 tons? It is an open interest, 15 metric tons of gold, that too , 1 kilo bars. There are others also.

Participant: I don't know, earlier I used to think given gold is a global commodity and India has this CTT, there is cost of trading, right? You have CTT which is very unique to India, wh

ich

is not that globally , are FIIs very keen in participating in this exchange or globally they find other exchanges much more lucrative from a first of trading perspective , how do you think of them ?

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P. S. Reddy: Well, that is one way of looking at it. If crude has to be hedged or traded, why not trade in international market s, but there are also , what you call ... by trading , somebody who is trading India, there also , some margin they are earning , isn't it , so they will be earning that also here, that is number one . Number two , there is a calendar spread , in bits are there , and t here may be some in the US , some may be here also calendar spread , ok, and they step in and then they buy near-months and the far-months , vice versa, whatever, they are doing it.

Participant: But that we could do at the international exchanges ?

P. S. Reddy: If the price difference is more here, then they will do it no , and it is in Indian rupees , that is in dollars.

Participant: One question I don't know ... earlier whenever I used to look at this, there was this angle of GIFT city... that is what you call GIFT city because of the tax ... which are sitting ...in the GIFT city

P. S. Reddy: Most of the people who are trading here for all these years , leave aside the FPIs who recently permitt ed, they are all domestic. Gift city domestic players are not allowed except for the LES... or whatever.

Participant : So, Gift city you will not be a major....

P. S. Reddy: We don't consider them ..., as of now there is ...

Participant: Would you say, from your exchange ADTO , how much is retail, how much would be pure retail I don't know that... how much could be...

P. S. Reddy: You have disclosed it?

MCX support team: No, we have not disclosed it.

Participant: Indicator, can you just tell me, I can make predominant is a retail for you? Are you retail oriented or?

P. S. Reddy: Algos are major ... Algo players are there, no? Algo is 52%, non-algos is 42 %... 48%

Participant: But Algos could be both, right? It could be prop rietary well as institutions, isn't it?

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P. S. Reddy: Yes, but you see the prop rietary 47 and client is 52 ...the other way it is coming to.

Participant: How much pure retail for you ? Very difficult for you to....

P. S. Reddy: I only said client that is all, it could be....

Participant: ...I don't know. I mean, obviously, some of them are UHN I, HNI. How many individuals who are trading?

P. S. Reddy: I don't have the idea ...

Participant: So, the reason why I am coming to this is , when we look at certain discount brokers, when we look at their market share, whatever they publish, that seems quite high , the disclose d number is 50 -53% of, or he has a commodity market share of 50 -50%. I am just trying to understand obviously he is only retail; they don't entertain institutions ...

P. S. Reddy : 50-52% of what? What is the universe he is taking ?

Participant : That is what I was trying to get to.

P. S. Reddy : What is the universe he is taking?

Participant : So, there are three, four drivers which you mentioned, right? One is obviously a short - term contract, second is your number of products which you can add, third is the F PI, and we give them the DMA facility.

P. S. Reddy : FPI and other, the AIFs also , and all that.

Participant: Of all these three , which you think would be a major driver of your volumes, I mean, which can trigger really a 3x, 4x, 5x kind of increase in volume s?

P. S. Reddy: So, I would not like to put any number on that.

Participant: Just the trend -wise, which can be potentially the largest ?

P. S. Reddy: No, see, again, we have not done any market survey as to which product will fly and then which product will not. When we look at it, again, we look

at the utility of the

product to the market hedge rs, especially the industry , whether you benefit or not.

Other players like traders and other things, they will anyway come if there is adequate

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liquidity, etc. , and so keeping that in view, whenever we introduce a new product, we look at what is beneficial in the market. That is the main thing , not the trader perspective, honestly not the trader perspective. The second is the entry of these new players, category II FPIs and other things, and I think it is too early for me to assess the impact of it and they are big numbers currently operating it. But more important for me is some of these Algo players who have not participated as yet on the exchange platform, they were waiting for the exchange transition to happen so that they can step in and then also , they don't need to develop twice the platforms , one for the old system and for the new system. So, some of them are looking at now, they have become members, but they have not started, now they will start playing games. So, that is another dimension of the distribution part of it .

Participant: At present, at the broker level, is there a fungibility for margin between equity and commodity very seamless? Do you see that being addressed?

P. S. Reddy: You see, fungibility will not happen because the way that we are looking at is, the suggestion that we have given and then we are asking is not approved or anything like that. The numbers have , out of 3 :30 (pm), capital left in the other exchange , without physically moving that capital to the MCX , we are looking for some kind of fungibility where the NSE can block or BSE or any exchange , it blocks at an amount , to the extent that you need it. That can be confirmed to us. This member and these are the clients who have got an excess capital. Then if the member wanted to exercise that, use that, they should be allowed to use that. In the formal sense of fungibility , that is not what we are looking at , but the recommendation and suggestion of members also and the industry bodies also suggested... let's see.

Participant: Is there a resistance towards this one?

P. S. Reddy: No, resistance may be there from competition, but not from other ...

Participant: So, third, on the contract pricing side, at least on the futures, prices have been very stable for last 6-7 years, around Rs. 20 ... do you see any room for increasing the pricing? Usually in the equities they change every 5 -6 years, 6 -7 years . what is our ...?

P. S. Reddy: We have not thought of it , but the more important is , every pricing, it also impacts them because the trade will be profitable after meeting the expenses that are being paid in Multi Commodity Exchange of India Limited

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the form of taxes or cut off. So, to that extent, the debt may come down if you increase the pricing, liquidity maybe ...

Participant: But it just may be a part of the overall cost, right?

P. S. Reddy: That is what you and I think. I wish that others also think that way so that we will get benefited.

Participant: But there is no internal pricing mechanism which we follow, let us say, as a discipline. Let us say every 6 -7 years we take a 20% kind of increase or something like that ?

P. S. Reddy: No, we have not done that ... I don't think 6 years is...

Participant: No, generally any time for that matter ?

P. S. Reddy: We have done it in 21.

Participant: I think the future s prices have been very similar right at 20 odd thousand crores

Participant : They have gone Rs. 20, 0000 crores right , in the last 5 -6 years. Only options have done very well , but that has been the biggest. So, there is no set mechanism, it is just we take a decision with the time.

P. S. Reddy : See, I have been asked the question , to impose on options t

he charges for a long time,

unless it touched a minimum critical mass of 7000 -8000 , so they are not imposed and after that, I think we should allow that maturity to get in, then we can do that.

Participant: This question only, last 6 years future s...ADT...

P. S. Reddy: ADT no, he is asking charges.

Participant: But that is on ADT only ? You charge on ADT only ...

P. S. Reddy: I know, but charges, slab structure is not changing, irrespective of the ...

Participant: Last 5 -6 years, future s ADT has not gone anywhere ?

P. S. Reddy: No, it went up right up to 33,000. It has come down because of the peak margin that has been introduced. Upfront margining has been introduced Then brokers have not Multi Commodity Exchange of India Limited

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sustained , and it is imposed quarterly , 25% upfront margin, 50% upfront margin, 75%, 100%, with the 100% then they and margin being very high , then there is no ...

Participant: I didn't see this, in fact in the equity exchange it is the same right, but in equity exchange we are still seeing futures ADTO move up not, but not to that extent it should have... ?

P. S. Reddy: But equity markets futures is not big, options is big and that is index option.

Participant: That is true, but I'm saying, 83, you're saying from 33, 18, 20, whatever, went down but they are back to their level ?

P. S. Reddy: No because people have shifted from the futures to options, that is so, while options is good, you want the futures also should now remain at this one.

Participant: I think it is almost a year now where the 2 years has been digested. I think it was September 22 where the 100% rule came and it got to 100% if I am not wrong. That is my opinion. It should have gone up but even this quarter, I am just trying to think about what is really happening on the futures side, where you have not seen this kind of traction, the way you have seen on options, and it's been great ?

P. S. Reddy: Because the margins are also very high, no? Crude is 40%, NG is 30%, if this 40% - 30% continues quite for some time, upfront margin of 40% - 30% is not a small number as against equity markets so, you don't have this kind of margin.

Participant: Did you see lot sizes help or that also you have to go to the regulator ?

P. S. Reddy: We have to go to the regulator, that is how we have introduced mini. Our mini's have picked up.

Participant: And I was just thinking, when you introduced short-term duration contracts, the premium on options as the percentage ... will be reduced ?

P. S. Reddy: Will be reduced.

Participant: ... which drives volume ?

P. S. Reddy: Volume, the shorter ones. Shorter options contracts...

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Participant: Because the ...

P. S. Reddy: Premium is small.

Participant: But does that mean from revenue per se?

Participant: Do you see today, I think it is 1.8%, right, on the notion premium, percentage of notion is around 1.8 to 2.4 % whatever that range is now ?

P. S. Reddy: It keeps varying.

Participant: Absolutely. So, when you introduce shorter duration, this 1.8 will go down, right?

P. S. Reddy: But you get ...

Participant: That is okay, but sir, then you will also see volumes of longer duration actually it might not be that revenue credited to you, the same what I am trying to get to and maybe you can correct me, if you are doing 100 of volumes, basically Rs. 100 of volumes over there, where you are making Rs. 2, on the shorter duration, you will make Re. 1, but the volumes have to be actually 200 or 2x to make the absolute amount.

P. S. Reddy: See the quantum of premium may be less for a weekly. Quantum of premium may be less, but our rate per lakh will remain at Rs. 40 and Rs. 50, two slabs are there, so slabs do not change, but this particular volume what you

are talking about will reduce, but

then you have four weeks, somebody which is four weeks, currently it is one monthly contract, 4 times, more than 4 times it will be because more greater participation will come in.

Participant: So, you are saying, despite the loss which we face from that 2 months going to 4 weeks, the volumes will increase so much actually that will be to...

P. S. Reddy: It will not be less than at least 4 weeks; 4 weeks is equal to 1 month. Even if you break it into smaller one, the sum of 4 weeks will be at least 1 month, but my expectation will be much more than the one month only, premium amount, because the better participation, yes.

Participant: Premium amount ?

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P. S. Reddy: Premium amount only we are adding.

Participant: At the regulator end, like the process of giving approval for new products, like is it very smooth, does it take time or like it takes time to, for the first time we will see so many innovations kind of, so initially will it take more time and then?

P. S. Reddy: No, because of the tech migration we have not introduced this one, but now it should be faster, regulatory approvals. There should not be a problem in the rest.

Participant: The tech migration now, absolutely we are like, where we stand ?

P. S. Reddy: Fairly stable, that is all I can say. Fairly stable, there are no problems.

Participant: Our arrangement with F T will parallel ly continue for this financial ?

P. S. Reddy: No, it is only for two quarters, no?

Participant: Remaining two quarters ?

P. S. Reddy: No, till the end of December, c urrent quarter only , nothing else. You want me to pay one more ...?

Participant: No, we don't want. No, I know it means now, this is like, in December it will just come to end and is there like any compensation mechanism for the, finally, can we get damages from the software provider, or any contract , any clause is there ?

P. S. Reddy: As such, it was a one -sided contract when it was entered in 2014. So, obviously, if the re is any clause, it will be in their favor, not in our favor.

Participant: Can you rem ind us , after you migrate to the , you already migrated to the TCS platform, software support charges goes down by how much, fixed fee you pay to them, to AMC ?

Satyajeet Bolar : We pay AMC ...

Participant: How much is that?

P. S. Reddy: We are not disclosing that, AMC charges.

Participant: It's a fixed AMC... Irrespective of what volumes you do ...?

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P.S. Reddy: Yes. It is based on the contract value rather than ...

Satyajeet Bolar : We have fixed it for 5 years...

P. S. Reddy: Beyond five years also...

Participant: Will it be lower than technology expenses which we have been incurring in the range of Rs. 85 to Rs. 90 crores prior to the.... in FY22 , I think the technology expenses was typically Rs. 85 to Rs. 90 crores ?

Participant: In terms of the way AI and all are picking up, h ave you evaluated how much of the operating expense has caused in terms of getting better product ivity, so how much more efficient can we be over there ...

P. S. Reddy: I am not too sure whether we can reduce the expenses on the manpower and other things. In fact, it will keep some , incrementally there will be some rise because the regulatory compliance requirements are increasing day by day and so the bigger, we go, the expectation from MIIs is that you should be able to have complete control over the brokers also, so most of the time, to the extent ...

Participant: You are responsible even if the brokers are not compliant ?

P. S. Reddy: Compliant, so that is where our focus should be. So, you must ensure, and you sit there and kind of monitor or automate the processes and whatever is happening, you should be abl

e to know all activities, that kind of expectations is there from MIIs . So, something of that kind, so obviously we need to increase , while automation is good , but beyond a point automation doesn't help.

Participant: Just on this SGF that we saw in this quarter , what is it really and is it a recurring, or it is linked to the volume s which we do on the exchange?

P. S. Reddy: It is linked to th e stress test and sc enarios that maybe... different scenarios I don't know how many more , maybe 100 or 90 or whatever. So, but also they take 15 year historical high-low prices for each product and then also they consider how two members going first and top 50% of the open interest members have positions going first and if you have to wind up those positions and all of them, what will be the loss, we will bring it

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after accounting for the margins that you have collected , that is what is you should be providing for in the form of ...

Participant: But this is the recurring co st OI keeps on increasing ?

P. S. Reddy: If OI keeps on increasing, then this will increase , vis-a-vis w e have to increase the margin s.

Participant: That sets up the requirements to be put ?

P. S. Reddy: That is why we have not reduced crude oil and NG margins from 40 to 30. We are at 30 to 20 because of the SG F requirements. So, it is good to have a problem because as I said open interest is the one which brings more liquidity to the exchange , but this is

Participant: This formula is based by the regulator o r the formula is already known to you.

P. S. Reddy: Everybody.

Participant: ... whenever there is what you call expiry ?

P. S. Reddy: It can average for the whole month; open interest will have as I am speaking of open interest is Rs. 46,000 crores and whenever there is what you call expiry, the crude oil

absorption will expire. Then it gets closed down. Then it will again build up. The future s will expire on the 20th of the month. Then again that will go down. Something else will be ticking in.

Participant: This is something , you can't increase margins, right? You increase margins first ...

P. S. Reddy: We increase margins, but then again, then cost of trading will increase. So, the way that we have to look at is, particularly I don't mind you contributing more to the SGF, reduce margins, increase volume. What you earn on your funds is 7% -8%, whatever it is, that is by deploying funds there in the form of by reducing margins more trading volume goes up. The revenue will be much higher. You need to do the trade off all the time.

P. S. Reddy: So, it's done? Thank you. Thanks to all of you.

Call: Nov 2023

MULTI COMMODITY EXCHANGE OF INDIA LTD.

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MCX/SEC/2309 November 17, 2023

BSE Limited

Department of Corporate Services

PJ Towers, Dalal Street,

Mumbai - 400 001.

Ref: Scrip code: 534091 Scrip ID: MCX

Subject: Transcript of the "Earnings Conference Call" with investor(s)/analyst(s) on Q2 FY-2024 results.

Dear Sir,

Please find enclosed herewith transcript of the "Earnings Conference Call" with investor(s)/analyst(s) held on Thursday, November 09, 2023 at 16.00 p.m. (IST) on Q2 FY-2024 results.

The said transcript is also uploaded on the website of the Company at <https://www.mcxindia.com/investor-relations/ir-meetings>

Further, we hereby confirm that no unpublished price sensitive information was shared/discussed during the said earnings call.

Kindly take the same on record and acknowledge receipt.

Thanking you,

Yours faithfully,

For Multi Commodity Exchange of India Limited

Manisha Thakur

Company Secretary

Encl.: As above

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Q2 FY24 Earnings Conference Call "
November 09, 2023

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MANAGEMENT : MR. P.S. REDDY – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – MULTI COMMODITY EXCHANGE OF INDIA LIMITED
MR. MANOJ JAIN – CHIEF OPERATING OFFICER – MULTI COMMODITY EXCHANGE OF INDIA LIMITED
MR. SATYAJEET BOLAR – CHIEF FINANCIAL OFFICER – MULTI COMMODITY EXCHANGE OF INDIA LIMITED
MR. PRAVEEN D G – CHIEF RISK OFFICER – MULTI COMMODITY EXCHANGE OF INDIA LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Multi Commodity Exchange of India Q2 FY24 Earnings Conference Call. Joining us on the call are Mr. P.S. Reddy, Managing Director and Chief Executive Officer, MCX; Mr. Manoj Jain, Chief Operating Officer, MCX; Mr. Satyajeet Bolar, Chief Financial Officer, MCX; and Mr. Praveen D G, Chief Risk Officer, MCX.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. P.S. Reddy, MD and CEO, MCX. Thank you, and over to you, sir.

P.S. Reddy: Thank you, Madam. I welcome all the participants in this analyst call. This quarter, as we, or rather in the current quarter, we have launched the CDP platform. This is what we have been waiting for, for the last two years and eight months. And finally, it has been fructified. And I'm grateful to the regulators, market participants, the clients and the TCS technology partners and other vendors who have helped us in scaling this height. Of course, my Board and... and Udaan committee members, they all stood rock solid and supported the management and the management team in this process of data migration or rather technology migration.

And more important, and I count on it many a times, the well -wishes of the shareholders and the other stakeholders of the MCX, who have been desiring that we should scale greater heights, and they wished me on so many occasions. In whichever way they could help, they helped and I'm grateful to all of them for supporting us.

And also grateful to all the people who have reposed faith in us, that we may fail once, we may fail twice, but not all the time. And that's how it happened. Maybe we were not able to meet the expectations on two other occasions when we planned to go live. But this time, we have been successful, and there's hardly any problem in the system that we are running. And we have completed one complete cycle of deliveries, expiries, margin competitions, whatnot. Whatever the complexity that is involved in Multi Commodity Exchange of India Limited

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running an exchange has been done , and successfully . Maybe sporadic events may be there confined to a particular member , and that we have been addressing . And we have , as late as yesterday, we have even address ed the latency issue also. And now it is much faster. And , I think , we are expecting the volumes to be , contract s, as much as we had prior to the launch of the platform , that is from -- in the first half of October, what are the volumes that we have clocked, we expect the full volumes to come ba ck. This is on the CDP , that is , Commodity Derivatives Platform.

Having said this, I'm also seeing , I mean, this quarter, that is the quarter ending September , and the quarter ending December , will have a major impact of the payments that are made to the previous technology vendor, which is already disclosed to the market participants , and its impact is pretty huge. This is one important reason , for which reason the stock has -- I mean the financials have seen a hit.

The second one, of course, it's good to have a problem , in the sense that we had to contribute INR11 crores -odd, we have contributed to SGF. And the SGF contribution is needed because the open interest on the exchange has been increasing. That means people are sticking on to the platform, and they're keeping their positions open -- and they know that this is the platform where they have to hedge their risk, the commodities exposure that they

have.

So obviously, that is the requirement, SGF is a requirement of these regulations. So , we have to comply with it, and we'll continue to comply with that. But it's not something , although , it is an expense, it's not something that we have lost this money in that sense. So , it is just par ked maybe , in another bucket called SGF.

I would not like to take much of your time. Probably , as we go along, I will answer questions. Maybe more details will be furnished. I think I request you to open it for questions. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. We have our first question from the line of Amit Chandra from HDFC Securities. Please go ahead.

Amit Chandra: First of all, congratulations on the technology shift that has happened finally. And sir, my first question is, so as we have achieved the transition. So how we are seeing the Multi Commodity Exchange of India Limited
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pipeline in terms of product launches? Because as we have said earlier that we have a lot of approvals that you have received in terms of launches. So, if you can throw some light on the product launches? And also, I have a follow -up that I will ask later, sir.

P.S. Reddy: Okay. Product launches, yes, we have certain approvals , and we are going back to SEBI to get that renewed, okay? When I say renewed, it's not that it's expired or anything of that kind, but just to revalidate that we are going ahead with this launch. So, we are in the process of doing that. And once we do that, and thereafter, we will launch all the contracts.

The more important at this point is , the steel TMT bar contract. That is something which we propose to launch at the earliest. And let's -- and I will spell out and of course, we will inform the market participants well in advance when we launch other contracts.

Amit Chandra: And sir, we have the Index options approval sti ll we have received at the early part of the year. So , like for the Index options, we will have to renew it again from SEBI? And also, what is the possibility of the weekly options because we are also thinking of reducing the tenure of contracts and also launching some shorter duration contracts because , if you see what is happening on the other exchanges, so the whole volume is shifting to shorter duration contracts. So , what is your view on it? And how the regulators is actually looking at it from the commodity angle? And also on the like mutual funds, PMS and FPI participation, we have seen some traction there, but still , it's very small on a portion of the overall volumes. How do you see that improving? And after the launch of the new platform, can we see some traction there?

P.S. Reddy: Yes. So , the first question is with regard to Index options. Index options regulatory enablement was done. We have never said that we have applied it or got it because you need again, there also , INR1,000 crores of -- there is a -- I mean we have to of course, make an application. Given the kind of volume that we have in this, we have not made an attempt as yet. And so regulatory enablement is what is done. That's the

only thing that has happened. So, we have not as yet applied.
Coming back to the other contracts, as I said, we will be launching them as and when -- I mean, we need to see the ecosystem also. And accordingly, we will launch them.
The smaller contracts, yes, it is required, tenure, and we will -- the smaller means in
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terms of tenure of the contract, should be not monthly or bimonthly, it could be smaller. And I think that is something which, we had on a contract, gold options for monthly contracts on a bimonthly contract. That is something which we have to work on that, and then we'll launch that. And the small, still smaller ones, will be for

monthly

or weekly. I think that is yet to be taken up with the regulators for approval. So, this is what it is.

Amit Chandra: Okay. And sir, in terms of the increasing competition, I know we have the dominant market share. But the regulators allowed the other exchanges to launch options and despite they were not fulfilling the criteria for the launch. So how do we see it? Is it a risk for us in the -- like in the medium term? And also, in terms of the SGF contribution based on how SEBI has been approaching this and asked all the exchanges to increase the SGF on the equity side also. So based on that calculation, 5% of the total amount of exposure that is there has to be there in SGF. So based on that, the exposure that we have, the SGF comes to around INR1,100 crores or INR1,200 crores, Sir. So, do you think that SGF will move in that direction?

P.S. Reddy: Well, with regard to the first question, whether the competition is scary, and well, we would like to live in the comforts of monopoly -- but then, competition teaches us, or strengthens our will power, as our ways of doing business, and that's how we are fortifying ourselves. So, to that extent, yes, we are not worried as much as it is made out to be. But yes, we have to be on guard constantly and then see whether we are slipping anywhere on the business front and then take necessary steps, corrective steps if there are any slippages.

On the requirement of SGF, I'm not too sure where this 5% requirement has been prescribed. There is a formula at this point in time. And currently, the requirement, we have been -- whatever keeping, is about INR560 - INR570 crores of SGF required. That is a minimum required capital. And as such, you add what you call penalties and others, the SGF cover is almost INR744 crores, we have.

So let us see, as we go along, we need to keep on strengthening it. Probably, members also contribute. This will further get strengthened. But that should be made mandatory across the exchanges, then only there will be no regulatory arbitrage. Otherwise, it will be -- it will not be good.

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Moderator: Thank you. We have a next question from the line of Devesh Agarwal from IIFL Securities. Please go ahead.

Devesh Agarwal: Firstly, many congratulations on successfully completing the transition to the new platform. So, my first question is, we have seen some moderation in volumes, post the shift to the new platform. If you can share some details of whether this is on account of some lesser functionalities on the new platform compared to what we had on the older platform. And is there any path, still by when you will be able to give the complete functionalities to the market?

P.S. Reddy: I don't attribute this to any functionality, okay? Those functionalities we have seen actually when we have decided -- taken a decision not to release those functionalities. We have taken how many members are trading, how many clients are trading in that, there's hardly any number, okay?

I mean in one of the contracts it was six clients were trading, okay, six members were trading, and that to volume was about INR20 crores, something of that kind. So, it doesn't make any sense for us to launch that contract, actually, such kind of things are coming in the way of a scale-up of the technology, okay? And I will explain maybe a little later as to what is the scale up that is happening. That's one part of it.

Yes, as I said, the period from 1st October to 13th October, if you see, the volumes were, options especially, they were pretty high. If I'm not mistaken, it is 1.3 lakh crores, 1.3 lakh crores around, the first part of it. And yes, after launch, there are some

issues some members face that there are more to do with the some of the latency or some of them may be related to , what we call , some data p

ackets, order packets, not

the trades, getting delayed response, okay? These are the things that were experienced. As I said in my introductory remarks, they're all fixed , behind us. I'm sure we will see good volumes provided there is volatility. That's important. The underlying fact is that.

Devesh Agarwal: And secondly, sir, I think I missed, what did you say about the monthly gold option contracts. Is that what something that you have taken up with the regulator already?

And can we see that this will launch over the next two-three months?

P.S. Reddy: Yes. I said that contract is already there, and renewal is what is applied. And we will get it and as and when we get it, we will be able to introduce.

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Devesh Agarwal: Okay. Also , sir, this 16 , October, you would have capitalized the amount for the new platform to the CDP. And I'm assuming from third quarter, the depreciation and other related costs will come in , into the P&L. So , can you share what is the total amount that has been capitalized and over what period would we be amortizing this?

P.S. Reddy: No, I think when we announce the results for the third quarter, we will definitely give those details. But more importantly, this is amortized over a period of five years to eight years. That's what has been the policy , depending on the item.

Devesh Agarwal: All right. And finally, sir, on the SGF contribution, which we've seen in the month of September and again in October, INR14 crores, any -- basically numbers , that you could share that would this be more of a recurring theme going forward? And should you build some INR20 - INR30 crores of quarterly kind of a run rate for this?

P.S. Reddy: As I said, this is not something which is an expense. Although , it is accounting treatment as an expense, it's not going out of our hand or anything like that. And it is required for the growth of the business , is what is -- what we are looking at it. And so , we need to look at it positively, not as a negative. And whether -- is it going to be a recurring or not , I will not be able to comment, the reason being is, in the last three years, we did not contribute because the open interest did not go higher. Now as I'm speaking, the open interest is almost 40,000 crores , maybe in the last several years, maybe five years, six years, eight years, maybe it is the highest ever. So maybe prior to CTT, what was the number , I don't have it readily. But at this point, in time, this is something -- it is a high -water mark is what we are clocking , I think the other day saw even 43,000 crores also. So , if the business is growing, people retain their open interest, I mean, for trading next day, whatever it is. I think it's good for us. Good for us, more - and-more traders will be attracted. The open interest is one key criteria, key parameter. Otherwise, only day traders will be there. So , coming back to the question, will it be a recurring? Yes. If it keeps on increasing it, open interest, it will be recurring. But if it stays at this point in time at 40,000 crores or 43,000 crores, whatever it is, then it will not be recurring.

Devesh Agarwal: Understood . And sir, finally the accounting question and then I'll go back to the queue.

First is the interest income that we earn on this SGF balance , you said we have INR740 crores of SGF balance . Does that flow to the P& L, or it does not? And the expense that

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we incur in the quarter, this quarter we incur INR10 crores , INR11 crores , do we get tax deduction on this?

Satyajeet Bolar: Yes. I just take it. Yes. So , the interest income that we earn on SGF is ploughed back to SGF. It's not routed through the P&L and the contribution that they made to SGF would be an allowable deduction

in our income tax return.

Moderator: Thank you. We have our next question from the line of Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain: Congratulations on a successful transition of the software. Firstly, on the -- just a data - keeping question. What was the options revenue in the quarter?

Satyajeet Bolar: Yes. So , during the quarter, we are INR82.8 crores on options.

Prayesh Jain: And for the half year?

Satyajeet Bolar: I don't have the half. Yes, so it's INR82 crores plus INR64 crores.

Prayesh Jain: Okay. Got it. And sir, just continuing on this SGF bit. You mentioned that you had a hit a high of INR43,000 crores of open interest. So, what are the next thresholds levels do you -- would you see before you would have to contribute incrementally to this SGF?

P S Reddy: See, whatever is the high that we have got it. I said INR43,000 crores, it's around. It's not a -- I don't have the exact figure right now. So, the high -water mark will always remain, and if it is below that, then we don't need to contribute. If it crosses in the new -- what the high -water mark is kept, then we have to actually contribute.

Prayesh Jain: Okay. And sir, in this transition -- before this transition, there were certain aspects of the regulator regarding -- one was, obviously, the SGF -- partial withdrawal of SGF.

Second was, I think the -- if you have a net position on the equity side, you are allowed to give net margins. But on the commodity side, you have to have margins on both the positions. So, you wanted that kind of approval as well.

And thirdly, there was another thing where you were looking for interoperability of margins between BSE, NSE and MCX. So, any of these talks that would have started with the regulator? Or how should we see this kind of evolving over the next two or three quarters?

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P S Reddy: I'm sorry, I think you need to repeat ...

Prayesh Jain: Sir, before the transition happened, I think we were in discussion with the regulator for two or three aspects. First one being the partial withdrawal from SGF. Second one was the fact that the way we see it on the equity side where you have to have margins based on your net positions rather than margins on both long and short positions.

Here on commodity side, do we have to give margins on both the positions, is what I have been made to understand. So, whether that can be sorted with the regulators?

P S Reddy: Yes. See, one is that on the SGF withdrawal, I think there's a circular that has been issued. But how much is the minimum -- as far as our requirement at this point in concern, it is going up and up only. So that is why I said it's a, happy to have a problem, but the calculation of it is what we are approaching, the subject matter to SEBI, that methodology has to be changed, is what we have been asking. That has not as yet been addressed, that's been under consideration. This is one part of it.

The second part of it is interoperability of the margins, that is, again, has taken up very actively. I think there is an industry standards forum has been established. And I think many of the participants from the members also and the members and associations are -- the member associations are also actually involved in that. So, the recommendations are going to SEBI for their consideration. That is what...

Prayesh Jain: Okay. And sir, with regards to FPI's participation, what is the kind of traction we are seeing? And do you see this business to be a meaningful contributor, say, three years down the line? And obviously, one of the hinderances to this was the technology transfer, and now that's behind. What are the things -- what are the enablers that would be needed from your end to kind of scale up this business?

P S Reddy: Yes. One is that the FPIs look for expecting a DMA to be given. I think

we are already

there, on the DMA. We have to release it to the market. I think the system is getting stabilized. I don't want to disturb it at this point in time. But sometime this quarter or early next quarter, definitely, we will release DMA facility to the FPIs, that is going to happen. So that is what they are looking forward to. That's one part of it.

The second part of it is, there are a lot of HFTs, who have taken the membership on the exchange, and they are on sidelines because they don't want to incur IT development on the old platform and new platform. Now they are all, now actively

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looking at it. I'm sure, we should be able to get traction out there as well. And that's another area which we are looking forward to having, as we go along.

Prayesh Jain: But in the medium term?

P S Reddy: But -- I'm sorry?

Prayesh Jain: Sorry, continue Sorry, sir.

P S Reddy: In the medium term, yes, we expect FPIs to contribute substantially for this market.

Prayesh Jain: Are there any specific products that the FPI s would be more attracted towards?

P S Reddy: No. As of now, they are interested in cash or cash settled products only. And algos also they will be playing -- I mean, they will be interested in algos also. But then they will come through via some members only. That's what the DMA is specifically for , but then they will manage themselves. That's the way it is .

Prayesh Jain: The last question on the -- just on the P&L side, you have a higher depreciation in this quarter. Any specific reason or how should we build this going ahead?

P S Reddy: See, while we are what we call implementing the CDP, a lot of assets, which are maybe less than 1 lakh, etcetera, are required , like laptops, etcetera, desktops and other things. So that's what we have provided for , in this one quarter itself , so that it will not be -- I mean that's the policy. We've gone by the policy.

Prayesh Jain: So, this will not be a recurring run rate for... CDP, right?

P S Reddy: It will not be. But anyway, in the current quarter, having implemented the CDP, you will see a bulge out there.

Prayesh Jain: Yes. Except CDP, this would be the run rate. Over and above that, we will just get a CDP depreciation.

P S Reddy: That's right.

Moderator: Thank you. We have our next question from the line of Sanketh Godha from Avendus Spark. Please go ahead.

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Sanketh Godha: Sir, my fundamental question is that, if you intend to launch weekly expiry options, we need to have a weekly futures, right, because our options devolve into futures. So, if you don't have these weekly futures, we can't -- can we launch weekly options? That's my first question.

P S Reddy: Yes. Okay. When I say it's weekly options, it's not weekly expiring. It is a -- maybe four monthly contracts having different expiry dates , is what the whole concept is, okay? Because you can't have any way under the SCRA, less than 11 days contract, okay? So , it will be a monthly contract expiring every week -- one, one contract will be expiring. In any case, the underlying futures will be there. It's not necessary once it expires, the futures have to necessarily expire in the next two days or three days.

That's not the requirement .

Sanketh Godha: Got it, sir. That's perfect. And second thing, sir, now given we are missing contribution towards SGF, is there a probability that now we will reduce the margin requirement in crude so that futures volumes can pick up in crude because one of the reasons why we were reluctant to reduce the margins on crude is because the contribution goes to SGF. So , any change in the thought process there -- and what is the current margin requirement for crude?

P S Reddy: Current is 40% -41% for crude,

about 30% -31% is for NG, okay, including the additional

margin. But whatever contribution we have made is not to reduce the margins. In fact, the SGF requirement under scenario analysis , the expected loss in the event of all position , or 50% of the market positions are closed out, the expected loss arising out of that , is what is assessed. Again ... the 40% and 30% margins are also adjusted. Still there is a shortfall. That is the shortfall, we have contributed. Yes, go ahead.

Sanketh Godha: Hypothetically assume tomorrow, your open interest increases from currently, what you alluded to at INR40,000 -odd crores or so, to say, INR60,000 -odd crores. So , which means that the INR11 -12 crores what we have provided , will be provided in the next quarter too, right? Or , if I want to put it in this way, every quarter on an average, every quarter, you have 40,000 open interest -- 40,000 crores open interest, then this INR11 crores or INR12 crores will be recurring ...item or if it goes beyond 40,000 only then it will come and hit P&L?

P S Reddy: As I said, the high watermark is what is taken into consideration. The high watermark was around 42,000, 43,000 or 44,000 , I don't exactly have the figure. If it goes beyond

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that, okay . And beyond that, it's not just one day, it is the average for the entire month, okay? And for the average entire month is more than that much, the requirement will go. Okay. But so , in one month, say for five days it shoots up, then it again, it goes down, then we will not, may not -- the average may not be influenced.

But also, we also impose additional margins whenever such kind of activity is taking place. So that will also come as a buffer to this SGF requirements at that point in time. And so, it is -- if in spite of those margins, if the members are trading, the clients want to retain their positions, open interest, it is only then and then if the average goes beyond high watermark, then we are required to contribute.

Sanketh Godha: But sir, this open interest is predominantly increased because of the options only, right sir, rather than futures, its increased because of options. So, if option volume continues to sustain the current trend and accordingly, the open interest goes up, then it should be assumed to be a continuous phenomenon. That's a fair understanding, sir?

P S Reddy: Well, options is contributing about INR20,000 -21,000 crores of open interest and then futures is contributing about INR20,000 -INR22,000 crores to the open interest. Now within that, again, for futures maybe gold and others and then options it is crude, NG, so, it all depends on that.

Sanketh Godha: Got it, sir. And last one from my side, the data keeping question. Sir, if you can break down your operating revenues into income from float, connectivity charges and so forth, just to understand, how much of transaction income and other income, on the other operating ...? Yes.

Satyajeet Bolar: The transaction charges was INR133 crores out of INR139 crores, INR133 crores came from transaction charges. And then the balance is membership fees, terminal charges, connectivity charges and all the authorized membership fees and all.

Sanketh Godha: How much was float income, sir? Float income ...

Satyajeet Bolar: Float income in consolidated, that's around INR27 crores.

Sanketh Godha: I meant to say the float from the margin money, not the entire year?

Satyajeet Bolar: Yes. So sorry, that's not INR27 crores, INR23 crores.

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Sanketh Godha: This is only from the margin money, right sir, not from the entire cash on book side?

Satyajeet Bolar: Margins only.

Moderator: We have our next question from the line of Lavanya T from UBS. Please go ahead.

Lavanya T: Hello. Congratul

ations, sir. So just wanted to check on AMC cost that you need to be paying to TCS from the current quarter. So, the current quarter will be having both the cost of TCS as well as cost which we need to pay to 63 Moons, which is INR125 crores. Both will be hitting in the current quarter, right?

P S Reddy: Well, as far as TCS is concerned, for one year, it is under warranty. So, till the next September, I would say, there's no payment.

Lavanya T: Okay. And on the admin cost, this quarter, we had higher cost of around INR32 crores. So, will this be the run rate going ahead or is it one-off in this quarter, given that we were transitioning?

P S Reddy: Admin you're saying INR32 crores?

Lavanya T: Yes. I mean, sorry, it is both, other expenses, other than staff and software, all combined was coming to INR32 crores.

Satyajeet Bolar: It is INR45 crores, if you take computer technology expenses and employee cost, INR27 crores, and then we have legal expenses and CSR and other expenses. So, it adds up to INR45 crores, and then you have another INR6 crores for depreciation which adds up to -- yes, it's INR200 crores. And then the other is all linked to our turnover, what we have paid to 63 Moons as what we have paid to CME, regulatory fees and contribution to SGF.

Lavanya T: So, the current run rate will be similar next quarter also or there is any one-off is what my question was?

Satyajeet Bolar: Next quarter, we'll have a slight bump.

P S Reddy: Next quarter means -- just to clarify the current quarter?

Lavanya T: Yes, current running quarter?

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Satyajeet Bolar: So, there would be certain AMC costs that will come in for our new system that has gone live for the operating -- for the licenses and all, that would kick in as well as the depreciation would kick in.

Lavanya T: Okay. There is an AMC, which will kick in, in the current quarter then?

Satyajeet Bolar: Non TCS.

P S Reddy: AMC relates to, let us say, IBM Db2 is our database, Db2 licenses or some Microsoft licenses. These are the ones.

Lavanya T: Okay. So how much will be that amount? Any broad range of that?

P S Reddy: I think only, next quarter only we will be able to give you that amount, or rather, when we give the results ... December end.

Lavanya T: Okay. Got it. And on the new products which you mentioned that which we are going for renewal, one is steel TMT and Gold monthly options? Do we have anything else which are there already we have approved and looking for revalidation?

P S Reddy: See, I think it's not -- renewal is not the word, maybe some are under the renewal, but then some are actually say - go ahead, yes, now that you have now stabilized and then you can go ahead, is what we are looking at. And these are the two ones that we have looked at it. And maybe the cotton contract is another one, which we are waiting for some changes that the product advisory company has suggested. And that is one thing we are going to ask for it. And some mini contracts also, we have requested them to -- we have requested them for consideration. And of course, the electricity is another one, which is we have been waiting for -- but we will -- now the focus will be on business. For so many months, we have, what we call -- we couldn't focus on it, but now business, business, business, that's all. Maybe new products, new type of participants and new areas, engaging, and engagement with the financial institutions and etcetera.

Lavanya T: Got it. So maybe on this Steel TMT, any reference to the global markets, like how big is the steel market, like crude and natural gas is very big in global markets as well. So, steel any reference that we can see from other global markets, or how do you see the addressable market in India and...

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P S Reddy: Various types of contracts are there. There are about iron ore contracts also there, in China and other markets. And steel bars are there, steel ingots are there. So, I think it's fragmented in terms of various products are concerned and value chain is concerned. Probably, I mean, I don't have readily that information. But Steel TMT is something which we are actively pursuing because there's a lot of construction industry and the infrastructure industry is booming. That is something which we are looking forward to.

Lavanya T: Got it. If I can squeeze in one last question. So, on the competition, so do you see if the competition reduces the prices of options or like the transaction fees, would they see more traction or like anything on the transaction fee or pricing that they can play around?

P S Reddy: Well, see the transaction fee as such that we have, is also very marginal. And I don't think that will impact, because liquidity is something which cannot be taken away from one exchange to another exchange by playing with these numbers. And we have seen in the past also, not that they have waived also, many of the transactions in the past, yet nothing happened. That's the way it is.

Lavanya T: Okay. So is the understanding right that even if they reduce option pricing, the liquidity in futures is what is more important?

P S Reddy: No, I'm not saying that the liquidity in options cannot be taken away by reducing the charges of the -- on the premium. That's all I'm saying.

Moderator: We have our next question from the line of Chintan Sheth from Girik Capital.

Chintan Sheth: Congrats for the successful transition to the management. And a couple of questions on the SG F accounting. You mentioned about how it came in for the calculation this quarter, into the P&L. Is that an accounting change wherein we earlier used to directly route it to the balance sheet and this time around, it was to P&L, or this is just -- this has been the case earlier as well, if you can clarify?

Satyajeet Bolar: The last transaction, last transfer that we made -- or the last contribution that we made to SG F was sometime in March '20, and it was routed through the P&L.

Chintan Sheth: Routed through P&L. Okay. Great. Okay. And second, on the capex front, if you can spell out now once the thing has been over, what will be the total capex list stand for

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the TCS on this new saving in migration? And total capex will be incurring for this full

year - if you can spell out that?

Satyajeet Bolar: As MD mentioned that we'll take this -- it will be disclosed when we close our December results, we'll mention, we'll declare it at that time.

Chintan Sheth: So I'm not asking about the opex part on the , yes, on the capex side because in the earlier call also , in the Q1 call also we have been requesting this ... But if you -- now that the transaction has been over ...

P S Reddy: I think earlier also one more analyst has asked for the same thing. I think we would not like to disclose it at this point in time. It is there in the balance sheet of our result...

Chintan Sheth: Correct, there won't be any addition if I can ask , CWIP if there is any increase in the second half?

Satyajeet Bolar: No material addition.

P S Reddy: That's right.

Chintan Sheth: Okay. And lastly, on , in terms of the premium to turnover in the option s side that we have seen a decline over the course of time , how do we see this premium turnover to option turnover ratio? If you can explain what impacts this ratio over there , because of the ADTO keeps on rising, but not the premium ADTO to the equivalent extent of the overall universal ADTO. So , if you can help us understand how should one look at it, obviously, the there is an impact of the low volatility, but anything else yo

u can

spell out, or explain t hat?

P S Reddy: See, we have two slabs for the options premium. It is up to INR55 crores o f rupees, INR15 per INR1 lakh is paid by the participants. And thereafter, the incremental premium on turnover above INR5 crores, much like an income tax slab , INR40 is paid.

Okay. If you are coming closer to the INR40 means the options volumes are increasing , so the average is being coming down. But it will not go below INR40 because that is anyway the minimum charge. That's what it is. We have only two slabs.

Moderator: We have our next question from the line of Rajesh Kothari from AlfAccurate Advisors.

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Rajesh Kothari: My first question is with reference to increasing the participation, whether it is from the distributors, the brokers. Can you just tell us what efforts we are taking to expand the distribution and participation?

P S Reddy: Well, see, on the member side, okay, it is coming down because of the members are consolidating their memberships , under the unified regime , membership regime of SEBI , to reduce their compliance costs, etcetera. So that is not the way that I look at this business. The number of UCCs that are trading , are increasing, whether traded through A, B or C , doesn't matter for us... traded through A and B is also fine with us. So, keeping that in view, we are focusing mostly on the number of UCCs.

While the business development team has the KRAs to increase the number of members, but as far as we are concerned, our focus is mostly on how many on quarter -on-quarter, how many more UCCs have come in. And at the end of the year, how many more UCCs have traded on the exchange. That is one part of it, one important. Second, the people who trade on the exchange, well, they are concerned about the cost. What is the cost of trading , of course, CTT STT we can't do, CTT or stamp duty , we cant do anything , that's given to everybody. So, the next thing is only to mitigate in terms of margins. The margins mean , committing more capital in some of this. So that is where this SGF contribution should come. We have not contributed as yet, except to the requirement that is needed. But if certain dispensations that we have asked will come, then automatically, the participation will increase. That is another area that we are looking at. In terms of fund houses, who are participating and then how do we increase that. There are certain asks from the fund houses, not from us, but the regulatory regime. We ourselves have act ively taken up with the industry , as well as with the regulators, what is their ask and whether the task can be met or not. I think , very actively it is being considered by the regulator, these enablement's. And I'm sure once those enablement's come, more and more fund houses also will participate in it. Then another ask - another front, we are trying very actively is, the GST conundrum because we have various warehouses across the country. They are required to be registering it , because one doesn't move where one gets what you call , delivery. So that is one major, what you call, stumbling block , for participation in other contracts other than cash contracts. That's why if you see the vibrancy and cash contracts is more because of the only limited channels being available for such kind of participants. If the GST issue is also addressed, again, as I

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said, we are actively taking up at various forums and doing the needful. So once those things are done, probably we will be able to address and attract more participation. Thank you.

Rajesh Kothari: Sir, you mentioned that number of UCC, what you track. Is it possible for you to share some data that, what are how many UCCs today currently we have?

P S Reddy: Hello, yes, UCCs I will

definitely give you. Okay. Praveen, you can explain that -- what is the -- Okay. You have to speak here Okay. One minute. Yes, it is there.

Moderator: Sir, we are unable to hear you.

P S Reddy: I'm not speaking. So that's it. Okay. In the financial year, year-to-date, last year, that is 2023, we had 3,74,000 UCCs participated, okay? That is from April 1, '22 to September '22. And the corresponding period now, in the current year, 5,84,400 odd are participated. So that's a big jump.

Moderator: Sir sorry, his line got disconnected. I'll take the next question from the line of Kamallesh Kasi from Pinpoint Asset Management. Please go ahead.

Kamallesh Kasi: Congrats on the platform transfer. Just a quick question from me. Over the past few months, have you seen any defaults on counterparties? Thank you.

P S Reddy: Absolutely, none. Maybe it's not just -- not just few years because for several years, we are not seeing any counterparties defaults on the exchange. Thank you.

Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand over the call to Mr. P.S. Reddy for closing comments. Over to you, sir.

P S Reddy: Again, as I expressed my gratitude to all of you, as well wishers or otherwise shareholders on the exchange platform, on MCX, and continue to support us. We will continue to work towards betterment of these financial results as well as the business that we are in. And we work towards fulfilling the promises that we make. Thanks for all of you once again. Thank you so much.

Moderator: Thank you, sir. On behalf of Multi Commodity Exchange of India Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Dec 2023

MULTI COMMODITY EXCHANGE OF INDIA LTD.

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CIN: L51909MH2002PLC135594, info@mcxindia.com MCX/SEC /2322 December 01 , 2023

The Dy. General Manager

Corporate Relations & Service Dept.

BSE Limited,

P.J. Towers, Dalal Street,

Mumbai - 400001

Scrip code: 534091, Scrip ID: MCX

Subject: Transcript of calls with Investor/Analysts

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)

Regulations, 2015, please find enclosed the following transcript of the call with investor /analysts:

Sr.

No Investor /Analysts Date Time Annexure

1. Group Investor Call hosted by

HDFC Securities with HSBC MF

and Sundaram Alternates November 23 , 2023 12:00 PM Annexure - A

The said transcript is also uploaded on the website of the Company at

<https://www.mcxindia.com/investor-relations/ir-meetings>

Further, we hereby confirm that no unpublished price sensitive information was shared/discussed during the said meeting .

Kindly take the same on record and acknowledge receipt.

Thanking you,

Yours faithfully,

For Multi Commodity Exchange of India Limited

Manisha Thakur

Company Secretary

Encl: As above

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Group Investor Meeting facilitated by HDFC Securities.

November 23, 2023

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Annexure - A

Multi Commodity Exchange of India Limited

November 23, 2023

MANAGEMENT : MR. P.S. REDDY – MANAGING DIRECTOR AND CHIEF
EXECUTIVE OFFICER – MULTI COMMODITY EXCHANGE OF
INDIA LIMITED

MR. PRAVEEN D G – CHIEF RISK OFFICER – MULTI COMMODITY
EXCHANGE OF INDIA LIMITED

MR. NARESH BHUTA – DEPUTY CHIEF FINANCIAL OFFICER –
MULTI COMMODITY EXCHANGE OF INDIA LIMITED

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P.S. Reddy: Welcome to this Analyst Call gentlemen. I think you are all from Sundaram Alternatives and HSBC Mutual Fund. And of course, HDFC Securities has organized this meeting. And I think each one of you go ahead and fire the question.

Analyst: We have lot of questions but let's start with the most recent event of the new platform. How has been the overall experiences? Initially we saw little bit dip in the volume but now the volumes have normalized and started growing. So how has been the overall experience so far?

P.S. Reddy: Well, I think the migration is by and large considering that it is a big bang approach. It is to the satisfaction of the management. Yes, maybe first two days there were some hiccups. And as we went along and some not market wise but sporadic or member specific issues have been supported. And the ecosystem is pampered with various alternatives for meeting the same purpose. You get one feed via something else, another feed something else.

But then somebody tries to use one type of feed for meeting one request. And then somebody else uses two types for two different things. Although one can do the same thing. And as a result, different nuances have been seen for each one of them. I think they are all fixed. The latency has been improved also and we are also publishing on our website.

Those numbers are far better than what it was earlier in the system. In terms of latency numbers. And it is getting towards severity. I can't say that it is 100% stable. Still, we keep getting hearing from somebody as some file they missed it, or they have not got. Maybe 99 members have received one number.

You regenerate and then deliver to them. This kind of things are there but yes by and large it is a smooth transition. The second set of problems or the things that we have to still to put in place is the timelines. Many members expect the files to be given by 4 o'clock, 5 o'clock. Maybe we are taking at time 6 o'clock or 6.30. But anyway, usually the system is ready and then members login is done by 7, 7.30 in the morning. So, I think some more tweaking or fine tuning of various processes are required.

That center is always there. The CS team is also still here. They have been doing it. And we should be able to attain that kind of stability in the next month or so. We have

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already completed one complete cycle of expiry of options, futures, deliveries. Because deliveries also takes place on this platform.

Now the second set is already started. We are already into-- I think crude is already expired. And from 25th, you will have – 26th, other metal contracts will start going for deliveries. Some expiries will also come.

Analyst: So, you mentioned some minor glitches from file perspective is there which is a continuous improvement in terms of file sending or expectation of timing. From trading perspective there are no glitches.

P.S. Reddy: Trading perspective, no. They are behind us.

Analyst: And the feedback loop that we had in terms of informing SEBI and receiving their feedback. Now that is entirely closed. Now SEBI is not ...

P.S. Reddy: We keep sending it to SEBI. Someday, somebody will say something. For example, the other day, somewhere some hardware was slow. And writing to storage was slow.

And with regard to one partition. As a result, it has put back pressure. And as per the business rule if it is slow, all new orders will not be accepted. Old orders will be cancelled. They are called non-persistent. Persistent orders will continue to be in the system. Once that slowness is fixed. Then those orders will be picked up. So, it happened for 10 minutes, 15 minutes or something like that. Now some members. Since it is an API based thing. Some members d

id not handle it. Other vendors rather. This particular concept. And so, some members said that the orders have been cancelled but still trades are taking place. But then they are persistent orders.

Persistent orders. Then we cut out all the notice. Whatever we have issued to the members. This is the way you have to handle it. We have already upfront informed you. This is the way it is. Similarly on the same day it happened in the night. Some gold price shot up to 61,900. No, no, something is wrong with the system. Nothing is wrong. Everything went on well. It is a genuine trade. Maybe a mistake by somebody. Instead of placing a limit order he placed a market order. So, the order book has been swept. And so again it has regained. And the lot of trades also have taken place. 61,600 and odd rupees also. Lot of trades. That is not a mistake. It is genuinely taken. 900 and 600 and odd. 300 little less. Then it has come down to 61,200, 300 whatever it is.

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So, this one is also attributed to something is wrong with the system. So we have been informing SEBI. I mean very transparently what happened and all that. And so what I wanted to say is this kind of things. I mean the other day you must have seen it on the TV channels. So, this kind of thing somebody will say no, no something is wrong with MCX. It is not wrong with MCX. It is wrong with you. You have not done a proper handling. So, these are the instances. Once in a while it happens. And I think there is still room for improving the latency also. Now the problem for us is it is a live system. So, if there are any changes have to be done. We have to do it on a Saturday, or Sunday. Not otherwise. And on a Saturday and Sunday although we know the issues what is to be fixed, we test them. But we cannot put all of them on one day and then release it. Because if there is a problem, we will not be able to figure out. So, we need so many Saturdays to bring the system to stability. That is why we are you know maybe stability is taking more time than what is expected. But whenever there is a holiday, whenever there is a Saturday, Sunday. We don't lose that opportunity. We simply do the fixes. Analyst: Let me step back a little bit here and try to understand like the TCS contract. Because you are still doing some changes to the system and all that. So, what happened? It took a long period to be implemented right? So, was it still not complete when we migrated to TCS?

P.S. Reddy: No....

Analyst: Like the glitches that you are talking about.

P.S. Reddy: Come again.

Analyst: Like the glitches that you are talking about that could have been fixed?

P.S. Reddy: No, no. These are all what you call new system we launched. There will be some teething troubles. Because all scenarios may not have been thought through when the system was put to mock. And unfortunately, some of the members did not participate also during the mock with as much volume they ought to have. And the highest volume in the mock they have done is about 2 lakh trades or something like that. What is 2 lakhs and what is the kind of volume that we are having it? They should have pumped at that time. It's a different matter. We have used a trade generator and then pumped it. But all of a sudden, the trade generator is with all its attributes is a one-unit system. But you are 10 of the members. If you have pumped in 10 times, I mean whatever is the volume, you take the response, and we will know what are the nuances and what
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are the kind of differences that the system is behaving. But nobody did that. But anyway, it will happen in any system like this. So, there are some functionalities which you have kept post-go live. So that we will be releasing it one by one.
Analyst

: But that's not hampering the day to day?

P.S. Reddy: Of course, it is not.

Analyst: And once the system is fully finalized or fine-tuned, the volume growth which we expect, there will not be any issue from the IT side in terms of handling those volumes?

P.S. Reddy: There should not be even now also. There is no problem for the system to handle it. So, the system is not coming in the way of handling the volumes. Our volumes are not being lost today even now as we speak because of this system. That's behind us.

Analyst: Even scaling the system will not be an issue?

P.S. Reddy: Not at all.

Analyst: Just on this point itself, because of this new system and all, I am sure you will be educating the members and all, but are there any things like from a user-friendliness perspective, there are any glitches in that part which needs to be kind of ironed out?

You just spoke about the timing issues or the latency issues. But generally, from a user experience perspective in terms of some additional elements which are required which were not there before, are those things also kind of pretty much addressed over here?

P.S. Reddy: See, if you ask me, it is too late in the day for people to get educated on the new platform. We have given almost a six-month mock sessions, we have done. And everybody has been, I mean, education also is done and on-boarded, they use the system, installations have taken place. So, they know how each feature works or does not work or what are the limitations. So, it is nothing to do with those features, nothing to do with these features.

Analyst: The platform does give us operating leverage, but also, I am trying to understand whether in terms of volume or other functionalities, is it equipped enough to handle all those new products we could launch in the future? Or like let's say if there is a doubling of volumes, I am just hypothetically bringing up the question, like the system can handle that, like this latency issue should not be...

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P.S. Reddy: Yes, it can. It is the other way. Latency is much, I mean, in the sense of latency is very low. So, it is 380 microseconds or something like that at 80 percentile of the order as against 540 or 80 in the old system. So, the orders go so much faster and then get the response so much faster. And that is from gateway to gateway. That is before I get it, before your order comes into our system and then when it goes out.

Analyst: Sir, on the topic of owning the software and launch of the new features that you mentioned, now is it being done by the MCX IT team or is it still being done by the TCS team?

P.S. Reddy: IPR is with the TCS.

Analyst: And source code also with them?

P.S. Reddy: Obviously, IPR is there. We have a license to use it. Okay. We have the license. License, you pay AMC, as long as you pay AMC, that license is there for you. Now, even the AMC charges are also fixed forever.

Analyst: Forever?

P.S. Reddy: Forever, okay. Not only for next 5 years, okay, but also afterwards also the growth rate has been fixed.

Analyst: So, is that public information? Have you disclosed what is that?

P.S. Reddy: No, we have said that?

Praveen DG: AMC number, we have not...

P.S. Reddy: But it is fixed. So, I will not land in the kind of trouble that I landed in.

Analyst: Exactly, that is what I am trying to understand actually.

P.S. Reddy: Come again?

Analyst: That is what I am trying to understand, what is the learning from the previous team. But in terms of...

P.S. Reddy: And also, if you want to develop a new platform, now that you have so much time, you can parallelly also develop one more platform. You don't need to, there is no restriction on the part of TCS.

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Analyst: Can we buy? Do we have an op

tion to buy their platform from TCS? From TCS, can we buy their platform? Is there an option?

P.S. Reddy: No, no. We have asked in the beginning itself.

Analyst: They said no.

P.S. Reddy: T7 is the proprietary of Deutsche Bank. And so, they have not sold. License they are giving.

Analyst: But anybody can go and take that license. Yes, they can.

Analyst: Sir, there was a recent announcement two days ago, TCS got some approval or license to work with Australian Stock Exchange.

P.S. Reddy: Clearing and settlement system of Australian Stock Exchange. They got a contract.

Analyst: Is there similarity with ours?

P.S. Reddy: They have only sourcing for a clearing and settlement with the TCS Bank. It is already their product. Okay.

Analyst: Recently, NSE launched multiple futures and options contracts. Like in commodities.

I know we have a significant market share. In the past few years, we have actually gained the market share in commodities. I can clearly understand. What we have seen in the global markets is, commodities are usually part of broader commodities business, like part of equities, fixed income, and commodities would be just part of the entire exchange business.

That's what we have seen. What I am trying to understand is, from a customer perspective, from a trader's perspective, they can use the same margin they have with NSE or BSE, trade in commodities also. I am just trying to understand, these advantages are there, can it become a threat to us in terms of volumes?

P.S. Reddy: Okay. As for the exchange volumes, I mean, margins have to be kept separately for each of the segments. Okay. But if there is an excess margin in one segment, you can transfer it to another segment. Maybe that is one selling point they were using to tell members. But simultaneously, we have also approached the SEBI, and then members also have insisted on what we call industry standards forum.

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There they said, after 3.30 markets are shut, there is a lot of excess capital lying there, and they should be allowed to transfer it to the fungible. Transfer in the sense, it is only a lien gets created. If the broker says that, please give this margin to MCX, they should be able to say, I am marking lien in favor of MCX, then we will give the exposure based on that. So, that is as good as interoperability of the margins. So, we have asked them for that. I am sure that should be able to be facilitated.

Now, having said that, is there any turnover? These are the statistics that I have. Every day we get it. We are keeping a watch on it. WTI, yesterday, turnover in NSE was INR3 crores. This is futures. And open interest is 37 contracts. And NSE cash, future on natural gas, turnover is INR3.7 crores, and open interest is 87 contracts. Then options, NSE WTI crude, turnover was INR49 crores, premium to turnover is INR1 crore, and open interest is 124 contracts. And NSE options, and natural gas, zero. Nothing else. This is what the statistics.

Analyst: Let us step back over here. I am understanding slightly the larger picture over here. We are talking about a lot of new products that are getting introduced. We also run the options market as well. And probably that helps us a lot in terms of increasing the participation in the market. Typically we are talking about the institutional business and we are probably breaking down the retail business as well.

When we look at institutions, there is a lot of opportunity that the Indian guys have to typically trade in the LME markets for maybe hedging purposes and all. A lot of them do it because they get the benefit of either the currency as well. When you look at that opportunity, how do you assess that part? To our understanding, what we believe is that even institutions are a large opportunity. How do you capture that? When we talk to a lot of Indian

corporates, many of them do say that we do trade in MCX as well.

Or we do probably hedge in MCX. When it comes to making full use of the opportunity, how can MCX fit in over here? Because many of them always end up saying that there is a volume challenge and there is a volume level of -- how do we address those issues?

If you could probably speak a little bit on that larger opportunity. Both - on the institutional side, the same on the retail side, if you could also make us understand the extent of options that you have put up, also newer contracts over there.

How do you get to do that? Because when I compare it with the global indices, we are at about 1% compared to probably what 10% happens globally in terms of commodity derivatives. I don't think there is anything wrong in terms of any data statistics, but this is

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is what we have understood . How do we increase that participation? If you could just speak a little bit more?

P.S. Reddy: Sure. One thing is, I have been telling in the call also and then otherwise, with the occasions I have said, let's not have a tendency to compare equity versus commodities. Because that is an investment market. This is a risk management. Risk management means by and large, exposure to the underlying commodities is supposed to be making them. I mean risk management.

Now, having said this, the speculation is needed for any market. The liquidity is provided by them, whether it is retail or otherwise. And unfortunately, in this market, the lot sizes are equivalent to the delivery units as much as the delivery units. So, it happens to be a very big contract. The margin itself is substantially high. Like you take a crude oil, it's about 6 to 7 lakh contracts and about 2,50,000, 40%, so 2,50,000 is the margin.

So obviously, when only few can afford to come into this market, not everybody.

Having said that, the issue that you have said is that liquidity is less or maybe you are not able to hedge the foreign exchange risk also. That's what institutional market.

So how will they be, I mean, what is there for them to come into this market? You are absolutely right. But at the same time, if you look at the spectrum of the consumers or producers of various commodities, you have small, medium, large, etcetera, etcetera. Not everybody has a foreign exchange exposure. So, some of them are only operating in India. For them, what matters is the rupee trade.

Now, they are also not able to hedge in the international market. I think our approach is to build the market from the bottom, pick up these smaller guys, MSMEs, and show them the way forward using the exchange platform and risk management . We go to these big ones. They say, no, we are doing it on LME. I mean, they give 101 reasons why they cannot do it on MCX. I know that. And we have been doing it.

And that is true even in equity markets when we approach them. I mean, this is my experience because I was in BSE also for almost 18 years. When we used to approach the big brokers or a big clients , boss, there is no liquidity. How can I do it? Liquidity doesn't come. I can't create liquidity. So, the best thing is to pick up the smaller ones, make them work.

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For them, the liquidity is enough , adequate. So, like that, from the bottom up approach is adopted, the liquidity pool will keep on increasing. Then automatically the bigger players will come into the markets. That is the perfectly approach we are adopting here. We want MSMEs to come and start taking the exposure here. And that's happening. Thanks to gold, in the case of RBI or whatever it is. And whatever exposure that we have, almost 75% of the open interest is by the domestic hedgers. Now, that's a great number.

Now, we have seen that kind of participation in other

contracts also. But having said

this, the mindset and the mentality also has to change. What is risk management? What is hedging? It is not making profit on the commodity exchange. It is just, if you take a physical book or a financial book, there is no loss, no gain. If one loses, the other one gains, or vice versa . But they don't look at that, some of them. That narrow -mindedness - oh, we have lost on MCX, so we stop the trading on MCX. But the physical market has gained. The contra position they have to take, the open interest, the inventory that they have, or the order that they have. But instead of doing that, they say that, no, I have lost my, something. So that education is something which has become very fundamental here.

Analyst: Is there any market in terms of size you track over here, that these are the corporates who are there, who probably are in the MSME space, who are probably doing this, who probably want to do hedging, and what is the market you want to track?

P.S. Reddy: Of course, we have been, no, we have been going, no, we don't have that numbers, I said, but we have been engaging with the industry associations many a times. Some of the banks have got their customers, we are engaging with those customers, okay, where they extend their loans. And the listed universe also, we scan it, and in fact, listing agreements we have seen, as for the listing agreement, annual report they should say, whether they are hedging, not hedging, etcetera.

So, we pick up those, those companies also, write to them, engage them actively. And, yes, it's not a one -day effort. Maybe we should constantly at them, so that one fine morning they will decide to do it, then they will start doing it.

Analyst: Do we segregate the volume with, how much is institutional, how much is retail, do we do that way?

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P.S. Reddy: How much by the hedged value chain participant, how much by the almost, how much is by the... Okay, that's something we can share. That's right.

Analyst: Alluding to the same point, I mean, like, getting the new products, you do talk about, steel TMT contracts, like, so that is going to be used by builders and other supply chain participants in the real estate and other infrastructure, that is my first question. And what kind of market you can see there?

And what other products, like cotton futures or options or like a, or any other materials which are in a huge market, like let's say, nickel, could be the...

P.S. Reddy: See, we have applied for the, what we call, aluminum alloy, that again, base many of the companies, the automobile industry uses aluminum alloy. So, that's one we have been waiting for approval. And that's also at a different level of discussion. And that is one part of it.

The second one is, of course, steel TMT bars. We should be able to launch at the earliest because their approval has come, but then because of this migration, I think we held it back, and I think when again we have written to SEBI, look, we would like to launch it. I think once that comes, we will go ahead. And the third is electricity derivatives is another one.

Again, it's a regulatory issue. Although I have been talking about electricity futures, I am not able to, we are not able to launch because of the regulatory, approvals have not come. I think this has to be decided by the CERC and SEBI together on this product. I think at this point in time, we are looking at this. There may be some more, but I think we are not as yet announced or informed you. We will get...

Analyst: But any market, I say, especially for steel TMT, because that is something we could launch in the next few months or what else. Who are the participants actually looking for this contract, your point of view?

P.S. Reddy: We have already engaged actively for this contract with the industry. As I said, the

construction industry is one which is major. And there is a lot of participation from the consumer side. The other side is, the producer side is the mini steel plants, okay. Integrated steel plants are only a few. Whether we will be, they will be interested or not, we do not know.

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But if they are able to join and then dispose of their metal, it's fine. But here again, we have seen some kind of resistance from some of the people who build a brand around their products and the command premiums. And that will be shaken up in that sense. Because for me, whether you call it whatever by name, ABC or 123, as long as the material meets the quality, whatever specifications that we have given it, then it's okay. And the customer also is fine. And that is something which some of the big players may not be happy with.

Analyst: In crude and natural gas, if your premium comes down in futures, is there a direct correlation with options volume coming down though that will be insulated?

P.S. Reddy: See, premium depends on two, three factors. One is that, whether it is in the money or at the money or far away, given the volatility. But if volatility is also adding to this kind of thing, then even the far away contracts also may have a higher premium and will get attracted. So...

Analyst: And what about margin requirement in crude and natural gas in futures if that is reduced?

P.S. Reddy: If I reduce it, then again, we have to contribute to the SG F. That's what we have been facing this challenge. That's why there is some other level of the risk management, the regulatory dispensation is needed. As I said, the stress test results is what determines the contribution. And that is where the issues are coming up. And in addition to these margins, there is also pre-expiry margins in cash settled contracts.

So, when the contract is about to enter an expiry period, that is four days, five days, then additional 5% is imposed. In addition to these high margins, I mean, it is double whammy. That's what the problem is. That's why the contracts are not doing well in terms of futures.

Analyst: And in options, what led to almost 80% of your options is right now driven by crude.

The rest is largely natural gas. As per that...

P.S. Reddy: What are these natural gas...

Analyst: Options?

P.S. Reddy: Crude oil.

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Analyst: Crude is the major and then whatever is the balance, the last part of that is natural gas?

P.S. Reddy: Natural gas, yes. Some of them are now it is seen in the -- gold is picking up.

Analyst: Correct. So, initially, why the other products did not fire for you and now it is doing well?

P.S. Reddy: See, one is that there is a push factor in the case of crude and natural gas because of the high margins in the underlying futures. And maybe having got used to dabbling in those options contracts, well, maybe they are trying their hand in the other gold and other contracts.

That's why the volumes are picking up. But I don't see there is so much of a, so much of a high margin in other contracts, in other futures. Gold, we have 2% extra.

Analyst: Just on the same point, I am not sure if you are able to kind of capture that or not, but typically when you see option participation increasing significantly and like you said, if you are basically trying to push it because it is a far lower margin compared to probably the underlying or the futures. Are you able to kind of track that newer people entering into this play as well, newer customers or probably members seeing more amount of...

P.S. Reddy: the new investors.

Because what I am asking that is, when you see in terms of equity participation, I know they are not comparable. We do see that whenever we saw the same thing happen in BSE as we

II. When the options were introduced, we saw a sudden surge over there.

Similarly, in case of NSE also when it happened, we saw a sudden surge as soon as options were open. So, just trying to understand over here that, what will be the percentage of newer guys coming in it? Is there any way to kind of track that?

P.S. Reddy: We do track, but that is not the...

Praveen DG: We do track it but what we have given in the report only like compared to the last year like FY '21-'22, the number for options was 1.72 lakh. That increased to 4.03 lakhs in FY '22-'23. That itself you can be able to guess that I think most of them should be new participants who have started participating.

Analyst: But at the same time, your futures would have also come down?

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Praveen DG: Overall, I am telling if you look at even together like futures and options, that number also I will give it to you. FY '21-'22, it was 4.7 lakhs compared to 6.21 lakhs in FY '22-'23. So, that is significant increase. Primarily, it was contributed by options, but definitely I can say that many of them happen with the new participants...

Analyst: But how many are only futures?

Praveen DG: Only, we have that one also. It was around 3.89 lakhs futures.

Analyst: Okay. And the rest?

Praveen DG: 3.6 lakhs. This is the annual average.

Analyst: Okay.

Analyst: So, do you track the new accounts opened in the last few years? How exactly because there is intermediary broker also within the end user and yourself?

P.S. Reddy: This is all by UCC based. This is a PAN based.

Analyst: Okay, PAN based. Unique PAN based.

P.S. Reddy: It is a unique PAN. It is a PAN based.

Analyst: So, on the related thing actually, sir, you mentioned somewhere in the beginning actually that about 75% to 80% is for hedging purpose, this kind of contracts?

P.S. Reddy: It is in there, in the gold.

Analyst: Only in the gold. But for others, it is less?

P.S. Reddy: It is less. Others it is less. And we have seen good amount of participation, hedge rs in crude palm oil. But then unfortunately it is banned. Okay. Good amount of participation.

Analyst: But bulk of the contract is actually in the oil segment, crude segment. So, are those more speculative in nature?

P.S. Reddy: In terms of degree, yes, maybe more. I would not say speculative. Where is the could be financial players also. That is a calendar spread, is what they take advantage. If there is a difference between the two, then they step in and then take advantage. But yes, there is a speculation element also.

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Analyst: You also mentioned a number of large players do want to trade on the bigger exchanges like others. Is there any arbitrage opportunity available and do people do some arbitrage between two exchanges?

P.S. Reddy: I am not too sure about those people doing arbitrage opportunity, whether they do it or not. Because it is not easy and there is a currency also involved in it. So, they have to hedge currency as well as, the underlying price when they come to India. But within the exchange also there are arbitrage opportunities. As I said, calendar spread arbitrage opportunities are there. Similarly, the spot and the futures, there also they get arbitrage opportunity.

We have seen sometimes the MCX metal contracts are offering a better rate than the spot. Then people, I mean some of these big players, they simply dump the material on the exchange platform. They just sell it.

Analyst: I am just trying to think of ways and means like how the volume can increase. So, apart from the example that you already gave, are there other ways or other products that you are looking at to increase in volume?

P.S. Reddy: No, products we are looking at, as I told you, I have already explained the products that

we are looking at it. But some of the players, big algo players who were earlier not playing, they are waiting for the migration to complete so that they can dovetail the system with the new platform. So, they will also start trading on the exchange platform.

Analyst: You say algo players or you are referring to international players?

P.S. Reddy: Yes, they all are international. They have domestic offices; they are already participating in equity. So, just they held back participation in this.

Analyst: What kind of fund size it would be like demand?

P.S. Reddy: They are algo players or proprietary basically. They are big internationally across the world they participate. For example, Citadel. They are there on NSE, BSE. And they have become recently our members. So, we expect them to participate.

Analyst: Just on the point of when you said that increase volumes in the market, if you look at it today, a lot of the volumes are driven by options because options are introduced.

Obviously, we are pushing more now. That's the paradigm to make that more increasing retail participation. Because the point of when you said that you are probably trying to

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help the smaller corporates, the smaller MSMEs and all that, they would ideally do future contracts. That's the paradigm to make. But for them also, the value or the margin seems to be too high for them.

P.S. Reddy: So, margin seems to be too high for them.

Analyst: So, you are saying that even the smaller MSMEs would prefer the option route rather than going through the future?

P.S. Reddy: See, as long as their purpose is served, how does it matter whether they do it.

Analyst: I just want to understand that because they are relatively larger, I understand the margin part is there. But I am presuming that in future, your liquidity would be better as compared to options based on stand?

P.S. Reddy: I understand. But even if they participate in options, if they have to take delivery or give delivery at the end of the option because they tender it devolves into the underlying, maybe the cost can be saved by holding it only for five days in futures but the rest of the period in options. In options, the margin requirements are less. The moment it is devolved into futures, the margin requirement increases. Then, as a -- that

margin requirement, they have to give it only for four days, five days .

Analyst: So, the last part of the growth project you talked about, the volume project you talked about, you see only options improving. Would you say that it is retail participation plus MSME participation as well?

P.S. Reddy: The options are primarily in this, what you call, in crude and...

Analyst: In crude, exactly.

P.S. Reddy: So, there, I do not say that they are the major dominator. But in other contracts is what we are promoting or what we are trying to deepen the market.

Analyst: Which you are referring to the mini contracts.

P.S. Reddy: And mini contracts in the smaller players coming in and taking deliveries, etcetera.

Analyst: The discount brokers and new age brokers have started enabling commodity derivatives for users in their platform. So, is there any like a new like push from our side to increase the retail participation side, like either with the new age platforms or like ...?

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P.S. Reddy: They are already offering. In fact, if you see the number of investors registered as almost INR1.5 crores.

Analyst: Okay.

P.S. Reddy: On the exchange front. But that is not the material thing. Only when they become active, then it matters.

Analyst: I understand that, but I am trying to understand if we are having any conscious support to increase that kind of participation?

P.S. Reddy: That's what I am saying it. There -- whom

ever they are onboarding in equities, so by the same stroke they are onboarding them on the exchange also. But it is up to them to engage a focused team within the brokerages. So, that is another dimension that we have been pursuing with the members. They must dedicate team to engage -- with their clients to trade on, to trade in the sense, give them the guidance how to trade on commodities as well.

Analyst: As you mentioned, open interest in gold is actually really good. A lot of participation is there, like in actual hedging. A lot of participation is there in actual hedging. What kind of participants are actually doing the hedging? What are the supply chain participants that to be come and do that?

P.S. Reddy: All big jewel lery participants, big jewelers are participating. And in addition to that, the refiners have already admitted four, five refiners, domestic refiners to deliver gold on the exchange platform. Even they are participating in delivering gold on the exchange platform. Almost like a ton plus they have delivered on the exchange.

Analyst: So, there is a lot more to exploit on the opportunity there?

P.S. Reddy: There is an opportunity, no doubt. There is on the -- currently, we have how much? 15 metric tons of open interest in the gold as of now, as I am speaking. So, that's all 15 metric tons is not a small sum.

Analyst: Since we are running a little short on time, I have a few questions on financials. Firstly, on TCS contract. Now, post -December, once the payment or the penalty charges or the annual charges, sorry, for the 63 Moons goes off, how will our software support charges as a steady state quarter -on-quarter look like? Earlier, it used to be INR12, INR14, INR15 CR.

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P.S. Reddy: See, there is no, what to call, revenue linked to that. But then, as we have said, you will also see from this quarter, current quarter, you will have two effects. One is the capitalization of the, whatever capital work in progress has been now, start depreciating in this quarter only. And then you will have INR124 CR by impact also will be there. But next quarter onwards, only you will have the depreciation impact, because for next one year, this is under warranty. So, there is no AMC. Then the next AMC will kick in from October onwards, next year October.

Analyst: So, will the software support charges line item like really come down in single digit then? Because there will be very nominal cost for you to run the platform for one year?

P.S. Reddy: Should be.

Analyst: And depreciation will go high?

P.S. Reddy: Will be high.

Analyst: How much will be the depreciation?

P.S. Reddy: As we have said already, maybe -- it may not much deviate from what we have currently in terms of, whatever we are paying to 63 Moons also. In that range only, both will be. Not only the depreciation plus this ...

Analyst: Yes, it will be similar to what?

P.S. Reddy: It will be similar to what we have been saying it. That's what it is. While volumes may go up, that thing is not impacted.

Analyst: And from a premium turnover perspective on options right now. So, premium as a percentage of turnover has been going down. We have seen that with cash exchanges also.

P.S. Reddy: It varies, because I was told that this month, and it is almost for 2.4% to the notional turnover ...

Praveen DG : It's options for premium?

P.S. Reddy: And last month it is almost 1.8% or something like that. I was told. It's varying.

Analyst: Understood. So, we will have to keep on tracking every month -on-month. Anyway, we get it on a monthly basis so we can have that idea. But if I remove the cost that we are
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paying to 63 Moons , on a normalized level, now the company is more or less making a INR100 crores of profit. That will

It sustain and continue plus the growth, whatever we will be seeing options going forward. Is it the right way?

P.S. Reddy: I don't know want to comment on it because it is not proper to speak on, give some kind of...

Analyst: No, not the guidance part. We are currently at an INR100 crores profit. That is true, right?

P.S. Reddy: See, if you remove the impact of the 63 Moons, then you will see how we have done. Or if you may -- if you have -- have you had the INR50 crores, INR60 crores as IT expense, then you can see how would have been the bottom line.

Analyst: Only the difference in that is understanding the tax implication. So, that is where I am a little bit confused. Because when's you are paying a little bit higher, we also saw tax, absolute tax amount and the tax rate also very volatile since last few quarters. So, once everything is removed, how will that look like? Then only I can get to a normalized PAT.

P.S. Reddy: You can answer anything on that?

Naresh Bhuta: So usually, if you will see, the tax is an effective tax rate ...

P.S. Reddy: This is our deputy CFO, who joined recently.

Naresh Bhuta : So, it is an effective tax rate. So, the average tax rate will be the tax rate for the quarter, will be on par with the annual tax impact. So, that...

P.S. Reddy: It is over 24% or something.

Naresh Bhuta: Yes. 25.17% is there. So, that will be a tentative, maybe because of past current few ups and downs, because of deferred tax and provision for tax. Otherwise, total tax for the company will be 25.17

Analyst: 25.17.

Analyst : Just justification on this so, when you said that your new cost, which you will be paying will be software plus depreciation, will be equal to the software cost which you are paying earlier. And when you also said that there will be no AMC for the next one year -- next quarter, you will obviously get the impact of the 63 Moons .

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P.S. Reddy: Not next quarter, this quarter.

Analyst : When I mean next quarter, sorry. My mistake. And then after that, you will not have any other cost of...

P.S. Reddy : Should not.

Analyst : And you will also not have any other cost for next three quarters of TCS as well, because...

Analyst: Sir, like how, in equities we see like index are options and futures actually make a big volume . Do we see like similar products, that could come up? Like is there any big traction what that?

P.S. Reddy: Index options is some... A new product that we can look at introducing. But first, we

would like index futures themselves to be vibrant. We had METLDEX doing well. Almost all 200, in the course, ADT. Thanks to nickel debacle and that has gone now we are reconstructing. We will now launch a new contract after reconstruction. It is already done reconstruction.

Now, METLDEX will have only four, four this one. And we also applied to SEBI for mini contracts of copper as well as nickel. So, if nickel mini also comes, that is also good enough for us. At least one contract will be there to deal with it. So, first index, the underlying being even for any of these options or any of the underlying being the features, that we need to bring up to certain reasonable degree. So, then only we would like to launch.

Analyst: We are looking for some regulatory enablement's for, like a big fund house to trade in commodities. What kind of regulatory enablement's have that has to happen to fund houses to enter? Like what kind of participant are not able to do?

P.S. Reddy: Are fund houses interested in trading in commodities? That is the big question. The reason why I am asking is, I am honest in telling you this. I have been breaking my head with so many fund houses, including with the association. And there seems to be very little interest in it except for two or three funds who are interested in doing it. They are anyway doing it

t. Nippon is one who does it. So, it is the Tata Mutual Fund. But rest seems to be okay. They are in their cozy shell. And they don't want to do anything about it.

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Analyst: Sir, you already made one very important statement and that resonated with me. You mentioned that equity is for investment purpose. This is predominantly for the hedging purpose. So, we have taken steps to create this mindset among people that come to the equities for investment. Now, one has to go and then redefine oneself for hedging. So, that is a different segment altogether. I know why actually...

P.S. Reddy: I understand. But then you can launch ETFs also, no?

Analyst: Yes.

P.S. Reddy: But that is also not being done.

Analyst: So, we are actually planning something like multi-asset production sequence, right?

P.S. Reddy: Yes. That's right.

Analyst: So, in those multi-assets, there would be ETFs and there would be some elements also.

P.S. Reddy: We have written so many letters to SEBI telling them, look, you have given even 180 days they allowed for gold. But for other metals and other things, only 30 days you can hold the metal. Tell me, my contract itself takes a duration of 30 days. That means you buy it and then you dispose of it immediately. How can it happen? If there is a calendar aspect benefit, you want to take it. You buy it in this contract, hold it for the next two to three months, then you have to hold that metal in the warehouse for that many months. But then regulations do not permit. So, you will not look at that. Similarly, you have fixation for LBMA gold, but not any other gold. Now, that may be prescribed in the rules for whatever it is. But domestic gold is not permitted to be taken.

Analyst: Just one question, I mean, this is, I think, a very good asking. Equity participation, obviously, you see a lot of equity participation happening. But at the same point, regulators are being very strict as well. So, they are okay with equity participation driving, so they promote, but they are also strict. Same thing, you have probably kind of seen this over here. And I also want to ask, if you want to kind of check any particular market globally, where the adoption happened in terms of, let's say, taking the risk measure as an important measure for the country. Are there any particular exchanges which we can probably look at, with existing products?

P.S. Reddy: Well, you see, the number of equity exchanges that you find across the world are far many as against the commodity part of it. So, obviously, only few can become leaders

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in these commodities. Now, you have China and you have LBMA and LME and then ICEX then CME. There's nobody else except.

Analyst: Chicago. Chicago is one of them.

P.S. Reddy: That's for Agri-commodities. Yes, that's right. Chicago Board of Trade. And so, what I wanted to say is there are not too many in this specializing. So, we can be really in

the regional hub in this region. We can be a very good leader providing hedging for many of the countries in this region. I mean, Singapore is also not good. Even WTI is traded on two or three other exchanges also. But we are the largest. Nowhere else this kind of volume is there. Neither in Singapore nor in Moscow nor in Dubai. Is about WTI contract is seated there also. We are the largest. Now, NSE has also taken license.

Analyst: But for that, you have to offer the contract in dollar terms.

P.S. Reddy: Yes.

Analyst: To attract the regional partners, regional countries, you have to offer the contract in dollar terms?

P.S. Reddy: No, understand ...

Analyst: Can we do that?

P.S. Reddy: No, we are not. We are not. The point I wanted to say is, we are allowing our people to go on and trade in dollars elsewhere. But then

we don't allow others to come and trade in dollars in India.

Analyst: Just on this part, because you said gold was one part which at least...

Analyst: It's happened leasing and all those things sometimes it's happened to now, let's say even the largest of the players, I mean, we do hear about Titan also talking about we do hedge in MCX and all. What would their volumes have shifted over the last, let's say, I am not asking how much they hedge, we are just trying to understand if it was X, how much it has kind of become over a period of time. Because I think natural growth as well is happening?

P.S. Reddy: I mean, all of them are doing, I mean, those who are prudential financial management, they hedge maybe 95% to 100%.

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Analyst: That is right. What I am asking is, in your exchange, when it started to today, how many people...

P.S. Reddy: I have not seen.

Analyst: You have not seen.

P.S. Reddy: I have not done the analysis of that.

Analyst: Sir, in the interest of time, my last question from me. There have been some key managerial exits in the recent past. Also, sir, your tenure is also up to next year.

P.S. Reddy: Who is the key managerial person?

Analyst: CTO, I guess ?

P.S. Reddy: Who is the CTO? It's been happening anyway. Managing the project is a big challenge.

Analyst: That is also an important...

P.S. Reddy: For which reason they may have left. Why don't you see that?

Analyst: That is there. That is true.

Analyst: But from outside this perspective, what is the succession planning and what's the planning for that?

P.S. Reddy: Well, you see, as far as the SEBI is concerned, the rules are very clear. Five years. An MD in an exchange in an M II, can spend only 10 years' time. Whether you break it into three years, three years, three contracts, five years, two contracts, whichever way it is, maximum 10 years. I will be completing in the next May, five years. So, I think the process will be on. I am sure, look at, we have launched this process six months before. And the NRC sees of this matter. They are working on it.

Analyst: What is NRC?

P.S. Reddy: NRC, Nomination and Remuneration Committee of the Exchange. Because it is their role to fill the gap. That's what it is.

Analyst: So, you think five years you will be completing next year?

P.S. Reddy: In this company.

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Analyst: You will be applying, means applying for an extension actually.

P.S. Reddy: There is nothing called extension. Actually, if I apply, then I will be, along with the others, I have to compete. And they decide and then send two, three names to SEBI.

And then SEBI will pick up one and then give.

Analyst: Same like bank, what we see.

P.S. Reddy: Same like banks. Everywhere.

Analyst: That is all. Excellent. That is all from me, sir. Thank you very much. Thank you so much.

P.S. Reddy: Welcome. Thank you. Thanks to all of you.

Call: Dec 2023

MULTI COMMODITY EXCHANGE OF INDIA LTD.

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The Dy. General Manager

Corporate Relations & Service Dept.

BSE Limited,

P.J. Towers, Dalal Street,

Mumbai - 400001

Scrip code: 534091, Scrip ID: MCX

Subject: Transcript of calls with Investor/Analysts

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)

Regulations, 2015, please find enclosed the following transcript of the call with investor /analysts:

Sr.

No Investor /Analysts Date Time Annexure

1. Group Investor Call hosted by UBS

Securities with 360 ONE Asset

Management Limited, Ashmore Group Plc,

Avendus Capital Private Limited, Balyasny

Asset Management, BNP Paribas Asset

Management, Citadel International Equities,

DSP Investment Managers Pvt Ltd., HDFC

Asset Mgt Co., Invesco Limited, Max Life

Insurance Co Ltd., Mirae Asset Global

Investments, Optimas Capital, Polymer

Capital Management, Sumitomo Mitsui DS

Asset Management, Sundaram Asset

Management Company Limited, White Oak

Capital Partners Pte Ltd. November

23, 2023 04:00 PM Annexure - A

The said transcript is also uploaded on the website of the Company at

<https://www.mcxindia.com/investor-relations/ir-meetings>

Further, we hereby confirm that no unpublished price sensitive information was shared/discussed during the said meeting .

Kindly take the same on record and acknowledge receipt.

Thanking you,

Yours faithfully,

For Multi Commodity Exchange of India Limited

Manisha Thakur

Company Secretary

Encl: As above

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Group Investor meeting facilitated by UBS Securities. "

November 23, 2023

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This document may contain "forward-looking statements" – that is, statements related to future, not past, events. In this context, forward looking statements often address our expected future business and financial performance, often contain words such as "expects", "anticipates", "intends", "plans", "believes", "seeks", "should" or "will". Forward-looking statements by their nature address matters that are, to different degrees, uncertain. These uncertainties may cause our actual results to be materially different than those expressed in our forward-looking statements. We do not undertake to update our forward-looking statements.

Annexure - A

Multi Commodity Exchange of India Limited

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MANAGEMENT : MR. P.S. REDDY – MANAGING DIRECTOR AND CHIEF
EXECUTIVE OFFICER – MULTI COMMODITY
EXCHANGE OF INDIA LIMITED
MR. PRAVEEN D G – CHIEF RISK OFFICER – MULTI
COMMODITY EXCHANGE OF INDIA LIMITED

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Lavanya Tottala: ...Questions, anyone, if they have questions, please use raise hand option or given that it's a small group, maybe you can unmute and introduce yourselves and go ahead with your question. So, maybe in the meantime, the first question from my side, so, on the new products, you have mentioned in earlier calls also that if weekly is not possible, you can introduce multiple monthly contracts with expiry in each month. So, for this, what kind of approvals we would need and is it still in product stage or how do you think about that?

P.S. Reddy: Well, in fact, weekly contracts, as such, are not permitted because a week is less than 11 days. So, under the SECC regulations, it is not a derivative product, okay, anything less than 11 days is spot. So, even when, also when we were talking about a weekly contract, it is an overlapping monthly contract which will expire every week.

So, it's a serial contract is what we were talking about. So, that's something which we will take up with the regulator and we'll see if they can give the dispensation to us.

Lavanya Tottala: Okay. So, will this have any impact on the pricing like option premium, so that will impact our transaction fees, like how will this impact the option premium?

P.S. Reddy: See, this question was also somebody else's asked, you know, what will happen to the premium? Probably premium will be reduced because that tenor is reduced, but then you have four times expiries in a month. So, to that extent, it will not be worse off.

The only upside is the volume increasing because of this weekly contract. So, the sum of it is definitely more than what we are, I mean, that's what is expected, what we are getting in a monthly contract. That's the way it is.

Lavanya Tottala: Okay. Any timeline that we are looking for this, sir, like how we are going to launch these?

P.S. Reddy: No, no. I don't talk about launch. I think from our side, the regulatory approvals, whatever applications are required to be done, we will do it in the next maybe two months or so. But thereafter ... that's the way it is. We will do our best to make an application.

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Lavanya Tottala: Okay. So, given that we are talking about regulations, one more question there. So, anything meaningful which could be positive or negative in pipeline or anything which is related because we have seen multiple regulations impacting our volumes over the past decade. So, anything in pipeline which could impact either positively or negatively or anything meaningful that you see?

P.S. Reddy: Well, I don't see anything negatively because whatever the current regulatory framework is there, that is a pretty tight regulatory framework in my own assessment, especially from the risk management point of view. So, certain dispensations is what we have sought with regard to the risk management framework. If they come through, then it can only be a positive thing but not negative.

Lavanya Tottala: Okay. So, anything specific that we are looking forward to in terms of regulations which could positively impact?

P.S. Reddy: Well, as I have already said in the past calls also, in terms of contribution to SGF, it is based on the stress test, what you call scenarios. And so, certain concessions that we have asked them, because it is 40% margins in crude oil, 30% plus in NG, is too --way high from what is happening internationally. Probably in the normal course, if we were to impose the margins on crude oil, it could have been around 16 plus percentage.

And maybe in NG also around that much only. Couldn't have been more. But because the contribution to SGF will go up, if we have to lower the margins, then we have to keep those margins very high. And that is where the business is

coming.

Lavanya Tottala: Yes. I request participants to unmute themselves and ask a question if they have any. Yes. Patrick, please go ahead.

Patrick Goodell: Thanks.

Lavanya Tottala: Please introduce yourself before going at the question.

Patrick Cadell : Sure. So, it is Patrick Cadell from Ashmore here. I wanted to ask about the new products you are launching in the BULLION segments. What are the key new products and when will these come online? And what stops options volumes in BULLION being as high as what they are in oil and energy in the future?

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P.S. Reddy: Well, in fact, it is more a push factor in the case of energy where the volumes have moved to the options because high margins in the underlying products in futures. And so, in the case of gold, I think traction is being built. I think one is that the premiums are high in the case of gold, one-month gold, because underlying is a bimonthly contract.

The tenor of the contract itself is. The second one is the contract size itself is large because one kilo bar is almost costing INR60 lakhs, INR61 lakhs. And so, to that extent, the premium will also be high. So, both are restricting participation. And I think the 100-gram gold on which options have been introduced mini, gold mini bars, and that is seeing a good traction. I think we have seen the other day INR850 crores of variety in the mini options. Just see how much it is.

Patrick Cadell : Got it. So, are those gold mini options already launched? And are they moving to kind of multiple monthly contracts as well?

Praveen DG : I could not get you. Can you come again?

Patrick Cadell : When did you launch the mini gold options?

Praveen DG : I think it is in FY22-23 we have launched.

Patrick Goodell: Okay.

Praveen DG : So, it is almost a year. It is more than a year, I think, we have launched it.

Patrick Cadell : Got it. And so, what are the new options in gold that you are looking to launch?

P.S. Reddy: I do not think we are immediately looking for any new option contracts in gold.

And at this point in time, I think we are looking at monthly options on the bi-monthly gold contract. I think that is something which we are looking at launching. So that at least the tenor of...

Patrick Cadell : Okay. And what percentage of your trading volume currently comes from retail by discount brokers?

P.S. Reddy: See, we have what you call Algo and non-Algo. But we have not so much into retail and non-retail. Okay. And again, the Algo is about 50, I mean, non-Algo

is also, you know, 49 -50 percentage. Yes. Please give that...
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Praveen DG : So, the Algo and non -Algo, I will give you the numbers. Whether you take the futures or option, both are about 52% and 53% if you take the last quarter, that means last quarter FY23 -24. Okay. That is one breakup that we have given.

And we also have provide d the data on client trading percentage. So, again, within the client ... some of them could be doing the Algo as well. But the client trading percentage is about, again, 52% in futures and 46% or 47% in options.

P.S. Reddy: But not necessarily all of them are retail in that sense.

Praveen DG : Yes. Not necessarily.

Patrick Cadell : Okay. And then, could you give an update on the outlook for electricity futures, power futures being introduced and what regulatory requirements are needed before that comes in?

P.S. Reddy: We have made an application almost more than two years ago, I would say.

And the regulators, CERC and SEBI has to bless it. And we have not received, although we have been very actively pursuing with regulators. And, of course, no exchange has received it as yet. So, that is the status at this point in time.

Patrick Cadell : Got it. And so, what other new products do you think

could be drivers of

volume over the next year?

Praveen DG : So, there are new products already, like what we have said, like steel TMT boards as well as M -Alloys. That is the two products we are looking at besides electricity.

P.S. Reddy: Mini contracts in copper and nickel.

Praveen DG : Mini and...

P.S. Reddy: Subject to approv als, once again.

Praveen DG : That is mini and minis in nickel and copper. That is what we are looking at, but all subjected to the regulatory approvals. Besides that, anyway, we are also looking for, like already we have intimated, we are looking for shorter duration option contracts .

Patrick Cadell : And that is in oil predominantly on the option side?

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Praveen DG : You are talking about options, shorter duration options? Yes. That is one. And we can also look for index options also, because SEBI has already allowed index options. It is now we will have to, now we have been waiting for the migration to happen. Now th e migration is now completed, so we can look for introducing the index options also.

Patrick Cadell : Got it. And on the index option side, could you go to weekly or even daily options there? Because it is still going to be a derivative product, because it is not an underlying.

Praveen DG : It is going to be a cash settled product, because even the futures itself is a cash settled product, and options may not be option on futures, because the product can be independent to that of the futures contract, and it can be settled based on the under lying index itself. So going by that logic, it is like, yes, we can think of shorter duration contract, like what we have been seeing in the equity markets.

Patrick Cadell : Okay. Because, yes, I think in equity markets, it is the one day or single day futures options, which seem to have the most volume. Do you think the same dynamic could exist in commodities?

Praveen DG : So, one day ... but at least we will have to first think of some, maybe a week's contract or a fortnightly contract. Subsequently, if the market demand, if there is a demand for it, definitely we can consider that one. But at this point of time, I do not think, definitel y we are not looking for a one-day kind of, and again, irrespective of that, like MD has said, it is like, at least it should have a duration of more than 11 days.

So, there will be too many one-day contracts if I am launching one month ahead. So that may not be appropriate to have that many contracts. We can think of a weekly duration contract.

Patrick Cadell : Got it. Okay.

Lavanya Tottala: Thank you. I request participants to go ahead with questions if there is any from your side. You can unmute and go ahead. So, in the meantime, maybe one of the participants earlier we were talking about institutional participation as well. So now that the transition has happened, so are you seeing any work towards improving institutional participation in commodity market?

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P.S. Reddy: Well, it is just a little over one month, the transition has happened. I think, you know, translating to a greater degree of participation by institutional investors. But again, institutional investor participation is not so much on account of technology migration. It is more to do with some framework related issues. For example, for mutual funds, there are certain constraints which we have taken up with the regulators. And GST is a constant, you know, is a sore point. The administration of GST, not anything else, not the percentage of GST as such, but the administration of it is a constant sore point for many, because they have to register at multiple locations, etcetera, etcetera. And I think those are the issues that are required to be addressed. So not so much of the technology. But apart from that,

from the FPI point of view, we propose to release a permit Category II FPIs as well as DMA facility also, we want to introduce it shortly. And I think the testing are going on. So once that is done, then we will release it to the market. That is something which I can expect to happen.

Lavanya Tottala: Okay. Got it. And on the base metals, earlier we have seen that nickel has seen significant impact because of the commodity price volatility. So how are we seeing or thinking to revamp base metal contribution or anything from our side that we could do to support volumes?

P.S. Reddy: As I said that we have applied to the regulator for a smaller contract in nickel. And that will also reduce the contract size as well as give greater degree of leeway for that is to participate. So that is... But then there, the trading unit and delivery unit will be different as the trading unit will be smaller, delivery unit continues to be as it has been used to be earlier. So that is not yet approved. So, if that comes through, probably we will see some traction in that. And on the METLDEX, I think we have removed nickel in that. And now it constitutes of only four metal contracts, metal products. And we are yet to launch it. Otherwise, it was almost giving about INR200 to INR300 crores ADT METLDEX, index of which is contract. So that is another thing we will propose to introduce. We will do that.

Lavanya Tottala: Got it. I request participants to raise your hand in case you have any questions, or you can unmute yourself and go ahead with the question. Yes, Rohit, please go ahead with the question.

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Rohit: Hi, sir. Continuing on this index options. So, in terms of the launch of index options, how far are we? How much time will it take? And what are the steps for that?

P.S. Reddy: See, currently we have only BULLDEX is doing well. And of course, the underlying ADT is about INR80 crores to INR100 crores on a day-to-day basis.

Praveen DG : It is about...

P.S. Reddy: How much?

Praveen DG : INR20 crores to INR30 crores.

P.S. Reddy: Now it has come down.

Praveen DG : Right. Now it has come down.

P.S. Reddy: So that is... So we have to apply to SEBI and regulator has to approve it. Then only we can launch. Launch doesn't take much time. But regulatory approvals may take time.

Rohit: Sir, in your experience, the regulatory approvals take about something like three to six months period or even longer than that?

P.S. Reddy: Well, earlier, it depends on the product to product. Maybe a calendar approval,

that is existing product launches. We apply to the calendar approvals and that comes through early, maybe in a month's time. But new products take a little more longer time.

Praveen DG : Sir, here the guidelines are there, but this is going to be the first product to be approved. So that is where it is very difficult to say that what kind of aspects the regulator would be looking at . So once the precedence is set, then I think generally it wouldn't be taking much time in getting approvals. So this is going to set some precedence. So of course, since guidelines are there, we are positive about it.

Rohit: Thanks, sir. In terms of your term, your term is coming up for renewal. Are you going to seek a renewal of your term, or will we see a change at the top?

P.S. Reddy: I think it's a personal choice of it. I would not want to talk anything about that. But for me, the process is the same. I think as an exchange, we have to
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advertise, which will happen in maybe the coming week or so. And that advertisement, anybody can apply. And as for the regulations, a MD is eligible to apply – MD should not be more than 65 years of age. And number two, no MD can continue for more than 10 years in an MII. So, keepi

ng that in view,
these two conditions, of course, I am eligible. And advertisement will come we'll see what it is. My term is coming May, sometime 9th May or so next year.
Yes.

Rohit: Yes.

Lavanya Tottala: Any other questions from you, Rohit?

Rohit: No, that's all. Thank s Lavanya .

Lavanya Tottala: Yes. Thank you .

Kapil: Can I ask a question?

Lavanya Tottala: Yes, sir. Please go ahead.

Kapil: Kapil here from UBS. So, my question is, do you track the nature of the transactions that are happening on your platform? So, two or three cuts on this. Firstly, how much of the business that you transacted, let's say in the last three months, came from repeat customers and how much came from new customers?

P.S. Reddy: See, last year we had 4,25,000 customers for their last year. And this year, one minute, this 4,70,000 customers and this year, 2022 -23, we had 6,21,000 customers. So, the incrementally is completely new customers that we have.

Kapil: And so I'm just curious to understand, like, the new customers, are they equally active as the old customers or they take time to kind of ramp up?

P.S. Reddy: When we talk about the new customers, only those ones who have traded only we count. Those who have registered, that turns into a few lakhs. So that's not material. We don't take that into consideration.

Kapil: Right. And is there a ballpark number, sir, which we can kind of leverage off that, this much of the business come from new customers for you, like 20%, 25% roughly?

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P.S. Reddy: You speak ... Go ahead.

Praveen DG : So roughly you can say, while how much they contribute, we may not be knowing, but roughly out of the total trading -- traded clients, they would be about 40%, roughly I'm saying.

Kapil: Understood. The second question I wanted to ask you was, do you do channel checks with your customers? How much of the volume that they are transacting is for hedging purposes and how much of it is speculative?

P.S. Reddy: Well, see, anybody who is doing hedging has to disclose it to the exchange and that is anyway disclosed on the exchange website also. The value chain participants, that's how it comes basically. So that's already available on the website. So, some of them may be hedging, yet they don't disclose it. They may not be doing it for whatever reasons best known to them. But it's voluntary. There's no other way that we can come to know.

Praveen DG : It is always very difficult to say that. A hedger can be speculating, okay. Or a speculator can be really, indeed, he may be having a position in the underlying commodity, and he may be hedging. So as long as he is going to make a right disclosure and he is going to tell us, then I think it is going to get captured in the report what we have been publishing to the market. Like what is their contribution to the overall open interest.

Kapil: Got it. Third question. So , energy sector dominates your business. Do you have a strategy to take this lower over the years? How much would you eventually want this to be as a part of your overall business?

P.S. Reddy: Our strategy is to ramp up other products such that the dominance is what you call, modulated. And I think various product launches that we are proposing to do should help us. But again, there's no reason why we should bring down if some product is contributing more. Maybe it all depends on the volatility in a particular product. And sometimes it is crude , energy, sometimes it's gold, sometimes silver. Be that so, it doesn't matter to us. So that's a -- and these two happen to be cash settled contracts, that's why the participation also happens to be much larger as compared to others.

And that is the intrinsic characteristic of that product. That we can't change it. So, while we increase the volumes in other products, try to bring in a greater Mul

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degree of diversity. I don't see anything wrong in this product contributing a larger pie to the total overall business.

Kapil : Understood. And last one from me. So, your new platform, what's been the learnings from this in the last month or so? Essentially, is this playing out exactly as you had thought or along the way you are kind of making changes or adjustments to this?

P.S. Reddy: Well, while the functionality that we have asked has been rolled out, and it is functioning. But stability is still being achieved. As we go along, it's getting more and more stable. And the sporadic observations that we are getting from some random members are also getting addressed. And maybe it is due to the setup issue at their end, or maybe it is not meeting certain expectations of the member. Maybe sometimes clarifications are needed.

And sometimes it is the files getting generated are also getting late sometimes. And all that is falling in place as we go along. We should be able to improve further upon. But having said this, we have not had any, in the last one and a half months, we have not had any, what to call, failure of the system , mishap. And trading is starting on at dot 9 o'clock and ending whatever is the time, 12.30, 12 o'clock or 11.30. So, that's the way it is.

Kapil : Very good, perfect, sir, all the best and hope for the volumes continue to surge. Thank you.

Lavanya Tottala: Thank you. So, we have last five minutes to 10 minutes. If participants have any questions, I request to unmute and go ahead with the question. Yes. All right so, I think I'll just take this opportunity and I'll take up the last question, sir. So, Salil, go ahead.

Salil : Sir, any change in behavior customer mix on launch of new platform in terms of algo and non -algo? In any sense?

P.S. Reddy: No, absolutely nothing.

Salil : Okay. Could you have seen any...

P.S. Reddy: In fact, if you see the latency numbers, latency has improved in the new system. We are also displaying on the website the latency numbers as against the old

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system. Now, you get about at 80 percentile, you get about 350, 360 or something of that kind in that range, as against 500 and odd, 540, 580 kind of range on the previous system. So, I think latency numbers did improve, no doubt about it.

Salil : Got it, sir. Great. That's great, sir. Sir, it's a repetitive question, but if I can ask you to little summarize on what are the products you have approval and you'll

be able to launch. I assume that if the product which you have approval would not require a lot of time, so maybe two months, three months, if correct me if I'm wrong, and the products where you will be seeking the approval in next, let's say, three months, six months, you intend to seek approval. Can you summarize that, sir?

P.S. Reddy: Yes. We have steel long bars contract. We have TMT bars; approval is already in place. And we have a gold monthly options contract also. We had, but we have applied for renewal. And these are the two things that we have. But then there are other contracts where we have already applied. So, there's, again, no issue. What we will apply is the serial contract, which we said weekly, that we will apply for it. And that's the one we have to apply. Otherwise, all other contracts we have already applied.

Salil: Okay.

P.S. Reddy: Like electrics, aluminum alloy, and, copper -mini, nickel -mini, all that has been applied.

Salil : Right. So, sir, in this, when you apply, is there a two -and-fro of the exchange -
- From the SEBI, or is it just like you just need to wait for the approval? Or is it they need certain more information requirement? Is there a communication continues or just the approval comes? How does it work?

P.S. Reddy: If they need any, if

they have any doubt, or if there is any additional information needed, they ask us.

Praveen DG : While applying, we have to apply in a prescribed format and giving all the details. Because SEBI has already provided a format in which we have to apply. Okay. And, we have to go through certain procedures, like internally we have ROC. First, we have to take it to our product advisory committee.

Subsequently, to ROC, then we can able to submit to the regulator. So, those
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are there. But after that, it is, that kind of discussion will get initiated, and it will go till they get satisfied. Then only they will be giving us approval on that product.

Salil : Got it, sir. We have also applied for electricity derivatives , right?

Praveen DG : Long time back, we have applied. Almost two years back we have applied.

Salil : All right, sir. Understood. Yes, that is it from my side. Thank you so much.

Lavanya Tottala: Thank you. Sir, maybe if I can ask one last question, sir. So, if we do not track retail participation, but if retail participation continues to increase with the launch of options or shorter duration options, do you see any regulatory intervention because of higher retail participation, anything like that?

P.S. Reddy: See, as I have been telling and, the equity markets are investment markets and these are, risk management markets, commodity markets. The platform is meant for that. Now, retail participation, yes, is welcome. Retail or otherwise, some degree of speculation is needed. Otherwise, liquidity will not be provided and only hedgers were to meet, then they will not be able to get at the right time, right price without liquidity. That is why we need retail participation. Now, the retail participation or otherwise, the concern flows from the, what you call, the security of the market or the risk management at the market. I think now we are doing risk management right from the client level to the trading member and at various levels, then, what you call, the collaterals are monitored. Allocation of collaterals takes place throughout the day, back and forth, depending on the requirement.

And I don't think we see any problem. But the only expectation is when the client is getting onboarded, members should necessarily, before onboarding, educate the investor as to the risks involved in this derivatives market and whether he has a risk-bearing capacity or not. If he is risk-averse, probably they should tell them to look at some other safer investments or safer markets. So, that is something which we expect the members to do, that kind of due diligence. But otherwise, they should not, they are anyway doing it in equities.

Lavanya Tottala: Got it. Thank you. Thank you so much, sir. Thanks for your time.

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Kapil : Just one last clarification I wanted to, if you can squeeze this one in. Is there any expectation of any compensation for the delay in the launch of the new platform?

P.S. Reddy: Compensation from whom?

Kapil : From the vendor who basically took so much time?

P.S. Reddy: So, there are clauses in the agreement and, subject to that, we can invoke. But then, you will get only so much. Obviously, not INR250 crores that we have paid to the vendor. That is, obviously, it will not be.

Kapil : Sure. Thank you.

Lavanya Tottala: Thank you. Thank you, everyone. And thank you, sir, for your time. Thanks a lot for giving us this opportunity.

P.S. Reddy: Thank you.

Lavanya Tottala: Thank you.

Call: Feb 2024

MULTI COMMODITY EXCHANGE OF INDIA LTD.

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MCX/SEC/2344 February 19, 2024

BSE Limited

Department of Corporate Services

PJ Towers, Dalal Street,

Mumbai - 400 001.

Ref: Scrip code: 534091 Scrip ID: MCX

Subject: Transcript of the "Earnings Conference Call" with investor(s)/analyst(s) on Q3 FY-2024 results.

Dear Sir,

Please find enclosed herewith transcript of the "Earnings Conference Call" with investor(s)/analyst(s) held on Monday, February 12, 2024 at 16.00 p.m. (IST) on Q3 FY-2024 results.

The said transcript is also uploaded on the website of the Company at <https://www.mcxindia.com/investor-relations/ir-meetings>

Further, we hereby confirm that no unpublished price sensitive information was shared/discussed during the said earnings call.

Kindly take the same on record and acknowledge receipt.

Thanking you,

Yours faithfully,

For Multi Commodity Exchange of India Limited

Manisha Thakur

Company Secretary

Encl.: As above

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Q3 FY'24 Earnings Conference Call "
February 12, 2024

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MANAGEMENT : MR. P.S. REDDY – MANAGING DIRECTOR AND CHIEF
EXECUTIVE OFFICER -- MULTI COMMODITY EXCHANGE OF
INDIA LIMITED

MR. MANOJ JAIN -- CHIEF OPERATING OFFICER -- MULTI
COMMODITY EXCHANGE OF INDIA LIMITED

MR. SATYAJEET BOLAR -- CHIEF FINANCIAL OFFICER --
MULTI COMMODITY EXCHANGE OF INDIA LIMITED

MR. PRAVEEN DG -- CHIEF RISK OFFICER -- MULTI
COMMODITY EXCHANGE OF INDIA LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Multi Commodity Exchange of India Q3 FY '24 Earnings Conference Call. Joining us on the call are Mr. P.S. Reddy, Managing Director and Chief Executive Officer, MCX; Mr. Manoj Jain, Chief Operating Officer, MCX; Mr. Satyajeet Bolar, Chief Financial Officer, MCX; Praveen DG, Chief Risk Officer, MCX.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. P.S. Reddy, MD and CEO, MCX. Thank you. And over to you, sir.

P S Reddy: Thank you. Good evening, all of you. Welcome to the Q3 investor call. And the quarter has been done, I mean, has concluded as we expected. I think as you all know, we have announced also last time itself, the two quarters that is, the September ending, as well as the December ending has completely consumed by the technology costs. I think now this current quarter is free of any such backlogs or any kind of such heavy items. And instantly, as I see, I think in this year itself, we have absorbed, thanks to the markets which have helped us, the entire technology exceptional item that has taken place, of the incident that has taken place on account of the technology, what are payment that we have made to the vendor. I think now going forward, we surely will be looking at more stable costs and as I have already explained in the past also, the costs are going to be by-and-large, not linked to the -- technology costs will not be linked to the turnover. It will be more or less on the lines that we have anticipated. I will not take much time and I think I will let the room be open for questions. Thank you.

Moderator: The first question is from the line of Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain: Yes, hi. Good evening everyone. Sir, firstly, if you could now spell out or give some indications on what could be the technology cost, say, you had mentioned earlier that it will be -- you wouldn't have AMC cost in the first year. But what would be the AMC cost roughly approximately from year two and when does it start kicking in into our P&L? And secondly, are we getting anything from TCS in terms of any recovery of delayed delivery? That will be my first question.

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P S Reddy: Okay. I think although we have commissioned it, but we should not be disclosing because of the contractual obligations. So I may not be able to tell you exactly what the AMC is. But yes, it kicks in from October 16 onwards next -- this 24th of this year from October onwards. So that's one part of it.

And on the TCS, yes, that they are still included, the post go-live activities are also there, some functionalities we kept pending. And I think a call will be taken appropriately. But that will not be a huge amount ... that we will be able to recover a substantial part of it for what we paid to 63 Moons, our previous vendor from this.

Prayesh Jain: Sir, can you give us the amount capitalized for the software cost now it would have been there in your balance sheet, right?

P S Reddy: Right. That's right.

Prayesh Jain: So, could you give that amount, at least, the capitalized amount?

P S Reddy: CFO will be able to ...

Satyajeet Bolar: I think last time when we discussed this in the call, so we had said it would be in the range of INR225 crores. So it's actually around INR237 crores that we have capitalized. This includes the software, as well as the ecosystem that is the servers, networking equip

ment and also operating and application software ...

Prayesh Jain: Got that. Sir, secondly, on the FPI direct market access that we have started, could you spell out as to whether we started for both institutions, as well as the individual FPIs?

And secondly, for institutional FPIs, what really do we offer or what advantages do they really have to kind of do volumes in India as compared to globally, where they would be doing much higher volumes? And what according to you is the potential if they do -- if the volumes really scale up in India? That would be my last question.

P S Reddy: Okay. See, this FPI Category I is what is currently permitted and that's where the DMA facility has also been enabled. FPI II will also be in the pipeline. I think testing is happening. And once FPI II is permitted, then they will also be eligible to trade on the -- I mean, using the DMA facility. And anyway, DMA has been introduced just a few days ago, maybe a week or 10, not long ago. I think that is done.

Then why FPIs participate here? And as I have also said in the past that the price movement need not be the uniform across the globe, there could be differences.

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Similarly, our contracts are what we call rupee denominated as against the other contracts wherever it is getting traded. And third, which is important -- equally important is, there's a far month calendar spread may be different in different markets. So that will also incentivize the market participants to trade and that is not only for them and it's for other players also. So, I think there are opportunities. That's the way it is.

Prayesh Jain: Just to this clarification of FPI II, you're saying SEBI has not permitted yet?

P S Reddy: No, no. It is permitted, we are under testing. We are testing.

Prayesh Jain: But when do you think you would be able to launch the FPI II?

P S Reddy: We should be able to do it in this quarter definitely.

Prayesh Jain: Okay. And what is the potential that you think for FPIs?

P S Reddy: Well, that I will not be able to comment on it, that I will not be able to comment on it.

Prayesh Jain: Okay. Just last data keeping question on what would be the breakup of revenues between options and futures, firstly, transaction and non-transaction and then in the transaction segment, futures and options?

P S Reddy: Yes. One minute.

Satyajeet Bolar: The total transaction charges that we earned during the quarter was INR156 crores, INR55 crores is from futures and INR101 crores from options.

Moderator: The next question is from the line of Sanketh Godha from Avendus Spark.

Sanketh Godha: Thank you for the opportunity. This is Sanketh Godha. Sir, on TCS costs which you have capitalized, what is the likely amortization period, you will take in to your numbers? I just wanted to understand the yearly amortization coming to -- come from INR237 crores?

Satyajeet Bolar: Yes. So, part -- there are different components to it. So, the hardware would be -- the servers would be amortized over a period of five years. networking equipment over a period of 5 years and the hard core the platform, we are capital amortizing it over a period of 10 years. So, there are different components accordingly, as per -- so there

will be different -- time periods would be different for each category.
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Sanketh Godha : Then out of the INR237 crores, can you break up that cost into platform and others?
Satyajeet Bolar: It would be a bit difficult because as MD said, that then we'll be mentioning that amount that of the TCS amount, so I won't be able to announce it.
Sanketh Godha : Got it. Okay, sir. Not a problem. And the second question is on SGF contribution. See, last quarter, you contributed around INR11 crores, now it is INR13 crores, is it a

capture or the open interest has increased materially and that is leading to increase in the SGF contribution? And how do we see this trend going ahead , because last quarter, you mentioned that our peak open interest was somewhere around INR42,000 crores , so now I just wanted to understand what was the number in the current quarter? And this incrementally largely because of the open interest or is the catch up basically, sorry?

P S Reddy: Well, there are 2, I would say, the variables , when I say up to 2 factors that gets ... One is, of course, open interest. That is the ultimate thing. Now how -- based on the open interest, there are some stress test calculations that take place. Now those calculations may undergo change depending on our representation being approved by the regulator, the very assessment of the stress test results.

The second thing is that apart from the contribution by the exchange and others, the members also are supposed to contribute as per the SEBI circular, now supposed to be in the sense the exchanges have -- it has been left to the exchanges to seek or not to seek. Because it's a competitive regime, nobody else is collecting. So obviously, we couldn't have collected.

So, if this is made mandatory by the speculator to have it collected from members also, then 25% of it whatever is determined based out of these stress test results will be contributed by them. So, at this point in time, these are the 2 uncertainties. Now having said this, yes, we have touched our highest what you call , the open interest in this quarter also.

Sanketh Godha: What was that number, sir, compared to last quarter, INR42,000 , INR43,000 crores you mentioned?

P S Reddy: About INR50,000 crores because that's already open -- published on the exchanges.

Sanketh Godha: And the reason I'm asking is that these INR13 crores...

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P S Reddy: INR50,000 crores plus.

Sanketh Godha: Okay. And the reason I'm asking, sir, is that the INR13 crores is largely because members did not contribute, and then you made on their behalf a contribution, that's the way I need to understand it, right, sir? Not from...

P S Reddy: Not like that. See, if there's a INR100 crores contribution is required, exchanges to necessarily contribute INR25 crores. CC has to clearly and externally contribute INR50 crores. And if we have been collecting from the members, INR25 crores would have come from members. Since members are not contributing, the CC is contributing 75%. So that is the formula all the time.

Sanketh Godha: The reason I'm asking is, sir, that is this INR13 crores kind of a run rate will continue going ahead also or it's done now?

P S Reddy: Not necessarily, not necessarily, because as I said, there will be -- the SEBI also has permitted the exchanges to consider whether the spot prices or I mean, take the spot prices or future prices. And future prices are more, what should I say, transparently determined in a platform, whereas spot prices are polled spot prices. So, this is the difference. So, if that is also undergoes a change, then probably whichever is -- I mean, which are not whichever reason, once you decide to choose one stream, then you will follow that whatever are the prices that are determined in the future that will be considered.

Maybe that may be another way that may reduce the, what we call, the requirement , obligations on the exchange. But not a substantial difference it's going to make, but unneebes ka farak toh padega, that's all.

Sanketh Godha: Okay. So, then we can consider safely that this is a recurring cost, which will be there in your P&L going ahead also? Maybe amount will change, but it will be a recurring

cost in your P&L?

P S Reddy: If -- It's good to have a problem, that's the way I really look at it because there's open interest increasin

g means more and more people are looking at this platform, depth is going to increase, and stickiness is increasing. That's the way to look at it.

Sanketh Godha: Got it, sir. And lastly, on new product launches, we launched Steel. And any update on weekly expiry -- sorry, monthly expir y, gold options? Any pipeline, if you can

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highlight, electricity derivatives, any highlight -- anything you want to highlight on new product launches?

P S Reddy: Well, the option on mini natural gas and crude oil futures, I think we have got the approvals and probably we will be launching them shortly. And again, each time we launch, we are testing it to make sure that everything is in order. So once that is done, that will be launched. That is option on mini contracts of crude and LNG.

The second thing is on the gold, that we are not immediately considering. While the testing is going on, but we would like to give some time more for that. And on the other one, the electricity futures, we had to get an approval for that.

Sanketh Godha: Okay, sir. And lastly, on your role, whether you are reapplying for the MD's role, sir? Or how is it -- I just wanted to understand that part.

P S Reddy: Well, while it is individual choice, probably this is not the right time to answer. That's the way I would like to put it. As of now, my term ends on 9th of May.

Sanketh Godha: Yes, it's just 2 months away. So that's why I'm thinking whether you have made up the mind to apply again or -- okay sir, if you do not want to answer, that's fine. That's it for my side.

Moderator: The next question is from the line of Amit Chandra from HDFC Securities. Please go ahead.

Amit Chandra: Sir, to continue on the launches in terms of the products that you have mentioned, so specifically, so last time, you said that weekly -- not exactly weekly, but mostly a series contract is possible, and we are going to apply with the regulator for that.

And also on the index side, we can launch the index options. So, where we are exactly in terms of the application with the regulator and in terms of timelines for the launch of weekly and the index options?

P S Reddy: Well, that is still work in progress on the index options and other products, serial contracts. As I said, we need to bite as much as you can chew. And at this point in time, these are the 2 products which are very promising. That's what I look at it, which we are going to start launching shortly. Once that is done, probably parallel work is going on, on the other products which you have spoken. But these are the two ones which we would like to make them happen, because each product, we have to engage actively

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with the members and if we simultaneously launch so many products, I think members will also so you tell me what is that I should work on or concentrate on. So, I think that's a challenge which we face also. Ecosystem being the same, we need to focus on, one, make it successful one-by-one or maybe max one two. We are working on this on those lines.

Amit Chandra: No, sir. But in terms of the time line, sir, so maybe if you can throw some light that once you apply with SEBI, then SEBI will approve, then again you will go back to SEBI with the specification of the product, and then it will then get approved in terms of specification of the specific contract and the whole process will at least take 6 months at least to get along or is it a shorter timeline?

P S Reddy: Maybe about 3 months is what I would like to say, 3 to 4 months, maximum should be, in the usual course.

Amit Chandra: And sir, secondly, on the SGF thing, you said that it's like difficult to predict the SGF amount. The SGF has been growing and the regulators also told most of the exchanges to at least do

uble the SGF contribution that they have. But based on what understanding we have is that SGF is not determined in terms of volume, but in terms of the concentration of the single client concentration, the volatility and the maximum laws

that can happen at the single member level, so based on that, the SGF is decided. So, in our case, is it safe to assume that SGF can somewhere be around 5% of the revenues, that is what we see in terms of the contribution, or it can be higher? And, I don't know if you can also share the concentration number in terms of what is the top 10 contribution in terms of members, especially in options?

P S Reddy: Okay ... So the -- what I was telling is SGF competition is based on the top two member's exposure or 50% of the total market member's exposure. So our exposure or stress test results are based on the 50% not by the top two members that is -- so we are looking at that kind of scenario, where if 50% of the member's exposure has to be liquidated in what we call in a graded manner and how much time it will take, and what would be the extreme losses that can happen is what we have been looking at and accordingly providing for, this year.

So, it's not that our SGF is any less. In fact, ours is stringent as against the equity exchanges that also we have pointed out to the regulators how it is being calculated.

Having said that, the -- you're saying that the top 10 members make the difference. But

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here, it's not the top 10 traders. Traders, they don't keep the open interest as much as the others keep it. And we have top 10 members who keep the open interest are not the same as the top 10 players who happen to be algo players. So that's what it is.

Amit Chandra: Okay. And some clarification on the cost side. So, on the software support services. So, in this quarter, INR146 crores, excluding the INR125 crores that we paid, it's around INR21 crores, that is the additional amount that is there, which was around INR9.5 crores last quarter. So, is it fair to assume that this INR21 crores would be the steady state or there is some one-offs in this in terms of related to the rollout of the platform? And also -- and for the depreciation amount, the depreciation that we have reported this quarter, will it be similar -- like will it be in a similar range, or we can see the depreciation to be higher because it got implemented 16 October, so it is from 16th October, we have taken?

Satyajeet Bolar: Amit, the line includes software charges plus a license fee. So, this amount also includes the amount that we pay to CME, right? So please keep that in mind, right?

And also on the depreciation part, as you rightly said that we have gone live from 16th of October. So, we'll have to make slight variation for the full quarter going forward.

Amit Chandra: Yes. But the license fees that we pay is around INR5 crores a quarter, sir?

Satyajeet Bolar: No, no, it's not INR5 crores a quarter. We have gone substantially on -- see...

P S Reddy: There's a fixed component. And irrespective of the turnover you have to pay a fixed component. And if the turnover goes beyond that percentage -- threshold limit, then obviously, you end up paying turnover linked fee to CME. So that's how our turnovers have gone up substantially. That's how the -- we end up paying more to CME.

Amit Chandra: Okay. So, what would be the percentage that we pay to CME in terms of that's linked to the turnover roughly?

Satyajeet Bolar: That is -- there's a fixed component plus 10% of what we earn.

P S Reddy: Not a plus what okay ... up to let some x percentage of volume, then the INR10 crores, INR10 crores or INR14 crores or USD2 million is consumed. And beyond that, only the ad valorem will kick in.

Moderator: The next question is from the line of Chintan Sheth from Grik Capital. Please go ahead.

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Chintan Sheth: Sir, on new product launches, you mentioned a couple of them. But anything related to index launch, which we were planning to do multiple monthly contracts, which will look like a weekly expiries that we are planning that we were planning, what can we expect from here on?

P S Reddy: So that's what I explained in the previous question also it's called a serial contracts. So, we are not as yet has yet launched or anything of this kind at this point in time. And we are -- that's work in progress as of now. But what we have done, wherever we are getting approvals from SEBI and one-by-one we are launching. And because we can't wait also or keep it in cold storage for long, otherwise, they will also expire. So that at this point in time, we have crude, NG and the natural gas, crude and NG options on mini contracts we have. That's what we are planning to launch. And these two, we will

be immediately taking up at this point in time.

Chintan Sheth: Okay. But if you look at futures mini contracts, they have not had enough debt or enough ADTOs, does it make sense for option mini to -- on debt future contract, can -
- does it make sense for us?

P S Reddy: It does, because if you see now also crude mini and then crude mini options there's a huge gap between the two. But I think that's how it happens.

Chintan Sheth: Right. Okay. Got it. And SGF, if we look at the total outstanding, the quarterly data, which we provide, which is around INR759 crores as of December quarter. The incremental increase in -- sequential increase in the SGF is higher. I'm trying to still understand how should we look at, because earlier, the quarterly total core SGF fund, which we were holding in our balance sheet, the incremental increase was INR16 or INR15 crores quarterly, which has sharply increased to ... crores to last couple of quarters. That is largely driven by the options? Or how should we look at it? If you can explain this aspect?

P S Reddy: One is options and other is the silver also, where each product also their open interest are increasing. They may not contribute so much to ADT, but then the -- if open interest increases in that product, then automatically more SGF requirement triggers in. So, options is one, but then in the case of silver and gold, options are also picking up and open interest is increasing it.

Having said that, if the requirements are increasing in the last 2 quarters, you are talking about, yes, it's on account of options in crude. Crude and NG. And we should not be

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counting the INR190 crores, which is penalties in the SGF contribution because whenever we calculate minimum required corpus, we keep it outside that requirement and the SGF contribution gets triggered in, based on the remaining amount.

So, for example, in the month of December, it's INR562 crores, that was the requirement. And so, as a result of which, we had to contribute INR13 crores. And additionally, maybe I know 3x more is being contributed by the clearing corporation. And together, it is contributed about INR562 crores has been contributed by all of us.

Chintan Sheth: Of which our part is INR13 crores for the quarter?

P S Reddy: Yes, yes. But actually, requirement is for INR562 crores only. So, although we had INR759 crores, that's not the INR192 crores representation.

Chintan Sheth: Right. Got it. It also includes element of penalties and interest, core is INR562 crores that you are saying?

P S Reddy: Yes.

Chintan Sheth: Okay. Got it. And lastly, on the other opex, if we look at absolute basis also it's increasing. If you can indicate, because it was a few quarters back, it was in the run rate of INR20 -odd crores, INR15 -20-odd crores, and right now, that is tracking slightly higher. If you can

also help us understand that part?

So earlier, it was INR8 -12 crores. I'm including this computer and technology INR7 -odd crores, INR8 crores cost that I'm including in the other opex to combine it. So earlier, it was around INR20 -odd crores, now it is INR30 crores. So how should we look at it?

Satyajeet Bolar: If you added. But during the quarter, what happened is, as you know, one is our -- this also includes our CSR expenses. So, our new subsidy, they -- generally, what we do is that we booked the CSR expenses on a quarterly basis. It is divided over the year and proportionately over each quarter. But whatever wholly own subsidy does is that they account for it when they make the payment.

So, during the quarter, they have released a payment to the Prime Minister's National Relief Fund. So that's why it has been accounted. And there are no material changes, only thing is that we had during this a lot of traveling -- there were some traveling expenses that we incurred because of Investor Awareness Program. That is the only

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additional expense that has come in. Others have been more or less flat if you compare it with September.

Chintan Sheth: Right. Okay. And we have not so far seen OI increasing beyond December level or third quarter level for which we need to incur additional SGF as of now?

P S Reddy: No, I think, as I said, in this current quarter, the OI has gone up across INR50,000 crores. So, we don't know where it will go. But as I said, it's good to have a problem. And again, we are toying with the idea of contributing more to SGF and forego our interest and then reduce the margins, then probably the trading will increase and then that we compensate as more than the revenue loss on account of interest. So, these are all the issues that we are discussing. Let's see what happens.

Moderator: The next question is from the line of Parth Agarwal from Bastion Research. Please go ahead.

Parth Agarwal: I have one data keeping question.

Moderator: Sorry to interrupt, sir. May I request you to use your handset, sir? Your audio quality is not clear, sir.

Parth Agarwal: Okay. Can you help me just reconcile one difference in your presentation that is on Page number 6 -- 5 and 6 in the ADT O data. So, as per page number 5, your ADT O in future is around INR20,796 crores, whereas in the Page number 6, where you actually shared the breakup, that number is INR20,471. I'm not able to reconcile the difference.

Praveen DG: Which chart you're referring to, can you come again? On the 5th page?

Parth Agarwal: On the 5th Page, if you refer to average daily turnover of futures, which is INR20,796 crores for quarter 3 FY'24. Correct?

Praveen DG: FY'24, it is showing INR23,021. Is that the one you're referring to?

Parth Agarwal: No, Quarter 3 FY'24, INR20,796 crores.

Praveen DG: Okay. 27 for the quarter, okay.

Parth Agarwal: And if I refer to Slide number 6, quarter 3 FY'23 -'24, if I look at the total, the second table basically, for the futures one, it is INR20,471 crores.

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Praveen DG: Okay. That is, I think, probably because of inclusion and exclusion of Muhurat trading days as part of the calculations.

Parth Agarwal: So, the slide 6, does it include Muhurat trading, or it excludes Muhurat trading?

Praveen DG: The one which is -- the higher side is excluding the Muhurat trading day.

Parth Agarwal: Higher one includes Muhurat trading day.

Praveen DG: Yes.

Parth Agarwal: Okay. Got it. So, another question is, so I understand that you -- as per your contract don't want to reveal the maintenance costs. But can you help us with the range projects between INR5 crores to INR10 crores per quarter? Or is it less than INR5 crores per quarter? Anything on that?

P S Reddy: I don't

think that's correct, no? I mean that also gives -- we will be doing injustice to the contract, especially the confidentiality that we have to maintain as per the contract. That's not correct. I think it will be unfolding it as we go along. It will be unfolding as we go along. It's only a matter of 2, 3 more quarters. Once we come through October, you will come to know of it.

Parth Agarwal: Okay. Got it. And also, sir on the INR237 crores of software costs that you've capitalized, can you just help me with that -- for that INR237 crores, I understand that depreciation would be for 5 to 10 years, depending on the different breakup. I don't want to know the breakup. I just want to know how much would be the additional depreciation cost because of this capitalization.

Satyajeet Bolar: It would be in the range of around INR30 crores to INR35 crores.

Parth Agarwal: Annually, right?

Satyajeet Bolar: Yes.

Moderator: The next question is from the line of Shreyash Jain from Electrum PMS. Please go ahead.

Shreyash Jain: Most of my questions have been answered. I have a few questions, like, can you just give the breakup of the float income and the other income as well for this quarter?

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Satyajeet Bolar: So, during the quarter, our Clearing Corporation has earned around INR26 crores. Basically, as on 31st December, we had a Clearing Corporation at a float of around INR873 crores based on which they were INR26 crores. So that is part of our operating income. And our own treasury income is around INR16 crores for the quarter. Because we have invested in all ... and we've locked in long term in state development

loan papers as well as in target maturity plans. So, it's around INR16 crores. We don't have any -- hardly any loose cash, just a liquid, what we collect on a CTT and transaction charges. This is all long term.

P S Reddy: We had also locked in the perpetual bonds.

Shreyash Jain: So, there was no other income for this like that membership fees or other charges?

Satyajeet Bolar: That would always be there. Last time, we also had one more separate line of the consultancy fees from CSE, Chittagong Stock Exchange. This time, we didn't have that.

Shreyash Jain: Okay. Thank you. And what can we do to add volumes to the bullion options? Like is there anything you can do to increase those volumes? Because, 90% of ADTO is coming from energy and 96% of premium entity comes from the energy segment. So, like there is a gap between the bullion futures and options. How can we close that gap?

P S Reddy: Well, as I said, the -- while we have been actively engaging with the market participants, the premium being very high in these bullion contracts, there is some kind of, what we call, resistance or I should say, not appreciation of the kind of opportunities that are available in this market. Obviously, you need a lot of retail participation. It will come in the smaller contracts than these bigger contracts. So, it's more kind of in education, etcetera.

Secondly, the underlying margins in the futures is also lower in the case of gold as compared to the, both NG and then crude oil. And that's why there's a huge shifting towards the option contract. That's what we understand. But that doesn't mean that we should increase the margins in the gold. I think a gradual shift has to happen, and it may happen also. That's the way I would look at it.

Moderator: The next question is from the line of Lavanya Tottala from UBS. Please go ahead.

Lavanya Tottala: So just continuing to the earlier question. So, what are our margins on gold futures compared to the crude futures as of now?

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P S Reddy: Well, gold, it is about 8%, plus 8% and 1.2% maybe the extreme loss margin. I'll come back on that ... It's about 8%. Okay

. Crude oil about 34% and natural gas is 20% around that.

Lavanya Tottala: Okay. But even in options now, if we look at our option premium to ADV ratio of gold is much, much lower compared to the crude but even then, because of lower margin in gold futures, it will be more suitable for traders. Is it the right way to look at it?

P S Reddy: Yes. But see, what we looked at why the shift has come substantially towards Crude options is that, because the underlying features have become more expensive. And less cost-effective in terms of -- or it's more cost effect to the options that why there's a shift. Maybe that is that may not be true in the case of gold options.

Lavanya Tottala: Okay. Got it. And this time option premium to ADV ratio has been higher. Is it just because of the higher proportion of energy contracts or anything else?

P S Reddy: It all depends on whether they are trading at the money or far away from the money.

And I think the volatility was high as a result of this, this particular thing has been taking place. And I think when the people want to get out of it, I mean, maybe they may have entered at the time of contract near the money, but when they are to get out of it, when the market is moving adversely, then they have to pay whatever is the premium and then get out of it. So that may be the reason why the options premium is higher than what it used to be. But in a stable market, it may not be so much like this.

Lavanya Pottla: Okay. Volatility had a play in this quarter then.

P S Reddy: Absolutely.

Lavanya Tottala: Okay. So just wanted to check your opinion on options of -- in terms of competition because options of WTI crude, similar product which is available on NSE now. How do you see competition in this space happening over the last few months?

P S Reddy: Well, ever since the y launch ed, especially, I would say that after -- sometime in October, they launched, and they are increasing, but it is not something it's alarming. -

- as I speak, maybe it is about, one minute I'll tell you right now, bear with me. Options about INR3,000 crores ADT they are clocking. And in the month of February, yes, INR2,800 crores average turnover they clocked, in the options turnover, notional turnover premium is INR2 crores or INR3 crores, INR4 crores, something of that kind,

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okay. Is it worrisome? I mean I take everything is worrisome, and we shouldn't rest unless we see a complete -- what we call, blank at all these places, data points. And so, we are working towards it, let's see.

Lavanya Tottala: Okay. Thank you. Thank you, so much sir.

Moderator: Thank you. The next question is from the line of Devesh Agarwal from IIFL Securities. Please go ahead.

Devesh Agarwal: Thank you for the opportunity, sir. Most of the questions have been answered. And just one thing I wanted to understand, this recently, RBI allowed resident entities to hedge gold prices in IFSC, how does that impact us over a longer period? Yes, that is my question.

P S Reddy: Sir, in the Gift City, there is hardly any, I mean activity that is happening as of now.

And I think it's only in the silver contract, there is some kind of activity. And that too in the spot market, but not in the derivatives contracts, there's hardly any activity. So, it's too early for me to predict anything on that. And -- but we don't see that, that will be a threat for our existence or sustenance. I don't think so, because they are all dollar-denominated contracts and we have primarily the, what we call a rupee-denominated. And most of the people who are trading, they are all domestic traders, not the foreign. And our contract also has got a custom duty hedge incorporated or embedded rate and which changes once in 15 days or so. So, I think this is a perfect place to hedge.

Devesh Agarwal: Right. And sir, if

you could give any sense in terms of like, earlier before RBI banned hedging in the international market, some of the large dealers like Titan, they used to do it internationally. Can they again go back to Gift City also are comfortable also hedging currency contracts separately. So, what would be the quantum in our open interest from these large players versus small players?

P S Reddy: Well, you see the open interest comes big, from the big players, no doubt about it. But there's no reason why they look at the other markets having got used to it. Maybe before there was adequate depth in the domestic market, they were trading there. Incidentally, the RBI bank, they were hedging in overseas markets that's why they all have come over here. Now that liquidity has also developed and its catering to their requirements, there's no -- I don't see any reason why anybody will go over the re.

Devesh Agarwal: Understood sir. Thank you.

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Moderator: Thank you. The next question is from the line of Arvind R from Sundaram Alternates. Please go ahead.

Arvind R: Hi, sir. Thank you so much for the opportunity. So recently, like, we got a regulatory approval to -- for foreign investors to pay using direct market active terminals. I'm just trying to understand how it will help us. I know like that is one thing. And I guess, sorry if this question has already been answered. This quarter, the premium turnover to volume turnover has increased. Is it something like a structural thing that is happening in terms of more hedging or anything happening?

P S Reddy: Yes. What I can say is the -- as I said that this quarter, the volatility is more and for which reason, I see that the ratio has improved in terms of our revenue potential. But that's not a structural shift. I don't say that it is structural shift. It's too early to make any such comments. So, I think we have to wait and watch if it is happening quarter after-quarter repeatedly, probably we can look at its reasons for such a change. Having said this, FPIs are keen to use the direct market access DMA facility. So that they don't need to even now and then are discussed with the member brokers whom they are trading. Probably, it will be a seamless activity. And they will have a proper control on what they are doing it. And that is the reason why many of the FPI prefer a DMA facility.

And they should -- they -- I don't know if there's no time lag. The moment they feel that, yes, there's a good time to step in and then execute the contract, they immediately enter as if they themselves are the member brokers. So that's what the advantage of having a DMA.

Arvind R: But they can obviously trade at a much lower cost in global commodity broker list like an FCI is it only because of arbitrage -- arbitrage opportunities that is available in the domestic market versus...

P S Reddy: That's right. It is the arbitrage opportunities. And within the -- I mean across the contracts within the domestic market or since our contracts are what we call rupee-denominated, again, there could be another -- that play also can take place. And apart from it, the FPI concept has come because of those who are operating in different

markets they are able to consolidate their books into one book. And that's another reason why they are doing it.

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Arvind R: Okay. And just one last question, sir. Like how is the traction in steel TMT contracts?

And who are the players who can possibly enter into this either for hedging or for trading?

P S Reddy: Well, not encouraging as yet, but I don't rule out it being picking up because just -- it's a first month of the Steel contract, and it will take some time to mature, okay. And the liquidity is the key to it. Obviously, we have no , what ,

liquidity enhancement program

or anything of that kind. So, we are looking at a market participant to join this. Let's see, we are working towards making it a successful contract. It should be self-sustaining in the next few years.

Arvind R: Okay. Thank you.

Moderator: Thank you. The last question for today is from the line of Marshal Liu from Investore .

So, the line for the participant is on hold. May I request we take another participant.

P S Reddy: Yes, please go ahead.

Moderator: Yes sir. The last question for today is from the line of Sanjay Kumar from ithought PMS .

Sanjay Kumar: Hi sir, thanks for the opportunity. Every quarter, there are questions on the breakup of transaction income and other operating income. It would be great if you could include these data points in the presentation. First question on coal exchange. Apparently, IEX has submitted a presentation to the Ministry and that the media articles saying that we set up in 1 year. Any comments on this? And where are we in this coal exchange thing?

P S Reddy: Well, as you know, of course, it's an old news that we signed an MoU with Metal Junction, Mjunction for precisely setting up a coal exchange. We are actively engaged with the ministry and various consultations that are taking place. We have also placed what you call , asked the regulators to give us what to call , in-principal approval to venture into it. So that is in process. So, we are also keen to get into that. Yes.

Sanjay Kumar: So, we'll be competing with IEX for the spot or for both spot and futures?

P S Reddy: No. This is going to be a spot exchange only. For futures, you don't need to compete with anybody. One spot comes, then probably we can start the contract in MCX itself.

So, we don't need to start separately.

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Sanjay Kumar: And this timeline of 1 year, sir, is it possible or?

P S Reddy: See, the ministry is yet to come out with the guidelines and then the actual valuation takes place, whether they would like to have only 1 spot exchange or multiple spot exchanges, we do not know. So, all that is still not determined. So, it will take some time, okay. The regulatory framework itself is not in place. We will be regulating the coal product exchange; nothing is clear as of now.

Sanjay Kumar: Got it. And second, on electricity derivatives, now that there is a stand on market coupling, and we'll have one price across exchanges. Will it accelerate the finalization of derivatives? Or do you think that is also in a go on until that time?

P S Reddy: See, the electricity derivatives has nothing to do with the market coupling concept that is essentially to arrive at the, what we call a spot price . And we will be settling our contract at the end of the contract period , all outstanding contracts will be settled on that one single price. So, on a day -to-day basis season event may not be relevant, but we will continue to use the prices also. It doesn't impact the future prices do not depend on the market coupling concept as such.

Sanjay Kumar: Okay. And finally, on futures, both ADTO and the UCC had a significant growth in Q3 versus declines in the previous months and quarters. Was it a one -off that we had this growth in this particular quarter? Or what is driving this?

P S Reddy: Well, we expect UCCs to continue to grow the active UCCs. But ADT in f uture s, maybe a correction, I would say, you can't -- we cannot compare quarter -to-quarter. Otherwise, it's supposed to be at INR24,000 crores usually. It had come down in the previous quarter maybe. And I think we expect it to come back. And -- but more and more growth we would like to see in the futures contract, and it is going down.

Sanjay Kumar: Okay. Thank you and all the best.

P S Reddy: Thank you.

Moderator: Thank you. Ladies and gentlemen, that brings us to the end of the qu

estion -and-answer

session. I would now like to hand the conference over to Mr. P.S. Reddy, MD and CEO, MCX , for closing comments.

P S Reddy: Okay. I think once again, thank all of you for your un flinched faith, trust in the company. And we will continue to work towards meeting your expectations. And I

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think, going forward, the legacy problems are all put to rest with this -- the last leg of the payment that we have made to the vendor. I think -- I mean, I expect the future to be bright. That's the only thing looking forward , nothing more -- thank you. Thanks to all of you for joining.

Moderator: Thank you. On behalf of Multi Commodity Exchange of India Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Apr 2024

MULTI COMMODITY EXCHANGE OF INDIA LTD.

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MCX/SEC/2371 April 29, 2024

BSE Limited

Department of Corporate Services

PJ Towers, Dalal Street,

Mumbai - 400 001.

Ref: Scrip code: 534091 Scrip ID: MCX

Subject: Transcript of the "Earnings Conference Call" with investor(s)/analyst(s) on Q4 FY-2024 results.

Dear Sir,

Please find enclosed herewith transcript of the "Earnings Conference Call" with investor(s)/analyst(s) held on Wednesday, April 24, 2024 at 16.00 p.m. (IST) on Q4 FY-2024 results.

The said transcript is also uploaded on the website of the Company at

<https://www.mcxindia.com/investor-relations/ir-meetings>

Further, we hereby confirm that no unpublished price sensitive information was shared/discussed during the said earnings call.

Kindly take the same on record and acknowledge receipt.

Thanking you,

Yours faithfully,

For Multi Commodity Exchange of India Limited

Manisha Thakur

Company Secretary

Encl.: As above

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Q4 FY'24 Earnings Conference Call "

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MANAGEMENT : MR. P.S. REDDY – MANAGING DIRECTOR AND CHIEF
EXECUTIVE OFFICER , MCX
MR. MANOJ JAIN – CHIEF OPERATING OFFICER , MCX
MR. SATYAJEET BOLAR – CHIEF FINANCIAL OFFICER , MCX
MR. CHANDRESH SHAH – CHIEF FINANCIAL OFFICER ,
(DESIGNATE) , MCX
MR. PRAVEEN D G – CHIEF RISK OFFICER , MCX

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Moderator: Ladies and gentlemen, good day, and welcome to the Multi Commodity Exchange of India Q4 FY'24 Earnings Conference Call.

Joining us on the call are Mr. P.S. Reddy, Managing Director, and Chief Executive Officer, MCX; Mr. Manoj Jain, Chief Operating Officer, MCX; Mr. Satyajeet Bolar, Chief Financial Officer, MCX; Mr. Chandresh Shah, Chief Financial Officer, Designate; and Mr. Praveen D G, Chief Risk Officer, MCX.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. P.S. Reddy, MD, and CEO, MCX. Thank you, and over to you, sir.

P.S. Reddy : Good evening all of you. Welcome to the analyst call. I'm very happy that the MCX has concluded the year positively, having a payout to the IT vendor. We have closed this year also on a profitable note. While it may not have surpassed your expectations or met your expectations, but the company has done very well if you see in terms of the income, the highest ever income that we have achieved since inception. That's one big highlight of this. That is something which we all should acknowledge.

And secondly, even the turnovers also have also clocked the highest ever and a similar happy ending for this company for this year. And, of course, other facts are before you. As we have been saying in the past also, we said that while the IT costs will come down, and they did come down in terms of operating expenses, but there's no, what you call, a substantial reduction because the depreciation costs will go up. So, on the whole, the IT cost may remain on the similar lines as we had with the previous vendor prior to September '22.

So that being the case, what makes the difference for us is that there is no volume linked payments to an IT vendor. So that will come to a pause at some place. And I don't think we expect any rise in these IT expenses. There could be a marginal rise, but it will be in the same range as it used to be earlier. And the only thing is that we have to drive up our volumes and once they start contributing, they all will go into the bottom line. There

won't be any expense linked to the rise in volumes, is our expectation.
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I would not like to take much of your time. I think I will leave it open for questions.
Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain: Sir, firstly, could you explain the reason for the drop in revenue sequentially in spite of the surge in volumes? And the second question is on the fact that you mentioned that the run rate would be similar to September quarter. And if I look at the numbers in September quarter, the run rate of software cost was around INR20 crores quarterly. And if you look at depreciation in that quarter, was about -- in Q2 FY '22 , was about INR6 crores. So totally around INR30 crores was the cost. Would you say that this would be the run rate that would be maintained? And lastly, on the product launches, when do we expect the gold serial contracts to be launched? Those were my three questions.

P.S. Reddy : Yes. The second question I will answer immediately. When I said the September stuff will be maintained mean that is, at that point in time, yearly, we were paying around INR60 crores to the vendor. So that INR60 crores is in the current dispensation, maybe a lower, what we call, cost in terms of operating expenses, but higher deprecia

tion will
be there.

But together, it adds up to around that kind of INR60 crores is the expectation that we had. And there won't be any, what you call, transaction -linked expenses. That is the reason we said that we will continue to have around that rate we will maintain. So, it's not that '22s depreciation plus the quarter cost is what we were looking at it, the yearly cost of arm technology is what we are looking at.

Prayesh Jain: So, this also includes the AMC fee that we'll pay to the TCS, right? This INR60 crores which you're referring?

P.S. Reddy : It should be. That's right. And coming back to why the revenue -- cost realization -- you can explain...

Satyajeet Bolar: Good afternoon. There are two main reasons why the revenue has dipped is one turnover in future has dropped. So last quarter, it was INR21,102 crores and this quarter, it was INR17,336 crores, so 18% dip that has contributed substantially to the dip. Also, the treasury income that we earn on margin funds has also dipped by around

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INR5 crores. These two factors have led to a drop of INR10 crores in our revenue. INR191 crores to INR180 crores?

P.S. Reddy : With respect to the new product launches, you're looking at the serial contracts. I think that is still work in progress and it will take some more time. But whatever we can launch immediately, there are some more contracts which we have, we will be -- testing is going on. Being a new system, we want to be careful and then keep testing every time in the new product is launch, a rigorous test. That's why it is taking some time.
Thank you.

Prayesh Jain: I got that. Thank you.

Moderator: The next question is from Amit Chandra from HDFC Securities. Please go ahead.

Amit Chandra: Yes, sir. Thanks for the opportunity. Sir, you mentioned that the reason for drop in revenues is obviously futures and all the lower treasury income. But also, if I see the options revenue, if I see the increase in the notional, the actual growth in the premium is much lower than what the notional increase is. So that is because of the lower premium conversion. So, what has happened in terms of -- in this quarter, which led to the lower premium conversion?

And how the mix has changed, which has actually led to this? And how do you see this, the premium to notional ratio going ahead? Because in other exchanges, as we move to more shorter duration contracts or weekly kind of a contracts, we can see further dip in this ratio. So, this is one thing. And secondly, in the cost part, you said that mostly - like most of the cost is fixed.

But still, we have some part of the cost, which is linked to the crude oil or the crude contract volume. So, if you can break out in terms of the software support charges, how

much would be the fixed and how much would be variable?

P.S. Reddy: Coming to the first question with respect to the -- absolute premium. See, the higher the volatility, people tend to trade in a relatively far month contracts, so far month contracts mean the lower premium. And as a result, our realization will also be slightly lower. But this is something which the market participants decide. In some -- at times we get a higher premium. And we will not be able to pinpoint the reason why in this particular quarter, the premium realization is low and then in other quarters, it is high.

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Having said that, I think the weekly contracts, our serial contract. I think that's not immediately -- not looking at it. I mean, not looking, in the sense, we do not have any approval. We are designing this contract, and then we will go to the regulator for approval. And definitely, it is a weekly option expiry. The volume will increase, the premium will come down. And to that extent, they have to offset, and the volume

increase should more than offset the fall in the premium, then only it will make a commercial sense. So that's the way it is. And we are hopeful that such a thing will happen.

Satyajeet Bolar: As for the agreement with any -- we pay 10% of what we earn on energy products to CME. So, for this quarter, we have made a provision of INR10.38 crores payable to CME as compared to INR11.98 crores in the previous quarter. That's forming part of the line in software support charges and product license fees. INR10.38 crores payable to CME.

Amit Chandra: Okay. And also, I know recently, we got the approval for the FPI participation, and we launched in crude oil like mini contracts and the natural gas mini contracts. So obviously, these mini contracts will be beneficial for the volumes to rise. But in terms of FPI participation, how are you seeing this in terms of increasing the volumes? Maybe you can just elaborate more in terms of what impact it can have in terms of volumes.

P.S. Reddy: We expect the FPI participation to increase. Now we have category II also submitted and many members have been asking for FPI II category also. And with us from Monday, we are permitted. I'm sure it will pick up maybe in the coming one or two quarters, you will be able to see its full impact.

Amit Chandra: And sir, one last question from my side. So, you said that like most of the new product launches are in the pipeline. But if you can just provide some more color in terms of how much time it takes for a new contract to a device? And I know it needs to be tested in the market and to be cleared from the regulator. So, any timelines that you can give in terms of, for a totally new contract, how much time it takes? And because why I'm asking this is because Index options, we have the approval since last like 1.5, two years, I think. But still, we have not been able to do anything on that. So, what is stopping us from launching Index options?

P.S. Reddy: No, no, I don't think we have any approval for index options as yet. Index options were permitted by SEBI by way of a circular saying that index options will be permitted in commodities. So now that regulatory enablement has been made, we have to now make

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an application to SEBI and then get the approval. The whole process may take, I mean, from the time we get approval to launch maybe four months or four to five months -- four to six months if we can take it. Then we will get our approval, usually SEBI has been very quick, and they may take about two months' time to approval. All in all, five to eight months is what the range I will look at it.

Amit Chandra: Okay, sir. Thank you and all the best, sir.

P.S. Reddy: Thank you so much.

Moderator: Thank you. The next question is from the line of Chintan Sheth from Girik Capital. Please go ahead.

Chintan Sheth: Thank you for the opportunity. So, if you can break up the options and futures transaction revenue, that would be helpful for me? That's one. Second is on, if you provide some more color on the product launches, you gave out certain names. But if you can just -- what are in the pipeline, what are the -- what we can expect this year and what we can next year in terms of product launches, that would be helpful? That's the second question. Thank you very much.

Satyajeet Bolar: In the quarter, we earned INR149 crores as transaction charges. INR46 crores that is around 31% came from future and the balance was from options.

Chintan Sheth: Okay.

P.S. Reddy: With respect to product launches, we have got some Agri-commodities also. The cotton wash oil we have got as well as the sunflower wash oil also we got it. And I mean, these are Agri-commodities, of course. We are testing it again. And index options is another one which we will apply for. And then shorter duration another one, we are looking at

it, as we said. But any kind of indications and that guidance is not a good approach, is my view. That's why we are not giving any guidance when we can do all this. But this is on the top of our mind and then pursuing also. That's the way I can say.

Chintan Sheth: Okay. And FPI II, you said category have been permitted. So, have we started on boarding to our DMA line, direct access?

P.S. Reddy: That's what I said, we have already permitted with us from Monday. Already issued a circular also last Friday or Saturday. For numbers to keep on applying for it and then

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categories we will be improving. That's why I said you will see the full impact of it in the next one or two quarters.

Chintan Sheth: Okay

P.S. Reddy: Thank you.

Chintan Sheth: That's all from me. Thank you.

Moderator: Thank you. The next question is from the line of Lavanya Tottala from UBS. Please go ahead.

Lavanya Tottala: Thank you for the opportunity and congrats on good set of numbers, sir. So just on the new products again. So, on these which we have already applied or in the process of application and wherever we are in the process of getting approval for different products. Can you help us a bit more on this, maybe specifically on weekly contracts?

P.S. Reddy: As I said, weekly contracts, it is a work in progress. We have not applied as yet, but that is something which we are -- we have to make the system ready, then only we can make that attempt to apply. But these two are parallel processes, we will be doing that. But more important is, there are new products we have identified, but it's not good to, as I say, disclose at this point in time.

But whatever we have applied, we have already said, some of the mini contracts in metals is what we have asked for some more. Those are still under the consideration. And the other cities, the electricity futures, that is evading us all the time. And we have been -- it's a very unusual target, that's the way it is. And we have been chasing it quite for some time. And I don't know when we will be able to meet that.

Lavanya Tottala: Okay. And the products which we already have approval are?

P.S. Reddy: We have a gold -- 10-gram gold contract we have it. That's something which we will...

Lavanya Tottala: It's the monthly one or the usual 10-gram?

P.S. Reddy: It's monthly.

Lavanya Tottala: Monthly. Okay. So that we have approval, and now it's in our hands to launch.

P.S. Reddy: Yes, that's right. We are testing it, so over time.

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Lavanya Tottala: Okay. So, any timeline that you see to apply for weekly options for approval?

P.S. Reddy: No, as I said, madam, applying is the easiest thing to do it. But the point is we need to get the system in place. And I don't want the gap between getting approval and then launch. So, we wanted to bridge it and then the moment we get an approval maybe within a month's time we should be able to launch. So that's what we are currently focusing on. And so let the system be ready and then we will be able to do that. The moment we get a cue that, yes, we are about to -- I mean, we are there almost all then we will be able to do that.

Lavanya Tottala: Okay. Got it. So, this is like once we can launch our monthly the product approval will be similar for fortnightly, weekly and everything or will it be separate contracts which you need approval?

P.S. Reddy: No, no, it's -- I mean we will be issuing monthly contracts which are expiring every week that is the way it is. So, there will be multiple contracts in a month.

Lavanya Tottala: So, this will be each commodity wise you will need to take approval again, right? So

crude and natural gas each commodity will need approval separately for each of these?

P.S. Reddy: Absolutely. Development is

only one.

Lavanya Tottala: System will be ready for all of them. Got it. Thank you so much, sir.

Moderator: Thank you. The next question is from the line of Deepak Singh from ICICI Securities.

Please go ahead.

Deepak Singh: Congratulations for the good set of top numbers. My simple question would be from the product line. Sir, if you look at your performance of index derivatives or index futures. So apart from BULLDEX there's much of traction as of now.

So are we looking at launching some composite index like mix of bullion energy and metals so that we can have some traction in the index because if you look at the other exchanges. So, the major volume generator is the index derivatives. So, are we looking at as a composite index for MCX as of now?

P.S. Reddy: Well, we have a composite index, but we are not looking at it because volatility drives any product. And many a times with these cancel out each other, some of the products are in the opposite buckets. So, they cancel out and there won't be any volatility.

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But we are keen to revive the metal index and the other one is the energy index and then on which we would like to launch options. So that is where I was telling some time ago options is what we are looking at applying for.

Deepak Singh: So, on the similar line, sir, if I'm not wrong please correct me we have got approval for the electricity future long time back, I think more than a year back. So, are we moving ahead towards launching any product in the electricity futures?

P.S. Reddy: We have not got any approval as yet. No exchange has got that approval.

Deepak Singh: Something was on those lines?

P.S. Reddy: We have applied only. We have applied two years ago and watching.

Deepak Singh: Okay. Thank you.

Moderator: Thank you. The next question is from the line of Dhaval Parekh from IIFL Securities.

Please go ahead.

Dhaval Parekh: I hope I'm audible, sir. Sir, in this quarter we have added around nearly – hello...

P.S. Reddy: Yes, we are able to hear you. Please go ahead.

Dhaval Parekh: Yes. So, in this quarter we have added nearly 8.5 million to 9 million UCCs. So, it's a sharp jump. If you see on a year -on-year basis we have more than doubled. So, can you just highlight the reasons for such increase?

And my second question is, although our UCC count has sharply increased in this quarter, our traded UCC data that you provide in the presentation highlights that the traded UCCs have declined on a Q -on-Q basis. So, the reason for such anomaly sir if you can provide?

P.S. Reddy: Actually, the traded UCCs in options have gone up. Earlier it was 3.5 and it is 4 now quarter -on-quarter. In fact, it's been increasing. If you see the -- for the entire year if you see futures last year , '22-'23 it is 3.7 lakhs. Now it is 4 lakhs , this financial year '24 and options in '22 -'23 is 4 lakhs , now it is 7.3 lakhs. So, it's gone up.

And even options also if you see Q4 of '22 -'23 is 2.3 lakh now it is 4 lakhs and in previous quarter the sequential quarter is 3.5 lakh it's gone up.

Dhaval Parekh: And sir increasing this UCC, sir, in this year in this quarter specifically?

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P.S. Reddy: This quarter it is -- the total UCCs traded are 5.3 in this quarter that is Q4.

Dhaval Parekh: Sir, not that. I'm talking about the 23 million UCCs that we have currently. The last...

P.S. Reddy: That will -- In fact, I have been what you call what should you say cautioning the members or cautioning the people, don't go by that number because we are a unified exchange. Members are also unified members. When they are uploading it, they are uploading it to all exchanges, all maybe depositories wherever they are members. They're simply uploading it because we don't know when the client will want to tra

de

in commodities and when in NSE or BSE.

So, this number is not the representative of what is happening on the exchange. So, my suggestion is to go by what we are publishing with respect to the trade d UCCs and that

is where it's more relevant rather than this number.

Dhaval Parekh: Okay sir got it. Thank you.

Moderator: Thank you. The next question is from the line of Arpit Shah from Stallion Asset Management. Please go ahead.

Arpit Shah: Am I audible?

Moderator: Yes, you are.

Arpit Shah: I just wanted to understand the cost structure. If you look at the cost in terms of employee cost and other expenses for FY '25. Can we assume to building a INR30 crores, INR35 odd crores run rate for employee expenses and about INR15 crores, INR17 crores run rate for other expenses moving ahead.

And I also wanted to understand the INR60 crores software cost I think so you mentioned earlier in the call, how should we look at it on an annualized basis? The depreciation plus software support charges and product licenses fees how can we look at it?

P.S. Reddy: I mean, as I said, the software costs I mean be that maintenance or AMC, all inclusive plus the depreciation together will be in that range. And this is not this last quarter I said this is maybe two, three, four quarters before also I have said that. So that is what we are going to maintain it. I mean expected to maintain.

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But other than that, what you are asking is whether you can give a forward -looking statement, whether the employee cost for the current year will remain the same. I will not be able to say anything on that.

We are keeping a tight control on it and probably the cost structure will also more or less stabilize in the next one or two quarters because post -implementation of the CDP we had taken certain premium services, et cetera, of some of the vendors. Vendors means not the TCS. So, we are talking about we call Db2 or Linux or I don't know what are all the software's that are there. So premium services are needed to attend to us like 24/7 online kind of thing. So, I think we need to wait for this cost structure to settle down for another maybe a quarter or two.

Arpit Shah: So, we should -- there'll be big inflation kind of jump in expenses that you are trying to guide? There has not been any significant change as we would see in employee expense and other expenses.

P.S. Reddy: I mean, at least, I don't foresee huge recruitment drive on the exchange.

Arpit Shah: And the software charges will be around INR60crores a year annualized?

P.S. Reddy: That's what we expect.

Arpit Shah: And the new product launches, are we seeing any kind of...

P.S. Reddy: We have already explained the new product launches.

Arpit Shah: Are we seeing any kind of delay because we have -- you [inaudible 29:32] from 6 to 3 months to 3 years almost now 5, 6 months back. So, are you seeing any delay in terms of product launches, or the approvals are getting delayed?

P.S. Reddy: See, as I said, some of them have to be applied whatever we have applied and whatever approvals are received they are being tested. Two of the important products are already launched from yesterday. That is crude NG and natural gas NG mini options.

And the other one, which I said that the gold 10 grams monthly contract is under testing and also the cotton candy, which is going to be launched maybe from the new season, and that is also being tested. While products are also being tested, some of the functionalities are also, we are releasing it. So, we have to be cautious about it. In our urge or desire to launch everything, we can't put the system to danger. That's why we are conscious in process in our approach.

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Arpit Shah: Got it. Just one request for the management, i

f you can publish the premium numbers

as you have been publishing the turnover numbers on an everyday basis, that would be easier for everyone to track.

P.S. Reddy: We will try to do that. We'll try to do that. I will try to address. Thank you.

Arpit Shah: Thank you so much.

Moderator: Thank you. The next question is from the line of Shreyans Jain from Electrum PMS. Please go ahead.

Shreyans Jain: Yes. So, most of my questions have been answered. I just have two questions. Can you provide the breakup for the total income for the whole year and transaction fees, crude income and other income like membership and others? And second, any update on the interoperability?

P.S. Reddy: I will answer the second question first. See, the interoperability in the sense that is implemented BSE and NSE, at least that is not on table or not on cards, at least, we have not thought of it. But we are looking at the fungibility of the collateral in the sense of the term that the trading in one of the exchanges stock -- maybe or I'll put it this way. Let the collateral be there wherever they are and whenever the member wants to transfer his collateral to the other exchange, like MCX, the other exchange will just mark a lien on that amount in favour of the MCX Clearing Corporation. And MCX Clearing Corporation in turn will distribute that. And this is the proposal that was submitted and the industry of forum, standard forum of members and others have recommended SEBI. I think that is a work in progress, and we are hopeful that it will be done at the earliest. Thank you.

Satyajeet Bolar: On the total revenue for the year from operations, it was 684 and out of that 560 was from transaction charges and around INR84 crores, we earned through the interest income on the margin funds cycles fees with the Clearing Corporation.

Shreyans Jain: Okay. And the remaining INR40 crores is the other income of the membership fees and...

Satyajeet Bolar: Volume charges, membership, data feed.

Shreyans Jain: Okay. Thank you so much.

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Satyajeet Bolar: Thank you.

Moderator: Thank you. The next question is from the line of Parth Agarwal from Bastion Research. Please go ahead.

Parth Agarwal: Thank you for the opportunity. I just have one question, and I need a clarity on the software support charges. So out of this INR23 crores, I understand INR10 crores, INR11 crores is payable to CME. But what is the rest of the amount that we have paid during the quarter?

P.S. Reddy: See, the TCS software comes with a one-year warranty. So firstly, we don't pay anything. And there could be other license fees, etcetera, etcetera.

Parth Agarwal: So, every quarter we will be paying around INR10 crores, INR11 crores.

P.S. Reddy: That's why I'm saying, you have to wait for one or two quarters more for most of the tariff structure or charge structure to settle down.

Satyajeet Bolar: Stabilize.

Parth Agarwal: Got it. And so, post October 2024, we would be paying AMC charges. Any clarity on how much we will be paying to TCS for that?

P.S. Reddy: That's what I said in the past also, it's single digit.

Parth Agarwal: Okay. Got it. Thank you so much.

Moderator: Thank you. The next question is from the line of Bhavya Sanghvi from Fortress Investment Group. Please go ahead.

Bhavya Sanghvi: Sir, I just missed the revenue on some of the option segment for the fourth quarter. So please forgive me, so rest of the questions have been answered.

Satyajeet Bolar: Yes. So, from the options, it was INR103 crores for the quarter.

Bhavya Sanghvi: And treasury income for the quarter?

Satyajeet Bolar: Treasury, I'm assuming that you're saying from the Clearing Corporation. The Clearing Corporation that was around INR21 crores.

Bhavya Sanghvi: Thank you.

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Moderator: Thank you. The next question is from Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain: Sir, just this INR560 crores that you mentioned on the transaction would be split into options and futures?

Satyajeet Bolar: Yes, for the year. Just give me a minute. So, for the future, it was INR208 crores, and options is INR351 crores.

Prayesh Jain: Yes. INR351 crores. Thanks. Just on this serial contract, I need just certain explanation.

So, you currently have multiple contracts of gold, which of them will come on serial contract?

P.S. Reddy: Well, we are looking at primarily into the crude and NG to begin with because they are cash settled contracts. Thereafter we will look at other contracts.

Prayesh Jain: Okay. And with respect to gold, we had bimonthly futures. Now we have approval for monthly future. Is that the right understanding?

P.S. Reddy: Monthly futures for 10 grams, but whereas bimonthly is 1 kg.

Prayesh Jain: Okay. And you can -- and do you have the approval to launch options on monthly futures of this 10 mg or you'll have to apply for that?

P.S. Reddy: No, no. We have not launched the future. So, the question of getting approval for options does arise.

Prayesh Jain: Okay. Got that. Thank you so much, sir. And just one more clarification. This quarter, depreciation rate -- depreciation is just gone up from INR11.3 crores to INR13.8 crores.

Is that only 15 days possibly was where you didn't have the CDP. So, is this the ratio that we can take for depreciation charge? Or is there anything else needs to be looked at?

P.S. Reddy: The 15 days is in the last quarter, but not this quarter.

Prayesh Jain: Yes, this is the run rate. This is the run rate, INR14 crores. Okay. Thank you.

Moderator: Thank you. The next question is from Chintan Sheth from Girik Capital. Please go ahead.

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Chintan Sheth: Thank you for the opportunity. Just a couple of clarification. One, you already mentioned that gold 10 mg will be monthly future contracts you are currently testing, right? That would be one, right? It was on monthly futures contract. Gold 10 mg currently in testing is the monthly futures?

P.S. Reddy: Yes, that's right.

Chintan Sheth: Okay. And cotton candy, which we are talking about is also a futures contract? We were not currently having this contract. Is it so?

P.S. Reddy: We currently have this contract. And there is a change in the contract specifications and the new contract will be launched from the next quarter. Next season, I'm sorry.

Chintan Sheth: Next season once the supply starts.

P.S. Reddy: So that is actually September or October onwards.

Chintan Sheth: Right. Okay. And lastly, on the CME charges, that is the recurring fee on the revenue, on the NG and the energy basket which we generated, both on futures and options put together.

P.S. Reddy: That's right. That will be great. Thank you.

Moderator: Thank you. The next question is from Rahul Agarwal, who is an individual investor. Please go ahead.

Rahul Agarwal: Good evening. Thanks for the opportunity. My question is regarding the average realization that you provided on Slide number three. Is it pertaining to the future segment only, INR 2 lakh?

Satyajeet Bolar: Yes, it's on the futures.

Rahul Agarwal: So, what is the average realization in the option segment? If you could quantify them?

Satyajeet Bolar: INR 40.83 presently per lakh for the quarter.

Rahul Agarwal: INR 40.83. All right. Thank you.

Moderator: The next question is from the line of Shreyansh from Arthya. Please go ahead.

Shreyansh: Yes, thank you. Thank you for the opportunity. Actually, I missed the question before.

What is the reason of option premium ratio to turnover drop?

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P.S. Reddy: See, t

he contracts traded are at the money or in the money then the premium paid is higher for which reason you will get a higher transaction charges. If the contracts traded are far away from the in the money or at the money, then obviously, less premium will be paid. That's what the reason is.

Shreyansh: Okay, so that is the main reason for that, right? Thank you.

Moderator: Thank you very much. That was the last question in queue. I would now like to hand the conference back to Mr. P.S. Reddy, MD, and CEO, MCX, for closing comments.

P.S. Reddy: Thanks to all of you, once again, and continue to support MCX and we will do our best.

The team will do their best to ensure that the exchange will surpass everybody's expectations in the years to come. And the technical issue is behind us. And I'm sure you all know that that has taken a lot of time and the entire energy of the management in bringing up the new -- putting up the new platform.

Since that is behind us, the management can concentrate on business development. And going forward, that is the only thing that we will do and see to that the company meets the expectations of all stakeholders. Once again, thank you, and I wish you all the best. Thank you. Thanks to all of you.

Moderator: Thank you very much. On behalf of Multi Commodity Exchange of India Limited, that concludes this conference. Thank you for joining us. Ladies and gentlemen, you may now disconnect your lines.

Call: Apr 2024

MULTI COMMODITY EXCHANGE OF INDIA LTD.

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CIN: L51909MH2002PLC135594, info@mcxindia.com MCX/SEC/2374 May 07, 2024

The Dy. General Manager

Corporate Relations & Service Dept.

BSE Limited,

P.J. Towers, Dalal Street,

Mumbai - 400001

Scrip code: 534091, Scrip ID: MCX

Subject: Transcript of calls with Investor/Analysts

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)

Regulations, 2015 read with the SEBI (Listing Obligations and Disclosure Requirements)

(Second Amendment) Regulations, 2021, please find enclosed herewith the following transcript of the call with investor/analysts:

Sr.

No Investor/Analysts Date Time Annexure

1. Ward Ferry (WF Asian Smaller

Companies Fund Ltd) April 29, 2024 03:30 PM Annexure - A

The said transcript is also uploaded on the website of the Company at

<https://www.mcxindia.com/investor-relations/ir-meetings>

Further, we hereby confirm that no unpublished price sensitive information was shared/discussed during the said meeting.

Kindly take the same on record and acknowledge receipt.

Thanking you,

Yours faithfully,

For Multi Commodity Exchange of India Limited

Manisha Thakur

Company Secretary

Encl: As above

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Meeting with

Ward Ferry (WF Asian Smaller Companies Fund Ltd.)

April 29, 2024

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This document may contain "forward-looking statements" – that is, statements related to future, not past, events. In this context, forward looking statements often address our expected future business and financial performance, often contain words such as "expects", "anticipates", "intends", "plans", "believes", "seeks", "should" or "will". Forward-looking statements by their nature address matters that are, to different degrees, uncertain. These uncertainties may cause our actual results to be materially different than those expressed in our forward-looking statements. We do not undertake to update our forward-looking statements.

Annexure -A

Multi Commodity Exchange of India Limited

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MANAGEMENT : MR. P.S. REDDY – MANAGING DIRECTOR AND CHIEF
EXECUTIVE OFFICER – MCX
M R. CHANDRESH SHAH – CHIEF FINANCIAL OFFICER
– MCX
M R. SATYAJEET BOLAR – CHIEF FINANCIAL OFFICER
– MCX (OUTGOING)
M R. PRAVEEN D G – CHIEF RISK OFFICER – MCX
M R. NARESH BHUTA -- DEPUTY CHIEF FINANCIAL
OFFICER – MCX

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P.S. Reddy: Welcome, Mr. Aman and Nicholas, go ahead. You know the business well. You know what the company is doing or going to do or what it did. And all is in public, and information is available, even as late as what happened day before yesterday, and that's also in the public domain. And go ahead, fire your questions.

Aman: Thanks for making time, Mr. Reddy, Mr. Bolar, Mr. Praveen. I really appreciate you guys being on this, very kind with your time.

P.S. Reddy: Sorry to interrupt you. We have a new CFO joined, Mr. Chandresh Shah, he was with NSDL earlier. He joined us. And of course, Mr. Naresh has been there as the Deputy CFO, you know him, and these two gentlemen will hold the fort. We are handing over the baton to them.

Aman: Very good to meet both of you. I think we'll be in touch as time for business, thank you so much for being part of the journey at MCX. I think first question that we had Mr. Reddy was on just the recurring charges, I think you gave us some clarity on that in the quarterly call recently. It seems that the recurring charges that we had on software side that we -- what we had a quarterly charge in the last quarter seems to be higher than the guide that you have for a full year number starting FY '25, '26.

I'm just wondering, to the extent you can talk about it, are there one-offs in the current quarter numbers, quarter 4 numbers, or is it something that will start playing out more in the couple of quarters as you have mentioned in the call?

P.S. Reddy: Yes, see, because we have just started or rather say, replaced the engine of a flight while flying at 30,000 feet, we have to ensure that there's no glitch at any point in time. So out of abundant caution and care, we have taken a lot of premium services of a lot of vendors. Now call it DB2 or IBM or Red Hat or Confiat or Dell, etcetera, etcetera, etcetera. Those premium services are substantially expensive. I mean higher than what it is. Now do we need it for all quarters. No, not required.

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That is the reason why I said the cost structure will be stable, maybe post -- I mean you give us two more quarters, then you will know how it is going to be panning out. And so, this is not a, maybe a true picture of it. Maybe if you allow some more quarters to go by, then you will get some fair idea.

Aman: Okay. That's great. I think just in terms of -- again.....you can talk about on depreciation. I think is it safe to assume now the current depreciation number is right and recurring in nature or is there also potentially one-offs on the depreciation side. I know the total numbers you've given as potentially 60 crores annually, including depreciation. But Mr. Bolar, do you think the depreciation currently, for current quarter is broadly run rate?

Satyajeet Bolar: Broadly, it is at 9, I mean we have fully capitalized the CDP project. So, all the

depreciation has come in, amortization has come in from 16th October itself. So, this quarter figures going forward, it would be -- unless I mean, there would be some CapEx that would keep coming in.

P.S. Reddy: So, we're planning to do some more CapEx depending on the requirements, some kind of a separation was needed. So, some more CapEx will come, but that will not be as big as this number... There is some amount of CapEx.

Aman: Ok. Got it. And I think one question, which probably is a minor point on TCS side, do you think anything -- do we still are having discussions on any kind of reimbursements that we could have or do you think that chapter is more or less closed with the current arrangement itself, for the stocks where delay, that happened...

P.S. Reddy: I'm sorry, just a very urgent call, I just took it. I'm sorry, please repeat. Don't mind.

Aman: Mr. Reddy, I was saying that on TCS, is the discussion -

- is there any still

ongoing discussion on any reimbursement or is that a chapter that discussion is closed already, on the potential reimbursement, because of the debate? I know they are ongoing vendors, that's not something that you want to affect the relationship but is there economic outcome that can happen from there?

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P.S. Reddy: We have not closed it officially, but the discussions are like -- you just started the journey, would you start with a discordant note, or would you allow the project to be run for another decade on cordial note? That's what the question is. But we have not officially...

Aman: Got it. And sir, in terms of software, is it perfectly working fine. Now we can -

- I think you mentioned in the call a few times for new products, you have to make sure that the software is working, it's stable. Is it completely still or do you guys still going through some teething issues in the software that you would want to rectify before launching new products as we go around?

P.S. Reddy: See, there are some teething issues. But then those are not impacting the production as such, okay? So, whenever we introduce a new product, we want to doubly make sure that the system recognizes all kind of scenarios of that new product as well. So that is the reason we are thoroughly testing it. Maybe some kind of flexibility is taken away when the coding was done with respect to the current products, which are there in the masters may not have been accounted for a new product. So, when a new product is introduced, maybe that particular functionality is not working as expected. That's why we are ensuring that is freed up. So, coming back to the question, are there any problems? I think on a day-to-day basis, we have been doing fine. And we are also handing over the reports filed, et cetera, by 4:00 in the morning, early morning. So, we have enough window for us to start the next day activity. And that was a concern in the beginning for about almost for 2, 3 months. Back-office files were going late, so some members were concerned about it. Now that's all behind us. So, stability of the system in that sense, yes, is achieved. And -- but yes, some more functionalities require wherever, from manually done, off-market reports kind of thing, not online reports, but offline reports, they are also getting automated. Those activities, we have -- we are doing it. There are some post go-live activities also. Post go-live activities means we have kept certain portion of the functionalities to develop post go-live because that's not very urgent in that sense. So, one important feature is like

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negative pricing. So, in the case of crude oil. So, we have -- that is now getting implemented. So, some of them are like that.

Aman: Got it. Very helpful. Mr. Reddy, 2 questions from the revenue side, just broadly. First question is on competition, of course, another exchange trying to do a lot more work on option side in the last -- especially since October, I guess, they got permission to start, of September, October. From a customer perspective, are you seeing any aggression from a competitive exchange,

either their premium ratio is pretty low, is what we observed so far. But how do you see just broadly competition in the space? Are you seeing anything which is noteworthy -- I mean, there will always be competition in an attractive market. But how are you seeing it play out for you guys?

P.S. Reddy: Well, word competition itself keeps us on our toes. So that is good for us and for our teams to that extent. But then is it getting any traction? Maybe at this point, my answer is no. And we are also equally making an effort to ensure that our customer base remains intact, and they continue to support our system. So, if you see their volumes, it's a

bout INR 5,000 to INR 6,000 crores

ADT as of now, I don't think that will change, is my understanding of it.

Aman: Got it. And Mr. Reddy, I think in our customer base, how much is -- I think you guys used to provide the information earlier that maybe 55%, 60% of revenues from arbitrage funds or maybe the top 10 customers, 55%, 60% of revenue in mostly arbitrage, does that number still hold true? Like is arbitrage or...

P.S. Reddy: Algo players is what we were talking about. They are the ones who are....

Praveen DG: We have been giving algo and non-algo separate, in the prop and client.

Aman: How much is the algo?

Praveen DG: Last year, it was 52%, around 52.4% algo.

P.S. Reddy: That is 23-24.

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Aman: Got it. And has the ratio been -- Mr. Praveen, similar across quarters or increasing?

Praveen DG: I think in the previous year, it was about 53%.

Aman: Ok. On that note, do you see Mr. Reddy, foreign institutions, the people who have taken up our terminals, are these typically institutions who are again algo players or there are also players who are trying to hedge the real commodity exposure. Like, how does the FPI terminal work in your -- as it evolves at MCX.

P.S. Reddy: Well, they go to a member broker and then take the terminal. And I don't think there are hedgers as such, they are definitely one of the kind of algo players.

Aman: How much will FPI be today? Is it a very small portion of business, Mr. Reddy?

P.S. Reddy: It's about INR 3,000 crores approximately.

Praveen DG: Turnover, total.

P.S. Reddy: ADT, yes, that's right.

Aman: Including options, which is both put together, right?

P.S. Reddy: Yes. Mostly options.

Nicholas: Mr. Reddy, are we seeing -- you launched this Category II, have we seen any notable uplift in volumes?

P.S. Reddy: We've just launched a week ago, and I think they have to register also, the registration process is on. And I'm sure you will see in the next 1-month, the impact of it. That's what my expectation is.

Nicholas: Right. So, the demand is strong.

P.S. Reddy: That's for FPI Category II.

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Aman: There is also Category III, right, in that we are launching for FPI?

P.S. Reddy: I mean the requests have come for FPI I and II Category.

Aman: In this FPI Category, Mr. Reddy, where this DMA terminal, this was -- this is the same one, right? Or is this a different facility?

P.S. Reddy: DMA is given to FPI I, and the FPI II also is being given. It is the direct market access and where they're -- I mean, they don't need to go -- they will go through the member broker, but then this is a seamless integration with members.

Aman: Got it. Okay. That's very helpful. Nicholas, anything else on the revenue side or like volumes that you want to check.

Nicholas: Maybe just a quick understanding for me is on the FPI Category II, do we

expect like a different type of -- is there like different characteristics, with these new type of institutions or foreign...

P.S. Reddy: FPI Category II are essentially the individual high net worth individual, corporates, maybe family offices, et cetera, they are covered, and many member brokers have been looking forward to that category to be introduced and which we did it just last week, last Monday. And I think it will take some time, as I said, it would take some time.

Aman: All right. Very helpful, last question on just this new development on the regulatory fee that we have been asked to pay. I know the number is probably not as large, but what has been the reason that this clarification came now, and do you think that in the -- like, how does that impact our recurring earnings stream so far?

P.S. Reddy: So, as you have seen, like you pay 10% to CME. So, you pay some fraction of it to SEBI on the notional turnover. I think that's the way it is. And in order not

to let people to imagine what that impact will be on exchange; we have given very clear numbers in our press -- or rather upload and the BSE. So, I think -- I mean, it's very clear, there's nothing much we can do about it. But, the Multi Commodity Exchange of India Limited
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company, we are placing this before the Board at its meeting, next is scheduled soon. And maybe then they will take a call on it what to do, how do we approach on this. That's why we have said that it is being considered by the exchange.

Aman: Okay. That's very helpful. Mr. Reddy, I think and Mr. Bolar, now software transition is done, how do you think about dividends, any kind of view on that, the fact that it is largely fixed fee in terms of software expenses now. And there's no major CapEx probably going to come. Is there any view on like tight increase in dividend as a dividend payout ratio and so on that you guys are thinking about? Or the Board will take a call?

P.S. Reddy: See, currently, it is 75%. And every time we are fully giving out. I mean, there's nothing is kept with us, which is the policy and going forward, also, my personal view is that I'm sure Board will adhere to the policy, whatever that be, where the 75% will become 90% or 20% is a different matter. But I don't see that is going to be changed going forward, 75% going to be there. That's what my understanding is.

Aman: So, this is very helpful. I guess, Nicholas, is there any other thing that you want to check with the team?

Nicholas: Maybe just quickly on this CME contracts. We pay them 10% of transaction revenues, right? And I was just wondering if there's a possibility that this would change in the future? Like what determines this rate and is there potential that it will change?

P.S. Reddy: It's about CME, -- you're talking about CME rate, isn't it? I don't think that will change. It will remain like that. Its volume driven. That's it.

Aman: And it's also only on crude or natural gas, right?

P.S. Reddy: On energy products, let us say, going forward, some other product which is traded on CME is considered, that also get add and indices are also added.

Praveen DG: It is only for the energy...

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P.S. Reddy: Energy. Only for the energy obviously.

Aman: Got it. This is super helpful, Mr. Reddy. I think, Nicholas anything else that you want to check on? Net worth income or net worth balance that you want to check -- or do you have those numbers? How much is net worth cash right now?

Naresh Bhuta: So, it is 1,550 crores...

Aman: Net worth cash. And the remaining cash, like total cash?

Satyajeet Bolar: And if we include the margin funds, that would be another 1,000 crores as on 31st March. So that would be another 1,000 crores. That's a part of CCL.

Aman: Okay. I think one last question I had on the numbers. How do we think about SGF, Mr. Bolar. I think I know for 2 quarters, we had SGF contribution because

the open interest went up. Now I think if you look at it in last quarter, despite great growth in option volume, and I'm not able to understand how do I find open interest, but it seems like at least in last quarter, we didn't have any SGF contribution. How do we think about in the future? On a broad basis, do you think as we grow revenue, especially option volumes will keep increasing? And in some quarters, we may have it, in some quarters we may not have it? How should we think about the recurringness of SGF contribution and the rate at which you have to move these contributions?

P.S. Reddy: See, yes, it's all flowing out of these stress tests results for the MRC that is a minimum required capital contribution, that is the SGF. Now there is some tweaking has been done as provided by SEBI in terms of whether future prices to be considered or spot prices to be considered for these calculations. So obvious, futures is mo

re relevant. So that has been considered. So, some kind of headroom we have got it. And that's how we have reduced the margins. If you look at the -- some actual margins imposed in crude, NG, and other things, they have been removed.

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As a result of which the margins in the open interest may increase and which is increasing, it's almost 65,000 crores, it was recently. Now with the increase in open interest, obviously, SGF requirements increase. But here, what I want to say is, if you contribute to SGF and the income earned on SGF is anyway, it is tax free. But at the same time, we will be able to reduce the margins so that we can get more volume. So, these 2 may help us or reinforce each other in terms of bringing additional volume to the exchange. At the same time, the interest income will remain in SGF.

Aman: Sir, on the -- you said you will be able to reduce margins. Can you reduce margins further? Like is that an ongoing thing that we'll keep doing...

P.S. Reddy: If we have more headroom or more SGF money, then we can reduce margin. It is coming in the way of this particular reduction in margins.

Aman: Okay. So, this is very helpful. Sir, anything else in terms of either interoperability of exchanges or common margin across the exchange that you think is going to happen sometime in the future.

P.S. Reddy: Interoperability in a limited sense of margins being kept wherever they are, but then transferring to the other exchange is something which we are pursuing it. There is the industry standard forum also is pursuing it. And so, after the equity exchange is shut, maybe I don't need a physical receipt of fixed deposits or bank guarantees and other things, but a lien on the balance amount which is lying out there can be created in CCL, so we can trade commodities, okay? And the next day morning, we can release it if there is any balance. So, this can always happen on a daily basis. That is something which you are looking at.

Aman: Got it. This is very helpful. I think I don't have any other questions. Nicholas, anything last that you want to check.

Nicholas: Maybe just a quick one on -- if you look globally, we see some -- many exchanges have a more diversified revenue base coming from the likes of data and indexing and other technology solutions. So, I was wondering now that

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the software -- or new software has been implemented? Are we thinking about maybe going that route of introducing more of those type of income streams?

P.S. Reddy: Well, while the data feed vending is one stream of income, but that's not going to be very big in the case of MCX because we have only that many commodities, maybe 15, 20 commodities, unlike equity markets, they may be getting a good amount of money from data feed of vending also. So, we may not get so much like that.

But having said that, introduction of more and more new products is the only way forward for us to diversify our business. And so, diversification in that

sense, can happen by product wise, but not outside the exchange trading platform. The way that we are maybe looking at is outside the exchange trading platform, but that may not happen. Limited chances are there.

Aman: This is very helpful. Thank you so much, Mr. Reddy for making time. Thank you, Mr. Bolar. Thank you, Mr. Praveen. We look forward to staying in touch with the team and thank you so much for all that you guys have done for the business. Really, really appreciate it. Thank you so much for making time.

P.S. Reddy: All the best, hope to see you some time. Thank you.

Aman: Thank you.

Call: May 2024

MULTI COMMODITY EXCHANGE OF INDIA LTD.

EXCHANGE SQUARE, SUREN ROAD, ANDHERI (EAST), MUMBAI 400 093, INDIA. TEL: +91-22-6731 8888, FAX:

+91-22-66494151, www.mcxindia.com

CIN: L51909MH2002PLC135594, info@mcxindia.com MCX/SEC/2377 May 09, 2024

The Dy. General Manager

Corporate Relations & Service Dept.

BSE Limited,

P.J. Towers, Dalal Street,

Mumbai - 400001

Scrip code: 534091, Scrip ID: MCX

Subject: Transcript of calls with Investor/Analysts

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)

Regulations, 2015 read with the SEBI (Listing Obligations and Disclosure Requirements)

(Second Amendment) Regulations, 2021, please find enclosed herewith the following transcript of the call with investor/analysts:

Sr.

No Investor/Analysts Date Time Annexure

1. Group Investor Call hosted by

IIFL Securities including

following participants:

1. Sundaram MF

2. Bandhan AMC

3. Ashmore

4. DSP MF

5. White Oak

6. Motilal AMC

7. ICICI Pru Life

8. IIFL AMC

9. ASK Investment

10. Nippon AMC

11. Canara Robeco MF May 02, 2024 05:00 PM Annexure - A

The said transcript is also uploaded on the website of the Company at

<https://www.mcxindia.com/investor-relations/ir-meetings>

Further, we hereby confirm that no unpublished price sensitive information was shared/discussed during the said meeting.

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Kindly take the same on record and acknowledge receipt.

Thanking you,

Yours faithfully,

For Multi Commodity Exchange of India Limited

Manisha Thakur

Company Secretary

Encl: As above
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Meeting with
Group Investor Call hosted by IIFL Securities
May 02, 2024

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Annexure - A
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MANAGEMENT : MR. P.S. REDDY - MANAGING DIRECTOR AND CHIEF EXECUTIVE
OFFICER - MCX
MR. CHANDRESH SHAH - CHIEF FINANCIAL OFFICER – MCX
MR. PRAVEEN D G – CHIEF RISK OFFICER – MCX
MR. NARESH BHUTA - DEPUTY CHIEF FINANCIAL OFFICER – MCX

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Analyst: Please raise hand icon if you have a question and once your name is announced to unmute your line and ask the question. So, introducing the management, we have with us Mr. P S Reddy, the MD and CEO of the company, Mr. Satyajit Bolar, the CFO and Mr...

P.S. Reddy: So, Mr. Devesh, Mr. Bolar has left yesterday and Mr. Chandresh Shah has taken over. I think we have already made the announcement and Mr.

Chandresh Shah is with me along with Mr. Naresh, he is a Deputy CFO and of course Mr. DG Praveen, who coordinates Investor Relations at Exchange.

Analyst: So perfect sir, I think we will start, may I request the participants to use the raise hand icon so that we can start the question and Q&A. In the meanwhile, sir, as the queue kind of assembles, I had a couple of questions. Maybe I can start with those.

The first thing sir, there was a sharp decline in the premium ratios in the month of March. So, two questions around that, you did mention on the earnings call that this was partly because of more trading happening in a long-dated options. My sense would have been sir, that the longer the duration, more the premium should be. So is it that in long dated options, the trading generally happens in out of money contracts and that is the reason the premium is...

P.S. Reddy: Not long dated, it is a far end, far end, away from, far away from the money, not in the money or at the money, that is what I am saying. So that means, you know, the premium will be lower.

Analyst: You mean to say out of the money, basically, trading happens more in out of the money.

P.S. Reddy: Not in the money, it is away from the, it depends on how far it is away from the, this one, you know, the price, near, what you call the, at the money, rather.

Analyst: So, was it like more, sir, more like a one off or is it like a trend that we should expect it or any trend that you can, or any number that you can share for the month of April?

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P.S. Reddy: I don't think we can share it because again, as and when it is published, I think monthly we are publishing the premium and so we will, we will do that. When are you doing this, April month you must have published it?

Management: Yes. And anyway, on a daily basis, it is very much available on your ... statistics, but apart from that one, if you want all the data together monthly, anyway, we are uploading.

P.S. Reddy: So how much is it and you have readily available?

Management: Readily, it is not there. Okay.

P.S. Reddy: 1.9. You can tell.

Management: Yes, it is a current April month is better as compared to the March month, it is 1.9.

Analyst: It's 1.9% okay, understood. So, then it was more like a one off in the month of March, because of which it declined to 1.55.

P.S. Reddy: We don't want to draw any inferences, you have to draw, that's it. I don't know if it is one off or otherwise.

Analyst: Okay. Makes sense. Makes sense. Perfect. So again, everyone, if anyone has any question, please use raise your hand icon so that we can call your name and you can ask your questions. Sir, I also wanted to know, hello, sir, we have the first question from the line of Ajox, you can unmute and please go ahead. From whom? Ajox.

Analyst: Hi, sir. This is Ajox from Sundaram Mutual. Sir, my question is on the expense. So steady state expense, how should I rate that software support charges?

P.S. Reddy: As I said, steady state, you have to wait for about another two quarters and then see the IT expenses will stabilize more or less. Why I'm saying so is we have taken certain premium services from some of the important vendors. So that's also a bit expensive. Similarly, some additional resources are currently working on various activities. They all may be relieved by them.

So, then you will get to know what will be the steady state expense.

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Analyst: Understood, sir. And, sir, in the call, you mentioned that it will be similar to what we had earlier plus depreciation. So that still remains, right? Or it will be higher than that base case which you mentioned in the call?

P.S. Reddy: A few percentage points higher or lower around that it should be. That's what our expectation is. And that's how we have modelled also earlier. And that's what I have said that. And unless there are some additional expenses, regulatory requirements are there for which reason we have to invest additionally on infrastructure. Obviously, that will be more. But otherwise, it's

not.

Analyst: But that won't be meaningful, right, to your sense at this point in time?

P.S. Reddy: You see, for example, on the cybersecurity-related, the expenses are – I mean, we have invested a good amount of money in the last two years on cybersecurity. And so many types of setups have been put in place, SOC, SIEM, or some air gap solution they are talking about, whatever that may mean. And, you know, and whatnot. There is a red teaming exercise that's going on. And tabletop exercises, they say, or playbooks for preparation. I'm just reading out some of these things because they all have some expenditure, additional manpower requirements and all that.

That's already there in the current, what you call, quarter, you know, results what we have declared. So, what I'm saying is these expenditures are all regulatory requirements. And we must stay protected. Obviously, nowadays, the cybersecurity is a major threat that we are facing. So that's why these investments have been made.

Analyst: Understood, sir. That's it for me, perhaps.

Analyst: Next question is from Nippon AIF . Aashray, you can unmute your line and go ahead.

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Analyst: Hello. Hello, sir. This is Aashray from Nippon AIF . So, sir, on the earnings call you mentioned regarding the launch cycle of the new products five to eight months is something for the index, weekly contracts, etcetera. Any update on that in terms of, I know you do a lot of testing and, you know, the systems should be ready before the launch. But any timeline on those products? That is the first question. And second question is regarding, obviously, the CEO appointment. Any update on that? And is that kind of, you know, the hangover in terms of if it's leading to a delay in the launch of new products? Yes, thanks.

P.S. Reddy: On the first question, I think five to eight months is what I have said that I think that will hold good, my view. And the teams are there in place and they should be – I have not drawn out any detailed red map, so -and-so product will be so - and-so date, et cetera. But the – parallelly, the groundwork is going on. The moment we get some kind of, what you call, a hint from the market players, I think this is a good time to go ahead and launch it. The teams will launch it. So that's how it happens. So that is one part of it. The second part – and also see what – because two of the contracts are agri -contracts. So, we have to see the season, when it is a fresh crop is coming, and whether what are the kind of volatility in the product, etcetera, etcetera. And accordingly, they will decide. The other part of it is CEO appointment is going on. I think yesterday or day before yesterday, an advertisement has been taken out. And Conferry is the agency which has been appointed to do the job. They will do it at their list. And that should not impact, again, the functioning of the exchange, because the teams are in place. Each one knows what they should do and when they should do, how they should do. And I don't think there's any vacuum is getting created. In fact, I

would say the best way a CEO can say that he is a leader only when he trained up everybody and then leaves or in an autopilot mode. And I think that's the way it is. Thank you.

Analyst: Okay. And just adding on that, so basically there are no hiccups. Everything is going as per plan in terms of launching of new products, right?

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P.S. Reddy: I don't foresee that's all I am saying.

Analyst: Okay. And what would be the traction or the growth that would come in terms of volumes and other drivers after launching these products?

P. S. Reddy: I will not be able to give any guidance on it. For any contract to mature and then really do meaningful contribution, about 2 years it will take. So that's the way we always work on. And still some work is going on the one contract

which are already launched behind the scenes, and we should be able to revive those contracts also. Just launching is one part of it, but then making sure that it works is another one and that's what we are interested in.

Analyst: All right. So again, anyone who has a question please press on hand icon and we will give you an opportunity to ask the question. In the meanwhile, while we are on this topic of new product launches, can you help us understand are there any limitations in terms of launching new products in terms of the tech platform or in terms of market absorption of launching multiple new products at the same time? Is there any strategy why you want to go in a very staggered manner?

P. S. Reddy: Sorry, your voice is not clear. I'm not able to get you, a little closer to the microphone...can speak into it.

Analyst: Is it better, sir?

P. S. Reddy: Okay.

Analyst: I just wanted to know in terms of launching new products, are there any limitations on the tech platform or in terms of market absorption of new products and that's the reason consciously we want to go in a more staggered manner in terms of launching new products?

P. S. Reddy: See, the – while the physical market may not have any limitation because each one is a different segment, but when it comes to the member brokers who provide liquidity who gives out research reports or pricing patterns or technical analysis etc they educate their investors, they reach out to the investors and they definitely have a – ask not to launch too many products at the same time.

Otherwise, they will not be able to absorb it. They will not be able to study it

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properly. So I think that's very important feedback that we must take into consideration before we launch new products. So that's what the issue is.

Analyst: And sir, in terms of the new products that you have already launched, be it your mini contracts on crude oil and natural gas or your monthly gold options which of these products are you hopeful of driving volumes in the near term?

P. S. Reddy: All of them should be able to because currently, I mean, crude oil mini just is almost a week old if I am not mistaken. The previous Monday we have launched it on Tuesday, and they are clocking maybe INR1 crores, INR2 crores, INR3 crores turnover and it's gradually picking up. There is also an arbitrage opportunities between the main contract and the smaller contract. That is also happening. So, the member brokers actually study it and once they get it a critical mass, then the other players, algo players will also join. So, yes, it is taking time, but all three really have a great potential.

Analyst: Sir, what are other new products which are there in the pipeline which we expect to launch over the next 3 months to 6 months?

P. S. Reddy: I have already said that the two of the contracts, agri contracts we are also launching a new from cotton season, new contract, cotton contract from the new cotton season. Similarly, we have a 1

0-gram gold coin contract. We also are looking at studying it and we will apply to SEBI also regarding the index options. I think these are the ones which we are looking at it. While weekly options and other things will take some time because we need to build the, I mean, we have to test thoroughly the IT systems before we introduce that product because we never had in the past such a product, that is what it is.

Analyst: Right, sir. Sir, there is one peculiar thing. We have seen that in volatility although crude oil volumes and natural gas volumes will grow very heavily in the options segment, but the same does not hold true for gold and silver. So, when gold and silver we see volatility, I think we see the traction more in the future segment versus in the option segment. Why is this difference, sir?

P. S. Reddy: The margins in the futures contract are very high in the case of crude and NG as against the options. Of course, option writer ends up paying the same thing, but the option buyers pay just a small premium and that is something which is

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really worrying us and that is one part of it. Another expectation that I had is that even option writers have to secure themselves by entering into taking a position in underlying futures, but there are synthetic products have come. Again, using options only they are hedging it. So, they do not need to necessarily what you call hedge in the underlying futures, but the primary reason is the margins that is the margin that is a showstopper and thanks to increase in our SGF cover and then change in methodology. We have already waived off 7% margins in crude as well as NG, additional margins. So, that is where we have seen some traction and with the increase in the SGF cover probably we may be able to do some more.

Analyst: Sir, we have next question from Ritika, you can go ahead ...

Analyst: Thank you very much. Sir, actually I will start with a very basic question and sir we have always whenever we have met you in the past, we always ask you that why is the business so concentrated in two products?

So, obviously, the next question which I ask you is actually going to be going back on what we actually expect you to do. But still, sir, how do we actually now that you have launched so many products or rather also looking to launch so many products, how does one as an outsider gain confidence that there will be uptake in all of the products without cannibalizing one.

While we always ask you that you should launch more so that the volume should increase. That is why, sir, I am saying that a very basic question that with so many products launched, how does one understand that they all will have an uptake and rather not really cannibalize or eat into the volumes of the existing products?

P. S. Reddy: Okay. If you look at gold itself profile you have gold 2 kg, 1 kg contract you have 100 grams, you have 8-gram, 1 gram and now 10 gram. So, each one is meeting maybe a specific requirement of it, but that is when it comes to gold. Gold is a different product altogether.

But there could be some products which may cannibalize if you introduce a similar product because the purpose of those products may be only hedging
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nothing but hedging. So, that may happen, but in the case of gold that is not the case. Some people may be taking it for consumption also.

They may be taking delivery. Gold happens almost all 125 or 130 metric tons of gold since the platform was launched has taken delivery. Almost 4,000 odd metric tons of silver has been delivered on the exchange platform.

So, all these things are happening because they are suited for a different type of what you call meets different objectives. Now, having said that, the volatility in a particular commodity plays that r

ole.

So, if tomorrow the gold picks up or silver picks up or still some other agri - commodity picks up and then their share increases, it is not necessary that it will remain at that level all the time. So, there are forces which are impacting the physical market players for which reason they are also taking cover in the derivatives market. So, hedger's participation has to increase for any of these products to really sustain that contribution.

And secondly, the volatility is another piece which will keep what you call keep the people to flock to the derivatives platforms to hedge their risk.

Analyst: So, secondly continuing with this actually just to maybe understand that firstly, sir, we are obviously now well into the new platform doing well, volumes are great. Just one more you also alluded that you are obviously engaging with the brokers and that is how you are trying to stagger the product pipeline. That is also an initiative.

Just similarly, on the initiative line, sir, looking at you have obviously had a very decent growth in your active traders also. So, just maybe trying to understand what in your opinion has actually led to this. Is it like, the investor education is now helping and that is how we can see that the number of traders which are actually active on your base should keep on increasing.

Secondly from when I had last met you, sir, whenever an account gets opened even then and I think I shared this example with you previously also I had opened a Zerodha account. I mean, when it came to commodity obviously there were these certain further requirements on maybe if you want to open a

commodity account. I mean, this could be just a Zerodha. I am not sure if this is with every broker or not.

And that was - not that I was looking to open a commodity account back then, but that was a deterrent because if it was the same KYC or the same documents all opened together. So, just want to hear your thoughts on certain more, on these aspects on firstly what in your opinion has led to this activity?

And is it like the introduction of smaller mini contracts that have led to more of this activity. And secondly, on the second aspect that I said that onboarding of the retail customer?

P. S. Reddy: Okay. See, yes, investor education is really -- is a paramount and the most what you call potent tool to bring the people to the commodities. While that tool is not fully exploited or fully used and that is, I mean, how much ever you do it that is consider red to be a drop in the ocean. That is the way it is investor education.

But having said that, having done so much of investor education, alone itself would not have made brought so many people to the platform. I think the participants when I visit some of the member brokers and then even in far away in Gujarat and maybe down South or up North what they tell me is the opportunities what you call the margins in the commodities space have increased substantially as against equities.

So, they are spreading to their customers. Look, here is an opportunity and here is so much return you can earn in this commodity markets. So, they have been constantly researching and informing their client base that here is an opportunity in this commodity, in this commodity is not there, like that and that's how they are educating their investors. So, that is what is driving the investors to turn towards commodities and try their hand at this. That is one.

I think the single KYC across the MIIs did help in opening too many accounts with the exchange and honestly if you ask me somebody who doesn't trade, we don't want it because that is only increasing the load in the system for me. And you need to scale up the storages etc, maybe the memory sizes have to be

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increased. But

they are really trading that's good enough. I think we have 9 lakh plus active investors.

I think we should have much higher ambition than what we have achieved this year. So, coming back to that there is money in it. That is why the investors are coming. If there is no money, nobody would have come. That's the way it is.

Analyst: Devesh, can I continue if nobody else are doing?

Analyst: Yes, sure.

Analyst: Thanks. So, just thirdly sir on the currency futures if you could share that what are we seeing? If I am not wrong, we saw a considerable spike in the month of April. So, could you just help us understand that how sustainable is this growth? If I am not wrong this is also led by some regulatory changes from the RBI's front. So, if you could just maybe from a very basic way just help us understand that how has this changed and what is the growth outlook there look like now?

P. S. Reddy: Madam we don't have a currency futures on our exchange. We are not there in the currency segment at all.

Analyst: Okay. I think I looked up a wrong number. Sir, finally, on the capacity front while you have actually guided on the call regarding like the expenses etc., but just generally with the way the volumes are actually increasing from maybe further because we obviously know that the TCS transition takes care of the fact that now that your opex will actually move more on the -- will be more on a fixed nature going forward, but other than that any other larger or maybe even a smaller to mid -size capex that will be required to meet this volume from your end?

P. S. Reddy: As I said, if you go by the average volume, I think we are far ahead of whatever

is currently there in terms of system requirement, but what the regulatory framework or the framework that is – the guiding framework that we have is the peak expected volume. So, the peak is something which is maybe a spike, it may be for a fraction of a second or few seconds, but you need to build a Multi Commodity Exchange of India Limited
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system based on those peaks. So, that is something which is being looked at, but we have not reached that stage as yet.

We don't need to worry on that as yet. But again, we should not take the tech expense as an absolute number. That is also not correct. We need to look at it in terms of revenue, how much percentage is tech expense, is it growing faster or is much slower than the top line growth is what we need to look at it. I think that kind of understanding is important for you to appreciate what we are doing on the exchange.

Analyst: I am sorry for this that I don't have the number in front, but did the gold futures numbers at least went up very materially in the month of April?

Management: Yes.

P. S. Reddy: Options ADT, yes, bullion is INR20,000 crores bullion.

Analyst: So, on a month -on-month basis it went up sharply?

P. S. Reddy: Yes, that's right.

Analyst: So, sorry sir actually I shouldn't have said currency futures. Actually, I was about to say gold futures, but did the gold futures actually move up very sharply because of the way how RBI has now actually changed the regulation around the currencies hedging and everything. So, was this an impact of this or if you want to make a view on that?

P. S. Reddy: Whatever may be the reason I have got more turnover and then more money back.

Analyst: No, absolutely, sir. No, why I am asking is that maybe because then maybe we can build the number a little more sustainably. So, I am just trying to understand, did you see more of the people who actually are looking to maybe hedge some on board in the month of April and versus maybe in the previous month or previous months?

P. S. Reddy: No, I see, I don't think that is substantially a reason for it, but the way that I look at is we have introduced the mini -contracts in options and crude and NG Multi Commodity Exchange

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only with an intention that the smaller players in the currency futures who may have to move out will find alternative investment opportunities or in alternative trading opportunities in these two smaller contracts and that is what we are expecting and that should pick up in that in line with our thinking.

Analyst: Okay. I am good, sir. Thank you so much.

Analyst: Thank you. Anyone, if you want to ask a question please raise your hand. Sir, in the meanwhile I just wanted to do an update in terms of institutional participation. Last time you spoke that you have started giving me facilities for FPI. Have you seen any...

P. S. Reddy: Your voice Devesh it lacks clarity. Why don't you speak directly, or you can - maybe you are using headphones, maybe if you disconnect and speak into the mic it may be better. I don't know.

Analyst: Let me try that. I will do that. I will go ahead with the question. Hello, sir. Can you hear me? Yes. Yes. It is very clear. Very good. Yes. Sir, just wanted to ask you, regarding the institutional participation, now that we have enabled the DMA facilities for FPIs and also your recent circulars on Category 2 participation, so how is the traction going over there, sir?

P.S. Reddy: Just since one week old and then they started applying for all the approvals and permissions. But the CAT -1 has done a very good number of approvals and then participation also. And this is increasing. As I said, so far about INR2,800 crores, INR2,900 crores or INR3,000 crores is the FPI participation has come. And I think it will continue.

Praveen DG : No, sir. FPI participation...

P.S. Reddy: Average.

Praveen DG: Average is about INR3,000 crores. You can take it.

P.S. Reddy: That's what I'm saying. Yes. Options.

Analyst: So, it is average. ADT, that is what you are talking? INR3,000 crores, sir ...

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P.S. Reddy: Yes, that's right. But that's very small. We are expecting it to pick up fast. And CAT -2 is something which we expect, more time to add.

Analyst: Okay. And you mentioned that in the CAT -1, are there more participation expected or, I mean, more investors expected in these categories to join?

P.S. Reddy: See, whatever INR3,000 crores has come, that is from CAT -1 only. CAT -2 was permitted just recently. So, once they also start participating, probably you have to wait for a quarter. Then you will see their impact.

Analyst: Understood. Okay.

Lady Speaker: Dhaval, you can go ahead and ask your question.

Analyst: Okay. Just one more, sir. Sir, in the call that you mentioned, you were in the process for applying for the options on index contracts. So, what is the general time duration that it will take for the formation and entire process to be completed?

P.S. Reddy: As I said, about 5 to 8 months is what we said, and we should be able to do it. That's what it is.

Analyst: Okay, sir. That's it, sir.

Analyst: Sir, is my voice any better this time? Devesh here?

P.S. Reddy: Yes, go ahead.

Analyst: Yes, sir. Just coming to our tech cost, now that we have two quarters of numbers, I just wanted to better understand this INR10 crores of AMC that we are paying outside of the TCS. Can you give some more details around that? What are these AMC costs that we are incurring? And is there a trajectory that we can expect that this would decline over a period of time, or this would increase?

P.S. Reddy: Why Devesh? Just now I explained it. People have to wait. First of all, till the end of September, there is no AMC cost to TCS. You all know that. One -year warranty period. Thereafter, AMC will start.

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Analyst: I was asking in addition to the TCS. I am not asking TCS related AMC costs. The costs, which are other than

TCS, which has started to incur from the third quarter itself.

P.S. Reddy: That's what I am saying. We need to wait for it. I do not want to, as I said that some of the premium services have been engaged. They are on a quarterly basis. We are engaging them. If we don't need them, then we will drop them off. So that will reduce a good amount of cost of the premium services for various DB2 or Linux or Red Hat or Dell, etcetera. So that's what we are talking about. We will let you know. Maybe in the next two quarters, it should be stabilized.

Analyst: Understood, sir. Sir, in terms of capex, given that you are planning to launch your multiple products, any guidance you can give in terms of what is the capex requirement that you will be having going forward to ensure that our systems are robust enough to even handle something like a series contract?

P.S. Reddy: As I said, the current utilization is very low at this point in time in terms of percentage of memory or CPU or whatever it is that utilization. So, I don't think immediately there is any need to enhance the capacity. So, we will see maybe at a later date.

Analyst: Okay. So, you're saying as of now, INR30 crores -INR40 crores of cost will be more than enough annual capex?

P.S. Reddy: I'm not saying anything. What I have incurred, that is there. That's in the books.

Analyst: Right, sir. Okay, sir. We have our next question from Sachit from Motilal.

Sachit, you can go ahead.

Analyst: Yes. Hi, sir. Hello. Am I audible? Hello. Am I audible?

P.S. Reddy: Yes, you are audible.

Analyst: Yes. Sir, I want to give just a follow-up on Devesh's question on FPI institutional participation. Sir, you mentioned CAT I itself is giving you a INR3,000 crores ADT. Can you help us understand in terms of opportunity how big this could be? And you know, FPI II traction like Devesh was asking, Multi Commodity Exchange of India Limited
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you haven't seen anything, but in how much time we can see those coming up in the numbers?

P.S. Reddy: Well, the opportunity for the FPI category is pretty high because there are many – I mean, although the same products are available elsewhere, but the kind of what you call the divergence is there in terms of – in terms of near-month contracts and then far-month contracts are the kind of arbitrage opportunities that are available or something which they are interested in, they want to exploit.

The second thing is the – in the next six months' time, my personal view is that the entire community will be on-boarded and if this commodity risk continues in the markets at the macro level, I am sure all the players will come in because volatility will continue to play its role and bring everybody to commodity markets.

Analyst: Understood. But any number that as a percentage of your ADT, how much that could become? Like a realistic assumption would be?

P.S. Reddy: Again, that kind of guidance we are not giving to anybody, please.

Analyst: Okay. Thank you, sir.

Analyst: If anyone has any questions, please raise your hand. This will be the final reminder. We'll just wait for a couple of minutes and if there are no further questions, then we conclude the call. I think, sir, there are no more questions. I would just want to add, basically want to get some sense in terms of CEO appointment. Although you did mention about it, but your term is ending on 9th May. So, any clarity as in where the process is and how it would be? Would there be an interim extension for you to continue till the time of CEO appointed?

P.S. Reddy: Well, once my contract ends, then it ends. That's all. I have not offered myself to continue beyond 9th May. And parallel with the process to recruit a CEO started, you have seen yesterday, day before yesterday, another ad has come out and they will do expeditiously so that somebody in place will be in place. And in t

he interim, I think a Board constituting a committee of senior
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executives within the company and that has been a practice elsewhere also. We have seen it.

And that they will ensure the exchange day-to-day operations are done as expected. So, I thank all of you for staying invested, grateful. And it's a great company, I must reassure you. It's a good company and I'm sure it will only do better in the times to come. That's what my personal confidence is. And I think you are all benefited thanks to the resounding success.

That the CDP platform has brought into all shareholders. And I think we have scratched only in the surface of the commodity markets. And the growth is, the room for development and growth is very high. I think all of you should stay invested. Thank you.

Analyst: Thank you, sir. Thank you so much. And I must say that the CDP transition has been one of the biggest thing for the company which we have overseen. Thank you so much, sir.

P.S. Reddy: Thank you. Thanks all of you.

Management: Thank you, Devesh.

Lady Speaker: Thank you, sir.

Call: May 2024

MULTI COMMODITY EXCHANGE OF INDIA LTD.

EXCHANGE SQUARE, SUREN ROAD, ANDHERI (EAST), MUMBAI 400 093, INDIA. TEL: +91-22-6731 8888, FAX: +91-22-66494151, www.mcxindia.com

CIN: L51909MH2002PLC135594, info@mcxindia.com MCX/SEC/2376 May 08, 2024

The Dy. General Manager

Corporate Relations & Service Dept.

BSE Limited,

P.J. Towers, Dalal Street,

Mumbai - 400001

Scrip code: 534091, Scrip ID: MCX

Subject: Transcript of calls with Investor/Analysts

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 read with the SEBI (Listing Obligations and Disclosure Requirements) (Second Amendment) Regulations, 2021, please find enclosed herewith the following transcript of the call with investor/analysts:

Sr.

No Investor/Analysts Date Time Annexure

1. Group Investor Call hosted by

HDFC Securities including

following participants:

1. Mirae MF

2. HSBC MF

3. ICICI Pru MF

4. HDFC MF April 30, 2024 04:00 PM Annexure - A

The said transcript is also uploaded on the website of the Company at

<https://www.mcxindia.com/investor-relations/ir-meetings>

Further, we hereby confirm that no unpublished price sensitive information was shared/discussed during the said meeting.

Kindly take the same on record and acknowledge receipt.

Thanking you,
Yours faithfully,

For Multi Commodity Exchange of India Limited

Manisha Thakur
Company Secretary

Encl: As above

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Meeting with

Group Investor Call hosted by HDFC Securities

April 30, 2024

Disclaimer: This transcript is provided without express or implied warranties of any kind and should be read in conjunction with the accompanying materials published by the company. The information contained in the transcript is a textual representation of the company's event and while efforts are made to provide an accurate transcription, there may be material errors, omissions, or inaccuracies in the reporting of the substance of the event. The transcript has been edited wherever required for clarity, correctness of data or transcription error. This document may contain "forward-looking statements" – that is, statements related to future, not past, events. In this context, forward looking statements often address our expected future business and financial performance, often contain words such as "expects", "anticipates", "intends", "plans", "believes", "seeks", "should" or "will". Forward-looking statements by their nature address matters that are, to different degrees, uncertain. These uncertainties may cause our actual results to be materially different than those expressed in our forward-looking statements. We do not undertake to update our forward-looking statements.

Annexure - A

Multi Commodity Exchange of India Limited

April 30, 2024

PRAVEEN DG: MR. P.S. REDDY – MANAGING DIRECTOR AND CHIEF
EXECUTIVE OFFICER – MCX
MR. CHANDRESH SHAH – CHIEF FINANCIAL OFFICER –
MCX
MR. SATYAJEET BOLAR – CHIEF FINANCIAL OFFICER –
MCX (OUTGOING)
MR. PRAVEEN D G – CHIEF RISK OFFICER – MCX
MR. NARESH BHUTA -- DEPUTY CHIEF FINANCIAL OFFICER
– MCX

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P.S. Reddy: Good evening to all of you. I think we have today five mutual funds, HSBC, ICICI Pru, HDFC, SBI and Mira e. Welcome to all of you for this Analyst Meet . And since you know the company, you have been staying invested in this company for long, I do not think I need to introduce anything about the company. I think you can straight away fire questions, whatever you have. Yes, HSBC, please.

Analyst: Maybe if we can start off with the transition that is happening on the software side to TCS. Now, what are the things that are pending and where have we reached?

P.S. Reddy: See, by and large, the piece, what is needed for trading for day -to-day operations is in place. So, it is going on, you know, more or less smoothly. We do not find any issues.

The only thing that we kept for post -go-live, which is a regulatory piece, is the negative pricing. And negative pricing, you know, it is a black swan event and once in a blue moon it may happen. But nonetheless, we would like to implement it, you know, as early as possible. Certain schedules or the guidelines have been, or the dates have been submitted to SEBI. We would like to strictly go by that. And that is what we are urging TCS also to complete this as even as committed to SEBI. This is one part of it.

The second part of it is some operational ease of doing business, you know, in terms of technology. That is what is being done. So those like, for example, auto INSC approval. That means , when institutional trades are done, the custodian may be giving 50 crores limit, 100 crores limit. So those trades need not go to the custodian every time for acceptance, etc.

So, if a limit is given, up to that limit, it should be automatically approved and beyond that maybe it has to go to him. So that is some functionality. It is almost all tested and everything is in place. We should be able to introduce it shortly. Similarly, the API -based allocation , de-allocation. So, these are all operational issues, you know, where brokers understand what is the utility of it. And so, they are all in the process of getting released. But did it stop us doing business? My answer is no.

So, this is one part of it. But all the same, a new system is a new system, and we have, you know, replaced the engine of an aircraft , while we are flying at 30,000 feet. Any more further experimentation that we want to do it, we have to thoroughly test it. Even
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if it is a new contract, on the same pattern as we have currently, still we would like to test it thoroughly. So that is what is happening.

Some of the contract approvals we have received, like cotton seed , wash oil and we have got sunflower wash oil again, the gold 10-gram contract monthly. These are all the things we want to do. Similar contracts are there in the system, yet we wanted to introduce it in our UAT system, and then test it thoroughly, including for load, and then do it.

And I must acknowledge and happily share with you, post -migration, our volumes have almost doubled. You all must have noticed it. And the system has taken it in its stride. And hardly any capacity utilization is , hardly anything, despite such doubling of volumes. So , in that sense, we are really in a good, safe zone. And there's no need to, you know, embark on any expansion or any kind of capacity.

But there are guidelines when we should trigger what you call expansion. It's supposed to be 1.5 times of the peak expected load, is what the regulations say. And so , they're all looking into it, our IT, all that, those kinds of regulations . But yes, we are at this point in time, in a very safe zone.

Analyst: So, in the month of November, you mentioned that latency is around 380 microseconds for 80% of the trade, and around 540 to 580 for all

the trades. How has that number been now?

P.S. Reddy: See, once in a while it is getting disturbed. Okay. Especially when, you know, when -- we have increased, when the volumes are, there's what is called a microburst. So, in a split of a second, a huge spike comes, then some packets are missing -- data packets, and maybe even some data feed vendors also complain. So , we increased the bandwidth for this tick -by-ticks, this one, to 300 Mbps.

Now, so we didn't find that , those hosts have adopted for that kind of thing. And so , whenever that happens, then this one will increase. Similarly, we have noticed when some security tools were deployed in databases, we were told that , that is also increased because it keeps scanning for some, what you call, hash values or IOCs, whatever they call it in technical terms. Don't expect me to know. I'm using it like a parrot, but then the meanings of it, I do not know. But essentially it checks for those characteristics of Multi Commodity Exchange of India Limited

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a malware. So , for which they keep polling it. So that will again eat up the resources consumed , so some of these activities we're doing it. So , they're moderating it. They are, what you call, optimizing it.

So, I think it's there. We are currently there at that 90 %ile. But if it is beyond 90 %ile, there is some increase in the latency.

Analyst: So, what is top 80 % rate latency now if we exclude the burst? Has it reduced or has it remained the same or has it increased?

P.S. Reddy: It is around 300 and odd, 350. It remained there by and large. Volume has increased, no?

Analyst: Correct, correct. That's the reason.

P.S. Reddy: That's right.

Analyst: And then secondly is...

P.S. Reddy: And it will further come down because some more investments we are doing it in the segregation of storages. We are doing it , that is expected to further reduce the latency.

Analyst: And the second question is, what we are doing now to make sure that a Feb 13 -like event doesn't happen again, where there was a delay in opening of the exchange?

P.S. Reddy: That has happened for a variety of reasons. To begin with, it was -- there were some operational manual error. Some process was run before some other process got ended.

And so, it has its own consequent impact. Then we need to restore it, etc., etc. Having said this, we also learned that we were generating two types of files. One is the XML; other one is the CSV files. 99% of the members are using CSV files. But XML files take some more time. On that day, when that system generated, CSV files were generated almost all by 9.30 to 10. But the other ones took time. Then it's again with hindsight we are talking.

And then we've done a survey of it with all the member brokers . Oddly half a dozen or 10 people are using it. We told them, migrate it to CSV. And so that we are

discontinuing it from 1st May. We already issued a circular. So , no XML files will be generated, only CSV. We already issued a circular to the member brokers .

So, what I wanted to say is , we wanted to reduce the time. Unlike equity exchanges, where they are shut by 3.30, we are there till 12 midnight. Again, you have to be ready up for 9 o'clock , so that is what the challenge is. And the window is very small.

Analyst: Just on the TCS charges also, one clarification. So , where we are on the charges side, do you see these charges now being the way they are now in the coming quarters as well? Or would there be any significant change?

P.S. Reddy: When it comes to charges, I don't know whether there's any separation that is given in the charge structure . But as we have said, for 6 years it is locked in. There's no problem about it.

Analyst: Not even inflation or...?

P.S. Reddy: No, no inflation. We have provided for

an 'x' rate of a single digit percent age growth

is what we have provided. And first year is free and there's a warranty period and then whatever has to kick in, that will kick in post -October.

Analyst: Okay, single digit growth rate. Growth ?

P.S. Reddy: Okay. Isn't it? Yes, that's what inflation is.

Analyst: Sure. Okay. Also, sir, in connection to what you were asking, so last quarter we had a cost of say, 24 crores in cost of support charges. That comes to around 100 crores. But at the call we said it was to be in the range of around 60 crores including depreciation. So, was it, are we taking the cost higher? So, this is higher or are we seeing this to come down?

P.S. Reddy: See, currently we are using a lot of premium services. Okay. Which I also said in the call, the Red Hat, DB2 , IBM that is, and Dell, Adobe because we want everybody to be around. When there's a problem, they will fix it. Now that stability issues are there still, but then that may come in the night. So, we want them to be here. Once those premium services are brought down to the standard services, costs will also go down. That's point number one.

Number two, some of these costs which you are saying, maybe some manpower costs are also we are hiring from external sources, vendors. So , it will come down , when I say that 60, it is not exactly the 60, the upper limit or anything like that. But yes, you should take it as, you know, 10%, 15% up or down kind of thing. But I want more than anything else, irrespective of what number we say, you must give maybe another two quarters for the cost structure to become stable. Then they can, thereafter you can look at what it will be.

Analyst: 60 crores number is after the first-year warranty expires ?

P.S. Reddy: Again, I'm saying, don't go by the 60 number. You wait for the cost structure to be stable and then by that time, you know, the warranty period also will come to an end.

Analyst: Sir, one rather simplistic question. You mentioned that you allow for a single digit percent age increase in the business.

P.S. Reddy: Linked to CPI.

Analyst: Got it. So , sir, when you do your annual budgeting exercises, etc , when you build in a certain revenue growth or a certain business growth, what kind of thought process, you know, how should we think of growth in futures and options going ahead? What is your thought process when you do your own budgeting exercises for the year?

P.S. Reddy: Well, we can explain. The polynomial distribution is what is taken into consideration as a curve. He has prepared it and presented to the board. This is how we will grow in options. This is how we will grow in future s. This is the way that he has presented it. And the targets are high, steep for us, but that is for us to deliver and that's what it is.

That's what we look at. But it's not a linear curve.

Analyst: It's based on some probability distribution.

P.S. Reddy: He doesn't want to disclose it, but I think it's not fair.

Analyst: No, I just want to know the thought process.

P.S. Reddy: It is well established in that sense.

Analyst: So, what about the new contracts that we could introduce on the gold and silver side, non-delivery based?

P.S. Reddy: Non-delivery means cash -settled contracts. But there is no cash -settled contracts in this.

Analyst: So, are we planning to introduce?

P.S. Reddy: We won't get any permission on non -delivery. Because these are all from day one, they are all delivery -based contracts. Why do you need cash -settled contracts if these contracts are doing well , is the question that they will ask. We will have no answer. So , you can expect in index products, some new products to be brought out , like currently we have a BULLDEX doing well, ca

sh settled product on that we can look at options.

But again, we will design it and then send it to SEBI, and then we'll tak e the approval.

Analyst: So, in the past one, two years where we've seen this kind of growth, can you talk about three, four initiatives from your side which would have helped? So , some would have definitely been in the market coming up, but what would have been your successful initiatives which have helped the volume grow?

P.S. Reddy: One is this, a lot of Algo players have joined this, you know, HFT and other things.

The number is increasing. That is something which has substantially picked up. And yes, options contract is another one. While we have introduced it and then left it, but then subsequently we have given a lot of fillip to these option contracts. The other one is the mini contracts, which has also helped us to add more volume to this. And the retail participation has started increasing substantially. Earlier that was not there. Now it has gone up.

I think this year we had got almost 9 lakh and odd. UCC is actively traded, as against 6 lakh. So that's a big number, big jump. Well, having said this, I caution you and I temper your expectations vis -a-vis the equity exchanges, because we are not like you can enter into a market with a INR10 or a INR100 investment or INR1000 investment. The contract value itself is maybe INR3 lakhs, INR5 lakhs, INR10 lakhs, whatever it is. So, so much of investment is needed as an upfront margin . So, so many small invest ors will not come. That's where you have to be careful.

Analyst: Which is good in a way.

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P.S. Reddy: I don't know good or not, but then if it is good for it, then it should be good for the other exchange also. Why is it not so?

Analyst: Any kind of concern that you have heard from the regulator's side in terms of this good increase in volumes? Have they sounded anything which they have?

P.S. Reddy: It's the other way. They have not expressed any concern or anything, so far. They expect us to make sure that the markets are clean, run, and adequate supervision, surveillance is there, and everybody is doing their bid and making, I mean, playing a fair play is being seen.

But having said that, the concern should be, if at all there should be, that why your markets are not growing as much as it has to be. That is the way it is. Because at this point in time, our market is not big. It's very small as compared to many internat ional markets. And as compared to the size of the equity markets, it's very small. Now when I'm saying small, it's not the number of participants. It is the number of the physical market that is there in this country. How much of the physical market is int egrated into the commodity markets? Hardly anything.

So that is what the area that we must focus on. That's something which we are not able to do it while we keep making attempts. And that is something which there is a lot of scope for. Physical market plays are not fully onto our platform. And there is a hu ge scope for it.

Analyst : Sir, on that backdrop, have we done any analysis ever as to what is the color of these traders in terms of, say, city -wise presence, Tier 1, Tier 2, Tier 3, or how many make profit, how many make loss? The way it was disclosed in equity some time back, some 90% apparently make.

P.S. Reddy: That is, SEBI has conducted some, or organized some study to be conducted.

Analyst : For commodities also?

P.S. Reddy: No, for equity markets that was. But that may hold good here as well. May hold good. But the point I am making is, see, it is the speculators who take your risk. It is the

hedgers who hedge their risk. So, there is somebody who is needed to take that risk.
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So, not that everybody will not make money.

Now in the case of the commodities, the point we are making is, the hedgers think this is also a market which they can play using their physical resources. Or if they make loss here, they think it is really a loss without realizing that the physical book they have made profit. Hedgers, obviously, one side they sell it, then the other side they buy, position will be there. It will have a countervailing effect, isn't it? So, net-net there is a zero loss, zero profit kind of thing. But they don't consider that. If they lose money here, they really think that they have lost money.

Analyst: Just to continue on hedging, we have seen a very sharp crash in currency derivatives market. Suppose that, how do you see that hedging for the commodity will shape up? Especially from foreign participants?

P.S. Reddy: I don't know when currency market, any foreign participants are there or why they are there. Okay. But we are introducing, we have introduced others, mini options, contracts. One of the intentions is to address the alternative avenues for the people who are participating in the currency markets. That is point number one.

Number two, that if currency markets have to function only purely for hedging purpose, I don't think anywhere in the world any market will work only purely for hedging purpose. Because both sides will not have the same requirement at the same time. So, obviously, the number of participants will be far and few in between. So, I mean, you need speculators, you need financiers.

Analyst: Sir, when you think about new products, like you mentioned some of the agri products are in pipeline and one of the gold contracts is also in pipeline. What is the thought process behind introducing new products? How do you kind of prioritize and select which sort of new products?

P.S. Reddy: I'm sorry, I missed it. Something else was crossing my mind. Yes.

Analyst: No worries. What I'm saying is that when you introduce new products, what is the thought process behind selecting those new products and then prioritizing which products you want to introduce faster to the market?

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P.S. Reddy: How do we select we look at both buy side and sell side. There should be adequate number of participants. If it is kind of oligopolist or monopolist kinds of thing then things will not work. So, both sides you need adequate. And whether there are imports, exports are there in this market -- in that product also we look at it.

So, we also look at the regions where it is grown or where it is consumed, et cetera, because that is where we need to set up the delivery centers. That's important for us. For example, here aluminium we made the Raipur as the main center. Earlier, we had Thane, we made Raipur because most of the industry factories are located in the Eastern region and later on it picked up like anything Raipur because whosoever wants to consume, they all go to that side and then bring it.

So, if you have Raipur as the delivery center it helped for many people who are in this industry. The other thing is we look at the volatility also whether there is any price controls or whether there is a free market is there, whether adequate volatility is there. If there is no volatility, then there will be no trading hardly any trading. So, these are the factors which I can think of. Anything you would like to add one or two additionally you can add.

Praveen DG: We look at the physical market and if at all there are any reference products that are traded globally.

P.S. Reddy: Yes, that's important.

Praveen DG: More importantly, what kind of how much the spot market is there, spot prices are very important because whatever your prices are dependent on spot prices, as it is a derivative product. The more efficient the market we can able to get it. So, one is availability of the price, second

is how volatile it is, because if at all it is not volatile there is no need of anything.

Analyst: So, what is currently top 5 or top 10 brokers share to your overall options volume?

P.S. Reddy: It's about 55% or 60% was the order.

Praveen DG: There is no significant change.

P.S. Reddy: What is the number?

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Praveen DG: Top 10 is 63%.

P.S. Reddy: 63

Analyst: This is in options only or total.

Praveen DG: This is total ...

Analyst: Out of these, how many are high frequency?

Praveen DG: You can look at the algo numbers. It is 52%.

P.S. Reddy: Not 52% of 63, it is total.

Analyst: And sir, you mentioned that right now there is a huge disconnect between the physical and the exchange market. Wouldn't this also be a hindrance to, let's say, having a larger FPI participation in future, because that is something that has been talked about. But we don't know how liquidity or depth will be built for them to participate meaningfully.

P.S. Reddy: Look, currently F PIs are allowed only in cash -settle d. So, it requires some more journey before they are allowed into the other products. Okay. Before F PIs are allowed, we want mutual funds to be allowed at least in the metals, which are non -perishable commodity. Even there it is not allowed because, allowed in the sense, the holding period is 30 days. In 30 days, how will anybody be able to trade?

And unlike in gold where they have increased it to 180 days. But it is worth 30 days.

We have been representing it. And good that I am speaking to the industry only. We have also recently met the ... CEO s of industry. We have given three, four letters to SEBI requesting them. These are the one, two, three things that we want the industry to pursue it. And it is not that MCX ask, it should be the industry's ask. But unfortunately, industry itself is not showing so much of interest. That is what we got it.

So, we have requested them to pursue that. We have given that. For example, you are supposed to hold only LBMA gold. Why LBMA? On the one hand, you say the, in India, good deliveries should be permitted. But the SEBI regulation of the circular says LBMA go ld. So, obviously, when I'm giving delivery on the exchange platform, we

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can't guarantee that you will only get LBMA bar. You may get some other domestic bar also.

Analyst: Any exchange has been integrated to the broker how long with the separate?

P.S. Reddy: I didn't understand.

Analyst: Exchange has to participate with the trading.

P.S. Reddy: Exchange has to participate with the trading ?

Analyst: It has to be live on a trading...

P.S. Reddy: But if any trading member has to be onboarded ? It is just plug and play. You have CTCL vendors. You keep your system steady and then test it. You have a testing environment is available. You test it. MAT is the one, member, not admin ... It's a testing bed. You test it. And then if you are okay, then next day you connect it. And before that, if you want to do small volumes, then you can use the internet, not even leased line. If leased line may take some time. Feasibility etc. has to be c hecked. Using the internet, you can trade.

Analyst: On premium to notional, basically, that trajectory is declining. And that is how it should be. As notional volume picks up, the premium to notional ratio should fall also. But in March month, it was like fairly steep ... it at came at only 1.5% around. So that is expected to continue, or you expect there was some one -off in it or something. Because the notional volume has continued to go up. If we see April MTD also, it is fairly high.

P.S. Reddy: See, while historically what is happening elsewhere, that is what is to be replicated here. You're right. It's supposed to come down. But this capricious behaviour of t

his

relationship, we have not as yet got a full handle on it, why it is behaving this way. But you're right. Even when the volumes were right, it was 2% also sometime , in one of the months ...it has come down to 1.6%. So, we are still doing our own...

Analyst : I believe it's 1.8% now.

Analyst: Some understanding on how you projected revenue, that would be really helpful, sir, whatever exercise you did, if you can, whatever in your limited...?

P.S. Reddy: We will do it on a conservative basis only, we do that. Okay, so much I can say. What is that number or how do we project it, we will not be able to.

Analyst : Not the number exactly but follow up to his question on how to think about future option, what all parameters, probability, will be helpful.

P.S. Reddy: But as we have said in the past also, I think it's how much 1 is to 3 ratio or something we have given it, isn't it? If we have future equivalent, so they should go by that, because there is an underlying number. Okay, underlying number is 1.5 or 6.

Praveen DG : But what I'm saying to that ratio is there – your premium turnover depends like on volatility – and also what is the duration of that existing turnover, okay such happen to be very near to that – then automatically the ratio can come down, because automatically near, very near to the expiry and people also prefer to trade in out of the money – so automatically the ratio – but if you still have lot of days to expire – volatility also needed...

There are several factorsto look at it – and it is very difficult to really get some idea as to what could be that ratio – if the volumes have grown more and more – slowly the numbers will come down. Because automatically overall the growth is extremely match with the amount of growth would have taken place that means – the overall pie is itself would have gone up – so ratio will slowly... That is a different – altogether it is a different game, because ...

Analyst: This number will further come down ...

Praveen DG: ... Weekly definitely because of duration of the contract is going to be automatically ...

Praveen DG: But that should be adequately compensated by the volume, otherwise you will have a problem.

Analyst: Sir, what are the contingent liabilities on your exchange, like yours?

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P.S. Reddy: Contingent liability, the income tax , what you have been giving? But we have been giving also. Please explain what is that you...?

Satyajeet Bolar : We have a few cases basically which pertains to -- there was a special audit done by PWC, prior management, prior to 2011, which the income tax department in 2017 picked up for reassessment. That we challenged in the High Court and even in the Supreme Court, the department had gone, but we won at the Supreme Court. So over that, we have won a contingent liability for 140 crores.

Analyst: Thank you. But my question, if we have won the case, wouldn't that be released?

Satyajeet Bolar: I mean, the department has gone and appealed.

P.S. Reddy: In the High Court, we won. Then they went to Supreme Court asking for a special audit once again. Supreme Court said nothing doing, it's enough of it. So, they have to now satisfy themselves with whatever data they have.

Satyajeet Bolar: No special audit, nothing.

Analyst: My question was a little different actually with respect to the operations. In case a fraud is detected, will there be any liability on the exchange, that's one? Or if there are outages actually beyond the reasonable limit, are there liabilities arising out of these circumstances?

P.S. Reddy: We have -- yes, do you have anything ...? We don't have any such instance where we have to do a contingent liability at this point in time. And there is

no fraud detected so

far... there is no fraud. Let me be clarified. And you have an insurance cover for cyber - attacks etc.

Satyajeet Bolar: So, we have adequate insurance policy.

Analyst: For outages also? Let's say there was one recent incident.

P.S. Reddy : You have?

Analyst: There are liabilities on account of those things also.

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Satyajeet Bolar: It depends on whom the liability is on, isn't it? So, there is a carve -out from the DNO policy also. The CTO and all is covered under that. And the company is also covered under that. There is a carve -out from the DNO policy for that.

Analyst: So, I do not understand fully. So, is it unlimited?

Satyajeet Bolar: No, it won't be unlimited.

P.S. Reddy: But even that also is not unlimited. It won't be unlimited.

Analyst: Ideally, whenever there is an outage beyond a specific point of time, we get penalized by the regulator. This time we did not get any penalty from the regulator because of this. We were beyond 45 minutes.

P.S. Reddy: No, it's beyond 45 minutes. But then here, our submission is that trading is not started at all. Okay. If your trading is started, there will be an open interest created and then people will have they could not exit, all that kind of thing. Whatever open interest is there, that is the previous day's open interest anyway. So much is the risk is anyway you have taken. If there is a holiday also, you will take the risk. But there is no, you know, intraday risk that has been, anybody has been exposed to... trading is not started.

Analyst: With that exercise which you mentioned that was done for the board where you projected volumes, etc. Just your thought process in understanding the underlying parameters which will lead to the growth.

P.S. Reddy: I don't know whether I will be able to give you those numbers or those parameters.

Because, again, I may, I will land in trouble with the regulators or somebody else, which I don't want to get into it as a listed company. But I think you are all good at doing that modelling. So, I think you should be able to project it. In fact, if three of you do it and then publish it, probably we will be able to learn what is that best suited model.

Analyst: Another thing is the way regulators have been saying, not directly, but now there is a duopoly, the way equity derivatives have grown. Do you think there can be a duopoly if you continue to grow like this in options which you have? There will be you can say in a way, forced duopoly from the other commodity exchange also?

P.S. Reddy: Where is duopoly? I just want to know.

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Analyst: No, right now, you have the highest market share.

P.S. Reddy: That is monopoly, at this point.

Analyst: I am talking about referencing it to equity derivatives. Equity derivatives, now it has started from an exchange which was 0% to now 17% market sharing ...

P.S. Reddy: My view is that is also monopoly because what is traded on NSE is not traded on BSE. Nifty is nifty and Sensex is Sensex. So, from that point of view, it is a monopolistic situation they are in. But ACC is traded at both the places, ACC is traded, then that is duopoly in that sense.

Analyst: In terms of operating leverage, I wanted to understand, if our volumes grow, what is the kind of employee expenses or other expenses, growth that we can expect?

P.S. Reddy: As I said, you give us two more quarters, I am sure all this will be settled. As I said, there will be some excess, you may have taken some consultants, for a specific cost.

The job is done, you have been given a one-month contract, a one quarter contract, contract is over, now it is done. So, you will not see that.

Analyst: So, that is settling part. I am asking more about after it settles, what kind of growth is needed to

maintain the, if there are incremental volumes, say X, do we need to increase?

P.S. Reddy: My personal view is, over the last five years, the manpower cost did not go up because the volumes are increasing. There is no need. Maybe the regulatory front, the requirements may be increasing it.

You need to have a greater supervision of the member brokers or whatever that is happening in the marketplace, you need to regulate. Or on the cyber security point of view, additional requirements may come. For which reason, we have invested a good amount of money in the last two years on cyber security. Several measures have been taken. So, we need to see that, that kind of expenses may come, but not otherwise.

Maybe at the consolidated level, you should not find an SGF can be an issue at all.

Why I am saying is, if a contribution is gone to SGF, interest will continue to earn in SGF and SGF is something which is helpful for the, for this growth of the business .

Why? Because the margins are kept very high, because the SGF fund is low.

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If the more, more fund is, I mean, more is, money is put in SGF, then your margins can be brought down. And we did that. Recently, we have removed 7% additional margin in crude oil and in, in, in natural gas and maybe 1.5% or 2% in gold, silver. We brought it down, no? Silver, silver. Brought it down, silver. So, as a result of it, the open interest increases, then SGF requirement increases. In fact, we would like to contribute more and more to SGF, okay, so that these volumes will increase, while money is not lost anywhere, because, say, we have also come out with another regulation. Whenever the SGF requirement goes down, you can withdraw also from SGF, okay?

So, in a, in a sense, it is, you can take it back, okay? So, we have never resorted to it, that's a different matter. So, you can reduce the margins and then increase the, earn extra revenue. Even if the, increase in, even if the volumes go up, to the extent that the margin is reduced, so that without brokers putting additional margin, only the same margin is put in the same business, okay, whatever it is doing, you will see good amount of growth.

Analyst: Sir, there is a...

P.S. Reddy: That was, that was earlier, but it is about six months or so, there is a circular also, SEBI. Yes. Done? Anything else? Tell me

Why are you anxious to have interoperability? That may harm, harm exchange interest, you know? It happened in the case of BSE, NSE. Why I am saying is, what we are asking for at this point in time, and that is almost all we ask, unanimous ask of the member brokers also, is that as far as collateral is concerned, you don't give me collateral. If something is lying with NSE, be that so, but at the end of 3:30, if member says that so much lien be imposed in favor of, kept for, for MCX or CCL, then so much they will communicate to the MCXCCL, then we will allot that, use it here, member brokers will use it. Then, again, next day morning, whatever is left out or there is some unutilized amount, again give it back to them. So, that itself is good enough interoperability, though, more than enough.

We will be able to utilize optimally the resources without taking, you know, keeping one set of money here, another set there, third set in somewhere else. That is good
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enough. That is what my expectation and, and the, it improves the efficiency of capital that is deployed in the capital market. So, the brokers are all for it.

Analyst: Just one question is, practically, under what scenario will MCX think to change the pricing of the contracts, both in futures and options?

P.S. Reddy: Under what scenarios you would like us to change it? See, the regulator always expects us to be making profits, not profiteering. That

is what the way they say. So, if you are really under stress, you can understand. So, frequent changes are not expected ... If we introduce one more slab to increase volumes, a lower slab, maybe that may be encouraged, but definitely not increased in the ... So, keeping that in view, we have discussed it in our member advisory committee meeting, the tariff structure also, and where the members are part of that. So, a small group will be constituted, and who will actually discuss the tariff structure.

And we did place before them, do not expect lowering it. We will not raise it. But it is important to keep in mind that we need to expand, we need to, what you call, we do not know when the co-lo requirement will come, and we do not know when the new projects like coal spot exchange will, you know, we have been thinking, we have been talking, but then nothing happened on this front, because we need to get regulatory permissions that have not been received.

So, all these things, they require more funds, probably we need to have it. And recently we have spent, okay, recently we spent money, I mean, on this new technology platform also. So, there is no room for reduction is what we have communicated. And so, they will look into it, the revised tariff structure.

P.S. Reddy: Great. Thank you. Thanks to all of you. Thank you. I enjoyed the interactions with you over the last many years ...

Call: May 2024

MULTI COMMODITY EXCHANGE OF INDIA LTD.

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CIN: L51909MH2002PLC135594, info@mcxindia.com MCX/SEC/2374 May 07, 2024

The Dy. General Manager

Corporate Relations & Service Dept.

BSE Limited,

P.J. Towers, Dalal Street,

Mumbai - 400001

Scrip code: 534091, Scrip ID: MCX

Subject: Transcript of calls with Investor/Analysts

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)

Regulations, 2015 read with the SEBI (Listing Obligations and Disclosure Requirements)

(Second Amendment) Regulations, 2021, please find enclosed herewith the following transcript of the call with investor/analysts:

Sr.

No Investor/Analysts Date Time Annexure

1. Ward Ferry (WF Asian Smaller

Companies Fund Ltd) April 29, 2024 03:30 PM Annexure - A

The said transcript is also uploaded on the website of the Company at

<https://www.mcxindia.com/investor-relations/ir-meetings>

Further, we hereby confirm that no unpublished price sensitive information was shared/discussed during the said meeting.

Kindly take the same on record and acknowledge receipt.

Thanking you,

Yours faithfully,

For Multi Commodity Exchange of India Limited

Manisha Thakur

Company Secretary

Encl: As above

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Meeting with

Ward Ferry (WF Asian Smaller Companies Fund Ltd.)

April 29, 2024

Disclaimer: This transcript is provided without express or implied warranties of any kind and should be read in conjunction with the accompanying materials published by the company. The information contained in the transcript is a textual representation of the company's event and while efforts are made to provide an accurate transcription, there may be material errors, omissions, or inaccuracies in the reporting of the substance of the event. The transcript has been edited wherever required for clarity, correctness of data or transcription error.

This document may contain "forward-looking statements" – that is, statements related to future, not past, events. In this context, forward looking statements often address our expected future business and financial performance, often contain words such as "expects", "anticipates", "intends", "plans", "believes", "seeks", "should" or "will". Forward-looking statements by their nature address matters that are, to different degrees, uncertain. These uncertainties may cause our actual results to be materially different than those expressed in our forward-looking statements. We do not undertake to update our forward-looking statements.

Annexure -A

Multi Commodity Exchange of India Limited

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MANAGEMENT : MR. P.S. REDDY – MANAGING DIRECTOR AND CHIEF
EXECUTIVE OFFICER – MCX
M R. CHANDRESH SHAH – CHIEF FINANCIAL OFFICER
– MCX
M R. SATYAJEET BOLAR – CHIEF FINANCIAL OFFICER
– MCX (OUTGOING)
M R. PRAVEEN D G – CHIEF RISK OFFICER – MCX
M R. NARESH BHUTA -- DEPUTY CHIEF FINANCIAL
OFFICER – MCX

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P.S. Reddy: Welcome, Mr. Aman and Nicholas, go ahead. You know the business well. You know what the company is doing or going to do or what it did. And all is in public, and information is available, even as late as what happened day before yesterday, and that's also in the public domain. And go ahead, fire your questions.

Aman: Thanks for making time, Mr. Reddy, Mr. Bolar, Mr. Praveen. I really appreciate you guys being on this, very kind with your time.

P.S. Reddy: Sorry to interrupt you. We have a new CFO joined, Mr. Chandresh Shah, he was with NSDL earlier. He joined us. And of course, Mr. Naresh has been there as the Deputy CFO, you know him, and these two gentlemen will hold the fort. We are handing over the baton to them.

Aman: Very good to meet both of you. I think we'll be in touch as time for business, thank you so much for being part of the journey at MCX. I think first question that we had Mr. Reddy was on just the recurring charges, I think you gave us some clarity on that in the quarterly call recently. It seems that the recurring charges that we had on software side that we -- what we had a quarterly charge in the last quarter seems to be higher than the guide that you have for a full year number starting FY '25, '26.

I'm just wondering, to the extent you can talk about it, are there one-offs in the current quarter numbers, quarter 4 numbers, or is it something that will start playing out more in the couple of quarters as you have mentioned in the call?

P.S. Reddy: Yes, see, because we have just started or rather say, replaced the engine of a flight while flying at 30,000 feet, we have to ensure that there's no glitch at any point in time. So out of abundant caution and care, we have taken a lot of premium services of a lot of vendors. Now call it DB2 or IBM or Red Hat or Confiant or Dell, etcetera, etcetera, etcetera. Those premium services are substantially expensive. I mean higher than what it is. Now do we need it for all quarters. No, not required.

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That is the reason why I said the cost structure will be stable, maybe post -- I mean you give us two more quarters, then you will know how it is going to be panning out. And so, this is not a, maybe a true picture of it. Maybe if you allow some more quarters to go by, then you will get some fair idea.

Aman: Okay. That's great. I think just in terms of -- again.....you can talk about on depreciation. I think is it safe to assume now the current depreciation number is right and recurring in nature or is there also potentially one-offs on the depreciation side. I know the total numbers you've given as potentially 60 crores annually, including depreciation. But Mr. Bolar, do you think the depreciation currently, for current quarter is broadly run rate?

Satyajeet Bolar: Broadly, it is at 9, I mean we have fully capitalized the CDP project. So, all the

depreciation has come in, amortization has come in from 16th October itself. So, this quarter figures going forward, it would be -- unless I mean, there would be some CapEx that would keep coming in.

P.S. Reddy: So, we're planning to do some more CapEx depending on the requirements, some kind of a separation was needed. So, some more CapEx will come, but that will not be as big as this number... There is some amount of CapEx.

Aman: Ok. Got it. And I think one question, which probably is a minor point on TCS side, do you think anything -- do we still are having discussions on any kind of reimbursements that we could have or do you think that chapter is more or less closed with the current arrangement itself, for the stocks where delay, that happened...

P.S. Reddy: I'm sorry, just a very urgent call, I just took it. I'm sorry, please repeat. Don't mind.

Aman: Mr. Reddy, I was saying that on TCS, is the discussion -

- is there any still

ongoing discussion on any reimbursement or is that a chapter that discussion is closed already, on the potential reimbursement, because of the debate? I know they are ongoing vendors, that's not something that you want to affect the relationship but is there economic outcome that can happen from there?

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P.S. Reddy: We have not closed it officially, but the discussions are like -- you just started the journey, would you start with a discordant note, or would you allow the project to be run for another decade on cordial note? That's what the question is. But we have not officially...

Aman: Got it. And sir, in terms of software, is it perfectly working fine. Now we can -

- I think you mentioned in the call a few times for new products, you have to make sure that the software is working, it's stable. Is it completely still or do you guys still going through some teething issues in the software that you would want to rectify before launching new products as we go around?

P.S. Reddy: See, there are some teething issues. But then those are not impacting the production as such, okay? So, whenever we introduce a new product, we want to doubly make sure that the system recognizes all kind of scenarios of that new product as well. So that is the reason we are thoroughly testing it. Maybe some kind of flexibility is taken away when the coding was done with respect to the current products, which are there in the masters may not have been accounted for a new product. So, when a new product is introduced, maybe that particular functionality is not working as expected. That's why we are ensuring that is freed up. So, coming back to the question, are there any problems? I think on a day-to-day basis, we have been doing fine. And we are also handing over the reports filed, et cetera, by 4:00 in the morning, early morning. So, we have enough window for us to start the next day activity. And that was a concern in the beginning for about almost for 2, 3 months. Back-office files were going late, so some members were concerned about it. Now that's all behind us. So, stability of the system in that sense, yes, is achieved. And -- but yes, some more functionalities require wherever, from manually done, off-market reports kind of thing, not online reports, but offline reports, they are also getting automated. Those activities, we have -- we are doing it. There are some post go-live activities also. Post go-live activities means we have kept certain portion of the functionalities to develop post go-live because that's not very urgent in that sense. So, one important feature is like

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negative pricing. So, in the case of crude oil. So, we have -- that is now getting implemented. So, some of them are like that.

Aman: Got it. Very helpful. Mr. Reddy, 2 questions from the revenue side, just broadly. First question is on competition, of course, another exchange trying to do a lot more work on option side in the last -- especially since October, I guess, they got permission to start, of September, October. From a customer perspective, are you seeing any aggression from a competitive exchange,

either their premium ratio is pretty low, is what we observed so far. But how do you see just broadly competition in the space? Are you seeing anything which is noteworthy -- I mean, there will always be competition in an attractive market. But how are you seeing it play out for you guys?

P.S. Reddy: Well, word competition itself keeps us on our toes. So that is good for us and for our teams to that extent. But then is it getting any traction? Maybe at this point, my answer is no. And we are also equally making an effort to ensure that our customer base remains intact, and they continue to support our system. So, if you see their volumes, it's a

bout INR 5,000 to INR 6,000 crores

ADT as of now, I don't think that will change, is my understanding of it.

Aman: Got it. And Mr. Reddy, I think in our customer base, how much is -- I think you guys used to provide the information earlier that maybe 55%, 60% of revenues from arbitrage funds or maybe the top 10 customers, 55%, 60% of revenue in mostly arbitrage, does that number still hold true? Like is arbitrage or...

P.S. Reddy: Algo players is what we were talking about. They are the ones who are....

Praveen DG: We have been giving algo and non-algo separate, in the prop and client.

Aman: How much is the algo?

Praveen DG: Last year, it was 52%, around 52.4% algo.

P.S. Reddy: That is 23-24.

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Aman: Got it. And has the ratio been -- Mr. Praveen, similar across quarters or increasing?

Praveen DG: I think in the previous year, it was about 53%.

Aman: Ok. On that note, do you see Mr. Reddy, foreign institutions, the people who have taken up our terminals, are these typically institutions who are again algo players or there are also players who are trying to hedge the real commodity exposure. Like, how does the FPI terminal work in your -- as it evolves at MCX.

P.S. Reddy: Well, they go to a member broker and then take the terminal. And I don't think there are hedgers as such, they are definitely one of the kind of algo players.

Aman: How much will FPI be today? Is it a very small portion of business, Mr. Reddy?

P.S. Reddy: It's about INR 3,000 crores approximately.

Praveen DG: Turnover, total.

P.S. Reddy: ADT, yes, that's right.

Aman: Including options, which is both put together, right?

P.S. Reddy: Yes. Mostly options.

Nicholas: Mr. Reddy, are we seeing -- you launched this Category II, have we seen any notable uplift in volumes?

P.S. Reddy: We've just launched a week ago, and I think they have to register also, the registration process is on. And I'm sure you will see in the next 1-month, the impact of it. That's what my expectation is.

Nicholas: Right. So, the demand is strong.

P.S. Reddy: That's for FPI Category II.

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Aman: There is also Category III, right, in that we are launching for FPI?

P.S. Reddy: I mean the requests have come for FPI I and II Category.

Aman: In this FPI Category, Mr. Reddy, where this DMA terminal, this was -- this is the same one, right? Or is this a different facility?

P.S. Reddy: DMA is given to FPI I, and the FPI II also is being given. It is the direct market access and where they're -- I mean, they don't need to go -- they will go through the member broker, but then this is a seamless integration with members.

Aman: Got it. Okay. That's very helpful. Nicholas, anything else on the revenue side or like volumes that you want to check.

Nicholas: Maybe just a quick understanding for me is on the FPI Category II, do we

expect like a different type of -- is there like different characteristics, with these new type of institutions or foreign...

P.S. Reddy: FPI Category II are essentially the individual high net worth individual, corporates, maybe family offices, et cetera, they are covered, and many member brokers have been looking forward to that category to be introduced and which we did it just last week, last Monday. And I think it will take some time, as I said, it would take some time.

Aman: All right. Very helpful, last question on just this new development on the regulatory fee that we have been asked to pay. I know the number is probably not as large, but what has been the reason that this clarification came now, and do you think that in the -- like, how does that impact our recurring earnings stream so far?

P.S. Reddy: So, as you have seen, like you pay 10% to CME. So, you pay some fraction of it to SEBI on the notional turnover. I think that's the way it is. And in order not

to let people to imagine what that impact will be on exchange; we have given very clear numbers in our press -- or rather upload and the BSE. So, I think -- I mean, it's very clear, there's nothing much we can do about it. But, the Multi Commodity Exchange of India Limited
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company, we are placing this before the Board at its meeting, next is scheduled soon. And maybe then they will take a call on it what to do, how do we approach on this. That's why we have said that it is being considered by the exchange.

Aman: Okay. That's very helpful. Mr. Reddy, I think and Mr. Bolar, now software transition is done, how do you think about dividends, any kind of view on that, the fact that it is largely fixed fee in terms of software expenses now. And there's no major CapEx probably going to come. Is there any view on like tight increase in dividend as a dividend payout ratio and so on that you guys are thinking about? Or the Board will take a call?

P.S. Reddy: See, currently, it is 75%. And every time we are fully giving out. I mean, there's nothing is kept with us, which is the policy and going forward, also, my personal view is that I'm sure Board will adhere to the policy, whatever that be, where the 75% will become 90% or 20% is a different matter. But I don't see that is going to be changed going forward, 75% going to be there. That's what my understanding is.

Aman: So, this is very helpful. I guess, Nicholas, is there any other thing that you want to check with the team?

Nicholas: Maybe just quickly on this CME contracts. We pay them 10% of transaction revenues, right? And I was just wondering if there's a possibility that this would change in the future? Like what determines this rate and is there potential that it will change?

P.S. Reddy: It's about CME, -- you're talking about CME rate, isn't it? I don't think that will change. It will remain like that. Its volume driven. That's it.

Aman: And it's also only on crude or natural gas, right?

P.S. Reddy: On energy products, let us say, going forward, some other product which is traded on CME is considered, that also get add and indices are also added.

Praveen DG: It is only for the energy...

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P.S. Reddy: Energy. Only for the energy obviously.

Aman: Got it. This is super helpful, Mr. Reddy. I think, Nicholas anything else that you want to check on? Net worth income or net worth balance that you want to check -- or do you have those numbers? How much is net worth cash right now?

Naresh Bhuta: So, it is 1,550 crores...

Aman: Net worth cash. And the remaining cash, like total cash?

Satyajeet Bolar: And if we include the margin funds, that would be another 1,000 crores as on 31st March. So that would be another 1,000 crores. That's a part of CCL.

Aman: Okay. I think one last question I had on the numbers. How do we think about SGF, Mr. Bolar. I think I know for 2 quarters, we had SGF contribution because

the open interest went up. Now I think if you look at it in last quarter, despite great growth in option volume, and I'm not able to understand how do I find open interest, but it seems like at least in last quarter, we didn't have any SGF contribution. How do we think about in the future? On a broad basis, do you think as we grow revenue, especially option volumes will keep increasing? And in some quarters, we may have it, in some quarters we may not have it? How should we think about the recurringness of SGF contribution and the rate at which you have to move these contributions?

P.S. Reddy: See, yes, it's all flowing out of these stress tests results for the MRC that is a minimum required capital contribution, that is the SGF. Now there is some tweaking has been done as provided by SEBI in terms of whether future prices to be considered or spot prices to be considered for these calculations. So obvious, futures is mo

re relevant. So that has been considered. So, some kind of headroom we have got it. And that's how we have reduced the margins. If you look at the -- some actual margins imposed in crude, NG, and other things, they have been removed.

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As a result of which the margins in the open interest may increase and which is increasing, it's almost 65,000 crores, it was recently. Now with the increase in open interest, obviously, SGF requirements increase. But here, what I want to say is, if you contribute to SGF and the income earned on SGF is anyway, it is tax free. But at the same time, we will be able to reduce the margins so that we can get more volume. So, these 2 may help us or reinforce each other in terms of bringing additional volume to the exchange. At the same time, the interest income will remain in SGF.

Aman: Sir, on the -- you said you will be able to reduce margins. Can you reduce margins further? Like is that an ongoing thing that we'll keep doing...

P.S. Reddy: If we have more headroom or more SGF money, then we can reduce margin. It is coming in the way of this particular reduction in margins.

Aman: Okay. So, this is very helpful. Sir, anything else in terms of either interoperability of exchanges or common margin across the exchange that you think is going to happen sometime in the future.

P.S. Reddy: Interoperability in a limited sense of margins being kept wherever they are, but then transferring to the other exchange is something which we are pursuing it. There is the industry standard forum also is pursuing it. And so, after the equity exchange is shut, maybe I don't need a physical receipt of fixed deposits or bank guarantees and other things, but a lien on the balance amount which is lying out there can be created in CCL, so we can trade commodities, okay? And the next day morning, we can release it if there is any balance. So, this can always happen on a daily basis. That is something which you are looking at.

Aman: Got it. This is very helpful. I think I don't have any other questions. Nicholas, anything last that you want to check.

Nicholas: Maybe just a quick one on -- if you look globally, we see some -- many exchanges have a more diversified revenue base coming from the likes of data and indexing and other technology solutions. So, I was wondering now that

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the software -- or new software has been implemented? Are we thinking about maybe going that route of introducing more of those type of income streams?

P.S. Reddy: Well, while the data feed vending is one stream of income, but that's not going to be very big in the case of MCX because we have only that many commodities, maybe 15, 20 commodities, unlike equity markets, they may be getting a good amount of money from data feed of vending also. So, we may not get so much like that.

But having said that, introduction of more and more new products is the only way forward for us to diversify our business. And so, diversification in that

sense, can happen by product wise, but not outside the exchange trading platform. The way that we are maybe looking at is outside the exchange trading platform, but that may not happen. Limited chances are there.

Aman: This is very helpful. Thank you so much, Mr. Reddy for making time. Thank you, Mr. Bolar. Thank you, Mr. Praveen. We look forward to staying in touch with the team and thank you so much for all that you guys have done for the business. Really, really appreciate it. Thank you so much for making time.

P.S. Reddy: All the best, hope to see you some time. Thank you.

Aman: Thank you.

Call: Aug 2024

MULTI COMMODITY EXCHANGE OF INDIA LTD.

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CIN: L51909MH2002PLC135594, info@mcxindia.com

MCX/SEC/2404 August 02, 2024

BSE Limited

Department of Corporate Services

PJ Towers, Dalal Street,

Mumbai - 400 001.

Ref: Scrip code: 534091 Scrip ID: MCX

Subject: Transcript of the "Earnings Conference Call" with investor(s)/analyst(s) on Q1 FY-2025 results.

Dear Sir,

Please find enclosed herewith transcript of the "Earnings Conference Call" with investor(s)/analyst(s) held on Monday, July 29, 2024 at 16.00 p.m. (IST) on Q1 FY-2025 results.

The said transcript is also uploaded on the website of the Company at <https://www.mcxindia.com/investor-relations/ir-meetings>

Further, we hereby confirm that no unpublished price sensitive information was shared/discussed during the said earnings call.

Kindly take the same on record and acknowledge receipt.

Thanking you,

Yours faithfully,

For Multi Commodity Exchange of India Limited

Manisha Thakur

Company Secretary

Encl.: As above

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"Multi Commodity Exchange of India Limited

Q1 FY'24 -'25 Earnings Conference Call "

July 29, 2024

Disclaimer: This transcript is provided without express or implied warranties of any kind and should be read in conjunction with the accompanying materials published by the company. The information contained in the transcript is a textual representation of the company's event and while efforts are made to provide an accurate transcription, there may be material errors, omissions, or inaccuracies in the reporting of the substance of the event. The transcript has been edited wherever required for clarity, correctness of data or transcription error. This document may contain "forward-looking statements" – that is, statements related to future, not past, events. In this context, forward looking statements often address our expected future business and financial performance, often contain words such as "expects", "anticipates", "intends", "plans", "believes", "seeks", "should" or "will". Forward-looking statements by their nature address matters that are, to different degrees, uncertain. These uncertainties may cause our actual results to be materially different than those expressed in our forward-looking statements. We do not undertake to update our forward-looking statements.

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MANAGEMENT : MR. MANOJ JAIN - CHIEF OPERATING OFFICER
MR. CHANDRESH SHAH - CHIEF FINANCIAL OFFICER
MR. PRAVEEN D G - CHIEF RISK OFFICER
MR. RISHI NATHANY - CHIEF BUSINESS OFFICER

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PUBLIC Moderator: Ladies and gentlemen, good day and welcome to the Multi Commodity Exchange of India Limited Q1 FY'24 -'25 Earnings Conference Call. Joining us on the call are Mr. Manoj Jain, Chief Operating Officer, MCX; Mr. Chandresh Shah, Chief Financial Officer, MCX; Mr. Praveen DG, Chief Risk Officer, MCX; and Mr. Rishi Nathany, Chief Business Officer, MCX.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Manoj Jain, Chief Operating Officer, MCX.

Thank you, and over to you, sir.

Manoj Jain : Thank you, Dorw in. Good evening to all of you. Welcome to the Earnings and Analyst Call of Q1 FY'25 of MCX. I'm happy to state that MCX has concluded this quarter on a highly positive note. MCX conso

olidated income increased by 27% to INR253 crores

from INR199 crores over the sequential quarter ended March 31, 2024 , while the operating income increased by 29% to INR234 crores from INR181 crores in the sequential quarter Q4 of last year.

Similarly, we had a great show on the volumes front also. Our Average Daily Turnover , the ADT of commodities futures , increased by 48% during this quarter to INR25,985 crores from INR17,558 crores in the sequential quarter Q4 of last year. MCX is proud to state that it has consolidated its market share in commodity futures during Q1 FY '25, and it stands at approximately 98% by the quarter end.

On the other hand, exchange also witnessed a significant increase in the notional ADT of options during this quarter increasing by almost 29% to INR1.47 lakh crores from INR1.14 lakh crores in Q4 sequentially. During Q1, FY '25, the combined ADT turnover of futures and options together increased by approx 32%, reaching a combined total of INR1.73 lakh crores. Comparing to the turnover in the previous quarte r, it is up by approximate 32%.

Another milestone, MCX clocked its highest single day turnover of INR3.77 lakh crores on 15th May 2024. The total traded clients in F&O on the Exchange also saw a PUBLIC Multi Commodity Exchange of India Limited
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PUBLIC significant growth. On a quarter -on-quarter basis, 6.4% increase the current total is around 5.67 lakhs as on Q1 ending. Last year, for Q1, the total clients traded were

recorded at 3.9 lakhs, almost a 40% increase, if you see year -on-year. During April 2024, the exchange issued notification permitting subject to applicable regulations , FPI's, falling under the category of individuals, family offices and corporate to participate in the eligible commodity derivative contracts and indices. Similar to expansion of product lines, the enhancement of participation in the commodity derivatives market will also help to deepen the market and boost its attractiveness as a venue for risk management for all its stakeholders. To provide wider choice to investors in additional products for risk management to potential hedge rs, MCX introduced two new options contract in April 2024. Crude Oil mini options, which has Crude Oil mini futures of 10 -barrel as underlying and Natural Gas mini options, which has Natural Gas mini futures of 250 MMBtu as underlying. We hope the new contracts are able to meet the risk management needs of the small stakeholders in India's Energy sector, we're particularly vulnerable to the persistent high volatility in energy prices. In May 2024 to its credit, MCX, along with its technology partner, TCS , were awarded 'Best Financial Market Technology Implementation of the Year award ' at the Asian Banker Financial Technology Innovation Awards 2024 in Hong Kong. The award was in recognition for implementation of an integrated commodity derivatives market platform encompassing trading, risk management, clearing and settlement end -to-end. Recent changes in regulatory guidelines and commodity derivatives are likely to support MCX s endeavour at achieving expansion and enhanced participation. SEBI has revised the minimum duration of staggered delivery period of commodity derivative contracts to three working days from five working days. We are hopeful to bring this change in near future for al l our participants. RBI in its latest biannual financial stability report, which was released on 27th June 2024, again highlighted, commodity price risk as one of the five high sources of risks out of total of 25 such risks. And this was amongst the only global risk that continues to remain high from the previous November '23 report on systemic risk survey, which was under taken by the Central Bank . PUBLIC Multi Commodity Exchange of India Limited July 2 9, 202 4

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PUBLIC This calls for a dedicated attention and action on ri

sk management by all our stakeholders who are exposed to commodity price risks by actively hedging on commodity derivatives exchanges. In another development, SEBI, vide circular dated July 1, 2024, directed MI Is to redesign the existing charge structure such that it should be uniform and equal for all its members instead of a slab -wise structure, which was dependent on volume or activity of the members. The circular will be effective in October 2024 and Exchange would be coming out with further direction in this regard. Coming to the recent union budget presentation. As we all know, there was a sharp reduction in customs duty on Gold, this led to a record turnover of INR71,524 crores in Gold 1 kg options on that day, 23rd July 2024. This stands testimony for stakeholder's confidence in the Exchange 's robust mechanism for effective price risk management.

With this, I conclude the opening remarks and look forward to discussing more details during the Q&A session. Once again, I thank all the shareholders for their continuous support and faith in the exchange, and we are confident that together, we should continue to enhance our company's value. Thank you, and over to you D orwin, for initiating the Q&A.

Moderator: The first question is from the line of Amit Chandra from HDFC Securities.

Amit Chandra : My first question was you mentioned that we are going with the , slab-wise structure is going away in October. So how are we planning to charge, I remember because the range is from -- in the future s from like INR160 to INR280 per crore . So, the larger members if we switch to the blended pricing , then the larger numbers still have higher pricing, and it will benefit the smaller ones. So how we are looking at it in terms of the pricing if you're going for a single pricing.

And also, in terms of the clearing corporation also, there was a regulation to pass on the benefits of the interest to the members. So, what portion of the Clearing Corporation is from the funds that we have to pass on the benefit to the member s, if you can clarify that? And also based on the SEBI regulations, you're saying that they're talking about increasing the lot t size. So, if you can provide some more color in terms of what proportion of the future s volumes come from , order sizes, which are less than INR10 PUBLIC Multi Commodity Exchange of India Limited

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PUBLIC lakhs, I'm saying that in the options ...what proportion of the volume comes from like order size, if it is less than INR8 lakhs to INR10 lakhs.

Manoj Jain : Yes, Amit. Our CBO, Rishi would be taking up the queries and we'll support. So, I'll hand over to Rishi.

Rishi Nathany : Yes, Amit, Rishi Nathany here. To answer your first part of your question is that, right now, the slab is between INR175 and INR260, not INR160 and INR280 and SEBI has mandated that it should be true to label and uniform across the board. We are still studying this, and we will come out at the appropriate time with the charge structure. But what we feel is this equitable charge structure will be fair to all market participants. In terms of the revenue for the Clearing Corporation when passing on the interest, I think that's still under discussion. However, you asked a pertinent question as to what is the percentage of revenue? I would request if Chandresh, our CFO, has those numbers. In case he has them, he will share them with you.

Chandresh Shah : Hi Amit, see at this moment, we don't have the exact number because the income includes a lot of income accruing from own funds and other funds. Based on what clarification SEBI comes out with in the final paper or letter, we'll be able to compute the impact.

Manoj Jain : Just to supplement to Chandresh, at this stage, it will be speculative to come out with any numbers and its implications because regulatory contours and directives will vary unless we see the

final outcome. It will depend on underlying processes and what really is to be shared or not shared. But yes, I mean, overall, it would be an important area to handle for both Exchange and Clearing Corporation, not only us, all Exchanges and Clearing Corporations.

Rishi Nathany : In regards, the third part of your question regarding the increasing lot sizes, et cetera. We are still -- it's still again under discussion, so we don't have any clarity, so we do not want to speculate on that. As and when things come out, we will definitely let you know, because we don't know what is the size which is prescribed and whether it is for futures or for index futures or for individual commodity futures or stock futures. So as and when the norms come, we will definitely let the market know. PUBLIC

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PUBLIC Amit Chandra : And sir, in terms of the product pipeline ... it has been pending, in terms the markets series contract and the index options contract launches. So, if you can provide some light in terms of what pipelines we are seeing, because in the last call it was mentioned that we are ready with the Crude like monthly series contract to be launched. So, any clarity on that.

Rishi Nathany : So, we have certain approvals in place, and we are in the process of testing and launching from time to time, we keep seeking approvals. As and when we get it, we'll definitely issue the circular and let the market know when we are ready to launch which product.

Manoj Jain : Yes. Again, Amit, just to supplement, this is the previous info. So, Cotton Candy we did mention in our last quarter's call also that we are going to amend the contract. So that has been amended and the new season contract of November has been launched with the new contract specs, where one very key change was reducing the trading and delivery unit from 100 to 25 bales. So that has been launched already. I think the Crude and NG, mini options, that also it is rightly made known in the media about the launch and both are successful contracts.

Two other contracts in agri which were discussed earlier, Cotton seed wash Oil futures and Crude Sunflower Oil futures, and third was Gold 10 gram, which we have been continuously discussing in the call. So, all these three are to be launched, and we reiterate that testing was the reason, system testing, why they were delayed slightly. We are hopeful that you will get to know about their launch very soon.

Amit Chandra : Okay. And just like one last question from my side. In terms of the costing, obviously, we have given the product license costs around, separately this time. But in terms of the IT costs that we have reported. So, I mean, last call, you mentioned that the first year of the launch of the platform, there are some charges which are like premium charges and that premium charges or like premium services like those premium services will go away after one year of launch. So, if you can quantify out of this,

around INR23 crores which is IT cost and what proportion of that will be likely premium cost.

Manoj Jain : So, Amit, again, see, last quarter also, it was made clear that we may not be able to disclose such breakups of services. And see these are not permanent services. PUBLIC
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PUBLIC Obviously, it was critical for us, post go-live to ensure a strong support to the IT system. So, it's not that we don't want these premium services, yes, as long as those are required, we will definitely continue. Our quantification of such things would be difficult to predict or present here.

Moderator: The next question comes from the line of Devesh Agarwal from IIFL Securities.

Devesh Agarwal : Sir, first question is basically again on that interest income on cash collateral, although you said it's difficult

to quantify at this point in time. Could you just help us? What would have been the average cash collateral for whole of FY '24?

Chandresh Shah : Devesh, we will get back to you on that. The treasury income is something which includes this amount. We'll come back to you with the detailed breakup. For FY '24, you want, right?

Devesh Agarwal : For FY '24, the margin money, which was in the form of cash with the clearing corporations, not the income.

Chandresh Shah : Okay.

Devesh Agarwal : Sure, sir. And secondly, sir, if we see our notes to accounts, on the cost side, you have said that there is a INR10 crores voluntary SGF contribution that we have made. Any reason why we are making voluntary contribution to SGF?

Manoj Jain : So, Devesh, SGF is a critical component in our Exchange and Clearing ecosystem because it strengthens the overall risk management process. And the stronger our SGF, definitely, it will give us a good cushion and headroom to manage our margins across all our products. So overall, I think that was the underlying idea that as our volumes are growing, our open interest across deliverable commodities is increasing, so definitely, we need to pad up the SGF to handle such contingencies in future because Clearing Corporation is contributing and overall MCX last year also, if you have been tracking, there were one-time contributions in two specific quarters. So, management decided to pad up the SGF since we feel that it needs to be strengthened looking at our growth statistics.

Devesh Agarwal : So just to get it right, sir, there was no regulatory requirement based on that core SGF formula. This is more done to cushion for your margin requirements in your projects. PUBLIC
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PUBLIC Manoj Jain : So, see underlying -- Devesh, the underlying formula is always there. Those are at like to quantify the mandatory requirements. If there is a mandatory requirement and shortfall, then yes, Exchange and CCs would chip in and top it up. However, in this particular instance, even if there is no additional requirement, we'll be cushioning it up on a quarterly basis for the time being, that is the idea.

Devesh Agarwal : Understood. And should we expect, sir, some voluntary contribution going forward on a quarterly basis? Will it be a more regular phenomenon?

Manoj Jain : Yes. As of now, that is the plan. It would be a regular phenomenon.

Devesh Agarwal : So INR10 crores per quarter is a number to work with, sir?

Manoj Jain : Yes, that's the voluntary contribution as on date.

Devesh Agarwal : And sir, you have also provided for these regulatory fees because of that change from premium to notional INR4.5 crores in the quarter. Would we be contesting this, or this is the charge that we have taken now, so we will not be contesting this.

Manoj Jain : So, Devesh, as of now, I won't be able to give you any concrete answer on the contesting part. But yes, the provisions have been made, and the same was made public also by actual costs and the interest on top of that.

Devesh Agarwal : Right, sir. And sir, in terms of your new product pipeline, you have ... contract and some of the other, Gold, Silver, index options. Any progress that you can share or any timelines by when are we looking to launch these products?

Manoj Jain : So, Devesh just to repeat, we are kind of looking forward to launch some of our existing accrued contracts, that is gold 10-gram futures, which will be a monthly cycle. And yes, the two agri contracts on Crude Sunflower and Cotton wash seed oil and Cotton

Candy, we have already amended. The other, which is the monthly rolling, those are all future planned products, including the index option, I think that is what you have been asking. No immediate timeline available to provide on the launch of those contracts. And another one was Electricity Futures, which again

has been a topic of continued discussion. We are hopeful to make progress on that. We are actively in touch with the Ministry and Regulators for progress on that. So that's the current status. PUBLIC
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PUBLIC Devesh Agarwal : And sir, one last question from my side. We've been seeing that within the options segment, the premium ratios have been continuously declining, I think for the month of July, it has come down to almost 1.4%. So, could you just give us some reasons as to what is leading to this decline in the premium ratios?

Manoj Jain : So, Devesh, if you are tracking other Exchanges also, I think it is a well-known fact that as volumes creep up in options the ARR, the realization rate gradually falls. And I think MCX is also witnessing almost a similar phenomenon. I'll request Praveen to supplement this.

Praveen DG : Yes, Devesh. There are multiple factors that will influence your ratio-- what kind of ratio you get versus the premium to the turnover, notional turnover. Like generally, the volatility is one factor. But like what Manoj has said, if the volumes are going to be increased, one reason could be like the depth and the volumes is going to be increased in the far month or it could be in the deep out-of-the-money kind of contracts. So automatically, that can lead to some kind of reduction in the overall ratio.

It also depends on the tendency of the people, whether they will be trading when the contracts are very far to their expiry or near to their expiry. So, there are many multiple factors what is going to determine your particular ratio.

Moderator: The next question is from the line of Sanketh Godha from Avendus Spark.

Sanketh Godha : Sir, can you give the transaction income breakup into futures and options, which you typically do every quarter?

Chandresh Shah : Sure. So, futures income is INR71 crores and options is INR127 crores.

Sanketh Godha : INR127 crores, okay. And sir, as you said in futures, the slab pricing INR175 to INR260 per crore. Can you tell the similar number for options? You know the average realization... ?

Manoj Jain : No. Slab rate.

Chandresh Shah : The slab rate...

Praveen DG : Slab rate for options is INR40 to INR50, like INR40 per lakh of premium to INR50 per lakh of premium. It is in that range. PUBLIC
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PUBLIC Sanketh Godha : This is per -- INR40 per premium.

Praveen DG : Per lakh of premium turnover.

Sanketh Godha : Per lakh of premium turnover. Perfect. Perfect. Just wondering if slab-based pricing, if you stop at the -- means if you can give an indication because your average realization in futures is around INR207 per crore, which is somewhere between INR175, INR260. So, if you want to make it revenue-neutral, is it fair to assume that when a single price will be decided that will be closer to that our realization, or it could from a regulation point of view, it could be even below that number? I know you said that you are still discussing. But if you can give a broader color where it will stop, will be very useful.

Rishi Nathany : So Sanketh, the SEBI circular clearly mentions that to begin with it should be around what is being charged. So that should -- that speaks for itself.

Sanketh Godha : No, my worry was that whether it would be at the lower end of the slab rather than being somewhere in middle. So that's the reason I was asking.

Praveen DG : So, we won't be able to make a comment on that one right now. As per the circular, it is definitely, we have to look at what is the current realization, basis that we have to examine internally and accordingly, we'll take it up with our Board. And once it is decided, we will be announcing it to the market.

Sanketh Godha : Perfect, sir. And lastly, just one more thing. Your SGF

cost, which is -- I mean as you said INR10 crores is voluntary. But if you can give me, means, if I do, as a percentage of your transaction cost, it comes to closer to 7 percentage, what you provided for SGF in the current quarter. Just, whether this number will grow as a percentage of variable or is INR10 crores what you said per quarter, because I believe that open interest will keep on increasing as exchange will grow, which means that your SGF contribution will also grow in line with the open interest, right? And therefore, is it safe to assume that 7 percentage of your transaction income will be the SGF cost every quarter, which is in the current contract.

Rishi Nathany : So, Sanketh, there is nothing written in stone. The point being that as we envisage the business growth, as Manoj earlier also said, that the volume OI growth, as we envisage that we want to bolster our SGF and make sure that we don't have to make any ad hoc PUBLIC Multi Commodity Exchange of India Limited
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PUBLIC or sudden contributions to SGF. That is why we are trying to pre-plan and make sure as business grows, we stay up to speed.

Sanketh Godha : Got it. Okay, sir. Fine. And lastly, I think we have last year's numbers with us. The interest income earned on margin money last year, if I'm not wrong, it was somewhere between INR85 crores to INR86 crores. So that INR85 crores to INR86 crores, probably one will be naturally the upstreamed money, which was over and above collected by the brokers or members and second will be the natural margin money. So as per the regulation, what I understand is that the extra upstreamed money is what we need to return it back. I just wanted to -- if you can give the color of the INR85 crores, INR86 crores what you made last year, how much was largely because of the upstreamed money and the regular interest income that you would have earned on margin?

Chandresh Shah : So Sanketh, see that breakup currently we do not have because the money that was invested is including everything, all the surplus that we have. So that breakup cannot be calculated so easily because it varies per day, how much the money was invested, whether it was withdrawn next day, of which day. So, it's a very detailed and lengthy calculation. But just to answer to the question which Devesh had asked, the margin money which was available with CCL on 31st March 2024 was around INR917 crores.

Sanketh Godha : Okay. This is outstanding figure, right, not the expected one?

Manoj Jain : Yes, this was as on 31st March.

Moderator: The next question is from the line of Shreyansh Jain from Electrum Capital.

Shreyansh Jain: Most of my questions have been answered. Can you just provide the breakup of float income and the other income from the remaining income? And are there any plans to increase prices in the options segment?

Rishi Nathany : I'll answer your second question first, and then you can give the breakups. So pricing is something which normally aren't revised frequently. However, as we earlier said that this current SEBI circular on uniform pricing mandates, to revisit that. And when we revisit it, we will take a steady decision and tell the market what is the pricing going to be. PUBLIC

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PUBLIC Shreyansh Jain: But sir, I have a follow-up on this. So according to SEBI, you have to keep the price somewhere work around your current realization. So, can you increase the prices in tandem with that? Or would it be a separate exercise after that has happened?

Rishi Nathany : I mean as I said, the SEBI circular is very clear that the -- to begin with the pricing should be around what is being charged, right? So, I don't think there's much scope for interpretation there.

Shreyansh Jain: Got it.

Chandresh Shah : Yes, breakups. So, see that float or other income is around

INR20 crores for this quarter.

Shreyansh Jain: Okay. And what was the yield on that? Can you -- do you have a ready figure.

Chandresh Shah : No, that figure is not available right now.

Moderator: The next question is from the line of Chintan Sheth from Girik Capital.

Chintan Sheth : So, I was just observing the client member's numbers and which we quarterly publish, if I look at the numbers, we have been seeing the member number count has been declining to 544 now. It has been consistently or tracking a little down every quarter,

then authorized person data point also , if we look at a couple of years back, it used to be 50,000 is now at 35,000 odd. So, if you can help us understand what is happening there? And secondly, on the FPIs, Cat II, Cat III, if you can give us -- provide some update on how the traction or what are our conversations with them is happening and as they started hedging or trading with the Exchange.

Rishi Nathany : So, thank you, Chintan. The first point being that the number of members or the APs you are seeing declining, but that's an industry-wide trend of consolidation. So, if you see as long as our overall participation is increasing, both in terms of clients traded our overall turnover is increasing. So, on all parameters, you're seeing that there is a growth. Now across the industry, across Exchanges, there is a consolidation trend where the smaller brokers due to various factors are finding it difficult to continue in many cases. So that is the same situation at MCX also. So, in one way, it is leading to more consolidation, more business growth, and we are seeing that as we are progressing, all PUBLIC Multi Commodity Exchange of India Limited
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PUBLIC the parameters are pretty healthy. So that's my answer to your first part of your question. And what was your second question?

Chintan Sheth : Second was on the Cat II, Cat III.

Rishi Nathany : So, we have around 100 FPIs actively trading, participating on MCX at present with around 90 Cat I and 10 Cat II - approximate numbers. And quite a lot of interest from FPIs, however, having said that, there are only two commodities in which they're allowed to trade at present, which is Crude Oil and Natural Gas. So as and when the list is enhanced and as and when -- see, it's early days yet because it's just been a few months since FPIs have actively started trading on MCX and this was still when we allowed Cat II. So, we are seeing very healthy traction. And hopefully, as we go ahead, we will see much more participation from all these participants .

Chintan Sheth : And the custom duty cut on Gold, does it have any implication on our drive over volumes here? Is there any way, any impact for business?

Rishi Nathany : No, so it's a very neutral impact, whatever happens. It's just a customs duty cut, right? So, it doesn't have much impact on our contracts.

Manoj Jain : So Chintan, exchange is a price discovery platform. So , price goes up, down, duty goes up and down. We are transparent and that's the beauty of the platform to provide a neutral service to all our hedge rs as well as the entire member community.

Chintan Sheth : Correct. Okay. And lastly, on the SGF part, you mentioned that INR10 crores, you want to make it more linear or more frequent in terms of provisioning rather than an ad-hoc, which used to be the case earlier. Are you fixing the quantum of INR10 crores or is there a mechanism or a percentage which should one consider going forward?

Manoj Jain : So Chintan, as of now, you may consider this as a number for medium term. Obviously, it's a voluntary contribution. So, I would not like to commit that this is a permanent arrangement, as I mentioned earlier. So, Management , Board and both the organizations , jointly would continuously watch what is in the best interest of both the companies. PUBLIC

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PUBLIC Chintan Sheth : And lastly, on the cash on books, what is the figure as of June. And anything, any -- now the capex part is largely over , the heavy lifting has been done , if you can throw some light on the utilization of this one?

Chandresh Shah : As on June, the available balance for the investment is INR955 crores. And as on March, it was INR848 crores.

Chintan Sheth : And anything on the distribution or the utilization of the same?

Chandresh Shah : So, Board will take that decision. So anyways, the dividend has been declared for FY '24.

Moderator: The next question is from the line of Amal Nath from Ministry of Finance of Oman.

Amal Nath: Just two set of questions. First of all, in this recent quarter, we can see there is an improvement in the futures as well. Previously, where the options was going high, futures were quite muted. This quarter, we can see the futures volumes are also quite high, INR25,985 crores. What was the reason? Or is this the new trend we can see from -- actually, it is from FY '22 continuous it is going down, average 26 and 23, then last year, it was averaged 19. But this quarter, it came up to INR25,985 crores . What was

the reason? And do you think this is going to continue the trend in this way?

Rishi Nathany : See, so the point being Mr. Amal Nath, is that we continuously keep reaching out to various market participants, including all the hedging community and the industry.

While you saw that initially over last, like you rightly said, for the last couple of years, you've been seeing a secular trend of growth in options, which took away to a certain extent from futures. However, having said that, the options are based on futures and in futures also, there is an increased traction because of more participation from the entire participant base, including the industry.

And also, because there has been quite a lot of interest in various segments like Bullion or Energy or Base Metals. We have seen growth in all of them. It's not that it has been confined to any specific sector per se. So, it has been a secular all-around growth in futures, and which is a very healthy sign as we also see. And hopefully, going forward, we would like this to continue also. But end of the day, we are just a platform, and it is up to the market to decide what they want to trade. PUBLIC

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PUBLIC Amal Nath: So, nothing happens special on this quarter, right, because it is -- why I'm saying because, if you look at the trend in the last two, three quarters, it was '19, '21 and even last quarter of '17. And suddenly, in this quarter, there was a jump to '25. That's what I'm trying to understand, is this something one-off happened in this particular quarter?

Or can we take it, this is a growing trend now?

Rishi Nathany : So, there is always a tipping point to everything. So, when something happens and then the trend was down, hopefully, it is early days yet, but hopefully, this will be an arrest to the falling trend of futures. But to answer your question, there's nothing specific which comes to mind as to why this has suddenly changed. Of course, the efforts always on to ensure that there is widespread in all round participation across product segments as well as across futures and options.

Amal Nath: Okay. And can you give some update with respect to your Gas Exchange kind of part of the business, what's happening there?

Manoj Jain : So, Gas Exchange is not under MCX. Are you referring to IEX's Exchange and their Gas Exchange? MCX doesn't have any subsidiary or associate on Natural Gas, Amal Nath.

Amal Nath: Okay, maybe. Okay. And that, the second part of this now, we are hearing from different calls with respect to this launch of this new product, including the 10-gram gold as well. The last many quarters, we are see

ing and every time we are hearing from the management that it will be launched very soon and I'm hearing the same thing even in this call. Now just trying to understand, why are you getting stuck and why it's not getting launched, even after it is so many quarters we're discussing about it.

Manoj Jain : Yes, we appreciate your concern, and we too are equally concerned in tracking the launch. Last year, as you know, there was a huge event of our go-live with the new platform. So naturally, there was a delay in new products. And this year, yes, we are really hopeful. Post our go-live and subsequent technology stabilization, we wanted to thoroughly test all our new products because all these are now on the new platform. So, I think in our earlier calls also we did mention about some of the products, and sequentially, we are progressing in the launch. So, I believe now the next one is obviously gold 10-gram and the 2 agri contracts, which we discussed a little while ago.

So, we should be announcing their launches very soon. PUBLIC

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PUBLIC Amal Nath: And the last part of my question, after this BSE and NSE got that their license for this Commodity Exchange as well. Previously, there was a thought that there would be a lot of volumes in respect to that side as well. Where do you see the trend from the market shares perspective, I can really see the market share with MCX remains intact, is that the new approval given to them, are they able to catch up the volumes from the MCX?

Rishi Nathany : So, other Exchanges were allowed in 2018 October to come into commodities, and it's been almost 6 years. While we cannot comment about other Exchanges, all we can say is MCX has and hopefully will continue to remain a venue of choice for people to trade Commodities in India.

Amal Nath: And while you are doing so good with respect to Metals and Gold and other parts where you are always having a high market share, what is stopping us in increasing our market share in the agri commodity part, why MCX share is always miniscule in that part of the commodity?

Rishi Nathany : So, you would appreciate that we did not have a very large agri basket and our flagship contract, Crude Palm Oil contract was suspended with other contracts and other Exchanges. So, we were left with very few contracts to trade. And agri is a complicated product segment anyways, so, we have to manage all the stakeholders while trading and we definitely make every effort to trade, which not like there is more focus on any one segment or the other. Sometimes some segment does well and other times, other segments do well. So, our focus remains entirely in all our product baskets.

Amal Nath: And all your Management changed themselves or will it take to this Management is changing from top Management. Is this all is done and dusted or still something to be done?

Rishi Nathany : I do not understand what you mean by Management change.

Amal Nath: Say for example, the change in the CFO, change in the CEO, certain other key Management personnel changes, which has happened in the last few quarters and the years. Just trying to understand now the management sets which we have at the moment, is there anything also the key Management personnel changes on the card? PUBLIC
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PUBLIC Rishi Nathany : So, there has been no special top management change in MCX. People coming and going as part of a process in every organization, and it is similar for MCX. Having said that, we are awaiting the appointment of a new MD CEO. And as and when that comes, the market will definitely come to know about it.

Moderator: We have the next question from the line of Sanjaya Satapathy from Ampersand Capital.
Sanjaya Satapathy : This is Sanjaya from Ampersand Capital. Sir, my question

is that from participants, I can sense that there is a huge amount of regulatory uncertainties ahead and also the company may see some sort of management change fairly soon and that the company has its plan, but we want to hear kind of a summarized fashion as to how the company will navigate all these regulatory challenges and what all new product and opportunity, et cetera are there, which will help it sustain the kind of growth that we have seen in recent times.

Rishi Nathany : See, as you are seeing regulatory challenges, we live in a highly regulated environment and any sort of regulation is good because that instance stated in the market participants if there was not proper regulation, most people would not come and trade on any Exchange. So, regulation should not be seen as an obstruction rather it should be seen as an enabler to allow the market to function in an orderly manner.

And whatever changes there are, and we've seen in over history that people might have said that maybe this regulation or that regulation is tough. But eventually, the markets have grown, and they've grown from strength to strength. So, I do not see why there should be headwinds?

And secondly, when you're saying Management change or anything, I mean our MD CEO's term of 5 years ended and we are awaiting a new MD CEO. So that is, again, I would say, a natural process, which was not sudden or anything, everyone knew about it that his term was for 5 years, it has ended. And once we get a new MD CEO that will be told to the market. So, I do not -- I would not paint that kind of picture that we are seeing a lot of regulatory uncertainty or Management uncertainty.

Sanjaya Satapathy : Fantastic answer, sir. My last question is that you mentioned that you are making this provision of INR10-odd crores in our SGF... in anticipation of your business growth whereas earlier you used to kind of react to kind of expansion. And then on the advice PUBLIC
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PUBLIC of SEBI of something you used to make those provisions as a requirement after it was raised on, whereas now you are taking some kind of a pre-emptive action. And while you are not articulating exact number, but is this something because of the kind of volatility, the exchange has seen in the past, some kind of a change in attitude in terms of risk management. And can one see this as some kind of a negative for your overall profitability that can happen in the future, or it is more of an improving the business

quality.

Rishi Nathany : See, while short term you might see it as an impact on the P&L, but please understand this is an enabler. This is an investment into our overall capacity. And as you rightly said that instead of being reactive, we are trying to be proactive. Now it all depends on the business requirements and the perception, and this is that the management, the Board will -- and along with our Clearing Corporation, we discuss this and take a call accordingly.

Sanjaya Satapathy : And sir, can I just ask last question that, while you have shared your thoughts on the possibility of option contract side changes, so how do you really see it, I mean, whether it will actuate depending on the market and should Commodity Exchange be seen differently from Equity Market where the fear is of excessive retail usage. Can you just give it from the perspective of how deep the retail participation is in MCX and accordingly what kind of discussions are happening to curb excessive speculation?

Praveen DG : See the way you have to look at it is basically why the commodities contracts or commodity derivatives have come into existence. Basic major purpose for commodity derivatives is price risk management. So that is the principal objective of that one behind that one again you require because while somebody wanted to transfer the risk, we require other people

also to be there. So that is the reason you require a complete ecosystem to be present. But if you look at it is not comparable to that of equity market. These are different from each other.

Rishi Nathany : And just to add, see please understand that in equity markets, you have investors, traders, speculators and issuers. In Commodity markets, you have a whole lot of more participants. You have primary producers whether it's the farmer or the primary manufacturer. You have all the intermediaries, you have importers, exporters, end consumers, intermediate industries who use those products. So, you have a whole gamut of physical market participants also. So, the commodity markets, in that sense, PUBLIC Multi Commodity Exchange of India Limited
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PUBLIC if you cannot do an apple-to-apple comparison of commodity markets with equity markets. So, in that sense, we have a much wider participant base as compared to equity markets.

Sanjaya Satapathy : Understood. And possibly that will be a major concern, a major factor which will be considered while implementing the new rule.

Rishi Nathany : Yes.

Moderator: The next question is from the line of Shaleen Kumar from UBS.

Shaleen Kumar: So, sir, first one is just a remark, I appreciate the summary. I would see the provision increase is SGF is more of a positive because that implies that you see a lot of growth in the business, right, then I should see it as a negative. Let's say that management is ready to see more and more volume growth coming in. Is that right? Is that also the right way to think about it?

Rishi Nathany : See, it's -- I'll give you an example. If a manufacturing company does some capacity expansion, what does that signify?

Shaleen Kumar: That's my question.

Moderator: Sorry to interrupt, but there is a disturbance in your line when you're speaking. May I request you to please change your device mode?

Shaleen Kumar: So yes, that's what I wanted to understand from you. So, I think it's a positive thing. Second thing, there is something, there's a INR10 crores provision, which is made subsidiary. Can you please clarify that?

Chandresh Shah : So, it's a voluntary contribution to SGF. Sorry, it's not a subsidiary, it's an associate in GIFT IFSC. You're talking about the investment that we have -- the Board has approved in India International, right.

Shaleen Kumar: No, there is a INR100 million provision. I think this was related to the late start of the exchange.

Chandresh Shah : The SGF contribution ? PUBLIC
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PUBLIC Shaleen Kumar: There are two things, right? One is your SGF contribution, which is around -- and then there is another comment in your P&L, which was around INR100 million of provision towards which you have made because of, I think, some disruption on the Stock

Exchange in February. So, the provision is made in it.

Chandresh Shah : It's INR10 million, not INR100 million. So that's -- some events which have taken place in February in the subsequent Clearing Corporation.

Shaleen Kumar: Okay. Understood. And yes, the second thing which you're talking about is the investment you have made in the associate that's your Gold Spot Exchange.

Chandresh Shah : That's the approval which we have received from the Board and the investment will be done now.

Shaleen Kumar: So, sir, can we understand like what is the -- like, the opportunity size here?

Rishi Nathany : See, already the investment is made in GIFT City in IIBH and which is , we have a 20% stake and which is growing on its own. So IIBH business plan and everything will be there. We are, along with other Exchanges and other M IIs, as an investor in that.

Shaleen Kumar: Sir, what's the size of this right now in terms of the revenue?

Manoj Jain : Last financial year, they were in loss only. So, there is

no net accretion on the P&L side

so far. Our current quarter and Q4 of last financial year, they have shown promising results, and there has been a positive traction. In the current quarter, we have accretion of INR2 crores plus into our P&L for this quarter from IIBH. Our share, which is 20% of that would be INR42.7 lakh. The INR2.13 crores is the total net for the IIBH. We being 20% shareholders, that's how our share is INR42 lakh plus.

Shaleen Kumar: And the growth, what kind of growth are you envisaging? I assume pretty high because of the low base.

Manoj Jain : So, see, we are not making any comment or forecast or guidance there, but these are Market Infrastructure Institution and not like a localized or small -time institution. So again, in the past, we have mentioned that they represent our entire economy, and these are like international finance centres . So, support definitely is there, and we would like to look forward to progress in this area. PUBLIC

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PUBLIC Shaleen Kumar: Sure, sir. A last bit and I'm sorry for asking you to repeat, can you again just tell us the products which you will be launching in the next three to six months, right? I know you have said that, but just again to summarize.

Manoj Jain : Sure. So, there are two agri contracts, which we are planning to launch in the near future. One is the Cotton seed wash oil, and the other is Crude Sunflower oil. Our Cotton Candy already we have launched with the new season that is in November. So obviously, trading would pick up there closer to the new season. Then the fourth one is the gold 10 -gram monthly future. So, these are immediate deliverables while there are a few more in the pipeline. Electricity, we said it's depending on the regulatory approvals, but we would be keen to launch as soon as we get approvals.

Moderator: Ladies and gentlemen, we will now take the last question from the line of Amit Chandra from HDFC Securities.

Amit Chandra : I just want your thoughts on how do you see index options as a category in terms of the contribution going ahead , because if you see the other Exchanges, index is a very, very large category , in fact and almost all the volumes happen on index. And in MCX, like despite of having index it does not seeing any traction. So not from a short -term point of view, but just your thoughts on whether index can become a big category and how the regulator sees index as a category, especially in commodity.

Praveen DG : Amit, the regulatory guidelines have already come . Exchange can come out with commodity index options. So today, the product that we have is index f uture s.

BULLEX futures is the most active index future s. Coming to the prospects , I won't be able to give you any number to it, and it is not comparable to the equity option s. But..., what you can be able to see that it is going to give another avenue. At the same time, it is expected to be a very good product from our side.

Amit Chandra : So, why I am asking this is because options we are seeing good volumes in Crude and Natural Gas, which is a cash -settled contract. But in commodities the bottleneck is the underlying that we -- in terms of the underlying in terms of physical delivery. So that can be offset by having a cash-settled Bullion index options contract. So, is it the right way to think and I'd like your views on that . If it comes down, the gold can pick up in index? PUBLIC

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PUBLIC Praveen DG : Yes. Like I said , if you look at it design wise, it is a very good product, but it has certain limitation . We cannot have more , multiple commodities as part of a single index. So that kind of challenges are there. But of course, it does have some advantages like it can be a cash-settled contract . Bullion are delive

ry -based contract. So, it's definitely

has certain kind of advantages. But definitely, you'll see that since the regulation is already in place , we're looking to that particular thing. As and when our systems are tested , we will be going ahead with, after getting the regulatory approvals.

Moderator: I would now like to hand the conference over to Mr. Manoj Jain, Chief Operating Officer at MCX for closing comments. Over to you, sir.

Manoj Jain : Thank you, D orwin. Thank you all for joining the analyst call. We really appreciate your participation and continued support. We reiterate that MCX is committed to provide the transparent and efficient platform for all our stakeholders, and we look forward to your contin ued support and faith in us. Thank you.

Moderator: On behalf of Multi Commodity Exchange of India Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines. PUBLIC

Call: Oct 2024

MULTI COMMODITY EXCHANGE OF INDIA LTD.

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MCX/SEC/2445 October 28, 2024

BSE Limited

Department of Corporate Services

PJ Towers, Dalal Street,

Mumbai - 400 001.

Ref: Scrip code: 534091 Scrip ID: MCX

Subject: Transcript of the "Earnings Conference Call" with investor(s)/analyst(s) on Q2 FY-2025 results.

Dear Sir,

Please find enclosed herewith transcript of the "Earnings Conference Call" with investor(s)/analyst(s) held on Monday, October 21, 2024 at 16.00 p.m. (IST) on Q2 FY-2025 results.

The said transcript is also uploaded on the website of the Company at

<https://www.mcxindia.com/investor-relations/ir-meetings>

Further, we hereby confirm that no unpublished price sensitive information was shared/discussed during the said earnings call.

Kindly take the same on record and acknowledge receipt.

Thanking you,

Yours faithfully,

For Multi Commodity Exchange of India Limited

Manisha Thakur

Company Secretary

Encl.: As above

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"Multi Commodity Exchange of India Limited

Q2 FY25 Earnings Conference Call "

October 21 , 202 4

MANAGEMENT : MR. MANOJ JAIN – CHIEF OPERATING OFFICER – MULTI
COMMODITY EXCHANGE OF INDIA LIMITED

MR. CHANDRESH SHAH – CHIEF FINANCIAL OFFICER – MULTI
COMMODITY EXCHANGE OF INDIA LIMITED

MR. PRAVEEN D G – CHIEF RISK OFFICER – MULTI
COMMODITY EXCHANGE OF INDIA LIMITED

MR. RISHI NATHANY – CHIEF BUSINESS OFFICER – MULTI
COMMODITY EXCHANGE OF INDIA LIMITED

Moderator : Ladies and gentlemen, good day and welcome to the Multi Commodity Exchange of India Limited Q2 FY '25 Earnings Conference Call. Joining us on the call are Mr. Manoj Jain, Chief Operating Officer, MCX; Mr. Chandresh Shah, Chief Financial Officer, MCX, Mr. Praveen D G, Chief Risk Officer, MCX and Mr. Rishi Nathany, Chief Business Officer, MCX. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Manoj Jain, Chief Operating Officer, MCX. Thank you, and over to you, sir.

Manoj Jain : Thank you, Del. Good evening to all of you and a very warm welcome to the Earnings and Analyst Call of Multi Commodity Exchange of India Limited for Q2 FY '25. We are glad that MCX has concluded yet another quarter on a significant positive note. The company's PAT in Q2 sequentially grew to INR153.62 crores as against INR110.92 crores which is an increase of 39% sequentially. The operational revenue for this quarter has increased by 73% to INR285.58 crores compared to the corresponding quarter of the previous year. And if we compare sequentially, it has gone up by 22% from INR234.37 crores recorded in Q1 '25.

On the trading front, average daily turnover that is the ADT of Futures and Options during Q2 FY '25 saw a significant increase rising by 27.49% to reach INR2.2 lakh crores compared to the previous quarter is INR 1.72 lakh crores. The increase was propelled higher by options ADT indeed which grew by 31.71% to almost INR1.93 lakh crores in Q2 versus INR1.46 lakh crores in Q1 of FY '25.

The Exchange continues to broaden its investor base too. The credit clients witnessed a quarter-on-quarter growth of almost 20%, reaching about INR6.8 lakh during Q2 of FY '25 as against INR5.67 lakh in the previous quarter of this financial year. Noteworthy, on September 16, 2024, the total turnover consolidated for Futures and Options combined recorded an all-time high of INR4.73 lakh crores. Options accounted almost INR4.5 lakh crores out of that.

As we all know, there are two critical pillars of a Commodity Exchange. First is the efficient price discovery and second the key risk management against adverse events and price movements. We witnessed this in real-time when the change in customs duty rate in gold and silver were announced in the union budget on 23rd July 2024 which led to an immediate fall in domestic prices of these commodities in the spot and derivatives market.

MCX was able to provide protection to all our bullion market stakeholders, who had hedged on this platform. That was also a historic day for MCX bullion Futures and Options, both clocking record volumes, Futures at INR 55,000 crore-plus and Options at a whopping INR92,000 crores-plus notional turnover.

More significantly, this instance underscored the importance of domestic stakeholders to hedge within India as the unanticipated change in price resulting from a change in duty rates could only be hedged on a platform which fully reflects duty-paid Indian commodity prices, something

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which even the offshore markets cannot offer. On the product front, we have a significant development in order to encourage hedging and improve the hedge efficiency. The exchange has modified existing gold 1 kg options bimonthly expiry contracts. Gold option contracts will now include monthly expiry contracts, and this will be enforced with effect from Monday, November 11, 2024.

Another new product launch, we are happy to announce

the launch of cash-settled cotton seed

wash oil futures. This was launched on 15th October 2024. We appreciate the support given by our stakeholders in generating, making it success and we continue to look forward to your support there. This contract is of 5-ton trading unit and Kadi, Gujarat is its delivery centre. This new futures contract is designed to provide transparency, efficient price discovery and a vital hedging mechanism for various stakeholders for the cotton seed oil industry including cotton seed crushers, edible oil refineries, wholesalers and traders.

In line with MCX continued efforts towards developing Indian standards for metals, the exchange has recently empanelled one more Indian-led producer, M/s. Jain Resource Recycling Private Limited at their Tamil Nadu plant. These have been added to the MCX good delivery list. With this, total number of empanelled producers are now 8 and we continue to strive in expanding this list in future. This trend of empanelling domestic refiners, a part of the national

vision of Atmanirbhar Bharat would serve the nation by creating domestic benchmarks, reducing price disparities and encouraging quality recycling of metals.

MCX has always been conscious of the needs of stakeholders in the commodity value chain and has been at the forefront in creating and modifying products and processes to suit the varied needs of these stakeholders. In recognition of these efforts, MCX was bestowed the Exchange of the Year title at the India Gold Conference on 23rd August 2024 at Bengaluru.

In order to foster transparency and rationalize the transaction charges, MCX, under supervision of the market regulator has recently introduced a single-tier transaction charge structure for each of the Futures and Option segments. The rationalization in transaction charges has effectively reduced the charges for the vast majority of our clients. The exchange has also asked members to ensure that the charges levied on clients are true to label, that is fees levied on the end client by a member should not exceed the exact amount as charged by the Exchange to the member. On 16th October 2023, if we all recall MCX and MCXCCL together went live with our new - age commodity derivatives platform successfully. We celebrate the first anniversary of that historic event, and we congratulate all who were involved in that mega project. We once again extend our sincere gratitude to all stakeholders, regulators, technology service providers, data vendors and member brokers for their ongoing support, guidance and encourage to us. We really thank you.

With this, I conclude the opening remarks and look forward to discussing more during the Q&A session. Thank you.

Moderator: Thank you. The first question is from the line of Amit Chandra from HDFC Securities. Please go ahead.

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Amit Chandra: Sir, you mentioned about the increase in participation, wherein the number of retail traders on the platform has increased significantly. But our intention was also to increase the FPI participation. So if I'm not wrong, it was in the range of 1%. So if you can provide some update, so what is happening there? What steps we are taking to increase the FPI participation? And also on the colocation part, can there be any chance that the colocation can come to the MCX as well?

Rishi Nathany: Yes. So thanks for the question. First, to answer your question about FPIs, we already have around 117 FPIs registered on the Exchange, and we are getting more and more of them to trade on the Exchange. You have to understand that it is still early days yet. It was only a few months back that FPIs were permitted and enabled on the Exchange to participate, and we have been seeing healthy participation. We have been seeing a lot of OI coming from the FPIs both in crude and natural gas. And we hope

that going forward, if the regulators so permits, we could see FPIs, trade in other commodities as well if the regulator so allows.

In terms of FPI participation, the ADT has been increasing, and we hope to see that this will increase further. In terms of colocation, as of now, the extend norms do not allow for colocation in commodities. As and when the regulator allows colocation in commodities, we will definitely look at bringing it to market.

Amit Chandra: And sir, secondly, you have announced that we are launching the monthly expiry gold contract. But in terms of the other products in the pipeline, so it has been like a year since the new platform has been running, and I suppose the first year was where we were not very keen in terms of launching a new product, okay? So from here on, as we have completed 1 year successfully, so can we see some accelerated launches in terms of some of the products, which are in the testing phase as of now?

So lastly, you mentioned about the monthly series, like contract, which will increase the number of expiries specific to crude on the options side and the index options as well. So I know the index options is the second product, which will come after the monthly series. But if you can provide some timelines and where we are in terms of the testing of these products at the back end? And what's like pending from the regulatory side?

Rishi Nathany: So while I cannot give you any specific timelines, all I can tell you is that the Exchange always keeps looking at various commodities and new contracts or variants of existing contracts to bring to market, and we are actively pursuing that. As and when we do get a regulatory approval and we have done all our internal testings and everything, we will definitely bring it to market. So in a nutshell, yes, you would see us trying to bring more products to market as we go forward.

Manoj Jain: Just to supplement Rishi, Amit, I'll add that there is always a launch cycle, and things get launched gradually, with the successful launch of Cotton Seed Wash Oil also. So that proves the system capability, scalability, and we have also announced the monthly expiries of gold 1 kg. So yes, there would be a cycle as and when the right contracts and the right approvals and the launch timing is appropriate as considered, you will see a gradual launch. So that's the whole idea. I mean we are going ahead slow and steady.

Amit Chandra: And sir, in terms of the cost, obviously, we have managed the cost well, but the technology cost has come off in this quarter. So is it because after the completion of 1 year, maybe some of the extra cost related to technology that was required is coming off or is it the new base? Or there is some one-off in that? And also, if you can elaborate on the AMC costs, which will -- which is likely to hit in quarter 3? So is it on track? So the AMC cost will hit in like quarter 3?

Management: Hi Amit, so the IT costs are gradually increased, but still there is some breakeven, and we can say, nominal marginal savings compared to what we would have paid in the previous arrangement with 63 Moon. And you are right, the AMC cost of TCS will start coming in from quarter 3. So we'll have to wait and see. In the numbers, they will reflect.

Amit Chandra: Okay, sir. Thank you and all the best for the coming quarter.

Moderator: Thank you. The next question is from the line of Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain: Congratulations on great set of numbers. Sir, firstly, on the premium to notional turnover ratio on the options side, that has gone up in this quarter. And so how should we look at the sustainability of the same going ahead? And particularly on the gold contract, also, if you could highlight whether that would lead to a drop in premium to notional turnover r

atio?

Rishi Nathany: So see, the premium to notional turnover ratio is governed by a host of factors, including volatility, and it is very difficult to predict what would be the premium to notional turnover ratio going forward. So we can't give any future visibility on that.

Prayesh Jain: Okay. But sir, with respect to gold monthly contracts, ideally, if the period reduces, that would lead to a lower premium versus the current contracts?

Rishi Nathany: See, ideally, if you look at it, I don't think so because, firstly, if you trade in a bimonthly contract, the premium is higher at the beginning of the contract, but the volume correspondingly is lower.

And then as you mature into the contract and reach the expiry, the volume goes up and the premium goes down. Now if you split that in from 2 months to 1 month, ideally, I think it should have a similar effect, if not better.

So, I do not see any negative effect of bringing our monthly contract into the picture. So overall, the premium behaviour will still remain the same, that will be high during the launch and lower during the expiry.

Prayesh Jain: Okay. Sir, secondly, on the SGF contribution bit, how do we see that going ahead? We have contributed in this quarter as well. So, if the volumes continue to surge the way they are, do you think we will need contribution to SGF on a regular basis?

Manoj Jain: So Prayesh, yes, as a strategic thought process, we do look upon a gradual contribution on SGF on need basis. And you would see such numbers, though numbers are small, but the idea is to continue to strengthen our SGF for future scalability and new product launches. So that's a strategic thought process.

Prayesh Jain: Got that. And just one bit on the computer and technology expenses, that has gone up in this quarter. What was the reason for the same?

Chandresh Shah: See, in fact, for this quarter, it is marginally reduced. But Prayesh, see, last year, we had warranties and all. So as and when the warranties expire, so the AMC costs starts coming in.

Moderator: Thank you. The next question is from the line of Bharat Gupta from Fair Value Capital. Please go ahead.

Parikshit Gupta: Hello. Am I audible?

Moderator: No sir. Could you come a bit close to your handset you sound a bit distant.

Parikshit Gupta: Okay. Thank you very much for the opportunity and My name is Parikshit Gupta. So, my first question is a more fundamental question. While we understand that the volumes of saving usually increases during times of economic uncertainty. We saw this in the post-COVID era as well as during this calendar year because of the geopolitical tensions and the unfortunate events in Middle East and Europe. I just wanted to understand is there a way to understand if the volumes that we see right now, how much of it would be sustainable going forward?

Rishi Nathany: Okay. So, Parikshit, to answer your question, first of all, volumes are only not driven by geopolitical concerns. If you see that the overall participation base of the Exchange has been going up, which means all the participants on the Exchange, whether it be hedge funds, physical market participants, retail traders, HNIs, FPIs, everything is going up. Now when overall participation goes up, naturally, you would see a better turnover.

Also, what adds to volatility in the market is, of course, these geopolitical tensions, but it is not just those which drive the market. So, there are a host of factors which drive volumes. So it's very difficult to quantify that how much geopolitical tension will happen and how much it is sustained volume or not. But all I can say is that if we continue with the trend of growing participant base, our volumes in any ways continue to grow from strength to strength.

Parikshit Gupta: Absolutely, sir, I completely understand that the driver of v

olume is the market -- increasing the

market depth. So, thank you for extending that. My second question is on the India International Bullion Holdings piece. I understand that even in the previous quarter, you mentioned it is very hard to predict how much of a business might generate going forward and that the revenue was about -- the business generated was about INR2 crores overall. Do we have any sense for the current quarter and the next quarter as well?

Rishi Nathany: See, we cannot give any future predictions on business of IIBH. All we can say is that it is a relatively new exchange. The gestation period and the profitability cycle of any exchange is a long-run process. Having said that, IIBH has already broken -even and also delivered a small profit, so we hope that going forward, it will continue to grow from strength to strength.

Parikshit Gupta: Understood. And my final question is about cash on hand. Please correct me if I am wrong, I believe the cash on hand for investments is about INR1,500 -odd crores at this end of the quarter. Do we have any plans of deploying that capital in site right now?

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Chandresh Shah: So the amount what you are mentioning includes our current investments into subsidies also. See, the cash will be utilized in the business. We also have to maintain some cash for safety in case of any claims or any issues. There is also some bit of growth capital. We may have to invest in technology in near future. So, we are retaining that cash, but the Board is aware, and Board may take a call on how to utilize the surplus cash in future.

Moderator: The next question is from the line of Mohit Motwani from Tara Capital.

Mohit Motwani: My first question is on the premium ratio. I know that you have said there are a host of factors. But in the previous calls, you have also said that many participants are trading out of the money options, as a result of which it ultimately translates into a lower premium ratio. Now in the month of September and October, we have seen an uptick in the premium ratio, and it has coincided with the heightened volatility in crude. So just want to clarify if this increase in premium ratio can be directly attributed to the heightened volatility or there is some difference in the behaviour of participants as well?

Rishi Nathany: See, that is very difficult to quantify. The premium ratio is a function of various factors, as I already told to you. So, it's very difficult to dissect and give it to you.

Mohit Motwani: Sure, sure. Okay. And my second question is a book -keeping one. So can you let us know what are the revenues from options and futures? And how to think about the effective tax rate. Since it's been in 19% to 20% rate in the last 3 quarters, so how to think about it for the near and medium term?

Chandresh Shah: So see, revenue for futures was approximately 30% and options was approximately 70%. And effective tax rate will remain in the range of 21% to 22% to 23%.

Mohit Motwani: 21% to 23%, right?

Chandresh Shah: Yes.

Moderator: The next question is from the line of Chintan Sheth from Girik Capital.

Chintan Sheth: So my first question was on the new launches. You mentioned monthly Gold Option contracts will be launching on November 11th. Have I heard correctly or its Future contracts?

Rishi Nathany: No, no. So in Gold, we have bimonthly Futures and bimonthly Option contracts. The bimonthly Futures will continue as it is for now. We are now making the Options monthly from November onwards.

Chintan Sheth: Earlier doesn't it -- we were thinking about launching the Futures first and then the Options later, I think that was the plan earlier or am I incorrect on that part?

Rishi Nathany: No. So whatever the plan was that is being implemented.

Chintan Sheth: So we are looking for Option monthly only to start with and t

he Futures, we are not looking at it currently.

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Rishi Nathany: I didn't say we are not looking at it. I'm saying that we are implementing Options first and

thereafter, we could see that experience and then take a call.

Chintan Sheth: Sure. And secondly, on the Index Options, which we were planning, Index Futures and Options, which we were planning because that will be the precursor to the weekly expiry, which we can launch given that now the SEBI has regularized and limiting it to single Index Contracts. What are the management thoughts? And any indication where are we in terms of testing and filing to the SEBI regulators for the approval.

Rishi Nathany: So while I can't give you specifics, all we can say is that there are a host of products we are looking at studying, which are in various stages of testing or study or applying or the pipeline is there. And what I can say with certainty going forward, you would see a few product launches.

Chintan Sheth: And just on the revenue split, you mentioned 70-30, but if you can spell out the absolute -- this is on the stand-alone revenue, if you can spell out on...

Management: Standalone.

Chintan Sheth: Stand-alone. Okay, then I'll be -- and on the consolidated cost front, if I look at the software support cost, which declined from INR22 crores to INR21 crores around sequentially. Despite the revenue or -- energy basket continues to be performing well; I believe that revenue share to CME should have sequentially increased implying that the other software costs likely to get reduced during the quarter. If you can quantify how much of the revenue should we have -- was shared with the CME on the energy contract for the quarter?

Chandresh Shah: See, the revenue, what we are making payment to CME is shown as product license fees, that is item Number B in expenses. It is not part of IT expenses.

Chintan Sheth: Sure. So I'm talking about that only. I'm sorry, I'm talking about that only. The cost declined from INR22 to INR20 crores point something, INR20.5 crores...

Chandresh Shah: Yes. That is the IT cost, and what you are talking of CME in product license fees, that is the second line, which has increased from INR13 crores sequentially to INR17 crores.

Moderator: The next question is from the line of Shalini Gupta from East India Securities. As there is no response, the next question is from the line of Sanketh Godha from Avendus Spark.

Sanketh Godha: Sir, can you tell me how much is the float income in the current quarter and corresponding margin money what we have in the Exchange or Clearing Corporation? And also, just wanted to know your update on SEBI thing to share the float income with declines. Anything that you have heard on those lines? That's my first question.

Second question, sir, was the other income, which was up almost by 34 percentage sequentially, just wanted to understand what led to that increase? And also if you can quantify the nature of cash in hand, that is other investments, what led to that increase in the other income? Yes, those are my two questions, sir.

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Chandresh Shah: Yeah, Sanketh, so the treasury income was around INR20 crores for this quarter, and it has increased from INR18 crores to INR20 crores.

Sanketh Godha: When you say treasury income, it is float income, right? Margin...

Chandresh Shah: It is everything. It is float income, it is our own, surplus funds, everything.

Sanketh Godha: So it increased from INR18 crores previous quarter to INR20 crores in the current quarter...

Chandresh Shah: INR17 crores to INR20 crores. INR17 crores -point -something to INR20 crores.

Sanketh Godha: Okay.

Chandresh Shah: Yes. And the next question you said was on the cash?

Sanketh Godha: Yes. The cash on books, because

use the other operating -- other income, which I see it is INR25 crores, that is basically the interest income down on the cash what we have, right? So I just wanted to understand what led to that...

Chandresh Shah: It is largely that. So see the absolute amount of the surplus funds also increases. Margin money held with us also increases with the open interest. So the other income from that also increases.

Sanketh Godha: And lastly, if you can speak about -- see, we launched the steel. It did not take off much and we, in the past, had an agreement with the electricity derivative to be launched through -- from IEX as underlying. So any update on new products like electricity derivative because now the platform is up and running. It's been a year as someone asked. So just wanted to understand the new product launches.

Rishi Nathany: Yes, Sanketh, as I've repeated earlier is that we are working on the entire product basket, which we want to launch. And why we cannot give you any specific timeline or any specific product in right now, but all we can say is going forward, you will see certain launches since you have already spoken specifically about electricity futures. We have -- we're still waiting for the regulators to approve that. There is still that which we are waiting on. And as we go ahead, you will -- I'm sure you will see more launches, and I'm sure that will add to our product basket.

Praveen DG: So, Sanketh, I want to add one more thing. It is not like the new products are getting launched, and it will be add up to significant volumes, okay? Every product will have some amount of

gestation period, that means it will take time to really mature. So while every effort will be made to launch the new products, but we should also be judiciously launching it such that every product will get enough time to really mature. That is how we have to look at it.

Sanketh Godha: Fair point, sir. Got it. So sir, in that sense, you would say that steel will take its own time to evolve and become a vibrant product in our market?

Praveen DG: There will be multiple -- see, if we launch, there is -- it is not always feasible or practical that every product will be a successful product. It takes time to really mature. Second, we also will examine if at all any modifications are required in the contract, and we'll also go to the market

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and study what could be the possible reason that really has led to not significant interest in this particular contract.

So it is a continuous exercise. So it doesn't mean that immediately we can consider it as a failure, but -- so we will be -- definitely we'll be studying this product specifically. And again, if needed changes will be done to the product and also, accordingly, we'll again bring it forward the product for the trading.

Sanketh Godha: Got it, sir. And last one, do you see any revival in nickel, sir or you can say that globally, the product has become almost dead for the futures market?

Praveen DG: Yes, nickel is a very good product, in fact, but because of that earlier episodes, it had ... died.

But we are confident that, again, we will come out with that product. We'll try to revive that one.

But difficult to say what kind of changes right now we'll bring into this particular product. But we are -- it is very much within our radar to really see that how we can be able to improve the performance of this contract.

Moderator: The next question is from the line of Devesh Agarwal from IIFL Securities.

Devesh Agarwal: This is Devesh Agarwal from IIFL Securities. Congratulations on healthy set of numbers. Sir, my first question to you is basically very much our dependence is now on 4 products. That's 2 on the bullion and 2 on the energy side. Does this worry you? And historically, base metals have been a good contributor to our revenues as well

. But what are the challenges that you are facing

on the base metal side? And do you see a scope for the recovery of base metal volumes from here on?

Praveen DG: Yes. Historically, like if we take some years back, of course, the metal happened to contribute significantly to the volume. But we all know that we had to make these contracts, a delivery - based contracts and also still you know that there are some issues that are related to the GST, okay, with multiple delivery centres are there. So these are the factors that is really dragging this particular metal basket.

But it is not like it is not a significantly worrying factor because if you take any global exchange, yes, there are certain products, which really contribute significantly to the Exchange. But if you look at the MCX, you have a diversified basket because you have bullion, you have metals and energy. And also, we would be able to take some lead also in the index products. So that's why it's not immediately worrying, but of course we will make every effort to diversify that one. So one of our efforts have been witnessed in this monthly -- launch of this monthly gold 1 kg options also.

Devesh Agarwal: But sir, we've been hearing this that because of this increase in the size of the contract, base metals has seen a decline in the liquidity. Are there any dialogue with the regulator to kind of again cut down on the size of the contract? Is that a possibility or at this point in time, there are no discussions around that?

Praveen DG: You are talking about nickel?

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Devesh Agarwal: No, generally base metal contract, sir, including copper and others.

Praveen DG: So, mini already we have launched.

Rishi Nathany: No. So just to explain that it is not the size of the contract. What Praveen was trying to tell you is that earlier these contracts were cash settled and then they were moved to a deliverable contract. Moreover, from a single delivery centre, there have been multiple delivery centres, which leads to issues in GST. So that is why these contracts are facing the kind of headwinds they are.

Having said that, we are trying to work on whatever we can to make sure that these contracts also revive. And if you see from last fiscal to the current fiscal, base metal has also shown a decent improvement. And going forward, we hope that the base metal contracts will also do very

well.

Devesh Agarwal: Right, sir. And secondly, sir, you did mention about new client addition. Could you just share some profile in terms of are these people who are active on equity and have now started trading commodities. So that gives us a -- basically a size that on equity side, we have almost 50 lakh people trading equities and are we heading to that direction? Or some profiling of these new clients that you have added over the last 2 years?

Rishi Nathany: So we are a commodity exchange. We do not have an equity segment. So even if they are trading on equities on another exchange, we will not know whether they are trading on equities or not.

So as far as we are concerned, all the people who are trading in commodities are trading with us on commodities. Having said that, we have a very healthy mix, which has been consistently maintained of Futures to Options as well as all these people coming in and trading on the Exchange.

So anyways, whoever trades in the -- see, let me tell you that in equities or currency or whichever other segment, you will only find investors or traders, but commodities is very different that apart from these investors, traders, FPIs, etcetera, you will also find a lot of physical market participation. You will find actual hedge rs and people who are actually in the business. So I don't think those hedge rs will be trading in equities. Apart from that, the rest of the people who are trading, it is very difficult to say

whether they're trading in equities or not.

Devesh Agarwal: Okay, sir. And sir, in terms of new contracts, we had in the past talked about series contract. Any update that you can share around that, whether we are still pursuing that or at what stage is that product at?

Rishi Nathany: See, again, I will not be able to give a specific timeline on that. We are in the testing phase. And once we have done it, we will definitely come back to you.

Devesh Agarwal: Sure, sir. And sir, last one from my side. The date that you said for the launch of this monthly gold expiry, is it 21st or 11th?

Rishi Nathany: 11th November.

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Devesh Agarwal: Thank you so much and all the very best.

Moderator: The next question is from the line of Heenal Gadda from UBS Securities.

Heenal Gadda : Sir, just a couple of questions. First, which gold future contract would be the most active on the platform that is seeing high volume traction? And secondly, could you help us with any expected timeline for the new CEO joining?

Rishi Nathany: So the gold contract, which is most active is the 1 kg contract, and that is where we see maximum traction both in futures and options. Regarding the new CEO, I'm sure that we will inform the market with a specific date.

Heenal Gadda: Sure, sir. Sir, in terms of the new product launches, would it be possible for you to share what is in our pipeline from which we've already applied to SEBI for approval?

Rishi Nathany: So, ma'am, as I said earlier, there are a lot of products at various stages with us with our IT teams for testing or with regulatory approval or whatever, where we are in various stages of seeking regulatory approval. Now it would be very difficult to quantify that. Having said that, what we can definitely say is that going forward, you will see a better pipeline of product launches.

Heenal Gadda: Thank you so much.

Moderator: The next question is from the line of Subramanian Iyer from Morgan Stanley.

Subramanian Iyer: I had a question on the composition of volumes. So, when I look at SEBI data, what it shows is that there are two big parts in your composition of volumes. One is proprietary traders and then there is others. Basically, the farmers, foreign participants, hedgers, domestic financial institutions, all are very low as per SEBI data, what is the major components of others which is almost 50%, I mean how much of it is retail and what are the other nature of participants?

Rishi Nathany: So we'd just like to clarify that we have a very healthy ratio of client to prop, whereas in this quarter, if you see, 52% in futures and 43% in options have been clients, and the rest only is prop. So, it is quite evenly balanced. Within the client space, the ratio between who is a hedger, who is not, that is something we cannot provide.

Praveen DG: Iyer, just to add to what Mr. Rishi has said. As you aware, see, they will not be the contributors.

If you see in the market, hedgers will not be the contributors, principal contributor to the volume.

In fact, they will be adding to the open interest because their interest is more into the hedging, not into the trading, okay?

So, if you look at even the open interest, that is what I think we've been publishing to the market also that what hedges as a percentage to the open interest. And of course, again, it is dependent upon our disclosures made by particular people whether he is a value chain participant or something. But the true intent of the market participant never we'll know.

Subramanian Iyer: And what proportion of volume is actually contributed by retail?

Praveen DG: So, we don't have that number. But if you look at the client participation, I think that anyway those details are given in the part of our presentation

Rishi Nathany: If you see the Page 8 of our presentation, it shows you what is the percentage of client trading.

Subramanian Iyer: Sure, thank you.

Moderator: The next question is from the line of Arpit Shah from Stallion Asset.

Arpit Shah: Thank you for disclosing the premium numbers, thank you for that. The exchange on the data front, which we had requested earlier on. My question was pertaining, if you can quantify the AMC charges, which is going to be charged from Q3 FY25 to TCS. So what will be that charges?

Chandresh Shah: So see, we cannot share that number, but if you track the IT costs, you will get some idea about that. Contractually, we are not allowed to share that number.

Arpit Shah: So then there would be a bump up in the information technology costs?

Praveen DG: Yes.

Arpit Shah: And some proportion would be added to depreciation, or everything would be based on that?

Chandresh Shah: It will be in IT cost only.

Arpit Shah : And the IT depreciation as it was announced earlier, from the previous calls, it was around INR60 crores for TCS, would that number include AMC or that is a separate number, INR60 crores plus AMC or INR60 crores includes AMC numbers only?

Chandresh Shah: See, we have never given any future guidance on any of the numbers.

Arpit Shah: No, I remember earlier call, we had disclosed about INR60 crores that is the number, which is going to be technology cost. So does that number include the AMC number or that would have been separate on that?

Manoj Jain: Arpit, we may not have given that in this context, maybe you are probably linking it to some other number, which would have been given. But as Chandresh just now mentioned, we are not disclosing the private contract details. Even that INR60 crores is in wh ich context, not sure, please.

Arpit Shah: I think INR60 crores was in the context that was a number that was probably the cost that we were paying to 63 Moons on those specific volumes. Since now the volumes are increased, we would see operating leverage on that cost line. That INR60 crores was in that context. I think in one of the Q4 or Q3 calls you were speaking about that number.

Chandresh Shah: See, that arrangement with 63 Moons was different. It was a little bit of a variable kind of thing. But the arrangement with TCS is very different. So the numbers you will have to wait and see for the coming quarters.

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Arpit Shah: Got it. But would there be very significant number or would it be a very, say, low single digit...

Chandresh Shah: I can't comment right now. You'll have to wait and see the results for third quarter.

Moderator: The next question is from the line of Sanketh Godha from Avendus Spark. Please go ahead.

Sanketh Godha: Sir, we saw the crude volumes to pick up in the Options market because the margins were meaningfully very high in the Futures market for crude and natural gas. But in gold, it is meaningfully still low, so just wanted to understand that despite -- I understand that you launched a monthly contract, which should increas e the vibrancy of the product. But given the margin requirement is still very low in Futures for gold, do you think it will trickle down as greatly as it happened in crude or natural gas for gold in your internal assessment?

Rishi Nathany: So very simply, we are bringing products to market. We are trying to provide that bouquet of products which the market wants. Now whether the market trades in Futures or they prefer to trade in Options is a choice of market participants. Our job is to prov ide that platform and a wider variety of choices.

Sanketh Godha: Got it, sir. And lastly, your margin in the crude still remains at 33 percentage, right? It has not changed. Initial margin, I mean to say.

Praveen DG: Yes, it is around that level only. Yes.

Moderator: The last question i

s from the line of Chintan Sheth from Girik Capital.

Chintan Sheth: The question I had was on the participation side. In the presentation itself, we are seeing client trading percentage in the Options has been on a decline. So this quarter it's around 43% versus a few quarters back, it used to be about 50% on the Option si de. Anything to read into it, whether it is given by involvement of FPIs coming in? That is also helping or reducing the client's trading

percentage? Anything you want to point out?

Rishi Nathany: No, there is nothing specific to point out. We still have a very healthy ratio. So in the Q2 of FY '23-'24, it was around 47%, now it's 43.5%. Having said that, overall volumes are growing and the overall client percentage, while the percentage has gone down, but the overall volume of clients has also gone up. So as long as that continues to grow in every segment and every participant segment continues to grow, I don't think there is anything much to read in it.

Praveen DG: Yes. So just to add to what Rishi has said, in a growing market, I think you should be really worried about the percentages. In fact, overall market, you can see that growth is happening.

And of course, there is no significant change that is happening in terms of trading client percentage.

Rishi Nathany: And also that the overall number of clients is going up. So that is also something that...

Chintan Sheth: That is increasing the customer -- number of customers are also growing, but the percentage is declined that was observation I was coming to. It should ideally -- with the increasing participation...

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Praveen DG: Growing volume. So I'm saying it is growing volume, right? And growing volume, I cannot say that all the things will move There will be here and there...

Rishi Nathany: Yes. Percentages could change over quarters from one segment to another and back, right?

Chintan Sheth: I agree. Okay. Got it. And on the cash side, if you can just point out that the total cash, we are currently -- cash and investments, free investments, which we are holding. And you mentioned the Board is aware about it. But anything in terms of where are we in terms of what will be the utilization of the same? What should one expect, say, over the course of the year?

Chandresh Shah: See cash utilization, I already had responded earlier that the Board will take a call, what is to be used for. But the cash is retained for business growth, investments in infrastructure, IT systems and development of new software, also for maintaining some capital to unforeseen circumstances and buffer.

Chintan Sheth: How much we are planning to do the capex on the infra side this year? And what is the current cash balance...

Chandresh Shah: There's not been a significant increase in capex, but in near future, there could be some further investments.

Chintan Sheth: Okay. And how much cash we are currently -- cash and investments we have on the balance sheet base?

Chandresh Shah: Around INR1,000 crores.

Chintan Sheth: INR1,000 crores. Including investments, it will be around more than that, right? Those are the liquid investments...

Chandresh Shah: No, I'm talking about the surplus cash, not the investment in associates and subsidiaries.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. We have reached the end of our Q&A session. I would now like to hand the conference over to Mr. Manoj Jain for closing comments.

Manoj Jain: Thank you, Del, Once again, our heartfelt gratitude to all our stakeholders, regulators, participants and our analysts for your continued attention, feedback and encouragement. We continue to grow and add value together. Thank you. Thank you very much.

Moderator: Thanks on behalf of Multi Commodity Exchange of India Limited, that concludes this conference

. Thanks for joining us. You may now disconnect your lines .

Call: Jan 2025

MULTI COMMODITY EXCHANGE OF INDIA LTD.

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MCX/SEC/2473 January 27, 2025

BSE Limited

Department of Corporate Services

PJ Towers, Dalal Street,

Mumbai - 400 001.

Ref: Scrip code: 534091 Scrip ID: MCX

Subject: Transcript of the "Earnings Conference Call" with investor(s)/analyst(s) on Q3 FY-2025 results.

Dear Sir,

Please find enclosed herewith transcript of the "Earnings Conference Call" with investor(s)/analyst(s) held on Tuesday, January 21, 2025 at 16.00 p.m. (IST) on Q3 FY-2025 results.

The said transcript is also uploaded on the website of the Company at <https://www.mcxindia.com/investor-relations/ir-meetings>

Further, we hereby confirm that no unpublished price sensitive information was shared/discussed during the said earnings call.

Kindly take the same on record and acknowledge receipt.

Thanking you,

Yours faithfully,

For Multi Commodity Exchange of India Limited

Manisha Thakur

Company Secretary

Encl.: As above

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"Multi Commodity Exchange of India Limited

Q3 FY25 Earnings Conference Call"

January 21, 2025

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Multi Commodity Exchange of India Limited

Q3 FY25 Earnings Conference Call

January 21, 2025

Public

MANAGEMENT : MS. PRAVEENA RAI – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER
MR. MANOJ JAIN – CHIEF OPERATING OFFICER
MR. CHANDRESH SHAH – CHIEF FINANCIAL OFFICER
MR. RISHI NATHANY – CHIEF BUSINESS OFFICER
MR. PRAVEEN DG – CHIEF RISK OFFICER

Multi Commodity Exchange of India Limited
Q3 FY25 Earnings Conference Call
January 21, 2025

Public

Moderator: Ladies and gentlemen, good day and welcome to the Multi-Commodity Exchange of India Limited Q3 FY25 Earnings Conference Call. Joining us on the call are Ms. Praveena Rai, Managing Director and Chief Executive Officer, Mr. Manoj Jain, Chief Operating Officer, Mr. Chandresh Shah, Chief Financial Officer, Mr. Rishi Nathany, Chief Business Officer, and Mr. Praveen DG, Chief Risk Officer. As a reminder, all participant lines will remain in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes.

Should you need assistance during the conference call, please signal the operator by pressing star then zero on your touch-tone telephone. Please note that this conference is being recorded. I now hand the conference over to Ms. Praveena Rai, MD and CEO. Please go ahead.

Praveena Rai: Good evening, everybody. Welcome to the call. Wonderful to be talking to all of you.

MCX has had another really good quarter. We've just released our results yesterday evening. As you would have seen, we've closed our Q3 consolidated income from operations at INR301 crores. That's 57% growth over the same time last year. For this quarter, the PAT has increased to INR160 crores. Same time last year, we were under the water by INR5.35 crores and last quarter was at INR153 crores.

On the trading front, the numbers have been very healthy. For nine months ending the quarter, our average daily turnover, the ADT of futures and options together, reached INR2,09,000 crores, and I'm giving approximate numbers here. This is 106% year over year. Now, this comprised both options and futures. Options saw an ADT of INR1,82,000 crores with 124% growth, while futures was at INR27,000 crores with a growth of 33%. So, both showing a very healthy trend there, together giving us good business growth and momentum. This really came from an equally healthy growth in traded clients. The growth of 49% hitting for the first time, 11 lakhs during the nine-month period.

MCX also surpassed the last milestone of the all-time daily turnover and touched INR5 lakh crores on the 13th of January 2025. This also had the crude oil options clocking their highest turnover on the same day at INR4.1 lakh crores. Behind all of this has been a healthy growth across our products and including the new products that have been launched in the last few months.

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Noteworthy would be to speak about the growth in Gold options, the 1kg option monthly contract. Here, the numbers, cumulative, from year over year, the growth has also been very positive. The Cottonseed wash oil was launched, so was the Crude oil and NG mini in the last few months.

Further, as far as the Base Metals future contracts goes, the tender period has been reduced from 5 days to 3 days. All of this will lead to further simplification in the way the contracts can be managed. The modified Gold option has had a really enthusiastic response, and ADT has grown to more than INR43,500 crores in the month of December 2024. And this is against INR33,000 crores over the previous quarter. As we move forward, MCX will be continuing to look at launching new commodity derivative contracts, as well as looking at innovations in our existing products and processes, mapping and studying the evolving needs of the industry. The Exchange will look to address the needs of all sections of the commodity economy of India and continue to be the platform for robust price discovery and efficient risk management. MCX also observed the World Investor Week. This was between the 14th and 20th of October 2024, organized by SEBI and the International Organization of Securities Commissions. This had over 150 a

wareness programs and several other activities that were related to commodities.

MCX is also proud to have won the Digital Transformation and Resilience Award at the Red Hat APAC Innovation Awards 2024. And we also were named the Leading Commodity Exchange by CPAI at their 10th International Convention. The Exchange will also have a live trading session on the 1st of February 2025 from 9 a.m. to 5 p.m. and this should facilitate market participants to take or calibrate their positions associated with any announcement that would be made in the union budget.

I have joined MCX as MD and CEO and I'm looking forward to working on all these opportunities for the growth of MCX, as well as the commodities derivatives market of India. So, I look forward to your continued support and to deliver and drive the potential of MCX in the days and months to come. So, thank you very much, the leadership team of MCX and I are available for any questions and answers following the session.

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Public Moderator: Ladies and gentlemen, we will now begin the question-and-answer session. The first question comes from the line of Amit Chandra from HDFC Securities. Please go ahead.

Amit Chandra: Yes, thanks for the opportunity. Yes, so my first question is to Praveena ma'am. So, ma'am, it's been three months you have joined as the MD and CEO of MCX. So, what has been the top three priorities in terms of the changes required in the Exchange and what are the areas you want to focus to scale the Exchange volumes and also to improve participation?

And secondly, as you all know that the technology transition is behind us and the focus has shifted to innovation of products and launching new products. So, you have explained where we have been in the journey, but we are very curious to know about where we are in terms of timelines, in terms of launching of the weekly options and the index weekly options contract?

And what are the technological challenges and the regulatory challenges we might encounter in this journey, because from here on to take MCX to the next level, we need some innovative products and as we see in other exchanges, index and weekly are the ones which are the most traded contracts. So, we are curious to know about your plans on this. Thank you.

Praveena Rai: Thank you, Amit. Thanks for the question. So, when I look at the top three priorities, observing and evaluating the priorities for MCX, the first is operational excellence.

And when we say operational excellence, it's really our ability to interact with our members as well as clients in a way that makes trading at the exchange, at the level of performance and best in class that it needs to be.

It continues to involve and engage a high degree of focus on our technology. So operational excellence, including our continuous development going forward on

technology will be a priority. The second is to really keep our hat on the compliance side very strong as a market infrastructure, that's the expectation from the regulator. And it will be a high focus area for MCX. And on the back of these two really gives us the ability and confidence to start the innovation. And there we will be looking at new products. And I spoke about that a little bit in the session. Looking at new products, looking at new contracts to our -- structures to our contracts, commodities that we currently do not have live contracts in. So, all of these are areas that we will be continuing to explore.

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Now in terms of regulatory and other challenges, I think we do believe that on the back of a strong focus on one and two, operational excellence and compliance, that we will be able to work through this and really drive this journey on our

innovation.

Amit Chandra: Okay. And in terms of launches, any timelines that you want to, like you have in mind, because in the earlier calls, like we were of the view that within a year of the transition of the platform, maybe we are ready in terms of technology for the new products. And as we see that there is a huge concentration of Crude products on the option side, which is Crude and Natural Gas, which are mostly cash-settled contracts. So, we need more cash-settled contracts to diversify and also index and weekly are the ones which will be mostly cash-settled and that can scale the volumes to the next level. And also, in terms of what we're doing to improve the participation institutional and to increase the depth in the options side.

Praveena Rai: So, in terms of where we stand on our internal readiness with respect to new products, we do not have constraints. We are that way ready with our infrastructure. Now, as you rightly said, in addition to what we would look at from the deliverable contracts, would be other contracts around indices, for example. So, we are looking to revive METLDEX, which is our index that has not really had the kind of focus that it can have. So, we believe there is opportunity there. We will also be looking to bring in options on the BULLDEX. So, I think this is really the plan on the index side. And as far as timeline goes, I think you will see all of this in the next few months.

Amit Chandra: Okay, ma'am. Thank you and all the best.

Praveena Rai: Thank you.

Moderator: Thank you. The next question comes from the line of Devesh Agarwal from IIFL Securities. Please go ahead.

Devesh Agarwal: Good afternoon, everyone, and thank you for the opportunity. Many congratulations to the entire team for another good quarter. Ma'am, just first thing, continuing with what Amit was asking, in terms of new products, is there an update on the series contract that we were kind of designing. And can you put a timeline around that, the new series contracts?

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Praveena Rai: Yes. Hi, Devesh. Good to speak with you. So yes, we are continuing to explore all options in terms of growth, in terms of the requirement of the industry. At this stage, we really can't comment on a timeline, but this is something that we continue to explore.

Devesh Agarwal: All right. And ma'am, if you see on the equity platforms, co-location is a big opportunity which has been kind of driving volumes on the equity platforms. Now, do you see a similar potential of co-lo's can play in the commodities as well? Is there any thought process or aspiration out here?

Praveena Rai: Yes, I think that's a very good question. And, as you know that this is not currently under regulatory approved approach as far as co-lo is concerned for commodity derivatives. So, it is something that we will continue to explore.

Devesh Agarwal: Right, ma'am. Sure. And just one on the quarterly results, what I see that the technology cost on a sequential basis has seen a decline despite TCS AMC starting from this

quarter onwards. So, I just wanted to have clarity on two things. What has been the payout to TCS in terms of AMC for this quarter and secondly, despite this, what has led to this QoQ decline and whether that is a sustainable number going forward?

Praveena Rai: I'll request Chandresh, our CFO, to take this.

Chandresh Shah: Hi, Devesh. So, Devesh, the provision for TCS AMC is there in this number. However, due to the contractual terms, we cannot disclose that number. And the slight reduction in cost is due to some efforts which we have taken to reduce some of the premium services which we were availing. So, whether it will be sustainable, we are trying to keep it sustainable, but we'll have to wait and see if there is a requirement to incur that cost, we may have to incur it in the coming

months.

Devesh Agarwal: Sir, would we be able to quantify what was the savings in this premium services cost? Quarter on quarter?

Chandresh Shah: Devesh, it's a very intermingled thing. Multiple services are there. So, to give a number would be difficult.

Praveena Rai: But we do expect that cost to be stable, Devesh.

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Devesh Agarwal: Understood Mam. Thank you. Thank you so much.

Moderator: Thank you. The next question comes from the line of Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain: Yes. Hi. Congratulations, team. And ma'am I'm just extending that question on the series contracts as to where we are with respect to that product, whether we have tested it completely and our readiness is there. And when can we file it with the regulator?

So, any clarity there, because I think that is something which the markets have been anticipating for quite some time, the Crude series contracts. So, anything where, at what stage we are with respect to that product will be very helpful for us?

Praveena Rai: Hi, Prayesh! Nice to connect with you. So, Prayesh, when it comes to the series contract, as you call it, as I mentioned, our internal readiness on whatever products we want to launch is there. So, there will be a small delta of work, but that's more of a procedural item. So, from a readiness standpoint, there is no major bottleneck.

However, this is something that we are continuing to explore, continuing to work on. And we can, update at the right time, as and when something comes up.

Prayesh Jain: Got that. Ma'am, secondly, on the Base Metal contracts, rightly that you mentioned that you would want to revive the METALDEX and then bring in the index options on both BULLDEX as well as METALDEX. But, you know, as Base Metals volumes have not kind of picked up the way we would have liked it to be. So, what were the reasons for that and what could be the further driving factors for this, that you could revive these volumes?

Praveena Rai: So, we have had, reasonably good performance in Base Metals, especially when you look at contracts around Copper, and so on. And we believe that some actions might drive this further. So, we are exploring rationalization around warehouses and certain actions that could help us to simplify the actual execution of the contract along with the deliverables, which will then, be a little bit of a fillip to that business. But we do strongly believe in both the BULLDEX and the METALDEX as opportunities.

Prayesh Jain: Ma'am, just a couple of more questions. One will be on the regulations, right, you know, if you look at...

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Public Praveena Rai: I know, and there's a risk that when we look at our Base Metal numbers from last year, our numbers have practically doubled. So, the growth is there. And of course, we will continue to focus on really driving the absolute volumes as well.

Prayesh Jain: Perfect. Just on this, the regulations, the interoperability of margins, which is not there between, say, Stock Exchanges and Commodity Exchanges. Any thoughts that the regulator might consider this and can provide some fillip? And my last question would

be on the SGF as to how do you see the Settlement Guarantee Fund from here on, the contribution that we will have to make?

Praveena Rai: The regulatory guideline on inter-opt is really only for Equity Exchanges. So, it does not, include Commodity Derivatives at this stage. It's very difficult to comment on that and we are not a part of what works. And your second question was on SGF. Now, the requirement for SGF is not as intense by way of contribution. However, we will need to continue to review this based on need, and if we, and given the growth that we are seeing

g and to support the growth on open interest, if we need to strengthen the corpus, then we will do so.

Prayesh Jain: Ma'am, this clarification, is it the way or one of the, like, for example, NSE was given a target to reach a certain number for the derivative segment. Is this something that comes as a direction from the regulator and then we contribute? And whether is there any such thing that, you would voluntarily contribute or some ratio that we can link to the top line that will continue to go into SGF?

Praveena Rai: Those don't apply to the Commodity derivatives exchange. I think it's a very different space and operates on different rules as you will be aware.

Prayesh Jain: Got that, ma'am. Thank you so much and I wish you all the best.

Praveena Rai: Thank you. Thank you, Prayesh.

Moderator: Thank you. The next question comes from the line of Arpit Kapadia from IGE family.

Please go ahead.

Arpit Kapadia: All my question has been answered. Thank you for the opportunity.

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Moderator: Thank you. The next question comes from the line of Shalini Gupta from East India Securities. Please go ahead.

Shalini Gupta: Could you please say what was the transaction fees during the quarter and if possible, if you could break it up into options and futures?

Chandresh Shah: So, transaction charges for the quarter were around INR300 crores and 72% of that is contributed by options and 28% is by futures.

Shalini Gupta: And, Sir, if you could please give the corresponding figure in the second quarter, second quarter of this year, Q2 FY – financial year '25?

Chandresh Shah: Q2 FY '25?

Shalini Gupta: Yes.

Chandresh Shah: So, the previous quarter, transaction charges were INR245 crores, 70% was contributed by options and 30% by futures. And just one correction, this in Q3, the transaction charges is INR265 crores.

Shalini Gupta: INR265 crores. Okay. Yes. Okay. Yes, sir. Otherwise, my questions were on the new product launches which have been asked amply. So, thank you so much.

Moderator: Thank you. The next question comes from the line of Kunal from Fair Value Capital. Please go ahead.

Kunal: Okay. My first question was, I wanted to ask about if you had any updates on Electricity derivatives and your collaboration with IEX on these?

Praveena Rai: Hi, Kunal. So, Kunal, it's a very good question. So, when we look at our new products, Electricity is one that is top of the radar for us, and we continue to work on it and explore that option. We believe it's a good opportunity. Also, given the maturity of the spot exchange as you rightly mentioned. So, this is something that's on the radar.

Kunal: Any timeline that we can expect, or will you take it up?

Praveena Rai: We are not in a position to share timelines.

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Kunal: Okay. Understood. And also, in your PPT, you mentioned that another initiative is Coal exchange. If you can explain that more?

Praveena Rai: Coal exchange, it's something that we have been working on. A lot depends on how the coal spot and so on plays out and a lot will depend on governmental actions. So, maybe it's not a very high priority or it's not an expected item in the short term, but it's something that we are keeping our eyes on and being ready for it.

Kunal: But is it the same thing that the Ministry of Coal was also referring to, when they were referring to setting up a Coal exchange or will it be a different thing?

Praveena Rai: It's the same thing.

Kunal: Okay. And the third question was about Natural Gas. We have a large competitor in this product, IGX. My question was how does one exchange take away volume from another exchange? What sort of things have to go right for that to happen and what do you need to p

rotect against?

Praveena Rai: Kunal, not to comment really on IGX business model or their numbers, but as far as we are aware, IGX is a spot exchange for gas and our focus is only on derivatives, trading of derivatives. So, we are in a completely different space, and we don't see....

Kunal: Thank you. Thank you for answering my questions. Have a good day.

Moderator: Thank you. The next question comes from the line of Akshay Patel from CD Integrated Services. Please go ahead.

Akshay Patel: So, ma'am, my first question is that we have grown very significantly in the first 3 quarters of FY2025. So, my question was on the front of the revenue growth, sustainability of the revenue growth. So, how sustainable is the revenue growth of the MCX and can we expect the same growth rate to continue in the next year and years to come?

Praveena Rai: So, I think the growth of the last few months, has been steady and it has been consistent, and we don't see a reason for the growth to not continue. So, I think the numbers reflect the point that, you know, you're making and that's really our own view to the situation as well.

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Akshay Patel: Okay, so, we can expect the same growth rate in FY26 as well. And, ma'am, my second question is regarding the extension plan on the trading volume of the MCX. So, how can we extend our plan in terms of trading volume and increase the market participants and overall revenue for the Exchange?

Praveena Rai: Thanks for that, Akshay. That's a wonderful question. I think we've spoken about the kind of products we are working on and the fact that we are going to continue to explore the kind of contracts we need as well as, new commodity areas that we'd like to enter. But we are also at the same time looking to increase our participation and we did talk about, you know, the full year number of clients who traded, this at about 9 lakhs and we see that number as a focus to increase. And we're also looking at bringing in participants of both FPIs as well as hedgers and commercial participants. So, growing the breadth of participation in the Exchange will also drive this growth. So, both on products as well as participation.

The third angle of course, and I spoke about it earlier, is really the MCX good delivery which we have both on Bullion as well as, on some of our Metals, on Lead and which we plan to expand further. So, that's another third element which really gives Indian refiners an opportunity to participate in the Exchange and we believe that's also an important axis of growth. So, all of these together will really contribute to that growth that you're looking at.

Akshay Patel: Okay, ma'am. And one follow-up question on that would be that our 65% of the revenue comes from just Silver and Gold contracts. So, do we foresee any challenges or risks regarding that two products, the whole 65% of our revenue?

Praveena Rai: I don't think 65% of our revenue is coming from Bullion. But as I said, we will be looking at expanding our range of products and that will certainly lead to a situation where we will have more products coming in with growth numbers in place.

Chandresh, you want to talk about the current concentration?

Chandresh Shah: So, 65% is Bullion contribution only in the futures, whereas in the options, the Natural Gas and Energy products are having higher contribution.

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Akshay Patel: Okay. And ma'am one last question, do we have any planning to come into the high-frequency trading or algo trading or something like that?

Praveena Rai: So, Akshay, that's a permitted category and we do have participants who have algo trading with MCX, even as we speak.

Akshay Patel: Okay, ma'am. Thank you so much.

Moderator: Th

ank you. The next question comes from the line of Ajox Frederick from Sundaram Mutual. Please go ahead.

Ajox Frederick: Thanks for the opportunity. My question is on the new client addition. You mentioned in your opening remarks about INR11 lakhs traded clients, which used to be INR9 lakhs. So, what has driven that increase in growth during the year?

Praveena Rai: So, hi Ajox. So, increasing the traded client participation is an important objective for the Exchange. And we have had a number of initiatives, including awareness sessions, working closely with our members to increase the client trading participation and so on. So, that has led to the increase in numbers that you're seeing here. And it's something we track every month, and we see a month-on-month growth in these numbers.

Ajox Frederick: Okay, okay. And going forward also, you feel this traction will continue, right? That's what you're saying. Your steps are indicating that.

Praveena Rai: The interest in commodity derivatives trading, you know, will continue to grow. We continue to stay focused on these initiatives, around creating awareness. So are our members. And I think we should see the results according to that.

Ajox Frederick: Very good, ma'am. Thanks a lot. And all the best.

Praveena Rai: Thanks, Ajox.

Moderator: Thank you. The next question comes from the line of Chintan Sheth from Girik Capital. Please go ahead.

Chintan Sheth: Thank you and congratulations, ma'am, for the role. One question I had on the FPI participation. You mentioned that we are working towards, increasing participation Multi Commodity Exchange of India Limited

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Public from both, every strata of the trading community. If you can throw some light on how has been the FPI participation overall transaction in the quarter and how do you see this improving going forward?

Praveena Rai: Yes, I'm just going to request Rishi, our Chief Business Officer, to take this.

Rishi Nathany: Hi, Chintan. So, we are seeing the heightened interest from FPIs in our products. As of now, they're only allowed to trade in cash-settled contracts of Crude oil and Natural Gas. We have around 140 FPIs on the platform and many are participating very actively. And it's heartening to know that they are actually building a lot of OI on the Exchange. So, for example, in Crude oil, you know, we have around 17% OI on the long side and 32% on the short side from FPIs.

So that is something very healthy and also in terms of Natural Gas, it's 17% on both sides. So overall, we've seen that the participation is overall growing month-on-month. And we see this as a very strong segment going forward with more and more FPIs coming on board.

Chintan Sheth: If you look at the Crude contract for the last couple of months, starting from September, it has started to, you know, soften a little bit month-on-month. Any reason, which participations are kind of leading to lower volumes or lower transaction in the Crude contract?

Rishi Nathany: It's not like that. If you look at historically, the quarter three is always a soft quarter for, especially for international reference contracts, given all the festivals, season, etcetera. in both in India and Globally. Having said that, this quarter has been better than the last quarter. So more or less, it has always been that trend that Q3 has been softer than Q2 every year.

Chintan Sheth: Okay. And if you look at SGF contribution, we are now, earlier it was an ad hoc contribution policy, which now we have revised it to, every quarter we will be charging or provisioning the SGF contribution every quarter. Do we see the need for any tweaking in the rates or tweaking in the fees, transaction fees, given the regulatory

burden seems to be heightening in the derivative side, both on equity and commodities?

Praveena Rai: So, at this stage, you know, I think our contribution is bein

g well-managed and under

control. And I think we addressed it earlier that we may need to review this, we will continue to review it. And if we need to contribute to further to support the kind of open interest growth that we see, then we will take action accordingly.

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Chintan Sheth: Sure. And ma'am, just a bookkeeping question on how much cash we hold under the books as on date? And any thought process on how to utilize the same?

Chandresh Shah: So as on date, as on 31st December, we have around INR1100 crores surplus cash. And the utilization will depend on the plans, business plans, and how we want to invest in technology, new products.

Chintan Sheth: Okay. Sure. Thank you. That's all from me.

Moderator: Thank you. The next question comes from the line of Parikshit Kabra from Pkeday. Please go ahead.

Parikshit Kabra: Hi, thank you for the opportunity. So, I'm actually struggling a little bit in terms, as an investor, to figuring out, you know, how to underwrite the growth of the company.

Because yes, on the one hand, you're uniquely positioned to tap into this growing market. But on the other hand, in terms of any form of operational guidance in terms of how we are adding more clients, what our target for the clients that we'll be adding over the year or the instruments, we're left a little bit in the dark. So, number one request is, can we start at least showing the number of active clients on a quarter-on-quarter basis in our presentation so that we can at least start tracking that number?

Praveen DG: It is already, if you can look at our presentation, we are already giving the active clients, both in futures and options separately. And also, we are giving it at the consolidated level. We are giving quarterly as well as we are giving it on a yearly basis.

Parikshit Kabra: Okay. I apologize then. I seem to have missed it. I thought I had gone through it in detail, but fair enough. And secondly, in terms of actually adding clients, you mentioned briefly just now that you're doing awareness campaigns. But is it possible to understand this more? Like, what were we doing before? What are we doing now? Are we adding new avenues to increase awareness? Are we adding new features, not just products, but new features that enable certain type of clients to increase their trading volumes, so on and so forth?

Praveena Rai: So, I think over the months we have added the kind of products and contracts that are more amenable to a wider range of clients. So, I think, in fact, last year or earlier this

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year, we have launched the mini, the Crude oil and the NG mini. We also have our one-gram gold leaf. We have the Gold guinea at eight grams. So, there are products which are specifically suited to this purpose, and this is something we will continue to explore.

Praveen DG: Just to add to it, in fact, we have recently come out with even the monthly contracts, like gold, so, we are looking for both product variants and also, we are looking for like another initiative that we have taken in the recent past is the branding, empanelment of brands. So, we are looking at how we can be able to add the value chains to the market. That is one side of it.

And also, we are looking at doing, like looking for opportunities in experimenting on the variants part, like minis. We have come out with monthly contracts and also looking for the new products. So, there are various series of actions that have been taken up. One is product enrichment and also looking for the new products and also looking for new avenues.

Parikshit Kabra: All right. Thank you.

Moderator: Thank you. The next question comes from the line of Deepak Ajmera from ITE India Family Office. Pl

ease go ahead.

Deepak Ajmera: Yes, thanks for the opportunity. My question is also on the similar line. We are saying that we will be launching lots of new products and we will increase FPI participation, etcetera, but as there is no clear timeline given by the management, but can you highlight what progress already we have made in that part whether it is weekly, option expiry, etcetera means what progress we have made and what is holding launching the same etcetera that will help us in understanding it more?

Praveena Rai: So, we are not in a position to comment on any timelines at this stage. I think we did call out that, we are operationally, have a certain level of readiness that will allow us to move fairly fast. Now a lot of these will be under regulatory purview. And we continue to explore various options that we will need to look to market based on the industry's requirement and at the right time, we'll be able to communicate this back.

Deepak Ajmera: Yes, similarly for Electricity derivative, etcetera. Yes, we agree you will be launching maybe later or sooner, but to understand it more what is holding these things and what progress we have made from the last two, three calls which we have attended?

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Praveena Rai: My comments are the same, Deepak, from what I mentioned earlier. Nothing more specific to add for electricity and I think we discussed earlier on that it is high on our agenda. And we believe it's a very significant opportunity. So, we will be working in a very focused manner on that.

Deepak Ajmera: Okay. Thank you, ma'am.

Moderator: Thank you. The next question comes from the line of Ashish Parikh from MK Investment Manager. Please go ahead.

Ashish Parikh: Hi, thank you. I just wanted to have a brief understanding as to how margins differ from say cash settlement versus physical settlement. And just a follow-up in terms of margins which will be the most profitable, say Gold or Bullion or something like that?

Rishi Nathany: Hi, Ashish. So, margin doesn't differ per se from cash settlement or delivery settlement. It's only in the delivery period that you can face higher margins. That is because the chances of being marked for delivery are there. Having said that, each contract has different margins depending on their volatility and, as you know we all have that span margining system. So, this is that. Or if you see heightened volatility, there can be additional margins over and above.

Ashish Parikh: I'm sorry, margins I mean the revenue side for the company. So, in terms of physical settlement which would be the most profitable for a company?

Praveena Rai: Misunderstood the question.

Rishi Nathany: We are sorry, we misunderstood your question. So naturally, Chandresh, if you want to answer.

Chandresh Shah: See margins I think since we have a common system, it is not so easy to compute margins product-wise, but the contribution from maybe Energy and Bullion would be the highest.

Ashish Parikh: Okay. Yes. Thank you.

Moderator: Thank you. The next question comes from the line of Nandini Agarwal from Glove Capital Markets. Please go ahead.

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Nandini Agarwal: Hello, everyone. Thank you, Ma'am... I wanted to ask that, we have talked a lot about increasing the participation in the Exchange, but on the lines of retail participation, I wanted to know your view on that. Since we have seen a tremendously increased interest by people in the age group of 20 to 30 and plus, 35 plus, for F&O trading in the equity markets. What is your take apart from awareness sessions and, of course, the products that you have launched to increase participation in the retail segment?

Praveena Rai: So, the 11-lakh number that we ar

e talking about when it comes to unique traded clients really reflects that growing interest from the retail segment. About 25% of our volumes, 24% of really, our turnover, is also coming from mobile trading which can reflect the

retail segment as well. Now, obviously, we don't know the age group of the segment or anything of that sort, but we do see this increasing interest and we believe that this participation will continue to grow.

Nandini Agarwal: Okay. Thank you, ma'am.

Praveena Rai: And also, number of our members who are large retail brokers will also contribute to this growth.

Moderator: Thank you. The next question comes from the line of Sanil from ICICI Securities. Please go ahead.

Sanil: Hello. Good evening, ma'am. Congratulations on a good set of numbers. So, my question is more on the same lines of the client participation. So, in your PPT, you give the traded clients data. So, in this quarter if I see on a sequential basis there has not been any increase in these clients, which was increasing on a very exponential scale if I look at the past two quarters?

So, any reason why this quarter there was not much growth and if I may continue on this, if I look as you said, there are 11 lakh unique participants. But now if I look at equities, there is about around 96 lakhs who had participated in F&O in the last year. So how much do you think is the potential of the commodities market in this?

Praveena Rai: So, we are seeing growth in the numbers of participants and traded clients. Now, the numbers for equity will, of course, be much larger. So, the Commodity derivative Multi Commodity Exchange of India Limited

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numbers will be a subset of those numbers. But we do believe that there is potential for more retail participants to come into our numbers here.

So, for example, I think we are seeing more than 50% kind of a growth, happening if we look at this even quarter-on-quarter. Quarter over last year quarter, we are looking at nearly close to 50% kind of a growth. So, I think that interest, that increased interest, will continue to be there.

Sanil: So just if I may ask that, from let's say 90 lakhs in equity, what is the number you would assume in the next, let's say, 2, 3 years? Or from 11 lakhs, how much do you think that could grow in the next 2, 3 years? Or what would be an internal target if you can share?

Praveena Rai: Yes. So, it will be difficult to sort of put a number in the air there. But I think if we look at our ADT versus equities, I think, that growth will reflect in the kind of retail participation growth as well.

Sanil: Okay, thank you.

Moderator: Thank you. The next question comes from the line of Sanketh Godha from Aventus Spark. Please go ahead.

Sanketh Godha: Yes. Thank you for the opportunity. So, two, three questions. One on the tax rate. So, in the past, we guided that our tax rate will be around 22-odd percentage. And for the 9 months, that number seems to be lower than that. So, is it fair to assume that the tax rate will be closer to the current levels, what you are reporting, or it will be closer to 20-odd percentage?

Chandresh Shah: Sanketh, the tax rate would be around this level.

Sanketh Godha: So around 20%, 21% is the fair number to assume, sir?

Chandresh Shah: 25%.

Sanketh Godha: In the current quarter, the tax rate came at 20.8%. So just wondering...

Chandresh Shah: For tax rate, you check the standalone numbers.

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Public Sanketh Godha: Okay. Fair point. Perfect. And the second question was, is it fair to tell that your SGF cost will be closer to 7% of transaction income? Because that's the trend what we can

see in last three quarters. So, with the volume growth, your open interest keeps on going up. And maybe, if I link it

to transaction income, broadly at 7%. That's the trend we believe it will continue, Sir, for the SGF cost or you believe this number can taper down as the volumes will kick up in that sense?

Chandresh Shah: So Sanketh, the number, we keep monitoring that as per the requirement. And like Ma'am explained earlier, we would like to keep the corpus healthy, so that it meets the regulatory requirement also. And the volumes, the incremental open interest is all taken care of.

Sanketh Godha: Okay. Fair point. And Sir, last one. So, see, the premium to notional has fallen in November, December, and probably January seems to be on similar trend. So, is it fair to tell that monthly, bimonthly becoming monthly in Gold has contributed to that decline in premium? Or you believe that it is more to do, because with volume increase, people taking positions more in out-of-the-money contracts and that premium to notional number is coming off. And as the volumes pick up, this trend will be downward only going ahead.

Praveen DG: Are you looking at the premium to notional turnover?

Sanketh Godha: Option notional turnover. So that percentage for the quarter was...

Praveen DG: Yes. I'm just looking at that. So, for example, the quarter one, it was around 1.62.

Quarter two, it was 1.69. And quarter three, it is 1.74. So, there is no significant change in this one. It is more or less around...

Sanketh Godha: ...Sir, I was more referring to November, December, and January, what you disclose in your website. So, October was insanely very good at 2.2, but it fell to 1.6, 1.54, and 1.57 for January till date. So, I was referring from that perspective because you had a very healthy October.

The numbers look optically better at 1.74, but November, December numbers are closer to below 1.6 percentage. So, I was just coming from that perspective, whether this trend will continue downwards or not.

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Praveen DG: Typically, multiple factors impact your options to premium turnover ratio. Because one is the volatility factor. And suppose even the markets are in the growth phase, it is very difficult to say that what kind of ratio will continue, because you are still in the growth phase till the stability takes place. That means till markets mature, it is not possible that you will be able to give a particular trend.

But I am saying that at least in the recent times, I think it is more like maybe if you take a particular month, maybe the impact could be because of one or two contracts. But the volatility also could have played an important role.

Rishi Nathany: So Sanketh, if you see October, there was heightened volatility. Because of that, you are seeing that number. And it was an outlier of a month. Otherwise, if you correlate to the months of heightened volatility, you will see this ratio higher. Otherwise, as you all know that December normally is a very stable and placid month. So accordingly, you have seen those numbers. So, I do not see that how could anyone predict these numbers going forward.

Praveena Rai: If I can add...

Sanketh Godha: Yes, ma'am. Sorry.

Praveena Rai: So, I am also just looking at the premium turnover for options. And the premium turnover is increasing because really the ADT is supporting that. And Q2 was about INR3,264 crores. And there has been 11% growth to INR3,600 crores in Q3. So, I think the two have to be seen hand-in-hand to really look at their impact.

Sanketh Godha: Got it, ma'am. My only reason why I ask this question is that if volumes pick up, is a general observation at the Exchange level that out-of-the-money contracts volumes increase and that naturally leads to a structural decline in the premium to notional. Because we have seen the same thing in equity market. So, is it fair assumption to make that if the growth continues at the current momentum le

vel, out-of-the-money contracts

contribution will increase and that will lead to automatic lower number, premium to notional?

Praveen DG: It could be one of the factors, but we cannot say that is the only factor, because suppose growth is happening, that means if more strikes become more liquid, there is a

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Public possibility that out-of-the-money contracts can become more liquid, and it can get traded.

But we cannot say that that is the only factor.

Rishi Nathani: So, net-net, we cannot use this as a predictable trend to project price.

Sanketh Godha: Got it, sir. And last question. If you can give the float income on margin money in the current quarter, that will be useful as a data keeping point. And maybe if you can tell that number for 9 months and for the quarter?

Chandresh Shah: So that number bifurcation, we cannot provide, Sanketh.

Sanketh Godha: Okay, sir. That's it from my side, sir. Thank you very much.

Moderator: Thank you. Ladies and gentlemen, that was the last question. I now hand the conference over to Ms. Praveena Rai for her closing comments.

Praveena Rai: Thank you very much. I think we had some very, very good questions coming in. I hope clarity of really the results, as well as where MCX stands today, was made available to, both the session, the interactions and the Q&A. Thank you very much for your time here and your very active participation. I also want to thank my colleagues in the room for being here and being available for this conversation. Thank you.

Moderator: Thank you. On behalf of Multi Commodity Exchange of India Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2025

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MCX/SEC/2501 May 16, 2025

BSE Limited

Department of Corporate Services

PJ Towers, Dalal Street,

Mumbai - 400 001.

Ref: Scrip code: 534091 Scrip ID: MCX

Subject: Transcript of the "Earnings Conference Call" with investor(s)/analyst(s) on Q4 FY-2025 results.

Dear Sir,

Please find enclosed herewith transcript of the "Earnings Conference Call" with

investor(s)/analyst(s) held on Friday, May 09, 2025, at 16.00 p.m. (IST) on Q4 FY-2025 results.

The said transcript is also uploaded on the website of the Company at

<https://www.mcxindia.com/investor-relations/ir-meetings>

Further, we hereby confirm that no unpublished price sensitive information was shared/discussed during the said earnings call.

Kindly take the same on record and acknowledge receipt.

Thanking you,

Yours faithfully,

For Multi Commodity Exchange of India Limited

Manisha Thakur

Company Secretary

Encl.: As above

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of data or transcription error. This document may contain "forward -looking statements" – that is, statements related to future, not

past, events. In this context, forward looking statements often address our expected future business and financial performance, often

contain words such as "expects", "anticipates", "intends", "plans", "believes", "seeks", "should" or "will". Forward -looking statements by their nature address matters that are, to different degrees, uncertain. These uncertainties may cause our actual results

to be materially different than those expressed in our forward -looking statements. We do not undertake to update our forward -

looking statements.

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MANAGEMENT : MS. PRAVEENA RAI – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER
MR. MANOJ JAIN – CHIEF OPERATING OFFICER
MR. CHANDRESH SHAH – CHIEF FINANCIAL OFFICER
MR. RISHI NATHANY – CHIEF BUSINESS OFFICER
MR. PRAVEEN DG – CHIEF RISK OFFICER

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Public Moderator: Ladies and gentlemen, good day, and welcome to the Multi Commodity Exchange of India Limited Q4 FY '25 Earnings Conference Call. Joining us on the call are Ms. Praveena Rai, Managing Director and Chief Executive Officer; Mr. Manoj Jain, Chief Operating Officer; Mr. Chandresh Shah, Chief Financial Officer; Mr. Praveen DG, Chief Risk Officer; and Mr. Rishi Nathany, Chief Business Officer from Multi Commodity Exchange of India Limited.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing the star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Praveena Rai, MD and CEO, MCX. Thank you, and over to you, ma'am.

Praveena Rai: Good evening, everybody. Very happy to be here as part of our Investor Call for the results of FY24 - 25. Very happy to announce that we've had a phenomenal year, closing the year at INR1,208 crores of consolidated income, which is 59% year-on-year growth. So it's been a very good year by way of income and by way of growth.

We've also seen this when we look at Q4 of '25 versus Q4 of '24. Again, this indicates similarly a 61% growth. It's further reflected in the EBITDA. EBITDA for the year closed at INR 761.5 crores at 63% and profit after tax is INR 560 crores at a 46% margin. So that's really where we stand in terms of our top line and bottom line numbers.

Further to that, this is really driven by a very healthy growth of our daily throughput with the ADT that is average daily throughput of both futures and options together nearly doubling at 101%, touching INR 2.2 trillion from INR 1 trillion. So that's really more than a doubling. And on the back of this is healthy growth in futures, certainly healthy growth in notional ADT of options and also the premium ADT of options, which have also grown by about 85% so those are really the drivers, and we've seen these numbers grow across all our product lines.

Not just from a derivative trading standpoint, we've also seen this health reflect in the kind of deliveries that we've seen. We've really seen about 7 metric ton of gold, 663 metric ton of silver, and more than -- or close to 70,000 metric ton of base metals delivered through the exchange mechanism.

And of course, these are numbers with the exchange as a delivery of last resort, but it reflects the health of the kind of volumes on the exchange, which are a combination of trading volumes as well as hedging volumes across all our participants. We've also had record turnover of -- in our commodity futures on the back of the tariff announcement.

This, of course, happened on the 4th of April, so just after the close of the year, but at INR 71,500 crores has been a big high and reflects the fact that MCX is really playing its role as we look at managing commodity price risks from global variations that are applicable today. It's with great pride that I can say that MCX in the year 2024 has been announced as the world's largest commodity options exchange.

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Public And this is also on the back of MCX crude oil options, the MCX natural gas options holding the top position in the FIA ranking as well as MCX Gold options and MCX Silver options at second position. So both of this again indicates that India and MCX in India as a venue is really becoming popular at the global scale as well.

So when we look at our participants, we have had growth across all categories. We've had a 39% growth year-on-year with -- of traded clients

touching 13 lakhs and participation across all categories

of commercial participants, retail participants as well as financial institutions. In fact, we have about 140 FPIs who have been onboarded on MCX who have started to contribute to our agency numbers as well.

So I'm really looking forward to MCX becoming the exchange of choice across the Board when it comes to managing price risk, when it comes to viewing commodity derivatives on an exchange as an asset class and would also really look to working further with our member brokers and the broader capital markets community to educate and bring in more participants and holding them through this process as they get exposed to commodity price management.

I'd like to close here, and we can open for comments. MCX, both myself as well as our leadership team is available here to take any questions.

Moderator: Thank you very much. We will now begin the question and answer session. First question is from the line of Devesh Agarwal from IIFL Capital.

Devesh Agarwal: Firstly, congratulations on a good set of numbers on an overall year basis. I think the growth has been phenomenal. My question pertains to the cost increase that we have seen in this quarter. So we see that there has been a sharp increase in the operating costs, especially in the employee cost and software support charges. So can you highlight what has led to such sharp increase in these 2 line items? And are there any one-offs in this?

Praveena Rai: Thank you, Devesh. I think it's an important question. When we look at our cost line items, both employee and IT cost is where we've seen an increase this quarter over last quarter. So if I look at the employee expenses, there is an element here, which pertains to performance payouts. We've had a good year, and we're expecting that to get reflected in those numbers.

So if I were to look at the employee expenses, I would cut it at about 75%-25% in terms of the delta with 75% going into a one-time incremental expense associated with performance and 25% is really the readiness from a capacity building standpoint as we go into next year with all our growth plans in place.

If you look at the IT costs, here, we do have a bit of a timing concentration in some of our warranty and sort of annual contract renewals. So there is a 30% sitting here in the delta amount, so INR30 crores minus INR20 crores, INR30 crores is the number for this quarter versus INR20 crores of last quarter.

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Public So 30% of that is a one-time expense. 70% is expense, which comes down to an expense that is getting concentrated in the quarter associated with maintenance renewals and so on. So on an annualized basis, one would expect that to continue, whereas 30% is a one-time.

Devesh Agarwal: Right, ma'am. Just continuing on that, we also see a sharp increase in your depreciation, assuming there will be a significant capex that you're incurring. I'm assuming, again, that will be around the tech cost. So just wanted to understand where are we spending this incremental cost because we have just completed our CDP project?

So where is this incremental capex happening on the technology front? What is the expected spend that we are targeting for the year FY '26? And what run rate should we assume both in case of opex and depreciation in FY '26 for your technology?

Praveena Rai: Yes. We do expect capitalization to sort of depreciation and amortization to continue at these levels because as we are growing significantly, and I think we just discussed that we are looking at -- we have doubled our volumes. And obviously, the tech refresh is a continuous process that would need to be there.

There is an element of regulatory change as well as expansion of the kind of network capacity that we require as we have more technology -or

interested participants and higher volumes that they are actually

performing on the exchange. So all of these are constituents, regulatory network, tech refresh, and of course, the BAU expenses, which will keep our depreciation at this level.

Devesh Agarwal: Any number that you want to call out in terms of what would be the likely capex for FY26?

Praveena Rai: We won't be able to call out a specific number, but I can tell you, overall, at an expense level, we expect our ratios to stay flat.

Devesh Agarwal: Right. And are we incurring any expenditure in our capex for co-location facilities as well? We recently read a media article suggesting that SEBI is kind of contemplating this. So one, are we already starting to spend money for this facilities -- colocation facilities? And secondly, where does this stand in terms of implementation?

Praveena Rai: We will not be able to comment on this at this stage because it's really based on what media is saying. Until we have regulatory clarity, we won't be able to comment on this.

Moderator: The next question is from the line of Amit Chandra from HDFC Securities.

Amit Chandra: My first question is in terms of the product launches. So in the last call also, we have indicated that we are in track to launch the index options and the weekly expiry options. So where actually we are in terms of the journey in terms of launching, if you can give some time lines or some clarity on that? And also if you can throw some light on -- in terms of the launch of the electricity futures contract and what could be the incremental volume opportunity that you see from this contract?

Praveena Rai: So yes, Amit, thank you for that, and thanks for joining. So yes, our new products road map is very much in place. As you know, there is a lot of homework that is required along with various approvals

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Public that we need before we can take this live. So we are -- we have full readiness from our side, and we are waiting for the right green signal to take this to market.

So we believe that between our indices and new products such as electricity, we will really look at significant growth in the coming time. There is reasonable volatility. There is interest from market participants. And there is also a need for this because India is a very large market when it comes to power.

In fact, we're the third largest market globally both from a production and consumption standpoint, the government's energy security policy, which really is looking at more than 500 gigawatts of renewable power getting generated in the country and the kind of grid lines we have and the national grid available for a very healthy supply-demand network to operate are all leading us in the direction of the fact that this is an important area to be addressed.

So I think everyone is on the same page there. It's now just a question of getting it done. We believe it's around the corner. I also want to point out, if I may, that we did have a good launch of our Gold Ten futures, that is actually in this year because it happened on the 1st of April, it was time to kind of match with Akshaya Tritiya and has given us some very, very good response in the first month itself. The 10-gram gold coin meeting India good delivery standards has had a very good offtake in the first month.

Amit Chandra: Okay. And ma'am, we have significantly increased our investments in terms of tech enablement. And also can we relate it to our preparedness for the co-location or enabling HF trading on the platform.

And also these new launches also require a lot of newer investments that is what is reflecting in terms of our tech cost -- so if you can throw more color on that?

And secondly, my next question would be that we have seen the increasing contribution of the bullion contracts in the

options segment, which is now 25% of the notional volume and only 9% in terms of the premium contribution. So any reason you can attribute why the gold premiums or in terms of the premium to notional ratio of gold contracts are actually lower than the overall premium to notional ratio of MCX despite gold being a monthly contract. So if you can provide some clarity on that?

Rishi Nathany: Yes. This is Rishi Nathany, CBO. As we grow, naturally, the costs will go up to answer the first part. Second is that in terms of -- your question on the gold premiums. You have to understand that the premiums are a function not only of time but also volatility. Crude oil and natural gas have higher volatility than gold.

And that is why you would see the kind of premiums you are seeing in gold. That is why despite the notional being higher, the premium value is substantially lower in proportion. And this is a natural function of the volatility within the gold options. However, I'd like to tell you that ever since we've made the gold options monthly contracts, we've seen a very good uptick in terms of the total notional turnover as well as the premium turnover.

Moderator: The next question is from the line of Astha Jain from Pkeday Advisors.

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Public Astha Jain: Sir, I had one question related to the participants. So we saw a massive uptick during the Trump tariff. So sir, should we consider that as a one-time thing? Or should we consider that as a base going forward?

Praveena Rai: It is from the macro geopolitical standpoint, that's a very difficult question to answer. And I mean it's really not in our remit to say how the macroeconomic situation is going to turn out. We do see a fair amount of global volatility in the approach across markets not only from the US, but across the world, and this will continue to have its impact with reference to how people want to hedge their price risk. But having said that, these will always be events. And the baseline, we see both experience with an event goes on to create the exposure and experience needed. Hopefully at the end of an event, there is a higher participation than at the beginning of the event. So yes, the baseline goes up.

The events themselves will be spikes. This year appears to be one which will offer a certain level of natural volatility. With or without that, we do see this impacting the baseline in a positive way.

Moderator: The next question is from the line of Chintan Sheth from Girik Capital .

Chintan Sheth : Sorry to have again on the product launch. We have recently from the media learned that SEBI has announced the in-principle approval to NSE for electricity futures . So just trying to understand how - what's our strategy even if we get the approval, say, during this year, that's the expectation, then how should we look at the volumes coming through our platform? And what will be our strategy given the NSE is already got the principle approval ...is already there?

Praveena Rai: So I would say that we are working very closely on the matter. And it is not in our understanding that there is any approval from the regulator to anybody. And I think I've sort of addressed the broader opportunity space that is there and the fact that we are -- as a commodity exchange, this is not a small business for us.

It's not something that we are trying to enter into. As a commodity exchange highly focused on the energy sector, power is a very natural part of that portfolio. And we are highly engaged to make this a good success, and we are very positive about it.

Chintan Sheth : Right. And coming to the weekly expiry of index 's, we believe we were trying to understand, create the future volume initially to drive this success. Where are we in terms of improving our indices, strengthening the volumes over there, which

can drive business for us? So if you can -- what are we doing actually over there to try to manage, to try to manage that? Before launching the weekly contracts on the indices?

Rishi Nathany: Chintan, to answer your question, let us understand the structure of index products. Normally options on various other products are options on futures. In indices, there is index futures and there will be options on the index itself. So it is not an option on the index futures. It will be the options on index. Therefore, there is hardly any correlation per se between the index futures and the options which will come on the indices. So these will be cash settled products, which will be based on the index itself.

Chintan Sheth : And where are we in terms of launching and testing those products out?

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Public Rishi Nathany: We are in pretty advanced stage. And as and when we are ready to go to market, we will let the market know.

Chintan Sheth : Sure. And lastly, on the cost side, you did clarify on the portion of one-time in the employees and tax side. Given the volumes and the business growing on the options , especially, do we anticipate to pre-empt our investments on tax side to drive and build a more sustainable platform going forward?

And do we see that impacting our numbers because we are already -- even with this one-time expense this quarter, our margins are pretty healthy and there is scope to reinvest some to strengthen our infrastructure, especially on the IT side and the platform side. Are we considering that to further strengthen our business model?

Praveena Rai: Yes, I think we will be ahead of the curve when it comes to tech investments. We spoke about it even last quarter. So we have developed our agility, which means our speed to market when it comes to new products from a tech standpoint, the kind of connectedness that we are able to provide to the market participants and most importantly, our readiness for growth. So all of this is already very much baked in, into our readiness framework for technology.

Moderator: The next question is from the line of Lavanya from UBS.

Lavanya: Just wanted to check a bit on new products. When you say indices, what are all indices that we are looking at? Is it bullion? Or can you just elaborate what are all indices that we are looking at? And also any effort that we are putting in specifically improving the base metal contracts, which used to be a very good contribution at one point of time?

Rishi Nathany: So we have 2 base metal -- sorry, index contracts running right now. One is the BULLDEX, which is the Bullion Index and one is the base Metal Index called the METLDEX. So these are the 2 contracts which we have and which we are looking to enhance further through bringing options on them.

In terms of growth in base metals in the year which we have ended, we've seen almost a doubling of volumes in the base metal contracts as well. And we are working hard to ensure that those contracts also achieve the necessary traction. However, when you say compare with the past, earlier, these contracts long back were cash settled.

Now they are deliverable with India pricing and India price discovery. Hence, that time line to -- for the market to adjust to an India pricing and the contracts to again gain traction is going on. And we believe that as we go ahead, these contracts will gain more and more volumes and participation.

Lavanya: Got it. Got it. And one more question. Would you be able to get split of participation in terms of maybe retail hedgers or foreign participants, how the trend is now? Any sense on that?

Rishi Nathany: So as far as you're talking about base metals or you're talking about the entire piece.

Lavanya: No, broadly, broadly.

Rishi Nathany: So broadly, all the numbers are already

there on the website. You can just have a look. We publish those numbers on a regular basis.

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Public Lavanya: Yes. But it doesn't have specifically for the retail or something. So any broad sense like what kind of retail participation is there in MCX Index?

Praveen DG : Are you looking for the numbers, how many people which have been already provided in the PPT? Is that the one you are looking for, what is the -- or you are looking for any retail in specific?

Lavanya: Retail specifically and hedges. Any broad range is also fine?

Praveena Rai: So I think the numbers we have shared, we have about 13 lakh of traded clients. And when you look at large numbers, they will typically come from the retail side. Commercial clients will tend to be smaller in number. So they are either very large corporates or in the SME sector.

Moderator: The next question is from the line of Harsh Shah from HSBC Asset Management.

Harsh Shah: Firstly, just one data keeping question. Can you just help us with the futures revenue and options revenue for this quarter?

Chandresh Shah: Yes. So Harsh, option revenue was INR 179 crores. Harsh, this is Chandresh, CFO.

Harsh Shah: Yes, yes.

Chandresh Shah: The option revenue for this quarter is INR 179 crores and futures revenue is INR 75 crores.

Harsh Shah: Okay. Second question is barring the one-time impact or even the time concentration, if you look at from a full year basis, tech cost was somewhere around INR 93 crores. Employee cost for the full year was around INR 144 crores. But from a directional perspective, again, barring quarter-to-quarter movement, can we assume that for FY26, tech cost will be around INR 90 crores, let's say, INR- 100 crores, INR 110 crores and employee cost will be between INR 150 crores to INR 160 crores or directionally also this is not going to be the case?

Chandresh Shah: Yes. I think, Harsh, this number -- the numbers would be around these levels.

Harsh Shah: Okay. Just last question from my end is with respect to this capacity building, by any chance, are we building capacities to manage the TCS software better? Basically, what I'm trying to understand, and please correct me if I'm wrong, is by any chance regulator is still a little bit of skeptical about the software that we are running.

We are still stress testing it for which you want to build capacities, both on hardware, software and personnel? And also, is this the reason why there is some sort of hindrance with respect to new product launches? Again, please feel free to clarify if I'm mistaken anyway. Just wanted to understand why there's cost escalation and why we are not able to launch a new product and where is regulatory in all this?

Praveena Rai: So your comment on not being able to launch a product is a little surprising. How did you arrive at that conclusion?

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Public Harsh Shah: No. Basically, just trying to understand your gold is doing quite decent, but other products have been taking some time. So again, I'm just trying to understand what is pending from our perspective? Or is it -- we are done from our perspective, it is only from the regulator that is pending?

Praveena Rai: Yes. So we have a number of products in the portfolio. We have natural gas and crude oil, gold, silver, copper, aluminum, zinc, lead, and I think we are all having fairly healthy numbers across futures, options, deliveries and all of this information is available in the deck. When it comes to new products, as stated in the past, we are ready from a technical and go-to-market standpoint, and we are waiting for the final set of approvals to come in before we can take it to market.

Moderator: The next question is from the line

of Shalini Gupta from East India Securities.

Shalini Gupta: No, my question has been answered. I was asking for the transaction fees, which I think you said

options is INR 179 crores, futures is INR 75 crores. I correct? Yes. Yes. So my question has been answered.

Moderator: The next question is from the line of Arpit from IGE.

Arpit: I wanted to ask a question over the FPI contribution from the FPI participation out of total volume of transaction charges we have got in the quarter.

Praveen DG : Yes, it is roughly around INR 16,500 crores in options, and it is about INR 600 crores in futures. So you can say about 7% of the total turnover.

Moderator: The next question is from the line of Ashish Kumar from Ampersand.

Ashish Kumar: I have 2 questions. First is with respect to this settlement guarantee fund. So the contribution towards that during the quarter was around INR 18 crores, which was similar to last quarter, but it was significantly up on Y-o-Y basis. So I wanted some sense on how we should look at it for this coming year? And the second question is on new products other than electricity futures and whatever we have discussed, any other new products that are in the pipeline for FY26?

Praveena Rai: Yes. So SGF is the settlement guarantee fund. So it will be an outcome of the kind of volumes we have and of course, volatility in the market. So I will say that at a high-level calculation, you can keep the ratio. You can assume a sort of similar ratio to continue. Now when it comes to new products, yes, we do have a number of new products in pipeline. Sorry, without sort of getting it to a certain point, we are unable to talk about it further.

And priority -- top priority for us is the products that we are ready with that -- where we are waiting for the go-to-market green light. That will be our first focus. As soon as we get those over the line, there will be other things to play. Having said that, we also have in the silver category, we are planning to launch the monthly options.

So while our options, we launched the 1 kg options in the month of November, which is doing phenomenally well. We launched on the 1st of April, the 10-gram gold, which is also very popular with retail. So we are looking at launching in silver, micro options, the 30 kg, 5 kg and the 1 kg. So these are all in play. And these would also be in the shorter time frame.

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Public Moderator: The next question is from the line of Aravind R from Sundaram Alternate.

Aravind R: So basically, I wanted to understand like we observe in the equity markets, FII participation is much higher. I understand the nature of like our commodity options are different. But the introduction of like index options, and basically the cash settled contracts. And like what other things can be done to increase the FII participation like index contracts, can it bring like a bigger step change in like FII participation? And what other things can help in a more and more FII participation manner?

Rishi Nathany: So the norms for FPI participation came in the second half of '22, and we started participation early in '23. So it's been more or less 2 years. And in those 2 years, you've seen the kind of participation we have. Now we also have to bear in mind that FPIs are only allowed to trade in crude oil and natural gas.

So as and when more and more products come under the ambit and more and more FPIs come into the market, we will see more participation increasing. So this is early days yet. We are seeing more and more FPIs onboard onto the exchange. So we believe that as we go forward, we will see more healthy participation from FPIs.

Aravind R: Sure, sure. And like do you think like something like co-location, which happens in equity exchanges can help here also? Like I'm not sure like i

f it is available with MCX, but do you think that the thing can happen, like co-location facilities can happen and that can increase not just FPIs, but also other institutional investors and more and more participation there?

Rishi Nathany: Well, it remains to be seen. We cannot talk about something which is not there. As and when it comes within the regulatory approvals, then we will look it up and we can discuss it.

Moderator: The next question is from the line of Aditya Bhatia from Electrom Capital.

Aditya Bhatia: So basically, I think my questions have been answered, but could you give us a mix between what your FPI and DII hedges, etc., what the mix really looks like right now?

Chandresh Shah: Sorry? FPI and DII mix.

Aditya Bhatia: On your hedges, yes.

Praveena Rai: So to be honest, our DII portfolio is fairly limited at this point, primarily because there are a number of restrictions in -- for mutual funds and so on to participate in commodity derivatives. But there are some changes to that, that we are working with the industry to understand the needs of the industry and really how we need to incorporate this in the multi-asset portfolios in a more dominant way. So that would be an action that we're working on.

Aditya Bhatia: Sure, sure. And is there any push towards more green finance contracts like ESG-linked carbon trading, etc., that has been spoken about?

Praveena Rai: Carbon trading has 2 parts. One is the compliance part and the other is voluntary. So I think both of

Public at how carbon trading can work and should work in an Indian context. So we are following that closely. And at the right time, when it's suitable for derivatives to be a component of that, we'll certainly be there.

Moderator: The next question is from the line of Sanket from Avendus Spark.

Sanket: Ma'am, this is a bit of on regulation. The regulator came out with a consultation paper of segregating clearing corporations from the exchanges. I know it's not a final regulation, but I just want to understand, suppose it gets implemented, then clearing corporation, I just want to understand how much they earn from the settlement fees, what you pay them and maybe the float income, what clearing corporation earns. So just to understand if the segregation happens, what likely impact could be there on our top line and bottom line in that sense?

Praveena Rai: Yes. I think from whatever is available in public, it is quite clear that as it stands, this implication is there for the equity exchanges. So at this stage, the Commodity Clearing Corporation has a lot more complexity involved and handles warehouses and deliveries and so on and so forth. So we are not really expecting this any time now.

Sanket: Okay. Got it, ma'am. And the second question, ma'am, is that how do we foresee this settlement guarantee -- core settlement guarantee fund cost? So if we do the numbers for the full year, it comes to around 7 percentage of the total transaction income what you have earned. So is it fair to say that going ahead, given our volumes are increasing, our open interest goes up, then this cost -- 7 percentage of the transaction income kind of will be a recurring cost going ahead?

Chandresh Shah: So Sanket, this is Chandresh. See, this 7% includes 1 - 1% of contribution to ISF and IPF, which is mandated as per SEBI regulation. And the SGF contribution is something which we look at the requirements, and we keep adding to that because that helps us in different ways to maybe manage the margins for the members, which helps in increasing the volumes.

Sanket: Okay. But

is it fair to say that 5% of the cost, given the volumes are inching up will remain -- it's a good problem to have, but just wanted to understand that is the way it will work.

Chandresh Shah: Mostly, yes.

Sanket: Okay. Got it, sir. And one more thing, ma'am. See, our gold contribution is going up, and you alluded to the point that gold invariably will have a lower premium realization compared to a crude or a silver.

So is it fair to say that if gold contribution picks up in our ADTO in options, then your premium to notional will see a gradual decline or a premium realization to the notional turnover will see a gradual decline as gold contribution picks up?

Praveen DG: No. If you purely look at the statistics-wise calculation mathematically, it depends upon whatever the product that is contributing to the maximum market share, that will be the influencing factor. But as long as the volumes are going across the products, I think that is going to be good for the market and good for the exchange.

Sanket: Sir, the reason why I asked this question, sir, is that we see a bit of kind of a cannibalization when the gold is picking up, we see crude is taking -- not showing so much of growth what we saw in the past.

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Public So maybe from your assessment, speaking to your members or traders, are you getting a feeling that there is a bit of cannibalization, gold is growing at the expense of crude?

Rishi Nathany: So if you see cannibalization would happen if we were constant and gold grew at the cost of crude oil or other things. We are seeing an overall growth. We have seen 100% growth. So how is there a cannibalization? Everything is growing. There are some things which are growing, contributing to lesser premium to notional. Some things are contributing higher premium to notional. So overall, you are seeing -- while you may see the overall mix of premium to notional coming down, but as long as the entire premium is going up and the notional is going up and the volumes are going up, it's a good problem to have, isn't it.

Praveen DG: So want to add to what Rishi has said, generally, the market share keeps changing between the products depending upon the market scenario that is how you have to look at it. It's never been the constant scenario.

Sanket: Okay, sir. And maybe last one. So you said that your option indices will be launched whenever you get the approval. So the nature of the option indices, whenever you launch will be weekly expiry or

monthly expiry? What's the thought process?

Rishi Nathany: See, we cannot comment on all that. The idea is that whenever we get approval, we'll launch accordingly, and we'll let the market know. So I would request you to please wait for that. And as and when it comes, we'll let the market.

Moderator: The next question is from the line of Deepak Ajmera from IGE.

Deepak Ajmera: Just one quick clarification because I attended NSE con call also and management clearly said that they have in principle approval to start the futures on the energy. And you clarified that none of the exchange has that approval. So if you can again clarify that point. And second point -- second is the feedback. Normally con call have diamond pass registration. In your case, we have to wait for operator to get in, so you can enable that facility?

Rishi Nathany: Yes. So your point taken about the second part, we look into it. I mean the first part, we've already our MD and CEO has already clarified. So I don't think there's anything else to clarify on that. I mean, whatever they have said, they have said in their own wisdom. We have clarified according to what we know.

Moderator: Shall we move on to the next question?

Rishi Nathany: Yes, please.

Moderator: It's from the line of Devesh Agarwal from IIFL Capital.

Devesh Agarwal:

Just a couple of clarification questions. The FPI share that you mentioned or the volumes that you mentioned, INR 600 crores in futures and INR 16,500 crores in option. Is this an annual average or more of a fourth quarter average?

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Public Praveen DG : I was referring to the recent quarter.

Rishi Nathany: Fourth quarter.

Devesh Agarwal: Fourth quarter. Fine. And secondly, did you mention any time lines to launch the silver monthly option contracts?

Rishi Nathany: No, we haven't mentioned any time, but we are working on it. And as and when.

Praveen DG : It depends upon multiple factors, and we won't be able to give any definite date or period by when we can able to launch. But definitely, we are considering these products.

Devesh Agarwal: Right. Sir, just in case of order, basically, we have multiple products, which are likely to go live. You have silver, you have index options, you have electricity and then weekly. Any order that you think based on your discussion with the regulator, which can come first and how the others will follow, whether we see all of them in this year? Any tentative time lines will also help, sir?

Rishi Nathany: Very difficult to predict. We cannot assign any timelines or any order. All we can say is we are working on these products. And as and when it is found feasible, they will be brought to market.

Moderator: The next question is from the line of Lavanya from UBS.

Lavanya: On the index options. So currently, we have index futures, which are not seeing much traction. So how do you see this differently when options are provided and any approach that in terms of participation that we are currently already working on? Like how do you see index futures different from options?

Praveen DG : Both are independent to each other because unlike other products, index options or index futures we can be -- are considered to be independent because they are going to be settled based on underlying index, okay? So they can operate differently the way it wanted to operate, how the product is going to be designed.

Lavanya: Yes. But why not so much traction there is index futures, any sense there or any efforts from our side to enhance index future options -- future volume?

Rishi Nathany : So Lavanya, we are working on index futures and other products as we work on all products. It is for the market to take up which products they like. Of course, we put in all our efforts. Having said that, Praveen has already clarified that normally all the products we have in options are based on futures, but these products are based on the index itself, so they are discrete from each other.

Moderator: Ladies and gentlemen, that was the last question for today's conference call. I would now like to hand the conference over to Ms. Praveena Rai for closing comments.

Praveena Rai: Thank you so much for your time. It's been a wonderful discussion. Very intriguing questions. It helps us also to explore and see what we need to do next. Your interest in MCX keeps us inspired, honestly, and I look forward to staying connected. We expect to have a good year ahead, and we'll stay in touch.

Moderator: Thank you. On behalf of Multi Commodity Exchange of India Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Aug 2025

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MCX/SEC/2544 August 11, 2025

BSE Limited

Department of Corporate Services

PJ Towers, Dalal Street, Mumbai - 400 001.

Ref: Scrip code: 534091 Scrip ID: MCX

Subject: Transcript of the "Earnings Conference Call" with investor (s)/analyst(s) on Q1 FY-2026 results.

Dear Sir,

Please find enclosed herewith transcript of the "Earnings Conference Call" with investor(s)/analyst(s) held on Monday, August 04, 2025, at 16.00 p.m. (IST) on Q1 FY-2026 results.

The said transcript is also uploaded on the website of the Company at <https://www.mcxindia.com/investor-relations/ir-meetings>

Further, we hereby confirm that no unpublished price sensitive information was shared/discussed during the said earnings call.

Kindly take the same on record and acknowledge receipt.

Thanking you,

Yours faithfully,

For Multi Commodity Exchange of India Limited

Manisha Thakur

Company Secretary

Encl.: As above

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MANAGEMENT :

MS. PRAVEENA RAI – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER

MR. MANOJ JAIN – CHIEF OPERATING OFFICER

MR. CHANDRESH SHAH – CHIEF FINANCIAL OFFICER

MR. RISHI NATHANY – CHIEF BUSINESS OFFICER

MR. PRAVEEN DG – CHIEF RISK OFFICER

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Moderator: Ladies and gentlemen, good day, and welcome to Multi Commodity Exchange of India Q1 FY '26 Earnings Conference Call. Joining us on the call are Ms. Praveena Rai, Managing Director and Chief Executive Officer, MCX; Mr. Manoj Jain, Chief Compliance Officer; MCX; Mr. Chandresh Shah, Chief Financial Officer, MCX; Mr. Praveen DG, Chief Risk Officer; and Mr. Rishi Nathany, Chief Business Officer, MCX.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Praveena Rai, MD and CEO, MCX. Thank you, and over to you, ma'am.

Praveena Rai: Thank you very much, and good afternoon, everybody. Thank you for joining the call today. So, we've announced our results, and I'm very happy to say that MCX has seen a high-performance quarter. We have announced an income at a consolidated level in the first quarter of FY2026 of INR406 crores, which is a growth of 60% on a year -on-year basis. It's the highest ever revenue for MCX. So, I would take this opportunity to thank all our members and participants for this.

Our profit after tax has grown to INR203 crores. And the health of this growth is really reflected in the average daily turnover number for the quarter, which stands at a very healthy INR3,10,000 crores. So INR3 trillion. The financial year has begun very well. I think we've seen growth, adaptability, a lot of strategic actions coming into execution, along with, of course, a very dynamic and evolving market environment. We've seen increased participation from institutions, hedgers, including the MSME sector along with our financial participants. We've had a huge, continued drive around awareness

as well as product innovation.

Since April, we've launched a series of products. We've launched products in the bullion segment, involving the 10 -gram futures on gold, options on some of our silver products, the much-awaited electricity futures as well as cardamom in the agri sector. So really, products across all the segments, nearly all the segments in which we operate. This really broadens the risk management for our stakeholders across the industries that are represented here.

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We continue to work very closely with regulators, our members, member associations so that we can develop this market further into maturity so that the impact that MCX makes for the commodity markets in India is significantly enhanced, with the transparent price discovery and price benchmark mechanism. We remain highly focused on strengthening our technology and risk framework. This is an imperative as it has always been and will be much required in the times to come to support our growth.

We have also had a very momentous decision where the Board approved a stock split of 1:5. The objective was really to make the stock more affordable, giving more access to a broader range of investors on the face value being reduced from INR10 to INR2 per share. This is, of course, subject to all the approvals hereafter.

As we really look at the financial year, the quarter one results with three more quarters to go, I really look at all our entities in the ecosystem who are exposed to commodity price risks to appreciate the impact and the benefit of the hedging mechanism and look at the regulated exchange traded commodity derivatives to better manage this risk. And our member brokers who continue to educate, in fact, man

y of them have also

established commodity desks to support the industry in how to really leverage these hedging instruments.

All at MCX express our gratitude to all stakeholders, regulators, member brokers as well as our vendors and investors in this call and outside for their continued support to MCX.

So, thank you very much, and we can open the session to questions.

Moderator: Thank you very much. The first question is from the line of Devesh Agarwal from IIFL Capital. Please go ahead.

Devesh Agarwal: Good afternoon, everyone, and thank you for the opportunity. Firstly, congratulations on a very great set of numbers to the entire team. The two questions, ma'am, that I have. First is basically, there was a delay in commencement of trading on one of the days. So just wanted to understand what exactly the issue was in terms of why the delay. And secondly, has there been any regulatory steps being taken up by SEBI in this particular instance? And are we expecting any penalty from SEBI for this?

Praveena Rai: Yes. So, it's a very important question to address. And as mentioned, we continue to be highly focused on our technology excellence. On the day, as mentioned, there was a database anomaly, which led to this delay in overnight clearing system processes,

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and hence, the delay in opening of trading. That was immediately corrected. We have worked with experts in the space, the topmost experts available. The core issue was immediately identified and fixed, and we are confident that this will not recur. All processes associated with regular root cause analysis, reporting and working with the regulator are in process. And that is a regular process. That's something that we work very closely with the regulator on. So, I would, at this stage, say nothing untoward there.

Devesh Agarwal: Sure. And the second question is on the expenses. So, although the growth in the revenue is very heartening. But the margins we were expecting it to be higher than what we have actually reported. And per se, I see that the employee expense and SGF

expense has been higher than the expectation. So, anything particular one-offs in the quarter? Or do we expect that the expense run rate will likely remain high going forward as well? And also, the EBITDA margin that we have reported in this quarter around 65-odd percent, you think this number is sustainable? Or going forward, we may see some decline with the increase in the cost? That would be my last question. Praveena Rai: Yes. So, thank you. I think that's a very important question. And this is, as always, Q1 over Q4 impact playing out here. In Q4, we did have certain one-off expenses. And as we look at really driving our growth significantly through launch of new products, increased number of participants to drive MCX business towards maturity and growth, we will continue to invest as required.

So, I would say that last year, we had -- the efficiency that was delivered last year will continue to sustain. And at this stage, when we are in a growth phase, it will not be prudent to really say that we will be looking at further tightening the belt here. So, the focus is on growth while we do everything that we need to do to sustain the efficiency.

Devesh Agarwal: Just ma'am, if you can put some guidance, this 65% margin that we have, do we think this number is sustainable? Or we see this going downward / upward basis over the next, say, 2, 3, 4 quarters?

Chandresh Shah: Devesh, these margins could be a little under pressure, but we'll try to work on that because the volumes what we have seen in July are also a little weak. So, these margins are a function of revenue and expenses. So, while we can control the expenses, the revenue is depending on the volumes. So it can be under some pressure, but we'll

have

to see as the year progresses.

Devesh Agarwal: Right, sir. Perfect. Thank you so much.

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Moderator: Thank you. The next question is from the line of Prayesh Jain from MOSL. Please go ahead.

Prayesh Jain: Hi, thanks for the opportunity. I just extended that question on the previous question.

So, if you look at your employee cost, previous quarter in the different -- previous quarter we had highlighted that there were some extraordinary or some one-off bonus provisions that had happened. Now this quarter, again, we have seen a similar run rate.

Do we expect the run rate to continue? Or now just an additional point out there, whether the variable pay for this year will be apportioned over the 4 quarters? Or how is it kind of accounted, so how should we think about the employee cost?

Praveena Rai: Yes. So, there is an apportionment. So, to that extent, the numbers hold that portion.

Having said that, I think the numbers reflect a certain level of growth in people as well as annual performance, increment numbers and so on, which have already been accounted for as well as the apportionment.

Prayesh Jain: So, this quarter run rate should sustain for the rest of the year?

Praveena Rai: Yes.

Prayesh Jain: Yes. Okay. Got it. Secondly, on the business front. Anything on the base metals, delivery centres, sorting out or anything on co-location that you can share with us?

Praveena Rai: So, in terms of metals, I think there's been a lot of consultation activity with our stakeholders. There will be some announcements on optimization that we will be making soon. On co-location, as you know, this is completely in regulatory remit, so nothing much for us to say there.

Prayesh Jain: Why is MCX not allowed versus, say, exchanges, other equity exchanges on for co-location?

Praveena Rai: Yes, could you repeat yourself, please?

Prayesh Jain: I'm saying what's the rationale for SEBI to not give us co-location services versus co-location services being provided by equity exchanges.

Praveena Rai: I don't know Prayesh, it's a difficult question to answer here. So, we'll have to leave that with regulatory remit now.

Prayesh Jain: Okay, thank you.

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Moderator: Thank you. The next question is from the line of Amit Chandra from HDFC Securities. Please go ahead.

Amit Chandra: Yes, thanks for the opportunity. So, my first question is on the uptick that we have seen on the bullion options. So, post the launch, it has now become 46% of the notional turnover. But in terms of premium, it is only 18%. So, I understand we have like lower premium notional here. But how do you see this thing evolving in terms of the contribution for going higher in terms of premium as well?

And also, how do you see this in terms of the cannibalization that we can have here to the futures volume as well because futures, there is a significantly large contribution from bullion as well. So, this is the first question?

Rishi Nathany : Yes. So, Amit, point being is that premiums are a function of volatility, and that is why you are seeing a lower premium to notional in bullion as compared to energy products. Having said that, there is no cannibalization of futures due to increase in options if you observe. The futures volumes have also increased while options volumes have increased. So, I think it is the trend, shows that both futures and options grow at the same time and have that potential.

Amit Chandra: Okay. And sir, in the continuation to this, what kind of tweaks are required in terms of the existing products for both gold and silver in terms of margins and in terms of specification so that we get more retail participation? And

how the participation has changed in terms of the newer product that has been launched after the monthly expiry? Is it more retail heavy, or we are seeing a mix of both -- the similar mix that we had for other products in options?

Rishi Nathany: So, we have made certain tweaks. The bimonthly options contracts have been made monthly, and we have seen a healthy participation there after also. If you compare the retail participation from the Q4, it has increased in terms of percentage in Q1 FY '25 - 26. So, from 51.79%, it has increased to 52.37%. So, retail participation has also increased. The gold 10 -gram contract has brought in a lot of retail interest. I believe we do whatever is necessary to look at all types of participants, whether retail or otherwise.

Amit Chandra: Okay. And the second question is on the costing aspect. So obviously, we have seen some higher costs. But how do you see the tech cost going ahead from here on? What kind of investments we require more on a longer -term perspective in terms of the existing tech cost or we think that we are mostly invested in terms of the technology, which is going to drive for the next 2 years?

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Or we need some additional investment in terms of technology? And also, from the SGF perspective, how to see earlier, we were of the view that SGF would be in the range of 6% of the revenue, but it has now gone up to 8%. So, what could be the like normalized SGF that we can assume?

Praveena Rai: So let me take the tech cost question. So, we will continue to invest in technology. We have to continue to invest in technology as we broad base our products and continue to put our foot on the pedal with the kind of growth that we're looking at. So that's a given. Doing it more efficiently is really the question, and I think that's what I covered in the early part that we will continue to focus and deliver the kind of efficiency that we looked at on the technology side. So, will we invest, and will it mean another big bump up of cost, we don't expect so, that we will continue to invest, and we will do that in a manner that is done efficiently. With reference to SGF, Chandresh, can you step in on that?

Chandresh Shah: Yes. So, Amit, the SGF contribution this time it is not increased, it is in similar line, but all the regulatory fees, including SEBI regulatory fees, which is paid on turnover is also included in that line.

Amit Chandra: Thank you.

Moderator: Thank you. The next question is from the line of Vikram Raghavan from Moon Capital. Please go ahead.

Vikram Raghavan: Hello team. Congratulations on your best ever performance. I have two questions. One is, what will be the effective tax rate going forward? The second question is on the other operating income that has stayed flat over the years. I wanted to ask why it is not increasing as a function of volume as it largely comprises income from margin money.

Chandresh Shah: Yes. So, Vikram, effective tax rate for MCX is around 20.72%. The reason being that our subsidiary, MCXCCL, whatever contribution to SGF they make is tax deductible expense, though it is not debited to P&L. So that's why they don't have tax provision and that is bringing the effective tax rate down.

Praveena Rai: There was a question on margin, right? Could you just repeat that question?

Vikram Raghavan: Other operating income. So that has stayed flat over the years. That is a function of margin money, which is a function of volume. So why is it not increasing in line with the volumes?

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Chandresh Shah: So, Vikram, other income does not include this income of the margin money, that is part of income from operations.

Vikram Rag

havan: Okay. I am mistaken. I'm sorry for that. So, the effective tax rate would continue to be at 21% in the future also, yes?

Chandresh Shah: Yes, around 21%, 22%.

Vikram Raghavan: Thank you. Thank you, sir. And thank you, ma'am. All the best for your future performance.

Moderator: Thank you. The next question is from the line of Lavanya Tottala from UBS. Please go ahead.

Lavanya Tottala: Hi. Thank you for this opportunity and congratulations on a great set of numbers. So just on the new products and the recent products. So maybe if you can explain us or help us understand how we are working on the recent products or development specifically maybe electricity derivatives and the next new products which are in line for the launch. That's question number one. Second, I just wanted clarity on the cost. So specifically, one is depreciation. So, it has been fluctuating in the last 3 quarters. So where do we see those stable levels here?

Praveena Rai: Yes, Lavanya, so I think on the product side, we spoke about the launches we've had, both in bullion as well as electricity, cardamom. So, electricity contract was launched in June, and the cardamom contract in July, of course, just a few days back. We are also looking at quite a healthy pipeline of products. So, these were things that we've been -- we worked on few months back and slowly as these approvals keep coming in and we are able to then bring them to market with a certain timeline. We, of course, have to time the market so that we can't do multiple things at the same time, and we will have a calendar of launches playing out. I expect that this will be across categories. So, we have plans in the metal complex as well as in the agri side as we speak now and bullion also. I think your other question was on cost stability. It's something that -- sorry.

Chandresh Shah: Depreciation cost.

Praveena Rai: Depreciation cost. Yes, you want to take that.

Chandresh Shah: Yes. So, Lavanya, depreciation depends on the tech investment that we do. And till the time there is fresh investment happening or assets are fully depreciated, this number is bound to change every period.

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Lavanya Tottala: Okay. Okay. So maybe just one question, if I can squeeze in is, more or less our license fees should be broadly stable from here, and the staff cost also, like as you have mentioned in the earlier question, should be stable from here, even in Q4. Is that right understanding?

Chandresh Shah: License fees is linked to the revenue from that product, energy product. So, it is directly linked to that. So, it will vary with the variation in the income from energy products.

Lavanya Tottala: This is a step-up model which we have with CME, right?

Chandresh Shah: Yes.

Lavanya Tottala: Okay. So, staff costs will be stable even in Q4? Is that understanding right or Q4, are we expecting one more jump similar to last year?

Praveena Rai: With growth of the business, there will continue to be some growth in staff cost, yes. So, the business can't grow with flat staff cost at this rate. So that's what I said that whatever efficiency is there in the business, when we look at a full year basis, as of last year, we'll continue to retain that efficiency.

Lavanya Tottala: Yes. Got it. Thank you. Thank you so much.

Moderator: Thank you. The next question is from the line of Chintan Sheth from Girik Capital. Please go ahead.

Chintan Sheth: Hi, this is Chintan from Girik Capital. One question was on SGF contribution. If I see the previous quarter number and full year number, that got revised upward by meaningfully from INR63 -odd crores for the full year '25, now in the Q1 audited really hit INR79 crores if I'm not mistaken. So, I'm trying to understand the reason for further revision to -- okay, it's clubbed

with the regulatory fees, is it sir?

Chandresh Shah: Yes, that's right.

Chintan Sheth: Okay. So INR63 crores plus whatever it is, is the regulatory fee, which has been clubbed. Got it. Second question is on the other operating income. Like somebody was asking about it earlier that it has been flat relative to the volumes we have seen. So, if you can run us through what ... what drives that other operating income one more time, it would be great. And the last question was on the breakup of the transaction revenue, if you can provide for the quarter, futures plus options?

Chandresh Shah: Yes. Chintan, the breakup of transaction charges between futures and options is INR109 crores from futures and INR227 crores from options.

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Chintan Sheth: Okay. Great. And on the other operating income...

Chandresh Shah: Other operating income is part of income from operations. What you're referring is to other income?

Chintan Sheth: No, no, no. So, if I add INR109 crores and INR227 crores, and deduct it from INR373 crores as income from operations, there is INR30 - INR40 -odd crores of other operating income, which comes from, I think, the Clearing Corporation, I believe, right? That's part of money -- revenue recognized over there. If you can broadly -- that line item has been pretty much stable. So, I'm trying to understand what drives that number or how should one look at it?

Chandresh Shah: You're right. That is the other operating income of our subsidiary, MCX Clearing Corporation. And largely it is stable, you are right. So, it includes income from margin money and warehousing income, etcetera.

Chintan Sheth: But it doesn't grow with the volumes...

Chandresh Shah: So that is not linked with volumes.

Chintan Sheth: So, it's not linked to volumes.

Chandresh Shah: No.

Chintan Sheth: Okay. You expect it to stay stable, right? That is where one has to look at it. Okay, got it. I will join the queue. Thank you.

Moderator: Thank you. The next question is from the line of Jyotirmoy Jhena, an individual investor. Please go ahead.

Jyotirmoy Jhena: Yes. Hi, good afternoon. Congrats on the great quarter. I just had a couple of questions. Have you seen any volumes t rail off because of this ban on Jane Street by SEBI? And are there any plans to introduce much longer -term products so that primary consumers can participate, for example, 2 -year, 3 -year, 5 -year contracts on ...

Rishi Nathany: Thanks, Jyotirmoy. So, we keep working on various contracts and whether they are longer term depends on the market acceptance as well. So, we do work on various maturities. And for example, in gold 10 grams, if you see there was liquidity within the fourth month when we launched. So, we are also very happy to see liquidity across months.

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Praveena Rai: And we do -- and I just want to say, sorry Rishi I just want to come in here, but we do intend to extend the long -dated contracts as well. So, we are working on that.

Rishi Nathany: And regards to your first question, it was more of an equity side issue. At MCX, we do not see any such issues relating to the matters you brought out.

Jyotirmoy Jhena: That has been the concern for capital markets generally. Thank you very much.

Moderator: Thank you. The next question is from the line of Sanket Godha from Avendus Spark. Please go ahead.

Sanket Godha: Yes, thank you for the opportunity. Sir, can you break down that INR26.8 crores exactly into SGF contribution and the other regulatory costs? So just to want to figure out whether it is 6 or 7 percentage of the total transaction income. That's point number one. And the second question, just wanted to understand your view,

sir, that premium

to notional, especially if you see in the month of July has come off meaningfully.

Just from your understanding point of view, given the volumes are increasing in MCX, whether the retail participation going up, that leading to more people trading in out -of-the-money contracts and leading to structurally lower premium to notional number. Is it a fair assessment to make so that the growth in the notional might not translate probably in the same proportion to the premium growth. Any color if you can give how the out -of-money contracts are trading to understand that trend, sir?

Chandresh Shah: Yes. So Sanket, see that broadly I can tell you what all is included in this expense line of INR26.81 crores. So, it is contribution to IPF and ISF, which is 1%, 1% each of TC.

It is a provision for contribution to SGF and the regulatory fees that we pay to SEBI.

The exact breakup, I don't have it handy, but broadly, you can assume it is around -- it's around INR4 crores.

Sanket Godha: So INR4 crores is...

Chandresh Shah: Regulatory...

Sanket Godha: Other regulatory expenses and rest is your SGF cost, that's the way I need to understand, right?

Chandresh Shah: Yes.

Rishi Nathany: To answer your second question regarding premium to notional, premium to notional is a result of various factors. It's just not trading out of the money. It's also about the volatility in the market. If you observe the beginning of the first quarter, there was

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heightened volatility because of global geopolitical situations. It has also investor behaviour. So naturally, it will keep changing from time to time. Having said that, we have been able to more or less maintain a consistent premium to notional. Of course, it would differ from product to product. So, it's very difficult to give you a color as to where premium to notional is headed. Having said that, we always try to increase participation on the exchange, and that should result in overall higher volumes.

Praveena Rai: And we are very happy that with the kind of growth that we've seen with bullion, which really starts stacking up in a very significant way in its contribution even more than in the past.

Sanket Godha: Got it, ma'am. Maybe if I can squeeze one more. Ma'am, just on weekly expiry thing, which we have spoken in the past, anything you are hearing from SEBI? And if you intend to launch, then most likely it would be in which product segment, whether it will be in index options or bullion or crude or energy. Just if you can give a bit of how it -- where is it in the status basically?

Praveena Rai: Yes, Sanket, nice question is what I can tell you. And see, we've been talking about the index options, right? So, when I spoke about this pipeline of products that we are going to put into the calendar, we do expect the index options to be a part of that.

Now what really will be the kind of monthly, etcetera, is something that we will announce in due course. But I would expect that the general regulatory outlook towards weekly is fairly conservative. So, I think we should sort of bear that perspective in mind in what we can expect.

Sanket Godha: Understood, ma'am. That's useful. Thank you very much. That's it for me.

Moderator: Thank you. The next question is from the line of Sanil Desai from ICICI Securities.

Please go ahead.

Sanil Desai: Yes, good evening, ma'am. Congratulations on a good set of numbers. So, my first question is more of a clarification just on the newly launched electricity futures. So, are this being charged on the same transaction fee as we charge on other futures or is

there any wave off which we are offered right now?

Praveena Rai: Same.

Sanil Desai: So, we are charging the same. Okay. And secondly, like we pay the product license fee to LME, is it a

similar kind of arrangement with IEX, which we have here, like same percentage or anything different over here?

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Praveena Rai: We do have an agreement with IEX giving us the rights to use their price. So, it's a very simple price that gives us a reference to the contract.

Sanil Desai: So, is it like some percentage of it? What it would be broadly or something? If you can...

Praveena Rai: Yes. So, I don't think we'll be able to share exact details here. But yes, we do have an arrangement. We do have an agreement on this.

Sanil Desai: Yes. Okay. And just one more small question...

Moderator: Sorry to interrupt, sir, but I may request you to rejoin the question queue for follow-up questions.

Sanil Desai: Sure.

Moderator: Thank you. The next question is from the line of Chintan Seth from Girik Capital. Please go ahead.

Chintan Seth: Yes. Thank you for the follow-up. Just wanted to understand how do you look at electricity futures in the broader scheme of things? We are launching new products and everything. But we have been waiting for this for quite some time. So, we are kind of excited if you can just what our internal...

Rishi Nathany: Your voice is muffled. We cannot understand you clearly, please.

Chintan Seth: Yes. So, my question was on the electricity futures. We have been trying to get the approval for quite some time. And now we have got it, what internally we are thinking to scale this up? And how should you -- what will be the benchmarks or goals or targets you are setting yourself for to scale this up in the future?

Praveena Rai: Yes. So, I think we are also very excited, Chintan, about this contract because it's a completely new product space, and it's a very large market when it comes to India.

There is also very stable spot exchange mechanism that exists. So, on the back of all that, I think we have launched the contract.

We've seen a good pickup in the early days. In fact, the first month is August. The first month of the contract is August. So, the month now has opened, even though we launched in July to sort of warm the contract up. So, from the 1st of July, the sort of mechanisms really start playing out.

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So, there's a very nice healthy open interest of about 700 lots that's built up. So, I would say early indications are looking green. The expectation of the contract is positive. I think it will add to our energy segment. And we want to continue to build into that segment so that we build -- cover all energy products in the segment there.

Any new product is going to take time to build out. Everything that we see today and the numbers we see have happened over years. So, what we want to look at here is early milestones to ensure that there is a trading book that is active and available, so that any producer or distributor or corporate is able to manage their price hedging mechanisms.

So, it's been extremely positive, the kind of feedback we've had from corporates. We've had many industrial organizations, in fact, call up proactively wanting to understand more and starting to try how the contract works in any ...

Yes. So let me just finish this last line. In any industrial setup, nearly 30% to 40% of their expenses is energy and electricity. So, I think we are finding a lot of commercial corporate participation interest and nearly 50% of our current participation also is from that space.

Chintan Seth: Great. Great, ma'am. All the very best for the future. Thank you. Thank you for answering my question.

Moderator: Thank you. The next question is from the line of Shalini Gupta from East India Securities. Please go ahead.

Shalini Gupta: Good evening. I wanted to ask lik

e , whole market volumes seem to have shot up. What is the reason?

Rishi Nathany: So Shalini, we have been growing consistently over the years. It's not that it has shot up suddenly. And it is a factor of increasing awareness, increasing participation, and that is translating into higher volumes. So, the business is growing, and commodities are taking their place in the sun, so as to say. So, I think that is also the reason why people are preferring commodities as a viable asset class, and more investor interest is there in commodities.

Shalini Gupta: So, you are expecting this to continue...

Praveena Rai: I will also add that one is, of course, the macro aspects of what's happening, but I think there's also been a lot of very focused efforts and initiatives taken to create more energetic engagement, interaction, spreading the knowledge of why commodity

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derivatives matter and so on and so forth. I mean these will take time to play out overall. But I think everything sort of adds up into this space.

Shalini Gupta: Okay. And ma'am, my second question, why are options volumes much higher than futures volumes? I've seen this across the years, across the quarters.

Rishi Nathany: So Shalini, if you understand the cost of trading options is quite cheap as compared to cost of trading futures. And that is a function of what the market prefers. We promote all products. We are -- we have equanimity towards all products. We would like all segments, all products to grow. But end of the day, it is the participants who decide what to trade.

Shalini Gupta: That's fair. But why are options costs lower? Because the brokerage cost will be the same across options in futures.

Rishi Nathany: It's the taxation angle, Shalini.

Shalini Gupta: Okay. So, options are taxed at a lower rate?

Praveen DG : So generally, it is like if you take futures and options, the taxation part is one thing.

And apart from that one, even the brokers charge differently for futures and options.

Moderator: Sorry to interrupt, ma'am, but I may request you to rejoin the question queue.

Shalini Gupta: Yes, yes. All right. Thank you.

Moderator: The next question is from the line of Aditya Bhatia from Electrum Capital. Please go ahead.

Aditya Bhatia: Hi, just a bookkeeping question. What is the average realization for the current quarter?

And number 2, on a more macro level, with the regulators increasing scrutiny in the derivatives market, are you seeing any near to mid-term regulatory or compliance headwinds?

Rishi Nathany: So, in terms of average realization, now you will understand that it is true to label. So, there is no average realization. What we announced, there's a fixed fee for everyone, and that is the realization. So, there is no variability in the realization. And in terms of commodity markets, we are very small compared to the equity markets, and we continue to grow, and we see continued interest in people to participate here.

See, commodities markets have a varied participants. So, you have a lot of hedge funds, real users, exporters, importers, physical market participants primary producers and

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consumers coming into this market. So, you cannot equate it with equity markets where they're just issuers or investors or traders. Here, there are a lot of other participants. So, commodity markets actually serve a larger economic purpose.

Aditya Bhatia: Sure. Thank you.

Moderator: Thank you. The next question is from the line of Aditya Yadav from Transcend

Capital. Please go ahead.

Aditya Yadav: Yes, hi, good evening. My question was an extension to previous participant's question. I understand you've discussed there have been

multiple initiatives which have been taken in terms of awareness, distribution, etcetera, which had led to increase in revenue. But still this quarter gone by, this April to June quarter had a step jump in revenue. I mean -- so I just wanted to probe a bit further on that, and you could give your sense why it has suddenly taken off in the last quarter?

Praveena Rai: Yes. So, I don't think it's suddenly taken off. I think quarter-on-quarter, the last few quarters have been each step, right? So, I think that's probably the way to look at it. So, if you look at every month, every month has had its -- there are some great months and good -- there are some good months.

But overall, quarter-on-quarter, we've seen that broader macro trend of growth is driven by macro parameters as well as all the actions around increasing both products as well as participants. Global actions around bullion, etcetera, have helped the bullion space. This has also coincided with the launch of the monthly options that we've had on gold and silver, the 10-gram launch. So, I think all those moving parts have come together, and that's how that sort of synergistic result is something that we are able to see today.

Aditya Yadav: Okay. All right. Thank you. That's all from my side.

Moderator: Thank you. The next question is from the line of Prakishit Gupta from Fair Value Capital. Please go ahead.

Prakishit Gupta: Thank you very much for the opportunity and congratulations on a great set of results. Most of my questions have been answered. So just one question on the electricity futures, please. While you have already mentioned that the transaction fee charged is the same as other future contracts. However, would you be able to quantify in terms of either volume or maybe value of the business that you expect from this contract, maybe for this entire financial year?

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Praveena Rai: Yes. So, sorry, we won't be able to give that because that's something that we are tracking internally. But like I said, I think we're looking at milestones. We're looking at green shoots here. I already shared the data in terms of what our current open interest is looking like. So, the trend is as we've expected.

The focus really is on early actions. The first -- we are just 2 days into the first month actually of the first contract. So, bringing in all the commercial participants and having them to actively participate is one of the primary objectives here.

Prakishit Gupta: Understood. Just one bookkeeping question. You mentioned transaction income split. Please, I just wanted to confirm it. Futures is at INR109 crores and then thereby options would be at INR267 crores, correct?

Chandresh Shah: INR227 crores.

Prakishit Gupta: All right. Thank you very much for answering my questions and good luck for the current quarter.

Moderator: Thank you. Ladies and gentlemen, this will be the last question for today. The next question is from the line of Lavanya Tottala from UBS. Please go ahead.

Lavanya Tottala: Hi. Thank you for the opportunity again. So just wanted to understand one thing, clarification. So, ma'am, you mentioned that the participation in electricity derivatives, 50% is coming from the corporates. So, the rest is coming from capital market participants or have you see DISCOMs using this for hedging or I mean, increasing participation from DISCOMs one can expect over a period of time. Anything on that?

Praveena Rai: See, 50% plus is coming from clients. Of that, I think we really wouldn't be able to say whether it's coming from what kind of participant, DISCOM and so on. But I think we do expect the public sector to take more time to come on Board. The early participation will come from private sector generators, and we are actively engaged with all of them.

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here is a lot of activity around solar generation and private distribution and so on and so forth. So, we have the open interest of 700 lots.

Lavanya Tottala: Okay. Maybe participation in terms of other contracts, how do you see like in terms of hedging and all? I mean, specifically gold, are we seeing higher share of hedges in other contracts coming in, specifically gold? Anything there?

Praveen DG : Can you repeat again , Lavanya ? You are not clear .

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Lavanya Tottala: So, I'm just asking how the participation in other segments has evolved, specifically hedgers in maybe gold, like how it has evolved over a period of time? Is it increased or -- hedging participation ...

Praveen DG: You are already aware of it. There's a significant contribution because when you look at it, you have to look from open interest when you are looking at hedgers . And when you are looking for other market participants, maybe you can look at the volume. In commodities like gold and other commodities, metals and other things, you could see a lot of participation in the hedgers , in terms of their contribution to the open interest, okay? So, in case of volumes, I think it is going to be distributed across many categories of market participants.

Lavanya Tottala: Okay. Perfect. Thank you. Thank you so much, sir.

Moderator: Thank you. Ladies and gentlemen, as there are no further questions from the participants, I now hand the conference over to Ms. Praveena Rai, MD and CEO, MCX, for closing comments.

Praveena Rai: Yes. Thank you very much to everyone who participated, and very high quality of questions. I hope we were able to address all of them. Thank you for your time and participation. Look forward to staying connected.

Moderator: Thank you. On behalf of Multi Commodity Exchange of India Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2025

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MCX/SEC/2589 November 11, 2025

BSE Limited

Department of Corporate Services

PJ Towers, Dalal Street, Mumbai - 400 001.

Ref: Scrip code: 534091 Scrip ID: MCX

Subject: Transcript of the "Earnings Conference Call" with investor (s)/analyst(s) on Q2

FY-2026 results.

Dear Sir,

Please find enclosed herewith transcript of the "Earnings Conference Call" with investor(s)/analyst(s) held on Friday, November 07, 2025, at 16.00 p.m. (IST) on Q2 FY-2026 results.

The said transcript is also uploaded on the website of the Company at

<https://www.mcxindia.com/investor-relations/ir-meetings>

Further, we hereby

confirm that no unpublished price sensitive information was shared/discussed during the said earnings call.

Kindly take the same on record and acknowledge receipt.

Thanking you,

Yours faithfully,

For Multi Commodity Exchange of India Limited

Manisha Thakur

C

Company Secretary

Encl.: As above

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MANAGEMENT :

MS. PRAVEENA RAI – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER

MR. MANOJ JAIN – CHIEF OPERATING OFFICER

MR. CHANDRESH SHAH – CHIEF FINANCIAL OFFICER

MR. RISHI NATHANY – CHIEF BUSINESS OFFICER

MR. PRAVEEN DG – CHIEF RISK OFFICER

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Moderator: Ladies and gentlemen, good day, and welcome to the Multi Commodity Exchange of India Limited Q2 FY '26 Earnings Conference Call. Joining us on the call today are Ms. Praveena Rai, Managing Director and Chief Executive Officer, MCX; Mr. Manoj Jain, Chief Operating Officer, MCX; Mr. Chandresh Shah, Chief Financial Officer, MCX; Mr. Praveen DG, Chief Risk Officer, MCX; and Mr. Rishi Nathany, Chief Business Officer, MCX.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone Please note that this conference is being recorded.

I now hand the conference over to Ms. Praveena Rai, MD and CEO, MCX. Thank you, and over to you, ma'am.

Praveena Rai: Thank you very much. Good evening, everybody. A very warm welcome to our quarterly earnings call. We have released our results as of end of day yesterday and very happy that MCX continues to deliver strong operational and financial results. During the quarter ending FY26, the second quarter, our consolidated total revenue stood at INR401 crores, which is a growth of 29% over same quarter last year. Our EBITDA increased to INR270 crores by 32% and profit after tax grew also by 29% to INR197 crores. Now this quarter witnessed good market activity. And overall, our ADT has risen to INR4.11 lakh crores. You will recollect that last year, our ADT was INR2.02 lakh crores. So that's a very healthy growth in the actual market activity that we see, a reflection of continued confidence as well as participation across stakeholders.

On specific business level actions, we have focused on executing on the plans we've discussed before, our product launches, where further variants in the bullion sector were launched. With market feedback, it was identified that the monthly options on silver, the main contract of 30 kg as well as the mini 5 kg contract, both of these were launched. And fresh future contracts were launched in cardamom as well as in Nickel. Nickel was a contract that has been traded on the exchange earlier, but this

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was sort of a launch with product nuances that were revised based on market feedback and regulatory approvals and then launched. The MCX BULLDEX has also been launched in the month of October.

We are committed to enhancing our technology infrastructure. We will continue to expand our product suite as well as deepen our market participation. All of this will reinforce MCX position as the commodity derivative exchange for India.

Now as you may be aware, on 28th of October, Tuesday, there was a technical issue at the exchange. We opened trading at 1:25 p.m. after shifting to the disaster recovery site. This primary root cause was a pre-defined parameter limit relating to reference data, like the unique client code, which is configured within the systems. So, this led to certain constraints beyond the threshold. And we have taken all steps to address these constraints and prevent similar issues from happening. The trading systems have not had any issues in the past, and this appears as a one-off, and we will continue to have a strong focus and resolution mechanism around this.

The exchange systems are well-positioned to support the market volumes and the growth that we foresee. We want to extend our gratitude to all stakeholders, member brokers, vendors, partners who have supported us through this incident, as well as across the entire quarter for their unwavering support for MCX as well as the support we

've received from regulators when it comes to driving commodity markets in India.

With this, I'd like to conclude my remarks and look forward to taking any questions and discussing further.

Moderator: First question is from the line of Devesh Agarwal from IIFL Capital. Please go ahead.

Devesh Agarwal: Thank you for the opportunity, everyone, and congratulations on a good set of numbers. My first question is continuing on the tech issue. So, could you help us, one, understand better what exactly was the issue that happened and whether it was a platform problem? It was from the TCS side or whether it was an operational challenge that we faced and what exactly have we taken -- steps taken to rectify that? And is the trading now moved back to the main site?

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Praveena Rai: Yes. So, I'll first confirm that the trading has moved back to the main site. During the course of that week, we did not want to make a move back to the main site, just given the situation that had happened, but that weekend, the system moved back, and everything is back to normal. Now the root cause, I think we've defined but let me try to explain it a little bit more. So, it is a predefined parameter limit, which was there in the gateway services. And this pertains to certain files, which include the configuration of things like the UCC. This crossed a particular limit that night because of which the threshold started becoming active. And with that threshold active, the gateway services were not able to get fully enabled.

And because this is a predefined parameter, the same parameter continued to hold good in the DR site also, even though the immediate action to move to DR was taken, the same key issue emerged, and there had to be certain steps taken to find

it, resolve it, address it and then run the process to start trading for the day, which tends to be a process with a few steps. And all of this together is what took that time before we opened up for trading.

So, this is what we have. And since we identified the problem that day and after that, we went through a root cause analysis, which we confirmed, the issue, we have also taken steps to make sure this problem is addressed in the system and then this has been brought back into operating from the main site. So, the issue has been resolved on both our main data centre as well as our DR site.

Devesh Agarwal: Right, ma'am. And the fact that this has happened the second time, the technical glitch that on our platform in a gap of 4 months, did you have any discussion with the SEBI and any sense that you can share with us what is the view that SEBI is taking? Are we expecting any penal order from them? Where are the dialogues with SEBI in this regard?

Praveena Rai: Yes. So of course, the first incident was pertaining to the clearing corporation, and this pertains to trading, the clearing systems and the trading systems. So yes, two different systems, though they did impact our market operation. So, there are standard processes followed in the way we need to adhere to updates and analysis working with SEBI and all of that is currently under progress.

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Till that process is completed, it will be speculative to make any note or take a view on how this will go. I think we are confident about where we are, and this is the message that we'd like to give forward.

Devesh Agarwal: Sure, ma'am. Sure. And one last one, ma'am. You recently launched the BULLDEX index options on 27th of October. So just, one, wanted to know, in this particular contract, FPIs are allowed to participate, right?

Praveena Rai: I think Rishi will come in on that.

Rishi Nathany: Yes. So as of now,

FPIs are not allowed to participate in any contract where the underlying is not cash-settled. So, because the underlying of the BULLDEX is gold 1 kg and silver 30 kgs, FPIs are not allowed to participate in BULLDEX options as of now.

Devesh Agarwal: Understood. And any expectation as to how are you seeing the volume build up in this particular contract?

Rishi Nathany: It's very early at present. It's just been 10 days since launch. So, any contract takes time to build up, and we are very confident that the contract will continue to grow.

Praveena Rai: Yes. I think the index options is something we've been awaiting for a long time. I think this launch was eagerly awaited, and it has happened now. So, we are very optimistic about the launch.

Moderator: The next question is from the line of Prayesh Jain from Motilal Oswal.

Prayesh Jain: Just any update on the base metal front with respect to the delivery centre issue or the sorting out of delivery centre and how do you trying to plan to scale this segment, which has been kind of weak for a pretty long period of time? That will be my first question.

Praveena Rai: On base metals -- sorry, your question was not clear. Are you asking what are the steps we are taking on base metals?

Prayesh Jain: Yes. And we were thinking about consolidating the delivery centres, right, the

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number of delivery centres on base metal. Is that something which is there on the

cards and where are we with respect to it?

Praveena Rai: Yes. So, we have done that. We have launched, in fact, Nickel only at one warehouse. We've consolidated Copper at only one warehouse now. That becomes active from the December contract. As far as the others are concerned, there has also been further consolidation. There has been in Aluminium, we are at 3 centres. Zinc has also been reviewed. So, it's a continuous process. We've looked at data on where deliveries have taken place. We've looked at and engaged with market participants on where they have a requirement. And based on that, this consolidation is taking place. We also don't want to do sort of -- take all actions in one go. So, it will be sort of a phase-wise action here.

Prayesh Jain: Got that. And interaction last time, I think had suggested that you will be kind of reaching out to the participants for increasing volumes on base metals. Where are we with respect to it? And how much engagement has happened there?

Rishi Nathany: So, this is an ongoing process. But for base metals, we are reaching out to various participants. If you see that Copper from the December contract is becoming a single delivery centre. And as our MD was saying that -- we don't want to do everything at once. So, we are taking one step at a time.

And if you see that there's been a pretty decent uptick in both Copper futures volumes as well as Copper options volumes. So, we are very hopeful that with Copper as a test case and with a single delivery centre, if we can get that traction, then we can look at other contracts as well. So, the process of reaching out to market participants is always on.

Prayesh Jain: Got that. Got that. And the other question is we've launched the BULLDEX, and -- so what are the plans to launch other index options and anywhere with respect to, have we filed the products or where are we? So apart from that, which other products can we expect in the next 1 year or so?

Praveena Rai: So, we have a pipeline. I think the pipeline is -- requires approvals. It requires a certain process at our end before we are in a position to announce it. But I think we spoke about it last time also. We have a healthy pipeline of commodities, which we

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believe meets requirements of scale, volatility, need for the Indian market. And this will be something that will start coming into play as our own processes get completed, and then we'll be able to announce timelines for that.

Prayesh Jain: Okay. Just on the BULLDEX contract, these devolve into futures, options and eventually, the customer has to buy the physical delivery of his open positions?

Rishi Nathany: No. BULLDEX options do not devolve. BULLDEX options are cash-settled. They will be settled at the price of the option on the last trading day. There is no devolvement of BULLDEX options into BULLDEX futures or the underlying gold and silver futures.

Prayesh Jain: So, then FPIs can participate in BULLDEX options?

Rishi Nathany: No, they cannot at present because the guidelines do not permit them.

Moderator: The next question is from the line of Amit Chandra from HDFC Securities.

Amit Chandra: My first question is on the rise that we have seen in the Bullion options. This rise has come particularly after the change in the expiry from bimonthly to monthly and also a lot of volatility in the underlying prices. So how do I attribute this to -- is it because of -- only because of the price volatility? Or is it because of the change in expiry? And also, what is the sustainability of this? Plus, in terms of the normalized premium to notional, how do we see the premium to notional for the gold and silver contracts? Plus, in terms of the participation, how has the participation in these new contracts been different from the earlier like crude and natural gas contracts that we have?

Rishi Nathany: So, if you see, you've asked 3 questions. One is that while we have seen increasing participation in volumes in the gold and silver contracts, you cannot attribute it to any one specific reason. It is always a combination of various factors which propel contracts to do better. And of course, there's been volatility. There's been heightened interest in these contracts, we made them monthly. So, it's a combination of all these factors.

Now when you talk about notional -- premium to notional, ideally, if one makes a bimonthly contract into a monthly contract, the premium should halve, if you take it

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theoretically. But our overall premiums have risen after making this move. So, it has been a beneficial move in that sense.

What was your last question?

Amit Chandra: In terms of the participation, how it has been different because it's more retail driven or it's more prop or who are participating in these option contracts? Is it very different from what we have in the past?

Rishi Nathany: It's not very different because we have a very wonderful mix of physical market participants, hedgers, investors, retail participants, HNIs, ultra HNIs, corporates, and of course, the entire jewellery community. So, it has just increased that -- due to this launch, and that is why we are seeing this kind of participation. Of course, volatility and price movements, of course, also have a large role to play.

Amit Chandra: Okay. And the second question is on the launch of the bullion like index options. So, in that, you obviously said that FPIs are not allowed, but being a cash -settled contract, but it was supposed to attract a lot of interest because of the nature of being cash -settled. Do we also need to do any market making in this contract to scale it to a certain level? Or is it going to rise based on the natural growth or the participation that we're expecting on that?

Rishi Nathany: Yes. So, before any contract when you launch, I mean it would not start exploding from day one. We expect that since we have

not brought in market making, it will be

organic growth. And this organic growth will be visible as we go ahead.

Amit Chandra: Okay. And my last question would be on the technical issue that we had. Obviously, you have explained the reason for that. But in terms of the medium to long -term implications of the issues that we are having, it's more on a frequent basis. Do we need to strengthen further our investments in the technology? And can we see some more steep increase in the technology cost and also in terms of capex ?

Praveena Rai: We have already planned investments in technology because at the growth rate that we have and what we have seen and what we are forecasting, we do expect that technology is not going to be a sort of a static platform. It will require continuous upgrades, doing this in a manner efficiently and making sure that capacity is up to

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mark with forecasted volumes and requirements is something that has already been work in progress and will continue to be. So yes, we will track to that plan of ours. We are not expecting anything very significant over and above that because this is already accounted for.

As I pointed out, the trading issue, the trading platform has been a stable one, this constraint notwithstanding, which we are addressing. The other upgrades and requirements that are there as part of the growth of volume will continue to take place.

Moderator: Next question is from the line of Niranjana Kumar from Aventus Spark.

Niranjana Kumar: So, during October '25, the margin requirements for the gold and silver F&O contracts were increased in 2 phases, right? So, can we expect this to go to previous level once the prices in these commodities cool off? That's question number one.

And another question is like you have clearly explained why there was a technical glitch. But can this have any impact on the future new product launch approvals from the regulator?

Praveena Rai: Yes. So, when it comes to margins, I think the situation on bullion and specifically on silver was something that we watched and tracked very closely while it was playing out, especially in the pre -Diwali festive season. On the back of what we saw in

market, some unexpected backwardation where Indian markets also reflected the global markets. We took some urgent actions. We also made sure that our actions, I wouldn't say made sure, but we also reflected on actions that we saw in the global space in terms of how price movements were playing out as well as margin movements and so on in the global exchanges. And I think our actions have helped and the situation has remained well under control. And of course, overall macro environment is also stabilizing now. So, we will keep a track on this. We are watching all our -- not just volatility, open positions and so on and so forth. And we'll rationalize at the suitable time.

Niranjan Kumar: Ma'am, also the impact on the -- like the technical glitch, will it have any impact for...

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Praveena Rai: Yes. No ... So we have whatever product approvals we require are in place. And new products are as per what is approved under the commodity list of SEBI. So, at this stage, I think processes are being followed as always.

Niranjan Kumar: Okay, ma'am. And like equity markets, are there any plans to launch weekly expiry option contracts as well? And also in equity markets, like a significant growth in index options was driven by retail investors. So, can we expect the same on the MCX platform, too? That's it from my side, ma'am.

Praveena Rai: In terms of MCX entering new segments, I don't think we can really comment on that. When it comes to weekly options,

of course, we are also watching the space.

And as we see the sort of perspective on weekly options, what will be the implication for both equity and commodities, I think, will be something that we'll all see as we move forward. But it is something that is on the radar for us.

Moderator: The next question is from the line of Lavanya T.

Lavanya T: Ma'am, thanks for the update on tech issue and I think we prefer not to speculate on the regulatory impact. But I just wanted to understand if there is any existing regulation or guideline which can give us a sense on what could be the maximum potential impact or penalty, if in case MCX had to face?

Praveena Rai: No, the circulars are all in public domain. I think there's also been a lot of intense media coverage on them. So those speculative details are well aware, but it will be inappropriate to term where the situation stands in the broader scheme of things with respect to those various rules and guidelines. So, I think we'll have to let the process play out to get to the bottom of this before we can actually see where the situation will end.

Lavanya T: Got it. Got it. Also, just on -- earlier some time back, regulator spoke about potential improvement in participation on the commodity exchange, specific -- I mean, if you could help us understand a bit more in detail what can be done in domestic institutional participation side. So, which kind of regulations or what can be done to improve domestic institutional participation on MCX?

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Praveena Rai: Yes. So, I think we are looking at improved participation across various parameters. I'm just going to request Rishi to take that, then I'll add on.

Rishi Nathany: Sure. So, we are seeing heightened interest and participation from domestic mutual funds. There's also participation from AIFs. PMS is an area where we would like to see more participation. So overall, we are seeing growing domestic participation. And in terms of membership also, if you see this year, we've already added 17 new members. So, in that sense, there's a very healthy -- and we have a healthy pipeline of more members coming in. So, there is a lot of interest for people to be

participating in commodities.

Praveena Rai: So, I think you will also notice that a number of mutual funds have now opened themselves up to the multi-asset fund schemes. So, that really is a very focused effort from our side because then it opens up the ability for commodities to be part of the fund. And we expect many -- I think we are aware of some in pipeline, and you will see those launches happen in market in the coming months.

Moderator: The next question is from the line of Raj Goenka from VJ Capital.

Raj Goenka: Ma'am, just one question I had is, how do I look into this? Because last quarter, if you see the commodity prices, especially the bullion prices were very volatile. But if you see sequentially, we don't have any kind of much growth. So how should I -- is there a lack of participation? Or what is it, please? Just this one question.

Praveena Rai: So, I think we are -- we had a good push -- growth that we saw in the first quarter of the year. We grew nearly by 33% over the previous quarter. This was driven by certainly some macro indicators along with whatever that, we were driving from a business standpoint. This month, we have seen this number to be flat. And I think it's a broader reflection of where the 2 quarters need to be seen hand-in-hand, even though the underlying drivers, the participation, the members, the ADT and so on has been increasing.

And certainly, we've seen growth in bullion. Bullion does have a slightly lower premium ratio, which is reflective of the way the product operates. And that is also reflecting in this, a little flat growth that you see

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Raj Goenka: And any -- we are making any kind of engagement with probably the brokers or the participant...

Moderator: Sorry to interrupt you, Mr. Goenka. May we request you to please speak a bit louder. We cannot hear you clearly.

Raj Goenka: I just wanted to find out one more ma'am. Anything we are doing to increase this participation?

Praveena Rai: Yes, yes, of course. I think everything we are talking about is what our business teams are doing, right? So, when we look at number of members and FPIs coming on board, domestic institutions coming on board, more commercial participants coming on board. All of these are very strong business actions in market. Our teams are there on the ground working on all of this.

Moderator: The next question is from the line of Bhavya Sanghvi from Alchemy Capital. I'm sorry to interrupt you, Bhavya, we cannot hear you. Your voice is breaking. Can you please check?

Bhavya Sanghvi: Yes. So, ma'am, just one question. Could you give us the breakup of revenue?

Chandresh Shah: You're saying futures and options?

Bhavya Sanghvi: Yes, yes.

Chandresh Shah: So, for Q2, revenue from futures was INR114 crores and options, it was INR223 crores.

Bhavya Sanghvi: Got it. And also, could you help us with transaction charges, membership fees and float income?

Chandresh Shah: So that is all part of the income numbers that we have presented. Beyond this, we will not be able to give breakup.

Moderator: The next question is from the line of Deepak Ajmera from Family Office.

Deepak Ajmera: Congratulation on successful product launches. First question is on the electricity derivative market share. Is there any natural edge that NSE has because of which the

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market share is higher despite being an equity exchange? Second question is on the co-location. What is the development?

How regulator and exchange is progressing on the co -location side? And third one is a suggestion on the Diamond Pass, which we last quarter also suggested that my team member took 15 minutes waiting for -- to connect this call. So that can be saved.

Chandresh Shah: Diamond Pass is something we'll have to subscribe. We'll check that.

Praveena Rai: Okay. Okay. So, the last point is, I think, an administrative point. Sorry that you had to wait. We'll see how best we can address that. Your point on electricity contract, the electricity contract is -- has picked up quite well. We are doing about INR34 crores of ADT, average traded lots of about 2,000 lots plus, with a very healthy open interest position buildup of 1,130 lots plus. Now here, we are looking at also distributed participation. We have more than 80 members who participated, a few hundred of UCCs that is participants who are actually trading and a very healthy momentum of commercial participants coming on board. It's a new contract, still young, just in the range of about 3 months.

I think we have also seen an extended monsoon. So of course, this parameter impacts some of the volatility and price considerations. Otherwise, we expected to see even recent numbers to be a little higher than this.

When it comes to competition, I think I won't be able to comment what exactly is happening there, but we do see the healthy participation, the number of members, the broader trades that happen over the course of trading time and our contract design, which has been done taking into consideration the needs of the market. All of these are very much what the market needs, and this is something we've gone back to industry and reconfirmed. So, I think we are quite confident where we stand on this.

Deepak Ajmera: Yes. On co -location...

Praveena Rai: Okay, okay. On co -lo, again, we won't be able to comment. As you know, it's not regulatory permitted. So , not something that we'll be able to really say anything on.

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Deepak Ajmera : Yes. Is that we should expect not in near future, means maybe long term, is that regulator and exchange is aligned towards allowing the co -location or that is not going to happen in the commodity exchange?

Praveena Rai: Not really to expect. Deepak, I think we should not -- I wouldn't want to either comment on it or speculate on it. But yes, let's leave it at that.

Moderator: The next question is from the line of Devesh Agarwal from IIFL Capital.

Devesh Agarwal: Two questions I wanted to ask. First, with the increased activity that we saw in the bullion segment in the month of October, what would be the expectation on the SGF contribution? Are we -- should we expect a significantly higher SGF contribution for the third quarter?

Chandresh Shah: So, Devesh, there has been some contribution, which we had to do in this quarter, I mean, in the month of October, and that is already there , reflected in the numbers, which are uploaded on the website. You can have a look at that.

Devesh Agarwal: Okay, sure. And lastly, recently, G roww mentioned, G roww MF , that they very recently had started the commodity trading on their platform. So -- and they are one of the largest retail brokers. So, what I wanted to know is, are there more brokers who aren't currently offering commodity trading on their platform? If you can identify those, the relevant ones? And if there are, what are we doing to engage with them to enable the commodity trading on their platform?

Rishi Nathany: So, Devesh, as I told, we've got 17 new members this year, and there are many more in the pipeline. Of course, there are a lot of members who are there on the equity segments, but maybe not on the commodity segments. And we are constantly reaching out to them, and that is how we have a healthy pipeline and conversions of new members into the system. So, we believe that this would , going forward also , continue to grow, and we should add more members as we go forward.

Devesh Agarwal: Sir, would you be able to call out of the top 10 brokers by active clients, which NSE reports, how many would also be participating on MCX?

Rishi Nathany: I cannot name any specific member by name. So, I don't know...

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Devesh Agarwal: Like 3, 4, 7, 8, not the names, just the number. All 10 are participating.

Rishi Nathany: More or less, it would be similar.

Moderator: The next question is from the line of Manoj Bhargav, an individual investor.

Manoj Bhargav: Yes. Well, I'm actually a long-term investor. We are a family office, and I'm not interested in quarter-on-quarter or year-on-year. What I am interested in knowing is, I know very well that MCX is at a very nascent stage. It's just sort of taking off.

As I see the commodity exchanges around the world are very vibrant as compared to the equity exchanges, should we expect with MCX going forward, let's say, a vision of 4 to 5 years in a similar sort of trajectory?

Rishi Nathany: So, Manoj, just to answer your question, commodity markets globally are -- maybe the leading ones, are more than a century old. In India, commodity markets have just started in the early 2000s. So, we are just roughly 22 years old, whereas equity markets in India, again, are more than a century old. So, we are playing catch up. And looking at the speed of growth, which we are seeing and it's visible to you as well, I'm sure we'll get there. When? I cannot tell you because it depends on the market as to how fast we grow.

Manoj Bhargav: Yes. But the trajectory definitely looks positive, looks optimistic. I mean, what I hear, what I've heard all your comments, I mean, it definitely sounds promising. Is that how you see it?

Rishi Nathany: We are all for delivering growth, and it's up to you to see whether we are doing that or not.

Praveena Rai: No, no. Yes, I think you're right. I think, we are positive. We are optimistic. A lot of business actions on the ground, product suite enhancements. We've spoken about all of that. So, I think we are moving across various axis here.

Moderator: The next question is from the line of Aditya Makharia from HDFC.

Aditya Makharia: Yes. I just had one long-term question again. You see globally, what is the ratio of commodity volumes vis-à-vis equity. So, let's say, if equity does a daily volume of,

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let's say, \$1 million, will a commodity exchange in the U.S. or anywhere else be maybe half of that or 2x of that or 4x? Just want to know what is the global benchmark.

Praveena Rai: Yes. So, I think we don't want to talk about what happens in other exchanges. What we know from global benchmarks is that commodity markets tend to be a multiple of the equity markets. So yes, that upside and headroom is available here at a high level.

Aditya Makharia: Okay. Got that. And just second thing, of course, we have gold, silver, crude and natural gas, which is multiple -- which is bulk of the volume. Globally, it would be these or there would be other commodities which are sizable?

Praveen DG : Different exchanges have different commodities, like -- but of course, the crude oil and energy products happen to be one of the leading commodities. Besides energy, you have bullion commodities after that on metals and everything. But every exchange has a different specialization. But of course, we are glad that we have a diversified group of commodities on the exchange.

Moderator: The next question is from the line of Prayesh Jain from Motilal Oswal.

Prayesh Jain: First question is on the bullion part again, BULLDEX. So far, the participation-wise, who are the -- whether it's retail, whether it's prop desk, whether it's hedgers, who have been kind of participating in this name? And do you think that this product can attract more retail base versus the other products that we have?

Rishi Nathany: So, to answer your question, Prayesh, participation is all rounded, and we would always like to see all rounded participation from all market participant types. So, whether we will see retail or hedger s or institutional, I cannot comment because end of the day, we are a platform and we reach out to all participants, and it is our desire that all such participants come and participate on the platform and on every contract. So ideally, what we look forward to is the contract doing better and better. Prayesh Jain: Extension to that would be, do you expect some cannibalization between the existing -- the main base of commodity option contracts and the index contracts?

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Rishi Nathany: I don't think there will be any cannibalization. We have launched so many variants in gold and silver, all of them are doing well. When we launched the gold 10 grams, people said it was very close to the 8 grams. So that has also done well. Everything finds a niche for itself.

Similarly, this contract will also find a niche for itself, and all these contracts are proven to be complementary to each other rather than cannibalizing.

Prayesh Jain: Got that. And the last question is on the number of clients that would have traded on futures and options. As per your presentation, it was about 6.4 lakh in options in the Q

2 and 2.7 lakh in futures. What would this number be in, say, October month?

Praveena Rai: We can't comment on October month in this call. Of course, whatever data is in public domain on our website, etcetera, you can also have access to it. It is -- given macro environment and everything that happened around bullion, of course, numbers have been healthy overall.

Prayesh Jain: Okay. Just a feedback - we get a lot of data in terms of NSE and BSE, they kind of give a lot of data out and there , one of the publishing position documents is NSE Pulse. If we can also start disclosing more data on a monthly basis, it will be great. We can track the company better, just a feedback.

Praveena Rai: Sure. Thank you for that.

Moderator: The next question is from the line of Tejkumar Jain from TK Jain & Company.

Tejkumar Jain : I just want to ask on the fixing of record for splitting of shares. Normally, it speaks after -- immediately after the shareholders' approval meeting. Any reasons behind this for delay?

Chandresh Shah : I think it is -- there are some steps which we have to take -- special steps which we have to take for being an MII. I think it is in the final stages. The date will be announced shortly.

Moderator: Ladies and gentlemen, as there are no further questions, I would now like to hand the conference over to Ms. Praveena Rai, MD and CEO, MCX, for her closing comments.

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Praveena Rai: Thank you very much to everybody for participating, spending your valuable time with us. The questions, interactions, discussions were very valuable. They also help us take back some thoughts, suggestions on the MCX pulse and so on were very good and well taken. Somebody also pointed out some administrative delay in joining. We'll try to address that also in future. Thank you very much for joining in.

Moderator: Thank you. Ladies and gentlemen, on behalf of Multi Commodity Exchange of India Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2026

MULTI COMMODITY EXCHANGE OF INDIA LTD.

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CIN: L51909MH2002PLC135594, info@mcxindia.com

MCX/SEC/2633 February 03, 2026

BSE Limited

Department of Corporate Services

PJ Towers, Dalal Street, Mumbai - 400 001.

Ref: Scrip code: 534091 Scrip ID: MCX

Subject: Transcript of the "Earnings Conference Call" with investor (s)/analyst(s) on Q3 FY-2026 results.

Dear Sir,

Please find enclosed herewith transcript of the "Earnings Conference Call" with investor(s)/analyst(s) held on Tuesday, January 27, 2026, at 16.00 p.m. (IST) on Q3 FY-2026 results.

The said transcript is also uploaded on the website of the Company at

<https://www.mcxindia.com/investor-relations/ir-meetings>

Further, we hereby

confirm that no unpublished price sensitive information was shared/discussed during the said earnings call.

Kindly take the same on record and acknowledge receipt.

Thanking you,

Yours faithfully,

For Multi Commodity Exchange of India Limited

Manisha Thakur

C

Company Secretary

Encl.: As above

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"Multi Commodity Exchange of India Limited

Q3 FY '26 Earnings Conference Call "

January 27, 2026

Disclaimer: This transcript is provided without express or implied warranties of any kind and should be read in conjunction with the accompanying materials published by the company. The information contained in the transcript is a textual representation of the company's event and while efforts are made to provide an accurate transcription, there may be material errors, omissions, or inaccuracies in the reporting of the substance of the event. The transcript has been edited wherever required for clarity, correctness of data or transcription error. This document may contain "forward-looking statements" – that is, statements related to future, not past, events. In this context, forward looking statements often address our expected future business and financial performance, often contain words such as "expects", "anticipates", "intends", "plans", "believes", "seeks", "should" or "will". Forward-looking statements by their nature address matters that are, to different degrees, uncertain. These uncertainties may cause our actual results to be materially different than those expressed in our forward-looking statements. We do not undertake to update our forward-looking statements.

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MANAGEMENT :

MS. PRAVEENA RAI – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER

MR. CHANDRESH SHAH – CHIEF FINANCIAL OFFICER

MR. RISHI NATHANY – CHIEF BUSINESS OFFICER

MR. MANOJ JAIN – CHIEF COMPLIANCE OFFICER

MR. PRAVEEN DG – CHIEF RISK OFFICER

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Moderator: Ladies and gentlemen, good day, and welcome to the Multi Commodity Exchange of India Limited Q3 FY '26 Earnings Conference Call. Joining us on this call are Ms. Praveena Rai, Managing Director and Chief Executive Officer; Mr. Rishi Nathany, Chief Business Officer; Mr. Chandresh Shah, Chief Financial Officer; Mr. Manoj Jain, Chief Compliance Officer; and Mr. Praveen DG, Chief Risk Officer.

As a reminder, all participant lines will remain in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by press ing star, then zero on your touchtone telephone. Please note that this conference is being recorded.

I will now hand the conference over to Ms. Praveena Rai, MD and CEO, MCX, for opening remarks. Thank you, and over to you, ma'am.

Praveena Rai: Thank you very much. Good day everyone, and a warm welcome for joining us today for the quarterly earnings call. We are delighted to share that the third quarter of FY '26 has been a strong and defining quarter for MCX, reflects the momentum we have built for our business, products an d market participation in the context of broader macroeconomic environment. Our performance during the quarter underscores the resilience of our platform, the strength of our operating model , and the importan ce and growing relevance of commodity derivatives in India' s evolving financial ecosystem.

For the quarter ended December 31, 2025, our consolidated revenue from operations grew by 121% year -on-year to INR 666 crores, while EBITDA grew by 144% to INR 527 crores. Profit after tax grew by 151% to INR 401 crores. This robust performance was supported by an increase in macroeconomic activity, both at the global and country level, along with supported efforts around products, participation and delivery to scale both in the opera ting and risk management level.

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Public Our average daily turnover in futures and options rose to INR 7.5 lakh crores.

You'd recollect that in the first half of the year, we clocked INR 4 lakh crores, while we closed the previous year at about INR 2 lakh crores. So, this is a year - on-year growth of about 220%.

On a 9 -month basis, we see healthy growth trends too, with revenue from operations up by 72% to INR 1,413 crores and PAT increasing by 89% to INR 802 crores. Operationally, the quarter was marked by deepening participation across segments, particularly in bullion, but well supported by other commodities.

And with bullion now contributing 69% of the average daily turnover, and including in its portfolio, many successful product launches for Gold Mini, Gold Ten Futures, silver monthly options expiry and smaller denomination contracts, and monthly options on the MCX iCOMDEX Bullion Index.

These initiatives reflect our continued focus on expanding product breadth while enhancing liquidity and risk management efficiency for all participants.

New participants by way of new members, FPI 's as well as domestic financial institutions also contributed to the healthy uptick in our volumes.

Throughout this phase, we remain firmly guided by higher standards of governance, compliance and market integrity. Our priority continues to be delivering a robust, transparent and resilient marketplace that creates long - term value for hedgers, investors, members and all our stakeholders.

As we look ahead, we are confident in our strategic direction and operational readiness to support this excellent phase of growth in India's commodity derivatives market. We are committed to innovation, prudent risk management and sustainable value creation. We extend our sincere gratitude to all stakehold

ers, regulators, member brokers, vendors and partners and associates for their continued and unwavering support towards MCX.

With this, I conclude the opening remarks and look forward to an interesting discussion in the following Q&A session.

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Public Moderator: Thank you. Ladies and gentlemen, we will now begin the question -and-answer session. We take the first question from the line of Devesh Agarwal from IIFL Capital.

Devesh Agarwal: Firstly, heartiest congratulations to the entire team for a great set of results and numbers, very good numbers, ma'am. My first question, ma'am, is basically on this -- we see that the number of traded UCCs have seen a significant jump in this quarter on a sequential basis. Could you help us understand what is driving this growth? And do you expect these numbers to grow even in the upcoming quarters?

Praveena Rai: Thank you, Devesh, for the appreciation, we'll certainly pass it on to the entire MCX team. We have at the heart of this growth in UCCs, 2 contributing factors. One is really an exercise in exploring and aligning the user experience across members for commodity derivatives trading.

So we did identify early on that experiences like a common ledger, front screen experience for a retail member, a retail participant, their important criteria and in real ity viewing experiences end -to-end, there is a fair amount of activity that our teams have taken, but more importantly, members have looked at the opportunity that they seek for commodity derivatives market, what their users are looking for and aligned the e xperience to be a common experience, be it equity investing or commodity derivative s investing.

So, we believe that's one of the drivers of the uptick. Alongside that is also the fact of new members who have come into our fold that has contributed to new UCCs comi ng in along with those members.

So, both of these are driving factors. I think at least for rest of the year, we do expect to see a certain momentum continuing. And when I say rest of the year, let's say, for some time now, we expect this momentum to continue because there is headroom from where we stand today to what is the potential.

Devesh Agarwal: Ma'am, in the new members that you mentioned, when you speak about the headroom, are you talking about more headroom within the new members

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Public who have joined, which can grow further? Or there are also other members who may be big or active on equity and haven't started offering commodities, even on that account, we have potential?

Praveena Rai: Yes. I think headroom is both. Headroom comes from both at a larger business level. But certainly, when it comes to UCCs and you see participation at India level, we see headroom there.

Devesh Agarwal: Sure, sure. My next question would be, ma'am, we've seen that this quarter, particularly, the gold and silver delivery has increased on our platform. So, one, I wanted to understand, does these additional deliveries lead to some additional cost for the company? And other is basically in an event, if there's a short delivery that happens, what will be the liability on the exchange?

Praveena Rai: So -- no, there is no additional cost to the company because these are managed as part of warehouse negotiations and what participants pay for the services. And we are quite happy to see this sort of healthy delivery happen despite global conditions at a point in time. It was a very active management from the exchange as well.

The second question on what could be a potential impact of short delivery, there are guidelines and rules that manage that circumstance, by way of penalties and so on and so forth. So, these are well-established processes, and they have happened in the past, and the

they happen on an as-and-when basis depending on market conditions, and we are well equipped to handle that.

Devesh Agarwal: Ma'am, so far, are there any instances in the last 3, 4 months where there has been short deliveries?

Praveena Rai: No, nothing abnormal.

Devesh Agarwal: Right. And with this increased activity, both in futures and options turnover, what kind of technological enhancement would you be required to do? And what is the capex that you intend to spend to build up more capacity?

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Public Praveena Rai: Yes. So Devesh, I think this is an ongoing exercise. This is a question, I think, probably in the last 2 quarters also, we've discussed. So, with growth and more importantly, with the expectation of growth is the continuous need to keep our technology up to date, ready for high resilience, high availability, high scalability, fully functional to manage all the volatility as well as growth that the environment offers. So, we will continue to be in investment mode as we have been in the past. And we see that as necessary, but also a positive part of where we stand in the business.

Devesh Agarwal: Any particular metric that it's tracked ma'am, in terms of the order that the system can handle? And what has been the build-out that has happened over the last, say, 12 months or probably the peak orders that we have seen this quarter versus that, what is the capacity that we have at this point in time?

Praveena Rai: Yes, we've seen significant increase in our order volumes this quarter. I don't have the numbers handy right in front of me, but we have seen them significant, and we have held strong, thanks to investments of the past, and we continue to have very strong oversight over what is required for the future.

And these are very BAU activities, let me put it that way. So, we are not in a phase where we are looking at growth as a one-time measure. It's every quarter activity. So, it will continue to persist. Yes, continue to persist in an efficient manner.

Moderator: We take the next question from the line of Amit Chandra from HDFC Securities.

Amit Chandra: Very strong numbers, ma'am and congratulations to the whole team for this.

My first question is on the volume uptick that we have seen. So obviously, every month, we are seeing a new high. And obviously, in terms of the mix also, it has been fairly distributed wherein both the energy contracts, and the bullion contracts are contributing.

But from here on, we also mentioned that we're also focusing on the metals

Public portfolio to be more diversified. Obviously, it has been, but the strategy in terms of increasing volumes on the metals contract. So, what's the update there?

And also, in terms of the indices and the index options, we have launched, but we are seeing very, very minimal traction there. Obviously, we had some challenges there in terms of participation. But any update there where we are in terms of the index option side?

Praveena Rai: Thanks Amit. Rishi will just take your questions on this.

Rishi Nathany: Yes, Amit. To answer your first question on base metals, it's not just base metals, we have 4 segments, as you know, agri, metals, bullion and energy, and we are trying to focus on all of them. In base metals, we've already seen traction in the copper futures and options. We are seeing a lot of traction on the zinc options and futures as well.

Nickel, which we launched this year only, now we are seeing good volumes and a healthy buildup of OI. So, in terms of base metals also, I'm sure we are getting there as we speak. On the index, while we did launch index options, we haven't seen the kind of traction we were expect

ing, however, on index

futures, we have seen good traction building up, and we hope that once the futures get good momentum, options will follow.

Amit Chandra: Okay. And ma'am, on the question of the participation in terms of the credit UCCs that we have seen a very sharp increase. Obviously, this is because of onboarding of new members. But in this quarter, we have seen the full 3 - month impact of the new member, which has been added. And also, in terms of the overall TAM because if you see on the other exchanges, equity exchanges, this number is almost 5x higher in terms of the people who are trading on options. So how do we see this?

And also, in terms of the newer people who are coming and trading on MCX, these are mostly retail HNIs. Any like profiling if you can share? Because in terms of the mix, we are not seeing the FPI or the institutional participation increasing, only the client and the others. So, the mix has been fairly stable.

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Public So, is it only because of the volatility these people have come in and traded?

And how do you see the stickiness of these people in the longer term?

Praveena Rai: Yes, Amit. So, Amit, I think the UCC number, of course, is a number that subsumes many of the other FPI's and sort of other participants because this number is in lakhs and those numbers are in double digits. So over here, I will say that there is headroom to the extent that there are more investors in the market and there is interest in the investors.

At the same time, we don't believe commodities is something that's going to be for one and all, and the entire market that today trades is an addressable audience. So, to that extent, at some point, once we have reached a certain level of maturity with UCCs, this will start flattening out. but we still see headroom for growth there. With reference to other members, I think you can't look at UCC numbers to gauge that impact. We do see impact from other categories as well coming in.

Amit Chandra: And just a follow-up on this, ma'am. Is it also because obviously, the volatility is so high in the market in terms of the bullion and the other contracts as well.

Plus, there is an advantage in terms of , that the cost of trading for commodities have become lower versus equities in terms of the taxation, STT is like 2x of CTT.

And also, in terms of the size of the contracts for the commodities, especially the mini contracts are much lower than what it is there in equity. So, this is also structurally helping us in getting and attracting more retail customers.

So, any views on this?

Praveena Rai: No, what you said is just factual statements and has been there for a while.

So, we really don't have a view on what this is doing specifically now.

Moderator: We take the next question from the line of Prayesh Jain from Motilal Oswal Financial Services Limited.

Prayesh Jain: Firstly, congratulations on a great set of numbers. Ma'am, the first question is an extension to the previous one. Base metals, we've seen a jump, and we
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Public earlier had alluded to the challenge in base metals with respect to the multiple numbers of delivery centers. Have we, in any form modified that and consolidated the number of delivery centers? What has really caused the sudden increase in base metal volumes? Yes, that will be my first question.

Praveena Rai: Yes. So, we have seen increase in base metals volumes. There is a quarter -on-quarter growth of 156% with a year -on-year of 77%. This upswing, of course, in the context of volatility, there are a couple of actions that we took explicitly. Number one was consolidating warehouses. We've done that for copper. Copper has moved to a single warehouse.

This was based on the study of numbers of deliveries that

at happened across

warehouses and also the market feedback that we had from the members that they were looking for this kind of modus operandi to simplify the contract transparency for them. So that has helped.

We've also had a lot of market engagement with reference to GST sort of queries, if I may call it that. So, some lack of awareness amongst participants on how to handle GST as part of deliveries and so on and so forth was also another important initiative that we have been taking and specifically in the last quarter.

In addition to this, of course, this is the broader outreach engagement, number of members have set up commodity desks, they are very active. So, I think we are also in the midst of a bit of capacity building around commodities, the broader ecosystem. So, all these 3 put together, along with the environment around volatility of metals and of course, the demand for base metals in the industrial space have all contributed to this.

Prayesh Jain: And do you plan to extend this -- the change that you've done for copper to other base metals as well about the single delivery center?

Praveena Rai: So, we are reviewing and we are consolidating. Nickel, for example, is operating in one center only as a relaunched new contract, which also had that other element of differential trading unit and delivery unit that was also an action taken specific to Nickel . That started to give us good results on
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Public Nickel . On some of the other contracts also, we have started consolidating the primary warehouse and reviewing the other warehouses and some that are not very effective are also being rationalized.

Prayesh Jain: Got that. Ma'am, and...

Moderator: Prayesh, I would request you to please rejoin the question queue. We take the next question from the line of Chintan Sheth from Girik Capital.

Chintan Sheth: Congrats to the team for the great set of numbers, even the January numbers looks really -- the momentum continues to be pretty strong. So, in that context, ma'am, if you could elaborate on product launches you alluded to in the past, if you can further give us an update, which are the contracts which -- or new launches, which one can expect from here on? That's one.

And second, on the SGF, given the volumes rising, we have seen this consistency as a percentage of revenue that is what one should expect going forward? That's another -- that's the second one. And lastly, the bookkeeping one. If you can split the revenue between the futures options would be helpful? Yes, those are the 3, and I will join the queue.

Praveena Rai: Yes. So Chintan, the question you had on futures and options, Chandresh, could you just provide those numbers?

Chandresh Shah: Yes. Chintan, the revenue from futures was INR 227 crores for this quarter and options INR 380 crores.

Praveena Rai: And with reference to expense numbers, Chintan, we do believe that our expenses are lagging our growth in terms of what we really need, both from a technology and operating standpoint as we work towards the business opportunity -- sustained business opportunity as well as what the economic environment requires, what our market requires.

So, we will be looking to normalize this over time, not necessarily from the standpoint of exactly where we stand. And I can tell you that operating

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Public expenses on a quarter basis is very difficult to comment on. So, I think we'll wait for the year -end to play out there.

But we are in the midst of planning for our next year, looking at sustaining the momentum of growth. And what will we need to do, what is the demands and requirements of the market for us to really use this opportunity to shape the market from an Indian commodity derivatives situation. This is an opportunity

for us to take a lot of proactive steps, and we will be doing that in a manner that is efficient and contributing to our bottom line.

Chintan Sheth: And lastly, on the launches, if you can update us on...

Praveena Rai: Launches to come is a little difficult to comment on, Chintan. We are focused on stabilizing the launches that we have made, and we do have a healthy pipeline, but we will look to time it on the back of our internal process as well as our gauge of the right timing for the particular product and market.

Moderator: We take the next question from the line of Ansuman Deb from ICICI Securities.

Ansuman Deb: Congrats on great set of numbers. I have 2 questions. One is on the -- again, on the SGF side. So, any quantification of the kind of SGF we would require because the volumes have increased significantly or any policy towards that?

That is one.

And second is in terms of the ability to handle these volumes, you said that expenses is BAU as usual and you keep on investing. But on the current state of affairs, can we -- is it -- can we have any numbers in the sense, for example, if the options goes to INR 1.5 trillion or INR 2 trillion plus futures -- sorry, futures goes to INR 1.5 trillion or INR 2 trillion per day or the future -- the premium goes to maybe INR 15,000 crores ADT or INR 20,000 crores. So, any volume levels till which we are comfortably placed? So, these are the 2 questions.

Chandresh Shah: So Ansuman, on the SGF, so -- see, SGF is a requirement prescribed by SEBI.

So, for SGF contribution, we keep looking at the requirements and we keep

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Public strengthening it as it helps in providing safety net to ensure that the transactions are complete and there are no participant defaults. Even if the participant defaults, we can conclude the transaction. So, in a different way, strong SGF also gives us some flexibility to manage margin requirements from members.

Ansuman Deb: But any quantification on the requirement, or no?

Chandresh Shah: No, no.

Ansuman Deb: And on the volume levels at which we can think like it's comfortably placed as of now?

Praveena Rai: Yes. So, we are well placed for a certain multiple of the volume that we have faced right now. And I'm saying faced because it's been a big multiple over the previous quarter and that quarter over the previous quarter and so on. So if you look at this kind of a momentum, we are well placed for at least 3 x to 4x kind of a volume.

But our intention and objective is to really be ready for more. In fact, market is telling us to be ready for a 10x volume. We've spoken about it also. So that's the kind of readiness that over time in an efficient manner that we will build up.

Moderator: We take the next question from the line of Akhilesh Bhattar from Ampersand Capital.

Akhilesh Bhatte: I had a question regarding the margin requirement. So, given the increase in volatility in gold prices, silver prices, precious metals, so do you anticipate any increase in margin requirement required by the regulator? I just want to understand how does that function?

Praveen DG : The margins are actually dependent on -- I think you know that one of the primary factor is volatility. That is what decides your initial margin. And apart from that one, we also have additional margins and ELM. So, there is -- fixed formula is there, it is more driven and it is -- that means we look at what is Multi Commodity Exchange of India Limited

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Public the price movement in each of the commodity and the basis that on VAR based margins are going to be levied.

Praveena Rai: It's part of standard process. Every day, there is a margin calculation that happens based on current volatility price and so on and so forth. And immediately, that is then applied to market. So, it's not

a one -off activity,

though if we see the need and the requirement, there is an additional margin over and above that also -- that gets levied. It's an ongoing activity.

Akhilesh Bhatte: Got it. So essentially, the risk that you are exposed to in terms of a participant honoring their transaction is very low because of the margin requirement systems that you have in place?

Praveen DG : Yes. And we also do that M2M anyway, like because it happens on a daily basis. That why it is like the risk is limited to only not more than a day -- single day, and that is well covered using the initial margin, which is the basis of our margins.

Praveena Rai: The regulatory framework, which defines the margin calculation and India is a conservative market in that sense. So our margins are the highest in the world and tend to go up quite steeply as volatility steps in. While this does lead to some sort of a constraint in the industry with members having to cough up larger sums for margin, it keeps us well managed from a risk standpoint. And of course, in addition to that is the SGF framework. So, both working hand -in-hand keeps us both MCX and MCXCC L very well protected as an exchange and clearing house.

Moderator: We take the next question from the line of Ankur M. from Old Rice Investment.

Ankur M.: Yes. So, when we are launching derivative on aluminum, Nickel , if you can guide there? And second, electricity derivative market share is low for MCX compared to NSE. So, are we planning to launch options there in order to gain some market share? Thank you.

Rishi Nathany : Ankur, what was your first question?

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Public Praveena Rai: When will we launch in aluminum, et c.?

Rishi Nathany : Options, okay. Okay. So, Ankur, for all products, there is a threshold of non -agri for INR 1,000 crores ADT in a complete 1 -year cycle, post which only we can apply. So, whether it's aluminum or electricity, whichever contracts will we cross that INR 1,000 crore s ADT threshold on futures, then only we can apply for options. So, we are ceased of that matter. And as and when we cross that threshold and we see that there is appetite in the market, we will definitely work towards that.

Praveena Rai: The electricity...

Rishi Nathany : Yes. And in terms of electricity, while the volumes, whatever they are showing are participation from clients is very high as compared to our other contracts available in the market. And we do look forward to adding more and more value chain participants to our contract. So, we are sure that we will definitely see more traction in terms of growth.

Moderator: We take the next question from the line of Sanketh Godha from Avendus Spark.

Sanketh Godha: Sir, my first question is more on product license fees. See, we saw a significant growth in the revenue on a quarter -on-quarter basis, but our product license

fees hardly grew. And if I do it as a percentage of the transaction income, it comes around 4.1% for the quarter and while it has been in the range of 6 to 7 percentage for previous 5, 6 quarters.

So, I just wanted to understand how this exactly works, whether the license fees, what we pay grows in line with the revenue or it has a fixed slab and then incremental percentage what you pay for the licenses grows at a meaningful very low rate. Just if you can give a color on how it works, it will be useful. That's my first question.

And second question is out of this INR 665 crores, I think INR 601 crores is transaction income. How much is coming from core float income, investment
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Public -- float income that is from the margin money, not the other income? So, if you can answer these 2 questions, it will be useful.

Praveena Rai: Yes. So, in terms of product license fee is -- you can rea

d it off from the

numbers on energy because we settle off international prices working with CME. So that's the part that contributes to product license fees, right? So, when bullion grows, et c., that doesn't lead to any direct cost to us because we settle on our own prices. Float income, Chandresh...

Chandresh Shah: It is around INR 45 crores.

Sanketh Godha: Okay. It's around INR 45 crores. Fine. And lastly, ma'am, if I can squeeze one. From September to December and to January, I know that silver has seen a margin increase in the month of -- in third quarter. But any other product which has seen margin requirement going other than silver in third quarter and even January till date?

Praveena Rai: Yes, yes, number of products. In fact, wherever volatility has been higher, it's gone up in gold, it's gone up in copper...

Rishi Nathany : Copper and even other metals gain -- natural gas.

Praveena Rai: In natural gas, sorry, I don't have a list in front of us, but it's gone up in a number of commodities.

Sanketh Godha: And it has been increased by a percentage or so on a broader basis? I just wanted to check that.

Praveena Rai: It's a percentage or more...

Sanketh Godha: 7% initial margin has gone to 8%, 9%, delta change, I mean to ask how much it can...

Praveen DG : Silver if you take it is around 25%, then you have an additional margin. So gold is around I think around 10%, it is. So, it purely depends upon the volatility in that commodity.

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Public Sanketh Godha: And, reversal of it, for example, if tomorrow volatility cools off, is it easy to reverse this or it stays for a longer time?

Praveen DG : Yes. No, no, it is actually volatile based margin that basis that one automatically calculates what is the volatility in that margin because we use EWMA model. So, basis that one, it will estimate what could be the probable volatility and accordingly, the margins will be levied. So, the moment if there is a downtrend in the volatility, automatically, the margins would come down.

Moderator: We take the next question from the line of Parikshit Gupta from Fair Value Capital.

Parikshit Gupta: Congratulations on a great set of results. Most of my questions have been answered. But just one on the risk to our monopolistic position, especially in bullion. We all know what is happening with IEX, although we are governed by a different regulatory body. But do you anticipate any similar risks of maybe sharing the price discovery for MCX, if that -- if you could please articulate on that, please?

Praveena Rai: Parikshit, competition risk does exist because other exchanges are also vying for share in this space. So we are cognizant of it, and we respect the environment in which we are operating. We do believe as long as we stay focused on our growth and innovative in our approach to products that meet

the needs of the market, continue to grow participation, deliver to both technology, operational and risk management needs, we are well positioned to act as the commodity derivative exchange for India.

Parikshit Gupta: I understand. Just a quick follow-up on this, please. Has there been any activity from SEBI or any intimation which I shared with you about splitting the overall pie of the market as you may put it?

Praveena Rai: We don't have any information like that, Parikshit.

Moderator: We take the next question from the line of Anand Dhaskaran from Ksema Wealth.

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Public Anand Dhaskaran : Good evening, can you hear me?

Chandresh Shah: Yes, we can hear you.

Anand Dhaskaran: Yes, congrats on the good set of numbers. I have 2 questions. One is a follow-up to the previous one. Can you just repeat the breakup for the futures and options revenue please just once again for Q3 FY '26?

Ch

andresh Shah: So Q3 futures revenue is INR 227 crores and options revenue is INR 380 crores.

Anand Dhaskaran: INR 380 crores?

Chandresh Shah: Yes.

Anand Dhaskaran: Okay. That was one thing. And second is regarding the new index options have been launched in this quarter, the AD TV has come for this quarter. What do you see the AD TV can be, let's say, in the next 3, 4 years or so on an average basis?

Rishi Nathany : Anand, we won't be able to comment on the estimated ADT. But what we have seen in this quarter is, yes, there is a good performance in terms of futures turnover in case of a BULLDEX.

Anand Dhaskaran: So, you're saying the future delivery -- like say in -- for options, the AD TV will be kind of mirroring for the futures?

Rishi Nathany : So, Anand, the options, frankly, hasn't taken off to that extent as yet. It takes time for contracts to build and develop. For example, when we launched Nickel , it took time. Now we are seeing the results after many months. Similarly, we have to give everything time. But what is heartening to see is that the futures have seen traction. And hopefully, we will see traction in options as well as we go forward.

Moderator: We take the next question from the line of Prayesh Jain from Motilal Oswal Financial Services Limited.

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Public Prayesh Jain: The first question here is on the regulators talking about more participation of banks and other financial institutions on the commodities front. Any conversations that you've been having with the regulators to kind of what are the things needed for new participants to kind of come into this bandwagon and whether is MCX equipped to kind of give that? Yes, that would be my first question.

Praveena Rai: Yes, Prayesh, these are ongoing conversations we have had and are having, but they are, of course, under regulatory consideration. We won't have anything more to share on this.

Prayesh Jain: Got that. And secondly, again, I think I've been asking this question on almost every call. Anything on the co-location facilities, which currently are not being allowed for us. Is there any conversation with the regulator on this and whether this can be extended to us?

Praveena Rai: Same question, same answer, yes. It is under regulatory purview, yes. So there's really not much for us.

Prayesh Jain: Presentations made about allowing that. And I think that is one of the key elements for you to grow the FPI as a segment. Is that the understanding?

Praveena Rai: So FPI 's are onboarding and FPI 's volume is also growing. We are seeing renewed interest in FPI, maybe after the Ja ne Street situation when a little bit of a lull was there, we are seeing that renewed interest coming. So again,

conversation per se is an ongoing one. We wouldn't be able to comment on that.

Moderator: We take the next question from the line of Vedant Sarda from Nirmal Bang Securities Private Limited.

Vedant Sarda: Congratulations on a great set of numbers. My question is based on the previous participant's query only. Though we are well positioned in the overall ecosystem. And we have not received any kind of intimation from any regulatory authority on different market participants entering into the segment. But how do we see this risk?

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Public Praveena Rai: No, the risk is real. I think we appreciate it and we respect it. We need to be prepared for it. And we are doing that by sort of enhanced activity, both on our product and the participation end. We have also increased a lot of market outreach with awareness programs, knowledge sharing programs with our members, continued innovation on the technology road map. So, I think the way to really hold forth is to be very positive and forward-looking in our approach and actions, and

make sure we are executing to our plans.

Moderator: We take the next question from the line of Aditi Parmar from i Wealth Fund.

Aditi Parmar: Ma'am, congratulations on a good set of numbers. Just wanted to verify that the revenue for our futures and options was INR 227 crores and INR 380 crores, respectively. So, if you take the balancing figure, that comes to nearly about INR 58 crores. And historically, like if you see a quarterly trend that has always been INR 30 crores, INR 37 crores. So, what is the reason for the increase for the same?

Praveena Rai: Thanks, Aditi. Chandresh?

Chandresh Shah: Yes. So, Aditi, that includes the float income and some other income, warehousing income from our subsidiary.

Aditi Parmar: And sir, like if -- for the other cost, if I remove the software and technical expenses, product licenses and the contribution to SGF, then the other cost, which comes down to is near about INR 23 crores. So, could you explain the reason for the increase in this other cost?

Chandresh Shah: So, Aditi, other expenses largely relate to administrative and office costs, CSR spend, legal professional fees, travel, business promotion activities. So, the increase is towards those activities only to increase the volume of business.

Moderator: We take the next question from the line of Aditya Yadav from Transient Capital.

Aditya Yadav: Congratulations to the management team. It's been a great execution in the past few quarters and plus the market conditions have also been providing a
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Public sort of tailwind. So yes, great quarter. My question was mainly on the dividend front. Any, I mean, plans or discussions to probably increase the dividend payout ratio as a percentage of net profits because I suppose now as the volumes have taken off and everything.

So, we have a lot of free cash flow generation and probably taking in the technology investments also, which we've spoken about will be required. But again, beyond that also, we have a lot of free cash. So, I mean, what are the thoughts around that?

Praveena Rai: Yes. So, Aditya, I think it's -- this is a decision we'll take after the end of the year. We are in growth mode. We will take various requirements for capital into account as we look at what's the right thing to do from a dividend standpoint. So please hold until that point.

Aditya Yadav: And my second question is on the margin front. Do we see further operating leverage in the business as our volumes, they continue to scale up. And as you've mentioned, that at least in the near term, you see the momentum on the volumes and the client codes going up to continue? Do we see more operating leverage?

Praveena Rai: So, we see good business momentum. We will also be looking to make sure

that our spends do catch up with the growth, be it in the operating side as well as the technology side. It's very important for us to do this to be -- to deliver to the kind of volumes that come in. So, there will be efficiency, and I think a lot of efficiency is already there on the table. But we will have expenses and spends commensurate with revenues as well as more importantly, with what are -- what is needed for the execution of our plans.

Moderator: We take the next question from the line of Shrenik Mehta from IndoAlps Wealth.

Shrenik Mehta: Just wanted to check a little bit of an understanding of how this will work when the prices for, especially the gold and silver, may possibly come down.

Do you see a co-relationship between the past growth of gold and silver prices with this increased activity in your company?

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Public Praveena Rai: So, the global factors around price volatility will play a role in addition to other contributing factors of participation, products and so

on. So, whether it is

price up or price down, volatility will bring in factors where the derivative exchange has a role to play. Having said that, if the extent of volatility were to sort of completely normalize, we will see the momentum of growth steady, though we do believe we will have new baseline over which the growth will be happening.

Now having said that, I think this is where we draw comfort from the various segments in which we are operating. So, there have been periods of time where energy has been volatile, and the exchange has played a role there. In recent times, we have seen bullion being far more volatile and exchange there.

So, I think these macro factors will play a role. The macro factors also have a perspective of sort of various segments playing out in the global and domestic markets and the sort of level up baseline that we believe that we will have.

So, all of these will play a role.

Shrenik Mehta: So, I mean just hypothetically thinking of a situation where, say, for next few quarters, the price for bullion, both gold and silver doesn't increase, remains flat or comes down. In that scenario also, do you see that what you have in terms of volumes currently are the baseline and you would only grow from here? Or do you see a possibility for a decline in the volumes as well, more specifically?

Praveena Rai: See, we can't give any forward-looking forecast on either price or the sort of scenario you're drawing out. It's a difficult one to say. As I said, volatility is the broader environment in which the exchange plays a role. Will volatility become 0 globally is not a prediction that we can make, and it hasn't happened so far.

Moderator: Ladies and gentlemen, we take the last question from the line of Abhishek Jain from Shikherjee Advisors.

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Public Abhishek Jain: So very good numbers from your side. No, I have -- most of the questions are just answered. So, no questions from my side.

Praveena Rai: Thank you, Abhishek.

Moderator: Thank you. Ladies and gentlemen, with that, we conclude the question-and-answer session. I now hand the conference over to Ms. Praveena Rai for her closing comments.

Praveena Rai: Thank you very much to everybody for participating. These interactions are very valuable. I think it also helps us to reflect with your questions as much as we have to offer in the kind of commentary you ask of us. I hope the interactions have been useful in helping you understand both our business as well as the various drivers that are implied and impacting the results that you have seen. So, look forward to staying connected until next time.

Moderator: Thank you. On behalf of Multi Commodity Exchange of India Limited, that concludes this conference call. Thank you for joining us, and you may now

disconnect your lines.

Call: May 2026

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MCX/SEC/ 2685 May 18, 2026

Listing Department

BSE Limited,

P.J. Towers, Dalal Street,

Mumbai - 400001 .

Ref: Scrip code: 534091 Scrip ID: MCX

Subject: Transcript of the "Earnings Conference Call " with investor (s)/analyst (s) on Q4 FY-2026 results .

Dear Sir,

Please find enclosed herewith transcript of the "Earnings Conference Call" with investor (s)/analyst (s) held on Monday , May 11, 2026, at 16.00 p.m. (IST) on Q4 FY-2026 results .

The said transcript is also uploaded on the website of the Company at <https://www.mcxindia.com/investor-relations/ir-meetings>

Further, we hereby confirm that no unpublished price sensitive information was shared/discussed during the said earnings call.

Kindly take the same on record and acknowledge receipt.

Thanking you,

Yours faithfully,

For Multi Commodity Exchange of India Limited

Manisha Thakur

Company Secretary

Encl.: As above

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May 11, 2026

Disclaimer: This transcript is provided without express or implied warranties of any kind and should be read in conjunction with the accompanying materials published by the company. The information contained in the transcript is a textual representation of the company's event and while efforts are made to provide an accurate transcription, there may be material errors, omissions, or inaccuracies in the reporting of the substance of the event. The transcript has been edited wherever required for clarity, correctness of data or transcription error. This document may contain "forward-looking statements" – that is, statements related to future, not past, events. In this context, forward looking statements often address our expected future business and financial performance, often contain words such as "expects",

“anticipates,
“intends”, “plans”, “believes”, “seeks”, “should” or “will”. Forward -looking statements by their nature address matters that are,
to different
degrees, uncertain. These uncertainties may cause our actual results to be materially different than those expressed in our
forward -looking
statements. We do not undertake to update our forward -looking statements.

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MANAGEMENT :

MS. PRAVEENA RAI – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER , MCX
MR. RISHI NATHANY – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER , MCX CCL
MR. MANOJ JAIN – CHIEF COMPLIANCE OFFICER , MCX
MR. CHANDRESH SHAH – CHIEF FINANCIAL OFFICER – MCX

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Moderator: Ladies and gentlemen, good day and welcome to the Multi Commodity Exchange of India Limited Q4 FY 26 Earnings Conference Call. Joining us on the call are Ms. Praveena Rai, Managing Director and Chief Executive Officer, MCX; Mr. Rishi Nathany, Managing Director and Chief Executive Officer, Multi Commodity Exchange Clearing Corporation Limited; Mr. Chandresh Shah, Chief Financial Officer, MCX; and Mr. Manoj Jain, Chief Compliance Officer, MCX.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Ms. Praveena Rai, MD and CEO, MCX. Thank you, and over to you, ma'am.
Praveena Rai: Thank you, very much and good evening , everybody. It's wonderful to be here. Warm welcome to all the participants joining us for the call. It's been a good year with good results, and I'm very pleased to report this , very exceptional year, building strong momentum that we have seen in earlier quarters, and we've had a robust close with the last quarter as well. This performance reflects strength across our volumes, the product innovation as well as market participation. And it reinforces the relevance of commodity derivatives in India's

financial ecosystem. Now for this quarter, we have delivered a strong performance. There is growth across all key financial parameters. There is improvement in trading activity as well as participation across all our segments.

During the year, we navigated periods of high volatility and challenging market conditions across multiple commodities, including potential delivery risks, which were all very strongly, rigorously and effectively managed with minimum disruption to market functioning. In fact, I would say, I call it one of our highlights of last year that the market integrity was maintained at the highest level despite a lot of broader economic risks that came our way.

For the full year FY '26, the consolidated revenue from operations more than doubled to INR2,302 crores, and this was supported by nearly 2.5 times increase in the average daily turnover across both futures and options. The profit after tax crossed INR1,300 crores and EBITDA at INR1,774 crores, reflected both the scale benefits and the continued cost discipline.

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Public To strengthen the commodity derivatives ecosystem, we've initiated a focused drive 'Price in India : Hedge in India'. This promotes and deepens hedging participation within India for SME as well as corporate hedgers. Institutional and retail investors have also increasingly embraced the commodity asset class, leading to broader and deeper market participation.

Our product development efforts focused on contract innovation and enhanced expiry frameworks contributed to deeper liquidity as well as wider market access. Importantly, the growth we are witnessing is structural, along with taking advantage of cyclical tailwinds. Increasing participation from a diverse set of market participants, improving awareness, acceptance of commodity derivatives, introducing more participants to both the hedging instrument as well as the asset class, positions us well for sustained expansion. Looking forward, we are confident in our strategy, positioned to capitalize on the next phase of growth in India's commodity derivative market.

As we scale, we are focused on the highest standards of governance, risk management and market integrity, strengthening infrastructure,

continuing to invest in our technology and delivering a seamless trading experience will be top priorities. Our emphasis will be on innovation, liquidity enhancement and long-term value creation for all our stakeholders. We thank our regulators, member brokers, participants, our partners and all stakeholders, including our shareholders, for their continued trust and support in MCX. I now conclude my opening remarks and happy to take questions. We have our management team here with us as well.

Moderator: Our first question comes from the line of Shrenik Mehta from Indo Alps Wealth.

Shrenik Mehta: I just wanted to check regarding the statement that you made about a large part of this growth being structural. And what are the factors that you're seeing, which is helping you to say that ...

We see clearly bullions really driving most of the volumes and the bullion volatility is also driving a lot of this picture. If you could throw some light, it will be fantastic.

Praveena Rai: Yes. So, our two big drivers of volume are energy and bullion. We've seen growth across both of these. While of course, bullion has had a much higher growth, and we are very happy about that. It has grown more than 4 times, the energy growth has also been good and strong over a very high base. So, this really makes both of them strong constituents for MCX.

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Public Now globally and in India, we see there are certain points in time when the requirement around bullion will be stronger, and there will be times when the requirements around energy will be stronger and perhaps times when both are equally important. So, we do see that they both create that sort of balancing with and alongside each other.

And this, along with the kind of opportunity in the Indian space, the kind of commodity markets needed to support the growth in the country, the sort of early growth stage in which the overall market is, of which MCX is a large participant, all create that structural foundation. There's still a lot more opportunity when it comes to what can be done regulatory-wise, policy -

wise, etcetera. And we believe over the years, that will also play out. So yes, there is a cyclical component, but there is a deep structural component also.

Shrenik Mehta: Okay. So, you believe really the momentum is continuing the way you see the trend in the last few months?

Praveena Rai: So, we believe the coming year will be a strong year. Exactly how each quarter will play out, of course, we'll wait and see how the numbers are. But we believe the year will be a strong year.

Moderator: Our next question comes from the line of Devesh Agarwal from IIFL Capital.

Devesh Agarwal: Firstly, congratulations to the entire team for a great set of numbers. Ma'am, my first question would be there was a consultation paper, which talked about allowing FPIs into gold and silver contracts. So one, if there is any update you can give us? And secondly, what is the contribution that we have from FPIs in the energy products, that is, crude oil and natural gas?

Praveena Rai: Thank you very much for the wishes. So having FPIs to participate broadly in the commodity space going beyond the cash-settled segment is certainly critical on the agenda. It's something that there has been a fair amount of debate and consultation. As you know, there's also the consultation paper that is out there. We are also contributing strongly in it. So, we will, of course, wait for the results of this paper to come out. And then we will take it forward from there.

Now the FPI contribution, as you know, is primarily in the energy segment because it's the cash-settled segment. Our onboarding of FPIs has been strong. The pipeline is also strong. The contribution currently stands at about 2% to 3% of ADT. And within the Energy segment, t

hey
are a significant contributor.

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Public I would say that they are in the double-digit contribution of energy, while at the broader MCX level, they will be at about 2% to 3%. And we see this number growing.

Devesh Agarwal: All right, ma'am. And secondly, ma'am, if hypothetically, if we were to say that regulator allows colocation in commodities, in what time we'll be able to roll out these services to the traders? What is the preparedness that we have to introduce colocation services?

Praveena Rai: If this were to get permitted by the regulator, we'll be able to take this to market fairly soon within the kind of market requirements required. So, we don't think we will have -- we will not be on the back foot there.

Devesh Agarwal: Understood. The only reason to ask this was because the competition already offers colocation services in equities. So, they are already at it. And do we also have prepared to kind of introduce within a month or so?

Praveena Rai: Yes, Devesh. We do have our plans in place, and we'll be able to activate them at short notice.

Moderator: Your next question comes from the line of Amit Chandra from HDFC Securities.

Amit Chandra: My first question is on the increase in the UCC that we have seen. So, for the full year, it's up by 64% and very heartening to see this. But obviously, it is because of onboarding of some of the discount brokers, non-discount brokers. So, is it fair to assume that the increase in the UCC is in the base or we can see furthermore participation in terms of more retail clients coming and trading on to the commodities because in terms of number of people trading, we are at 35% of what it is there in equities. So... and what is driving such a steep expansion in terms of the people who are trading on the commodities? Is it only the volatility or you see some active participation across -- or it is more like broad-based?

Praveena Rai: So, Amit, we would want to see a sort of democratic increase in participation without being overly aggressive in any one space. I think I'm quite happy with where we stand on the retail side. We don't believe that everyone who is an equity investor will end up becoming a commodity investor.

So, we are seeing the numbers ramp up steadily and evenly and we will continue to retain our efforts in that growth. A lot of actions that have been taken that we have worked with the market as well, as you said, with digital members, digital brokers, looking at things like the consolidated ledger, looking at user experience of MCX trading vis-a-vis the equity markets.

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Public I think a lot of work went into that last year, and we are seeing the benefits of that. We think there is more user experience opportunity to streamline, and we continue to see interest in the retail segment. Having said that, as we look at the numbers from the AMCs, the mutual funds and many other segments like wealth and so on, so, we do believe that retail will also find these channels to start participating in the commodity market. So not all of this will be very straight. And there has been regulatory action where there is a lot more flexibility and opportunity that mutual funds will see in the coming months, when it comes to increasing the kind of commodity exposure in their portfolios. So, we think retail will participate in all these ways. And overall, we'd like to see that broader multi-segment participation to grow.

Amit Chandra: Okay. And ma'am, my second question is in terms of the product pipeline. Obviously, you have mentioned last time also that we are -- we will be launching some of the metal contracts. So, where we are in terms of the launch of some new products, which c

an further diversify our volume contribution ?

Plus, in terms of the index options scaling up, is it only the FPIs not being allowed into non-cash settled commodities-- is the only bottleneck there or is there some other things which is stopping the index options to scale up? And secondly, there was an article in the newspapers, which talked about some weekly contracts also being considered in the index side. Like, wanted your views on that ?

Praveena Rai: Yes. So, I think I'll first comment on this newspaper article, and we've, in fact, put out our own response on X, that misleading media information is really getting published. So, I will not really comment on that. But the question that you asked on -- what was the core question? ... Yes. On product pipeline, we do have a strong pipeline. We had a certain number of products that we wanted to look at last year, and we launched according to what we thought the market would be appropriate in taking. We are prepared with our next lot of products. And we -- again, we will look at the suitable requirements in energy, in metals, as well as other segments.

Now amongst the indices, interestingly, while we did talk a lot about the BULLDEX options, we found that this created a lot of interest in the future segment. And we are taking the feedback from the market in focusing our attention on futures on indices as well along with options. We will also be looking at moving further on METALDEX this year. So, there will be more work on the indices side as we both deepen and expand that portfolio.

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Public Moderator: Your next question comes from the line of Mitesh from Axis Capital.

Mitesh : Most of the questions have been answered. Just on the participation side, how have been the trends in the participation in the month of April and May so far?

Praveena Rai: Mitesh, I don't think we are commenting on this quarter. I think we'll have to take your question in the next call. But there's no dramatic cause for concern.

Moderator: Your next question comes from Akhilesh Bhatte from Ampersand.

Akhilesh Bhatte: Congratulations on a good set of results. I had 2 questions. So first one was regarding your competitor launching multiple bullion products and energy products in the last quarter and -- maybe from last year onwards. So, what are we doing to sort of protect market share here?

Praveena Rai: So Akhilesh, yes, we are watching the space very closely. It is a large competitor. And yes, they have made their intention felt in the market with a lot of focus that they are placing on commodity segment. From whatever we see, our bullion numbers remain untouched when it comes to market share over the last 2 years.

Some recent activity on changing expiry dates and so on, in the energy segment is leading to some kind of shallow, 1-day-in-a-month activity. So, I think it's also quite misaligned with the sort of global structuring on which our contracts are based and that is required for the integrity of the contract.

So, at this stage, I think we don't want to be reacting and making any moves, which are not cognizant with the way commodity products should operate. Being highly focused on the space, we understand the structuring of these products and what the market needs. So, we will stay focused on continuing to drive participation in the existing portfolio and looking at what the market needs by way of new products. So, creating that awareness, bringing in new participants, creating more hedgers, all of those core actions are in play. And I think they're keeping us in good stead.

Akhilesh Bhat: One more question regarding RBI launching new lending norms for prop traders. So, I just wanted to understand if you have done any sort of analysis on the sort of volumes that will be hit or maybe what sort of vo

lumes are coming in from small prop traders versus big prop traders, if we have any numbers around that?

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Public Praveena Rai: So, the RBI lending norms, the way we see it could have a potential impact. RBI, of course, has given further extension allowing the market to plan their mitigating factors, and we are also in touch and working with our members on the same. So, there will be a certain segment of members, across all segments of the trading markets who will have some of their credit lines impacted from this.

Moderator: Your next question comes from the line of Makarand Bhosekar from Proinvest Nirmiti.

Makarand Bhosekar: Am I audible?

Praveena Rai: Yes.

Makarand Bhosekar: Congratulations on good set of numbers. As we see a very good sequential growth in numbers of top line, I was expecting a kind of better expansion in margins, but somehow the product license fees and other expenses line items grew faster than the revenue. So, we could not see the expected margin expansion. So, can you tell me if there is any one -off in these line items or we can expect these as a normal base?

Praveena Rai: Makarand, we are in growth phase, and we are looking at actions to keep the market very, very relevant and to look at how we really develop the commodity markets to meet the requirements of the industry as well as the country, as we have to mature and have more sophisticated offerings available across the board.

And we have to keep our technology expense, our expense on our investments on people. All of these elements have to be built out, continue to be built out, to be ready to execute the plans that we have. So, if you are asking whether our focus is going to be on margins in the coming months, our focus will be on efficiency. Our focus will be on ensuring that whatever we do, is done in a manner that is most efficient on cost and smart. But the focus is not going to be on spending less. We have to continue to spend smart and do the right thing to be prepared for the future.

Makarand Bhosekar: Okay. So, there was no one -off item, right?

Praveena Rai: No.

Makarand Bhosekar: Okay, thank you. My next question is, as you said in the first -- answering the first question, that you are expecting the momentum to be continued. But when we look at the April

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Public numbers, the volume seems to have dipped down quite a bit. So, do you think that we will be able to continue the sequential momentum?

Praveena Rai: So, we do believe that we will have a strong year. Now will every year -- every quarter be a big jump over the previous quarter, perhaps not. And we do see cyclicity in our business. We have seen that year-on-year where there are some quarters that are better than other quarters. So, there will be macro factors that will play out. There will be cyclicity that plays out. And I think in the broader context, we are in a strong and good place.

Moderator: Your next question comes from Lavanya from UBS.

Lavanya: Congratulations on good set of numbers. Most of my questions are answered. Just wanted to check on some of the cost line items. Software support charges, I mean, it has been quite stable compared to the jump which we have seen last year in Q4. And second is on the SGF spend. So, this time, we have taken a much higher contribution to SGF. So, how should one see this trend going ahead?

Chandresh Shah: Lavanya, this is Chandresh. So, the SGF spend is more to keep our reserve fund in a healthy position. So that it helps us in taking some decisions and mitigate risk. So, we always maintain the SGF at a healthy level, and we'll continue to do that. And it is in line with what we see the business going up and how it is gr

owing. And also, SGF is a requirement of SEBI, and it is computed based on the formula and calculation methodology given by SEBI. And I think the other question you already answered that it is very much in line, software support.

Lavanya : Okay. Software support charges should be stable and incremental from here and most likely, we should see no jump in Q4. Is that something one should build in?

Chandresh Shah: So yes, like ma'am explained in the previous caller's response, so we are into growth phase, and we will keep investing in the business as and when what is required. The only thing is that it will be done very efficiently. So, when the business requirement is there, expenses will be incurred.

Moderator: Your next question comes from Vedant Agarwal from IIFL.

Vedant Agarwal: First of all, congrats on a great set of numbers. So, I wanted to understand 2 book-keeping numbers. So, what has been the interest income on margin money for 4Q FY '26 and for the whole year FY '26? And I also wanted to again touch upon other expenses like we have seen

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Public a sharp jump in 4Q. So, what has been the key driver behind this? So, these are the two questions ?

Chandresh Shah: Yes. So, this quarter, we have seen some increase in the margin money in terms of cash with the subsidiary, and that has helped in some increase in the income from that - INR59 crores in this quarter as against INR22 crores of previous year.

Vedant Agarwal: Okay. INR59 crores in this quarter versus INR22 crores of last year?

Chandresh Shah: Yes, quarter 4.

Vedant Agarwal: Quarter 4, okay. And also, if you could justify the increase in other expenses for this quarter?

Chandresh Shah: I think ma'am already answered in one of the previous response s that the expenses are incurred to meet our market development activities and business -related professional charges.

Moderator: Your next question comes from the line of Bharat Shah from BCS Capital Ideas Limited.

Bharat Shah: Hearty congratulations for very distinguished and defining results. I had 2 questions. The first one, in this very -- what prima facie appears to be a win -all kind of scenario where volumes are rising rapidly. We have increased number of market intermediaries. We have increased number of clients through those intermediaries?

And our product engine is working well. And all of this is resulting into dramatic growth rates across our product lines and the businesses. In such a very positive scenario, what can go wrong if something has to go wrong? And what can actually unravel or disturb the kind of great velocity that the engine has acquired?

Praveena Rai: So, I think it's a fantastic question. And we, of course, track all risks at every stage. Certainly, operating risk is number 1. And I think we've spoken in the past at length that , while the market offers opportunities, the ability to operate and deliver to that opportunity is really not something one takes for granted. So, whether it is the platform , whether it is our surveillance, whether it is our risk management, the operations of CCL when it comes to margins and collateral, each and every element of this gets challenged when there is a high degree of uncertainty in the market. So, this is a risk we are very cognizant of. I would say we spend most of our time on , in addition to all the other levers that you spoke about. I would think this is a hidden lever to add to that list.

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Public The second is certainly the competition risk. I think this question was asked. So, we are cognizant that we have not had a strong competition really and have been a majority market share player, how to continue to be agile on our toes, continue

to innovate, sort of challenge

ourselves and really be our own competitor is the best way to state that off. So certainly, that risk again holds a lot of our attention.

And of course, I can go with a long list, the regulatory risk, et cetera, being in MII, our entire focus on working within the compliance framework, again, something that takes a lot of our attention with a strong compliance team, our investor services and relations, et cetera, et

cetera. So, I think this will -- if you ask me, probably cover the top ones.

Bharat Shah: Praveena Ji, I did not mean routine or regular threats, whether management competence will be there to match the competition. Obviously, that remains an ongoing issue of vigil, both within MCX as well as by the outside investors. Whether there can be regulatory oversight, which can curtail the remit of the business, obviously, some -- such issues will always be there in the horizon. I did not really mean things of this kind. I mean, operational routine risk, competitive risk, these are given. I mean they have to be there for any good management to deal with and to fight on.

What I meant was, for example, if you look at IEX, the energy Exchange, out of the blue, the market coupling issue has come. And that is very clearly derailed the situation because market price discovery is the key function of an Exchange. And when that gets taken away, then the role of liquidity and management in order to facilitate that efficient discovery becomes commoditized.

And therefore, Exchange becomes commoditized. And we are seeing how IEX is struggling with that issue. If you look at, for example, in the equity market, 3 years back, in the options, the share of BSE was next to nothing. I mean it was just a shade above 0. And today, in about 3, 3.5 years, it has climbed to, on an incremental basis, to almost about 37%, 38%. I mean, that kind of a change is truly a dramatic one. So, issues which are not in the realm of recognition because when things are good and healthy, risks don't look very real, and they appear distant in the horizon, but that's actually where the....

Praveena Rai: Yes, Bharat ji, sorry. In the interest of time, if I may come in. I think I get what you're saying. I think I sort of touched upon those. And I think the examples that you gave are in the realm of

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Public uncontrollables. So, I think we will be unable to really comment or really react to that question.

Bharat Shah: Okay. There is nothing that you are...

Moderator: Sorry, to interrupt.

Bharat Shah: No, I'm just finishing my first question. Please allow me to complete. Is there anything in the realm of recognition that you are concerned about or worried about?

Chandresh Shah: No, we are not worried about anything specific.

Bharat Shah: Okay. My second and last question is.

Moderator: Sorry to interrupt. Mr. Shah, may we request you to keep the questions brief. As I believe there are questions -- this is not the first question.

Bharat Shah: This was the first question in the context of which I raised the question. If you can allow me to complete it, it will be faster.

Moderator: Sir, may we request you to join the queue for any follow up questions. Your next question comes from the line of Bhavya Sanghvi from Alchemy Capital.

Bhavya Sanghvi: Congratulations on a great set of numbers. Most of my questions have been answered. Just one book-keeping question. Can you give me the transaction charges for the quarter and split it up between options and futures?

Chandresh Shah: So Bhavya, futures revenue for Q4 is INR242 crores and options revenue is INR569 crores.

Moderator: Your next question comes from the line of Subramania, an Individual Investor.

Subramania: Congrats on a great set of numbers. My questions have been previously answered.

Moderator: Your next question comes from the line of Dharmil Shah from Dalmus Capital Management.

Dharmil Shah: Firstly, congratulations on the great results. My first question would be on the similar lines like previous participants have inquired about, on the competition. So, like Bharat sir mentioned that equity Exchange is getting into, not just the largest one, but I mean the other one has also shown some interest, in getting into the commodity side. So, just wanted to check, I mean, what are the key factors or drivers that would change retailer mindset to

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Public shift from -- retailers or I mean rather any trader shift from MCX to other Exchange? I mean,

what incremental do these Exchange s have to offer so that they gain some market share?

Praveena Rai: As I said, of course, competition is critical to watch out for, and we should not take the competitive stance lightly. So as equity Exchange s enter into the commodity space, there could be some natural sort of synergies they have there. However, the biggest moat really is the liquidity we have in our contracts. So, while it may be a tad easier, not much.

As I said, we've done a lot of work on user journeys and so on and so forth, and we continue to do so. So, while there could be -- it could be a tad easier, the real benefit for any participant arises from the fact that they are there in a liquid Exchange , they can enter and exit as they require, and they benefit from the overall investing or trading activity.

So, I think these are critical for us. And we think these are the biggest moats that we have. But we'll continue to work in the space without ignoring the fact that we should overcompensate for any experiential simplicity that may be available to users otherwise.

Dharmil Shah: Understood. And -- last question would be, again, there is one article in the newspaper today about some regulations being relaxed for agri commodities. So, do you think that could scale up in coming years? And what could be the size as -- I mean could it be as big as energy or bullion or -- just a rough sense there?

Praveena Rai: Sorry, I don't think there is this article, but I'm not able to comment on the backdrop to it. Of course, we are in discussions and working groups with the industry and the regulator to look at various kind of policies that the industry and market require . And agriculture is one of them. So, we are participating. And I think whatever opens up in that space will be beneficial. And we will also be looking at how we play a stronger role there. I wouldn't be in a position to share more than this a t this point, please.

Dharmil Shah: Just jumping back to the first question, you mentioned that liquidity is the core thing that MCX has for commodity derivatives. But like in case of equities as well, I mean, BSE had gained within 2 years from -- I mean they had also 0 liquidity in that se nse. So, what -- I mean what could go wrong in MCX as well? I mean just wanted to understand that liquidity -- I mean, there are -- if these Exchange s are coming up with more innovative products, which might seem more attractive to the investors and could the liquidity over time, I mean, build up for them as well?

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Public Praveena Rai: I think we gave our comments earlier that these are uncontrollables that we will not really be commenting on. At this stage, the commodity market is at a fairly nascent to high -growth stage. Certain actions might take place in mature markets with different objectives. So -- but having said that, this is not a space that we can really comment on. It's not an actionable in our control.

Moderator: Our next question comes from the line of

Madhukar from JPMorgan.

Madhukar: I have just one question. On SGF, how comfortable are we with the SGF position right now? And what is our sort of continuing policy in terms of what percentage of transaction charges are we contributing? Have we put out that number definitively sort of ? Yes. That's my question ?

Rishi Nathany : Yes. So, on SGF right now, we are in a comfortable position. We have a very good cushion on SGF.

Chandresh Shah: And Madhukar, we have not put out any percentage or anything of transaction charges for SGF.

Madhukar: Got it. So, is there sort of a number in terms of what volume option premium or futures that we would be comfortable with and beyond which we would require? I know some simpl istic measure to just know that?

Rishi Nathany : So, Madhukar, it's just not a function of numbers. It's also a function of volatility and the margin levels. So, it's a combination of everything. So as volatility would increase or volumes would increase simultaneously and OI would increase, then only with the SGF requirement increase. So, it's very difficult to predict all the moving parts altogether. Having said that, we are in a very comfortable position regarding SGF. And as and when we have the requirement, we'll plan for it.

Moderator: May we request you to return to the queue for any follow -up questions, please. The next question comes from the line of Madhu Gupta from Quantum AMC.

Madhu Gupta: Congratulations for a good set of numbers. I just have 2 questions. First is, what is the revenue that you've earned from the electricity derivative contract and the transaction charge, which started in FY '26, the trading of electricity derivatives. That 's the first question. The second

question is you recently won the license to set up a Coal Exchange . What is the road map

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Public there? What is the addressable market size? And how do you plan to set up the Exchange ?
And -- yes, if you could share some plans regarding that? Those are my two questions?

Praveena Rai: So, electricity contracts are still in early stage at this stage, rather than tracking revenue, we look at the membership, onboarding, trading, throughput, so on and so forth. So, we are happy. We've got about 50 participants from the commercial participant side and a large number of members who contribute and trade, the UCC numbers also are going up month-on-month.

When it comes to coal, the coal Exchange is an independent entity. It will not be part of MCX as a company. It will operate as a subsidiary. Since we are an MII under the regulatory ambit of SEBI, we required the SEBI approval to go forward in this line of business.

The line of business we see is closely associated with what we do as a commodity derivatives Exchange , establishing a spot market in coal where there is a mechanism that exists. However, there is a lot of opportunity for structuring, consolidation, common platform pan -India and so on.

So, I think that's the opportunity we are looking at, and we are in the early stage of establishing that entity and taking it forward. At the right time, of course, the suitable regulator in that space will then form the rules, we'll have to apply and et cetera, et cetera. So, there is -- there are steps left before the actual entity starts getting operational.

Moderator: The next question comes from the line of Deepak Ajmera from IGE India.

Deepak Ajmera: Congratulations on a good set of numbers and excellent leadership. My question is on electricity derivative. Ideally, the potential for this market is significant. And what sort of initiative, whether it is Ministry, Exchange regulator or anything to develop this market that - on that you are working, if you can highlight, that will be helpful ?

Praveena Rai: Yes. Thank you, Deepak. I think we are very e

xcited about the electricity contract, right, from launch to date, it has been growing month-on-month in its participation and presence in the market. We do work with the regulators, both the SEBI and CERC, but more importantly, a lot of work with the state regulators because a lot of policy really comes from the state. Converting a few DISCOMs is a very important part of the plan. It takes more time, but I think we are at a point where some of that is going to come in as well.

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Public Looking at large traders who operate on the spot market has been important, and those were some of the early steps that have been taken, and we are starting to see some of the members and participants in the power space starting to participate regularly there. So, staying engaged with both the production side, be it solar or other producers, the consumer side, large industrial as well as the distribution side , are all actions that we are in the midst of.

Moderator: The next question comes from the line of Amit Chandra from HDFC Securities.

Amit Chandra: I have like 2 follow-up questions. The first is on the competition. You have answered about that in detail. But , just to understand better, is it the interoperability of the clearing corporations, which is not there between equities and commodities? Is that the main reason why we are not seeing the shift of the liquidity from one Exchange to another? And what's your view on the regulator allowing interoperability maybe at a later stage?

And secondly, on the impact of the RBI regulation. So, the -- if you see the clearing corporation funding from FDs and the bank guarantees, the total margin money that the clearing corporation have, MCX has the highest in terms of 55% to 60% of the total funding of the clearing corporation is through BGs versus 35% for the industry. So, is it a higher risk for us in terms of the impact that we see from RBI?

Rishi Nathany : So, to answer your question on BGs and FDs, frankly, for FDs it wouldn't impact as it is fully funded . In terms of BGs, I think your numbers are wrong. BGs contribute a much lower percentage than FDs. So, while there may be an impact, but the numbers may not impact as

much as you are saying.

Amit Chandra: So, I'm talking about FDs and BGs combined. We don't have the quantification.

Rishi Nathany : Yes. So, you see the large portion -- the largest portion of that is FDs. So, I don't think that would get affected to that extent. Secondly, on your interoperability question. Liquidity does not just go away due to interoperability and what it is. Matter of liquidity we get liquidity. We have sticky liquidity. We have the industry participating. We have everyone, all the ingredients, which helped and also, you have to understand secondly that, interoperability is only possible when there is a 100% similar product. For example, in equity, the ISI Number security is the same, that is why interoperability can be possible. In commodities may be different.

Amit Chandra: Okay. So, the interoperability will not happen between equities and commodity, right?

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Public Rishi Nathany : We're not saying that. We're just saying that at the end of the day, it's up to the regulator, but it's tougher to have.

Moderator: We will take the last question from the line of Devesh Agarwal from IIFL Capital.

Devesh Agarwal: Just one question. We see that this has been a very strong year for us in terms of profit accretion and cash accretion. But despite that, we have seen that the payouts have kind of gone down. So, just wanted to know your thoughts as to this cash that we are kind of conserving, what are exactly the plans for this? And what is the spend that we are

expecting
for the next year?

Praveena Rai: Yes, good question, Devesh. I think it's important for us to have the sort of funding chest that is required as we look at our growth. And this is not just from more of the same standpoint, there would be both organic, inorganic opportunities that we will continue to be looking at, new product segments, ancillary spaces. So, there are certain strategies that are at very early stage, but we do have strong plans for the capital on hand.

Moderator: Thank you. Ladies and gentlemen, I would now like to hand the conference over to Ms.

Praveena Rai, MD and CEO, MCX, for her closing comments.

Praveena Rai: Yes. Thank you. Thank you to all. It is a phenomenal set of questions. As always, we answer some, and you also leave us with a lot of food for thought to take back as we look at execution of our plans for this year and the coming quarter. I really enjoyed the discussion. All of us did. Have a good day and look forward to connecting next time.

Moderator: Thank you. On behalf of Multi Commodity Exchange of India Limited, that concludes this conference. Thank you, everyone, for joining us, and you may now disconnect your lines.